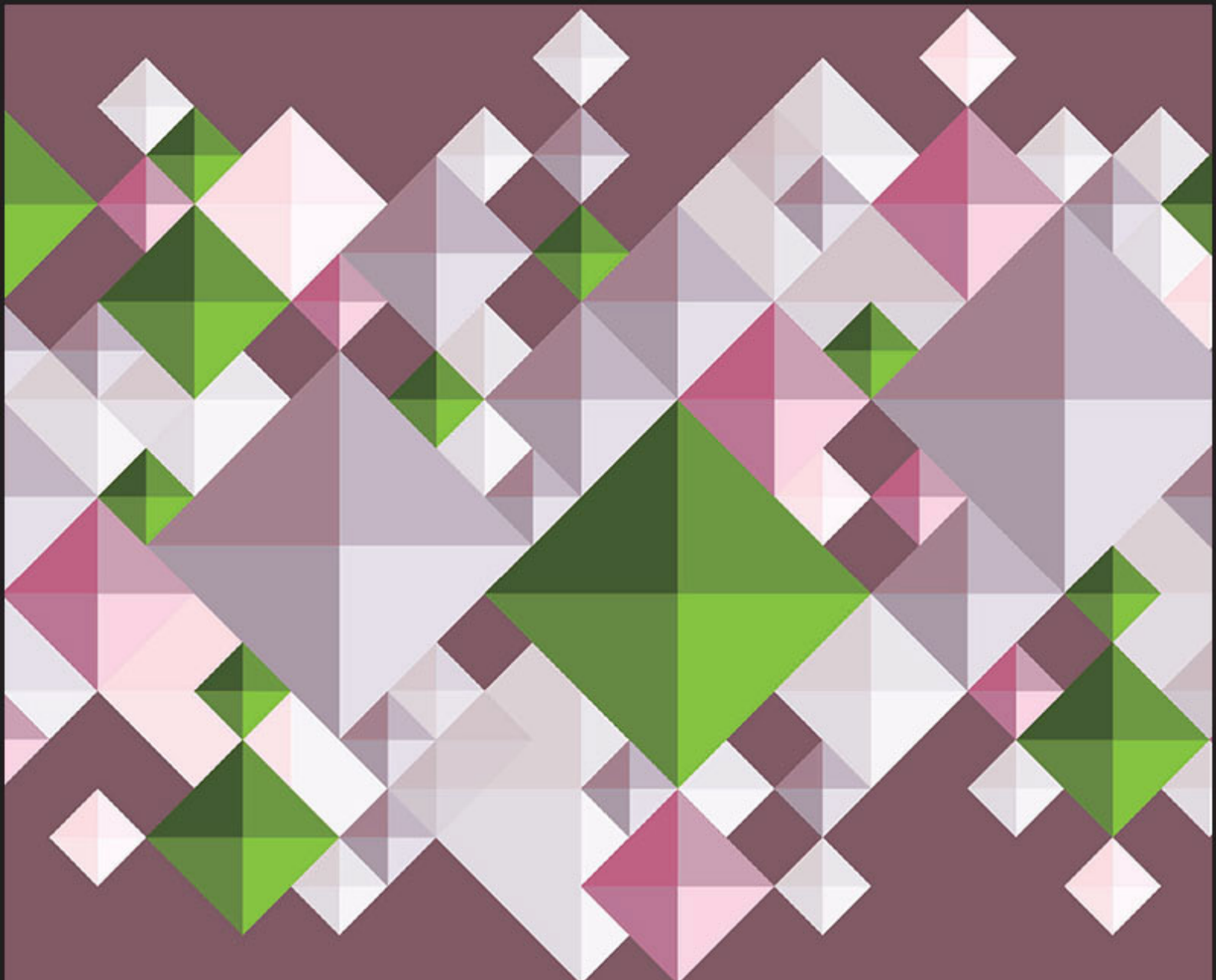




Auditing Notes for South African Students

13th Edition

G Richard (Editor)
C Roets (Editor)
A Adams
JF Jonck
S West



LexisNexis®

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for
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Thirteenth Edition

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Editor: Marcus Jones
Technical Editor: Maggie Talanda

Preface

The original book was compiled specifically to assist students at tertiary institutions in South Africa with their studies in auditing. This update is intended for the same purpose. The book is not designed to be used on its own and stands ancillary to the Companies Act 2008 and its Regulations 2011, the International Standards on Auditing and the (SAICA) Code of Professional Conduct as well as the King IV Report on Corporate Governance for South Africa. Extensive reference is made to these and other pronouncements.

The thirteenth edition of the book introduces several improvements to enhance the learning experience for readers. A notable enhancement is the reorganisation of Chapters 5, 6, 7, and 8, which now present the audit process in a meticulously structured chronological order. This restructuring facilitates a smoother and more intuitive comprehension of the audit process, making it easier for students to follow.

In Chapter 9, dedicated to computer auditing, the content has been condensed and simplified with the primary goal of providing students with a more accessible and practical understanding of computer auditing. This streamlining ensures that students can readily grasp the complexities and nuances of computer auditing in real-world scenarios.

Chapters 10 through 14, focusing on the accounting cycles, have undergone a refinement process ensuring that students can navigate through the content with ease, resulting in a more efficient and effective study experience.

The final noteworthy improvement lies in Chapter 15, which addresses the completion of the audit phase. This chapter now unfolds in a logically structured manner, ensuring that readers can more smoothly follow the various stages and components involved in finalising the audit.

This book intends to simplify what has proved to be a difficult subject for many generations of auditing students. The authors hope that they have achieved this. Any comments or suggestions to improve subsequent editions would be most welcome, especially from students who use the book.

Note from the publisher.

Credit is given to the late Rob Jackson. Both LexisNexis and the auditing student market will forever be indebted to his invaluable contribution to the training of up-and-coming auditors over many years. Over the years thousands of students have used his works in preparation of becoming professionals.

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Introduction to auditing

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1.1 Theory and philosophy of auditing

1.1.1 What is an auditor?

1.1.1.1 Introduction

We all have some idea about what an auditor is and what an auditor does, but these ideas are usually based on what we see in the media and are often vague or clouded with misconceptions! Auditors seem to be involved in numerous different activities and there seem to be numerous different kinds of “auditor”.

So what do auditors do? Auditors have a very important role to play in society. Simply stated, auditors of all types provide assurance pertaining to information prepared or presented by one party to another party with the intention of inspiring confidence in the “fairness” of the information which is being prepared or presented.

Example 1: Intaba Lodge (Pty) Ltd goes to BigMoney Bank to request a loan. BigMoney Bank tells Intaba Lodge (Pty) Ltd that before the bank can consider giving the company a loan it must provide BigMoney Bank with financial statements for the company which must be audited. In effect, BigMoney Bank is telling Intaba Lodge (Pty) Ltd that the company can provide the financial information, but that the bank wants some *assurance* from a source independent of Intaba Lodge (Pty) Ltd that the financial information provided by Intaba Lodge (Pty) Ltd is fair. This is where the auditor comes in. The auditor will examine (audit) the information provided by Intaba Lodge (Pty) Ltd and report to the bank on whether it is “fair”. (If the auditors do not think the information is “fair”, they will say so.) This assurance about the financial information submitted by Intaba Lodge (Pty) Ltd adds to its credibility and BigMoney Bank will be more comfortable about relying on the information when making the decision on whether to grant the loan. If the (independent) auditor states that the information is fair the bank will be more confident that granting the loan will not result in the bank suffering a loss because Intaba Lodge (Pty) Ltd cannot repay the loan. If BigMoney Bank did not insist on *audited* financial information, Intaba Lodge (Pty) Ltd could easily manipulate its financial information to deceive BigMoney Bank into granting it a loan.

Example 2: How does giving assurance relate to a television talent show and why do the promoters of the show involve auditors? The answer is that the promoter wants the results of the talent show to be *credible*. He does not want the sponsors, participants and very importantly the public who support the show, to think the results are fixed (manipulated). If this impression is given, sponsors are likely to withdraw their support and audiences (and ratings) will decline until there is no talent show. Thus, producers engage auditors, who are generally perceived by all the parties concerned to be honest, reliable and conservative, to give an opinion on whether the information (e.g. votes cast and counted, rules, etc.) underlying the result was “fair”.

In the context of the accounting and auditing profession we can express this more formally by referring to the International Framework for Assurance Engagements, which defines an assurance engagement as one “in which a practitioner expresses a conclusion designed to *enhance the degree of confidence* of the intended user . . . ” (see paragraph 3 below for a full discussion).

1.1.1.2 Types of auditor

If we consider the following types of auditor, we can get a clearer understanding of what they do and what they have in common:

- **Registered** (external) **auditors** – auditors who express an *independent opinion* on whether the annual financial statements of a company fairly present the financial position and results of the company’s operations. The external auditor is **not** an employee of the company. The external auditor enhances the degree of confidence that users of the financial statements will have in the information in those financial statements. Registered auditors offer their services to the public. They are described as being “in public practice” and must be registered with the Independent Regulatory Board for Auditors (IRBA). An audit of financial statements is by no means the only *assurance* engagement which registered auditors conduct. As you will see later in this text, registered auditors also frequently perform review engagements, which are also assurance engagements but which provide a lower level of assurance than an audit provides.
- **Internal auditors** – auditors who perform *independent* assignments on behalf of the board of directors of the company. These assignments are varied but usually relate to the evaluation of the efficiency, economy and effectiveness of the company’s internal control systems and business activities and to the evaluation of whether the company has identified and is responding to the business risks faced by the company. In a sense, the internal audit function helps senior management to meet its responsibilities in running the organisation by providing independent information about the company’s departments, divisions or subsidiaries. The internal auditor enhances management’s degree of confidence that the company’s systems are functioning as intended and that the risks are being assessed and addressed. The

internal auditor *is* an employee of the company, but must be independent of the department, division or subsidiary in which the assignment is being carried out. The organisational structure and reporting lines in the company will be designed to ensure that the internal audit function is as independent as possible. An individual is not required to be registered with a professional body to be employed as an internal auditor, but may choose to register with the Institute for Internal Auditors. Many internal auditors are chartered accountants and will be registered with the South African Institute of Chartered Accountants.

- **Government auditors** – government auditors perform a role similar to that of the internal auditor – but within government departments. They will evaluate and investigate the financial affairs of government departments, reporting their findings to senior government. They assist government in meeting its responsibilities in running the financial affairs of the country and increase the degree of confidence that the government has in its departments and indirectly, the confidence that the public has in the government's financial management. The government auditor (called the Auditor General), is an employee of the government, but his status and organisational positioning make his office *independent* of the government departments in which assignments are carried out. Registration with a professional body is not required to be employed as a government auditor, but many government auditors are registered with professional bodies.
- **Forensic auditors** – forensic auditors concentrate on investigating and gathering evidence where there has been alleged financial mismanagement, theft or fraud. Forensic audits may be carried out in any government or business entity, but it should be obvious that the forensic auditor needs to be *independent* of the entity under investigation. Where an independent and competent forensic auditor has been involved, the degree of confidence that the court/investigating body has in the financial evidence is increased. Forensic auditing is a specialist field, but because of the emphasis on financial matters, most if not all forensic auditors have a background/qualification in auditing.
- **Special purpose auditors** – these are auditors who specialise in a particular field, such as environmental auditors, who audit compliance with environmental regulations, and VAT auditors who work for the South African Revenue Services and who audit vendors' VAT returns. The conclusion presented by the special purpose auditors enhances the degree of confidence which, for example, SARS will have in the "correctness" of the VAT returns audited, or a local authority will have in an environmental impact report.

What is the characteristic common to these various audit (assurance) activities? The answer is simple but very important – it is the characteristic of *independence*. The external auditor is independent of the company, the internal auditor is independent of the department being audited and the VAT auditor is independent of the entity whose VAT returns he may be examining. Regardless of whether it is external, internal, government, forensic, VAT or any other kind of auditing, if the person performing the "audit" is not independent of the entity being "audited", the *assurance* given by the auditor will be worthless.

Let us relate this to Example 1 given earlier. If BigMoney Bank is not satisfied that the auditor who was engaged by Intaba Lodge (Pty) Ltd was independent of Intaba Lodge (Pty) Ltd, then the bank will regard the auditor's opinion on the "fairness" of Intaba Lodge (Pty) Ltd's financial information as little more than worthless.

Similarly, with regard to Example 2, the intention of the promoter of a television game show which makes use of an auditor to verify results is to convey to the public and the show's sponsors, that there is no "funny business" going on with the results, and that results are not being manipulated. He wants his results and his show to have credibility and the public to be confident that the result was valid. Now, if the auditor is not independent of the game show promoter or is not perceived by the public to be independent, his opinion on the results will be worthless!

Finally, the word "auditor" is derived from the Latin word "*audire*" (to hear). In ancient times, accounting took place orally, for example a servant would tell his master what he had done to protect and develop crops, land or cattle. The master would *listen* to such accounts of stewardship and question the servants, in other words, the master was the *listener* or *auditor*. As the skills of writing and bookkeeping evolved, so auditing evolved with them, growing from merely *listening to oral accounts* of stewardship to *examining written records*. In many instances, masters not wishing to attend to such matters would have appointed a trusted person *independent* of the stewards to "satisfy himself of the truth" of the steward's bookkeeping. The foundation for the modern auditor had been laid, for example shareholders (master) engage auditors (independent trusted person) to "satisfy themselves as to the fair presentation" of the directors' (stewards) bookkeeping, which is presented in the form of the annual financial statements. As business has evolved,

professional accountants are required more and more to give assurance on all kinds of different information – not only financial statements. However, the basic premise of “enhancing credibility of information” and “increasing confidence of users” remains.

Note: Postulates can be regarded as the philosophical foundations of a discipline. In their text, *The Philosophy of Auditing*, written over 50 years ago, Mautz and Sharaf suggested a number of auditing postulates on which modern day auditing is built. A broad understanding of these postulates will increase one’s understanding of the discipline and why some aspects of auditing are as they are! These postulates have been explained in the appendix to this chapter.

1.1.1.3 Which type of auditor does this text deal with?

This text deals primarily with registered auditors, the external audit of financial statements and the assurance (opinion) given for this common engagement.

However, registered auditors frequently carry out independent reviews of financial statements, so this type of engagement is also regularly referred to in the text and covered in some detail in chapter 16. The major difference between an *audit engagement* and a *review engagement* is the nature and extent of the work done and consequently, the level of assurance which is given by the registered auditor. For a detailed comparison of the two types of engagement see the table in chapter 16.

As touched on in paragraph 1.1.1.2, registered auditors are individuals who are referred to by the assurance engagement framework as “professional accountants in public practice” and who offer their services in auditing, accounting, taxation etc., to the public. Such individuals must be, in terms of the Auditing Profession Act, 2005 (APA), registered with the Independent Regulatory Board for Auditors (IRBA).

In the context of the auditing and accounting profession, the term audit is defined in the APA. The term “audit” means:

The examination of, in accordance with prescribed or applicable auditing standards:

- (i) *financial statements* with the objective of expressing an opinion as to their fairness or compliance with an identified financial reporting framework and any applicable statutory requirements or
- (ii) *financial and other information* prepared in accordance with suitable criteria, with the objective of expressing an opinion on the financial and other information.

The point is that the authority to conduct an audit of financial statements or financial information, as defined, is restricted to registered auditors. Although other individuals may include the word “auditor” in their “job description”, for example internal auditor, forensic auditor, environmental auditor, etc., these individuals may *not* conduct such audits, that is an audit as defined by the Auditing Profession Act. (Of course if a forensic auditor was registered with the IRBA as being in public practice he could conduct audits as defined in addition to his forensic work.)

This is similar to the laws relating to other professions. You cannot call yourself a medical doctor or an attorney without registering with the relevant professional body, which in turn will require that you are properly trained and qualified. So how is it then that a person can call himself an “internal auditor” or a “government auditor” without registering with the IRBA? The answer is simple; section 41 of the APA specifically permits it. As for other types of auditors, such as environmental auditors, their role is to report on matters such as compliance with environmental regulations and not on the fairness of financial statements or other information presented in accordance with financial accounting frameworks. Just to make things a little more confusing, many auditors of all different types are also chartered accountants, i.e. members of the South African Institute of Chartered Accountants (SAICA). The reason for this is that qualifying as a chartered accountant provides a wide range of relevant skills which enable the individual to join commerce and industry, go into public practice or choose to be an internal auditor, government auditor, etc.

1.1.2 Why there is a need for auditors

1.1.2.1 The split between ownership and management

The need for modern-day auditors, both external and internal, arose out of the natural development of owner-managed businesses into entities which were *owned* by people who did not *manage* them. The owners provided the finance and appointed managers to run the business. The owners would require that the managers’ report to them at regular intervals on their stewardship (management) of the owners’ money. Many of the providers of finance who, as stated, were not involved in managing the business, had neither the time nor the expertise to determine whether what they were being told by their managers was a fair representation of the managers’ stewardship. The solution was to appoint an *independent* person to evaluate

the reports of the managers and to provide an opinion on their truth or fair presentation. The need for the *external* auditor was established and entrenched.

As businesses grew and became more complex, so the responsibilities of management to run the business efficiently and effectively and to satisfy shareholders' expectations became more onerous. Out of this came the *internal audit*, described above as a mechanism to assist management in meeting its responsibility of running the business efficiently and effectively.

The other categories of auditor have also developed out of the growth in business. Government passes laws about protecting the environment – hence the environmental audit. Businesses suffer fraud – hence the forensic audit.

1.1.2.2 Confidence in financial information

In order to maintain the confidence of those who invest in business, whether they are members of the general public or investment companies, assurance is required that the financial information produced by business organisations is reliable and credible. It is the auditor of the financial information who provides this assurance (credibility). The success of the world's capital markets hinges partially on whether investors are confident that they can rely on financial statements and other financial information to make investment decisions. Auditors (professional accountants) play a crucial role in inspiring this confidence by expressing opinions as to the fair presentation of financial information. In turn, the availability of independently audited financial information assists in:

- directing individual investors towards investments that suit their needs, for example risk, or return
- developing the economy as a whole, by ensuring that funds are directed towards those entities which provide evidence of sound management, high productivity and strong financial positions
- enabling the government to collect taxes on an equitable basis
- inspiring confidence in how the government handles its finances.

Remember that the *general public*, as well as specific investing entities have a direct interest in the economy and that the economy is aided by the availability of reliable financial information. The performance of unit trust companies, pension fund administrators, and the South African Revenue Services affects the general public directly. In turn their performance depends on reliable financial information being available to them to make sound investments or to levy taxes. The reliability and credibility of the information they use and which they release are enhanced by its association with the auditing profession and the accounting profession at large.

1.1.2.3 Accountability

The “auditing” profession, and here we are not restricting our discussion to registered auditors in public practice, has blossomed over the years with the emergence of internal auditing, government auditing, forensic auditing and environmental auditing as major forces in their own right. The dominant reason for this is that the world at large requires *accountability*. Directors must be held accountable for the way in which they run their businesses, the government must be held accountable for the way it spends taxpayers' money, and companies whose activities affect the environment must be held accountable for the way in which they adhere to environmental regulations and legislation. This has created a need for the wider “auditing” profession to provide an *independent* service which assesses and evaluates whether directors, governments, etc., are meeting their responsibilities. The world demands sound corporate governance and auditors play a key role in meeting this demand.

1.1.3 Specific theories as they relate to businesses, auditing and the profession

During your studies of auditing, you will come across different theories and philosophies, which relate to specific aspects of businesses, auditing and the profession. Below are a few specific theories/philosophies as they relate to businesses, auditing and the profession:

- *Agency theory* as it relates to governance and reporting. This theory, developed by Jensen and Meckling (1976) explains the relationship between business principles (the shareholders/owners) and their agents (the directors). The shareholders delegate authority to the directors, who then act on the shareholders' behalf. Conflict of interest arises between ownership and control, where those who control the entity (the directors) may not necessarily have the best interest of the shareholders and other stakeholders at heart.

- *Legitimacy theory* as it relates to governance. This theory of Dowling and Pfeffer (1975) holds that, for an entity to continue to exist, it must act in consensus with society's values, norms and interests. Entities thus have a social responsibility towards, and should exist in harmony with, their stakeholders.
- *Stakeholder theory* as it relates to personal and business ethics, governance and reporting. This theory (usually accredited to Freedman, 1984) places focus on the effect that an entity and its activities have on all of its stakeholders (e.g. employees, society, customers, suppliers, etc.) as opposed to focusing only on its shareholders. In accordance with this theory, an entity is expected to have moral values and social responsibilities.
- *Ubuntu* as it relates to governance. *Ubuntu* is an African philosophy which expresses compassion and humanity. This philosophy manifests that a corporation has a responsibility to serve not only its shareholders, but also its wider stakeholders.
- *Utilitarian ethics* as it relates to business ethics. In lay terms, Utilitarian ethics hold that ethical choices should be based on that which will produce "the greatest good for the greatest number".
- *Virtue ethics* as it relates to business ethics. Virtue ethics has to do with a person/organisation's moral foundation. An organisation should focus on what type of entity it wants to be and should practice acting in a morally sound way.

1.1.4 Assurance engagements and the expectation gap

Before moving on to discussing the specifics of the audit of financial statements (the main focus of this text) we need to take a closer look at assurance in the context of auditing. For example, what are the public's expectations from the auditor? Are there such things as non-assurance engagements? Are there different levels of assurance? What distinguishes a non-assurance engagement from an assurance engagement, etc.? Before we consider these questions, it is necessary for us to understand the elements of an assurance engagement. These are explained in the International Framework for Assurance Engagements.

1.1.4.1 The expectation gap

The auditing expectation gap is a term used to describe the difference between what society expects from the auditing profession and what the auditor in actual fact provides. This "gap" is caused by different factors, identified by the Association of Chartered Certified Accountants (ACCA), such as the knowledge that the public has of what auditing involves (referred to as the knowledge gap), the auditor's actual performance (referred to as the performance gap) and what the public wishes the auditor would do (referred to as the evolution gap). Expectations that the public holds may include fraud detection and other non-audit services as well as specific technical knowledge that they may expect the auditor to possess. The ACCA also makes specific suggestions in addressing the expectation gap, such as proper communication with the public (via audit firms, accounting bodies, regulators and standard setters, and the media) relating to auditing requirements and changes to regulations and standards (and the reasons behind such changes); addressing audit quality issues; and being mindful of the public's expectations when setting new policies.

1.1.4.2 Assurance engagements

As we saw earlier, in terms of the International Framework for Assurance Engagements, an assurance engagement is one in which the professional accountant "expresses a conclusion designed to enhance the degree of confidence of the intended users, other than the responsible party, about the outcome of the evaluation or measurement of a subject matter against the criteria". Perhaps the easiest way to understand this rather tedious definition is to break it down into its elements and relate it to the audit or review of a set of financial statements.

Elements of an assurance engagement

Element	Example – audit	Example – review
• <i>three-party relationship</i> – professional accountant – responsible party – intended user	– registered auditor – directors responsible for annual financial statements (AFS) – shareholders	– registered auditor – directors – shareholders
• <i>a subject matter</i>	• financial position, results of operations, etc.	• financial position, results of operations, etc.
• <i>suitable criteria</i>	• International Financial Reporting Standards (IFRS)	• International Financial Reporting Standards for small and medium-sized enterprises (SMEs)
• <i>sufficient appropriate evidence</i>	• the evidence the practitioner needs to be in a position to form an opinion as to whether the financial statements are free of material misstatement and are “presented fairly” in terms of IFRS	• the evidence the reviewer needs to express a conclusion on whether anything has come to his attention which causes him to believe the financial statements are not prepared in accordance with IFRS for SMEs
• <i>a written assurance report</i>	• the audit opinion report on fair presentation (reasonable assurance)	• the review conclusion (limited assurance)

1.1.4.3 The audit engagement

We can deduce from the chart that the *audit* of financial statements is an assurance engagement in which the auditor gathers sufficient appropriate evidence to *form an opinion* on whether the directors, who are responsible for the financial statements, have applied IFRS appropriately in presenting the financial position, financial performance, changes in equity, cash flows and disclosure notes/(subject matter). The opinion formed is then reported by the auditor to the shareholders in the audit report.

It is important to note the following:

- For the auditor to form an opinion on fair presentation he must have suitable criteria in terms of which to judge fair presentation. The auditor cannot just say that fair presentation has been achieved, fairness can only be judged in terms of a benchmark or standard and this is where the accounting framework comes in. The most common frameworks are IFRS and IFRS for SMEs.
- The auditor must perform the audit in the prescribed manner. How he goes about this is laid down in the International Standards on Auditing (ISAs) with which the auditor must comply in all aspects of the audit, i.e. planning, risk assessment, gathering evidence and reporting.
- The audit engagement provides *reasonable assurance*.

This is discussed below.

1.1.4.4 The review engagement

We can also deduce from the chart that the *review* of financial statements is an assurance engagement and is very similar to an audit engagement. In a review engagement the reviewer (who will very often be a registered auditor) gathers sufficient appropriate evidence to *form a conclusion* on whether anything has come to his attention which causes him to believe that the financial statements prepared by the directors are *not* prepared in accordance with IFRS for SMEs (or IFRS).

Again it is important to note the following:

- The reviewer forms his conclusion in terms of defined criteria, in this case IFRS for SMEs (could also be IFRS).

- The reviewer must perform the review in the prescribed manner. How he goes about it is laid down in ISRE 2400 – International Standards on Review Engagements. Although some of the concepts or procedures in the ISAs are relevant, the ISAs are auditing standards and are not applicable to a review engagement.
- The review engagement provides only *limited assurance*.

1.1.4.5 Non-assurance engagements

There are many types of engagements that accountants in public practice undertake that are not assurance engagements. These include taxation services and a wide range of advisory services relating to accounting, business performance, corporate finance, etc. These services can be classified as non-assurance engagements.

Non-assurance engagements are engagements which do not meet the definition of an assurance engagement, or do not contain the elements of assurance engagements. For example, in an advisory engagement the practitioner does not normally report to a third party, or the client may not require any assurance, or there may be no suitable criteria (benchmarks or framework) against which the subject matter of the engagement can be reliably measured. Perhaps the defining characteristic of these engagements is that the professional accountant does not express an opinion or form a conclusion on the subject matter of the engagement. Examples of non-assurance engagements illustrate this.

Example 1: the professional accountant is engaged to compile (collect, classify and summarise) certain information for the client but is not required to comment or express an opinion thereon.

Example 2: the professional accountant is requested by a client to prepare and submit the company's tax return.

1.1.5 Reasonable assurance, limited assurance and absolute assurance

In terms of the assurance engagement framework, there are two types of assurance engagement a practitioner is permitted to perform, namely a *reasonable assurance* engagement and a *limited assurance* engagement. Obviously the distinction between the two is the level of assurance (the degree of confidence) provided by the practitioner. It is equally obvious no doubt, that the level of assurance which the practitioner can give depends on the amount of evidence which has been gathered.

1.1.5.1 Reasonable assurance

ISA 200 – Overall Objectives of the Independent Auditor, defines reasonable assurance as a “high but not absolute” level of assurance. Reasonable assurance can only be given when the practitioner has gathered sufficient appropriate evidence to satisfy himself that the risk that he expresses an inappropriate opinion on the subject matter is acceptably low. In the context of an audit of financial statements this means that the auditor carries out comprehensive procedures to gather evidence so that he can express an opinion, namely that the financial statements are fairly presented (not materially misstated) in a *positive* form. The nature and extent of the audit procedures he conducts must satisfy the auditor that the risk that he will express an opinion that the financial statements are fairly presented when in fact they are not, is low.

- *Reasonable assurance – audit – positive expression*

A reasonable level of assurance is conveyed by the use of the phrase “in our opinion the financial statements present fairly . . .”

1.1.5.2 Limited assurance

Limited assurance is a level of assurance that is lower than reasonable assurance but is still “meaningful” to users (ISRE 2400). It has also been described as moderate assurance. Limited assurance is given when the practitioner has gathered enough evidence to satisfy himself that the risk that he expresses an inappropriate conclusion on the subject matter is greater than for a reasonable assurance engagement, but still at an acceptably low level for the particular engagement. In the context of a review of financial statements this means that the reviewer carries out sufficient procedures to gather evidence so that he can express a conclusion in a *negative* form as to whether anything has come to his attention which causes him to believe that the financial statements are *not* fairly presented. Because limited assurance is required for a review engagement, the nature and extent of procedures conducted by the reviewer will be far less comprehensive than for an audit, but the reviewer must still be satisfied that he has gathered sufficient appropriate evidence to support his conclusion.

- **Limited assurance – review – negative expression**

A limited level of assurance is conveyed by *not* using the phrase “In our opinion . . .” and replacing it with “Nothing came to our attention which causes us to believe that these financial statements do not present fairly . . .”

1.1.5.3 Absolute assurance

Having read the above discussion you may be wondering why the auditor cannot *certify* or *confirm* that the financial statements are 100% correct. Why is the auditor restricted to providing reasonable assurance? By carrying out more procedures could he not actually confirm that the financial statements are correct? Essentially the reason that the auditor cannot certify (provide absolute assurance) is that an audit has inherent limitations which prevent the auditor from certifying or confirming the 100% correctness of a set of financial statements. ISA 200 provides the basis for the following explanation of the inherent limitations of an audit.

1.1.5.4 Limitations of an audit

- **The nature of financial reporting.** In the preparation of financial statements, management must apply judgement in applying the relevant reporting framework, and financial statements contain many account balances which are subjective, for example, non-current and current assets are directly affected by estimates (subjective) of depreciation, impairment, inventory obsolescence and bad debts respectively. It is impossible to know exactly which debtors will not pay, or which inventory will become obsolete.
- **The nature of audit procedures.** There are practical and legal limitations on the auditor’s ability to obtain audit evidence. There is always the possibility that management may not provide complete information that is relevant to the preparation of the financial statements, and accordingly, the auditor cannot be certain that *all* relevant information has been received. Audit procedures are not designed specifically to detect fraud, and by collusion or falsification of documentation and other means of circumventing controls carried out by management, fraudulent transactions may go undetected and the auditor may believe that evidence is valid when it is not.
- **Audit evidence is usually persuasive rather than conclusive.** For example, an auditor is “persuaded” that an event or transaction took place by the presence of documents or information provided by management, rather than by actually witnessing the event. The documentation could be false, and the information provided by management untrue. It is obviously impossible for the auditor to “witness” every transaction.
- **The use of testing.** On a similar note, the auditor cannot examine every single transaction which has taken place in the business due to financial and time constraints, therefore it is necessary to “test check”, that is, perform procedures on only a sample of transactions and balances. Once the auditor “test checks”, he cannot state that everything is 100% correct; only a reasoned opinion based on the sample on which procedures were undertaken, can be given.
- **The inherent limitations of accounting and internal control systems.** The auditor is obliged to rely on the systems that the client has put in place to provide financial information. These systems have inherent limitations which may result in the failure to detect errors or fraud (see “limitations of internal control”, chapter 6) and hence the information on which the auditor forms an opinion, may be flawed.
- **Timeliness of financial reporting and the balance between benefit and cost.** To be of any value, the audit opinion must be reported within a reasonable time after the financial year-end, and the benefit derived from the audit must exceed the cost. To meet these practical requirements will generally lead to some compromise in the audit, but it is a compromise that users understand and accept.
- **Other matters that affect the inherent limitations of an audit.** There are frequently aspects of the audit or assertions in the financial statements which are inherently difficult for the auditor to gather sufficient appropriate evidence about, and which compound the limitations of the audit. For example, in some situations it is virtually impossible for the auditor to:
 - determine the presence or effect of fraud conducted by senior management
 - satisfy himself that all related parties and related-party transactions have been identified and correctly treated in the financial statements

- determine the level of non-compliance with laws and regulations which may have an impact on the financial statements
- identify and evaluate future events which may have a bearing on the going concern ability of the company.

The point is that these “uncertainties” contribute to the limitations of the audit process and in turn make it impossible for the auditor to provide absolute assurance.

1.2 The accounting profession

1.2.1 The nature of professional status

Professional status is *not* attained merely by attaching the label “professional” to a body of practitioners. It *is* achieved when there is public acceptance that such a body of practitioners is worthy of recognition as a profession. Howard F. Stettler (the author of a number of auditing works) suggests that certain *attributes* are common to groups that are generally considered to have professional standing. These *attributes* may be summarised as follows:

A profession offers skills and services which are highly specialised and which require:

- particular intellectual abilities
- mastery of a specialised body of knowledge through a formal education process
- mastery of the application of these intellectual abilities and specialised knowledge through a practical training process.

The quality of services delivered by a profession cannot easily be evaluated by the public who rely on these services. In order to protect the public and the reputation of the profession against incompetence or unethical behaviour in the field concerned, a profession is supported by certain regulatory mechanisms, which include:

- the existence of laws restricting admission to practice to those who are properly qualified
- the existence of a strong voluntary organisation dedicated to the advancement of the profession, with primary attention devoted to the improvement of the services that the profession renders
- freedom from uninhibited competition so that practice may be carried on in an atmosphere of dignity and self-respect, with adequate opportunity for concentration on the improvement of services
- active support of a code of ethical conduct through which the public may judge the professional stature of those in practice.

A profession and its members will also demonstrate an intellectual and ethical commitment which transcend the desire for monetary gain:

- members display an underlying service motive which is not due purely to the financial rewards which may flow as a result of the services performed
- peer evaluation is based on factors considered to be more important than financial success.

SAICA expresses the same attributes in a slightly different way. It states that a profession is distinguished by certain characteristics including:

- mastery of a particular intellectual skill, acquired by training and education
- acceptance of duties to society as a whole in addition to duties to the client or employer
- an outlook which is essentially objective
- rendering personal services to a high standard of conduct and performance.

Equally important are the ethical principles which members of the auditing profession must abide by. As is discussed in depth in chapter 2, the SAICA and IRBA Codes of Professional Conduct lay down the fundamental ethical principles that all chartered accountants and registered auditors are required to observe as:

- **integrity:** being straightforward and honest, in all professional and business relationships
- **objectivity:** not allowing bias, conflict of interest or undue influence of others to override professional or business judgements (impartial, independent)
- **professional competence and due care:** maintaining professional knowledge and skill at the required level and performing work diligently in accordance with applicable technical and professional standards

- **confidentiality:** respecting the confidentiality of client information
- **professional behaviour:** complying with laws and regulations and avoiding action which discredits the profession.

Both ISA 200 (audit) and ISRE 2400 (review) endorse these specific fundamental principles.

1.2.2 Accounting bodies in South Africa

There are a number of accounting bodies in South Africa including the South African Institute of Chartered Accountants (SAICA), the Association of Chartered Certified Accountants (ACCA), the Chartered Institute of Management Accountants (CIMA) and the South African Institute of Professional Accountants (SAIPA). In addition, there is the Independent Regulatory Board for Auditors (IRBA) which was brought into being by the Auditing Profession Act (APA), and the Institute of Internal Auditors. The dominant bodies at this stage are SAICA and IRBA and their roles are closely interlinked.

1.2.2.1 South African Institute of Chartered Accountants

SAICA is registered with the International Federation of Accountants (IFAC) and is the body which looks after the interests of its members whether they are in public practice, business, or other pursuits:

- Currently, to qualify as a member of SAICA, the prospective accountant must obtain a recognised qualification from an accredited university, for example a BCom (Hons), pass the Initial test of Competence (ITC) examination as well as the Assessment of Professional Competence (APC) examination and serve a training contract with a SAICA-accredited training office.
- An individual who satisfies the above requirements may join SAICA and use the designation CA (SA) which stands for Chartered Accountant (South Africa).
- A member of SAICA can either be a *chartered accountant in public practice* or a *chartered accountant in business*.
- A chartered accountant in public practice is an accountant in a firm (may be a sole practitioner) who provides services requiring accountancy or related skills such as auditing, taxation, management consulting and financial management services, for example a partner at PWC.
- A chartered accountant in business is an accountant employed or engaged in such areas as commerce, industry, government service, the public sector, education, etc., for example, a financial director at a listed company, or the financial controller in a municipality.
- A chartered accountant in public practice **must** be registered with the IRBA if he (or his firm) wishes to offer auditing services.

Offering accounting services, such as bookkeeping, taxation, management or financial advice, is not restricted to members of SAICA. As indicated above, there are other accounting bodies such as SAIPA, ACCA or CIMA who also offer these services *but* members of these bodies may not offer auditing services (as defined).

Of course there is nothing to prevent an individual from being registered with two or more professional bodies provided they meet the registration requirements. The vast majority of registered auditors are members of SAICA.

1.2.2.2 The Independent Regulatory Board for Auditors

The IRBA is responsible for looking after the professional interests of auditors. It deals with such matters as registration, education and training, accrediting professional bodies (such as SAICA) for membership, and prescribing standards of competence and ethics. The IRBA is also there to protect the public in its dealings with registered auditors, and to discipline IRBA members who “break the rules”.

To become a member of the IRBA, an individual must in essence do the following:

- satisfy the educational requirements of SAICA, that is, obtain a recognised qualification from an accredited university, and pass the ITC and APC examinations
- complete a training contract in public practice (in a registered training office)
- satisfy the requirements of the Audit Development Programme subsequent to meeting the requirements for registration as a chartered accountant.

The official designation for individuals registered with the IRBA, is “registered auditor” or RA.

1.2.3 Pronouncements which regulate the (auditing) profession

Having discussed why there is a need for auditors and other professional accountants and the attributes of a profession, the importance of maintaining and inspiring public confidence and trust should be obvious. It is vital that the accounting profession seeks to ensure that high standards of ethics, conduct and skill are set for, and maintained by, its members. If these standards are allowed to slip, public confidence will be undermined.

Legal and professional requirements have therefore been developed over the years to ensure that appropriate standards are set and adhered to. Indeed, ISA 200 – Overall objectives of the Independent Auditor and the conduct of an Audit in accordance with International Standards on Auditing requires, *inter alia*, that the auditor:

- shall comply with relevant ethical requirements, including those pertaining to independence, relating to financial statement audit engagements (contained in the relevant Codes of Professional Conduct)
- shall comply with all International Standards on Auditing.

The important legislation, regulations and standards are set out in the following pronouncements:

- The Auditing Profession Act 2005 (as amended)
- The Companies Act 2008 and Companies Regulations 2011
- The Constitution and By-Laws of SAICA
- The SAICA Code of Professional Conduct
- The Rules regarding Improper Conduct and the Code of Professional Conduct for Registered Auditors
- International Standards on:
 - (i) Auditing (ISA)
 - (ii) Review Engagements (ISRE)
 - (iii) Assurance Engagements (ISAE)
 - (iv) Related Services (ISRS)
 - (v) Quality Management (ISQM)
- International Auditing Practice Statements (IAPS)
- South African Auditing Practice Statements (SAAPS).

Note (a): The responsibility for “developing and issuing high quality standards on auditing, assurance and related service engagements, related practice statements and quality control standards for use around the world” rests with the International Auditing and Assurance Standards Board.

Note (b): The audit of *listed companies* is also influenced by the JSE listing requirements and the King IV report on Corporate Governance for South Africa 2016.

1.2.3.1 Focus on quality management

Renewed focus has been placed on quality management of audit firms and engagements to address the ever more complex nature of auditing as well as the increasing expectations of stakeholders. In particular, three new/revised standards are of importance in relation to quality management. These are ISQM 1 and 2, as well as ISA 220 (revised). ISQM 1, (Quality Management for Firms that Perform Audits or Reviews of Financial Statements or Other Assurance or Related Service Engagements) replaces ISQC 1 and reinforces a firm’s quality management by supposing it as a *system*, designed to the specifications of the specific firm and specific engagement that it performs. The system incorporates eight components:

- (1) the firm’s risk assessment process (setting objectives; identifying risks relating to the achievement of set objectives and designing responses to those risks);
- (2) governance and leadership (including culture, leadership and organisational structure);
- (3) relevant ethical requirements (including requirements related to independence, objectives set for the firm, its personnel and others);
- (4) acceptance and continuance of client relationships and specific engagements (including considerations such as the nature, circumstances, integrity, ethical values, ability to perform the engagement as well as financial and operational priorities);
- (5) engagement performance (quality objectives set to address the quality of the engagement including responsibility, supervision, professional judgement, consultation, resolution of differences, and documentation);

- (6) resources (human, technological, and intellectual, as well as service providers);
- (7) information and communication (quality objectives relating to obtaining, generating, using and communicating information); and
- (8) the monitoring and remediation process (to provide information about the design, implementation and operation of the system and to take relevant remedial actions to any deficiencies).

Should an engagement quality review be required (as in the case of the audit of a listed entity or in terms of the specified responses to the risks identified as part of the firm's risk assessment process, or by law or regulation) the appointment and eligibility of such an engagement quality reviewer, as well as his/her responsibilities, are dealt with in ISQM 2 (Engagement Quality Reviews).

ISA 220 – Quality Management for an Audit of Financial Statements, deals specifically with the engagement partner's and engagement team's responsibility towards quality management for financial statement audits, as applicable to the nature and circumstances of each audit. This standard emphasises the specific responsibilities of the engagement partner (as the person who is ultimately responsible for the audit) and the importance of professional judgement. It also allows for the engagement team to place reliance on the firm's system of quality management (however, not blindly) and it integrates the concepts of ISQM 1 (as above). ISA 220 is dealt with in detail in chapter 5.

1.3 The financial statement audit engagement

1.3.1 Introduction

As pointed out earlier, this book focuses mainly on engagements at which the external audit of an entity's financial statements takes place. This type of engagement is classified as an assurance engagement, and must be conducted by a registered auditor. The entity could be a company or a close corporation.

Before going any further it is necessary to establish which entities must have their annual financial statements audited and which companies qualify for an independent review instead of an audit.

1.3.1.1 The public interest

The need for auditing in its various forms is a response to the needs of society and is therefore of public interest. Society and business are totally interlinked and rely on each other for their survival. If there is no business, there is no workable society and without society, there is no business – no jobs, no products: no products, no jobs! As we have already discussed, the public interacts with business in numerous ways: through employment, through pension funds, through direct or indirect ownership of shares in businesses, through trading and through making loans to purchase a house or vehicle or educate ourselves. The business world and society run on financial information and depend on that information being accurate, fair and credible. Therefore, it is in the *public interest* that there be a method of achieving the production and use of credible information in society. This method is the wider practice of auditing which provides the independent assurance as to the truth and fairness of financial information produced primarily by business entities.

1.3.1.2 The public interest score

For many years, in order to achieve a climate of reliable financial information, the Companies Act of the time required that all companies, large or small, public or private, had their financial statements externally audited. It was the opinion of business and the legislators that this was the right thing to do in terms of the public interest. At the same time, close corporations were not required to have their annual financial statements externally audited, despite the fact that in many cases, close corporations were larger than numerous small companies. The reason for this was simple: because close corporations were (and are) managed and owned by the same individuals (the members), there is no split between owners and managers. Managers did not have to report their custodianship to the owners and the owners did not need the protection of independent assurance as to the fairness of the financial statements because, in theory, they worked in the business.

However, with the introduction of the Companies Act 2008, there was a shift in thinking as regards which business entities should be required to have their annual financial statements audited. The Act introduced a new method of determining which entities required an audit of their financial statements. The decision no longer hinges on whether the entity is a company (audit) or a close corporation (no audit) but is based rather on the level of *public interest* in the entity. As a result, the Companies Act 2008 and its accompanying regulations stipulate that all companies and close corporations must calculate their *public*

interest score for each financial year. As you would expect, the score is based on factors which generally determine the level of interest the public has in the entity. An entity's public interest score will be the sum of:

- a number of points equal to the average number of employees during the financial year
- one point for every R1 million (or portion thereof) of turnover
- one point for every R1 million (or portion thereof) of third-party liability at year-end, and
- one point for every individual who directly or indirectly has a beneficial interest in any of the company's shares/members' interests.

You will notice immediately that companies and close corporations with large labour forces and high turnovers are going to have far higher public interest scores than small companies and close corporations. The public interest score method recognises this and as a result public interest scores are broken down into three strata, namely 350 points and above, 100 to 349 points and less than 100 points, as indicated in the Companies Act's regulations. The stratum into which the entity's public interest score falls assists in determining to which level of *assurance engagement* if any, an entity must subject its annual financial statements.

In addition to the public interest score, there is another factor which must be taken into account in determining to which assurance engagement the entity must subject its financial statements. This factor is whether the annual financial statements are *internally compiled* by the entity or *externally compiled* by what is termed an independent accounting professional (a suitably qualified accountant who is *independent* of the entity whose annual financial statements are being compiled).

To complete the picture, remember that there are two types of *assurance engagement*, namely an independent audit or an independent review. As we have discussed, an audit is far more comprehensive than a review, and enables the auditor to give a higher level of assurance on the fair presentation of the financial statements. As the objective is to create a climate of reliable financial information, particularly relating to entities in which there is a high public interest, it is logical that companies and close corporations that have a high public interest score and compile their annual financial statements themselves should be externally audited. Similarly, companies and close corporations with lower public interest scores that have their annual financial statements externally compiled (independently) should not have to be audited, but could rather have their annual financial statements reviewed.

The following chart summarises this:

Public interest score in points	Company	Close corporations and owner-managed companies
Less than 100	Review	No assurance engagement required
100 to 349	<i>Audit</i> if AFS internally compiled <i>Review</i> if AFS externally compiled	Audit if AFS internally compiled No assurance required if AFS externally compiled (Note 1)
350 and above	Audit (regardless of who compiles the AFS)	Audit (regardless of who compiles the AFS)

Note 1: It may seem strange that close corporations and owner/managed companies that have their financial statements externally compiled and have points falling in the range 100 to 349 do not require their AFS to be audited or reviewed, while a "normal" company in the same situation must have its AFS reviewed. This is because the Companies Act and its regulations specifically exempt owner/managed companies and close corporations from the review requirement for their annual financial statements on the grounds that as the owners and managers of these entities are the same individuals, the external compilation adds the necessary level of credibility to the financial statements and satisfies the *limited* interest the public has in these entities.

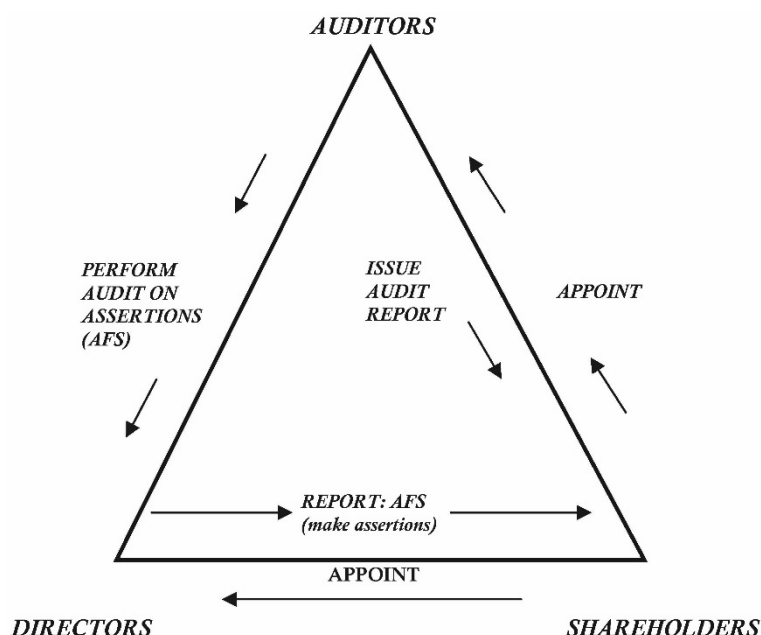
In addition to audit and review requirements arising out of public interest scores, the Companies Act 2008 and the regulations make it obligatory for certain other companies to have their annual financial statements audited, regardless of their public interest score. These are:

- public companies and state-owned companies, and
- companies which hold assets (exceeding R5m) in the ordinary course of their primary activities in a fiduciary capacity for persons not related to the company.

The reason for these specific requirements is obvious – there is a strong element of public interest.

1.3.2 A model of the independent audit of the annual financial statements of a company arising out of the requirements of the Companies Act 2008

As discussed earlier in this chapter, the establishment of the modern auditing profession arose out of the split between ownership of a business enterprise and the management of that enterprise. As businesses grew from entities owned and managed by the same person into large private or public companies where the owners (shareholders) and managers (directors) were not the same person or persons, the need arose for an *independent* party (the auditor) to express an opinion on whether the reports made by those managing the business to those owning the business were fair. Note that this is the “three-party relationship” element of an assurance engagement. As business formalised, it became a matter of public interest to lay down rules and regulations to protect the large and small investor and the economic system as a whole. In virtually all capitalist economies, this resulted in the promulgation of “Companies Acts” by the various governments. South Africa was no exception, and for many years our Companies Act has played an integral part in the practice of auditing. The diagram and explanation presented below illustrate the roles of the various parties and the Companies Act in the audit.



Note (a): According to ISA 200, the overall objectives of the auditor are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework (e.g. IFRS), and
- to report on the financial statements and communicate as required by the ISAs, in accordance with the auditor’s findings.

Note (b): The auditor’s opinion is *not* an assurance of the future viability of the entity, nor the efficiency with which management has conducted the affairs of the entity.

Note (c): It is *not* an objective of the audit to *discover or prevent fraud* or to ensure compliance with the law. These areas are the responsibility of management. The auditor’s responsibility is to carry out his audit in such a way that there is a reasonable expectation of detecting such instances *if* they affect fair presentation (i.e. the financial statements contain material misstatement arising from fraud or error).

Note (d): Although this model and diagram would be very similar for a review engagement there would be some important differences. The independent review engagement is covered in depth in chapter 16.

1.3.3 The roles of the various parties

1.3.3.1 Shareholders

- provide finance for the business;
- appoint directors to manage the business;
- appoint auditors to express an opinion on whether the assertions (representations) relating to account balances, classes of transactions and events, as well as presentation and disclosure, which are made by the directors to the shareholders in the form of the annual financial statements, are fairly presented; and
- receive the annual financial statements from the directors and a report from the auditors on the fair presentation of the financial statements.

1.3.3.2 Directors

- are responsible for running the company and reporting the results of their stewardship (management) to the shareholders, by way of assertions in the annual financial statements; and
- for preparing the financial statements in terms of an appropriate financial reporting framework (e.g. IFRS).

1.3.3.3 Auditors

- are responsible for gathering sufficient appropriate evidence to be in a position to give an independent opinion on whether the annual financial statements issued by the directors to the shareholders present fairly the financial position and results of operations of the company, in terms of the applicable financial reporting framework; and
- for reporting the audit opinion to the shareholders.

1.3.4 The role of the Companies Act 2008 and Companies Regulations 2011

Section 30 of the Companies Act:

- makes it compulsory for all *public* companies to be audited and
- provides the Minister (the member of the Cabinet responsible for companies) with the power to make regulations which require *private* companies to be *audited*, taking into account whether it would be desirable in the public interest, having regard to the economic or social significance of the company as indicated by:
 - its annual turnover,
 - the size of its workforce, or
 - the nature and extent of its activities.

The Minister has exercised this power by promulgating in the Regulations, the requirement for all companies and close corporations to calculate their *public interest score*. This in turn will play a role in determining whether the company (or close corporation) must have its annual financial statements audited.

The Companies Act 2008 also:

- regulates the appointment of auditors and directors, including disqualifying certain individuals from filling these roles;
- places an obligation on the directors to prepare annual financial statements, stipulates some of the content, and provides legal backing for the financial reporting standards;
- provides the auditor with the right of access to the company's records, without which the auditor cannot fulfil his independent audit function; and
- requires that public companies appoint an audit committee and lays down the functions of the audit committee.

All of these Companies Act sections make it possible for an effective external audit to take place, making the Companies Act an integral part of the model.

1.3.5 The role of the Auditing Profession Act 2005

- Section 41 of the APA prohibits anyone who is not a registered auditor from performing the audit of an entity's financial statements.
- The APA also stipulates that the individual who is responsible for the audit is identified and named the "designated auditor" (s 44(1)).
- The APA lays down the broad conditions for conducting an audit. Section 44 states that the auditor *may not* express an unqualified audit opinion on the financial statements *unless*:
 - the audit has been carried out free of restriction;
 - in compliance with applicable auditing pronouncements;
 - the auditor has satisfied himself of the existence of all assets and liabilities shown in the financial statements;
 - proper accounting records have been kept in one of the official languages;
 - all information, vouchers and other documents, which in the auditor's opinion, were necessary for the proper performance of the auditor's duty, have been obtained;
 - the auditor has not had occasion to report a reportable irregularity to the IRBA;
 - the auditor has complied with all laws relating to the audit of the entity; and
 - the auditor is satisfied as to the fairness of the financial statements.
- Section 45 places a duty on the auditor to report any reportable irregularity (as defined) uncovered at an audit client to the IRBA. (This is dealt with in chapter 3.)

1.3.6 The role of the International Standards on Auditing (ISAs)

- The ISAs provide the standards which the auditor must attain, and provide guidance on how this should be done. The ISAs do not provide detailed lists of audit procedures; this is left up to the individual auditor or audit firm. For example, Deloitte has its particular methods of doing things, while PriceWaterhouseCooper (PWC) will have its methods. Auditing is not an exact science, but provided the ISAs are complied with, an audit of the appropriate quality will be achieved.
- The ISAs cover the entire *audit process*. They provide guidance ranging from preliminary engagement activities, through planning the audit, gathering sufficient appropriate evidence, and deciding on the appropriate audit opinion and reporting the opinion.

1.3.7 The role of the assertions

It is important to understand at this stage what the directors are actually representing to the shareholders in the financial statements. Once that is understood, the role of the auditor becomes clear. The report from the directors to the shareholders takes the *form* of the annual financial statements, and the *content* of the annual financial statements is controlled partly by the Companies Act and more extensively by the financial reporting standards adopted by the entity. What are termed the *assertions* of the directors, which are in effect their representations about the company's assets, equity, liabilities, transactions and events, and disclosures, are embodied in the financial statements.

1.3.7.1 Assertions and ISA 315 (revised)

The assertions are laid down in ISA 315 (revised) – Identifying and Assessing the Risks of Material Misstatements through understanding the Entity, as follows:

Assertions about classes of transactions and events, and related disclosures for the period under audit:

- **Occurrence:** transactions and events which have been recorded or disclosed, have occurred and pertain to the entity.
- **Completeness:** all transactions and events which should have been recorded, have been recorded, and all related disclosures that should have been included in the financial statements have been included.
- **Cut off:** transactions and events have been recorded in the correct accounting period.
- **Accuracy:** amounts and other data relating to recorded transactions and events have been recorded appropriately, and related disclosures have been appropriately measured and described.
- **Classification:** transactions and events have been recorded in the proper accounts.

- **Presentation:** transactions and events are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the applicable financial reporting framework.

Aggregation means to combine or add together, and disaggregation means to break down. For example, in the case of sales, the company may choose to disclose its sales broken down into categories that are relevant to the company, for example, revenue from sales of different products, or by region or customer type (government, private sector).

Assertions about account balances and related disclosures at the period end

- **Existence:** assets, liabilities and equity interests exist.
- **Rights and obligations:** the entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
- **Completeness:** all assets, liabilities and equity interests that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
- **Accuracy, valuation and allocation:** assets, liabilities and equity interests have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments (e.g. depreciation, obsolescence) are appropriately recorded, and related disclosures have been appropriately measured and described.
- **Classification:** assets, liabilities and equity interests have been recorded in the proper accounts.
- **Presentation:** assets, liabilities and equity interests are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

1.3.7.2 Assertions, the audit model and the auditor's role

The assertions are dealt with more extensively in chapters 6 and 7 but in order to understand how the assertions fit into the audit model and how they relate to the auditor's role, consider the following example:

The line item below appears in the statement of financial position (balance sheet) of Tradition Ltd:

Trade accounts receivable R2 782 924

What are the directors actually saying (asserting) about accounts receivable? In terms of the assertions they are representing that at period end:

- the debtors included in the balance existed at year-end, that is, no fictitious debtors have been included (*existence*)
- Tradition Ltd holds or controls the rights to the amounts owed by debtors, for example, the debtors have not been factored (*rights*)
- all debtors have been included in the amount of R2 782 924, and all related disclosures have been included (*completeness*)
- the amount of R2 782 924 is appropriate and represents the amount that can reasonably be expected to be collected from debtors after making a suitable allowance for debtors who will not pay (*accuracy, valuation and allocation*)
- accounts receivable have been recorded in the proper accounts (*classification*), and
- accounts receivable have been appropriately aggregated/disaggregated and clearly described, and related disclosures are relevant and understandable (*presentation*).

Note. If you are wondering why *occurrence* and *cut-off* are not dealt with in this example, remember that we are dealing with a balance and related disclosures at *period end*. *Occurrence* and *cut-off* relate to the transactions underlying the balance, in this case, credit sales.

1.3.7.3 The auditor's role regarding assertions

So what is the auditor's role with regard to the assertions? A major part of the audit is the auditor's assessment of the risk that an account balance, etc., will be materially misstated in the AFS. The auditor conducts this assessment by considering the likelihood (risk) of material misstatement applicable to each assertion. Once this has been done, the auditor responds by conducting procedures to gather sufficient

appropriate evidence to form an opinion as to whether the account balance (and collectively the AFS) is presented fairly. To put this into the context of the example given above:

While assessing risk relating to the *accuracy, valuation and allocation* assertion, the auditor discovers that to attract more customers the client has relaxed its credit terms. As a result, the auditor considers that the accounts receivable may be materially overstated (misstated) because in setting the allowance for bad debts, Tradition Ltd's management has not taken into account the fact that the company potentially has new and less creditworthy (credit terms have been relaxed) customers. The auditor's response will be to increase the procedures which he conducts on the allowance for bad debts to determine whether it is fair or materially misstated.

Similarly, the auditor may assess the risk of the inclusion of fictitious debtors in the account balance as low, due to Tradition Ltd's excellent internal controls (control environment), the integrity of management and the absence of any reason/incentive for management to manipulate the accounts receivable balance. The auditor will still conduct procedures relevant to the *existence* assertion, but to a lesser extent.

1.3.8 The role of professional scepticism

- Professional scepticism is an attitude, and in the context of the financial statement audit engagement is the attitude which should be adopted by all members of the engagement team. It requires that members of the team approach their work with a questioning mind, and that they be alert to conditions which may indicate possible misstatement due to error or fraud, and that audit evidence is critically assessed. It also means that members of the team should not allow themselves to be "led around by the nose" by client employees, and should not simply accept at face value what they are being told or shown by the client. An auditor should remain unconvinced of the truth of a particular fact until suitable evidence to support the fact is provided.
- Members of the audit team should, for example, be alert to:
 - audit evidence that contradicts other audit evidence obtained;
 - information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence; and
 - conditions that may indicate possible fraud.

Adopting professional scepticism is not an option, it is a requirement. For example, even if the auditor regards management as being honest and trustworthy, the audit will still be conducted with an attitude of professional scepticism.

- Adopting an attitude of professional scepticism does not allow the members of the audit team to be rude to, or dismissive of, the client's personnel; the audit team's approach should remain polite, dignified and professional.

1.3.9 The role of professional judgement

- The audit of a set of financial statements is not a specific set of clearly defined procedures carried out on clear-cut facts and figures. Different circumstances arise on different audits and there is no "one size fits all" with regard to an audit. Audits give rise to uncertainties and options which must be considered and responded to by the auditor. This is where professional judgement comes into play.
- Professional judgement is the application of relevant training, knowledge and experience within the context provided by auditing, accounting and ethical standards in making informed decisions about the courses of action and options that are appropriate in the circumstances of the audit (or review) engagement.
- In terms of ISA 200, the auditor is required to exercise professional judgement in planning and performing an audit of financial statements. Virtually all decisions that must be made on an audit contain an element of professional judgement, for example, professional judgement will be required in such diverse decisions as:
 - evaluating the integrity of the client's management,
 - deciding on materiality levels,
 - identifying and assessing risk,
 - evaluating whether sufficient appropriate evidence has been gathered, and
 - drawing conclusions on the evidence obtained and deciding on the appropriate audit opinion to be given.

1.4 Summary

The auditor is a professional person who plays an important role in strengthening the credibility of financial information and hence the general and investing public's confidence in the financial and economic system of the country. This role is carried out through the expression of opinions as to whether or not financial statements are, or financial information is, presented fairly.

Confidence in the reliability of the auditor's opinion can only be maintained as long as there is public acceptance that:

- auditors are a body of practitioners who demonstrate the attributes which set them apart from the general public and make them worthy of recognition as professionals; and
- the auditing profession adheres to a strict code of ethical principles.

The profession is dynamic and is constantly changing to meet the needs of the economic community and the public at large. Auditing firms have diversified into many different services, both to remain competitive and to make use of the vast pool of talent which exists within its membership. However, at the core of the profession is the irrefutable need for a professional body which provides an independent opinion on the fairness of financial information. Financial information is the lifeblood of the economy and it is vital in the interests of society (the public at large) that such information be fair and credible.

1.5 Appendix

Auditing postulates

The word "postulate" is best explained by considering the following definitions from the *Oxford Dictionary*:

"thing(s) claimed as a basis for reasoning" and

"postulates provide a basis for thinking about problems and arriving at solutions . . . a starting point . . . a fundamental condition"

Perhaps to express it simply we can say that the auditing postulates are the very foundation on which the discipline is built. Without a foundation, nothing of permanence can be built.

1. **No necessary conflict of interest exists between the auditor and management/employees of the enterprise under audit (both the client and the auditor have the same objective with regard to fair presentation)**

Explanation

This postulate proposes that the auditor and the client's management share a common desire to ensure that the financial statements prepared by management, *do* achieve fair presentation.

This postulate assumes that management *will not want* to manipulate the financial statements to present a misleading account of the affairs of the enterprise, for example, to hide fraud or to present a more favourable financial picture of the company to potential investors.

Discussion

This postulate implies that if management *does not want* to achieve fair presentation (and thus is willing to manipulate/falsify information), it becomes impossible to perform a conventional (normal) audit.

The postulate is critical if audits are to be economically and operationally feasible, and yet its relevance and applicability is becoming increasingly questionable. In view of the ever rising evidence of financial mismanagement, theft and fraud in business and government worldwide, is it realistic to presume that management does have the desire to report business information honestly and fairly?

The auditor has traditionally been able to rely on management's integrity in the absence of contrary evidence. In the light of the alarming increase in fraud in recent years, it has become increasingly important for the auditor to evaluate management integrity with *professional scepticism*. Indeed, the adoption of professional scepticism by the auditor is one of the requirements placed on the auditor in terms of ISA 200 – Overall Objectives of the Independent Auditor and the Conduct of an audit in accordance with International Standards on Auditing. It means that the auditor can no longer take what he or she is told by management as necessarily being the truth. It means not being "led around by the nose" or blindly accepting what management or other employees tell him, and it means that the auditor cannot accept, as a basis for the audit, that this postulate holds true.

ISA 200 defines professional scepticism as “an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence”.

2. An auditor must act exclusively as auditor in order to be able to offer an independent and objective opinion on the fair presentation of financial information

Explanation

The auditor's opinion can *only* be relied upon if he is free of any bias whatsoever, in other words, *independent*. Furthermore, for the auditor to satisfy his duty as a professional, he should devote *all* of his energy to performing the audit.

Discussion

The auditor has to *be*, and be *seen to be*, independent, if he is to retain credibility as an auditor. This requires that all other interests that the auditor has which relate to an audit client, must be carefully assessed and if they affect independence, *either* these interests *or* the audit must be relinquished. Unfortunately, the relevance and applicability of this postulate is also becoming questionable as audit firms place increasing emphasis on their ability to provide clients with other services, for example tax, management advice and more. It is interesting to note that in the United States of America there is a strong move on the part of the regulators of the auditing profession to commit to the principle of this postulate. Major financial scandals such as the collapse of Enron, one of the largest companies in the world, provided strong evidence of a total lack of independence on the part of the auditors who are alleged to have been party to, or to have had knowledge of, serious financial manipulation and fraud by the company, but did nothing about it. Was this a serious matter? It led to the worldwide demise of one of the “Big 5” auditing firms, once highly regarded for its ethics and integrity. It was a serious matter!

South Africa has also reacted to the demands of this postulate. In terms of the new Companies Act 2008, public companies (which must be audited) must also appoint an audit committee. The audit committee in turn must approve any *non-audit work* that the auditor of the company is engaged to perform. This can be seen to be an attempt to focus the auditor's attention on performing the audit, not on providing other services. The audit committee must be satisfied that the auditor is independent, and must state whether it is satisfied with the audit of the annual financial statements. The committee is likely therefore to be very careful about what other non-audit work is given to the auditor.

3. The professional status of the independent auditor imposes commensurate professional obligations

Explanation

Professional status implies that the auditor has qualities, knowledge and capabilities which set him apart from the general public, but that this status brings responsibility with it.

Discussion

To enjoy this status, a professional has to live up to certain expectations and accept certain responsibilities. The concepts of *due care*, *service before personal interest*, *efficiency and competence* flow from these expectations and have to be accepted as responsibilities by professional accountants.

4. Financial data is verifiable

Explanation

This postulate proposes that it is *possible* to verify the client's financial data. If this were not the case, it would be impossible to perform an audit. “Verify” means to determine something's truth or falsity, which is essentially what an audit is all about, and it implies that there will be sufficient appropriate evidence to support the transactions which have taken place.

Discussion

An auditor cannot meet the audit objective of forming an opinion on fair presentation of the financial information unless he has gained the necessary level of assurance through verification of the financial information. With the advent of paperless transactions, trading on the Internet and E-Commerce, this postulate is increasingly under threat, as transactions may not necessarily be supported by documents which the auditor can see and touch, or even access. To respond to this, the profession will need to develop new ways of gathering sufficient appropriate evidence to verify client data. Obviously, if financial data is not verifiable, an opinion on its fair presentation cannot be given.

5. Internal controls reduce the probability of errors and irregularities

Explanation

Simplistically expressed, internal controls are those policies and procedures which a business puts in place to ensure that its recorded transactions are valid, accurate and complete, that its assets are secured and that it complies with the law.

The postulate suggests that errors and irregularities become *possible* rather than *probable* where internal controls are good. For example, where there is a sound control environment, good division of duties and effective authorisation procedures (all internal controls) the probability of unauthorised transactions is significantly reduced.

Internal controls provide the auditor with a starting point when conducting an audit. In terms of this postulate, the better the internal controls, the more chance there is that the financial information produced will be “truthful”, that is, valid, accurate and complete. The postulate also suggests to auditors that they should realise, and make use of, the benefits of good internal control. Indeed, auditing standards require that the auditor assess the effectiveness of the client’s internal controls in planning the audit.

Discussion

This postulate is of critical importance to the economic and operational feasibility of audits. The alternative (i.e. no effective internal control), is a situation where auditors are forced either to refrain from offering an opinion, or to conduct extremely detailed audit examinations. Such alternatives are not constructive, economical or feasible. Expressed simply, without internal control the audit function is not possible. In effect, if a company has very poor internal control, the financial data produced by the accounting system is most unlikely to be verifiable. (See postulate 5).

6. Application of generally accepted accounting practice results in fair presentation

Explanation

This postulate proposes that the application of generally accepted accounting practice does result in fair presentation. It suggests that there are frameworks available (e.g. *IFRS*) which, if adhered to, will result in fair financial presentation.

Discussion

This postulate emphasises the importance of objectivity and of having to measure “fair presentation” against a predetermined accepted standard. The auditor’s opinion should be based on something which has gained general acceptance rather than mere personal preferences. An accounting framework provides the auditor with a “ready-made standard” against which to judge the fairness of the financial information under audit. The implication is that if the auditor obtains evidence of the proper application of appropriate generally accepted accounting practice, fair presentation will have been achieved.

7. That which held true in the past will hold true in the future (in the absence of any contrary evidence)

Explanation

As a basic premise, the auditor may assume that in the context of an ongoing audit engagement at the same client “things generally stay the same”. Thus historical evidence is crucial. Judgements about the future are continually being made and accounted for on the basis of historical information. For example, when an auditor evaluates the allowance that a client has made for bad debts to determine whether it is fair, he will take into account such matters as:

- the payment records of debtors in prior years,
- the allowances which were made in prior years, and
- the kinds of debtors which had to be written off in prior years.

A more general application of this postulate might be that the auditor may assume, in the light of no contrary evidence, that the integrity of the client’s directors does not alter from year to year.

Discussion

The auditor has to draw on past experience when assessing judgements about the future. Factual historical evidence is far more powerful than speculation. However, this should not be taken to mean that things do not change; for example, the integrity of the directors may decline, forcing the auditor to rethink the extent

to which he can rely on the representations of management in the gathering of audit evidence. Trading conditions can change in a host of different ways and new business risks may arise; the auditor must recognise this in planning and performing the audit.

8. The financial statements submitted to the auditor for verification are free of collusive and other unusual irregularities

Explanation

This postulate suggests that the auditor can start from the basic premise that the financial statements do not contain misstatements that have arisen out of collusion or similar deceptions by management. Collusion implies that there has been a deliberate attempt to misstate the financial statements. However, in terms of this postulate the auditor may, in the absence of evidence to the contrary, assume that management has taken adequate steps to ensure that the financial statements are free of “collusive or unusual irregularities” engineered by employees *and* that members of the management team itself have not colluded in the presentation of the financial statements.

Discussion

A cynical view may be that when these postulates were proposed (circa 1961), directors and employees were more honest than they are today! Whether this postulate holds true today could no doubt be debated at length, but the intense focus on corporate governance and the introduction of professional scepticism as an important prerequisite for auditors suggest that this postulate is also under threat. However, for the auditor to assume the opposite, namely that the financial statements are *not* free of “collusive and other irregularities” would change the objective and focus of the auditor from forming an opinion on fair presentation to an all-out search for fraud and other irregularities.

Professional conduct

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2.1 The SAICA and IRBA codes of professional conduct (effective 15 June 2019)

There are two codes of professional conduct which provide ethical guidance to professional accountants and auditors in South Africa. They are:

1. The SAICA code of professional conduct for professional accountants
2. The IRBA code of professional conduct for registered auditors.

Both of these codes are based on and consistent in all material aspects with the code of ethics for accountants released by the International Ethics Standards Board for Accountants (IESBA) published by the International Federation of Accountants (IFAC) in April 2018. As you would expect, the two “South African” codes are consistent with each other.

Why is it necessary to have two codes? The simple answer is that most professional accountants (i.e. members of SAICA) are not members of the IRBA (i.e. registered auditors) because they do not conduct audits. Typically, these professional accountants are in government, commerce or industry, engaged as internal auditors, financial directors or company accountants. They become members of SAICA to benefit from being part of a professional body and thus must comply with the SAICA code.

While the majority of the members of the IRBA (i.e. registered auditors) are also members of SAICA (i.e. professional accountants), it is not a requirement that to be a member of the IRBA, the individual must join SAICA. Therefore, the IRBA must have its own code and must define its own rules regarding improper conduct.

As mentioned above, the two codes are very similar and are based on the same international code. One important difference is that the SAICA code, in addition to having a section related to professional accountants in public practice, has a separate section that deals with professional accountants in business, that is, professional accountants in commerce and industry etc. Professional accountant is a generic term used in the code to refer to a chartered accountant (CA (SA)), an associate general accountant (AGA (SA)), associate accounting technician (FMAAT (SA), MAAT (SA), or PSMAAT (SA)). The IRBA obviously does not have such a section because, by definition, registered auditors are not in commerce and industry, they are all registered auditors in public practice.

If an individual who is a member of both the IRBA and SAICA acts improperly or unethically, he can be charged in terms of both codes. Again, this is perfectly logical; the IRBA disciplinary committee has the power to “punish” one of its own members but has no power to “punish” the individual in terms of the SAICA code. That would be up to the SAICA disciplinary process.

In summary:

- the SAICA code applies to a person who is registered with SAICA regardless of whether he is a professional accountant in public practice or a professional accountant in business
- the IRBA Code applies to a much narrower field, namely those persons registered with the IRBA as registered auditors, and
- provided an individual complies with the registration requirements of both SAICA and the IRBA, he can be a member of both bodies.

2.2 General guidance: Ethics and professional conduct

Perhaps the most crucial prerequisite for the accounting and auditing profession is attaining the highest level of professional ethics by its members, both singularly and collectively. Of course, members of the profession must have the necessary intellectual and practical competency, but these will be worth little if respect for and trust in the profession is eroded by members displaying a lack of professional ethics. Indeed SAICA has identified skills and *integrity* as the pre-eminent attributes of chartered accountants (SA).

The Concise Oxford Dictionary defines ethics as: “. . . a set of principles or morals . . . rules of conduct . . .” and “moral” is defined as: “concerned with the distinction between right and wrong . . . virtuous in general conduct”. *Professional conduct* could be described as the set of principles that govern accountants’ and auditors’ professional and wider behaviour.

Ethics apply when a person finds it necessary to make a decision that involves moral principles, namely a choice between “good” and “bad” or “right” and “wrong”. There are various sources for ethical guidance:

- in our private lives these may include our parents, religion and role models, and in our working lives, these may include codes of conduct developed by corporations, institutions and professions, in addition to senior work colleagues or individuals trained to advise in what can be challenging ethical situations.

Different religions, races, cultures, and backgrounds may see ethical issues from totally different perspectives, so it is impossible to establish one set of hard and fast rules which can be applied to all situations which raise ethical issues. So, in the absence of hard and fast rules, how do people decide whether the ethical decision they have made is right? There is no simple solution, but if the answer to the following questions is *yes*, then the decision is probably the right one:

- Is the decision honest and truthful?
- In making the decision, will I be acting in a way that I would like others to act towards me?
- Will this decision build goodwill and result in the greatest good for the most significant number?
- Would I be comfortable explaining my decision to people whom I respect for their moral values?

In effect, asking the above four questions acknowledges that a conceptual framework approach to ethics is desirable. There cannot be a rule for every situation, so other processes must be available for the professional accountant to deal with ethical issues.

While individual members of the profession will no doubt be concerned with ethical issues which affect society as a whole (the death penalty, abortion or providing jobs at the expense of environmental destruction), it will be their daily occupations that will give rise to specific ethical situations of a professional nature.

For example:

- Have I acted in a truly independent manner?
- Should I make use of confidential information obtained from a client for my advantage?
- Should I report a client who may be evading tax to the authorities?

Specific guidance and a way of thinking about ethical issues are provided in the various pronouncements indicated below.

2.3 The public interest

As we discussed in chapter 1, the public at large relies, directly or indirectly, on members of the accounting and auditing profession in several ways, one such example being the reliance that third parties, such as banks and shareholders, place on *audited* financial statements in deciding whether to advance finance to companies. This reliance requires that the profession accept a responsibility to the public, as reliance will only continue to be placed on the profession for as long as it retains public confidence in its abilities. Professional accountants and registered auditors must therefore ensure that their services are delivered following the highest ethical and professional standards. Public reliance is not only placed on members who are in public practice. Many professional accountants fill very influential roles in the financial world and are relied upon by the public at large to perform with integrity and competence. Even though it may be indirect reliance, the public at large relies, on:

- financial executives to contribute to the efficient and effective use of their organisations resources and to strive for the highest levels of corporate governance
- internal auditors in both the private and government sectors to be part of sound internal control systems that address the risks faced by business and enhance the reliability of financial information
- tax experts to help establish confidence and efficiency in the tax system
- management consultants to promote sound management decision-making
- internal auditors to promote sound corporate governance and assist in fulfilling its broader mandate.

Does the SAICA code bind trainee accountants? The answer to this question is that if you enter into a formal training contract that is registered with SAICA, such as a training contract with a firm of accountants and auditors or the auditor general, you will be bound by the code. The training contract you sign will contain a clause that requires that you adhere to the code of professional conduct, and should you breach the code, you can be disciplined. For example, if you have contravened the code by making use of confidential information obtained while carrying out an audit at a client, your training contract could be cancelled.

This text concentrates on the code of professional conduct of the South African Institute of Chartered Accountants (SAICA). The reasons are that your current studies are probably being conducted under the

auspices of SAICA through a SAICA-accredited university, and that the SAICA code is cast a little wider as it deals with professional accountants in business and public practice. No doubt, many of you will end up in business and not as auditors.

2.4 Code of professional conduct (SAICA) (effective 15 June 2019)

2.4.1 Structure of the code

1. The code is broken down into three parts, and each part into sections

- | | |
|--------------------------------------|--|
| Part 1 (ss 100 to 120) | – <i>Complying with the Code, Fundamental Principles and Conceptual Framework – deals with the general application of the Code and is applicable to all professional accountants</i> |
| Part 2 (ss 200 to 299) | – <i>Professional Accountants in Business – applicable to professional accountants in business when performing professional activities. Part 2 is also applicable to professional accountants in public practice when performing professional activities related to their relationship with the firm, whether as a contractor, employee or owner</i> |
| Part 3 (ss 300 to 399) | – <i>Professional Accountants in Public Practice – applicable to professional accountants in public practice when providing professional services</i> |
| International Independence Standards | – <i>Set out additional material regarding independence that applies to professional accountants when providing assurance services. The section is divided into Part 4A and Part 4B as follows:</i> |
| Part 4A (ss 400 to 899) | – <i>Independence for Audit and Review Engagements</i> |
| Part 4B (ss 900 to 999) | – <i>Independence for Assurance Engagements other than Audit or Review Engagement</i> |

2. A list of definitions is also provided. Where required, definitions will be included in the narrative covering the various sections.

2.4.2 Part 1 – General application of the code

2.4.2.1 Introduction and fundamental principles – section 100

1. Introduction

It is a distinguishing mark of the auditing and accounting profession that registered auditors and professional accountants have a responsibility to act in the public interest (discussed on page 2/3). The professional accountant's responsibility is not exclusively to satisfy the needs of an individual client (professional accountant in public practice) or his employer (professional accountant in business). The code establishes the fundamental principles of ethical behaviour and provides a conceptual framework which the professional accountant can apply in ethical situations.

2. Fundamental principles

The code establishes five fundamental principles with which professional accountants must comply:

- 2.1 integrity
- 2.2 objectivity
- 2.3 professional competence and due care
- 2.4 confidentiality, and
- 2.5 professional behaviour.

3. Basis of the code – The conceptual framework approach (s 120)

- 3.1 The code provides an approach that professional accountants should adopt to ensure that they comply with the fundamental principles. Remember that this conceptual framework approach is based on the premise that, due to the diversity of ethical issues, it is not possible or desirable to have a

comprehensive set of rules to identify and resolve ethical issues. It is not possible to say “yes, you can do that” or “no, you can’t do this” in all situations.

- 3.2 Therefore, professional accountants using their *professional judgement* are required to:
 - identify threats to compliance with the fundamental principles
 - evaluate the threats identified, and
 - address the threats by eliminating them or reducing them to an acceptable level.
- 3.3 When applying the conceptual framework, the professional accountant shall:
 - exercise professional judgement
 - remain alert to new information and changes in facts and circumstances, and
 - consider whether the same conclusion would likely be reached by another party (the third-party test).
- 3.4 To be able to apply the conceptual approach, the professional accountant must understand the:
 - fundamental principles
 - types of threats which may arise, and
 - safeguards that may be applied.

2.4.2.2 The fundamental principles

A professional accountant must comply with the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour. Subsections 111 to 115 of the code discuss the five fundamental principles of professional ethics.

1. Integrity – section 111

- 1.1 *A professional accountant shall comply with the principle of integrity which requires straightforwardness, honesty, fair dealing and truthfulness in professional and business relationships.*
- 1.2 Professional accountants should not be associated with information they believe:
 - contains a materially false or misleading statement
 - contains statements or information provided recklessly, or
 - omits or obscures information where such omission or obscurity would be misleading.
- 1.3 If a professional accountant becomes aware that he has been associated with such information, he must take steps to disassociate himself therefrom. Note: This may present a threat to the fundamental principle of confidentiality.

2. Objectivity – section 112

- 2.1 Professional accountants should not allow bias, conflict of interest, or undue influence of others to override or compromise professional or business judgements.

3. Professional competence and due care – section 113

- 3.1 Professional accountants are required to:
 - attain and maintain professional knowledge and skill at a level that ensures that clients or employers (in the case of professional accountants in business) receive competent professional service. This emphasises the importance of continuing professional development, and
 - act diligently following applicable technical and professional standards when providing professional services.
- 3.2 Rendering “competent professional service” assumes the exercising of sound judgement in applying professional knowledge and skill. To maintain professional competence, a professional accountant must remain abreast of relevant technical, professional and business developments.
- 3.3 Acting diligently (with due care) requires that the professional accountant acts timeously, carefully, thoroughly and follows the requirements of the assignment.
- 3.4 A professional accountant must ensure that those working under his authority in a professional capacity have appropriate training and supervision.

- 3.5 Clients, employers and other users shall be made aware of the inherent limitations of services provided.
- 3.6 A professional accountant shall not undertake or continue with any engagement he/she is not competent to perform unless advice and assistance are obtained to carry out the engagement satisfactory.

4. Confidentiality – section 114

- 4.1 Professional accountants shall comply with the principle of confidentiality which requires a professional accountant to respect the confidentiality of information acquired due to professional and business relationships. A professional accountant shall:
 - be alert to the possibility of inadvertent disclosure, including in a social environment, and particularly to a close business associate or an immediate or close family member
 - maintain confidentiality of information within the firm or employing organisation
 - maintain confidentiality of the information disclosed by a prospective client or employing organisation
 - not disclose confidential information acquired as a result of professional and business relationships outside the firm or employing organisation without proper and specific authority, unless there is a legal or professional duty or right to disclose
 - not use confidential information acquired as a result of professional and business relationships for the personal advantage of the professional accountant or the advantage of a third party
 - not use or disclose any confidential information, either acquired or received as a result of a professional or business relationship, after that relationship has ended
 - take reasonable steps to ensure that personnel under the professional accountant's control and individuals from whom advice and assistance are obtained respect the professional accountant's duty of confidentiality.
- 4.2 Disclosure of confidential information is permitted when:
 - disclosure is permitted by law and is authorised by the client or employer
 - disclosure is required by law, for example:
 - providing documents and other provision of evidence in the course of legal proceedings
 - disclosure to appropriate public authorities, including disclosures of reportable irregularities reported to the regulatory board as required by section 45 of the Auditing Profession Act 2005 (APA).
 - there is a professional duty or right to disclose confidential information about a client, for example:
 - to comply with the quality review of the regulatory board or the professional body (where the professional accountant's practice is being reviewed)
 - to respond to an enquiry or investigation by the regulatory board or a regulatory body
 - to protect the professional interests of a professional accountant in legal proceedings, or
 - to comply with technical standards and the requirements of this code.
- 4.3 In deciding whether to disclose confidential information, a professional accountant should consider:
 - whether the interests of all parties, including third parties, could be unnecessarily or unjustly harmed by the disclosures if the client consents to the disclosure of information
 - whether all relevant information is known and substantiated (disclosing unsubstantiated facts or incomplete information could be unfairly damaging to other parties and is unprofessional), and
 - whether the method or type of communication is appropriate, and the recipient of the information is appropriate, for example, going on a popular TV talk show and disclosing confidential information about, say, alleged fraud at a client company, would not be appropriate.

5. Professional behaviour – section 115

Section 115 deals with several matters under the heading of professional behaviour. SAICA added much of what has been included in the section to tailor the section to satisfy the needs of the South African profession. This section deals with:

- a general explanation of the principle (5.1)

- publicity, advertising and solicitation (5.2)
- being a member of more than one firm (5.3), and
- signing reports (5.4).

5.1 General explanation

This fundamental principle requires that professional accountants:

- comply with relevant laws and regulations, and
- avoid any action which the professional accountant knows or should know that may bring discredit to the profession (act in a way which negatively affects the good reputation of the profession as judged by a reasonable and informed third party, taking into account the specific facts and circumstances available to the professional accountant at the time of his actions).

5.2 Publicity, advertising and solicitation

Professional accountants are entitled to market and promote themselves and their firms, but in doing so must:

- not bring the profession into disrepute
- be honest and truthful
- not make exaggerated claims for the services they offer, the qualifications they possess, or experience they have gained, and
- not make disparaging references or unsubstantiated comparisons to the work of others.

Publicity – the communication to the public of information about a professional accountant or his firm or bringing his name or the firm's name to the notice of the public.

Advertising – the communication to the public of information as to the services or skills provided by a professional accountant to procure professional business.

Perhaps the key phrase is *good taste*. However, it is impossible to define “good taste” as it is very subjective. The code does not give guidance as to what would be regarded as contrary to good taste, and ultimately the responsibility for applying the requirements of this section lies with the professional accountant.

However, previous versions of the code have suggested that advertising, publicity or solicitation characterised by any of the following will *not* be in good taste:

- racism
- a tendency to shock or sensationalise
- offensive towards religious beliefs
- trivialising important issues
- relying excessively on a particular personality
- deriding (making fun of) a public figure, for example, the minister of finance
- disparaging (mocking) educational attainment
- odious (hateful, obnoxious) language
- strident (loud) or extravagant speech or behaviour, or
- belittling of others or claiming superiority.

5.3 Membership of multiple firms and assisted holding out

A professional accountant is permitted to be a member of more than one firm of registered auditors and/or a member of any other firm which offers professional accounting services. Such association shall not be misleading or cause confusion, and the professional accountant shall ensure that there is clear distinction between the different firms. A professional accountant who is a member of an auditing firm and a professional services firm that is not registered with the IRBA must ensure that the professional services firm does not perform any audit work, pretend to be registered with the IRBA or use any designation or description likely to create the impression of being a registered audit firm in public practice. For example, the professional services firm cannot describe itself as “a firm of public accountants” or “accountants and auditors in public practice”. (Refer to section 41 of the APA.)

5.4 Signing conventions for reports or certificates

A professional accountant must not delegate to any person who is not a partner or fellow director the power to sign audits, reviews, or other assurance reports or certificates which are required in terms of the law or regulation to be signed by the professional accountant responsible for the engagement:

- this restriction may be waived in emergencies (partner may be incapacitated). If this is the case, the need for delegation must be reported to the client and the IRBA
- written consent for such delegation is obtained from the regulatory board or the institute.

In terms of the SAICA code, when signing off a report or certificate, such as an audit or review report, the professional accountant responsible for the engagement (the designated auditor in the case of an audit) should include in his signing off:

- (i) the individual professional accountant's full name
- (ii) the capacity in which he is signing, for example, partner or director
- (iii) the person's designation underneath his/her name, and
- (iv) the name of the professional accountant's firm (if not set out on the letterhead).

2.4.2.3 Threats

Now that the fundamental principles have been described, it is necessary to consider the circumstances that threaten compliance with them. The code categorises threats as follows:

1. Self-interest threats

These are threats that a financial or other interest will inappropriately influence the professional accountant's judgement or behaviour and lead him to act in his self-interest.

For example:

- A professional accountant has shares in an audit client (objectivity).
- A firm is dependent for its survival on the fees from one client (objectivity).
- A member of the audit team will join the client as an employee shortly after completing the audit (objectivity).
- The client is putting pressure on the audit firm to reduce fees (objectivity, professional competence, and due care; for example, the audit team "cuts corners" to save costs).
- The engagement partner obtains confidential information about the client from a meeting with the directors, which he could use to his financial advantage (objectivity, integrity, confidentiality and professional behaviour).

2. Self-review threats

These are threats that a professional accountant will not appropriately evaluate the results of a previous service performed by the professional accountant or by another individual in his firm, on which the professional accountant will rely as part of a current service.

For example:

- The former financial accountant of an audit client, a professional accountant, recently resigned and joined the firm that conducts the audit of his former employer. He was placed on the audit team for the current audit (objectivity and professional competence, and due care).
- In terms of ISA 315 (revised 2019), the audit team must obtain an understanding of the client's system of internal control. Thus, a firm issuing an audit opinion on the financial statements of a company for which the same firm has designed or implemented the internal control system is subject to the threat that the audit team will assume that the internal control system is sound, without evaluating it, because their firm designed it (objectivity, professional competence and due care.)

3. Advocacy threats

These threats may arise when a professional accountant promotes a client's or employing organisation's position to the point that his subsequent objectivity may be compromised.

For example:

- A professional accountant values a client's shares and then leads the negotiations on the sale of the client's company.

4. Familiarity threats

These are threats that may arise when, because of a close relationship, a professional accountant becomes too sympathetic to the interests of others.

For example:

- The professional accountant accepts gifts or preferential treatment from a client (objectivity). This type of occurrence can threaten the basis of a professional relationship.
- The father of a member of the engagement team is responsible for the financial data, which is the subject of the audit engagement.
- The audit engagement partner and audit manager have a long association with the audit client (objectivity and (potentially) professional competence and due care, in other words, the audit becomes too casual and friendly).

5. Intimidation threats

These are threats that occur when a professional accountant may be deterred from acting objectively by actual or perceived pressures, including attempts to exercise undue influence.

For example:

- A professional accountant in business fails to report a fraud perpetrated by his section head because he fears he will be dismissed by the section head (objectivity, integrity, professional behaviour).
- An audit firm is being threatened with dismissal from the engagement (objectivity).
- Pressure to accept an inappropriate decision on an accounting matter is exerted by the client's financial director on a young, inexperienced audit manager (objectivity and integrity).

Not all threats fall neatly into the above categories! This does not mean they are not threats. They are, and must still be addressed.

2.4.2.4 Evaluating threats

When the professional accountant identifies a threat to compliance with the fundamental principles, the accountant shall evaluate whether the threat is at an acceptable level.

1. Acceptable level

An *acceptable level* would be when the accountant complies with the fundamental principles.

2. Factors relevant in evaluating the level of threats

The consideration of qualitative and quantitative factors is relevant in the *professional accountant's* evaluation of threats, as is the combined effect of multiple threats, if applicable.

The existence of conditions, policies and procedures might also be relevant in evaluating the level of threats to compliance with fundamental principles. Examples of such conditions, policies and procedures include:

- corporate governance requirements
- educational, training and experience requirements for the profession
- effective complaint systems which enable the *professional accountant* and the general public to draw attention to unethical behaviour
- an explicitly stated duty to report breaches of ethics requirements
- professional or regulatory monitoring and disciplinary procedure.

3. Addressing threats

If the professional accountant determines that the threat is not at an acceptable level, he/she shall reduce the threat to an acceptable level by:

- eliminating the circumstances, including interests or relationships, that are causing the threats
- applying safeguards to reduce the threat to an acceptable level, or
- declining or ending the specific professional activity.

Considerations for audits, reviews and other assurance engagements

4. Independence

Professional accountants in public practice are required by international independence standards to be independent when performing audits, reviews, or other assurance engagements. Independence is linked to the fundamental principles of objectivity and integrity and includes independence in mind and appearance.

5. Professional scepticism

Under auditing, review and other assurance standards, including those issued by the IAASB, professional accountants in public practice are required to exercise professional scepticism when planning and performing audits, reviews and other assurance engagements. Professional scepticism is inter-related with the following fundamental principles:

Integrity

- being straightforward and honest when raising concerns about a position taken by a client, and
- pursuing inquiries about inconsistent information and seeking further audit evidence about false or misleading statements.

Objectivity

- recognising relationships, such as familiarity with the client, that might compromise the professional accountant's professional or business judgement, and
- considering the impact of such circumstances and relationships on the professional accountant's judgement when evaluating the sufficiency and appropriateness of audit evidence related to a matter material to the client's financial statements.

Professional competence and due care

- applying knowledge to the client's industry
- designing and performing appropriate audit procedures, and
- applying relevant knowledge when critically assessing whether audit evidence is sufficient and appropriate.

2.4.3 Part 2 – Professional accountants in business

2.4.3.1 Introduction – section 200

1. General

- 1.1 The majority of professional accountants work in business. They may be, among other things, salaried employees, company directors, or owner-managers. Numerous groupings of individuals, such as investors, creditors, employers, and the government (e.g. SARS) and the public at large (e.g. ordinary investors in unit trusts), rely on professional accountants directly or indirectly. This is particularly so where the professional accountant is involved in preparing and reporting financial and other information but is not restricted to this – professional accountants are frequently involved in providing financial management and other advice on business matters.
- 1.2 Professional accountants in business are expected to encourage an ethics-based culture within their organisations. At the same time, they should comply with the fundamental principles of integrity, objectivity, confidentiality, professional competence and due care and professional behaviour. A simple example to illustrate: a professional accountant working for a listed company who gets involved in a financial fraud betrays the trust of his employers, investors and fellow employees and discredits the accounting profession.

2. The conceptual framework

The conceptual framework to be applied by professional accountants in business is the same as has been discussed for professional accountants in public practice, that is:

- identify threats to compliance with the fundamental principles
- evaluate whether these threats are insignificant, and
- address the threats.

3. Threats

The categorisation of threats for professional accountants in business remains the same as for professional accountants in public practice, namely, self-interest, self-review, advocacy, familiarity and intimidation:

- **Self-interest** threats are created when a financial or other interest will inappropriately affect the professional accountant's judgement or behaviour:
 - financial interests, loans or guarantees
 - incentive compensation arrangements
 - inappropriate personal use of corporate assets
 - concern over employment security, and
 - a gift or special treatment from a supplier.

Example 1: Lucas Borak, the financial director of Company A, has shares in Company A. The financial decisions he makes may be influenced by the effect the decisions will have on his share value and not the facts relating to the decision.

Example 2: Carl Marks, the financial controller at Company B, participates in a performance bonus scheme for managers. Financial decisions which he makes can materially affect the bonus he receives.

- **Self-review threats** are created when a professional accountant in business evaluates a previous judgement or service which he has performed. The threat is that the evaluation may be inappropriate, for example, not diligently carried out.

Example 3: Jackie Jones, the financial director of Company X, determines the appropriate accounting treatment for a complex financing transaction that he constructed and approved.

- **An advocacy threat** is created when a professional accountant in business promotes his employer's position to the extent that his objectivity is compromised.

Example 4: In attempting to sell a financial product marketed by the company for which he works, Dickie Dell, a professional accountant, uses questionable tactics and debatable statistics in "proving" the superiority of his company's products (this is an advocacy threat to his integrity, objectivity and professional behaviour).

- **A familiarity threat** is created when a professional accountant in business will be or becomes too sympathetic to the interests of some other party, because he has a long or close relationship with that party:
 - a professional accountant in business is in a position to influence reporting or business decisions that may benefit an immediate or close family member, and
 - a professional accountant in business has a long association with business contracts influencing business decisions.

Example 5: Billy Alviro, the managing director of Company Z, regularly accepts expensive gifts and travel opportunities from two of his company's major suppliers. The threat is that preferential treatment will be given to these two suppliers because they are friends and not because they are the best suppliers for the company. This is a threat to Billy's objectivity, and possibly, his professional competence and due care.

- **Intimidation threats** are created when a professional accountant will be deterred from acting objectively because of actual or perceived pressures:
 - threat of dismissal or replacement of the professional accountant in business or a close or immediate family member over a disagreement about the application of an accounting principle or how financial information is to be reported, or
 - a dominant personality attempting to influence the decision-making process.

As a professional accountant in business very often depends upon his employing organisation for his livelihood, he can often be placed in a challenging position where ethical situations arise. He may be put under pressure to behave in ways that could threaten his compliance with the fundamental principles. A professional accountant in business may be put under pressure (intimidated by fear of losing his job) to:

Example 6: Act contrary to law or regulation, for example, claim VAT deductions to which the company is not entitled (integrity, professional behaviour, objectivity).

Example 7: Facilitate unethical or illegal earnings strategies, for example, provide false documentation to conceal the purchase and sale of illegal products (integrity, professional behaviour, objectivity).

Example 8: Lie to, or intentionally mislead (including by remaining silent) others, in particular:

- the auditors, for example, by producing false evidence to support fictitious sales, or
- regulators, for example, by lying to customs officials about the nature of imported goods to reduce import charges (integrity, professional behaviour, objectivity).

4. Evaluating threats

Although the professional accountant in business will have safeguards created by the profession, legislation or regulation available to him, safeguards in the professional accountant's workplace will likely be more accessible and relevant to him.

For example,

A professional accountant, whose compliance with the fundamental principle of professional behaviour is being threatened by intimidation from a superior, should have a means of exposing the intimidation (and preventing his non-compliance) without fear of retribution. This may be an individual at the employer appointed to deal with such matters and to whom the professional accountant can notify of the intimidation.

The following will impact the professional accountant's evaluation of whether a threat to compliance with a fundamental principle is at an acceptable level:

- the employer's system of corporate oversight, which, among other things, monitors the ethical behaviour at all levels of management, including executive directors
- strong internal controls, for example, clear division of duties and reporting lines which hold employees accountable for their actions
- recruitment procedures in the employing organisation emphasising the importance of employing high-calibre, competent staff
- policies and procedures to implement and monitor the quality of employee performance
- policies and procedures to empower employees to communicate any ethical issues to senior levels without fear of retribution
- leadership that stresses the importance of ethical behaviour and the expectation that employees will act in an ethical manner
- policies and procedures, including any changes, to be communicated to all employees on a timely basis, and appropriate training and education on such policies and procedures to be provided, and
- ethics and code of conduct policies.

5. Addressing threats

5.1 Sections 210 to 270 describe specific threats that may arise and include actions that might address such threats.

5.2 A professional accountant in business should consider seeking legal advice if it is believed that unethical behaviour has occurred and will continue within the organisation. He should also consider resigning from the employing organisation if the circumstances that created the threat cannot be eliminated or should safeguards not be available or be incapable of reducing the threat to an acceptable level.

2.4.3.2 Conflicts of interest – section 210

1. Responsibility

- 1.1 A professional accountant in business shall not allow a conflict of interest to compromise his professional or business judgement. A conflict of interest may arise when:
- the professional accountant undertakes a professional activity (an activity requiring accountancy or related skills) related to a particular matter for two or more parties whose interests concerning that matter conflict, or
 - the interests of the professional accountant concerning a particular matter and the interests of a party (e.g. an employing organisation, a vendor, a customer, a lender, a shareholder, or another party) for whom the professional accountant undertakes a professional activity related to that matter, are in conflict.
- 1.2 When identifying and evaluating the interests and relationships that might create a conflict of interest, and implementing safeguards, a professional accountant in business shall exercise professional judgement and be alert to all interests and relationships that a reasonable and informed third party, weighing all the specific facts and circumstances available to the professional accountant at the time, would be likely to conclude might compromise compliance with the fundamental principles.

2. Threats

- 2.1 Primarily, a conflict of interest creates a threat to objectivity but may also create a threat to other fundamental principles.
- 2.2 Situations in which conflicts may arise:

Example 1: Shoab Aktar is a professional accountant in business. He sits on the board of two unrelated companies (A and B) that operate in the same business sector. At a board meeting of company A, Shoab obtains confidential information that he could use to the advantage of company B, but which would be to the disadvantage of company A. This situation (conflict) creates a threat to his objectivity, confidentiality and professional behaviour and integrity.

Example 2: Tom Collins, a professional accountant in business, has been engaged to provide financial advice to each of the two parties to assist them in dissolving their medical partnership. There are several contentious issues in the dissolution. This situation could create threats to Tom's objectivity (he may favour one partner over the other), professional behaviour (he may act in a manner that discredits the profession by favouring one partner because there is some reward for doing so) as well as his integrity.

Example 3: Paul Premium is a professional accountant employed by company Z. He is responsible for contracting a company to supply a full range of IT support for company Z. Awarding the contract to one of the strong contenders for the contract could result in a financial benefit for an immediate family member (his wife or a dependent). This creates a significant threat to his objectivity and possibly, confidentiality and professional behaviour (if, for example, he gave the immediate family member confidential information about how she should charge for her services to win the contract).

Example 4: Fred Bennett, a professional accountant in business, sits on the investment committee of company Q. The investment committee approves all significant investments the company makes. If the investment committee approves a specific investment, it will increase Fred's personal investment portfolio value. This creates a threat to his objectivity, in other words, Fred votes to approve the investment, not because it is a good investment for the company, but because it is a good investment for himself.

3. Addressing the threats

The following safeguards may be implemented by the professional accountant to counter the threats arising from a conflict of interest situation:

- withdrawing from the decision-making or authorising processes relating to the matter giving rise to the conflict (examples 1, 3 and 4)
- restructuring and segregating specific responsibilities and duties
- disclosing the potential conflict of interest to all parties involved, including the possible consequences of the professional accountant being conflicted (examples 1, 2, 3 and 4)

- obtaining appropriate oversight for the service he has provided, for example, acting under the supervision of an independent director (examples 2 and 3), and
- consulting with third parties such as SAICA, legal counsel or other professional accountants on how to resolve the conflict.

It may also be necessary to disclose the nature of conflicts of interest to interested parties and obtain consent regarding the safeguards implemented. If such disclosure or consent is not in writing, the professional accountant is encouraged to document:

- the nature of the circumstances giving rise to the conflict of interest
- the safeguards applied to address the threats when applicable, and
- the consent obtained.

2.4.3.3 Preparation and reporting of information – section 220

1. Responsibility

1.1 Preparing and presenting information

Professional accountants at all levels in an employing organisation are involved in preparing or presenting information both within and outside the organisation. Preparing or presenting information includes recording, maintaining and approving information. Information can include financial and non-financial information that might be made public or be used for internal purposes, including operating and performance reports, decision support analyses, budgets and forecasts, the information provided to internal and external auditors, risk analysis, general- and specific-purpose financial statements, tax returns and reports filed with regulatory bodies for legal and compliance purposes.

When preparing and presenting information, the professional accountant shall prepare or present information:

- following a relevant reporting framework (e.g. IFRS)
- in a manner that is intended neither to mislead nor to influence contractual or regulatory outcomes inappropriately
- exercise professional judgement to:
 - ensure that all facts are represented accurately and completely in all material respects
 - clearly describe the true nature of business transactions or activities, and
 - classify and record information in a timely and proper manner, and
- the professional accountant shall also not omit anything to render information misleading or influence contractual or regulatory outcomes.

1.2 Use of discretion in preparing or presenting information

Preparing or presenting information might require the exercise of discretion in making professional judgements. The professional accountant shall not exercise such discretion to mislead others or influence contractual or regulatory outcomes inappropriately. Examples of ways in which discretion might be misused to achieve inappropriate outcomes include:

Example 1: Determining estimates, for example, determining fair value estimates to misrepresent profit or loss.

Example 2: Selecting or changing an accounting policy or method among two or more alternatives permitted under the applicable financial reporting framework, such as selecting a policy for accounting for long-term contracts to misrepresent profit or loss.

Example 3: Determining the timing of transactions, such as timing the sale of an asset near the end of the fiscal year to mislead.

1.3 Relying on the work of others

A professional accountant who intends to rely on the work of others, either internal or external to the employing organisation, shall exercise professional judgement to determine what steps to take, if any, to fulfil the responsibilities when preparing and presenting information set out in 1.1 above.

Factors to consider when determining whether reliance on others is reasonable, include:

- the reputation, expertise and resources available to the other individual or organisation, and
- whether the other individual is subject to applicable professional and ethical standards.

2. Threats

Intimidation or self-interest threats to objectivity, integrity or professional competence are created when a professional accountant is pressured by internal or external parties, or by the prospect of personal gain, to prepare or report information in a misleading way or to become associated with misleading information through the actions of others, for example, manipulating reported profits or knowingly benefiting from reported profits manipulated by others to earn additional bonuses.

3. Addressing the threats

- 3.1 Self-interest threats can only be addressed by professional accountants in business putting preventative measures in place to ensure that they cannot be accused of looking after their own interests. Of course, addressing a self-interest threat requires a willingness on the part of the professional accountant to comply with the fundamental principles. The professional accountant shall be particularly alert to threats to the principle of integrity, which requires the professional accountant to be straightforward and honest.
- 3.2 When the professional accountant knows or has reason to believe that the information with which the accountant is associated is misleading, the professional accountant shall take appropriate actions to seek to resolve the matter:
 - Appropriate action might include consulting with superiors within the organisation, for example the audit committee or a professional body, in order to reduce or eliminate the threat by:
 - having the information corrected
 - informing users and correcting information if already disclosed to them, and
 - consulting the policies and procedures of the employing organisation (e.g. ethics or whistle-blowing policy) regarding how to address such matters internally.
- 3.3 Where it is not possible to reduce the threat to an acceptable level, a professional accountant in business shall refuse to be or remain associated with the information he deems to be misleading and shall take steps to dissociate himself from such information, but without non-compliance with the fundamental principle of confidentiality (s 114 of the APA). The professional accountant might consider consulting with:
 - a relevant professional body
 - the internal or external auditor of the employing organisation
 - legal counsel
 - determining whether any requirements exist to communicate to:
 - third parties, including users of the information
 - regulatory and oversight authorities, and
 - if after exhausting all feasible options, the professional accountant shall refuse to be or to remain associated with the information, in which case it might be appropriate to resign.

2.4.3.4 Acting with sufficient expertise – section 230

1. Responsibility

The professional accountant is responsible for undertaking only those tasks for which he has the necessary training or expertise. If the professional accountant does not have the necessary expertise, he has a responsibility to obtain it.

2. Threats

- 2.1 The primary threat in this situation is that the professional accountant may fail to comply with the fundamental principle of professional competence and due care.
- 2.2 A self-interest threat to compliance with the principles of professional competence and due care might be created if a professional accountant has:
 - insufficient experience, education or training
 - inadequate resources
 - inadequate time available for performing the duties, and
 - incomplete, restricted or inadequate information.

2.3 Factors that are relevant in evaluating the level of the threat include:

- the extent to which the professional accountant is working with others
- the seniority of the individual in the business, and
- the level of supervision and review applied to the work.

3. Safeguards

The relevant safeguards may be the following:

- to obtain assistance or training from someone with the necessary expertise
- to ensure that there is sufficient time and the necessary resources to perform the task to the required professional standard
- the professional accountant shall refuse to perform an assignment, should he/she not possess the experience or expertise and should the above safeguards fail to reduce or eliminate the resultant threat to the fundamental principle of professional competence and due care.

2.4.3.5 Financial interests, compensation and incentives linked to financial reporting and decision-making – section 240

1. Responsibility

Where a professional accountant in business (or his immediate or close family member) has a financial interest in the employing organisation, including those arising from compensation or incentive arrangements, he must ensure that he complies with the fundamental principles. A professional accountant in business shall neither manipulate information nor use confidential information for personal gain, as this will amount to self-interest threats to his compliance with the fundamental principles of objectivity or confidentiality.

2. Threats

Self-interest threats to objectivity or confidentiality and, at times, professional behaviour may be created. Such threats may arise where the professional accountant or an immediate or close family member:

- 2.1 holds a direct or indirect financial interest in the employing organisation, and decisions made by the professional accountant can directly influence the value of the interest
- 2.2 is eligible for a profit-related bonus, and the value of the bonus could be directly affected by decisions made by the professional accountant
- 2.3 holds, directly or indirectly, deferred bonus share rights or share options in the employing organisation, the value of which might be affected by decisions made by the professional accountant
- 2.4 has a motive and opportunity to manipulate price-sensitive information in order to gain financially
- 2.5 the professional accountant participates in compensation arrangements that provide incentives to achieve performance targets, the amount of which can be influenced by the decisions made by the professional accountant.

Note that self-interest threats arising from compensation or incentive arrangements may be further compounded by pressure from superiors or peers whose “bonuses” may be influenced by decisions made by the professional accountant in business.

For example:

All management above a certain level at company P participate in a bonus scheme based on the net profit before tax. Peter Pinarello, the chief financial officer and a professional accountant, makes several decisions that can affect the reported net profit before tax. As Peter is on a management level that will benefit from the “bonus” scheme, a self-interest threat is created. Pressure from other management on Peter to make financial reporting decisions that will maximise net profit before tax (and hence their bonuses) will intensify the self-interest threat and may amount to an intimidation threat.

3. Evaluating the level of the threat

Whether safeguards need to be applied will depend upon the significance of the threat and may include factors that are relevant in evaluating the level of such a threat, which include:

- The significance of the financial interest. What constitutes a significant financial interest will depend on personal circumstances and the materiality of the financial interest to the individual.

- Implementing policies and procedures for a committee independent of management to determine the level or form of senior management remuneration.
- Following any internal policies, disclosure to those charged with governance of:
 - all relevant interests
 - any plans to exercise entitlements or trade-in relevant shares, and
- Specific internal and external audit procedures to address issues that give rise to the financial interest.

2.4.3.6 Inducements including gifts and hospitality – section 250

Receiving and making offers

1. Responsibility

The professional accountant in business (or an immediate or close family member) may be offered a gift, hospitality, preferential treatment, etc., in an attempt to unduly influence his actions or decisions, or encourage him to act illegally or dishonestly, or to reveal confidential information. The professional accountant has a responsibility to be alert to threats to his compliance with the fundamental principles and *not* be influenced by the inducement.

A professional accountant in business should not induce or improperly influence the judgement or behaviour of a third party. Pressure to do so may be placed on the professional accountant by internal sources, for example, a superior, or from external sources, for example, a business associate who promises a business deal in return for the professional accountant's company paying for an overseas holiday for the business associate.

The professional accountant must understand relevant laws and regulations and comply with them when he encounters such circumstances.

A professional accountant shall not accept, or encourage others to accept, any inducement that he concludes is made, or considers a reasonable and informed third party would be likely to conclude is made, with the intent to improperly influence the behaviour of the recipient or another individual.

Inducement

- An object, situation or action
- used as a means to influence another individual's behaviour
- includes minor acts of hospitality
- acts that result in non-compliance with laws and regulations (NOCLAR)
- gifts
- hospitality
- entertainment
- political or charitable donations
- appeals to friendship and loyalty
- employment or other commercial opportunities, and
- preferential treatment, rights or privileges.

2. Threats

Accepting or making inducements may create self-interest, familiarity or intimidation threats to objectivity integrity and professional behaviour.

3. Factors to consider when determining whether there is an actual or perceived intent to influence behaviour

Determining whether there is actual or perceived intent to influence behaviour requires exercising professional judgement. Relevant factors to consider might include:

- the nature, frequency, value and cumulative effect of the inducement
- timing of when the inducement is offered relative to any action or decision that it might influence
- whether the inducement is a customary or cultural practice in the circumstances, for example, offering a gift on the occasion of a religious holiday or wedding

- whether the inducement is an ancillary part of professional service, for example, offering or accepting lunch in connection with a business meeting
- whether the inducement offer is limited to an individual recipient or available to a broader group. The broader group might be internal or external to the employing organisation, such as other customers or vendors
- the roles and positions of the individuals offering or being offered the inducement
- whether the professional accountant knows, or has reason to believe, that accepting the inducement would breach the policies and procedures of the counterparty's employing organisation
- the degree of transparency with which the inducement is offered
- whether the inducement was required or requested by the recipient, and
- the known previous behaviour or reputation of the offeror.

4. Safeguards

To protect against these threats, the professional accountant in business should:

- immediately inform higher levels of management or those charged with governance if such an offer is made
- amend or terminate the business relationship with the offeror
- decline or not offer the inducement
- transfer responsibility for any business-related decision involving the counterparty to a counterparty who would not be improperly influenced in making the decision
- be transparent with senior management or those charged with governance of the employing organisation
- register the inducement in a log maintained by the employing organisation
- have an appropriate reviewer, who is not otherwise involved in undertaking the professional activity, review any work performed or decisions made by the professional accountant
- donate the inducement to charity after receipt and appropriately disclose the donation, for example, to those charged with governance or the individual who offered the inducement
- reimburse the cost of the inducement, such as hospitality received, and
- as soon as possible, return the inducement, such as a gift, after it was initially accepted.

Inducements with no intent to improperly influence behaviour

Inducements with no intent to improperly influence behaviour can still create threats to the fundamental principles. Self-interest threats may be created when a vendor offers a professional accountant part-time employment. Familiarity threats may be created if a professional accountant regularly takes a customer or supplier to sporting events. Intimidation threats may be created if the professional accountant accepts hospitality, the nature of which could be perceived to be inappropriate were it to be publicly disclosed.

If such an inducement is trivial and inconsequential, any threats created will be at an acceptable level.

2.4.3.7 Responding to non-compliance with laws and regulations (NOCLAR) – section 260

1. General

A professional accountant might encounter or be made aware of non-compliance or suspected non-compliance in the course of carrying out professional activities. This section guides the professional accountant in assessing the implications of the matter and the possible courses of action when responding to non-compliance or suspected non-compliance with:

- laws and regulations generally recognised to have a direct effect on the determination of material amounts and disclosures in the employing organisation's financial statements and
- other laws and regulations that may be fundamental to the operational aspects of the employer's business or its ability to continue in business or avoid material penalties.

NOCLAR is –

- any act or omission
- intentional or unintentional

- committed by a client or an employer or those charged with governance, by management or other individuals working for, or under the direction of a client or employer
- that is contrary to the prevailing laws or regulations, being:
 - all laws and regulations which affect material amounts and disclosure in financial statements, and
 - other laws and regulations that are fundamental to an entity's business.

Examples of laws and regulations that could be transgressed for NOCLAR:

- fraud, corruption and bribery
- money-laundering, terrorist financing and proceeds of crime
- securities markets and trading
- banking and other financial products and services
- data protection
- tax and pension liabilities and payments
- environmental protection, and
- public health and safety.

Non-compliance might result in fines, litigation or other consequences for the employing organisation, potentially affecting its financial statements. Notably, such non-compliance might have broader public interest implications in terms of potentially substantial harm to investors, creditors, employees or the general public (e.g. perpetration of a fraud resulting in significant financial losses to investors, and breaches of environmental laws and regulations endangering the health or safety of employees or the public).

2. Requirements

Professional accountants must understand legal or regulatory provisions and how non-compliance with laws and regulations should be addressed, should it exist in a jurisdiction. The requirements may include reporting the matter to an appropriate authority or a prohibition on alerting the relevant party.

Professional accountants must always act in the public interest, and the objectives when responding to non-compliance with laws and regulations are therefore to:

- comply with the fundamental principles of integrity and professional behaviour
- by alerting management or those charged with governance, to seek to:
 - enable them to rectify, remediate or mitigate the consequences of the non-compliance, or
 - prevent the non-compliance where it has not yet occurred, and
- to take further action as appropriate in the public interest.

Many employing organisations have policies and procedures that deal with the reporting of, amongst others, non-compliance with laws and regulations. The professional accountant shall consider this in deciding how to respond to non-compliance (e.g. an ethics policy or internal whistle-blowing mechanism).

Professional accountants in business shall comply with this section on a timely basis, having regard to the nature of the matter and the potential harm to the interests of the employing organisation, investors, creditors, employees or the general public.

3. Threats

A self-interest or intimidation threat to compliance with the principles of integrity and professional behaviour is created when a professional accountant becomes aware of non-compliance or suspected non-compliance with laws and regulations.

4. Actions required by NOCLAR

The code distinguishes between the responsibilities of senior professional accountants and other professional accountants.

Senior professional accountants in business – **follow steps 1–5 below.**

Other accountants in business, follow **step 1** below and then inform an immediate superior or higher level of authority if the immediate superior is involved. In exceptional circumstances, the professional accountant may determine that disclosure of the matter to an appropriate authority is an appropriate course of action. If the professional accountant does so according to step 4 below (paragraphs 260.20 A2 and A3),

that disclosure is permitted according to the fundamental principle of confidentiality. The other professional accountant should also document the process as set out in step 5 below.

Senior professional accountants in business – namely, directors, officers or senior employees able to exert significant influence over and make decisions regarding the acquisition, deployment and control of the employing organisation's human, financial, technological, physical and intangible resources.

Step 1: Obtaining an understanding of the matter

- 1.1 The understanding shall include:
 - the nature of the NOCLAR or suspected NOCLAR and the circumstances in which it occurred or might occur
 - laws and regulations relevant to the situation, and
 - potential consequences of the non-compliance or suspected non-compliance.
- 1.2 The senior professional accountant is required to *apply knowledge, professional judgement and expertise*, but is not expected to have a level of knowledge beyond what is required for the professional accountant's role in the employing organisation.
- 1.3 *Consultation on a confidential basis* with others in the employing organisation or professional body is permitted, depending on the nature and significance of the matter.

Step 2: Addressing the matter

- 2.1 The senior professional accountant shall discuss the matter with his immediate superior, except if the immediate superior appears to be involved, in which case the matter shall be discussed with the next higher level of authority within the employing organisation.
- 2.2 The senior professional accountant should also take appropriate steps to:
 - have the matter communicated to those charged with governance
 - comply with applicable laws and regulations governing the reporting of NOCLAR
 - rectify, remediate or mitigate the consequences of NOCLAR
 - reduce the risk of re-occurrence, and
 - seek to prevent the NOCLAR if it has not yet occurred.
- 2.3 The senior professional accountant shall also determine whether a disclosure to the employing organisation's auditor is necessary to enable the auditor to perform the audit.

Step 3: Determining whether further action is needed

- 3.1 The senior professional accountant shall, in determining whether further action is needed, assess the appropriateness of the response of his superiors or, where appropriate, those charged with governance.
- 3.2 Relevant factors to consider in assessing the appropriateness:
 - the response is timely
 - appropriate action has been taken or authorised to seek to rectify, remediate or mitigate the consequences of the non-compliance, or to avert the non-compliance if it has not yet occurred; and
 - the matter has been disclosed to an appropriate authority where appropriate and, if so, whether the disclosure appears adequate.
- 3.3 In light of the response of the senior professional accountant's superiors, if any, and those charged with governance, the professional accountant shall determine if **further action is needed** in the public interest. Consider:
 - the legal and regulatory framework
 - the urgency of the situation
 - the pervasiveness of the matter throughout the employing organisation
 - whether the senior professional accountant continues to have confidence in the integrity of the professional accountant's superiors and those charged with governance
 - likelihood of recurrence, and
 - evidence of substantial harm.

- 3.4 The senior professional accountant shall exercise *professional judgement* in determining the need for, and *nature and extent of, further action*. In making this determination, the professional accountant shall take into account whether a *reasonable and informed third party* would be likely to conclude that the professional accountant has acted appropriately in the public interest by:
- informing the management of the parent company of the matter if the employing organisation is a member of a group
 - disclosing the matter to an appropriate legal body, and
 - resigning from the employing organisation.

Step 4: Determining whether to disclose the matter to an appropriate authority

- 4.1 Disclosure to an appropriate authority would be precluded if doing so would be contrary to law or regulation.
- 4.2 In deciding whether or not to make a disclosure, the senior professional accountant shall consider the actual or potential harm that is or may be caused by the matter to investors, creditors, employees or the general public. The decision will also be influenced by:
- the entity being engaged in bribery (e.g. of local or foreign government officials for purposes of securing large contracts)
 - the entity being regulated, and the matter being of such significance as to threaten its licence to operate
 - the entity being listed on a securities exchange, and the matter might result in adverse consequences to the fair and orderly market in the employing organisation's securities or pose a systemic risk to the financial markets
 - the entity selling harmful products, and
 - the entity promoting a scheme to its clients to assist them in evading taxes.
- Furthermore, the decision will also be influenced by external factors such as:
- whether there is an appropriate authority able to receive and deal with the information
 - whether robust and credible protection exists from civil, criminal or professional liability or retaliation, and
 - whether there are threats to the physical safety of any person.
- 4.3 If the senior professional accountant determines that disclosure of the matter to an appropriate authority is an appropriate course of action in the circumstances, that disclosure is permitted according to paragraph R114.1(d) (confidentiality) of the code.

Step 5: Documentation

The senior professional accountant is encouraged to have the following documented:

- the matter
- the results of discussions with superiors, those charged with governance and other parties
- how the above parties have responded to the matter
- the courses of action considered, the judgements and the decisions made, and
- how the senior professional accountant is satisfied that all his responsibilities have been fulfilled.

2.4.3.8 Pressure to breach the fundamental principles – section 270

1. Responsibility

A professional accountant shall not allow pressure from others which cause him to breach the fundamental principles, or place pressure on others that would result in the other individual breaching the fundamental principles. Examples of pressure that might result in threats to compliance with the fundamental principles include:

- pressure related to conflicts of interest (s 210) – pressure from a family member who is bidding to be a vendor to select the family member over another prospective vendor
- pressure to influence the preparation or presentation of financial statements (s 220) – pressure to suppress internal audit reports containing adverse findings

- pressure to act without sufficient expertise or due care (s 230) – pressure from superiors to inappropriately reduce the extent of work performed
- pressure related to financial interests (s 240) – pressure from those who might benefit from participation in an incentive scheme to manipulate performance indicators
- pressure related to inducements (s 250) – pressure to accept a bribe
- pressure related to non-compliance with laws and regulations (s 260) – pressure to structure a transaction to evade tax.

2. Threats

A professional accountant might face pressure that creates threats (such as intimidation) to compliance with the fundamental principles when undertaking a professional activity. Pressure might be explicit or implicit and might come from:

- within the employing organisation, for example, from a colleague or superior
- an external individual or organisation such as a vendor, customer or lender, and
- internal or external targets and expectations.

3. Evaluating the level of the threat

Whether safeguards need to be applied will depend upon the significance of the threat. Factors that are relevant in evaluating the level of such a threat include:

- the intent of the individual who is exerting the pressure and the nature and extent of the pressure
- the application of laws, regulations, and professional standards to the circumstances
- the culture and leadership of the employing organisation, including the extent to which they reflect or emphasise the importance of ethical behaviour, for example, a corporate culture that tolerates unethical behaviour might increase the likelihood that the pressure would result in a threat to compliance with the fundamental principles, and
- policies and procedures that the employing organisation has established, such as ethics or human resources policies that address pressure.

4. Safeguards

Discussions with the following parties may enable the professional accountant to evaluate the level of the threat:

- the individual who is exerting the pressure – an attempt to resolve it
- the accountant's superior (not the individual exerting the pressure)
- higher levels of management
- internal or external auditors
- those charged with governance
- disclosing the matter in line with policies, and
- consulting with:
 - a colleague, human resources personnel, or another professional accountant
 - relevant professional body (e.g. SAICA), and
 - legal counsel.
- The professional accountant is encouraged to document the facts, the communications and parties with whom the matter was discussed, the courses of action considered and how the matter was addressed.

2.4.4 Part 3 – Professional accountants in public practice

2.4.4.1 Introduction – section 300

1. This part of the code applies to all professional accountants in public practice, whether they provide assurance services or not. The term “professional accountant” also refers to the individual accountant in public practice and his firm. As explained earlier, professional accountants in public practice are obliged to identify and react to any circumstances or situations that may threaten their compliance with the fundamental principles on which the profession is built.

It is important to note that threats may vary depending on the service the professional accountant is providing. The services the professional accountant in public practice offers can be categorised as:

- **assurance engagements** – an engagement where the professional accountant expresses an opinion or a conclusion which is intended to enhance the degree of confidence of a user of the information on which the opinion or conclusion has been expressed, for example, an audit or review of financial statements, or
- **non-assurance engagements** – an engagement where the professional accountant does not express an opinion or draw a conclusion on information, for example, agreed-upon procedure engagements or compilation engagements.

Threats to the fundamental principles may be more significant for assurance engagements than for non-assurance engagements, particularly in the case of threats to objectivity.

Suppose an opinion on the fair presentation of Atco (Pty) Ltd's financial statements is given by a professional accountant who is not truly independent of Atco (Pty) Ltd.

For example:

If he owns shares in Atco (Pty) Ltd, the credibility of the opinion will be questionable. Holding shares in an audit client is an unacceptable threat to the professional accountant's *objectivity*. If, however, Atco (Pty) Ltd was *not* an audit client and the professional accountant was asked to compile some financial information for the company, his shareholding would not present a significant risk to his *objectivity*.

This does not mean that threats arising on non-assurance engagements can be ignored. Objectivity is only one of the five fundamental principles and while there may be no specific threat to objectivity in a non-assurance engagement, other principles such as a threat to the principle of confidentiality, may be considerable in a non-assurance engagement, for example, when the professional accountant is advising a client on a highly sensitive merger transaction.

2. The charts on the following three pages are designed to assist you in understanding the conceptual framework approach. The examples given are nowhere near exhaustive.

3. Evaluating threats

Professional accountants need to evaluate whether the above threats are at an acceptable level. Conditions, policies and procedures might impact this evaluation and might relate to:

- The client and its operating environment

Nature of client engagement:

- an audit client and whether the audit client is a public interest entity
- an assurance client that is not an audit client, or
- a non-assurance client.

As an example, providing a non-assurance service to an audit client that is a public interest entity may result in a higher level of threat to compliance with the fundamental principle of objectivity.

Corporate governance structure promoting compliance with fundamental principles.

For example:

- the client requires appropriate individuals other than management to ratify or approve the appointment of a firm to perform an engagement
- the client has competent employees with experience and seniority to make managerial decisions
- the client has implemented internal procedures that facilitate objective choices in tendering non-assurance engagements, or
- the client has a corporate governance structure that provides appropriate oversight and communications regarding the firm's services.
- The firm and its operating environment indicate
 - firm leadership that stresses the importance of compliance with the fundamental principles (e.g. to act with integrity and professionally)
 - the expectation that members of an assurance team will act in the public interest
 - policies and procedures to implement and monitor quality control of engagements, including policies and the monitoring thereof concerning independence and compliance with the fundamental principles
 - compensation, performance appraisal and disciplinary policies and procedures that promote compliance with the fundamental principles

- management of the reliance on revenue received from a single client
- engagement partner having authority within the firm for decisions concerning compliance with the fundamental principles
- educational, training and experience requirements, and
- processes to facilitate and address internal and external concerns or complaints.
- New information or changes in facts and circumstances may change the level of the threat or conclusions about whether safeguards continue to address the threats.
- Examples of changes include:
 - the expansion of the scope of a professional service
 - the merger or listing of the client
 - when the professional accountant is jointly engaged by two clients and a dispute emerges between the two clients, and
 - when there is a change in the professional accountant's personal or immediate family relationships.

4. Addressing threats

The following are examples of engagement-specific safeguards that might be actions to address the threats:

- allocating additional time and qualified personnel to required tasks when an engagement has been accepted might address a self-interest threat
- having an appropriate reviewer who was not a member of the team review the work performed or advise as necessary might address a self-review threat
- using different partners and engagement teams with separate reporting lines for the provision of non-assurance services to an assurance client might address self-review, advocacy or familiarity threats
- involving another firm to perform or re-perform part of the engagement might address self-interest, self-review, advocacy, familiarity or intimidation threats
- disclosing to clients any referral fees or commission arrangements received for recommending services or products might address a self-interest threat
- separating teams when dealing with matters of a confidential nature might address a self-interest threat.

Examples of circumstances that may create threats to professional accountants and some possible safeguards

Neither the threats nor the safeguards are exhaustive. The intention is to illustrate the application of the conceptual framework.

Threat	Example	Fundamental principle threatened	Safeguard
Self-interest	1. Walter Wiseman, an audit partner, owns 15% of Buttco (Pty) Ltd, an audit client.	1. Objectivity, Integrity, Professional Behaviour (Walter may overlook issues that arise on audit, to protect his investment.)	1. • A policy within the audit firm which prohibits partners and employees from holding shares in an assurance client. (Walter should dispose of his investment.) • A procedure for monitoring this prohibition and a disciplinary follow up for transgressors.
	2. Joe Zulu, an audit manager, has been offered a highly paid job at his audit clients.	2. Integrity, Objectivity, Professional Behaviour (Joe may overlook issues that arise on audit so as not to jeopardise the job offer.)	2. • Removal of Joe from the audit engagement team. • Having the key audit work performed by Joe reviewed by a professional accountant independent of the engagement. • Notifying the company's audit committee of the situation and the safeguards put in place.

continued

Threat	Example	Fundamental principle threatened	Safeguard
	3. Fred Fasset could make a great deal of money by getting his wife to purchase shares in a listed company where he is in charge of the audit before the annual financial statements are released.	3. Integrity, Confidentiality, Objectivity and Professional Behaviour. (Fred would be contravening the Insider Trading Act, acting dishonestly and making use of confidential information. If his wife purchases shares, Fred's objectivity would also be compromised.)	3. - Ongoing education for employees regarding ethical issues, compliance with legislation, etc., specifically relating to listed companies. - Instant dismissal of a firm employee (in this case Fred Fasset) for this kind of breach of the fundamental principles and a policy that requires that transgressors of the Insider Trading Act be reported to the relevant authorities.
Self-review	1. Harris Ford, a partner in an auditing firm has been asked by a third party to provide a report on a (non-audit) client's computerised sales system, which he and his team had recently designed and implemented. 2. Hopgood & Co write up the accounting records of Tuis (Pty) Ltd and have been approached to perform the annual audit. 3. Clarence Kleynhans, who was for some years the financial manager of Kambo (Pty) Ltd, recently resigned to go back into the profession. He was employed by the audit firm that holds the appointment of auditor of Kambo (Pty) Ltd and because of his knowledge of the company, it has been suggested that he be placed in charge of the audit.	1. Objectivity (Harris may be tempted to omit valid criticisms of the system as he designed it – he is reporting on his own work.) 2. Objectivity (The audit firm is not independent as it will be giving an opinion on financial statements it prepared from accounting records it compiled.) 3. Objectivity, Integrity and Professional Competence (As Clarence would be in charge of the audit of financial information, some of which he would have been directly responsible for, he cannot be regarded as independent. His integrity may also be threatened, as there could be issues in which he was involved as the financial manager, but which he does not want to be subject to audit. It is also possible that he lacks the professional competence to manage an engagement of this nature.)	1. - Notifying the third party of the extent of Harris and his engagement team's involvement in the system design and implementation before accepting the engagement. 2. In effect, the Companies Act 2008 provides the safeguard. - In terms of s 90, an individual (or firm) may not be appointed as auditor if he (or his partner or employees) regularly performs the duties of accountant or bookkeeper of that company. 3. - A firm policy that prohibits newly appointed employees such as Clarence (coming from a client) from being part of the audit team until, say, two years have lapsed. - Appointing him to the engagement team (to make use of his knowledge), but not as the manager. - Comprehensive reviews of the work he carries out if he does work on the audit. - Notifying those charged with governance of the situation before placing him on the team. Note: As the auditor should be independent and seen to be independent, the best safeguard would be to keep Clarence off the team.

continued

Threat	Example	Fundamental principle threatened	Safeguard
Advocacy (this category of threat is far less common than the others)	1. Dandy Ncobo, a partner in an audit firm, has been requested to negotiate the sale of Hi-Shine (Pty) Ltd, an audit client.	1. Objectivity (Dandy may over-promote or over-state the worth of his client to get a better price, to the extent that he is perceived as not being objective in his approach to the negotiations.)	1. • A firm policy which requires that a partner independent of the client (Hi-Shine (Pty) Ltd), handle the sale negotiation. • A firm policy that limits the non-assurance services offered to assurance clients to only those with a minimal threat of non-compliance with the fundamental principles.
Familiarity	1. The financial director of Travel Bug Ltd has offered to take the whole audit team on an all-expenses paid weekend to an exclusive game lodge. He has stated that this will become a yearly event if the audit deadline is met. 2. Marie Lopes, the audit manager on the audit of Topaz Ltd will shortly marry Bill Brown the financial director of Topaz Ltd.	1. Objectivity and professional competence and due care. (This type of situation changes the professional relationship between the audit team from “professional” to “familiar”. In return, the financial director may expect “favours” from the audit team. The promise of future trips if the deadline is met may threaten the objectivity, adherence to standards and due care of future audit teams who may be tempted to “overlook” audit problems to ensure the deadline is met.) 2. Objectivity (Marie will shortly have an immediate family member (spouse) who can exert direct and significant influence over the information she will be auditing. Her independence is compromised.)	1. • A firm policy that forbids the acceptance of gifts and hospitality which are anything other than clearly insignificant. • A strict disciplinary action for any transgressions by staff members who do not adhere to this policy. 2. • Removal of Marie from the audit. • Policies and procedures within the firm which monitor specifically the independence of the firm’s employees so that situations such as this are identified and can be addressed.
Intimidation	1. The financial director of Rubdub Ltd has informed Rex Randolph, the engagement partner on the audit of Rubdub Ltd, that unless the audit fee is reduced by 30%, his firm will be removed from the appointment of an auditor.	1. Objectivity, professional competence and due care and integrity. (To retain the audit, Rex may compromise on standards, for example, do insufficient audit work, and fail to follow up problems which he is fully aware should be followed up so as not to go “over budget” on the reduced fee.)	1. • A review of the work carried out on the audit by a partner independent of the client. • Quality control procedures within the firm that review the desirability of continuing professional relationships with the firm’s clients. • Raising the matter with the audit committee and/or other governance structures.

continued

Threat	Example	Fundamental principle threatened	Safeguard
	2. The financial director of ProTech (Pty) Ltd is very aggressive, domineering and dismissive of the audit function and audit team.	2. Objectivity, professional competence and due care. (The financial director's attitude may compromise the audit team's professional judgement. They may be "bullied" into ignoring problems on the audit out of fear of the financial director.)	2. • Appointing an engagement team that consists of experienced, strong-willed individuals who will behave professionally under pressure. • Quality procedures within the firm which review the desirability of continuing professional relationships with the firm's clients. • Discussion of the situation with the client's governance structure. • Discussion of the situation with the audit committee.

2.4.4.2 Conflicts of interest – section 310

1. Responsibility

A professional accountant in public practice may face a conflict of interest when performing virtually any professional service, including audits, reviews, taxation services, or advisory services including corporate finance, forensic and information technology. A professional accountant *cannot allow* a conflict of interest to compromise his professional or business judgement.

2. Threats

2.1 Conflicts of interest create a threat to the professional accountant's objectivity and may also give rise to threats to other fundamental principles, particularly confidentiality. Such threats may arise when:

Type 1: the professional accountant provides a professional service related to a particular matter for two or more clients whose interests in respect to that matter are in conflict, *or*

Type 2: the interests of the professional accountant concerning a particular matter and the client's interests for whom the professional accountant provides a professional service related to that matter are in conflict.

Examples:

- Advising client A and client B at the same time where client A and client B are competing to acquire Company C (Type 1).
- Client X wants to acquire Company Z, and engages professional accountant Y to advise on the acquisition. Company Z is an audit client of professional accountant Y. A conflict of interest arises if professional accountant Y has obtained confidential information from the audit of Company Z, which may be relevant to the acquisition (Type 1).
- P and Q are partners but wish to dissolve the partnership due to an ethical disagreement. Both partners have engaged professional accountant R to advise them on the financial aspects of the dissolution (Type 1).
- Company S pays royalties to Company T. Professional accountant V provides Company T with an assurance report on the "fair presentation" of the amount of royalties due while at the same time performing the royalties payable calculation on behalf of Company S (Type 1).
- Professional accountant O advises Company Q to invest in Company R, a company in which professional accountant O's wife has a financial interest (Type 2).
- Professional accountant F advises a client to purchase and install an expensive suite of financial reporting software. The local agent for installing and maintaining the software is a company in which professional accountant F's son is the majority shareholder and managing director (Type 2).

- 2.2 Generally when there is a potential conflict of interest, there will also be a confidentiality threat. The professional accountant will need to be mindful of precisely what information can be divulged to each of the parties involved.

3. Conflict identification

A professional accountant in public practice must identify potential conflicts of interest, including potential conflicts because of a network firm, before accepting a new client. Such steps shall include identifying:

- the nature of the relevant interests and relationships between the parties involved
- the service and its implication for relevant parties.

An effective process to identify actual or potential conflicts of interest will take into account factors such as:

- the nature of the professional services provided
- the size of the firm
- the size and nature of the client base, and
- the structure of the firm, for example, the number and geographic location of offices.

The professional accountant should also remain alert for changes in circumstances that may create conflicts of interest. Refer to section 320, professional appointments, for more information on client acceptance.

4. Evaluating threats

The professional accountant in public practice should evaluate the level of the threat caused by conflicts of interest. Factors that are relevant in evaluating the level of the threat include:

- the existence of separate practice areas for speciality functions within the firm, which might act as a barrier to the passing of confidential client information between practice areas
- policies and procedures to limit access to client files
- confidentiality agreements signed by personnel and partners of the firm
- separation of confidential information physically and electronically
- specific and dedicated training and communication.

5. Safeguards

- 5.1 Having separate engagement teams who are provided with clear policies and procedures on maintaining confidentiality.
- 5.2 Having an appropriate reviewer, who is not involved in providing the service or otherwise affected by the conflict, review the work performed to assess whether the key judgements and conclusions are appropriate.
- 5.3 Disclosing to all parties involved in the “conflict” situation that there is a conflict of interest and explaining the threats which arise therefrom. If any safeguards have been or will be put in place, for example see 5.2 above, these should also be disclosed and explained. The parties should acknowledge their understanding and acceptance of the situation. (If the parties do not accept, the professional accountant will have to decline or resign from the service leading to a conflict of interest.) All of the above should be documented (it should not be verbal, and acceptance should not simply be implied).
- 5.4 The professional accountant should discontinue an engagement or not accept the engagement should explicit consent be sought and not be granted by a client.
- 5.5 Specific disclosures in order to obtain explicit consent may result in a breach of confidentiality. The firm shall generally not accept or continue with an engagement under these circumstances unless:
- the firm does not act in an advocacy role for one client against another client in the same matter
 - specific measures are in place to prevent disclosure of confidential information between engagement teams, and
 - the firm applies the reasonable and informed third-party test and concludes that it is appropriate to accept or continue the engagement.

2.4.4.3 Professional appointment – section 320

Client and engagement acceptance

1. Responsibility

Before accepting a client, accepting a specific engagement, or replacing another professional accountant in public practice, a professional accountant in public practice should consider any circumstances that may create threats to compliance with the fundamental principles. The level of the threats should be evaluated and actions taken to address the threats.

2. Threats

- 2.1 The two fundamental principles most at threat are integrity and professional behaviour. These would be threatened if, for example, the client's management condoned unethical (dishonest) business practices, such as being involved in a business sector that may have a reputation for questionable business practices like second-hand car parts, or being socially or morally questionable. This may include companies that have no regard for environmental damage or that exploit their workforce.
- 2.2 Having accepted the client, a self-interest threat to professional competence and due care is created if the engagement team does not possess, or cannot acquire, the competencies necessary to perform the engagement.

3. Evaluating threats

- 3.1 The professional accountant in public practice should evaluate the threat level caused by the client's acceptance. Factors that are relevant in evaluating the level of the threat include:
 - pre-engagement activities, including obtaining knowledge and understanding of the client, its owners, management and those charged with governance and business activities
 - the client's commitment to addressing questionable issues, such as improving corporate governance practices or internal controls.
- 3.2 Factors that are relevant in evaluating the level of the threat caused by engagement acceptance (therefore after accepting the client) include:
 - obtaining an appropriate understanding of the:
 - nature of the client's business
 - complexity of its operations
 - requirements of the engagement, and
 - purpose, nature and scope of the work to be performed.
 - knowledge of relevant industries or subject matter
 - experience with relevant regulatory or reporting requirements, and
 - the existence of quality control policies and procedures when accepting the engagement.

4. Safeguards

Safeguards that may be implemented include:

- assigning sufficient staff with the necessary competencies
- using experts where necessary (it should first be determined whether reliance is warranted)
- agreeing on a realistic timeframe for the performance of the engagement.

Changes in professional appointment

1. Responsibility

A professional accountant who is asked to replace another professional accountant in public practice (the existing accountant), or who is considering tendering for an engagement currently held by another professional accountant, or considers providing complementary work, must determine whether there are any reasons, professional or otherwise, for not accepting the engagement. This will include any threats to compliance with the fundamental principles.

2. Threats

- 2.1 The threat to the proposed accountant is in essence the same as the threats posed by taking on a new client/accepting a new engagement. There may be threats to the proposed accountant's compliance with the fundamental principles of professional competence and due care, professional behaviour and integrity. For example, there may be a threat to professional competence if the professional accountant does not know all the relevant facts about the proposed client.
- 2.2 The threat to the existing accountant is that he fails to comply with the fundamental principle of confidentiality (e.g. by divulging confidential information to the proposed accountant without client permission) and professional behaviour (by bringing discredit to the profession by, for example, criticising either the client he is losing or the proposed accountant). There is also a potential threat to integrity. The existing accountant must be honest and truthful in his dealings with the proposed accountant. The threat is genuine if the existing accountant is angry/upset about being replaced.

3. Safeguards

- 3.1 In addition, the proposed accountant should effect the following safeguards:
 - discussions with the current professional accountant to evaluate the significance of any threats and also identify suitable safeguards, and
 - obtaining information from other sources such as through inquiries of third parties or background investigations regarding senior management or those charged with governance of the client.

As mentioned above, the fundamental principle of confidentiality should still be honoured. The incoming (proposed) accountant will usually need the client's permission, preferably in writing, to initiate discussions with the existing or predecessor accountant.

If unable to communicate with the existing or predecessor accountant, the proposed accountant shall take other reasonable steps to obtain information about any possible threats. This means including enquiries from third parties and performing background checks on the proposed client.

Suppose the proposed client refuses or fails to permit the proposed accountant to communicate with the existing or predecessor accountant. In that case, the proposed accountant shall decline the appointment unless there are exceptional circumstances of which the proposed accountant has complete knowledge, and has verified all relevant facts by some other means.

- 3.2 The existing accountant should address the threats facing the firm by implementing the following safeguards:
 - obtaining the client's permission to discuss the client's affairs with the proposed accountant and defining the boundaries of what may be discussed (in writing)
 - complying with relevant laws and regulations governing the request, and
 - providing the proposed accountant with information honestly and unambiguously.

2.4.4.4 Second opinions – section 321

1. Responsibility

A professional accountant may be faced with a situation where he is asked to provide a second opinion on some aspect of work carried out for an entity that is not an existing client. In this instance, the professional accountant has ethical responsibilities to himself and the other party (existing accountant).

2. Threats

- 2.1 This situation could give rise to a self-interest threat that the professional accountant will fail to comply with the fundamental principle of professional competence and due care if he is not provided with the same set of facts or evidence provided to the existing accountant.

For example:

The matter on which a second opinion is sought is how a complex transaction that is subject to various conditions should be treated in the financial statements. The professional accountant from whom the second opinion has been sought gives his opinion without being aware of the full extent of the various conditions. His opinion is then discredited, and he appears incompetent.

- 2.2 Another threat that arises is that the second opinion may appear to be a criticism of the provider of the first opinion if it differs from the first opinion. This is a threat to compliance with the principle of professional behaviour.

3. Safeguards

- 3.1 Describing the limitations surrounding any opinion in communications with the client.
- 3.2 Obtaining the client's permission to contact the provider of the first opinion to discuss the matter. (If this permission is not given, the professional accountant should consider very carefully whether it is appropriate to provide a second opinion.)
- 3.3 Providing the existing or predecessor accountant with a copy of the opinion.

2.4.4.5 Fees and other types of remuneration – section 330

Level of fees

1. Responsibility

The professional accountant is entitled to be remunerated fairly but must charge appropriate fees, for example, not over-charge or under-charge.

2. Threats

In an attempt to secure the engagement, a professional accountant may quote a fee that is so low that it will be challenging to perform the engagement according to applicable standards. This is potentially a self-interest threat to compliance with the fundamental principle of professional competence and due care, and to a lesser extent, integrity (this is not an honest practice) and objectivity (the low fee may adversely influence the nature and extent of tests performed).

3. Evaluating threats

Factors that are relevant in evaluating the level of the threat include:

- whether the client is aware of the terms of the engagement and, in particular, the basis on which fees are charged and the services to which fees relate, and
- whether the fee level is set by an independent third party such as a regulatory body.

4. Safeguards

Examples of actions that might be safeguards to evaluate the threat include:

- adjusting the level of the fee or the scope of the engagement, and
- having an appropriate reviewer review the work performed.

Contingent fees

1. Responsibility

Contingent fees (fees calculated on a predetermined basis relating to the outcome of the work performed or as a result of a transaction that arises from the service) are acceptable for a wide range of non-assurance engagements. The professional accountant may charge such fees per business norms. (Contingent fees for assurance engagements are *not* permitted.)

A professional accountant shall not charge contingent fees to prepare an original or amended tax return, as these services are regarded as creating self-interest threats to objectivity that cannot be eliminated. Safeguards are not capable of reducing the threat to an acceptable level.

2. Threats

The charging of contingent fees may give rise to a self-interest threat to objectivity. The professional accountant becomes more interested in the fee that could be earned than the quality of the service offered.

3. Evaluating threats

Factors that are relevant in evaluating the level of the threat may depend on:

- the nature of the engagement
- the range of possible fee amounts
- the basis for determining the fee
- disclosure to intended users of the work performed by the professional accountant and the basis of remuneration

- quality control policies and procedures
- whether the outcome of the transaction is to be reviewed by an independent third party, and
- whether the fee level is set by an independent third party, such as a regulatory body.

4. Safeguards

- 4.1 Obtaining a written agreement with the client as to the basis and details of fees to be charged in advance.
- 4.2 A review by an independent third party (committee) of the work performed by the professional accountant to counter any claims that the professional accountant was only interested in maximising the fee.

Referral fees/commissions

1. Responsibility

A professional accountant may receive or pay a fair referral fee or commission, but must ensure that the payment of such fees or commission does not compromise the fundamental principles.

2. Threats

The threats that may arise are compliance with the principles of objectivity, professional competence and due care and integrity.

Example 1: The firm of Jones and Jones does not offer information technology (IT) services. Any requests they receive for IT services are referred to other firms and Jones and Jones receives a referral fee. These fees vary from firm to firm. The threat is that Jones and Jones will refer the client to the firm that pays the highest referral fee but may not necessarily be the most suitable for the particular assignment.

Example 2: Jones and Jones receive a 15% commission for any office equipment which OfficeMan (Pty) Ltd sells to clients of Jones and Jones, who have been referred to the company by Jones and Jones. Again, Jones and Jones are interested in the transaction and may be referring clients to OfficeMan (Pty) Ltd because of the commission and not because of the suitability of OfficeMan (Pty) Ltd's products.

3. Safeguards

- 3.1 Disclosure to the client of any arrangements to pay or receive a referral fee or commission and the details thereof. These disclosures should be made *in advance of the transaction taking place and should be in writing*.
- 3.2 Obtaining prior agreement, in writing, from the client for commission arrangements in connection with the sale by a third party of goods or services to the client.

2.4.4.6 Inducements, gifts and hospitality – section 340

1. Responsibility

A professional accountant shall not offer or accept, or encourage others to offer, any inducement that is made, or which the professional accountant considers a reasonable and informed third party would be likely to conclude is made, with the intent to improperly influence the behaviour of the recipient or another individual.

Refer to section 250 for the definition of an inducement. The factors in section 250 have to be considered to determine the actual or perceived intent behind the inducement.

2. Threats

Offering or accepting inducements might create a self-interest, familiarity or intimidation threat to compliance with the fundamental principles, particularly the principles of integrity, objectivity and professional behaviour.

Examples of circumstances where offering or accepting such an inducement might create threats even if the *professional accountant* has concluded there is no actual or perceived intent to improperly influence behaviour include:

- Self-interest threats
 - A *professional accountant* is offered hospitality from the prospective acquirer of a client while providing corporate finance services to the client.

- Familiarity threats
 - A professional accountant regularly takes an existing or prospective client to sporting events.
- Intimidation threats
 - A professional accountant accepts hospitality from a client, the nature of which could be perceived to be inappropriate were it to be publicly disclosed.

3. Safeguards

Refer to section 250 for examples of actions that might be safeguards to address such threats created by offering or accepting such an inducement.

2.4.4.7 Custody of client assets – section 350

1. Responsibility

- 1.1 A professional accountant may not take custody of a client's assets (money or other) unless permitted to do so by law (e.g. Financial Intelligence Centre Act 38 of 2001 (FICA)). If the asset source is unknown, appropriate enquiries should be made about the source of such assets. Inquiries about the source of client assets might reveal, for example, that the assets were derived from illegal activities, such as money-laundering. The professional accountant shall not accept or hold the assets in such circumstances, and section 360 would apply.

1.2 Before taking custody

As part of client and engagement acceptance procedures related to assuming custody of client money or assets, a professional accountant shall:

- make inquiries about the source of the assets
- consider related legal and regulatory obligations.

1.3 After taking custody

A professional accountant entrusted with money or other assets shall:

- keep client assets separate from personal or firm assets
- use such assets only for the purpose for which they were intended
- at all times, be prepared to account to any person who is entitled to such accounting for those assets, and any income, dividends or gains generated, and
- comply with all relevant laws and regulations relevant to the holding or accounting of those assets.

- 1.4 A professional accountant shall not accept custody of an audit or assurance client's assets unless the threat to independence can be eliminated or reduced to an acceptable level.

2. Threats

- 2.1 The custody of a client's assets may threaten compliance with the fundamental principles of professional behaviour and objectivity.

Example: Ronnie Rings, a professional accountant, has been given sole authority to operate the bank accounts of Marjory Manoj, a wealthy client who is on an extended visit overseas. She has requested that Ronnie pay her taxes, rates, electricity accounts, etc., as they fall due. The threat is that Ronnie may use his client's funds to enrich himself (self-interest), for example, make speculative deals from which he benefits using Marjory's money.

- 2.2 A further threat is that a client may be trying to launder illegal money through the firm. This presents a threat to compliance with the law (professional behaviour) and allegations of the professional accountant being involved in dishonest practice (integrity).

- 2.3 The professional accountant may be accused of misuse of client assets.

3. Safeguards

- 3.1 Safeguards for all client monies which the professional accountant controls or is liable to account for are the following:

- do not refer to such client monies as being "in trust" or in a "trust account" as this could be misleading

- maintain one or more bank accounts with an institution or institutions registered in terms of the Banks Act, 1990 (Act 94 of 1990), that are separate from the professional accountant's bank account
 - the accounts have to be appropriately named to distinguish them from the firm's normal business accounts or a specific account named and operated per a relevant client (such as ABC's client account)
 - deposit client monies without delay to the credit of such client account
 - maintain such records as may reasonably be expected to ensure that the client monies can be readily identified as being the property of the client, for example, detailed bookkeeping and being able to supply the client with an analysis of the account/s
 - perform a reconciliation between the designated bank account and the client monies ledger account/s, and
 - do not hold client monies indefinitely unless explicitly allowed by laws and regulations. Professional accountants are encouraged to hold client monies for a limited period, depending on the professional service provided.
- 3.2 The professional accountant is entrusted with client assets other than client monies:
- do not refer to such client assets as being held "in trust" or in a "trust account" as this could be misleading
 - maintain such records as may be reasonably expected to ensure that the client assets can readily be identified as being the property of the client, and
 - for documents of title, the professional accountant should arrange to safeguard the documents against unauthorised use.
- 3.3 A professional accountant shall apply appropriate measures to protect the client assets:
- use an umbrella account with sub-accounts for each client
 - open a separate bank account and provide the professional accountant with appropriate power of attorney or signatory rights over the account
 - consider whether the firm's indemnity and fidelity insurance is sufficient to cover incidents of fraud or theft, and
 - where a formal engagement letter is entered into covering the professional service involving custody of client assets, the engagement letter shall address the risks and responsibilities relating to such client assets.

2.4.4.8 Responding to non-compliance with laws and regulations (NOCLAR) – section 360

1. General

A professional accountant might encounter or be made aware of non-compliance or suspected non-compliance in the course of carrying out professional activities. This section guides the professional accountant in assessing the implications of the matter and the possible courses of action when responding to non-compliance or suspected non-compliance with:

- laws and regulations generally recognised to have a direct effect on the determination of material amounts and disclosures in the employing organisation's financial statements, and
- other laws and regulations that may be fundamental to the operational aspects of the employer's business or its ability to continue in business or to avoid material penalties.

NOCLAR is –

- any act or omission
- intentional or unintentional
- committed by a client or an employer or those charged with governance, by management or other individuals working for, or under the direction of a client or employer
- that is contrary to the prevailing laws or regulations, being:
 - all laws and regulations which affect material amounts and disclosure in financial statements, and
 - other laws and regulations that are fundamental to an entity's business.

Examples of laws and regulations that could be transgressed for NOCLAR:

- fraud, corruption and bribery
- money-laundering, terrorist financing and proceeds of crime
- securities markets and trading
- banking and other financial products and services
- data protection
- tax and pension liabilities and payments
- environmental protection, and
- public health and safety.

Non-compliance might result in fines, litigation or other consequences for the employing organisation, potentially materially affecting its financial statements. Notably, such non-compliance might have wider public interest implications in terms of potentially substantial harm to investors, creditors, employees or the general public (e.g. perpetration of a fraud resulting in significant financial losses to investors and breaches of environmental laws and regulations endangering the health or safety of employees or the public).

2. Requirements

Professional accountants must understand legal or regulatory provisions and how non-compliance with laws and regulations should be addressed, should it exist in a jurisdiction. The requirements may include a requirement to report the matter to an appropriate authority or a prohibition on alerting the relevant party.

Professional accountants must always act in the public interest, and the objectives when responding to non-compliance with laws and regulations are therefore to:

- comply with the fundamental principles of integrity and professional behaviour
- by alerting management or those charged with governance, to seek to:
 - enable them to rectify, remediate or mitigate the consequences of the non-compliance, or
 - prevent the non-compliance where it has not yet occurred, and
- to take further action as appropriate in the public interest.

Many employing organisations have policies and procedures that deal with the reporting of, among other things, non-compliance with laws and regulations. The professional accountant shall consider this in deciding on how to respond to non-compliance (e.g. an ethics policy or internal whistle-blowing mechanism).

Professional accountants in business shall comply with this section on a timely basis, having regard to the nature of the matter and the potential harm to the interests of the employing organisation, investors, creditors, employees or the general public

3. Threats

A self-interest or intimidation threat to compliance with the principles of integrity and professional behaviour is created when a professional accountant becomes aware of non-compliance or suspected non-compliance with laws and regulations.

4. Actions required by NOCLAR

Step 1: Obtaining an understanding of the matter

1.1 The understanding shall include:

- the nature of the NOCLAR or suspected NOCLAR and the circumstances in which it occurred or might occur
- laws and regulations relevant to the situation, and
- potential consequences of the non-compliance or suspected non-compliance.

1.2 The professional accountant is required to *apply knowledge, professional judgement and expertise*, but is not expected to have a level of knowledge beyond what is required for the professional accountant's role in the employing organisation.

1.3 *Consultation on a confidential basis* with others in the employing organisation or professional body is permitted, depending on the nature and significance of the matter.

Step 2: Addressing the matter

- 2.1 The professional accountant shall discuss the matter with his immediate superior, except if the immediate superior appears to be involved, in which case the matter shall be discussed with the next higher level of authority within the employing organisation.
- 2.2 The professional accountant should also take appropriate steps to:
 - have the matter communicated to those charged with governance
 - comply with applicable laws and regulations governing the reporting of NOCLAR
 - rectify, remediate or mitigate the consequences of NOCLAR
 - reduce the risk of re-occurrence, and
 - seek to prevent the NOCLAR if it has not yet occurred.
- 2.3 Disclose the matter to an appropriate authority where required to do so by law or where considered to be in the public interest.
- 2.4 A professional accountant involved in the audit of a group as the component auditor shall consider communicating an actual or suspected non-compliance to the group engagement partner unless prohibited to do so by law or regulation. The same applies to communication as the group engagement partner to the component auditor.

Step 3: Determining whether further action is needed

- 3.1 The professional accountant shall, in determining whether further action is needed, assess the appropriateness of the response of his superiors or, where appropriate, those charged with governance.
- 3.2 Relevant factors to consider in assessing the appropriateness:
 - the response is timely
 - the non-compliance or suspected non-compliance has been adequately investigated
 - appropriate action has been taken or authorised to seek to rectify, remediate or mitigate the consequences of the non-compliance, or to avert the non-compliance if it has not yet occurred, and
 - the matter has been disclosed to an appropriate authority where appropriate and, if so, whether the disclosure appears adequate.
- 3.3 In light of the response of the professional accountant's superiors, if any, and those charged with governance, the professional accountant shall determine if *further action is needed* in the public interest. Consider:
 - the legal and regulatory framework
 - the urgency of the situation
 - the pervasiveness of the matter throughout the employing organisation
 - whether the professional accountant continues to have confidence in the integrity of the professional accountant's superiors and those charged with governance
 - likelihood of recurrence, and
 - evidence of substantial harm.
- 3.4 The professional accountant shall exercise *professional judgement* in determining the need for, and *nature and extent of, further action*. In making this determination, the professional accountant shall take into account whether a *reasonable and informed third party* would be likely to conclude that the professional accountant has acted appropriately in the public interest by:
 - disclosing the matter to an appropriate authority even when there is no legal or regulatory requirement to do so, and
 - withdrawing from the engagement and the professional relationship where permitted by law or regulation.

At the request of the successor accountant, the professional accountant shall provide all information regarding the actual or suspected non-compliance (s 320).

If the proposed accountant is unable to communicate with the predecessor accountant, the proposed accountant shall take reasonable steps to obtain information about the circumstances of the change of appointment by other means.

Step 4: Determining whether to disclose the matter to an appropriate authority

- 4.1 Disclosure to an appropriate authority would be precluded if doing so would be contrary to law or regulation.
- 4.2 In deciding whether or not to make a disclosure, the professional accountant shall consider the actual or potential harm that is or may be caused by the matter to investors, creditors, employees or the general public. The decision will also be influenced by the following:
- the entity is engaged in bribery (e.g. of local or foreign government officials for purposes of securing large contracts)
 - the entity is regulated, and the matter is of such significance as to threaten its licence to operate
 - the entity is listed on a securities exchange, and the matter might result in adverse consequences to the fair and orderly market in the employing organisation's securities or pose a systemic risk to the financial markets
 - the entity is selling harmful products, and
 - the entity is promoting a scheme to its clients to assist them in evading taxes.
- Furthermore, the decision will also be influenced by external factors such as:
- whether there is an appropriate authority able to receive and deal with the information
 - whether robust and credible protection exists from civil, criminal or professional liability or retaliation, and
 - whether there are threats to the physical safety of any person.
- 4.3 If the professional accountant determines that disclosure of the matter to an appropriate authority is an appropriate course of action in the circumstances, that disclosure is permitted according to paragraph R114.1(d) (confidentiality) of the code.

Step 5: Documentation

The professional accountant is encouraged to have the following matters documented:

- how management or those charged with governance have responded to the matter
- the courses of action considered, the judgements and the decisions made, and
- how the professional accountant is satisfied that all his responsibilities have been fulfilled.

Professional services other than audits of financial statements

The above will also apply to service delivery other than auditing financial statements by professional accountants.

2.4.5 Part 4 – Independence**2.4.5.1 Introduction**

1. As pointed out, the SAICA code places a great deal of importance on independence, particularly in respect of assurance engagements. This is not surprising as, by definition, an assurance engagement is one where a professional accountant in public practice expresses an opinion/conclusion on client information to enhance the degree of confidence of third parties in that information. It is easy to understand that if the professional accountant is not independent of the client or the information, the intended increase in credibility/confidence will not be achieved.
2. Studying independence in terms of the SAICA Code with its unfamiliar terminology and long-windedness can be daunting. However, the key to coping with it is firstly, to recognise the importance of independence and secondly, that the code presents a conceptual framework for dealing with independence issues, which, if clearly understood, makes the task a great deal easier.
3. The SAICA Code contains two very long sections which deal with independence:
 - Part 4A: Independence – Audit and Review Engagements
 - Part 4B: Independence – Other Assurance Engagements.

This text deals only with Part 4A. The reasons for this are that the conceptual approach to independence applies in precisely the same way to both sections, the content of both sections is very repetitive and your studies concentrate on audit engagements and, to a lesser extent, reviews (and not on other assurance engagements).

4. Part 4A of the Code essentially provides narrative passages about such matters as financial interests, family and personal relationships, temporary staff assignments and a host of other situations which may threaten independence. In this text, we have chosen to illustrate the application of the conceptual approach to these potential independence problems by way of example. We have described a situation, circumstance or relationship, identified the threat posed and then suggested suitable safeguards.

2.4.5.2 The conceptual approach applied to independence

1. Before considering the conceptual framework approach to independence, we should consider what independence comprises. It comprises:

- 1.1 **Independence of mind** – the state of mind that permits the expression of a conclusion without being affected by influences that compromise professional judgement, allowing an individual to act with integrity, objectivity and professional scepticism.
- 1.2 **Independence in appearance** – the avoidance of facts and circumstances that are so significant that a reasonable and informed third party, having knowledge of all relevant information, including safeguards applied, would reasonably conclude that a firm's, or member of the assurance team's, integrity, objectivity or professional scepticism had been compromised.

As can be seen from the definitions above, independence is about *an independent state of mind* and the *appearance of independence*. Both are very important. Why? Bear in mind that a member who has, for example, a financial interest in a client may actually perform his duties to that client with the highest level of independence (state of mind) *but* will still not be perceived to be independent by any party who is aware that he has a financial interest in the client (appearance). The member should not only “be independent, but he should also be seen to be independent.”

2. Breach of an independence provision for audit and review engagements

- 2.1 Breaches relate to breaches of the code that have already occurred instead of implementation safeguards to prevent the breach from occurring. If a firm concludes that a breach of independence has occurred, the firm shall:
 - end, suspend or eliminate the interest or relationship that created the breach and address the consequences of the breach
 - requirements:
 - consider and comply with legal or regulatory requirements, and
 - consider reporting the breach to a professional or regulatory body or oversight authority.
 - communicate the breach in accordance with its policies and procedures:
 - the engagement partner
 - those with responsibility for the policies and procedures relating to independence
 - other relevant personnel, and
 - those who need to take appropriate action.
 - evaluate the significance of the breach and its impact on the firm's objectivity and ability to issue an audit report:
 - the nature and duration of the breach
 - the number and nature of any previous breaches concerning the current audit engagement
 - whether an audit team member knew of the interest or relationship that created the breach
 - whether the individual who created the breach is an audit team member or another individual for whom there are independence requirements
 - if the breach relates to an audit team member, the role of that individual
 - if the breach was created by providing a professional service, the impact of that service, if any, on the accounting records or the amounts recorded in the financial statements on which the firm will express an opinion, and
 - the extent of the self-interest, advocacy, intimidation or other threats created by the breach.
 - depending on the significance of the breach, determine:
 - whether to end the audit engagement, or
 - remove the relevant individual from the audit team

- use different individuals to conduct an additional review of the affected audit work or re-perform that work to the extent necessary
 - recommend that the audit client engage another firm to review or re-perform the affected audit work to the extent necessary and
 - if the breach relates to a non-assurance service that affects the accounting records or an amount recorded in the financial statements, engage another firm to evaluate the results of the non-assurance service or have another firm re-perform the non-assurance service to the extent necessary to enable the other firm to take responsibility for the service.
- 2.2 If action can be taken to address the consequences, the firm shall discuss with those charged with governance:
- the significance of the breach, including its nature and duration
 - how the breach occurred and how it was identified
 - the action proposed or taken and why the action will satisfactorily address the consequences of the breach and enable the firm to issue an audit report
 - objectivity has not been compromised and
 - any steps proposed or taken by the firm to reduce or avoid the risk of further breaches occurring.
- 2.3 If the firm determines that action cannot be taken to address the consequences of the breach satisfactorily, the firm shall inform those charged with governance as soon as possible and take the steps necessary to end the audit engagement in compliance with any applicable legal or regulatory requirements.
- 2.4 If the breach occurred, the firm should document:
- the breach
 - the actions taken
 - the key decisions made
 - all the matters discussed with those charged with governance, and
 - any discussions with the professional or regulatory body.

2.4.5.3 Illustrative examples

The examples laid out in the charts which follow describe specific situations, circumstances or relationships which may create threats to independence. The charts classify the threat and indicate which safeguards might be appropriate. Remember, the fundamental principle which is primarily under threat is *objectivity*.

The following definitions are important for this section:

- **financial interest:** an interest in an equity or other security, debenture, loan or other debt instruments of an entity, including rights and obligations to acquire such an interest.
- **direct financial interest:**
 - a financial interest owned directly by, and under the control of, an individual or entity, or
 - a financial interest beneficially owned through an investment vehicle (e.g. unit trust, mutual fund), trust, estate, etc., *controlled* by the individual or entity.
- **indirect financial interest:** a financial interest beneficially owned through a collective investment vehicle, (e.g. unit trust, mutual fund) estate or trust over which the individual or entity has *no control*.
- **immediate family:** spouse (or equivalent) or dependent.
- **close family:** parent, child or sibling who is not an immediate family member.
- For the purposes of section 4A – Independence – Audit and Review Engagements, “audit” includes: “audit team”, “audit engagement”, “audit client”, and “audit report” and applies equally to “review team”, “review engagement”, “review client” and “review report”.

The situation, circumstance, relationship	Threat	Safeguards
1. Financial interests in an audit client (s 510)		
1.1 A member of the audit team or his <i>immediate family member</i> (spouse or dependent) or <i>the firm</i> has a direct or material indirect financial interest in an audit client.	Self-interest	- Disposal of the financial interest if held by the firm, or withdrawal from the engagement. - Disposal of the financial interest before the individual becomes a member of the audit team if held by the member of the team or his immediate family member. - Disposal of the indirect financial interest in total or to the extent that it is no longer material before the individual becomes a member of the audit team. - Removal of the member of the audit team from the audit engagement. Note 1: If the financial interest arises out of an inheritance, a gift or as a result of a merger, the same threat will exist, and the same safeguards can be applied, namely, disposal at the earliest practical date, or removal of the member from the audit team. Note 2: <i>None</i> of the following shall have a direct financial interest or a material indirect financial interest in an audit client: - member of the audit team - immediate family member of this individual, and - the firm.
1.2 A <i>close family member</i> (parent, child, or sibling) of the audit team member has a direct or material indirect financial interest in an audit client. Note: The significance of the threat will depend upon: - the nature of the relationship between the member of the audit team and the close family member - the materiality of the financial interest to the close family member, and - the significance and influence of the member of the audit team concerning the audit.	Self-interest	- Disposal of the interest (or portion thereof) at the earliest date. The close family member will have to make this decision. - Notifying the audit client's governance structures (e.g. the audit committee) of the interest. - Providing an additional independent review of the work done by the audit team member with the close family relationship. - Removal of the affected member from the audit team.
1.3 The firm or a member of the audit team (or a member of his immediate family) holds a direct financial interest or a material indirect financial interest in an audit client <i>in the capacity of a trustee</i> . Example: Joe Soap and Co., an audit firm, is a trustee of Laduma Trust. Laduma Trust holds shares in Plexcor (Pty) Ltd. Joe Soap and Co. are the auditors of Plexcor (Pty) Ltd.	Self-interest	- The firm or member of the audit team should resign from the position of trustee. However, resignation will <i>not</i> be necessary if: - the firm, or the member, or the member's immediate family are <i>not beneficiaries</i> of the trust - the interest held by the trust in the audit client is <i>not material</i> - the trust is <i>not able to exercise significant influence</i> over the audit client, and - the firm or the audit team member does not have <i>significant influence over the investment decisions</i> of the trust.

continued

The situation, circumstance, relationship	Threat	Safeguards
1. Financial interests in an audit client (s 510) (continued)		
1.4 A <i>partner</i> in the office of the engagement partner, or his immediate family holds a direct or material indirect financial interest in an audit client.	Self-interest	- The financial interest holder must dispose of it as no safeguards can reduce the self-interest threat to an acceptable level. - The audit appointment may have to be given up. (Note that the immediate family member cannot be forced to dispose of the financial interest.)
1.5 Other partners and managerial employees or their immediate family members hold a direct or material indirect financial interest in an audit client to which they provide <i>non-assurance</i> services (e.g. IT services).	Self-interest	If the involvement of partners and managerial employees is anything other than minimal, the holder of the interest must dispose of it.
1.6 An individual who has a <i>close personal relationship</i> with a member of the audit team, for example, best friend, has a direct or material indirect financial interest in the audit client.	Self-interest, familiarity	- Notifying the audit client's governance structures (e.g. the audit committee) of the interest (in effect obtaining their approval). - Providing an additional independent review of the work done by the audit team member who has a <i>close personal relationship</i> with the person who has the financial interest. - Removal of the member from the audit team. - Excluding the member from significant decision-making on the audit.
1.7 A member of the audit team or his immediate family member or the firm has a direct financial interest (or a material indirect financial interest) in an entity that has a controlling interest in the audit client and the client is material to the entity. Example: Ridabike (Pty) Ltd is 60% owned by Denise Chetty. Ridabike (Pty) Ltd owns 75% of the shares in Roadie (Pty) Ltd. Roadie (Pty) Ltd is audited by Denise's husband, Das Chetty. Roadie (Pty) Ltd is one of Ridabike (Pty) Ltd's major investments.	Self-interest	- The holder of the financial interest must dispose of it, or - the audit appointment must be given up. (Note: Denise cannot be forced to dispose of her investment, so Das may have to resign from the audit appointment.)
2. Loans and guarantees (s 511)		
2.1 A loan or guarantee made by an audit client that is a bank or similar institution to <i>the firm</i> under normal lending procedures, terms and requirements.	No threat (the threat arises if the loan was not made under normal lending conditions)	Comment: Some threats (self-interest) could arise if the loan is material to the audit firm. This would be especially significant if the firm is financially dependent on the audit client to the extent that audit decisions could be affected. The only suitable safeguard may be for the audit firm to seek financing from a non-client financial institution.
2.2 A loan by an audit client that is a bank or similar institution made to a member of the audit team (or his immediate family) under normal lending procedures, terms and requirements. Examples: Mortgages, overdrafts, vehicle finance.	No threat (as above)	Comment. If the loan was <i>not</i> made according to normal lending procedures, terms and requirements, it should be thoroughly investigated by the bank, and the audit firm, and the member of the audit team should be removed from the audit engagement and be required to pay back the loan

continued

The situation, circumstance, relationship	Threat	Safeguards
2. Loans and guarantees (s 511) (continued)		
2.3 The firm or a member of the audit team (or immediate family) makes or accepts a loan <i>to</i> or <i>from</i> an audit client other than a bank or similar institution or a director or officer of the client. Note: This amounts to direct financial involvement.	Self-interest	The loan should be cancelled and repaid unless it is immaterial to both parties. There is no other suitable safeguard.
3. Business relationships (s 520)		
3.1 The firm or a member of the audit team (or immediate family) has a close business relationship with an audit client or its management, for example: - a joint venture, or - an agreement whereby the firm acts as a distributor or marketer of the audit client's products/services or vice versa (e.g. accounting package software).	Self-interest and intimidation, for example, client threatens to terminate the business relationship if certain audit problems are not overlooked.	- Termination of the business relationship. - Reducing the magnitude of the relationship so that the financial interest is immaterial and the relationship is insignificant. - Resigning the audit engagement. - Removing the member from the audit team (i.e. where the close business relationship is between the member of the team and the audit client). - Independent review of a member of the audit team's work.
3.2 A firm or a member of the audit team purchases goods from an audit client in the normal course of business on an arm's-length basis.	No threat	Comment: Some threat (self-interest, intimidation) may arise if the transactions are: - not in the normal course of business - not arm's-length (potential intimidation), or - of significant nature or magnitude. If this is the case, safeguards should be: - cancelling or reducing the transactions (including any future transactions) - notifying the clients' governance structures (e.g. audit committee) - removing the member from the audit team, and - firm policy that prohibits audit team members from transacting with an audit client.
4. Family and personal relationships (s 521)		
4.1 An immediate family member (spouse or dependent) of a member of the audit team is: a director, an officer or an employee (e.g. financial controller) who is in a position to exert direct and significant influence over the subject matter of the audit engagement at the client.	Self-interest, familiarity and intimidation	- The member must be removed from the audit engagement team. - Possibly restructuring the responsibilities of the audit team so that the member of the audit team does not deal with the immediate/close family member. Note: In terms of section 90 of the Companies Act 2008, an individual related to any director or employee or consultant involved in the maintenance of the company's financial records or preparation of its financial statements may not be appointed auditor (designated auditor).

continued

The situation, circumstance, relationship	Threat	Safeguards
4. Family and personal relationships (s 521) (continued)		
4.2 A <i>close</i> family member (parent, child or sibling) of a member of the audit team is a director, an officer or an employee who is in a position to exert direct and significant influence over the subject matter of the audit engagement, at the client. Comment: The likelihood of the threat will have to be assessed in terms of the close family member's position with the client and the role of the member of the audit team on the audit.	Self-interest, familiarity and intimidation	The member of the audit team must be removed from the audit engagement.
Example 1: Zeb Ngidi is a junior trainee on the audit team. His father is the factory manager of the audit client. Example 2: Raj Naidu is the senior-in-charge of the audit of Megamen (Pty) Ltd. His brother is the financial controller of Megamen (Pty) Ltd, a senior financial position. Note 1: The same principles as discussed under 4.2 will apply to a person other than a close family member who has a close relationship with a member of the audit team, for example, a lifelong friend who is <i>also</i> a director, officer or employee in a position to exert direct or significant influence over the subject matter of the audit engagement at the client.	Insignificant threat Self-interest, familiarity and intimidation	No safeguard is required. Safeguards against the threat posed by <i>example 2</i> would be: - removing Raj from the audit team - structuring Raj's responsibilities in such a way that he does not have to deal with matters which are the responsibility of his brother, for example, he is no longer the senior-in-charge of the audit, or - having any work carried out by Raj independently reviewed.
Note 2: Consideration must be given to whether a self-interest, familiarity or intimidation threat arises where a personal or family relationship between a partner or employee of the firm <i>who is not a member of the audit team</i> and a director, officer or employee of the audit client who is in a position to exert direct influence on the subject matter of the audit engagement, exists. Example: Jacqui Chan, a tax partner of Corbett and Co, an audit firm, has a close personal relationship with Chuck Morris, an employee at Kwando (Pty) Ltd, an audit client. Jacqui is not part of the audit team. Whether or not the threats arise will depend on: - the nature and "closeness" of Jacqui and Chuck's relationship - the extent of influence (if any) Chuck Morris has in the subject matter of Kwando (Pty) Ltd's financial statements, and - his seniority in the company.		

continued

The situation, circumstance, relationship	Threat	Safeguards
5. Employment with an audit client (s 524)		
5.1 A member of the audit team, or partner of the audit firm, leaves the firm to take up a position as a director, an officer or an employee of the audit client. Comment: The significance of the threat to independence will have to be assessed in terms of the following: - the position the former member has taken at the audit client - the amount of involvement the former member of the audit team will have with the audit team - the position the former member held within the audit team, and - the length of time which has elapsed since the former member was part of the audit team.	Self-interest, familiarity and intimidation	
Example 1: Art Simon, the former manager in charge of the audit of Crossbow (Pty) Ltd, took up a position as financial controller at Crossbow (Pty) Ltd during the year currently under audit – potentially a high threat to independence. Example 2: Three years ago, Geoff Martin joined Crossbow (Pty) Ltd as a credit controller. He had previously worked as a second-year trainee on the audit of Crossbow (Pty) Ltd – no threat to independence.		If a threat to independence does exist, the following safeguards should be considered and applied as necessary: - introducing changes to the audit strategy and audit plan - assigning a strong and experienced audit team to the engagement (to counter any intimidation threat), and - introducing an additional review (of the audit work) by a partner/manager who was not a member of the audit team.
5.2 A member of the audit team participates in the audit engagement while knowing he will be joining the audit client at some stage in the future. (Note: The audit team member may deliberately overlook certain audit “problems” so as not to jeopardise his future employment with the audit client.) Note: If the designated (key) audit partner of a public interest entity audit (e.g. listed company) joins the company as: - a director or prescribed officer, or - an employee in a position to exert significant influence over the preparation of the client’s accounting records or the financial statements on which (his former) firm will express an opinion, a familiarity or intimidation threat will be created, and independence would be deemed to be compromised, <i>unless</i> - after the partner ceasing to be the key audit partner, the public interest entity has issued audited financial statements covering at least 12 months, and - the former partner did not work on the audit.	Self-interest (and familiarity)	- Policies and procedures at the firm require employees to notify the firm when entering serious employment negotiations with an audit client. - Removal of the member from the audit team. - Performing an independent review of any significant judgements made by the audit team member while on the engagement.

continued

The situation, circumstance, relationship	Threat	Safeguards
6. Temporary personnel assignments (s 525)		
A firm lends a trainee (or other staff members) to an audit client to assist in the accounting department. Note: A firm employee who has been loaned to an audit client may not take on any management responsibilities at the client. There are no safeguards that could make such a situation acceptable.	Self-review	The following safeguards must be applied: - The trainee/employee may not: - make any management decisions - exercise discretionary authority to commit the client, for example, sign a purchase order, or write off a bad debt. - The trainee on “loan” should not be given <i>audit</i> responsibility for any function he performed while on loan. - The audit client must acknowledge its responsibility for directing and supervising the “on-loan” trainee. - The loan of the staff member should be for a short period only. - The trainee on “loan” does not form part of the audit team.
7. Recent service with an audit client (s 522)		
7.1 An individual who, <i>during the period covered by the audit report</i>, has been a director, officer, or employee in a position to exert direct and significant influence over the subject matter of the audit engagement, joins the audit firm which conducts the audit of his former company. Example: Max Mosely CA(SA), resigned from Crafters Ltd where he had been employed as the financial controller for five years, halfway through the current financial year. He was offered and accepted the position of audit manager at Uyse and Co, the auditors of Crafters Ltd.	Self-interest, familiarity and self-review (may be auditing his own work)	- This individual should <i>not</i> be assigned to the audit team for that client’s audit, as no safeguards can reduce the threat to an acceptable level. Note: In terms of section 90 of the Companies Act 2008, a person who was a director at any time during the five financial years preceding the current year may not be <i>appointed</i> as auditor. This does not legally prevent the person from working as part of the audit team, but he should not in terms of the Code. Note: If the individual, as described in 7.1, joined the audit firm before the period covered by the audit report, the significance of the threat that this situation poses will take into account: - the position the individual held with the audit client - the length of time that has passed since the individual left the audit client, and - the role the individual fills on the audit team. If the threat is perceived to be significant, the following safeguards may be applied: - not assigning the individual to the audit team for that client - introducing an additional review of the individual’s work on the audit - notifying the client’s governance structures of the situation.

continued

The situation, circumstance, relationship	Threat	Safeguards
8. Serving as an officer or a director of an audit client (s 523)		
8.1 A partner or employee of the firm accepts an appointment to serve as an officer or director of the audit client (without resigning from the audit firm).	Self-review and self-interest, advocacy (promoting the position of the client)	The firm <i>must</i> withdraw (resign) from the audit engagement <i>or</i> the partner/employee <i>must</i> resign from the firm. No other safeguards will reduce the threats to an acceptable level. Note: In terms of section 90, a director, officer, or employee may not be the company's auditor. Note: In terms of section 90, an individual appointed as company secretary may not be appointed auditor.
9. Long association of senior personnel with an audit client (s 540)		
Senior personnel, for example, partner/manager, have been involved with the client over a long period. Example: John Jonas, the audit manager of Contion Ltd, has been associated with the client for 10 years, starting as a first-year trainee and working his way up to the manager on the audit. He spends many hours at Contion Ltd, he has his own office and is listed in the internal telephone directory.	Familiarity and self-interest	- Changing the senior personnel on the audit team on a planned basis. - Introducing additional independent reviews by a professional accountant of the work done by the partner/manager. - Regular internal or external quality control reviews. Note: Section 92 of the Companies Act 2008 states that the same individual may not serve as the <i>designated auditor</i> for more than five consecutive years. As John is not the designated auditor, Code safeguards would be applied as indicated above.
10. Provision of non-assurance services to an audit client (s 600)		
Management responsibility. As a basic principle, management is responsible for managing the entity, and the auditor should not in any way take over this responsibility whether the company is public or private, as it presents a significant threat to independence. 10.1 An audit client requests a firm to provide the following <i>non-assurance</i> services: - authorisation, execution and consummation of certain transactions - making certain business decisions for the client - management reporting - setting policy and strategic direction - supervision of the client's staff in the performance of their normal activities - taking responsibility for designing, implementing and maintaining internal control.	Self-interest and self-review and advocacy	The firm should <i>not</i> permit the rendering of such non-assurance services to audit clients. This policy must be conveyed to all audit teams and those involved in formulating the terms of engagement with audit clients. Note 1: All of the services listed under 10.1 are management client responsibilities. Note 2: In terms of section 94 of the Companies Act 2008, the audit committee of a public company must determine the nature and extent of <i>non-audit work</i> carried out by the auditor <i>and</i> must be satisfied that the auditor is and remains independent.
10.2 A firm <i>advises</i> an audit client on accounting principles and disclosure or the appropriateness of financial and accounting controls or the methods used in determining stated amounts of assets and liabilities or proposed adjusting journal entries.	No threat	These activities are considered to be "part of the dialogue of the audit process" and an appropriate means to promote the fair presentation of the financial statements. The auditor <i>advises</i> and <i>assists</i> but does not <i>make decisions</i> .

continued

The situation, circumstance, relationship	Threat	Safeguards
11. Accounting and bookkeeping services		
The Code distinguishes “public/ listed companies” and “private companies”. It states that a firm should not provide accounting and bookkeeping services (as listed below) to a public/listed company which is its audit client. However, it suggests that the firm may provide the services listed below to a private company which is its audit client, provided the appropriate safeguards are put in place to reduce any self-review threat to an acceptable level.		
11.1 A firm provides the following accounting and bookkeeping services to an audit client: • recording transactions that the client has approved and classified • posting such transactions to the client’s general ledger • posting client-approved entries to the trial balance • preparing the client’s payroll and related services, for example, submitting PAYE returns • drawing up the annual financial statements from the trial balance. Comment: There appear to be two issues here. Firstly, are the services described above part of the preparation of the financial statements (which is a management responsibility) and secondly, are the services considered to be part of “habitually or regularly performing the duties of accountant or bookkeeper . . .” because, in terms of section 90 of the Companies Act 2008, a person who performs the duties of accountant or bookkeeper may <i>not</i> be appointed as an auditor (because of the apparent lack of independence). Traditionally the services listed above have <i>not</i> been regarded as “habitually or regularly performing the duties of accountant or bookkeeper” so section 90 of the Companies Act would not apply. However, a self-review threat still arises, and safeguards should be put in place.	Self-review	In the case of <i>public</i> companies, the best safeguard would be compliance with the audit committee’s interpretation of accounting and bookkeeping services. The audit committee: • must approve all non-audit work, and • must be satisfied that the auditor is independent. In the case of a <i>private</i> company, if the audit firm perceives that a significant threat may arise, safeguards might include: • arranging for such services to be performed by someone <i>not</i> on the audit team • notifying the audit team that they may <i>not</i> make any <i>management decisions</i> • clarifying for management: – that management is responsible for source data, transaction approval, journal entry origination and approval, etc. – what the audit team is permitted to do. Note: In the situation where a company avoids an audit and qualifies to have its AFS independently reviewed because the AFS are externally compiled, <i>the reviewer</i> (who will frequently be a professional accountant) may not also be <i>the compiler</i> of the AFS (lack of independence).

continued

The situation, circumstance, relationship	Threat	Safeguards
12. Valuation services		
A firm performs a valuation (of an asset, liability, investment) for an audit client, which must be incorporated into, or used in conjunction with, the client's financial statements. Example: Company A holds 20% of the shares in (private) company B. The directors of A request the auditors to value the investment at the reporting date so that the fair value can be incorporated into the year-end financial statements. Note again that, in the case of a public company, the audit committee must determine the nature and extent of any non-audit work to be conducted by the auditor. This is an effective safeguard.	Self-review	Where the valuation has a material effect on the financial statements and involves a significant degree of subjectivity, the valuation service should not be undertaken. Where a valuation service is undertaken, the self-review threat could be reduced to an acceptable level by the introduction of the following safeguards: - Ensuring that the personnel who perform the valuation are not part of the audit team. - Involving an individual who was <i>not</i> a member of the audit team to <i>review</i> the valuation. - Confirming with the client its understanding of the underlying assumptions and methodologies used in the valuation and obtaining its approval thereof.
13. Provision of taxation services to an audit client		
Taxation services can be broken down into four broad categories, each of which may present different kinds of threat or no threat at all. The four categories are: - preparation of tax returns - carrying out tax calculations to prepare accounting entries - tax planning and advisory services - tax services involving valuations, and - assistance with the resolution of tax disputes. 13.1 The audit firm assists with preparing tax returns and advises the audit client on any queries arising from the SARS relating to the tax return. 13.2 The firm prepares calculations of current and deferred tax liabilities to prepare journal entries for a private company that will be subsequently audited.	No threat Self-review	Taxation services are generally not perceived to impair independence but the audit firm must be careful not to make management decisions or assume responsibility for the tax affairs of the audit client. The role should be advisory. Safeguards could include: - using individuals who are not members of the audit team to perform the service - using a partner who is not a member of the audit team to <i>review</i> the calculations - not performing the service if the calculations have a very material effect on the financial statements - obtaining advice from an external tax professional - complying with the audit committees ruling on non-audit work.

continued

The situation, circumstance, relationship	Threat	Safeguards
13. Provision of taxation services to an audit client (continued)		
13.3 As in 13.2 above but for public/listed companies.		The Code states that the auditor should <i>not</i> prepare tax calculations for a public company that are material to the financial statements other than in an “emergency”.
13.4 The firm provides tax planning and advisory services that will affect matters reflected in the financial statements.	Self-review	Safeguards as above. Note: If the advice given is clearly supported by the tax authority, precedent or established practice, then, generally speaking, no threat to independence arises.
13.5 The firm represents an audit client in resolving a tax dispute which has arisen from SARS rejecting the client’s arguments on a particular issue, and the matter has been referred to a hearing/court by either the SARS or the audit client. Comment: Professional accountants who render professional tax services in any form may often find themselves faced with difficult situations. Generally, clients do not like paying tax and may go to great lengths to evade tax. Clients may request a professional accountant to submit false returns on their behalf or may deliberately withhold information from the professional accountant who is acting on their behalf to evade tax. Some clients may even become abusive with a professional accountant or make claims that “Everyone evades tax, so why shouldn’t I?” Paying tax can be an emotive issue, but the overriding requirement is that a professional accountant should not be associated with any taxation return or communication in which there is reason to believe that it: - contains a false or misleading statement - contains statements or information furnished recklessly or without any actual knowledge of whether they are true or false - omits or obscures information required to be submitted, and such omission or obscurity would mislead the revenue authorities. To assist a client in <i>evading</i> tax will amount to a failure to comply with the fundamental principles.	Self-review or advocacy. Objectivity, integrity and professional behaviour	- Safeguards as above. However, if the amounts involved are material to the financial statements on which the auditor will express an opinion, there are <i>no</i> safeguards that would reduce the threat posed (by acting for the client) to an acceptable level. The following safeguards should protect the professional accountant: - A professional accountant should put forward the best position in favour of a client, provided he does so: - with professional competence, integrity and objectivity - within the bounds of the law. - A professional accountant should ensure that the client understands that: - tax services and advice offered may be challenged by the South African Revenue Services where they are based on opinion rather than fact, as is often the case - responsibility for the <i>content</i> of a tax return rests with the client even where the return has been prepared by the professional accountant. - Material matters relating to tax advice/opinions given to a client should be recorded in writing. This is essential to prevent a client accused of tax evasion from falsely claiming that he was “following the advice given to him by the professional accountant”. - In preparing a tax return, a professional accountant may rely on information furnished by the client, provided : - the information appears reasonable - the professional accountant makes use of the client’s returns for prior years where feasible - the professional accountant makes reasonable enquiries when information appears incorrect or incomplete

continued

The situation, circumstance, relationship	Threat	Safeguards
13. Provision of taxation services to an audit client (<i>continued</i>)		
		<i>However</i>, the professional accountant is encouraged to: – request supporting data as required – refer to relevant documents and records of the client's business operations. • Where a professional accountant discovers that there have been material errors or omissions relating to tax returns submitted in respect of prior years, he should: – notify the client of the error or omission – advise the client to make full disclosure of the error or omission to the revenue authorities – advise the client of the powers of the revenue authorities to obtain information they may require, for example, seizing the client's books and records and imposing penalties, for example, double the amount of tax payable. Comment: It is quite possible that the client was well aware of the omission and is not prepared to make any disclosures. This creates a difficult situation for the professional accountant if he is associated with the incorrect return which was submitted. In terms of the fundamental principle of confidentiality, the professional accountant may not inform the revenue authorities at this stage, without permission, as this may be a breach of confidentiality. On the other hand, section 110 of the Code states that a member should not be associated with any false return. Advice given by the technical department of SAICA on this anomaly in the Code is that a professional accountant who is associated with a false return which has been submitted, and which the client will not rectify, should notify the revenue authorities that his association with the return can no longer be relied upon <i>but</i> without giving any details. Legal advice should be taken before doing this! Of course, this action will alert the authorities to the problem, and they will follow it up. • As a general rule, a professional accountant should not continue an association with a dishonest client and should be aware that in terms of section 105 of the Income Tax Act, the Commissioner is empowered to report a professional accountant to SAICA for unprofessional conduct.

continued

The situation, circumstance, relationship	Threat	Safeguards
14. Provision of internal audit services to an audit client		
Internal audit functions vary and can include: • monitoring of internal controls • reviewing the economy, efficiency and effectiveness of operating activities, both financial and non-financial • assessing risks faced by the company and the company's responses to it • reviewing compliance with laws and regulations, management policies, etc. All of the above are management responsibilities, so if the external auditor gets too involved with these activities, there is a significant threat that the auditor will be assuming management responsibilities, which is not acceptable as it will compromise the auditor's independence. Furthermore, if the firm uses the internal audit work in the course of the external audit, there is a potential self-review threat to independence. 14.1 Providing internal audit services such as the following would equate to assuming management responsibilities: • setting internal policy and strategic direction for internal audit • directing and taking responsibility for internal audit's employees • deciding which recommendations from the internal audit should be implemented • performing procedures such as business risk assessment on behalf of internal audit. Note: In some situations, there may be internal audit work the audit firm can do which presents no threat, for example, the audit firm provides internal audit services of an operational (not financial) nature, such as an evaluation of an audit client's product distribution system.	Self-review	• Although not specifically prohibited by the Companies Act 2008, the provision of both internal and external audit services by the same firm is unlikely to be acceptable to the audit committee for independence reasons. It would also be contrary to the King IV Report on Corporate Governance, particularly for public (listed) companies. • The best safeguard would be not to offer internal and external audit services to the same client. However, the Code does state that a firm can offer (some) internal audit services and at the same time avoid assuming management responsibility if management: – designates an appropriate and competent resource to be responsible at all times for internal audit activities and to acknowledge responsibility for designing, implementing and maintaining internal control – reviews, assesses and approves internal audit work (scope, risk and frequency) – evaluates the adequacy of the internal audit services and findings and determines which recommendations to implement – reports to those charged with governance on the significant findings and recommendations arising from the internal audit service. • In the case of a public company, the audit committee would have to approve the appointment to do this work.

continued

The situation, circumstance, relationship	Threat	Safeguards
15. Provision of information technology services to an audit client		
15.1 The audit firm provides design and implementation services for financial systems that form a significant part of the internal control over financial reporting or are used to generate information that forms part of a client's financial statements, for example, revenue and receipts cycle software. Note: The following IT systems services are deemed not to create a threat to independence (as long as the firm's personnel do not assume a management responsibility) for either a private or public/listed company: design and implementation of IT systems unrelated to internal control over financial reporting or which do not generate information forming a significant part of the accounting records, for example, a sales forecasting system	Self-review	If the audit client is a <i>public/listed</i> company, the audit firm should <i>not</i> provide IT services as described under 15.1 as no safeguards can reduce the threat to independence to an acceptable level (because of the level of "public interest" in the audit client). If the audit client is a <i>private</i> company, the safeguards to address the threat should include the following: - the audit client acknowledges its responsibility for establishing and monitoring a system of internal controls - the audit client designates a competent, senior employee with the responsibility of making all management decisions concerning the design and implementation of the hardware or software required - the audit client evaluates the adequacy and results of the design and implementation of the system
16. Provision of litigation support services to an audit client		
- Implementing "off the shelf" accounting or financial reporting software (not developed by the firm) - Evaluating and making recommendations concerning a system designed, implemented or operated by another service provider. Litigation support services include acting as an expert witness, calculating estimated legal damages payable or receivable, or assisting in gathering documentation concerning a dispute/litigation. A self-review threat will usually arise only where the result of providing the litigation service affects the financial statements. For example, the service involves assisting with determining an estimate of legal damages that must be disclosed in the financial statements.	Self-review	- The audit client is responsible for the operation of the system (hardware and software) and the data used or generated by the system, and - the IT service is carried out by personnel <i>not</i> involved in the audit engagement. Safeguards might include: - using professionals (from the firm) who are <i>not</i> members of the audit team to perform the service - using independent experts - ensuring that the firm does not make management decisions on behalf of the client.
17. Provision of legal services to an audit client		
Legal services differ from litigation support services. Legal services are defined as services which only a qualified lawyer can offer. (Many of the larger firms employ lawyers.) Litigation support services (see 16 above) can be provided by anyone with the necessary expertise. 17.1 The legal service provided supports an audit client in the execution of a transaction, such as drafting a contract, providing legal advice, or providing legal due diligence for a merger.	Self-review	If the following safeguards are put in place, the threat would generally be insignificant: - the lawyer who provides the legal service is not a member of the audit team - having a lawyer who was not involved in providing the legal service: - advise the audit team on the details of the service, and - reviewing any treatment of matters arising from the legal service in the financial statements.

continued

The situation, circumstance, relationship	Threat	Safeguards
17. Provision of legal services to an audit client (<i>continued</i>)		
17.2 The legal service provided is to act for an audit client in a dispute or litigation when the amounts involved are material concerning the financial statements on which the firm will express an opinion.	Self-review and advocacy	An audit firm should not undertake this legal service on behalf of an audit client.
17.3 The legal service provided is to act for an audit client in a dispute or litigation when the amounts involved are not material concerning the financial statements on which the firm will express an opinion.	Normally no threat	If the audit firm is concerned that there may be an advocacy or self-review threat, the safeguards described under 17.1 could be applied to reduce the threat to an acceptable level.
17.4 The audit client wishes to appoint a partner or employee of the firm which holds the audit appointment as legal advisor, i.e. the person to whom legal affairs are referred. (The person appointed remains an employee of the audit firm.) Note: A partner in an audit practice may, besides being a registered auditor, also be a qualified lawyer.	Self-review and advocacy	A partner or employee of the audit firm should <i>not</i> accept this appointment. (A legal advisor is generally a senior management position, and independence would be significantly threatened.)
18. Recruiting senior management on behalf of an audit client		
18.1 The firm is engaged to recruit suitable accounting staff for an audit client.	Self-interest, familiarity	Safeguards should include the following: • limiting the service to reviewing the suitability of applicants against a list of criteria drawn up by the client • leaving the final decision to the client • ensuring that the service is rendered by a professional at the firm who is not a member of the audit team.
18.2 The firm is engaged by a public/listed company which is an audit client to recruit a senior employee who will be in a position to exert significant influence over the preparation of the client's accounting records or the financial statements on which the firm will express an opinion, for example, the financial director.	Self-interest, familiarity	In addition to the above, where the audit client is a public/listed company, the following additional safeguards should be implemented: The audit firm should not: • search for candidates to fill such positions as described in 18.2 • undertake reference checks of prospective candidates for such positions as described in 18.2.
19. Corporate finance services		
Whether providing corporate finance services will threaten independence will depend upon the nature of the service. Examples: 19.1 The firm promotes, deals in, or underwrites an audit client's shares	Self-interest and advocacy	The audit firm should not undertake these activities as there are no safeguards that would reduce the threat to an acceptable level.

continued

The situation, circumstance, relationship	Threat	Safeguards
19. Corporate finance services (<i>continued</i>)		
19.2 The firm assists an audit client in developing corporate finance strategies and/or introduces clients to sources of finance and/or identifies potential targets for the audit client to acquire. Note: Providing some types of corporate finance services may materially affect the amounts reported in the financial statements on which the firm will express an opinion. Self-review threats may arise.	Self-interest, self-review and advocacy threats.	Safeguards that could be applied: - ensuring that management decisions are not made on behalf of the client by implementing a client approval procedure as the assignment progresses - using individuals from the firm who are not members of the audit team on corporate finance assignments - having an individual who was not involved in the corporate finance service: - advise the audit team on the details of the service, and - review any accounting treatment for transactions arising from the corporate finance service - ensuring that the firm does not commit the client to anything or consummate a transaction on behalf of the client - discussing the engagement with the governance structures of the client - disclosing to the client any financial interest the audit firm may have in the advice it renders, for example, the firm receives a commission from the source of finance it introduces to the audit client.
20. Fees (s 410)		
20.1 <i>Fees – relative size</i> The fees generated by one audit client represent a large portion of a firm's total fee income. Note: The audit firm may compromise its independence because it does not want to lose the client (self-interest). There is also a possibility that the client, realising that the audit firm derives a large proportion of its income from it, will pressure the audit firm by threatening to end the relationship (intimidation). Note: "Pre" and "Post" issuance quality control reviews 1. In a situation where an audit client is a public/listed entity and, for two consecutive years, the total fees from the client and its related entities (e.g. an entity over which the client has direct or indirect control such as a subsidiary) represent more than 15% of the total fees received by the audit firm, the firm must: - notify those charged with governance (including the audit committee), of the 15% situation, and - must discuss which of the safeguards described below the firm will implement to reduce any threats to an acceptable level.	Self-interest, intimidation	Safeguards should include the following: - discussing the matter with the client's governance structures - taking steps to reduce dependency, for example, actively seeking new clients - introducing external quality control reviews - consulting a third party on key audit judgements, for example, the appropriateness of the audit opinion to be given.

continued

The situation, circumstance, relationship	Threat	Safeguards
20. Fees (s 410) (continued)		
20.1 Fees – relative size (continued) Safeguard 1. Pre-issuance quality control review Before issuing the audit opinion on the second year's financial statements, a professional accountant (in public practice) who is not a member of the firm performs a quality control audit engagement, or Safeguard 2. Post-issuance quality control review After the audit opinion on the second year's financial statements has been issued, and before the audit opinion on the third year's financial statements has been issued, a professional accountant (in public practice) who is not a member of the firm performs a quality control review on the second year's audit. 2. The disclosure to, and discussion with, those charged with governance, shall occur each year for as long as the 15% situation continues and one of the two safeguards described above must be applied. 3. If the total fees significantly exceed 15% of the audit, the firm must determine whether a post-issuance review will reduce the threat to an acceptable level and if not, a pre-issuance review must be conducted.		
20.2 Fees – overdue An audit client has not paid its fees for professional services for a long time. Section 511 concerning loans and guarantees might also apply to situations where such unpaid fees exist. Note: This may result in the audit firm not putting the necessary resources and time into the current engagement because the partner/manager does not expect the fee to be paid. This threatens independence. The firm shall determine: (a) whether the overdue fees might be equivalent to a loan to the client, and (b) whether it is appropriate for the firm to be re-appointed or continue the audit engagement.	Self-interest	Safeguards should include the following: - obtaining partial payment of overdue fees - introducing an additional independent review of the work performed (for quality). However, this will increase the fee!

continued

The situation, circumstance, relationship	Threat	Safeguards
20. Fees (s 410) (continued)		
20.3 Fees – contingent Contingent fees are fees calculated on a predetermined basis relating to the outcome of the work performed or as a result of a transaction which arises from the service. Note: Fees are not contingent if they are established by a court or public authority, such as a liquidator's fee. - A contingent fee is proposed for an audit engagement. The audit firm is required to express an opinion on a set of financial statements to be used by the client to support a loan application. The audit client offers to pay a fee equal to 5% of the loan applied for if the application is successful. - A contingent fee is proposed for a non-assurance engagement to be rendered to an audit client, for example, the client engages the audit firm to recruit senior personnel. The fee will be equal to 10% of the annual remuneration package payable to the person appointed.	Self-interest Self-interest	A firm may <i>not</i> enter into a contingent fee arrangement for an audit engagement, as no safeguards would reduce the threat to an acceptable level. Safeguards that could be implemented include: - disclosing the nature and extent of the fee to the audit client's governance structures before the engagement - having the "fairness" of the fee reviewed or decided upon by an independent third party - see also 18 above relating to recruiting.
21. Compensation and evaluation policies (s 411)		
21.1 Members of the audit team are given a financial bonus for selling non-audit services to the audit client. (The audit team member could be more interested in, or focused on, trying to earn bonuses than on audit work.)	Self-interest	Safeguards could include: - changing or eliminating compensation methods of this nature - removing the audit team member who sold the non-audit services from the audit team - having the work of audit team members independently reviewed. Note: An audit partner should not be remunerated based on his success at selling non-assurance services.
22. Gifts and hospitality (s 420)		
22.1 An audit client wishes to "reward" the firm's audit manager by giving him a holiday trip to America. 22.2 An audit client gives each engagement team member an inexpensive pen bearing the company's logo at the completion of the annual audit.	Self-interest, familiarity and intimidation No threat	A firm or member of the audit team should <i>not accept</i> gifts or hospitality which are anything other than clearly insignificant. In determining whether the gift or hospitality is insignificant, the monetary value should be considered and whether the degree of independence in the relationship between the client and audit team will be altered, for example, has a "professional" relationship become one of "familiarity".
23. Actual or threatened litigation between the firm and an audit client (s 430)		
Where a client and firm are involved in actual or threatened litigation instigated by either party, the relationship between them is likely to be altered significantly. Both parties are likely to be defensive and unco-operative as they have been placed in adversarial positions.	Self-interest or intimidation	As this situation will often make it impossible for the auditor to perform to the required standards, withdrawal from the audit engagement would generally be the only option. Discussion with the audit committee may resolve the issue.

2.5 Rules regarding improper conduct (IRBA)

As you are primarily studying auditing, you should be aware that the IRBA has a set of “rules regarding improper conduct”. The opposite of “professional conduct” is “improper conduct”, and registered auditors (the majority of whom are also professional accountants in public practice), if found guilty of improper conduct, may be sentenced to:

- a caution or reprimand
- a fine
- a suspension of the right to practice for a specified period
- cancellation of registration and removal of the member’s name from the register of registered auditors.

The table below summarises the acts or omissions by a registered auditor that will amount to improper conduct.

Rule reference	The following will be regarded as improper conduct:
2.1 2.2 2.5 2.6	<i>Contravention of or failure to comply with:</i> • the Auditing Profession Act • <i>any other Act</i> which should be complied with by a Registered Auditor, for example, Companies Act • auditing pronouncements prescribed by the IRB • the IRBA Code of Professional Conduct.
2.3 2.4 2.7 2.8	<i>Dishonesty:</i> • dishonesty in the form of any offence, especially: – theft, fraud, perjury, bribery and corruption • dishonesty in carrying out work and duties • dishonesty concerning any office of trust held by the registered auditor. Failure to perform any professional service with <i>reasonable care and skill</i> or <i>failure to perform the professional service at all</i>. <i>Evasion of any tax, duty, levy or rate</i> or assisting others in such evasion by knowingly or recklessly making, signing or preparing false statements or records.
2.9	<i>Vouching for the accuracy of estimates in future earnings</i> The registered auditor’s name may not be used in a manner that suggests the registered auditor vouches for the accuracy of the forecast. (This lends unwarranted credibility to the forecast.)
2.10 2.11 2.12 2.13 2.15	<i>Contraventions in respect of trainee accountants</i> • imposing (or attempting to impose) restraints of any kind which will apply after the traineeship However, this rule will not apply to restraining a trainee who becomes a registered auditor from soliciting the practitioner’s existing clients for one year after the trainee ceases to be employed by the practitioner. • requiring compensation for agreeing to cancel a training contract (does not apply to actual expenses paid to IRBA in respect of the training contract) • failing to comply with his responsibilities to the IRBA/other persons • failing to respond promptly to communications, orders requirements or requests • failing, after demand, to pay fees or other charges due to the IRBA.
2.14 2.16 2.17	<i>Contraventions in respect of relinquishing engagements</i> • failing without reasonable cause to resign from a professional appointment when the client requests the member to do so • abandoning his or her practice without giving notice to clients and making necessary arrangements to obtain the services they require. Acting in a manner that <i>brings the profession into disrepute</i>.

Statutory matters

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3.1 Introduction

Registered auditors and chartered accountants cannot escape acquiring a sound knowledge of the laws and regulations which govern their professional activities as well as the activities of their clients. Knowledge of common law, for example, negotiable instruments, contracts, etc. has to be obtained by all aspirant auditors and accountants during the early years of their study and, in addition, hundreds of sections relating to specific disciplines such as income tax and company law must be absorbed. This chapter will concentrate on the more important sections of the Companies Act 71 of 2008 (Companies Act) and the Auditing Profession Act 26 of 2005 (APA). This chapter is *not* an in-depth study of these Acts – it must instead be regarded as a summary of important sections with brief commentary to be used in conjunction with the Acts themselves.

3.2 The Companies Act 71 of 2008

3.2.1 Introduction

- The Companies Act became effective on 1 May 2011. Amendments have been made to it in terms of the Companies Amendment Act 3 of 2011 and the Financial Markets Act 19 of 2012. These amendments were not significant. At the time that this 13th edition of Auditing Notes went to press, The Companies Amendment Bill of 2023 and the Companies Second Amendment Bill of 2023, were yet to be enacted.
- In developing the Companies Act, the legislators intended to produce a Companies Act which would match the changes on the economic, social and political landscape which had taken place since the introduction of the previous Act – The Companies Act 61 of 1973. Five policy objectives around which the Act would be built were formulated as follows:

Company law should promote the competitiveness and development of the South African economy by:

- encouraging entrepreneurship and enterprise development, and consequently, employment opportunities by:
 - simplifying the procedures for forming companies, and
 - reducing costs associated with the formalities of forming a company and maintaining its existence
- promoting innovation and investment in South African markets and companies by providing for:
 - flexibility in the design and organisation of companies, and
 - a predictable and effective regulatory environment
- promoting the efficiency of companies and their management
- encouraging transparency and high standards of corporate governance
- making company law compatible and harmonious with best practice jurisdictions internationally.

In support of the five objectives, five more specific goals were set as follows:

- ***Simplification***

Example: The Act should provide for a company structure that reflects the characteristics of close corporations (CCs), such as a simplified procedure for incorporation and more self-regulation.

- ***Flexibility***

Example: Company law should provide for “an appropriate diversity of corporate structures”, and the distinction between listed and unlisted companies should be retained.

- ***Corporate efficiency***

Example: Company law should shift from a *capital maintenance* regime based on par value to one based on *solvency and liquidity*.

Example: There should be clarification of board structures and director responsibilities, duties and liabilities.

- **Transparency**

Example: Company law should ensure the proper recognition of director accountability and appropriate participation of other stakeholders.

Example: The law should protect shareholder rights and provide enhanced protections for minority shareholders.

Example: Minimum accounting standards should be required for annual reports.

- **Predictable regulation**

Example: Company law should be enforced through appropriate bodies and mechanisms, either existing or newly introduced.

Example: Company law should strike a careful balance between adequate disclosure in the interests of transparency and over-regulation.

3.2.2 Structure of the Act

Before considering the detail of the sections, you should obtain an overall understanding of how the Act is structured:

- the sections are grouped into nine Chapters
- each Chapter deals with a broadly stated topic
- each Chapter is broken down further into alphabetically sequenced parts, for example, Chapter 1 part B
- each part deals with a more specifically stated topic
- in addition to the nine Chapters, there are five Schedules that deal with specific matters
- the Act itself is then supported by the Companies Regulations 2011.

3.2.3 Titles of chapters

Chapter 1. Interpretation, Purpose and Application (10 sections in Parts A and B).

Chapter 2. Formation, Administration and Dissolution of Companies (73 sections in Parts A to G).

Chapter 3. Enhanced Accountability and Transparency (11 sections in Parts A to D).

Chapter 4. Public Offerings of Company Securities (17 sections in a single part).

Chapter 5. Fundamental Transactions, Takeovers and Offers (16 sections in Parts A to C).

Chapter 6. Business rescue and Compromise with creditors (28 sections in Parts A to E).

Chapter 7. Remedies and Enforcement (29 sections in Parts A to F).

Chapter 8. Regulatory Agencies and Administration of Act (28 sections in Parts A to E).

Chapter 9. Offences, Miscellaneous Matters and General Provisions (13 sections in Parts A to C).

3.2.4 Titles of Schedules

Schedule 1. Provisions concerning Non-Profit Companies.

Schedule 2. Conversion of Close Corporations to Companies.

Schedule 3. Amendment of Laws.

Schedule 4. Legislation to be enforced by CIPC.

Schedule 5. Transitional Arrangements.

3.2.5 Structure of individual sections

When reading a section of the Companies Act, remember that the majority of the sections deal with:

- the requirements necessary for some action to take place, for example, appointing an auditor
- specific prohibition of some action, for example, registering a company name which constitutes the advocacy of hatred based on race, gender or religion, or appointing a person who has been prohibited from being appointed a director, as a director
- the level of authority necessary to make an “action” legal, for example, a special resolution
- exceptions/provisos to the requirements of the section or the authority stipulated in the main body of the section.

Thinking about the section in this way makes the Act easier to understand.

3.3 The Companies Regulations 2011

The Companies Regulations 2011 document was also introduced in 2011. The regulations work in tandem with the Companies Act. Section 223 of the Companies Act gives the Minister of Trade and Industry the power to make these regulations, and as a result, they must be complied with in the same manner as the Companies Act itself.

What are the Companies Regulations? The Company Regulations are an extensive set of requirements, explanations and procedures about the sections of the Companies Act.

Example 1: Section 30 of the Companies Act states that the financial statements of a public company must be audited *and* that any other profit or non-profit company must have its financial statements audited if it is desirable *in the public interest*.

Regulation 26 supplements and explains this by introducing the concept of a *public interest score* and proceeds to lay down how it is calculated.

Regulation 28 then takes the idea further by indicating which companies must be audited, based, among other things, on their public interest score.

Example 2: Section 21 of the Companies Act states that a person may enter into a written agreement in the name of an entity that is contemplated to be incorporated but which does not yet exist.

Regulation 35 expands on this and states that a person may notify a company of a pre-incorporation contract by filing a notice with the Companies and Intellectual Property Commission (CIPC) and delivering a notice in Form CoR 35.1. The regulations also contain an example of Form CoR 35.1.

Example 3: Section 94(5) of the Companies Act states that the Minister may prescribe minimum qualification requirements for members of an audit committee.

Regulation 42 expands on this and stipulates that “at least one-third of the members of a company’s audit committee at any particular time must have academic qualifications, or experience in economics, law, corporate governance, finance, accounting, commerce, industry, public affairs or human resource management.” (Very broadly stated and not very onerous!)

For your studies, there are a few important Companies Regulations that you should have an understanding of. These are Regulations 26, 27, 28, 29 and 43. Regulations 26–29 work in conjunction with each other and are pertinent to the public interest score concept, audit and review requirements, reportable irregularities for independent reviews, as well as the financial reporting standards with which different entities must comply. Regulation 43 deals with the establishment of a social and ethics committee.

Regulation 26 – Public interest score calculation (“PI Score” or “PIS”)

This regulation introduces the concept of the *public interest score*, which every company (and CC) must calculate at the end of each financial year. The public interest score is used primarily to determine:

- which financial reporting standards the company must comply with
- the categories of companies that must be audited/reviewed, and
- who must carry out the review of a company, which must be independently reviewed.

Note (a): The public interest score will be the sum of:

- (i) a number of points equal to the average number of employees during the financial year
- (ii) 1 (one) point for every R1million (or portion thereof) in third party liability of the company, at the financial year-end
- (iii) 1 (one) point for every R1million (or portion thereof) in turnover during the financial year, and
- (iv) 1 (one) point for every individual who directly or indirectly has a beneficial interest in any of the company’s securities.

Example: The following relevant details pertaining to Plus (Pty) Ltd:

<i>Detail</i>	<i>Public Interest Points</i>
1. Employees at 1 March 19XX	300
2. Employees at 28 Feb 20XX	360
3. The average number of employees $660 \div 2$	330
4. Long and short term liabilities at 28 Feb 20XX = R9m	9
5. Turnover for the year to 28 Feb 20XX = R82,7m	83
6. Shareholders = 14	14
Public interest score	<u>436</u>

This illustrative example is straightforward, but the interpretation of the public interest score may be less so, for example:

- If an individual is an employee and a shareholder (direct interest in the company's securities), will he be counted twice in the public interest score?
- If a trust holds shares in a company, is the trust counted as an individual or is it the number of trustees or beneficiaries of the trust, or both, which are used in the public interest score?
- Similarly, if another company owns shares in a company (whether in a holding/subsidiary company or not) does the company holding the shares count as an individual or is it the number of individuals who hold shares in that company, and thereby have a beneficial interest in the shares of the company in which the investment is held? (See note (b) below.)
- Are temporary or part-time employees included in the public interest score?
- Concerning third-party liability, what is a third party?
- If a private company has a subsidiary, is its portion of the subsidiary's turnover included in determining its turnover for public interest score purposes?

No doubt there will be other questions raised pertaining to the interpretation of the "public interest score". Time, practice and case law will eventually resolve these questions.

Note (b): In terms of a JSE listing requirement, the subsidiaries of all listed companies must be externally audited regardless of their public interest scores.

Regulation 27 – Financial reporting standards

This regulation does two things. *Firstly*, it states that a company's financial statements may be compiled *internally* or *independently*.

To be classified as compiled *independently*, the Annual Financial Statements (AFS) must be prepared:

- by an independent accounting professional (see note (a) below)
- based on financial records provided by the company, and
- following any relevant financial reporting standard.

Note (a): An "independent accounting professional" means a person who:

- is a registered auditor in terms of the APA, or*
- is a member in good standing of a professional body accredited in terms of the APA, such as SAICA, or*
- is qualified to be appointed as an accounting officer of a CC in terms of the Close Corporation Act, for example, a member of SAICA, ICSA, CIMA, ACCA, or SAIPA*
- does not have a personal financial interest in the company or a related or inter-related company*
- is not involved in the day to day management of the company and has not been so involved during the previous three years*
- is not a prescribed officer or full-time executive employee of the company (or a related or inter-related company) and has not been such an employee or officer during the previous three financial years, and*
- is not related to any person contemplated in (iv) to (vi) above.*

Secondly, regulation 27 stipulates the applicable financial reporting standards with which different categories of company must apply. (Note that the requirements for non-profit companies have not been included in this text. Reference can be made to the regulations themselves if necessary.)

State-owned and profit companies

<i>Category of Companies</i>	<i>Financial Reporting Standard</i>
State-owned companies.	IFRS, but in the case of any conflict with any requirement in terms of the Public Finance Management Act, the latter prevails.
Public companies listed on an exchange.	IFRS.
Public companies not listed on an exchange.	One of: (a) IFRS; or (b) IFRS for SMEs, provided that the company meets the scoping requirements outlined in the IFRS for SMEs.
Profit companies, other than state-owned or public companies, whose public interest score for the particular financial year is at least 350.	One of: (a) IFRS, or (b) IFRS for SMEs, provided that the company meets the scoping requirements outlined in the IFRS for SMEs.
Profit companies, other than state-owned or public companies: (a) whose public interest score for the particular financial year is at least 100 but less than 350, or (b) whose public interest score for the particular year is less than 100, and whose statements are independently compiled.	One of: (a) IFRS, or (b) IFRS for SMEs, provided that the company meets the scoping requirements outlined in the IFRS for SMEs.
Profit companies, other than state-owned or public companies, whose public interest score for the particular financial year is less than 100, and whose statements are internally compiled.	The financial reporting standard as determined by the company for as long as no financial reporting standard is prescribed.

Regulation 28 – Categories of companies to be audited

This regulation stipulates the categories of companies that are required to be audited. These are:

- (i) public companies and state-owned companies
- (ii) any profit (or non-profit) company which, in the ordinary course of its primary activities, holds assets in a fiduciary capacity for persons not related to the company, and the aggregate value of the assets held exceeds R5million at any time during the financial year, and
- (iii) any company whose *public interest score* in that financial year
 - is 350 or more
 - is at least 100 if its annual financial statements for that year were *internally compiled*.

Note (a): In terms of the JSE listing requirements, all subsidiaries of listed companies must be externally audited regardless of their public interest scores. This is primarily because the holding company's consolidated financial statements must contain audited figures for the audit report to have any value.

Regulation 29 – Independent review of annual financial statements

This regulation deals with the matters surrounding the independent review of a company's financial statements (including important regulations pertaining to *reportable irregularities*).

- (i) A company *not required to be audited* must have an independent review of its annual financial statements unless it is a private company in which every shareholder is a director (owner-managed).
- (ii) If the company's public interest score is 100 or more, the review must be conducted by a registered auditor or by a member of a professional body accredited in terms of the APA (SAICA is currently the only such body).
- (iii) If the company's public interest score is less than 100, the review can be carried out by a qualified person to be appointed as an accounting officer in terms of the Close Corporations Act, for example ACCA, SAIPA, CIMA, SAICA, etc.
- (iv) The review should be carried out in terms of the International Statement on Review Engagements ISRE 2400.
- (v) An independent review of a company's annual financial statements must *not* be carried out by an independent accounting professional involved in preparing the said financial statements (independence requirement).

Did you know, in terms of section 10 of the Close Corporations Act 1984, CCs must calculate their public interest score (on the same basis as a company) and may also have to have their financial statements audited?

The following chart summarises which companies and CCs must be audited, which must be reviewed and which need not bother with external (professional) intervention.

<i>Public interest score</i>	<i>Private company</i>	<i>Close corporation</i>	<i>Owner-managed</i>
Less than 100	Independent Review regardless of whether AFS are internally or externally compiled. Note (a).	No external intervention (Accounting Officer Report).	No external intervention.
100 to 349	Audit if AFS <i>internally</i> compiled. Independent Review if AFS <i>externally</i> compiled. Note (b).	Audit if AFS <i>internally</i> compiled. <i>No independent review if externally compiled.</i> (Accounting Officer's Report) Note (c).	Audit if AFS <i>internally</i> compiled. <i>No independent review if externally compiled.</i> Note (c).
350 and above	Audit	Audit	Audit

Note (a): This review (less than 100 points) must be carried out by a Registered Auditor or an individual who qualifies for appointment as an Accounting Officer of a CC in terms of section 60 of the Close Corporations Act, for example SAICA, SAIPA, ACCA, CIMA, etc.

Note (b): *Audit* can only be carried out by a Registered Auditor. This *review* (100 to 349 points) may only be carried out by a registered auditor or a chartered accountant. Externally compiled means compiled by an "independent accounting professional" as defined.

Note (c): This category of CC and owner-managed company is exempt from review in terms of section 30(2A) of the Companies Act.

Note (d): Subsidiary companies of listed companies must be externally audited (JSE listing requirement).

Note (e): All public companies (listed or otherwise) and state-owned companies must be audited.

Note (f): Private companies which hold fiduciary assets for persons not related to the company which in aggregate have exceeded R5m at any time during the year must be audited.

Note (g): A private company may include a clause that requires that it be audited in its MOI, or a company may be voluntarily audited, for example directors decide to have the AFS externally audited.

Regulation 29 – Reportable irregularities, independent reviews

In terms of the APA, an auditor is required to report a "reportable irregularity" (as defined) at an *audit* client, but this requirement does not apply to a *review* client. However, regulation 29 places an obligation on the independent reviewer to report a reportable irregularity arising at an independent review, whether he is a registered auditor or not. While the reportable irregularity situations in which the auditor or reviewer

might find themselves in are very similar, the definitions of a reportable irregularity and the procedure to be followed by the auditor and reviewer do differ. For regulation 29, the following will apply to reportable irregularities at a review client:

- (i) Definition: a reportable irregularity (RI) means any act or omission committed by any person responsible for the management of a company, which:
 - unlawfully has caused or is likely to cause material financial loss to the company, or any member, shareholder, creditor or investor of the company in respect of his, her or its dealings with the company, or
 - is fraudulent or amounts to theft, or
 - causes or has caused the company to trade under insolvent circumstances.
- (ii) Procedure: if an independent reviewer is satisfied or has reason to believe that an RI is taking place, he must:
 - without delay, send a written report to the CIPC giving the particulars of the RI and any other information he deems appropriate
 - within three business days of sending the report to the CIPC, notify the board (of the company) in writing of the sending of the report, and the provisions of this section of regulation 29
 - a copy of the report must be submitted with this notice to the board (of the company)
 - as soon as reasonably possible, but not later than 20 business days from the date the report was sent to the CIPC
 - take all reasonable measures to discuss the report with the directors
 - allow the directors to make representations in respect of the report
 - send another report to the CIPC, which must include a statement (with supporting information) that the reviewer is of the opinion that;
 - * no RI has taken place or is taking place, *or*
 - * the suspected RI is no longer taking place, and that adequate steps have been taken for the prevention or recovery of any loss, *or*
 - * the RI is continuing.

Note (a): If the second report states that the RI is continuing, the CIPC must, as soon as possible after the receipt of the report, notify any appropriate regulator, for example SARS or SAPS, in writing, with a copy of the report.

Note (b): To investigate or report an RI, the independent reviewer may carry out whatever procedures he or she deems necessary.

Regulation 43 – Social and ethics committee

2.1 The following companies must appoint a social and ethics committee:

- every state-owned company (SOC)
- every listed public company, and
- any other company that has in two of the previous five years scored above 500 points in its public interest score.

2.2 A company that must have a social and ethics committee must appoint the committee within one year of:

- its date of incorporation in the case of a SOC
- the date it first became a listed public company
- the date it first met the “500 points” requirement.

2.3 The committee must comprise:

- not less than three directors or prescribed officers of the company
- one must be a director who is not involved in the day-to-day management of the company’s business (non-executive) and has not been so involved in the previous three years.

2.4 The function of the Social and Ethics Committee is to *monitor* the company's activities, having regard to any relevant legislation, legal requirements or codes of best practice, with regard to:

- ***social and economic development***, including the company's standing in terms of the goals and purposes of:
 - the ten principles set out in the United Nations Global Company Principles
 - the Organisation for Economic Co-operation and Development (OECD) recommendations regarding corruption
 - the Employment Equity Act 55 of 1998
 - the Broad-Based Black Economic Empowerment Act 53 of 2003.
- ***good corporate citizenship***
 - promotion of equality, prevention of unfair discrimination and reduction of corruption
 - development of communities in which it operates or within which its products are predominantly marketed
 - sponsorship, donations and charitable giving.
- ***the environment, health and public safety***, for example the impact of its products/services on the environment.
- ***consumer relationships***, for example advertising, public relations and compliance with consumer protection laws.
- ***labour and employment***.

Note (a): A subsidiary company which, in terms of the section must appoint a social and ethics committee need not do so if its holding company has a social and ethics committee that will perform the functions required by regulation 43 on behalf of the subsidiary.

Note (b): The committee must:

- draw any matters arising from its monitoring activities to the attention of the board, and
- one of its members must report to the shareholders at the company's annual general meeting (AGM).

3.4 Chapters, Parts and Sections of the Companies Act 71 of 2008

3.4.1 Chapter 1 – Interpretation, purpose and application

Chapter 1 – Part A – Interpretation

1. Section 1 – Definitions

2. Section 2 – Related and inter-related persons and control

Note (a): There are numerous definitions. Where necessary, these will be dealt with in the section summaries.

For the purposes of the Companies Act:

2.1 An *individual* is related to another *individual* if:

- they are married, or live together in a relationship similar to a marriage, or
- they are separated by no more than two degrees of natural or adopted consanguinity (blood relationship) or affinity (relationship between two or more people as a result of somebody's marriage).

2.2 An *individual* is related to a *juristic person* if:

- the individual directly or indirectly controls the juristic person.

2.3 A *juristic person* is related to another *juristic person* if:

- either of them directly or indirectly controls the other or the business of the other, or
- either is a subsidiary of the other, or
- a person directly or indirectly controls each of them or the business of each of them.

Note (a): The intention of section 2 is to prevent individuals or companies from doing things through the medium of another individual or company (entity), which they would not be able to do because of the requirements of the Companies Act. Essentially the Act is saying that an individual

or company and the individuals or companies (entities) related to them (as defined by s 2) are considered by the Act to be the same person. For example, a company must obtain a special resolution to give a loan to a director. It cannot get around this requirement by giving the loan to the director's wife or child because they are related persons as defined in section 2. Thus, a special resolution will still be required.

Note (b): An *individual* is defined as a *natural person*; a *juristic person* is a "person" *formed by law*, for example CC, trust, and a "person" includes a juristic person.

Note (c): The section also guides what constitutes control:

Example 1: Company B is a subsidiary of Company A. Company A controls Company B (s 2(2)(a)(i)).

Example 2: Joe Sope and his wife (related person) control the majority of the voting rights in Company C.

- The control can be by virtue of the two of them owning the majority of the shares *or* as a result of a shareholders' agreement (s 2(2)(a)(ii)).
- Joe and his wife do not have to hold the shares themselves. The shares in Company C could be held by an entity that Joe and his wife control. The control can be *direct* or *indirect*.

Example 3: Fred Bloggs and his son Bob have the right (by virtue of their combined shareholding) to control the appointment of the directors of Company D, who control a majority of the votes at a meeting of the board (s 2(2)(a)(ii)(bb)).

Example 4: Jeeves Ndlovu owns the majority of the members' interests (or controls the majority of members' votes) in Starwars Close Corporation (s 2(2)(b)).

Example 5: Charlie Weir, the senior trustee of Cape Trust, has, in terms of the trust agreement, the ability to control the majority of votes of trustees or appoint the majority of trustees or to appoint or change the majority of the beneficiaries of the trust (s 2(2)(c)).

Example 6: Martin Mars owns the majority interest in both Thunder CC and Lightning CC. The two CCs will be related (s 2(1)(c)(iii)).

Note (d): In addition to the specific situations given in the section, there is also a "general" proviso (s 2(d)) which suggests that if a person can materially influence the policy of a juristic person in a manner comparable to the examples given above, that person will have control.

Note (e): Situations/transactions relating to the Act may arise that prejudice a person because *by definition* the person is related to the company despite the person having acted independently. Section 2(3) enables the court, the Companies Tribunal (or the Takeover Regulation Panel (TRP) in the case of a takeover transaction) to exempt the person from the effect of the relationship if there is sufficient evidence to conclude that the person acts *independently* of any related person, for example, although Joan and Peter de Wet are married (and thus by definition are related) they may live apart and may conduct entirely separate business and social lives.

3. Section 3 – Subsidiary relationships

3.1 A company will be a subsidiary of another juristic person if that juristic person:

- can directly or indirectly exercise a majority of the voting rights whether pursuant to a shareholders agreement or otherwise, or
- has the right to appoint, elect or control the appointment or election of directors of that company who control the majority of the votes at a board meeting.

Note (a): The holding/subsidiary company relationship is an easy one to understand, and the companies (holding, subsidiary, sub-subsidiary and fellow subsidiaries) in a group will be "related".

4. Section 4 – Solvency and liquidity test (important section)

4.1 A company satisfies the solvency and liquidity test if, considering all reasonably foreseeable financial circumstances of the company at the time:

- the assets of the company *fairly valued* equal or exceeded the liabilities of the company *fairly valued*,
and

- it appears that the company will be able to pay its debts as they become due in the ordinary course of business for 12 months after the liquidity and solvency test is considered, *or*
- in the case of a *distribution* (see note (e) below), 12 months after the distribution is made.

Note (a): This section is very important because it represents a fundamental change to company legislation. The Companies Act 1973 was based upon what was termed the capital maintenance concept, which simplistically speaking, resulted in very strict regulations on any transactions which affected the capital of the company. For example, a company was prohibited from giving financial assistance to anyone for the purchase of shares in that company. A Companies Act based on this concept was regarded as inflexible and over-regulatory. On the other hand, the Close Corporations Act has been based on the liquidity/solvency test since its inception and has proved to be effective. As has been explained, the legislators and other interested parties required that the new Companies Act be more flexible and accommodating but at the same time sufficiently protective for stakeholders in the company. The Companies Amendment Act 2006 introduced the liquidity/solvency concept for companies and the Companies Act 2008 adopted it. As will become evident, whenever important transactions are resulting in outflows of amounts relating in some way to capital/profits, the liquidity/solvency test comes into play. For example, a company can now provide financial assistance to a person to purchase shares in the company, provided, among other things, that the liquidity/solvency requirements are satisfied.

Note (b): Where the test is applied, the financial information considered must be based on:

- accurate and complete accounting records as required by the Companies Act section 28, and in one of the official languages of the Republic, and
- financial statements which satisfy the Companies Act section 29 and relevant financial reporting standards.

Note (c): The fair valuation of the assets and liabilities must include any reasonably foreseeable contingent assets and liabilities.

Note (d): The liquidity/solvency test will also help protect the company's stakeholders from abuse by the directors (or a majority shareholder) of their powers. The requirements to satisfy the liquidity/solvency test will usually be accompanied by other requirements for the transaction to be legal, for example, permission in the MOI and/or a special resolution.

Note (e): In terms of a simplified definition, a "distribution" is a direct or indirect transfer by a company of money or other property to a shareholder by virtue of that shareholder's shareholding. For example, a dividend paid to a shareholder is a distribution, but a salary paid to a shareholder who also works in the company is not a distribution. A salary is a payment to an employee. In the context of section 4, if a distribution is made, the liquidity/solvency test is only satisfied if the company can pay its debts as they become due in the ordinary course of business for 12 months from when the distribution is made, not from when the decision to make the distribution was taken.

5. Section 5 – General interpretation of the Act

5.1 Section 7 (see below) spells out the purposes of the Companies Act. This section states that where interpretation and application of the Act is required, it is to be done in a manner which gives effect to the purposes as stipulated.

5.2 This section also provides an explanation of how a particular number of business days should be calculated, for example if a section requires the submission of a document to be within 10 business days of a notification calling for the submission of a document, the 10 business days will be calculated as follows:

- exclude the day of the notification
- include the day by which the document must be submitted, and
- exclude any public holiday, Saturday or Sunday which falls between the notification date and the date by which the document must be submitted.

5.3 The section also provides guidance on situations where the Companies Act may conflict with other Acts. (Refer to the Act.)

Chapter 1 – Part B – Purpose and application

1. Section 7 – Purpose of the Act

1.1 The purposes of this Act are to:

- promote compliance with the Bill of Rights as provided for in the Constitution, in the application of company law
- promote the development of the South African economy by:
 - (i) encouraging entrepreneurship and enterprise efficiency
 - (ii) creating flexibility and simplicity in the formation and maintenance of companies, and
 - (iii) encouraging transparency and high standards of corporate governance as appropriate, given the significant role of enterprises within the social and economic life of the nation
- promote innovation and investment in South African markets
- reaffirm the concept of the company as a means of achieving economic and social benefits
- continue to provide for the creation and use of companies in a manner that enhances the economic welfare of South Africa as a partner within the global economy
- promote the development of companies within all sectors of the economy, and encourage active participation in economic organisation, management and productivity
- create optimum conditions for the aggregation of capital for productive purposes, and for the investment of that capital in enterprises and the spreading of economic risk
- provide for the formation, operation and accountability of non-profit companies in a manner designed to promote, support and enhance the capacity of such companies to perform their functions
- balance the rights and obligations of shareholders and directors within companies
- encourage the efficient and responsible management of companies
- provide for the efficient rescue and recovery of financially distressed companies, in a manner that balances the rights and interests of all relevant stakeholders, and
- provide a predictable and effective environment for the efficient regulation of companies.

2. Section 8 – Categories of companies (important section)

2.1 In terms of this Act, two types of companies may be formed and incorporated: *profit* companies and *non-profit* companies.

Note (a): A profit company means a company incorporated for financial gain for its shareholders.

Note (b): A non-profit company means a company that is incorporated for a public benefit, and the property and income of which are not distributable to its incorporators, members, directors, officers or related persons except as reasonable compensation for services rendered.

Note (c): A *profit company* is either:

- a SOC
- a private company
- a personal liability company, or
- a public company.

Note (d): A *private* company is private because its MOI:

- prohibits it from offering any of its securities to the public, *and*
- restricts the transferability of its securities (e.g. an existing shareholder may be required to obtain the consent of the other shareholders if he wishes to sell his shares).

A private company cannot be a state-owned enterprise.

Note (e): A *personal liability* company:

- must meet the criteria for a private company *and*

- its MOI must state that it is a personal liability company. This amounts to a clause in the MOI that provides that the directors and past directors are jointly and severally liable, together with the company, for any debts and liabilities of the company that were contracted during their terms of office.
- Note (f): A *public* company is a profit company that is not a SOC, a private company or a personal liability company.
- Note (g): In terms of section 11(3)(c), company names must end with the appropriate expression (or abbreviation thereof) that conveys their company category, namely:
- public company: Anglovaal Limited (or Ltd)
 - personal liability company: Mitchells' Incorporated (or Inc.)
 - private company: Rubberducks Proprietary Limited (or (Pty) Ltd)
 - state-owned company: Tollroad SOC Ltd
 - non-profit company: Educate NPC.
- Note (h): Although not formally categorised in the Act, a few provisions recognise two further “types” of company. Both of these “types” of company are exempted from a few requirements of the Act. These “types” are:
- companies where all of the shares are owned by related persons (which results in a diminished need to protect minority shareholders), and
 - companies where all the shareholders are directors (which results in a diminished need to seek shareholder approval for certain board actions and audit requirements in some circumstances).
- These are not hugely significant but are in line with making the Act more flexible.

3.4.2 Chapter 2 – Formation, administration and dissolution

Chapter 2 – Part A – Reservation and registration of company names

1. Section 11 – Criteria for names of companies

1.1 A company name may:

- comprise words in any language, irrespective of whether the words are commonly used or made up, together with
 - any letters, numbers or punctuation marks
 - any of the following symbols +, &, #, @, %, =, and
 - round brackets used in pairs to isolate any other part of the name.

1.2 The name of a company must:

- *not* be the same as or confusingly similar to:
 - the name of another company or CC
 - a name registered by another person as a defensive name (a name registered to prevent it being used by another person) or a business name in terms of the Business Names Act of 1960, unless the registered user of the defensive name or the business name has officially transferred the name to the company wishing to use it
 - a registered trademark belonging to a person other than the company, and
 - a mark, word or expression protected by the Merchandise Marks Act or registered under the Trade Marks Act
- *not* falsely imply or suggest, or reasonably mislead a person into believing incorrectly that the company is:
 - part of or associated with any other person or entity, and
 - is an organ of or supported/endorsed by the State, a foreign state, head of state, head of government or international organisation
- *not* include any word, expression or symbol, may reasonably be considered to constitute:
 - propaganda for war

- incitement of violence or harm, and
- advocacy of hatred based on race, ethnicity, gender or religion.

Note (a): Company names must end in the manner that signifies their category. (See Chapter 1 s 8 note (g).)

Note (b): In terms of the prohibitions listed in the section, the following company names would probably not be allowed. These are simply illustrative examples:

- Whites Only (Pty) Ltd
- Terrorists for God (Pty) Ltd
- Pick and Pay Enterprises (Pty) Ltd
- Government Supplies (Pty) Ltd
- SARS Consulting Inc
- Xenophobic Solutions (Pty) Ltd
- Bafana Bafana Enterprises (Pty) Ltd.

Note (c): The Act does allow a profit company to use its company's registration number as its name, but the number must be followed by the expression (South Africa), for example 97/3217 (South Africa) (Pty) Ltd. This section appears to have been included so that if a person tries to incorporate a company with a name that in use, reserved or contrary to section 11(2), the commissioner can use the registration number as the company name *in the interim*. If the company does not respond, the registration number becomes the name.

Note (d): If the company's MOI contains any restrictive condition applicable to the company or prohibits the amendment of any particular provision of the MOI the company's name must be immediately followed by the expression (RF). This alerts any person dealing with the company that the MOI contains restrictions that the person should be aware of. Section 19(5)(a) deems that a person dealing with the company knows these provisions.

Chapter 2 – Part B – Incorporation and legal status of companies

1. Section 13 – Rights to incorporate company

- 1.1 One or more persons or an organ of state may incorporate a *profit* company.
- 1.2 Three or more persons or an organ of state or a juristic person may incorporate a *non-profit* company.
- 1.3 The procedure is to:
 - complete and sign (person or proxy) a MOI
 - file a Notice of Incorporation with a copy of the MOI, and
 - pay the prescribed fee.

Note (a): The MOI can be in the prescribed form or can be in a form unique to the company.

Note (b): If the MOI includes any provision that imposes a restrictive condition applicable to the company or prohibits the amendment of any particular provision of the MOI, the Notice of Incorporation must include a prominent statement drawing attention to each such provision and its location in the MOI. Remember also that the company's name must be followed by the expression (RF) see section 11(3)(b).

Note (c): The CIPC *may* reject a Notice of Incorporation if the notice or anything to be filed with it is incomplete or improperly completed *but* only if *substantial compliance* has *not* been achieved.

Note (d): Substantial compliance simply means that if a form, document, record etc is in a form or is delivered in a manner that satisfies all the substantive requirements of its required content and delivery, the form or its delivery will be valid (s 6).

Note (e): The CIPC *must* reject a Notice of Incorporation if:

- the initial directors listed in the notice are fewer than required by the Act:
 - one director for a private company or a personal liability company
 - three directors for a public company or non-profit company
- it believes that any initial directors as set out in the notice are disqualified in terms of the Act and the remaining directors are fewer than required by the Act.

Note (f): Commission is the Companies and Intellectual Property Commission (CIPC).

2. Section 14 – Registration of company

2.1 As soon as practicable after having accepted a Notice of Incorporation, the CIPC must:

- assign a unique registration number to the company
- enter the company's information in the Companies Register
- endorse (confirm by official stamp/signature) the Notice of Incorporation (NOI) and MOI
- issue and deliver to the company, a registration certificate (dated either on the date of issue or the date stated in the NOI (if any) by the incorporators, whichever is later).

Note (a): A registration certificate is conclusive evidence that:

- all the requirements for incorporation have been complied with, and
- the company is incorporated from the date stated on the certificate.

3. Section 15 – Memorandum of Incorporation, shareholder agreements and rules of the company

3.1 Each provision of the MOI:

- must be consistent with the Act, and
- will be void to the extent that it contravenes or is inconsistent with the Act.

Note (a): The MOI deals with numerous matters necessary to operate the company. The matters dealt with by the MOI include, among other things:

- details of the incorporation of the company, for example, date and type of company
- alteration of the MOI
- authorised shares; number and class
- authority of the board to issue debt instruments
- shareholders' rights
- shareholders' meetings, for example notice, location, quorum, resolutions
- directors – composition of the board, meetings, committees, compensation.

Note (b): The MOI may include a provision:

- dealing with a matter that the Act does not address
- altering the effect of any *alterable provision* (see note (f) below) in the Act, for example providing for lower quorum requirements for shareholders' meetings
- imposing on the company a higher standard, greater restriction, a longer period or any more onerous requirement than would otherwise apply to the company in terms of an *unalterable* provision of this Act. In effect, it appears that an unalterable provision can be altered but only if it makes the provision stricter
- which contains restrictive conditions applicable to the company (including requirements to amend such condition) or which prohibits amendment to any particular provision of the MOI, for example, the requirement that a special resolution may not be passed by less than 75% of all members' votes cannot be altered (the Act allows this percentage to be less).

Note (c): In addition to the MOI, the board has the authority to make, amend or repeal any necessary or incidental *rules* relating to the governance of the company in respect of matters not addressed in the Act or the MOI. These *rules* must be:

- consistent with the Act and the MOI, otherwise they will be void
- published in terms of the requirements for the publishing of rules contained in the MOI, and
- filed with the CIPC.

Note (d): A rule will take effect on a date later than ten business days after the rule has been filed or the date specified in the rule itself.

- The rule will be binding on an interim basis until the next general shareholders' meeting and on a permanent basis if it is ratified by ordinary resolution.

If a rule is not ratified, the directors may not make a (substantially) similar rule within 12 months, unless approved in advance by an ordinary shareholder resolution. Example of a rule: the company may not invest in derivatives.

Note (e): A company's MOI and rules are binding:

- between the company and each shareholder
- between or among the shareholders of the company
- between the company, and
 - each director or prescribed officer, or
 - any person serving as a member of any committee of the board.

Note (f): An alterable provision is a provision of the Act which can be altered by the MOI of a company. The result of the alteration may be to negate, restrict, limit, qualify, extend or otherwise alter in substance or effect the existing provision of the Act. Some provisions of the Act may *not* be altered under any circumstances, for example a public company cannot decide not to appoint an auditor, but it would appear that a company could, in terms of section 15(b), alter this provision by stipulating stricter audit requirements, such as having two different auditors performing the annual audit independently of each other!

Note (g): In terms of section 15(7), the shareholders of a company may enter into agreements (termed shareholders' agreements) amongst themselves in respect of any matter relating to the company. Any such agreement:

- must be consistent with the Act and the MOI, and
- will be void if it is not consistent.

Example: Bob Dobb, Fred Free, and Dave Dimm hold 40, 30 and 30 of the 100 shares in DimDob (Pty) Ltd, respectively. The company's MOI states that each share held attracts at least one vote. A shareholders' agreement that states that Bob's shares attract 80 votes while Fred and Dave's shares attract 30 votes each, would be acceptable if agreed by all shareholders. In effect, this would give control of DimDob (Pty) Ltd to Bob.

4. Section 16 – Amending the Memorandum of Incorporation

4.1 A company may amend its MOI.

Note (a): The board *or* shareholders entitled to exercise at least 10% of the voting rights may propose a *special* resolution to make the amendment.

Note (b): The company's MOI may provide different requirements concerning proposals to amend the MOI.

Note (c): An amendment to the MOI in compliance with a court order is effected by the board and does not require a special resolution.

Note (d): As expected, where an amendment has been made, the company must file a Notice of Amendment with the CIPC with the prescribed fee.

5. Section 19 – Legal status of companies read in conjunction with section 20 – Validity of company actions

5.1 From the date and time that the incorporation of a company is registered, it is a juristic person that exists continuously until its name is removed from the companies register in accordance with the Act. A company has all the legal powers and capacity of an *individual* except to the extent that:

- a juristic person is incapable of exercising any such power, or having any such capacity, for example a juristic person cannot exercise the power of an individual to get married, and
- the company's MOI provides otherwise.

5.2 In terms of section 19(1)(c), the company is constituted in terms of the provisions in its MOI. In effect the company is defined by its MOI.

5.3 In terms of section 19(2), a person is not *solely* by reason of being an incorporator, shareholder or director, liable for any liabilities or obligations of the company, except to the extent that the Act or MOI provides otherwise. In a personal liability company, the directors and past directors will be jointly and severally liable, together with the company, for the debts and liabilities of the company contracted during their respective periods of office. (Personal liability companies must insert a clause to this effect in the MOI.)

5.4 In terms of section 19(4), a person must not be regarded as having received notice or knowledge of the contents of any document (e.g., MOI, Rules) merely because the document:

- has been filed, or
- is accessible for inspection at the office of the company

but in terms of section 19(5), a person must be regarded as having notice and knowledge of any restrictive or prohibitive section 15(2)(b) and (c) provisions in the MOI if:

- the company's name includes the element RF (refer to notes on section 11), and
- the company's NOI or any subsequent Notice of Amendment (NOA) has drawn attention to the restrictive or prohibitive sections.

This is very important for people or companies dealing with a company with (RF) attached to its name – the reason for the (RF) must be followed up.

Note (a): In terms of the Companies Act 1973, a company was required to state its “main” and “ancillary” objects in its Memorandum. This in a sense defined the company's capacity, and thus any action by the company which appeared to be outside the stated objects of the company could be challenged as being beyond the company's capacity and, therefore, an “*ultra vires*” act. In terms of the common law, *ultra vires* acts are null and void. For example, could a company that had a primary objective of being a wholesaler of clothing decide to open a video store, or would that have been an *ultra vires* act?

The Companies Act does not require that the company state its “main” and “ancillary” objects, and, at the same time gives the company the legal power of an individual. So in terms of the Act there is nothing to prevent a company that sells clothing from opening a video store. Thus the difficulty with “capacity/*ultra vires*” has been largely removed by the Act (see note (b)).

Note (b): The company's shareholders can still limit, restrict or qualify the purposes, powers or activities of their company in the MOI. For example, the MOI may expressly prohibit the company's directors from purchasing financial derivatives (e.g. options or futures). This gives rise to some interesting questions. For example:

Q1. If the company purchases futures through XYZ Stockbrokers and subsequently suffers loss, can the company refuse to make good (pay up) on the loss because the company had no capacity (it was restricted in the MOI) to purchase the futures and therefore the transaction was null and void?

A1. In terms of section 20(1), no action of the company is void by reason only that:

- the action was prohibited by the MOI, or
- as a consequence of the limitation, the directors had no authority to authorise the action.

Q2. Can the company get out of the transaction because XYZ Stockbrokers should have known that the company was prohibited from purchasing futures because the MOI is a public document (constructive notice)?

A2. In terms of section 19(4), a person is not deemed to know the contents of a document merely because the document:

- has been filed, or
- is accessible for inspection.

Furthermore, in terms of section 20(7), XYZ Stockbrokers are entitled to presume that the company complied with all of the formal and procedural requirements (such as obtaining authority) in terms of the Act, the company's MOI and rules unless:

- they know or reasonably ought to have known, that the company had failed to comply with the requirement.

However, both the answers to Q1 and Q2 are influenced by section 19(5), which states that a person (XYZ Stockbrokers) must be regarded as knowing restrictive provisions in the company's MOI if the company's name contains the element (RF), which it should!

Q3. Can the shareholders ratify (approve) an action by the company or the directors that the MOI actually restricts? For example, could the shareholders ratify the director's action of purchasing the futures?

A3. Yes. In terms of section 20(2), they may ratify the action by special resolution. (Note: An action that is in contravention of the Companies Act cannot be ratified.)

- Q4. Can a director who discovers that his fellow directors (the company) are about to carry out an action that is prohibited by the MOI restrain (prevent) the company from doing so, for example, prevent the directors from purchasing futures from XYZ Stockbrokers?
- A4. Yes. In terms of section 20(5), one or more shareholders or directors may take proceedings to restrain the company.
- Q5. Do the shareholders have a claim for damages against a director who causes the company to do anything inconsistent with the Act or any restrictions, etc., in the MOI or rules? For example, can a shareholder sue the directors for losses suffered in the futures transaction with XYZ Stockbrokers?
- A5. Yes – section 20(6). This section says that each shareholder of a company has a claim for damages against any person who intentionally, fraudulently or due to gross negligence, causes the company to do anything inconsistent with the Act or with a limitation, restriction, or qualification in the MOI or rules, unless the shareholders have ratified the action.

6. Section 21 – Pre-incorporation contracts

6.1 A person may enter into a written agreement in the name of, or purport to act in, or on behalf of, an entity that has not yet been incorporated (does not exist).

Note (a): This section is necessary, because before incorporation, the company does not exist as a juristic person and therefore cannot exercise its powers.

Note (b): Within three months after its date of incorporation, the board of the company may:

- completely, partially or conditionally ratify or reject the pre-incorporation contract.

Note (c): If the company fails (takes no action) to ratify or reject the pre-incorporation contract, the company will be *deemed* to have ratified the contract.

Note (d): Although the other party should always be cautious when entering a pre-incorporation contract, the section does provide some protection:

- the person who purported to be acting on behalf of the company yet to be incorporated is jointly and severally liable with any other such person for all liabilities created while so acting if:
 - the entity is *not* incorporated, or
 - the entity, once incorporated, rejects the contract (or any part thereof).

7. Section 22 – Reckless trading prohibited

7.1 A company must not:

- carry on its business recklessly, with gross negligence, with intent to defraud any person or for any fraudulent purpose.

Note (a): If the CIPC has reasonable grounds to believe that a company is contravening this section or is unable to pay its debts as they become due and payable in the normal course of business, the Commission may issue a notice to the company to show cause why the company should be permitted to continue carrying on its business or trade.

Note (b): The company has 20 business days to satisfy the Commission that it is not contravening the section or can pay its debts. If the company does not achieve this, the Commission may issue a compliance notice requiring it to cease trading.

Note (c): This section may prove cumbersome to implement but has been included so that the Commission has the power to intervene against errant companies.

Chapter 2 – Part C – Transparency, accountability and integrity of companies

1. Section 23 – Registered office

1.1 Section 23(3). Every company must continuously maintain at least one office in the Republic.

Note (a): The company must register the address of its office when filing its NOI. If the address changes, the company must file a notice of change with the prescribed fee.

Note (b): This section deals extensively with external companies.

2. Section 24 – Form and standards for company records

- 2.1 A company must keep all documents, accounts, books, writing, or other information that it is required to keep in terms of this Act or any other public regulation;
- in written form, or
 - in electronic or other form that allows it to be converted to written form within a reasonable time and they must be kept
 - *for a period of seven years* (or any longer period if so specified by other applicable regulations).
- 2.2 Every company must maintain:
- a copy of its MOI (including amendments) and any Rules the company has made
 - a record of its directors (see note (c) below)
 - copies of all reports presented at an AGM
 - copies of annual financial statements
 - accounting records as required by the Act
 - notice and minutes of shareholders meetings, including all resolutions adopted and supporting documentation made available to the holders of securities related to it
 - copies of any written communications sent to shareholders (all classes of shares), and
 - minutes of all meetings of directors, or directors' committees and of the audit committee.

Note (a): Every *profit* company must maintain a securities register (see note to s 50).

Note (b): Every *profit* company must maintain a register of its company secretary and auditors if they have made such appointments (not all profit companies are obliged to have a company secretary or auditor).

Note (c): The company's record of directors must include for each director:

- full name and any former names
- identity number or if no ID number, date of birth
- if not a South African, nationality and passport number
- occupation
- date of most recent appointment as a director, and
- name and registration number of every other company (including a foreign company) of which the person is a director, and its nationality in the case of a foreign company.

Note (d): In terms of section 25, the company's records should be accessible at the company's registered office or from other locations in the Republic:

- if the records are not at the registered office, or are moved from one location to another, the company must file a notice of location of records.

Note (e): In terms of regulation 23, a company's record of directors must include, for each director:

- the address for service for that director
- in the case of a company that is required to have an *audit committee*, for example, a public company, any professional qualifications and experience of that director to enable the company to comply with the qualification requirements for an audit committee,

3. Section 26 – Access to company records

3.1 A person who holds or has a beneficial interest in any securities issued by a company has a right to *inspect* and *copy* the information contained in the company's records as listed in section 24 paragraph 2.2 above (but see note (a) below).

3.2 Such a person also has a right to any other information to the extent granted by the MOI.

Note (a): This right of access does *not* extend to the minutes of meetings and resolutions of directors, directors' committees or the audit committee *or* to the *accounting records*.

Note (b): The right of access in terms of this section is in addition to any right arising from section 32 of the Constitution, the Promotion of Access to Information Act or any other public regulation.

Note (c): It will be an offence by the company if it fails to accommodate any reasonable request for access or to refuse, impede, interfere with or attempt to frustrate any person entitled to information from exercising his rights.

Note (d): In terms of section 31, a person who holds securities in a company is entitled to receive notice of publication of the AFS, and on following the required steps, to receive, without charge, one copy of the AFS.

4. Section 27 – Financial year of company

4.1 The company must have a financial year:

- the year-end date must be stated in the NOI
- the financial year will be the company's accounting period
- a company may change its year-end by filing a notice of that change, but not to a date prior to the date on which the notice is filed.

5. Section 28 – Accounting records

5.1 A company must keep accurate and complete accounting records in one of the official languages of the Republic.

Note (a): Records must satisfy the requirements of the Act and any other law to facilitate the preparation of financial statements and include any prescribed accounting records, for example, a fixed asset register.

Note (b): Accounting records must be kept at or be accessible from the company's registered office.

Note (c): If a company, with *an intention to deceive or mislead any person*:

- fails to keep accurate or complete records, or
- keeps records other than in the prescribed manner and form, or
- falsifies or allows its records to be falsified

it will be guilty of an offence.

6. Section 29 – Financial statements

6.1 If a company provides any financial statements (including AFS) to any person, for any reason, those statements must:

- satisfy the *financial reporting standards* as to form and content
- *present fairly* the state of affairs and business of the company, and explain the transactions and financial position of the business
- show the company's *assets, liabilities and equity* as well as its *income and expenses*
- set out the *date of publication* and the *accounting period* of the statements
- prominently indicate on the first page of the statements whether the statements
 - have been audited, or
 - independently reviewed, or
 - have *not* been audited or independently reviewed, and
 - state the name and professional designation if any, of the individual who prepared or supervised the preparation of, those statements.

Note (a): Financial statements must not be false, misleading or incomplete in any material respect.

Note (b): Any person (e.g. financial director) who is a party to the preparation, approval, dissemination or publication of financial statements that do not comply with 6.1 above or that are materially false or misleading will be guilty of an offence.

Note (c): This section gives the Minister power to prescribe financial reporting standards. These standards must be consistent with the International Financial Reporting Standards (IFRS). See Companies Regulations 27.

Note (d): A *summary* of the financial statements may be provided by the company, but the first page of the summary must prominently state:

- that the document is a summary, and identify the financial statements which have been summarised

- whether the financial statements that have been summarised were audited, independently reviewed or neither
- the name and professional designation (if any) of the individual who prepared or supervised the preparation of the financial statements which have been summarised, and
- the steps required to obtain a copy of the financial statements which have been summarised.

Note (e): Section 29 gives legal force to the accounting standards, for example, IFRS, IFRS for SMEs.

7. Section 30 – Annual financial statements

To understand the requirements of section 30 of the Companies Act, it is necessary to understand *regulations 26 to 29*. The important points on *section 30* are included in the summary below. The discussion on the pertinent regulations is at the start of the chapter. We recommend that you work through the section and the regulations concurrently.

7.1 A company must prepare annual financial statements within *six* months after the end of the financial year.

7.2 In the case of a *public* company, the financial statements must be *audited*.

7.3 In the case of *any other profit (or non-profit) company* the financial statements *must* be:

- audited if so required by regulation 28
- audited voluntarily if the MOI, or a shareholders' resolution or the board requires it, or
- independently reviewed in terms of regulation 29.

Note (a): In terms of his powers granted in section 30(7) of the Companies Act, the Minister has, in regulations 28 and 29, prescribed which categories of companies must be audited and which companies must be independently reviewed. This categorisation is based upon the public interest score of the company, as explained in regulation 26.

Note (b): A voluntary audit may arise from a requirement in the company's MOI, an ordinary shareholders' resolution or a decision by the board.

Note (c): The requirements of the "independent review" have been formulated by the Minister in regulation 29.

Note (d): A company will be exempted from the requirement to be *audited* or *independently reviewed* if:

- every person who is a shareholder (security holder) is also a director of the company *unless* the company falls into a class of company required to have its annual financial statements audited in terms of the regulations, for example, it has a public interest score of more than 350.

Note (e): The annual financial statements must:

- include an auditor's report (if audited)
- include a directors' report dealing with the state of affairs, the business and profit and loss of the company, any matter material for the shareholders to appreciate the company's state of affairs and any prescribed information
- be approved by the board and signed by an authorised director (usually managing director/ chief executive officer), and
- be presented at the first shareholders' meeting after the board has approved the financial statements.

Note (f): The annual financial statements of a company that is required to have its statements audited must include:

- the amount of remuneration and benefits received by each director
- pensions paid and payable to past and present directors or a pension scheme for their benefit
- amounts paid in respect of compensation paid for loss of office
- the number and class of any securities issued to a director or a person related to the director (related as defined) and the consideration received by the company, and
- details of service contracts of current directors.

Note (g): The term remuneration is all-embracing and includes:

- fees, salary, bonuses, performance related payments
- expense allowances (for which the director is not required to account)
- contributions paid under any pension scheme not otherwise disclosed
- value of options given directly or indirectly to a director, past or future director or person related to them
- financial assistance for the purchase of shares to any director, past or future director or person related to them, and
- concerning any financial assistance or loan made, the amount of any interest deferred, waived or forgiven or the difference between the amount of interest that would reasonably be charged in comparable circumstances at fair market rates in an arm's-length transaction and the interest actually charged, if the actual interest is less, for example, the fair market rate on R1m loan is 10%; a loan was granted to a director at 2%; therefore disclose R80 000 remuneration.

Note (h): This disclosure is also applicable to prescribed officers of the company.

Note (i): A person who holds or has a beneficial interest in any security of a company is entitled to receive:

- without notice of the publication of the AFS setting out the steps required to obtain a copy
- on-demand, without charge, one copy of the AFS.

8. Section 32 – Use of company name and registration

- 8.1 A company must provide its full registered name or registration number to any person on demand, and not misstate its name or registration number in a manner likely to mislead or deceive any person.
- 8.2 A person must not use the name or registration number of a company in a manner likely to convey the impression that the person is acting on behalf of the company unless authorised to do so by the company.
- 8.3 Every company must have its name or registration number mentioned in legible characters in all notices and official publications of the company and all bills of exchange, promissory notes, orders for money or goods and in all letters, delivery notes, invoices, receipts and letters of credit.

9. Section 33 – Annual return

- 9.1 Every company must file an annual return in the prescribed form with the prescribed fee and within the prescribed period after its financial year-end.

10. Section 34 – Additional accountability requirements for certain companies

- 10.1 Public companies and state-owned companies must comply with Chapter 3 of the Companies Act.
- 10.2 Private companies, personal liability companies and non-profit companies are not required to comply, except to the extent that the MOI provides otherwise (i.e. voluntary adoption).

Note (a): Chapter 3 makes it obligatory for a public company to appoint:

- an auditor
- an audit committee, and
- a company secretary.

Chapter 2 – Part D – Capitalisation of profit companies

1. Section 35 – Legal nature of company shares and requirement to have shareholders

- 1.1 A share is movable property, transferable in any manner provided for in the Act (or other legislation).
- 1.2 A share does *not* have a nominal or par value.
- 1.3 A company may not issue shares to itself.
- 1.4 An *authorised* share has no rights associated with it *until* it has been issued.

Note (a): The concept of a *par value* share has been abandoned. There are thousands of companies that currently have par value shares in issue; these shares retain the description and rights they had before the introduction of the new Act but will in due course have to be “converted” to no-par value shares in terms of the transitional arrangements.

2. Section 36 – Authorisation for shares

2.1 The company’s MOI *must* set out:

- the classes and number of shares that the company is authorised to issue
- a distinguishing designation (name) for each class of share, and
- the preferences (e.g. to dividends), rights (e.g. voting) and limitations (e.g. aspects of voting), applicable to each class of share.

Note (a): The MOI *may* authorise a stated number of unclassified shares for subsequent classification by the board, and may set out a class of shares without specifying its preferences, rights and limitations. Obviously, before issue, all of the above must be determined (by the board).

Note (b): The authorisation, classification and number of authorised shares, as well as the preferences, rights and limitations, may be changed only by:

- an amendment to the MOI by *special resolution*, or
- the board of the company (but see note (c)).

Note (c): Except to the extent that the MOI provides otherwise, the board may:

- increase or decrease the number of authorised shares for any class of shares
- reclassify any classified authorised but unissued shares
- classify any unclassified shares (note (a)), and
- determine the preferences, rights and limitations of any shares described in note (b).

If the directors carry out any of the above actions, the MOI must still be amended (i.e., file a notice of amendment).

3. Section 37 – Preferences, rights, limitations, and other share terms

3.1 All the shares within a class of shares will have the same preferences, rights and limitations as other shares in that class.

3.2 Each issued share of a company has a general voting right (a general voting right is a vote that can be exercised “generally at a shareholders’ meeting”) unless the MOI provides otherwise. This is interpreted to mean that a voting right can be limited but not taken away entirely. (See note (a).)

Note (a): On a matter which affects the preferences, rights or limitations of a share, the shareholder of that share has an irrevocable right to vote on that matter. (The MOI cannot change this.)

Note (b): If the company has only *one class of share*:

- the shareholder has a right to vote on every matter to be decided by the shareholders, and
- is entitled to receive the net assets of the company upon its liquidation.

Note (c): If the company has *more than one class of share*, the MOI must ensure:

- at least one class of share has voting rights for each particular matter that may be submitted to the shareholders (note that all classes may be entitled to vote on all matters, but not necessarily)
- at least one class of share is entitled to receive the company’s net assets on its liquidation (note again that all classes may be entitled to a portion of the net assets).

Note (d): The company’s MOI may:

- confer special, conditional or limited voting rights
- provide for redeemable or convertible shares, specifying how the share will be redeemed, when it will be redeemed, how the price will be determined, etc.
- entitle the shareholders to distributions (e.g. dividends) calculated in any manner, and designed as cumulative, non-cumulative, etc., and
- designate a share as preferent (over other classes) about dividends and other distributions.

Note (e): If the preferences, rights or limitations attached to a share have been materially and adversely altered, a holder may apply for relief (s 164 covered later).

4. Section 38 – Issuing shares

4.1 The board of the company may issue shares at any time (shares must be *authorised*, etc., in the MOI).

Note (a): If the board issues shares that have not been authorised or are in excess of the number of authorised shares per the MOI, the issue can be retroactively authorised within 60 business days (this will be by special resolution).

Note (b): If this resolution is not passed, the issue is null and void to the extent that authorisation has been exceeded. Subscribers must be repaid, including interest, and all share certificates (and entries in the share register) must be nullified.

Note (c): A director who was party to the issue may be liable for any loss suffered by the company due to the invalid issue.

5. Section 39 – Subscription of shares

5.1 If a *private* company proposes to issue shares, each (existing) shareholder, has a right, before any person who is not a shareholder, to be offered, and within a reasonable time, to subscribe for a percentage of the shares to be issued, equal to the voting power of that shareholder's general voting rights, immediately before the offer was made.

For example:

Joe Egg has general voting rights to 35% of the company's shares. The company wishes to issue 1 000 shares. Joe has a pre-emptive right to 350 shares but could also decide to subscribe to a lesser number of shares, for example, 150 shares.

5.2 A company's MOI may limit, negate, restrict or place conditions upon this pre-emptive right.

6. Section 40 – Consideration for shares

6.1 The board may issue authorised shares only:

- for *adequate* consideration as determined by the board, or
- in terms of existing conversion rights, or
- as a capitalisation issue.

Note (a): The consideration determined by the directors cannot be challenged on any basis other than that the directors did *not* act in good faith, in the best interests of the company and with the degree of skill and diligence reasonably expected of a director.

Note (b): Only once a company has received the consideration, will the share be considered to be fully paid. Once issued and paid, the shareholder's details must be entered in the "securities register".

7. Section 41 – Shareholders' approval for issuing shares in certain cases

7.1 If a share (option, security convertible into a share etc) is to be issued to:

- a director, future director, prescribed officer, or future prescribed officer
- a person related or inter-related to the company or a director, future director, etc., or
- a nominee of any of these persons, the issue must be approved by *special resolution* of the shareholders.

Note (a): Don Ndungane is a director of Wingerz (Pty) Ltd. The board wishes to issue shares to:

- i. Don Ndungane – special resolution
- ii. Mary Ndungane (Don's wife) – special resolution
- iii. Dons (Pty) Ltd – (the company controlled by Don and his wife) – special resolution
- iv. Mike Zuma as a nominee to Don Ndungane (Mike Zuma is Don Ndungane's second cousin) – special resolution because of nominee relationship (not because of family connection).

Note (b): The special resolution requirement will *not* be required where the issue:

- is under an agreement underwriting the shares (etc.)
- in proportion to existing holdings on the same terms and conditions as have been offered to all shareholders (or to all shareholders of the class of shares being issued)
- is the fulfilment of a pre-emptive right

- is in accordance with an employee share scheme, and
- is an offer to the public.

Note (c): A “future” director or prescribed officer who becomes a director or prescribed officer more than six months after the issue is not considered a “future” director or prescribed officer for the purposes of this section.

8. Section 43 – Securities other than shares

- 8.1 The board may authorise the issue of debt instruments except to the extent provided by the MOI (e.g. convertible debentures).
- 8.2 Debt instruments can be unsecured or secured.
- 8.3 Other than to the extent provided by the MOI, a debt instrument may grant special privileges to the holder.

For example:

- attending and voting at general meetings
- voting on the appointment of directors, and
- redemption of the instrument or conversion to shares.

9. Section 44 – Financial assistance for subscription of securities

- 9.1 A company may provide financial assistance to any person for the purchase of any security (share, etc.) of the company itself or a related company, for example, a holding company, *provided*:
- any conditions or restrictions in respect of the granting of financial assistance set out in the MOI are adhered to, and
 - the board is satisfied that:
 - immediately after providing the financial assistance, the company would satisfy the liquidity/solvency test
 - the terms under which the financial assistance is proposed, are fair and reasonable to the company, and
 - a *special resolution* is obtained (see note (d)).

Note (a): The requirements of this section do not apply to a company whose primary business is the lending of money.

Note (b): Financial assistance can be a loan, guarantee, or provision of security.

Note (c): If financial assistance is given in contravention of this section or the MOI, the transaction will be void and a director will be liable for any losses incurred by the company, if:

- the director was present at the meeting when the board approved the resolution, or participated in the making of the decision, and
- failed to vote against the resolution knowing that the provision of financial assistance was inconsistent with the Act or MOI.

Note (d): The special resolution must have been passed within the previous two years. The approval given by the special resolution can be for a specific recipient or generally for a category of potential recipients.

Note (e): A special resolution is not required if the financial assistance is in accordance with an employee share scheme (other requirements must be satisfied).

Note (f): The MOI (or company or board) cannot permit the granting of financial assistance in contravention to this section, for example, the MOI cannot contain a clause, and the directors cannot pass a resolution that overrides the requirement to apply the liquidity/solvency test.

10. Section 45 – Loans or other financial assistance to directors

10.1 A company may provide direct or indirect financial assistance (for any purpose) to:

- a director of the company or a related company, for example, a holding company, or
- to a related or inter-related company or corporation, or
- to a member of a related or inter-related corporation, or

- to any such person related to such corporation, company, director, prescribed officer or member *provided*
- any conditions or restrictions in respect of the granting of financial assistance set out in the MOI are adhered to, and
- the board is satisfied that:
 - immediately after providing the financial assistance, the company would satisfy the liquidity/solvency test
 - the terms under which the financial assistance is proposed are fair and reasonable to the company, and
- a *special resolution* is obtained (see note (d) below).

Note (a): The requirements of this section do not apply to:

- a company whose primary business is the lending of money
- financial assistance in the form of an accountable advance to meet
 - legal expenses about a matter concerning the company, or
 - anticipated expenses to be incurred by the person on behalf of the company, or
 - amounts to defray the recipient's expenses for removal (relocation) at the company's request.

Note (b): Financial assistance can be a loan, guarantee, or provision of security.

Note (c): If financial assistance is given in contravention of this section or the MOI, the transaction will be void, and a director will be liable for losses suffered by the company, if:

- the director was present at the meeting when the board approved the resolution or participated in making such decision, and
- failed to vote against the resolution, despite knowing that the provision of financial assistance was inconsistent with the Act or the MOI.

Note (d): The special resolution must have been passed within the previous two years. The approval given by the special resolution can be for a specific recipient or generally for a category of potential recipients.

Note (e): If the loan is made to a director according to an employee share scheme, a special resolution is not required (other requirements must be satisfied).

Note (f): The MOI (or company or board) cannot permit the granting of a loan in contravention of this section, for example the MOI cannot contain a clause, and the directors cannot pass a resolution that overrides the requirement to apply the liquidity/solvency test.

Note (g): Where the board adopts a resolution to provide financial assistance (as contemplated by this section), the company must provide written notice of the resolution to all shareholders (unless every shareholder is a director) *and to* any trade union representing the company's employees.

- If the total value of all financial assistance given within the financial year exceeds one-tenth of 1% of the company's net worth at the time of the resolution, this notice must be given within *ten business days* of the adoption of the resolution.
- If the total value does not exceed one-tenth of 1% of net worth, the notice must be given within 30 days after the end of the financial year.

Note (h): This section is simpler than its predecessor (Companies Act 1973 s 226) but is still cast very wide. The intention is to control abuse by the directors by, for example, making loans to themselves which are not in the interests of the company. The section does not seek to prejudice the directors but rather to control them. The section seeks to control financial assistance to a director in whatever "form" that director may be, for example, a CC or company controlled by the director, or a person related (as defined) to the director, such as his wife. The section also covers directors of companies related to the company granting the loan, for example, its holding company, subsidiary or fellow subsidiary.

Note (i): The section also applies to "prescribed officers" of the company.

11. Section 46 – Distributions must be authorised by the board

11.1 A “distribution” has a defined meaning in the context of the Act. It amounts to a transfer of money or other property to or for the benefit of one or more holders of any of the company’s shares or of another company within the same group of companies. A person receives a “distribution” by virtue of being a shareholder.

11.2 Examples are:

- dividends
- payments instead of capitalisation shares
- share “buy-backs”
- incurring a debt for the benefit of a shareholder, and
- cancelling a debt owed by a shareholder (forgiveness).

11.3 A company must not make a distribution unless the distribution:

- is according to an existing legal obligation or court order, *or*
- the board of the company has passed a resolution authorising the distribution, *and*
- it reasonably appears that after the distribution, the company will satisfy the liquidity and solvency test, *and*
- the board resolution states that the directors applied the liquidity and solvency test and reasonably concluded that the test requirements were satisfied.

Note (a): If a distribution has not been carried out within 120 business days of making the resolution, the board must *reconsider* the liquidity and solvency of the company and may not proceed with the distribution unless a further resolution is taken to make the distribution. The resolution must again acknowledge that the directors carried out the liquidity and solvency test.

Note (b): If a director was present at the meeting, or participated in the making of the decision to make the distribution and failed to vote against it knowing that it was contrary to the requirements of this section (s 46), he may be liable for any loss, damage or cost sustained by the company.

12. Section 47 – Capitalisation shares

12.1 Except as the MOI provides otherwise, the board may, by resolution, approve the issuing of any authorised shares of the company as capitalisation shares on a pro-rata basis to existing shareholders.

Note (a): When resolving to award a capitalisation share, the board may permit a shareholder to receive a cash payment instead at a value determined by the board. This would amount to a distribution and require applying the liquidity and solvency test by the directors.

13. Section 48 – Company or subsidiary acquiring company’s shares

13.1 A company may acquire (buy back) its own shares. This will be a distribution as defined and the requirements of section 46 must be satisfied (board resolution, liquidity/solvency requirements).

13.2 A subsidiary of a company may acquire shares of its holding company but:

- not more than 10% of the total issued shares of any class may be held by all of the subsidiaries of that holding company taken together, and
- the voting rights attached to the shares held by the subsidiary(ies) *may not be exercised* while held by the subsidiary (while it remains a subsidiary).

Note (a): Where a buy-back has taken place, the stated capital must be reduced by the amount arrived at by using the following “formula”:

$$\text{Number of shares acquired} \quad \times \quad \frac{\text{stated capital}}{\text{number of issued shares}}$$

If there are various classes of shares, the formula will be applied by class of share.

Note (b): The share certificates pertaining to the shares acquired will be cancelled and revert to the authorised shares status.

Note (c): If the company acquires any shares contrary to section 46 or this section (s 48), the company must apply for a court order to reverse the acquisition no more than two years after the acquisition. The court may order that:

- the person from whom the shares were acquired return the amount paid by the company, and
- the company re-issue an equivalent number of shares of the same class.

Note (d): A director of the company will be liable for any loss, damages or costs arising from an acquisition of shares contrary to section 46 or section 48 if:

- he was present at the meeting when the board approved the acquisition or he participated in the making of the decision, and
- failed to vote against the acquisition despite knowing it was contrary to sections 46 or 48.

Note (e): A decision by the board to “buy back” shares held by a *director* or prescribed officer or a person related to the director or prescribed officer must be approved by a *special resolution*.

If any buy-back involves the acquisition of more than 5% of the issued shares of any particular class of the company’s shares, the decision is subject to the requirements of sections 114 and 115, which deal with “schemes or arrangements”.

Chapter 2 – Part E – Securities registration and transfer

1. Section 49 – Securities to be evidenced by certificates or uncertificated

1.1 Any security (e.g. share) must either be:

- certificated (evidenced by the issue of a certificate), or
- uncertificated (no certificate issued).

Note (a): Simplistically stated, the company will issue a hard copy certificate when a security is *certificated*. Where the security is *uncertificated* its details will be held in a central securities depository database.

Note (b): Whether security is *certificated* or *uncertificated* does not affect the rights and obligations attaching to the security.

2. Section 50 – Securities register and numbering

2.1 Every company must establish and maintain a register of its issued securities which contains the details of the security and the holder, and any “transfers” of securities.

Note (a): Where a company issues uncertificated securities, a record is maintained (usually) by a central securities depository, which acts as the company’s uncertificated securities register.

Note (b): Unless all the shares of a company rank equally for all purposes, the shares or each class of shares must be distinguished by an “appropriate numbering system”.

3. Sections 51, 52 and 53 – Registration and transfer of certificated and uncertificated securities

3.1 A certificate evidencing any certificated security must state on its face:

- the name of the issuing company
- the name of the person to whom security was issued
- the number and class and designation, if any, of the share being issued, and
- any restrictions on transfer.

Note (a): The certificate must be signed (manually or by electronic or mechanical means) by two persons authorised by the company’s board.

Note (b): In the absence of evidence to the contrary, the certificate is satisfactory proof of ownership.

3.2 A company that has its uncertificated securities administered by a central securities depository may request the depository to furnish it with all details of its uncertificated securities reflected on the depository’s database.

Note (c): A person who holds a beneficial interest in any security of the company and who wishes to inspect the uncertificated securities register, may do so, but must do it:

- through the relevant company, and
- following the rules of the central securities depository.

The depository must, within five business days, produce a record of the company's uncertificated securities register reflecting the names and addresses of the persons to whom securities were issued, the number of securities issued to them, and any other recorded details pertaining to the security, for example, restrictions on transfer.

Note (d): The depository may only effect the transfer of uncertificated securities held in an uncertificated securities register:

- on receipt of an authenticated instruction, or
- an order of court.

The transfer must comply with the rules of the depository.

4. Section 55 – Liability relating to uncertificated securities

4.1 A person who takes any unlawful action which results in any of the following, concerning the securities register or uncertificated securities ledger, is liable to any person who has suffered any direct loss or damage arising from that unlawful action:

- the name of any person (unlawfully) remains in the register or is removed or omitted
- the number of securities is (unlawfully) increased, reduced or left unaltered, or
- the description of the securities is (unlawfully) changed.

Chapter 2 – Part F – Governance of companies

1. Section 57 – Interpretation and application of this part

1.1 In this part, a shareholder is defined as any person entitled to exercise any voting right irrespective of the form, title or nature of the security to which the voting right attaches.

1.2 This section recognises certain ownership/directorship arrangements which exist in some companies, and seeks to simplify the governance of those companies.

- If a *profit* company has only *one shareholder*, that shareholder may exercise any or all of the voting rights pertaining to any matter, at any time, without notice or compliance with internal formalities, except to the extent that the MOI provides otherwise.
- If a *profit* company has only *one director*, that director may exercise or perform any function of the board at any time, without notice or compliance with internal formalities, except to the extent the MOI provides otherwise.
- If *every shareholder* of a company is also a *director* of that company, any matter that is required to be referred by the board to the shareholders may be decided by the shareholders at any time after the matter has been referred without notice or compliance with any other internal formalities, except to the extent that the MOI provides otherwise, provided that:
 - every such person was present at the board meeting when the matter was referred to them in their capacity as shareholders
 - sufficient persons were present in their capacities as shareholder to satisfy quorum requirements, and
 - a resolution adopted by those persons in their capacity as shareholders has at least the support that would be required for it to be adopted as an ordinary or special resolution at a properly constituted meeting.

Note: If these requirements are not satisfied, a properly constituted shareholder's meeting will have to be held.

2. Section 58 – Shareholders right to be represented by proxy

2.1 A shareholder may appoint an individual as a proxy to:

- participate in, speak and vote at a shareholders' meeting
- give or withhold written consent when shareholders' consent is sought outside of a meeting of shareholders.

Note (a): A proxy appointment:

- can be made at any time

- must be in writing, dated and signed by the shareholder, and
- will be valid for one year *or* a longer or shorter time expressly stated in the proxy.

Note (b): Except to the extent the MOI provides otherwise:

- a shareholder may appoint two or more proxies concurrently and may appoint different proxies to vote in respect of different securities held by the shareholder
- a proxy may delegate the authority to act to another person (not necessarily a shareholder) subject to any restrictions set out in the document appointing the shareholder, and
- a copy of the document appointing the proxy must be delivered to the company *before* exercising the shareholder's rights at a meeting of shareholders.

Note (c): An individual appointed as a proxy need *not* be a shareholder.

3. Section 59 – Record date for determining shareholder rights

3.1 The board must set the record date. This is the date that is set to determine which shareholders are entitled to receive notice of the shareholders' meeting, participate and vote in the meeting, and receive a distribution (e.g. dividend).

Note (a): Shareholders in listed companies frequently change, so it is important to establish this cut-off date.

4. Section 60 – Shareholders acting other than at meetings

4.1 A resolution that could be voted on at a shareholders' meeting may instead be

- submitted to the shareholders for consideration, and
- voted on in writing by the shareholders.

Note (a): The resolution must be voted on within 20 business days of submitting the resolution to the shareholders.

Note (b): The resolution will have the same voting requirements for adoption as if it had been proposed at a meeting (e.g. ordinary resolution, special resolution), and if adopted, will have the same effect as if it had been approved by voting at a meeting.

Note (c): The election of a director may also be conducted by written polling.

Note (d): The results of any written polling and the adoption of any resolution not voted on at a meeting must be communicated to every shareholder who is entitled to vote within ten business days.

Note (e): Any company business that must be conducted at an AGM in terms of the MOI or the Act, *cannot* be conducted by written polling.

5. Section 61 – Shareholders' meetings

5.1 The board of a company, or any person specified in the MOI or rules, *may* call a shareholders' meeting at any time.

5.2 Subject to section 60, the company *must* hold a shareholders' meeting:

- at any time that the Act or the MOI requires the board to refer a matter to the shareholders for decision
- whenever required to fill a vacancy on the board
- when otherwise required to by the MOI
- when the AGM of a *public* company is required.

Note (a): The company *must* also call a shareholders' meeting if one or more written and signed demands for a meeting are received from shareholders holding at least 10% of the shares entitled to vote on the proposal for which the demand is lodged. The demand must describe the specific purpose for the meeting. "Frivolous or vexatious" demands can be set aside by the court on the application of the company or a shareholder. The MOI can set the required percentage at less than 10% (but not more).

5.3 A public company *must* convene an AGM. This meeting must be convened, initially no more than 18 months after the date of incorporation, and thereafter once in a calendar year but no more than 15 months after the date of the previous AGM.

Note (b): The AGM of a public company *must*, at a minimum, provide for the following business to be transacted

- *presentation of:*
 - the directors' report
 - audited financial statements
 - an audit committee report
- *election of directors to the extent required by the Act or the MOI*
- *appointment of:*
 - an auditor
 - an audit committee
- *any matters raised by shareholders* (with or without advance notice to the company).

Note (c): Except to the extent that the MOI provides otherwise:

- the board may determine the location of any shareholders' meeting
- any shareholders' meeting may be held in the Republic or in a foreign country.

Note (d): Every shareholders' meeting of a public company must be reasonably accessible within the Republic for electronic participation by shareholders (see s 63) irrespective of whether the meeting is held in the Republic or elsewhere.

6. Section 62 – Notice of meeting

6.1 A *public* company (or a non-profit company) must deliver notice of a shareholders' meeting to each shareholder, 15 business days before the meeting is to begin. All other companies must deliver the notice 10 business days before the meeting begins.

Note (a): The MOI can provide for *longer* or *shorter* minimum periods.

6.2 The notice of the meeting must include:

- date, time and location and record date (cut-off date for shareholders)
- general purpose of the meeting and any specific purpose for which the meeting has been demanded by a shareholder where applicable
- a copy of any proposed resolution of which the company has received notice *and* a notice of the percentage of voting rights (e.g. ordinary or special) that will be required to adopt the resolution
- a reasonably prominent statement that:
 - a shareholder may appoint a proxy (or two or more proxies if the MOI permits)
 - the proxy need not be a shareholder
 - the Act requires that personal identification (by shareholders/proxies) is required
- notice that the meeting provides for electronic communication, if applicable. (See s 63.)

Note (b): In addition, the notice of an AGM must include the annual financial statements or a summarised form thereof to be presented and instructions for obtaining a copy of the complete annual financial statements for the preceding year.

Note (c): A company may call a meeting with less notice than the prescribed period (15 or 10 business days) or the period stipulated in the MOI. However, for this meeting to proceed, every person who is entitled to exercise voting rights in respect of any item on the agenda must:

- be present at the meeting, and
- must vote to waive the required minimum notice for the meeting.

7. Section 63 – Conduct of meetings

7.1 Before a person may attend and participate in a shareholders' meeting:

- that person must present "reasonably satisfactory identification"
- the person presiding at the meeting must be reasonably satisfied that the right of the shareholder (or proxy) to participate and vote has been verified.

7.2 Unless prohibited by the MOI, a company may provide for:

- a shareholders' meeting to be conducted entirely by electronic communication, *or*

- one or more shareholders (proxies) to participate by electronic communication provided the electronic communication method enables all persons participating in the meeting to do so reasonably effectively and communicate concurrently and directly with each other.

7.3 Voting on any matter will be done by *show of hands* or *polling* those present and entitled to vote. On a show of hands, each shareholder will have one vote only, irrespective of the number of shares held, but on a poll the shareholder is entitled to exercise all his voting rights.

Note (a): If at least five persons have the right to vote on a matter, or a person or persons holding at least 10% of the voting rights entitled to be voted on that matter, demand that a vote be polled and *not voted on by show of hands*, then voting must be by poll.

8. Section 64 – Meeting quorum and adjournment

8.1 Section 64 provides for both a *votes* quorum and a *person* quorum.

8.2 **Votes quorum:** A shareholders' meeting may not begin until persons holding 25% of all the voting rights that can be exercised in respect of at least one matter to be decided at the meeting are present *and*

a matter to be decided at the meeting may not begin to be considered unless persons are present at the meeting to exercise at least 25% of all the voting rights that are entitled to be exercised on that matter, at the time the matter is called (dealt with) on the agenda.

8.3 **Person quorum:** If a company has more than two shareholders, a meeting may not begin, or a matter be debated unless:

- at least three shareholders are present
- the *votes quorum* is satisfied.

Note (a): The MOI may specify a *lower* or *higher* percentage to replace the 25% in 8.2.

Note (b): Remember that different voting rights can be attached to different shares. For example, a preference shareholder may only be able to vote on matters affecting preference shares, so a preference shareholder can count towards the quorum to begin the meeting provided there is a matter to be decided pertaining to preference shares, and can count towards the quorum to debate the matter. However, at least 25% of the “preference votes” must be present before the matter affecting the preference shares can be debated.

Note (c): If within one hour of the appointed time for the *meeting to begin*, the quorum requirements (votes and person) are not satisfied, the meeting is postponed without motion (to postpone), vote or further notice, for one week.

Note (d): If the quorum requirements to debate a particular matter are not satisfied, the matter may be moved to a later “slot” on the agenda, and if at this time the matter is still not quorate, the matter is postponed for one week.

Note (e): The MOI may specify a different (longer or shorter) time for the stipulated one hour and one week.

9. Section 65 – Shareholders' resolutions

9.1 Every resolution of shareholders is either an *ordinary* or a *special* resolution.

9.2 The board may propose any resolution to be considered by the shareholders and determine whether the resolution will be considered at a meeting, by vote, or by written consent (no meeting).

9.3 Any two shareholders:

- may propose a resolution concerning any matter in respect of which they can exercise votes
- may require that the resolution be considered at:
 - a meeting demanded by shareholders
 - the next shareholders' meeting, or
 - by written vote.

Note (a): Proposed resolutions must be expressed with sufficient clarity and specificity and be accompanied by sufficient information to enable a shareholder to decide whether to participate in the meeting and “influence the outcome” of the vote on the resolution.

If a director or shareholder believes that the notice does not satisfy these requirements, he may apply, before the start of the meeting, for a court order restraining the company from putting the resolution to the vote. The court order may also require that the deficiencies in the notice be rectified. Once a resolution has been accepted it *cannot* be challenged because the notice of the resolution did not comply with the Act.

Note (b): For an *ordinary resolution* to be approved, it must be supported by more than 50% of the voting rights exercised on the resolution.

Note (c): The MOI can stipulate a *higher* percentage for ordinary resolutions or one or higher percentages for resolutions relating to different resolutions, for example, 55% for resolutions relating to capital expenditure, 60% for resolutions relating to investments. (The “more than 50%” requirement for removing a director cannot be increased). There must always be at least 10% between the highest *ordinary* resolution percentage and the lowest *special* resolution percentage.

Note (d): For a *special resolution* to be approved, it must be supported by at least 75% of the voting rights exercised on the resolution.

Note (e): The MOI can stipulate a different (lower or higher) percentage for a special resolution (or variable higher or lower percentages for different matters) *but* at all times, there must be a margin of *at least 10%* between the highest requirements for an *ordinary* resolution and the lowest requirement for *special* resolution, on any matter.

Note (f): A special resolution is required to:

- amend the MOI (ss 16 and 32)
- ratify a consolidated revision of a company’s MOI (s 18)
- ratify actions by the company or directors in excess of their authority (s 20)
- approve an issue of shares to a director (s 41)
- authorise the granting of financial assistance (ss 44 and 45)
- approve a decision by the directors to buy back shares from a director (s 48)
- authorise the basis for compensation to directors (s 66)
- approve the voluntary winding up of the company (ss 80 and 81)
- approve an application to transfer the registration of the company to a foreign jurisdiction (s 82), and
- approve any fundamental transaction (Chapter 5), including:
 - disposal of all or the greater parts of the assets of the company
 - amalgamations or mergers, and
 - schemes of arrangement.

Note (g): The MOI can stipulate that a special resolution be required to approve matters other than those listed in note (f).

10. Section 66 – Board, directors, and prescribed officers

10.1 The business and affairs of the company must be managed by, or under the direction of, a board of directors.

10.2 The board will have the authority to exercise the powers and perform the company’s function, except to the extent the MOI provides otherwise, for example, the MOI may prohibit the company (and therefore the directors) from acquiring financial derivatives.

10.3 A *private company* (and a personal liability company) must have at least *one* director. A *public company* must have at least *three* directors.

In addition, a public company must appoint an *audit committee* and a social and ethics committee in some cases (e.g. a listed company). The audit committee will require at least three independent non-executive directors (s 94) and the three required to manage the business and affairs of the company. The social and ethics committee must have at least three directors, one of whom is a non-executive director (not involved in the day-to-day operations) (regulation 43). An individual who is independent and non-executive could serve on both committees.

Note (a): The MOI may stipulate a *higher* minimum number of directors.

Note (b): The MOI may provide for:

- the direct appointment and removal of one or more directors by any person named in the MOI, for example, the Chairperson
- a person to be an *ex officio* director, for example, the senior labour relations manager could be an *ex officio* director by virtue of his status and position in the company. A person, despite holding the relevant office, may not be appointed an *ex officio* director if he or she becomes ineligible or disqualified to act as a director
- the appointment of alternate directors

but in a *profit* company (other than an SOC) the MOI must provide for at least 50% of the directors (and 50% of any alternates) to be elected by the shareholders.

Note (c): A person ineligible or disqualified from being a director cannot be elected or appointed as a director (such an appointment will be nullified).

Note (d): A director must consent (in writing) to serve as a director.

Note (e): The company may pay remuneration to its directors for services as a director except to the extent that the MOI provides otherwise. Remuneration for services as a director may be paid only according to a special resolution approved by the shareholders within the previous two years.

11. Section 67 – First director or directors

11.1 Each incorporator of a company is a first director and will serve until sufficient other directors have been appointed.

12. Section 68 – Election of directors of profit companies (by shareholders)

12.1 *Each* director must be:

- elected by the persons entitled to exercise voting rights in the appointment of directors
- to serve for an indefinite term (or a term set out in the MOI)
- voted on separately (as an individual candidate).

12.2 Each voting right can only be exercised once (per candidate), and a majority of voting rights is required.

Note (a): Unless the MOI provides otherwise, in any election of directors:

- the election is to be conducted as a series of votes, each of which is on the candidacy of a single individual to fill a single vacancy
- each voting right may be exercised once *per vacancy*, and
- the vacancy is filled only if a majority of the voting rights support the candidate.

Example 1: One vacancy, two candidates, Seb Green, Fred Black

- voting rights exercised = 100
- votes for Seb Green: 55
- votes for Fred Black: 45

Result: appoint Seb Green

Example 2: One vacancy three candidates, Ben Blue, Rose Red, Joe Grey

- voting rights exercised = 100
- votes for Ben Blue: 35
- votes for Rose Red: 40
- votes for Joe Grey: 25

Result: No appointment (no majority of votes cast). Note: In this situation, Joe Grey would probably be required to withdraw and Ben Blue and Rose Red would contest the vacancy.

13. Section 69 – Ineligibility and disqualification of persons to be director or prescribed officer

13.1 An ineligible or disqualified person *must not* be appointed, elected, consent to be, or act as a director.

13.2 A person is *ineligible* if the person:

- is a juristic person, *or*
- is an unemancipated minor, or under similar legal disability, *or*
- does not satisfy any qualification set out in the MOI.

13.3 A person is *disqualified* if the person:

- has been prohibited from being a director, or been declared delinquent by a court
- is an unrehabilitated insolvent
- is prohibited in terms of any public regulation from being a director
- * has been removed from an office of trust on the grounds of misconduct involving dishonesty *or*
- *** has been convicted in the Republic or elsewhere, and imprisoned without the option of a fine (or fined more than the prescribed amount), for theft, fraud, forgery, perjury or an offence:
 - involving fraud, misrepresentation or dishonesty
 - in connection with the promotion, formation or management of a company, or
 - under the Insolvency Act, Companies Act, Close Corporations Act, the Financial Intelligence Centre Act, the Securities Service Act or Chapter 2 of the Prevention and Combating of Corruption Activities Act.

13.4 A director who has been disqualified in terms of ** above (removal from office) or *** above (conviction) will have the disqualification lifted five years after the removal date or the completion of his sentence. However, the CIPC may apply to the court for an extension or extensions of these five years. The court may extend the disqualification but not for longer than five years at a time. The extension is made on the grounds of protecting the public.

13.5 A court may exempt a person from the application of any disqualification in terms of 13.3 above.

13.6 If a director is sequestered, issued an order of removal from an office of trust, or convicted as in 13.3, the Registrar of the Court must send a copy of the relevant order or particulars of the conviction to the CIPC.

13.7 The CIPC must in turn, notify each company of which the person is a director.

13.8 The CIPC must establish and maintain a *public register* of persons disqualified from serving as a director or subject to an order of probation as a director.

Note (a): The MOI may impose additional grounds for ineligibility or disqualification of directors and/or minimum qualifications to be met by the directors.

14. Section 71 – Removal of directors

14.1 Despite anything to the contrary in the MOI or rules or any agreement between a company and a director, or between shareholders and a director, a director may be *removed* by an ordinary resolution at a shareholders' meeting by the persons entitled to exercise voting rights in the *election* of that director.

14.2 However, before the shareholders can remove a director:

- the director must be notified of the meeting and the resolution to remove him. The notice period must be at least equivalent to that which a shareholder is entitled to receive (public company 15 business days' notice, 10 business days for other companies, or any longer or shorter notice per the MOI), *and*
- the director must be afforded a reasonable opportunity to present (in person or through a representative) to the meeting before voting takes place.

14.3 If a *shareholder* or *director* alleges that a fellow director has become

- ineligible or disqualified, *or*
- incapacitated to the extent that he cannot perform as a director, *or*
- has neglected or been derelict in his duties as a director

the *board* must consider the allegation and may vote on removing the director.

Note (a): In situation 14.3 above, where the director is to be removed by the board, the “accused” director may not vote on his removal. He must still be afforded the “notice” and “representation” requirements laid out in 14.2 above.

Note (b): A director removed by the board may apply (within 20 business days) to the court for a review. If the director is *not* removed, any director or shareholder who voted to have the said director removed may also apply to the court for a review. Any holder of voting rights that may be exercised in that director's election can also apply to the court for a review.

Note (c): If a company has *less than three directors*, this section cannot operate as there would either be no remaining director to vote (one director company) or one remaining director to vote (two director company). In this case, the aggrieved director or shareholder can apply to the Companies Tribunal.

15. Section 72 – Board committees

15.1 Except to the extent the MOI provides otherwise, the board may:

- appoint any number of committees of directors, and
- delegate any authority of the board to any committee.

15.2 Except to the extent the MOI (or the resolution to appoint a committee) provides otherwise, the committee:

- may include persons who are *not* directors of the company, *but*
 - such a person must not be ineligible or disqualified from being a director, *and*
 - will not have a vote on any matter to be decided by the committee
- may consult with or receive advice from any person, and
- has the full authority of the board in respect of a matter referred to it.

Note (a): The creation of a committee, a delegation of any power to a committee or action taken by a committee, does not alone satisfy or constitute compliance by a director with his duties (standards of conduct) as a director of the company, in other words, the directors (as a board) remain responsible.

Note (b): The Minister has prescribed that certain companies appoint a *social and ethics committee* (see regulation 43 below) if it is desirable in the public interest having regard to:

- its annual turnover
- the size of its workforce, and
- the nature and extent of its activities.

Regulation 43

In terms of this regulation, the following companies must appoint a *social and ethics committee*:

- listed public companies
- SOCs, and
- any other company that has scored above 500 points in its public interest score in any two of the previous five years.

See the start of this chapter for more information on this regulation (at 3/9).

16. Section 73 – Board meetings

16.1 A director authorised by the board, for example, a managing director:

- *may* call a meeting of directors at any time
- *must* call a meeting of directors if required to do so by at least:
 - 25% of the directors in the case of a company that has at least 12 directors (e.g. 4 of 14 directors)
 - two directors in any other case (e.g. 2 of 9 directors).

Note (a): The MOI may specify a *higher* or *lower* percentage or number.

Note (b): Except as to the extent the MOI or Companies Act provides otherwise, a board meeting may be conducted by electronic communication, or a director(s) may participate electronically, as long as the electronic communication facilitates concurrent and effective communication between directors.

Note (c): **Notice**

- The board must determine the form and time for giving notice of the meeting in compliance with the MOI.
- Notice must be given to all directors.

Quorum

- A majority of the directors must be present before a vote may be called.

Except to the extent that the company's MOI provides otherwise, if all of the directors of the company acknowledge actual receipt of the notice, are present at the meeting, or waive the notice of the meeting, the meeting may proceed even if the required notice period was not given or there was a defect in giving the notice.

Voting

- Each director has one vote, and most votes cast approve a resolution.
- In the case of a tied vote, the chair has a casting vote if the chair did not initially have a vote or cast a vote, otherwise the matter being voted on fails (the chair does not get two votes in the event of a tie).

Note (d): The board and its committees must keep minutes that reflecting every resolution adopted by the company (and other important discussions etc held at the meeting).

Note (e): Resolutions adopted must be dated and sequentially numbered and become immediately effective unless the resolution states otherwise. Any minute of a meeting or a resolution signed by the chair of the meeting, or by the chair of the next meeting is evidence of the proceedings of that meeting, or adoption of that resolution.

Note (f): The MOI may alter the requirements for directors' meetings.

17. Section 74 – Directors acting other than at meeting

17.1 Except to the extent that the MOI provides otherwise, a resolution that could be voted on at a meeting can be adopted by written consent or by electronic communication, provided each director has received notice of the matter to be voted on.

18. Section 75 – Directors' personal financial interests

18.1 The common-law situation is that all contracts between a director and the company are voidable at the company's option. This flows from the principle that no "conflict of interest" should exist between the director and the company. Remember that a director is required to look after the interests of the company and not his own interests. The statutory arrangement presents a means of accommodating this common-law principle, but does not replace it.

18.2 If a director has a personal financial interest, or knows that a person related (as defined) to him has a personal financial interest, in a matter to be considered at a meeting of the board, that director:

- *must* disclose the interest and its general nature before the matter is considered at the meeting. For example, the director should disclose a 15% shareholding he has in the company with which the board is considering entering into a contract
- *must* disclose to the meeting any material information he has relating to the matter, for example, he may be aware that the other company is in financial difficulty (a fact not known to his fellow directors)
- *may* disclose any observations/insights if requested to do so by the other directors, for example, his opinion on the extent of the financial difficulties
- *must not* take part in the consideration of the matter (other than as above) and must leave the meeting.

Note (a): A director may, at any time, notify the company in writing of his financial interests. This will suffice as a general disclosure for the purposes of this section.

Note (b): When an "interested" director has left the meeting, he remains part of the quorum, but cannot vote and will not be counted as being present in determining whether the resolution can be adopted.

Note (c): If a director (or related person) acquires a personal financial interest in an “agreement/matter” in which the company of which he is a director has an interest *after* the “agreement/matter” has been approved, the director must promptly disclose to the board:

- the nature and extent of that interest, for example, 15% shareholding, and
- the material circumstances relating to the acquisition of the interest (this is to determine whether there has been any irregular/fraudulent intention on the part of the director to get around declaring his interest before the contract was approved).

Note (d): A contract in which a director (or related person) has a financial interest will be *valid* if approved after full disclosure as in 18.2 above.

If the contract was approved *without* the necessary disclosure, the contract would be valid if:

- it has been subsequently ratified by an ordinary resolution (interest must be disclosed)
- it has been declared to be valid by a court (any interested party can apply to the court).

Note (e): If the director does not declare his interest, any interested party can apply to the court to declare the contract valid. However, if neither note (d) nor (e) applies, the contract is voidable at the option of the company.

Note (f): There are several exclusions to this section. The section will *not* apply to:

- a director or a company if one person holds all the issued securities (shares) *and* is the only director. Effectively there is no real “conflict of interest” as the company and the individual are the same
- a director in respect of a decision which may generally affect all directors in their capacity as directors, for example, a decision on directors’ bonuses
- a decision to remove the director from office.

Note (g): If a director who has a financial interest is the sole director *but* does not hold all the issued securities (shares) in the company, the said director cannot approve the agreement:

- it must be approved by ordinary resolution of the shareholders
- after the director has disclosed the nature and extent of his interest to the shareholders.

Note (h): For the purposes of this section, the term director includes:

- an alternate director
- a prescribed officer
- a person who is a member of a committee of the board, irrespective of whether or not the person is also a member of the company’s board. (Note that a person who is not a member of the board may be appointed to a board committee but will not have a vote on the committee.)

19. Section 76 – Standards of directors’ conduct

19.1 A director of a company must

- *not use the position of director*, or any information obtained while acting as a director:
 - to gain an advantage for himself or any other person other than the company (or its wholly owned subsidiary), *or*
 - knowingly cause harm to the company (or a subsidiary of the company)
- *communicate to the board* at the earliest practicable opportunity any information that comes to his attention, *unless* he reasonably believes that the information is:
 - immaterial to the company, *or*
 - generally available to the public or known to the directors, *or unless*
 - he is bound not to disclose that information by a legal or ethical obligation of confidentiality
- *exercise the powers and functions of director*:
 - in good faith and for a proper purpose
 - in the best interests of the company
 - with the degree of care, skill and diligence reasonably expected of a director.

Note (a): To ensure that he has exercised his powers and functions in compliance with the above, a director:

- should take reasonably diligent steps to be informed about any matter to be dealt with by the directors
- should have had a rational basis for making a decision and believing that the decision was in the best interests of the company
- is entitled to rely on the performance of:
 - employees of the company whom the director reasonably believes to be reliable and competent
 - legal counsel, accountants or other professionals retained by the company
 - any person to whom the board may have reasonably delegated authority to perform a board function
 - a committee of the board of which the director is not a member, unless the director has reason to believe that the actions of the committee do not merit confidence
- is entitled to rely on information, reports, opinions and recommendations made by the above-mentioned persons.

Note (b): For the purposes of this section, the term “director” includes:

- an alternate director
- a prescribed officer
- a person who is a member of a committee of the board, irrespective of whether or not the person is also a member of the company’s board. Note that a person who is not a board member may be appointed to a board committee but will not have a vote on the committee.

20. Section 77 – Liability of directors and prescribed officers

20.1 A director may be held liable:

- in terms of the common law for a *breach of fiduciary duty* for any loss, damages or costs sustained by the company as a consequence of any breach by the director of his duty to the company, such as:
 - failing to disclose a personal financial interest (s 75)
 - using the position of director to gain an advantage for himself or harm the company (s 76)
 - failing to act in good faith and for a proper purpose
 - failing to act in the best interests of the company
- in terms of the common law *relating to delict* for any loss, damages or costs sustained by the company as a result of any *breach* of the director of:
 - the duty to act with the necessary degree of care, skill and diligence
 - any provision of the Act not specifically mentioned in section 77
 - any provision of the MOI.

20.2 A director may be held liable to the company for any loss, damage or costs arising as a direct or indirect consequence of the director:

- acting for the company despite knowing that he lacked authority
- agreeing to carry on business knowing that to do so was “reckless” (s 22)
- being party to an act or omission despite knowing that it was calculated to defraud a creditor, employee or shareholder, or that the act or omission had another fraudulent purpose
- having signed, or consented to the publication of a document, for example, financial statements or prospectus, which was false, misleading or untrue, despite knowing the publication to be so
- being present at a meeting, or participating in the taking of a decision and failing to vote against:
 - the issuing of unauthorised shares, securities or the granting of options, while knowing the shares, securities or options were not authorised (ss 36, 42)
 - the issuing of authorised shares, despite knowing that the issue was inconsistent with the Act (s 41)

- the provision of financial assistance to any person including a director (as defined), while knowing that the financial assistance was in contravention of the Act or MOI
- a resolution approving a distribution (as defined) while knowing the distribution was in contradiction of the Act (s 46) (only applies if liquidity/solvency test is not satisfied, and it was unreasonable at the time to think the test would be satisfied)
- the acquisition by a company of its own shares, while knowing that the acquisition was contrary to the Act (ss 46, 48)
- an allotment (of securities) while knowing that the allotment was contrary to the Act.

Note (a): In addition, each shareholder has the right to claim damages from any director who fraudulently or due to gross negligence causes the company to do anything inconsistent with the Act.

Note (b): The MOI and rules will be binding between each director (prescribed officer) and the company.

Note (c): For the purposes of this section, the term “director” includes:

- an alternate director
- a prescribed officer
- a person who is a member of a board committee, irrespective of whether or not the person is also a member of the board. Note that a person who is not a director may be appointed to a board committee but will not have a vote on this committee.

Note (d): The liability of a director in terms of this section will be joint and several with any other person held liable for the same act.

21. Section 78 – Indemnification and directors’ insurance

21.1 Any provision of an agreement, the MOI or rules, or a resolution of a company is *void* if it directly or indirectly seeks to relieve a director of any of that director’s *duties* in respect of:

- personal financial interests (s 75), or
- the standards of directors’ conduct (s 76), or
- liability arising from section 77 (e.g. fiduciary duty, breach of good faith, any provisions of the Act or MOI).

21.2 Any provision, rule, MOI or resolution that seeks to limit, or negate or limit any legal consequence from an act or omission that constitutes wilful misconduct or wilful breach of trust, will also be void.

21.3 A company may not directly or indirectly pay any fine that may be imposed on a director of the company (or a related company) who has been convicted of an offence.

21.4 Except to the extent that the MOI provides otherwise, a company may advance expenses to a director to defend litigation in any proceedings arising out of the director’s service to the company.

21.5 Except to the extent that the MOI provides otherwise, a company may *indemnify* (protect) a director in respect of any liability *except* where the director:

- acted in the name of the company despite knowing he lacked the authority to do so *or*
- acquiesced (agreed without protest) in the carrying on of the business recklessly, with gross negligence, with intent to defraud any person or to trading under insolvent circumstances, *or*
- was a party to an act or omission intended to defraud a creditor, employee or shareholder, *or*
- committed wilful misconduct or wilful breach of trust.

The company may not indemnify the director against any fine suffered by the director in respect of the above four situations.

Note (a): The broader definition of director applies to section 78, namely, prescribed officer, a board committee member and includes a former director.

Note (b): The prohibition in 21.3 does not apply to a private company if:

- a single individual is the sole shareholder and sole director of the company
- two or more related individuals are the only shareholders and there are no directors, other than one or more of the related individuals,

Chapter 2 – Part G – Winding up of solvent companies and deregistering companies

This part is beyond the scope of this text.

3.4.3 Chapter 3 – Enhanced accountability and transparency

Chapter 3 – Part A – Application and general requirement of this chapter

1. Section 84 – Application of chapter

1.1 The requirements of this chapter apply to:

- public companies
- SOCs (subject to exemptions in s 9)
- a private company, personal liability company or a non-profit company:
 - if the Act or Regulations require the company to have its AFS *audited* every year, for example, a private company with a public interest score of at least 350. However, Parts B (company secretary) and D (audit committees) will not apply to these companies
- a private company, personal liability company or a non-profit company (not required to be audited) but only to the extent required by the company's MOI.

1.2 The requirements of the chapter hinge on the appointment of:

- a company secretary PART B
- an external auditor PART C
- an audit committee PART D

The intention of the section is to enhance the accountability and transparency of the company.

Note (a): *Any person who is disqualified from acting as a company director may not be appointed as company secretary, auditor, or to the company's audit committee.*

2. Section 85 – Registration of company secretary and auditor

2.1 Every company (public, state-owned, private etc) which appoints a company secretary or auditor whether *in terms of the act, regulations or voluntarily*:

- must maintain a record of its company secretary and auditor:
 - name of the person
 - date of appointment
- if a firm or juristic person is appointed:
 - name, registration and registered office address of the firm or juristic person
 - the name of the “designated auditor,” that is, the individual who takes responsibility for the audit (s 44 of the APA).

Note (a): Within ten business days of making an appointment of the above, or after the termination of such appointment, the company must file a notice of the appointment or termination. All changes must be recorded.

Chapter 3 – Part B – Company secretary

1. Section 86 – Mandatory appointment of secretary

1.1 A public company or SOC *must* appoint a company secretary.

Note (a): The company secretary must be resident in the Republic and must remain so while serving in that capacity (this will also be the case for voluntary appointments of a company secretary, for example, by a private company in terms of section 34(2)).

The only other requirement is that the company secretary has “the requisite knowledge of”, and experience in, relevant laws. Do not forget that a person who is disqualified from acting as a director is also disqualified from being appointed company secretary.

Note (b): The first company secretary of a public company or SOC may be appointed by:

- the incorporators of the company, or
- within 40 business days after incorporation by:
 - either the directors, or
 - an ordinary resolution of the shareholders.

Note (c): Within 60 business days after a vacancy in the office of company secretary arises, the *board* must fill the vacancy by appointing a person with the “requisite knowledge and experience” – no formal qualification or membership of a professional body required!

2. Section 87 – Juristic person or partnership may be appointed company secretary

2.1 A juristic person or partnership may be appointed company secretary provided:

- no employee of the juristic person, or partner and employee of that partnership is disqualified from acting as a director of that company, and
- at least one of the employees (or partners) is:
 - resident in the Republic, and
 - has the requisite knowledge of and experience in relevant laws.

Note (a): A change in the membership/partners/employees of the juristic person or partnership holding the appointment of the company secretary does not constitute a casual vacancy if the juristic person or partnership continues to satisfy the requirements as indicated in 2.1 above. If circumstances change and the juristic person/partnership no longer satisfies the basic requirements of 2.1, it must notify the company. A vacancy will then arise.

3. Section 88 – Duties of company secretary

3.1 The company secretary is accountable to the company’s board. The company secretary’s duties include:

- providing the directors of the company with guidance as to their duties, responsibilities and powers
- making the directors aware of any law relevant to the company
- reporting to the board on any failure on the part of the company or a director to comply with the Act or MOI
- ensuring that minutes of all meetings of:
 - shareholders
 - directors
 - board committees, including the audit committee, are properly recorded
- certifying in the company’s AFS, that the company has filed the necessary returns and notices in terms of this Act, and whether all such returns and notices appear to be true, correct and up to date
- ensuring that a copy of the AFS is sent to everyone entitled to receive it.

4. Section 89 – Resignation or removal of company secretary

4.1 A company secretary may *resign* by giving:

- one month’s written notice, or
- less than one month with the approval of the board.

4.2 If the company secretary is *removed* from office, he may require the company to include a statement of reasonable length in the AFS, setting out the secretary’s “opinion” on the circumstances that resulted in his removal. This statement will appear in the directors’ report.

Chapter 3 – Part C – Auditors

1. Section 90 – Appointment of auditor

1.1 *Public* companies and *SOCs* must appoint an auditor at the AGM.

If the Act or Regulations require a private (or any other company) to have its financial statements audited, for example, it has a public interest score of 350 points or more, the appointment of the auditor must take place at the AGM at which the requirement first applies and at every AGM thereafter.

1.2 To be appointed as auditor, an individual or firm

- *must be*
 - a registered auditor (IRBA)
- *must not be*
 - a director or prescribed officer of the company
 - an employee or consultant of the company who was or has been engaged for more than one year in the maintenance of any company's financial records or preparation of any of its financial records
 - a director, officer or employee of a person appointed as company secretary
 - a person who alone or with a partner or employee, habitually or regularly performs the duties of accountant or bookkeeper, or performs related secretarial work for the company
 - a person who at any time during the five financial years immediately preceding the date of appointment, was a person contemplated in any of the four categories above, for example, must not have been a director for any period during the preceding five years
 - a person related (as defined) to a person contemplated in the five categories above.

Note (a): The person appointed as auditor must be acceptable to the company's audit committee (public companies and SOCs must appoint an audit committee) as being *independent* of the company. To do this, the audit committee must:

- ascertain that the auditor does not receive any direct or indirect remuneration or other benefits from the company except:
 - as auditor, or
 - for rendering other non-audit services that have been determined by the audit committee
- consider whether the auditor's independence may have been prejudiced:
 - as a result of any previous appointment as auditor, or
 - having regard to the extent of any consultancy, advisory or other work undertaken by the auditor for the company, and
- consider whether the auditor complies with the "rules and regulations" of the IRBA, for example, the Code of Professional Conduct, in relation to independence and conflict of interest.

The audit committee must evaluate the auditor's independence in the context of the company itself and within the group of companies if the company is a member of a group.

Note (b): Any person who is disqualified from serving as a director of the company is also disqualified from being the auditor of the company.

Note (c): Where a firm is appointed as auditor, the person designated as the auditor to be responsible for the audit function, must satisfy the above requirements.

Note (d): A retiring auditor (i.e. an auditor coming to the end of the annual appointment) may be automatically re-appointed without a resolution being passed at the AGM unless:

- the retiring auditor is:
 - no longer qualified for appointment
 - no longer willing to accept the appointment, and has notified the company
 - required to be "rotated" in terms of the Act (s 92)
- the audit committee objects to the reappointment, or
- the company has notice of an intended resolution to appoint another person/firm as auditor.

Note (e): If an AGM of a company does not appoint/reappoint the auditor, the directors must fill the vacancy within 40 business days.

2. Section 91 – Resignation of auditors and vacancies

- 2.1 The resignation of an auditor is effective when the notice (of resignation) is filed with the CIPC.
- 2.2 The procedure to be followed where a vacancy arises is as follows:
- the board must propose to the audit committee, within 15 business days, the name of at least one registered auditor to be considered for appointment
 - the audit committee has five business days after the proposal is delivered to it, to *reject* the proposed replacement auditor in writing, if they so wish, otherwise the board may make the appointment
 - whatever the situation, a new auditor must be appointed within 40 business days of the vacancy arising.

Note (a): If the company has appointed a firm as auditor, a change in the composition of the firm's members (partners/shareholders) does not create a vacancy in the office of auditor unless *less* than half of the audit firm members remain. If this situation (less than half remain) does arise, it will constitute a resignation of the auditor and a vacancy will have arisen.

Note (b): If there is no audit committee the board will make the appointment.

3. Section 92 – Rotation of auditors

- 3.1 The same individual may not serve as auditor (or designated auditor in the case of a firm holding the appointment) of a company for more than *five consecutive years*.
- 3.2 If an individual has served as auditor (or designated auditor) for two or more consecutive financial years and then ceases to be the auditor, the individual may not be appointed again as auditor (designated auditor) of that company until the expiry of at least two further financial years.

For example:

Jake Blake was the designated auditor of Craneworks Ltd for the financial year-ends 31 December 0001 and 0002. In 0003 he resigned from the audit firm but returned in January 0004. He cannot be appointed as the auditor of Craneworks Ltd until *after* the financial year-end 0004. There appears to be nothing to prevent him from being part of the audit team, however.

Note (a): If a company (e.g. a bank) has appointed joint auditors, the rotation must be managed so that both joint auditors do not relinquish office in the same year (i.e. there must be continuity).

4. Section 93 – Rights and restricted functions of auditors

- 4.1 The auditor of a company has the right of access at all times, to the accounting records and all books and documents of the company and is entitled to require from the directors (or prescribed officers) information and explanations necessary for performing his duties.
- 4.2 The auditor of a holding company, who is not the auditor of the holding company's subsidiary company(ies) has right of access to all current and former financial statements of the subsidiary(ies) and is entitled to require from the directors (or prescribed officers) of the holding company *and* the subsidiary, any information and explanations in connection with any such statements and accounting records, books and documents of the subsidiary as necessary for the performance of his duties.
- 4.3 The auditor is entitled to:
- attend any general shareholder meeting (including an AGM)
 - receive all notices of, and other communications relating to, any general shareholders' meeting
 - be heard at any general shareholders' meeting on any part of the business of the meeting that concerns the auditor's duties or functions.

Note (a): The audit function cannot be carried out if an auditor does not have "access". Access enables the auditor to be independent.

Note (b): An auditor may apply to a court for an appropriate order to enforce his rights. The court may make any order (with costs) that is just and reasonable to prevent the *frustration of the auditor's duties by the company, directors, prescribed officers or employees*. The court may also make an order of costs personally against any director or prescribed officer whom the court has found to have wilfully and knowingly frustrated or attempted to frustrate the performance of the auditor's functions.

Chapter 3 – Part D – Audit committees**1. Section 94 – Audit committees**

1.1 At each AGM, a public company or SOC (or any other company that has voluntarily decided in terms of its MOI to have an audit committee) must elect an audit committee comprising at least *three* members, unless:

- the company is a subsidiary of another company that has an audit committee, *and*
- the audit committee of that company will perform the functions of the audit committee on behalf of that subsidiary.

1.2 Each member of an audit committee:

- *must*
 - be a director of the company, and
 - satisfy any minimum qualifications the Minister may prescribe to ensure that the audit committee, taken as a whole, comprises persons with adequate financial knowledge and experience (see note (a) below).
- *must not be*
 - involved in the day-to-day management of the company's business or have been involved at any time during the previous financial year, *or*
 - a prescribed officer, or full-time executive employee of the company or another related or inter-related company, or have held such a post at any time during the previous three financial years, *or*
 - a material supplier or customer of the company, such that a reasonable and informed third party would conclude that in the circumstances, the integrity, impartiality or objectivity of that member of the audit committee would be compromised
 - a “related person” to any person subject to the above prohibitions.

Note (a): *Regulation 42* requires that at least one-third of the members of a company's audit committee must have academic qualifications, or experience in economics, law, accounting, commerce, industry, public affairs, human resources or corporate governance.

Note (b): The board must fill any vacancy on the audit committee within 40 business days.

Note (c): The duties of an audit committee are to:

- nominate for appointment as auditor of the company, a registered auditor who, in the opinion of the audit committee, is independent of the company
- determine the fees to be paid to the auditor and the auditor's terms of engagement.
- ensure that the appointment of the auditor complies with the provisions of this Act, and any other legislation relating to the appointment of auditors
- determine the nature and extent of any non-audit services that the auditor may provide to the company, or that the auditor must not provide to the company or a related company
- preapprove any proposed agreement with the auditor for the provision of non-audit services to the company
- prepare a report to be included in the AFS for that financial year:
 - describing how the audit committee carried out its functions
 - stating whether the audit committee is satisfied that the auditor was independent of the company, and
 - commenting in any way the committee considers appropriate on the financial statements, the accounting practices and the internal financial control of the company
- receive and deal appropriately with any concerns or complaints, whether from within or outside the company, or on its own initiative, relating to:
 - the accounting practices and internal audit of the company
 - the content or auditing of the company's financial statements

- the internal financial controls of the company, or
- any related matter
- make submissions to the board on any matter concerning the company's accounting policies, financial control, records and reporting, and
- perform such other oversight functions as determined by the board.

3.4.4 Chapter 4 – Public offerings of company securities

The offering of securities in a company to the public is governed by Chapter 4 of the Companies Act. The offering of shares is regarded as specialist knowledge by both the IRBA and SAICA and is therefore not covered by this text.

3.4.5 Chapter 5 – Fundamental transactions, takeovers and offers

This chapter identifies three fundamental transactions, namely:

- the disposal of all or the greater part of the assets or undertaking of a company
- amalgamations or mergers, and
- schemes of arrangement.

As the implementation of any of these transactions is, by definition, fundamental to the ongoing state of the company, strict requirements are laid down for their approval.

Again, takeovers, mergers, amalgamations, and schemes of arrangement are expected to be regarded as specialist knowledge from an audit perspective and thus are not covered in detail in this text. However, it has been decided to include a brief summary of the approval requirements to supplement the financial accounting knowledge that students will gain through their accounting studies.

Chapter 5 – Part A – Approval for certain fundamental transactions

1. Section 112 – Proposals to dispose of all or a greater part of assets or undertaking

1.1 A company may *not* dispose of all or the greater part of its assets or undertaking unless:

- the disposal has been approved by a *special resolution* of the shareholders
- notice of the meeting to pass the resolution is delivered in the prescribed manner within the prescribed time, and
- the notice includes a written summary of the terms of the transaction and the provisions of sections 115 and 164 (s 164 deals with the rights of dissenting shareholders).

Note (a): In terms of section 115, the special resolution must be:

- (i) adopted by persons entitled to exercise voting rights on the matter
- (ii) at a meeting called to vote on the proposal, and
- (iii) at which sufficient persons are present to exercise, in aggregate, at least 25% of all of the voting rights that are entitled to be exercised on that matter.

Note (b): If the company proposing the sale (of its assets etc) is a subsidiary company *and* the sale will also constitute the disposal of the greater part of the holding company's assets or undertaking, a special resolution must be obtained from the holding company shareholders.

Note (c): Neither the MOI, nor the resolution taken by the Board or the shareholders, can override the approval requirements of sections 112 and 115.

Note (d): The requirements of sections 112 and 115 will not apply to a proposal to dispose of all or the greater part of the assets or undertaking if the disposal would constitute a transaction:

- (i) pursuant to a business rescue plan
- (ii) between a wholly-owned subsidiary and its holding company
- (iii) between or among:
 - two or more wholly-owned subsidiaries of the same holding company, or
 - a wholly-owned subsidiary and its holding company and other wholly-owned subsidiaries of that holding company.

2. Section 113 – Proposals for amalgamation or merger

2.1 Two or more companies proposing to amalgamate or merge must enter into a written agreement that sets out:

- the proposed MOI of any new company to be formed
- the name and identity of each proposed director of any new company to be formed
- how securities in the merging companies will be converted into securities of any new company to be formed
- the consideration (and method of payment) that holders of securities of the merging companies will receive where those securities are not being converted into securities of any new company to be formed
- details of the proposed allocation of assets and liabilities of the merging companies to any new companies to be formed or which will continue to exist
- details of any arrangement or strategy to complete the merger and the subsequent management and operation of the new entity
- the estimated cost of the proposed amalgamation or merger.

Note (a): Two or more profit companies may amalgamate or merge if, upon amalgamation or merging, each amalgamated or merged company will satisfy the *solvency/liquidity* test.

Note (b): In terms of section 115, a proposed merger (amalgamation) must be approved:

- (i) by a special resolution
- (ii) adopted by persons entitled to exercise voting rights in respect of such a matter
- (iii) at a meeting called to vote on the proposal, and
- (iv) at which sufficient persons are present to exercise, in aggregate, at least 25% of all the voting rights that are entitled to be exercised on that matter.

Note (c): The notice of the meeting at which the proposal will be considered must be sent to each shareholder of all of the companies proposing to merge and must contain a copy of the

- (i) merger (amalgamation) agreement
- (ii) a summary of the requirements of sections 115 and 164 (s 164 deals with the rights of dissenting shareholders)

Note (d): Neither the MOI nor any resolution of the Board or the shareholders can override the approval requirements of sections 114 and 115.

3. Section 114 – Proposals for scheme of arrangement

3.1 The board of a company may propose (and implement if approval is granted) an arrangement between the company and its security holders to:

- (i) consolidate securities of different classes
- (ii) divide securities into different classes
- (iii) expropriate or re-acquire securities from the holders
- (iv) exchange any of its securities for other securities or
- (v) implement a combination of the above (i to iv).

3.2 Any Board proposing such a scheme must engage an *independent* expert to prepare a report to the Board, which must, as a minimum:

- (i) state all information relevant to the value of the securities affected by the proposed arrangement
- (ii) identify every type and class of holders of securities affected by the proposed arrangement
- (iii) describe the material effects that the arrangement will have on the holders of these securities
- (iv) evaluate the adverse effects of the arrangement on the rights and interests of holders against:
 - any compensation received by any holder, and
 - any reasonably probable benefits to be derived by the company
- (v) state any material interest of any director of the company or trustee for security holders and state the effect of the arrangement on those interests

- (vi) include a copy (or summary) of sections 115 and 164 (s 164 deals with the rights of dissenting shareholders).

Note (a): In terms of section 115, such a scheme of arrangement must be approved by special resolution.

Note (b): The expert engaged by the company *must* be:

- qualified and have the competence and experience to:
 - understand the type of arrangement proposed
 - evaluate the consequences of the arrangement, and
 - assess the effect of the proposed arrangement on the value of securities and on the rights and interests of a holder of any securities, or the creditor of the company
- able to express opinions, exercise judgment and make decisions impartially.

Note (c): The expert engaged *must not*:

- have any relationship with the company that would lead a reasonable and informed third party to conclude that that relationship compromises the integrity, impartiality or objectivity of the expert
- have had any such relationship within the immediately preceding two years, or
- be related to any person who has or has had such a relationship.

Note (d): Neither the MOI nor any resolution of the board or security holders can override the requirements of sections 113 or 115 in respect of a scheme of arrangement.

Chapter 5 – Part B – Authority of Panel and Takeover Regulations – nil

Chapter 5 – Part C – Regulation of affected transactions and offers – nil

3.4.6 Chapter 6 – Business rescue and compromise with creditors

For students following the IRBA and SAICA qualifying syllabuses, this chapter is expected to be regarded as specialist knowledge. However, “business rescue” is linked to the going concern ability of a company and it has been decided that this text should provide students with an understanding of the basics underlying the chapter.

Chapter 6 – Part A – Business Rescue Proceedings

1. Section 128 – Definitions (selected)

1.1 **Business rescue** means proceedings that are implemented to facilitate the rehabilitation of a company that is financially distressed, by providing for:

- (i) the temporary supervision of the company, and of the management of its affairs, business and property
- (i) a temporary moratorium on the rights of claimants against the company or in respect of property in its possession (e.g. attaching an asset given as security for a loan), and
- (ii) the development and implementation (if approved) of a plan to rescue the company, restructuring its affairs, business, property, debt, equity, etc.

1.2 **Financially distressed** means that:

- (i) it appears to be reasonably unlikely that the company will be able to pay all of its debts as they fall due and payable within the immediately ensuing six months, or
- (ii) it appears to be reasonably likely that the company will become insolvent within the immediately ensuing six months.

1.3 **An affected person** means:

- (i) a shareholder or creditor of the company
- (ii) any registered trade union representing employees of the company
- (iii) any employee(s) not represented by a trade union.

1.4 **Business rescue practitioner** means a person(s) appointed to oversee the company during rescue.

Note (a): A business rescue practitioner must be licensed with the CIPC and the Minister may prescribe qualifications (see regulation 126) to practice as a business rescue practitioner. The CIPC has a right to revoke the licence.

Regulation 126

For the purposes of business rescue, this regulation categorises companies (basically in terms of their public interest score) *and* business rescue practitioners in terms of their experience. This is done to identify which practitioners can be appointed to “rescue” which companies. The categorisations are as follows:

<i>Company</i>	<i>Score</i>	<i>Practitioner</i>	<i>Experience</i>
<i>Large</i>	500 or more	Senior	Member of accredited professional body, for example SAICA. At least ten years' business turnaround/rescue experience.
<i>Medium</i>	Public: less than 500 Other: 100 to 499	Experienced	Member of accredited professional body, for example SAICA. At least five years' business turnaround/rescue experience.
<i>Small</i>	Less than 100	Junior	Member of accredited professional body, for example SAICA but less than five years' experience, or no experience at all.

Note: The regulations do not include SOC's in the categorisation.

- (i) A *senior* practitioner may be appointed as a practitioner for any company.
- (ii) An *experienced* practitioner may be appointed as a practitioner for any *small* or *medium* company but *not* for a *large* company or *SOC* unless as an assistant to a senior practitioner.
- (iii) A *junior* practitioner may be appointed as a practitioner for any *small* company but *not* for a *large* or *medium* company or an *SOC* unless as an assistant to a senior or experienced practitioner.

2. Section 129 – Company resolution to begin business rescue proceedings

2.1 The board may resolve that the company commence business rescue proceedings if the board has reasonable grounds to believe that:

- the company is financially distressed, *and*
- there appears to be a reasonable prospect that the company can be rescued.

If liquidation proceedings have been initiated by or against the company, such a resolution may not be adopted.

2.2 The resolution must be filed with the CIPC.

2.3 Thereafter, the company must:

- (i) publish a notice of the resolution to every affected person within five business days of filing
- (ii) appoint a *business rescue practitioner* within five business days of filing
- (iii) file the name of the business rescue practitioner (with the CIPC) within two business days of appointment, and within five business days of that appointment, notify all affected persons of the notice of appointment.

Note (a): In terms of section 138, a person may be appointed as a practitioner only if the person is:

- (i) a member in good standing of a profession which is regulated (such as SAICA or IRBA)
- (ii) not disqualified from acting as a director of the company or subject to an order of probation
- (iii) does not have any relationship with the company, which would lead a reasonable and informed third party to conclude that that relationship compromises the integrity, impartiality or objectivity of that person
- (iv) is not related to a person who has a relationship contemplated in (iii) above.

Note (b): In terms of section 130, an affected person can apply to the court at any time after the adoption of the rescue resolution but before the adoption of the rescue plan (s 150) to:

- (i) *set aside the resolution* on the grounds that:
 - there is no reasonable basis for believing the company is financially distressed
 - there is no reasonable prospect of rescuing the company
 - the procedural requirements for obtaining the resolutions were not complied with

- (ii) *set aside the appointment of the practitioner* on the grounds that he or she:
 - is not qualified, or
 - is not independent of the company
 - lacks the necessary skills.

3. Section 131 – Court order to begin business rescue proceedings

- 3.1 An affected person may apply to the court for an order to place the company under supervision and commence rescue proceedings.
- 3.2 An applicant (the affected person) must:
- serve (send) a copy of the application on the company and the CIPC, and
 - notify each affected person of the application.

Note (a): The court can place the company under supervision if it is satisfied that:

- (i) the company is financially distressed
- (ii) the company has failed to pay over any amount in terms of an obligation in terms of a public regulation (e.g. pay municipal rates/levies), contract (e.g. pay creditor) or in respect of employment-related matters, or
- (iii) it is just and equitable to do so for financial reasons, and
- (iv) there is a reasonable prospect of rescuing the company.

Chapter 6 – Part B – Practitioner’s functions and terms of appointment

1. Section 140 – Powers and duties of practitioners

- 1.1 During the business rescue proceedings, the practitioner:
- (i) has full management control of the company in substitution for its board and management
 - (ii) may delegate any power to a person who was a member of the board or management
 - (iii) may remove a member of management from office or appoint a person as part of management.
- 1.2 The practitioner is responsible for developing a business rescue plan and implementing it.

Note (a): During a company’s business rescue proceedings the practitioner:

- is an officer of the court and must report to the court as required
- has the responsibilities, duties and liabilities of a director of the company
- is not liable for any act or omission in good faith while carrying out his function as practitioner, *but* can be held liable for gross negligence in respect of his performance as practitioner.

2. Section 141 – Investigation of affairs of the company

- 2.1 As soon as practicable after being appointed, the practitioner must investigate the company’s affairs, business, property and financial situation to evaluate whether there is a *reasonable prospect of the company being rescued*.
- 2.2 If, at this stage, or at any stage of the business rescue proceedings, the practitioner concludes that there is *no* reasonable prospect of the company being rescued, the practitioner must:
- (i) inform the court, the company and all affected persons of this fact, and
 - (ii) apply to the court for an order discontinuing the business rescue proceedings and placing the company in liquidation.
- 2.3 If at any time during the business rescue proceedings, the practitioner concludes that the company is *not* financially distressed, the practitioner must:
- (i) inform the court, the company and all affected persons of this fact and apply to the court (where applicable) to set aside the business rescue proceedings, or
 - (ii) file a notice of termination of business rescue proceedings (with the CIPC).
- 2.4 If at any time during the business rescue proceedings, the practitioner concludes that in the dealings of the company before business rescue proceedings began, there is evidence of:
- (i) *voidable transactions*, or

- (ii) *a failure by the company or the directors to perform any material obligation*, the practitioner must take necessary steps to rectify the situation and may direct management to rectify the situation
- (iii) *reckless trading, fraud or other contravention of any law* relating to the company, the practitioner must forward the evidence to the appropriate authority (for further investigation and possible prosecution) and direct management to take the necessary steps to rectify the situation, including recovering any misappropriated assets of the company.

Note (a): When a company is financially distressed, shareholders and/or directors may be tempted to act in a manner that is reckless, fraudulent or results in voidable transactions, for example, a director purchasing one of the company's machines for an amount considerably below its market (fair) value, before the company is liquidated. In other words, the shareholders/directors may place their own interests above those of the company and creditors, in an attempt to minimise their own losses.

3. Section 142 – Directors to co-operate with and assist the practitioner

- 3.1 As soon as practical after business rescue proceedings begin, each director must deliver to the practitioner all books and records that relate to the company that are in his possession, and if the director knows the whereabouts of other books and records, must inform the practitioner.
- 3.2 Within five business days after the business rescue proceedings begin, the directors must provide the practitioner with a statement of affairs of the company, including, as a minimum, particulars of:
 - any material transactions involving the company or its assets which occurred within the 12 months preceding the rescue proceedings
 - any court, arbitration or administrative proceedings the company is involved in
 - the assets and liabilities of the company, and its income and disbursements within the preceding 12 months
 - the number of employees and any agreements relating to the rights of employees
 - debtors and creditors of the company, their rights and obligations.

Chapter 6 – Part C – Rights of affected persons during business rescue proceedings

1. Sections 144, 145, 146 – Rights of affected persons during business rescue proceedings

- 1.1 For the purposes of this text, the detail of these sections is not important, but it is essential to understand that a business rescue plan is a collective effort by the practitioner *and* affected persons to save the company. The Act draws employees, creditors and holders of the company's securities into the process by stipulating the "rights" these groupings have.

In general terms, employees, trade unions, creditors and holders of the company's securities, are entitled to:

- (i) receive notice of all court proceedings, decision, meeting or event relating to the business rescue plan
- (ii) participate in court proceedings
- (iii) form representative committees
- (iv) be consulted by the business rescue practitioner
- (v) be present and make submissions at meetings of the holders of voting interests
- (vi) vote on the approval of the business rescue plan
- (vii) propose and develop an alternative business plan if the (practitioner's) proposed rescue plan is rejected.

2. Sections 147 and 148 – First meetings of creditors and employees' representatives

- 2.1 In terms of these sections, the practitioner must, within 10 days of being appointed, convene and preside over the first meeting of creditors and a (separate) first meeting of employees' representatives.
- 2.2 The purpose of these meetings is to inform these groups whether the practitioner believes there is a reasonable prospect of rescuing the company.

Note (a): The practitioner must give notice of the respective meetings to every creditor, and employee (trade union if applicable) setting out the date, time and place of the meeting, and the agenda for the meeting.

Chapter 6 – Part D – Development and approval of business rescue plan

1. Sections 150 to 154 – Development and approval of business rescue plan

- 1.1 It is the practitioner's duty, after consulting the creditors, management and other affected parties, to prepare a business rescue plan.
- 1.2 The plan must contain all the information required to facilitate affected persons in deciding whether to accept or reject the plan. The plan must be divided into three parts (this is a requirement of s 150):
 - Part A – background
 - Part B – proposals
 - Part C – assumptions and conditions
 and must conclude with a certificate by the practitioner stating that:
 - actual information provided appears accurate, complete and up to date
 - projections provided are estimates made in good faith based on factual information and the assumptions set out in the plan.
- 1.3 The business plan must be published within 25 business days after the date on which the practitioner was appointed (this can be extended by the court or the majority of creditors' voting interests).
- 1.4 The practitioner must, in terms of section 151, then convene and preside over a meeting of creditors and other holders of a voting interest to consider the plan. (This must occur within ten business days of publishing the plan.)
- 1.5 Approval on a preliminary basis will then be sought from the creditors, and if more than 75% of the creditor voting interests supports the plan, preliminary approval is obtained.
- 1.6 If the rescue plan does *not* alter the rights of the holders of any class of the company's securities, the preliminary approval becomes final approval and the plan is adopted.
- 1.7 If the rescue plan does alter the rights of the holders of any class of such securities, the practitioner must convene a meeting of those security holders and put the plan to the vote. If a majority (over 50%) of the affected security holders vote to adopt the plan, the preliminary approval becomes final approval and the plan is adopted.
- 1.8 If the rescue plan is rejected, the practitioner may seek approval to prepare and publish a revised plan. If this is granted, the "prepare, publish, approve procedure" will be carried out again.

Note (a): If the practitioner or an affected person believes that the decision to reject the rescue plan was egregious (outstandingly bad), irrational or inappropriate, he may apply to the court to set aside the result of the vote.

Chapter 6 – Part E – Compromise with creditors

1. Section 155 – Compromise between company and creditors

- 1.1 The board of a company or the liquidator of such a company may propose an arrangement or compromise of its financial obligations to its creditors if it is being wound up.
- 1.2 Any such proposal must be divided into three parts, namely:
 - Part A – Background
 - Part B – proposals
 - Part C – Assumptions and Conditions, and
 must include a certificate by an authorised director stating that:
 - factual information provided appears to be accurate, complete and up to date
 - projections provided are estimates made in good faith on the basis of the factual information and assumptions in the proposal.

Note (a): Such a proposal will be binding on all affected creditors if the proposal is supported by a *majority in number of creditors* who represent at *least 75% in value* of the creditors.

3.4.7 Chapter 7 – Remedies and enforcement

The detail of this chapter is expected to be outside the requirements of SAICA and the IRBA, but it is important for students to have a broad understanding of what is contained in the chapter. Much of what is

contained in the chapter is unlikely to affect the everyday practice of auditing, and will be more relevant to lawyers. Thus only a few sections have been included in these summaries, along with brief comments where appropriate.

Chapter 7 – Part A – General principles

1. Section 156 – Alternative procedures for addressing complaints or securing rights

The essence of this section is to provide a range of persons (in various forms) with ways of proceeding against a company and/or its directors to:

- address alleged contraventions of the Act, or
- enforce any provision, or right in terms of the Act, of the company's MOI or rules, and
- provide mechanisms for addressing complaints or securing rights.

Note (a): In terms of this section, a person may attempt to resolve a dispute by:

- i. mediation, conciliation or arbitration with the company
- ii. applying to the Companies Tribunal for adjudication
- iii. applying to the High Court
- iv. applying to the CIPC
- v. applying to the Takeover Regulation Panel (TRP).

The route the complainant takes depends on the nature of the dispute.

2. Section 158 – Remedies to promote purpose of the Act

- 2.1 When deliberating on any matter, the court must develop the common law to improve the realisation and enjoyment of rights established by the Act, and all parties to whom disputes are referred (including the court) must promote the spirit, purpose and objects of the Act.

3. Section 159 – Protection for whistleblowers

- 3.1 The purpose of this section is to provide protection, for example, against dismissal, demotion, court action, etc., for a shareholder, director, secretary, prescribed officer or employee of a company, representative of employees (e.g. trade union), a supplier of goods or services to the company or an employee of such a supplier, who discloses information about the company or the directors (whistle-blowing).

Note (a): The section covers disclosures made in *good faith* to the CIPC, the Companies Tribunal, the TRP, a regulatory authority, an exchange, a legal adviser, a director, prescribed officer, company secretary, *auditor* (internal or external), board or committee of the company.

Note (b): The section covers information that showed or tended to show that the company or a director (or prescribed officer) has:

- (i) contravened the Companies Act or any other Act enforced by the CIPC, for example, Close Corporations Act, Copyright Act, Trade Marks Act as listed in Schedule 4, for example, a company selling counterfeit goods
- (ii) failed or is failing to comply with any legal obligation to which the company is subject, for example, a company not paying VAT on cash sales
- (iii) engaged in conduct that has endangered or is likely to endanger the health or safety of any individual, or damage the environment, for example, a company dumping toxic waste in a river
- (iv) unfairly discriminated, or condoned unfair discrimination, against any person as per section 9 of the Constitution, for example, company dismissing women who become pregnant
- (v) contravened any other legislation in a manner that could expose the company to an actual or contingent risk or liability, or is inherently prejudicial to the company's interests, for example, transport company bribing government officials to provide roadworthy certificates for its trucks without testing.

Note (c): In terms of this section, the whistle-blower:

- (i) has qualified privilege in respect of the disclosure and
- (ii) is immune from any civil, criminal or administrative liability for that disclosure.

Note (d): The company cannot override this section in its MOI or rules, for example, it cannot include a clause that provides for instant dismissal of whistle-blowers.

Chapter 7 – Part B – Rights to seek specific remedies

1. Section 161 – Application to protect rights of securities holders

- 1.1 A holder of issued securities may apply to the court for an order to protect the rights pertaining to his securities (shares) in terms of the Act or the MOI or to rectify harm done to the securities by a company or any of the directors.

2. Section 162 – Application to declare director delinquent or under probation

- 2.1 This section gives certain parties, for example, the company, shareholders, director, company secretary, or trade union, the power to apply to the court to have a director declared delinquent or under probation.

The section relates to a present director or an individual who was a director within the 24 months preceding the application to the court.

3. Section 163 – Relief from oppressive or prejudicial conduct

- 3.1 This section gives a shareholder or director the power to apply to the court for relief if:

- i. any act or omission of the company, or
- ii. the manner in which the business of the company has been conducted, or
- iii. the abuse of his powers by a director, etc.,

has had a result that is oppressive or unfairly prejudicial to, or unfairly disregards, the interests of the applicant.

Note (a): If the court finds in favour of the applicant, it may make any interim or final order it considers fit. These range from an order restraining the conduct complained of, to appointing additional directors, and ordering compensation to be paid to an aggrieved party.

Chapter 7 – Parts C to F

The remaining sections in this chapter of the Companies Act 2008 are mainly procedural and are beyond the scope of this text.

3.4.8 Chapter 8 – Regulatory agencies and administration of act

This chapter establishes four “regulatory agencies”, lays out their objectives and functions, gives them powers and determines how they should be staffed. It is unnecessary to detail all of the above. However, prospective auditors should be aware of the agencies and their broad functions, particularly the Financial Reporting Standards Council (FRSC). A brief overview of the agencies is given below.

Chapter 8 – Part A – Companies and Intellectual Property Commission

1. Sections 185 to 192 – Establishment, objectives, functions, etc.

- 1.1 The CIPC is a juristic person who must be independent and must perform its functions impartially, without fear, favour or prejudice.
- 1.2 Its objectives are to:
- efficiently and effectively register companies or other juristic persons arising from various Acts under its control (see Schedule 4) and intellectual property rights
 - maintain up-to-date, accurate and relevant information pertaining to companies, etc.
 - promote awareness of the company and intellectual property laws
 - promote compliance with the Act and other applicable legislation
 - enforce the Companies Act and other Schedule 4 Acts.

- 1.3 The CIPC is also responsible for advising the Minister on national policy relating to companies and intellectual property law.
- 1.4 The CIPC will be headed by a Commissioner and Deputy Commissioner, both appointed by the Minister. Specialist Committees may be appointed by the Minister to advise on matters relating to company law or policy and the management of the Commission's resources.

Chapter 8 – Part B – Companies Tribunal

1. Section 193 to 195 – Companies Tribunal

- 1.1 The Companies Tribunal is a juristic person who must be independent and must perform its functions impartially and without fear, favour or prejudice, and in an appropriate transparent manner.
- 1.2 The Minister will appoint the chairperson and other members (at least 10) of the Tribunal. Members must comprise persons suitably qualified and experienced in economics, law, commerce, industry or public affairs. The Minister must designate a member of the tribunal as deputy chairperson.
- 1.3 The functions of the Companies Tribunal are to:
 - adjudicate in relation to any application made to it in terms of the Act
 - assist in voluntary resolutions of disputes
 - perform any function allocated to it in terms of the Companies Act or any Act mentioned in Schedule 4.

Chapter 8 – Part C – Takeover Regulation Panel

1. Sections 196 to 202 – Establishment, composition, functions, etc.

The TRP is a juristic person who must be independent and must perform its functions impartially without fear, favour or prejudice.

- 1.1 The TRP will be made up of the Commissioner, various other stipulated persons (posts) and several other individuals appointed by the Minister. The Minister may designate members of the TRP to be chairperson and deputy chairpersons (two). The panel may appoint an executive director and one or more deputy executive directors.
- 1.2 The functions of the TRP are to:
 - (i) regulate affected transactions, and investigate complaints relating to affected transactions (amalgamations, mergers, etc.)
 - (ii) apply to the court to wind up a company where the directors etc have acted fraudulently or illegally and have not responded to compliance “warnings” by the CIPC or TRP itself
 - (iii) consult the Minister in respect of changes to the Takeover Regulations.
- 1.3 Section 202 provides for establishing a Takeover Special Committee to hear and decide on any matter referred to by the TRP or, if applicable, the Executive Director of the TRP.

Chapter 8 – Part D – Financial Reporting Standards Council

1. Sections 203 and 204 – Establishment, composition, and functions

- 1.1 The functions of the Financial Reporting Standards Council (FRSC) are to:
 - (i) receive and consider any relevant information relating to the reliability of, and compliance with, financial reporting standards and adopt international reporting standards for local circumstances
 - (ii) advise the Minister on matters relating to financial reporting standards, and
 - (iii) consult with the Minister on the making of regulations establishing financial reporting standards.
- 1.2 The Minister is responsible for establishing a committee (i.e. the FRSC) by appointing suitably qualified persons, in terms of the requirements of the Act, for example, four practising auditors, two persons responsible for preparing financial statements for a public company, two people knowledgeable on company law, a person nominated by the Governor of the South African Reserve bank, etc. (see s 203).

Chapter 8 – Part E – Administrative provisions applicable to agencies

The balance of the sections in this chapter of the Companies Act are generally procedural and beyond this text's scope.

3.4.9 Chapter 9 – Offences, miscellaneous matters and general provisions

Chapter 9 – Part A – Offences and penalties

1. Section 213 – Breach of confidence

- 1.1 It is an offence to disclose any confidential information concerning the affairs of any person obtained in carrying out any function in terms of this Act or participating in any proceedings in terms of the Act.

Note (a): Obviously, this does not apply to information disclosed:

- for the purpose of proper administration or enforcement of this Act
- to administer justice
- at the request of a regulatory agency (or its inspectors) entitled to receive the information, or
- when required to do so by any court or under any law.

Note (b): In terms of section 216, a person convicted of breaching this section is liable to a fine or imprisonment not exceeding ten years, or to both!

2. Section 214 – False statements, reckless conduct, and non-compliance

- 2.1 A person is guilty of an offence if he:

- is party to the falsification of any accounting records
- knowingly provided false or misleading information, with a fraudulent purpose, in any circumstance in which the Act requires the person to provide information
- was knowingly a party to an act or omission calculated to defraud a creditor, employee or security holder or with another fraudulent purpose
- is a party to the preparation, approval, dissemination or publication of:
 - financial statements, knowing that the financial statements do not comply with the requirements of section 29(1), for example, do not satisfy the financial reporting standards, or do not indicate whether they have been audited or not (see s 29 (6))
 - financial statements, knowing that they are false or misleading
 - a prospectus that contains any untrue statement.

Note (a): Again, in terms of section 216, a person convicted of breaching this section is liable to a fine or imprisonment not exceeding ten years, or to both.

3. Section 215 – Hindering administration of the Act

- 3.1 It is an offence to hinder, obstruct or improperly attempt to influence the CIPC, the Companies Tribunal, the TRP, an investigator/inspector or the court when any of them is exercising a power or duty in terms of the Act.

Note (a): A breach of this section may result in a fine or imprisonment not exceeding 12 months, or both.

Chapter 9 – Part B – Miscellaneous matters – nil

Chapter 9 – Part C – Regulations, etc.

1. Section 225 – Short title

This Act will be called the Companies Act, 2008.

3.5 Auditing Profession Amendment Act 5 of 2021

3.5.1 Introduction

This Act plays an important role in the lives of all registered auditors and trainee accountants. It is the Act that created the Independent Regulatory Board for Auditors (IRBA), which is responsible for controlling the auditing profession in South Africa. The APA was amended:

- to strengthen the governance of the Regulatory Board
- to strengthen the investigating and disciplinary processes

- to provide for the power to enter and search premises and to subpoena persons with the information required for an investigation or disciplinary process
- to provide for the power to issue a warrant for purposes of entering and searching of premises
- to provide for processes to be followed after an investigation
- to provide for sanctions in the admission of guilt process and following a disciplinary hearing
- to provide for offences relating to investigation and disciplinary process
- to provide for the protection and sharing of information, to provide for transitional measures, and
- to provide for matters connected in addition to that.

The Auditing Profession Amendment Act 5 of 2021 became effective on 26 April 2021. The preamble to the Act states that the Act is designed to:

- provide for the establishment of the Independent Regulatory Board for Auditors
- provide for the education, training and professional development of registered auditors
- provide for the accreditation of professional bodies
- provide for the registration of auditors, and
- regulate the conduct of registered auditors.

3.5.2 Structure of the Act

The Act consists of 60 sections, which are broken down into seven Chapters. Many of the sections are not important for academic study purposes:

Chapter 1	: Interpretation and Objects of the Act
Chapter II	: Independent Regulatory Board for Auditors
Chapter III	: Accreditation and Registration
Chapter IV	: Conduct by and Liability of Registered Auditors
Chapter V	: Accountability of Registered Auditors
Chapter VI	: Offences
Chapter VII	: General Matters

3.6 Chapters and Sections of the Auditing Profession Amendment Act 5 of 2021 and notes

3.6.1 Chapter I: Interpretation and objects of the act (ss 1 and 2)

In essence, this chapter provides definitions of words used in the Act and states that the objects of the Act are to:

- protect the public by regulating audits performed by registered auditors
- provide for the establishment of an Independent Regulatory Board for Auditors
- improve the development and maintenance of internationally comparable ethical standards and auditing standards for auditors
- set out measures to advance the implementation of appropriate standards of competence and good ethics in the auditing profession, and
- provide for procedures for disciplinary action in respect of improper conduct.

3.6.2 Chapter II: Independent regulatory board for auditors (ss 3 to 31)

This chapter is broken down into seven parts.

- **Part 1** establishes the IRBA as a *juristic person* and orders that the IRBA must exercise its functions in accordance with the APA and any other relevant law. It also states that the IRBA is subject to the Constitution.
- **Part 2** spells out the functions of the IRBA. The matters that are dealt with include accreditation and registration, education, fees for being a member of IRBA, etc, promoting the integrity of the profession, prescribe standards, etc.

- **Part 3** gives the IRBA its general powers and its powers to make rules. General powers make it possible for the IRBA to operate, for example, by giving it the power to appoint staff, enter into agreements, acquire property, borrow money, etc. The power to make rules allows the IRBA to execute its responsibilities in terms of the Act.
- **Part 4** lays out the governance requirements of the Regulatory Board. These sections cover such matters as appointment of members of the Regulatory Board, their terms of office, disqualification from membership, meetings, the role of the Chief Executive Officer, etc., for example, the board must consist of not less than six but not more than 10 non-executive members appointed by the Minister.
- **Part 5** deals with committees of the Regulatory Board. Most significantly, it lays down the requirement that at least the following permanent committees must be established:
 - Section 20 and 21 : committee for auditor ethics
 - Section 20 and 22 : committee for auditing standards
 - Section 20 : an education, training and professional development committee
 - Section 20 : an inspection committee
 - Section 20 and 24 : an investigating committee
 - Section 20 and 24 : a disciplinary committee
- **Part 6** deals with the funding and financial management of the Regulatory Board and covers the collection of fees, an annual budget and strategic plan, and the preparation of financial statements.
- **Part 7** deals with national government oversight and executive authority. This explains that the Minister of Finance is the executive authority for the IRBA, and that the IRBA is accountable to the Minister.

3.6.3 Chapter III: Accreditation and registration (ss 32 to 40)

This chapter is broken down into two parts.

- **Part 1** deals with the accreditation of professional bodies. For an individual to register with the IRBA, he must satisfy the prescribed education, training, competency and professional development requirements. As IRBA is not in the business of supplying the above, its model is to “outsource” these activities to professional bodies, which it accredits. If an individual then satisfies the requirements of the accredited professional body, he or she may apply for registration with the IRBA. The only accredited professional body at present is SAICA.
- **Part 2** deals with the registration of individuals and firms as registered auditors and contains the following important sections:

1. Section 37 – Registration of individuals as registered auditors

1.1 This section states that an individual may be registered if he:

- has complied with the prescribed education, training and competency requirements
- is resident in the Republic
- is a fit and proper person to practice the profession.

Note (a): If the individual is not a member of an accredited professional body, he will have to satisfy the IRBA that arrangements for his continuing professional development have been made. (Note: An individual does not have to join SAICA to be registered with the IRBA.)

Note (b): On payment of the prescribed fee, the individual must be entered in the register and issued with a certificate of registration.

Note (c): The Regulatory Board may *not* register an individual who:

- has at any time been removed from an office of trust because of misconduct related to carrying out duties relating to that office
- has been convicted and sentenced to imprisonment without the option of a fine, or to a fine exceeding a prescribed limit in the Republic or elsewhere, for fraud, theft, forgery, uttering (putting into circulation) a forged document, perjury or an offence under the Prevention and Combating of Corrupt Activities Act 12 of 2004 or any offence involving dishonesty, other than an offence committed prior to 27 April 1994 associated with political objectives.

- is for the time being, of unsound mind or unable to manage his affairs
- is disqualified from registration under a sanction imposed by the APA, for example, for a disciplinary matter.

Note (d): The Regulatory Board *may decline* to register an individual who:

- is an unrehabilitated insolvent
- has entered into a compromise with creditors, or
- has been provisionally sequestered.

2. Section 38 –Registration of firms as registered auditors

The *only* firms that may be registered are:

- 2.1 partnerships of which all the partners are individuals who are themselves registered auditors
- 2.2 sole proprietors where the proprietor is a registered auditor
- 2.3 companies that comply with the following:
 - (i) The company must be incorporated and registered in terms of the Companies Act:
 - with a share capital, and
 - its MOI must provide that its directors and past directors shall be *jointly and severally* liable with the company for its debts and liabilities contracted during their periods of office.
 - (ii) Only individuals who are registered auditors may be shareholders. (If the company is a private company, its membership is *not* limited to 50).
 - (iii) Every *shareholder* must be a *director* and every *director* must be a *shareholder*.
 - (iv) The MOI of the company provides that the company may, without the confirmation of the Court, purchase any shares held in it and allot those shares per the company's MOI.
 - (v) Only a shareholder may act as a proxy for another shareholder, in other words, no outsiders may attend, speak or vote at any company meeting. This must be stipulated in the MOI.

Note (a): An accounting company is required to comply with all sections of the Companies Act, for example, produce AFS, hold meetings, etc.

Note (b): Section 38 ensures that registration with the IRBA is restricted to auditors, regardless of the form the firm takes. Registration requirements are strict. For example, an auditor and a lawyer cannot form a partnership and apply to be a firm of registered auditors. Likewise, a firm that wishes to constitute itself as a company cannot include lawyers or others as shareholders or directors. Many auditing firms (partnerships and companies) have lawyers, engineers, IT specialists on their staff, but they cannot be partners or shareholders.

3.6.4 Chapter IV: Conduct by and liability of registered auditors (ss 41 to 46)

1. Section 41 – Practice

- 1.1 Only a registered auditor may engage in public practice.
- 1.2 A person who is not registered in terms of the APA, may not:
 - perform any audit (see notes (a), (c) and (e))
 - pretend to be, or hold out to be, registered in terms of the APA (note (b))
 - use the name of any registered auditor (see note (d))
 - perform any act to lead persons to believe that he is registered in terms of the APA.

Remember: the term “audit” is defined as meaning an examination, in accordance with applicable auditing standards, of:

- (i) financial statements, with the objective of expressing an opinion as to their fairness in terms of an identified reporting framework, or
- (ii) financial and other information, prepared in accordance with suitable criteria with the objective of expressing an opinion on the financial and other information.

Note (a): This section does not prohibit a non-registered individual from performing an audit under a registered auditor's direction, control and supervision, for example, an employee in an auditing firm.

Note (b): An individual or firm may not use the descriptions “registered auditor”, “public accountant”, “registered accountant and auditor”, “accountant in public practice” or any other designation likely to create the impression of being a registered auditor in public practice *unless* they are registered with the IRBA. Remember, this is a prohibition created by law; it is similar to the medical profession, you cannot call yourself a medical doctor if you are not registered as such with the Health Professions Council of South Africa.

Note (c): The section does *not* prohibit:

- any person from using the description “internal auditor” or accountant. Any person can offer accounting services (not auditing) to the public and call themselves a “financial advisor” or a “management accountant”, etc.
- any member of a not-for-profit club or similar entity, from acting as auditor for that club or entity, provided he receives no fee or other considerations for the audit
- the Auditor-General from appointing any person who is not a registered auditor, to carry out on his behalf, any audit in terms of the Public Audit Act 25 of 2004.

Note (d): For example, Joe Janks is a registered auditor practising under the name of “J Janks Registered Auditor and Accountant”. He retires and sells his practice to Paul Paris who is a very competent accountant but not eligible to register with the IRBA. Paul Paris would not be allowed to retain the name of the firm as “J Janks Registered Auditor and Accountant” and would not be able to retain the firm’s audit clients.

Note (e): Except with the consent of the IRBA, a registered auditor may not knowingly employ

- any person (formerly registered but) no longer registered as a result of the termination or cancellation of registration, or
- any person who was declined registration on the grounds of having been removed from an office of trust, convicted and sentenced for fraud, theft, etc., as laid out in section 37, note (c).

Note (f): *Section 41(6)* states that a registered auditor may *not*

- practice under a firm name unless every letterhead bears the firm name, the first name (or initials) and surname of the registered auditor, the names of the managing or active partners in the case of a partnership, or in the case of a company, the present first names, or initials, and surnames of the directors.
- sign any account, statement, report or other documents that purports to represent an audit unless the audit was performed by, or under the supervision of that auditor (or a co-partner or co-director) in accordance with prescribed auditing standards (see note (a))
- perform audits unless adequate risk management practices and procedures are in place
- engage in public practice during any period in respect of which the registered auditor has been disqualified from registration
- share any profit derived from performing an audit with a person who is not a registered auditor.

2. Section 44 – Duties in relation to an audit

2.1 In terms of section 44 (1), where a firm accepts the appointment to perform an audit, it must immediately decide which *individual* registered auditor within the firm will be responsible and accountable for the audit (see note (a)).

2.2 In terms of section 44(2) and (3), the registered auditor *may not* express an opinion, without qualification, that the financial statements

- fairly present in all material respects, the financial position of the entity and the results of its operations and cash flow, and
- are properly prepared in all material respects in accordance with the basis of accounting and financial reporting framework as disclosed in the financial statements

unless

- the audit has been carried out free of restriction
- in compliance with applicable auditing pronouncements
- the registered auditor has satisfied himself of the existence of all assets and liabilities shown in the financial statements (see note (b))

- proper accounting records have been kept in at least one of the official languages
- all information, vouchers and other documents which, in the registered auditor's opinion, were necessary for the proper performance of the auditor's duty, have been obtained
- the registered auditor has not had to report a reportable irregularity to the Regulatory Board (see note (c))
- the registered auditor has complied with all laws relating to that entity, and
- the registered auditor is satisfied as to the fairness of the financial statements.

Note (a): The name of the individual registered auditor responsible for the audit must be conveyed to the client and made available to the Regulatory Board on request. This is an important section as it isolates responsibility and provides the IRBA with an identified individual (as opposed to the firm at large), against whom action can be taken in respect of certain offences.

Note (b): The word "existence" in this section is not used in the narrow sense of the existence assertion only. It should be taken as meaning that the assets and liabilities shown in the financial statements are fairly presented in all respects. Of course, to be in a position to satisfy this requirement, the auditor will test all assertions applicable to the asset and liability account balances, including the disclosure assertions.

Note (c): Reportable irregularities are dealt with extensively in section 45.

2.3 In terms of section 44(4), (5) and (6), if a registered auditor was responsible for keeping the books, records or accounts of an entity on which he is reporting on anything in connection with the business or financial affairs of the entity, details of the dual roles undertaken must be included in the report.

Note (d): In terms of section 90 of the Companies Act, a person who, alone or with a partner or employees, habitually or regularly performs the duties of accountant or bookkeeper or performs related secretarial work may not be appointed auditor.

Note (e): The passing of closing entries, assisting with adjusting entries or framing financial statements or other documents are not regarded as "being responsible for keeping the books, records or accounts" (see s 44 (5)).

Note (f): A registered auditor who has or has had a conflict of interest (as prescribed by the IRBA) may not conduct an audit of that entity.

3. Section 45 – Duty to report irregularities (see Appendix at the end of this chapter)

This is a very important section as it places a significant responsibility on the registered auditor. The discussion which follows is based on the section itself and advice issued to registered auditors by the IRBA.

3.1 Section 1 – Definitions

In terms of the definition, a reportable irregularity (RI) means:

- any unlawful act or omission committed by
- any person responsible for the management of an entity which
- has caused *or* is likely to cause financial loss to the entity or to its partner, member, shareholder, creditor or investor, *or*
- is fraudulent or amounts to theft, *or*
- represents a material breach of any financial duty owed by such person to the entity or any partner, member, shareholder, creditor or investor of the entity under any law applying to the entity or the conduct of management thereof.

3.2 Section 45(1) and (2) – Duty to report on irregularities

This section stipulates that the individual registered auditor (responsible and accountable for the audit) who

- is satisfied or has reason to believe that
- an RI has taken or is taking place *must*
- without delay
- send a written report, giving particulars of the irregularity to the Regulatory Board *and must*
- within three days, notify the management board of the entity in writing, of the sending of the report, and must provide the management board with a copy of the report.

3.3 **Section 45(3)** stipulates that the registered auditor must:

- as soon as reasonably possible, but within 30 days of the date on which the report was sent to the Regulatory Board
- take all reasonable measures to discuss the report with the management board of the entity
- afford the management board the opportunity to make representations in respect of the report
- send another report to the Regulatory Board, including a statement by the registered auditor that
 - no RI has taken place or is taking place (detailed information must support this option), or
 - the suspected RI is *no longer* taking place and that adequate steps have been taken for the prevention or recovery of any loss, or
 - the RI is continuing.

3.4 **Section 45(4)** requires that should the Regulatory Board be informed that the RI is continuing, it must notify any appropriate regulator “as soon as possible” in writing of the details of the RI and provide it with a copy of the report.

3.5 **Section 45(5)** states that a registered auditor may carry out such investigation he deems necessary in performing any duty in terms of section 45.

3.6 **Section 45(7)** states that if an individual registered auditor has reported an irregularity to the Regulatory Board in terms of subsection (1)–

- the individual registered auditor may not be removed; and
- the entity may not remove the registered auditor until subsection (3) is complied with.

On the face of this, it does not seem too difficult, but as with most legal matters, clarity is required on several aspects. The following notes apply to the phrases or terms used in the definition and the section.

Note (a): *Any unlawful act or omission*

- An unlawful act will be
 - (i) an act that is contrary to any law passed by a government
 - (ii) an act that is contrary to regulation (e.g. regulations pertaining to pollution)
 - (iii) an act that is contrary to accepted common-law principles.
- The unlawful act may arise out of negligence or intentionally (negligence arises where the person ought to have known that the act or omission committed was unlawful).
- Auditors are not legal experts but, in terms of ISA 250 Consideration of Laws and Regulations in an Audit of Financial Statements, should be capable of recognising instances where non-compliance with laws and regulations by the entity may materially affect fair presentation. The auditor is not required to introduce additional audit procedures to detect unlawful acts.

Note (b): *Committed by any person responsible for management of an entity*

- To be an RI, the irregularity must have been committed by a person responsible for the management of the entity.
- For a company, this can generally be interpreted as:
 - (i) the board of directors of a company and the holding company in group situations, and
 - (ii) any person who is a principal executive officer of the company, and
 - (iii) any person who exercises executive control.
- For other types of entity, it can generally be interpreted as the
 - (i) board of the entity, and
 - (ii) the individuals responsible for the management of the company, and
 - (iii) any person who exercises executive control.
- If an employee of an entity commits an unlawful act *with the knowledge or direction* of any person responsible for management, the auditor would regard this as an unlawful act committed by management.

Note (c): *Has caused or is likely to cause, material financial loss to the entity, or to any member, shareholder, creditor or investor . . .*

- If the unlawful act or omission is committed by any person responsible for management, which has caused, or is likely to cause, loss to any of the above parties, it is *reportable*.

- If the act will not cause financial loss, it is not reportable in terms of this requirement *but* it may still be reportable in terms of the other two conditions, namely, the act amounts to fraud/theft or is a breach of fiduciary duty.
- Whether the loss is *material* is a matter of professional judgement; it does not relate to the materiality levels set for the audit. The absolute and relative size of the loss is considered, for example a loss of R1m as a result of an unlawful act is in absolute terms material, but in the context of a large listed entity, it may be immaterial.
- If a benefit has been accrued from the unlawful act, it may not be set off against the “loss” incurred, for example, a R1m bribe, which results in a contract for the entity of R20m, cannot be ignored because the entity is R19m “to the good” (see note (d) below).

Note (d): *Is fraudulent or amounts to theft*

- As indicated above, if the fraudulent act is theft or fraud but does not result in financial loss to the entity, for example, a company submits and is paid out on a false insurance claim, the act is *reportable* as it is fraud. (Note: The insurance company has in fact suffered loss.)
- *Fraud* is defined as “the unlawful and intentional making of a misrepresentation which causes actual or potential prejudice to another”, for example, submitting a false insurance claim.
- *Theft* is the “unlawful taking of a thing which has value with the intention to deprive the lawful owner or the lawful possessor of that thing”, for example, members of the management team sell inventory belonging to the entity, falsify the inventory records, and keep the proceeds.

Note (e): *Represents a material breach of any fiduciary duty owed by such person to the entity or any partner, member, shareholder, creditor or investor of the entity, under any law applying to the entity or the conduct or management thereof.*

- A fiduciary duty can generally be defined as an obligation to act in the best interests of another party.
- A person generally comes into a fiduciary relationship when he controls the assets of another, or holds the power to act. Fiduciaries are expected to be loyal and to act in good faith towards the person to whom they owe the fiduciary duty and must not profit from their position as a fiduciary.
- Common examples of fiduciary relationships which the registered auditor will encounter are:
 - (i) a director in relation to his company
 - (ii) a member in relation to his CC
 - (iii) a partner in relation to his co-partners.
- The measurement of the *materiality* of the breach is again a matter of professional judgement and will bear no relationship to audit materiality. Only inconsequential or trivial breaches should be regarded as non-material.
- The key obligations in terms of the directors’ fiduciary duties owed to their company include:
 - (i) preventing a conflict of interest between themselves and the company
 - (ii) not exceeding the limitations of their powers (*ultra vires*)
 - (iii) considering the affairs of the company in an objective manner and in its best interests (unfettered discretion)
 - (iv) exercising their powers for the purpose for which they were granted.

Note (f): *Section 45(1) and (2) place a duty on the individual registered auditor to report the irregularity*

- You will remember from section 44 that an *individual registered auditor* must be identified as responsible and accountable for an audit; it is this individual who is required to report any RI.
- In order to report, the registered auditor does not need absolute or irrefutable proof that a reportable act has taken place; he needs only to be “satisfied or have reason to believe”. If challenged, the auditor will have to show that there were sufficient grounds to report the irregularity. It is important to note that there is *no legal protection* for the registered auditor if he reports the irregularity *without sufficient grounds to do so*.
- It is important to note that in respect of the RI, the registered auditor may consider information that comes to his knowledge (or the knowledge of the firm) from any source. This will include knowledge obtained from
 - (i) providing other services to an audit client, for example, a reportable fraud is picked up while preparing a VAT return

- (ii) providing services to another client, for example, at an audit of a client (company B), the auditor learns that another audit client (company A) in the same industry is paying bribes to obtain contracts
- (iii) third parties, for example, press coverage of court cases, or articles about illegal importing in a particular business sector such as sports footwear.

Obviously, the auditor would be expected to consider the reliability of the source of information.

- Using information from any source will not be regarded as a breach of the fundamental principles of *confidentiality* as spelt out in the Code of Professional Conduct as it is a legal requirement that the registered auditor “considers such information”.

Note (g): *Reporting without delay*

- From the point of “being satisfied or having reason to believe”, the auditor must report “without delay.” This time period is not defined and should be interpreted as the period a “reasonable auditor” would take to report.

Note (h): In terms of the APA, a registered auditor only has an obligation to report RIs in respect of an audit client (but see note (k) below (very important!))

- In terms of section 1 – “Definitions”, an audit means the examination of, in accordance with the applicable auditing standards:
 - (i) **financial statements** with the objective of expressing an opinion as to their fairness or compliance with an identified framework and any applicable statutory requirements, or
 - (ii) **financial and other information** prepared in accordance with suitable criteria, with the objective of expressing an opinion on that financial and other information.
- Take note that the auditor has a responsibility to report in respect of an audit client, not solely in respect of the service rendered.

For example:

Green and Brown, a firm of registered auditors, is carrying out an “agreed-upon procedures” engagement for Tacksi (Pty) Ltd (no opinion is given for this type of engagement). Green and Brown also perform the annual audit of Tacksi (Pty) Ltd, and Bill Brown is the registered auditor responsible for the audit. During the course of conducting the “agreed upon procedures engagement”, Gary Green, the individual performing the engagement, suspects that a management fraud is taking place at Tacksi (Pty) Ltd. In terms of Green and Brown’s appointment to perform agreed-upon procedures, this is *not* an RI, *but* as Tacksi (Pty) Ltd is an *audit client*, Bill should be informed of the suspected management fraud and consider whether it is a reportable irregularity.

- It is also important to note that the definition of “audit” is not restricted to auditing financial statements.
- Where an individual registered auditor performs an audit *on behalf of* the Auditor-General, “reportable irregularities” will be reported to the Auditor-General, not the IRBA. This is because the entity has not appointed the auditor, i.e. the formal relationship is between the entity and the Auditor-General.

Note (i): *Reasonable measures*

- The registered auditor is required to take “reasonable measures” to discuss the report submitted to the IRBA with the client. Most often, this should be a straightforward exercise as the client will want to discuss it. If this is not the case, reasonable measures will be judged in terms of what a reasonable auditor would do.

Note (j): *Section 45(4) places a duty on the IRBA to notify any appropriate regulator in writing of the RI.*

- The term “appropriate regulator”, is defined in section 1 and covers a wide range of parties, for example, a national government department, commissioner, regulator, authority, agency, board appointed to regulate, oversee or ensure compliance with any legislation, regulation or licence, rule, directive, notice in terms of or in compliance with, any legislation as appears appropriate to the Regulatory Board.
- Where the RI is a criminal act, the Regulatory Board is likely to inform the Director of Public Prosecutions, who may, in turn, request the Commercial Branch of the SAPS to investigate the matter.
 - (i) If this occurs, the auditor should expect a visit from the Commercial Branch. As no legal privilege between a practitioner and a practitioner’s client exists, and as the practitioner is not protected by

the Code of Professional Conduct in respect of confidentiality, the practitioner cannot legally refuse to hand over documents to SAPS, provided the SAPS is acting within its powers. Legal advice should be sought immediately.

Note (k): In terms of the Companies Act and the Companies Regulations 2011, all companies must calculate their public interest score. This score, combined with other factors, identifies certain companies which must subject their AFS to an *independent review* by a registered auditor (chartered accountants or other categories of accountant may carry out certain reviews). As this company is not an “audit client” section 45 of the APA will not apply, so an RI uncovered during an independent review, will *not* be reportable to the IRBA *in terms of the APA*. However, in terms of regulation 29, an independent reviewer (who will frequently be a registered auditor), will be obliged to report an “RI” uncovered on a review engagement, but to the CIPC, not the IRBA.

4. Section 46 – Limitation of liability

- Section 46 relates to liability of the registered auditor in respect of an audit conducted in accordance with the ISAs of financial statements with the objective of expressing an opinion as to their fairness in relation to an identified financial reporting framework, for example IFRS.
- An auditor shall, in respect of any opinion expressed, or report or statement made:
 - (i) incur no liability to a client or third party
 - (ii) unless it is proved that such opinion, report or statement was made
 - (iii) maliciously, fraudulently or pursuant to the negligent performance of the auditor’s duties.
- Where it is proved that such opinion, report or statement was given pursuant to negligent performance, the auditor will only be liable to *third parties* if it is proved that at the time of the negligent performance, the registered auditor *knew or could reasonably have been expected to know* that:
 - (i) his client would use the opinion to induce a third party to act or refrain from acting, *or* that
 - (ii) the third party would rely on the opinion for the purpose of acting or refraining from acting in some way.

Note (a): If after the opinion was given, the registered auditor represented to a third party that it was correct, while at the same time he knew or could reasonably have been expected to know that the third party would rely on the opinion, he will be liable if the third party suffers loss as a result of the reliance on the negligently given opinion.

Note (b): The mere fact that a registered auditor performed the duties of auditor shall not in itself be proof that he “could reasonably have been expected to know”. In other words, just because you are the auditor does not mean that you are expected to know or be able to foresee who might rely on the audit opinion and under what circumstances the reliance might occur.

Note (c): A registered auditor’s liability hinges on *negligent* performance by the auditor. As can be seen in section 46(2), the auditor can incur no liability to *client* or *third party*, *unless* it is proved that the opinion, report or statement was given maliciously (the vast majority of auditors do not act maliciously) or fraudulently, pursuant to a negligent performance.

Note (d): A distinction must be drawn between liability to *clients* and liability to *third parties*.

An auditor’s liability to *clients* is based upon breach of contract or delict, in other words, the client could sue the auditor for financial loss on the grounds that the auditor did not meet the terms of the engagement (contract) or in delict on the grounds that the auditor did not meet his “duty of care”.

An auditor’s liability to *third parties* *cannot* be based upon breach of contract as there is normally no contract between the auditor and the third party, in other words, the auditor “contracts” with his client, not with the parties who may use the audited financial statements. The third party will therefore have to bring a delictual action against the auditor and prove that:

- the auditor was negligent in expressing the opinion, or making his report or statement
- the third party relied upon the opinion, report or statement, and

- suffered loss as a result of the reliance, and
- that the auditor knew or reasonably could have been expected to know (at the time the negligence occurred) that
- the third party would rely on the opinion, report or statement.

Note (e): The most important consideration is *how is negligence proved?* The basis of the answer is provided by the following:

A court of law, when considering the adequacy of the work of an auditor, is likely to seek confirmation that in the performance of his or her work, the auditor has in all material respects, complied with the statements on auditing standards. In the event of significant deviation from the guidance on specific matters contained in the statements on auditing standards, the auditor may be required to demonstrate that such deviation did not result in failure to achieve the generally accepted auditing standards.

The auditing statements in effect provide the standards to which the registered auditor must adhere in the performance of his function. It stands to reason, therefore, that if the performance of the auditor is to be judged, it will be judged against the standards which the profession itself has set.

The impact of RIs on the audit opinion

1. An RI may or may not have an effect on fair presentation of the financial statements.
 - If the RI *does* affect fair presentation, then the auditor must qualify the report in accordance with ISA 705, Modifications to the opinion in the Independent Auditor's Report.
 - If the RI *does not* affect fair presentation (but nevertheless exists), the audit report must be modified by the inclusion of an additional paragraph in the audit report. This paragraph would be headed "Report on Other Legal and Regulatory Requirements" and is similar to an emphasis of matter paragraph. Note that even where the RI existed but has been rectified/resolved, it cannot be ignored for audit reporting purposes. Refer to chapter 18, The Audit Report, for further discussion.
 - If a matter that the auditor reported to the IRBA as an RI turns out *not* to be an RI, then no mention of the matter should be made in the audit report.

Consequences for the individual registered auditor for failing to report an RI

1. These can be severe. In the first instance, the individual registered auditor may face investigation and disciplinary action by the IRBA in terms of sections 48, 49 and 50. This would amount to an investigation into improper conduct and could result in the punishments described in Chapter V section 51. See below.
2. In addition, the individual registered auditor, or the firm, may face a civil claim for damages brought by aggrieved parties, for example, someone who suffered loss due to the auditor failing to report the irregularity.
3. Regarding section 52, which deals with the failure to report an RI, a registered auditor may face criminal charges that could result in a jail term not exceeding ten years, and/or a fine. Criminal charges are complicated but simplistically stated – if a registered auditor is satisfied that an RI exists, but intentionally/deliberately does not pursue it, he may face criminal charges.

3.6.5 Chapter V: Accountability of registered auditors (ss 47 to 51)

This chapter gives the IRBA the powers to inspect or review the practice of a registered auditor (s 47), investigate a charge of improper conduct against a registered auditor (s 48), to enter and search premises (s 48A), issue warrants (s 48B), processes following investigation (s 49), and proceed with a formal disciplinary hearing (s 50). It also lays down sanctions in admission of guilt processes (s 51). The punishments are:

- a caution or reprimand
- a fine
- suspension of the right to practice for a specified period, or
- cancellation of the registered auditor's registration, and his removal from the register
- a combination of the above.

3.6.6 Chapter VI: Offences (s 52)

1. Section 52 – Reportable irregularities and false statements in connection with audits

This section, the only section in Chapter VI, states that a registered auditor who

- fails to report an RI, or
- knowingly or recklessly expresses an opinion or makes a report or other statement which is false in a material respect, shall be guilty of an offence.

Note (a): A registered auditor convicted in a court of law under this section is liable to a fine or imprisonment of up to 10 years, or both.

Note (b): For a criminal conviction to be obtained against a registered auditor for failing to report an RI, he must have intentionally/deliberately not reported it.

3.6.7 Chapter VII: General matters (ss 55 to 60)

This chapter consists of six sections, none of which are particularly pertinent to academic study. The chapter deals with the powers of the Minister of Finance (s 55), Indemnity (s 56), Administrative matters (s 57), Protection of information (s 57A), Repeal and amendment of laws (s 58), and Transitional matters (s 59). This section facilitated the transition of the former Public Accountants' and Auditors' Board to the Independent Regulatory Board for Auditors (IRBA). The final section states that the name of the Act will be the "Auditing Profession Amendment Act, 2021".

Appendix – Is it a reportable irregularity (RI)? – 10 questions

1	<i>Is (was) the act committed by a person(s) responsible for management of the entity?</i>	Yes	Proceed to question 2
		No	No RI exists – nothing further to be done
2	<i>Is the act an unlawful act or omission?</i>	Yes	Proceed to question 3
		No	No RI exists – nothing further to be done
3	<i>Does the act result in material financial loss?</i>	Yes	Yes to Q1, Q2, Q3 means that an RI exists
		No	Consider question 4
4	<i>Is the act fraud or theft?</i>	Yes	Proceed. Yes to Q1, Q2 and Q4 means that an RI exists
		No	Consider question 5
5	<i>Is the act a material breach of fiduciary duty?</i>	Yes	Proceed. Yes to Q1, Q2 and Q5 means that an RI exists.
		No	No RI exists if the answers to Q3, Q4 and Q5 are also No
6	<i>Must the matter be reported to the IRBA?</i>	Yes	If the answer to Q1, Q2 and any of Q3, Q4, or Q5 is yes
7	<i>When must the first report be made to the IRBA?</i>		"Without delay" from when the auditor is satisfied or has reason to believe that an RI has taken place
	<i>When must management be notified of the report?</i>		Within 3 days of the auditor making the first report to the IRBA

continued

9	<i>What must the auditor do next?</i>		Take all reasonable steps to discuss the report with management and having done so must make a second report to IRBA which states that <i>no</i> RI has or is taking place <i>or</i> the suspected RI is no longer taking place <i>and</i> that adequate steps have been taken for the prevention or recovery of any loss <i>or</i> that the RI is continuing
10	<i>Is there a time limit on this second report?</i>	Yes	As soon as reasonably possible, but no later than 30 days from the date of the first report to the IRBA.

Corporate governance

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4.1 Section 1 – Background, fundamental concepts, application and disclosure

4.1.1 Introduction

In today's information age, it's virtually impossible to escape the term "corporate governance." Whether you're tuning in to the latest headlines on television, listening to the radio, or scrolling through news articles online, corporate governance continually makes its presence felt, unfortunately often in a negative light. The news is rife with stories of corporate misdeeds, from tender fraud and failing service delivery to environmental harm, corporate leaders awarding themselves extravagant salaries, unfair labour practices, monopolistic trade behaviours, and price manipulation. All of these examples represent poor corporate governance. One might be inclined to believe that "good corporate governance" is an obligation reserved exclusively for large corporations. However, this is a misconception. The truth is that good corporate governance should be an intrinsic and indispensable aspect of running any business or enterprise, regardless of its size, available resources, specific objectives, or the complexity of its operations. It's essential to recognize that there is no one-size-fits-all solution when it comes to achieving good corporate governance. The methods and mechanisms for implementing effective governance will naturally vary among businesses and enterprises with differing scales and scopes. Whilst the focus of this chapter will be on corporate governance in larger companies, do not forget that the *principles and governance outcomes* discussed extensively in this chapter apply to government departments, municipalities and other state or provincial enterprises, non-government organisations (NGOs) and SMEs, etc.

As indicated above, this chapter will focus on good corporate governance in companies. Companies are an integral part of modern society and we are all linked in numerous ways to companies. Companies produce the goods we purchase, many people are employed by companies and we invest in companies, whether through direct shareholdings, pension funds or unit trusts. Companies often support our leisure activities through advertising and sponsorship, and many public facilities are paid for by the taxes which companies contribute to the government. It follows, therefore, that healthy, honest, open, competently and responsibly controlled companies will improve the quality of modern society.

Informally, we might say that corporate governance is the system or process whereby companies (and other organisations) are directed or controlled. It is about companies being good corporate citizens, which, in effect, recognises that a company has rights and obligations and responsibilities to society.

A more formal definition of corporate governance is provided by the King IV Report on Corporate Governance for South Africa 2016, as follows:

Corporate governance is defined as the exercise of ethical and effective leadership by the governing body towards the achievement of the following governance outcomes:

- *ethical culture*
- *good performance*
- *effective control*
- *legitimacy.*

4.1.2 Brief background to corporate governance in South Africa

1. The King Report 1994

Whilst many companies have embraced good corporate governance for many years, it was only in 1994 that the first King Report on Corporate Governance was issued. This Report "formalised" an approach to corporate governance by recommending that a Code of Corporate Practices and Conduct be adopted by "big business". The JSE made it a requirement for all companies listed on the exchange to include a statement by the directors on their compliance with the Code in their annual financial statements.

It would be a gross exaggeration to state that the King Report had a dramatic effect on business ethics and morality in South Africa or that companies suddenly embraced the principles of *openness, integrity and accountability* as advocated in the Report. This is evidenced by the number of high-profile financial scandals, corporate failures and dishonest conduct by company directors that have been blazoned across the financial and popular press. At the same time, however, it must be acknowledged that the King Report started to get "things rolling" – to bring a level of consciousness to the general public and the financial world that companies have an accountability and responsibility to a broader front, not simply their shareholders. Indeed, without the King Report, many of the scandals referred to above may not have received the coverage they did!

2. The King Report 2002

The 1994 King Report was followed by the 2002 King Report (frequently referred to as King II). A committee was constituted under the chairmanship of Mervyn King S.C. to primarily “review the King Report 1994 and to assess its currency against developments, locally and internationally, since its publication in 1994” and to “consider and recommend reporting on issues associated with social and ethical accounting, auditing and reporting on safety, health and environment”. The committee also sought to recommend how the success of a company’s compliance with a new Code of Corporate Governance could be measured.

The King Committee consisted of representatives from all major interest groups, including the internal and external audit professions. The report was issued in March 2002. The product of the 2002 King Report was the Code of Corporate Practices and Conduct. This was a set of principles/recommendations, not a prescriptive set of instructions or an Act. It did not in any way supersede laws and regulations on companies or businesses in general and did not lay down a set of “punishments” for breaches of the Code. As with King I, the JSE required compliance with the recommendations of King II by listed companies.

3. Developments in legislation between King II (2002) and King III (2009)

During the period between King II (2002) and King III (2009), the new Auditing Profession Act 2005 and The Corporate Laws Amendment Act 2006 were promulgated. Both of these Acts contained sections designed to strengthen and support good corporate governance.

These Acts were both part of the larger “corporate reform” initiative, culminating in the promulgation of the Companies Act 2008. This Act places significant emphasis on corporate governance.

4. King III Code of Governance Principles

Like most legislation, regulations and recommendations, corporate governance codes are not static, and 2009 saw the publication of King III. Many of the ideas, principles and characteristics of good governance developed in King I and II were incorporated and developed in King III, and some new ideas were introduced. Importantly, King III included a discussion on the various bases/regimes that can be adopted for governance compliance. Knowledge of the different bases/regimes will provide you with a better understanding of the thinking behind governance codes, their adoption and application by organisations.

4.1.3 Application regimes for codes of corporate governance

1. The basis of a code

- 1.1 The basis of any “code” on corporate governance can be legislated (a set of rules), voluntary (principles and practices) or a combination of both. Essentially, the legislated basis is the “big stick” approach that lays down rules to which organisations and related individuals (companies, directors, etc.) must adhere, and punishments that will be meted out if the rules are broken. The voluntary approach presents organisations with a set of principles and best practices to get organisations to voluntarily adopt these principles and best practices because it is the best way to go for the company and society, in other words, positive governance outcomes are created. A combination of the two is possible. Some matters of governance are, however, legislated, for example, public companies must be externally audited and must have audit committees, and other matters are expressed in principle, for example, the board must show leadership and the company should be a good corporate citizen.
- 1.2 Following on from this, King III identified two application regimes: “comply or else” or “comply or explain”, and described a variation of the latter, namely, “apply or explain”.
 - “*Comply or else*” conveys that organisations must adhere to the rules and if they do not, they will be punished.
 - “*Comply or explain*” conveys that the principles and practices recommended by the code must focus on the organisation’s corporate governance. However, if the directors consider that compliance with a particular recommendation is not in the company’s best interests, then the directors are at liberty not to comply but must explain the reason behind their decision.
 - “*Apply or explain*” as indicated above, is simply a variation of the “comply or explain” basis. In the opinion of the King III committee (and other similar international bodies), the word “comply” is too strong and inflexible. Using the word “apply” suggests a more accommodating, non-prescriptive approach. Thus King III was founded on the “apply or explain” basis.

- 1.3 The King IV Report has introduced a further variation, namely “*apply and explain*” which is explained on page 4/16.

As far as possible, King IV has been drafted in a *non-prescriptive* format, and an *apply and explain* (as opposed to *apply or explain*) application regime has been adopted. In effect, King IV assumes the voluntary application of the Code’s principles and recommended practices and requires an explanation of how the organisation is doing in achieving the principles laid out in the Code.

4.1.4 The KING IV Report on corporate governance for South Africa

1. Introduction

Essentially, King IV was introduced to keep South Africa abreast with local and international developments in international corporate governance since King III was issued, and, as with the three previous King Reports, to guide organisations that are relevant to the current world economic, environmental and social situation. The drafting of King IV took place while organisations were having to contend with an increasingly dynamic and demanding external environment. In this environment, good corporate governance is essential if an organisation achieves prosperity for itself and the broader society.

In the foreword to the King IV Report, the King committee points out that the 21st century has been characterised by fundamental changes in both business and society and that new global realities are severely testing the leadership of companies and other organisations. These realities include:

- ***A growing societal inequality:*** The growing divide between the “haves” and the “have nots” concerning resources, access to education and opportunity, healthcare and living conditions, all of which give rise to growing social tension.
- ***Climate change:*** Floods, drought and rising temperatures appear to be more intense and are causing more damage. Industries are threatened; for example, fishing and agriculture, placing food security at risk. The atmosphere contains significantly more CO₂ and other greenhouse gases now than it did before the Industrial Revolution. The atmosphere and oceans are warmer, the planet’s ice cover is vastly reduced, and severe weather is more common today than it was in the past
- ***Over-consumption of natural resources:*** Natural assets are being consumed at a greater rate than nature can reproduce, to satisfy the demands of growing populations. This is not sustainable.
- ***Geological tensions:*** Increasing wars, terrorism and civil unrest are contributing to global tension.
- ***Stakeholder expectations and transparency:*** The ever-present social media platforms mean that companies (and other organisations) can no longer conceal their actions and secrets. Stakeholders express their expectations and frustrations instantly and widely. A company’s reputation can be significantly damaged, justifiably or unjustifiably, in a very short period.
- ***Rapid advancements in technology:*** Advances in robotics, artificial intelligence, and nanotechnology, just to name a few, are transforming businesses. The proliferation of applications (apps) and their ease of use in a widely connected society have placed traditional business models and ways of doing business under serious pressure. Businesses that do not adapt will not survive.
- ***Less stable financial systems:*** The interlinking and inter-dependence of the world’s financial markets means that financial crises arising within a single large economy will have far-reaching adverse effects on numerous other lesser economies and the global economy.
- ***Increased corruption:*** Corruption and other unethical practices undermine confidence in the business world and discourage investment in companies that engage in such practices.

The question is, what do these changes have to do with corporate governance? The simple answer is that all of these changes present companies with significant risks that will directly threaten the company’s sustainability if not appropriately responded to. This, in turn, places a critical responsibility on boards of directors to lead effectively and ethically. To counter the negative aspects of this global reality, companies must be governed by competent ethical individuals operating within appropriate structures. Risks must be recognised and managed in whatever form they come. Businesses need to acknowledge that companies are an integral part of society and must be governed by economic, societal, and environmental sustainability. Corporate governance is about leadership, and corporate governance codes are about defining principles and recommending the best practices to obtain outcomes that will deal with this new global reality.

2. Structure

The following paragraphs indicate how the King IV Report is structured and provide a brief explanation of how the matters raised in each part of the Report have been dealt with in this chapter. The approach adopted in this chapter is to include all pertinent information from the King IV Report (without unnecessary duplication) in a manner that is “easy to work with” in gaining an understanding of the topic. Additional information other than that contained in the King IV Report has been included in this chapter. Students should make use of the Report itself when working with this chapter.

This chapter has been presented in two sections:

Section 1 – Background, Fundamental Concepts, Application and Disclosure.

Section 2 – The King IV Code on Corporate Governance.

- **Foreword.** The report contains a foreword that discusses several issues pertinent to the topic. These issues have been covered where necessary in this chapter in section 1.
- **Part 1: *Glossary of Terms.*** The glossary has not been included in this chapter. When it is necessary to clarify a word or a phrase in the text, its meaning has been reproduced.
- **Part 2: *Fundamental concepts.*** Explanations of the fundamental concepts have been included with, in some cases, additional information in this chapter in section 1, or where it is desirable, as an addition to the explanation of a principle in section 2.
- **Part 3: *King IV application and disclosure.*** The matters dealt with in this part of the King IV Report have been included in this chapter in section 1.
- **Part 4: *King IV on a page.*** This diagrammatical summary has not been reproduced. A complete list of the 17 principles and a summary of the recommended practices for each principle cover has been included as an Appendix at the end of section 2.
- **Part 5: *King IV Code on Corporate Governance.*** This part of the King IV Report deals with each of the principles and lists the recommended practices that should be implemented to achieve the desired governance outcomes. This part of the King IV Report has been comprehensively covered in this chapter, in section 2. Additional information has been included.
- **Part 6: *Section supplements.*** This part contains supplements intended to demonstrate how the Code should be interpreted in the context of certain identified organisations, such as municipalities, non-profit organisations, retirement funds, SMEs, and state-owned enterprises (SOEs). Essentially, the principles remain the same, but the relevance and application of the recommended practices will vary, in other words, an SME is unlikely to have an audit committee (or any other board committee for that matter), or to appoint non-executive directors. This part has not been covered any further in this chapter.
- **Part 7: *Content development process and King Committee.*** This part deals with the process of “putting King IV together” and lists the individuals who did so. It has not been reproduced in this chapter.

3. Objectives of King IV (in the context of a company)

- 3.1 Promote responsible corporate governance as integral to running the company and delivering governance outcomes such as:
 - an ethical culture
 - good performance (see note (a))
 - effective control
 - legitimacy.
- 3.2 Broaden (increase) the acceptance of the King IV Report by making it accessible and fit for implementation across a variety of sectors and organisational types (see note (b)).
- 3.3 Reinforce corporate governance as a holistic and interrelated set of arrangements to be understood and implemented in an integrated manner (see note (c)).
- 3.4 Encourage transparent and meaningful reporting to stakeholders.
- 3.5 Present corporate governance as concerned with structure, process, ethical consciousness and behaviour (see note (d)).

Note (a): In terms of the King IV Report’s glossary, *performance* is the result, negative or positive, of the company’s value creation process. *Good performance* is the organisation achieving its strategic objectives and positive outcomes in terms of its effects on the capitals it uses, and affects

the triple context in which it operates. The *value creation process* is the process that results in increases, decreases or transformations of the capitals caused by the company's business activities and outputs.

Note (b): There is a popular misconception that "corporate governance" is a concept which applies only to large companies. It is undoubtedly true that small and medium-sized companies will not have the resources or the need to implement "good corporate governance" in the same manner or method as a large company.

For example, medium and smaller companies do not usually have audit committees, risk committees or numerous non-executive directors, but there is no reason that these companies cannot aspire to and achieve the highest levels of good corporate governance based on the principles and practices recommended by King IV. Such concepts as ethical leadership and responsible corporate citizenship are not unique to large companies; they are for all corporate entities.

The essence of King IV is that the *principles* and *intended governance outcomes* apply to all organisations, but the *recommended practices* can be applied to suit the circumstances of the specific organisation. King IV introduces *proportionality*, which it describes as the "appropriate application and adaption of practices". This means that the recommended practices are meant to be applied proportionally, taking into account:

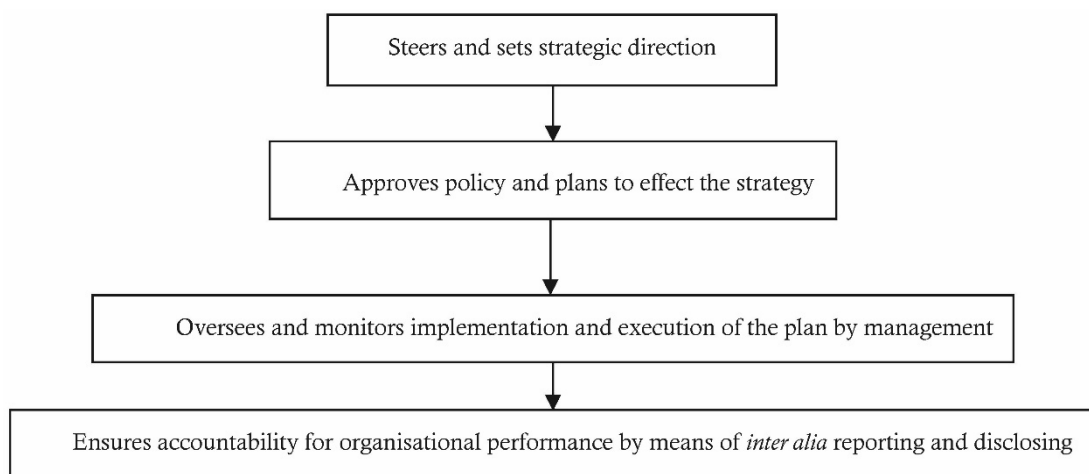
- the size of turnover and workforce
- resources (the organisation has available to apply the practices)
- the complexity of the organisation's strategic objectives and operations.

Note (c): The point made in 3.3 above is that good corporate governance is not some stand-alone concept that has a life of its own. Instead, it is something that permeates all aspects of the company. This holistic approach is an essential requirement for achieving good governance. It requires what is termed integrated thinking, which means that when the board and management make business decisions, they do so in the context of the company being an integral part of society, its role as a corporate citizen, its stakeholder relationships and its economic, environmental and societal sustainability.

Note (d): The point made in point 3.5 above is that good corporate governance is not only about putting in place the right structures and processes. For example, while having a properly constituted board and clear lines of authority and reporting, along with detailed procedure manuals are essential, requirements of good corporate governance must be implemented and applied throughout the company in an environment that promotes ethical behaviour.

4. The board's primary governance role and responsibilities

In broad terms, King IV expresses the role and responsibilities of the board as follows:



This means that in the context of corporate governance, the board assumes responsibility for:

- 4.1 Providing the direction for how each governance area (e.g. ethics, risk, remuneration, assurance) should be approached, addressed and conducted (strategy).

- 4.2 Formulating policy in frameworks, codes, standards and plans to articulate and put the strategy into place.
- 4.3 Overseeing and monitoring the policy's implementation and execution and the plan in terms of recommended practices.
- 4.4 Ensuring accountability for the performance in each of these governance areas through reporting and disclosure.

Recommended practices in the King IV Code are organised following the sequence of responsibilities (4.1–4.4 above).

5. The foundation stones of King IV

In the foreword to the King IV Report, the committee states that certain concepts form the foundation stones of King IV. These concepts are addressed in 5.1 to 5.7 below and are important for your understanding of the King IV Code itself and the broader topic of corporate governance. Equally, these fundamental concepts could be referred to as the “philosophical underpinnings” of corporate governance.

5.1 Ethical leadership

Good corporate governance is about ethical and effective leadership

5.1.1 **Ethical leadership** is an embodiment of the ethical values of:

- **Responsibility** – those that will lead the company, for example, the board, must assume responsibility for the running of the company, that is, assume the duties of setting strategy, approving policy, overseeing and monitoring management and ensuring accountability. The board may delegate duties to management, but it remains accountable for ensuring that the duty is appropriately carried out.
- **Accountability** – those that are responsible must be held accountable. For example, the board should be held accountable by the company's stakeholders for its decisions and actions. Accountability cannot be delegated or abdicated. Note that the board should be accountable to all stakeholders, not only the shareholders.
- **Fairness** – the board should ensure that it balances its decisions, and the legitimate and reasonable needs, interests, and expectations of the company's material stakeholders with the company's best interests. Equitable and responsible treatment for all should be the manifestation of fairness.
- **Transparency** – in the context of ethical leadership, this means that the board conducts and accounts for its decision-making and business activities in an open, unambiguous and truthful manner (as opposed to being underhand and secretive).
- **Integrity** – in the context of corporate governance, this requires that individuals, for example, directors, are capable of thinking and acting objectively, and that they are not swayed by pressure from others to act contrary to how they believe they should act. Directors should exercise objective, unfettered judgement.
- **Competence** – a director should have the ability, knowledge and skills to fulfil his (or her) obligations and responsibilities.

5.1.2 **Effective leadership**

This is about achieving strategic objects and positive outcomes ethically, by embracing ethical leadership. Effective leadership is *goal orientated* and *ethical*. If corruption is the foundation on which the company's success is built, that success cannot be regarded as a result of effective leadership. It may be effective in generating massive profits for the shareholders and the perpetrators, but in the long run, corruption eats away at the fabric of society and is not a sustainable manner of conducting business in the medium or long term.

Note (a): All of the above characteristics are reflected in a director's legal duty to:

- act with due care, skill and diligence
- maintain a fiduciary relationship to act in good faith in the best interests of the company.

Note (b): **Ethics, values and culture.** We all have a general understanding of the words “ethics” and “values” and phrases such as “ethical behaviour”, “ethical culture”, and “professional ethics”. Simplistically, we can say that ethics amounts to sets of principles or rules of conduct which

guide how society and its different components (such as companies behave in that society. It is certainly true that different religions, races, cultures and backgrounds see ethical issues from different perspectives and may have different ideas about the meaning of ethical culture and ethical behaviour. However, there is little doubt that the vast majority of people support a society that is honest and truthful, rejects such social ills as fraud and corruption, and desires societal behaviour that engenders trust and integrity. As members of society, companies should embrace these desires.

Note (c): In terms of King IV, “values” are the convictions and beliefs about:

- how a company and those who represent it should conduct themselves;
 - how the company’s resources and stakeholders, both internal, for example, employees, and external, for example, customers, should be treated
 - what the core purposes and objectives of the company are, for example, maximising profits for shareholders or putting the legitimate needs of greater society first
 - how work duties should be performed, for example, delivering excellent service, and rejecting any form of corrupt practice.

Again in terms of King IV *culture*, in the context of a company, it is the way the directors, management and other staff relate to each other, their work and the outside world in comparison to other companies.

Note (d): A company’s values are formalised and documented in mission statements and corporate codes of conduct in their various forms. For example, employees may be given a code of behaviour, whilst a potential supplier may be required to sign a code of trade practices or something similar.

Note (e): The governance of ethics refers to the role of the board in ensuring that how the company’s values are expressed and implemented results in an ethical culture. For example, an ethical culture is unlikely to be created by ramming rules and regulations down employee’s throats and adopting an autocratic “big stick” approach. An ethical culture is achieved when the board sets the example by behaving ethically, and management and other employees want to voluntarily embrace the company’s values and make an effort to do so. The board, management and employees must be aware that the “ethical way is the best way” for themselves, the company and society to prosper. Likewise, they should realise that trust in a company’s integrity and reputation is hard-earned but easily lost. The importance of managing and protecting the company’s ethical culture is paramount.

5.2 The company as an integral part of society

The societal context

A company operates in a “societal context”. The company affects and is affected by society. The company has its society, which consists of internal and external stakeholders and is itself part of the broader society in which it operates. Thus companies, their societies and greater society are strongly intertwined, and the decisions they make and the actions they take individually will usually affect them collectively.

For example, the decision taken by a company to close a factory will directly affect the lives of all those who lose their jobs and their families (its own society). The decision may also affect the broader society in which the company operates; for instance, the municipality will receive less income from rates necessary to provide services. Small businesses that were partially dependent on the factory may need to close (broader society).

Companies are dependent on broader society to provide skills, customers, and an appropriate operating environment. Companies provide goods and services and employment in return. They create wealth and pay taxes, which are used to develop society in a multitude of ways. As a logical consequence of this interdependency, companies benefit by serving their own and the broader society.

5.3 Corporate citizenship

A corporate citizen

This fundamental concept is closely linked to 5.2 above and proposes that a company is a corporate citizen by being an integral part of society. Thus, like any other citizen, the company has rights, obligations and responsibilities to society and the natural environment on which society depends.

- Note (f): Concerning *rights*, as a corporate citizen, a company has a right to a suitable operating infrastructure, a functional legal and police system and an administrative infrastructure.
- Note (g): Concerning its *obligations* and *responsibilities* to society, a company as a corporate citizen is obliged among other things, to operate within the law, pay its taxes, consider the legitimate needs of society, and respect the natural environment. The status of a company in society means that it is accountable not only for financial performance or for isolated corporate social initiatives but for outcomes in the economic, social and environmental context. It is unethical for organisations to expect society and future generations to carry their operations' economic, social and environmental costs and burdens.

5.4 Sustainable development

A primary ethical and economic imperative

Sustainable development is regarded as development that meets the needs of the present without compromising the ability of future generations to meet their needs. King III placed a fair amount of emphasis on the importance of sustainability and the link between it and corporate governance – the essence is that a poorly governed company is not sustainable. King IV proposes that achieving sustainable development is a “primary ethical and economic imperative. Achieving sustainability is a fitting response to the fact that the company is an integral part of society and its status as a corporate citizen”. In essence, boards of companies have a moral/ethical duty to run their companies in a manner that promotes the sustainability of the company. As pointed out before, companies that engage in large-scale corruption or ravage natural resources and disregard such matters as the threat of pollution and global warming are not sustainable. Strong ethical leadership is required to meet growing global challenges.

Note (h): The important aspects of sustainability

Although King III has been superseded by King IV, much of King III's content remains relevant and informative in understanding corporate governance. King III dealt with the important aspects of sustainability as follows:

- **Inclusivity of stakeholders** – to achieve sustainability, all stakeholders' legitimate interests and expectations must be taken into account in decision-making and strategy. Stakeholders will include employees, suppliers, the community in which the company operates, investors, and customers, to name a few.
- **Innovation, fairness and collaboration** – these are key aspects in achieving sustainability. Innovation provides new ways of achieving sustainability; fairness is vital because social injustice is unsustainable, and collaboration (and co-operation) is required as companies cannot do it on their own as they cannot operate in isolation. They are part of an integrated society.
- **Social transformation** – to achieve (move towards greater) sustainability, social transformation must be part and parcel of a company's performance. This will provide benefits for both the company and society. However, it does not mean making a token gesture to a community and then sitting back – it means developing an achievable long-term strategy to uplift that community. Integrating sustainable development and social transformation will produce greater opportunities, efficiencies and benefits for both the company and the broader society.

Note (i): None of the above should be interpreted to mean that companies should not be in business to make profits – a company that does not make a profit is not sustainable – but there is much more to running a company than just making a profit.

Note (j): King IV proposes that leadership (company boards) should make sustainable development mainstream. In this context, strategy, risk, opportunity, performance and sustainable development have become inseparable (alternatively, a company strategy that does not give due consideration to sustainable development is of little real value to the economy, society and the natural environment (i.e. the triple context).

5.5 Stakeholder inclusivity

The stakeholder inclusive approach

The approach adopted by King III and King IV concerning the execution of duties is that, in the context of a company, the board must “take account of the legitimate and reasonable needs, interests and expectations of *all* the company's material stakeholders”. This approach further requires that decisions taken in the execution of duties should be made in the “best interests of the company”. King IV goes on to

explain that the “best interests of the company” should be interpreted “within the parameters of sustainable development and being a responsible corporate citizen”. This basis of decision-making is termed the *stakeholder-inclusive approach*, and in terms of this model, *the best interests of the company* are *not necessarily equated* with the *best interests of the shareholders*. The interests of the shareholders *do not automatically take precedence* over the interests of other stakeholders, that is, the interests of providers of financial capital are not prioritised.

Note (k): The stakeholder-inclusive approach to decision-making supports the enhancements of the six capitals and, therefore, sustainable development.

Note (l): At this point, you may be thinking that shareholders want their companies to consider the interests of all stakeholders as this will promote sustainability and good corporate citizenship. It seems so logical. However, bear in mind that many companies and shareholders are short-term profit-driven. Boards are put under severe pressure to produce dividends for shareholders. Many shareholders, including corporate shareholders such as “speculative” investment companies, are not necessarily “long-term shareholders” but move their investments in and out of different companies in an attempt to maximise their short-term profits and cash flow.

5.6 Integrated thinking

Holistic decision-making

The International Integrated Reporting Council described integrated thinking as the proactive consideration by the company of the relationships between its various operating and functional units and the capitals that the company uses or affects. According to King IV, integrated thinking considers the connectivity and interdependencies between the range of factors that affect the company’s ability to create value over time. The creation of value is the positive consequence of the company’s business activities and many factors need to be considered when making material decisions. The concept urges companies not to consider these factors in isolation, but rather to think holistically in the context of the company being an integral part of society, good corporate citizenship, sustainable development, the six capitals concept and the stakeholder-inclusive approach. In essence, company boards need to think carefully about the wider effect their decisions will have on their ability to create value (in respect of its capitals) over time.

5.7 Integrated reporting

Primary reason

Reporting by a company in the context of corporate governance is considered a means for the board to reflect its accountability for the company’s performance. Before the advent of “formalised” corporate governance reporting requirements, the board’s major legal reporting duty was to report to the *shareholders* on the financial performance of the company in the form of the *annual financial statements*. However, annual financial statements provide only historical information of a financial nature. They do not reflect the company’s reality.

For example, its strategy, the risks it faces, its position within society, its role as a corporate citizen and its future sustainability, are all important to its *stakeholders*. This does not mean that the annual financial statements are not important but rather that to be meaningful to *all material stakeholders*; corporate reporting must demonstrate integrated thinking and provide a holistic account of organisational performance and reflect the reality of the company in the triple context, that is, economic, social and environmental.

An integrated report should explain the company’s performance and should have sufficient information on how the organisation has positively and negatively affected the economy, society and the environment. The report should show what value the company has created (or not created), through the increase or decrease of each of the six capitals. An integrated report should also look to the future, enabling stakeholders to judge whether the company can sustain the delivery of value.

The Report itself

Over the past number of years (arising from King III), companies have issued “sustainability reports” in addition to, or in combination with, annual financial statements, and listed companies, among other things, are required to issue a social and ethics committee report in terms of the Companies Act 2008. However, it is now considered that all these reports are inadequate if they are *not* integrated because they do not show how the company’s capitals are interconnected and interdependent. The latest thinking

requires that a report which is a “concise communication about how an organisation’s strategy, governance performance and prospects, in the context of its external environment, lead to the creation of value over the short, medium and long term, should be produced”.

So how do all these reports fit together? To clarify the standing of the integrated report with other reports, King IV deals with it “as one of the many reports that may be issued by the company as is necessary to comply with legal requirements and/or to meet the particular information need of material stakeholders”.

King IV is not prescriptive. *It is recommended practice that:*

- *an integrated report could be a stand-alone report which connects the more detailed information in other reports, or it could be*
- *a distinguishable, prominent part of another report that includes the financial statements, a sustainability report and any other reports issued in compliance with legal requirements.*

The practice recommended in the King IV Code is for the company to “issue a report *annually* that presents material information in an integrated manner and that provides its users with a holistic, clear, concise and understandable presentation of the organisation’s performance in terms of sustainable value creation in the economic, social and environmental context”.

6. Paradigm shifts in the corporate world

Expressed simply, “a paradigm shift” means a move away from a particular model or standard. In the context of the corporate world, King IV proposes that there are three paradigm shifts that connect to the fundamental concepts discussed above. Each of the three describes a change in thinking within the corporate world.

6.1 From financial capitalism to inclusive capitalism

- As illustrated by the six capitals model (refer to page 4/12), companies are considered to have six sources of capitals, and there is now general acceptance that the employment, transformation and provision of *financial capital* represent “only a fraction” of a company’s activities. *Inclusive capitalism*, on the other hand, requires that the employment, transformation and provision of all sources of available capital (*human, manufactured, intellectual, social and relationship, financial and natural capitals*) should be considered in the company’s decision-making in respect of all elements/activities of the business, from setting strategy to reporting. Value creation should also be measured in terms of all of the capitals, not just financial capital. Capitalism is the engine of “shared prosperity”, but if the future risks are to be appropriately responded to, an inclusive capital market system must be adopted. This thinking is well illustrated in King IV concerning the system of donor aid, namely, developed countries giving money to developing countries. Rather than simply supplying countries with large sums of money (which is probably a quick and easy “solution”), aid should aim to promote inclusive capitalism. This may manifest itself in many ways, such as the donor developing infrastructure, educating and training the local population, enabling the recipient to develop its environmental resources, and promoting sound, sustainable and equitable relationships between “donor and recipient”. The adoption of inclusive capitalism would create value in a sustainable manner, which would positively affect the prospects of the donor and the recipient.

6.2 From short-term capital markets to long-term sustainable markets

- Simply stated, this means that a company’s performance should be assessed over the longer term. The shift from short-term thinking to long-term thinking arises from the need to create value sustainably. Providers of financial capital should look to investing in long-term sustainability, not just in “making a quick buck”.

6.3 From siloed reporting to integrated reporting

- Corporate reporting needs to change if it is to be consistent with the shift to the concept of an inclusive, sustainable market system. Siloed reporting is essentially the practice of issuing one or more “stand-alone reports”. Thus, a company may issue audited financial statements, which report on financial capital as required by law, a separate sustainability report, a social and ethics committee report, and other reports such as a corporate governance report. These reports will deal indirectly with some of the other capitals to a varying extent. The reality is that the capitals used by companies interconnect and interrelate. Corporate reporting should reflect this and indicate how the company’s activities affect, and

affected by, the six capitals it uses in the economic, social and environmental context in which it operates. *Integrated reporting* is a process founded on integrated thinking that results in a periodic integrated report about value creation over time. An *integrated report* is a concise communication about how a company's strategy, governance, performance and prospects fit together.

4.1.5 King IV and the International Integrated Reporting Council (IIRC)

1. Introduction

The King IV Report (and by implication, the King IV Code) is strongly influenced by the International Integrated Council's (IIRC) Reporting Framework. The IIRC's long-term vision is that integrated reporting becomes the corporate reporting norm. Historically, a company's duty to report on its performance was limited to satisfying a statutory obligation to present a set of audited annual financial statements (the AFS) to its shareholders. The contents of the AFS were generally basic financial information, that is, a simple balance sheet and a profit and loss account. The attitude of most companies was one of "minimum disclosure", which amounted to disclosing no more information than was required by law. Over time, financial reporting requirements have increased significantly; among other things, accounting standards requiring extensive disclosure have emerged and regulatory bodies of various kinds, for example, the JSE, have continuously called for more information to be presented. These calls for more information eventually evolved into an attempt to get companies (essentially large, listed companies) to embrace the concept of reporting on what was termed the "triple bottom line", namely the economic, social and environmental aspects of a company's performance. The terms "integrated reporting" and "sustainability reporting" emerged along with calls to follow a "stakeholder inclusive" approach to reporting, in other words, to report not only to shareholders by way of the AFS, but instead report to all stakeholders in a manner that meets their needs. This brings us to where we are now, in other words, to the drive towards wide acceptance of the International Integrated Reporting Framework.

To gain a solid understanding of corporate governance, you do not need to have a detailed understanding of the Framework but, as indicated above, the King IV Report is strongly influenced by the Framework and supports its implementation.

- 1.1 The Framework *defines* an *integrated report* as a concise communication about how a company's strategy, governance, performance and prospects, in the context of its external environment, lead to the *creation of value* over the short, medium and long term (in effect its sustainability).
- 1.2 The primary purpose of an integrated report is to explain to providers of financial capital how the company *creates value* over time, and to provide meaningful information to all stakeholders, including employees, customers, suppliers, local communities, legislators, etc., about the company's ability to *create value*.
- 1.3 The key to understanding the thinking behind the integrated report is to realise that, in terms of the Framework, *value creation* does not mean creating only financial value but rather creating value in terms of the "six capitals" that a company has available to it.

2. The six capitals

- 2.1 **Financial capital** – the pool of funds available to the company to carry on its operations. Financial capital is obtained through, for example, financing, borrowing or by making profits.
- 2.2 **Manufactured capital** – the physical objects which are available to the company for use in its operation, such as buildings and equipment, as well as roads, bridges, harbours, etc. (Note that the company does not necessarily own manufactured capital. Roads, bridges and harbours are usually owned by the government but are an essential part of most companies' operations, e.g. a company that imports goods usually needs the use of a harbour.)
- 2.3 **Intellectual capital** – the knowledge-based intangibles which the company has, such as patents, copyrights, software, and licences or rights.
- 2.4 **Human capital** – employees' competencies, capabilities and experience, including their ability to support the company's governance framework, risk management approach and ethical values, and their loyalties and motivations to improve the company.

- 2.5 ***Social and relationship capital*** – the institutions and relationships and other networks which the company can use (and contribute to) to enhance individual and collective well-being, for example:
- the trust that a company has developed with the community in which it operates, or with other key stakeholders such as its suppliers and workforce, and
 - the trust and other intangible benefits derived from the company's brand and reputation.
- 2.6 ***Natural capital*** – the renewable and non-renewable environmental resources that support the company's past, current or future prosperity, including air, water, land, minerals and forests, and the ecosystem in general.

Obviously, not all capitals are equally relevant or applicable to all companies. As the Framework points out, while most (large) companies interact with all capitals to some extent, these interactions might be relatively minor (immaterial) or so indirect that they are not sufficiently important to include in the integrated report.

3. The six capitals in the context of integrated reporting

- 3.1 ***The framework does not require*** an integrated report to rigidly adopt the categories of capital described above, or to structure the report in terms of the six capitals, *but*
- 3.2 ***The framework*** requires that the capitals be used as a guideline by the company to ensure that it does not overlook a capital that it uses or affects in its reporting.
- 3.3 ***The framework does require*** that the integrated report conveys the interdependence and interconnectivity of the six capitals as manifested by material enhancements (increases), diminutions (decreases), or transformations (changes in form) of the six capitals. Some simple examples will illustrate this:
- A company's financial capital is increased if it makes a profit.
 - If a company makes a material financial contribution to the community in which it operates to build a community centre, it reduces its financial capital but increases its social and relationship capital.
 - If a motor company fraudulently circumvents emissions regulations and is found out (as was Volkswagen), it reduces its financial capital (legal costs, penalties and recalling vehicles), and reduces its social and relationship capital (damage to the brand and its reputation). It may also reduce its human capital (employees may be demotivated by the lack of ethics on the part of management and the board, and well qualified and experienced staff may leave the company).
 - A company that invests heavily in research and development may initially reduce its financial capital, but may also, in the long run, transform that financial capital decrease into a financial capital increase (by selling new products) and an increase in its intellectual capital (e.g. by registering a new patent).
 - A manufacturer that pollutes wetlands surrounding its facility by pumping untreated effluent into it may increase its financial capital (by not incurring the costs of cleaning the water, which would reduce profits) but will reduce its social and relationship capital and its natural capital.
 - When a company increases the capacity of its plant and invests in training employees, its manufactured capital is increased, as is the quality of its human capital. Its financial capital has been decreased, but in effect, its financial capital has been transformed into manufactured capital and human capital.
 - A company that remunerates its directors exorbitantly and out of proportion to their performance reduces its financial capital, human capital (other employees become demotivated and less loyal to the company, and strikes may increase because of dissatisfaction). In all likelihood, its social and relationship capital will decrease (e.g. dissatisfied shareholders, negative effect on the company's reputation as a good corporate citizen). Note: this is why reporting on directors' remuneration is comprehensively dealt with in the King IV Code.

The above examples are simple, but they adequately illustrate the continuous interaction and transformation between the capitals.

In a nutshell, the IIRC wants all (large) companies to adopt the Framework. This would require companies to report in one form or another on its creation of value in respect of the six capitals in the social, economic and environmental context.

4. How does integrated reporting tie into corporate governance?

- 4.1 Think about it like this; if companies were required to report to all stakeholders in the manner required by the integrated framework in the context of the six capitals, they would be required (forced) into governing the company in a manner that enables them to report as required.

For example, having to report on social and relationship capital may cause the directors to consider far more carefully the social/reputational outcomes of their decisions before they make the decision. Suppose Volkswagen had conscientiously considered the effect on the six capitals of its decision to fraudulently circumvent emissions regulations, including the effect on the brand and the company's reputation. In that case, it is improbable that they would have taken such a decision. The fact that the company did what it did has had an enormous effect on its value creation and reflects very poor corporate governance. The decision to manipulate emissions data relating to their vehicles would seem to have been made in an attempt to sell more cars and thus make greater profits, a decision based purely on the effect on financial capital.

- 4.2 Furthermore, having to satisfy the requirements of the Framework, the board will need to implement and maintain processes and procedures which produce the information which has to be included in the integrated report, so how the board governs is directly affected by the duty to produce an integrated report. In a sense, having to report on matters it controls makes the board more accountable. Consider the major effect that the financial reporting standards have on governance. The vast amount of information of a financial nature that must go into the financial statements forces the board to ensure that sound systems of internal financial control are implemented and maintained to provide the necessary information. Essentially a set of annual financial statements is a report to the shareholders on financial capital. It stands to reason then that if we had standards of reporting covering the other five capitals, the directors would be held accountable by reporting to *all* stakeholders on *all* capitals as applicable. Theoretically, if you are to be held accountable, you will act in a manner that enables you to demonstrate that you have met your responsibilities.
- 4.3 Having to report in terms of an integrated framework should lead to integrated thinking on the company's part. Integrated thinking is the proactive consideration by a company of the relationships between its various operating and functional units and the capitals that the company uses or affects. Integrated thinking leads to integrated decision-making and actions that consider the *creation of value* over the short, medium and long term in the context of the six capitals.

4.1.6 Application and disclosure

1. Legal status of King IV

- 1.1 The legal status of King IV is that of a set of voluntary principles and leading practices, it is not "law". As we discussed earlier in the chapter, corporate governance could apply as a set of legislated rules, a voluntary code of principles and practices, or a combination of both, which is the situation in South Africa.
- 1.2 Legislating corporate governance amounts to creating a set of rules and regulations that companies must follow and which, if transgressed, will result in some form of punishment. This is the "comply or else" basis/application. It is generally regarded as being unsuitable for two reasons:
- A one-size-fits-all set of rules cannot be suitable because the types of businesses and activities carried out by corporate entities are so varied and diverse.
 - There is a real danger that companies will simply become focused on "mindless compliance with the law" instead of applying their mind to the best governance practice for the issue in question.
- 1.3 Of course, there is a fair amount of legislation related to corporate governance that is intertwined with the principles and practices contained in King IV. These laws must be adhered to, and if there is a conflict between legislation and King IV, *the law will prevail*.
- 1.4 It is also important to note that the court may look to the Code to resolve a governance issue.

For example, in a situation where directors need to defend aspects of their conduct that may contravene the law, the court may look to the directors' compliance with the Code of Corporate Governance to assist it in its judgment. In the absence of robust and sound governance structures and processes, it may be difficult for the directors to defend their conduct successfully.

- 1.5 Note that whilst it is not compulsory in terms of the law, for companies to apply the King IV Code, other bodies to which the company is connected may require the company to do so.

For example, the JSE requires that listed companies apply the Code, or a holding company may require that subsidiaries do so.

2. Scope of application of King IV

- 2.1 The King IV Code is concerned with the role and responsibilities of the governing body of an organisation and its interaction with management and other material stakeholders. For a company, the Code is aimed at the board of directors.
- 2.2 The King IV Report has, as one of its objectives, the broadening of acceptance of the Code. Thus an attempt has been made to make it more accessible and fit for application across various sectors and types of organisation, for example, listed companies, SMEs, trusts, and municipalities.
- 2.3 To this end, the phrasing of principles and governance outcomes has been done to embody the essence of the Code and can be applied with the necessary changes in terminology. Recommended practices can then be adapted to suit the entity following what has been termed proportionality which is discussed in point 4 below.

3. Practices, principles, and governance outcomes

The elements around which the King IV Code on Corporate Governance for South Africa has been developed are *practices*, *principles* and *governance outcomes*.

- 3.1 **Practices** are the actions (leading practice) that the King IV Code recommends should be applied by a company to support and give effect to what the principle is intended to achieve, taking into account proportionality (the size, resources and complexity of the company). Each recommended practice relates to a principle.
- 3.2 **Principles** are an embodiment of good corporate governance. There are 17 principles which build on and reinforce one another. They guide the company as to what it should achieve by implementing the recommended practices.
- 3.3 **Governance outcomes** are the benefits that could be realised by the company if the related principles are achieved. There are four governance outcomes; ethical culture, good performance, effective control and legitimacy.

4. Proportionality

- 4.1 Implementing the King IV Code should be done based on proportionality, as it cannot be applied in the same manner and to the same extent in all companies. For example, SMEs are unlikely to have the necessary resources to implement the recommended practices that a listed company might implement and in fact will not need to implement practices to the same extent. For example, SMEs will normally not require a chief audit executive or an audit committee, and will be less concerned about the composition of the board in respect of non-executive directors.
- 4.2 However, this does not mean that SMEs should not strive for good corporate governance, or that they do not need to concern themselves with being good corporate citizens or ethically conducting business. Therefore, the *principles* promoted by the King IV Code are applied by all entities.
- 4.3 Regarding practices, the King IV Code seeks to instil a qualitative approach in which recommended practices are implemented in a manner and to an extent which achieves that principle, that is, the King IV recommended practices are adapted to suit the entity's situation.
- 4.4 Practices should be scaled per the following proportionality considerations particular to the entity:
- size and turnover
 - size and workforce
 - resources
 - extent and complexity of activities, including the entity's impact on the triple context in which it operates, namely the economy, society and the environment.

5. Disclosure on the application of King IV

5.1 *The application regime* for King IV is “apply and explain”, which means that principles are applied and practices are explained.

- The principles are fundamental to good governance and it is assumed therefore that they will be applied.
- Explanations should be provided in the form of a narrative account that addresses which recommended or other practices have been implemented and how these achieve or give effect to the related principle.

5.2 *What should be disclosed on the application of the King IV Code?*

- Specific disclosure recommendations are included for each principle of the Code, and are intended to act as a starting point and guidance for disclosure on the principle.
- The extent and detail of the narrative should be guided by *materiality* but should enable the stakeholder to assess the quality of the company’s governance.
- Materiality in this context is a measure of the effect that the presence or absence (inclusion or omission) of information about the explanation of the practices implemented may have on the accuracy or validity of the explanation. In other words, bearing in mind that the objective of the explanation is to enable stakeholders to make an informed assessment, will the inclusion or omission of a particular piece of information, affect the stakeholder’s ability to do so? The materiality of a piece of information is judged by its inherent nature, impact value, use value and the context in which it occurs.

5.3 *Where should King IV disclosure be made?*

- King IV is not prescriptive on this, and the board may decide. The board may choose to make King IV Code disclosures in the integrated report, sustainability report, social and ethics report, or any other online or printed information or report. The board may also decide to make the necessary disclosures in more than one of these reports. Bear in mind the shift from “stand-alone” (siloed) reports to integrated reporting, as discussed earlier in this chapter.
- King IV disclosure should be:
 - (i) updated annually
 - (ii) formally approved by the board
 - (iii) publicly accessible.

4.2 Section 2 The King IV code of corporate governance

For a summary of the 17 principles of the King IV Code, see Appendix 1 at the end of this section.

4.2.1 Leadership, ethics and responsible corporate citizenship

4.2.1.1 Leadership

Principle 1. The board should lead ethically and effectively

1. Recommended practices

The recommended practices in this instance are designed to convey the characteristics that directors should cultivate and exhibit in their conduct.

1.1 *Integrity*

- *Directors must act in good faith in the best interests of the company.* This is a fundamental principle in law. In terms of the Companies Act 2008, section 76, a director:
 - must not use the position of the director to gain an advantage for himself or knowingly cause harm to the company
 - must exercise his powers in good faith and for a proper purpose in the best interests of the company
 - must act with the degree of care, skill and diligence that may reasonably be expected of a director.

A director has an overriding fiduciary duty to act in good faith, in a manner that the director reasonably believes is in the company's best interests, and in terms of the common law, and may be held liable for loss, damages, or costs of any breach of this duty.

- *Directors should avoid conflicts of interest:* The personal interests of a director, or a person closely associated with the director, should not take precedence over those of the company. This principle has been partially legislated for by section 75 of the Companies Act 2008, which requires that a director disclose any financial interest that she may have (or which any person related to the director, as defined by s 2, may have) in any matter which is to be considered at a meeting of the board.

For example, the board may be considering entering into a contract with a company owned by a director's wife (related person). The director must declare this fact before the meeting and should not take part in the "consideration" or approval of the matter.

- *Directors should act ethically beyond mere legal compliance:* Conflicts of interest may not be as clear cut as this example and may only be known to the director himself. It is up to the director's *integrity* to do the right thing, for example, declare the conflict, resign from the board, or whatever is appropriate. Directors should have the courage to act with integrity and honesty in all decisions in the company's best interests. A director should not lack the courage to stand up to other board members, for example a domineering CEO or chairman, when integrity and honesty demand it.
- Directors should set the tone for an ethical organisational culture.

1.2 Competence

- The board as a whole, and directors individually, assume responsibility for the ongoing development of their competence to run the company effectively.

For example, a financial director should keep abreast of new accounting standards applicable to the company, and all directors should, by attending presentations and courses, etc. keep up to date with international and industry-specific affairs, developments and trends.

- Directors should ensure that they have sufficient knowledge of the company, its industry, the economic, social and environmental context in which it operates, and the significant laws, regulations, rules, codes, and standards applicable to it. King IV recommends that subject to stipulated policies and procedures, a director should have unrestricted access to professional advice and the company's information, documentation, records, property and personnel.
- Directors must act with due care, skill and diligence, and take reasonably diligent steps to become informed about decisions.

Again, in terms of section 76 of the Companies Act, 2008, to discharge his duties (exercise his powers and duties) a director:

- should take reasonably diligent steps to be informed about any matter to be dealt with by the directors
- should have had a rational basis for making a decision and believing that the decision was in the best interests of the company
- is entitled to rely on the performance of:
 - employees of the company whom the director reasonably believes to be reliable and competent
 - legal counsel, accountants or other professionals retained by the company
 - any person to whom the board may have reasonably delegated authority to perform a board function
 - a committee of the board of which the director is not a member unless the director has reason to believe that the actions of the committee do not merit confidence
- is entitled to rely on information, reports, opinions, and recommendations made by the above-mentioned persons.

1.3 Responsibility

- Directors should assume collective responsibility for:
 - steering and setting the direction of the company
 - approving policy and planning
 - overseeing and monitoring of implementation and execution by management
 - ensuring accountability for organisational performance.

- Directors should exercise courage in taking risks and capturing opportunities but in a responsible manner and in the company's best interests.
- Directors should take responsibility for anticipating, preventing or lessening the negative outcomes of the company's activities and outputs on:
 - the triple context (social, economic and environmental) in which it operates, and
 - on the capitals that it uses or affects.
- Directors should attend board meetings (and board committee meetings as appropriate) and devote sufficient time and effort to prepare for those meetings.

1.4 *Accountability*

- Directors should be willing to answer for (be held accountable for) the execution of their responsibilities even when such responsibilities have been delegated.

1.5 *Fairness*

- Directors must consider and balance the legitimate and reasonable needs, interests and expectations of *all stakeholders* in the execution of their governance role and responsibilities, in other words, they must adopt a stakeholder-inclusive approach.
- Directors should direct the company in a way that does not adversely affect the natural environment, society or future generations.

1.6 *Transparency*

- Directors should be transparent in the manner in which they exercise their governance roles and responsibilities.

2. Disclosure

The arrangements by which the directors are held to account for ethical and effective leadership should be disclosed, for example, compliance with codes of conduct and performance evaluations.

4.2.1.2 Organisational ethics

Principle 2. The board should govern the ethics of the company in a way that supports the establishment of an ethical culture

The essence of this principle is that an ethical culture cannot be established and maintained if the board does not set the tone, convey the company's ethical norms and values to internal and external stakeholders, for example, employees and suppliers, and monitor adherence to the ethical values and norms.

The board is responsible for creating and sustaining ethical corporate culture in the company. In terms of the former corporate governance report, namely King III, an ethical corporate culture requires that:

- ethical practice for directors is a non-negotiable requirement
- sound moral values and ethics are propagated by the conduct of individuals (throughout the company)
- business activity is directed by people with integrity, fairness, responsibility and vision
- laws and regulations are obeyed; unfair practices, abuse of economic power (unfair treatment of suppliers) and collusion (e.g. price fixing) are avoided
- "having to be ethical" cannot be used as an excuse for poor business performance
- the director's duty is first to his company and shareholders, but the interests of *all* stakeholders must be considered.

Recommended practices

- The board should set the direction in which ethics should be approached and addressed.
- The board should approve codes of conduct and ethics policies.
- The directors should ensure that codes of conduct and ethics policies:
 - encompass the company's interaction with internal and external stakeholders; for example, employees and the local community in which the company operates.
- The directors should ensure that codes of conduct and ethics policies provide for arrangements that familiarise employees and other stakeholders with the company's ethical standard including:
 - publishing the codes and policies on the company's website or other social media platforms

- incorporating such codes in employment and supply contracts; for example, a supply contract may include a clause that stipulates that the company will not do business with a company that engages in any form of unfair labour practices such as “sweatshop labour”
- holding workshops and seminars to inform employees about the relevant codes and how they are implemented in the workplace.
- The directors should delegate the responsibility for implementing and executing the codes and ethics policy to management.
- The directors should exercise ongoing oversight of the management of ethics and oversee that it results in the following:
 - application of the company’s ethical standards to the recruitment process, evaluation of performance and reward of employees as well as the sourcing of suppliers
 - having sanctions and remedies in place to deal with breaches of ethical standards; for example, a formal disciplinary procedure
 - the use of protected disclosure or whistle-blowing mechanisms to detect breaches
 - monitoring and assessing adherence to the codes of ethics and conduct by employees, business associates, contractors and suppliers.

For example, this may involve monitoring the nature and frequency of complaints/instances of alleged unethical behaviour and having “ethics” as an agenda item for meetings with employee bodies, business associates etc. Suppliers may be asked to provide annual written confirmation that they are complying with the ethical terms of their supply contracts, or business associates may be asked to comment on any unethical behaviour by them, which may have been alleged in the financial press.

- **Disclosure:** The following should be disclosed:
 - an overview of the arrangements for governing and managing ethics
 - key focus areas during the reporting period
 - measures taken to monitor organisational ethics and how the outcomes of monitoring were addressed
 - planned areas of future focus.

4.2.1.3 Responsible corporate citizenship

Principle 3. The board should ensure that the company is, and is seen to be, a responsible corporate citizen

The introduction to the King IV Report states that being a “corporate citizen is about a company’s status in the broader society . . . and a corporate citizen has rights, but also obligations and responsibilities”. However, a little more explanation (based on King III) of the phrase is required.

- The success of a company should not only be judged in terms of the company’s financial performance, but also in terms of the company’s impact on the economy, society and the environment, that is, the triple context.
- The company should protect, enhance and invest in the well-being of the economy, society and the environment, that is, the triple context.
- Being a responsible citizen for a company means establishing an ethical relationship of responsibility between the company and the society in which it operates. Companies have rights, but they also have legal and moral obligations regarding their social and natural environments.
- Being a responsible corporate citizen and sustainable development are inseparable; a company that is an irresponsible corporate citizen, for example, does not treat its employees fairly, engages in illegal/corrupt practices and has no regard for the environment is sooner or later going to fail.
- Being a responsible corporate citizen is far more than projecting an image and getting public relations right. It is about genuine commitment and leadership, not a series of publicity stunts or a passing phase.

The following chart has been included to better understand what being a responsible corporate citizen means. The chart provides examples of factors of being a responsible corporate citizen that a company should consider, and how a company might act. Neither the list of factors nor the actions are exhaustive.

<i>Factor to be considered</i>	<i>A good corporate citizen would</i>
1 Sustainable development	reject a short-term lucrative mining contract because it would lead to the destruction of the local environment and community
2 Human rights	assist in providing basic human needs such as housing and fresh water; or refuse to do business with companies that use child labour
3 The impact on communities in which the company conducts its activities	control the impact of air pollution, and provide training for members of the community
4 Protection of the natural environment and responsible use of natural resources	prevent the pollution of wetlands adjoining production facilities, and efficient use of water and electricity
5 Fair labour practice	provide acceptable health and safety conditions in the workplace
6 Fair and responsible remuneration	<i>not</i> pay directors exorbitant salaries
7 Employee wellbeing and development	provide literacy classes, study bursaries, and in-house social programs
8 Employee and public health and safety	provide clinics for employees and local community, support public health campaigns, for example HIV/AIDS
9 Compliance with legislation related to economic, social and environmental responsibility	strictly comply with emission control regulations, transport regulations, and effluent regulations
10 Prevention, detection and response to fraud and corruption	implement strict policies against any form of bribery
11 Economic transformation	mentor and develop emerging businesses, promote BBBEE, and promote employee share ownership
12 Fair treatment of customers	adopt fair pricing (no price fixing), honour warranties, and provide efficient service
13 Fair competition with industry peers	not disseminate false information (rumour), and not engage in destructive price wars
14 Fair treatment of associates, suppliers and contractors as well as holding them to account on their own “responsible citizenship” practices in relation to any agreed to codes of conduct	pay suppliers promptly, and refuse to renew/cancel contracts with existing suppliers known or suspected to be involved in fraud, corruption or other unethical business practices
15 Responsible tax policies	not engage in the practice of “shifting profit” (to reduce tax) (see note (b) below).

Recommended practices

- The board should set the direction for how corporate citizenship should be approached and addressed by the company.
- The board should ensure that the company’s responsible citizen efforts include compliance with:
 - the Constitution of South Africa (including the Bill of Rights)
 - the law
 - leading standards on corporate citizenship
 - adherence to its codes of conduct and policies.
- The board should oversee that the company’s core purpose and values, strategy and conduct are congruent with it being a responsible corporate citizen.
- The board should oversee and monitor, on an ongoing basis how the consequences of the company’s activities and outputs affect its status as a responsible corporate citizen. This oversight and monitoring should be performed against measures and targets agreed with management in all of the following areas:
 - workplace, for example, fair remuneration, development of employees, health and safety
 - economy, for example, economic transformation, fraud and corruption, tax policy

- society, for example, public health and safety, community development, consumer protection
- environment, for example, pollution prevention, waste disposal.

5. **Disclosure.** The following should be disclosed:

- an overview of the arrangements for governing and managing responsible corporate citizenship
- key areas of focus during the reporting period
- measures taken to monitor corporate citizenship and how outcomes were addressed
- planned areas of future focus.

Note (a) In terms of Regulation 43 of the Companies Regulations 2011, every state-owned company, listed public company and any other company that has in two of the previous five years scored above 500 points in its public interest score, *must* appoint a Social and Ethics committee. This committee is required to monitor the company's activities concerning any relevant legislation, legal requirements or codes of best practice about:

- social and economic development
- *good corporate citizenship*
- the environment, health and public safety
- consumer relationships, and
- labour and employment.

King IV has recommended additional requirements for the Social and Ethics committee, namely, that the committee directs and oversees:

- the management of ethics, and
- the social responsibility aspects of the remuneration policy.

Thus, it is an essential committee in the creation and maintenance of the company's ethical culture and its status as a responsible corporate citizen.

Note (b) Tax strategy and policy. King IV adopts the attitude that it is no longer acceptable to have overly aggressive tax strategies, such as exploiting mismatches between the tax regimes of various jurisdictions to minimise tax, even if these actions are legal, for example, companies shifting profits from the country where they have their customer-base to a country which has a lower tax rate. In terms of current thinking, the due payment of tax is linked to corporate citizenship and reputation. King IV requires that the board and audit committee should be responsible for a tax strategy and policy which is legal *and* reflects good corporate citizenship.

4.2.2 Strategy, performance and reporting

4.2.2.1 Strategy and performance

Principle 4. The board should appreciate that the company's core purpose, its risks and opportunities strategy, business model, performance and sustainable development are all inseparable elements of the value creation process

In terms of King IV, the term "value creation process" describes the process that results in increases, decreases or transformation of the (company's) capitals caused by the company's business activities and outcomes. Note: For an explanation of the six capitals model see page 4/12.

Recommended practices

1. The board should steer and set the direction for realising the company's core purpose and values through its strategy.
2. The board should delegate the formulation and development of the company's short-, medium- and long-term strategy to management.
3. Management's strategy should be approved by the board. When considering approval, the board should challenge (question and consider) it constructively concerning:
 - the timelines and parameters which determine the meaning of the short, medium and long term
 - the risks, opportunities and other matters connected to the triple context

- the extent to which the proposed strategy depends on resources and relationships connected to the various forms of capital (six capitals)
 - the legitimate and reasonable needs, interests and expectations of (all) material stakeholders
 - the increase, decrease or transformation of the various forms of capitals that may result from the execution of the proposed strategy
 - the interconnectivity and interdependence of all of the above.
4. The board should ensure that it approves the policies and operational plans developed by management to effect the strategy, including key performance measures and targets for assessing the achievement of strategic objectives and positive outcomes over the short, medium and long term.
 5. The board should delegate the responsibility to implement and execute the approved policies and plans to management.
 6. The board should exercise ongoing oversight of implementing strategy and operational plans against agreed performance measures and targets.
 7. The board should oversee that the company continually assesses and responds to the negative consequences of its activities and outputs on the triple context (social, economic and environmental) in which it operates and the capitals which it uses or affects.
 8. The board should be alert to the organisation's general liability about its reliance on the capitals, its solvency and liquidity, and its status as a going concern.

4.2.2.2 Reporting

Principle 5. The board should ensure that reports issued by the company enable stakeholders to make informed assessments of the performance of the company and its short, medium and long-term prospects

This principle intends to provide stakeholders with useful information about the company within the triple context, so that stakeholders can better assess the company's ability to sustain itself by its ability to create value. Reporting needs to be far more than simply presenting historical financial information such as a set of annual financial statements – much more information on the economic, social and environmental aspects and the six capitals of the company must be included.

Recommended practices

1. The board should set the direction for approaching and conducting the company's reporting.
2. The board should approve management's determination of the reporting frameworks and standards to be applied in reports, for example, IFRS, JSE listing requirement, the International Integrated Reporting Framework, taking into account:
 - legal requirements
 - the intended users
 - purpose of each report.
3. The board should ensure that all reports required in terms of the law, for example, annual financial statements, and which are required to meet the legitimate and reasonable information needs of material stakeholders, for example, a sustainability report, are issued.
4. The board should determine the *materiality* of information to be included in reports. A piece of information will be material if its inclusion or omission would affect the report users' ability to properly assess the report's subject matter.
5. The board should ensure that the company issues an integrated report annually (at least). This report may be:
 - a stand-alone report which connects the more detailed information in other reports and addresses, completely and concisely, the matters which significantly affect the company's ability to create value, or
 - a distinguishable, prominent and accessible part of another report that includes the AFS and other reports that must be issued.
6. The board should ensure the integrity of external reports.

7. The board should ensure the following information is published on the company's website or other platforms or media so that it is accessible to stakeholders:
 - corporate governance disclosures required in terms of the Code
 - integrated reports
 - annual financial statements and other external reports.

4.2.3 Governing structures and delegation

4.2.3.1 Primary role and responsibilities of the board

Principle 6. The board should serve as the focal point and custodian of corporate governance in the company

Recommended practices

1. The board should
 - steer and set its strategic direction
 - give effect to the strategy by approving *policy* and planning
 - provide *oversight* and monitoring of implementation, and execution by management
 - ensure *accountability* by, among other things, reporting and disclosure of organisational performance.
2. The board should have a *charter* that documents its role, responsibilities and membership requirements (note: membership requirements must consider the legal requirements, e.g. Companies Act 2008) and procedural conduct. The charter should be regularly reviewed.
3. The board should establish the protocol to be followed if any of its members need to obtain independent, external professional advice on matters within the scope of their duties.
4. The board should approve the protocol to be followed by its non-executive directors for requisitioning documents and setting up meetings with management.
5. *Disclosure.* The following should be disclosed in relation to the board's primary role and responsibilities:
 - the number of meetings held during the reporting period and attendance at those meetings
 - whether the board is satisfied that it has fulfilled its responsibilities in terms of its charter.

4.2.3.2 Composition of the board

Principle 7. The board should comprise the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance role and responsibilities objectively and effectively

This principle is dealt with in the King IV Code in the following subsections:

- Composition..... Page 4/23
- Nomination, election and appointment..... Page 4/24
- Independence and conflicts Page 4/24
- Chairperson of the board..... Page 4/26

Recommended practices – Composition

1. The board should set the direction and approve the process for attaining the appropriate composition of the board (knowledge, skills, diversity, etc.).
2. The board should determine the appropriate number of members of the board based on:
 - the collective skills, knowledge and experience needed for the board to meet its responsibilities
 - the appropriate mix of executive, non-executive and independent non-executive members
 - the need to have sufficient qualified members to serve on board committees, for example the audit committee should consist of at least three independent non-executive directors
 - the need to secure a quorum at meetings
 - regulatory requirements, for example, listed companies must appoint a financial director (JSE requirement) and a social and ethics committee in terms of Regulation 43. Both of these requirements will affect the number of directors
 - diversity targets (experience, age, race and gender).

3. The chief executive officer and at least one other executive should be appointed to the board (note: JSE regulations require that a financial director be appointed).
4. The board's composition should have a suitable diversity of academic qualifications, technical expertise, industry knowledge, experience, nationality, age, race, and gender to conduct the board's business and make it effective and promote better decision-making.
5. Staggered rotation of the directors should be implemented to retain valuable skills and maintain continuity of knowledge and experience and introducing "new blood".
6. The board should establish a defined succession plan which includes identification, mentorship and development of potential future directors.
7. The board should have a majority of non-executive directors, the majority of whom should be independent.
8. The board should set targets for race and gender representation in its membership.

Recommended practices – Nomination, election, and appointment

1. Procedures and recommendations for appointment to the board should be formal and transparent. The company's Memorandum of Intent (MOI) may include provisions relating to the appointment of directors.
2. The nomination of candidates for election as directors should be approved by the board as a whole.
3. Before nominating a candidate for election, the board should consider:
 - the collective skills, knowledge and experience required on the board
 - the diversity of the board
 - whether the candidate meets the appropriate fit and proper criteria, namely:
 - whether the appointment of a particular candidate would help or hinder diversity targets
 - the candidate's knowledge skills and experience match those required by the board
 - the candidate has ethical integrity and a good reputation
 - whether the candidate can dedicate the necessary time to discharge his duties (particularly in the case of non-executive directors).
4. A candidate for an appointment as a *non-executive* director should provide details of other commitments and a statement of the time the candidate has available to fulfil the duties of the non-executive director.
5. Before nomination for election, a candidate's background should be independently investigated, and the candidate's qualifications should be independently verified.
6. Nominations for the re-election of an existing director who has reached the end of his term should be considered based on the director's performance, including his attendance at meetings (board and committee).
7. A brief CV of each candidate standing for election as a director at the AGM should accompany the notice of the AGM, together with a statement by the board as to whether it supports the election (or re-election) of the candidate.
8. When a director is elected, a formal appointment letter is sent laying out the terms and conditions of the appointment.
9. The board should promptly ensure that an incoming director is inducted (introduced and informed about how the company functions, his responsibilities and fiduciary duties) so that he can make a contribution as quickly as possible. This is usually the responsibility of the company secretary.
10. Newly appointed directors, particularly those with no or limited governing experience, should be developed through mentoring and training.
11. *All* directors should undertake a program of professional development and regular briefings on legislative and regulatory developments, risks and changes in the business environment, etc.

Recommended practices – Independence and conflicts

1. Each director should submit a declaration of all financial, economic and other interests held by the director and related parties (as defined by s 2(1) of the Companies Act 2008) at least *annually* or whenever there are significant changes.

2. At the beginning of each board meeting or its committee meetings, all directors should be required to declare whether any of them has any conflict of interest in respect of a matter on the agenda.
3. Non-executive directors may be categorised by the board as independent if it concludes that there is no interest, position, association or relationship which, when judged from the perspective of a reasonable and informed third party, is likely to influence or cause bias in decision-making in the best interests of the company. Each case should be looked at individually and considered on a substance over form basis. However, the following situations suggest that a non-executive director should *not* be classified as independent. The director:
 - is a significant provider of financial capital or ongoing funding to the company or is an officer, employee or representative of such provider of financial capital or funding
 - participates in a share-based incentive scheme of the company
 - owns shares in the company, the value of which is *material* to the personal wealth of the director
 - has been employed by the company as an executive manager during the preceding three financial years or is a related party to such executive manager, for example, spouse
 - has been the designated (external) auditor for the company, or has been a key member of the external audit team during the preceding three years
 - is a significant or ongoing professional advisor to the company (other than as a director)
 - is a member of the board or the executive management of a significant customer of, or supplier to the company
 - is a member of the board or executive manager of another company which is a related party to the company
 - is entitled to remuneration contingent on the performance of the company.

Note (a): **Executive director:** a director who is involved in the management of the company and/or is a full-time salaried employee of the company and/or its subsidiary.

Non-executive director: a director who is *not* involved in the management of the company.

The role of the non-executive director is to provide *independent* judgment and advice/opinion on issues facing the company, (provide an “outsiders” view). They are required to attend board and board committee meetings to which they have been appointed.

Independent non-executive director: to be classified as independent, a non-executive director would need to be regarded as such by a reasonable and informed third party.

Note (b): This Code’s recommended practice mirrors the Companies Act 2008, section 75 requirements relating to a director’s personal financial interest in a matter to be considered at a meeting of the board, but “widens the net” by requiring that any conflict of interest be declared. In terms of King IV, a conflict of interest occurs when there is a direct or indirect conflict, in fact, or in appearance, between the interests of the director and that of the company.

Note (c): If any of the above applies to the director, it does not mean he cannot be appointed as a non-executive director, it simply means that he cannot be categorised as an *independent* non-executive director.

Note (d): If a director has served as an *independent* non-executive director for nine years, he may continue to serve categorised as independent but only if the board concludes, based on an *annual* assessment that the director “exercises objective judgement” and the board concludes there is no interest, position, association or relationship which, when judged by a reasonable and informed third party, is likely to influence the director unduly or cause bias in his decision-making. The question here is whether an individual who has had a strong nine-year “link” with a company can reasonably be seen to be independent of that company.

Note (e): King IV emphasises that the board must have a balance of skills, experience, diversity, independence and knowledge of the organisation. It must be composed in a manner that enables it to discharge its duties fully. King IV also makes the point that balance is not simply achieved by having independent non-executive directors and executive directors. All directors are legally required to act independently regardless of whether they are classified, executive, non-executive or independent non-executive. “Balanced composition” means balanced in terms of skills, experience, diversity, etc.

4. **Disclosure.** The following disclosures about the composition of the board should be made:
- whether the board is satisfied that the composition reflects the appropriate mix of knowledge, skills, experience, diversity and independence
 - the targets set for gender and race representation on the board and progress made against these targets
 - categorisation of each director as executive or non-executive
 - categorisation of non-executive directors as independent or not – where an independent non-executive director has been serving for longer than nine years, details of the board's assessment and findings regarding that director's independence
 - the qualifications and experience of the directors
 - the length of service and age of directors
 - reasons for removal, resignation or retirement of any director
 - other directorships and professional positions held by each director.

Recommended practices – Chairperson of the board

1. The board should elect an independent non-executive director as the chairperson.
2. The board should appoint an independent non-executive director as the lead independent director to fill the following functions:
 - to lead in the absence of the chairperson
 - to serve as a sounding board for the chairperson
 - to act as an intermediary between the chairperson and other directors
 - to deal with shareholders' concerns where the normal channels have failed to resolve the concerns
 - to strengthen independence on the board if the chairperson is not an independent non-executive director
 - to chair discussions and decision-making by the board on matters where the chair has a conflict of interest
 - to lead the performance appraisal of the chairperson.
3. The chairperson's and the lead independent non-executive's role, responsibilities and term of office should be documented in the board's charter (or elsewhere).
4. The *chief executive officer* should *not* be the chairperson (the CEO cannot be categorised as a non-executive officer) and a former CEO should not be elected as chairperson until three full years have passed since he vacated his position.
5. The chairperson, and the board, should agree on the number of outside "governing" positions that the chairperson is allowed to hold (this is to ensure that the chairperson has the time available to carry out his duties as chair appropriately).
6. The chairperson:
 - *should not* be a member of the *audit* committee
 - *should not* chair the *remuneration* committee (but may be a member)
 - *should* be a member of the *nominations* committee and may also be the chair
 - *may* be a member of the *risk* committee and may also be its chair
 - *may* be a member of the social and ethics committee but should not be its chair.
7. The board should ensure that there is a succession plan for the position of chairperson.
8. **Disclosure.** The following should be disclosed in relation to the chairperson:
 - whether the chairperson is considered to be independent
 - whether or not an independent non-executive director has been appointed as the "lead independent" and the role and responsibilities assigned to the position.

4.2.3.3 Committees of the board

Principle 8. The board should ensure that its arrangements for delegation within its own structures promote independent judgement and assist with balance of power and the effective discharge of its duties

This principle is dealt with in the King IV Code in the following subsections:

General	Page 4/27
Audit committees	Page 4/28
Nominations committee	Page 4/30
Risk governance committee	Page 4/30
Remuneration committee	Page 4/31
Social and ethics committee	Page 4/31

Note: The board is entitled to form other committees (see 1 below).

Recommended practices – General

1. The board should consider and establish standing or ad hoc (temporary) committees to assist in fulfilling its obligations. The decision as to which committees should be established will be determined by legislation and the needs of the board (to function effectively) and the size of the company.

For example, section 94 of the Companies Act 2008 requires that all public and state-owned companies appoint an audit committee, and Regulation 43 of the Companies Regulations 2011 requires that various companies such as public-listed companies must appoint a Social and Ethics committee. The King IV Code recommends the committees listed above. Smaller private companies may not need any of these committees and are unlikely to have the necessary resources, for example, non-executive directors, independent or otherwise.

2. **Terms of reference.** Delegation to an *individual member(s)* of the board should be recorded in writing and approved by the board. The record should set out:

- the nature and extent of the responsibilities delegated
- decision-making authority
- the duration of the delegation and the delegate's reporting responsibilities.

3. **Terms of reference.** Delegation to *committees* should be recorded by means of formal terms of reference. Each committee's terms of reference, which should be reviewed annually and be approved by the board, should deal with the following:

- composition and, where necessary, the process and criteria for the appointment of any members of the committee who are not directors
- role and responsibilities
- authority to make decisions
- tenure of the committee
- access to resources and information
- meeting procedures
- arrangements for evaluating the committee's performance
- when and how the committee should report to the committee and others.

4. **Roles, responsibilities and membership.** The board should consider the roles, responsibilities and membership of committees holistically, so that:

- the functioning of committees is integrated and collaborative, for example, the social and ethics committee collaborating with the remuneration committee on executive remuneration
- the composition of the board and its committees ensures that no individual(s) can dominate decision-making or that there is undue reliance on a particular individual.

For example, the balance of power would be adversely affected if the same non-executive director were appointed to all board committees as chairperson.

5. The board should ensure that each committee as a whole has the necessary knowledge, skills, experience and capacity to execute its duties effectively.

6. Each committee should have a minimum of three members.

7. **Attendance at meetings and conditions:**

- Members of the executive and senior management should be invited to attend committee meetings or part thereof) to provide information and insight as necessary.
- Every director is entitled to attend any committee meeting as an observer (remember that these are board committees). However, a director who is not a member of the committee, is:
 - *not* allowed to participate without the consent of the chair
 - does *not* have a vote
 - is *not* entitled to fees for such attendance unless otherwise agreed by the board and the shareholders.

8. **Accountability.** When a board delegates its responsibility to a board committee, it does **not** discharge (satisfy) its accountability. The board must apply its collective mind to the information, opinions, recommendations, reports and statements presented by the committee or individual to whom the responsibility has been delegated.

9. **Disclosure.** The following information about each committee should be disclosed:

- role, responsibilities and functions
- composition including each member's qualifications and experience
- external advisers who regularly attend committee meetings
- key areas and focus
- whether the committee has satisfied its responsibilities in accordance with its terms of reference
- the number of meetings held during the reporting period and attendance at those meetings.

Recommended practices – Audit committees

1. In terms of section 94 of the Companies Act 2008, a public company, state-owned company or any company whose MOI requires it to have an audit committee, must appoint an audit committee. However, the King IV Code recommends that any company that issues audited financial statements establish an audit committee.

2. **Composition**

In terms of the King IV Code:

- all members of the audit committee should be independent non-executive directors
- the audit committee should consist of at least three members
- the board should appoint an independent non-executive director as the chairperson
- the members of the audit committee should have the necessary financial literacy, skills and experience to execute their duties effectively.

3. **Responsibilities and function**

In terms of King IV, the role of the audit committee is to provide independent oversight of:

- the effectiveness of the company's assurance functions and services, with particular focus on the combined assurance arrangements including external assurance providers, internal audit and the finance function
- the integrity of the financial statements and to the extent delegated by the board, other external reports issued by the company
- the audit committee carries ultimate decision-making power and accountability for its statutory duties. However, if the audit committee is assigned responsibilities beyond its statutory duties by the board, the board will be ultimately accountable for such delegated responsibilities
- the management of financial and other risks that affect the integrity of external reports issued by the organisation
- the audit committee should meet *annually* with the external auditor and internal auditor without *management* being present (this creates an opportunity for opinions/concerns to be raised "privately").

Note (a): In terms of section 94 of the Companies Act, each member of an audit committee:

- *must*
 - be a non-executive (King IV) director of the company, and
 - satisfy any minimum qualifications the Minister may prescribe to ensure that the audit committee taken as a whole comprises persons with adequate financial knowledge and experience (see note (a) below).
- *must not be*
 - involved in the day to day management of the company's business or have been involved at any time during the previous financial year, or
 - a prescribed officer, or full-time executive employee of the company or another related or inter-related company, or have held such a post at any time during the previous three financial years, or
 - a material supplier or customer of the company, such that a reasonable and informed third party would conclude that in the circumstances, the integrity, impartiality or objectivity of that member of the audit committee would be compromised
 - a "related person" to any person subject to the above prohibitions.

Note (b): **Regulation 42** requires that at least one-third of the members of a company's audit committee must have academic qualifications or experience in economics, law, accounting, commerce, industry, public affairs, human resources or corporate governance.

Note (c): Section 94 is far more detailed and specific concerning the duties of a (statutory) audit committee. The duties of an audit committee are to:

- nominate for appointment as auditor of the company, a registered auditor who, in the opinion of the audit committee, is independent of the company
- determine the fees to be paid to the auditor and the auditor's terms of engagement
- ensure that the appointment of the auditor complies with the provisions of this Act, and any other legislation relating to the appointment of auditors
- determine the nature and extent of any non-audit services that the auditor may provide to the company, or that the auditor must not provide to the company, or a related company
- preapprove any proposed agreement with the auditor for the provision of non-audit services to the company
- prepare a report to be included in the annual financial statements for that financial year:
 - describing how the audit committee carried out its functions
 - stating whether the audit committee is satisfied that the auditor was independent of the company, and
 - commenting in any way the committee considers appropriate on the financial statements, the accounting practices and the internal financial control of the company
- receive and deal appropriately with any concerns or complaints, whether from within or outside the company, or on its own initiative, relating to:
 - the accounting practices and internal audit of the company
 - the content or auditing of the company's financial statements
 - the internal financial controls of the company, or
 - any related matter
- make submissions to the board on any matter concerning the company's accounting policies, financial control, records and reporting, and
- perform such other oversight functions as determined by the board.

4. **Performance evaluation.** In terms of Principle 9, the board should evaluate the performance of the audit committee. The board should determine the methodology and frequency (at least every three years) of the evaluation.

5. **Disclosure.** In addition to any statutory disclosure requirements and the general disclosure requirements relating to committees of the board (see page 4/27), there should be disclosures on:

- whether the audit committee is satisfied that the auditor is independent of the company with reference to:
 - the policy and controls that address the provision of non-audit services and the nature and extent of non-audit services rendered
 - how long the audit firm has served (tenure)
 - audit partner rotation and significant management changes during the audit firm's tenure may affect the familiarity risk between external audit and management.
- significant matters that the audit committee has considered in relation to the annual financial statements and how these were addressed by the committee, for example, contentious accounting policies, the need to modify the audit report
- The audit committee's view on:
 - the quality of the external audit
 - the effectiveness of the chief audit executive and the arrangements for internal audit
 - the effectiveness of the design and implementation of internal controls
 - the nature and extent of any significant weaknesses in the design, implementation or execution of internal financial controls that resulted in material financial loss, fraud, corruption or error
 - the effectiveness of the CFO and the finance function
 - the arrangements in place for combined assurance and the committee's views on its effectiveness.

Recommended practices – Committee responsible for nominations of members of the board

1. The board should consider establishing a nominations committee to oversee:
 - the process for nominating, electing and appointing directors
 - succession planning in respect of directors
 - evaluation of the performance of the board.
2. **Composition**
 - All members of the nominations committee should be non-executive directors.
 - The majority of members should be independent non-executive directors.
 - In terms of King IV, the chairperson of the board (assumed to be an independent non-executive director) *should* be a member of the committee and may be elected as chair.
3. **Performance evaluation.** As with all board committees, Principle 9 requires that the board evaluate the nominations committee's performance. The methodology of frequency (at least every three years) of the evaluation should be determined by the board.
4. **Disclosure.** The general disclosures as set out on page 4/27 pertaining to board committees should be made regarding the nominations committee.

Recommended practices – Committee for risk governance

1. The board should consider allocating the oversight of risk governance to a dedicated committee, or adding it to the responsibilities of another committee, for example the audit committee.
2. **Composition**
 - The committee should include at least three directors.
 - The committee should be made up of executive and non-executive directors the majority of whom are non-executive.
 - The chairperson of the board may be a member of the risk committee and may be the chairperson.
 - If the audit and risk committees are separate, there should be an overlap of membership, namely, certain individuals serving on both committees.
3. **Performance evaluation.** In terms of Principle 9, the board should evaluate the performance of the risk committee. The board should determine the methodology and frequency (at least every three years).

4. **Disclosure.** The general disclosures as set out on page 4/27 pertaining to board committees should be made in respect of the risk committee.

Note (a): The King IV Code recognises that companies operate in an increasingly volatile environment, for example, constant change, developments in technology, civil protest and financial/economic instability. The code addresses the fact that organisations need to strengthen their ability to analyse complex situations, including the “not so obvious” risks (and opportunities) related to it.

Note (b): King IV also points out that risks and opportunities are closely related, and any form of risk analysis should consider the associated opportunities.

Recommended practices – Committee responsible for remuneration

1. The board should consider allocating the oversight of remuneration to a dedicated committee or adding it to the responsibilities of another committee.
2. **Composition**
 - All members of the committee should be non-executive directors.
 - The majority of members should be independent non-executive directors.
 - The chairperson of the committee should be a non-executive director.
 - The chairperson of the board should *not* be the chairperson of the remuneration committee.
3. **Performance evaluation.** In terms of Principle 9, the board should evaluate the performance of the remuneration committee. The methodology and frequency (at least every three years), should be determined by the board.
4. **Disclosure.** The general disclosures as set out on page 4/27 pertaining to board committees should be made in respect of the remuneration committee.

Recommended practices – Social and ethics committee

1. For companies that are not required in terms of the statute (see note (a) below), to appoint a social and ethics committee, the board should consider allocating the oversight of, and reporting on, organisational ethics, responsible corporate citizenship, sustainable development and stakeholder relationships to a dedicated committee or adding them to the responsibilities of another committee.
2. The responsibilities of a social and ethics committee should include its statutory duties (if applicable) and any other responsibilities delegated to it by the board.
3. **Composition**
 - The committee should include executive and non-executive directors.
 - The majority should be non-executive directors.
 - The committee should consist of no less than three directors.
 - The chairperson of the board may be a member of the committee but should not be its chairperson.

Note (a): In terms of the Companies Act 2008:

- every state-owned company, and
- every public company, and
- any other company that has, in any two of the previous five years, had a public interest score above 500 points must appoint a social and ethics committee.

Note (b): In terms of Companies Regulation 43, the function of this committee is to monitor the company’s activities, having regard to any relevant legislation, legal requirements or codes of best practice, with regard to:

- **social and economic development**, including the company’s standing in terms of the goals and purposes of:
 - the United Nations Global Compact Principles
 - the OECD recommendations regarding corruption
 - the Employment Equity Act
 - the Broad Based Black Economic Empowerment Act

- **good corporate citizenship**
 - promotion of equality, prevention of unfair discrimination and reduction of corruption
 - development of communities in which it operates or within which its products are predominantly marketed
 - sponsorship, donations and charitable giving.
- **the environment, health and public safety**, for example, the impact of its products/services on the environment
- **consumer relationships**, for example, advertising, public relations and compliance with consumer protection laws
- **labour and employment**, for example, compliance with the International Labour Organisation Protocol on decent work and working conditions, and its contribution to educational development.

Note (c): King IV expands on the statutory duties of a social and ethics committee to have its activities contributing to ethics, strategy and objectives beyond just concerning itself with compliance.

4. **Performance evaluation.** In terms of Principle 9, the board should evaluate the performance of the social and ethics committee. The board should determine the methodology and frequency (at least every three years).
5. **Disclosure.** The general disclosures as set out on page 4/27 pertaining to board committees should be made in respect of the social and ethics committee.

4.2.3.4 Evaluations of the performance of the board

Principle 9. The board should ensure that the evaluation of its own performance and that of its committees, its chairperson and its individual directors, supports continued improvement in its performance and effectiveness

Recommended practices

1. The board should assume responsibility for evaluating its own performance and that of its chairperson and individual directors by determining how it should be approached and conducted.
2. The board should appoint an independent non-executive director to lead the evaluation of the chairperson if a “lead independent” non-executive director has not been appointed.
3. A formal process should be followed to evaluate the board’s performance, its committees, its chairperson, and its directors at least every two years.
 - The methodology for this process will be approved by the board.
 - The process may be internally or externally facilitated.
4. Every alternate year, the board should schedule in its yearly work plan an opportunity for the board to consider, reflect and discuss its performance and that of its committees, chairperson and directors.
5. **Disclosure.** The following should be disclosed in relation to the evaluation of the performance of the board:
 - A description of the evaluations undertaken during the reporting period:
 - scope
 - formal or informal
 - internally or externally facilitated
 - an overview of the evaluation results and remedial actions taken
 - whether the board is satisfied that the evaluation process is improving its performance and effectiveness.

4.2.3.5 Appointment and delegation to management

Principle 10. The board should ensure that the appointment of and delegation to management contribute to role clarity and the effective exercise of authority and responsibilities

Recommended practices – CEO appointment and role

1. The board should appoint the CEO.

2. The CEO should be responsible for leading the implementation and execution of approved strategy, policy and operating planning and should serve as the chief link between management and the board.
3. The CEO should *not* be:
 - the chairperson
 - a member of the *remuneration*, *audit* or *nomination* committees, but should attend by invitation (recusing himself when matters of personal interest arise) if needed to contribute pertinent information and insights.
4. The CEO and the board should agree on whether the CEO should take up additional positions, including directorships of other companies. Time constraints and potential conflicts of interest should be balanced against the director's professional development.
5. The board should ensure a succession plan for the CEO, for succession in an emergency and in the long term.
6. **Performance evaluation**
 - The board should evaluate the CEO's performance against agreed performance measures and targets *at least once a year*.
 - The board should determine the methodology and frequency (at least once a year) of the evaluation of the CEO.
7. **Disclosure.** The following should be disclosed in relation to the CEO:
 - the notice period stipulated in the CEO's employment contract and the contractual conditions related to termination
 - any other professional commitments which the CEO has, including any directorships outside the company (group), and
 - whether a succession plan is in place for the position of CEO, in terms of emergency or longer-term succession.

Recommended practices – Delegation

1. The basic premise is that although the board delegates certain powers and responsibilities, it does not abdicate (give up) its *accountability*.
2. To this end, the board should:
 - set the direction and parameters on the powers reserved for itself, and those delegated to management via the CEO
 - formalise the above by providing a "delegation-of-authority framework" and ensure that it is implemented
 - ensure that the delegation of authority addresses the authority to appoint executives who will serve as ex officio executive members and other executive appointments, with the final approval of executive appointments being given by the CEO.
3. The board should oversee that key management functions, for example, risk management, ethics, human resources, etc., are:
 - headed by an individual with the necessary competence and authority
 - properly resourced.
4. The board should ensure a succession plan for executive management and other key positions which provide for both an emergency and long-term succession.
5. **Disclosure.** A statement by the board on whether it is satisfied that the delegation of authority framework contributes to role clarity and the effective exercise of authority and responsibilities.

Recommended practices – Professional corporate governance services to the board

1. The board should ensure that it has access to professional and independent guidance on corporate governance and its legal duties.
2. The boards of companies for which the appointment of a company secretary is *not* a statutory requirement, should consider appointing a company secretary or other professional to provide corporate governance services to the board.

3. The board should:

- approve the arrangements for the provision of these services, including whether they should be outsourced to a juristic person, or whether a full-time or part-time appointment should be made
- ensure that the office of the company secretary/professional provider is empowered to carry the necessary authority
- approve the appointment, employment contract and remuneration of the individual appointed to render the services
- oversee that the person appointed has the necessary competence, gravitas (seriousness and decorum) and objectivity to provide independent guidance and support at the highest level
- have primary responsibility for the removal of the company secretary/professional provider.

4. The company secretary/professional provider should:

- have unrestricted access to the board but should maintain an arm's-length relationship for reasons of independence; therefore, the company secretary/professional provider should not be a member of the board
- report to the board (via the chairperson) on all functional matters and a member of the executive management on administrative matters.

5. **Performance evaluation.** The *performance* and *independence* of the company secretary should be evaluated by the board at least annually.

6. **Disclosure.** The arrangements in place for assessing professional corporate governance services and a statement on whether the board believes the arrangements are effective should be disclosed.

Note (a): The company secretary is a key component of corporate governance. Section 86 to 89 of the Companies Act 2008 make it mandatory for a public company or state-owned enterprise to appoint a company secretary, describe the duties of the company secretary, and the resignation or removal of the company secretary.

Note (b): **Qualifications.** The qualifications for a company secretary stipulated by the Companies Act 2008 are simple; the company secretary must have “the requisite knowledge of, and experience in, relevant laws and be a permanent resident of the Republic”. However, King IV takes it further by recommending that the company secretary (or corporate governance professional) should have the necessary experience, expertise and qualifications to discharge the role effectively and with the necessary “gravitas” (earnestness, seriousness, thoughtfulness). Remember that an individual who is disqualified from being appointed as a director is disqualified from being appointed as company secretary.

Note (c): In terms of section 88, the company secretary has the following duties:

- Provide the directors with guidance as to their duties, responsibilities and powers.
- Make the directors aware of any law relevant to the company.
- Report to the board on any failure on the part of the company or a director to comply with the Companies Act 2008 or its MOI.
- Ensure that minutes of all meetings of:
 - shareholders
 - directors of the board
 - board committees (including the audit committee)
 are properly recorded.
- Certify in the AFS that the company has filed the necessary returns and notices in terms of the Act, and whether all such returns and notices appear true, correct and up to date.
- Ensure that a copy of the AFS is sent to every person entitled to receive it.

These are statutory duties – the board may assign other duties to the board if it so wishes, for example:

- assist with director induction
- assist with the evaluation of the board and its committees
- keep board and committee charters up to date
- prepare and circulate board papers (for meetings)
- advise on matters of corporate governance.

4.2.4 Governance functional areas

4.2.4.1 Risk governance

Principle 11. The board should govern risk in a way that supports the company in setting and achieving its strategic objectives

Recommended practices

1. The board should assume responsibility for risk governance by setting the direction for how risk should be approached and addressed. Risk governance should include:
 - the opportunities and associated risks to be considered when developing *strategy* (see note (a) below)
 - the potential positive and negative effects of the same risks on achieving the company's objectives.
2. The board should:
 - treat risk as an integral part of making decisions and executing its duties
 - approve the policy that articulates and gives effect to the direction it has set on risk
 - evaluate and agree on the nature and extent of the risks that the company is prepared to take in achieving its objectives, and should approve:
 - the company's risk appetite (propensity to take risks)
 - the limit of the potential loss the company can tolerate.
3. The board should delegate to management the responsibility to implement and affect effective risk management (see note (b) below).
4. The board should exercise ongoing oversight of risk management and in particular, oversee that it results in the following:
 - an assessment of risks and opportunities emanating from the triple context (social, economic and environmental) in which the company operates and from the capitals that the company uses and effects
 - an assessment of the potential positive (upside) or adverse effects on achieving the company's objectives
 - an assessment of the organisation's dependence on resources and relationships as represented by the various forms of capital
 - the design and implementation of risk responses (see note (f) below)
 - the establishment and implementation of business continuity arrangements that enable the company to operate under conditions of volatility and to withstand and recover from acute shocks (see note (e) below)
 - the integration and embedding of risk management in the business activities and culture of the company (see note (e) below)
 - See also note (d) below.
5. The board should consider the need to obtain periodic independent assurance on the effectiveness of risk management.
6. **Disclosure.** The following information should be disclosed:
 - the nature and extent of the risks and opportunities the company is willing to take (sensitive information need not be disclosed)
 - an overview of the arrangements for governing and managing risk
 - key areas of focus during the reporting period including:
 - key risks the company faces
 - unexpected or unusual risks
 - risks taken outside the company's tolerance levels (if any)
 - actions taken to monitor the effectiveness of risk management and how the outcomes (of monitoring) were addressed
 - planned areas of future focus.

- Note (a): Risk and opportunity go hand in hand and are treated as a combination in terms of King IV. Think of it like this: A pharmaceutical company has as one of its strategic objectives, to expand its markets into Africa. The outbreak of serious viruses, for example Ebola or Zika, and more recently Covid-19, presents the company with an opportunity to develop a suitable vaccine or treatment to counter the virus, but this will require significant investment in research, development and manufacture of the drug. This poses risks for the company, for example, the risk that the company will not find a cure or that another company will beat them to it; or the risk that the company's reputation will suffer because it will exploit the situation for commercial gain. There are many risks that need to be identified and evaluated before the opportunity is taken.
- Note (b): The board should delegate to management the responsibility for *designing, implementing and monitoring* the process of managing risk and opportunity and integrating it into the day to day activities of the company; for example a second-hand car parts dealer needs to have processes (controls and procedures) in place to ensure that the company is not buying and selling parts from stolen cars; a chicken producer needs to have processes to minimise the risk of disease; a retailer must have processes in place to minimise loss from bad debts.
- As can be seen from the point above, risks are very diverse, but management, led by the chief executive officer, remains responsible to manage those risks (and opportunities).
 - In larger companies, a chief risk officer (CRO) may be appointed to manage risk and opportunity. He should have access to the board and regularly interact with it on strategic matters.
- Note (c): In the performance of their day-to-day activities, all staff members are faced with a level of risk. For example, a worker on an assembly line may be exposed to significant health risks, and a credit controller is exposed to the risk of overextending credit. Some risks are far more significant than others, but management should attempt to inculcate, by training and re-enforcement, a culture of risk management. For example, the factory manager, foreman and worker should ensure that the necessary protective clothing is worn and safety procedures are followed to the letter.
- Equally, a culture of identifying and following through on opportunities should be encouraged, for example sales personnel may identify opportunities in the market, whilst a factory foreperson or worker may identify an opportunity to reduce costs by changing an existing process.
- Note (d): The board should oversee the adequacy and effectiveness of risk management, including:
- whether the existing fraud risk management policies and procedures are effective in preventing, detecting and responding to fraud
 - whether frameworks and methodologies to understand and deal with the probability of anticipating unpredictable risks, for example collapse in the oil price
 - in effect, this requires some "crystal ball gazing" by directors! The future is uncertain, and any number of unexpected occurrences can severely affect a company's sustainability. Such occurrences can range from natural disasters, such as drought, flooding, war, and financial collapse, and are frequently not predictable.
 - However, directors are tasked with the duty to consider the sustainability of their companies, and this principle requires that they keep abreast with political, physical, environmental, economic, social, technological and trade trends. The company's risk assessment process should include sessions for directors at which the "unknown future" is analysed, brainstormed and debated possibly on a "what if" basis.
- Note (f): **Risk assessment and response.** There are several frameworks for assessing risk which a company might use. King IV is not prescriptive and does not provide such a framework. However, the following paragraphs provide two simple frameworks which a company may use to assess risk and which may give you a better understanding of the topic.

Risk assessment and response

1. There are models that quantify risk and companies may choose to make use of these. It may be sufficient however, to classify risk as low, medium or high. The important point is that the board and management should develop a clear understanding of the severity of the risks and how they will manage the

risk. In determining the severity/significance of the risk, the board (risk committee) may consider such things as:

- the probability of the risk occurring
- the potential effect of the risk (on the six capitals)
- how effective a risk response might be
- the threat to solvency, liquidity, and going concern.

2. In assessing risk, the board (risk committee) may take into account, among other things:

- **stakeholder risks:** for example, what risks will a proposed expansion of the company pose for the community in which the expanded business operation will occur, such as an increase in pollution, increased crime, or loss of recreational land?
- **reputational risks:** for example, will the company suffer a loss to its reputation if it fails to support a particular cause or does not take appropriate action against a director convicted of fraud?
- **compliance risk:** in relation to legislation that significantly affects the company, for example, what risks arise for the company if it does not adequately implement the Companies Act requirements? Does an agreement with a competitor in the same business amount to price-fixing?
- **ethics risk:** for example, will introducing a bonus scheme for sales employees based on sales increase the risk of unethical selling practices by sales personnel?
- **sustainability issues:** for example, is the risk of loss of employees through HIV/AIDS on the increase? What is the risk of causing environmental damage if the company undertakes a particular project?
- **corporate social investment, employee equity, BEE, skills development and retention:** for example, is there a risk of losing valuable skills because of poor remuneration packages? Is there a risk that a new employee promotion strategy will fail to satisfy employee equity requirements?
- **financial risk:** for example, is there a risk that a new venture will not generate sufficient cash flow to sustain itself? Is there a risk of severe adverse currency fluctuations?
- A company may also choose to use the six capitals as a framework for assessing risk (and opportunity), that is, consider risk in terms of the effect on the company's **financial, manufactured, human, social and relationship, environmental** and **intellectual** capitals.

3. Another framework for risk assessment may be to consider risk in the following categories:

- **strategic risks:** for example, the risks associated with adopting or changing company strategy, such as the expansion of the manufacturing facility, entering a new market in a foreign country, or acquiring another company
- **operating risks:** for example, risks relating to health and safety, and the environment, for a chemical manufacturer
- **financial risks:** for example, the effect on cash flows should a company decide to move from a cash sales basis to a credit sales basis, or the risk associated with committing the company to long-term borrowing to finance an expansion
- **information risks:** for example, the risks associated with introducing electronic funds transfer for payment of creditors, or a retail company deciding to introduce online trading (note, this could also be classified as a strategic risk)
- **compliance risks:** for example, the risk that a business decision may result in significant breaches of legislation relating to pollution, the environment, taxation, price-fixing, foreign exchange, fraud, etc.
- reputational risks, for example, as above.

Risk identification should not simply amount to risk committee members giving their opinions; it should be a process that uses data analysis, business indicators, market information, portfolio analysis, etc.

4. Once the risks have been identified, the board, risk committee and management, should consider the possible risk response options. Again there are various models to respond to risk, but options will normally include:

- **avoid or terminate** the risk by not commencing or ceasing the activity which creates the exposure to the risk, for example, if the company can no longer tolerate the risk of doing business in a foreign country, then close that business down

- **treat, reduce or mitigate** the risk for example, exposure to the risk of foreign exchange losses may be treated, reduced or mitigated by taking forward cover
- **transfer** the risk to a third party, for example, if the company considers that the proper maintenance of its computer system, database, etc., is at risk, it may decide to outsource this responsibility. Taking out insurance is a common method of transferring risk
- **accept** the risk, for example, if a transport company's risk assessment reveals that a 100% increase in the cost of diesel to say R25 a litre will seriously jeopardise its going concern ability, but that the risk of this occurring is low, the company may simply decide to accept the risk, rather than perhaps replacing its fleet of vehicles with more fuel-efficient vehicles
- **exploit** the risk, for example, where a retailer of expensive clothing anticipates loss of market share due to the economic downturn, it may decide to introduce a range of cheaper clothing to regain its market share. This amounts to identifying and following through on opportunities.
- **integrate** several of the options given above.

4.2.4.2 Technology and information governance

Principle 12. The board should govern technology and information in a way that supports the company setting and achieves its strategic objectives

Recommended practices

1. The board should assume responsibility for technology and information governance by setting the direction for how they should be approached and addressed in the organisation.
2. The board should:
 - approve a policy that articulates and gives effect to its set direction on the employment of technology and information
 - delegate the responsibility to implement and execute effective technology and information management to management
 - exercise ongoing oversight of technology and information management and ensure, in particular, that it results in:
 - integration of people, technologies, information and processes across the company
 - integration of technology and information *risks* into company-wide risk management
 - arrangements to provide for business resilience
 - proactive monitoring of information to identify and respond to incidents, including cyber-attacks and adverse social media events
 - management of the performance and risks associated with third parties and outsourced service providers
 - the assessment of value delivered to the company through significant investment in technology and information
 - the responsible disposal of obsolete technology (hardware) with regard to the environment and information about information security (e.g. confidentiality)
 - ethical and responsible use of technology and information
 - compliance with relevant laws.
3. The board should exercise ongoing oversight of the *management of information* and oversee that it results in the following:
 - the use of information to sustain and enhance the company's intellectual capital
 - an information architecture that supports confidentiality, integrity and availability of information
 - the protection of privacy of personal information
 - the continual monitoring of the security of information.
4. The board should exercise ongoing oversight of the *management of technology* and oversee that it results in:
 - a technology architecture that enables the achievement of the company's strategic and operational objectives
 - monitoring responses to developments in technology.

5. The board should consider the need to receive periodic independent assurance on the effectiveness of the company's technology and information arrangements.
6. **Disclosure.** The following should be disclosed about technology and information:
 - an overview of the arrangements for governing and managing information and technology
 - key areas of focus during the reporting period, for example, changes in policy, significant acquisitions, response to major incidents
 - actions taken to monitor the effectiveness of technology and information management and how outcomes were addressed
 - planned areas of future focus.

The notes to this section are included to provide you with a better understanding of the importance of appropriate technology and information governance. They are based on King III and an initial draft of King IV.

Note (a): It is not difficult to understand why technology and information governance is so important to the modern-day business and why the associated risk is so vital to sustainable development. Similarly, a company that does not take the *opportunities* offered by technology to develop its business (or even keep up) will disappear. A bank that does not offer the latest computer-based services, for example, electronic fund transfer, full internet banking, and ATMs, will lose customers fast. Manufacturing companies may depend upon computers for inventory control, production control and its entire integrated financial reporting system. An insurance company or medical aid may have vast databases of confidential information which must not be compromised in any way if, among other things, reputational and financial damage is to be avoided.

Note (b): In addition to the types of risks arising from the few examples given above, the costs of installing, running and maintaining a sophisticated computerised system can be considerable; there is, therefore, a risk that the company could be wasting money if costs are not properly controlled.

All of this requires a process of information technology (IT) governance that should focus on:

- (i) strategic alignment with the business and collaborative solutions, including a focus on sustainability. This simply means that IT and the business are totally interlinked. IT cannot "stand alone" and equally, the business operations depend upon IT. It is, therefore, imperative that IT supports the objectives of the business and that IT and business managers collaborate in solving problems and developing both IT and the business itself; for example, a company that wishes to introduce trading over the internet cannot hope to be successful without working with its IT department. Similarly, an IT department should not be busy developing software that does not meet the needs of the business!
- (ii) value delivery, optimising expenditure and proving the value of IT. The board should not approve IT projects before a thorough cost/benefit analysis that demonstrates the value of the IT project has been done. Once a project is up and running, it should be regularly evaluated to determine whether the expected "return on investment" is being achieved
- (iii) risk management, safeguarding IT assets, disaster recovery and continuity of operations
- (iv) resource management, optimising knowledge and IT infrastructure. This means that part of IT governance is ensuring that maximum (optimal) benefit is gained from the use of the IT resources which the company has at its disposal.

Note (c): The responsibility for implementing policy and for embedding it into the day-to-day, medium- and long-term decision-making, activities and culture of the company should be delegated to management; for example, an IT steering committee may be formed, and a chief information officer (CIO) appointed to interact regularly with the board on strategic and other matters.

Note (d): The board should oversee the adequacy and effectiveness of the technology and information management, including:

- (i) exploitation (making use of) opportunities offered by technology and digital developments, for example, social media for communicating with customers, developing company-specific apps for smartphones
- (ii) ethical and responsible use of technology and information, for example, selling customer information, or bombarding customers with unwanted or undesirable advertising on cellphones

- (iv) whether management manages information in a manner that increases the intellectual capital in the company, for example analysing data and making use of Internet search engines to obtain the latest information
- (v) the integration of people, technology, information and processes within the company and its environment; for example, the ongoing assessment of return on investment in technology or an investment in a new inventory control system
- (vi) compliance with relevant laws, for example, laws relating to electronic trading and privacy of information.

Note (e): The board should oversee the management of cyber-security risks:

- (i) Cyber-security risks should be integrated into risk and opportunity management.
- (ii) Responsibilities for cyber-security should be delegated to competent and capable individuals expert in cyber-security. (Cyber-security is of paramount importance to the company and therefore should be of paramount importance to the board. Substandard cyber-security threatens virtually all aspects of a large company and can pose a significant threat to the company's sustainable development, reputation and financial well-being.)
- (iii) Management of cyber-security should include a cyber-security plan that has:
 - the technical tools for defence, for example, hacking of the data on the system
 - training, education, and actions create a culture where employees are alert to cyber-security risks and proactive in raising concerns.
- (iv) Critical IT-related events and incidents must be monitored, for example, attempted hacking, assisting with preventing and detecting cyber breaches, combined with an ongoing revision of cyber-security policy based on external (and internal) developments, for example, the emergence of new viruses.
- (v) A continuity and disaster recovery plan must be implemented and maintained.
- (vi) Periodic formal review of the adequacy and effectiveness of the company's technology and information management

Note (f): Information security has three components:

- **confidentiality:** information should be accessible only to those authorized to have access
- **integrity:** the accuracy and completeness of information and processing must be safeguarded
- **availability:** authorised users have access to information when required.

Note (g): Sound cyber-security contributes, for example:

- to building trust between the company and its business partners, customers and employees; for example, if weaknesses in IT security in an online trading company such as Amazon or Takealot result in confidential information about registered customers becoming freely available, customers will simply not be prepared to use the site. Without this trust, new *business strategies* attempted by the online trading company are unlikely to succeed.
- **sustaining normal business operations:** for example, if a company's system "crashes" frequently and users cannot get information, the company will lose business. If your bank is frequently offline you are eventually going to look for a new bank. If you cannot access an online trading store, you are going to search for another store.
- **avoiding unnecessary costs:** brought about by failures in cyber-security. This is similar to the previous benefit but perhaps less obvious. For example, breaches in confidentiality could lead to *litigation* (very costly) and/or the need to spend money on repairing the reputational damage (marketing campaigns, etc.) that such litigation often brings.
- **meeting compliance requirements:** companies must comply with the law in numerous ways, for example, a company must pay VAT. If the process of recording VAT is not secure and the database on which the VAT information is stored is not safeguarded, the amount of VAT indicated as payable may be inaccurate and incomplete or may not be available at all.

These are just a few examples of the importance of cyber-security, but should be sufficient to illustrate its major importance.

4.2.4.3 Compliance governance

Principle 13. The board should govern compliance with applicable and adopted laws, non-binding rules, codes and standards in a way that supports the organisation being ethical and a good corporate citizen

Recommended practices

1. The board should assume responsibility for compliance governance by setting the direction for how compliance should be approached and addressed in the company.
2. The board should approve a policy that articulates and gives effect to its direction on policy and identifies which non-binding rules, codes and standards the company has adopted.
3. The board should delegate responsibility for the implementation and execution of effective compliance management to management.
4. The board should exercise ongoing oversight of compliance and oversee that it results in:
 - compliance being understood for not only the obligations it creates but also for the rights and protections it creates
 - compliance is viewed holistically concerning how laws, rules, codes and standards relate to one another
 - continual monitoring of the regulatory environment and appropriate responses to changes and developments.
5. The board should consider the need to receive periodic independent assurance on the effectiveness of compliance management.
6. **Disclosure.** The following should be disclosed about compliance:
 - an overview of the arrangements for governing and managing compliance
 - key areas of focus during the reporting period
 - actions taken to monitor the effectiveness of compliance management and how the outcomes were addressed.
 - planned areas of future focus
 - any material or repeated regulatory penalties, sanctions or fines for contraventions of, or non-compliance with statutory obligations imposed on the company, or on directors or officers
 - details of monitoring and compliance inspections by environmental regulators, findings of non-compliance with environmental laws, or criminal sanctions and prosecutions for such non-compliance.

Note (a): The responsibility for implementing policy, and embedding it into the day-to-day, medium and long-term decision-making activities and culture of the company should be delegated to management, for example a compliance officer may be appointed to take on this responsibility.

Note (b): The board should oversee the management of compliance to ensure that:

- (i) directors, management and employees across the company, understand the obligations the law creates but also the protection it affords in relation to their particular functions, for example an employee working on the factory floor should be aware of the rights he has with regard to safety in the workplace
- (ii) compliance about how laws, rules, codes and standards relate to one another is viewed holistically
- (iii) management has relationships with regulators and professional bodies which enable it to contribute to (influence) the regulatory environment in which the company operates, for example by serving on committees that formulate industry-specific regulations and standards
- (iv) compliance management is responsive to changes in laws, regulations, etc., such as implementing labour legislation changes.

4.2.4.4 Remuneration governance

Principle 14. The board should ensure that the company remunerates fairly, responsibly and transparently so as to promote the achievement of strategic objectives and positive outcomes in the short, medium and long term

1. Perhaps due to the numerous scandals relating to executive remuneration (particularly relating to, but not confined to, the banking industry), King IV seeks increased accountability on remuneration. Fair and

responsible remuneration is now seen as a corporate citizenship matter, and King IV recommends that it be overseen by the social and ethics committee in collaboration with the remuneration committee. King IV also recommends extended remuneration disclosures (in a prescribed format), which supplements the disclosure requirements of the Companies Act 2008.

2. The recommended practices are covered in the following subsections:

Remuneration policy	Page 4/42
Remuneration report	
(i) background statement	Page 4/42
(ii) overview of the policy	Page 4/43
Implementation report	Page 4/43
Voting on remuneration	Page 4/43

3. Bear in mind that in terms of King IV, the company should have a remuneration committee:

- the chairperson should be an independent non-executive director
- all members should be non-executive directors, the majority of whom should be independent.

4. Also, bear in mind that section 30 of the Companies Act 2008 requires full disclosure of directors' (and prescribed officers') remuneration to be made in the annual financial statements of each company required by the Act to have its financial statements audited.

Recommended practices – Remuneration policy

1. The board should assume responsibility for the governance of remuneration by setting the direction for how remuneration should be approached and addressed on an organisation-wide basis.
2. The board should approve a policy that articulates and gives effect to its direction on fair, responsible and transparent remuneration.
3. The remuneration policy should be designed to achieve the following:
 - attract, motivate, reward and retain human capital
 - promote the achievement of strategic objectives
 - promote positive outcomes
 - promote an ethical culture and responsible corporate citizenship.
4. The remuneration policy should specifically provide for:
 - ensuring that the remuneration of executive management is fair and responsible in the context of overall employee remuneration in the company
 - the use of performance measures that support positive outcomes across the economic, social and environmental context and/or all the capitals the company uses or effects
 - voting by shareholders on the *remuneration policy* and *implementation report*.
5. All elements of remuneration and the mix of these should be set out in the remuneration policy, including:
 - basic salary, plus financial and non-financial benefits
 - variable remuneration, including short- and long-term incentives
 - payments on termination of employment or office
 - sign-on, retention and restraint payments
 - commissions and allowances
 - fees of non-executive directors.
6. The board should oversee that the implementation and execution of the remuneration policy achieve the policy's objective.

Recommended practices – The remuneration report

1. **The background statement.** This should briefly provide the context for remuneration considerations and decisions with reference to:
 - internal and external factors that influenced remuneration, for example, the need for specialist skills, and remuneration levels in the industry

- the most recent results of voting on the remuneration policy and the implementation report and the measures taken in response to it
 - the focus areas of the remuneration committee, and any substantial changes to the remuneration policy, for example, a project focused on devising and implementing a fair incentive scheme for all grades of employee
 - whether remuneration consultants have been used and whether the remuneration committee is satisfied that they were independent and objective
 - the opinion of the remuneration committee on whether the implementation of the policy has achieved stated objectives, for example, the retention of talented individuals
 - future areas of focus, for example, pre-empting remuneration issues relating to a potential skills shortage in the medium term.
2. **Overview of the remuneration policy.** The overview should address the policy's objectives and how the policy seeks to accomplish these. The overview should include the following:
- the remuneration elements, for example basic salary and commissions and design principles (e.g. mix, tax efficiency) driving and influencing the remuneration for executive management and other employees
 - details of obligations in executive employment contracts which could give rise to payments on termination of employment or office; for example, a director being compensated for loss of office is a change in business strategy and makes his position as a director redundant
 - a description of the framework and performance measures used to assess the achievement of strategic objectives and positive outcomes
 - an illustration of the potential consequences on total remuneration for executive management of applying the remuneration policy under minimum, on-target and maximum performance outcomes; for example, if performance outcomes exceed the targets, what is the potential increase in remuneration is expected to be
 - a statement of how fairness and responsibility were achieved in employees' remuneration in relation to executive directors and vice versa
 - for non-executive directors, the basis of computation of fees, for example, could be based on the skills the non-executive director brings to the board or could be an appropriate attendance fee
 - justification for using benchmarks; for example, for performance evaluation or selling remuneration in terms of industry norms
 - a reference (electronic link) to the company's full remuneration policy for public access.

Recommended practices – The implementation report

The report, which includes the remuneration disclosures in terms of the Companies Act, should reflect:

- the remuneration of each member of executive management, which should include in separate tables:
 - a single, total figure of remuneration received and receivable for the reporting period, and all the remuneration elements that it comprises, each disclosed at fair value
 - the details of all awards made under variable remuneration incentive schemes that were settled during the reporting period
- an account of the performance measures used and the relative weighting of each, as a result of which awards under variable remuneration incentive schemes have been made
- separate disclosure of, and reasons for, any payments made on termination of employment or office
- a statement regarding compliance with, and any deviations from, the remuneration policy.

Recommended practices – Voting on remuneration

1. Fees for non-executive directors for their services as directors must be submitted for approval by *specific resolution* by shareholders within the two years preceding payment.
2. The *remuneration policy* and *implementation report* should be tabled every year for separate non-binding advisory votes by shareholders at the AGM. (See note (a) below.)
3. The remuneration policy should record the measures that the board commits to take if either the remuneration policy or the implementation policy or both have been *voted against by 25% or more of the*

voting rights exercised. Such measures should provide for taking steps in good faith and with best reasonable effort towards at least:

- an engagement process to ascertain the reasons for the dissenting vote
 - appropriately addressing legitimate and reasonable objections and concerns raised.
4. In the event that either or both the policy or report are voted against by 25% or more of the voting rights exercised, the following should be disclosed in the background statement of the remuneration report for the following year:
- with whom the company engaged, and the manner and form of the engagement to ascertain the reasons for dissenting votes
 - the nature of steps taken to address legitimate and reasonable objections and concerns.

Note (a): A non-binding advisory vote takes place when the directors ask the shareholders to endorse, for example (in this case) the remuneration policy. If the shareholders do not approve the resolution (endorse the policy), the vote is not binding on the directors, in other words, they do not have to change the policy, but they should “be advised” that the shareholders are not satisfied. This should obviously be taken into account by the remuneration committee in setting future policy.

Note (b): In terms of King IV, in the event that either or both the *remuneration policy* or the *implementation policy* are voted against by 25% or more of the voting rights exercised, the remuneration committee should proactively address the shareholders’ concerns. The remuneration committee should ensure that there is disclosure in the following year of the steps that were taken to address shareholders’ concerns regarding the nature of the engagement with the shareholders; for example, meetings, questionnaires, etc., and their outcomes.

Note (c): When evaluating the performance of the remuneration committee (and considering re-appointments to the committee), the board should consider the results of any non-binding advisory votes and the committee’s subsequent actions, for example, the rejection of the policy by a majority of the shareholders is a strong indication that the remuneration committee is not doing its job!

4.2.4.5 Assurance

Principle 15. The board should ensure that assurance services and functions enable an effective control environment and that these support the integrity of information for internal decision-making and of the organisation’s external reports

This principle is dealt with in the King IV Code in three sections:

- Combined assurance Page 4/44
- Assurance of external reports Page 4/45
- Internal audit Page 4/46

Recommended practices – Combined assurance

1. The board should assume responsibility for assurance by setting the direction concerning the arrangements for assurance services and functions.
2. The board should delegate to the *audit committee*, the responsibility for overseeing that the arrangements are effective in achieving the following objectives:
 - enabling an effective internal control environment
 - supporting the integrity of information used for internal decision-making by management, the board and its committees
 - supporting the integrity of external reports.
3. The board should satisfy itself that a combined assurance model is applied that incorporates and optimises the various assurance services and functions so that, taken as a whole, these support the objectives in point 2 above (see note (a) below).
4. The board should ensure that the combined assurance model is designed and implemented to cover the company’s significant risks and material matters effectively through a combination of the following assurance service providers and functions:
 - the company’s line functions that own and manage risks

- the organisation's specialist functions that facilitate and oversee risk management and compliance
 - internal auditors, internal forensic fraud examiners, safety assessors, etc.
 - independent external assurance service providers, for example external auditors
 - other external assurance providers, for example, environmental auditors, and external actuaries (who provide assurance with regard to pension liabilities)
 - regulatory inspectors, for example health and safety inspectors.
- 5 The board and its committees should assess the output of the organisation's combined assurance with "objectivity" and "professional scepticism" and, by applying an enquiring mind, form their own opinion on the integrity of information and reports and the effectiveness of the control environment.

Note (a): The concept of the combined assurance model was introduced into corporate governance by King III. Perhaps think about it like this; providing assurance means adding credibility to something. Ultimately a stakeholder using reports and other information disclosed by the company wants to be satisfied (assured) that the information is reliable and can be "believed". For example, the company's bank wants assurance that the company's annual financial statements are fairly presented, so they require *externally audited* financial statements. Similarly, a director who is required to issue a report to the local community on the environmental impact of a proposed mining operation will want to be assured that the information he is passing on to the community, is reliable and factually correct. He wants to be sure that the risk (and opportunities) related to the project have been carefully and reliably assessed by the risk committee and that any environmental impact reports have been "audited" by suitably qualified company personnel such as geologists and engineers. The board itself will want to be satisfied (assured) that the *external audit* has been efficiently and effectively carried out and that the *internal audit* function is achieving its objectives. This assurance is obtained by appointing an audit committee to oversee these two assurance providers. At a lower level, line managers, section heads, etc. want assurance that the information they are receiving and on which they base their decision, is reliable. Much of this information is provided by the internal control system. If the system is properly designed and appropriate control activities are implemented (e.g. approval and authorisation), line managers and section heads gain some assurance that the information on which they are basing their decisions is valid, accurate and complete. However, do they and others, such as the directors, not want assurance that the internal control system is operating as it should? Yes, they do, and this assurance is going to be provided by the internal and external audits, which are likely to "test" the system, and possibly by the risk committee to ensure that the system addresses any relevant risks adequately. There are a number of decisions being made in a large company by many individuals and committees on a wide variety of matters. The combined assurance model attempts to intertwine the various levels of assurance to provide all decision-makers with information that they believe can be relied upon when making decisions.

Recommended practices – Assurance of external reports

1. The board should assume responsibility for the integrity of external reports issued by the company by setting the direction for how assurance of these should be approached and addressed.
2. The board's direction in this regard should take into account legal requirements in relation to assurance (e.g. financial statements to be externally audited) with the following additional considerations:
 - whether assurance should be applied to the underlying data used to prepare a report, or to the process of presenting a report, or both
 - whether the nature, scope and extent of assurance are suited to the intended audience and purpose of a report
 - whether the specification of applicable criteria for the measurement or evaluation of the underlying subject matter of the report has been done (see note (a) below).
3. The board should satisfy itself that the combined assurance model is effective and sufficiently robust to be able to place reliance on the combined assurance underlying the statements the board makes about the integrity of the company's external reports, in other words, does the quality of the combined assurance model justify the board's confidence in the integrity of the reports?

4. **Disclosure.** External reports should disclose information about the type of assurance process applied to each report in addition to the independent external audit opinions required in terms of legislation. This information should include:
- a brief description of the nature, scope and extent of the assurance functions, services and processes underlying the preparation and presentation of the report
 - a statement by the board on the integrity of the report and the basis for this statement.

Note (a): As we have seen, the board of a company will want to ensure that reports issued by the company have integrity. This means that the reports are reliable (i.e. valid, accurate and complete) and useful (i.e. the reports reflect relevance, consistency and measurability). Users also want to be appropriately assured of a report's integrity. However, assurance cannot be given without providing some set of standards against which the assurance is measured. In the case of annual financial statements, this is reasonably straightforward – an external auditor provides assurance that the financial statements are fairly presented in terms of the *reporting standards of IFRS* and the requirements of the Companies Act 2008. The auditor also knows what he is required to do to be in a position to give that assurance, namely that he must comply with the *auditing standards*. For other reports, such as an environmental report or a report on the company's social responsibility performance, there may be no overriding standards/criteria that must be complied with. Thus, the audit committee is tasked with "applying its mind to *assurance requirements* over reports" and how "*overseeing of assurance provided*" will be carried out.

Recommended practices – Internal audit

1. The board should assume responsibility for the internal audit by setting the direction for the internal audit arrangements needed to provide objective and relevant assurance that contribute to:
 - the effectiveness of governance
 - risk management
 - control processes.
2. The board should delegate oversight of internal audit to the audit committee.
3. The board should approve an internal audit charter which defines:
 - the role and responsibilities of the internal audit
 - the authority of the internal audit
 - the role of the internal audit within combined assurance
 - the internal audit standards to be adopted.
4. The board should ensure that the arrangements for the internal audit:
 - provide the necessary skills and resources to address the complexity and volume of risk faced by the company
 - ensure the internal audit is supplemented as required by specialist services by, for example, forensic fraud examiners, safety assessors, etc.
5. With regard to the chief audit executive (CAE):
 - The CAE should function independently from management, which designs and implements controls.
 - The CAE should carry the necessary authority.
 - The CAE's appointment, employment contract and remuneration should be approved by the board.
 - The board should ensure that the individual appointed has the necessary competence, gravitas (seriousness and decorum) and objectivity.
 - For reasons of independence, the CAE:
 - should have access to the chairperson of the audit committee
 - should *not* be a member of executive management but should be invited to attend executive meetings.
 - The CAE should report functionally to the chairperson of the audit committee and administratively to a member of the executive management.
 - Where internal audit services are co-sourced or outsourced, the board should ensure clarity on who fulfils the role of CAE.

- The board should have primary responsibility for the removal of the CAE.
 - The board should obtain annual confirmation from the CAE that the internal audit conforms to the profession's code of ethics.
6. The board should monitor, on an ongoing basis that the internal audit:
- follows the approved risk-based internal audit plan
 - reviews the organisational risk profile regularly and proposes adaptations to the audit plan accordingly.
7. The board should ensure that the internal audit provides an *annual* overall statement about the effectiveness of the company's *governance*, *risk management* and control processes.
8. The board should ensure that an external, independent quality review of the internal audit function is conducted at least once every *five years*.
- Note (a): King IV confirms that the internal audit plays a pivotal role in corporate governance, and that an internal audit function should strive for excellence. Change, the complexity of business, organisational dynamics and a more stringent regulatory environment require that (large) companies maintain an effective internal audit function.
- Note (b): Internal audit services may be provided by a department within the company itself, or may be outsourced; for example, many large auditing firms provide internal audit services to non-audit clients.
- Note (c): The internal audit's key responsibility is to the board through the audit committee. It assists the board in discharging its governance responsibilities by:
- performing reviews of the company's governance process, including ethics
 - performing an objective assessment of the adequacy and effectiveness of risk management and internal controls
 - systematically analysing and evaluating business processes and associated controls
 - providing a source of information regarding fraud, corruption, unethical behaviour and irregularities.
- Note (d): The internal audit function should adhere to the Institute of Internal Auditors Standards for the Professional Practice of Internal Auditing and Code of Ethics.
- Note (e): The audit committee should ensure that the internal audit:
- brings a systematic, disciplined approach to its function, which results in
 - an ongoing improvement to risk governance and the control environment.
- Note (f): The audit committee should ensure that the internal audit follows a *risk-based* internal audit plan.
- A compliance-based approach to internal audit sets out to determine whether or not the company is complying sufficiently with internal controls and other rules and regulations. This was not regarded as sufficiently productive by King III and the recommendation (which has been confirmed by King IV) was that internal audit be risk based, that is, that the internal audit function gains a thorough understanding of the risks which the business faces as well as considering whether there are risks which have not been identified, and then conducts tests to determine that an appropriate risk management process is in place and being properly conducted. This does not mean that there will be no "internal control or other compliance testing". This will still occur as part of the overall function of the internal audit.
 - A risk-based audit approach to internal audit (as opposed to a compliance-based approach) should be adopted. An audit plan should be developed and discussed with the audit committee. The plan should:
 - address the full range of risks facing the company; for example, strategic, operational, financial, ethical, fraud, IT, human and environmental
 - identify areas of high priority, the greatest threat to the company, risk frequency and potential change
 - indicate how assurance will be provided on the risk management process and how the plan reflects the level of maturity of the risk management process. Note: The more mature (developed, effective, and well-implemented) the risk management process, the more

comprehensive the plan can be – it is very difficult to give assurance on an immature risk management process

- have any changes to it timeously approved/ratified by the audit committee.

Note (g): The CAE will set the tone of the internal audit function and should have at least the following attributes:

- strong leadership
- command respect for his competence and ethical standards
- be a strong communicator, facilitator, influencer, networker and innovator
- have a practical approach
- be able to think strategically and have strong business analysis skills.

4.2.4.6 Stakeholder relationships

Principle 16. In the execution of its governance role and responsibilities, the board should adopt a stakeholder-inclusive approach that balances the needs, interests and expectations of material stakeholders in the best interests of the organisation over time

Recommended practices – Stakeholder relationships

1. The board should assume responsibility for the governance of stakeholder relationships by setting the direction for how stakeholder relationships should be approached and conducted.
2. The board should approve policy that articulates and gives effect to the direction on stakeholder relationships.
3. The board should delegate to management, the responsibility for implementation and execution of effective stakeholder relationship management.
4. The board should exercise ongoing oversight of stakeholder relationship management and oversee that it results in the following:
 - methodologies for identifying individual stakeholders and stakeholder groupings (see note (a) below).
 - determination of *material* stakeholders based on the extent to which they affect, or are affected by, the activities, outputs and outcomes of the company.
 - management of stakeholder risk as an integral part of company risk management, for example the risk of causing harm to a community due to pollution from production
 - formal mechanisms for engagement and communication with stakeholders (see note (g) below), including the use of *dispute resolution mechanism and associated processes* (see note (h) below)
 - measurement of the quality of material stakeholder relationships and responses to the outcomes (of the measurement exercise).
5. The board should ensure that the company encourages proactive engagement with shareholders, including engagement at the AGM.
6. All directors should be available at the AGM to respond to shareholder's queries on how the board executed its governance duties.
7. The board should ensure that the designated auditor (external) attends the AGM.
8. The board should ensure that the shareholders are equitably treated and that the interests of minorities are protected.
9. The minutes of the AGMs of listed companies should be made public.
10. **Disclosure.** The following should be disclosed:
 - an overview of arrangements for governing and managing stakeholder relationships
 - key areas of focus during the reporting period
 - actions taken to monitor the effectiveness of stakeholder management and how the outcomes were addressed
 - future areas of focus.

- Note (a): Stakeholders in a company go well beyond the obvious, for example shareholders and employees. Stakeholders are any group that can affect or be affected by the company, and include shareholders, employees, creditors, lenders, suppliers, customers, regulators, the media, analysts, the community in which the company may operate, etc. A company does not operate in a vacuum – it is a widely interactive entity. The board should therefore identify stakeholders to ensure that they are accommodated in the reporting process.
- Note (b): A particular stakeholder group's effect on the company may be direct or indirect. For example, it is reasonably obvious that a long-term strike will directly affect the operations of the company (and hence sustainability); it is less obvious that there may be an indirect negative effect on the reputation of the company (perceived to be a poor employer), which may also affect its ability to create value sustainably because it cannot attract quality staff.
- Note (c): The stakeholder-inclusive corporate governance approach aims to manage the relationship between a company and its stakeholders. Such an approach will have a good chance of enhancing stakeholder confidence, relieving tensions and pressures, enhancing/restoring the company's reputation, and aligning differing expectations, ideas and opinions on issues. This increases social and relationship capital.
- Note (d): Managing stakeholder relations should be proactive. It is mainly about communication (and constructive engagement) both formal (AGM, meetings with regulators) but can also be through informal processes, such as social functions, websites, media, "feedback" sessions to the community, employees, etc.
- Note (e): Essentially, this principle requires that companies promote positive, constructive stakeholder activism. Obviously, the board needs to act in the company's best interests and must guard against activism that seeks to damage the company's operations or reputation. For example, a disgruntled journalist may seek to damage the company by constant negative reporting. The board will need to react carefully to this to ensure that the journalist's cause is not strengthened by, for example, aggressive personal attacks in the media on the journalist.
- Note (f): The major stakeholders and the underlying factors on which the relationships with these stakeholders should be built are as follows:

Suppliers:

- It is in the company's interest to have stable suppliers who supply products or services of the necessary quality at an acceptable price when required.
- This is especially important for suppliers of strategic products or services; for example, a sugar milling company is entirely reliant on its transport supplier to deliver sugar cane to the mill if it has outsourced this function. Equally, the transport company will have invested heavily in capital expenditure and needs the contract with the sugar milling company to remain in business.
- A mutually beneficial relationship contributes to the sustainability of both companies.

Creditors:

- These are stakeholders to whom the company owes money. The company should be mindful that creditors, if not paid, have the power to have business rescue processes imposed on the company and, in more severe situations, have the company liquidated.
- Creditors should be managed accordingly, paid on time at the correct amount. Payment terms should be fair to both parties.
- Creditors are usually suppliers either of goods, services or finance and a mutually beneficial relationship should be developed. For example, a supermarket chain should not push its payment terms for smaller suppliers to 120 days when they should be 60 days, just because it has the power to do so, knowing that the small supplier depends on the supermarket chain.

Employees:

- Employees are arguably the most important asset the business has and are very often the difference between successful and unsuccessful businesses.
- Companies should engage their employees in improving the business, ensuring that employees at all levels benefit from the improvement: for example, incentive schemes, bonuses, etc.

- The company should also ensure that employees can develop their potential and capabilities by providing training, a healthy and safe working environment and the opportunity for employees to advance in the company.
 - Proper leadership, which includes strong communication with employees, is essential. Failing to manage employees properly may result in low morale, poor productivity and work quality, strikes, “go-slows”, or even sabotage. Good quality staff may be difficult to recruit and keep in the business.
- Government:**
- Although perhaps not obviously, government is very much a stakeholder.
 - A company should abide by the laws of the land and pay taxes due by it in whatever form the tax may be; for example, normal tax, VAT, import duties, etc. Where a company is required to comply with withholding tax provisions, it should do so.
 - *All* employees who deal with government (including local and provincial) and civil servants at any level should:
 - act in a manner which promotes mutual respect and co-operation
 - *not* engage in any form of corruption with government at large or any civil servant.
 - Companies should not give “major gifts” to politicians or other government officials and should consider carefully whether it is appropriate to make financial contributions to political parties or similar groupings.
- External auditors:**
- The company should not view the external audit function as an unnecessary cost or threat to, or imposition on, management.
 - There is little doubt that a properly conducted external audit is of real value to a company. It adds significant credibility to the financial statements and is an integral *independent* element of the combined assurance model. The audit may also be an early warning system of pending problems.
 - Essentially, the external auditor is appointed by and accountable to the shareholders, but in reality he indirectly benefits all stakeholders.
 - External audits work mainly with management and the audit committee, and company policy should promote co-operation between the parties, a free flow of information and an appreciation of the independence requirements of external audit.
- Consumers / customers:**
- The saying “the customer is king” has a great deal of truth to it. Without customers, the company is not sustainable – it cannot create value. Customers using the company’s products and services can range from individuals to government to large corporations.
 - For customers to respect a company, the company:
 - should market responsibly; for example, not glorify products that can be harmful to health, such as cigarettes, alcohol, certain food products
 - should communicate product information’ for example, content breakdown on foodstuffs, and safety precautions for electrical products
 - should not sell products that, for example, are harmful to the environment, customers’ health or that have been manufactured in labour “sweatshops” or under other adverse situations
 - should price goods fairly and in line with the quality of the goods.
- Industry:**
- A company’s sustainable development and value creation are dependent on other entities within its sphere of operations. A company should therefore acknowledge its responsibility to its industry as a whole.
 - To achieve this, a company should participate in or facilitate forums to address industry risks and opportunities, and most industries have such bodies.

- Companies should not engage in anti-competitive practices/price-fixing. It is against the law and counter-productive to the general economy and public. For example, price-fixing by fertiliser companies will result in substantial fines for the companies involved, considerable increases in fertilizer costs for farmers, and increases in food prices for the public.
- Local communities:**
- Every company operates in a community to some degree or another. A community may be dependent on the company and may have been created by the company; for example, a remote mining or forestry operation.
 - Looking after its community amounts to a company being a good corporate citizen and should be geared to enhancing the lives of local communities by health programs, schooling, sporting opportunities, etc.
- Media:**
- The media provides a window into the company for many stakeholders. Media companies employ financial journalists, many of whom have significant knowledge about the company and a platform to air their views.
 - It is important that a mutual relationship of trust be developed between the company and the media. If this is to be achieved, the company should be:
 - open to communication with the media
 - accurate and truthful with the information it provides to the media
 - professional in its approach; for example, not aggressive or condescending
 - objective when assessing reporting by the media; for example, not over-reacting when a journalist criticises the company.
 - Likewise, the reporting journalist should:
 - be knowledgeable and experienced
 - report accurately and fairly without sensationalism.
 - As with all forms of communication, the company is not expected to compromise its confidentiality standards or its competitive edge.
- Regulators:**
- A regulator is defined as a body that seeks compliance, either on a mandatory or voluntary basis, with a set of rules or regulations or a code. For example, the JSE “regulates” listed companies and most industries have bodies that regulate practices within their specific industries.
 - The relationship between a company and its regulators is similar to that between a company and government. The company should comply with regulations, pay any fees due, deal with the regulator’s employees with professionalism and not engage in dubious practices to circumvent a regulation such as attempting to bribe an official who is carrying out a regulatory health inspection.
- Potential investors:**
- Potential investors, namely those who may be seeking to invest as opposed to existing shareholders, will expect high standards of corporate governance, board integrity and confidence in the sustainability of the business of the company.
 - To enable potential investors to evaluate these aspects, clear and transparent disclosure should be available to them, possibly on a website, contained in media releases, etc. Frequently, large companies will meet with financial journalists and potential institutional investors (e.g. pension funds) to communicate this information.

Note (g): The board should oversee stakeholder relationship management to ensure that:

- it contributes to value creation and to achieving strategic objectives
- it includes an integrated stakeholder communications plan which:
 - uses digital and other communication platforms such as websites and cellphones, for example, for marketing and improving transparency and communication

- complies with standards and processes for developing content and sharing (disseminating) it: for example, approval of information to be sent out to stakeholders
- provides for gathering and analysis of information from relevant communication platforms to assess reputational risk and formulate responses; for example, following industry-related blogs and public reaction sites such as Twitter
- includes a plan for addressing communication in crises, like a bank having its system hacked
- it facilitates the measurement of the quality of stakeholder relationships
- it facilitates a dispute resolution mechanism as part of the terms and conditions of the company's contractual arrangements with employees and other stakeholders.

Note (h): **Dispute resolution.** Dispute resolution is an essential aspect of stakeholder relationships. Disputes can be internal (e.g. with an employee or shareholder) or external (e.g. with a supplier, customer, local community), and are simply a part of “doing business”. Obviously, disputes can be taken to court, but this is generally costly and time-consuming.

- In terms of the six capitals model, relationships are a form of capital and King IV makes the point that a dispute resolution process should be regarded as an opportunity, not only to resolve the dispute at hand, but also to maintain and enhance the social and relationship capital of the company.
- It is recommended practice that the board sets up mechanisms/processes to resolve disputes, for example, where a dispute arises with an employee, there must be a laid down procedure for that employee and the company to follow. Where there is a dispute (e.g. unlawful strike) with a labour union, an established legal procedure must be followed and the company must have processes in place to adhere to that procedure.
- **Alternative dispute resolution (ADR)** is now a widely accepted practice (and considered to be “good corporate governance”) that involves the parties to the dispute taking the matter to arbitration, adjudication or mediation. This essentially amounts to a party independent of the disputing parties hearing both sides of the dispute and “presenting a finding or solution”.

Note (i): The Companies Act 2008 recognises the principle of ADR for disputes arising out of Companies Act provisions. See section 156 and related sections.

- The directors should select a dispute resolution method that best serves the interests of the company. For example, going to court, arbitration or adjudication results in a judgment, whereas mediation or conciliation allows the disputing parties and an impartial and neutral third party to work together to resolve their dispute. This implies a settlement agreement rather than a handed down judgment.
- In deciding on which dispute resolution method to follow, the board should consider at least the following factors:
 - **Time available to resolve the dispute** – court proceedings can continue for years with postponements, appeals, etc. ADR can be concluded more promptly. It is usually in the interests of the disputing parties to resolve the matter speedily.
 - **Principle and precedent** – where the company wants a binding decision on an important matter of principle which will result in a precedent for any future disputes, court action is likely to be more suitable.
 - **Business relationships** – ADR, especially mediation/conciliation, is normally far more “friendly” than court proceedings. It is important to maintain good business relationships (sustainability) and mediation/conciliation is more likely to contribute to the continuation of good business relationships.
 - **Expert recommendations** – where the parties do not wish to go to court, but do not have the necessary expertise to devise a solution, an expert may be required to facilitate a solution. (This constitutes conciliation.)
 - **Confidentiality** – where confidentiality for the disputing parties is very important, ADR may be more suitable, as dispute resolution proceedings may be conducted in confidence.

- ***Rights and interests*** – as indicated in the point above, court proceedings, arbitration and adjudication result in the decision-maker (e.g. judge) imposing a resolution of the dispute on the parties based on the principles and rights applicable to the dispute. This will usually result in a narrow range of outcomes. Mediation and conciliation allow the parties a level of flexibility, innovation and creativity in fashioning a mutually beneficial solution.

For example: A court decision regarding a breach of contract between a company and its major supplier might impose a significant financial penalty on the supplier, which would be detrimental to the supplier and the business relationship between the two parties. Mediation or conciliation on the same dispute could result in no financial penalty but an agreement by the supplier to change its pricing policy and have the contract between the company and supplier redrafted.

- ***Empowerment of participants*** – if mediation or conciliation is to be promptly and successfully concluded, the personnel involved must be given the necessary powers to act.
- The success of ADR is mainly dependent on the willingness of the parties to resolve the dispute. Obviously, presentation skills, a thorough knowledge of the dispute's subject matter and a professional approach are prerequisites. Those who fall short of the "will and capacity" to resolve the dispute should be excluded. Thus the board should select the appropriate individuals to represent the company in ADR.
- As discussed earlier, it is becoming more and more common for companies to include an "alternative dispute resolution" clause in business contracts. This clause essentially commits both parties to ADR in the event of a dispute. It is interesting to note that the ADR clause recommended by the Institute of Directors and the Arbitration Foundation of South Africa includes the phrase "the parties (to the dispute) shall seek an amicable resolution to such dispute . . .". This will depend mainly on the attitude and will of the participants.

4.2.4.7 Responsibilities of institutional investors

Principle 17. The board of an institutional investor company should ensure that responsible investment is practiced by the organisation to promote good governance and the creation of value by the companies in which it invests

This principle is aimed at the boards of institutional investors; for example, unit trust companies, pension funds, etc.

Recommended practices – Responsibilities of shareholders

1. The board (of an institutional investor) should provide direction on responsible investment and ensure that it approves policy that formulates and facilitates its direction on responsible investment, that is, a policy which adopts recognised reasonable investment principles and practices.
2. The board should delegate the responsibility for implementing responsible investment to management or an outsourced service provider.
3. If the company (institutional investor) outsources any of its investment activities to service providers; for example, asset managers, the board should ensure that a formal mandate is in place that sets out the company's policy on responsible investment practices, and ensure that its service providers are held accountable for acting in terms of the mandate.
4. The institutional investor company should disclose the responsible investment code it has adopted.

4.2.5 Appendix 1

The 17 principles of the King IV Code and a brief summary of what the recommended principles cover

(Note: This has been compiled in the context of a company.)

<i>Principles: Leadership, ethics and corporate citizenship</i>	<i>Summary of what the recommended practices cover</i>
1. The board should lead <i>ethically and effectively</i> .	1.1 Characteristics which the directors should cultivate and exhibit to lead ethically and effectively.
2. The board should <i>govern the ethics</i> of the company in a way that supports the establishment of an <i>ethical culture</i> .	2.1 Setting and approving codes of conduct. 2.2 Communicating codes of conduct to stakeholders (including employees). 2.3 Overseeing whether the <i>desired</i> results of managing ethics are being achieved. 2.4 Disclosure requirements relating to organisational ethics.
3. The board should ensure that the organisation is and is seen to be a <i>responsible corporate citizen</i> .	3.1 Overseeing that the company's core purpose and values, strategy and conduct are congruent with responsible corporate citizenship in relation to: • the workplace • the economy • society • the environment. 3.2 Disclosure in relation to corporate citizenship.
<i>Principles: Strategy, performance and reporting</i>	
4. The board should appreciate that the company's core purpose, its risks and opportunities, strategy, business model, performance and sustainable development are all <i>inseparable elements</i> of the <i>value creation process</i> .	4.1 The factors against which the strategy should be measured/challenged before approval.
5. The board should ensure that <i>reports</i> issued by the company enable stakeholders to make <i>informed assessments</i> of the company's performance and its short-, medium- and long-term prospects.	5.1 Determining the reporting frameworks to be used. 5.2 Complying with legal requirements and meeting the information needs of material stakeholders. 5.3 Annual issue of an integrated report. 5.4 The integrity of external reports. 5.5 Materiality for the purposes of deciding what should be included in external reports.
<i>Principles: Governing structures and delegation</i>	
6. The board should serve as the <i>focal point and custodian</i> of corporate governance in the company.	6.1 How the board exercises its leadership role. 6.2 Creating a board charter. 6.3 External professional advice protocols. 6.4 Disclosures in relation to the board's role and responsibilities.
7. The <i>board should comprise</i> the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance role and responsibilities objectively and effectively.	7.1 Composition of the board • factors in determining the number of directors; for example, mix of knowledge, skills, diversity • non-executive/independent non-executive directors • rotation and succession 7.2 Nomination, election and appointment of directors to the board. 7.3 Independence and conflicts: • factors to consider when classifying a director as an <i>independent</i> non-executive director.

continued

<i>Principles: Leadership, ethics and corporate citizenship</i>	<i>Summary of what the recommended practices cover</i>
	7.4 Disclosure of the composition of the board. 7.5 Disclosure of the composition and the lead independent non-executive director's: • role and responsibilities • membership and positions on board committees • succession plans. 7.6 Disclosures relating to the chair.
8. The board should ensure that its arrangements for <i>delegation within its own structures</i> promote independent judgement, and assist with the balance of power and the effective discharge of its duties.	8.1 Delegation to, and formal terms of reference for, board committees. 8.2 Roles, responsibilities and composition of: • audit committees • nomination committees • risk-governance committees • remuneration committees • social and ethics committees. 8.3 Disclosures relating to committees both general and specific.
9. The board should ensure that the <i>evaluation of its performance</i> and that of its committees, its chairpersons and its individual members, support continued improvement in its performance and effectiveness.	9.1 Who should conduct the evaluations. 9.2 Frequency of evaluations. 9.3 Disclosure in relation to the evaluations.
10. The board should ensure that the <i>appointment of, and delegation to, management</i> contribute to role clarity and the exercise of authority and responsibilities.	10.1 The appointment of a chief executive officer: • role and responsibilities • membership and positions on board committees • additional professional positions • succession plans. 10.2 Disclosure relating to the CEO. 10.3 Delegation of powers and authority to management. 10.4 Key management functions. 10.5 Company secretary/corporate governance professional: • appointment and removal • access and independence • authority and powers • qualities • evaluation. 10.6 Disclosure relating to the position.
11. The board should govern <i>risk</i> in a way that supports the company in setting and achieving its strategic objectives.	11.1 Setting and approving risk strategy/policy. 11.2 Risk appetite/loss tolerance. 11.3 Overseeing whether the <i>desired</i> results of managing risk are being achieved. 11.4 Disclosures relating to risk and opportunity.
12. The board should govern <i>technology and information</i> in a way that supports the company setting and achieving its strategic objectives.	12.1 Setting and approving technology and information risk strategy/policy. 12.2 Overseeing whether the <i>desired</i> results of technology and information technology management collectively, and of its two components separately, are being achieved. 12.3 Disclosures relating to technology and information.

continued

<i>Principles: Leadership, ethics and corporate citizenship</i>	<i>Summary of what the recommended practices cover</i>
13. The board should govern <i>compliance</i> with applicable laws and adopted non-binding rules, codes and standards in a way that supports the company being ethical and a good corporate citizen.	13.1 Setting and approving compliance policy. 13.2 Delegating compliance management to management 13.3 Overseeing whether the <i>desired</i> results of managing compliance are being achieved. 13.4 Disclosures relating to compliance.
14. The board should ensure that the company <i>remunerates fairly, responsibly and transparently</i> so as to promote the achievement of strategic objectives and positive outcomes in the short-, medium- and long-term.	14.1 Setting and approving remuneration policy. 14.2 The objectives of a remuneration policy. 14.3 Elements of remuneration to be included in the policy. 14.4 The Remuneration Report must contain: • a background statement • an overview of the remuneration policy • an implementation report. 14.5 Voting on remuneration.
15. The board should ensure that <i>assurance services and functions</i> enable an <i>effective control environment</i> , and that these support the <i>integrity of information</i> for internal decision-making and the organisation's external reports.	15.1 Delegation to the audit committee. 15.2 The combined assurance model. 15.3 Different categories of assurance service-providers and functions. 15.4 Objectivity and scepticism in the assessment of assurance. 15.5 The integrity of external reports. 15.6 Disclosures relating to the nature, scope and extent of the assurance process applied to each report. 15.7 The internal audit must show: • delegation to the audit committee • an approved charter (role and responsibilities) • provision of skills and resources to the IA • details of the chief audit executive's: – appointment, remuneration, removal – lines of reporting, access and independence • a risk-based internal audit plan • an annual statement on the effectiveness of control processes • quality review of internal control. Note: Internal audit disclosures are covered under audit committees.
16. In the execution of its governance role and responsibilities, the board should adopt a <i>stakeholder-inclusive approach</i> that balances the needs, interests and expectations of material stakeholders with the best interests of the company over time.	16.1 Setting and approving a policy for stakeholder relationships. 16.2 Delegation to management. 16.3 Overseeing whether the <i>desired</i> results of stakeholder relationship management are achieved. 16.4 Disclosures relating to stakeholder relationships. 16.5 Shareholder relationships. 16.6 Relationships within a group.
17. The board of an <i>institutional</i> investor should ensure that responsible investment is practiced by the company to promote good governance and the creation of value by the companies in which it invests.	17.1 Setting, approving and implementing a policy for responsible investing. 17.2 Disclosure of the responsible investment code.

The audit process, audit quality and pre-engagement activities

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5.1 Introduction

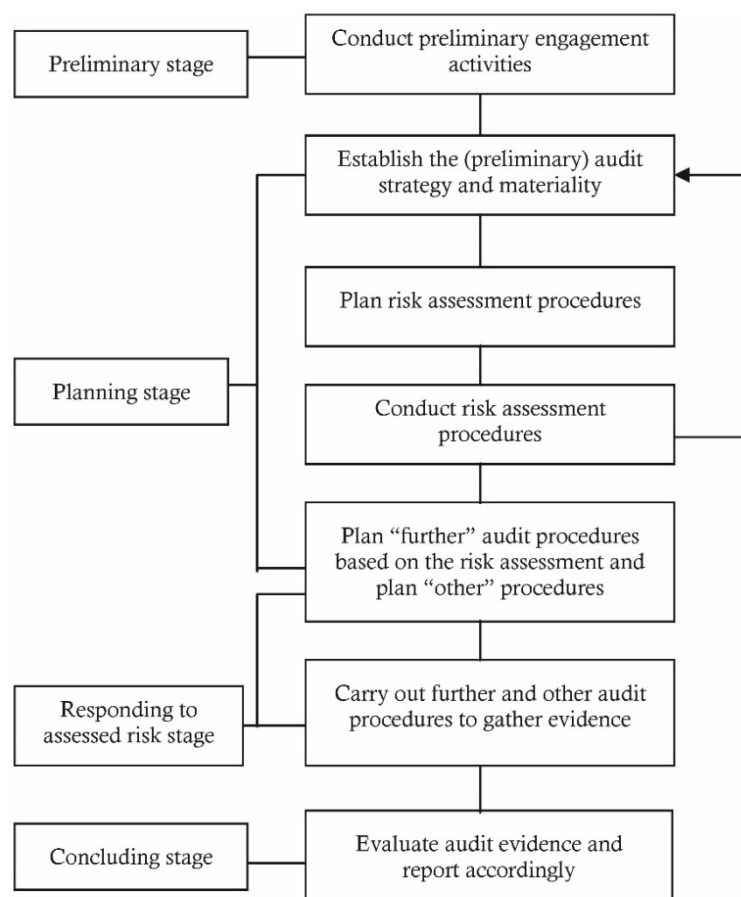
This chapter, and chapters 6 and 7, are interrelated and should be studied in conjunction with each other to obtain a solid understanding of the audit process.

This chapter provides a comprehensive overview of the audit process, offers a broad perspective and delves into certain key stages or aspects within those stages, while chapter 6 provides an in-depth discussion of the planning phase. Before delving into pre-engagement activities, we first examine the essential elements that must be taken into account and incorporated into the audit process to ensure a high-quality audit. These elements integrate into all stages of the audit and underpin its overall effectiveness.

Once you have an idea of what is involved overall, you will better understand how the detail fits in. Remember that the auditor's objective is to be in a position to form an opinion on whether the financial statements fairly present, in all material respects, the financial position of the company at a particular point in time, and the results of its operations for a period that ended at that point in time. The auditor goes through a process to achieve this objective.

5.2 The audit process

5.2.1 Diagrammatic representation of the stages within the audit process:



Note: This diagram should only be used to obtain an overview of the audit process. The diagram provides a basis on which to understand the requirements of the International Standards on Auditing (ISA). The stages of the audit are not "stand alone units" and the activities within each stage do not always fit neatly into the order presented. The different aspects or activities within planning are far more interrelated and dependent on each other, than is reflected in the diagram and the order in which they occur is not as clear cut.

For example, the audit strategy may change once risk assessment procedures have been carried out. Risk assessment procedures cannot be planned until a materiality level has been set but the materiality level may also change once the risk assessment procedures have been carried out, or even as they are being carried out.

Even when carrying out planned procedures, the auditor might decide to change the plan to respond to new information. Neither the audit strategy nor the audit plan is static; they will change as the audit unfolds.

The above chart and brief narrative for each stage below should provide you with a basic understanding of the audit process; the more detailed discussions that follow in the rest of chapter 6 and in chapter 7 will then be placed in context.

5.2.1.1 Preliminary stage

This stage consists of what are termed preliminary engagement activities (or pre-engagement activities) that take place before an audit engagement can be accepted. These include:

- establishing whether the pre-conditions for an audit are present
- performing procedures to determine whether the audit firm wishes to establish (in the case of a prospective client), or continue (in the case of an existing client) the client relationship
- establishing whether we can provide the client with the appropriate service and at the correct assurance level required (i.e., can the auditor perform the audit properly?)
- evaluating whether the firm is able to comply with the ethical requirements relating to the engagement, (e.g., is there a threat to independence?), and
- establishing an understanding of the terms of the engagement including confirming that there is a common understanding between the auditor and management, and those charged with governance, of the terms of the audit engagement. (Issue an engagement letter to the client to document the understanding).

5.2.1.2 Planning stage

As you can see from the diagram, this stage has a number of activities within the stage itself. They are:

- establishing the audit strategy – this will be a preliminary overall idea of what the scope, timing and direction (focus) of the audit will be and what resources (skills, number of staff, etc.) will be needed on the audit
- considering materiality – this entails the auditor making a judgement about the size of misstatements that will be considered material
- planning risk assessment procedures – this entails planning the audit procedures that will be conducted to obtain an understanding of the entity and its environment, the applicable Financial Reporting Framework and the entity's system of internal control, in order to be in a position to identify and assess the risk of material misstatement
- conducting risk assessment procedures – this entails carrying out the planned risk assessment procedures and, thereafter, based on the understanding we obtained, identifying and assessing the risk of material misstatement,
- identifying and assessing the risk(s) of material misstatement – this entails identifying and assessing the risk(s) of material misstatement at the overall financial statement-level and at the assertion level, and
- planning “further” and “other” audit procedures (responding to the identified and assessed risk(s) of material misstatement) – this amounts to planning the “further” procedures that will be conducted to address the identified risks, in such a manner that audit risk (the risk of giving an inappropriate opinion) is reduced to an acceptable level, and planning “other” procedures necessary to satisfy the requirements of the ISAs (this is explained below).

Note (a): The auditor in effect develops *two* audit plans, or perhaps, to be more correct, one audit plan with two sections. Either way:

- **Plan 1** will describe the nature, timing and extent of procedures to *identify and assess risk*.
- **Plan 2** will describe the nature, timing and extent of *further audit procedures* that are needed to respond to the risks identified at the assertion level.
- **Plan 2** will also describe *other audit procedures* that must be carried out to ensure that the audit complies with the ISAs. To illustrate, if part of our audit strategy is to make use of internal auditors, we must plan procedures to comply with ISA 610 (Revised) – Using the work of Internal Auditors. For example, we must carry out procedures to evaluate the internal auditors before we can rely on them. These will not be “further procedures” *directly* related to the risk assessment but rather procedures arising from our duty to comply with the ISAs.

- Note (b): Making the distinction between “further” and “other” procedures is not particularly important, getting the overall response right and conducting the procedures properly is far more important.
- Note (c): The audit strategy will be affected by the identification and assessment of the risk of material misstatement. As indicated earlier, the audit strategy is initially based on preliminary knowledge about the audit and the client. When identifying and assessing the risk of material misstatement, the audit team will discover information that may change the audit strategy. Neither the strategy nor the plan is static; they will change as the audit unfolds.
- Note (d): Obviously it is impossible to develop an effective audit plan for *further* audit procedures and *other* procedures before the risk assessment procedures have been carried out, so for purposes of simplifying the audit process, we will regard the identification and assessment of the risk of material misstatement as part of the planning stage.
- Note (e): The setting of materiality guidelines, that are the auditor’s judgements about the size of misstatements that will be considered material, must be carried out before risk assessment procedures take place but may also change as the audit unfolds.

5.2.1.3 Responding to the risk of material misstatement

ISA 330 – The auditor’s responses to assessed risk, states that the auditor should obtain sufficient, appropriate audit evidence regarding the assessed risks of material misstatement through designing and implementing appropriate responses to those risks. The auditor’s first “response” to assessed risk is to *plan* “further” and “other” audit procedures (so this response has been linked to planning in the diagram) and thereafter to:

- respond in a general sense to assessed risk at *financial statement level*, for example, assigning appropriately experienced and skilled individuals to the audit team to execute the plan
- respond specifically to assessed risk at *assertion level* by *carrying out* tests of controls and substantive tests so as to gather sufficient, appropriate evidence that material misstatement has not gone undetected, and
- *carry out* those “other” procedures that are required to comply with the ISAs. Again, these are not clearly defined “stand alone” steps; they combine with and influence each other.

5.2.1.4 Concluding stage

This stage of the process consists of:

- evaluating and concluding on the audit evidence gathered – this means evaluating all the audit evidence gathered to determine whether it is sufficient (enough) and appropriate (relevant and reliable) to draw a conclusion of fair presentation, and
- formulating the audit opinion and drafting the audit report that conveys that opinion.

5.2.2 The role of the International Standards on Auditing (ISAs) in the audit process

South Africa has adopted the IFAC auditing standards (ISAs). The standards provide guidance on how the audit process is to be conducted. The statements in which the standards are documented do not contain detailed lists of procedures. They stipulate an objective and provide explanatory comment on how the standard should be achieved. There are standards that are directly applicable to each stage of the audit, for example, (this list is by no means exhaustive):

Preliminary stage	ISA 210	– Agreeing the terms of audit engagements
	ISA 220	– Quality management for an audit of financial statements
Planning stage	ISA 300	– Planning an audit of financial statements
	ISA 315	– Identifying and assessing the risks of material misstatement (revised)
	ISA 320	– Materiality in planning and performing an audit
Responding to risk stage	ISA 330	– The auditors responses to assessed risks
	ISA 500	– Audit Evidence
	ISA 530	– Audit Sampling
Concluding stage	ISA 450	– Evaluation of misstatements identified during the audit
	ISA 700	– Forming an opinion and reporting on financial statements
	ISA 705	– Modifications to the opinion in the independent auditor’s report

The important thing to remember about the ISAs is that they set the standards to which the auditor must adhere. If an auditor is accused of being negligent in the performance of his duties, his best defence is to be able to prove that he complied with the standards in an appropriate manner.

5.3 Quality management for an audit of financial statements – ISA 220 (revised)

Before considering the detailed aspects of the audit process it is necessary to gain an understanding of ISA 220 that deals with quality management for an audit of financial statements. It is of the utmost importance that all stages of the process are carried out with a high level of competence and compliance with the standards that are expected of a “professional” accountant. To ensure that this happens, audit firms are required to put in place policies and procedures so that the desired quality standards are achieved for all aspects of the audit. Quality management, when performing audits, is not only motivated by a need and desire to offer a highly professional and meaningful service, but is also the most effective safeguard against the risk of the auditor being sued for negligence by a client. Two statements are relevant here ISA 220 – Quality management for an audit of financial statements, and ISQM1 – Quality management for firms that perform audits or reviews of financial statements, or other assurance or related services engagements.

ISA 220 seeks to provide guidance on the specific responsibilities of a firm’s personnel regarding quality control procedures for audit engagements. In effect, the statement places a responsibility on the *engagement partner* and a collective responsibility on the *engagement team* to conduct a quality audit within the context of the firm’s system of quality management. Every team needs a captain to take charge and, in terms of ISA 220, the *engagement partner* fulfils this role.

5.3.1 Leadership responsibilities for managing and achieving quality on audits

The engagement partner (designated auditor – Auditing Profession Act of 2005 (APA)) is required to take overall responsibility for managing and achieving quality on the audit engagement. The engagement partner should also take responsibility for creating an environment that emphasises the firm’s culture (that demonstrates a commitment to quality) and expected behaviour of engagement team members (by communicating directly with the team members and by leading through example). It is expected of the engagement partner to be sufficiently and appropriately involved from the planning phase to the concluding phase of the audit to ensure that he/she can determine the appropriateness of significant judgements made and conclusions reached, as they relate to the nature and circumstances of the audit (this can be achieved by taking responsibility for, and varying, the nature, timing and extent of the direction and supervision of the team and the review of their work).

In creating an environment described above, the engagement partner should take responsibility for actions that reflect the firm’s commitment to quality. The engagement partner should also take responsibility for setting the expectations for the engagement team’s behaviour and communicating the expected behaviour. In doing this, the engagement partner should emphasise:

- that all engagement team members are responsible for contributing to the management and achievement of quality
- the importance of professional ethics, values and attitudes
- the importance of open and robust communication within the engagement team, and supporting the ability of engagement team members to raise concerns without fear of reprisal, and
- the importance of each engagement team member exercising professional scepticism throughout the audit engagement.

Even when assigning certain aspects of the audit, such as the design or performance of procedures, to other members of the engagement team, the engagement partner remains ultimately responsible for managing and achieving quality on the audit through direction and supervision and review of their work.

5.3.2 Relevant ethical requirements, including those related to independence

An essential requirement for achieving quality on the audit is that the engagement team apply the highest level of professional ethics, the fundamental principles of which include:

- integrity (self-honesty)
- objectivity (independent thought, freedom from bias)

- professional competence and due care
- confidentiality, and
- professional behaviour.

The engagement partner should have an understanding of relevant ethical requirements, and although it is the responsibility of the firm to recruit employees who display and believe in these fundamental principles, it is the responsibility of the engagement partner to ensure the engagement team's awareness of relevant ethical requirements as well as the firm's policies and procedures. These requirements, policies and procedures also include those related to:

- threats to compliance with relevant ethical requirements, including those related to independence
- circumstances that may cause a breach of relevant ethical requirements, including those related to independence
- the responsibilities of members of the engagement team when they become aware of such breaches, and
- the responsibilities of members of the engagement team when they become aware of an instance of non-compliance with laws and regulations by the entity.

Equally important is the engagement partner's duty to be alert to evidence of non-compliance by the engagement team. If any such evidence is obtained, the engagement partner should follow the firm's policies and procedures, including communicating and consulting with the relevant parties (e.g., appropriate individuals, those charged with governance, regulatory authorities or professional bodies).

A clear duty is placed on the engagement partner to:

- obtain relevant information from the firm to identify and evaluate circumstances and relationships that create threats to independence (e.g., if the proposed manager of the audit team is married to the client's financial controller)
- evaluate any potential breaches to determine whether they present a threat to the firm's independence that is *not* clearly insignificant. In the example in the first point above, the threat would be significant
- take appropriate action to eliminate or reduce the threat to an acceptable level. (In the example in the first point above, the appropriate action would be to leave the proposed manager off the engagement team), and
- document conclusions on the independence of the audit team.

Lastly, before dating the audit report, the engagement partner should take responsibility for ensuring that all ethical requirements have been fulfilled, including those related to independence.

5.3.3 Acceptance and continuance of client relationships and audit engagements

It is the duty of the audit firm to have policies and procedures in place regarding the acceptance and retention of clients, for example, there should be procedures to determine whether the directors of a potential audit client have integrity. This duty is extended to the engagement partner who is responsible for determining that these policies and procedures are followed, and that adequate conclusions are reached. The engagement partner should, among other things, consider information relating to:

- the integrity and ethical values of the principal owners, key management and those charged with governance of the entity (client integrity)
- whether sufficient and appropriate resources are available to perform the engagement
- whether management and those charged with governance have acknowledged their responsibilities in relation to the engagement
- whether the engagement team has the competence and capabilities, including sufficient time, to perform the engagement, and
- whether significant matters that have arisen during the current or previous engagement have implications for continuing the engagement.

If the engagement partner obtains information that would have caused the firm to decline the audit engagement had it had access to the information prior to accepting the engagement, the engagement partner should convey the information to the firm so that appropriate action can be taken. The directors may have seriously misled the firm as to the activities/operations of the company, a situation that is only discovered once the audit is underway. For example, the company is involved in frequent and regular

illegal acts ranging from foreign exchange contraventions and illegal import of counterfeit goods. In this instance the auditor would be required to meet its section 45 of the APA (Reportable Irregularities) duty, and would ultimately withdraw from the engagement.

5.3.4 Engagement resources

The engagement partner should be satisfied that sufficient and appropriate engagement resources are made available in a timely manner in order to perform an audit of the appropriate quality. Such resources may include human resources (e.g., the engagement team, experts, etc.), technological resources (e.g., IT applications) and intellectual resources (e.g., audit methodology). The engagement partner should determine whether the engagement team has the required competence and capabilities, and in doing so, will consider the team's:

- understanding of, and practical experience with, audit engagements of a similar nature and complexity through appropriate training and participation
- understanding of professional standards and applicable legal and regulatory requirements
- expertise in specialised areas of accounting or auditing
- expertise in IT used by the entity or automated tools or techniques that are to be used by the engagement team in planning and performing the audit engagement
- knowledge of relevant industries in which the entity being audited operates
- ability to exercise professional scepticism and professional judgement, and
- understanding of the firm's policies or procedures.

5.3.5 Engagement performance

The engagement partner is required to take responsibility for the direction, supervision and performance of the audit and a review of their work. His/her objective is to ensure that the audit has been carried out in compliance with professional standards, regulatory and legal requirements, and that sufficient appropriate audit evidence has been obtained to support the conclusions reached and the audit opinion to be given, i.e., the auditor's report being appropriate in the circumstances.

5.3.5.1 Direction

The engagement partner directs the audit engagement by informing the members of the engagement team of:

- their responsibilities (e.g., achieving quality, maintaining objectivity, adopting a suitable level of professional scepticism, ethics, supervision etc.)
- the nature of the entity's business
- the objectives of the work to be performed
- risk-related issues and potential problems, and
- the detailed audit strategy and audit plan.

5.3.5.2 Supervision

This includes the following:

- monitoring progress on the audit
- considering the capabilities and competence of the individual members of the team, whether they have the necessary time, whether they understand their instructions and are carrying them out in accordance with the audit strategy and plan
- addressing significant issues that arise in the audit, and modifying the audit strategy and audit plan appropriately
- identifying matters for consultation or consideration by more experienced members of the engagement team
- providing coaching and on-the-job training to help engagement team members develop skills or competencies, and
- creating an environment where engagement team members raise concerns without fear of reprisals.

5.3.5.3 Review

Review procedures are conducted on the basis that more experienced team members, including the engagement partner, review the work performed by less experienced team members. A reviewer will consider whether:

- the work has been performed in accordance with professional standards and regulatory and legal requirements
- significant matters have been raised for further consideration
- appropriate consultations have taken place (and recommendations implemented and documented)
- there is a need to revise the nature, timing and extent of audit work
- the work performed supports the conclusions reached and is adequately documented
- the evidence obtained is sufficient and appropriate to support the auditor's report, and
- the objectives of the audit procedures have been achieved.

Note: The engagement partner, in addition to his overall responsibility for the review process, must also carry out timely reviews of specific matters such as:

- critical areas of judgement applied on the audit, and
- significant risks and responses thereto.

5.3.6 Consultation and differences of opinion

Difficult or contentious issues frequently arise on an audit. It is the responsibility of the engagement partner to ensure that where such issues arise, they are resolved by consultation with appropriate persons either within the firm or external to it. The engagement partner should ensure that the nature, scope and conclusions resulting from consultations are *documented, confirmed* with the consultant and *implemented*.

Where differences of opinion arise out of difficult or contentious issues, the firm's policies and procedures for settling the difference should be followed, for example, engagement of additional experts, arbitration by a senior partner from another office of the firm.

5.3.7 Engagement quality review

An important requirement of ISA 220 (revised) is that for engagements that require a quality review (as in the case of the audit of a listed entity or in terms of the specified responses to the risks identified as part of the firm's risk assessment process, or by law or regulation), the firm should appoint an engagement quality reviewer (EQR) to conduct a quality review of the engagement before dating the auditor's report. The EQR can be an individual or audit partner in the firm or an external individual employed by the firm. ISQM 1 (as introduced in chapter 1) requires an engagement quality review for certain engagements and ISQM 2 deals with the quality reviewer's responsibilities, as well as the appointment and eligibility of such a reviewer.

5.3.7.1 Responsibilities of the engagement quality reviewer

The engagement quality review entails that the engagement quality reviewer must objectively review:

- the significant judgements made by the engagement team, and
- the conclusions reached in formulating the auditor's report.

In performing the engagement quality review as described above, the engagement quality reviewer must:

- obtain an understanding of the information communicated by the engagement team regarding the nature and circumstances of the engagement and the entity
- obtain an understanding of the information communicated by the firm related to the firm's monitoring and remediation process, especially information related to deficiencies that may affect areas involving significant judgements made by the engagement team
- discuss, with the engagement partner and members of the engagement team, significant matters and significant judgements made in planning, performing and reporting on the engagement
- based on the information obtained, review selected engagement documentation relating to significant judgements made and evaluate the basis for making those significant judgements, including the type of engagement, the exercise of professional scepticism and whether the conclusions reached are appropriate and supported by the documentation

- evaluate the engagement partner's basis for concluding that relevant ethical requirements relating to independence have been fulfilled
- evaluate whether appropriate consultation has taken place on difficult or contentious matters or matters involving differences of opinion and the conclusions arising from those consultations
- evaluate the engagement partner's basis for conceding that his/her involvement has been sufficient and appropriate throughout the audit to allow for the engagement partner to be satisfied that the significant judgements made and the conclusions reached are appropriate, given the nature and circumstances of the engagement
- review, for audits of financial statements, the financial statements and the auditor's report thereon, including the description of key audit matters, and
- for review engagements, review the financial statements or financial information and the engagement report thereon, or for other assurance and related services engagements, the engagement report, and when applicable, the subject matter information.

5.3.7.2 Appointment and eligibility of the engagement quality reviewer

An audit firm must have policies and procedures that, firstly, assign responsibility to an individual for the appointment of an engagement quality reviewer, and secondly, include detail of the criteria for eligibility for a person(s) to be appointed to the role of engagement quality reviewer. The person responsible for the appointment of the engagement quality reviewer must understand the responsibilities of an engagement quality reviewer and must have sufficient knowledge to establish the criteria for eligibility for appointment as engagement quality reviewer. Such a person must further have sufficient knowledge about the engagement requiring an engagement quality review, as well as the composition of the engagement team. The criteria for eligibility to be appointed to the role of engagement quality reviewer must include that the engagement quality reviewer:

- may not be a member of the engagement team (if the firm is very small, an outside person would then typically be appointed)
- must have the competence and capabilities (e.g., technical skills and experience, professional skills, etc.), including sufficient time, and the appropriate authority to perform the engagement quality review
- must comply with relevant ethical requirements, (including those in relation to objectivity and independence) of the engagement quality reviewer, and
- must comply with any applicable provisions of law and regulation.

5.3.8 Monitoring

Audit firms are required to put in place a process for monitoring and remediating their system of quality management to provide information about the design, implementation and operation of the system and to take appropriate actions to respond to identified deficiencies.

5.4 Stage 1: Preliminary engagement (pre-engagement) activities

5.4.1 Preconditions for an audit

In terms of ISA 210 – Agreeing the Terms of Audit Engagements, the objective of the auditor is to accept or continue an audit engagement only when the basis upon which it is to be performed has been agreed, through:

- establishing whether the pre-conditions for an audit are present, and
- confirming that there is a common understanding between the auditor and management and those charged with governance of the terms of the audit engagement.

Obviously if these two requirements cannot be established or confirmed, the auditor need go no further in considering accepting the engagement.

The preconditions for an audit are that:

- the financial reporting framework to be applied in the preparation of the financial statements to be audited is acceptable. In South Africa the framework (suitable criteria) will normally be IFRS or IFRS for SMEs, and

- the auditor obtains the agreement of management, that management *acknowledges* and *understands* its responsibility:
 - for the preparation and fair presentation of the financial statements in accordance with IFRS or IFRS for SMEs, whichever is appropriate for the company
 - for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement whether due to fraud or error, and
 - for providing the auditor with
 - * access to all information of which management is aware that is relevant to the preparation of the financial statements such as records,
 - * documentation and other matters, *including* additional information that the auditor may request from management for the purposes of the audit, *and*
 - * unrestricted access to individuals within the company from whom the auditor determines it necessary to obtain audit evidence.

5.4.2 Prospective clients and continuance with an existing client

Once it is satisfied that the pre-conditions for the audit have been met, the audit firm should determine whether it wishes to establish or continue a relationship with the prospective client. Remember that an audit firm is also a business, and therefore will not want to enter into a relationship if negative consequences are likely to flow. There are reasons that an audit firm may *not* wish to enter into a relationship with a prospective client:

- the client's management may appear to be unethical or lacking in integrity
- the audit firm may not wish to be associated with the "industry" or line of business in which the client operates, for example, tobacco, pornographic materials, businesses that pollute the environment
- the client may have a reputation for poor relationships with its auditors and there may be a high risk of the auditor being sued for negligent performance
- it may be a sound business decision *not* to take on the client, (e.g., the client does not want to pay the audit fee or is unable to), and
- the firm may not have the competence and resources to properly service the client.

Both the decisions about the pre-conditions for an audit and the desirability of the relationship will be far easier to answer when the decision is about continuing a relationship. However, the auditor will still give consideration to the above questions before continuing the engagement.

5.4.3 Compliance with Standards

Whether it be for a prospective or existing client, ISA 220 – Quality management for an audit of financial statements, requires that the engagement partner be satisfied that appropriate procedures regarding the acceptance and continuance of client relationships and audit engagements have been followed, and that conclusions drawn in this regard, are appropriate (see ISA 220 par A49 - A57). The engagement partner (firm) must:

- consider the *integrity* of the client's principal owners, key management and those charged with governance of the entity. This would include evaluating:
 - the business reputation of individuals described above, for example, principal owners
 - the client's business practices, including whether it could be involved in any criminal activities such as money laundering
 - the attitude of the individuals described above, for example, principal owners, to applying the "fairest" accounting standards as opposed to aggressively applying those that present the "most favourable picture"
 - the client's attitude to paying audit fees, for example, its willingness to pay fair fees, its aggressiveness in keeping fees low
 - the possibility that the client will attempt to impose limitations on the audit, for example, restrict access to certain information or individuals
 - the identity and business reputation of related parties, for example, subsidiary companies

- in the case of a prospective client, the reasons for the change of auditors, and
- management’s attitude to sound corporate governance requirements, for example, King IV
- determine whether the firm is **competent** to perform the engagement. This will require an assessment of whether the audit firm has:
 - personnel who have knowledge of the client’s industry and the necessary experience of relevant regulatory and reporting requirements
 - the necessary technical skills and competence within the firm, or the necessary access to other auditors or experts who do have the skills
 - the necessary resources. For example, taking on a new client may mean the audit firm has to employ more staff, particularly during busy periods such as year-end. Computer resources may also be an important consideration. Does the audit firm have sufficient hardware and software, as well as technical computer skills, to offer the service?
 - the personnel necessary to perform quality management reviews, and
 - the combined resources to meet the engagement reporting deadline, and
- determine whether the audit firm can comply with **ethical** requirements. This will require that the firm evaluate whether:
 - there are any (potential) conflicts of interest between the firm and the client, for example, a prospective client and the audit firm offer the same services to the same market, for example, IT consulting, software distribution
 - there are any threats to the independence of the firm, the engagement partner and the audit team (including external experts) and if adequate safeguards can be put in place to address any threats, and
 - any other situations that might lead to contraventions of the IFAC Code of Professional Conduct by any member of the audit team, for example, possible confidentiality threats where a prospective client is in direct competition with an existing client.

5.4.4 Establishing an understanding of the terms of the engagement (engagement letter)

This is the formalising of the terms of the engagement into the engagement letter that, in turn, is a reflection of the presence of the preconditions for the audit. It is not a matter of simply drafting the letter and having it signed. Important aspects of the engagement are spelled out in the letter, and it is important that the client (often represented by the audit committee), understands the terms. Whenever an auditor enters into an agreement to render services to a client, there is the possibility that the client (or the auditor) will misunderstand the nature of the engagement and the responsibilities of the parties involved. A client may not be entirely sure of what type of engagement is being undertaken. For example, the client may believe that an audit engagement that will result in an opinion given in a positive form, is being carried out, when in fact a review is being undertaken where a conclusion, expressed in a negative form, and not an opinion will be given. Clients may believe that the objective of an audit is to detect fraud, whilst others may be confused by terminology, for example, independent review, compilation engagement, agreed-upon procedure engagements, and so on! This issue has in prior years been referred to as the “Expectation Gap”; very simplistically this means that clients often do not understand what the audit, or other services being rendered, are about and therefore expect certain assurances that they will not receive.

With the introduction of the “public interest score” concept, there is likely to be more confusion on the part of some private company and close corporation clients who don’t understand why they should have to be audited or, in the case of a private company, whether they are being audited or independently reviewed.

ISA 210 – Agreeing the terms of audit engagements, establishes and provides guidance on the “engagement letter standard” stating that “*the auditor shall agree the terms of the audit engagement with management or those charged with governance*”. Note that this does not mean that the client negotiates with the auditor on what to do or how to do it. It is still the right and duty of the auditor to decide how the audit will be conducted. The ISA also states that the agreed terms of the audit engagement shall be recorded in an audit engagement letter.

The engagement letter is not a case of “one document fits all”; audits differ in extent and complexity, and have different terms and conditions. ISA 210 paragraphs 10, A23, A23a and A24 provide guidance on what should be included in an engagement letter as well as additional matters that could be included

depending on the circumstances of the audit. The following matters (points (a) to (e)), as a minimum, should be included in the engagement letter:

- (a) The *objectives* of the audit should be clearly stated, namely, to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement whether due to error or fraud *and* to issue an auditor's report that includes our opinion.
- (b) The *scope* of the audit should be conveyed by identifying the financial statements on which the opinion will be expressed and what they comprise, for example, statement of financial position, statement of cash flows, etc. Reference may also be made to any legislation or regulations that may influence the scope of the audit, for example, the Companies Act 2008 or the JSE requirements for the audit of listed companies.
- (c) The *responsibilities of the auditor*, including:
 - a statement that the audit will be carried out in terms of the ISAs and that the ISAs require that the auditor comply with ethical requirements and that *professional judgement* will be exercised and *professional scepticism* will be maintained throughout the audit
 - a statement that the audit is planned and performed to provide *reasonable assurance* about whether the financial statements are free from material misstatement
 - a broad description of the procedures conducted on an audit:
 - identify and assess the risks of material misstatement (due to fraud or error)
 - design and perform audit procedures responsive to those risks
 - obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion
 - obtain an understanding of the system of internal control relevant to the audit
 - evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and *related disclosures*
 - conclude on the appropriateness of management's use of the going concern basis of accounting, and
 - evaluate the overall presentation structure and content of the financial statements *including the disclosures* and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation
 - an explanation that because of the *inherent limitations of an audit* together with the *limitations of internal control*, there is an unavoidable risk that some material misstatements may remain undetected, even though the audit is properly planned and performed in accordance with the ISAs
 - a clear statement that whilst the auditor considers internal control in order to design audit procedures, *no* opinion on the effectiveness of internal control is expressed *but* that weaknesses (significant deficiencies) identified in internal control relevant to the audit will be communicated to management, and
 - in the case of the audit of a listed company, the auditor's responsibility to communicate *key audit matters* in the auditor's report in accordance with ISA 701.
- (d) The *responsibilities of management*, including a statement that the audit will be conducted on the basis that management and those charged with governance *acknowledge and understand* that they are responsible for:
 - the preparation and fair presentation of the financial statements in terms of IFRS or IFRS for SMEs
 - such internal control as they deem necessary to enable the preparation of financial statements that are free from material misstatement
 - providing the auditor with access to records, documents and other matters including additional information the auditor might request as well as unrestricted access to individuals within the entity from whom the auditors deem it necessary to obtain audit evidence
 - providing access to all information of which management is aware that is relevant to the preparation of the financial statements including information *relevant to disclosures*, and
 - making available to the auditor draft financial statements including all information relevant to their preparation, including all information relevant to the preparation of disclosures *in time* for the auditor to complete the audit on schedule.

- (e) Reference to the expected form and content of any reports to be issued by the auditor, for example, we expect that the report to be issued will state that in our opinion the financial statements, present fairly, in all material respects the financial position of the company at reporting date, and its financial performance and cash flows for the year then ended in accordance with IFRS and the Companies Act of South Africa. The report will be addressed to the shareholders and will contain an introductory paragraph, a paragraph dealing with the directors' responsibility for the financial statements and a paragraph dealing with the auditor's responsibility.

However, this reference must include a statement that there may be circumstances in which the form and content of the report may need to be amended in light of the audit findings.

The following matters may also be raised in the engagement letter (parts (f) to (j)):

- (f) the auditor's expectation of *written* confirmation of oral representations.
- (g) arrangements regarding the planning and performance of the audit, including:
- the name of the *designated auditor* (s 44(1) of the APA) and the composition of the team for the audit engagement
 - important dates for meetings with key personnel
 - inventory counts, and
 - audit deadlines.
- (h) acknowledgement by management that they will inform the auditor of facts that may affect the financial statements, of which management may become aware during the course of the audit and during the period from the date of the auditor's report to the date the financial statements are issued.
- (i) when relevant, arrangements concerning the involvement of other parties in the audit, namely:
- other auditors
 - experts
 - internal auditors, and
 - predecessor auditor.
- (j) the basis of fee computation and any invoicing arrangements, for example, fees to be charged monthly.

The letter should conclude with a request to the client to **sign and return an attached copy** of the engagement letter as an acknowledgement of, and agreement with, the arrangements for the audit and the respective responsibilities of the auditor and management.

5.4.5 Risk assessment procedures to gather “preliminary engagement” information

Obviously in the case of an existing client, gathering information about the preconditions for an audit and whether to continue the relationship is far easier as the information is far more readily available. Generally speaking, this process is underway from the moment the initial engagement with the client commenced. As time passes, the firm gains a better understanding of the integrity of client, management's attitude to financial reporting and corporate governance, and whether the audit firm itself has been able to satisfy the competence and resource requirements. Equally, it is obvious that where the evaluation is being conducted on a prospective client, it is far more difficult to obtain the necessary information.

However, the following procedures should provide a good basis, as a starting point, when making this decision:

- communication with the previous auditor (in compliance with the Code of Professional Conduct):
 - obtain the client's permission (preferably in writing) to initiate the discussion with the existing auditor OR decline if the proposed client refuses to provide the permission (unless there are exceptional circumstances that the proposed auditor has knowledge of)
 - ensure through enquiry that the proposed client has also provided the current auditor written permission to discuss these matters with the proposed auditor
 - asking the existing or predecessor auditor/accountant to provide any known information that the proposed auditor needs to be aware of.
- discussion with the client's directors, senior financial personnel, audit committee, etc.
- inquiry of the firm's bankers, legal counsel, etc. (permission would have to be sought)
- background searches of relevant databases, for example, on the Internet

- review of any documentation, either public or made available by the prospective client, for example, group reports, management reports, and
- with regard to independence, enquiry and analysis of the status of the firm and its employees in relation to the potential client (firms should regularly request written information from their staff as to, e.g., any family or personal relationships with, or investments in the firm's clients).

Note: Where the client has an audit committee (e.g., a listed company), the audit committee will also be looking at the suitability of the audit firm, so there is likely to be a lot of co-operation between the committee and the firm.

5.5 Chapter conclusion and reflection

In this chapter we provided an overview of the audit process, obtained an understanding of the matters to take into consideration to increase the quality of an audit and described all the matters to take into consideration before deciding to take up an audit engagement.

If the engagement partner concludes that she may take up the client, then she will move forward to the next stage of the audit: the planning of the audit. If the engagement partner decides not to take up the audit, he/she will not move forward to the next stage of the audit. This stage will be addressed in chapter 6 in detail.

Planning the audit: Identifying and assessing the risk of material misstatement

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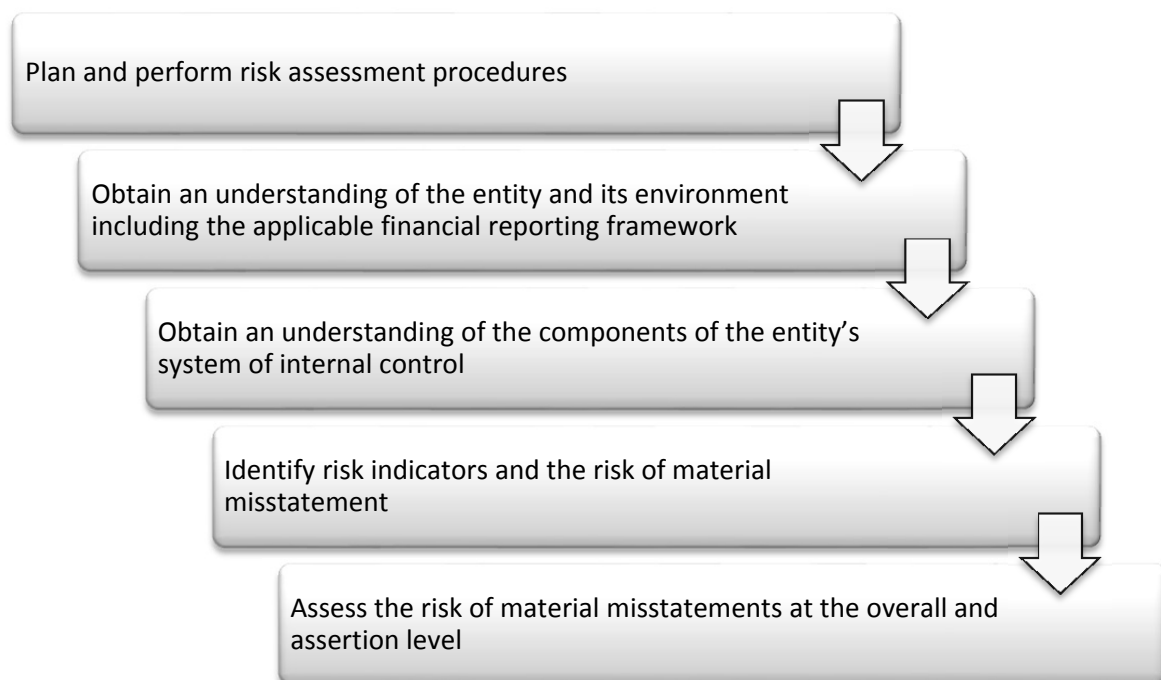
6.1 Introduction

Now that we have performed the pre-engagement activities (as explained in chapter 5) and concluded that we are able to take up the proposed client as an audit client, we can move forward with the planning of the audit. Please note that the results of the risk assessment procedures and information obtained from the pre-engagement activities can now be used as a basis for planning and subsequently responding to the risk of material misstatement at the overall and assertion levels. These risk assessment procedures have focused on obtaining information to decide whether we want to take up the proposed client as an audit client.

To be in a position to plan the audit, the auditor must perform more risk assessment procedures to obtain an understanding of the entity and its environment, the applicable financial reporting framework and the entity's system of internal controls. The auditor needs this understanding to identify and assess the risk of material misstatement at the overall and the assertion level. Once we have assessed the risk of material misstatement at both levels, the auditor must plan how to respond to the assessed risks at the overall and the assertion levels. (Responding to the risk of material misstatement will be discussed in more detail in the next chapter).

The auditor must have a thorough understanding of the client's company, industry, and the environment in which it operates. If the auditor does not understand the client and its business, she will be unable to adequately identify and assess the risk of material misstatement. If she is not able to identify these risks, she will not respond appropriately, and consequently not issue the correct audit report. Before we delve into all the aspects for which the auditor must obtain an understanding, it is important to first comprehend the principle of audit risk and its components as well as the difference between risk at the overall financial statement level and risk at the assertion level.

For the auditor to be able to identify and assess the risk of material misstatement at the overall and assertion level (the result of the understanding obtained), the following overall steps must be followed by the auditor:



Note: These steps are only a general overview to explain the requirements of the relevant standards.

In order to obtain the understanding required (as discussed later) the auditor must first plan and perform risk assessment procedures. These procedures must be stated in the audit plan that documents the nature, timing and extent of the risk assessment procedures required to be performed. The procedures will provide the base of understanding of the entity and its environment, including the applicable financial reporting framework and the system of internal controls. The auditor will use this knowledge to identify and assess the risk of material misstatement at the overall financial statement and assertions level.

6.2 Risk assessment procedures and related activities

Risk assessment procedures are those procedures carried out by the auditor to gather information about the client so that the identification and assessment of risks of material misstatement at the financial statement and assertions level can occur. Once this has been done, the auditor will have a basis for designing and implementing responses to the assessed risks of material misstatement.

Useful information about a client can come from any number of sources but will generally flow from the following:

6.2.1. Client acceptance of continuance procedures

Remember that by the time risk assessment procedures take place, the audit engagement will have been accepted and that prior to acceptance, a fair amount of information about the client would have been obtained. For example, information about the integrity of the directors would have been sought, discussions with the audit committee (if there was one) would have been held, and information about the size and complexity of the entity would have been gathered. In the case of an existing client, any major changes or developments would have been considered in deciding whether to retain the client. The point is that some of the information gathered will be useful in identifying and assessing the risk of material misstatement.

6.2.2. Previous experience with the entity

Where the entity has engaged the audit firm before, there will already be a “store” of information about the entity. The extent of this information will depend on the previous engagements. If the firm has conducted the audit for several years, there is likely to be a good base of information. If the previous experience with the entity was providing tax advice, then information relevant to an audit is likely to be far less. Clearly, the auditor would need to determine whether information obtained in a prior period remains relevant.

6.2.3 Inquiries of management and others

Discussion with the client’s personnel will perhaps provide the most information and the following examples serve to illustrate the diversity of employees and others who may be consulted:

- **Production personnel** can provide information about the company’s raw materials, finished goods, manufacturing process, etc.
- **Marketing and sales personnel** can provide information about the company’s marketing strategies, products, competitors, etc.
- **Human resource personnel** can provide information about organisational structures, remuneration policies, labour disputes, etc.
- **Internal audit personnel** can provide information on investigations and assessments they have done as well as their evaluation of the company’s own risk assessment procedures, etc.
- **Financial and accounting personnel** will be a major source of financial reporting information, including the accounting policies used, related parties, procedures for setting estimates, making provisions, establishing fair values, taxation, etc.
- **The company secretary, or the company’s legal counsel**, will supply information about litigation, laws and regulations relevant to the company, important contractual obligations, etc.
- **The board of directors (those charged with governance)** will provide information on the company’s overall strategies. etc., and will give the auditor a sense of the control environment at the company.
- **IT personnel** will be able to provide important information about the company’s computer system, etc.
- **An audit committee and risk committee** will also provide information relating to accounting policies, internal control, financial reporting objectives (audit committee) and the company’s own risk assessment procedures and policies regarding risk (risk committee).
- Where applicable, **the previous auditor** may provide information about the previous audits, including audit problems and their resolution, dealings with the audit committee and board members, the competence of senior financial personnel and the control environment, etc. (Note: Much of this information may have been obtained when the pre-acceptance procedures were carried out, but there is nothing to stop further contact with the previous auditor, provided the client gives permission.)

6.2.4 Observation

The observation of “what’s going on” can provide a useful backdrop for understanding the client’s operations.

For example:

- A guided tour of a company’s manufacturing plant will give the auditor a basic understanding of the production process. This understanding will put the audit of plant and equipment, work in progress, the allocation of production overheads, etc., into context.
- A tour of the company’s business premises, IT centre, warehousing facilities, will also contribute to a better understanding of the client.

6.2.5 Inspection

Along with enquiry, *inspection* will be a major provider of information in understanding the entity. At this stage of the audit, we are *not* carrying out a detailed inspection of “everyday” documents such as sales invoices or purchase orders on which we may conduct further audit procedures (substantive tests of detail). This is more likely to be a detailed review of the following kinds of documents:

- business plans and strategies
- internal control procedure manuals, flow charts, organisational charts
- management reports, minutes of board meetings and board committee meetings
- the company’s integrated report and prior year financial statements
- relevant trade and financial journals and internet sites, and
- important contracts.

6.2.6 Analytical procedures (as a risk assessment procedure)

Analytical procedures (sometimes referred to as analytical review procedures when done as a risk assessment procedure) carried out at this stage of the audit process may be useful in providing an overall indication of whether the company’s financial performance is as expected, but may produce results that are unexpected and that need to be explained. These unexpected results may indicate a higher risk of material misstatement. Ratio and trend analysis, including comparisons to prior periods, industry averages, or between similar sections or divisions, may reveal unusual or unexpected relationships, and the explanation may indicate the presence of a material misstatement.

For example (there are any number of examples):

- there may be an increase in sales but a decline in gross profit
- debtors’ ratios may have declined without credit policies having been changed, or
- sales commissions paid may have increased but sales may have declined.

6.2.7 Discussion amongst the audit team

This amounts to the “two heads are better than one” principle. The discussion is an opportunity for:

- the experienced members of the audit team to share their insights and knowledge of the entity, and
- explain how and where the financial statements may be susceptible to material misstatement, and
- for the new team members to inject fresh insight and question conventional thinking about the audit.

6.3 Understanding the entity and its environment, including the applicable financial reporting framework

6.3.1 Introduction

As you will know by now, the objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error at the financial statement and assertion levels, *through understanding the entity and its environment, including the applicable financial reporting framework, as well as the entity’s system of internal control*, thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement. The key to this is that unless the auditor has a thorough understanding of his client’s business and the environment in which it operates, proper identification and

assessment of the risk of material misstatement is not possible. Simple examples illustrate this. If we don't understand how a company's manufacturing process works, what raw materials or components make up its products and how it identifies and records production overheads, how can we as auditors, identify and assess the risks relating to such account headings as finished goods inventory, work-in-progress, etc.? How will we know if overheads are being appropriately included in the cost of inventory? If we are not familiar with the company's leasing policies, how will we determine whether leases should be treated as finance or operating leases? The examples are endless, and the message should be clear – without a thorough understanding of the client, a substandard audit will be conducted.

Although “understanding the entity” is a clearly defined activity within the audit process, it is not a “once-off, stand-alone” activity. Knowledge about a client is acquired as the relationship with the client evolves. Each audit provides a better understanding of what we already know and new information about changes and developments in the business is added. Understanding the entity is dynamic, not static. It is not an exact science and there is no hard and fast set of procedures to be followed.

According to ISA 315 (revised 2019) – Identifying and assessing the risks of material misstatement, an understanding of the entity establishes a frame of reference within which the auditor plans the audit and exercises professional judgement, for example, when:

- assessing risks of material misstatement of the financial statements
- determining materiality
- considering the appropriateness of the selection and application of accounting policies and the adequacy of disclosures
- identifying areas where special audit consideration may be necessary, for example, the audit of related party transactions
- developing expectations for use when performing analytical procedures
- responding to the assessed risk of material misstatement, including performing further audit procedures, to obtain sufficient, appropriate evidence, and
- evaluating the sufficiency and appropriateness of audit evidence obtained.

All of the above are fundamental to performing the audit but cannot be achieved without the auditor having a thorough understanding of the entity.

6.3.2 Gaining the required understanding of the entity and its environment, including the applicable financial reporting framework

In terms of ISA 315 (revised 2019) the auditor must obtain an understanding of:

- ***the entity and its environment and the applicable financial reporting framework***

ISA 315 (revised 2019) provides a basic framework as to what information should be gathered. This has been used as a basis for the charts and narratives that follow:

- organisational structure, ownership and governance and business model, including the extent to which the business model integrates the use of IT
- relevant industry, regulatory and other external factors
- measures used internally and externally to assess the entity's financial performance
- the applicable financial reporting framework and the entity's accounting policies and reasons for changes thereto, and
- how, and to what degree, inherent risk factors affect exposure of assertions to misstatements.

- ***the entity's internal control***

Again, ISA 315 (revised 2019) provides a useful framework for the auditor to obtain this understanding. It suggests that the auditor should obtain an understanding of each of the following components of the system of internal control:

- the control environment
- the entity's risk assessment process
- the entity's process to monitor the internal control system

- the information system, including communication, and
- control activities.

Remember that the auditor is putting together a body of information that will enable the audit team to identify and assess the risk of material misstatement at the financial statement level and at the assertion level.

6.3.2.1 Organisational structure, ownership, governance, and business model

Understanding an entity's organisational structure and ownership may enable the auditor to understand the complexity and relationships within the structure and ownership. The auditor may use automated tools and techniques to assist in the understanding of transaction flow and processing. As such, the auditor may obtain information about the organisational structure of the entity or its vendors, customers or related parties. The auditor should also obtain an understanding of an entity's objectives, strategy and business model. A business sets its objectives and then puts strategies in place to achieve these objectives. "Business risk" is the term used to describe those conditions, events, circumstances, actions or inactions that threaten the company's achievement of the objectives it has set and its ability to achieve them. Business risk is broader than the risk of material misstatement of the financial statements; in other words, business risk includes risks other than the risk of material misstatement. Many of the business risks may increase the risk of material misstatement in the financial statements. Therefore, the auditor must be familiar with the client's objectives and strategies and evaluate whether they will increase the risk of material misstatement. Consider the following (simplified) examples:

Example 1

Objective:	Wearit (Pty) Ltd wishes to increase its market share.
Strategy:	Increase sales by making the terms and conditions for granting credit to customers much less strict.
Business risk:	Making sales on credit to customers who will not pay.
Potential material misstatement:	Understatement of the allowance for bad debts, resulting in an over-statement of accounts receivable.

Example 2

Objective:	Pills (Pty) Ltd wants to expand its health products business into the sports market.
Strategy:	Import top quality, patented muscle growth and related products and advertise extensively.
Business risk:	Increased product liability, over-estimation of demand, import regulation contraventions, for example, on foodstuffs.
Potential material misstatement:	Under-provision for legal claims, over-statement of inventory value (no demand, or goods cannot be legally sold).

There are any number of business risks – the key is to have experienced audit team members who can identify them and evaluate whether they will give rise to material misstatement. Some examples of matters to be considered by the auditor concerning an entity's organisational structure, ownership and governance, and business model appear below.

Factor	Matters to consider
Organisational structure and ownership	• structures: – corporate, for example, subsidiaries, divisions – organisational, for example, head office, regional offices – joint ventures or special-purpose entities, and – structure and complexity of IT environment • ownership: – relationships between owners and other persons/entities – related parties, and – distinction between owners, those charged with governance and management

continued

<i>Factor</i>	<i>Matters to consider</i>
	• involvement of those charged with governance in management • existence of non-executive board • separation of non-executive board from executive management • positions held by those charged with governance • sub-groups such as audit committee and its responsibilities • responsibility for oversight of financial reporting, and • responsibility for the approval of financial statements.
<i>Business model</i>	• industry developments • new products and services • expansion of the entity's business • new accounting requirements • regulatory requirements and legal exposure • current and prospective financing requirements • use of IT – implementation of a new IT system, for example, and • effects of implementing a strategy (e.g., new accounting requirements).
<i>Other factors specific to public sector entities</i>	• ability of entity to make unilateral decisions • other public sector entities ability to influence/control entity's mandate and strategic directions • relevant government activities/related programmes, and • program objectives and strategies (e.g., policy elements).

6.3.2.2 Industry, regulatory and other external factors

The industry in which an entity operates and the relevant degree of regulation, plus certain external factors, may give rise to specific risks of material misstatements. Some examples of matters to be considered by the auditor follow.

<i>Factor</i>	<i>Matters to consider</i>
<i>Industry</i>	• cyclical or seasonal • risk profile: – high risk, for example, fashion, technology – competition (demand, capacity and price) – labour volatility – size and market share within the industry, and – boom or recession, and • technology relating to products.
<i>Regulatory</i>	• accounting principles and industry-specific practices • legal and regulatory framework: – taxation, for example, farming company – foreign transactions operations, for example, health regulations, consumer protection – environmental, for example, pollution control – safety and security, for example, in the workplace, and – disclosure requirements, and • government policy: – industry specific financial incentives – trade restrictions and tariffs, and – foreign exchange.

continued

<i>Factor</i>	<i>Matters to consider</i>
<i>Other external factors</i>	• general economic conditions • interest rates and available financing, and • inflation or currency revaluation.
<i>Other factors specific to public sector entities</i>	• particular laws or regulations affecting the entity's operations.

6.3.2.3 Measures used internally and externally to assess financial performance

The auditor should obtain an understanding of how the performance of the entity and its management are measured. Measuring performance creates pressure on individuals, and failure to perform can have serious consequences. Professional scepticism suggests that one way of avoiding negative consequences may be for management to manipulate the financial statements to present a better position than actually exists.

For example, the directors of a subsidiary may stand to lose their jobs if the subsidiary does not meet certain turnover or profit targets for the financial year. This gives the directors the incentive (creates pressure) to manipulate the financial statements. This could be done by manipulating sales cut-off (including post-year-end sales in the year-end sales figure), introducing fictitious sales with related parties, and manipulating costs to increase profits.

In effect, the auditor needs to consider how much the entity's measurement and review system is likely to increase the risk of material misstatement of the financial statements.

A further example may confirm your understanding of this. A series of performance measures are built into the directors' and managements' employment contracts that directly affect their personal remuneration. Many of the measures are based on the entity's financial performance and thus present a real incentive for manipulating the financial statements and other financial information. The auditor must understand the performance measurement exercise and carefully consider which account headings (and related assertions) are susceptible to manipulation. Some examples of matters to be considered by the auditor appear below.

<i>Factor</i>	<i>Matters to consider</i>
<i>Measures used by management</i>	• key performance indicators (financial and non-financial) • period on period ratios, trends and operating statistics • budgets, forecasts, variance analyses • segment information • divisional, departmental or other performance reports • employee performance measures • incentive compensation policies, and • comparisons with competitors.
<i>External parties</i>	• analysis of credit agencies • news and other media, including social media • taxation authorities • regulations • trade unions, and • finance providers.
<i>Other factors specific to public sector entities</i>	• for example, achievement of public benefit outcomes.

6.3.2.4 The applicable financial reporting framework, and accounting policies and reasons for changes thereto

Obtaining an understanding of the applicable financial reporting framework may assist the auditor to identify inherent risk factors that affect the susceptibility of assertions about classes of transactions, account balances or disclosures, to misstatement.

The auditor will need to consider whether the accounting policies selected by the client are:

- appropriate for the business, and
- consistent with the financial reporting standards relevant to the industry.

If the policies adopted do not satisfy the above, the risk of material misstatement is increased. Some examples of matters to be considered by the auditor follow.

<i>Factor</i>	<i>Matters to consider</i>
<i>Financial reporting practices</i>	• accounting principles and industry-specific practices, including significant transactions • revenue recognition • accounting for financial instruments, including related credit losses • foreign currency assets, liabilities and transactions, and • unusual or complex transactions.
<i>Selection and application of accounting policies</i>	• methods used to recognise, measure, present and disclose significant or unusual transactions • significant accounting policies for which there may be a lack of guidance or consensus • changes in the environment that necessitate a change in accounting policy, and • new financial reporting standards and laws and regulations.
<i>Other factors specific to public sector entities</i>	• for example, entity's application of applicable financial reporting requirements.

6.3.2.5 How, and to what degree, inherent risk factors affect the exposure of assertions to misstatement

As discussed earlier, inherent risk factors (on their own or as a combination) increase the inherent risk to varying degrees. Inherent risk may be higher or lower for different assertions (refer to chapter 7 for a detailed discussion on assertions). This is referred to as the “spectrum of inherent risk” (ISA 315 (revised 2019)). Obtaining an understanding of the entity, its environment, and its applicable financial reporting framework, may assist the auditor in identifying inherent risk factors that affect the susceptibility of assertions (about classes of transactions, account balances or disclosures) to misstatement. This understanding may enable the auditor to form a preliminary understanding of the probability or extent of misstatements. Inherent risk arising due to complexity or subjectivity (often linked to change or uncertainty) requires a greater need for the auditor to apply professional scepticism. These risk factors may create an opportunity for intentional or unintentional management bias. Some examples of matters to be considered by the auditor appear below.

<i>Inherent risk factors</i>	<i>Matters to consider</i>
<i>Subjectivity</i>	• applicable financial reporting framework • a wide range of possible measurement criteria of an accounting estimate, (e.g., management's recognition of depreciation or construction income and expenses), and • management's selection of a valuation technique or model for a non-current asset, such as investment properties.
<i>Uncertainty</i>	• measurement uncertainty, (e.g., accounting estimates) • pending litigation, and • contingent liabilities (e.g., warranties/guarantees).
<i>Complexity</i>	• operations that are subject to a high degree of complex regulation • the existence of complex alliances and joint ventures • accounting measurements that involve complex processes, and • use of off-balance-sheet finance, special purpose entities, and other complex financing arrangements.

continued

Factor	Matters to consider
Change	• economic conditions, (e.g., operating in economically unstable countries) • markets: volatile markets, (e.g., futures trading) • customer loss (can lead to going concern/liquidity problems) • change in industry • change in supply chain • new products/services/lines of business • expanding into new locations • change in structure, (e.g., acquisitions/reorganisations) • selling of business segment/entity • change in key personnel or executives • change in IT environment • new accounting pronouncements • constraints on availability of capital/credit, and • new legislation.
Susceptibility to misstatement due to management bias or other fraud risk factors insofar as they affect inherent risk	• opportunities to engage in fraudulent reporting • significant transactions with related parties • non-routine or non-systematic transactions including inter-company • debt refinancing • assets to be sold, and • classification of marketable securities.
Other	• lack of skilled personnel • control deficiencies not addressed, and • past misstatements/errors.

6.4 Understanding the entity's internal control system

A good way of gaining an understanding of an entity's system of internal control is to consider its five components separately and collectively. ISA 315 (revised 2019) recommends that this is how the auditor should go about obtaining the necessary knowledge of the system. Remember that *an understanding of a client's system of internal control assists the auditor in identifying types of potential misstatement and factors that affect the risks of material misstatement and designing the nature, timing, and extent of further audit procedures.*

Computerised systems, that contain a mix of manual and automated (programmed) controls, are the norm and therefore very common in business. The degree, complexity and sophistication of computerised systems vary considerably, but in most cases, the auditor will need to obtain a sound understanding of the role played by computerisation in the company's internal control system, particularly in relation to the information system and control activity components of the internal control process.

Note on "scalability": The system of internal control may be less or more formal, depending on the size and complexity of the entity. Some systems of internal control will suit more complex companies far better than less complex entities (*remember, as previously noted, although the size of an entity may be an indication of the complexity thereof, smaller does not always mean less complex*). ISA 315 (revised 2019) – identifying and assessing the risk of material misstatement – is designed to be applicable to all entities, regardless of their size or complexity. The ISA refers to the concept of "scalability", which requires the auditor's professional judgement regarding the nature and extent of the system of internal control. Factors that the auditor would consider in this regard may include (ISA 315 (revised 2019) A52):

- the size and complexity of the entity, including its IT environment
- the auditor's previous experience with the entity
- the nature of the entity's systems and processes and whether they are formalised, and
- the nature and form of the entity's documentation.

In terms of ISA 315 (revised 2019) the auditor must obtain an understanding of each of the following components of the system of internal control:

- the control environment
- the entity's risk assessment process
- the entity's process to monitor the internal control system
- the information system, including communication, and
- control activities.

6.4.1 Component: The control environment (mainly indirect controls)

The control environment sets the tone of the organisation and influences the control consciousness of its staff. It concerns the attitude and awareness of the directors and managers to internal control and its importance to the entity. The directors and managers should promote an environment in which adherence to controls is regarded as very important by their actions and behaviour. If managers set a bad example, ignoring controls and generally projecting a "slack" attitude, employees will soon adopt the same attitude.

For example, a creditors clerk whose function is to reconcile the creditors ledger accounts to the creditors statements, and then take the reconciliation to the financial accountant to be checked before payment is made, will soon not bother to reconcile properly, if at all, if he knows that the financial accountant does not check the reconciliation before authorising the payment.

A good control environment will be characterised by:

- communication and enforcement of integrity and ethical values throughout the organisation
- a commitment by management to competent performance throughout the organisation
- a positive influence generated by those charged with governance of the entity, for example, non-executive directors, the chairperson (i.e., do these individuals display integrity and ethical commitment, are they independent, and are their actions and decisions appropriate?)
- a management philosophy and operating style that encompasses leadership, sound judgement, ethical behaviour, etc.
- an organisational structure that provides a clear framework within which proper planning, execution, control and review can take place
- policies, procedures and an organisational structure that clearly define authority, responsibility and reporting relationships throughout the entity, and
- sound human resource policies and practices that result in the employment of competent, ethical staff, provide training and development, fair compensation and benefits, promotion opportunities, etc.

Gathering of evidence relating to the control environment can be achieved by *observation* of management and employees "in action", including how they interact, *inquiry* of management and employees, for example, union officials, and *inspection* of documents, for example, codes of conduct, organograms, staff communications, records of dismissals, minutes of disciplinary hearings, etc. Obviously, as the client/auditor relationship develops over time, it will become easier to understand and evaluate the control environment.

Generally, a strong control environment will be a positive factor when the auditor assesses the risk of material misstatements. For example, the risk of fraud may be significantly reduced. A poor control environment, or elements of the control environment that are poor, will have the opposite effect, for example, the company may have excellent human resource policies, but may lack leadership and organisational skills. Employees may be competent but management may have a "slack" attitude towards controls.

6.4.2 Component: The entity's risk assessment process (mainly indirect controls)

This is the process that the company has in place for, *among others*:

- identifying business risks relevant to financial reporting objectives
- estimating the significance of each risk
- assessing the likelihood of its occurrence, and
- responding to the risk (taking action to address the risk).

This process of risk assessment may be formal or informal. More complex organisations are more likely to have a formal plan, for example, specific committees who hold regular meetings, the appointment of a chief risk officer and/or a compliance officer, but generally risk assessment is part of "managing". In doing their jobs, managers will identify and respond to risk.

Information about the client's risk assessment process will be gathered mainly by *inquiry*, for example, risk officer, compliance officer, chief executive officer, and *inspection* of documentation where it is available, for example, minutes of designated committee meetings, inter-office memos on rectifying problems (responding to risk). An effective risk assessment process is advantageous for the auditor because the results produced by the in-house process provide the auditor with a platform to work from in assessing risk.

In terms of King IV *internal audit* should primarily be risk-based, which means that the internal audit section is expected to conduct assessments and evaluations of the company's risk process and the company's response to risk. Therefore, internal audits will be a good source of information for the external auditor when evaluating the client's risk assessment process.

6.4.3 Component: Monitoring of the system of internal control (mainly indirect controls)

You will recall that, at the outset, management identifies the objectives that the company's internal control process should achieve, both overall and right down to the transactions level. Monitoring of the system tells management how well the internal control process is doing *over time*. Management (and the board) wish to know if controls are operating as intended and monitoring assists in providing this information. Some procedures that are described and carried out as control activities are a form of monitoring. For example, a senior accountant inspects the monthly bank reconciliation carried out by his assistant to ensure that it has been done, and done correctly. Monitoring as a component of the internal control process looks at *all of the components of the process*, not only at the control activity component. For example, management's monitoring of disciplinary actions and warnings to employees relating to breaches of the company's "code of conduct" may indicate a decline in the control environment, and the ongoing monitoring of the company's poor performance on contracts may reveal that the risk assessment component is not effective.

In larger or more complex companies, internal audit departments usually contribute to the effective monitoring of control activities, and the external auditor will frequently rely on work carried out by the internal auditor. Monitoring will often take place at a subsequent stage.

For example, they may play back recorded sales transactions to confirm that telesales operators are "following the rules", or the IT manager might scrutinise the activity logs/exception reports on a weekly basis. Information from outside the company can also provide meaningful insights into whether the "system is working", for example, monitoring complaints from customers will often give a good indication of aspects of the business that are not functioning as required. Monitoring the number of bad debts over time indicates whether creditworthiness checks are effective.

The auditor can obtain information about monitoring by *inquiry* of management and staff, working with internal audit and *inspecting* documentation relating to a monitoring process or performance reviews.

6.4.4 Component: The information system and communication (primarily direct controls)

The auditor is required to obtain an understanding of the information system relevant to financial reporting and communication. The accounting system is part of the information system. Bear in mind that the client's information system will produce information that is not relevant to financial reporting.

For example, the information system of a motor manufacturer may produce extensive information about sales, for example, such as the most popular colours, sales by dealer, month, geographical location, age of purchaser, etc. to assist the marketing department. While this may be interesting to the auditor (and sometimes helpful, as it may provide some evidence of the saleability of inventory), it is not directly related to financial reporting.

The auditor must obtain a thorough understanding of:

- the classes of transactions in the client's operations that are significant to the financial statements, for example, sales, wages
- the procedures within both IT and manual systems, by which those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the financial statements
- the related accounting records, supporting information and specific accounts in the financial statements in respect of initiating, recording, processing and reporting transactions
- how the information system captures events and conditions, other than transactions that are significant to the financial statements, for example, contingent liabilities

- the financial reporting process used to prepare the entity's financial statements, including significant accounting estimates and disclosures
- controls over the passing of non-standard journal entries used to record non-recurring, unusual transactions or adjustments, and
- how financial information is conveyed to management, the Board, the audit committee and external bodies, for example, the JSE in the case of a listed company.

This understanding of the information system relevant to financial reporting should include relevant aspects of that system relating to information disclosed in the financial statements obtained from within or outside the general and subsidiary ledgers.

Examples of such information may include:

- information obtained from lease agreements disclosed in the financial statements, for example, renewal options
- fair value information disclosed in the financial statements
- information used to develop estimates recognised or disclosed in the financial statements, for example, assumptions applicable to the useful life of an asset
- information to support management's assessment of going concern, and
- information that has been recognised or disclosed in the financial statements that has been obtained from the company's tax returns/SARS correspondence.

The following chart provides a breakdown of matters the auditor might consider when obtaining information about a *computerised* information system.

<i>Factor</i>	<i>Matters to consider</i>
<i>Computerised applications</i>	• which applications are computerised, for example: – payroll – not computerised, or – acquisitions and payments – computerised • computer environment: – micro, network, centralised, or – use of bureau (see chapter 9 for a discussion on computer environments) • the application software: – purchased or in-house software – key processing functions – nature and source of inputs – output produced – important master files and tables – interface between applications, and – new or established.
<i>Hardware</i>	• makes and capacities of CPUs, drives, printers, servers, terminals (important for establishing compatibility with the auditors hardware and software and for understanding the system), and • physical location (branches, factory, etc.).
<i>Software</i>	• details of all software that is used for managing the functions of the hardware and data: – operating systems – database management systems – utilities – access control software, and – programme change control software.
<i>Organisation and control</i>	• general and automated application controls (chapter 9) • communication and reporting lines • IT personnel and their job descriptions • steering committee details, and • internal audit involvement in IT.

continued

<i>Factor</i>	<i>Matters to consider</i>
<i>Complexities of the system</i>	- the presence of: - networks (LANS, WANS) - electronic data interchange (EDI) - electronic funds transfer (EFT) - real time systems - the Internet - high levels of system integration, and - complex databases, communication networks. Note: Refer to chapter 9 for more discussions about networks and databases.
<i>The level of dependence (of the client on its normal system)</i>	- degree of disruption that would occur if the system was not functional for a lengthy period, and - the dependence of a particular functional area on timely, accurate computing, for example, wages in a large labour-intensive industry

The auditor should be mindful that computerised (IT) systems pose specific risks to an entity's internal control. Examples of such risks may include the following:

- A computer will process what is input and will do so in the manner in which it is programmed. For example, if there is an error in programming, that error will be repeated every time the relevant transaction is processed – for example, if a programming error results in the VAT on sales being calculated on the selling price plus VAT, for example, 15% of 115%, and 5 000 invoices are processed, the computer will make the mistake 5 000 times.
- Unauthorised access to data can result in an instant and huge destruction or contamination of data, for example, deletion of the debtors master file.
- IT personnel gaining access privileges they should not have, resulting in a breakdown of segregation of duties, for example, a systems analysts gains access to the salaries master file and alter his salary.
- Unauthorised changes to data in master files, systems or programmes.
- Instantaneous processing of fraudulent transactions such as unauthorised EFTs that instantly move money out of the company's bank account.
- Potential denial of access to electronic data, for example, employees/customers cannot get into the database because of system failure.

The auditor should also be mindful that the information system as a whole, or elements of it, can be placed at risk, by any of the following (among others):

- New employees** who have a different understanding of, or attitude to internal control, for example, a newly appointed IT manager has a less strict attitude to access controls than his predecessor.
- Rapid growth** in the company that places severe strain on the controls, for example, a significant increase in the demand for the company's products has resulted in the company letting its creditworthiness checks lapse (so as not to lose sales) due to a lack of time and staff to carry out the checks. Automated (programmed) controls relating to creditworthiness may be overridden permanently or disabled.
- New technology** that can lead to disruption of internal controls – introducing a network system may result in data being lost or corrupted, or existing controls becoming inappropriate.
- Introducing new business models** that may result in the existing internal controls being rendered inadequate, for example, introducing sales over the Internet to a long-established (physical) retail business may introduce problems in controls over banking, receipt and dispatch of goods, etc.
- Corporate restructuring** may result in staff reductions, new lines of authority, etc., thereby jeopardizing for example, division of duties and authorisation controls.

The auditor will have to carefully assess whether and how the changes affect the internal control objectives and the potential for material misstatement.

Details of the information system (including the accounting system) can be gathered by:

- inspection* (or creation) of flowcharts of the system, user manuals, etc.
- observation* of the system in action, for example, what happens when a supplier delivers goods, what documents are called up on-screen, what access controls are in place

- *inquiry* of client staff and the completion of internal control questionnaires
- *discussions* with prior year audit staff, management and possibly outsiders, for example, application software suppliers
- *discussions* with internal audit staff and *review* of internal audit work papers
- inspection of exception reports, error reports, activity reports produced by the system, and
- *tracing* transactions through the information system, sometimes called “walkthrough” tests.

6.4.5 Component: Control activities (primarily direct controls)

Control activities are the policies and procedures that are implemented to ensure that management’s objectives are carried out. Not all control activities relate to financial reporting and the auditor will concern himself only with those that relate to areas where material misstatement is more likely to occur. Control activities essentially include such things as:

- authorisation of transactions (that is a form of isolating responsibility)
- segregation of duties, for example, separating custody of inventory from keeping of inventory records
- physical control over assets, for example, restricting access to the warehouse
- comparison and reconciliation, for example, reconciling the bank account monthly
- access controls, for example, access tables, user profiles, IDs and passwords in a computerised environment
- custody controls over blank/unused documents, for example, order forms, credit notes
- good document design (to achieve accuracy and completeness of information), and
- sound general and automated application controls in IT systems (see chapter 9).

Information about control activities will usually be gathered in the same way as information about the information system is gathered, for example, *inspection* of control procedure manuals, *observation* of controls in action, *inquiry* of employees as to the procedures they carry out and the completion of internal control questionnaires.

6.5 Understanding the risk of material misstatement

6.5.1 Introduction

Before going into the details of some aspects of the planning process, we must remind ourselves about the role the auditor plays and what is expected of him/her. The auditor’s role is to provide reasonable assurance about the fair presentation of the company’s financial statements. Users want to be satisfied that the audited financial statements on which they are relying are free of material misstatement and their reliance is an implied acceptance that the auditor has performed his function properly. However, there is always the risk that the auditor will “get it wrong” and give an incorrect opinion. This is called audit risk. To define it more precisely, we can look to ISA 200 – Overall objectives of the independent auditor and the conduct of an audit *per* the International Standards on Auditing, which defines audit risk as *the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated*. In simpler terms, it is the risk that the auditor will give an unqualified opinion when in fact, a qualified, adverse, or disclaimer of opinion should have been given. Note that the opposite does not constitute audit risk (expressing a qualified audit opinion when in fact the financial statements are free from material misstatement) as the risk of this occurring is usually insignificant.

6.5.2 The inherent limitations of an audit

A valid question might be, “If the auditor does his job properly, won’t he eliminate the risk of expressing an inappropriate opinion, or in other words, reduce audit risk to zero?” The answer is that audit risk can never be completely eliminated due to the inherent limitations of an audit. These can be summarised as follows:

- *The nature of financial reporting itself*
- The auditor is forming an opinion on financial statements that include a great deal of information based on judgement, subjective decisions, and assessments.

- **The nature of audit procedures**
- There is always the possibility that management or others may not provide the auditor with complete information relating to the financial statements. Accordingly, the auditor can perform procedures related to the completeness of information but can never be 100% certain that all information has been recorded or conveyed to him
- Fraud, including collusion and falsification of documents, may be so sophisticated and expertly hidden that conventional audit procedures will be ineffective in detecting misstatement.
- An audit is not an official investigation into wrongdoing and, accordingly, the auditor does not have the legal powers necessary to pursue certain evidence.
- Most audit procedures are conducted on samples so there is always the risk that material misstatement will go undetected.
- **Time constraints**
If the auditor had unlimited time to conduct the audit, audit risk could probably be significantly reduced. However, the relevance and value of information diminish (rapidly) over time, so the audit must be completed within a reasonable period after the financial year-end. Time available should not be used as an excuse for not conducting the audit properly and can be addressed, to a large extent, by proper planning, but it does remain a limiting factor.
- **Cost/benefit**
- The same logic will apply to cost. It is too costly (and would take too long) to address all information and pursue every matter exhaustively, just to obtain that little extra bit of evidence when it produces no real benefit.

However, despite its limitations, the audit remains a very important function.

6.5.3 The link between audit risk and the audit process

The audit process is a combination of stages that the auditor goes through to be in a position to report on whether the financial statements are fairly presented. As it is today, the audit process has been developed over time by the profession in such a manner that if the process is followed, *audit risk* will be kept to an acceptable level. The International Standards on Auditing (ISAs) direct the audit process so it follows that compliance with the standards will result in audit risk being kept to an acceptable level. A clearer understanding of audit risk will help to put the audit process into context.

6.5.4 The components of audit risk

To better understand audit risk, we must understand its components. There are three “components” of audit risk, and in addition to defining these, we must consider the relationship between audit risk and its components and the components themselves. ISA 200 provides the necessary guidance. It is important to note that, although the ISAs refer to “risk of material misstatement”, ISA 315 (revised 2019) requires a separate assessment of inherent and control risk to provide a basis for designing and performing further audit procedures to respond to the assessed risks of material misstatement.

6.5.4.1 Inherent risk

Inherent risk is the susceptibility of an assertion about a class of transaction, account balance or disclosure, to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls. For example, transactions that require complex calculations, such as complex lease agreements, are inherently more likely to be misstated than simple transactions, such as purchasing goods.

Of course, as auditors, we would expect the client to put controls in place to ensure that the complex transaction is correctly recorded, but the transaction remains “inherently risky”. Another way of looking at it may be to describe inherent risk, as the “built-in” risk that an account balance, class of transaction or disclosure might have.

For example, there is more inherent risk relating to the valuation assertion for an inventory of diamonds in a jewellery business than to the valuation assertion of an inventory of cricket bats at a sporting goods wholesaler. A cricket bat is, and looks like, a cricket bat, but a diamond has inherent characteristics that make it difficult to identify (is it glass or zirconia?) and value (what number of carats it is, is it flawed, what colour is it?). The important thing is that the auditor must identify the inherent risk and respond to it. In this example, an expert may be called in to assist the auditor in the valuation of the diamonds. Expressed

another way, the risk of material misstatement is greater for an inventory of diamonds than it is for an inventory of cricket bats because of the inherent characteristics of diamonds compared to cricket bats. The auditor's response to the risk of material misstatement will vary accordingly.

ISA 200 explains that the inherent risk is higher for certain assertions and related classes of transactions, account balances, and disclosures than others. This variation is referred to as the "spectrum of inherent risk" (ISA 315 (revised 2019)). The degree of likelihood and magnitude (or combinations of likelihood and magnitude) will determine the assessment of the risk within the spectrum of inherent risk.

6.5.4.2 Control risk

The risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure that could be material, individually or when aggregated with other misstatements, will not be prevented or detected and corrected on a timely basis by the entity's system of internal control. Control risk is perhaps easier to understand than inherent risk. Simply stated, if the system of internal control does not do its job, there is a strong possibility that misstatement of which the auditor may not be aware will occur.

Control risk is a function of the effectiveness of the design and operation of the system of internal control in achieving its objectives but because of the limitations of internal control itself, it is improbable that a client's system will be perfect. Hence some control risk will exist. ISA 315 (revised 2019) states that "the entity's system of internal control, no matter how effective, can provide an entity with only reasonable assurance about achieving the entity's financial reporting objectives". The likelihood of achievement is affected by *limitations inherent to internal control*.

These limitations may be described as follows:

- Management's usual requirement that the cost of internal control does not exceed the expected benefits to be derived (cost/benefit). Control may be sacrificed due to the cost of implementing the control, thus increasing the risk that misstatement goes undetected. This is particularly so for smaller companies.
- Judgement errors on the nature and extent of the controls implemented and the risk assumed.
- Most internal controls tend to be directed at routine transactions rather than non-routine transactions (non-routine transactions may bypass controls, resulting in misstatement).
- The potential for human error due to carelessness, distraction, mistakes of judgement and the misunderstanding of instructions.
- The possibility of circumvention of internal controls through the collusion of a member of management or an employee, with parties inside or outside the entity.
- The possibility that a person responsible for exercising an internal control could abuse that responsibility, for example, a member of management overriding an internal control.
- The possibility that procedures may become inadequate due to changes in conditions, and compliance with control procedures may deteriorate (e.g., internal controls cannot handle a huge increase in sales).

It is not sufficient for the auditor simply to identify the presence of weaknesses in a client's system of internal control; the important exercise is evaluating the effect that the identified weaknesses may have on the financial statement assertions. To illustrate – your client, a wholesaler, routinely sells its products to retailers on credit. The internal controls for credit sales are sound. However, over time, the practice of selling to staff members and street hawkers for cash has crept in without adequate internal control activities being formalised.

For example, at Gupta (Pty) Ltd, no specific cash sale documentation has been developed, cash is not adequately recorded and regularly banked, and there is no segregation of duties between recording sales and banking of cash. What assertions may be affected? The obvious ones are *completeness* of sales (are all sales being accounted for?) and *completeness* of bank/cash on hand (is all the cash received being accounted for?). Perhaps a less obvious assertion at risk is the *completeness* assertion for liabilities. If sales are not being accounted for, profits will be misstated, and hence the liability to SARS for taxation will be understated.

6.5.4.3 Detection risk

The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, individually or when aggregated with other misstatements.

Detection risk relates to the nature, timing and extent of the auditor's procedures to respond to the risk of material misstatement and reduce audit risk to an acceptable level. Detection risk is a function of the effectiveness of an audit procedure and its application by the auditor, and may arise because the auditor:

- selects an inappropriate audit procedure, and/or

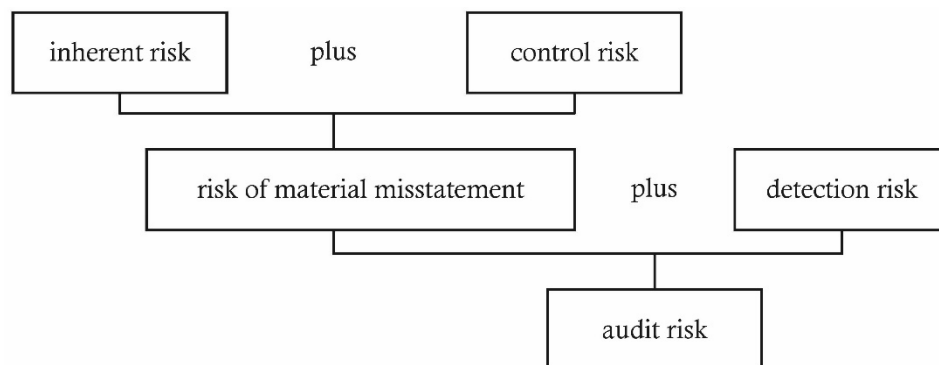
- misapplies an appropriate procedure, and/or
- misinterprets the results of the test.

Reducing detection risk is best achieved by complying with the relevant ISAs, particularly by:

- sound planning
- proper assignment of personnel to the engagement team
- the application of an appropriate level of professional scepticism, and
- proper supervision and review of the audit work performed.

6.5.4.4 Relationships between audit risk, inherent risk, control risk and detection risk and material misstatement

- ***Audit risk and the risk of material misstatement are not the same thing.*** Diagrammatically we can illustrate the difference as follows:



- ***The risk of material misstatement is made up of inherent risk and control risk***, for example, the risk of material misstatement will be highest where there is a high level of inherent risk relating to the assertion and controls are weak. If controls are very strong (i.e., low control risk) and there is low inherent risk relating to the assertion, then the risk of material misstatement relating to that assertion will be low. Here it is important to note that when the auditor does not intend to test the operating effectiveness of an entity's controls, the risk of material misstatement will be equal to the assessment of the inherent risk.
- ***Audit risk is a function of the risk of material misstatement and detection risk***, for example, if there is a high risk of material misstatement and the auditor does not respond with effective selection and application of audit procedures, the risk of expressing an inappropriate audit opinion (audit risk) will be very high. In other words, to keep audit risk to an acceptable level, the auditor must ensure that detection risk is kept to a low level by sound planning, proper assignment of personnel to the audit team, proper supervision, etc.

Think of it another way. If you evaluate your client's inherent risk and control risk as high, it means that there is a strong possibility of material misstatement being present in the financial statements. As the auditor, you must minimise the chance of expressing an inappropriate opinion on the financial statements, in other words, you must reduce this risk (audit risk) to an acceptable level. How do you do that? The answer is by adopting an appropriate audit strategy and plan; by assigning the right staff to the audit team (experienced and competent); having the audit team exercise professional scepticism; and, putting in place proper supervision and review procedures – *by doing these things you will be reducing the risk of failing to detect the misstatements that you expect (due to the high inherent and control risk) to an acceptable level.* As the auditor, you have no control over inherent risk or control risk, inherent risk is "built-in" risk and internal control is the responsibility of management. All you can do is to respond to these risks by reducing detection risk. Unlike inherent and control risk, detection risk is *controllable* by the auditor.

6.5.5 Conditions and events that may indicate risks of material misstatement

The following list provides examples of conditions or events that may suggest to the auditor that there is a risk of material misstatement in the financial statements under audit. Of course, such conditions or events do not mean that there is a material misstatement, but instead there is a possibility of material misstatement, that the auditor should consider. The list is not exhaustive.

1. The company's operations are exposed to volatile markets and/or are subject to a higher degree of complex regulation, for example, trading in futures.
2. Going concern and liquidity problems with the corresponding difficulty in raising finance.
3. Changes in the company such as a significant merger or reorganisation or retrenchments.
4. The existence of complex business arrangements such as joint ventures and other related party structures.
5. Complex financing arrangements, for example, use of off-balance sheet finance and the formation of special purpose entities.
6. Lack of appropriate accounting and financial reporting skills in the company.
7. Changes in key personnel, including the departure of key executives, for example, the financial director.
8. Deficiencies in internal control.
9. Incentives for management and employees to engage in fraudulent financial reporting include unfair remuneration structures, poor working conditions, and an autocratic environment.
10. Changes in the IT environment, including installations of significant IT systems related to financial reporting, or a weakening of the IT control environment, particularly regarding security.
11. A significant number of non-routine or non-systematic transactions at year-end, for example, inter-company transactions.
12. The introduction of new accounting pronouncements relevant to the company, for example, IFRS 15.
13. Accounting measurements that involve complex processes, events and transactions that involve significant measurement uncertainty.
14. The omission or obscuring of significant information in disclosures as presented to the auditor.
15. Pending litigation and contingent liabilities, for example, sales warranties and financial guarantees.

6.5.6 Different levels at which the risk of material misstatement must be assessed

ISA 315 (revised) requires that the risk of material misstatement be identified and assessed at financial statement level and at assertion level.

6.5.6.1 Risk at financial statement level

Risk at the financial statement level is the risk that affects the financial statements as a whole, and that filters down into the account balances and totals that make up the financial statements. It is the risk that pervades the financial statements. For example, if the client's management lacks integrity, the audit as a whole is inherently more risky than for the audit of a client whose management has a proven record of integrity. The effect of managements' lack of integrity may filter down into the financial statements as they attempt to manipulate the account balances and totals to suit their own purposes. Risks of this nature often relate to the client's control environment and are not necessarily identifiable with specific assertions at transaction, account balance or disclosure level. However, the auditor needs to consider carefully how high risk at financial statement level may affect risk at assertion level.

The rest of this chapter will focus on the information the auditor will seek in order to gain an understanding of the client, the following list illustrates the kind of information that might have an effect on the identification and assessment of risk at the financial statement level:

- the integrity of management
- management's experience and knowledge, for example, the financial reporting inexperience of management may affect the preparation of the financial statements of the entity
- unusual pressures on management, for example, circumstances that might predispose management to misstate the financial statements, such as the company facing going-concern problems or management bonuses being linked to financial performance, and
- the nature of the entity's business, for example, the significance of related parties, and the influence its shareholders (such as a holding company) may have on its financial reporting.

6.5.6.2 Risk at assertion level

This relates to the risk of misstatement at the assertion level for classes of transactions, account balances and disclosures. It is therefore essential that the auditor gather information that will enable him to identify and assess risk for each of the assertions applicable to the transactions, account balances and disclosures that are included in the financial statements. The following examples illustrate matters that will affect the risk at assertion level:

- information about the products the company sells, whether it sells to related parties, how sales are initiated, recorded and processed, what documentation there is relating to the sale that will assist the auditor in identifying and assessing the risk of material misstatement arising from the inclusion of sales that have not actually occurred or that do not pertain to the entity (i.e., the *occurrence assertion relating to a class of transaction*)
- information about the type of inventory held, the locations at which it is held, the physical and other controls and the nature, extent and reliability of the records detailing the movement of inventory will assist the auditor in identifying and assessing the risk of material misstatement arising from the inclusion of inventory that does not exist in the inventory account balance (i.e., the *existence assertion relating to an asset account balance*), and
- information about related parties, director's interests in contracts, pending litigation, share options and incentive schemes for directors (among others), will assist the auditor in identifying and assessing the risk of material misstatement arising from the omission of disclosures that should have been included in the financial statements (i.e., the *completeness assertion relating to presentation and disclosure*).

Of course, information gathered will frequently relate to more than one assertion and part of the skill of a good auditor will be the ability to link the information to the risk of material misstatement for all assertions that may be affected. Also remember that information pertaining to the assessment of material risk at the financial statement level may influence the assessment at assertion level. For example, if information gathered suggests that management may be predisposed to manipulate the financial statements, the risk of material misstatement relating to the *occurrence of sales* will increase because management could manipulate the financial statements by including fictitious sales.

6.5.7 Significant risks (ISA 315 (revised 2019) para 12)

1. ISA 315 (revised 2019) defines significant risk as identified risk of material misstatement for which the assessment of inherent risk is close to the upper end of the spectrum of inherent risk due to the combination of the likelihood and the magnitude of the potential misstatement (or risks that are significant in accordance with other ISAs). You may remember that the concept of “the spectrum of inherent risk” was referred to earlier.

Significant risks require specific audit responses and identifying risks as significant allows the auditor to focus more attention on those risks. In terms of ISA 315 (revised 2019), the auditor is required to carry out procedures to identify and assess the risk of material misstatement at financial statement and at assertion level, and as part of the assessment process, inherent risks may be assessed towards the upper end of the spectrum of inherent risk (due to their likelihood or magnitude). This is a matter of professional judgement. These risks (at the higher end of the spectrum) may then be classified as significant. This may differ from entity to entity and also from period to period for a specific entity. However, certain risks are to be treated as significant following another ISA (as stated above), such as ISA 240, that deals with the auditor's responsibility to consider fraud.

Wherever a risk is assessed on the spectrum, the auditor must respond appropriately. This is the key. For example, the risk relating to the valuation of a jewellery business inventory of diamonds will probably be regarded as high or *significant*. As discussed earlier, auditors will probably not know one diamond from the next and will not be able to judge its clarity, cut or carats to determine whether it has been fairly valued. Whether the auditor calls it a high risk or significant risk, he has assessed the risk of material misstatement in the inventory account heading as very likely and his response, in this case, is likely to involve making use of an expert. The further audit procedures (response to risk) will involve making use of an independent expert. Essentially, what is important is that the auditor identifies the risk of material misstatement comprehensively and responds accordingly, not whether the classification of the risk is “correct”.

2. As stated above, assessing the severity (likelihood and magnitude) of a risk is a matter of professional judgement. Risk of material misstatement with higher inherent risk, that may therefore be determined as a significant risk, may arise due to (ISA 315 (revised 2019)):

- transactions for which there are multiple acceptable accounting treatments such that subjectivity is involved
- accounting estimates that have high estimation uncertainty or complex models
- complexity in data collection and processing to support account balances
- account balances or quantitative disclosures that involve complex calculations
- accounting principles that may be subject to differing interpretations
- changes in the entity's business involve changes in accounting, such as mergers and acquisitions, and
- risks that may be deemed as significant in accordance with another ISA.

Below are some further explanations/examples of matters relating to the above that may be identified as significant risks:

- Risk of fraud, namely, if the auditor considers a risk of fraudulent manipulation of the financial statements, it would be a significant risk.
- Risk related to recent significant economic, accounting or other developments/changes, (the suggestion here is that where there are new conditions at a client that the auditor considers may give rise to a risk of material misstatement, the risk should be regarded as significant because the condition is new). For example, a company finds itself in severe financial problems for the first time in its history, to the extent that its going concern activity is seriously threatened.
- The complexity of the transactions (giving rise to the identified risk). For example, the audit client commences trading in derivatives and the auditor considers that there is a risk of material misstatement arising from the inappropriate application of the financial reporting standards relating to derivatives. Due to the complexity of derivative transactions *and* the fact that trading in derivatives is new to the company, this may be regarded as a significant risk.
- Risk that involves significant transactions with related parties. Because of the potential for non-arm's-length transactions occurring between the company and related parties, there may be a risk of material misstatement of related party transactions, and where such transactions are material and frequent, the risk should be regarded as significant.
- The degree of subjectivity in the measurement of the financial information related to the risk. The greater the subjectivity, the more likely the risk will be significant. For example, the valuation of plant and equipment for a large manufacturing company that has to account for numerous and varied impairments of its plant and equipment at year-end, will probably present a significant risk.
- Risk that involves significant transactions that are outside the normal course of the business, or otherwise appear unusual due to their size or nature. These transactions are unlikely to be subject to the normal, everyday routine control activities associated with the company's transactions and, therefore may well result in a material misstatement. Material loans to directors or sale of some of the company's manufacturing equipment might be regarded as significant.

Remember that the reason for identifying and assessing the risk is so that the auditor can determine the nature, timing and extent of further audit procedures. Grading the risks as higher or lower helps fine tune the audit plan and response appropriately. Before the actual determination of the response, the auditor will obtain an understanding of the company's controls relevant to the risk identified, as the company's controls will affect the auditor's response. For example, suppose management recognises the risk of material misstatement arising from related party transactions. In that case, they may have already implemented strict control activities over these transactions, such as additional authorisation requirements, monthly reports to the board on all such transactions, and sound procedures for identifying related parties. From an audit perspective this is likely to reduce the "significance" of the risk associated with related party transactions, but of course, will not eliminate it.

3. There is no unique set of procedures that the auditor carries out to respond to significant risks. By definition, a significant risk is important and if it is inadequately addressed, could lead to material misstatement going undetected. It is logical, therefore, that the engagement partner would concentrate on:

- getting the composition of the audit team right concerning knowledge, experience and attitude (good level of professional scepticism)

- carefully evaluating the full effect of the significant risk *and* how it may manifest itself. For example, if the audit manager thinks that there is a significant risk that management may manipulate the financial statements, he should consider very thoroughly how this could be done. Fictitious sales, overstating inventory, making use of related parties, etc., are all methods of manipulating financial information, and the audit team will need to respond to all these methods, and
- all assertions affected should be identified and the *best quality* evidence should be sought by the audit team using normal audit procedures, such as inspection, confirmation, and enquiry.

6.5.8 “Stand-back” provision (ISA 315 (revised 2019) para 36)

ISA 315 (revised 2019) introduces a provision that is generally referred to as the “stand-back” provision. The purpose of this provision is to ensure that there is no risk of material misstatement relating to material classes of transactions, account balances and disclosures being left unidentified, thus confirming that the risks identified are complete. Therefore, after the auditor has identified and assessed the risk of material misstatement and subsequently identified all significant classes of transactions, account balances and transactions, the auditor will have to consider the classes of transactions, account balances and disclosures that have not been classified as significant but are material. The ISA states that “classes of transactions, account balances or disclosures are material if omitting, misstating or obscuring information about them could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements as a whole”.

6.6 The concept of materiality

6.6.1 Introduction

Materiality is a fundamental concept in auditing. The objective of the audit is to express an opinion on whether the financial statements are fairly presented in all material respects. The audit report is a statement by the auditor that, in his opinion, the financial statements do not contain *material* misstatement. It is generally understood and accepted by users of financial statements that the amounts reflected in the financial statements are not 100% accurate and may contain a margin of error or uncertainty. However, this margin of uncertainty must be acceptable to users otherwise, the financial statements are of little value. Once the misstatement falls outside the acceptable margin, it becomes *material* and is likely to affect the users’ decisions.

Two ISAs relate to “materiality” in the context of the audit of financial statements:

- ISA 320 – Materiality in planning and performing an audit, and
- ISA 450 – Evaluation of misstatements identified during the audit.

ISA 320, as its title suggests, is concerned with materiality at the planning and performing stage of the audit, (i.e., setting materiality levels to assist in the planning and performance of the audit), while ISA 450 is concerned with materiality as part of evaluating the effect of misstatements identified in the audit, and of uncorrected misstatements on the financial statements, to form an opinion on fair presentation.

ISA 320 is a very general statement and is not particularly prescriptive. This is mainly because while an understanding of materiality in auditing is essential, how firms implement the concept varies considerably. Essentially the statement presents the principles and leaves the rest up to the auditor.

In its discussion on materiality, ISA 320 explains that:

- misstatements, including omissions, are considered to be *material* if they, individually or in aggregate could reasonably *be expected to influence the economic decisions* of users taken based on the financial statements
- judgements about materiality are made in the light of surrounding circumstances and are affected by the *size or nature* of a misstatement, or a combination of both, and
- judgements made by users of the financial statements about material matters are based on a consideration of the common financial information needs of users, *not* specific individual users.

A less formal explanation might be that a matter will be material if a user of financial statements should know about it when making a decision based on the financial statements.

The difficulty for the auditor is that he is required to decide what users of the financial statements as a group will regard as material in the context of fair presentation. Judgements about what is material to users

of the financial statements are based on considering the common financial information needs of users and not the needs of specific individuals. In making these judgements, the auditor is entitled to assume the following:

- users have a reasonable knowledge of business and economic activities and accounting and a willingness to study the information in the financial statements with reasonable diligence
- users understand that financial statements are prepared, presented and audited to levels of materiality (i.e., users know financial statements are not 100% correct)
- users recognise the uncertainty in the measurement of amounts based on the use of estimates, judgements and the consideration of future events, and
- users make reasonable economic decisions based on the information in the financial statements.

In terms of the IASB “Framework for the Preparation and Presentation of Financial Statements”, financial statements that meet the needs of providers of risk capital to a company will also meet the needs of most other users of the financial statements. This essentially means that in deciding on what is material to users, the auditor can assume that what is material to investors in the company will be material to other users.

6.6.2 The nature of materiality

6.6.2.1 Materiality is subjective

Ten auditors would probably come up with ten different decisions when setting a materiality level (i.e., the level of acceptable misstatement) at the planning stage, at the performance stage or deciding on whether a particular matter is material to fair presentation at the evaluating stage. It is not a defined concept, and professional judgement will play a large part in the decision.

For example, if accounts receivable is reflected in the annual financial statements at R500 000, would an overstatement of R5 000 be material? R10 000? R20 000? R50 000? There is no definite answer. Of course, the auditor does not decide on a materiality level by just choosing a nice round figure. Other factors will also have to be considered, such as the size of the accounts receivable balance in relation to the current assets and total assets, as well as the profit or loss that has been made for the period. The auditor may be able to accept an overstatement of R50 000 in the accounts receivable balance itself, but if the overstatement is due to an understatement of the allowance for bad debts, then it will be necessary for the auditor to consider the misstatement in relation to the profit or loss made by the company as well. Remember that the auditor has to make judgements about what users will consider being an acceptable level of misstatement.

6.6.2.2 Materiality is relative

What is “material” will vary from user to user and from audit client to audit client. What is regarded as material for the financial statements of a medium-sized company, may be totally insignificant to an international conglomerate, and a matter that is material to a private investor may be insignificant to a “unit trust” investor.

Because materiality is relative, it is necessary to establish bases against which it can be measured.

For example, a misstatement of R50 000 is material *relative* to net income of R500 000, but not material *relative* to net income of R5 000 000. We cannot say that R1 000 000 is material just because it is a large amount (to us!) because it is simply not material in the case of a large company. If a listed company’s net profit is misstated by R1 000 000, users’ decisions are unlikely to be influenced.

Instead of just using a convenient pre-established amount, audit firms may use percentages of account headings or account groupings as a starting point or benchmark for setting the level.

For example:

<i>Account heading/grouping</i>	<i>%</i>
Net profit before tax :	5%
Current assets :	5%
Current liabilities :	3%
Total assets :	3%
Turnover :	1%

Note: This is only an illustrative example – other account headings/grouping may be used. Percentages may also vary and may be presented as a range, for example, Turnover $\frac{1}{2}$ to 1%. Benchmarks may also vary considerably from industry to industry. For example, benchmarks that may be appropriate for an audit at a supermarket company may not be appropriate for a company that runs hospitals, as the relationships between account balances within the financial statements differ from industry to industry – a supermarket company will have very high turnover and low profit margins, while hospital companies may have lower turnover but higher profit margins.

Perhaps the most important point to make here is that the vast majority of misstatements affect the comprehensive statement of income and the statement of financial position but can be material to one and *not* to the other.

For example, a company has total assets of R3 000 000 and net income before tax of R250 000. An error in the calculation of depreciation has resulted in an overstatement of fixed assets of R40 000. If the above percentages are used, this misstatement *would not be* material relative to the guideline for total assets (3% of R3m) but *would be* material relative to the guidelines for net profit before tax (5% of R250 000).

For this reason, most auditing firms will use net income before tax as the base to measure the materiality of the misstatement, particularly because net income before tax is an important figure for most users.

It is interesting to note that ISA 320 recognises the use of benchmarks but does not prescribe any percentages to be used in setting materiality levels. This serves to emphasise the subjectivity surrounding the concept and the need to use professional judgement.

6.6.2.3 Materiality can be both quantitative and qualitative

An amount that is quantitatively material will exceed the amount that the auditor determines is material, (i.e., the amount of misstatement that could influence a users' decision).

For example, an overstatement in inventory of R100 000 may exceed the preset materiality level of R80 000. If this is the basis on which materiality is determined, it follows that an overstatement of R79 999 would not be material.

A matter that is *qualitatively* material will be one that is regarded as material when judged against a factor other than an amount.

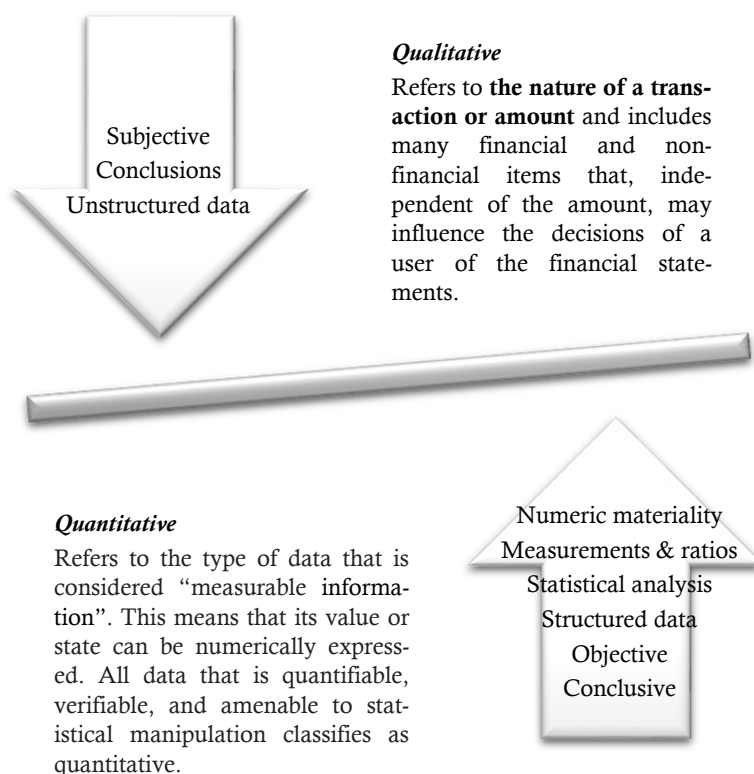
For example, important disclosures may be omitted from the financial statements. If this omission influences a user, it becomes qualitatively material. Disclosure is not the only qualitative factor to be considered.

The auditor should consider both the quantitative and qualitative aspects of materiality as a matter may be material in respect of one and not the other.

For example, assume that the amount of misstatement the auditor can accept in the accounts receivable balance is R100 000. If the auditor discovers errors of R90 000 in the balance arising from genuine mistakes such as receipts from debtors inadvertently not accounted for or credit notes not passed, even if the errors were not corrected, the auditor would accept that the errors that were not corrected were *quantitatively* immaterial. If, however, the auditor identified a misstatement of R90 000 arising from the deliberate inclusion of fictitious debtors in the account balance, the auditor would regard this as *qualitatively* material and would not accept it, despite the amount being below the R100 000 limit.

Another example might be that the auditor discovers R75 000 included in the accounts receivable balance, which is a loan to a director. Loans to a director attract disclosure requirements, and if these have not been met (which is likely in this situation), the misstatement of accounts receivable would be *qualitatively* material, although not *quantitatively* material.

A comparative example of quantitative vs. qualitative information is provided below:



6.6.3 Planning materiality and performance materiality

In terms of ISA 320, the concept of materiality is applied at the planning stage of the audit, (*planning materiality*) during the performance of the audit (*performance materiality*), and at the evaluating stage of the audit (*final materiality*). Final materiality is dealt with later in the chapter.

6.6.3.1 Planning materiality

When planning the audit, the auditor makes judgements about misstatements that will be considered material. Having an idea about the size of misstatement he is looking for assists the auditor in:

- determining the nature, timing and extent of risk assessment procedures
- identifying and assessing the risks of material misstatement, and
- determining the nature, timing and extent of further audit procedures.

Note: Considering the *nature* of potential misstatements in *disclosures* is relevant to the design of audit procedures to address the risk of material misstatement. For example, the auditor may anticipate that contingent liabilities may be omitted or inadequately described. A response to this risk will be built into the audit plan.

Planning materiality is in a sense, an overall guideline to the audit and is the auditor’s judgement as to the amount of misstatement a user can “live with”.

(a) Setting planning materiality levels

In terms of ISA 320, when establishing the overall audit strategy, the auditor is required to determine “materiality for the financial statements as a whole” and may also establish materiality levels to be applied to classes of transactions, account balances or disclosures. This means that in principle (and in practice) there will be a planning materiality level set for the financial statements as a whole and planning materiality levels (of lesser amounts) to be applied to classes of transactions, account balances and disclosures.

Setting planning materiality levels for the financial statements involves quantifying the amount of misstatement that the auditor believes could be present in the financial statements without affecting fair

presentation. In the introduction to this chapter, we pointed out that financial statements are not 100% accurate and users understand that; but what is acceptable? 95% correct, 80% correct? Setting a materiality level is an attempt to quantify the level of misstatement that is acceptable. This is done so that the audit can be planned to make provision for a reasonable chance of identifying misstatements that would exceed the acceptable level of misstatement. As a result, we might say that as an overall “guide”, the financial statements could be out by R1 000 000 and still be fairly presented.

However, setting a planning materiality level at the overall financial statements level *does not really mean a great deal*. This is because the audit is carried out on individual account balances and classes of transaction and disclosure, and this is the level at which the audit must be planned. Therefore, the next step will be to consider the amount of misstatement that could be tolerated within an account heading before fair presentation of that account heading is lost. Setting planning materiality for classes of transactions and account headings is very subjective and requires significant professional judgement. Audit firms have different ways of approaching this, but the principles remain the same (i.e., the auditor should consider what amount of misstatement each account heading can contain before it is no longer fairly presented). This decision will directly bear on the *extent* of testing and may change the *nature* and *timing* of testing as well.

(b) Factors may be considered when quantifying planning materiality

Remember that the auditor uses his judgement to decide how much misstatement users of the financial statements would be prepared to accept, knowing that the financial statements are a fair presentation and not a “100% correct” certification. The following factors may influence the auditor’s thinking:

- **The use of benchmarks** is probably the most common starting point and was discussed under the nature of materiality at 7.3.2.2.
- whether the applicable financial reporting framework may affect the users’ expectations regarding the measurement or disclosure of certain items, such as directors’ remuneration, and related party transactions. Such matters are of general but often significant interest to users and should be presented as fairly as possible.
- **Importance of specific information to users**
For example, a bank has provided a long-term loan to the client. One of the terms/conditions of the loan is that the client must maintain a preset current ratio. If this is not achieved, the loan must be repaid within six months. The auditor would regard current assets and current liabilities as having increased importance, as a user (the bank) will be specifically relying on the fair presentation of the amounts reflected under these account headings. The auditor would plan the audit to ensure that current assets and current liabilities are fairly presented.
- The **key disclosures** in relation to the industry in which the entity operates, for example, research and development costs and disclosures in the pharmaceutical industry, or bonuses paid in the banking industry, particularly to directors. The auditor will want to be sure that these amounts and disclosures are as fairly presented as possible.
- **Legal requirements** – the same logic will apply where legal or regulatory requirements govern financial information, for example, an amount or fact that must be specifically disclosed in terms of the Companies Act or an accounting standard or JSE regulations should be carefully and thoroughly audited to ensure that misstatement (quantitative or qualitative) is kept at an acceptable level. Users expect fair presentation of these amounts and disclosures as they are of specific interest.
- The opinions, views and expectations on materiality of **those charged with governance and the audit committee**.

6.6.3.2 Performance materiality

Performance materiality levels will be set when the auditor performs tests on specific account balances or classes of transactions. (Ignore disclosure for the moment.)

For example, let us say that the auditor sets planning materiality for the audit of inventory at R100 000. Simplistically, this means that the auditor is satisfied that fair presentation of inventory will still be achieved even if material misstatement of up to R100 000 in the inventory balance is not detected. So does this mean that when the auditor carries out the audit of inventory, his objective will be solely to detect errors that are individually over R100 000? The answer is no, for the following reason: The R100 000 planning materiality limit is the maximum or total amount of misstatement that the auditor considers

acceptable for inventory. If the auditor only looks for individual errors of R100 000, he will be overlooking the fact that the inventory balance could still be overstated by individual errors of less than R100 000 but that in aggregate (total) exceed R100 000, errors of (say) R45 000, R70 000 and R13 000. Performance materiality is again a matter of professional judgement and is not a simple mechanical exercise. Because performance materiality levels are lower (stricter) than planning materiality levels, larger samples (extent of testing) will be tested. This is logical. In this example, the auditor is not looking for individual errors exceeding R100 000 but rather for smaller errors that, when added together, exceed R100 000.

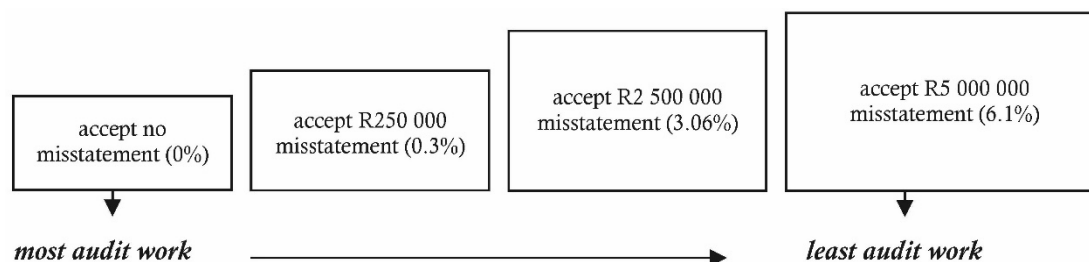
In terms of ISA 320, the auditor must determine performance materiality for the purposes of:

- assessing the risks of material misstatement (in the class of transactions, or account balance), and
- determining the nature, timing and extent of further audit procedures.

Again, this is logical. If the auditor does not quantify what a material misstatement is, he will not know what he is looking for or how to find it!

For example, if you were told by your audit senior to identify and assess the risk of material statement occurring in the accounts receivable balance of R2 000 000, you would need to know, among other things, what amount would be considered to be material. Are you considering the risk of misstatement of R5 000 or R500 000? The risk that the accounts receivable balance is “misstated” by R5 000 is probably very high, but the risk that it is misstated by R500 000 is probably very low. Similarly, when you carry out the audit plan to respond to your risk assessment, the procedures that you would conduct to ensure that the probability that the aggregate of uncorrected and undetected misstatements does not exceed R5 000 is reduced to an appropriately low level will be very different to those you would conduct if the materiality level were R500 000. Misstatements of R500 000 in a balance of R2 000 000 should not be too difficult to find, but misstatements of R5 000 (in aggregate) could require far more audit work. The materiality levels given in this example are somewhat ridiculous, but they illustrate the point!

As you will have gathered, the performance materiality level set will directly affect the nature, timing and extent of testing. Consider the following hypothetical example: The statement of financial position (balance sheet) of The Zed Company Ltd, a listed company, reflects an inventory balance of R81 463 000. Let us assume a range of four possible planning materiality levels for the audit of inventory.



If users of The Zed Company Ltd’s financial statements insisted that no amount of misstatement was acceptable in the inventory balance, we would have a materiality level of 0 (zero). To satisfy the users that there were no misstatements in inventory, we would have to count and price every single inventory item and ensure that every item was saleable at above cost, and in perfect condition. We would also have to ensure that every single item of inventory purchased or sold has been accounted for, and so on. Of course, this is a highly theoretical situation, but it illustrates the point that the extent of audit work would be huge (extent), every kind of audit procedure would have to be used (nature) and we would take all year to do the audit (timing)! The cost of the audit would be astronomical. It is an impossible situation.

If the users had decided that they would accept R250 000 of misstatement, it follows that we could test less extensively. This is because even if R250 000 of misstatement is present but is not identified, users will not be concerned, as misstatement of up to R250 000 will not influence their decisions. Based on this premise, if users had decided that R2 500 000 or R5 000 000 of misstatement was acceptable, we could test even less. The difficulty is that users do not conveniently inform the auditors of what amount of misstatement is acceptable – that is left to professional judgement!

Also, just a reminder – performance materiality levels take into account the fact that we test for misstatement that in aggregate might exceed the planning materiality level. Performance materiality will be a lower amount than planning materiality.

It does not end there – we must also remember that an error in inventory is not going to be confined to one account balance only and could result in material misstatement elsewhere in the financial statements.

Take net profit before tax as an example. To illustrate the point very clearly, The Zed Company Ltd made a net profit before tax of only R2 604 000 in the year 0002 (and a loss in year 0001), so a misstatement in inventory of R2 500 000 or R5 000 000 would have a significant effect on net profit before tax and the financial statements as a whole, even though the misstatement is a small percentage of current and total assets. Expressed another way, a misstatement of R2 500 000, that affects both inventory and net profit before tax could *not* be regarded as *immaterial* as it has a significant effect on the company's profit despite being "not material" to the inventory balance.

6.6.3.3 Planning for qualitative misstatement

Qualitative misstatement essentially deals with disclosure. Having obtained a thorough understanding of the entity and its environment before considering planning materiality, the auditor should have a good idea about disclosures that, if omitted or inadequately presented, could influence the user's decision.

For example:

- inadequate or improper descriptions of accounting policies that could mislead the user
- related party transactions
- directors' remuneration
- litigation in which the client is involved, or
- failure to disclose the possible cancellation of a manufacturing licence or the loss of a substantial market.

Alerted to the possibility of these qualitative misstatements, the auditor formulates the audit plan to address them. Some of the tools in the auditor's toolbox will be used to identify qualitative matters, for example, inquiry and inspection. Experienced staff may be used to determine whether the qualitative misstatements have been appropriately dealt with.

6.6.3.4 Revision of planning and performance materiality levels

Once a planning materiality level has been set, can it be changed as the audit progresses? The answer is yes. Planning materiality levels (whether for the financial statements as a whole or for a class of transactions or account balances) are based upon the auditor's initial understanding of the entity. If, after setting planning materiality, the auditor obtains further information that would have affected his thinking about planning materiality, he can change the planning materiality levels. Remember that planning materiality is the auditor's "estimate" of what users of the financial statements would regard as the acceptable level of misstatement that could be present in the financial statements without influencing their decisions. If the auditor discovers something that would have affected his initial "estimate", he should change it.

For example, when setting planning materiality, the auditor may not have known that strict debt covenants, that require the company to satisfy a range of financial ratios if it wishes to retain the loan, had been added to the agreements with loan providers. This would warrant a change in the planning materiality levels initially set as the needs and expectations of (some) users (loan providers) will probably have changed. The margin of misstatement they are prepared to accept in the account balances that affect the debt covenant ratios will have been reduced. Another example is as follows. During the audit, long after having set planning materiality, the auditor discovers that the financial statements will be submitted to the Department of Trade and Industry (DTI) from whom the audit client wishes to borrow money. Before they advance a loan the DTI requires, among other things, that the company's AFS reflect certain profit, turnover and asset "levels". As the auditor now knows a user's reliance on specific balances in the financial statements, his estimate of planning materiality is likely to change. There is greater risk of misstatement in these balances because the client may be tempted to manipulate them to satisfy the "levels" required by the DTI.

Performance materiality directly influences the extent (and nature and timing) of the further audit procedures that are conducted by the audit team on a particular class of transactions or account balances. The auditor sets performance materiality to match his assessment of the risk of material misstatement in the class of transaction or account balance. If the information that comes to the auditor changes his initial assessment of the risk of material misstatement, performance materiality may need to change. This will, in turn, change the "further audit procedures" that must be performed to reduce audit risk to an acceptable level.

Finally, in practice, preliminary judgements about materiality may be based upon preliminary or draft figures. If this is the case, the auditor will need to consider whether planning materiality will be adjusted if the client's final figures differ substantially from the draft figures.

6.6.4 Materiality at the evaluating stage (final materiality)

6.6.4.1 Introduction

ISA 450 – Evaluation of misstatements identified during the audit, guides how the auditor should proceed with regard to misstatements identified on the audit. The statement says that the auditor must

- evaluate the effect of identified misstatements *on the audit, and*
- evaluate the effect of uncorrected misstatements if any, on the *financial statements*.

Final materiality is the materiality level or guideline against which the auditor measures the effect of uncorrected misstatements on the financial statements. Although discussed under Materiality in this chapter, it is important to note that this forms part of the conclusion phase of the audit.

6.6.4.2 Misstatements

- ISA 450 defines a misstatement as “a difference between the reported amount, classification, presentation or disclosure of a financial statement item and the amount, classification, presentation or disclosure that is required for the item to be in accordance with the applicable accounting framework”.
- Misstatements (errors) may arise from:
 - an inaccuracy in gathering or processing data
 - an omission of an amount or disclosure (including inadequate or incomplete disclosure)
 - an incorrect accounting estimate arising from overlooking, or clear misrepresentation of, facts
 - judgements of management concerning accounting estimates that the auditor considers unreasonable or the selection of accounting policies that the auditor considers inappropriate
 - an inappropriate classification, aggregation or disaggregation of information, or
 - an omission of a disclosure that is *necessary* for the financial statements to achieve fair presentation but that is not *specifically* required by the accounting framework adopted for the presentation of the financial statements.
- Misstatements can arise from error (as described above) or from fraud, that is dealt with later in this chapter.
- ISA 450 requires that the auditor accumulate (record) all misstatements identified on the audit unless they are clearly trivial. Clearly trivial should be taken to mean that the misstatement is very small, insignificant and inconsequential. “Clearly trivial” is *not* another phrase for *not material*; because a misstatement falls below the materiality level it does not mean it is automatically regarded as trivial and therefore not part of the accumulation of misstatements.
- Uncorrected misstatements that the auditor has accumulated during the audit but have not been corrected by the client.

6.6.4.3 Consideration of identified misstatements as the audit progresses

Essentially this requirement is about the auditor monitoring how the audit is going in respect of what the auditor expected and what is reflected by the materiality levels and audit strategy and plan that were put in place. If misstatements identified on the audit suggest that things are not going as expected or planned, the auditor may need to revise the audit strategy and plan.

For example, the auditor conducts further audit procedures on the existence of inventory. Suppose the number of instances where the existence of the inventory items is in question is beyond what is expected by the auditor, and the value of the (non-existent) items identified is material or may be approaching materiality. In that case, the auditor will need to consider whether the audit plan needs to be revised. The instances of non-existence identified may suggest to the auditor that fraud has taken place or internal controls have broken down and that a revised plan to respond to these “new” risks must be implemented. The auditor may choose to extend his testing (and/or change the nature of testing) or request management to conduct the necessary tests to identify missing (non-existent) inventory.

6.6.4.4 Evaluating the effect of uncorrected misstatements on the financial statements

This is about making the final materiality decision – in other words, the auditor now has to decide what to do about any uncorrected misstatements. The auditor needs to judge whether the uncorrected misstatements are likely to influence the decision of a user. To understand final materiality, we perhaps need to

remind ourselves of what has happened so far on the audit. Having gained an understanding of the client, identified and assessed risk, formulated an audit plan, the auditor is in a position to carry out further audit procedures. These procedures are usually performed on *samples* of populations, for example, sales, debtors, and creditors. Audit conclusions, however, must be drawn about the *populations* from which the samples came; therefore, if there are errors in the sample, the auditor must do the following:

(a) Analyse and project the errors in the sample over the population sampled

If a statistical basis has been used for selecting the sample, the appropriate statistical method for projecting the error in the sample over the population, will be used. Most often however, auditing firms use a proportional projection method, for example:

$$\frac{\text{error value in sample}}{\text{total value of sample}} \times \text{total value of population}$$

to obtain an idea of the extent to which the population is misstated.

Whatever method of projection is used, if the projected misstatement for the population is unacceptable, the auditor must:

(b) Decide whether the audit team should carry out further tests, or whether the client should be asked to check the population in detail for other errors

After this process has been completed, the auditor must:

(c) Discuss all misstatements with management in an attempt to have them rectified

If management refuses to correct misstatements, the auditor is left with what are termed, uncorrected misstatements (commonly referred to as unresolved audit differences), and it is at this point that final materiality comes into play. The auditor must now decide whether the uncorrected misstatements are immaterial, (i.e., their presence will not influence a user's decision), or whether they are material. If they are material, failure to correct them will result in financial statements that contain more misstatement than is acceptable, (i.e., some aspects of the financial statements are not "presented fairly"), and the auditor will have to modify the audit opinion. Making this decision is not just a matter of deciding that final materiality will be equal to planning materiality and that any errors over the planning materiality level will be material. There are several factors to be considered at the evaluation stage. These are discussed in (d) below. At this point you may be asking yourself why management might not want to correct all misstatement. Most often, they will, but sometimes they will not. The reasons for this are that management may:

- **disagree that there is a misstatement;** for example, the client genuinely believes that its estimation of inventory obsolescence is fair but the auditor thinks it is too low
- **not regard the misstatement as material;** that is, management does not believe that leaving the misstatement uncorrected will influence a user's decision
- **have ulterior motives;** for example, the directors wish to achieve particular ratios based on figures in the financial statements. If corrections that the auditor requests are made, the ratios that management wishes to achieve, will not be reflected
- **regard it as "too much hassle" to make the changes;** for example, the adjustment would mean changing the income statement, statement of financial position, consolidation, supporting schedules, etc., or
- **be unconcerned about receiving a qualified audit opinion.**

(d) Factors to be considered in evaluating uncorrected misstatements

At the planning stage, the auditor used his professional judgement to set a level of misstatement that could be present in the financial statements without influencing users' decisions. Suppose the audit goes as expected and the auditor has no reason to change this planning materiality level. In that case, it is logical that any uncorrected misstatement should be measured against this planning materiality amount to determine whether it is material for final materiality evaluation purposes. However, as we indicated earlier, evaluating uncorrected misstatements is not just a matter of comparing the misstatement to a quantified amount and disregarding those below the amount as *immaterial*. As ISA 450 says,

"the circumstances related to some misstatements may cause the auditor to evaluate them as material, individually or when considered together with other misstatements, even if they are lower than materiality for the financial statements as a whole."

- ***Factual misstatements, judgemental and projected misstatements***

- A “factual misstatement” is a misstatement that the auditor (and therefore the client) can clearly identify and substantiate with supporting evidence, for example, sales invoices that have been included in the wrong period. They are misstatements about which there is no doubt.

A “judgemental misstatement” is a difference arising from management judgements, including those concerning recognition, measurement, presentation and disclosure in the financial statements (including the selection or application of accounting policies) that the auditor considers unreasonable or inappropriate.

- A projected misstatement is the auditor’s best estimate of misstatements in populations, involving the projection of misstatements identified in audit samples over the entire population from which the sample was drawn.

The auditor makes this distinction as it will affect the attitude or stance that is adopted when dealing with the treatment of the uncorrected misstatements. If the error is a factual misstatement, the auditor may be more forceful in requesting that the error be corrected, and if the client refuses, the auditor is on strong ground if he decides to qualify the audit opinion. Where it is a judgemental or projected misstatement, the auditor will have to be less forceful and open to further discussion and negotiation with regard to insisting on correction and qualifying the report, because of the error’s subjective nature.

- ***When evaluating the effect of uncorrected misstatement*** ISA 450 requires that:

- each individual misstatement of an *amount* be considered to evaluate its effect on the relevant classes of transactions, account balances or disclosures, including whether the materiality level for that particular class of transactions, account balance or disclosure, if any, has been exceeded.
- each individual misstatement of a *qualitative disclosure* is considered to evaluate its effect on the relevant disclosures, and on the financial statements as a whole. The evaluation of the effect of a qualitative disclosure misstatement is a matter of professional judgement.

- ***Offsetting uncorrected misstatements against each other*** – it is theoretically unsound to offset uncorrected misstatements against each other to reduce the “effect” of misstatements.

For example, a material misstatement that results in an overstatement of say, R100 000 in inventory should not be offset against an understatement of say, R120 000 in accounts receivable (or an overstatement of accounts payable) to reduce the “misstatements” to a net of R20 000. Likewise, as indicated in ISA 450, if revenue has been materially overstated, the financial statements as a whole will be materially misstated, even if the effect of the misstatement on earnings has been completely offset by an equivalent overstatement of expenses.

- ***Circumstances*** related to some misstatements may cause the auditor to evaluate them as material even if they are lower than materiality for the financial statements as a whole. Circumstances that may affect the evaluation include the extent to which the misstatement:

- ***affects compliance with regulatory requirements***, for example, the misstatement or omission of amounts relating to directors remuneration may be regarded as material even though the amounts are below the materiality level
- ***affects compliance with debt covenants or other contractual requirements***, for example, an uncorrected misstatement in inventory may not be material in terms of the materiality level but may affect compliance with a requirement (covenant) in a loan contract that inventory does not exceed a certain amount or percentage of current assets
- ***impacts on ratios or trends*** that are “popular” with users of the financial statements in evaluating the entity’s financial position, results of operations or cash flows, for example, earnings per share
- ***has the effect of increasing management earnings***, for example, a company may pay its management a bonus based on net profit, before taxation. Therefore, all misstatements that affect net profit before tax that remain uncorrected will also affect management’s bonuses. Even though management may be reluctant to correct such misstatements, the audit may “insist” upon the correction of such misstatements even though they are not quantitatively material. Bonuses paid to management should be as accurate as possible
- ***relates to items involving particular parties***, for example, contracts entered into by the company in which a director has a financial interest, should be disclosed. If the company omits this disclosure, the auditor cannot disregard this misstatement because the value of the contract is below the materiality level, and

- *reflects a level of dishonesty by the directors*, for example, if the materiality level is R100 000 for the accounts receivable balance and the auditor discovers that an unauthorised loan of R75 000 to a director has been “hidden” in the accounts receivable balance, the auditor cannot regard this as an *immaterial misstatement* because it is below the materiality level of R100 000.

The list of circumstances given above is not exhaustive. However, it is sufficient to illustrate that when evaluating the effect of uncorrected misstatements on the financial statements, both quantitative and qualitative factors must be considered by the auditor.

- *Misstatements should not be considered in isolation* – although each individual misstatement is considered to evaluate its effect on the relevant classes of transactions, account balances or disclosures, misstatements must be aggregated (added together) for evaluation purposes. Remember that an individual misstatement in say, inventory may be below the materiality level but when added to other individual misstatements that are also below the materiality level, the aggregate misstatement may be above the materiality level. Similarly, if misstatements are being measured against a materiality level for total assets, then the aggregate (total) of uncorrected misstatements relating to account balances making up total assets must be used for evaluation purposes.

(e) Should final materiality equal planning materiality?

The answer is that the final materiality the auditor uses to evaluate uncorrected misstatements should be equal to the planning materiality eventually used on the audit. This of course, may not be the auditor’s initial planning materiality because, as we have seen, the initial planning materiality can change as the audit progresses. However, if you think about it, the planning materiality the auditor eventually uses is his best estimate of the amount of misstatement users will accept in the financial statements, so uncorrected misstatements must be evaluated against this amount.

6.6.5 Conclusion

No magic formula tells the auditor what the planning and performance materiality levels should be. It is a matter of judging the circumstances of each client separately. You will undoubtedly feel uneasy with this topic, but this is not surprising – understanding the concept is straightforward, its application less so. The entire question of “what is material” and “how should it be addressed” causes most practitioners some concern, and it is only years of experience that build confidence and improve professional judgement.

6.7 The auditor’s responsibilities relating to fraud in an audit of financial statements

6.7.1 Introduction

As a result of the increase in fraud worldwide, particularly the now notorious frauds at Enron, Parmalat, LeisureNet, Steinhoff and VBS Bank to name just a few, a lot of attention has been focused on the accounting profession. Such questions as “where were the auditors?” and “why didn’t the auditors pick up the fraud?” have been asked repeatedly. While these questions may be very simplistic and naïve, the profession moved quickly to address the issue by, among others, substantially increasing reference to fraud in its auditing pronouncements. ISA 240 – The auditor’s responsibilities relating to fraud in an audit of financial statements deals with this topic in depth.

6.7.2 Auditor’s objective

In terms of ISA 240 – The objectives of the auditor are to:

- identify and assess the risk of material misstatement of the financial statements due to fraud
- obtain sufficient, appropriate audit evidence regarding the assessed risk of material misstatement through designing and implementing appropriate responses
- respond appropriately to fraud or suspected fraud identified during the audit.

6.7.3 Terminology – Definitions (compiled from various sources in ISA 240)

- **Error.** This term refers to an *unintentional* act that results in a misstatement in the financial statements and may include:
 - a mistake in gathering or processing data from which financial statements are prepared, for example:
 - mathematical or clerical mistakes (e.g., incorrect depreciation calculations)
 - omission of a transaction (e.g., failure to record a sale)

- oversight or misinterpretation of facts (e.g., charging incorrect rates of interest as a result of failing to understand the terms of the loan agreement)
- misapplication of accounting policies (e.g., capitalising an operating lease through ignorance of the financial reporting standards).
- **Fraud.** This term refers to an *intentional* act by one or more individuals among management, those charged with governance, employees or third parties involving the use of deception to obtain an unjust or illegal advantage.
- **Fraud risk factors.** This term relates to events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud.
- **Management fraud.** This term relates to fraud involving one or more members of management or those charged with governance.
- **Employee fraud.** This term relates to fraud involving only employees *not* management or those charged with governance.
- **Fraudulent financial reporting.** Fraudulent financial reporting involves intentional misstatements, including omissions, in financial statements to deceive financial statement users, for example, the directors deliberately understate the liabilities and overstate the assets of their company to secure a loan from a bank, or they manipulate earnings either to reduce taxation or increase their own performance-based remuneration. Fraudulent financial reporting, that will normally be perpetrated by management or those charged with governance, may be accomplished by the following:
 - *Manipulation, falsification or alteration of the accounting records or supporting documentation underlying the financial records.*

For example:

 - changing the balance on a debtors account to reflect a higher value
 - inflating the cost price of inventories, or
 - including fictitious sales.
 - *Misrepresentation in, or intentional omission from the financial statements, of events, transactions or other significant information.*

For example:

 - omitting a significant contingent liability from the notes
 - underproviding or failing to provide at all for known future losses, or
 - failing to reflect the sale of material assets.
 - *Intentional misapplication of accounting principles to amounts, classification, manner of presentation or disclosure.*

For example:

 - failing to capitalise finance leases, or
 - intentionally using an inappropriate policy for revenue recognition to inflate profits.
- **Management override (particularly where controls appear to be operating effectively).** Fraud can be committed by management overriding controls using techniques such as intentionally:
 - recording fictitious journal entries to manipulate operating results or other balances, for example, raising fictitious sales by journal entry
 - inappropriately adjusting assumptions or changing judgements used to estimate account balances, for example, understating asset impairments
 - omitting, advancing or delaying recognition of events and transactions at reporting date, for example, recognising profits on a long-term contract prematurely
 - omitting, obscuring or misstating *disclosures* required by the applicable financial reporting framework, or disclosures that are necessary to achieve fair presentation
 - concealing facts that could affect the amounts recorded in the financial statements, for example, remaining silent about a major debtor who has been placed in liquidation
 - engaging in complex transactions structured to misrepresent the financial performance or position of the company, for example, manipulating intercompany balances (in a group) to “reallocate” profits earned by the related companies, and
 - altering records and terms relating to significant or unusual transactions.

- **Misappropriation of assets.** This involves the theft of an entity's assets and may be perpetrated by employees or management. It is harder for the auditor to detect where management is involved, as it is easy for management to conceal or disguise the misappropriation. Misappropriation would include:
 - *Embezzlement*
For example:
 - stealing cash sales, and
 - stealing receipts from debtors (and writing off the debtor as bad).
 - *Theft of physical assets or intellectual property*
For example:
 - stealing inventory for personal use or sale, or
 - selling the company's trade secrets to a competitor.
 - *Causing the entity to pay for goods and services not received*
For example:
 - paying wages to fictitious (dummy) employees or
 - making payments to a (fictitious) company set up by management for goods that are never received.
 - *Using the company's assets for personal use*
For example:
 - hiring out the company's equipment at weekends and keeping the fees charged or using the entity's assets as collateral (security) for a personal loan.

The distinguishing feature between fraud and error is *intention*. In a sense, errors are made in "good faith" while fraud is in "bad faith", there is an intention to misrepresent and thereby cause prejudice to some party. Although the distinguishing feature is intention, it is not always easy for the auditor to determine the intention of the directors. This is particularly true where there is a high level of subjectivity involved in the financial statement item in which the suspected misrepresentation has taken place, for example, an estimate, or where there are options, for example, a range of possible accounting policies that could be adopted and that produce different results. There is no definite or conclusive way of determining intention, but obviously, the auditor's assessment of the integrity of management will be an important consideration.

6.7.4 Responsibility of management and those charged with governance

The responsibility for preventing and detecting fraud and error lies with those charged with governance as well as with management. This responsibility should be met by the implementation and continued operation and monitoring of the system of internal control. Management and those charged with governance need to set the proper tone and create and maintain a culture of honesty and ethics, in other words a strong control environment. Although the auditor may make recommendations about internal control, management carries the responsibility for a sound system of internal control. Management is also responsible for consciously assessing the risk that the financial statements may be materially misstated due to fraud.

6.7.5 Responsibilities of the auditor

So, where does this leave the auditor? ISA 240 lays down what is required of the auditor in respect of fraud. The auditor should:

- (a) Maintain an attitude of *professional scepticism*. In the context of the auditor's responsibility to fraud, this means that the auditor should not be "led around by the nose" by the client and simply accept what he is told regardless of who tells him. The auditor should realise that in today's business environment, fraud is widespread and therefore, the risk of occurrence is high. In a nutshell, today's auditor must not be naïve and believe that the client's intentions are always honest and honourable. Even if management has acted with integrity in the past, the auditor cannot assume that they will continue to do so. Circumstances change, for example, the client may have become, in the past year, a subsidiary

of a holding company that demands high levels of performance. Your client's management may be tempted into adopting dubious business practices and manipulating financial reports in an attempt to meet performance targets and avoid losing their jobs.

- (b) Facilitate the *discussion* of a client's susceptibility to material misstatement due to fraud, *amongst the audit team*.

Discussing the susceptibility of the entity's financial statements to material misstatement due to fraud:

- provides an opportunity of more experienced members of the engagement team to provide insight as to how and where the financial statements may be susceptible to material misstatement due to fraud
- assists the auditor to consider an appropriate response to points raised by the experienced members of the team and to decide on which members of the team will conduct the relevant audit procedures, and
- enables the auditor to determine how the audit team will use the results of such audit procedures and deal with any allegations of fraud that may come to the auditor's attention.

The discussions with the audit team may include such matters as:

- an exchange of ideas about how and where the company's financial statements (including disclosures) may be susceptible to material misstatement due to fraud
- how management could perpetrate and conceal fraudulent financial reporting and how assets could be misappropriated
- circumstances that may be indicative of earnings by management and the practices that management might follow to manage earnings that could lead to fraudulent financial reporting, for example, manipulating sales cut-off
- the risk that management may attempt to present disclosures in a manner that may obscure a proper understanding of the matter by, for example, using confusing and over-technical language
- any internal or external factors (known to, or suspected by, members of the team) that may:
 - create an incentive or pressure for management to commit fraud
 - provide an opportunity for fraud to be perpetrated, or
 - indicate a culture or environment that enables management or others to rationalise committing fraud, for example, a disgruntled management team at odds with the board
- management's involvement in overseeing employees with access to cash or other assets susceptible to theft
- any unusual or unexplained changes in behaviour or lifestyle of management or employees that has come to the notice of the engagement team, for example, formally co-operative members of management who have become uncooperative
- the need for team members to exercise professional scepticism
- the types of circumstances that, if encountered, might indicate the possibility of fraud, for example, evasiveness in responding to questions put to employees, domineering management behaviour
- how to incorporate an element of unpredictability into the nature, timing and extent of the audit procedures to be performed, for example, not carrying out procedures that are expected at a time that they are not expected, for example, a surprise, random inventory count of selected items
- the most effective audit procedures to conduct in response to the suspicion/susceptibility of fraud
- any allegations of fraud that may have come to the auditor's attention, and
- the risk of management override of controls.

- (c) *Conduct risk assessment procedures and related activities.*

- When obtaining an understanding of the entity and its environment (ISA 315 (revised)), the auditor should enquire of management as to:
 - its assessment of the risk that the financial statements will be materially misstated due to fraud
 - its processes for identifying and responding to the risks of fraud including details of any fraud already identified (or that management considers likely)
 - its processes for responding to alleged fraud: for example, a supplier notifies management that one of the company's buyers is taking kickbacks from other suppliers, what action is taken

- its communication with those charged with governance regarding the identification of, and response to, fraud, and
 - how management communicates its stance on ethical behaviour to employees.
 - The auditor should make enquiries of management, those charged with governance, internal audit and others in the organisation (e.g., in-house legal counsel, the ethics officer, human resource manager, operating personnel not directly involved in financial reporting) to determine whether they know any actual, suspected or alleged fraud.
 - The auditor should obtain an understanding of how those charged with governance exercise their responsibility to oversee management's processes for identifying and responding to the risk of fraud by:
 - attending meetings at which such matters are addressed
 - reading minutes of such meetings, and
 - direct enquiry of those charged with governance.
 - The auditor should consider unusual or unexpected relationships when performing analytical procedures to obtain an understanding of the entity and its environment, for example, unexpected fluctuations in the gross profit percentage ratio may indicate fraudulent misstatements of the figures used in calculating the ratio, for example, inclusion of fictitious sales, overstatement of closing inventory, etc.
 - The auditor should consider information from other related activities, for example, information obtained at an interim audit, while conducting preliminary engagement activities.
 - The auditor should consider whether the information gained when obtaining an understanding of the entity and its environment, indicates that one or more *fraud risk factors* are present, see fraud risk factors below.
- (d) Identify and assess the risk of material misstatement due to fraud at financial statement level and at assertion (account balance/transaction/disclosure) level.
- (e) Determine an overall (audit) response to address the risk of material misstatement due to fraud at financial statement level and assertion level.

6.7.6 Responses to the risk of material misstatement due to fraud

6.7.6.1 At financial statement level

The auditor should:

- consider the assignment (and supervision) of appropriate staff, who should be:
 - competent and technically skilled (experts if necessary)
 - experienced
 - strongly independent (will not be bullied by client), and
 - able to adopt the correct degree of professional scepticism
- consider the accounting policies adopted by management, that could be:
 - appropriate and properly applied, or
 - indicative of fraudulent financial reporting, chosen to manipulate earnings or to fraudulently influence the perceptions of users, and
- incorporate an element of unpredictability in determining nature, timing and extent of testing. Management generally have some idea of what the auditor will do. Changing the nature, timing and extent of tests may throw management off balance, and upset their attempts to conceal fraud. There should also be an increase in the need to corroborate management's explanations/representations concerning material matters.

6.7.6.2 At assertion level

- The auditor should consider the nature, timing and extent of testing necessary to reduce the risk of material misstatement due to fraud being present, to an acceptably low level.

- The tests and procedures that the auditor has available in compiling the audit plan to address the risk of fraud are no different to those that are used to respond to the risk of unintentional material misstatement. The auditor must still decide on what tests to do (nature), when to do them (timing), and how much to do (extent). However, when addressing an appropriate response to fraud, the auditor needs to remember that:
 - those who have perpetrated the fraud will attempt to conceal it, making it far more difficult for the auditor, and
 - the most reliable and relevant evidence must be sought. There can be severe consequences arising out of fraud and the auditor needs to be on firm ground before either deciding there is fraud, or whether there is no fraud.
- Generally speaking, the nature of testing is likely to become more inclusive, for example, inquiry supported by inspection and analytical review to provide more corroborative evidence coupled with more extensive testing. The auditor may also decide that due to management override, the focus should be on substantive testing; or that external or auditor-generated evidence must be sought, as opposed to relying on the representations of management or other internally generated evidence. The auditor may also decide that the use of experts is necessary (e.g., identifying fake goods) or that CAATs be used to extensively interrogate databases, for example, searching for anomalies such as duplicate ID numbers, or duplicate bank accounts in an employee master file, when the inclusion of fictitious employees is suspected. Concerning the timing of tests, the auditor may decide to change “normal” timing by introducing surprise visits, in an attempt to catch the client (management) off guard, for example, arriving unannounced to count and reconcile till cash (in a cash retail business), count inventory or conduct physical verifications of employees.

6.7.6.3 Management override

The auditor should design and perform audit procedures to respond to the risk of management override. To respond to this risk the auditor should:

- test the appropriateness of *journal entries and other adjustments* made in the preparation of the financial statements (remember that even a system that produces valid, accurate and complete data can be overridden by passing a journal entry to manipulate the balances or totals produced by that system). In deciding on which entries and other adjustments to select for testing, the auditor should consider:
 - the presence of any *fraud risk factors* that might indicate journal entries related to fraud, for example, there is an assessed risk that proceeds from debtors are being stolen and concealed by writing off the debtor as bad
 - the effectiveness of the client’s *controls over the authorisation and implementation* of all journal entries, and concentrate on those that are inadequately authorised or where implementation has been abnormal in terms of the internal control system
 - whether the *characteristics of fraudulent journal entries* and other adjustments are present. Such journal entries and other adjustments often reflect the following characteristics
 - (i) entries are made to unrelated, unusual or seldom used accounts
 - (ii) they are passed by individuals who do not normally make journal entries
 - (iii) they are not supported by adequate reasons, explanations or descriptions
 - (iv) they are not posted to specific ledger accounts, but rather directly to amounts in the financial statements at period end, or
 - (v) they contain round amounts or consistent ending numbers
 - the *nature and complexity of the accounts* used in the entry, for example, fraudulent journal entries may be made to accounts that contain transactions that are complex or unusual, are not reconciled regularly, or seem to have no specific purpose, such as “slush funds”, and
 - whether the journal entry is outside of the *normal course of business* (i.e., non-recurring). Because the internal control system does not normally address non-recurring journal entries, there is a greater chance that they will be fraudulent
- review accounting estimates for biases that could result in material misstatement due to fraud, for example, deliberate understatement of allowances such as obsolete inventory, bad debts, depreciation/impairment, to intentionally manipulate earnings figures. Consider with professional scepticism any changes to assumptions used in estimating account balances

- obtain an understanding of the business reasons of significant transactions outside of the normal course of the company's business, or that otherwise appear to be unusual, for example, the company suddenly purchases another company that manufactures a completely different and unrelated product to that which the company itself manufactures
- pay careful attention to the completeness, relevance, accuracy and understandability of material disclosures to identify any omission, obscuring or misstating disclosures required by the financial reporting framework or that are required to achieve fair presentation.

6.7.6.4 Evaluation of evidence

The auditor should consider whether the assessment of material misstatement at assertion level remains appropriate once the initial planned audit procedures have been conducted (ISA 330). In actually carrying out the planned audit procedures, the auditor may be alerted to the possibility of fraud by the existence of numerous situations or circumstances. ISA 240 provides a lengthy list of these circumstances that, individually or in combination, indicate the possibility that the financial statements may contain material misstatement resulting from fraud. Some examples have been listed below to illustrate.

Discrepancies in the accounting records

- Bank and other reconciliations are not conducted timeously
- unauthorised transactions, for example, unauthorised travel expenditure
- evidence of employees' access to systems and records inconsistent with that necessary to perform their authorised duties, for example, a factory foreman has access to the employee master file
- tips or complaints to the auditor about alleged fraud, for example, fraud hotlines, and
- last minute adjustments that significantly affect financial results.

Conflicting or missing evidence

- Missing documents or documents that appear to have been altered, for example, purchase transactions selected for testing are not supported by purchase orders or supplier delivery notes
- unexplained items on reconciliations
- unexplained changes in trends, ratios or relationships, for example, increase in sales commission expense but no increase in sales
- inconsistent, vague or implausible responses from management or employees arising from inquiries or analytical procedures
- payments for services (e.g., to lawyers, consultants or agents) that appear excessive concerning the services provided
- unusual discrepancies between the entity's records and external confirmation replies
- missing inventory or physical assets, revealed by existence testing, and
- unavailable or missing electronic evidence inconsistent with the company's retention practices.

Problematic or unusual relationships between the auditor and management

- Denial of access to records, facilities, certain employees, customers, etc.
- undue time pressures imposed by management to resolve complex or contentious issues, or unrealistic audit deadlines
- management intimidation (or attempted intimidation) of engagement team members
- unusual delays by the entity in providing requested information
- unwillingness to agree to the use of (reasonable) CAATs (particularly where there is no realistic alternative method of gathering evidence)
- an unwillingness to address identified weaknesses in internal control on a timely basis, and
- a general lack of co-operation.

Other

- Unwillingness by management to permit the auditor to meet privately with those charged with governance
- changes in accounting estimates that do not appear to result from changed circumstances, and
- tolerance of violations of the entity's code of conduct.

Note: The auditor will also consider whether an identified misstatement (not initially thought to be fraud) is in fact fraud. In effect this will be an assessment of whether the misstatement is intentional. If so, the auditor should consider the effect of this (fraud) on the rest of the audit, especially other representations made by management.

6.7.6.5 Management representations.

The auditor should obtain signed written representations from management relating to fraud. These representations should:

- contain management's acknowledgement that it is responsible for the design, maintenance and implementation of internal control to prevent and detect fraud
- state that management has disclosed to the auditor, the results of its assessment of the risk that the financial statements may be materially misstated as a result of fraud
- state that management has disclosed to the auditor its knowledge of fraud or suspected fraud involving:
 - management and/or
 - employees, and
- state that management has disclosed to the auditor any allegations of fraud or any suspected fraud affecting the entity's financial statements communicated by employees, former employees, analysts, regulators or others.

6.7.7 Fraud risk factors

6.7.7.1 Introduction

When understanding the entity and its environment and assessing the risk of material misstatement due to fraud, the auditor must consider whether the information obtained, indicates presence of fraud risk factors. ISA 240 divides these factors into two categories, namely:

- *risk factors relating to misstatement resulting from fraudulent financial reporting* – these are factors that indicate to the auditor that the financial statements may be manipulated to achieve fraudulent financial reporting, and
- *risk factors relating to misstatements resulting from misappropriation of assets.*

The statement then suggests that each of the above categories should be looked at from the perspective of:

- *incentives/pressures*, that is, are there incentives for, or pressures on management to report fraudulently or for management or employees to misappropriate assets?
- *opportunities*, that is, are there opportunities for fraudulent financial reporting or misappropriation of assets?
- *attitudes/rationalisations*, that is, does management's and employees' attitude and behavioural manner suggest an environment conducive to fraudulent reporting or misappropriation of assets?

The following examples are presented to illustrate the above. A more comprehensive list can be found in ISA 240. Bear in mind that where fraud is being perpetrated, a number of risk factors are likely to be present.

6.7.7.2 Fraudulent financial reporting

(a) Incentives/Pressures

These factors may provide an incentive or place pressure on management to engage in fraudulent financial reporting or the factors may indicate that management has reported fraudulently.

- *Financial stability or profitability is threatened by economic, industry or entity operating conditions:*
 - a high degree of competition accompanied by declining margins
 - a high vulnerability to rapid changes, such as changes in technology, product obsolescence, or interest rates, for example, electronics companies
 - operating losses threatening going concern, and
 - new accounting, statutory, or regulatory requirements (e.g., the application of new environmental legislation relating to certain chemical products will significantly affect the saleability of the company's inventory).

- ***Excessive pressure exists for management to meet the requirements or expectations of third parties due to the following:***
 - profitability or trend level expectations of investment analysts, institutional investors, significant creditors, or other external parties
 - the need to obtain additional debt or equity financing to stay competitive, for example, manipulating financial statements used to support a loan application
 - difficulty in meeting debt repayment or other debt covenant requirements, for example, manipulating the financial statements to maintain prescribed financial ratios specified in a loan agreement, and
 - perceived or real adverse effects of reporting poor financial results on significant pending transactions, such as a merger or the awarding of a contract, for example, a construction company reporting financial losses, having recently tendered for a large contract to construct an office block.
- ***Information that indicates that the personal financial situation of management is threatened by the entity's financial performance arising from the following:***
 - significant personal financial interests in the entity, for example, management members hold significant numbers of shares
 - significant portions of their compensation (e.g., bonuses, share options) are contingent upon achieving aggressive targets for operating results, financial position or cash flow, for example, the gross amount of management bonuses is 25% of net profit after tax, and
 - personal guarantees of debts of the entity, for example, directors, have given personal guarantees for the company's debts.
- ***There is excessive pressure on management to meet financial targets established by those charged with governance, including sales or profitability incentive goals.***

(b) Opportunities

These factors are examples of conditions/situations that provide the opportunity for management to engage in fraudulent financial reporting:

- ***The nature of the industry or the entity's operations***
 - significant related-party transactions particularly where the same firm does not audit the related party
 - a strong financial presence or ability to dominate a certain industry sector that allows the entity to dictate terms or conditions to suppliers or customers that may result in inappropriate or non-arm's length transactions
 - assets, liabilities, revenues, or expenses based on significant estimates that involve subjective judgments or uncertainties that are difficult to corroborate, that can be used to manipulate results
 - significant, unusual, or highly complex transactions, that can be used to manipulate results, and
 - use of business structures or business methods for which there appears to be no clear business justification, for example, importing goods indirectly through a neighbouring country.
- ***Ineffective monitoring of management***
 - domination of management by a single person or small group (in a non-owner-managed business) without compensating controls, and
 - ineffective oversight by those charged with governance over the financial reporting process and internal control.
- ***A complex or unstable organisational structure evidenced by the following:***
 - difficulty in determining the organisations or individuals that have a controlling interest in the entity
 - overly complex organisational structure involving unusual legal entities or unusual managerial lines of authority, and
 - high turnover rates of senior management, legal counsel, or those charged with governance.
- ***Internal control components that are deficient as a result of the following:***
 - inadequate monitoring of controls
 - high turnover rates or employment of ineffective staff in accounting, internal audit, or information technology, and
 - ineffective accounting and information systems.

(c) Attitudes/Rationalisations

These are factors or situations that may indicate that management may be predisposed to fraudulent financial reporting:

- ineffective enforcement of the entity's values or ethical standards by management, or the presence of inappropriate values or ethical standards
- non-financial management's excessive participation in selecting accounting policies or the determination of significant estimates (this suggests they have a personal financial interest in reported earnings)
- history of allegations against members of management, etc., for fraud or violations of laws and regulations (e.g., insider trading)
- excessive interest by management in maintaining or increasing the entity's share price or earnings trend
- an interest by management in employing inappropriate means to minimise reported earnings for tax-motivated reasons, for example, understating sales
- the owner-manager makes no distinction between personal and business transactions, for example, takes holidays and charges the cost to the company, and
- the relationship between management and the auditor is strained, for example, domineering or dismissive management attitude towards the audit team.

6.7.7.3 Fraud risk factors relating to misstatements resulting from misappropriation of assets

The presence of the following conditions or factors should alert the auditor to the possibility of misstatement arising from misappropriation of assets:

(a) Incentives/Pressures

These factors provide an incentive for management or employees to misappropriate assets:

- personal financial problems, and
- adverse relationships, between the entity and its employees, including management, for example, dissatisfaction with compensation or other conditions of service, or anticipated retrenchments (employee lay-offs).

(b) Opportunities

These fraud risk factors pertain to the *nature* of an entity's assets, the degree to which they are subject to theft, and the lack of *internal control* related to it.

Nature

- large amounts of cash on hand
- inventory characteristics, such as small size combined with high value and high demand, for example, jewellery, iPads
- easily convertible assets, for example, bearer bonds or diamonds, and
- fixed asset characteristics, such as small size, marketability and lacking in ownership identification, for example, hand-held power tools.

Internal control

- inadequate segregation of duties, for example, storeman has "write access" to inventory records
- lack of appropriate management supervision, for example, no supervision and observation of goods being taken into or despatched from the warehouse
- lack of procedures to screen job applicants for positions where employees have access to assets susceptible to misappropriation (poor personnel practices)
- inadequate record-keeping for, and reconciliation of assets (theoretical to actual)
- lack of an appropriate system of authorisation and approval of transactions, for example, acquisition of, and payment for, purchases
- poor physical safeguards over cash, investments, inventory or fixed assets
- lack of timely and appropriate documentation for transactions, for example, allowing customers to take goods, but doing the paperwork later

- lack of mandatory vacations for employees performing key control functions. Employees who are involved in fraudulent activities usually do not want to take a holiday, as being absent makes it very difficult for that person to cover his tracks or conceal her fraudulent activities
- inadequate authorisation and review of senior management expenditures, for example, travel claims, and
- inadequate management understanding of IT, that enables IT employees, to do “what they like”.

(c) **Attitudes/Rationalisations**

These are factors that indicate that management/employees have a relaxed, casual or negative attitude towards controls relating to the prevention of misappropriation of assets, and include:

- poor control environment, for example, ignoring incidents of theft, and overriding controls
- changes in behaviour or lifestyle that may indicate assets have been misappropriated, for example, management taking expensive holidays, driving expensive cars, etc., and
- behaviour on the part of the employees (including management) that indicates displeasure or dissatisfaction with the entity or its treatment of its employees.

6.7.8 Communication with management, those charged with governance and others

6.7.8.1 Introduction

If the auditor identifies misstatement resulting from fraud, appropriate action will need to be taken. Before proceeding, there are several matters to which the auditor will need to give consideration, to ensure that his actions are appropriate:

- **Confidentiality** – the auditor is bound by confidentiality and cannot simply inform all and sundry about the fraud, for example, it would be inappropriate to make direct contact with SARS, a creditor, a trade union.
- **Management involvement in fraud** – fraud is by no means perpetrated only by (non-management) employees. The majority of large financial frauds are perpetrated by management, often including the directors. If the auditor believes that management is involved, great care must be taken in deciding to whom the fraud should be reported.

In principle, fraud should be reported to the level of authority above the level at which it has been perpetrated or is suspected; for example, if a wage fraud is perpetrated by the paymaster, it should be reported to the financial accountant. If the financial accountant is also suspected of being involved, it should be reported to the financial director. If the financial director is also suspected of being involved, it should be reported to the Chairperson of the Board or the audit committee (those charged with governance). And of course if none of this proves successful, it may be necessary to report the matter to the IRBA as a “reportable irregularity.”

- **Absolute evidence of fraud?** While the auditor does not have to have absolute proof of fraud before taking action, he should make certain that he has obtained sufficient appropriate evidence to support his contention and should be careful not to make direct accusations. The entire matter should be documented.

Note also that for a “reportable irregularity” (which many frauds will be) to become “reportable” in terms of section 45 of the APA, the auditor needs only to “have reason to believe” that the reportable irregularity is taking place, not absolute evidence.

6.7.8.2 Parties with whom the auditor might communicate concerning fraud

There are several individuals/parties with whom the auditor may communicate:

- **Management (other than the Board of Directors)** – as indicated earlier, the general principle is that fraud should be reported to the level above the level at which the fraud has been perpetrated. The auditor will need to decide:
 - whether the “level above” is sufficiently high in the organisation; for example, a major fraud conducted by a wage clerk would probably be reported to the financial director, not only the paymaster, and
 - whether the “level above” is in any way involved in the fraud, in which case it should be reported to a higher level.

- **Those charged with governance of the company** – while management other than the Board, are responsible for the day-to-day implementation and application of practices and procedures that uphold proper governance, the Board of Directors is ultimately responsible for good governance. In addition, the Companies Act 2008 requires that public companies appoint audit committees. Audit committees share the responsibility for good governance. The auditor's decision is whether it is necessary to report the fraud to the Board and the audit committee. In general terms, the auditor should report the following:
 - material weaknesses in internal control (this means management are not meeting their responsibility and risk of fraud is increased)
 - issues regarding management integrity
 - fraud involving management, and
 - other fraud that results in material misstatement of the financial statements.
- **Regulatory and enforcement authorities** – once again the auditor's duty of confidentiality would preclude reporting fraud to a third party. However, the duty of confidentiality is overridden in certain circumstances where:
 - a reportable irregularity is reported to the IRBA in terms of section 45 of the APA
 - the court or statute requires that such information be disclosed, and
 - the client gives permission.
- **Proposed successor auditor** – the question of whether an auditor who has resigned (or is about to be replaced) may disclose details of fraud or suspected fraud to the proposed (successor) auditor. The Code of Professional Conduct requires that the proposed auditor should communicate with the existing auditor to establish whether it would be appropriate for the proposed auditor to accept the engagement. The extent to which the existing auditor may discuss the client's affairs will depend on whether the client has given the existing auditor permission to discuss these affairs with the proposed auditor. If permission has *not* been granted, the existing auditor may *not* discuss the client's affairs with the proposed auditor, but should convey to the proposed auditor that permission has been refused.

6.7.9 Fraud and retention of clients

- Should an auditor continue to service a client company at which fraud is a frequent occurrence? The answer is that where there is a high incidence of fraud, there is high audit risk, and ultimately, it is not in the best interests of an individual firm, or the profession as a whole, to retain such a client, particularly if management or those charged with governance will not take decisive action to eradicate fraudulent practices.
- An auditor who resigns because there is too much fraud or suspected fraud at a client company will have to carefully consider whether the client's fraudulent activities constitute a reportable irregularity. If so, the auditor must fulfil his obligations in terms of section 45 of the APA *before* resignation.
- The auditor should also consider his overriding duty to act in a professional manner, with honesty and integrity and to fulfil his duty to conclude the audit. The auditor should make every attempt to fulfil his reporting obligations – that is precisely why he has been appointed. To resign from an engagement, especially before the expiry of his term of office, should not be an easy option taken simply to avoid getting into a time consuming, confrontational or otherwise unpleasant situation, and doing so may have legal consequences for the audit firm.

6.8 Consideration of laws and regulations in an audit of financial statements – ISA 250

6.8.1. Introduction

This statement gives guidance on the auditor's responsibilities concerning non-compliance by the client with the laws and regulations that govern the client's business.

6.8.2. Important considerations

- There are often numerous laws and regulations that govern the client's business, for example, environmental, operating, income tax and health legislation (to mention just some), as well as municipal, regional council and industry regulations.

- The auditor is not expected to have an in-depth knowledge of all these laws and regulations but should be aware of those that could have a material effect on the financial statements if not complied with. Some of these are easy to identify: all auditors should be aware of the consequences of non-compliance with the Companies Act or the Income Tax Act and very often the effect on the financial statements is reasonably quantifiable. However, non-compliance with other laws and regulations may not be quite so obvious to the auditor (but see para 6.8.3 below).

For example, non-compliance with the Road Transportation Act may result in heavy fines or the suspension of a licence. The latter penalty could seriously affect the going concern ability of the entity.

- The average auditor is not an expert in legal matters and may therefore not be able to determine whether there has been non-compliance by the client. This does not let the auditor off the hook; the procedures indicated below should be carried out and if, as is likely, legal opinion is required, the auditor should seek it.

6.8.3. Auditor's duties, responsibilities and procedures

- The auditor has no responsibility to prevent non-compliance, that responsibility rests with management and those charged with governance.
- When complying with ISA 315 (revised) – Identifying and assessing the risk of material misstatement, the auditor should consider the risk of material misstatement being present in the financial statements arising from the client's noncompliance with laws and regulations. The general principle of professional scepticism should prevail throughout the audit.
- When understanding the entity and its environment, the auditor should obtain a general understanding of the laws and regulations that govern the client. The auditor will commence by identifying such laws and regulations.

For example, if the company is listed and involved in foreign transactions (very likely) and road transportation, the audit team should be apprised of the salient features of the JSE regulations and the Acts that govern foreign exchange transactions and road transportation, and instructed to be alert to the possibility of non-compliance with these laws and regulations. This would extend to the performance of tests *specifically* to identify non-compliance, for example, enquiries may be made of management and third parties, and documents may be inspected to confirm that the client is complying with any regulation or law that is critical to its continued existence and has a bearing on fair presentation if there has been non-compliance.

- During the performance of the audit, the auditor must be alert to evidence that could indicate that non-compliance has occurred. Some examples are as follows:
 - investigation of the client's affairs by government or regulatory bodies
 - the payment of fines or penalties
 - material transactions for which there is inadequate or insufficient supporting documentation, for example, unsupported payments to government employees, related parties
 - unusual transactions, for example, what is the reasoning? Is there an attempt to get around the law?
 - large cash payments, for example, paying bribes, laundering money, or buying stolen goods?
 - purchase at non-market prices, for example, why would the company pay more than the market price?
 - excessive salesperson or agents' commissions, for example, why are the commissions higher than the market?, and
 - newspaper articles or news reports that suggest the occurrence of illegal practices in the particular industry in which the client operates, such as the importation of fake brand-name goods.

As mentioned earlier, the auditor should view the presence of any of the above with professional scepticism.

- If the auditor becomes aware of a possible instance of noncompliance, the auditor should gather sufficient evidence to evaluate:
 - the potential financial consequences, such as fines, damages, litigation, expropriation of assets
 - whether adjustment to, or disclosure in, the financial statements, is required, and
 - whether failure to adjust or disclose, the financial consequences of non-compliance will result in a failure on the part of management, to achieve fair presentation of the financial statements.
- All findings should be documented and discussed with management.

6.8.4 Reporting of non-compliance

As with the reporting of fraud, the auditor reporting non-compliance may need to report to various bodies, however, the principles are the same as for reporting fraud.

6.8.4.1 To management and those charged with governance

The auditor should report to the audit committee, the board of directors, and senior management as soon as practicable. The principle of reporting to a higher level than the level perpetrating the non-compliance still holds. If the auditor believes that management is intentionally failing to comply with laws and regulations, it will be necessary to consider whether the non-compliance constitutes a reportable material irregularity in terms of section 45 of the APA.

6.8.4.2 To users of the financial statements

If the auditor concludes that the non-compliance has a material effect on the financial statements and has not been adequately dealt with in the financial statements, the audit report should be modified accordingly. The audit report is the appropriate medium to report to users and to communicate in other ways without client consent would be a breach of confidentiality.

6.8.4.3 Regulatory and enforcement agencies

Usually, the auditor's duty of confidentiality would preclude him from reporting to third parties. However, in terms of certain statutes, for example, the APA, or regulatory requirements, this duty may be overridden. If in doubt, the auditor should seek legal counsel before communicating any information pertaining to the non-compliance by the client.

Planning the audit: Responding to the risk(s) of material misstatement

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7.1 Introduction

In the previous chapter, we have gained a deeper understanding regarding the requirements of what we should consider in order to obtain an understanding of the entity and its environment, including the internal controls. We used this information to identify and assess the risks of material misstatement at the overall and at the assertion level. Furthermore, relevant standards that must be considered in identifying and assessing the risk of material misstatements were addressed. In this chapter, we will first have a look at the requirements of planning an audit and the requirement for an audit strategy and audit plan, which are outputs for the planning phase and thereafter we will venture into the matters to consider in responding to the risk of material misstatement at the overall and the assertion level.

7.2 Planning the audit

ISA300 – *Planning an audit of financial statements*, states that the objective of the auditor is to: “*plan the audit so that it will be performed in an effective manner*”. This entails developing an audit strategy (documented in the audit strategy-memorandum) at the overall financial statement level, supported by an appropriate audit plan(s).

ISA 300 also requires that the engagement partner and other key members of the audit team be involved in planning the audit, as their experience and insight will enhance the effectiveness and efficiency of the planning process.

The importance of planning cannot be overemphasised:

- proper planning helps to ensure that appropriate attention is devoted to important areas of the audit, for example, significant risks are identified and addressed
- potential problems are identified and resolved on a timely basis, for example, the client is implementing new financial reporting systems that may disrupt the current audit
- a competent and capable audit team, including other parties, for example, experts, other auditors, who may be required on the audit, is assembled
- work can be properly assigned to audit team members, so that:
 - the audit is effectively and efficiently performed, and
 - audit deadlines are met, and
- proper procedures for direction, supervision and review can be set up to meet quality control standards, including to the extent they are applicable to component (other) auditors and experts.

As explained in the discussion of the audit process in the previous chapter, planning should not be seen as a “stand alone” stage of the audit; neither the overall audit strategy nor the audit plan is static. As circumstances change on the audit, so may the overall strategy and audit plan change. For example, unexpected problems encountered on the audit of work-in-progress may necessitate engaging an expert, something that was not considered when the overall audit strategy was formulated. This in turn may lead to more intensive audit procedures of a different nature being carried out. In addition, as the current audit unfolds, planning for the following year’s audit should be underway as a natural “by-product” of the audit being conducted.

7.2.1 The overall audit strategy

- (a) The overall audit strategy-memorandum sets the *scope, timing and direction* of the audit and guides the development of the *audit plan(s)*. In order to set an appropriate overall audit strategy, the key engagement team members must:
- determine the **characteristics** of the client company that will define the **scope** of the engagement, for example, where the client is a listed company, JSE listing requirements and the King IV Report requirements may affect the scope of the engagement (see also (c) below)
 - determine the **reporting objectives** of the engagement that will influence the **timing** of the audit, for example, reporting deadlines, scheduled meetings with the audit committee (see also (d) below)
 - consider the important factors that will determine the **focus or direction** of the audit, for example, results of previous audits, account headings that attach higher risk of misstatement (see also (e) below)
 - consider any aspects of the **preliminary engagement activities** that may affect the audit strategy, for example, concerns over the competence/experience of senior accounting personnel (see also (e) below), and

- ascertain the **resources necessary** to perform the engagement:
 - the resources to be allocated to specific audit areas, for example, **level of staff experience** required, use of experts
 - the **amount** of resources to be allocated, for example, the **number** of staff to be allocated to the inventory count
 - the **timing** of the allocation of resources, for example, at an interim stage, and
 - how the resources are to be **managed, directed and supervised**, for example, meetings, evaluations, quality management reviews.
- (b) In formulating the audit strategy, key engagement team members should consider matters such as those listed in (c) – (e) below (this list is not exhaustive and is for illustrative purposes; reference should be made to ISA 300 for more details).
- (c) *Characteristics of the engagement that define its scope:*
 - the financial reporting standards on which the financial information is to be audited, has been prepared
 - the expected audit coverage, including the number and locations of components to be included, for example, divisions, inventory storage locations
 - the involvement of other auditors, for example, holding company auditors and their requirements
 - the need for specialised knowledge of the client's industry or reporting
 - the availability of the work of internal auditors (and the internal audit function) and the extent of the auditor's potential reliance on such work
 - the effect of information technology (IT) on the audit procedures, including the availability of the client's data and the expected use of computer-assisted audit techniques, and
 - whether the engagement includes the audit of consolidated financial statements.
- (d) *Matters that will affect the reporting objectives, **timing** of the audit and nature of communications:*
 - the company's timetable for reporting, for example, interim and year-end financial reporting deadlines
 - the schedule of meetings with management and those charged with governance including the audit committee, where applicable, to discuss the nature, extent and timing of the audit work
 - the expected type and timing of reports to be issued, including the auditor's report, management letters and communications to those charged with governance
 - communication with component (other) auditors, experts, internal audit, regarding the expected types and timing of reports to be issued as a result of their work on the audit
 - the size, complexity (e.g., complex manufacturing facilities) and number of locations of the client. This will affect the timing of visits to the client, and
 - the extent and complexity of computerisation at the client for example, availability of data and personnel for assistance with CAATs may also affect the timing of visits to the client.
- (e) *Matters that determine the focus of the engagement team's effort and **direction** of the audit:*
 - materiality levels, stricter levels result in more audit work
 - preliminary identification of areas where there may be a higher risk of material misstatement
 - the presence of significant risks
 - the impact of the assessed *risk of material misstatement at the overall financial statement level* on direction, supervision and review, for example, high risk at financial statement level may require more experienced staff to be assigned to the audit, and more intense supervision and reviews to be conducted
 - evidence of management's commitment to the design and operation of sound internal control, for example, a strong commitment may equal to more reliance by the auditor on internal controls
 - the volume of transactions, that may determine whether it is more efficient for the auditor to rely on internal control, and that may dictate the use of CAATs
 - significant business developments affecting the entity that have recently occurred, including changes in information technology, in key management, in industry regulations and in applicable accounting standards

- changes in the accounting standards applicable to the company, and
- the process management uses to identify and prepare disclosures, including disclosures containing information obtained from sources outside the general and subsidiary ledgers.

The initial audit strategy will be set by considering the points above, but do not forget that this “preliminary” audit strategy will be influenced by identifying and assessing the risk of material misstatement at assertion level as well. This is because the auditor will learn much more about the client when carrying out these identification and assessment procedures, enabling him to refine the audit strategy.

7.2.2 The audit plan

The audit strategy and the audit plan (that we must think of as two plans), are closely interlinked, but the audit plan is far more detailed than the overall strategy. Many factors that will influence the audit strategy, will also influence the audit plan (sometimes for a specific line item). For example, Tonnes Ltd holds large quantities of inventory in a number of locations. Part of the *overall audit strategy* is to make use of other firms of auditors to, among others, attend the year-end inventory counts at the various warehouses. The audit plan will now need to address this decision by defining the nature, timing and extent of procedures that will have to be carried out by the other auditors, for example, attend inventory counts, and on the work conducted by them, for example, how the audit team communicates with the other auditors and how their work is reviewed, and problems resolved.

In terms of ISA 300, the audit plan must contain:

- a description of the nature, timing and extent of planned *risk assessment procedures*, sufficient to assess the risks of material misstatement (plan 1) (see note (a) below)
- a description of the nature, timing and extent of planned *further audit procedures* at the assertion level for each significant class of transactions, account balance and disclosure (plan 2) (see note (a) below), and
- any *other audit procedures* that may be required to comply with the ISAs (plan 2).

Note (a): Determining the nature, timing and extent of both risk assessment and further audit procedures applies to *disclosures* as well. Disclosures are vital to fair presentation and, as a result of the financial reporting standards, are often extensive, detailed and wide-ranging. An opinion of fair presentation can simply not be formed without “auditing” disclosures appropriately. Thus, the nature, timing and extent of procedures must be carefully considered and planned accordingly. Carrying this out early in the audit will assist the auditor in determining the effects on the audit of:

- significant new or revised disclosures required arising from changes in the company’s activities
- significant new or revised disclosures required arising from changes in the applicable financial reporting framework
- the need to engage an auditor’s expert to assist with the “audit” of difficult disclosures (e.g., disclosures related to pension and/or retirement benefit obligations), and
- matters relating to disclosure that the auditor may wish to discuss with management/ those charged with governance.

In addition, a plan must also be compiled regarding the nature, timing and extent of the *direction and supervision of the audit team*, and the *review* of their work.

It should be obvious to you that before the audit strategy, and particularly the audit plan, can be effectively developed, a great deal of information about the client company is required. We cannot plan the audit if we have not obtained an understanding of the entity and its environment (as described in the previous chapter).

Simplistically, modern auditing is about identifying and assessing the risks of material misstatement and responding to those risks in such a manner that audit risk is reduced to an acceptable level (lowering detection risk). To extend our example above: having performed the risk assessment, the audit team believes that Tonnes Ltd may attempt to overstate the inventory on hand to manipulate reported profits. The audit plan must respond to this by detailing procedures that identify instances where fictitious (non-existent) inventory, or inventory not owned by Tonnes Ltd, has been included in the year-end inventory figures. The other auditors attending the inventory counts on our behalf must be made aware of the risk (of overstatement) and instructed on the nature, timing and extent of the tests that must be carried out. These may include extending the number of items counted, and performing extensive year-end cut-off tests, at the

warehouses. Of course, we may assess that the directors' desire to manipulate profits is a risk at overall financial statement level and that other account headings are also directly at risk. An appropriately competent and experienced audit team must be put in place and the audit plan must include further audit procedures to respond to the risk at assertion level.

7.2.3 Materiality

The audit is geared towards identifying the risk of *material* misstatement. It follows therefore, that before the audit strategy and particularly the audit plan can be developed, the auditor will need to give some attention to determining "what is material" for the audit. For example, the audit team cannot effectively plan procedures to identify and assess the risk of material misstatement if they do not know what is material. Consequently, setting the materiality figure(s) is also a response to the assessed risk of material misstatement. One will rather select a lower materiality figure for a higher risk of material misstatement to respond to such a high risk. The explanation and calculation of these amounts are discussed in detail in chapter 6.

7.3 Responding to the assessed risk of material misstatement

After the auditor has identified and assessed the risk of material misstatement at the overall and assertion level, the auditor will proceed by implementing an overall response and by carrying out the planned "further" and "other" procedures.

7.3.1 Overall response at financial statement level

In terms of ISA 330 – The auditor's responses to assessed risks, the auditor shall design and implement *overall responses* to assessed risks of material misstatement at *financial statement level*, and should design and perform *further* audit procedures to respond to assessed risks *relating to the assertions* (at account balance/transaction and disclosure level).

Overall responses – these are not really procedures but rather general actions to deal with risk at financial statement level. For example, if the auditor is concerned with management's integrity, the overall response may be to meet with the audit team to emphasise the need to maintain a high level of professional scepticism, and to assign experienced and strong-willed staff to the audit. Obviously, it does not end there. The potential effect of management's lack of integrity on the assertions at account balance/class of transaction/disclosure level will need to be evaluated, and the appropriate procedures implemented (nature, timing and extent). For example, the auditor's concern may be that management will manipulate the financial statements by overstating the value of inventory on hand at year-end and by including fictitious sales. The auditor would respond by conducting extensive procedures on the existence, rights and accuracy, valuation and allocation of inventory and the occurrence of sales/existence of debtors.

Overall responses may be summarised as follows:

- emphasise professional scepticism
- assign more experienced staff or staff with special skills or the use of experts
- provide more direction, supervision and reviews to the engagement team
- incorporate elements of unpredictability into the audit procedures adopted (do things in a manner that the client may not expect), for example, surprise visits to client
- make changes to the overall audit strategy, or planned audit procedures and may include changes to:
 - The auditor's determination of performance materiality in accordance with ISA320
 - The auditor's plans to tests the operating effectiveness of controls, and the persuasiveness of audit evidence needed to support the planned reliance on the operating effectiveness of the controls, particularly when deficiencies in the control environment or the entity's monitoring activities are identified
 - The nature, timing and extent of substantive procedures. For example, it may be more appropriate to perform substantive procedures at or near the date of the financial statements when the risk of material misstatement is assessed as higher.

The auditor's general response to the audit will be directly related to understanding the control environment and the effectiveness thereof.

7.3.2 Audit procedures to respond to the assessed risks of material misstatement at the assertion level (further procedures)

ISA330 requires the auditor to design and perform further audit procedures whose nature, timing and extent are based on and responsive to the assessed risks of material misstatement at the assertion level. This follows that the auditor will not be able to respond to the risk of material misstatement at the assertion level if a proper risk assessment has not yet been performed. The auditor will first need to identify the inherent risk indicators and translate those into risk(s) of material misstatement per assertion (a relevant assertion). The auditor will also need to determine whether the inherent risk is significant per definition. Once the auditor has identified and assessed the inherent risk (s) at the assertion level, the auditor will need to obtain his/her understanding of the control activities at the assertion level that might address these inherent risk(s). Once the auditor has the knowledge of all these aspects, the auditor will be able to set the appropriate nature, timing and extent at the assertion level and respond appropriately to the risk. Consequently, the following diagram will assist you in explaining the principle required:



Before we can start the discussion on nature, timing and extent, it is first important to revisit the assertions (which indicate the different potential misstatements) for which the auditor might need to change the nature, timing and the extent at the assertion level in order to obtain sufficient and appropriate audit evidence.

7.4 Financial statement assertions

In chapter 1 the importance of financial statement assertions was discussed. Here we will first revisit the topic to confirm the link between the assertions and sufficient, appropriate evidence (discussed thereafter). The objective of an audit is for the auditor to express an opinion on whether the financial statements are fairly presented. Simplistically the financial statements are nothing more than an embodiment, in a prescribed format for example IFRS, of the *assertions* of the directors to the shareholders concerning the financial position and results of operations of the company they are managing on behalf of those shareholders.

Assertions are the representations applicable to the various account headings, classes of transaction and disclosures that underlie the financial statements, for example, the *accuracy, valuation and allocation* of inventory, plant and equipment, the *existence* of debtors, the *completeness* of sales, the *presentation* of a contingent liability disclosure, etc. The auditor must respond to the risks by getting the nature, timing and extent of tests of controls and substantive tests correct to reduce the risk of material misstatement going undetected to an acceptable level, and ultimately reducing the risk of expressing an inappropriate opinion. In other words, the auditor carries out further audit procedures with the intention of reducing audit risk to an acceptable level.

As described in ISA 315 (revised), management implicitly or explicitly makes assertions regarding recognition, measurement and presentation of classes of transactions and events, account balances and disclosures. The auditor may use the assertions as a “framework” to consider the different types of potential misstatements that might occur in an account balance and its related disclosures, or in a class of transactions and its related disclosures. ISA 315 (revised) presents the assertions in two categories as follows (see note below):

- assertions about classes of transactions and events, and related disclosures for the period under audit
- assertions about *account balances* and related disclosures at the period end.

Assertions about classes of transactions and events and related disclosures:

- (i) **Occurrence** – transactions and events that have been recorded or disclosed have occurred, and such transactions and events pertain to the entity.
- (ii) **Completeness** – *all* transactions and events that should have been recorded have been recorded, and *all* related disclosures that should have been included in the financial statements, have been included.
- (iii) **Accuracy** – amounts and other data relating to recorded transactions and events have been recorded appropriately, and related disclosures have been appropriately measured and described.
- (iv) **Cut-off** – transactions and events have been recorded in the correct accounting period.
- (v) **Classification** – transactions and events have been recorded in the proper accounts.
- (vi) **Presentation** – transactions and events are appropriately aggregated or disaggregated and clearly described, and *related disclosures* are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

Assertions about account balances, and related disclosures, at the period end:

- (i) **Existence** – assets, liabilities and equity interests exist.
- (ii) **Rights and obligations** – the entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
- (iii) **Completeness** – *all* assets, liabilities and equity interests that should have been recorded, and all related disclosures that should have been included in the financial statements, have been included.
- (iv) **Accuracy, valuation and allocation** – assets, liabilities and equity interests have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments have been appropriately recorded, and related disclosures have been appropriately measured and described.
- (v) **Classification** – assets, liabilities and equity interests have been recorded in the proper accounts.
- (vi) **Presentation** – assets, liabilities and equity interests are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

The following diagram illustrates the breakdown of the assertions and to which categories they apply:

<i>Assertion</i>	<i>Transactions, events and related disclosures</i>	<i>Balances, assets, liabilities, equity interests and related disclosures</i>
Occurrence	√	
Completeness	√	√
Accuracy	√	
Cut off	√	
Classification	√	√
Existence		√
Rights and obligations		√
Accuracy, Valuation and allocation		√
Presentation	√	√

The auditor's duty is to gather sufficient, appropriate evidence to support the assertion being audited. Whilst every assertion should be considered for audit, the auditor will direct his attention to those assertions which present a risk of material misstatement, which, if not detected, could lead the auditor to express an inappropriate opinion on the financial statements (see chapter 6 for a discussion on audit risk). When the auditor carries out risk assessment procedures for the various account headings, he/she will consider the risk of material misstatement in terms of the assertions applicable to the account heading.

For example, the auditor of Skosana-Smit Ltd may look at all of the information that she has gathered about the company's inventory and then work through the assertions applicable to the inventory account balance and related disclosures and assess the impact of the information on her assessment of the risk of material misstatement in the inventory account heading and its related disclosures. It will be necessary for

the auditor to identify the assertions for which evidence should be gathered and then design an appropriate audit response that will provide enough relevant and reliable evidence on which to base an opinion.

Consider the diagram above in conjunction with the following examples:

Example 1

When the auditor gathers evidence about *sales transactions*, he will be seeking evidence to support the following assertions:

- **occurrence** – all sales included are genuine sales (not fictitious) of the entity (a genuine sale of the company's goods/services has occurred)
- **completeness** – all sales which were made, have been included in the total of sales made for the year
- **accuracy** – all sales have been recorded appropriately: this implies prices are correct and that the correct discount and VAT rates have been used and correctly calculated
- **cut-off** – all sales recorded, occurred in the accounting period being audited
- **classification** – all sales have been posted to (recorded in) the proper account: this implies that a credit sale has been posted to the correct debtor's account and that VAT has also been correctly posted, and
- **presentation** – the sales transactions have been presented in terms of the disclosure requirements of the relevant financial reporting standard.

Take note that the auditor will also ensure that related disclosures pertaining to “sales” are *complete, accurate, relevant and understandable*.

The assertions that do not apply to sales are existence (accuracy), valuation and allocation, and *rights and obligation*. Why is this? It is because these three assertions apply to *balances* in the statement of financial position, which are carried forward to the following period, and not to *transactions*. To explain it slightly differently, the auditor does not try to establish that a sale *existed* at the reporting date, he seeks evidence that the sale, which is included in total sales, actually *occurred*; furthermore, the auditor does not seek to *value* the sale at year-end, he seeks to establish that the amount of the sale was correctly recorded at the time it was made during the year.

Example 2

When the auditor gathers evidence about plant and equipment, he will be seeking evidence to support the following assertions:

- **existence** – all plant and equipment included in the balance, existed at reporting date
- **completeness** – all plant and equipment owned by the company, is included in the balance reflected in the financial statements
- **accuracy valuation and allocation** – the plant and equipment have been reflected in the statement of financial position at appropriate amounts; and that reasonable adjustments have been made for depreciation, impairment and/or obsolescence
- **rights** – the company has (holds or controls) the right of ownership to the plant and equipment reflected in the statement of financial position (any encumbrances on that ownership must be disclosed), and
- **presentation** – plant and equipment have been appropriately aggregated/disaggregated and clearly described; for example, plant and equipment have been presented in the statement of financial position aggregated with land and buildings as a separate line item under non-current assets as property, plant and equipment and has been disaggregated in the property, plant and equipment disclosure notes into plant and machinery, fixtures and fittings and tools and equipment.

Disclosure is far more comprehensive and complex for plant and equipment than for sales (Example 1) and obviously presents more risk that there will be material misstatement in the disclosures. The auditor must satisfy himself that the related disclosures are accurately measured and described, complete, relevant and understandable in terms of the applicable financial reporting framework.

The assertions which do not apply to the plant and equipment account heading are *occurrence* and *cut-off*. Why is this? These two assertions apply only to *transactions/events* and not to balances contained in the statement of financial position. The auditor seeks to establish that plant and equipment appearing in the statement of financial position actually *existed* at reporting date; auditing the purchase of the plant and equipment (a transaction) will provide evidence that the purchase *occurred* but it will not provide evidence that the item of plant and equipment was in *existence* at year-end, (it may have been stolen, sold or

destroyed since being purchased), or that it was *fairly valued* at year-end, (it may have been severely damaged since it was purchased).

In conclusion, once the auditor has gathered sufficient, appropriate evidence relating to the assertions, he will be in a position to evaluate the evidence and express an opinion on the fair presentation of the financial statements.

7.5 Planning further audit procedures based on the auditor's risk assessment

As indicated earlier, the auditor's first response to assessed risk is to plan further audit procedures. This will entail developing a plan that describes the nature, timing and extent of further audit procedures, both tests of controls and substantive tests that will be conducted to reduce the risk of material misstatement relating to the assertions remaining undetected.

7.5.1 The principle of "further audit procedures"

Further audit procedures are performed in response to assessed risks of material misstatement, including test of controls (if any), tests of details and analytical procedures. In terms of ISA500 *Audit evidence* audit procedures performed by the auditor in an audit to obtain audit evidence and to draw reasonable conclusions on which to base the auditor's opinion is obtained by performing:

- (a) Risk assessment procedures; and
- (b) Further audit procedures, which comprise of
 - (i) Test of controls, when required or when the auditor has chosen to do so; and
 - (ii) Substantive procedures, which includes:
 - Tests of details (of classes of transactions, accountant balances, and disclosures) and
 - Substantive analytical procedures.

Consequently, you should now realise that risk assessment procedures are audit procedures designed and performed to first of all understand the entity and its environment, including relevant controls in order to identify and assess the risks of material misstatement at the overall and assertion levels. Once the auditor has identified and assessed the risks of material misstatement, he/she will plan (and perform) either Test of controls or Substantive procedures (detailed or analytical) to respond to the risks identified. Test of controls are audit procedures designed to evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements at the assertion level. Substantive procedures are audit procedures designed to detect material misstatements at the assertion level. Consequently, the auditor will need to get the nature, the timing and the extent right to respond to the specific assertion's risk. Let us now look at the various components.

7.5.2 Nature, timing, and extent of further audit procedures

In accordance with ISA330, the auditor's assessment of risks of material misstatement at the assertion level provides the basis for considering the appropriate audit approach for designing and performing audit procedures. The appropriate audit approach for the risks identified are based on adjusting the ***nature, timing and extent*** of further audit procedures to clearly address the risk at the assertion level. These components will be discussed below:

- The **nature** of an audit procedure relates to:
 - its **purpose**, i.e., test of controls or substantive, and
 - its **type**, (i.e., inspection, observation, inquiry, recalculation, re-performance, analytical procedure, or external confirmation).
- Tests of controls can only be carried out where the system is "worthy" of being tested, for example, if the system by virtue of weaknesses in its design or implementation is not effective, there is little point in testing it. There must be an **expectation** that controls are operating effectively before testing them.
- A single test of controls is virtually never sufficient. For example, *observing* a receiving clerk count goods received and comparing the quantity to the supplier delivery note, only tells you that the control was carried out on the occasions that you observed him. Once you leave the receiving bay, he may not carry out the control procedure. *Inquiry* conducted in isolation will also provide insufficient evidence. Further evidence that supports the response to the inquiry is required.

- If the auditor is trying to gain evidence about the effective functioning of the operating effectiveness of internal controls over a period of time (this is normally the case), tests of controls will have to be conducted at various times during the period. It cannot be assumed that because controls were working effectively in April, they will be working effectively in August. There are of course factors that may reduce the risk that controls are not working effectively over time, for example:
 - where there is a strong ongoing control environment
 - extensive monitoring of controls has taken place during the period
 - strong general controls, particularly in computerised systems, or
 - minimal changes in the business have occurred.
- Irrespective of the assessed risk of material misstatement, the auditor must design and perform substantive tests for each *material* class of transactions, account balance and disclosure. Tests of controls cannot in themselves, provide sufficient, appropriate evidence.
- Where *significant* risks (these are risks that require special audit consideration) are identified, the auditor must perform substantive tests that specifically address the risk. These tests must include tests of detail and cannot be purely analytical procedures.
- The auditor's substantive procedures must include the following in respect of the financial statement closing process:
 - agreeing or reconciling the financial statements with the underlying accounting records, and
 - examining material journal entries and other adjustments made during the course of preparing the financial statements.
- The **timing** of tests is frequently dictated by key dates at the client and the objective of the test, for example:
 - a tight audit deadline may result in a comprehensive interim audit, supplemented by “roll forward” tests
 - the attendance at an inventory count is obviously determined by the date the client conducts the year-end inventory count
 - subsequent events can only be audited in the post-balance sheet period, and
 - the availability of client IT staff may affect the timing of using CAATs.
- The **extent** in general terms will result in more testing, the greater the risk of material misstatement are:
 - where internal controls prove to be ineffective, the extent (and possibly the nature) of substantive testing will increase
 - the extent of testing is usually expressed in terms of sample size. Sample size can be determined by professional judgement or more sophisticated statistical sampling plans (Sampling and selections methods are discussed later in this chapter), and
 - the use of CAATs will usually enable the auditor to test far more extensively as a result of the power, versatility and speed of computers and audit software.
- An effective audit plan will be a combination of tests of controls and substantive procedures (purpose of the audit procedures), as well as a mix of the different types of tests, for example, inspection, analytical review, etc.
- *The chart that follows* is an attempt to illustrate what the auditor might consider when deciding on the nature, timing and extent of “further” audit procedures. Do not forget that many of the points raised in paragraphs (a) to (e) under the overall audit strategy will also have a bearing on the nature, timing and extent of further audit procedures.

Developing an audit plan is not always straightforward, and the larger and more complex the client, the harder it is. Professional judgement and experience will play a large part in blending the purpose of the audit procedures (tests of control or substantive testing) and other ISA procedures into a plan that meets the standard, that is, “a plan which will ensure the audit is performed in an effective manner so as to reduce audit risk to an acceptable level.”

Characteristic	Matters to consider
<i>Nature of tests –</i> What tests will be conducted?	- the suitability of a particular procedure to provide the piece of evidence required - re-performance, inspection, inquiry, observation, and - recalculation, analytical procedures, external confirmation - the need to perform tests of detail (e.g., significant risks) - the possibility of performing analytical procedures exclusively (for certain aspects of the audit) - the hierarchy of evidence – how can the most relevant and reliable evidence be gathered? - statistically based or non-statically based sampling - the use of other parties - experts, other (component) auditors, internal auditors - the use of CAATs - system or data orientated CAATs - special client requests, for example, the client has asked you to perform special cash counts, and - do the tests selected, address the risk adequately?
<i>Timing of tests –</i> When will the tests be conducted?	- the need for and desirability of: - interim audits, and - early verification of year-end balances combined with “roll forward tests”, for example, debtors circularisation carried out two months prior to year-end, supplemented by tests of controls, tests of detail and analytical procedures for the subsequent period of two months up to reporting date - preparatory work on third-party confirmations and supporting schedules - non-negotiable dates set by client: - inventory count - reporting deadlines - availability of key personnel, and - audit committee meetings - availability of information, for example, fixed asset schedules for audit, including final information for analytical procedures - timeous preparation where other parties will be used, for example, an auditor cannot contact an expert the week before the year-end inventory count to assist in the valuation of say, work-in-progress, and - special client requests, for example, the client may request that you visit each branch to attend inventory cycle counts at least once a year.
<i>Extent of tests –</i> How much testing is to be done?	- level of assessed risk - prior year experience - the planning and performance materiality limits that have been set – as the level of misstatement that the auditor believes would influence a user reduces, so the extent of testing increases - what sample sizes are required to achieve meaningful results (particularly when non statistically based sampling is used) - possible reduction of testing when internal audit is used - third parties to understand “how much” they should do - special client requests, for example, positively confirm <i>all</i> debtors, and - the extent of testing deemed necessary should not be restricted by deadlines.

As highlighted above, the nature of an audit procedure relates to its purpose and its type. So apart from the purpose described above, the auditor will also need to consider the various **types** of audit procedures (and a combination thereof) that the auditor can perform. These include Inspections, Observations, Inquiry, External confirmation, recalculations, analytical procedures and re-performance. The meaning of each of these will be explained later in the chapter.

In addition to ISA 500 – Audit Evidence, that describes the **types** of procedures available to gather evidence, there are numerous statements that give guidance on the audit of specific matters; for example, how to audit accounting estimates (ISA 540), and how to conduct analytical procedures (ISA 520). Remember the objective is to gather sufficient (enough) appropriate (relevant and reliable) evidence to reduce the risk of material misstatement remaining undetected in the account balances, classes of transactions and disclosures that make up the financial statements, to an acceptable level. Combinations of procedures are carried out and are often referred to by a collective name, for example, carrying out a debtors' circularisation to assist in verifying the existence of debtors, or conducting cut-off procedures on sales at year-end, to test the assertions of occurrence and completeness.

7.5.3 Persuasive audit evidence

ISA330 requires of the auditor to obtain more persuasive audit evidence (to respond) the higher the auditor's assessment of the risk is. To obtain more persuasive audit evidence, the auditor may increase the **quantity** of the evidence (sample or selection sizes) or obtain audit evidence that is more **relevant and reliable**, for example, by placing more emphasis on obtaining third party evidence or by obtaining corroborating evidence from several independent sources. To understand (and plan appropriately) the response, it is necessary to understand the requirements of ISA500 Audit evidence.

7.5.4 Audit procedures carried out to satisfy the requirements of the ISAs (other procedures)

You will recall that in terms of ISA 300, the audit plan must include (the nature, timing and extent of) procedures that the auditor is required to carry out arising from the important need to comply with the standards. These procedures do not arise directly from the risk assessment but may be linked to it. For example, *risk assessment procedures* may reflect that there is no risk surrounding the going concern ability of the company. This does not mean that the auditor can ignore ISA 570 – Going concern, and simply accept that there is no going concern problem based on the risk assessment. The statement requires that the auditor gather sufficient, appropriate evidence to support management's decision to use the going concern assumption in the preparation of the financial statements. Other standards that must be complied with are, for example, ISA 260 and ISA 265, which deal with communicating with those charged with governance and communicating deficiencies in internal control to the client.

7.6 ISA 500 Audit evidence

7.6.1 Introduction

Audit evidence is fundamental to the audit function. As was explained in chapter 1, the auditor has a duty to gather evidence to support his opinion on whether the assertions of the directors, embodied in the annual financial statements, are fairly presented. ISA 500 – Audit evidence, states that "the objective of the auditor is to design and perform audit procedures in such a way as to enable the auditor to **obtain sufficient, appropriate audit evidence** to be able to draw reasonable conclusions on which to base the auditor's opinion." The key to this standard is the phrase "*sufficient, appropriate evidence*".

7.6.2 Sufficient and appropriate audit evidence

7.6.2.1 Sufficient evidence

The sufficiency of audit evidence relates to the *quantity* of audit evidence gathered. The auditor must evaluate whether enough evidence has been obtained to support an opinion. This is a particularly important decision as auditors do not examine every transaction but rather perform procedures on samples of populations; for example, if an auditor is performing tests of controls on the acquisitions cycle to establish whether all purchases were authorised, how many purchase requisitions or purchase orders should be inspected for an authorising signature, to enable the auditor to conclude whether the

authorisation control operates? Similarly, when testing the existence of debtors, how extensive should the positive debtor's circularisation or subsequent receipts testing be for the auditor to be in a position to conclude the existence assertion for debtors?

The question of sufficiency is further complicated because evidence about an assertion is not gathered by performing a single procedure, but by performing several procedures, each of which contributes some evidence. Evidence is cumulative in nature.

For example, evidence relating to the existence of debtors can be gathered by performing a debtors circularisation *and* by testing subsequent receipts from debtors (this procedure involves tying payments received from debtors *after* the reporting date to amounts owed by those debtors *at* the reporting date and is based on the premise that if a debtor pays, it is strong evidence that the debtor existed). The auditor has to balance the extent of each procedure performed.

There is no hard and fast way to precisely calculate the quantity of audit evidence needed. It is a very subjective decision requiring a strong dose of professional judgement. Certainly, statistical models can assist in determining sample sizes, but even these models require the auditor to make some subjective decisions. The quantity of audit evidence relates to the "extent of testing" component of the audit plan (the other two being the nature and timing of tests). The audit plan is only decided upon once the full exercise of devising the overall audit strategy has taken place. The planning process also includes making subjective decisions, for example, evaluating risk, so the auditor is really left with using his professional expertise to determine whether enough evidence has been gathered in light of the prevailing circumstances surrounding the audit.

7.6.2.2 Appropriate evidence

The appropriateness of audit evidence relates to the **quality** of audit evidence. This can be further broken down into the **reliability (source and nature)** of the evidence and the **relevance** of the evidence to the assertion which is being audited.

- **Reliability**

Some evidence is simply more reliable than other evidence. The **hierarchy** of reliability for audit evidence can be expressed as follows:

- evidence *developed by the auditor* is the *most reliable* source, for example, the auditor inspects inventory to obtain evidence of its existence
- evidence provided directly by a *third party* to the auditor (as opposed to the client) is *reasonably reliable* evidence, provided that the third party is *independent* of the client, *reputable* and *competent*, for example, information obtained from the client's attorneys
- evidence obtained from a *third party* but which was *passed through the client* is *less reliable* as the client may have had the opportunity to tamper with the evidence, for example, a bank statement or certificate of balance which is not sent directly to the auditor
- evidence generated through the client's system will be more reliable when related internal controls are effective
- evidence provided by the *client* is the *least reliable* as it lacks "independence", that is, it is provided by the persons who are responsible for the assertion for which the evidence is required
- *written evidence* (whether paper or electronic) is considered *more reliable* than *oral evidence* as oral evidence is easily denied or misinterpreted, and
- evidence provided by original documents is more reliable than evidence provided by photocopies or facsimiles.

Clearly, the auditor will have to rely on evidence from all of the above sources, (e.g., developed by the auditor, provided by the entity, provided by a third party) and would therefore not reject evidence solely on the grounds of its source. Indeed, even evidence provided by the client may be very reliable, particularly if the accounting systems and internal controls are strong and the directors and employees are competent, reliable and trustworthy. It follows that the hierarchy should be regarded as a guideline.

- **Relevance**

The **relevance** of audit evidence means its relevance to the assertion being audited. It is very important that the auditor understands exactly to which assertion the evidence being gathered, relates. If this is not understood, incorrect conclusions will be drawn.

For example, when the auditor of Meadows Ltd selects a sample of inventory items from the inventory records to count and inspect at the annual inventory count, he obtains evidence of the *existence* of that inventory and (possibly) some evidence of the physical condition of the inventory. The physical condition is relevant to the *valuation* assertion as it provides evidence relating to the reasonableness of the allowance for obsolete inventory. However, the inspection of inventory does *not* provide evidence to support the *rights* assertion applicable to that inventory – simply because the auditor has counted and inspected the inventory in the client's warehouse does not mean that the client has the rights (ownership) to that inventory. It may be inventory held on consignment on behalf of another company or inventory that has been sold, but not yet collected by, or delivered to, the purchaser.

Similarly, this test will not provide any evidence relevant to the *completeness* of inventory. The test for completeness requires that the items be selected from the physical inventory and traced to the records to determine whether they have been included in the records.

When performing tests of controls, the auditor attempts to determine whether the major objective of the accounting system and related internal control, to produce *valid, accurate and complete* information, is being achieved. In doing this, the auditor obtains evidence relating to the *occurrence, accuracy, cut-off, classification, and completeness* assertions relating to transactions processed through that accounting system. Again, the auditor must be quite sure which assertion the procedure being performed (and the evidence gathered from the procedure) is relevant. For example, the auditor may deduce from the tests of controls, that the controls for the recording of sales at the proper amount (*accuracy*) are sound, however, this does *not* provide evidence that all sales actually made, were recorded (*completeness*) or that all sales recorded, were genuine sales (i.e., not fictitious) (*occurrence*).

Finally, a single procedure will not necessarily be relevant to only one assertion, it may provide evidence relevant to a number of assertions.

7.6.2.3 Influencing factors in determining whether sufficient, appropriate evidence has been obtained

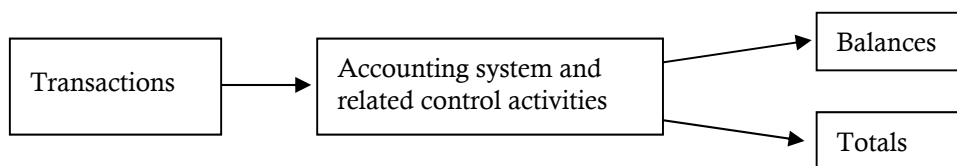
Whilst the decision as to whether sufficient, appropriate evidence has been gathered, cannot be precisely measured (it remains a matter of professional judgement), the following factors will influence the auditor in making the decision:

- **The significance of the potential misstatement in the assertion** and the likelihood of the misstatement having a material effect on the financial statements. It stands to reason that if there is a high risk of material misstatement relating to a particular assertion, *more* evidence from the *most reliable* source available would be required by the auditor.
- **The materiality of the account heading being examined.** For example, suppose inventory is a very material figure in the financial statements. In that case, the auditor will be more concerned about obtaining sufficient, appropriate evidence for the assertions relating to inventory, than those relating to a far less material account heading. Simplistically, this is because material misstatement in a material account heading will have a material effect on the financial statements. The auditor is likely to seek more evidence of the most reliable evidence available.
- **Experience gained during previous audits.** As the auditor develops a relationship with his client, knowledge of potential problem areas will help to guide the auditor in where to focus the audit.
- **Results of audit procedures already conducted.** For example, if the auditor's initial positive circularisation tests on the existence of debtors prove successful, he may decide to perform less additional subsequent receipts testing on debtors than planned. The opposite situation may also arise.
- **Source and reliability of information available.** Clearly, the auditor will want to use the best evidence available; however, if reliable evidence is not available, the auditor may be forced to gather more corroborative evidence from a number of less reliable sources to be in a position to form an opinion on a particular assertion. However, remember that simply gathering more *unreliable* evidence is not very helpful.
- **The persuasiveness of the audit evidence.** For example, evidence gathered on one section of the audit supported or corroborated by evidence from another section of the audit will be more persuasive than had the evidence contradicted itself or had there been no corroborating evidence.

7.7 Purpose of further audit procedures: Why perform tests of controls?

7.7.1 Flow of transactions

The diagram below is a simple representation of the flow of transactions through an accounting system:



For example, when credit purchase transactions are processed through the accounting system the trade creditors balance is increased, as is the total on the purchases account. When creditors are paid, the payment transactions are processed through the accounting system and the trade creditors balance is decreased. The total of purchases remains unaffected, but the cash (bank) account balance is reduced. When wage transactions are processed through the accounting system, the cash (bank) account balance is reduced, and the wage expense total increased. Remember, as the transactions are recorded on source documents and passed through the accounting system, they will be subjected to a range of control activities. The conclusion that can be drawn is that if the accounting system and related control activities are sound, the balances and totals produced will be sound. The auditor interested in the fair presentation of balances and totals could test the accounting system and related control activities to determine whether they produce reliable balances and totals. These tests are known as *tests of controls*.

7.7.2 The system of internal control

ISA 315 (revised) requires that the auditor, as part of his identifying and assessing risk, obtains an understanding of the entity's system of internal control. An understanding of the system of internal control assists the auditor in identifying types of potential misstatements and factors that affect the risks of material misstatement. If the auditor concludes that the internal control system, based on his understanding, is sound, he will build tests of controls into his audit plan to satisfy himself with the *operating effectiveness* of the controls. In other words, his understanding of the internal control system created an *expectation* that the controls were operating effectively, and now, as a further audit procedure, he must test the controls to see if they were actually working.

If the tests of controls provide sufficient appropriate evidence that the controls are operating effectively, the auditor will be more confident that the balances and totals produced by the system are valid, accurate and complete, and hence he will need to spend less time on conducting substantive tests.

7.7.3 Test of controls

Is it acceptable for the "further audit procedures" to consist only of tests of controls? The answer is no! Even if the auditor finds that the accounting system and related control activities are excellent and operating effectively, he must realise that:

- all internal control systems have inherent limitations which make them less than 100% efficient
- the internal control system may have been operating effectively at the time the auditor performed his tests but this does not mean it did so throughout the year
- there will still be inherent risk at both financial statement level and at assertion level to consider, and
- there is a large amount of information in a set of financial statements, which is not generated through the internal control system and the auditor will still need to substantiate.

Successful tests of controls will reduce the extent, and possibly change the nature of substantive tests, but cannot eliminate the requirement to perform substantive tests.

7.8 Purpose of further audit procedures: Why perform substantive procedures?

7.8.1 Auditor's objective

The auditor's objective is to be in a position to express an opinion on whether fair presentation has been achieved in the annual financial statements. Financial statements consist of a collection of balances (in the

statement of financial position) and a summary of totals (the statement of comprehensive income), and accompanying notes. As discussed above, tests of controls on their own cannot provide the auditor with sufficient, appropriate evidence pertaining to these balances, totals and disclosures and it will therefore be necessary for the auditor to perform procedures of a substantive nature.

7.8.2 Substantive procedures: Tests of detail or analytical procedures

Substantive procedures may be performed on balances and totals themselves or on the individual transactions making up the balance or total and on disclosures. They may be broadly distinguished as *tests of detail* or *analytical procedures*. When conducting tests of detail, the auditor carries out procedures on the specific detail of a transaction, account balance or disclosure.

He may inspect the date on a sample of purchase invoices to confirm that the purchase was recorded in the correct accounting period or confirm the cost at which a specific item of equipment was raised in the accounting records against the purchase invoice and payment records for that item, or he may confirm the details of a contingent liability disclosed in the notes by inquiry of the financial director and inspection of correspondence from the client's attorneys.

When conducting analytical procedures, the auditor does not look at the detail of specific transactions, balances or disclosures but rather attempts to evaluate financial information through analysis of plausible relationships among both financial and non-financial data, for example, comparison of sales, month to month, year to year, by product, by region, to determine whether sales for the current period are "plausible" or as expected when compared to other periods. If there are fluctuations or inconsistencies, the auditor will attempt to establish the reason. These analytical procedures might provide the auditor with a general idea as to whether sales have been overstated (occurrence assertion) and whether accounts receivable have been overstated (existence assertion).

7.8.3 Evidence to support the financial statement assertions

Substantive procedures seek to provide evidence to support the financial statement assertions. When performing substantive tests the auditor is interested in the following assertions:

- **balances** – completeness, existence, valuation, rights and obligation, presentation and disclosure
- **transactions** – completeness (totals), occurrence, accuracy, cut-off, classification and, presentation and disclosure, and
- **disclosures** – occurrence and rights and obligations, completeness, classification and understandability, accuracy and valuation.

7.9 The type of audit procedures

As indicated by our earlier discussion, audit evidence is obtained by the auditor through the performance of:

- risk assessment procedures, and
- further audit procedures which comprise:
 - tests of controls, and
 - substantive tests, both tests of detail and analytical procedures.

So what are the procedures you must perform for carrying out risk assessment, tests of controls and substantive tests? Are there procedures that apply only to risk assessment? Are tests of controls specific, and can any procedure be used as a substantive procedure? The answer is that the procedures listed below are the "tools" that the auditor uses to gather evidence and use it as he deems fit. Provided the procedure is appropriate to the auditor's objective, it can be used.

For example, *risk assessment procedures* might include *observing the client's manufacturing process to understand* the client's operations. *Observation* may also be used as a *test of controls*.

For example, when employees in the Toy-Box (Pty) Ltd warehouse receive goods from suppliers, they check the delivery details before they sign the supplier's delivery note to acknowledge receipt of the goods. The auditor of the company *observes* this control activity to determine whether they do **actually carry it out**. (*whether the control activity is really there*)

Analytical procedures could be part of *risk assessment*, for example, the auditor performs an analysis of the company's sales by month, product, branch etc., to gain an **understanding** of the entity. *Analytical procedures* are also used when carrying out *substantive procedures*.

For example, when considering the valuation of debtors at Energy-Bars Ltd, the company's auditor performs a comprehensive comparative analysis of the debtors' balance to confirm that the allowance for bad debts is "fairly presented" (evidence about the **amount** in the financial statements).

Note that analytical procedures are not used as tests of controls, as they do not provide evidence that a control activity is being carried out as it should be (verifying the control are operating as intended).

The following audit procedures can be performed:

- **Inspection:** involves examining records or documents, whether internal or external, in paper form (physical), electronic form or other medium, for example inspecting a purchase order for an authorising signature or a physical examination of a tangible asset, for example inspecting a piece of equipment for evidence of its existence and condition.
- **Observation:** consists of looking at a process or procedure being performed by others, or of observing the performance of control activities, for example observing an inventory count performed by the client's employees.
- **External confirmation:** involves obtaining a direct written response from a third party to a request/query from the auditor to that third party in paper form or by electronic or other medium, for example the auditor requests a client's debtors to confirm the amounts owed to the client at reporting date.
- **Recalculation:** consists of checking manually or electronically the mathematical accuracy of documents or records or of performing independent calculations..
- **Re-performance:** involves the auditor's independent execution of procedures or controls originally performed as part of the entity's internal control, for example, re-performing the year-end bank reconciliation.
- **Analytical procedures:** involves evaluating financial information through analysis of plausible relationships among both financial and non-financial information. It consist of the analysis of significant ratios and trends, *including* the resulting investigation of fluctuations and relationships that are inconsistent with other relevant information or that deviate from predicted amounts, for example, comparing the current ratio for the year under audit, to the prior year current ratio, and seeking an explanation if there is a difference
- **Inquiry:** consists of seeking financial and non-financial information from knowledgeable persons within or outside the entity. Inquiries may range from formal written enquiries addressed to third parties, to informal oral enquiries addressed to persons inside the entity, for example, a receiving clerk may be asked what controls are exercised when goods are received from a supplier.

As discussed above, it is impossible to categorise each of the above procedures as simply a risk assessment procedure, a test of controls procedure or a substantive procedure. Any of the above procedures (other than analytical procedures as a test of controls), or a combination thereof, can be used when assessing risk or carrying out tests of controls or substantive tests. The procedure will be categorised in terms of what the auditor is trying to achieve. (risk assessment procedures will be focused on understanding the entity, test of controls will be focused on verifying the operating effectiveness of a control that was performed in the year and substantive procedures will be focused on verifying the amounts and disclosures included in the financial statements)

Example 1

- ***Inquiry – risk assessment***

The auditor inquires of the head of internal audit as to his assessment of the likelihood of material misstatement of inventory.

- ***Inquiry – substantive test***

The auditor makes inquiries of the factory manager as to the impairment write-downs for a particular machine.

Example 2

- ***Re-performance – tests of controls***

The auditor re-performs the monthly bank reconciliation to confirm that the control activity of reconciling the balance per the cash book and the balance per the bank statement has been properly carried out. If the reconciliation is incorrect, the control is not working.

- **Re-performance – substantive test**

The auditor re-performs the year-end bank reconciliation as part of the verification of the bank balance reflected in the year-end financial statements (same procedure, different objective!).

Example 3

- **Inspection – risk assessment**

The auditor examines the minutes of directors' meetings to identify important decisions that have been taken that may affect the financial statements.

- **Inspection – tests of controls**

The auditor inspects a sample of purchase orders over R500 000 for the authorising signature of the senior purchase officer to confirm that the control over authorising purchases over this amount, is being exercised. The senior purchase officer must authorise all purchases over R500 000.

- **Inspection – substantive test**

The auditor inspects a letter from a financial institution confirming the amount, and terms of a loan made to the client company.

Example 4

- **Observation – risk assessment**

The auditor observes the operation of the production line in a manufacturing company as part of assessing the risk of material misstatement in the valuation of work in progress (possibly to decide whether it will be necessary to engage an expert).

- **Observation – tests of controls**

The auditor observes the procedures actually conducted by warehouse personnel when receiving goods ordered.

7.10 Audit sampling

7.10.1 Principles of sampling

An auditor can seldom examine every item in a population, for example, all sales invoices or every inventory item, and although this is a limitation of the audit function, it is generally understood that it is a limitation that will always remain. There are populations where all "items" in that population are audited – for example, all loans to directors will normally be subject to audit, and all minutes of shareholders meetings will be inspected, but in general, populations are far too large to audit every item. To do so would not be time or resource efficient.

ISA 530 – Audit Sampling requires that when designing audit procedures, the auditor should determine appropriate means for selecting items for testing to gather sufficient appropriate audit evidence to draw reasonable conclusions on which to base the auditor's opinion. The statement deals with the auditor's use of statistical and non-statistical sampling when designing and selecting the audit sample, performing tests of controls and tests of detail, and evaluating the results from the sample.

It must also be born in mind that the results obtained from auditing a sample of items, will not be the only evidence gathered about the population being audited. Evidence gained from other audit procedures, such as analytical procedures, will corroborate the evidence gained from the sampling procedures. The audit is much like a jigsaw puzzle with numerous pieces of evidence combining to provide the complete picture.

An important aspect of sampling is that the results of the tests on the sample must be extrapolated over the population as a whole. The auditor must form an opinion on the population; therefore, it is of little use to conclude that "we only found three errors in the sample, so there is no problem". The question to ask is "how many errors are there in the entire population?" The methods of extrapolating the sample results over the population will vary depending on whether statistical or non-statistical sampling has been carried out. Where statistical sampling has been used, the extrapolation will be more defensible than where the auditor has used some judgmental process to extrapolate.

7.10.2 Definitions

ISA 530 –Audit Sampling provides the following definitions:

- **Audit sampling** – involves applying audit procedures to less than 100% of the items within a population of audit relevance such that all sampling units have a chance of selection to provide the auditor with a reasonable basis on which to draw conclusions about the entire population.
- **Anomaly** – a misstatement or deviation that is demonstrably not representative of misstatements or deviations in the population.
- **Population** – the entire set of data from which a sample is selected and the auditor wishes to draw conclusions. For example, all items included in an account balance or a class of transactions are populations. A population may be divided into strata, or sub-populations, with each stratum being examined separately.
- **Sampling risk** – the risk that the auditor's conclusion based on a sample may be different from the conclusion that would be reached if the entire population were subjected to the same audit procedure. There are two types of sampling risk:
 - the risk is that the auditor will conclude, in the case of a test of controls, that controls are more effective than they are, or in the case of tests of detail, that a material misstatement does not exist when in fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit *effectiveness* and is more likely to lead to an inappropriate audit opinion, and
 - the risk is that the auditor will conclude, in the case of a test of controls, that controls are less effective than they actually are, or in the case of tests of detail, that a material misstatement exists when in fact it does not. This erroneous conclusion affects audit efficiency because it will usually lead to additional audit work being carried out to establish that the initial conclusion was incorrect.
- **Non-sampling risk** – is the risk that the auditor arrives at, an erroneous conclusion for any reason not related to sampling risk, for example, because he has applied his sampling plan incorrectly, adopted an inappropriate procedure or misunderstood the results of his sampling exercise.
- **Sampling unit** – means the individual items constituting a population, for example, credit entries on bank statements, sales invoices listed in the sales journal, inventory line items, or individual debtors balances in the debtors ledger.
- **Statistical sampling** – means any approach to sampling that has the following characteristics:
 - random selection of a sample, *and*
 - use of probability theory to evaluate sample results, including measurement of sampling risk.A sampling approach that does not have these characteristics is considered non-statistical sampling.
- **Stratification** – is the process of dividing a population into subpopulations, each of which is a group of sampling units that have similar characteristics (often monetary value) for example, debtors balance from R1 to R10 000, R10 001 to R25 000, R25 001 to R50 000.
- **Tolerable rate of deviation** – a number or percentage of deviations from prescribed internal control procedures set by the auditor. The auditor seeks to obtain an appropriate level of assurance that actual deviations do not exceed the number/percentage set by the auditor in the population.
- **Tolerable misstatement** – a monetary amount set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the monetary amount set by the auditor is not exceeded by the actual misstatement in the population.

7.10.3 Tests of controls and sampling

Having obtained an understanding of the accounting and internal control systems, the auditor will be able to identify the characteristics or attributes that indicate the performance of a control procedure, for example, the signature of the credit controller on a customer order indicating credit approval. Once the indicators have been identified, the auditor can test the control by extracting a sample from the entire population of customer orders and inspecting the authorising signature.

The auditor should be quite clear about what evidence is provided by the test. For example, this test will only provide evidence of orders which did not contain the credit controller's signature and therefore may have been processed without the approval of the credit controller. The test will, however, *not* indicate whether the credit controller considered the customer's creditworthiness before approving the order. Whether the credit controller is actually performing the control procedure will probably be best established by investigating whether the customer subsequently paid, and that payment was made on time.

7.10.4 Substantive procedures and sampling

Substantive procedures are concerned with balances and amounts. Sampling may be used to gather evidence about one or more assertions relating to the balance or amount or to make an independent estimate (projection) of some amount. For example, a sample of debtors may be selected for positive verification to obtain evidence about the existence of debtors, or, using an appropriate sampling plan, the total value of inventory, based upon a sample selected, may be projected for comparison with the value represented by the directors in the financial statements.

7.10.5 Statistical versus non-statistical approaches

The decision as to whether to use statistical or non-statistical sampling is a matter of professional judgement. Statistical sampling and non-statistical sampling are not mutually exclusive; certain aspects of statistical sampling may be used when performing a non-statistical sample. For example, the sample size may be decided upon on a judgemental basis (non-statistical) but the items to be selected may be chosen using computer-generated random numbers (statistical approach). The important point is that valid statistically based evaluation of the sampling results can only take place where all the characteristics of statistical sampling have been adopted; for example, sample size, selection of items, extrapolation, and evaluation, are properly applied in terms of probability theory.

7.10.6 Steps in the sampling exercise

An important consideration in undertaking a sampling exercise is whether it will be statistically or non-statistically based. The decision will be one of professional judgement but will be based on the level of assurance required by the auditor, the skills and time available, and the “defensibility” of the results the auditor might require. Regardless of this decision, the steps to be taken remain broadly the same.

7.10.6.1 Determine the objectives of the procedure

For example, the auditor may wish to establish:

- that for every entry in the purchase journal, there is a signed goods received note (test of controls), or
- that the individual debtor’s balances in the debtors ledger pertain to debtors who exist (substantive).

7.10.6.2 Determine the procedure to be performed

- This includes specifying clearly the *error (deviation or misstatement) condition*. So in the first example given above, the procedure will be to select a sample of entries in the purchase journal (note direction of test) and trace to the purchase invoice and see whether it has a signed GRN attached. The deviation is the absence of a GRN (usually the presence of a GRN without a signature will be tested separately).
- In the second example above, the procedure may be to select debtors’ balances for positive circularisation. The misstatement will be the inclusion in the client’s debtor’s ledger of any debtor who does not exist.

7.10.6.3 Confirm that the population is appropriate and complete

- This is the population from which the sample is to be selected *and the population upon which an audit conclusion is to be made*.
- In the examples, the population will be *all* purchase journal entries and *all* debtors’ balances as per the debtors ledger.
- A very important consideration is that *all* units in the population must be available for selection. In the examples used thus far, ensuring that all units in the population are considered for selection will be relatively easy. The problem that arises concerning completeness of the population usually occurs where the unit of sample is a document. Here extensive checks on sequence and stationery control are necessary to be sure that all sequences of documents used during the year, are included.

7.10.6.4 Define the units of the population

In the examples, the units would be entries in the purchase journal (a numbering system identifying each entry would have to be developed to implement the sampling plan), and each debtor in the general ledger. Note that the units of the population selected for the sample become the units of the sample.

7.10.6.5 Determine the sample size

The overriding requirement for determining the sample size is whether the sampling risk will be reduced to an acceptably low level.

For example, if you have a population of 10 000 items and you select a sample of only 15 items, sampling risk would be very high – so the question of “How many of the items should be selected for the sample to reduce sampling risk to an acceptable level?” arises.

Whether statistical or non-statistical approaches are to be used, professional judgement will still play a large role. With non-statistical approaches, the sample size is virtually entirely based on professional judgment. With statistical approaches, the auditor is forced to make judgements about specific matters that are then applied to a formula or table that will give the sample size. These specific judgments are described as follows:

- **Confidence level:** Confidence indicates, as a percentage, how often a sample will correctly represent the population. The auditor must decide how “confident” he wants to be about his conclusions. The more confident he wishes to be, the larger the sample needs to be. Remember that the auditor must draw his conclusion (form an opinion) on the population and therefore wants the sample to be representative of the population.

In the first example from 7.10.6.1, a 90% confidence level would mean statistically that if 100 random samples were selected, 90 of them would be expected to give a reliable representation of the extent to which purchase journal entries are supported by GRNs, and 10 *may not*.

- **Tolerable misstatement / tolerable rate of deviation:** This is the maximum extent of “error” that the auditor is willing to accept and still feel that the objective of the sampling procedure has been achieved. The converse of this is the extent of misstatement or rate of deviation, which the auditor decides is unacceptable (which will lead to more extensive or alternative procedures). In the first 7.10.6.1 example, if the auditor wishes to rely on a GRN supporting purchase journal entries (i.e., goods were received) he or she must be sure that it happens in, say, 97% of cases. The tolerable deviation will then be 3%. In the debtors example, the tolerable misstatement would be expressed in rand for example R10 000 of the balance pertains perhaps to debtors for which the auditor cannot prove existence using the positive circularisation procedure. The less deviation or misstatement the auditor is prepared to tolerate, the larger the sample size.
- **Expected misstatement / rate of deviation:** Most sampling plans require an estimate of the expected “error rate” to be made because the greater the anticipated misstatement / rate of deviation, the larger the sample size will be in order to achieve sufficient assurance. The estimate is based either on past experience, knowledge of the business or a pilot sample.
- **The population size (the number of sampling units):** Some sampling plans require that the population size be known to arrive at the sample size, and other sampling plans do not. In our example, the population will be every entry in the purchase journal, or every debtor in the debtors ledger. For very large populations, variation in the size of the population has little, if any, effect on sample size.

7.10.6.6 Select the sample

Having calculated the sample size as above, the decision has to be made on *how* to select these items. The following methods are suggested:

Random sampling:

- Every unit must have an equal chance of selection and the selection can be made manually by using random number tables, or by computer using random number generation software.

Systematic sampling:

- This involves selecting a random starting point and then selecting every, say, 30th item. As there may be patterns within the population this is a risky, though cost effective, method.

Haphazard sampling:

- Here the auditor attempts to simulate randomness by avoiding conscious bias or predictability and not following a structured technique. In a *non*-statistical sample, it is an acceptable technique. It is *not* a valid method of selection if using statistical sampling as guaranteed randomness is a prerequisite of the statistical sampling approach.

Block sampling:

- This involves selection of a block of contiguous (for example numerically consecutive) items from within the population (this is not often an appropriate selection technique where the auditor wishes to draw valid inferences about the entire population).

Monetary unit sampling:

- Is a value weighted selection method in which the sampling unit is every rand in the population. Every n^{th} rand is then selected. This will result in larger amounts being selected because larger amounts have more rand units. For example, if we are selecting a sample of debtors from the debtor's list, we do not consider the individual debtors to be the sampling unit, we regard each rand in each balance to be the sampling unit. Therefore, we select every n^{th} rand, the chances are greater that the n^{th} rand will be contained in large balances than in small balances. The debtors balances into which the n^{th} rand fall, will be selected for the sample.

Data analytics, which are discussed in chapter 9 can assist with sampling.

7.10.6.7 Perform the audit procedures

As determined above.

7.10.6.8 Analyse the nature and cause of deviations and misstatements

The auditor should analyse the sample results and consider the nature and cause of deviations and misstatements identified. This is done to provide the auditor with more insight into the “errors” which may provide evidence that further procedures are necessary or that risk should be reassessed.

Two examples will illustrate the importance of this procedure.

Example 1: When performing tests of controls, the analysis of deviations discovered in the sample indicates the presence of management override. This may suggest to the auditor that fraudulent activity is taking place. In turn, this may lead to a reassessment of all information supplied by management and the extension of testing to other areas of the audit.

Example 2: On analysis the auditor establishes that certain “errors” in the sample arose from an isolated or unique event. (This is defined as an anomaly.) This could occur, for example, where the errors can be tied back to a temporary staff member who had made the “errors” whilst standing in for the permanent staff member for a short period during the year. If this unique situation is projected over the population, the result will be very misleading and may result in the performance of unnecessary procedures. (The extrapolation of the sample results must be conducted once the anomalies have been removed from the sample results.)

7.10.6.9 Project the sample results across the population

At this point the auditor will calculate the actual number of misstatement/deviations (as defined) in the *sample*. Where statistical sampling is used, the auditor will arrive at the misstatement/deviation rate for the population by applying the various determinants to the relevant *formula or table*.

Where a non-statistical approach is used, some other method of projecting the sample over the population must be applied, for example proportion. Although many firms do this, its validity is questionable.

7.10.6.10 Evaluate

Once the sample result is projected over the population, it is compared to the tolerable deviation/misstatement. The auditor then concludes on the sample in terms of his confidence level and precision if these have been set. Should the results of a sampling exercise be unsatisfactory, the auditor may:

- request management to investigate the deviations/misstatements and the potential for further deviations/misstatements, and to make any necessary adjustments, and/or
- modify planned audit procedures, for example in the case of a test of controls, the auditor might extend the sample size, test an alternative control or modify related substantive procedures.

7.10.7 Conclusion

Sampling is an integral part of auditing. Although it has its limitations in the audit context, it is used extensively on virtually every audit. Both statistical and non-statistical approaches are used, and both have their place. Evidence obtained from sampling is not in itself complete and is persuasive rather than conclusive. However, it is an important component in the process of gathering sufficient, appropriate evidence.

7.11 Chapter conclusion and reflection

In this chapter, we first looked at the requirements for planning an audit and the subsequent requirements for drafting an audit strategy and plan. The chapter then moved into the requirements of risk responses at the overall financial statement level. The last part of the chapter was dedicated to explaining the meaning of responding at the assertion level by changing the nature, timing and extent of our further audit procedures and the detailed explanations of these.

Specific types of audit evidence

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8.1 Introduction

In Chapter 6, we started with ISA315 (Revised) and focused on which aspects and components the auditor needed to obtain an understanding of and, subsequently, how we should identify and assess the risk of material misstatement at the overall financial statement level and also the assertion level for classes of transactions, account balances and disclosures. In Chapter 7 we focused on the overall and specific responses to address these risks of material misstatements and the general principles that guides the nature, timing and extent of the further audit procedures as an audit response. In Chapter 8 we will focus our attention on the various International standards on Auditing (ISAs) and the requirements of these standards in identifying and assessing the risk of material misstatement and the further audit procedures required to respond appropriately to these risks. The chapter is in effect an extension to the principles of Chapter 7, but more specific for the risks. The chapter concludes with the requirements of work papers and what the auditor should include in work papers when performing the audit procedures. You will note that the standards (and subsequently this chapter) are not written and limited to specific phases of the audit process, but includes all the relevant requirements from the standards, which includes the considerations with regard to risk assessments, responses, obtaining audit evidence and reporting requirements.

8.2 External confirmations – ISA 505

ISA 505 – External confirmations, guides the principles relating to the auditor's procedure of obtaining external confirmations as part of gathering sufficient appropriate evidence. ISA 505 is a general statement, whereas SAAPS 4 – Enquiries regarding litigation and claims, and SAAPS 6 – External confirmations from financial institutions, are far more specific. SAAPS 4 and SAAPS 6 will be addressed in various other chapters.

8.2.1 Introduction

In terms of ISA 500 – Audit evidence:

- Audit evidence is more reliable when it is obtained from **independent sources** outside the entity.
- Audit evidence obtained directly by the auditor is **more reliable** than audit evidence obtained indirectly or by inference.
- Audit evidence is more reliable when it exists in **documentary form**, whether paper or electronic.

Thus external confirmations provide potentially “good” (reliable) evidence, provided that the requirements set out below are satisfied.

8.2.2 Requirements

In terms of ISA 505, when carrying out external confirmation procedures, the auditor should:

- maintain control over the process (not make use of the client to control the procedure)
- determine the information to be confirmed, for example, debtors balance at a particular date
- select the appropriate confirming party (e.g. must be an individual, competent and authorised to provide the confirmation)
- design the confirmation request to effectively obtain the evidence, which is the objective of the confirmation request
- include specific instructions that the response details be sent directly back to the auditor, and
- send (retain control over sending) the requests to the confirming party.

If the client refuses to allow the auditor to send a confirmation request:

- the auditor should establish the reason for the refusal and seek evidence to support the validity and reasonableness of the client's explanation
- evaluate the implications of the refusal on his assessment of the risk of material misstatement including the risk of fraud, and
- perform alternative procedures to obtain sufficient appropriate audit evidence.

If the auditor concludes that the refusal is unreasonable, the auditor should communicate with those charged with governance.

If this does not succeed, the auditor will need to consider whether there has been a limitation of scope which affects the auditor's opinion. This will certainly be the case where alternative audit procedures cannot provide the necessary evidence.

If the auditor has doubts about the reliability of a response to a confirmation request, or no response is received (after following up), the auditor should consider:

- the impact of this on his assessment of the risk of material misstatement (including the risk of fraud)
- perform alternative procedures to obtain the evidence, and
- if the necessary evidence cannot be obtained, consider the implications on the audit opinion.

The auditor will evaluate the confirmations received to determine whether sufficient, reliable and relevant evidence has been obtained (usually as part of other evidence). It should be borne in mind that:

- **negative confirmations** – i.e. confirmations which only request a response if there is a problem, are not particularly useful as the auditor does not know whether there is “no problem”, or whether the confirming party did not receive the confirmation, or just didn't bother to respond, or whether the non-response was because there was an error but in favour of the confirming party!
- **positive confirmations** – i.e. confirmations which require the confirming party to respond whether they “agree” or “disagree”, or to provide information, are far **more valuable** as they provide tangible and reasonably reliable evidence (always ensuring that the basic requirements of external confirmations have been satisfied).

8.2.3 Enquiries regarding litigation and claims

8.2.3.1 Introduction

Auditors frequently require information about the legal matters of their clients. For example, certain provisions arising from legal matters may require to be recognised, or contingent liabilities may require to be disclosed.

SAAPS 4 requires that the auditor obtain sufficient, appropriate evidence regarding:

- whether all material litigation and claims have been identified
- the probability of any material revenue or expense arising from such matters, and the estimated amount thereof, and
- the adequacy of the accounting treatment of such matters, including their disclosure in the financial statements.

8.2.3.2 Management responsibility

It is the responsibility of management to adopt policies and procedures to identify, evaluate, record and report on all material litigation and claims.

8.2.3.3 Audit procedures to identify claims and litigation

To identify litigation and claims affecting the company, the auditor would perform the following audit procedures:

- review and discuss management's procedures for identifying and recording litigation and claims
- review and discuss management's procedures for identifying, controlling and recording legal expenses and associated revenues and expenses in appropriate accounts
- obtain and discuss with management:
 - a list of litigation and claims, including a description of the matters and an estimate of their likely financial consequences, and
 - an analysis of legal expenses.
- review relevant documents, for example, correspondence with attorneys
- obtain written representation regarding the completeness of material outstanding litigation and claims from management
- examine contracts, loan agreements, leases, insurance policies and claims, and other correspondence
- inspect minutes of meetings of the directors, the audit committee, shareholders and appropriate committees

- obtain information from bank confirmations concerning guarantees, etc., and
- develop a knowledge of the essential characteristics of the entity's business operations, including an understanding of the potential involvement in litigation and claims, for example, environmental hazards.

8.2.3.4 Requests for attorney's representation letter

Where material litigation and claims have been identified, the auditor should seek written representation from the company's attorneys. This written representation is designed to:

- assist the auditor in evaluating the reasonableness of management's estimates, and
- corroborate the completeness of the litigation and claims identified.

As with all third-party confirmations, the auditor should send the representation letter (not management, although they prepare it), and the attorney should be requested to return it directly to the auditor. The request for the representation letter will be on the client's letterhead.

8.2.3.5 Contents of the client's request to the attorneys to provide a representation letter

The matters included in the letter are as follows:

- identification of the name, and the end of the reporting period, of the company(ies) to which the enquiry relates, for example, the holding company and its subsidiaries and the year-end date
- a list *prepared by management* which names each company that is a party to material litigation or claims and describes the nature of such litigation and claims, the amount claimed and its status
- management's estimate of the financial exposure (inclusive of costs) for each litigation and claim in respect of which the company has engaged the attorney
- a request that the attorney advise whether the items are properly described and whether management's evaluations are reasonable
- a request for comment on those litigation matters and claims on which the attorney disagrees with management
- a request for a list of any other litigation and claims dealt with by the attorney concerning the company (completeness)
- an indication of the amount below which litigation and claims are not considered to be material for the enquiry regarding litigation and claims. (These claims need not be considered when attorneys take the opportunity of bringing further litigation and claims, of which they are aware, to the attention of the auditor.)
- a request that the response address events as at, and after, the financial year-end of the company(ies) as close as possible to the expected date of the audit report, and
- a request that the nature of, and reasons for, any limitation on the response be communicated.

8.2.3.6 Example of a schedule sent to the attorney with the letter (see above) requesting an “attorney’s representation letter”

Name of entity: Crackerjac (Pty) Ltd

Financial year-end: 28 February 0001

Litigation and Claims			
Name of entity (subsidiary or division)	Management’s description of matter (including current status and amount claimed as well as attorney’s reference if known)	Management’s estimate of the financial exposure (inclusive of costs and disbursements)	Attorney’s remarks
Crackerjac (Pty) Ltd	Attorney Ref C/341 Claim by a former employee for unfair dismissal Damages of R1 000 000	No exposure. Claim by employee is groundless Legal costs R15 000	This is the first claim against the company of this nature and it is difficult to predict the outcome. Historically 70% of these cases result in a favourable outcome for the plaintiff with a settlement of 40% of the amount claimed

We confirm that we are acting for Crackerjac (Pty) Ltd concerning the claim mentioned above and that management’s description and estimates of the amounts of the financial exposure (including costs and disbursements) which might arise about those matters, are in our opinion, over-optimistic as detailed above.

In addition to the above matters, we wish to bring to your attention the following litigation and claims exceeding R100 000 of which we are aware, in relation to the company:

Case reference C/914

A customer of Crackerjac (Pty) Ltd is suing the company for R150 000. The claim arises from the customer having suffered a severe laceration to his leg while using a garden tool manufactured by Crackerjac (Pty) Ltd. We have advised the company to settle out of court for R50 000. We believe that the plaintiff would accept this settlement. Legal costs amount to R10 000.

Attorneys: *Doogood and Deefend*

Dated: 15 April 20xx

8.2.4 External confirmations from financial institutions

8.2.4.1 Introduction

Virtually every business entity has dealings with a financial institution. The relationship may be simple, for example, the entity has a single current account with a bank, or complex, for example, the financial institution provides overdraft facilities, assists the entity with foreign transactions, provides letters of credit and makes loans to the entity. The bank may also assist with complicated transactions such as financial futures, interest rate swaps, option contracts, etc. In general terms, the more extensive and complicated the entity’s dealings with the financial institution are, the greater the impact on the balances and disclosures in the financial statements will be. SAAPS 6 guides the auditor concerning obtaining external confirmations from his client’s bank (financial institution), which provide primarily corroborative evidence about the balances and disclosures reflected in the annual financial statements about the dealings between the client and the bank.

SAAPS 6 provides an illustrative external confirmation request which includes nine “Form Types”. Form types relate to the category of information about which the auditor is seeking confirmation/information. The auditor will include only those “form types” in the confirmation request about which he seeks information.

Form type	Example
1. Assets	: (Positive) balance on the current account, or a 30-day call account.
2. Liabilities	: (Negative) overdraft balance on the current account, or short-term loan.
3. Securities	: Securities pledged or otherwise encumbered.
4. Contingent liabilities and Guarantees	: Bills receivable discounted but not yet paid.
5. Derivatives	: Forward rate agreements, option contracts.
6. Bills	: Total of bills held for collection.
7. Letters of Credit	: Letters of credit relating to foreign suppliers.
8. Cash Management Systems	: Details of accounts are included in the cash management system.
9. Authorised transactions/Signatories list	: EFT “dongle” holders, bank card PIN holders.

SAICA recommends that auditors adopt the format of the illustrative confirmation request in SAAPS 6.

8.2.4.2 Requirements

Theoretically, an external confirmation from a financial institution should be regarded as reliable evidence because it is independent evidence from a reliable source. However, this will only be the case if the following basic requirements are followed:

- The request for the confirmation certificate should be made by the auditor to the financial institution:
 - the necessary authority must be given to the financial institution by the audit client to furnish the information requested by the auditor
 - the certificate must be sent directly to the auditor at the auditor’s address
 - the request must be sent to the financial institution timeously, and
 - it must be sent to the appropriate individual at the institution (most entities will have an individual at the bank with whom they deal, or alternatively, the bank will have a designated person who deals with issuing certificates of this nature).
- Obtaining the external confirmation certificate must be properly planned:
 - the date by which the certificate is needed must be set
 - the auditor must decide exactly what information he requires from the financial institution. This may range from a simple confirmation of an account balance at year-end, to a request for extensive confirmation of information relating to complex transactions such as those identified in the introduction paragraph
 - the information to be provided to the financial institution to respond appropriately must be gathered. For example, suppose a confirmation of balance is required. In that case, the account number must be included, or if the auditor is seeking confirmation about debt covenants pertaining to loans made by the financial institution to the client, the request must include details which the auditor wants confirmed. It is not a matter of the auditor requesting the financial institution to supply all the information, the auditor supplies the information and the institution confirms if it is correct
 - the validity of the authority given by the client to the financial institution must be confirmed, and
 - the appropriate individual to whom the confirmation request must be sent must be identified.

8.2.4.3 Completeness of financial institution accounts

The financial institution is under no obligation to advise an auditor that it holds an account or has other arrangements that have not been listed in the certificate request from the auditor. SAAPS 6 states that financial institutions usually include a disclaimer in the certificate regarding the completeness of the entity’s “bank” accounts included on the certificate supplied to the auditor.

If the auditor considers that there is a risk (which could result in material misstatement) that the financial institution account balances may be incomplete, then he will respond to the risk by conducting further procedures. These procedures would concentrate on the inspection of documentation that relates to the entity’s dealings with its financial institution. These procedures, which would be carried out before the confirmation request is sent, may include the following:

- comparison of the list of financial institution accounts for the current year with the list at the end of the previous financial year (differences to be followed up)

- inspection of directors' minutes for the year to determine whether for example:
 - new financial institution accounts were opened
 - any financial institution accounts were closed
 - the entity entered into agreements or covenants with the financial institutions
 - any arrangements relating to securities, guarantees, derivations, etc., were undertaken, and
 - changes were made to authorised account signatories.
- inspection of significant contracts for confirmation that any related financial matters were conducted through financial institution accounts already listed, and
- obtaining management representation as to the completeness of financial institution accounts information that management has supplied.

8.2.4.4 Use of electronic confirmations

SAAPS 6 points out that electronic confirmations are acceptable but that, compared to confirmations in paper form received directly by the auditor, they do present additional risks relating to reliability because the proof of source may be difficult to establish.

Similarly, the auditor must be aware that, when sending a confirmation certificate request electronically, confidential information about the client's financial dealings is being transmitted and that the integrity of the transmission may be compromised. Therefore, the auditor must be satisfied that both transmission and receipt of electronic confirmations are secure before sending a request or accepting a response from a financial institution as reliable audit evidence. Such controls may include electronic digital signatures, encryption and procedures to verify website authenticity.

8.3 Initial audit engagements – Opening balances – ISA 510

8.3.1 Introduction

ISA 510 establishes standards and guidelines for opening balances where:

- financial statements for the prior period were not audited (an independent review engagement was performed), or
- where the financial statements for the prior period were audited by a predecessor auditor (i.e., a new audit engagement).

8.3.2 Auditor's objective

To obtain sufficient, appropriate evidence that:

- the opening balances do not contain misstatements that materially affect the current period's financial statements, and
- appropriate accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, or changes in accounting policies have been properly accounted for and adequately presented and disclosed.

8.3.3 Procedures to be adopted

ISA 510 presents a very general approach to the audit procedures necessary concerning opening balances. The previous year's audit was conducted by a predecessor auditor. The current auditor will generally have access to prior year work papers and the predecessor auditor to refer to, providing sufficient, appropriate evidence about the opening balances. Where the prior period was *not* audited, a "mini-audit" must in effect be conducted to obtain the necessary evidence about the opening balances for the current period.

The procedures to be adopted may vary for each situation, although the objectives remain the same. Below is a list of audit procedures that the auditors should consider:

- Consider significance of each opening balance
- Obtain an understanding of accounting policies adopted and test for correct application and consistency
- Agree prior year closing balances through to current year opening balances

- Conduct common audit procedures on specific opening balances until reasonable assurance is obtained, for example:
 - test subsequent receipt of payments made by debtors
 - test subsequent payments made to creditors
 - conduct analytical procedures, and
 - carry out a physical inspection, for example, an inventory count and “roll back” procedures.
- Review predecessors audit work papers (NB Professional Conduct and behaviour)
- Consider the professional competence and independence of the predecessor auditor, and
- If not satisfied, revert to the “prior period not audited” procedures.

8.3.4 Reporting considerations

It is possible that the auditor is not satisfied with the opening balances and may believe that the current year’s audit report on the financial statements should be modified. The report can be modified based upon:

- The inability to obtain sufficient appropriate evidence relating to an opening balance.

Example 1: The auditors were appointed halfway through the current financial year and not having observed the physical counting of inventory at the end of the prior year, were unable to obtain sufficient evidence regarding the opening balance of inventory. If the *possible* effects of this were considered to be material but not pervasive, a qualified opinion “except for” would be appropriate. If the possible effects of this were considered material and pervasive, the auditor would issue a disclaimer of opinion. (Note: The qualification/ disclaimer would relate to the statements of profit or loss and other comprehensive income and cash flows, but not to the statement of financial position.)

- Disagreement with an opening balance (see para 12 ISA 510)

Example 2: The auditors were appointed halfway through the current financial year. The financial statements had not been previously audited. The auditor is satisfied that the accounting policies applicable to certain opening balances had been incorrectly applied. The directors are not prepared to make adjustments. If the effect of the misstatements is material but not pervasive, a qualified opinion “except for” would be appropriate. If this effect was material and pervasive, an adverse opinion would be issued (probably an unlikely situation!).

If the above situations arise, the normal rules for modifying audit reports must be followed. See chapter 15 and refer to ISA 700 (revised) and ISA 710.

8.4 Analytical procedures – ISA 520

8.4.1 Introduction

In terms of ISA 520, the term “analytical procedures” means evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount.

The second part of this description of analytical procedures is perhaps the most important. Extracting ratios or making comparisons does not in itself provide much useful information. The important part is the interpretation and follow up of inconsistent fluctuations and unexpected outcomes. For example, establishing that the gross profit percentage for the year has declined compared to the prior year is not in itself particularly useful. Establishing the reason and following up on the reasons is the important part of the procedure.

8.4.2 Nature of analytical procedures

Analytical procedures are *substantive* in nature. The major analytical procedure is the comparison of the entity’s financial information with, for example:

- prior-year period information
- budgets and forecasts
- similar industry information (industry averages), and
- divisions/branches/cost centres within the entity.

The other major analytical procedure is the study of relationships:

- among elements of financial information, for example, sales commissions and sales
- among elements of financial information that would be expected to conform to a predictable pattern, based on the entity's experience, for example, gross profit percentages, and
- between financial information and non-financial information, for example, payroll costs and the number of employees.

8.4.3 Purpose of analytical procedures

Analytical procedures are used in various phases of the audit process for different reasons:

- as risk assessment procedures in obtaining an understanding of the entity and its environment and the risk of material misstatement
- to substantiate an assertion when analytical procedures are more efficient or effective than tests of detail, for example, a comparison of wages, period-to-period, by department, may provide sufficient evidence about the fair presentation of the wage expense, and
- to provide corroborative evidence in the final review stage of an audit.

ISA520 focus on using analytical procedure as a substantive procedure.

8.4.4 Analytical procedures as substantive procedures

When intending to use analytical procedures, the auditor will need to consider several factors before deciding that their use is appropriate.

(a) Suitability of using substantive analytical procedures

The auditor must decide whether the analytical procedures are appropriate for producing sufficient, appropriate evidence of:

- *the assessment of the risk of material misstatement*, for example, the higher this risk, the more likely it is that more tests of details will be appropriate, and
- *the tests of detail already conducted (on the assertion)*, for example, analytical procedures may provide good corroborative evidence where tests of detail have already been conducted.

(b) The reliability of the data on which the analytical procedures will be conducted

There is no point in performing analytical procedures on unreliable data – this gives unreliable results! The auditor will consider:

- *the source of the data*, for example, external evidence is better than internal evidence
- *comparability*, for example, the auditor must compare “apples with apples” not “apples with oranges”; ratios in a wholesale business will not be comparable with the same ratios in a retail business
- *nature and relevance*, for example, if a budget is being used for comparison, is the budget a well prepared, thought out document or a “just going through the motions of putting a budget together” type budget?, and
- *controls over the preparation of the data*, for example, poor control over validity, accuracy and completeness, results in unreliable data.

(c) Whether the expectation is sufficiently precise to identify a material misstatement

The auditor needs to consider whether the results of the analytical procedures will be specific enough to identify material misstatement. If the analytical procedure gives only a general indication of what the auditor is testing, it will not be worthwhile. If the result can be broken down further, it will be far more useful. For example, the auditor wants to use analytical procedures when planning the audit of the occurrence of sales, i.e. whether there will be material misstatement arising out of the inclusion of fictitious sales:

- a straight comparison of the current year sales against the prior year sales will not be very useful, *but*
- if sales from the current and prior years can be broken down into sales by product, branch, salesperson, month, region, category or purchaser, etc., the individual comparisons of the breakdowns become very useful.

The auditor will consider the following factors:

- the availability of information, both financial and non-financial
- the extent to which the information can be broken down, and
- the inherent predictability of the information, for example, there is little point in conducting an extensive analytical review on information that normally fluctuates and in no predictable/expected pattern.

(d) Acceptable fluctuations from expectations

When the auditor performs analytical procedures, there are likely to be deviations from what is expected, for example, based on historical data, the auditor expects an increase of 10 days in the “days outstanding ratio” for debtors due to newly introduced credit terms. Ratio analysis reveals that the increase is actually 15 days. Does the auditor accept 15 days? What if it is 11 days or 6 days? There is no simple answer or magic cut-off point. The auditor will have to assess this piece of evidence in conjunction with other evidence or may reassess his expectations. Yet another example of the importance of professional judgment.

8.4.5 Investigating results of analytical procedures

As discussed in the introduction, the actual computation of ratios and trends is, in itself, of little value. The success of analytical procedures will depend upon how efficiently and effectively significant fluctuations and inconsistencies are *identified* and *followed up*. In following up, the auditor will need to obtain corroboration of any explanations given by the client and may decide to perform additional audit procedures.

8.5 Related parties – ISA 550

8.5.1 Introduction

ISA 550 – Related Parties, places responsibilities on the auditor to perform audit procedures to identify, assess, and respond to the risks of material misstatement arising from the entity’s failure to appropriately account for or disclose related party relationships, transactions or balances *per* international accounting standards.

8.5.2 Auditor’s concern about related party transactions

There are essentially three reasons why the auditor is interested in related party transactions:

8.5.2.1 Inherent risk

Such transactions are *inherently* riskier because the transacting parties are not *independent* of each other.

- This may result in non-arm’s-length transactions motivated by considerations other than sound business practice. Related party transactions may not be conducted under normal market terms and conditions. It should also be noted that this lack of independence will adversely affect the reliability of any evidence presented to the auditor by the related parties in support of any related transactions. Thus, the risk of material misstatement going undetected is greater where related parties are involved.
- Related parties may operate through an extensive and complex network of relationships and structures, which may give rise to “difficult to audit”, complex, related party transactions.

8.5.2.2 Disclosure requirements

There may be disclosure requirements regarding the related party relationship or transaction; for example, loans by subsidiaries to holding companies. The auditor is required to ensure that relevant disclosure requirements are satisfied. IAS 24 – Related Party Disclosures.

8.5.2.3 Fraud

By understanding the entity’s related party relationships and transactions, the auditor is in a better position to evaluate the possibility of fraud occurring at a client arising from the presence of related parties. For apparent reasons, fraud may be more easily committed through related parties.

8.5.3 Definitions

- **Arm's-length transaction** – a transaction conducted on such terms and conditions as between a willing buyer and a willing seller who are unrelated and are acting independently of each other and pursuing their own best interests.
- **Related party:**
 - a person or entity that has control or significant influence, directly or indirectly through one or more intermediaries, over the reporting entity (i.e., the company whose financial statements are being audited)
 - another entity over which the reporting entity has control or significant influence, directly or indirectly through one or more intermediaries, and
 - another entity under common control with the reporting entity through common controlling ownership, owners who are close family members or common key management.

In terms of ISA 550, *control* is the power to govern an entity's financial and operating policies, and *significant influence* is the power to participate in the financial and operating policy decisions of an entity, but without control over those policies. Examples of situations where control or significant influence may be present are:

- direct or indirect equity holdings or other financial interests in the entity which is being audited, for example, company A holds 55% of the shares in company B (company being audited)
- the entity which is being audited holds equity or other financial interests in other entities, for example, company P holds 40% of the shares in company Q and 60% of the shares in company R
- being part of those charged with governance or key management, for example, the CEO controls the board (exerts significant influence)
- being a close family member of any person referred to in the point above, for example, the CEO's wife
- having a significant business relationship with the person who is part of governance or key management, for example, being a joint shareholder with the CEO in a private business venture.

It is submitted that the definition should not be taken too "technically"; from the audit perspective, the questions that must be asked are whether the transactions with related parties are motivated by ordinary business considerations, and correctly disclosed. Control and significant influence must be assessed realistically, regardless of pre-set levels or percentages. Has party A significantly influenced or controlled party B in respect of the transaction? It must be borne in mind that related party transactions are considered an ordinary feature of business and the vast majority are properly motivated and disclosed. However, the potential for misstatement is present and the auditor must address this risk.

- **Related party transactions** – A transfer of resources, services or obligations between related parties regardless of whether a price is charged.

8.5.4 Requirements

- When performing risk assessment procedures and related activities in compliance with ISA 315 (revised) and ISA 240 (responsibilities relating to fraud), the auditor must obtain an understanding of the entity's related party relationships and transactions:
 - inquire of management regarding the identity of the entity's related parties
 - establish and understand the relationship between the entity and the related party, for example, close family relationship, equity, common business venture
 - determine from management whether any transactions were entered into during the period under audit with related parties and if so, the nature and purpose thereof
 - understand and evaluate the controls, if any, that are in place at the entity to:
 - identify, account for and disclose related party relationships and transactions
 - authorise and approve such transactions, and
 - authorise and approve significant transactions outside the normal course of business (these may be related party transactions), and
 - enquire of others within the company as to the existence of related parties and related party transactions, for example, internal audit, in-house legal counsel, risks and ethics committee members, audit committee.

- In the discussions which are held with the engagement team, the susceptibility of the entity's financial statements to material misstatement due to fraud or error arising from the related party relationships and transactions should be specifically discussed, and the team should be provided with and share relevant information relating to related parties/transactions on an ongoing basis.

During the engagement team discussions on related parties, the following matters should be considered:

 - the nature and extent of the entity's relationships and transactions with related parties
 - the importance of maintaining professional scepticism throughout the audit regarding the potential for material misstatement associated with related parties
 - the circumstances or conditions of the entity that may indicate the existence of related party relationships or transactions that management has not specifically identified or disclosed to the auditor (e.g., a complex organisational structure) and how they may be fraudulently exploited
 - the records or documents that may indicate the existence of related party transactions, for example, register of directors' interest in contracts, minutes of directors' meetings, lease agreements
 - how related party transactions could be "hidden" by management, for example, management override of controls and
 - how transactions between the entity and related parties could be arranged to accommodate manipulation of the financial statements or misappropriation of assets.
- During the audit, the audit team must remain alert for evidence of the existence of related party relationships or transactions that have not been previously identified or disclosed to the auditor. In particular, the audit team should:
 - inspect bank and legal confirmations obtained for audit purposes
 - inspect minutes of meetings of shareholders and those charged with governance
 - inspect other relevant documents (see note 1 below), and
 - be alert to significant transactions outside the normal course of the entity's business and, in doing so, establish the nature of the transaction and whether related parties could be involved (see note 2 below):
 - consider the transaction's business rationale (logic) (arm's-length, designed to conceal misappropriation, etc.)
 - consider whether the terms of the transaction are consistent with the explanation for the (abnormal) transaction, and
 - consider whether the transaction has been appropriately accounted for and disclosed.

Note 1: Other documents or records which the auditor may inspect:

- other third-party confirmations
- income tax returns
- information supplied by the entity to regulatory authorities, for example, the JSE
- declarations of conflict of interest from management or directors
- shareholders' register
- life insurance policies (may be taken out on "key" personnel and may give light to a related party relationship)
- internal auditor's reports, and
- records of the company's investments.

Note 2: Transactions outside the normal course of business may include:

- complex equity transactions such as mergers, restructuring, etc.
 - transactions with offshore entities operating in countries with weak corporate laws
 - leasing of premises, rendering management services, but no charge is levied
 - sales made with unusually generous terms, for example, large discounts, extended payment periods, and
 - sales with a commitment to repurchase (circular arrangements).
- The auditor must evaluate the accounting for and disclosing of identified related party relationships and transactions (IAS 24).

- The auditor must obtain written representation from management, and those charged with governance, that:
 - they have disclosed to the auditor the identity of the entity's related parties and all the related party relationships and transactions of which they are aware, and
 - have appropriately accounted for and disclosed such relationships and transactions.
- The auditor must communicate with those charged with governance on any significant matters arising during the audit in connection with the entity's related parties.
- The auditor must include the names of the identified related parties and the nature of the related party relationships in the audit documentation.

8.6 Written representations – ISA 580

8.6.1 Introduction

ISA 580 – Written representations deal with the auditor's responsibility to obtain written representations (sometimes called management representation letters) from management and, where appropriate, those charged with governance in an audit of financial statements. Written representations can be an important part of the evidence gathered but do not, in themselves, provide sufficient, appropriate evidence, and they are corroborative in nature.

8.6.2 Objectives

The auditor's objectives in obtaining written representations are, in terms of ISA 580:

- to obtain a written representation from management that it (management) has fulfilled its responsibility for the preparation of the financial statements and the completeness of the information provided to the auditor; and
- to support (corroborate) other audit evidence relevant to the financial statements or specific assertions in the financial statements.

8.6.3 Requirements

The auditor should request *written* representations from individuals in management who have relevant responsibilities and knowledge of the matters concerned:

- those responsible for the preparation of the financial statements, and
- the chief executive officer (CEO) and chief financial officer (CFO).

In some instances, management may consult other parties to assist in making the written representation. These will be individuals who have assisted in preparing the financial statements by providing specialist knowledge, for example, in house actuaries, legal counsel or staff engineers.

The auditor must request management to specifically provide written representation that:

- it (management) has fulfilled its responsibility for the preparation of the financial statements
- it has provided the auditor with all relevant information and access, and
- all transactions have been recorded and are reflected in the financial statements.

In addition to the representations above, the auditor may consider it necessary to obtain other written representations about the financial statements. These may include representations about:

- whether the selection and application of accounting policies is appropriate
- whether there has been appropriate recognition, measurement, presentation and disclosure of the following in terms of IFRS or IFRS for SMEs:
 - plans or intentions that may affect the carrying value of assets and liabilities, for example, intentions to discontinue certain operations
 - liabilities, both actual and contingent, for example, pending lawsuits
 - title to assets, liens (a legal claim against an asset held as collateral for the payment of a debt), encumbrances and assets pledged as security, for example, agreements to buy back assets previously sold, and

- aspects of laws, regulations and contractual agreements that may affect the financial statements, for example, unintentional foreign exchange contraventions, loans made to a director or related person in contravention of the Companies Act
- related party transactions
- subsequent events, and
- intended changes to capital, for example, capitalisation issues, rights issues.

ISA 580 does not restrict the auditor in obtaining written representations. Although these representations do not feature particularly high on the hierarchy of evidence, they force management to commit themselves in writing and hopefully focus their minds on what they represent. In addition to the above, various ISAs require that the auditor obtain management representations about the topic of that ISA, for example, ISA 240 (fraud).

If the auditor doubts the reliability of the written representations of management or the requested written representations are not provided, the auditor should:

- discuss the matter with management
- re-evaluate the integrity and diligence of management (is this a deliberate attempt to mislead or hide information?)
- consider whether this unreliability or refusal affects other audit evidence gained on the audit (both its reliability and sufficiency)
- extend testing (evidence gathering) if necessary, and
- consider the effect on the audit opinion.

Management should be quite prepared to make the necessary representations, and the auditor should be sceptical (or suspicious) if management makes unreliable, incomplete representations or refuses to do so at all. However, management representations are corroborative in nature and do not stand on their own; unreliable representations or an absence of representations will not automatically result in a qualification or disclaimer of the audit opinion.

8.6.4 Conclusion

To be of value, management representations should be:

- written, not oral
- corroborated by other evidence
- reasonable and consistent concerning other evidence obtained
- given by members of the management team who are sufficiently well informed on the particular matter about which representations are being made
- addressed to the auditor
- contain specific information
- appropriately dated (preferably the same as the auditor's report), and
- appropriately signed, for example, senior executive officer.

8.7 Reliance on other parties

There are many instances where an auditor will find it effective and efficient to engage other parties to gather audit evidence on which he can rely when forming the audit opinion. However, it is important to remember that the auditor has sole responsibility for the audit opinion, and that responsibility is not reduced because another party was involved in obtaining evidence. Therefore, the auditor needs to take certain precautions and perform specific procedures when relying on the work of such a party. Common examples of parties on which an auditor may rely are:

- ***Other firms of auditors***

This is most common where a group engagement partner (the partner responsible for the audit of a group of companies), relies on the work of another firm of auditors who have audited a component of the group, for example a subsidiary within the group. Another typical example is where the auditor of the company engages another auditor (or firm) to observe an inventory count or conduct a physical as

set verification at a branch or division of the company which is in a distant location (but close to the other audit firm), because it is more cost-effective and efficient than sending his own audit team to that location.

- **Internal auditors**

Many companies, particularly large companies, have highly competent internal audit departments (divisions / functions) that operate independently of management and carry out functions that can be of real assistance to the external auditor. For example, modern internal audit is risk-based which requires that internal audit has a detailed knowledge of the risks faced by the company. External audit is also risk-based, so although internal and external audit does not have exactly the same objectives, there is plenty of common ground between the two. It makes sense that if the external audit strategy can justifiably include some reliance on internal audit function, a more effective and efficient audit may result.

- **An auditor's expert**

In some situations, an auditor may need the expertise of another individual to assist him in gathering sufficient appropriate evidence pertaining to a particular assertion relating to the financial statements. For example, the valuation of inventory in a chemical company, or the legal interpretation of a contract, may be beyond the auditor's expertise and may require that the auditor rely on the expertise of a chemical engineer or a lawyer.

Remember, the auditor does not *escape responsibility* for assessing the suitability of the evidence provided by another party (other auditor, internal auditor or auditor's expert), he/she must therefore assess both the *party* and the *evidence* provided. In effect, the other party can be regarded as an extension of the audit team and must possess the same professional attributes as the auditor. The evidence gathered by the other party must be sufficient and appropriate.

This means that the work carried out by the other party, for example, an auditor's expert, must be performed or supervised by a person:

- having adequate *skills and competence* and
- who meets the professional requirements of *independence, objectivity, confidentiality* and *professional behaviour*

This also means that the evidence gathered must be *sufficient, relevant and reliable*.

The three International Standards on Auditing relevant to reliance on other parties are dealt with below.

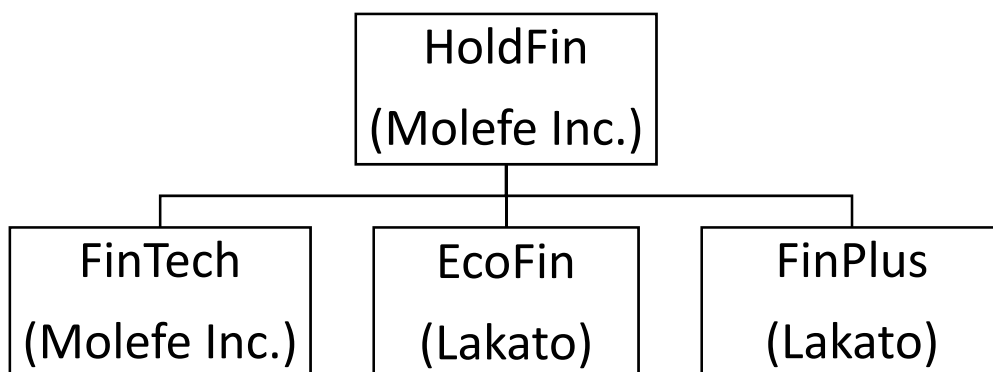
8.7.1 Special considerations – audits of group financial statements (including the work of component auditors) – ISA 600 (revised)

8.7.1.1 Introduction

ISA 600 (revised) does not deal exclusively with reliance by an auditor on other auditors (called “component auditors”). As the title indicates, the statement deals with special considerations regarding the audit of group financial statements. One of those special considerations is the reliance by the group engagement partner (i.e., the auditor responsible for giving the opinion on the group financial statements), on component auditors who may have audited a “component” of the group financial statements.

For example:

HoldFin Ltd is a company listed on the JSE. The company has three subsidiaries, FinTech (Pty) Ltd, EcoFin (Pty) Ltd and FinPlus (Pty) Ltd.



HoldFin (Pty) Ltd and FinTech (Pty) Ltd are audited by Molefe Inc, while Lakota Inc. audit EcoFin (Pty) Ltd and FinPlus (Pty) Ltd. As HoldFin Ltd is required to present consolidated annual financial statements in terms of IAS 27 (i.e., the company does not qualify for the exemption in terms of paragraph 10), Molefe Inc is required to pass an audit opinion on the fair presentation of the consolidated financial statements. Thus, Molefe Inc (the group auditor) has to rely on the work of Lakota Inc. (the component auditor), which is the subsidiary company auditor in this case.

Note that a component will not necessarily be a subsidiary company, as in the example above. It could be any entity or business activity for which financial information is incorporated into the group financial statements, for example, a joint venture, or separate division.

Despite concentrating on component auditors in a group situation above, ISA 600 makes the point that a group can be structured in various ways. The standard can also be used where an auditor involves another auditor to observe an inventory count at a location which is convenient to the “component auditor” but not to the group auditor himself. Please also further take note that it is also possible for one audit firm and audit team to audit the whole group which includes all the relevant subsidiaries and other entities within the group. In such a scenario, the guidance of the component auditors will not necessarily be applicable.

The following summary will consider the principles of reliance on component auditors in the context of a group engagement partner and a component auditor. However, you should recognise that these principles apply equally to other situations where an auditor who has been assigned a responsibility, relies on the work of another auditor to assist in meeting that responsibility.

The principle here is simple. If an auditor relies upon other auditors, he is entitled to assess the other auditors and their performance to the extent he considers necessary, much in the same manner that the auditor would assess his audit team. The component auditors are simply an extension of the audit team. The auditor is not entitled to *assume* that the component auditor has the necessary *technical ability and competence*, or fulfils the necessary *professional requirements*.

8.7.1.2 Responsibilities of the group engagement partner with regard to the component auditor

8.7.1.2.1 Overall responsibility

The group engagement partner manages and achieves quality on the group audit engagement. The group engagement partner achieves this by emphasising the expected behaviour of the engagement team members and by being sufficiently involved throughout the group audit engagement (including the component auditor).

8.7.1.2.2 Overall audit strategy and audit plan

Determining the overall group audit strategy and developing the group audit plan is the responsibility of the group auditor. The group auditor is defined as the group engagement partner and the members of the engagement team other than the component auditors. Frequently, in group audit situations, the overall group audit strategy will include reliance on component auditors and the group audit plan will need to accommodate this.

Where the use of a component auditor is included in the overall group audit strategy, the engagement partner (team) must obtain an understanding of:

- whether the component auditor has been made aware, understands and will comply with the ethical requirements of the group audit, for example, independence and confidentiality
- the component auditor’s professional competence, for example, has the necessary skills, knowledge and experience and whether the component auditors have sufficient time to perform the assigned audit procedures the component
- whether the group engagement team will be able to be involved in the work of the component auditor and the group auditor shall request the component auditor to confirm that the component auditor will cooperate with the group auditor, including whether the component auditor will perform the work requested by the group auditor, and
- whether information about the results of the monitoring and remediation process or external inspections related to the component auditor have been provided by the group auditor’s firm (note: the component auditor may be from another country).

This understanding may be acquired by:

- discussion with the component auditor
- requesting written submissions from the component auditor relating to the matters listed above
- requesting the component auditor to complete questionnaires designed to obtain this information
- discussing the component auditor with colleagues or a reputable and knowledgeable third party, and
- obtaining information from the component auditor's professional body.

8.7.1.2.3 Understanding the Group and Its Environment, the applicable Reporting Framework and the Group's System of Internal control through the performance of risk assessment procedures and response

The group auditor shall take responsibility for obtaining an understanding of the group and its environment, the applicable financial reporting framework and the consistency of accounting policies and practices across the group, and the group's system of internal controls. The group auditor shall communicate to the component auditor the following:

- matters that the group auditor determines to be relevant to the component auditor's design or performance of risk assessment procedures for purposes of the group audit,
- related party relationships or transactions identified by group management, and any other related parties of which the group auditor is aware, that are relevant to the work of the component auditor
- events and conditions identified by the group management or the group auditor that may cast significant doubt on the group's ability to continue as a going concern that is relevant to the work of the component auditor.

The component auditor must communicate the matters that he/she determines are relevant for the identification and assessment of the risk of material misstatement of the group financial statements, related party relationships not previously identified, and events and conditions identified by the component auditor that may cast doubt on the group's ability to continue as a going concern.

8.7.1.2.4 Identifying and assessing the risks of material misstatement

Based on the understanding obtained, the group auditor shall take responsibility for identifying and assessing the risks of material misstatement of the group financial statements, including the consolidation process. The group auditor shall evaluate whether the audit evidence obtained from the risk assessment procedures performed by the group auditor and the component auditors provide an appropriate basis for identifying and assessing the risks of material misstatement of the group financial statements.

8.7.1.2.5 Materiality

The group auditor is responsible and shall determine the component performance materiality and the threshold above which misstatements identified in the component financial information are to be communicated to the group auditor. The group auditor shall communicate these amounts to the component auditors.

8.7.1.2.6 Responding to the assessed risks of material misstatement

The group auditor is responsible for the nature, timing, and extent of further audit procedures to be performed, including the components upon which to perform further audit procedures and the nature, timing, and extent of the work to be performed upon those components.

The group auditor is responsible for designing and performing further audit procedures to respond to the assessed risks of material misstatement of the group financial statements arising from the consolidation of the financial statements.

8.7.1.2.7 Communication with the component auditor

The group auditor shall communicate with the component auditors about their respective responsibilities and the group auditor's expectations, including that communications between the group auditor and the component auditors take place at appropriate times throughout the group audit. The communication must set out:

- the work to be performed, the use to be made of that work, and the form and content of the component auditor's communication with the engagement team

- a request that the component auditor confirm that the component auditor will cooperate with the group engagement team
- the ethical requirements relevant to the group audit, particularly independence
- component performance materiality and the threshold above which misstatements cannot be regarded as clearly trivial to the group financial statements
- identified risks of material misstatement due to fraud or error which are relevant to the component auditor
- a list of related parties, and a request to the component auditor to communicate knowledge of any related parties not on the list, and
- events and conditions identified by the group management or the group auditor that may cast significant doubt on the group's ability to continue as a going concern and that are relevant to the work of the component auditor.

8.7.1.2.8 Communication by the component auditor

Regarding communication by the component auditor with the group auditor, the engagement partner (team) should request the component auditor to communicate the following (in writing):

- identification of the financial information on which the component auditor has been requested to perform audit procedures
- whether the component auditor has performed the work requested by the group auditor
- whether the component auditor has complied with the ethical requirements including independence and professional competence
- information about instances of non-compliance with laws and regulations
- a list of corrected and uncorrected misstatements (excluding those below the "trivial" threshold)
- any indication of (component) management bias at the component entity
- a description of significant internal control deficiencies at a component level
- fraud or suspected fraud involving component management, employees who have significant roles in the group's system of internal control that may result in a material misstatement of the component financial information
- other significant matters that the component auditors communicated or expect to communicate to component management or those charged with governance of the component
- any other matters to which the component auditor wishes to draw the attention of the group auditor, and
- the component auditor's overall findings and conclusions.

8.7.1.2.9 Evaluating the sufficiency and appropriateness of audit evidence obtained

The group auditor must evaluate the component auditor's communication and the adequacy of his work:

- conventional "evaluation of work papers" techniques will be used, for example, review, discussion, checking for consistency, analytical procedures
- any significant matters arising from the evaluation of the component auditor's communication will be discussed with the component auditor, and
- if the group engagement team concludes that the component auditor's work is insufficient, the team must determine what further work must be done and who will do it.

8.7.1.2.10 Communication with those charged with governance

The group engagement partner (team) must communicate with those charged with governance of the group, any important matters relating to the component auditor's work, for example:

- an overview of the type of work to be performed on the financial information of the component
- an overview of the nature of the group engagement team's planned involvement in the work to be performed by the component auditors on the financial information of significant components
- instances where the group engagement team's evaluation of the component auditor's work gave rise to concern relating to the quality of the work (and responses to that concern)

- instances where access to component information may have been restricted, and
- fraud or suspected fraud at the component.

8.7.1.3 Reporting considerations

Where an auditor has relied on the work of another auditor when forming his opinion, *no* mention of this fact will be made in the audit report. The responsibility for giving the opinion rests with the auditor and making reference to the fact that the auditor has relied on other auditors may give the impression to users of the report that the auditor is attempting to shift responsibility to the other auditor.

8.7.2 Using the work of internal auditors – ISA 610 (revised)

8.7.2.1 Introduction

The practice of internal auditing has been around for many years, but its scope, nature, form and importance have evolved considerably. Before this evolution, internal audit departments were frequently understaffed, ill-equipped and more of a “general assistance” department to be called upon for help when the accounting department was short-staffed or very busy. However, modern-day internal audit is a different story. In most large companies, internal audit is respected and effective. Internal auditors are well-qualified (many are chartered accountants with extensive external audit experience), well-supported resource-wise, and regulated by their own professional body, the Institute of Internal Auditors (IIA).

Perhaps it is true that the focus on improving corporate governance drove the evolution of the internal audit. As part of a large company’s overall assurance model, internal audit, along with external audit (and other external regulatory inputs), is ideally placed to make a significant contribution to sound corporate governance. This idea has been recognised in the King IV Report on corporate governance and calls for company boards to ensure an effective internal audit function.

ISA 610 (revised) – Using the work of internal auditors, deals with the external auditor’s responsibilities when *using the work* of internal auditors, including using the work of internal auditors in obtaining audit evidence, and using internal auditors to provide *direct assistance* under the direction, supervision and review of the external auditor.

For example:

- Limbo Ltd has an effective internal audit department. The company has recently purchased a new inventory system and the internal auditors have compiled a report on their findings regarding the controls over the implementation of the new system. Arendse Inc (Limbo Ltd’s external auditors) is considering placing reliance on the report compiled by the internal auditors of Limbo Ltd.
- Arendse Inc also contemplates using Limbo Ltd’s internal audit department to assist with assessing the controls over inventory counts.

The first example above relates to the external auditor *using the work* of the internal auditors, while the second is an example of the internal auditors providing the external auditor with *direct assistance*.

Note that the ISA does not *require* the external auditor to use an internal audit in any way. The external auditor will make this decision when establishing the overall audit strategy and audit plan, and it will be based on whether it would be efficient and effective. Of course, the independence and competence of the internal audit department would also be very important in making the decision, and ISA 610 requires that the internal audit function be carefully evaluated.

8.7.2.2 Definition of the Internal Audit Function – ISA 610

The objectives and scope of internal audit functions typically include assurance and consulting activities designed to evaluate and improve the entity’s governance processes, risk management and internal control.

- **Governance.** The internal audit function may assess the governance process regarding whether objectives relating to ethics, performance, management and accountability, communication with stakeholders, etc., are being met.
- **Risk management.** The internal audit function may assist by identifying and evaluating significant exposures to risk and contributing to the improvement of entity’s risk management (response) and internal control. Internal audit also assists in the detection of fraud.

- **Internal control.** The internal audit function may be assigned to review controls, evaluate their operation and recommend improvements. It may also examine financial and operating information, including detailed testing of transactions, balances and procedures.

In addition, internal audit may be assigned to review the economy, efficiency and effectiveness of operating activities, including non-financial activities. It may also be assigned to review compliance with laws, regulations and management policies and directives.

8.7.2.3 External auditor's objectives

The objectives of the external auditor are to determine whether:

- *the work of the internal audit function* and/or
- *direct assistance* from internal auditors, can be used, and in which areas and to what extent.

Note: "*Using the work of the internal audit function*" means using work that has been carried out by the internal audit department under its own direction, for example, the external auditor may use a report on a risk assessment conducted and compiled by external audit. "*Direct assistance*" from internal auditors means using internal auditors to perform audit procedures under the direction, supervision and review of the external auditor (almost part of the external audit team).

8.7.2.4 External auditor's responsibility

It is important to remember that the sole responsibility for the audit opinion remains with the external auditor. Neither using the internal audit function's work, nor direct assistance from internal auditors, reduces the external auditor's responsibility for the audit opinion.

8.7.2.5 Evaluating the internal audit function

The first step in deciding on whether the work of the internal audit function can be used will be for the external auditor to evaluate the internal audit function itself in respect of the objectivity and competence of the internal auditors and whether the internal audit function applies a systematic and disciplined approach, including quality control, to its work.

8.7.2.5.1 Objectivity of the internal auditors

Primarily the objectivity (the extent to which the internal auditors can act independently) will be determined by the following factors:

- the status of the internal audit function, i.e. is the department accorded a status or level of importance, authority and accountability that enables it and its members to be objective. In other words, does its status support the function's ability to be free from bias, conflict of interest or undue influence to override professional judgements
- whether the internal audit function reports directly to those charged with governance, for example, the audit committee, and not to a functional manager such as the chief accountant
- whether the internal audit function is free of conflicting responsibilities, for example, members of the department are not drawn into "everyday accounting responsibilities and procedures"
- whether there are restrictions placed on the function by management, for example, denial of access to certain information, prohibiting communication with external audit
- whether those charged with governance (not management) oversee employment decisions relating to the internal auditors, for example, appointment, dismissal, remuneration, and
- whether the internal auditors are members of a professional body which requires its members to adhere to the principle of objectivity.

8.7.2.5.2 Competence of the internal auditors

Competence of the internal audit function refers to the attainment and maintenance of knowledge and skills of the function as a whole to enable assignments to be performed diligently and following applicable professional standards. The external auditor's determination of the internal auditor's competence will be influenced by whether the internal auditors:

- have adequate training and proficiency in auditing
- have the required knowledge relating to financial reporting and the necessary industry-specific knowledge to perform work related to the entity's financial statements

- possess a relevant professional qualification
- are members of a professional body which requires that they comply with professional standards, including continuing professional development (CPD) requirements
- are supported by adequate and appropriate resources necessary to perform their function, and
- are subject to sound policies concerning hiring, training and assignment to internal audit engagements.

Note (a): Objectivity and competence must be viewed collectively and high levels of both are required. For example, internal auditors who are highly competent but cannot be objective are not of much use to the external auditor!

8.7.2.5.3 A systematic and disciplined approach, including quality control

The external auditor must determine whether the internal audit function applies a systematic and disciplined approach to planning, performing, supervising, reviewing and documenting its activities. Factors that may affect the external auditor's evaluation include:

- the existence and use of documented internal audit procedures or guidance covering such areas as risk assessment, work programmes, documentation and reporting, and
- whether the internal audit function has appropriate quality control procedures and policies related to leadership responsibilities within the function, ethical requirements, assignment performance, supervision and review, etc.

Note (b): Concerning the objectivity, competence and discipline of internal audit, the King III and IV Reports make the following recommendations/observations:

- the internal audit function should adhere to the Institute of Internal Auditors' Standards for the Professional Practice of Internal Auditing and Code of Ethics
- the internal audit function should be independent of management. The board and management should defend and promote the independence of internal audit function
- the head of internal audit should be designated as the Chief Audit Executive (CAE) or similar, to convey his status in the company
- the CAE should report functionally to the audit committee
- the CAE should have a standing invitation to all executive (or similar) committee meetings *and* should be given direct access to the chairman of the company
- the audit committee should ensure that the internal audit function is appropriately resourced and funded
- only properly qualified and experienced staff with high ethical standards should be appointed to internal audit
- the internal audit function should be seen as an integral part of the entity's combined assurance framework, and
- the CAE will set the tone of the internal audit function and should have (at least) the following attributes:
 - strong leadership
 - respect for his competence and ethical standards, and
 - good communication skills.

8.7.2.6 Determining the nature and extent of work of the internal audit function that can be used

There is no magic formula that tells the external auditor exactly which work of the internal audit function can be relied upon and to what extent the work can be used. It is a matter of professional judgement which will be influenced by the following "principles":

- The external auditor must make all *significant judgements* in the audit engagement and therefore should perform more work directly (i.e. performed by the audit team) rather than using the internal auditor's work. Significant judgements include:
 - assessing the risks of material misstatements
 - evaluating the sufficiency of tests performed
 - evaluating significant accounting estimates, and
 - planning and performing relevant audit procedures.

Certainly the external auditor will consider information from, or work carried out by, the internal auditors pertaining to risk assessment, but will not rely greatly on this as a primary source of evidence. The external auditor must plan and perform an appropriate range of his/her own risk assessment procedures (one of which may be to review any internal audit risk assessment reports):

- the higher the assessed risk of material misstatement at assertion level, the greater the extent of work done directly by the external auditor
- the lower the objectivity and competence of the internal audit function, the greater the extent of work done directly by the external auditor. Exactly the same principle will apply where a risk of material misstatement is identified as a significant risk, and
- the external auditor must be satisfied that he has been sufficiently involved in the audit, particularly the gathering of sufficient appropriate evidence, to fulfil his sole responsibility for expressing the audit opinion.

Note: Examples of work of the internal audit function that the external auditor can use include:

- testing of the operating effectiveness of controls
- substantive procedures involving limited judgement
- observations of inventory counts
- physical verification of the existence of plant and equipment, and
- testing compliance with regulatory requirements.

8.7.2.7 Using the work of the internal audit function

8.7.2.7.1 Discussion and co-ordination with the internal audit function

The external auditor should discuss the planned use of the internal audit function's work with the internal auditors. This improves the efficiency of the audit and enables both parties to coordinate their activities. If the work to be used has yet to be performed, matters to be discussed may include the nature, timing and extent of the audit procedures to be performed, any materiality considerations, methods of selecting items for testing, documentation to be produced, etc. If the work to be used has already been performed, the external auditor will need to plan the procedures he intends to conduct on the reports/documentation produced by the internal audit.

8.7.2.7.2 Procedures to determine the adequacy of the work of internal audit

When the external auditor intends to use work conducted by internal audit, the external auditor should evaluate and perform audit procedures on that work to confirm its adequacy for the external auditor's purposes.

- The evaluation of work done by internal audit involves considering the adequacy of the scope of work conducted, and whether or not the evaluation of internal audit remains appropriate. This evaluation may include consideration of whether or not:
 - the work has been performed by internal auditors who have adequate competence as internal auditors and the work was properly planned, performed, supervised, reviewed and documented, (similar to the external audit team evaluation)
 - sufficient, appropriate audit evidence has been obtained to be able to draw reasonable conclusions
 - conclusions reached are appropriate in the circumstances and any reports prepared are consistent with the results of the work performed, and
 - any exceptions or unusual matters disclosed by internal audit, are properly resolved.
- The nature, timing and extent of the audit procedures to be performed on the work of internal audit, will depend on the external auditor's judgement as to the risk of material misstatement and materiality of the area concerned, as well as the evaluation of internal audit. Such procedures may include examining items already examined by the internal audit, examining other similar items, and observing internal audit procedures.
- Evaluation of internal audit work would take place in a similar manner to the evaluation of the external audit team's performance, for example, discussion with/enquiries of the personnel involved, review of working papers or completion of questionnaires.
- The external auditor should record conclusions regarding the internal audit work that has been evaluated and tested in a work paper to be kept in the audit file.

8.7.2.8 Determining whether, in which areas and to what extent, internal auditors can be used to provide direct assistance

Perhaps the primary distinction between the work of the internal audit function and the internal audit function providing direct assistance is the level of objectivity (independence) that the internal audit function has. Of course, the competence of the internal auditors is important, but in the evaluation of the internal audit function, a little extra attention will be paid to the objectivity of the internal auditor. The external auditor will consider carefully:

- the extent to which the internal audit function's organisational status and relevant policies and procedures support the objectivity of the internal auditors
- whether the internal auditor has any family or personal relationships with an individual working in, or responsible for, any aspect of the entity to which the (audit) work relates, for example, the external auditor would not obtain direct assistance from an internal auditor on work relating to accounts receivable if the internal auditor's spouse was the credit controller
- whether the internal auditor has any other association with the division or department to which the (audit) work relates, and
- whether the internal auditor has any financial interest in the entity other than remuneration on terms consistent with other employees at a similar level of seniority.

Note: The external auditor must be satisfied that the internal auditor can perform the proposed work without allowing bias, conflict of interest or undue influence of others to override professional judgments. It should be fairly obvious that the external auditor may not use internal audit to provide *direct assistance* if there are significant threats to the internal auditor's objectivity or if the internal auditor lacks the required level of competence.

As indicated in above, there is no magic formula for the external auditor to decide on the nature and extent of the work that can be assigned to internal auditors providing *direct assistance*. The following "principles" will be applied by the external auditor in making the decision:

- the internal auditor must have the necessary competence to carry out the procedures properly and with an appropriate level of objectivity
- the external auditor must *not* use internal auditors to provide direct assistance to perform procedures that:
 - involve making a significant judgement
 - relate to situations where there is a high risk of material misstatement
 - relate to work with which the internal auditors have been involved (i.e. internal auditors cannot audit their own work), and
 - relate to fraud risk (external auditors may make inquiries of internal auditors as a risk assessment procedure, but would not use internal audit to provide direct assistance when following up on a fraud risk)
- the extent of involvement (direct assistance) by internal auditors in the external audit, must not create the perception that the external audit lacks independence, and
- where there is an audit committee, the external auditor should communicate to the committee the nature and extent of the planned use of internal auditors to provide direct assistance. This is so that a "mutual understanding" that the use is not excessive can be reached.

8.7.2.9 Using internal auditors to provide direct assistance

Bearing in mind that the internal auditors are employed by the client and not the external auditor, the external auditor should, before using the internal auditors for direct assistance:

- obtain written agreement from the client (CAE and/or audit committee) that the internal auditors will be allowed to follow the external auditor's instructions, and that the client will not intervene in the work the internal auditor performs for the external auditor
- obtain written agreement from the internal auditors, that they will:
 - maintain confidentiality, and
 - inform the external auditor of any threats to their objectivity.

The external auditor must plan, direct, supervise and review the work performed by the internal auditors:

- the nature, timing and extent of planning, directing, etc. must take into account that the internal auditors are not independent of the client. Thus these procedures are likely to be:
 - more extensive, and
 - must include some checking back to underlying evidence by the external auditor, and
- during these activities (directing, supervising etc), the external auditor must be alert to any indications that the evaluation of the internal audit function previously conducted (objectivity, competence, disciplined approach), is still appropriate.

8.7.2.10 Documentation

If the external auditor *uses the work* of the internal audit function, the following must be included in the audit documentation (work papers):

- the evaluation of whether the function's organisational status and relevant policies and procedures adequately support the objectivity of the internal auditors
- the evaluation of the level of competence of the function
- the evaluation of whether the function applies a systematic and disciplined approach including quality control
- the nature and extent of the work used and the basis for that decision, and
- the audit procedures performed by the external auditor to evaluate the adequacy of the work used.

If the external auditor uses internal auditors to provide *direct assistance*, the following must be included in the audit documentation (work papers):

- the evaluation of threats to the objectivity of the internal auditors and the level of competence of the internal auditors used in the direct assistance
- the basis for the decision regarding the nature and extent of the work performed by the internal auditors
- who reviewed the work and the date and extent of that review
- the written agreements obtained from the client (CAE or audit committee) and the internal auditors (confidentiality and threats to objectivity), and
- the working papers prepared by the internal auditors who provided direct assistance.

8.7.3 Using the work of an auditor's expert – ISA 620

8.7.3.1 Introduction

There are many instances where an auditor may find that he does not have the expertise required to obtain sufficient appropriate evidence of some aspect of the financial statements on which he is expressing an opinion. Such situations may include:

- the valuation of complex financial instruments, land and buildings, plant and machinery, jewellery, works of art, intangible assets, etc.
- actuarial calculations of liabilities relating to employee benefit plans
- estimation of mineral resources
- the valuation of environmental liabilities
- interpretation of contracts/laws, or
- tax compliance issues.

If such situations arise, the auditor will usually be obliged to engage an expert to assist in obtaining the evidence he requires, for example, a geologist (estimation of mineral reserves); an attorney (interpretation of a contract), or an actuarial scientist (used to provide pension fund information).

8.7.3.2 Definition of an auditor's expert

"Auditor's expert" means an individual or organisation possessing expertise (skills, knowledge and experience) in a particular field *other than* accounting and auditing, whose work in that field is *used by the auditor* to assist the auditor in obtaining sufficient appropriate evidence. An auditor's expert may be an auditor's *internal* expert, for example, a partner or staff member in the auditor's firm, an auditor's external expert, or an independent geologist or attorney.

An auditor's expert must also be distinguished from a management's expert who is defined as an individual or organisation possessing expertise in a field *other than* accounting or auditing, whose work in that field is *used by the client* entity to assist the entity in preparing the financial statements, for example, the *client* engages a property valuer to provide a fair value for the company's property.

8.7.3.3 Determining the need for an auditor's expert

The decision to use an auditor's expert will hinge on whether the auditor decides that it is not possible to obtain sufficient appropriate evidence without using the work of an expert.

An auditor's expert may be needed to assist the auditor in one or more of the following:

- obtaining an understanding of the entity and its environment
- identifying and assessing the risks of material misstatement
- determining and implementing overall responses to assessed risks at financial statement level
- designing and performing further audit procedures to respond to assessed risks at the assertion level (further audit procedures), and
- evaluating the sufficiency and appropriateness of audit evidence.

8.7.3.4 Determining the need to use an auditor's expert when management has used a management's expert in the preparation of the financial statements

Where management has used a management's expert, the auditor will need to determine whether he will need to engage an auditor's expert (to assist in obtaining sufficient appropriate evidence) or whether he can rely on the work of the management's expert or example, BeeBop Ltd has a large portfolio of properties and management have engaged a property valuer to value the properties for financial year end reporting purposes. Bearing in mind that the valuer is *not* independent of the client, the external auditor will need to decide whether he can use the work of management's expert or engage his own expert to provide evidence of the valuation of the client's property portfolio. This decision will be based on such factors as:

- the nature, scope and objectives of the management's expert's work, and how these align with the requirements of the external auditor
- the extent to which management was able to control or influence the work of the management's expert (independence)
- the management's expert's competence and capabilities
- whether the management's expert is subject to technical performance standards or other professional or industry requirements, and
- any controls within the entity over the management's expert's work.

Note: A management's expert could be an employee of the client or be engaged by the client. Where the management's expert is an employee, the expert's objectivity will be an even more important issue for the external auditor and a strong encouragement to engage his own expert.

8.7.3.5 Nature, timing and extent of audit procedures

The nature, timing and extent of procedures that the auditor must carry out in respect of the matters dealt with in 8.7.3.5.1 to 8.7.3.5.3 below will vary depending on the circumstances of the audit. In determining the nature, timing and extent of procedures, the auditor will consider:

- the nature (complexity and subjectivity) of the matter to which the expert's work relates, for example, a difficult valuation of manufactured chemicals
- the risks of material misstatement in the matter to which the expert's work relates, for example, high risk of overstatement of inventory due to the inadequate allowance for chemical impairment
- the significance of the expert's work in the context of the audit, for example, company holds significant quantities of inventory, the valuation of which is fundamental to fair presentation, and
- whether the expert is subject to the auditor's firm's quality management policies and procedures, for example, if the auditor's expert is an external expert, he is not a member of the engagement team. He therefore will not necessarily be subject to the quality management procedures adopted by the audit firm.

8.7.3.5.1 The competence, capabilities and objectivity of the auditor's expert

To be in a position to contemplate relying on the work of an auditor's expert, the auditor must be satisfied with the competence, capabilities and objectivity of the auditor's expert. This may be judged by:

- having personal experience of the expert's "expertise"
- discussions with the expert
- discussions with other auditors who have experience of the expert
- obtaining knowledge of that expert's qualifications, membership of a professional body or industry association, licence to practice, etc.
- knowledge of published papers or books by the expert
- whether the expert is subject to technical performance requirements such as ethical standards and other membership requirements of a professional body, accreditation standard or industry association
- the recognition that the expert is afforded by his peers and/or in the industry, and
- discussion with the expert as to his objectivity and independence concerning the client, for example, financial interests in the client company or relationships with (relevant) client personnel (the auditor needs to establish whether there are any self-interest threats, advocacy threats, familiarity threats, self-review threats or intimidation threats, and, if so, whether there are adequate safeguards in place).

8.7.3.5.2 Obtaining an understanding of the field of expertise of the auditor's expert

The auditor is required to obtain a sufficient understanding of the expert's expertise to be in a position to:

- determine the nature, scope and objectives of the expert's work, and
- evaluate the adequacy of the expert's work for the auditor's purposes.

The auditor may already possess sufficient understanding from previous experience with the expert or similar situations. Suppose the auditor needs to acquire the knowledge. In that case, it can be obtained from such activities as discussion with the expert, attending relevant professional development courses, the internet and other searches of relevant databases, and discussion with other experienced auditors.

8.7.3.5.3 Agreement with the auditor's expert

The auditor must agree, generally in writing, on the following matters with the auditor's expert. Where the auditor's expert is an external expert, the agreement may be in the form of an engagement letter:

- *Nature, scope and objectives*
 - the nature and scope of the procedures to be performed by the auditor's expert
 - the objectives of the auditor's expert's work in the context of materiality and risk considerations
 - any relevant technical performance standards or other professional or industry requirements the expert will be following, for example, a specific valuation model
 - the assumptions and methods the expert will use, and
 - the effective date of the subject matter of the expert's work, for example, financial year and inventory valuation.
- *The respective roles and responsibilities of the auditor and the auditor's expert*
 - relevant auditing and accounting standards and relevant regulatory or legal requirements which must be complied with
 - the auditor's expert's consent to the auditor's intended use of the expert's report, including any reference to it or disclosure of the report
 - the nature and extent of the auditor's review/evaluation procedures
 - whether the auditor will test source data
 - the expert's access to the client's records and personnel
 - procedures for communication between the auditor and expert
 - access to each party's working papers
 - ownership and control of work papers about the expert's work
 - the responsibility of the expert to perform the work with due skill and care
 - agreement on the expert's competence and capability to perform the work
 - any agreement for the auditor to inform the expert of the auditor's conclusions on the expert's work, and
 - the need for the expert to observe all *confidentiality* requirements.

- *Communication and reporting*
 - methods (written, oral) and frequency of communication (e.g. progress reports) and identification of the individual on the engagement team to whom the expert will report
 - deadline dates
 - the expert's responsibility to communicate promptly on:
 - potential delays
 - potential reservations/limitations on the expert's findings
 - any restrictions imposed by the client on the expert, and
 - any circumstances that may create threats to the expert's objectivity.

8.7.3.6 Reference to the auditor's expert in the auditor's report

Where a standard audit report is given, no mention of the expert is necessary, and no mention should be made. (Note: The use of an auditor's expert does not in any way reduce the responsibility of the auditor.)

Suppose the auditor refers to the work of an auditor's expert in the auditor's report because such reference is relevant to understanding a modification to the auditor's opinion. In that case, the auditor must indicate in the report that such reference does not reduce the auditor's responsibility for that opinion.

8.8 Audit considerations relating to an entity using a service organisation – ISA 402

8.8.1 Introduction

A company may use other entities to carry out functions that would otherwise be carried out by the company itself. For example, a company may have its payroll processed by a computer bureau, or outsource its entire invoicing and debtor management to another entity. Entities that offer these kinds of services are referred to as service organisations in terms of ISA 402.

When an audit client uses a service organisation, it becomes part of the client's accounting system and related internal controls. In terms of ISA 315 (revised), the auditor is required to obtain sufficient understanding of his *audit client's system of internal control*, to be in a position to identify and assess the risks of material misstatement arising from weaknesses in that internal control system. By implication therefore, the auditor has to identify and evaluate the risks of misstatement arising from the use of the service organisation.

8.8.2 Understanding of the audit client and its environment

ISA 402 requires that in obtaining an understanding of the audit client and its environment, the auditor should obtain an understanding of:

- the nature of the services provided by the service organisation
- the terms of the contract between the client and the service organisation
- the extent to which the client's internal control interacts with the service organisation
- the client's internal controls relevant to the service organisation, for example, controls over the flow of source data to the service organisation, and how the risks of using a service organisation are managed (e.g. the risk of a collapse of the service organisation)
- the service organisation's capability and financial strength, and
- any available information about the service organisation's information system, general controls and application controls, including third-party reports on the service organisation by internal auditors, other auditors or regulatory agencies.

The auditor of the client company making use of the service organisation (termed the user auditor) may obtain the necessary information about the service organisation by:

- contacting the service organisation for specific information
- visiting the service organisation and performing procedures, and
- obtaining a type 1 or type 2 report.

8.8.3 Reports from the auditor (service auditor) of a service organisation on its internal controls (Type 1 or Type 2)

A service organisation is itself a business entity and will want to satisfy its customers that the business is well controlled, efficient and reliable. To this end, the service organisation may make available to its customers, reports by auditors engaged by it (the service organisation) to evaluate and report on its internal control. This report is potentially very useful to the customer's auditors (user auditor), but will depend on the type of evaluation and report which the service organisation's auditor conducted. ISA 402 deals with two types of report:

Type 1 A report on the *description* and *design* of internal control

Type 2 A report on the *description*, *design*, and *operating effectiveness* of the service organisation's internal control.

The **Type 1** report will consist of:

- a description of the service organisation's internal control, and
- an opinion on whether:
 - the description is accurate
 - the internal controls are suitably designed to achieve their stated objectives, and
 - the internal controls have been implemented.

The **Type 2** report will be the same as the **Type 1** report but will in addition contain:

- information on whether the internal controls are *operating effectively*, and
- details of the tests performed by the service auditor and the results thereof.

The **Type 2** report is more valuable to the (user) auditor, as it produces *evidence* about the *effectiveness* of internal controls at the service organisation and hence will be helpful in the identification and assessment of material misstatement. The **Type 1** report is of some value in gaining an understanding of the client (using the service organisation) but is limited as it produces no meaningful evidence.

Where the auditor chooses to rely on a **Type 2** report, it will be necessary to evaluate the third party (e.g. the service organisation's service auditor) which provided the report. The independence and competence of the service auditor would be particularly important.

It is also important that the auditor relying on the report consider whether the nature, timing, and extent of the tests of controls conducted by the service auditor provide sufficient, appropriate evidence. It is not just a matter of accepting the report at face value.

8.8.4 User auditor's responsibility

An auditor who relies on the report of a service auditor engaged by the service organisation, should not reference this fact in his report. The use of a service auditor does not alter the user auditor's responsibility to obtain sufficient, appropriate evidence to afford a reasonable basis to support his audit opinion.

8.9 Audit documentation – ISA 230

8.9.1 Compliance with standards

Two auditing statements (ISA 230 and ISQM 1) are directly relevant to audit documentation, commonly referred to as work papers or working papers.

ISA 230 requires that:

- the auditor should prepare, on a timely basis, audit documentation that provides:
 - *a sufficient and appropriate record of the basis for the auditor's report, and*
 - *evidence that the audit was performed per International Standards on Auditing and applicable legal and regulatory requirements.*

The preparation of appropriate audit documentation enhances the quality of the audit and provides the auditor with the means of proving that the audit was properly conducted should this be challenged, for example, where the auditor is accused of negligence.

The audit documentation also:

- assists the engagement team to plan and perform the audit
- facilitates direction, supervision and review on the audit per ISA 220 (quality management at audit level)

- makes members of the engagement team accountable (i.e. their performance is reflected in their work papers)
- facilitates the audit quality management reviews of various kinds, for example, peer-review by SAICA, partners from other firms etc., and external inspections if required, and
- provides a record of matters of continuing significance to future audits.
- *An experienced auditor, having no previous connection with the audit, should be able to understand:*
 - the nature, timing and extent of audit procedures performed to comply with the ISAs
 - the results of the audit procedures performed, and the audit evidence obtained, and
 - significant matters and conclusions thereon.
- *In documenting the nature, timing and extent of audit procedures, the auditor should record the identifying characteristics of the item/matters tested, for example:*
 - document description and number (sales invoice number 2173)
 - name of the person who performed the work, date work was performed and the subject matter of enquiries
 - journal entry numbers, dates, cycle
 - the starting point for samples and sampling interval, and
 - subject matter being observed, for example, goods receiving activities.

A reviewer must be able to tie the working paper to specific documents, dates, people, functions, etc.

- *Significant matters identified on the audit must be documented, in particular:*
 - significant risks (and the audit response)
 - the auditor's determination of key audit matters (or that there are no key audit matters)
 - results of audit procedures which indicate that the financial statements could be materially misstated, or which indicate the need to revise a previous assessment of material misstatement
 - responses to risks
 - circumstances that cause the auditor significant difficulty in applying the necessary audit procedures
 - findings that could lead to modification of the auditor's report
 - any departures from basic principles or essential procedures, for example, the ISAs, and reasons for the departure.
- *The names of the preparer and reviewer and the dates on which they conducted their procedures, should be recorded on the work paper.*

ISQM 1 Quality management for firms that perform audits, requires that:

- the firm must establish policies and procedures for *engagement teams to put together finalised engagement files on a timely basis*, for example, set deadlines, review and sign off files
- the firm must establish policies and procedures *designed to maintain confidentiality, safe custody, integrity (not allow tampering or contamination), accessibility and retrievability of engagement documentation*, for example:
 - use of passwords to access computerised work papers
 - back-up routines
 - controls over the distribution of work papers, for example, sign a register, and
 - physical controls over hard copy and electronic work papers, for example, library routines, in a physically secure area, and
- the firm must establish policies and procedures for *the retention of engagement documentation* for as long as they are needed, ensuring that the laws on retention of documents are adhered to.

8.9.2 General points and basic requirements

- Audit documentation may be in various media, for example, written, digital, recorded.
- Audit documentation is the firm's property, and the firm is in no way obliged to make it available to the client or any other party unless required to do so by law.

- Work papers should:
 - be correctly headed regardless of their form, for example:

Client: Knaves (Pty) Ltd Schedule No. FA1.
Financial year-end: 31 December 0001
Date: 15 February 0002
Section of Audit: Non-current Assets – Physical Verification
Prepared By: Phil Collins
Reviewed By: Date
 - contain sufficient information concerning the matter to which the working paper relates to enable the person reviewing the working paper, to judge whether the tests have been performed satisfactorily and to agree or disagree with the conclusion reached as a result of the tests
 - contain explanation and commentary on any unusual or exceptional matters and how they were dealt with
 - contain the *conclusions* of the *preparer* of the working paper
 - include adequate legends (keys) to symbols on the working paper, and
 - display adequate cross-referencing to other work papers.

Computer auditing

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9.1 Computer auditing

9.1.1 Introduction

As an auditor, whether junior or senior, you will be exposed to computerised financial reporting systems at your audit clients. You will also make use of laptop computers to assist you in carrying out your audit work. Most businesses you will visit to perform audits will use computers for many different tasks, including to capture, process and record transactions, produce the accounting records and create management information. However, the extent to which business entities use computers will vary considerably.

For example, a small company (e.g. an independent dentist practice) may have one or two stand-alone personal computers with basic bookkeeping programs that are used to manage the business.

A large company (e.g. a motor vehicle manufacturer) will have far more complex and sophisticated arrangements, with thousands of employees using computers and robotics for the end-to-end manufacturing of the vehicles, management of the inventory and financial reporting. Such companies will have extensive and experienced IT functions, with large data centres or cloud strategies leveraging off Software-as-a-Service. The 'cloud' is simply explained as the internet, so instead of a user storing the data on their hard drive, or within the organisations' servers and data centre, the data is saved on someone else's server, hence Software-as-a-service. Amazon Web Services is a good example.

You can therefore conclude that the range of skills required by auditors will be very diverse. This chapter intends to provide you with a basic knowledge of computers in the context of auditing. As with most aspects of auditing, you are not expected to be an IT expert, but a basic knowledge of computers and computer auditing, will help and is expected. For example, even very small businesses these days pay salaries and creditors via electronic funds transfer (EFT), so some knowledge of how this is controlled will be important if you are auditing the payroll or acquisitions and payments cycles. An overview of IT general controls, automated application controls, interface management and other key critical IT trends that are being used more frequently by organisations, such as mobile applications, artificial intelligence and data cleanrooms will provide you with a good understanding of how IT impacts the audit.

You will also become more aware that every business has different information needs. Different programs do a multitude of different things and will be supported by different policies and procedures. Documents (both on screen and hardcopy) will be designed to meet users' specific needs and terminology will vary considerably. When you start auditing, the detail will become second nature to you, but for study purposes you need to concentrate on the basics.

In this text we have used the term "computer environment" to describe any particular and unique combination of hardware, software and personnel. As briefly explained above, the dentist is going to have a very different computer environment compared to the large vehicle manufacturer.

Bear in mind that the size of the organisation will not necessarily directly translate to the size of the information technology (IT) function within the organisation. Generally, you will find IT functions within medium to large organisations that are charged with establishing, implementing, monitoring and maintaining information technology systems and services.

In the early days of business computing, had you gone to a large company's computer department, you would have been confronted by the central processing unit (a great big "box") with large storage devices (tape drives and disk drives) as well as terminals and printers. There would also have been IT personnel going about their business, for example, capturing data, loading tape drives, monitoring what the computer was doing, loading the printers with specific stationery necessary for a particular job. Systems analysts, programmers, operators and technical personnel would also have been about. Generally, the computer centre would have been a busy, but orderly place. However, with the development of the silicon chip, came the microcomputer which allowed CPUs and other devices to decrease substantially in size. Microcomputers have their own CPU and storage capabilities, and this has enabled many businesses to replace mainframe and minicomputers with microcomputers. The age of end-user computing was born. The result of this was that many of the functions that were performed in the computer centre are now carried out by users sitting at their workstations with real-time back-ups of their work in the 'cloud'. The user is now responsible for entering data, carrying out checks, processing data etc., so the centralisation of computing facilities and operations has diminished dramatically. However, large companies still have vast amounts of highly technical equipment on which the computer systems are run and into which users are connected. This equipment, for example, lots of servers doing different things, routers, modems, etc., is still usually

centrally located (but does not have to be) in a physically protected area called the “data centre”. The data centre will, itself, not be inhabited by lots of employees.

The important point about all this from an auditor’s perspective is that a client’s computer environment will directly affect the audit strategy and plan. To illustrate:

- The strategy adopted to audit a bank will call for the inclusion of computer audit experts on the team due to the complexity and importance of the computerised systems. The fact that banks process millions of transactions will require that the strategy focus on tests of controls which in turn will affect the audit plan.
 - The software used by a large company is likely to be far more sophisticated, and highly integrated. Simply stated, this means that applications work together, for example, a credit sale automatically updates the inventory records, the debtors ledger and general ledger, and have many more automated control features to ensure the accuracy and completeness of the input, processing and output.
- The strategy for the audit of a small company with a bookkeeper or two and a number of PCs will not require specialist computer skills and will probably be focused on substantive testing.
 - A small business may use simple software for each application which is not linked to any other application, for example, a simple computerised perpetual inventory application may require that all movements of inventory, for example, receipts, issues of inventory items will be entered onto the system by keying in the information from hard copy goods received notes (GRNs) and delivery notes.
- As a final illustrative example, the use of audit software (i.e. software which helps the auditor conduct the audit or carry out what are termed “computer assisted audit techniques”) will be absolutely critical on some audits, and hardly critical at all on others. For example, the efficient and effective audit of debtors for a large company with, say, 5 000 debtors, will not be possible without using audit software to interrogate the debtors masterfile, extract samples from it, re-perform calculations, analyse it, etc. In a small business with, say, 200 debtors, this may not be necessary or even possible. In this situation it may be far more efficient to carry out manual audit procedures.

The difference in the capabilities of the software will directly affect the validity, accuracy and completeness of the information it produces as well as the way in which the information is audited.

In the past, the more sophisticated the software was, the more it cost to purchase and run. These days software has more features than any business could desire, but many of the features do not provide any great benefit, so companies use cheaper software and/or “enable” only those controls and features the business needs. In principle, this is no different from how you use your mobile, iPad, or laptop.

Regardless of whether the company is small, medium or large, hardly computerised or extensively computerised, management is still responsible for implementing and maintaining control, and the auditor still goes through the audit process as described and discussed in chapters 5, 6 and 7.

One of the specific objectives of internal control is to achieve reliable reporting; in computer “speak” this is often referred to as the production of information by the information system (of which the accounting system is part) which is valid, accurate and complete. From the auditor’s perspective, if the information produced is valid, accurate and complete, the risk of material misstatement in the financial statements is significantly reduced.

Finally, computer environments are sometimes distinguished as personal usage, small business systems and large business systems. This is a useful way of classifying them and reminding us that different audit strategies and plans are required for different businesses.

9.1.2 The components of internal control and information technology systems

The system of internal controls can be defined as the system designed, implemented and maintained by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of an entity’s objectives with regard to:

- the reliability of the entity’s financial reporting
- the effectiveness and efficiency of its operations, and
- its compliance with applicable laws and regulations.

One of the best ways by which management can achieve these objectives is by embracing the ever-increasing power and versatility of information technology. For example, a company computerises its

accounting system to improve the reliability of its financial reporting system because computers can process vast quantities of information very accurately and very quickly, can store information for instant retrieval, can analyse information extensively and communicate it instantly and widely.

The International Auditing Standards (ISA) require that auditors evaluate controls over each IT environment when intending to rely on automated application controls and system generated reports to provide audit evidence and to modify the nature, timing and extent of substantive audit procedures. In terms of ISA 315 (revised), the auditor is required to gain an understanding of the company's internal control system and the statement suggests that this understanding can best be obtained by considering the five components of internal control.

These components are:

- the control environment
- the entity's risk assessment process
- the entity's process for monitoring the system of internal control
- the information and communication system, and
- control activities.

It stands to reason therefore, that when considering each component, the auditor will need to consider the effect of the company's IT (computerisation) on that component. For example, when evaluating the company's control environment, the auditor will look specifically at the control environment relating to IT management.

9.1.2.1 Control environment

This is about management's attitude, awareness and actions regarding the system of internal control. Because of the potential major consequences of poor control in a computerised system, a strong control environment is very important. The evaluation of the control environment will be far more intense in a large, highly computerised company (think bank!) than in a smaller or medium-sized business (although some smaller entities may also have complex computerised systems). Evaluation of the control environment is discussed extensively in chapters 6 and 7. These may also be referred to as entity level controls specific for IT. These controls are implemented within the IT governance environment and have a pervasive impact on the IT controls environment including those at the transaction or application level. Entity level controls assess the overall overarching landscape and may include the following:

- communication and enforcement of integrity and ethical values
- commitment to competence
- participation by those charged with governance
- management's philosophy and operating style
- organisational structure, assignment of authority and responsibility, and
- human resource policies and practice.

In terms of ISA 315 (revised), the auditor evaluates the control environment as a component of the system of internal control so you might be wondering why it is part of a general control evaluation. The reason is that the evaluation of the control environment as a component of the system of internal control covers the entire organisation (to the extent that it affects the audit), while the evaluation at general control level concentrates on the control environment within the IT structures. Of course, the evaluation of the control environment within the IT structures is part of the overall exercise, but it has some significant and unique aspects to it.

You should refer to chapters 6 and 7 as well.

ISA 315 (revised) refers to risks related to inappropriate reliance on IT applications that are inaccurately processing data, or processing inaccurate data, or both, such as:

- Unauthorised access to data that may result in destruction of data or improper changes to data, including the recording of unauthorised or non-existent transactions, or inaccurate recording of transactions. Particular risks may arise where multiple users access a common database.
- The possibility of IT personnel gaining access privileges beyond those necessary to perform their assigned duties thereby breaking down segregation of duties.
- Unauthorised changes to data in masterfiles.

- Unauthorised changes to IT applications or other aspects of the IT environment.
- Failure to make necessary changes to IT applications or other aspects of the IT environment.
- Inappropriate manual intervention.
- Potential loss of data or inability to access data as required.

Control environments can be complex and may include highly-customised or highly-integrated IT applications and may therefore require more effort to understand. Financial reporting processes of IT applications may be very sophisticated and integrated with other IT applications. Such integration may involve IT applications that are used in the entity's business operations and that provide information to the IT applications relevant to the flow of transactions and information processing in the entity's information system. In such circumstances, certain IT applications used in the entity's business operations may also be relevant to the preparation of the financial statements. Complex IT environments may also require dedicated IT departments that have structured IT processes supported by personnel that have software, development and IT environment maintenance skills. In other cases, an entity may use internal or external service providers.

ISA 315 (revised) suggests that the auditor must also understand emerging technologies at clients. Entities may use emerging technologies (e.g., blockchain, robotics or artificial intelligence) because such technologies may present specific opportunities to increase operational efficiencies or enhance financial reporting. When emerging technologies are used in the entity's information system relevant to the preparation of the financial statements, the auditor may include such technologies in the identification of IT applications and other aspects of the IT environment that are subject to risks arising from the use of IT. While emerging technologies may be seen to be more sophisticated or more complex than existing technologies, the auditor's responsibilities concerning IT applications and identified general IT controls remain unchanged.

Communication and enforcement of integrity and ethical values

- Ethical IT governance must be cultivated and promoted and should align with the organisation's ethical culture.
- A strong ethical culture is important in an IT department, particularly as IT personnel will have access to confidential and sensitive information and may also have the opportunity to cause disruption to operations. This may occur maliciously or unknowingly with the incorrect/ unauthorised access to data.
- IT management should communicate a code of ethical behaviour and conduct and comply with the code themselves. The code should enforce strong remedial action, which may include dismissal, where integrity and ethical behaviour have been lacking. The potential damage (risk) of engaging or retaining individuals who lack integrity is considerable.

Commitment to competence

- The demands of many of the jobs in an IT department with regard to skills and knowledge as well as the ability to handle pressure can be considerable.
- IT management should be committed to matching these attributes to an individual's job description. Again, the consequences of an individual not being able to do his job could be immense. Performance reviews and regular discussions with employees as well as ongoing training demonstrate a commitment to competence.

IT management's philosophy and operating style

- As with the company's overall control environment, this comes down to the attitudes, control awareness and actions of the IT management. Their actions set the tone of the department and as they lead, so will the employees follow. Their management philosophy and management style must demonstrate, communicate and enforce sound control.

For example, a manager who shares his PIN code to gain access to the data centre, or spends half the day "surfing the Internet", can expect employees to start doing the same, and worse, before long!

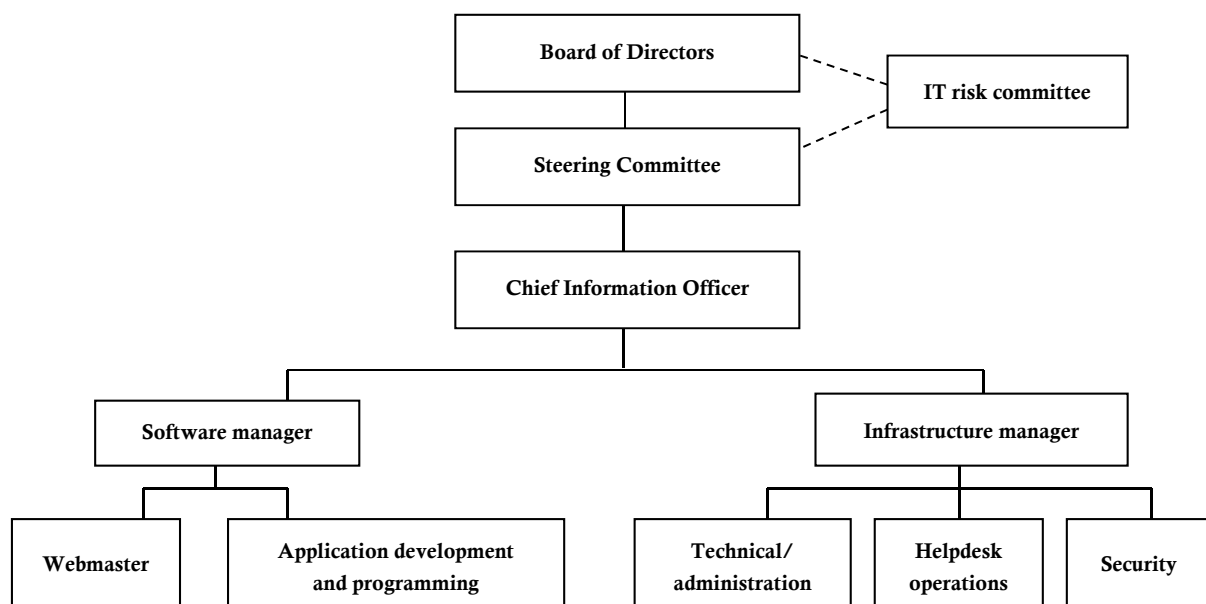
- Very often IT personnel are seen as technical specialists who are more interested in IT and the excitement of its capabilities, than they are in the "boring" routine of the company's business. This can lead to a level of disharmony within management, particularly if IT as a department "does its own thing".

Organisational structure and assignment of authority and responsibility

- The organisational structure should achieve two major objectives:
 - it should establish clear reporting lines/levels of authority, and
 - it should lay the foundation for *segregation of duties* so that, if possible, no staff perform incompatible functions.
- The organisational structure should address segregation of IT and *user* departments and segregation of *duties within the IT department*.
- The chief executive officer should appoint a chief information officer (CIO) who is suitably qualified and experienced. This individual should interact regularly with:
 - the board
 - the steering committee and audit committee, and
 - executive management.
- Overall, the functions of supervision, execution and review within the department should be segregated as far as possible.
- Job descriptions, levels of authority and responsibilities assigned to IT personnel should be documented.

A suggested organisational chart for an IT department appears below. The size and complexity will differ depending on the organisation.

Sound Organisational Structure for an Information Technology Department



Note: There are many variations of organisational structure, for example, a director may be designated as the CIO and the individual who runs the department may be called the IT manager.

Technical/Administration

- **Database administrators** have the specialised skills to develop, maintain and manage the database (the store of information).
- **Operating system administrators** have the specialised skills to implement, maintain and manage the operating system and hardware.
- **Network administrators** have the specialised skills to implement, maintain and manage the company's LAN/WAN, etc.

9.1.2.2 The entity's risk assessment process

In the context of a computerised environment this component is about controlling IT risk. The King IV report on corporate governance recognises information technology (IT) risk as one of the major risks facing a company (particularly a large company). While managing IT risk is the responsibility of the board, it is

likely that the board will delegate its responsibility to a risk committee. The structures of the IT section may include a steering committee and a chief information officer. Part of this internal control component's function will be to focus on the assessment of (and response to) the IT risks facing the company, for example, data security and privacy, business continuity, data recovery and keeping up with technology, etc.

9.1.2.3 The entity's process for monitoring of the system of internal control

This is the third component of internal control as identified by ISA 315 (revised) and concerns management's responsibility to assess whether the internal control system is meeting its objectives over time. It is not solely about monitoring whether the control activities are taking place; it is also about assessing whether they are effective. Monitoring is also not only about assessing control activities, but also about evaluating the other components of the internal control system, for example, the control environment and the risk assessment process. In a computerised environment the amount and variety of information, which can be quickly and accurately obtained from the system, enhances the ability of management, those charged with governance as well as various bodies, such as the internal audit department, audit and risk committees, to conduct effective monitoring over time.

9.1.2.4 The information and communication system

The information system consists of infrastructure (physical and hardware components), software, people, procedures and data. When the auditor is gathering information about this component, he will need to familiarise himself with each of the above and how they interact (refer to chapters 6 and 7). ISA 315 (revised) explains that the information system (relevant to the financial statements) consists of activities and policies, and accounting and supporting records designed and established to:

- initiate, record, process and report entity transactions, events and conditions and maintain accountability for the related assets, liabilities and equity
- resolve incorrect processing of transactions
- process and account for system overrides or bypasses to controls, for example, by the creation of audit trail in the form of a log of overrides
- transfer information from transaction processing systems to the general ledger, for example, where the revenue application software is not integrated with the general ledger, a journal entry will have to be passed to get sales and debtors totals into the general ledger
- capture information other than transactions, such as depreciation and allowances for bad debts
- confirm information required for disclosure is accumulated, recorded, processed, summarised and appropriately reported in the financial statements, and
- authorise and process journal entries.

This knowledge provides the auditor with a basis to evaluate both the manual and automated procedures and controls that make up the next component of the system of internal control, namely, control activities.

Application development and programming

During the entity level controls review, meeting with the system analysts to ascertain which automated application controls exist within the organisation's IT environment and whether those controls will meet the audit objectives, may be beneficial.

- **Business/systems analysts** are responsible for liaising with users to understand their needs and documenting functional specifications for new applications and program enhancements.
- **Programmers** write the program code based on the specifications supplied by the business analysts, document the technical specification and debug programs.

Webmaster

Many companies now have websites that can be integral to the company's business, for example, a company trading on the Internet. A webmaster should be appointed. Responsibilities will be to:

- design, develop and maintain the company's website
- regulate and manage the access rights of the users of the site
- set up and maintain website navigation, and
- deal with complaints and other feedback about the site.

9.1.2.5 Control activities

This is the component of the system of internal control that will probably interest the auditor the most because these control activities (policies and procedures) have a big influence on whether the financial information system records and processes transactions that are authorised and have already actually occurred and does so accurately and completely.

It is important to remember that control activities in a computerised system will be a combination of manual and automated (programmed) controls. Modern software is overloaded with features which improve control over input, processing and output of data, and it will be the auditor's duty to establish what features (automated application controls) are in use at the client and which automated application controls may be considered for inclusion as part of the audit.

Policies and practices for IT personnel will essentially be the same as for other skilled personnel. The IT department will work with the entity's human resource department in respect of these policies and practices. The point has been made several times that an important part of any control system is "people." The characteristics of honesty, competence and trustworthiness are paramount in a computerised environment and management should institute the following policies and practices:

- proper recruiting policies which include careful checks on an applicant's background and competence
- immediate exclusion from computer facilities if an employee is dismissed or resigns (passwords and user privileges should be cancelled)
- compulsory leave – employees who are involved in unauthorised activity will often be exposed when they are not present to cover their tracks
- training and development to keep staff up to date and able to fulfil their functions efficiently and effectively – this should be accompanied by ongoing evaluation of personnel suitability and competence for their jobs and their progress down their career paths
- written formalisation of human resources policies to provide employees with terms of reference or guidelines
- rotation of duties – moving employees between functions is a useful practice as it helps avoid undue reliance on any individuals by ensuring that each employee has a backup. It may also relieve boredom as well as encourage employees to develop new expertise and skills. Rotation of duties should not be implemented to the extent that segregation of duties is compromised, for example, the computer operator should not be trained as an application programmer and then be placed temporarily in the programming section, and
- strict policies pertaining to the private use of computer facilities by IT personnel (and other employees) should be in place, for example, Internet use and running private jobs.

It needs to be noted that there may be policies and procedures directly applicable to the IT department and there may be IT policies that are relevant to the whole organisation and all staff members will have to adhere to, for example, your device policy, privacy policies and access management policies.

9.1.2.6 Participation by those charged with governance

- In terms of King IV, IT governance is the overall responsibility of the board and it should provide the required leadership and direction to assist IT that IT achieves, sustains and enhances the company's strategic objectivity. IT governance is not an isolated discipline.
- There should be defined mechanisms for the IT department to communicate with the board and report regularly to the board.
- The board should appoint an IT steering committee to assist in the governance of IT. A steering committee is a group of people knowledgeable about computers, to whom major issues are referred, for example, policies, future strategy, IT risk, acquisitions of hardware and software.
- The IT department should not be seen as a "separate entity" answerable only to itself.

9.1.2.7 Helpdesk/Operations

Another good example of monitoring of controls is helpdesk operators.

Helpdesk operators – receive calls from users and log their problems/requests on the Helpdesk System, resolve "First Tier" problems where possible (i.e. problems that are easy to solve), as well as perform

routine operational duties, for example, checking that backups have been completed successfully and managing rotation of backup tapes (see 9.2.5.3 and 9.2.8.3 for further information on backups).

Note: “Second Tier” and “Third Tier” problems would normally be referred by the Helpdesk to the most appropriate technical administrators/programmers or the vendor concerned.

Also, organisations generally have monitoring reports that manage and report on these controls.

9.1.2.8 Security

Security personnel lay down control procedures for access to all computer facilities, monitor security violations (e.g. logs) and follow these up and issue passwords. The company may appoint an Information Security Officer to manage and monitor security procedures.

9.2 IT general controls

9.2.1 Definition of an IT general control

Controls in a computerised environment are categorised as either *IT general controls* or *automated application controls*. IT general controls are those which establish an overall framework of control for computer activities. They are controls which should be in place before any processing of transactions get underway and they span across all applications. In contrast, automated application controls are controls that are relevant to a specific task within a cycle of the accounting system.

For example, control procedures and policies to confirm that staff have the correct level of access, would be regarded as *IT general controls*, while a control procedure which requires that the foreman authorise all overtime worked, would be an *automated application control* (payroll cycle).

General IT controls are implemented to address risks arising from the use of IT. Accordingly, the auditor uses the understanding obtained about the identified IT applications and other aspects of the IT environment and the applicable risks arising from the use of IT in determining the general IT controls to identify. In some cases, a company may use common IT processes across its IT environment or across certain IT applications, in which case common risks arising from the use of IT and common general IT controls may be identified.

9.2.2 Categories of IT general controls

Even a quick reference to the relevant literature reveals there are numerous ways of categorising or classifying IT general controls. While this can be confusing, it is not that important. It is, however, important for you to understand both the distinction between an IT general control and an automated application control and the kinds of IT general controls you are likely to encounter at a client.

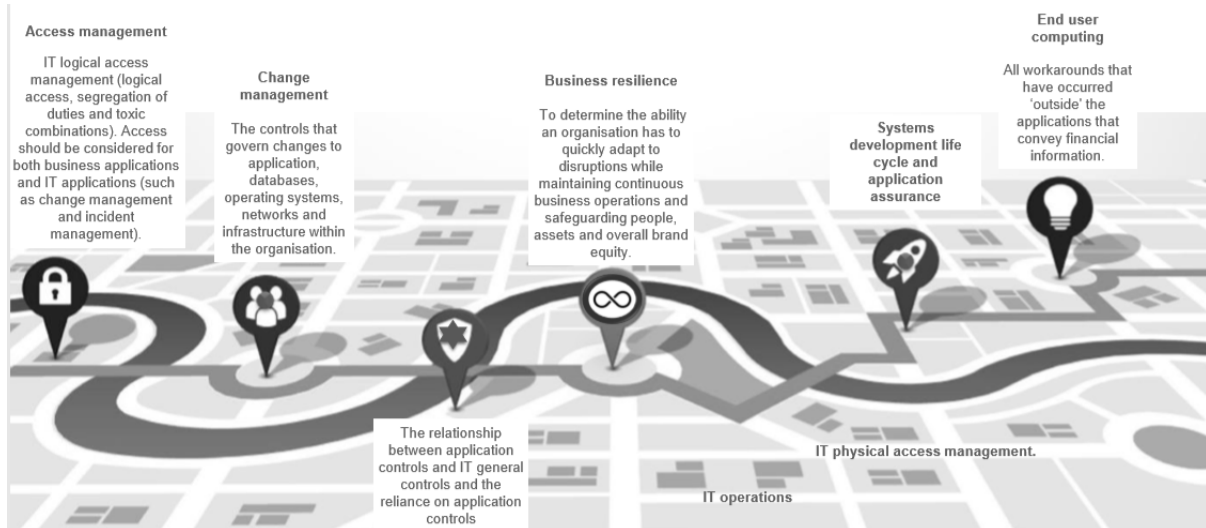
The auditor is required to obtain an understanding of the entity and its environment, which will include obtaining an understanding of the IT general controls at the client. It is important to realise that the amount of knowledge and skill as well as the nature, timing and extent of procedures to obtain the necessary understanding will vary considerably from client to client.

For example, the IT general controls at Sithole (Pty) Ltd, a small company with a limited number of computers, that does not employ its own specialised IT personnel, makes use of packaged application software, and uses an external computer consultancy to “keep its system up and running”, will be very different to the IT general controls at Motholo Ltd, a large motor vehicle manufacturing company, that is highly dependent on computerised systems.

The auditor needs to understand that he/she does not need to test a complete set of IT general controls to rely on automated application controls. Essentially, the access and change management governing a particular automated application control is all that is required to rely on a single automated application control. If the access to the configuration is controlled and changes to the configuration/ automated application have been governed, then the automated application IT controls are satisfactory for reliance in the audit.

It is important to equip audit teams with an understanding of the relationship between applications used by the organisation and the controls governing those applications, the information it generates and the IT operations supporting them.

An illustration of the IT general controls roadmap follows:



During your period of training as an auditor you may be required to assist in an evaluation of IT general controls for an organisation and a basic knowledge of what IT general controls actually are will be beneficial.

For the purposes of this text we have categorised IT general controls as follows:

- **Access controls**
 - Physical access management controls
 - Logical access management controls
- **Change management controls**
- **Continuity of operations/business resilience**
 - Risk assessments performed by the organisation
 - Environmental controls
 - Disaster recovery
 - Backup strategies
 - Social media
- **Systems development and implementation controls**
 - In-house development
 - Packaged software
 - Retiring applications
 - Interface management
- **System software and operating controls**
- **End user computing controls**
- **Documentation**

We have not described IT general controls for a specific size of company (that would be a book in itself!) but have assumed that the company is large enough to have a separate IT department, a data centre, its own “technical” IT personnel to undertake systems developments and program maintenance. Obviously, if a company does not have a data centre, some of the physical controls will not be relevant, or if a company uses only packaged software, it will not have to worry about certain aspects of system development but will have to worry about which packaged software to purchase and who will maintain it.

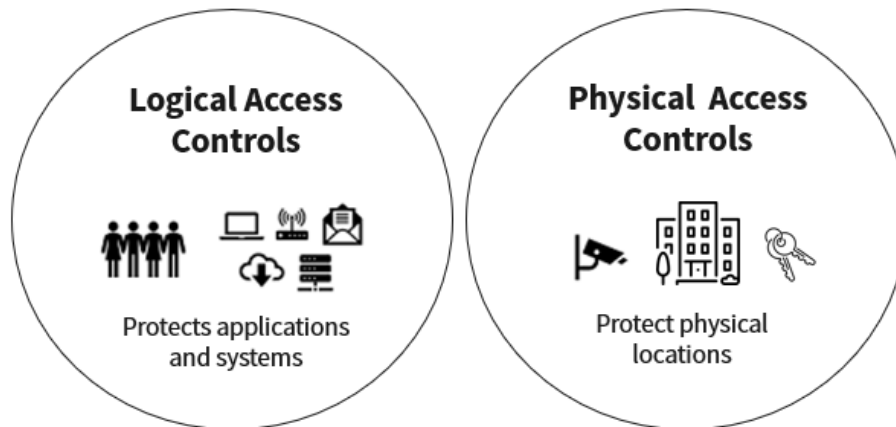
9.2.3 Access controls

9.2.3.1 Introduction

There is an old saying that prevention is better than cure, which is very applicable to computerised systems. An organisation must focus its attention on two very different aspects of access controls:

- physical access management controls
- logical access management controls.

The picture below illustrates the differences:



The consequences of unauthorised access to a system can be disastrous for a company – uncontrolled physical access to the hardware can result in the theft of, or damage to, expensive equipment *and* the data that will be stored on the hardware. Unauthorised logical access (which really means gaining unauthorised access to data and programs electronically stored through a workstation/terminal) can result in the destruction of data, the manipulation of data or the theft of data and programs. Rather than having to implement a “cure” for the theft, destruction, etc., it is far better for the company to prevent these very negative consequences by implementing strict access control policies and procedures. Again, computer security is a huge and very complex topic which exercises the minds of the best and brightest. Many companies are permanently under siege from “hackers” trying to break into their systems, sometimes with very malicious intent and at other times “just for the challenge” (or so they say!) Measures to prevent/minimise the negative consequences of terror attacks, natural disasters, etc., must also be implemented. All of these preventative measures must take into account the important fact that authorised employees must still have access to the hardware, programs and data they require to do their jobs effectively and efficiently.

Access to all aspects of the system must be controlled:

- hardware
- computer functions at system level (accessing the computer system itself), and computer functions at application level (accessing a specific application or module within an application)
- data files/databases
- utilities
- documentation (electronic or hard copy)
- communication channels.

9.2.3.2 Terminology

- **Logical access:** Logical access consists of controls used to manage access to applications, data and systems and can be embedded within applications and systems.
- **Physical access:** Physical access refers to the management of access to the actual hardware and network server rooms.
- **Segregation of duties:** A user should never have access to an application that gives him/her the rights/access to manage a single process or task.
- **Toxic combinations:** Toxic combinations arise when a user profile or profiles have been identified to be unfavourable and may lead to segregation of duty conflicts. Toxic combinations may also be relevant for two or more user profiles where the risk of collusion or fraud may exist.

- **Privileged user/super user:** A super user is a user who has full access to make any changes to a system, such as a system or network administrator.
- **Firewalls:** A firewall protects an organisation's computer network and data from unauthorised access, such as hackers. This can be in the form of hardware or software.

9.2.3.3 Audit and control procedures

The auditor should test the design adequacy and operating effectiveness of logical and physical access management controls.

Consider the following tests for physical access management controls:

Determine whether the IT department itself is entirely separate from user departments:

- Confirm that no transactions are authorised or executed by any member of the IT department, for example, placing a purchase order or authorising a wage rate increase.
- Confirm that no member of the IT team has access to, or custody of, the physical assets of the company, for example, inventory, or uncontrolled access to the non-physical assets, such as the debtors masterfile.
- Confirm that IT staff are only responsible for correcting errors that arise from operating or processing problems; unless in response to authorised requests from user departments for assistance with corrections.

Within the *IT department* itself:

- Corroborate evidence that the technical administrators are segregated from programmers and business analysts. Technical administrators have high levels of expertise and although they work mainly with operating systems software, detailed knowledge of the application programs would enable them to make unauthorised modifications to the application programs or data.
- Question if the security functions should be restricted to the security sections, for example, an operator should not be asked to follow up on logged access violations.

9.2.3.4 Physical access control

Access control is important to all businesses, but how physical access is controlled will vary considerably.

For example, Logica Ltd, a large retail organisation, has extensive equipment (CPU, servers, secondary storage devices, etc.), which is housed in a *data centre*. The company has hundreds of microcomputers, printers, etc., in user departments on LANs and WANs. By contrast, Green-Me (Pty) Ltd, an independent vegan grocer, has a small number of microcomputers (which could be "stand-alone" or networked) and a printer.

Even though the consequences of unauthorised access may be far greater for a large company in absolute terms, in relative terms unauthorised access may be equally devastating for a smaller company.

A combination of physical controls will be implemented to prevent unauthorised entry to an IT data centre (which could of course be part of a large IT department).

For example, the IT department of a large pharmaceutical company could be contained in a separate building or wing of a building. All IT personnel would have their offices in this building. The building would also have a *dedicated room* in which all the equipment which runs the system, for example, CPU, servers, and routers to run the company's systems, would be housed. This dedicated room would be the data centre. The data centre would not double up as offices although IT personnel would need to go in to perform some of their functions. In this type of arrangement, access to the IT building (or wing) may be controlled and further access to the data centre itself would be far more strictly controlled to only grant access to authorised staff members. Only a limited number of personnel need access to the data centre itself, while many more need access to the IT department.

A list of physical controls that can be implemented to prevent unauthorised access (as mentioned above) follows:

- **Identification** of users and computer resources
 - Users – some examples:
 - user identification, (user IDs) with staff photo
 - magnetic card or tag which can be used to swipe in at security doors
 - biometric data, for example, thumbprint, facial recognition.

- Terminals – some examples: terminal identification (the system recognises terminal ID number or name).
- **Visitors from outside the company to the IT building should:**
 - be required to have an official appointment to visit IT personnel working in the IT department, for example, external maintenance personnel
 - be cleared on arrival at the entrance to the company's premises, for example, by a phone call to the IT department acknowledging the fact that they have been expecting the visitors and are potentially accompanying the visitors
 - be given an ID tag and possibly escorted to the department
 - not be able to gain access through the locked door (must "buzz")
 - wait in reception for whomever they have come to see (or be met at the door), and
 - be escorted out of the department at the conclusion of their business.
- **Company personnel other than IT personnel**

There should be no need for other personnel to enter the *data centre* and access to the IT department should be controlled in a practical manner as there will be contact between the IT department staff and users on a regular basis. Ideally, the IT data centre should restrict access and have a visitor register by the secure (fire-proof) door for all visitors to sign before access. Visitors should be escorted at all times, even if they are there for maintenance.
- **Physical entry to the data centre (dedicated room)**
 - only individuals who need access to the data centre should be able to gain entry
 - access points should be limited to one
 - access should be through a door which is locked other than when people are entering or exiting, in other words, not propped open by, for example, a wastepaper basket for people to come and go
 - the locking device should be deactivated only by swipe card, entry of a PIN number, and scanning of biometric data, for example, thumbprint, and
 - entry/exit point may be under closed-circuit TV.

Remember, the data centre is the heart of the company's information system.
- **Remote workstations/terminals**

In most businesses, workstations/terminals are distributed around the offices, so centralised control measures are not possible (other than where, say, a group of telesales operators are sitting in a separate room). Some physical controls will still be implemented:

 - terminals can be locked and secured to the desk
 - terminals can be placed where they are visible and not near a window, and
 - offices should be locked at night and at weekends.

Consider the following for logical access management controls:

If we make a simple comparison between a standalone personal computer used in a small company's accounting department and a large, linked network of computers, it is easy to see that in the latter there is significantly more risk, which must be controlled. It is important that controls be implemented to assist in:

- controlling access to computer resources: Remember that where information is transmitted (data communication), there will be numerous computers that are all linked together. It therefore becomes "physically" possible to access the system from numerous points and to access the system via the communication line (just like tapping a telephone)
- maintaining the integrity and security of data which is being transmitted: It will be of little use if data being transmitted is completely or partially lost, is changed during transmission or its confidentiality is compromised
- managing segregation of duties, and
- toxic combinations.

At the outset you must realise that the more complex and sophisticated data communication systems are very technical, but that a detailed knowledge of computer science and communications is not required by the "everyday" auditor. Certainly, the audit profession, and large firms in particular, will have employees

who are technically excellent and right up to date with developments. What is required by an “everyday” auditor is a general understanding of the risks and controls, and the sense to realise that expert knowledge may be required.

Remember also that it is the business world at large that faces these risks, and that there are numerous companies and groupings of companies, such as banks, etc., that are continually seeking ways of improving access control, integrity and security in data communication. It is obviously necessary for the audit profession to keep abreast of technological developments, but it is also important that the profession does not lose sight of the fact that the audit objectives do not change.

9.2.3.5 Security policy

A security policy addresses the security standards that management need to achieve to maintain the integrity of the company’s hardware and software. Once management has decided what it wants to achieve, it can go about implementing the policy. The policy should be documented and should be based on principles rather than detailed procedures. Important principles include:

- **Least privilege** – employees should be given access to only those aspects of the system that are necessary for the proper performance of their duties, for example, a clerk in the wages department should not be given access to inventory records as he does not “need to know” what is contained in the inventory records. On a more general level, employees who do not need any access to perform their functions, should not be given any access, for example, a factory worker needs no access privileges to the company’s systems.
- **Fail safe**– this principle requires that *wherever possible*, if a control “fails”, whatever is being protected by that control, should remain “safe”, for example, if logical access control software malfunctions, the system should shut down completely, rather than allow uncontrolled access. The same principle will apply to physical controls.
- **Defence in depth**– this means that protection is not left up to one control only, but rather to a combination of controls, for example, a combination of logical access controls and authentication before an authorised user can access the company’s financial applications.
- **Logging** – adherence to this principle requires that the computer’s ability to log (record) activity that takes place on it, should be extensively incorporated, for example, unsuccessful attempts to access the system should be logged and followed up. Logging is *not* an effective control activity *unless* the logs are regularly and frequently reviewed *and* follow-up action is taken where control violations are identified.

Access controls will vary considerably depending on the size of the company, the extent of its computerisation, and how it is set up. Access controls at a bank or multinational company are going to be different to a small or medium-sized company but the principles remain the same.

Logical access controls will be primarily *preventative*, that is, designed to prevent unauthorised access via terminals, but these will be supported by logs which are *detective* in nature, for example, logging of attempted access violations as well as logging access. Logical access control also plays a big part in controlling access at application level, but is dealt with under general controls because, before any transaction processing takes place, access controls must be implemented as part of the general controls framework. Logical control access is also covered in the section on application controls.

Against the overall backdrop of ensuring that *only authorised individuals* can gain access to the facilities on a *least privilege/need to know basis*, in other words, access is given only to those aspects of the system that are necessary for proper performance of their duties, the following controls in various forms can be implemented through the access control software and other programs:

- **Authentication** of users and computer resources

Authentication of the user is used to verify that the *user* of an ID is the *owner* of the ID. Authentication can be achieved in various ways:

- entering a unique password
- entering a piece of information that an unauthorised individual would not know about the genuine user, for example, the person’s great-grandmother’s first name. This works on the same principle as a password. The information, say, 10 different pieces of information, is held on the system (securely) as provided by the user. When the user ID is entered, the system selects one piece of information and poses a related question to the user. If the answer keyed in is correct, authentication has been achieved. It is also possible that a single piece of information is stored but regularly changed.

- connecting a device to the USB port of the terminal:

For example, to authenticate the authorisation and release of an EFT, a leading bank requires that the authorised employees have a device called a “dongle” that must be inserted before the payment can proceed. This works in combination with a password and both are unique to the user. The password and dongle are needed to authenticate the user.

Another bank uses a small random number generator device that produces a number that must also be used in conjunction with the password. It is really a second unique password. In a company a “one time” password can be generated on a server and sent to the user by SMS. This works on the same principle.

A combination of the above techniques is called multifactor authentication and is used where very strict access control is required. The dongle will only work on a terminal on which the bank’s specific software has been loaded. This is a form of terminal authentication.

The fact that a user ID can be linked to the individual is a strong isolation of responsibility control.

- **Authorisation:** This means defining the levels (types) of access to be granted to users and computer resources:

- Once the system has authenticated the user, access will only be given to those programs and data files the user is authorised to have access to, and, as pointed out, this should be only to programs and data the user requires to do his work. Users can be given different levels of authority and may be granted a “single sign on” to access all the programs they are authorised to access.

- Users – some examples:

- a user may be granted “read only” access (this means a file can only be read)
- users may have “read and write” access (this means a file can be read and written to, for example, the user can add, create, delete).

Note that although a user may be granted “read only” access, there is still a risk, as users can take screenshots of sensitive information.

- Terminals – some examples:

- although modern software concentrates access privileges around the user, specific terminals can be linked to specific applications, for example, a warehouse terminal not linked to the wage application, or to the EFT facility
- restricted hours of operation, for example, the terminal shuts down at 4pm and comes on at 7 am.

- **Root access/system-wide access/super-user access and privileged-user access**

This level of privilege gives the user concerned virtually unlimited powers to access and change, without trace or audit trail, all programs and data, bypassing normal access controls, and therefore should only be given to a very limited number of IT personnel. Generally, there should be an audit trail review by senior management for these profiles on a regular basis to assess activity and determine whether there was any unjustified activity.

The allocation and authorisation of powerful user IDs need to be controlled and monitored.

- **Segregation of duties**

As the auditor, you may perform the following tests:

- What is the risk that segregation of duties is not adequate to prevent and/or detect errors or irregularities? This applies to duties of employees within the IT department and between IT and user functions.
- Does an organisational access chart exist and is it maintained to depict segregation of duties?
- Does business and IT authorise changes to access profiles and do they consider segregation of duties when changes are made to profiles?

- **Identification of/and access to toxic combinations**

During the creation of a segregation of duties matrix or framework for an organisation’s user profiles, an assessment will be made of toxic combinations. These combinations should be preventative in nature and documented to confirm that no users will be granted or have their access modified to include specific access.

For example, large applications that are off-the-shelf provide user profile frameworks that provide companies with guidance on how to set up user profiles that are segregated. Generally, they also provide guidance on which account transactions and users are 'toxic combinations' and should be avoided because they create risks. For instance, if the same user can create a purchase order and authorise it.

In addition, there may be certain role profile combinations that are also toxic. The auditor should:

- determine whether management reviews access regularly to ascertain whether the correct users have been assigned to the correct profiles and if modifications are correct
- determine whether sensitive and conflicting applications, data and transactions have been identified and documented in a framework.
- **Logging:** This means recording access and access violations for later investigation.

An access log records the people who accessed the system and, by comparing it to some other piece of information, may provide evidence of unauthorised access.

For example:

If Willy Worker is logged as having gained access to the system on 10 June, when he was supposed to be on holiday.

If Danny Doodles has logged in while on maternity leave.

If Tim Trouble left the company on 31 December, but his profile shows he logged on, on 5 January.

Clearly, something strange is going on! Logging and following up is essentially a detective control. The emphasis on access control will be on preventing unauthorised access but logging and following up is still an essential control. Refer to exception controls in automated application controls.

As the auditor, you must:

- determine whether management reviews access regularly to ascertain whether the correct users have been assigned to the correct profiles and, if changes have been made, that the modifications are correct
- in addition, determine whether users that have been terminated had their access revoked timeously as and when they left the organisation. This will also reduce the risk of unauthorised access should the staff member be disgruntled.
- **Access tables**

The computer cannot perform logical access control unless a large number of details are defined in tables to which the system can refer. These tables identify all "objects" and "conditions" that the computer has to "know" to be able to control access. These objects include:

- all authorised PCs (PC IDs)
- all authorised users (user IDs)
- all passwords
- all programs
- all possible modes of access (no access, read-only, read and write), time of day (e.g. a bank teller may only be able to log in between 8.30 am and 4.00 p.m.), etc.

Setting up these tables is not technically difficult for a skilled person but requires meticulous care. Broadly, it happens as follows: when a new employee joins, say, the payroll department, he will need access to files, etc., which are required to do his job. This detail is provided by the manager of the payroll department on a written form which describes the employee's job exactly.

For example, the employee must be able to read the employee masterfile and only be able to change some fields; he may need to be able to change an employee's address but not the wage rate field. This, and everything else the employee must be able to do, has to be reflected in the employee's user profile and is related to the access tables.

It is now possible to compile the necessary tables and the user profile which specifies which combinations of these objects and conditions should be allowed/authorised and which combinations should be disallowed (access violations) or potential segregation of duty issues. These profiles should be determined by the IT manager and senior IT staff working in conjunction with senior user personnel and system design documentation.

A simple example will illustrate user profiles:

Fred Bloggs, the storeman, is to be given access to the inventory masterfile, but this is to be “read only” access. He has a user identification and a password. For the sake of simplicity, we will say that Fred needs no access to any other data programs. Once Fred’s needs have been established, senior IT staff will create Fred’s “user profile”, which will be stored in a secure file on the system. The computer now has something to refer to. When Fred activates his PC, he will be prompted to enter his user ID and password. The computer will check against the access table whether Fred’s PC and his user ID are listed (identified). The computer will check that Fred has proved who he is by matching Fred’s password to listed passwords in the access tables (authentication). If Fred has entered his password correctly, the computer will “fetch/consult” Fred’s user profile and display the inventory application functions that he has access to. The computer may also check that Fred is at a PC that has authorised access to the inventory application. Fred may now call up the inventory masterfile, but if he tries to write to that file, the computer will check against his profile and prevent him from doing so as he has “read only” access.

Access profiles, like the one described above, are usually set up for “user groups” rather than for individual users, as this is a more efficient way of controlling access. In other words, management would determine what access privileges a storeman should have and Fred would then be allocated to the “storeman user group”. If you imagine that Fred’s company may have 500 stores around the country, each with one storeman, it is easy to appreciate that it would be more efficient to define one group profile and allocate all 500 storemen to that group, rather than having to define access separately for each user.

If Fred attempts to get into an application or module, or exercise a privilege he does not have, the computer will send him a screen message, and he will not be able to proceed (or the computer may just fail to respond). The system may also be set up in such a way that what appears on Fred’s screen may not give him the option to click onto what he wants to do. For example, if he is not allowed to give approval, there will be no approval field for him to click on.

9.2.3.6 Controls over passwords

The strict control of passwords is fundamental to successful, logical access controls. The following list shows what is deemed good practice:

- Passwords should be unique to each individual (group passwords should not be used).
- Passwords should consist of at least eight characters, be random, not obvious, and a mix of letters, numbers, upper/lower case and symbols to reduce the risk of easily “cracking” passwords. Passwords should not be obvious, for example, birthdays, names, name backwards, common words, and should not be the same as the user ID.
- Passwords/user IDs for terminated or transferred personnel should be removed/disabled at the time of termination or transfer to reduce the risk of unauthorised access and therefore changes.
- Passwords should be changed regularly, and users should be forced by the system to change their password. (The system sends the user a screen message to change his password and allows a limited number of attempts to enter his existing password. After this, access will not be granted until a new password has been registered.) The recommendation is to change passwords monthly.
 - Passwords should have a history setting to save at least 12 passwords so that they cannot be reused.
 - The first time a new employee accesses the system, he should be prompted to change his initial password.
 - Passwords should not be displayed on PCs at any time, be printed on any reports or logged in transaction logs.
 - Password files should be subject to strict access controls to protect them from unauthorised read and write access. Encryption of password files is essential.
 - Personnel should be prohibited from disclosing their passwords to others and subjected to disciplinary measures should they do so.
 - Passwords should be changed if confidentiality has been violated, or violation is expected.
 - Automatic account lock-out must take place in the event of an access violation, for example, an incorrect password entered more than three times.

9.2.3.7 Other access control considerations

- **Data communication**

Data communication relates to the transmission of information from a sender to a receiver in electronic form. Information must be sent down a link which may be a *fixed line*.

For example, a public telephone network, or a dedicated line linking two computers, or a *fibre optic* cable, or by *wireless* technology, for example, satellite transmission, cellphones or even cordless computer devices, such as a cordless mouse.

All transmission media are used in business and are really the domain of the computer and telecommunications expert. However, because media do form an integral part of information systems used in business, the general auditor needs to have a broad understanding of how they work and must realise that they do present an opportunity for an unauthorised person to access the system. Control is achieved by:

- the implementation of specialised software which is responsible for:
 - controlling access to the network
 - network management (i.e. controlling traffic flow, routing data to its destination and logging network activity)
 - data and file transmission (control the transfer of data and files, for example, making sure the entire message is delivered)
 - error detection and control (identifies errors that indicate that the data received is the same as the data sent)
 - data security (which protects the data from unauthorised access during transmission)
- encryption (converting data into a secret code) of data which is being transmitted
- the protection of physical cabling (under the control of the client), for example, channelled within brickwork, under the floor, etc. The use of fibre optic cable is far more secure than traditional wire cabling but far more expensive. Wireless communications can be a real threat to a company and controlling access in this environment has taken on far greater significance.

- **Firewalls**

Once a company's network is connected to an external network such as the Internet there is an increased risk of unauthorised access to the company's network. A firewall is a combination of hardware and software that operates as access control gateways which restrict the traffic that can flow in and out. This could be as detailed as the prevention of incoming transmissions from undesirable sites and will include antivirus software and intrusion detection software (which detects malicious behaviour such as the presence of "worms") and alerts the company to it. Firewalls should be tested regularly; use the "most up to date" software, and warnings, etc., must be logged and followed up.

- **Libraries**

In a computer environment, libraries may be both in electronic form (on the system) and/ or in physical form. Either way, access to the information in the library must be protected. This is done in the conventional way, for example, library software will protect backup copies of programs from unauthorised changes being made, record (log) any authorised access, audit changes and monitor users.

A physical library, which may contain documentation relating to the system and data stored on discs, tapes or other mobile storage devices, should be:

- physically access controlled
- the information on the storage device could also be password protected
- issue (of items) from the library should be authorised and recorded, and
- externally labelled.

- **Utility programs/database access**

Access to utility programs and high-level access directly to the database provides the potential to change/delete data and programs without leaving an audit trail (normally changes/deletions are made through application programs, which confirm that such activities are subject to all the normal access controls, including automatic logging).

For example, a debtor's balance may be altered (reduced) without trace using this type of program, whereas a debtor's balance should normally only be reduced by a payment being processed or an authorised credit note being passed using the application software.

9.2.3.8 Supplementary access controls

- "Time-out" facilities that automatically log the user out of the system if a period of more than (say) three minutes expires during which there has been no activity.
- Automatic logging, review and follow up of access and access violations.
- Encryption of confidential and critical information.
- Sensitive functions and facilities can be afforded extra protection by requiring two or more passwords in order to gain access.
- Additional once-off passwords can be given to supplement an existing user ID and password to protect sensitive transactions, such as a transfer out of a bank account.

For example, when a user wants to make the transfer, the system automatically generates a unique password and sends it to the user's cellphone for that user to enter. The assumption is that somebody trying to use another person's user ID and password (which they have obtained by devious means) will not have the genuine user's physical cellphone and therefore will not receive the necessary once-off password. The genuine user will also be alerted to the fact that someone is trying to transfer money out of his/her account.

9.2.3.9 Risk implications

- Risk of unauthorised access to sensitive data that may be used to commit identity theft, fraud and theft of data. This could also cause harm to an organisation's reputation and credibility.
- Unauthorised changes to data, software programs and configurations can be made, and no audit trail, that is, who made the changes and what the changes were, will exist.
- Loss of productivity due to abuse of hardware resources such as network congestion which causes slow response times for IT critical applications.
- Unauthorised access to system critical hardware can allow configuration changes to be made which could result in hardware performance issues.
- Malicious damage to hardware can occur if no physical access management is in place and is very costly to replace or repair.

9.2.4 Change management controls (also referred to as program maintenance)

9.2.4.1 Introduction

When a new system is developed and subjected to vigorous systems development controls, the result is usually a well-designed, effective application that produces reliable information in a format which satisfies the user. However, this is just a starting point. There is virtually always an on-going need to modify applications to meet changes in user requirements and improve ways of presenting information. These modifications require changes to the application program and, if such changes are not carefully controlled and unauthorised, modifications could be made negating the effect of the strong controls that were implemented when developing the system. Program changes of an ongoing nature are usually referred to as program maintenance.

For example, large financial cloud applications continuously release updates for customers to implement. This is part of their value-added service offering. These updates need to be reviewed and their impact assessed by the customer, and prioritised according to their requirements to release. These changes then need to be tested and implemented on an ad hoc basis by the customer. These changes do not "classify" as large strategic changes and are deemed "program maintenance" changes.

Other examples include a change to a reference data table, changes to a user profile, changes to a report, implementation of an exception report, changes to the ledger, etc.

9.2.4.2 Terminology

- **Change requests:** When a change to an application is required, a change request document should be drafted as part of the change management process. This document will contain the detail of the required change to the application. These should be allocated in sequential numbers for ease of an audit trail.
- **Change management:** Change management is the process of implementing a strategy, policy and processes for managing application changes within the organisation.

9.2.4.3 Audit and control procedures

The auditor should test the design adequacy and operating effectiveness of the change management within the organisation. The controls which should be in place are the following:

- Review the program change standards similar to those for systems development and test whether those standards are adhered to (governance meetings, steerco papers, change forms etc).
- Assess whether change requests for program changes are documented on prenumbered, pre-printed change control forms and listed in a register. All changes should be logged through a change request application that manages the changes by tracking status and closing them when complete. All changes should have a unique number and numbers should be allocated sequentially via the application for audit trail purposes.
- Inspect program change *requests*, and evaluate whether they were approved by:
 - the user department (application changes)
 - the IT manager (CIO) (application and systems changes) and
 - the steering committee for more major changes.
- Review program changes and ascertain whether the changes were affected by programmers – not operators or users. In some systems program changes can be made by a user from his workstation. This system would have to be carefully controlled, primarily by written approvals, access controls, logging by the computer and review thereof.
- Discuss changes that were made during the financial year and assess whether major changes were managed as a mini project (see systems development).
- Determine whether changes were made to a development program in test environments, not to the production program (i.e. to a *copy* of the live program).
- Review change control forms to confirm that the changes were tested by the programmer and an independent (senior) programmer using standard debugging techniques.
- Review program change control forms to confirm that changes were tested by business users to perform user acceptance tests and sign off.
- Determine whether program changes made during the financial year were discussed with users and internal audit, and inspect the change control form to assess whether changes were signed off by internal audit as approval.
- Review if all the changes have been documented end-to-end including approvals. All documentation affected by the change should be updated and the entire change exercise itself should also be documented.
- Determine whether the amended program is copied to the live environment by an independent technical administrator, and all program changes are automatically logged by the computer.
- Discuss with the IT manager whether they review the log of program changes (whether there is evidence of the review) and reconcile it to the program change forms and register.

9.2.4.4 Risk implications

- Changes in system applications need to be documented and versioned in order to avoid the risk of not being able to rollback a system change in an event of a system error.
- Unauthorised changes can be made to system applications if no adequate change management exists.
- If no change management exists, there will be no version control to highlight when, what and by whom the system changes were made.
- Stakeholders need to initiate a system change by documenting the requirements of the change and they must have the ability to sign off a system change as well. Without a change management process, the risk exists that stakeholders constantly change the requirements.

9.2.5 Continuity of operations

9.2.5.1 Introduction

These controls are aimed at protecting computer facilities from natural disasters (e.g. flooding or fire), as well as from acts of destruction, attack or abuse by unauthorised people. Poor controls result in “down time” and disruption to normal processing. Although South Africa has reasonably stable weather conditions, floods and fires and other natural disasters do still occur. Our high crime rate and general unrest place businesses at risk of armed robbery and damage from explosion.

9.2.5.2 Terminology

- **Backups:** This is the process of keeping a copy of your master data and/or physical files in a secondary location in case of a disaster. You need to recover your applications from these backups.
- **Disaster recovery:** Disaster recovery refers to the steps that will initiate normal business operations in an event such as a fire that caused normal business operations to be disrupted.
- **Business continuity:** It is the capability of an organisation to continue operating the most essential functions during and after a disaster.
- **Environmental controls:** Environmental controls refer to controls over air-conditioning systems, smoke and gas leak detectors. Smoke and gas leak detectors should be tested regularly as they could be harmful to humans if they do not function correctly. The hardware and equipment that store the entire organisation’s data may get damaged if these controls do not function optimally.
- **Uninterrupted power supply:** It is a device that provides temporary secondary power when the primary power source fails, also referred to as a UPS.
- **Social media:** Social media allows the sharing of information and ideas on the Internet and can help your organisation to build your brand but needs to be managed effectively.
- **Business resilience:** It is the ability to react to disruptions while continuing business operations and protecting your assets and overall brand equity.

9.2.5.3 Audit and control procedures

Risk assessment performed by the organisation

As part of the entity level controls procedures, the auditor should consider controls over computer operations and the risk that it may pose to the organisation if not managed. Although the company’s risk assessment procedures are regarded as a separate component of internal control and will be evaluated by the auditor as a component, a general control evaluation should consider the company’s risk assessment procedures to the extent that they relate to IT risk (which, as previously stated, is regarded by King IV as a major risk facing companies). The dependence by large companies on their IT systems is huge and failure to assess and address IT risk threatens the continuity of operations. The auditor should consider the following procedures:

- Discuss whether IT risk is assessed as an integral part of the company’s risk assessment procedures.
- Question if there is an appropriate level of experience and knowledge about IT risk on the risk assessment committee.
- Review risk committee minutes and determine whether the risk committee meets regularly and is available to deal with the threat of unexpected IT risk on an ongoing basis.
- Establish if the risk assessment committee recognises and assesses all types of threat relating to IT which could disrupt operations including, for example:
 - fraud and theft perpetrated through the IT system
 - physical and infrastructure damage
 - hacking and viruses, and
 - non-compliance with IT laws, rules, standards and best practice.
- accepted risk assessment protocols (ways of doing things) are followed
- assessments are documented and reported to the board, and
- responses to risks are recorded, implemented and monitored.

Environmental controls

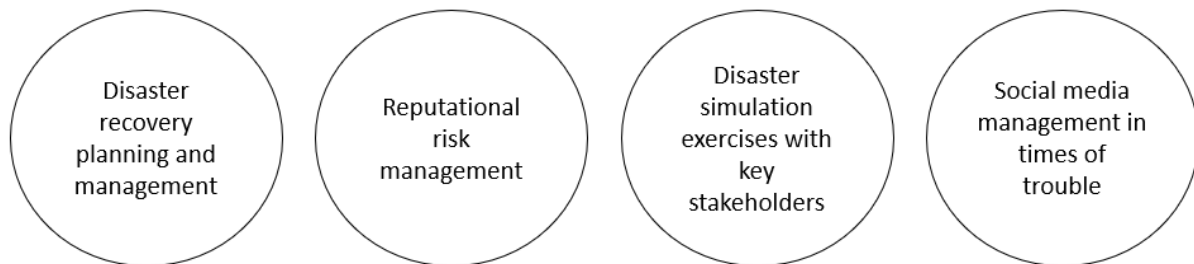
These controls are designed to *protect* facilities against natural and environmental hazards and attack or abuse by unauthorised people. The auditor should test the design adequacy and operating effectiveness of the environmental controls. The following pertain more specifically to the *data centre*:

Disaster recovery

The auditor needs to assess disaster recovery procedures as part of the organisation's business resilience procedures as a complete plan. The most dangerous risks to any business are the ones that are not foreseen. Preparing for something that is not yet tangible takes a progressive and imaginative management style.

The history of modern business is one filled with highly successful companies without a Plan B. The attrition rate of blue chips so far this century is staggering.

It therefore makes complete sense that planning for the tough times, whatever they may be, is a real source of organisational strength and shareholder value, inclusive of:

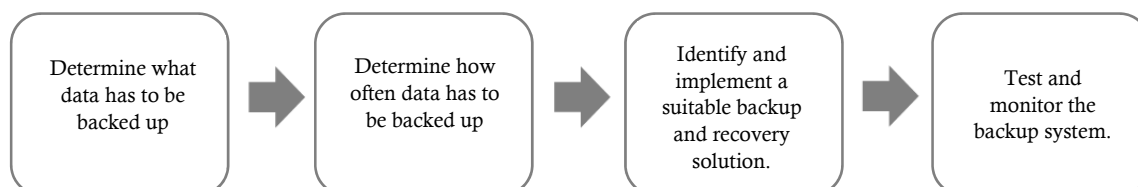


These are controls implemented to minimise disruption due to some disaster that prevents processing and/or destroys/corrupts programs and data. The auditor should test the design adequacy and operating effectiveness of the disaster recovery plan. Consider the following:

- Review the disaster recovery plan, in other words, it should be a written document that lists the procedures that should be carried out by each employee in the event of a disaster
- Determine whether the plan is widely available so that there is no frantic searching if a disaster occurs – time is usually precious
- Review the plan to confirm it includes and addresses priorities, that is, the order in which files or programs should be reconstructed, with the most important being allocated the highest priority, as well as where backup data, programs, hardware, etc., may be obtained
- Discuss the frequency of the plan's testing (should be tested at least annually)
- Inspect the plan for evidence of review, it should be reviewed by management on a frequent basis
- Establish if management manages simulation sessions to test different scenarios to update the disaster recovery procedures to make them relevant, and
- Determine whether the plan details alternative processing arrangements which have been agreed upon in the event of a disaster, for example, using a bureau.

Backup strategies

It is imperative that an organisation performs backups of its systems. Organisations need to consider the following when creating backup strategies:



Organisations often follow the 3-2-1 backup approach:

- At least THREE copies of your data
- Backed-up data on TWO different storage types
- At least ONE copy of the data offsite.

The auditor should test the design adequacy and operating effectiveness of the backup strategy of the organisation. Consider the following:

- backups are copies of all or parts of files, databases, programs taken to assist in reconstructing systems or information, should they be lost or damaged
- policies and procedures for the backup strategy
- whether the policy agrees to the application settings
- at least three generations of backups should be maintained (grandfather, father, son), understand the retention of backups and test accordingly
- backup of all significant accounting and operational data and program files should be carried out frequently and regularly, and determine the frequency of the backup procedures
- the most recently backed up information should be stored off-site
- backups are to commence automatically or manually
- independent verification that the backup completed successfully, and that exceptions are resolved, for instance the backup may have been disrupted by a break in power supply
- review of the backup logs to confirm successful completion
- all backups should be maintained in fireproof safes and onsite backups should be stored away from the computer facilities
- backup tapes should be clearly marked
- critical data and programs can be copied to a “mirror site” in real time so that it is possible to switch processing to the mirror site in the event of a disaster, for example, a large refinery in KZN duplicates its processing on a second computer installation housed in a separate, very secure (bomb-proof as well) site on the premises. This is expensive, but the computer system is an integral part of both operations and record keeping, and a refinery is a potential target for terrorist attack. The economy would suffer if the refinery could not operate because its computer systems were non-functional.
- copies of all user and operations documentation should be kept securely off-site, determine the frequency of backups taken to the off-site facility and test accordingly.

It is important to test whether the backups were tested and restored successfully during the financial period and whether there have been instances of data loss during the financial period.

Other measures

There are several other control measures that can be taken which will assist in preventing or alleviating disaster:

- applying the concept of redundancy (simplistically this means having a “spare” as a backup), for example, the use of dual power supplies, or as explained above, mirroring
- regular maintenance and servicing of equipment to prevent failure
- adequate insurance cover to provide funds to replace equipment
- avoidance of undue reliance on key personnel by maintaining complete and appropriate documentation and by training of understudy staff, for example, the disaster recovery plan should not revolve around one staff member
- arrangements for support to be provided by suppliers of equipment and software, who may even provide alternate processing facilities
- the use of firewalls and antivirus software.

9.2.5.4 Risk implications

- There can be severe financial losses when no adequate business continuity plan is in place because recovering from a disaster/system failure can take some time and the business functions must resume as soon as possible.
- Risk that when a disaster causes a system failure or a security breach, and the organisations do not respond, customers will perceive the company as not trustworthy, which could cause serious reputational damage.
- If the organisation can't provide adequate and quick responses to customers, they may seek other alternatives; therefore, there is a risk of losing business.

- A company could lose data in the event of a system failure and it could be very costly to recover this data, if at all possible.
- Clients won't know how to respond to either being asked for the content originally generated or being told that pending content will have to wait while the organisation starts from scratch. Suddenly, the organisation that worked so hard to keep its reputation will not look so professional, and clients may begin looking elsewhere for more reliable services.
- Losing critical data can be a violation of laws and regulations. This will be subject to re-compliance costs and additional fines for the violation. The government also has a justifiable cause to investigate an organisation for any foul play, causing loss of valuable time and further damage and brand reputation.
- Lack of adequate backups can also lead to compliance breaches with the governing authorities as data needs to be kept for defined periods and needs to be provided when requested. A risk exists that the authorities can also impose fines for these regulatory and compliance breaches.
- Lack of environmental controls in the server rooms may lead to damage and loss of data and equipment.
- Lack of environmental controls in the server rooms may lead to injuries or even in severe cases loss of life.

9.2.5.5 Social media

(a) Introduction

Social media can be both an asset and a liability. What is beyond doubt is that it needs careful, continual management. Negative content has affected many businesses to date. Although negative reviews may be distasteful and unwanted, if they receive enough media attention, it may pose the biggest reputational risk a business will ever face. Shareholders are progressively placing pressure on senior management to govern social media. Essentially organisations should not just manage all social media platforms that govern their public opinions, but also manage and monitor all opinions on social media platforms relating to their organisation.

Social media is imperative to many organisations' operations, not just from a marketing and branding perspective but may also act as an early warning system when a crisis occurs. Social media is a force to reckon with and has proven in many instances to significantly affect organisations and, in severe cases, social media has affected the going concern of such organisations. "Any publicity is good publicity" is not applicable considering the world today, and unfavourable feedback needs to be managed. Social media exposes organisations to more risk than ever imagined. Although some companies choose not to engage on social media platforms, the majority of their customers have social media and will engage.

Organisations should monitor social media activity relating to their brand and report to management frequently. Monitoring should relate to text and pixels on all public platforms, not just to monitor which platform is used and where the most activity is gained but more specifically if any adverse opinions have been expressed. A common error made by organisations is to only monitor social media platforms that they subscribe to, but in reality all social platforms should be monitored as dissatisfied customers, for example, will choose the platform that they subscribe to, to voice their concerns.

For example, in an interesting turn of events, Facebook itself faced a social media incident during July 2018 when it became public knowledge that users' personal information was not as secure as initially portrayed by the social media giant. Shares dropped by 20% and Mark Zuckerberg, CEO of Facebook, lost \$660 million, a very classic example of the financial impact social media may have on a business, especially when trust is lost. Zuckerberg only responded on the third day after the crisis became public knowledge, forced by his shareholders, with a less than sincere apology.

Taking the above into consideration, it is deemed good practice for an organisation to establish a social media management process and curation team that will manage and monitor all social media activities inclusive of adverse comments posted by the public about the organisation. Ideally the organisation should incorporate the social media response management process in the business resilience strategy and plan. This will provide the organisation with the opportunity to respond appropriately as and when it happens. It is advisable to proactively manage and report on social media to key stakeholders. It may also be beneficial to include a summary of the social media management position within the financial statements to provide an opinion on the social media readiness of the business.

(b) Audit and control procedures

The effect of a casual social media approach can permanently damage, even sink, a brand or a business. The social media audit approach should include establishing:

- governance processes
- risk management procedures
- response management strategies to various level alerts, and
- management of responses to adverse communication.

The auditor should test the design adequacy and operating effectiveness of the social media strategy of the organisation. The objective of the social media audit is to provide management with an independent assessment relating to the effectiveness of controls over the organisation's social media policies and processes. The audit should incorporate governance, policies, procedures, training and awareness related to social media. Consider including the following:

- As part of the entity level controls review, determine whether a social media policy, social media strategy and social media business response management process are in place.
- Review the policies, strategy and processes and determine whether they are frequently reviewed.
- Assess whether the social media business response management process has been incorporated in the business resilience plan.
- Determine whether all users have been on social media training.
- Ascertain monitoring processes and how social media activities are reported.
- Exception reports relating to social media are reviewed by senior management and remediated.
- Determine whether logical access management controls have been applied throughout the organisation's social media platforms, especially when users that have access, resign, or change roles.
- Change management controls have been applied throughout the organisation's social media platforms.
- Review defined governance procedures which exist for social media.
- Consider compliance and legislation relating to social media and whether policies have included these aspects.
- Determine whether responsibilities have been defined for the social media process, for example, who posts the social media comments on behalf of the organisation and who authorises the content?
- Assess whether the organisational risk assessment incorporates social media and the impact thereof.
- Assess impact risks identified during the organisation's risk assessment process and determine whether the risk ranking is applicable.
- Validate observations with key stakeholders.
- Inspect minutes of board meetings to determine whether social media and social media crises are deliberated at that level.
- Assess whether the social media policy incorporates privacy policies and regulation.

The auditor may be required to assess the social media "crisis management" response process.

It is good practice for an organisation to establish a social media management process in the event of a social media crisis. The organisation should ideally establish a social media curation team that will manage and monitor all social media activities inclusive of adverse comments posted by the public about the organisation.

Ideally the organisation should incorporate the social media response management process in the business resilience strategy and plan. Consider the following good practices in the attempt to prepare for the social media response process and detect potential social media crises:

- Consider the following detective controls:
 - Regular name searches containing the name of the organisation on all social media platforms in order to report any posts relevant to the organisation.
 - Regular company logo searches on all social media platforms where the organisation's logo is used via advanced search options of search engines.
- Consider the following preventative controls:
 - Set up a social media policy document for company staff highlighting the rules when engaging on social media.

- Ascertain which social media platform is most frequently used and if there are users that comment more frequently than others.
- Set up a social media response team to respond to social media statements pertaining to the organisation.
- Set up response sessions with the social media response team to advise management in preparation of a real scenario requiring a response in order to familiarise them on how to respond.
- Do a trend analysis to determine the most common social media scenarios that exist in the market.
- Set up simulations to test responses using a sample public population.
- Define what constitutes as a social media crisis and consider the tier level of the incident using the following metrics:
 - A social media crisis has information asymmetry.
 - It has a decisive change from the norm.
 - It escalates within hours on multiple social media platforms.
 - A social media crisis has a potentially material impact on the company overall considering scope and scale.
- Determine whether any social media events occurred during the year within the organisation that may affect the organisation. Ascertain whether the organisation performed a post-mortem on the events with the following audit procedures to consider:
 - Where did the crisis originate, when did it occur and how did it spread?
 - How did the organisation find out about the crisis?
 - Was there an internal alarm system or did the crisis alert derive from an external source, for example, a news publication?
 - Did the organisation suffer any financial losses due to the social media crisis?

(c) Risk implications

- Brand and reputation damage that may cause a going concern issue within the organisation in the medium to long term.
- Uncertain behavior from end-users on social media that post adverse comments damaging the brand of the organisation.
- Risk of disclosure of confidential information on social media platforms.
- Risk of business impersonation and social engineering as many organisations' social media platforms have been hacked.
- If not managed, a fragmented view of the social media landscape may exist, which may result in a lack of governance and reporting on social media activities.

9.2.6 Systems development and implementation controls

9.2.6.1 Introduction

Systems change because the business world changes, and the need for quicker, different, enhanced, better quality information and more information increases. Business-related systems are said to have a “life cycle”; they start, develop, mature and decline. Changes in the company's information system may arise because of changes in the company's business activities, growth, a need to maintain a competitive advantage or just to improve its all-round performance by having better information.

Systems development has to do with significant changes relating to computerised systems. This often means that most of the following aspects of the system will be new or significantly changed: hardware, software, communication devices, personnel procedures, documentation, and/or control procedures.

For example:

- A company that has grown considerably and wants to computerise a previously manual payroll system.
- A company that wants to start selling its merchandise over the Internet to remain competitive.
- A company that has been running off an old legacy application and now plans to move to the cloud.

In each case it would probably require new hardware, operating systems, application programs and procedures to be designed and implemented to achieve these objectives.

It is imperative to have both pre-and post-implementations performed independently when implementing a new application or making changes to a current application. Also known as program assurance reviews, these include the management of risks, including the focus on adequate and timeous remediation of risks, benefits realisation and program management processes. These will include evidence of collaboration between business and IT, results of user acceptance testing, training and the GO/NO-GO decision proving the participation of all stakeholders during the process. Changes affect the entire business. Consider the following:

- legislative compliance
- the impact on business continuity
- the complete decommissioning of the retiring application, and
- the measurement of the benefits that were committed to post the implementation of the project.

9.2.6.2 Terminology

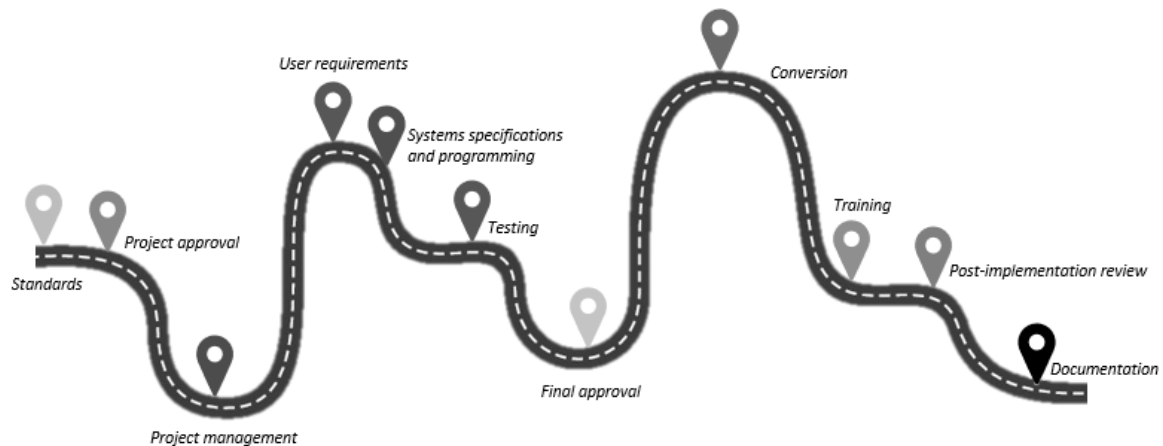
- A **project** is an individual or collaborative initiative that is carefully planned to achieve a particular result.
- **Project management** – the entire exercise should be run as a project by a team appointed by the steering committee.
- **Project approval** – a feasibility study must still be conducted to determine:
 - user needs
 - specifications (capabilities, functions, controls, ease of use) of packages available in the market
 - costs and benefits (costs will include costs of the package itself, running it, appointing and training staff, purchasing additional hardware, etc.), and
 - technical support and reliability of the supplier.
- **Approval** for the package chosen should be obtained from users, internal audit and the steering committee, and authorisation for its purchase should be obtained from the CIO and the board.
- **Training** – all affected IT personnel and users should be trained in the use of the new software.
- **Conversion** – moving data onto the new system should be controlled as explained under in-house development.
- **Post-implementation review** – again IT personnel, users, and internal audit should review the new software several months after implementation to determine whether it is operating as intended.
- **Documentation** – the systems documentation, user manuals, etc., will come from the supplier but the planning and execution of the project itself should be documented.
- **Project team**– responsible for the delivery of the program with a combination of IT and business people ranging from solution architects, business users and testers.
- **The project sponsor** is the person ultimately responsible for the project or program from a budget and delivery perspective.

9.2.6.3 Audit and control procedures

The auditor ascertains whether the organisation implemented an off-the-shelf application or completed in-house development and should test the design adequacy and operating effectiveness of the system development of an organisation. He/she should consider the overall strategic objectives for the system development, implementation and the alignment program to confirm that the objectives were met. In addition, he/she should assess the compliance with project management processes against program delivery, phases and activities, methods, templates, standards, and roles and responsibilities.

Consider the following life-cycle:

For in-house development and implementation of systems



Standards

- All systems development should be carried out in accordance with predefined standards that have been set for each of the phases described below, for example, components of the ISO 9000 series of standards.
- Compliance with these standards should be strictly monitored and any deviations thoroughly followed up by management.

Project approval

- Projects for systems development may arise out of user requests or as a result of strategic planning.
- A feasibility study should be carried out, culminating in either:
 - a system specification for an in-house development proposal
 - a proposal that involves the purchase of off-the-shelf software (packaged software), or
 - rejection of the project with the decision to continue operations as is or to reconsider the strategic approach.

The feasibility study should include a cost versus benefit analysis which lists and puts a money value to:

- all requirements for the project, such as personnel, hardware, software and running costs, and
- all benefits arising, for example, increased revenue, reduced costs, improved controls.
- The steering committee should give its approval prior to commencement of the project.

Project management

- A project team should be formed by the steering committee to manage the project and should include IT and appropriate user personnel, including accounting and internal audit personnel.
- The development project should be planned in stages, each stage detailing the specific tasks to be completed.
- Responsibility for each specific task must be allocated to appropriate staff members.
- Deadlines should be set for completion of each stage and each specific task.
- Progress should be monitored at regular intervals to identify any problems that may affect achievement of goals set – critical path analysis may be useful here.
- A project risk register should be maintained throughout the process to manage and report risks as they arise.
- Regular progress reports should be submitted to the steering committee.

User requirements

- Business analysts should carefully determine and document all user requirements relating to the system, for example, input, procedures, calculations, output, reports, financial reporting requirements and audit trails.

- Special care should be taken to consult both internal and external auditors as to their requirements and their recommendations concerning internal controls, for example, access controls and validation checks.
- Management of each user department should sign their approval of the specifications recorded to satisfy the needs of their individual departments.

Systems specifications and programming

- Program specifications should be clearly documented.
- Programming should take place in accordance with standard programming conventions and procedures, for example, for coding, flow charting, program routines and job control routines.
- Programmers should carry out all program development in a development environment and should have no access to the live environment.

Testing

- Program coding of individual programs should be tested by the programmers using standard debugging procedures like program code checking and running the program with test data (*program tests and string tests*).
- The system should also be tested to confirm that all programs are integrating properly – this would normally be done by business analysts in a test environment (*systems tests*).
- The system should also be tested on an output level by management, users and auditors to establish whether the system is satisfying the requirements of its users (*user acceptance tests*).

Final approval

- Results of the above testing should be reviewed by all involved to confirm that necessary changes have been made and errors corrected.
- The project team should then obtain final approval from the board, users, internal audit and IT personnel before going ahead with conversion procedures.

Training

A formal program should be devised setting out in detail all personnel to be trained, dates and times for their training and allocating responsibility for training to specific, capable staff.

- User procedure manuals are updated, and clearly defined job descriptions should be compiled during the training.

Conversion

Controls are necessary at this stage to confirm that programs and information taken onto the new system are *complete, accurate and valid*:

Conversion project: the conversion should be considered as a project in its own right, applying the principles explained in *project management* above.

Data clean-up: data to be converted must be thoroughly reviewed and discrepancies resolved prior to conversion. For example, if a new inventory application is being introduced, physical inventory should be counted so that correct quantities can be entered onto the system.

Conversion method: the conversion method must be selected:

- parallel processing of the old and new systems for a limited period, or
- immediate shut-down of the old system on implementation of the new system, or
- conversion of the entire system at one time, or
- phasing in of different aspects over a set period.

Preparation and entry: controls over preparation and entry of data onto the new system should include the use of a data control group to:

- perform file comparisons between old and new files and resolve discrepancies
- reconcile from original to new files using *record counts* and *control totals*, for example, if there were 300 employees on the old payroll, there must be 300 employees on the new payroll

- follow up exception reports of any problems identified through use of programmed checks, for example, no employee identity number
- obtain user approval for data converted in respect of each user department
- obtain direct confirmation from customers or suppliers of balances reflected on the new system.

Post-implementation review

Users, IT personnel and auditors should review the system several months after implementation to determine whether:

- the system is operating as intended (all bugs resolved)
- all risks noted during the development and implementation period have suitably been resolved
- the systems development exercise was effective (for future reference), and
- all aspects of the new system are adequately documented in accordance with predetermined standards of documentation.

Documentation

- The project itself and all the activities which took place in the planning and execution of the project should be documented.
- Documentation relating to the system itself must also be prepared, for example, systems analysis, flow-charts, programming specifications, etc.
- Documentation should be backed up on an ongoing basis and stored off-site.

9.2.6.4 Systems development and implementation based on packaged software

When a company decides that it needs a new system, one of the options it has is to purchase packaged software as opposed to developing the software itself (in-house). This is not just a matter of purchasing a package, installing it and away you go – the majority of the system's development and implementation controls covered above will apply. The major difference between in-house developed and packaged software is that for purchased packages, the company will have no control over the specifications and development, for example, writing the programs, or testing of the software. Purchased packages are designed to meet the generic requirements for lots of users with similar needs and although current packages contain hundreds of features and capabilities, the user basically gets what the package offers, nothing more and nothing less. This means that from the company's perspective, the emphasis will be deciding whether the package offers features and capabilities that match with what the company's users want.

Of course, there are packages available which are of a lower quality, short on control features and not particularly reliable, which give rise to plenty of disadvantages, but the project team should endeavour to avoid these packages.

The advantages of packaged software	The disadvantages of packaged software
• It has a lower cost. • The entire software development project is completed far quicker because development and testing have been done on the software by the developers of the package. • The package can be demonstrated up front, so IT personnel and users can see what the package "can do". Sample reports can be examined and the computer capabilities required by the software can be determined and tested. • Technical support (by phone or over the Internet) is usually available from individuals who are very skilled and knowledgeable about the specific package, and comprehensive manuals are supplied. • Software companies usually upgrade the packages on an ongoing basis.	• There are not too many disadvantages. This is mainly because the software development industry is highly competitive, which has resulted in an explosion of packages on the market covering virtually every industry. The packages are of high quality, fully debugged and very reliable, however, the package may not meet the company's requirements exactly. • Excellent software developed overseas may, for example, not satisfy South African tax or financial reporting requirements (many of these packages do offer SA versions). • Changes can't be made by a purchaser of the software.

9.2.6.5 Risk implications

Unless the entire exercise of designing the system is carefully controlled, the following might occur:

- costs of development may get out of control
- the system design may *not* suit user requirements properly (e.g. important information which is required is not available or is hard for the user to find)
- programs within the system may contain errors and bugs
- important financial reporting requirements are not incorporated into the system or are incorrectly understood by the business analyst/programmer
- poor functional and technical requirements
- the new system may not incorporate enough controls to confirm the integrity of its programs and data, for example, the design of access privileges may give employees write access to files they should not have any access to
- inappropriate vendor and/or package selection or decision to build
- the new application may not interface completely and accurately with the existing applications
- new developments may cause the retiring of older applications and the incorrect decommissioning of applications may result in additional risk exposure for an organisation. A few examples are the safekeeping of decommissioned application data for tax and financial reference purposes, the cost of keeping the data and managing access to the data
- an excellently designed system may be rendered virtually useless because no one knows how to use it
- inadequate skills and resources
- insufficient documentation to enable successful post-go-live operations, procedures and maintenance
- failure to evaluate and record lessons learnt for future use
- absence of service level agreements and operational level agreements, and
- the information transferred from the old system to the new may be erroneous, invalid or incomplete.

If proper system development and implementation controls are put in place, the risks mentioned above can be avoided.

9.2.7 Retiring applications

9.2.7.1 Introduction

Throughout an organisations' existence there will be many changes from fundamental operating model changes, application updates to infrastructure refreshes. Older organisations find themselves in a particularly challenging situation as many are supported by an older IT generation and legacy applications that are not only expensive to maintain but will not have the capability to keep abreast of innovative trends due to limitations.

Strategically organisations will continuously assess and prioritise applications to retain, replace and retire (also referred to as decommission) applications.

There are a number of other reasons why organisations will retire applications. Organisations may decide for strategic reasons to assess and prioritise applications, and therefore retire others.

For example,

- Retiring an old reconciliation application which has become obsolete, as a new financial application which has been implemented is faster and more efficient for reconciliations
- Retiring an old legacy financial application as the organisation has successfully migrated to the cloud version of the application which is offered by the same vendor
- A new asset management application has been developed in-house and all info has been migrated and historic data archived, therefore the application can be retired

Organisations are encouraged to establish a migration path and application retirement plan as part of the general policies and procedures. Therefore, when an organisation does decide to renew the IT landscape and invest in new technologies, it requires an effective strategy that will not expose the business to potential financial losses or reputational risk. Retiring applications need a rigorous process and structure if the applications are currently in use and support the day-to-day business activities. Applications that are

integrated and form part of an integrated business system will require more planning and will be more difficult to retire due to the process mapping change that will have to be completed to confirm complete and accurate data flow with minimal interruptions.

9.2.7.2 Benefits

Retirement of application benefits results in quantitative and qualitative benefits when retiring applications.

Quantitative benefits especially if the applications have been deemed obsolete:

- cost savings through software licences
- cost savings through maintenance costs, and
- cost savings through increased resource efficiencies.

There will, however, be costs associated with the retiring of assets as historic information will be required to be safeguarded and stored in a cloud or alternative solution.

Qualitative retirement benefits include the following:

- revamp of the architecture plan to a cloud solution
- rationalise and renew the landscape
- regulatory requirements and compliance to regulation
- integrated business software solution
- organisational structure changes and mergers may require consistency with regard to applications being used
- growth within the business and the current application/s may not cater for sophistication required
- reduction in power consumption
- old legacy applications may have to be switched off as they are not supported and new enterprise application solutions are required to transform the business
- simplification of applications to streamline financial applications and reporting
- old legacy applications increase the risk of control deficiencies, and
- virtual storage, because legacy applications frequently take up loads of space due to the nature and age of the applications and decades of information they may host.

9.2.7.3 Terminology

- *Retiring/decommissioning of applications* is the practice of shutting down redundant or obsolete business applications while retaining access to the historical data.
- *Stage gates* are when retirement projects are divided into distinct stages or phases, separated by decision points. At each gate, continuation is decided by management, a steering committee, or the governance board. The decision is made on progress, risk analysis and any other factors that may impact the successful retirement of the application.

9.2.7.4 Audit and control procedures

The auditor should consider the following:

Planning phase	Retiring of application plan	Migration plan	Execution phase	Conclusion phase
- When an application comes to the end of its working life, it is important to establish and adhere to a data transfer that confirms completeness and accuracy. - The auditor needs to confirm that the following has been prevented: * data leakage * duplication during transfer. - It is deemed good practice to involve the auditor during the retirement of applications and to have the auditor review the various phases/stage gates as progress is made to confirm successful delivery. During the planning phase the auditor will need to perform the following procedures: - Assess whether the retiring application and migration plan is complete, and all the relevant components have been considered:	- Identify custodian and project manager - Expected decommissioning date - Identify stakeholders - Consider involvement of auditors - Legislative requirements - Complete assessment of all the processes that are being retired to confirm that all the processes are terminated or replicated, including the discovery of unknown data relationships - Complete assessment of all the data that will either be archived or migrated - Data retention requirements - Existing interfaces - Software to archive - Hardware disposal - Operational process changes, for example job schedules, backups, firewall rules, service accounts, continuity, licences, service level agreements, internal billing. - Testing plan - Training of resources - Schedules and activities - Communication - Backups are up to date prior to decommissioning and roll-back procedures are current - Risks documented on a risk register and mitigation plan - Resources required to execute - Resources available post decommissioning - Application encompasses processes, logic, workflow, data that needs to be migrated.	- Cut-off date - Project manager - Information of legacy and target applications - Requirements traceability - What needs to be migrated and who is responsible - Impact on existing interfaces - Testing plan - Training - Migration schedules - Resources required – hardware, software, people - Communication - Issues log to track problems during the process and to confirm timely remediation - Data migration: * strategy – covered as part of target application project plans or not * data preparation, mapping extraction, transfer and loading * data quality * migration controls and reconciliations * sign-off - Process migration: * strategy * re-mapping * update documentation * implementation * sign-off.	- As the auditor, you need to test the data migration as per the following outline: - If the data is not available or was not transferred successfully to the storage/archiving solution, the following should be considered as it may have an impact on the financials or hold reputational risk: * Consider the maximum financial impact imposed by regulatory bodies if financial data is not available. * Consider the reputational risk associated to the unavailability of historical financial information. - Refer to program assurance when migrating information to a new application.	Review stakeholder sign-off as evidence that the decommissioning was completed.

9.2.7.5 Risk implications

Decommissioning of applications and databases inherently exposes an organisation to many risks. The primary risks for an auditor are the migration of data and the cut-off thereof. There are, however, other risks to consider that are indicative of the company's policies, procedures and governance when decommissioning that will need to be considered when auditing. The following risks may exist when decommissioning:

- data losses/duplication of data could occur during migration to another application or archiving facility
- incorrect timing of decommissioning
- duplication of data while running parallel with replacement application
- unauthorised access to retired applications
- historical data is not available for regulatory, statutory and auditing purposes
- no governance relating to the retirement of application process
- the retiring of application process impacts on day-to-day business and causes major interruptions
- lack of effective communication and transparency to external stakeholders, and
- decommissioned assets and e-waste are not disposed of in a safe manner in accordance to the Privacy Act and may cause reputational risk.

9.2.8 Interface/integration management

Multiple applications that are designed to consolidate financial data may exist in an environment. In more complex environments, where multiple applications operate together, the testing of data flow is crucial.

This type of environment is, as you are aware, all around us. In the workplace computers within departments and between departments are linked, companies around the country link their various offices and the world has linked itself through the omnipresent Internet.

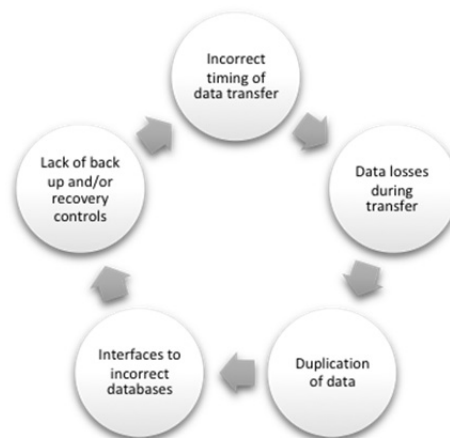
Interfaces form a crucial part of the financial-IT landscape. Considering the global trends, these interfaces will only become more complicated and advanced in the future. It is imperative that you identify and test all interfaces where data is moved from application to application to verify complete and accurate transfers. As the auditor, you need to satisfy yourself that controls exist to identify any data loss or duplication that may occur during application interfaces. If controls do not remediate the risk or exposure identified, control failure (manual or automated) needs to be reported to management.

Interface examples:

- An online banking user interface, gives customers the platform to link to bank servers and conduct transactions over the Internet
- An organisations' mobile application interfaces with the financial application to enable online sales, and
- Sub-ledgers and general ledger interfacing.

These applications all direct financial information, and ultimately the data is consolidated to draft the financial statements. All interfaces referred to below include mobile applications interfacing with the organisation. Therefore, it is important to assess the controls that manage the completeness and accuracy of data interfaces to detect financial data leakage and/or duplication, termed interface management.

Effective testing can prevent:



The transfer of data between applications is termed interfacing. Data will be sent (mostly an automated process) from one application to another application, requesting information, sending the information and then updating the information.

9.2.8.1 Terminology

- **Interface management:** Implementing an interface management process on a project streamlines communication, identifies critical interfaces, and monitors ongoing work progress while mitigating risks.
- **Exception reports:** An exception report is a document that states those instances in which actual performance deviated significantly from expectations, usually in a negative direction. The intent of the report is to focus management attention on just those areas requiring immediate action.

9.2.8.2 Audit and control procedures

The auditor needs to test the design adequacy and operating effectiveness of the interface controls. Completeness and accuracy of the data flow between applications may be tested through controls and/or substantively using computer assisted audit techniques (CAATs).

When auditing, it is imperative to test the transfer of data and not just the financial data per application to confirm the integrity of the data provided by interfaces.

In addition to the substantive tests, automated application control tests, such as exception reports, may be relied on, if access and change controls over the exception reports are managed and the differences on the exception reports are followed up manually and remediated.

Many interfaces may exist within a client's environment:

- financial application to financial application
- banking application interfaces

- mobile application interfaces
- exchange rate interface providing a daily rate to invoicing regarding international sales
- separate supply chain management applications may be hosted on a different application than the warehouses are hosted on
- payment gateways, such as mobile payment application interfaces and contactless card point of sales devices, and
- human resource management applications may be hosted on a different application due to sensitivity.

As part of the entity level controls assessment, the auditor will need to perform the following tests:

- Review the IT landscape to identify and characterise interfaces.
- Identify risks associated with these interfaces within the value chain.
- Identify critical applications that share data within the value chain (consider whether the data is financial and/or operational).
- Discuss data transfers with key stakeholders to corroborate whether all interfaces have been identified.
- Gain an understanding of the type of interfaces that exist within the landscape batch versus real time.
- Establish whether all interfaces have been documented depicting the process map, the type of interface, the known risks and mitigating controls, associated exception reports, interdependencies, timing, custodian and security/access rules.
- Determine how management has addressed these risks and identify relevant controls to mitigate the risks.
- Establish how the risks of duplication, data loss or routing to the incorrect database are addressed.
- Establish if interface process maps are reviewed annually.
- Establish the change procedure to update interface settings, in other words, who is authorised to make changes and who performs independent reviews.
- Determine whether any key man dependencies exist.
- Obtain a comprehensive list of all the interface exception reports.
- Determine whether the exception reports are reviewed manually and whether discrepancies on the reports are resolved.

Entity level controls are controls implemented within the IT governance environment, which have a pervasive impact on the IT controls environment including those at the transaction or application level. The auditor needs to perform a review of the interface design and control environment.

It is important that you, as the auditor, gain an understanding of the data flow through applications throughout the organisation as well as the time and effectiveness of the data interfaces. Changes in the business structure during the financial year may also lead to changes in the data flow.

For example:

- A merger or acquisition may result in new or more complex interface.
- A new payroll system will result in a new interface with the financial applications.

Ascertain whether the organisation improves data integrity through effective automated controls and, if authorised, sources may result in more reliable data. Frequent exception reports to message and display accuracy throughout various stages will aid in identifying interface errors and correcting them in a timely manner. Confirm that access and security to application program interface data, processes and parameters are appropriately restricted. Confirm that changes to interfaces are appropriately managed and reported through exception reports. Ultimately the auditor should confirm the timely, accurate and complete processing of data between applications and reliability of data reported to legislative and regulatory bodies.

Automated control tests will determine whether the applications were configured correctly to send and receive data and whether the transfers are accurate and complete.

Configurations to interface

- Identify the key critical interfaces that fall within the scope of the audit.
- Inspect the validity and completeness parameters and configuration settings.
- Review the access controls to determine who has access to set and amend configurable parameters on interfaces.

- Have any changes been made to the configuration during the period under review?
- Have the changes been authorised in the application?

Configurations to exception reports

- Review exception reports to determine whether the data interfaces are reported upon and reviewed. In addition, determine whether exception reports are followed up manually and remediated.
- Test that incidents are logged for failures.
- Review the automated comparison test and confirm that transactions on both applications match.
- Review the access controls to determine who has access to set and amend configurable parameters relating to the exception reports generated for interfaces.
- Have any changes been made to the exception report configuration during the period under review?
- Select a sample of reconciliations and test that it is reviewed.
- Access to audit trails and/or exception reports is managed and only authorised users have view access.

9.2.8.3 Backup and recovery procedures

- Confirm that data recovery and/or backup processes are used when there is an interface failure.
- Match the results with the results from the job schedule testing included in the IT general control tests.
- Select a sample of job schedule reports and test that (if not done as part of ITGC testing):
 - Jobs are scheduled.
 - Jobs start automatically.
 - Failures are remediated.
 - Test for evidence of review.
 - Incidents are logged for failures.

9.2.8.4 Substantive procedures

Substantive procedures are tests where a sample of records are selected from the transferring application and matched to the records sent to the receiving application to test whether the transfer was complete and accurately performed.

Alternatively, a sample of records may be selected from the receiving application and matched to the transferring application to test whether the transfer was complete and accurately performed.

For both the tests above, refer to the sampling guidance for substantive tests.

Substantive procedures may also be performed through computer assisted audit techniques (CAATs):

CAATs will potentially provide you with the opportunity to test the whole population and compare all the data that was sent from one application to another application. Alternatively select a large sample, for example, a quarter may be tested. The following tests may be performed:

- Extract records for the defined audit period from both the transferring and receiving application.
- Perform comparison tests to identify records that exist within the receiving application but do not match to the transferring application. Extract the list of records and report accordingly.
- Perform comparison tests to identify records that exist within the transferring application but do not match to the receiving application. Extract the list of records and report accordingly.
- Perform a duplication test to determine whether data was transferred more than once. Extract duplicate items and report accordingly.
- Inspect and test the sequence of the transferring application and note any missing numbers.
- Inspect and test the sequence of the receiving application and note missing numbers.

It is important to note that interface differences may be considered not significant by the custodians, and these differences may not always be resolved. The differences may be considered qualitative for reporting purposes. As the auditor, you need to assess the quantitative impact should small differences occur daily. With a daily interface, the quantitative difference over the period of 365 days may be considered significant.

Due to the nature of some organisations, it might not be feasible to test all the existing interfaces; therefore, consider testing key interfaces on a rotational basis. The interface tests should include IT general control tests.

9.2.8.5 Risk implications

Interface management inherently exposes an organisation to many risks. The primary risks for an auditor is that the organisation has limited control over interfaces and, where controls exist, they are not governed.

- Risk of data losses could occur during the data transfer.
- Late follow up of exception reports may result in incomplete data sets.
- Incorrect timing of interfaces.
- Lack of effective communication and transparency to stakeholders when interface errors occur.
- Lack of documentation of interfaces across applications supported by the IT environment.
- Access to interface configurations and the ability to change contents.
- Access to interface exception reports and ability to change contents.
- Lack of backup/recovery controls in the event of failures.

9.2.9 System software and operating controls

The evaluation of system software is very much the domain of the computer audit specialist with good technical knowledge. System software is made up of various kinds of software including, *inter alia*:

- **Operating system software** that:
 - controls the use of the hardware
 - tests critical components of the hardware and software where the computer is started
 - controls the input and output of data, and
 - schedules the use of resources and programs.

Think of it like this: in a business environment, there are hundreds of transactions going on all the time, from different parts of the business. Transactions are put in queues because they can't all be dealt with at once, especially as lots of things may be happening at the same time; input instructions may be coming from one programme, output from another, and so on. The operating software makes sure that all this happens in an efficient and orderly manner.

 - monitors the activities of the computer and keeps track of each program and the users of the system
 - provides the interface with the user, for example, how the user communicates with the computer.
- **Network management software** which enables computer systems to communicate with each other.
- **Database management software** which enables the user to create, maintain and use data files in an efficient and effective manner.
- **System development software** that is used to develop new software, for example, assemblers, compilers.
- **System support programs** such as antivirus software, data compression software, etc.

A vitally important part of any IT department is to take responsibility of these programs (software), confirm that they operate as they should and are monitored. Operating controls are the policies and procedures that should be in place to work with the system software controls to confirm that the computer system (the hardware and software) runs like a “well-oiled machine”. Controls include:

- operating policies and procedures that are fully documented, regularly reviewed and updated
- system software that maintains a log of activity on the system detailing all activity which had taken place, including:
 - hardware malfunction, and
 - intervention by personnel during processing
- skilled technicians who can resolve operating problems for users
- adherence to international system software control protocols (how things are properly done)
- follow up on access violations, attempted violations
- follow up of potential virus infection

- adherence to manufacturers' equipment, maintenance and usage guidelines, and
- strict supervision and review of IT employees (IT manager needs to know what his staff is doing).

9.2.10 End-user computing

9.2.10.1 Introduction

End-user computing refers to computer systems that give individuals who are not computer programmers the means to develop computer applications. It introduces end-users to the world of systems development. It allows end-users to control their computing environment without the aid of developers.

For example:

- A finance staff member using Microsoft Access to generate reports. Users often extract information from financial applications and then perform additional procedures called "manual/tactical workarounds" to reconcile and/or report financial data.
- A start-up that maintains its fixed asset register on Excel.

It is imperative that access and change controls should be implemented to detect unauthorised access and changes to these numbers.

ISA 315 (revised) provides the following guidance:

Although audit evidence may come in the form of system-generated output that is used in a calculation performed in an end-user computing tool (e.g., spreadsheet software or simple databases), such tools are not typically identified as IT applications. Designing and implementing controls around access and change to end-user computing tools may be challenging, and such controls are rarely equivalent to, or as effective as, general IT controls. Rather, the auditor may consider a combination of information processing controls, taking into account the purpose and complexity of the end-user computing involved.

The company's ability to maintain the integrity of information stored and processed in the information system depends on the complexity and volume of the related transactions and other information. The greater the complexity and volume of data that supports a significant class of transactions, account balance or disclosure, the less likely it may become for the entity to maintain integrity of that information through information processing controls alone (e.g., input and output controls or review controls). It also becomes less likely that the auditor will be able to obtain audit evidence about the completeness and accuracy of such information through substantive testing alone when such information is used as audit evidence. In some circumstances, when volume and complexity of transactions are lower, management may have an information processing control that is sufficient to verify the accuracy and completeness of the data (e.g., individual sales orders processed and billed may be reconciled to the hard copy originally entered into the IT application). When the entity relies on general IT controls to maintain the integrity of certain information used by IT applications, the auditor may determine that the IT applications that maintain that information are subject to risks arising from the use of IT.

9.2.10.2 Terminology

- **Computer systems:** These are several computers that are connected and share central storage and devices, such as printers and scanners.
- **Computer programmer:** This is a person who codes, tests and debugs code written to achieve a certain computing task.
- **Computer application:** This is a computer program written with the aim to achieve a certain outcome and where the program can perform one or more tasks.

9.2.10.3 Audit and control procedures

The auditor will need to provide assurance of end-user computing controls:

- Inspect that the end-user computing policies and processes are documented, authorised and regularly reviewed.
- Inspect that procedures are documented and easily accessible and available to all users.
- Obtain evidence that training is conducted so that more than one person is trained to use the application.
- Enquire whether the application prompts the user to password protect information.

- Enquire from users whether version control is applied and change management controls are in place to track changes made to these documents.
- Ascertain whether users are aware that they need to back the documents up and not host documents on their laptops only. When the laptop is stolen, and no backup is made, the document will be lost.

ISA 315 also suggests the following controls:

- Information processing controls over the initiation and processing of the source data, including relevant automated or interface controls to the point from which the data is extracted (i.e., the data warehouse).
- Controls to check that the logic is functioning as intended, for example, controls which 'prove' the extraction of data, for example, reconciling the report to the data from which it was derived, comparing the individual data from the report to the source and vice versa, and controls which check the formulas or macros used for end-user computing.
- Use of validation software tools, which systematically check formulas or macros, namely, spreadsheet integrity tools.

9.2.10.4 Risk implications

- There is a risk of data entry, logical and formula errors in a spreadsheet, which will generate incorrect output.
- It is very difficult to manage and enforce version control in end-user-developed applications.
- If the end-user-developed application has not been documented sufficiently and is not applied for what it was designed, it can lead to errors unintentionally and these errors could also not necessarily be detected.
- Files that are not password protected can lead to unauthorised users accessing sensitive information.
- End-user computing does not always cater for backup and disaster recovery procedures.
- Very few end-users have their system audited for completeness and accuracy.
- Backups are not made of the documents.

9.2.11 Documentation

9.2.11.1 Introduction

Sound documentation policies are essential, because documentation can be critically important in:

- improving overall operating efficiency
- providing audit evidence in respect of computer-related controls
- improving communication at all levels
- avoiding undue reliance on key personnel, and
- training of users when systems are initially implemented.

There are two major objectives to bear in mind regarding documentation:

- all aspects of the computer system should be clearly documented, and
- access to documentation should be restricted to authorised personnel.

9.2.11.2 Documentation standards

As for all other aspects of the computer environment, predetermined standards should exist for documentation and adherence thereto should be enforced. These standards should require at least:

- general systems descriptions
- detailed descriptions of program logic
- operator and user instructions including error recovery procedures
- back-up and disaster recovery procedures
- security procedures/policy
- user training, and
- implementation and conversion of new systems.

This documentation should be promptly updated for any changes and responsibility for this task should be allocated to specific individuals (isolation of responsibility).

- Backup copies of all documentation should be stored off-site.
- Access to documentation should be restricted to authorised personnel.

9.3 Automated application controls

Depending on the outcome of the general IT control evaluation, the auditor will be in a position to proceed with automated control testing.

The entity's information system may include the use of manual and automated elements that also affect how transactions are initiated, recorded, processed, and reported. In particular, procedures to initiate, record, process and report transactions may be enforced through the IT applications used by the entity, and how the entity has configured those applications. In addition, records in the form of digital information may replace or supplement records in the form of paper documents.

ISA 315 advises that automated controls may be more effective than manual controls in the following circumstances:

- High volume of recurring transactions, or, in situations where errors that can be anticipated or predicted can be prevented, or detected and corrected, through automation.
- Controls where the specific ways to perform the control can be adequately designed and automated.

9.3.1 Terminology

- An **application** is a set of procedures and programs designed to satisfy all users associated with a specific task, for example, the payroll cycle. Other examples include making sales, placing orders with suppliers and receiving or paying money. Application controls are very closely linked to the cycles described in chapters 10 to 14.
- An **automated application control** therefore is any control within an application which contributes to the accurate and complete recording and processing of transactions that have actually occurred, and have been authorised (valid, accurate and complete information).
- The stages through which a transaction flows through the system can be described as **input**, **processing** and **output** and automated application controls can be described in terms of these activities, for example, an automated application control relating to input.
- In addition to implementing controls over input, processing and output, controls must be implemented over **masterfiles**. A masterfile is a file that is used to store only standing information and balances, for example, the debtors masterfile will contain the debtors name, address, contact details, credit balance, and the amount owed by the debtor. The masterfile is a very important part of producing reliable information and must be strictly controlled. For example, if a salesperson wants to make out an invoice for a credit sale on the system, the first thing he will do is enter the customer's name or account number to see if the customer is a valid customer. The system checks the account number (or name) against the *masterfile* and if there is no match, the salesperson cannot proceed. If the customer is a valid customer, the order can be taken, but the system will automatically check the total value of the goods bought against the customer's *credit limit* on the masterfile. If the limit has been exceeded, the sale will not be permitted until it has been cleared (approved) by the credit controller.

This illustrates the importance of protecting the *masterfile*. If the debtors masterfile is not protected, unauthorised changes to it could be made, for example, a customer who has not been checked for creditworthiness could be added, or a credit limit could be changed, resulting in losses from bad debts.

- Controls over the masterfile are application controls and are referred to as **masterfile maintenance controls**.

9.3.2 Audit and control procedures

The objective of controls in a computerised accounting environment is generally regarded as being centred around the occurrence, authorisation, accuracy and completeness of data and information processed by and stored on the computer.

Occurrence and authorisation are concerned with ensuring that transactions and data:

- is not fictitious (this has occurred) or fraudulent in nature, and
- is in accordance with the activities of the business and has been properly authorised by management.

Accuracy is concerned with minimising errors by ensuring that data and transactions are correctly captured, processed and allocated.

Completeness is concerned with ensuring that data and transactions are not omitted or incomplete.

Therefore, application controls can further be classified in terms of input, processing and output, for example, authorisation controls over input, authorisation controls over processing, completeness controls over input and the completeness controls over processing. However, this can be confusing and over analytical particularly because in current computerised applications, input, processing, and output are merged into one. It is more important to understand what the control does and how it is carried out. If you understand that, you will understand the objective of the control.

As we noted earlier in this text, *preventing* errors from entering the system is far better than *detecting* them later on. However, systems are not perfect, so, while the main focus of automated application controls will be on prevention of errors, a good system will also have strong detection controls. If errors are detected, they must be *corrected* so there will be correction controls for correcting errors which have been identified by the detection controls. These are usually manual review controls of exception reports produced by the application where remediation needs to occur.

9.3.3 Understanding control activities in a computerised accounting application

9.3.3.1 Introduction

Before moving on to discussing specific techniques in the next section of the chapter, we will discuss the control activities identified in chapter 6 and referred to in ISA 315 (revised) in the context of a computerised application. This will give you a better understanding of how control techniques and specific application controls are implemented.

It is also important to remember that application controls are a combination of manual and automated (program) procedures. We can also refer to manual controls as *user controls*, that include all the controls which *people* carry out, for example, authorising a document, performing a reconciliation, checking goods delivered by a supplier against the delivery note, etc.

9.3.3.2 Segregation of duties

In a manual system, segregation of duties is achieved by assigning incompatible functions to different individuals. This facilitates the checking of one employee's work by another employee and prevents an employee from covering up errors, unauthorised actions and misappropriations, for example, theft. Also refer to the logical access management section in this chapter for more information around segregation of duty controls and toxic combinations.

Potentially, computerisation is a danger to segregation of duties as it takes employees out of the application and enables the control procedures relating to authorising, executing, custody and recording to be performed by one employee and his computer. In addition, computerisation enables numerous employees to gain legitimate access to the accounting records, which means that the risk that they may be performing incompatible functions is increased.

For example, the storeman who has custody over physical inventory may have a PC that links him to the inventory masterfile so that he can access these records to instantly get information about inventory on hand. He therefore has custody of the asset and access to the asset records. This is poor internal control unless he is strictly denied the ability to *change* the inventory records.

Segregation of duties in a computerised environment is achieved primarily by controlling access which employees have to the system itself, the applications on it, and the modules or functions within the application. This is achieved by setting up user profiles on the system for each employee which detail exactly what that employee must be given access to and what he can do when he has access, for example, read a file, write to a file, make an enquiry, authorise a transaction, etc.

For example, an order clerk will be allowed access (by his user profile) to the module to create an onscreen purchase order, but his profile will not allow him to approve the purchase order. This must be

done by his supervisor, whose user profile gives him that ability/privilege. The access to programs and files granted to an employee is based on the user's functional responsibility.

9.3.3.3 Isolation of responsibilities

In a *manual system*, isolation of responsibilities is usually achieved by making a specific employee (or employees) responsible for each function or procedure and requiring that the employee sign the document relevant to the procedure he is performing, to acknowledge (take responsibility for) having carried out the procedure.

A *computerised system* can enhance isolation of responsibility by programming the computer to produce a log of who did what and when it was done. If the log is properly followed up, it becomes an effective way of isolating responsibility.

For example:

- A company that has five receiving clerks recording deliveries of goods from suppliers with only two PCs available in the receiving bay can, by requiring the use of unique user IDs and passwords, record the identity of the receiving clerk who actually recorded the delivery, and, in doing so, isolate responsibility to that person. Of course, access controls also contribute to isolation of responsibility – terminal identification and authorisation controls as well as user IDs and passwords can restrict (isolate) access to the goods receiving module to terminals in the receiving bay and receiving clerks respectively.
- Restricting access to the module that facilitates on-screen approval of a credit sale (customer order) to the credit controller, isolates the responsibility for this function to the credit controller.

9.3.3.4 Approval and authorisation

Approval and authorisation can be a (manual) user procedure, for example, signing a document, or an automated (programmed) control as discussed below.

In a computerised system the authorisation and approval of a transaction can be carried out far more effectively and efficiently than in a manual system. The system can be programmed not to proceed if certain conditions or controls have not been satisfied.

For example:

- An order clerk who wants to place a purchase order with a supplier, and who is not approved by the company, will be prevented from doing so because the system will not allow an order to be initiated on the system if the supplier is not on the approved supplier (creditors) masterfile. Approval is given by the fact that the supplier is on the masterfile.
- The system may be programmed to allow a salesperson to give a discount of up to 20% to a customer to secure a sale. If the salesperson tries to give a discount above 20%, the system will not allow him to proceed with generating the invoice (sale not approved).
- Making a payment by EFT will be programmed not to proceed unless, say, two specified employees each enter a unique password to effect the transaction.
- The program checks against predetermined parameters, for example, an online loan application is automatically approved if the income and expenditure of the applicant satisfy pre-set parameters (only appropriate for loans of a small amount).

The point is that a computerised system is very effective at *preventing* unauthorised transactions from taking place. It is certainly true that these kinds of controls can be overridden, but overrides will be logged (isolation of responsibility) by the computer and should be followed up. Logging and following up is a detective manual control.

The system may also be programmed to enable authorisation/approval to be given on screen (on the system) by the authorising person. This is very common in modern systems as it speeds up authorisation procedures and is very effective in preventing a transaction from progressing through the system until approval has been given. In a manual system (or in a computerised system where documents are printed for approval) it is normally a case of presenting the document to the authorising person who looks at the supporting evidence and signs the document. In a computerised system approval can be given on the system itself. How this is done may vary (depending on the software) but the principle is as follows: Employee A prepares the documents on the screen. On completion, Employee A selects the *send* option and his terminal transmits a message to Employee B's terminal (the authorising employee), alerting him to the fact that the (computer) file containing the documents is ready for authorisation/approval. Employee B

accesses the file, carries out whatever checking procedures are necessary and, if satisfied, selects the *approve* option on the screen. Once the approve option has been selected, the file cannot be written to at all. This prevents Employee A (or anyone else) from adding to the file after it has been approved. A refinement of on-screen approval is that Employee B should not have *write* access to the file; any changes should be referred back to Employee A to make the changes and resubmit the file for approval. This is good division of duties and isolates responsibility.

Consider the following example:

- Joe Bigg, the order clerk, prepares a batch of purchase orders on the system which must be reviewed/approved by the chief buyer.
- Once Joe has created the file of all the purchase orders on the screen, he selects the send option and a message is sent to the chief buyer's (Chas Chetty) computer alerting him to the fact that the file of purchase orders is ready for his review and approval. From this point there will be no write access to the file.
- Joe's user profile allows him to create a purchase order but not to approve it. This restriction is enforced by the system not providing an *approve option* on Joe's screen. The only thing that Joe can do is send the file on to Chas. Chas conducts his reviews and if he is satisfied, selects the approve option.
- Because Chas has the power to approve in terms of his user profile, his screen will display an approve option, but he will not be able to change the file as he has not been granted write access. The computer will simply not respond if he attempts to alter a figure or detail on the purchase order.
- When Chas selects the approve option, the file is transferred back to Joe, who can then proceed with distributing the purchase orders to suppliers by printing hard copy, faxing or e-mailing the purchase orders. As write access to the file of purchase orders is not available, Joe cannot add or change the purchase orders after they have been approved by Chas.
- If Chas requires changes to the purchase orders, for example, he may want to reduce the quantity ordered, he will select an option that returns the file to Joe and simultaneously lifts the "no write" restriction on the file. Joe makes the corrections and repeats the procedures to get the file approved.
- Until the file has been approved, the purchase orders cannot be printed or sent electronically.

In a manual system, Joe would have to write out the purchase orders in multicopy form (lots of potential mistakes in this procedure!) and physically take them to the chief buyer who would probably sign each purchase order.

Another advantage of approval on the system is that the parties involved do not have to be geographically close. Joe could be sitting at a division of the company in Durban and Chas could be sitting at head office in Johannesburg and the approval could take place on the company's wide area network.

One potential risk with regard to approval/authorisation in a computerised system is that the initiation and execution of transactions may be automatic with no visible or actual authorisation of the transaction.

For example, the rate of interest paid on a savings account at a bank, or the rate of interest charged on a debtor's account by a company, may automatically increase when the savings balance reaches a specified amount or the debt has been outstanding for a specified period of time.

These automatic transactions should be logged by the computer and reviewed by a suitable employee, for example, in the case of the debtors interest charge, by the credit controller.

9.3.3.5 Custody

Application controls play an important role in the custody of the company's assets, particularly the company's cash in the bank and other assets held in electronic form such as the debtor's masterfile. In reality, all information on the database should be considered as an "asset" that needs to be strictly controlled as without its information, a company is in serious trouble. You can see soon enough that if a company does not have automated application controls (both user and automated) in place to prevent and detect certain invalid actions, the asset is under serious threat.

For example:

- In the case of *cash in the bank*, the company does not have physical control over the cash, but must control unauthorised removals from its bank account. When cheque books were still in use, this was done by controlling the company cheque book itself, limiting signing powers to senior officials (preventive controls) and reconciling the company's cash book with the bank statement (detective controls). In a computerised payment system, for example, EFT for the payment of creditors and employees, far stricter

application controls must be implemented over access to the EFT facility (the equivalent of the cheque book) and authorising and releasing the funds (the equivalent of signing a cheque). Reconciliation of the company records and bank statement will still be an important control but can be done much more timeously as bank statements can be downloaded from the bank instantly shortly after the EFT payments have been made, and any problems can be followed up immediately. Failure to adequately protect an “on-line” bank account would probably have greater consequences than losing a cheque book or having a cheque signature forged (a cheque could be “stopped” but an EFT cannot), so controls to prevent invalid EFTs must be comprehensive. There will also be detective controls, but these may be “too little, too late” as the money will be long gone.

- In the case of *protecting debtors* it is a matter of protecting the *information* about the debtor held in the masterfile, transactions files and supporting documentation. If the electronic information is corrupted or destroyed, the company is going to find it very difficult to reconstruct its records. In addition, if a debtor is not sent an up-to-date statement or request to pay (difficult to do if the company doesn’t have records), a percentage of debtors won’t pay.

In a manual system, protection will come down to keeping the accounting records under lock and key when they are not in use and filing at least two copies of the sales invoices securely and in different places.

In a computerised system, the electronic data is protected by a combination of general and automated application controls. While hardcopy documentation such as sales invoices, etc., can be physically protected, electronic files will be protected by a whole range of controls, including controlling unauthorised access of the system at systems level and application level (preventing unauthorised people from getting onto the system and, if they are authorised to be on the system, from gaining access to the debtor’s application), as well as adequate continuity of operations controls. These will include physical controls to protect the system as a whole, as well as disaster recovery controls.

Modern software will also have features that protect the debtor’s information.

For example, current software will not permit a person who has access to the debtors’ masterfile to simply delete a debtor without trace. The debtors balance would first have to be reduced to nil by valid means, for example, processing a payment from the debtor or processing a credit note. Removal of the debtor’s record could then take place but this privilege would be restricted to a minimum number of employees and the removal would be logged. The most important application controls, however, will probably be those implemented over masterfile amendments (see 9.3.5).

Do not forget that these principles and controls will apply to all the company’s financial information, both electronic and physical.

9.3.3.6 Access controls

Once a person or terminal is introduced into a system, suitable access controls must be implemented for that terminal and employee. Access violations can have extremely serious consequences for the business. These include:

- destruction of data
- “theft” of data
- improper changes to data
- recording of unauthorised or non-existent transactions, and
- access to particular applications can be restricted to particular terminals.

For example, the ability to affect an EFT transfer can be restricted to the terminal of the financial manager.

Note: While modern software concentrates on restricting access through personal user profiles, access can also be limited to certain terminals:

- access is restricted in terms of user profiles/access tables at both systems level and applications level

For example:

- at systems level, access to a particular application may be restricted to particular users
- at application level, access to specific program functions may be restricted to particular users on the “least privilege” basis, for example, sales order entry is limited to telesales operators.
- PC timeout facilities and automatic shutdown in the face of access violation will prevent continued attempts to access the system, as well as the threat of employees leaving their terminals unattended.

Note (a): Physical access to computer facilities in general and access controls at system level are covered under general controls. The above access controls relate to controls at the application level.

Note (b): Once a user or personal computer has been granted access to a particular application, the “least privilege” principle may be implemented in a number of ways to restrict such access to the minimum possible privileges necessary for proper performance of the duties concerned:

- Restrictions on access to a module or program function, for example masterfile amendments.
- Restrictions in terms of mode (type) of access, for example, read-only.
- Restrictions in terms of time of day (e.g. working hours – only as in a bank or telesales call centre – assist in ensuring access is supervised).
- Extent of access to data (e.g. allowing only restricted views of certain data so that sensitive data fields are hidden to users of lower privilege levels).

Note (c): Access at application level should be logged so that details of the activity carried out are recorded together with the user ID responsible for that activity (such logs can be selectively set so that only specific types of activity that have been identified as high risk are monitored). In other words, access to the configuration settings.

Summary: In effect a user:

- must *identify* himself to the system with a valid user ID
- must *authenticate* himself to the system with a valid password, and
- will only be given access to those programs and data files that he is *authorised* to have access to in terms of his user profile.

Once the user has logged onto the system, access is usually controlled by what appears or does not appear on the user’s screen.

For example, only modules of the application to which the user has access will appear on the screen, or, alternatively, all the modules will be listed but the ones the user has access to will be highlighted in some way, for example, a different colour. If the user selects (clicks on) a module to which he does not have access (this is determined by his user profile), nothing will happen and/or a message will appear on the screen saying something like “access denied”.

In another similar method of controlling access, the screen will not give the user the option to carry out a particular action – certain sales orders awaiting approval from the credit controller are listed on a suspense file. Although other users may have access to this file for information purposes, when they access the file their screens will not show an approve option, or the approve option will be shaded and will not react if the user clicks on it. Only the credit controller’s screen will have an approve option that can be activated.

9.3.3.7 Comparisons and reconciliation

A reconciliation is a comparison of two different sets of recorded information or of recorded information and a physical asset. In a manual system this is done by employees laboriously comparing the two sets of information to identify differences.

For example, an employee reconciles the net wages paid in wage period 2 to the net wages paid in wage period 1 to establish if, and why, they are different. This can take a long time as changes in the number of employees, pay rates and deductions could all contribute to the difference. In a computerised system this reconciliation can be completed accurately, comprehensively and in no time at all. Before authorising the payment of wages, the paymaster or accountant could review the reconciliation and tie it up to other sources of information – an amount in the reconciliation that relates to changes in pay rates could be checked against the original authority for the change.

Along with the ability for a good computerised system to produce any number of reports, including those that can be printed and used for physical comparisons, its ability to instantly compare any data on the system makes comparison and reconciliation a valuable and effective control activity.

9.3.3.8 Performance reviews

These control activities include, *inter alia*, reviews and analysis of actual performance versus budgets, forecasts and prior period performance as well as relating different sets of data to one another. In principle, performance reviews in manual systems and a computerised system do not differ. The huge advantage which a computerised system has is its ability to produce numerous useful reports, including comparisons, reconciliations and reasons for differences.

For example, provided the necessary data is in the database, sales can be extensively analysed, reports can be generated to show what quantities of products are selling, which specific models or colours or sizes are most popular or are not selling, what gross profit is being generated from each sale, the region in which the products were sold, etc. Debtors can be analysed in terms of what they buy, how much they spend, who returns goods for credit, why credit notes were issued, how long the debt has been outstanding, etc.

In modern systems, transactions can be tracked on screen through the system as they are carried out.

For example, orders from customers will start out listed on a sales order suspense file. When the time comes for the goods ordered to be picked, the sales order will be “coded/moved” to a picking slip suspense file, and once the goods have been picked (physically), the picking slip is “coded/moved” to the invoice file. All these files are on the system, which means that a manager can access the files at any time and establish the stage the original sales order has reached. This can be done remotely, so a manager in Port Elizabeth can find out and review the performance of dispatch staff at the warehouse in Johannesburg.

9.3.4 Control techniques and automated application controls

This section of the chapter is fairly long and detailed, so the following list of contents has been provided to help you find your way around it.

9.3.4.1 Batching

- (a) Batch entry, batch processing/update
- (b) On-line entry, batch processing/update
- (c) On-line entry, real time processing/input

9.3.4.2 Screen aids and related features

9.3.4.3 Program controls – input and processing

- (a) Program checks – input
- (b) Program checks – processing

9.3.4.4 Output controls

9.3.4.5 Logs and reports

9.3.4.1 Batching

Batching is a technique that assists in controlling an activity which will be carried out on a batch of transactions with the intention of making sure that all transactions in the batch were subjected to the activity, that the activity was carried out accurately and that no invalid transactions were added to the batch. Batching can be manual (user) or automated, or a combination of both.

In the context of accounting systems, batching can be used at the input stage, processing stage or output stage. However, modern accounting software is designed around real-time input and processing in terms of which individual transactions are captured and processed almost instantaneously (real time). As up-to-date information is required, it is no longer a case of accumulating the day's sales invoices, entering them onto the system at 4pm where they are stored on the system, and then processing them over the weekend. If the company does this, the debtors masterfile, the inventory masterfile and other related information will be out of date by a week and will not be much use to users of that information. For example, checking an order from a customer against the customer's credit limit cannot be done effectively because that customer's balance owing may be understated because credit sales made to him during the week, are not reflected.

However, batching does still have a place, for example, in a wage system, where up-to-date information is only needed at, say, two weekly intervals. The daily hours worked by each employee will be accumulated and then entered individually as items in a batch and processed in a batch. The batch could be designed as a convenient numerical number or by some other means, for example, employees in a cost centre. Batches are processed in order. The following description of batching illustrates the principle of batching at the input stage.

- Source documents are grouped into separate batches, for example, 50, and the following *control totals* are manually computed:
 - **financial totals:** totals of any fields holding monetary amounts
 - **hash totals:** totals of any numeric fields, for example, invoice number (meaningless other than as a control total)
 - **record counts:** totals of the number of records (documents) in the batch, for example, 50.

- A batch control sheet should be prepared and attached to each batch. The batch control sheet should contain:
 - a unique batch number, for example, batch 3 of 6, week ending 31/7/24
 - control totals for the batch
 - identification of transaction type, for example, invoices
 - spaces for signatures of all people who deal with the batch, for example, prepared by: . . . , checked by . . . , reviewed by. . .
- A batch register should be used to record physical movement of batches; the register should be signed by the recipient of the batch after checking what is being signed for, . . . transfer batches of clock cards to the payroll department.
- The batch control system works as follows:
 - The details of the batch (e.g. batch description and control totals) are keyed into the computer to create a batch header label.
 - Information off each record in the batch is keyed in and subjected to relevant automated validation checks. . . valid account number, limit check.
 - When all records have been entered, the computer calculates its own control totals based on what has been keyed in and compares these totals to the manually computed totals input earlier to create the header label (off the batch control sheet).
 - If the totals agree and no other type of error was detected, the batch is accepted for processing.
 - If not, the batch is rejected and sent for correction.
 - Once the control totals have been “attached” to a batch, they can follow the batch throughout the process, for example, if there are 50 clock cards in a batch, the computer will record whether 50 were *keyed in*, 50 were *processed* and *output* for 50 was created.

Note (a): Batching assists with the following:

- identifying data transcription errors (e.g. incorrect values keyed in due to transposition errors)
- detection of data captured into incorrect field locations, and
- detection of invalid (e.g. duplicate) or omitted transactions or records for a batch, for example, if a clock card is entered (keyed in) twice, the control totals will not balance.

The following summary should clarify batching in the context of transactions flowing through the system. Remember that the control hinges around creating totals “before”, and “after”, and then comparing these to each other.

(a) Batch entry, batch processing/update

- Initially transaction data is captured onto manually prepared source documents, for example, sales invoices.
- These source documents are then collected into batches usually after manual checks have been performed and entered via the keyboard with control totals in these batches. Relevant program checks take place as the information is keyed in. The transaction information is converted into machine readable form and held on a transactions file on the computer system.
- These transactions are then processed as a batch when it is efficient/convenient to do so and the relevant masterfiles are updated to reflect the effect of the entire batch on affected masterfile balances. Control totals before and after processing are compared.
- Not common, particularly as it is slow and information is not up to date.

(b) On-line entry, batch processing/update (also referred to as an on-line entry with delayed processing)

- Transaction data is entered via a keyboard immediately as each transaction occurs. For example, a sales order is placed by telephone and the operator keys in the details as the conversation with the customer takes place. Relevant program checks take place as information is keyed in (for simplicity sake, assume an invoice is created immediately and not only after goods have been dispatched).
- The transaction information is converted into machine readable form as each transaction occurs and is held on a transactions file on the computer system.
- Control totals are created by the computer on the batch for the transaction file.

- The transactions are then processed as a batch and the relevant masterfiles are updated to reflect the effect of each transaction in the batch on affected masterfile balances, for example, they could be processed at the end of each day (daily batch update).
- Entry of the transaction is efficient, but information is not immediately up to date. The longer the period that the batch of transactions is not processed, the less up to date the information will be.

(c) On-line entry, real-time processing/update

- Transaction data is entered via a keyboard, immediately as each transaction occurs. Relevant program checks take place as information is keyed in.
- The relevant masterfiles are also updated immediately to reflect the effect of each individual transaction on affected masterfile balances. For example, a seat booked on an aircraft will instantly update the “seats available masterfile”, which is really an inventory masterfile for that particular flight. This could not be done in batch mode as the same seat could be booked numerous times before the masterfile is updated.
- Entry of the transaction is efficient (access controls are very important) and information is right up to date.

9.3.4.2 Screen aids and related features

Screen aids have been classified as all the features, procedures or controls that are built into the application software and reflected on the screen to assist a user to capture information accurately and completely, and to link the user’s access privileges to the screen in front of him.

For example, if an employee does not have the power (privilege) to approve an on-screen document, there may be no “approve” option for the document appearing on the screen. The employee may only have a send option. Alternatively, the “approve” option may be on the screen but may be shaded and will simply not react if the user “clicks” on it.

- **Minimum keying in of information:** The principle is that the less information that has to be keyed in, the less errors are likely to occur and the less time it takes.

For example:

- In a telesales system, the customer should be required to give only his account number or name, which, when keyed in, will automatically retrieve all other standing details, provided the account number is valid. It thus makes it unnecessary for the person taking the order to key in name, delivery address, etc.
- Techniques, such as “drop-down” lists that simply require the user to “select and click” the option they require from the options provided on the drop-down list should be used.

- The screen should be formatted in terms of what hardcopy would look like.

For example:

- When entering an order from a customer, the screen should look like the sales order, and should have easily recognisable fields into which data is entered, such as a box with the letters QTY (quantity) above it.
- Where possible, the number of little boxes within a field box should reflect the number of digits required for that field, for example, a person’s identity number has 13 digits, so the identity field should consist of 13 little boxes. The *screen should be formatted* to receive essential data in the order in which it is required, for example, the debtors account number is at the top.
- Extensive use of **screen dialogue and prompts**. These are messages sent to the user to guide him, for example, a prompt may appear on the screen reminding the user to confirm and re-enter a field.
- **Mandatory fields:** Keying in will not continue until a particular field or all fields have been entered. Such fields may be highlighted in red or identified by a star, or there may even be a prompt if the user misses that field and moves on to the next field.
- **Shading of fields**, which will not react if “clicked on”, for example, if an on-screen sales order may have the customer’s account number and details shaded, the user completing the sales order will not be able to change these fields.

9.3.4.3 Program controls – input and processing

Program checks are controls built into the application software, with the intention of validating/editing information/data which is entered or processed. Validation can take place at the input and/or processing stages.

Vast quantities of transactions can be subjected to a range of programmed controls to consistently produce reliable information. Errors are reduced and information is provided timeously, *but* remember that a computer does what it is programmed to do, so although input controls may be very good, an error in (processing) programming can undo these benefits and the error will be processed over and over again. Program checks are many and varied. The list below provides a number of common program checks, sufficient to illustrate the kinds of controls that can be implemented. The list is not exhaustive. Some checks are very similar to others and the same check is often given a different name by software providers and users. Not all program checks are relevant to all applications by any means. As an auditor, you need a general understanding of what the program check does, regardless of its name, so that you can recognise the different checks when you are working at different clients. Also remember that program checks do slow things down and take up computer resources.

(a) Program checks – Input

- **Existence/validity checks**

- **Validation tests** validate data keyed in against the masterfile.

For example:

A customer's account number will be verified against the debtors masterfile.

- **Matching tests** are described in different ways, but, essentially they amount to input being matched against data that is already in the database. Checking input information against data on a masterfile is a form of matching.

For example:

Matching a biometric characteristic of an employee (thumbprint) against the employee masterfile.

The computer may also match the details of an invoice received from a supplier to the corresponding GRN held in a suspense file on the system.

- **Data approval/authorisation tests** confirm input against a predetermined condition.

For example:

To make a sale on credit, a liquor store requires that a customer's identity number be entered on a computer-generated invoice. If the customer is under 18, (which the identity number will indicate) a sales invoice cannot be generated. (The sale is not authorised.)

The credit limit on a debtor's account can only be 30 or 60 days. An attempt to enter 120 days in the credit terms field would not be approved.

- **Reasonableness and limit checks**

- **Limit checks** detect when a field entered does not satisfy a limit that has been set.

For example:

The normal hours worked by an employee in a week cannot be entered at a quantity greater than 40 hours.

- **Reasonableness checks:** For the data being entered to be accepted, it must fall within reasonable limits when compared to other data.

For example:

If a normal order from a customer for an inventory item is 100 units, and a clerk enters 1 000, the screen will display a message querying the entry of 1 000, although there is no limit on the quantity ordered. (The computer does an "instant" check on the quantity that the client normally orders.)

Of course, this type of check takes processing resources, so will only be used if there is a real benefit.

- **Dependency checks**

An entry in a field will only be accepted depending on what has been entered in another field.

For example:

The acceptability of entering a credit limit of R100 000 on a debtors account will depend on the status allocated to the debtor. If the debtor's credit status rating is A+ (very good), the credit limit of R100 000 will be acceptable. If the status is only B+, the credit limit will not be acceptable.

- **Format checks**

- **Alpha-numeric checks** prevent/detect numeric fields that have been entered as alphabetic, and vice versa, for example, when entering an employee's identity number, all digits must be numeric.
- **Size checks** detect when the field does not conform to pre-set size limits, for example, an identity number entered must have 13 digits.
- **Mandatory field/missing data checks** detect blanks where none should exist; if a quantity is not entered in a quantity field on an internal sales order, data capture cannot continue. (This is also discussed under screen aids.)
- **Valid character and sign check.** The letters, digits or signs entered in a field are checked against valid characters or signs for that field, for example, a minus sign (–) could not be entered in a quantity order field.

- **Check digits**

A check digit is a redundant (extra) character added to an account number, part number, etc.

For example:

The character is generated by manipulating the other numerical characters in the account number. When the account number is keyed in, the computer performs the same manipulation on the numerical characters in the account number and if it has been entered (keyed in) correctly, the computer will come up with the same check digit which was added to the account number originally. If it does not match, the computer sends a screen message to inform the operator that the account number has been incorrectly entered.

Check digits use up processing resources and therefore are limited to critical fields. They *cannot* be used on financial fields.

- **Sequence checks**

Detect gaps or duplications in a sequence of numbers as they are entered.

For example:

If numbered masterfile amendment forms are being keyed in, a sequence check will alert the user if there is a gap or duplication in the numerical series.

Note: The controls which follow are not program controls, but where information is entered off a source document, the source document should be:

- pre-printed, in a format which leaves the minimum amount of information to be filled in manually
- pre-numbered– sequencing facilitates identification of any missing documents
- designed in a manner that is logical and simple to complete and subsequently enter into the computer, for example, key pieces of information should have a prominent position on the document
- designed to contain blank blocks or grids that can be used for authorising or approving the document.

Unused source documents should be kept under lock and key by an independent person and a register of receipt and issue of the document should be kept. If the source document is freely available, it is easier to create fraudulent transactions.

(b) Program checks – Processing

Processing controls assist in ensuring that data is processed accurately and completely. Processing is a combination of elements in the system.

For example:

Masterfiles, transaction information that has been input, programs and the hardware itself are all elements that must be controlled if only authorised transactions, which have actually occurred, are to be processed accurately and completely. The user cannot “see” processing taking place, but the computer will be programmed to carry out checks on itself and “report” to the user on what it has done. The user can then satisfy himself that processing occurred accurately and completely.

Processing will not normally stop if an error is discovered. The error will be written to an exception report.

- **Program edit checks**

The computer may carry out any of the following examples of edit checks:

- **Sequence test** of documents processed is inspected for gaps.
For example, after processing credit notes, the computer may identify missing credit note numbers.
- **Arithmetic accuracy test.**
For example, reverse multiplication (multiplication is repeated but in reverse and answers matched $3 \times 6 = 18$; $18 \div 6 = 3$).
- **Reasonableness/consistency/range tests** are performed after processing of a transaction has taken place, and the result is compared by the computer itself to other information for reasonableness.
For example, a wage of R5 000 is not reasonable for a grade 3 employee or compared to his prior wage period's earnings.
- **Limit test** identifies amounts that fall outside a predetermined limit after processing.
For example, credit sales to a customer have pushed the debtor's balance owing beyond the customer's credit limit.
- **Accuracy test** is where amounts are allocated to columns and the columns are independently cast (added up). The totals of the columns can be cross cast (added across) and compared to the total amount allocated.
For example, net pay + PAYE + medical aid deduction = gross pay.
- **Matching** in the context of processing is about comparing data that has been processed against data that is already in the database.
For example, a matching control may match clock cards processed with the employee masterfile to identify employees for whom there was no clock card information. The reason there is no clock card may be perfectly valid (perhaps the employee was on holiday for the week) but it could also be a processing error.

- **Program reconciliation checks**

The computer will also carry out reconciliations of control and other totals in some or other form, based on the principle that if pre-processing totals and post-processing totals can be reconciled, one can be more confident that processing was valid, accurate and complete.

- **Control totals**
For example, record counts, and hash totals from input are compared to record count and hash totals after processing.
- **Run-to-run totals** – a final balance after processing is compared to the opening balance and individual totals of transactions.
For example, the closing balance on debtors (31 May) is compared to the opening balance on debtors (30 April) plus the total of May sales (debits) less the total of May receipts (credits).
Note: Reliable and correct processing would be affected if the wrong data files and program files were used for processing. This occurrence should be prevented by the library software and database management system, and is well beyond the scope of this text.

Note: The reliability of the hardware itself will also play an important part in processing. Modern computer equipment is very reliable, and the hardware will have its own range of hardware controls, such as the following:

- **Valid operation code:** The processor checks if the instruction it is executing is one of a valid set of instructions.
For example, bank reconciliations.
- **Echo test:**
For example, the processor sends an activation signal to an input/output device. That device returns a signal showing it was activated. Echo tests can also be used to detect corruption of messages in transit by bouncing the signal back from the recipient of the message to the sender, so that the sender can compare it against the original message for any errors that may have occurred during transmission.
Evaluating hardware is the domain of the expert, not the general auditor, and will be considered when conducting risk assessment procedures.
Note: Interruptions in processing that could lead to errors in processing will be logged on activity reports and followed up by operations staff.

9.3.4.4 Output controls

The objective of output controls is to confirm that output (which is the product of processing) is accurate and complete and that its distribution is strictly controlled, for example, that confidential output does not go to the wrong individuals. Output does not have to be in hardcopy, it can be on screen. The accuracy and completeness output controls will be strongly aligned with processing controls, because, if processing has proved to be accurate and complete, the data, which is turned into reports for users, is far more likely to be accurate and complete.

- ***Controls over distribution will include preventive controls such as:***

- Clear report identification:
 - name of report
 - time and production number of report (this prevents confusion if the report is run more than once)
 - processing period covered (assists in carrying out checks against input data), and
 - sequenced pages and “end of report” messages (prevents undetected removal of pages).
- A distribution matrix of who is to receive which output and when. This should align with the user profiles and access privileges of employees so that individuals who do not need access to the reports, etc., cannot access them on the system.
- If output is on hardcopy, printed at a certain point and distributed to users, its movement should be controlled by the distribution list (who gets what and when), and an entry should be made in a register which is signed by the authorised recipient on receipt of the output.
- Output that is confidential should be designed to promote confidentiality, for example, salary slips in sealed envelopes.
- Confidential information emailed to employees (such as payslips again) should stipulate “confidential” in the email.
- Output that is printed, especially more sensitive information, should be printed only in the departments that require the output, and, if it is confidential, under the supervision of authorised personnel.
- Output which is not required should be shredded – it should not just be left about or thrown away as a complete document.

- ***User controls will include (all detective controls):***

- review of output for completeness
 - For example, numerical sequence check, and
- reconciliation of input to output
 - For example, the foreman of each cost centre reconciles overtime worked with his factory overtime records.
- review of output for reasonableness
 - For example, the financial manager reviews period-to-period wage reconciliations (the payroll manager will conduct detailed tests on the period-to-period wage reconciliation produced by the system).
- review and follow up of any exception reports produced during processing
 - For example, individual wage payments that failed the “reasonableness test” during processing to understand and remediate the exception.

9.3.4.5 Logs and reports

Logs and reports do not have to be printed (but often are). They can be accessed on screen. Access can be restricted to read only and should be for all logs of computer activity which form part of the audit trail.

The types of logs and reports that may be produced by a computer are virtually unlimited. These may be used as detective or monitoring controls to provide additional assurance that computer processing is valid, accurate and complete, and that computer usage is authorised and productive. It is important to be selective about the use of logs and reports as they can affect computer performance (slower processing and use of storage space). They also require review and follow up, so unless personnel are allocated to do so, the logs and reports themselves are worthless. Types of logs and reports used may include:

- **audit trails**, that provide listings of transactions and summaries and lists of tables or factors used in processing.
For example, all changes made to purchase orders, by whom, and with the date and time.
- **run-to-run balancing reports**, that provide evidence that the opening balances that have been updated by a series of transactions have resulted in correctly calculated closing balances.
For example, sub-ledger to ledger reconciliations.
- **override reports**, that provide a record of computer controls that have been overridden by employees using supervisory or management privileges. Abuse of such privileges is a threat to the objective of validity.
For example, an unauthorised change to the client masterfile documenting credit limits.
- **exception reports**, that provide a summary listing of any activities, conditions or transactions that fall outside of parameters that have been set for control purposes.
For example, employees whose remuneration for the wage period falls outside the reasonableness parameters set for employees of that grade.
- **activity reports**, that provide a record for a particular resource, of all activity concerning that resource.
For example, names of users, usage times and duration of usage.
- **access/access violation reports**, which are particularly important in relation to sensitive applications.
For example, EFT and payroll reports that both hold sensitive and private information.

These are categories of reports. Hundreds of different reports falling into these categories may be produced in a reasonably sized business.

9.3.5 Masterfile amendments (masterfile maintenance)

In a computerised financial accounting system, the masterfile contains very important data, which, if not protected from *unauthorised* change, can have very negative results for the company.

For example:

Unauthorised increases to employees' pay rates in the employee masterfile, or to debtors' credit limits in the debtors masterfile or the addition of an unapproved supplier to the creditors masterfile could all result in losses to the company at a later stage. If the quantity field in the inventory masterfile is not protected from unauthorised amendment, a theft of inventory could be covered up by reducing the quantity field in the inventory masterfile.

Therefore, automated application controls over masterfile amendments are very important. The objective will be that:

- only valid (authorised) amendments are made to masterfiles
- the details of the amendment are captured and processed accurately and completely
- only authorised individuals will have access to the masterfile data, and
- all masterfile amendments are captured and processed.

The controls are based on the principles discussed in this chapter and will be a combination of a user and program controls, and will include both preventive and detective controls (and correction controls when applicable). As usual, the focus will be on preventive controls.

An example of the controls over a debtors masterfile amendments follows:

Procedure	Application controls and related comments
1. Record all masterfile amendments on a source document.	1.1 <i>All</i> amendments to be recorded on hardcopy masterfile amendment forms (MAFs) (no verbal instructions). 1.2 MAFs to be pre-printed, sequenced and designed in terms of sound document design principles.
2. Authorise MAF.	2.1 The MAFs should be • signed by two reasonably senior debtors section personnel, for example, credit controller and senior assistant after they have agreed on the details of the amendment to the supporting documentation, for example, the approved credit application document for the addition of a new customer • cross-referenced to the supporting documentation.

continued

Procedure	Application controls and related comments
3. Enter only authorized masterfile amendments onto the system accurately and completely.	3.1 Restrict write access to a specific member of the debtors section by the use of user ID and passwords. 3.2 All masterfile amendments should be automatically logged by the computer on <i>sequenced</i> logs and there should be <i>no write access</i> to the logs (this allows subsequent checking of the MAFs entered for authority). 3.3 To enhance the accuracy and completeness of the keying in of masterfile amendments and to <i>detect invalid conditions</i>, screen aids and program checks will be implemented. <i>Screen aids and related features:</i> • minimum keying in of information, for example, when amending existing debtor records, the user will only key in the debtors account number to bring up all the details of the debtor • screen formatting, that is, the screen looks like MAF, screen dialogue • new debtors account number automatically generated by the system. <i>Program checks:</i> • verification/matching checks to validate a debtor account number against the debtors masterfile (invalid account number, no amendment) • alpha numeric checks • range and/or limit/data approval checks on terms and credit limit field, for example, credit limit must be between R5 000 and R75 000 (range) or cannot exceed R75 000 (limit), and terms can only be 30 days or 60 days (data approval) • field size check and mandatory/missing data checks, for example, credit limit and terms must be entered when adding a new debtor • sequence check on MAFs entered • dependency check, for example, the credit limit granted may depend upon the credit terms granted, for example, a debtor granted payment, terms of 90 days, may only be granted a credit up to a limit of R2 000 (a relatively low amount).
4. Review masterfile amendments to confirm they occurred, were authorised and were accurately and completely processed.	4.1 The logs should be reviewed regularly by a senior staff member, for example, financial manager. 4.2 The sequence of the logs themselves should be checked (for any missing logs). 4.3 Each logged amendment should be checked to confirm that it is supported by a properly authorised MAF. 4.4 That the detail, for example, debtor account number, amounts, etc., are correct. 4.5 The MAFs themselves should be sequence checked against the log to confirm that all MAFs were entered.

Note (a): Modern accounting packages do not allow *balances* in a masterfile to be adjusted other than through a subroutine (sub-journal), for example, it is not usually possible to go into the masterfile via the masterfile amendment module and reduce or delete a debtor's balance. This would have to be done through a transaction file, for example, credit notes, journal entries or receipts.

Note (b): Unused MAFs and other important supporting documentation should be subject to stationery controls as it is more difficult to create an invalid masterfile amendment without the source document.

Note (c): A masterfile amendment should be carefully checked in all respects before it is authorised, for example, the validity of credit terms and limits to be entered, so there should not be too many errors or invalid conditions having to be identified by the program controls. Each company will decide for itself the extent of program controls they wish to implement.

9.4 Automated application controls audit procedures

Automated application controls apply to the processing of individual applications. They are “automated” or “automated with manual procedures” that operate at a business process level. They are either preventative or detective controls and designed to confirm integrity of the accounting records. Automated controls are controls designed to confirm completeness, accuracy and validity of processed transactions with a financial impact.

For example:

System configuration/account mapping, input validity tests, reasonability tests, exception or edit reports, interface and conversion controls and system access.

A good example of an automated control in practice is a pricing masterfile (where access and change controls over the masterfile exist) and where the financial system auto-generates invoices, using the prices listed in the pricing masterfile.

Strong controls within key applications confirm reliability of data as well as information used in management decisions. The audit process is as follows:

- understand the business requirements and strategic fit of applications
- understand the overall application landscape and integration between applications
- understand the business processes related to each application inclusive of the interfaces
- identification of critical business processes
- identification of general application risks
- identification of the risks associated with the key business processes categorising the risks as input, processing and output components, and
- identification of key controls within each application addressing the risks identified inclusive of interfaces.

Depending upon the audit approach adopted (substantive or control based), the approach for automated application control tests may vary.

For example:

Should the IT general controls environment have limited findings and the control environment is considered effective, automated controls may be tested.

If the IT general controls environment is considered ineffective, the auditor may still rely on automated controls but will need to test the access and change management around the automated application controls embedded in the application.

The auditor should report on shortcomings identified in the existing processes as well as weaknesses identified during the review with recommendations to improve. Automated controls may be considered to test significant accounts rather than opting for detailed substantive tests. It is imperative to equip the auditor with the skill to identify and test automated controls and reduce the reliance on manual controls or substantive procedures. It is also important for the auditor to understand the importance of application controls and the impact of control failures on both the business and the audit.

The following automated controls may be considered per significant account:

- Determine which are key input controls and processing controls in the system.
- Review access to the automated control for the period under review.
- Review changes to the automated control for the period under review.
- Perform a walkthrough of the automated application control (a sample of one can be selected).
- Assess the types of exception reports that are available and its value to those in oversight roles.
- Determine whether there is manual oversight over the automated application control.

9.4.1 Inventory

Inventory formulae

- Determine the cost formulae and whether the rules have been configured in the application.
- Determine whether the inventory formulae/rules align with the policy.
- Determine who has access to the inventory formulae configuration in the application and whether the access is limited to authorised personnel only.

- Question whether changes have been made to the inventory formulae/rules in the application during the period under review.
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether the inventory formulae/rules are accurate.

Master data

- Determine who has access to the inventory masterfile/cost price and whether the access is limited to authorised personnel only.
- Ascertain whether changes have been made to the masterfile in the application during the period under review, and review if the changes have been approved/authorised.
- Question whether changes have been authorised in the application.
- Perform a comparison test to compare inventory prices year on year and review significant discrepancies.

Inventory aging

- Stratify the age analysis through analytics.
- Review the inventory age analysis for inconsistencies and aged inventory.

Inventory impairment

- Perform analysis of inventory listing and determine inventory that should be classified as “obsolete” or slow moving.
- Assess whether the application has been configured to perform inventory impairment.
- Determine whether the inventory impairment rules align with the policy.
- Determine who has access to the inventory impairment configuration in the application and whether the access is limited to authorised personnel only.
- Scrutinise the write-off report to determine whether inventory was written off by authorised individuals and whether there are inconsistencies with the write-offs.
- Have changes been made to the configured impairment rules in the application during the period under review?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether impairment rules are in actual fact working.

Impaired inventory

- Determine what the inventory write-off process is. Is there a possibility that the inventory can be written off and sold for own profit?

Journals

- Determine who has authorisation to process journals relating to inventory within the application.

Foreign inventory

- Foreign/imported inventory has been captured at the correct forex rate, at spot on the first day the recognition should have occurred.
- Determine whether the application has been configured to receive daily currency exchange rates that would have been applied to imported inventory.
- Who has access to change the currency exchange rate configuration in the application?
- Question whether any changes have been made to the configuration during the period under review.
- Perform a walkthrough of one inventory item to determine whether the forex calculation is accurate.

Other tests

- Determine whether the client has configured the transaction trail accurately within the application.
- Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

9.4.2 Debtors

Debtors age analysis

- Test whether the debtors aging that is documented in the policy aligns with the aging in the system.
- Ascertain whether changes have been made to the debtors age analysis in the application during the period under review and review if the changes have been approved/authorised.
- Question whether changes have been authorised in the application.
- Determine whether the aging has remained static during the course of the year and the audit trail does not depict any changes to the application.
- Determine who has access to the debtors age analysis configuration in the application and whether the access is limited to authorised personnel only.
- Perform a walkthrough of one to determine whether the aging is accurate.

Debtors' limit configurations

- Assess whether the system has been configured for debtors' limits.
- Determine whether the debtors' limits align with the policy.
- Determine who has access to the debtors' limit rules configuration in the application and whether the access is limited to authorised personnel only.
- Have changes been made to the debtors' limits embedded in the system during the period under review?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether the limits are accurate.

Debtors' impairment

- Assess whether the application has been configured to perform debtors' impairment.
- Determine whether the debtors' impairment rules align with the policy.
- Determine who has access to the debtors' impairment configuration in the application and whether the access is limited to authorised personnel only.
- Ascertain whether changes have been made to the impairment configuration in the application during the period under review, and review if the changes have been approved/authorised.
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether impairment rules are accurate.

Interest

- Determine whether the application calculates interest on long overdue debtors.
- Determine whether the debtors' interest aligns with the policy and terms and conditions.
- Determine who has access to the debtors' interest configuration in the application and whether the access is limited to authorised personnel only.
- Have changes been made to the interest raised on long overdue debtors configured in the application during the period under review?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether impairment rules are accurate.

Discounts

- Determine whether the application calculates discounts for early payment or for specific debtors.
- Determine whether the discount rules align with the policy and terms and conditions.
- Determine who has access to the debtors' discount configuration in the application and whether the access is limited to authorised personnel only.
- Question whether changes have been made to the debtors' discounts on long overdue debtors configured in the application during the period under review.
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether the discount rules are in actual fact working.

Journals

- Determine who has authorisation to process journals relating to debtors within the application.

Other tests

- Perform analytical analysis on the register to determine large outstanding numbers, debtors that are also creditors and to determine whether there are any trends.
- Stratify the age analysis through analytics.
- Determine whether the client has configured the transaction trail accurately within the application.

9.4.3 Revenue**Invoice prices vs masterfile prices**

- Perform analytics on the revenue data to determine whether prices charged on the invoices align with the price on the masterfile. Review significant discrepancies.

VAT

- Confirm that the VAT was correctly configured within the application.
- Determine who has access to the VAT configuration in the application and whether the access is limited to authorised personnel only.
- Question whether changes have been made to the VAT configured in the application during the period under review.
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one determine whether the calculation is accurate.

Credit notes

- Determine who had the rights to authorise credit notes during the period under review.
- Determine who has access to the credit notes configuration in the application and whether the access is limited to authorised personnel only.
- Have changes been made to authorisation levels configured in the application during the period under review?
- Question whether changes have been authorised in the application.

Credit note trend

- Obtain a list of approved credit notes for the period under review and through analytics assess whether there is a trend, in other words, who processed the credit notes, whether there are specific clients that have recurring credit notes, amounts aligned to original invoice, bank details align to customer data, etc.
- Determine whether the client has edit and validation checks in the application when processing a credit note.

Link to debtors ledger

- Determine whether the client has configured an audit trail to link sales to the debtors ledger.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

Link to cash sales

- Determine whether the client has configured an audit trail to link cash sales.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

Master data

- Determine who has access to the masterfile price list and whether the access is limited to authorised personnel only.
- Question whether changes have been made to the masterfile in the application during the period under review.
- Question whether changes have been authorised in the application.
- Through analytics, perform a comparison of prices year on year.
- Assess client master data and determine whether all clients have an indicator for payment terms – either “IMMEDIATE”/”CASH SALE”/”COD” or “DEBTOR”/”CREDIT SALES”.

Other tests

- Determine whether the client has configured the transaction trail accurately within the application.
- Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

9.4.4 Fixed assets**Depreciation**

- Test whether the depreciation rates documented in the policy align with the depreciation rates configured in the system.
- Question whether changes have been made to the fixed asset register configuration settings embedded in the system during the period under review.
- Question whether changes have been authorised in the application.
- Determine whether depreciation rates have remained static during the year and the audit trail does not depict any changes to the application.
- Determine whether access to the fixed asset register configuration settings in the system is limited and only authorised personnel have access.
- Perform a walkthrough of one of each asset class/category to determine whether the calculation is accurate.

Componentisation

- Assess whether the system has been configured for componentisation rules for assets.
- Determine whether access to the componentisation rules configuration settings in the system is limited and only authorised personnel have access.
- Question whether changes have been made to the componentisation rules embedded in the system during the period under review.
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether the calculation is accurate.

Disposals of assets

- Ascertain who had access to dispose of assets during the period under review.
- Ascertain whether there are specific criteria configured in the system to dispose of assets.
- Determine whether the disposal of asset calculation has been configured correctly in the system and includes the data trails to the capital gains calculation should profit be made.
- Perform a walkthrough of one to determine whether the calculation is accurate.

Authorisation for purchase of assets

- Ascertain who had access to add new assets during the period under review.
- Ascertain whether there are specific criteria configured in the system to add assets.
- Determine whether the depreciation of new assets have been calculated correctly if purchased during the period.
- Perform a walkthrough of one to determine whether the calculation is accurate.

Impairment

- Ascertain who has access to write off or impair assets.
- Ascertain whether there are specific criteria configured in the system to impair assets at a certain point.

Impaired assets

- Determine what the asset impairment process is. Is there is a possibility that the assets can be written off and sold for own profit.

Journals

- Determine who has authorisation to process journals relating to asset entries within the application.

Capital gains

- Is the capital gains tax configuration correct in the system?
- Access to the capital gains tax configuration settings in the system is limited and only authorised personnel have access.
- Question whether changes have been made to the capital gains configuration settings embedded in the system during the period under review.
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether the calculation is accurate.

Wear-and-tear allowances

- Are the wear-and-tear allowance configurations correct in the application?
- Access to the wear-and-tear tax configuration settings in the system is limited and only authorised personnel have access.
- Have changes been made to the wear and tear configuration settings embedded in the application during the period under review?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one of each asset class/category to determine whether the calculation is accurate.

Foreign exchange

- Foreign/imported assets have been captured at the correct forex rate at spot on the first day the recognition should have occurred.
- Determine whether the application has been configured to receive daily currency exchange rates which would have been applied to imported assets.
- Who has access to change the currency exchange rate configuration in the application?
- Have any changes been made to the configuration during the period under review?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one asset to determine whether the forex calculation is accurate.

Other tests

- Determine whether the client has configured the transaction trail accurately within the application. Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

9.4.5 Tax

- Determine whether the tax rules align with national tax laws.
- Determine who has access to the tax configuration settings in the application and whether the access is limited to authorised personnel only.
- Have changes been made to the tax configurations configured in the application during the period under review (technically changes should only occur annually – also review whether the changes were made timeously)?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether the tax rules are accurate.
- Review whether settings have been enabled to overwrite tax calculations.

Other tests

- Determine whether the client has configured the transaction trail accurately within the application.
- Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

9.4.6 VAT

- Determine whether the VAT rules align with national tax laws.
- Determine who has access to the VAT configuration settings in the application and whether the access is limited to authorised personnel only.
- Have changes been made to the VAT configurations configured in the application during the period under review?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to determine whether the VAT rules are accurate.
- Review whether settings have been enabled to overwrite VAT calculations.

Other tests

- Determine whether the client has configured the transaction trail accurately within the application.
- Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

9.4.7 Payroll

Payroll applications

- Determine whether the payroll function is performed on the same financial application where all other financial functions are performed.
- If payroll is completed on a different application, interface management controls need to be reviewed to confirm that the payroll data is transferred completely and accurately and not intercepted when transferred.
- Review exception reports to determine whether the data interfaces are reported upon and reviewed. In addition, determine whether exception reports are followed up and remediated.

Payroll calculations

- Determine whether the application has been configured accurately for statutory deductions.
- Perform a walkthrough of one to determine whether the payroll calculation is accurate.
- Determine who has access to change the employee tax rules configured in the application.
- Have any changes been made to the configuration during the period under review (technically changes to the configuration should only occur annually, review whether the changes were made timeously)?
- Question whether changes have been authorised in the application.

New and terminated employees

- Determine who had access to add a new employee and terminate employees that have resigned during the period under review.
- Obtain a report for all new employees during the year to inspect.
- Obtain a report for all terminated employees during the year to inspect.

Time-capturing system

- If the company operates on a time-captured system and employees are paid accordingly, determine the interfaces with the time management application, and the payroll application and related exception reports that are produced.
- Review exception reports to determine whether the data interfaces are reported upon and reviewed. In addition, determine whether exception reports are followed up and remediated.
- Determine who has access to the time-capturing application configurations.
- Have any changes been made to the configuration during the period under review?
- Question whether changes have been authorised in the application.
- Are validity checks built into the time application system to test limits, namely, maximum hours of work per week, overtime permitted, public holidays, etc.?

Pay rate

- Determine who has access to change rates within the application or make changes on the master file.
- Have any changes been made to the configuration during the period under review?
- Question whether changes have been authorised in the application.
- Determine whether these rate changes were approved by the authorised individual.

Other tests

- Determine whether the system has been configured to perform an edit check when a duplicate bank account is entered; alternatively, perform analytics to test for duplicate bank account details.
- Determine whether the client has configured the transaction trail accurately within the application.
- Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

9.4.8 Intercompany**Foreign exchange**

- Determine whether foreign/imported transactions have been captured at the correct forex rate.
- Determine whether the application has been configured to receive daily currency exchange rates which would have been applied to forex transactions, namely, Reuters rates.
- Determine who has access to change the currency exchange rate configuration in the application.
- Have any changes been made to the configuration during the period under review?
- Question whether changes have been authorised in the application.

Intercompany journals

- Determine who has authorisation to process journals relating to intercompany transactions within the application.

Other tests

- Determine whether the client has configured the transaction trail accurately within the application.
- Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

9.4.9 Creditors**Purchasing approval levels**

- Determine whether the application has been configured to incorporate specific approval limits and different authorisation levels when purchasing.
- Determine who has access to change the limits within the application.
- Have any changes been made to the limit configuration during the period under review?
- Question whether changes have been authorised in the application.

Unmatched invoices

- Determine whether the application has been configured to match invoices to purchase orders when purchasing.
- Determine who has access to change the configuration within the application.
- Have any changes been made to the configuration during the period under review?
- Question whether changes have been authorised in the application.
- Review report for unmatched purchase orders for trends and inconsistencies.

Creditors masterfile

- Determine who has access to change the vendor masterfile within the application.
- Have any changes been made to the vendor masterfile during the period under review?

- Question whether changes have been authorised in the application.
- Perform a walkthrough of one to assess the authorisation process of adding a new vendor.

Exchange rate

- Determine whether the application has been configured to calculate foreign purchases at spot.
- Determine whether foreign/imported transactions have been captured at the correct forex rate.
- Determine whether the application has been configured to receive daily currency exchange rates which would have been applied forex transactions, namely, Reuters rates.
- Determine who has access to change the currency exchange rate configuration in the application.
- Have any changes been made to the configuration during the period under review?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one transaction to determine whether the forex calculation is accurate.

Preventing duplicate vendors by comparing VAT and bank account number

- Determine whether the application has been configured to only enter a vendor once off and that a validity check is performed when a new vendor is captured to identify a duplicate VAT and or bank account number.

Journals

- Determine who has authorisation to process journals relating to creditors within the application.

Other tests

- Determine whether the client has configured the transaction trail accurately within the application.
- Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

Creditors' age analysis

- Test whether the creditors aging that is documented in the policy aligns with the aging in the system.
- Have changes been made to the creditors age analysis configuration settings embedded in the application during the period under review?
- Have changes been authorised in the application?
- The aging has remained static during the course of the year and the audit trail does not depict any changes to the application.
- Determine who has access to the creditors age analysis configuration in the application and whether the access is limited to authorised personnel only.
- Perform a walkthrough of one to determine whether the aging is accurate.

Provisions

- Determine who has authorisation to process journals relating to provisions.
- Obtain a list of the year-end journals and stratify to determine whether there are any non-routine journals.

9.4.10 Statement of profit and loss

- Perform analytics on the total income statement to determine year-on-year differences and significant percentage changes in expenses.
- Determine whether there are similar month-to-month exception reports where changes are reported and followed up by management.

9.4.11 Bank and cash

- Determine authorisation levels that have been configured in the banking application.
- Determine whether the levels confirm to policy/process documentation in terms of amount and staff/user profile.
- Determine whether the bank account details interface with the application.

Foreign exchange

- Determine whether foreign payments have been captured at the correct forex rate.
- Determine whether foreign accounts have been captured at the correct rate.
- Determine whether the application has been configured to receive daily currency exchange rates which would have been applied forex transactions, namely, Reuters rates.
- Determine who has access to change the currency exchange rate configuration in the application.
- Have any changes been made to the configuration during the period under review?
- Question whether changes have been authorised in the application.
- Perform a walkthrough of one transaction to determine whether the forex calculation is accurate.

Other tests

- Determine whether the client has configured the transaction trail accurately within the application. Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

The following IT general controls should be considered when performing audit procedures but not restricted to the test and reliance of control testing above:

- Review default account procedures
- Ascertain whether there is a formal process in place to validate user accounts on the database
- Determine whether users are restricted from viewing the text and stored procedures
- Investigate whether there is evidence of privileged user activity being reviewed
- Investigate whether the monitoring of user access violations has been completed, and whether action has been taken if violations occurred
- Review active employees and ascertain if there are terminated employees with active user accounts
- Question if there is a periodic user validation process and review the process
- Question whether generic accounts are used to access the database
- Evaluate if super user access is restricted
- Review user activity logs and ascertain whether they are reviewed on a regular basis
- Determine whether segregation of duty reviews within the application is completed, and
- Determine whether toxic combinations have been assessed and restricted.

9.5 Data analytics (and the use of computer assisted audit techniques (CAATs))**9.5.1 Introduction**

Data analytics, and more specifically computer assisted audit techniques are exactly what the phrase says: making use of a computer to assist in carrying out the audit. Although there is some extremely powerful and complex software available to assist in performing audits, the concept is simple: wherever it is economical and efficient to do so, the power, speed and versatility of the computer should be harnessed to assist with the audit. For many audit clients it would simply be impossible to perform an audit without using CAATs.

Consider a very simple example:

A branch of a major bank has 22 371 account-holders who have call account deposits with the bank, which earn interest on daily balances. At the year-end audit, we need to confirm that total interest paid on these call accounts (as well as various other savings accounts, fixed deposits, etc.) has been correctly calculated, as reflected in the financial statements at R71 587 200.

- Imagine trying to obtain printouts of all 22 371 account holders and each of their daily balances for 365 days and then trying to test enough of these on our calculator, to form a representative sample of interest calculations – clearly impractical, tedious, inefficient, very expensive and a high probability that our audit staff would make many mistakes themselves along the way!
- Instead, we are able to use audit software, which can re-perform all of these daily balance calculations and provide an independently calculated total for interest payable by the bank for the year. Powerful CAATs packages are able to perform a 100% of the population incredibly quickly thus providing huge benefits to auditors by significantly reducing audit risk (100% testing rather than sample testing), providing more reliable evidence (no human errors) and increasing audit efficiencies (millions of calculations can be re-performed in a matter of minutes and hours rather than days and months).

When applying data analytics in the audit, use processes of inspection, extraction, transformation, loading and modelling data (as discussed below) to discover information and to enhance problem solving and decision-making. Data extraction allows for:

- Data to be refined.
- Data transferred from source to destination.
- Data to be extracted from unstructured data sets, that aren't stored in a structured database format.

There are three main types of data extraction in ETL (extract, transform, load): full extraction, incremental stream extraction, and incremental batch extraction.

9.5.2 The practical challenges of data analytics

There are a number of practical challenges when planning to use data analytics, from tools to resources. Below are a few examples of challenges that should be considered:

Data from multiple sources

Typically, data comes from multiple sources. For instance, multiple different systems that you will need to collect and consolidate data from, and potentially match data. The challenge remains that one needs to test whether the data set being tested is complete and accurate.

Gaining meaningful insight

Due to the high volume of data available in organisations, collecting meaningful data is a big challenge. There is a risk that employees spend much time sifting through the data to gain insights, which can be overwhelming.

Selecting the right analytics tool

There are many analytics tools, and considering the fast pace of technology development, there are always new analytics tools being developed. It's imperative to understand the objective of the analytics to be performed, scope, data volume, quality, privacy, regulatory and ethical requirements.

Data visualisation

Data requires to be presented in a format that is clear, logical and understandable and this process can be time-consuming. Usually, this is in the form of graphs, charts, infographics and other visuals. This process is often manual, and especially with extensive data, is tedious and impractical. For instance, analysts must first sift through the data to collect meaningful insights, then convert data into formulas and represent it in charts and graphs.

Data inaccessibility

Occasionally, you may experience data inaccessibility where complete and accurate data sets are not available. This may be due to access controls or data being segregated and 'spread across multiple systems'. In situations like these, careful consideration should be given to ensure data sets are reconciled and complete to perform analytics that are worth the time and effort.

Low-quality data

Generally, manual data entry is more prone to errors, which may distort reports and influence decisions. Low quality data can also be the result of many system interfaces with exception reports that are not resolved.

Data analysis skills challenges

Organisations will need to conduct training programs to equip employees and professionals with the necessary analytical skills. Without in-depth knowledge of interpreting different data sets, you may be limited in the number of insights you can derive from the data.

Scaling challenges

Analysing and creating meaningful reports becomes increasingly more difficult with growing data sets. It's vital to select analytics software which is scalable and supports efficient data analysis as organisations grow.

Data security

Data security is another challenge that increases as the volume of data stored increases. This calls for businesses to step up their security measures to minimize the risks of potential attacks as much as possible.

Budget limitations

Data analysis can be costly, resources such as software and experienced team members can be expensive. However, when acquiring the right tools and trained team members, can be more cost effective.

Structured data vs unstructured data

Data can be classified as structured vs unstructured. Structured data is very specific and can be stored in a predefined format. An example of structured data is an invoice number on an invoicing system.

Unstructured data is a compilation of various types of data stored in their native format. An example of unstructured data is a post or video on social media.

Financial and non-financial data

Financial data is the formal record of financial activities, for example loans, shares, or pension funds. Non-financial data is data reported by a company that is not financial in nature, for factors such as company culture, sustainability factors etc. Non-financial information is performing an increasingly important role in reporting and accounting.

9.5.3 How do data analytics/CAATs fit into the audit process?

Auditors should perform basic data modelling or where necessary request advanced data modelling by experts, and then interpret the results, concluding on reporting/presenting/communicating as applicable.

The auditor decides whether or not to use CAATs when considering the audit strategy (*scope, timing and direction*) and the audit plan (*nature, timing and extent* of testing) which is necessary to reduce audit risk to an acceptable level. The decision made will result in the auditor taking one or more of the following approaches:

- to audit around the computer
- to audit through the computer
- to audit with the computer.

The auditor is not restricted to selecting just one of these approaches.

9.5.3.1 Auditing around the computer

- This approach treats the computer system and programs as a black box and relies on review and comparison of the input and output documents. The rationale behind this approach is that if the source documents are valid, accurate and complete, and the output produced by the computer system as a result of processing these source documents, is correct, then the processing functions of the computer system are being performed correctly. The manner in which these processing functions are performed is deemed to be of little consequence. This approach assumes that the *computer-generated output can be traced back, and compared to the input*.
- The audit is performed by selecting a sample of transactions that have already been processed and then tracing these transactions from their point of origin as source documents to the output documents or records produced by the computer system.
- This approach is only feasible if the computer system under consideration is a simple, batch-oriented system with *no significant controls or automated/integrated functions built into the system*.
- Additional requirements for the adoption of this approach are that control is maintained by segregation of duties, independent checks and management supervision together with the *maintenance of a clear audit trail*.
- The main *advantages* of auditing around the computer may be summarised as follows:
 - There is no risk of manipulation of the client's data by the auditor.
 - The auditor requires little or no knowledge of computer technology.
 - There is minimal disruption of the client's IT function.
 - The costs associated with technology and computer expertise may be reduced.

- The *disadvantages* of auditing around the computer may be summarised as follows:
 - Apart from the more trivial applications, computer systems generally involve volumes of data and transactions which render manual testing ineffective.
 - System controls and potential errors within the system are ignored.
 - No use is made of the most powerful and valuable audit tool, namely the computer.

9.5.3.2 Auditing through the computer

- This approach is concerned with testing the computer system and controls which are built into the system.
 - Simplistically this is achieved by the auditor sending transactions (test data), some of which will contain errors which the system's program controls should detect, through the system. In this way the auditor tests whether controls are working as expected.

For example, if a transaction which the auditor knows is incorrect *is* picked up by the system, the auditor has some evidence that the system is working (and vice versa). Thus, auditing through the computer is primarily a "test of controls" approach.
- The main *advantage* of "auditing through the computer" is that it can be used effectively and efficiently to audit a highly sophisticated computer system which processes huge volumes of data and relies extensively on computerised controls, for example, banks.
- The *disadvantages* of "auditing through the computer" include the following:
 - The auditor is required to have a high level of technical computer knowledge.
 - Audit costs may increase due to the level of investment in technology and expertise required.
 - The auditor is required to take stricter precautions due to the increased risk of corruption of the client's data and masterfiles.
 - A high level of client co-operation is necessary, which may impinge upon audit independence.

9.5.3.3 Auditing with the computer

There are two aspects to "auditing with the computer":

- using the computer to assist in the performance of audit procedures (mainly substantive testing)
- using the computer to produce electronic/automated workpapers, audit programs and financial statements.

Using this approach for substantive testing, involves gaining access to a client's files and using audit software (programs which help the auditor to do what he has to do) to read, sort, compare and analyse data on the file, very quickly and extensively.

The idea behind using the computer to automate the audit is to make it a more effective and efficient audit by harnessing the power of the computer.

- The main *advantage* of auditing with the computer is that use is made of the power, speed and versatility of the computer, which results in a more economical and efficient audit.
- The disadvantages are:
 - costs/licence fees of audit hardware and software
 - the audit team requires training on how to use the software
 - there *may* be a tendency for the audit team to audit without thinking about what they are testing.

9.5.3.4 Combinations of the above approaches

As indicated in the introduction to CAATs, the auditor is in no way restricted to one of the three approaches. In probably 99% of reasonably sized audits, where the client has a computerised accounting system, the audit approach will be a mixture of the above approaches. Auditing is about getting the mix of tests of controls and substantive testing right, based on the strength of the organisation's controls and the ease/efficiency with which substantive testing may be achieved. Also remember that some of the procedures which the auditor carries out, may be unaffected by whether the client is computerised or not, for example, scrutiny of minutes, or inspection of non-current assets. The overriding objective is to achieve the most effective and efficient way of getting the audit done.

9.5.4 System-orientated CAATs

As suggested by their description, these CAATs concentrate on the accounting system and related control procedures and are used predominantly to perform tests of controls, although some substantive evidence may also be produced. The use of systems-orientated CAATs is regarded as “auditing through the computer.”

9.5.4.1 Test data

This type of CAAT requires the auditor to *create* a set of transactions.

For example,

Clock cards that are outliers are keyed in and processed. The transactions will include both correct data and incorrect data, in other words, a clock card with an invalid employee number and another with 55 hours of normal time, will be entered. What the auditor expects is that the invalid employee number will be identified by the computer and written to an error report, and that the 55 hours normal time will be identified by the programmed input limit check and the error highlighted immediately for correction. Obviously, if entry and processing goes ahead as normal, the controls are not working!

- Using the test data, the auditor can design transactions to test any controls which the client claims are in the system, but designing suitable transactions that contain the error conditions which the auditor wants to be prevented or detected, can be time consuming.
- For the “test data” approach to be effective, the auditor must be fully aware of the controls that are in the system and must know what the theoretical output should be in order to compare it to the actual output for the transactions that were processed.
- As with manual tests of controls, the test data approach only tells the auditor that the control was working *when tested* and not that it worked throughout the whole period under audit.
- The auditor will also need to confirm that the program tested is the one that is used in live runs.
- The test data should be run against a “copy” of the live (production) program to prevent corruption of the client’s data.

9.5.4.2 Integrated test facility (ITF)

This is really an extension of the “test data” approach. For instance, an artificial (dummy) unit is created on the client’s system, Company “X” or Cost Centre “Y”. The auditor can then feed test transactions through the system for processing along with normal transactions. The test transactions will, however, all be coded for processing to the fictitious Company “X”, which is simply excluded for purposes of the client’s normal accounting purposes. This type of CAAT therefore reduces the risk of corrupting the client’s information.

For example:

The auditor could enter two fictitious (dummy) employees on the employee masterfile, in the proper manner, for example, employee number, cost centre, grade, pay rate. He would then create fictitious clock cards with error conditions for the dummy employees and would have them processed at the same time and in the same manner as the client’s genuine clock cards when the “live” payroll run is being performed. As long as they are coded to a fictitious cost centre (e.g. Cost Centre “Y”), they can easily be excluded from the client’s normal financial reporting records.

- Again, the auditor will need to have a clear knowledge of the controls in the system and the results which should be achieved (output).
- Once the “dummy records” have been created in the client’s files, the auditor can visit the client on a number of occasions during the year under audit to perform the test; this helps to gather evidence that the controls were working throughout the year.
- The *major disadvantage* of this technique is that fictitious transactions may be muddled in with the client’s data if not correctly coded or if the dummy unit is not separated out before reports are sent to users. For example, the foreman might be a little surprised and confused to see two additional employees and an extra cost centre in his factory!
- It is also conceivable that client staff could manipulate ITF facilities for fraudulent purposes.

9.5.4.3 Parallel simulation

This type of CAAT involves running the client's transaction data and masterfile information through a "trusted" system set up by the *auditor*, as well as through the client's normal system. The results of the two processing runs are then compared and any discrepancies are followed up. These results can provide evidence relating to controls (e.g. the auditor's system may make effective use of a limit check which identifies invalid data while the client's system may not have such a check in place), as well as evidence of a substantive nature (e.g. daily transaction totals can be compared to verify accuracy of client figures).

9.5.4.4 Embedded audit facility

For this type of CAAT to operate, the auditor arranges to have an audit module inserted into the client's application programme. The module is designed to either identify transactions which might be of particular interest to the auditor, or to re-perform certain validation controls and report thereon, *while* the client is actually running the normal application programs.

For example:

The auditor may wish to identify all payments to creditors exceeding R500 000. The audit module would identify these and write them to a file. Another example is that the audit module could be programmed to perform reasonableness tests when salaries are processed and report on any items outside of given reasonableness ranges. These embedded files would have strict access controls in place and the auditor could appear at any time to audit/follow up on recorded transactions or exceptions written to the files.

9.5.5 Data-orientated CAATs

These CAATs are concerned mainly with *substantive testing*, that is, obtaining evidence to support the assertions relating to balances in the statement of financial position and totals of transactions that underlie the statement of comprehensive income. Use of these CAATs can be thought of mainly as "*auditing with the computer*".

9.5.5.1 Generalised/Customised audit software

These are programs that are used to extract/analyse/reformat data extracted from client systems.

For example:

The auditor may extract a report of all debtors amounts outstanding over 90 days.

Common features and facilities:

- Versions are generally available for use on a wide range of hardware and systems software.
- They are generally easily programmable to access various file formats and data fields thereby enhancing the ease of use for the generalist auditor.
- They are menu driven, which adds to their user-friendliness.
- Special security features are generally included, such as restricting certain features of the software to special classes of users.

Where generalised software (GAS) is not available to suit the needs of a particular set of circumstances, customised audit software (CAS) may be specially developed.

9.5.5.2 System utilities and report writers

Many clients will have utilities and report writers resident on their computers. Utility programs can be used to manipulate and analyse data and test whether programs function correctly. Report writing programs enable users, including the auditor, to design and extract various reports, which may be particularly useful in performing substantive tests.

- *Advantages*
 - The software has already been loaded on the client's hardware.
 - They are relatively simple to use.
 - They perform many of the tests which GAS packages offer.
 - The cost of using these packages is generally lower than using GAS.

- **Disadvantages**

- Many utility and report writers are available that may cause time delays seeing that the auditor will have to assess how unfamiliar clients' utilities and report writers function.
- These forms of CAAT may not be as well documented as GAS packages, and may not quite meet the auditor's requirements.

9.5.6 Factors that will influence the decision to use CAATs

The following factors will be taken into account in making the decision as to whether CAATs should be used:

9.5.6.1 Complexity of the client's system

For example:

Where a client's accounting systems are extensively computerised, such as in a financial services organisation such as a bank, and of a high level of complexity or sophistication, the auditor cannot rely on manual audit procedures alone.

9.5.6.2 Volume of transactions/output

The size of the business will usually govern the number of transactions that flow through the accounting system.

For example:

As the volume increases at a bank that issues savings accounts for low income individuals, so do the sizes of files which result from processing the transactions, making it impractical/impossible to perform *manual* extraction, sorting, analysing, summarising of data, etc., due to normal audit time constraints.

9.5.6.3 Data stored in electronic form

For example:

The client will usually store data in electronic form, think debtors masterfile, inventory masterfile. In such cases –

- it will not be feasible/efficient to audit the data manually, and
- normal audit trails may not exist so alternatives to normal manual procedures have to be sought, for example, using CAATS.
- cloud-based data warehouses store large amounts of financial data.

9.5.6.4 Availability of skills in the audit team

Particular skills, sometimes of a high level, are required when using some types of CAATs (but see note (a) below).

9.5.6.5 Potential loss of independence

The use of CAATs requires the co-operation of the client and where system-orientated CAATs are used, the auditor may have to rely quite heavily on client personnel to run the CAAT (see note below).

9.5.6.6 The attitude of the client

Professionally run companies expect professional auditors and hence will expect their auditor to be up to date with, and capable of, using advanced audit techniques (see note below).

9.5.6.7 Compatibility of the firm's hardware and software with the client's hardware and software

The audit firm's hardware and software is unlikely to suit every single client's hardware and software so it will need some adaptation, for example, additional software may be required (cost) in order to run audit programs on client systems/files (see note below).

9.5.6.8 The utilities available at the client which can assist

Utilities are programs that can frequently perform tasks which are useful to the auditor, such as sorting/re-organising files, copying, printing parts of a file, etc. They do many things that generalised audit software does, so if the auditor has no suitable generalised audit software, he may consider using the client's utilities. Note that the completeness of the data set is all the more important in this instance.

9.5.6.9 The use of data analytic software tools to analyse data

There are many data analytic software tools available, such as ACL, IDEA and advanced Excel™ functions, which can be used to analyse data. These tools enable auditors to efficiently analyse large volumes of data, identify patterns, anomalies, and trends, and gain valuable insights into financial transactions and business operations.

9.5.7 Audit functions that can be performed using data-orientated CAATs

- Sorting and file re-organisation.
- Summarisation, stratification and frequency analysis.
- Extracting samples.
- Exception reporting.
- File comparison, for example, current masterfile to prior year's masterfile.
- Analytical review, for example, extraction of ratios.
- Casting and recalculation.
- Examining records for inconsistencies, inaccuracies and missing data including sequential numbers and duplicates (and creating reports thereon).

Illustration of what a data-orientated CAAT (audit software) can do

A chart of what the inventory masterfile at 30 June 0002 of an electrical supply company might look like when printed appears below. Of course this is a tiny part of the file, showing only seven line items or records. The actual masterfile may have 5 000 line items, which, if printed, would produce a 160-page printout!

Item no.	Description	Location	Category	Quantity	Unit Cost	Value	S Price	Last Sale	Last Purch
A 123	Fuse Box	WH 2	A	20	710.00	14 200.00	690.00	5/0001	3/0002
P 492	Regulator	WH 3	B	-6	42.50	-255.00	56.50	2/0002	4/0002
L671	Plugs	WH 4	A	410	8.00	3 280.00	14.00	11/0001	10/0001
G 893		WH 2	C	91	44.00	4 004.00	52.75	1/0002	2/0002
	Connector	WH 1	D	18	2.20	396.00	4.20	5/0002	7/0002
Q 456	Junction		A	3	618.00	1 854.00		7/0001	8/0001
P 769	Brushes	WH 1	B	0	34.20	34.20	36.40	4/0002	6/0002

Things that can be done with audit software:

1. Scan the entire file and produce a report of missing fields or duplicated item numbers, for example, missing item number, description, location and selling price (see item number Q456).
2. Sort the file by category, and add up value field by category to determine whether the major portion of the inventory value is of a particular category. This will provide the auditor with a better idea of where to direct the inventory audit focus.
3. Sort the file by location and add up value and quantity fields to assist in planning attendance at the inventory count.
4. Extract a list of items with negative quantities, values or unit costs (NB a negative × a negative equals a positive – see item number P492).
5. Extract a listing of inventory items where the quantity field is zero (0) but the date of last purchase is after the date of last sale (see item number P769).

6. Re-perform the quantity $\times$ unit cost calculation and compare the result to the field to identify any differences with the client's file (see connector $R2,20 \times 18 = R396,00??$ and $P769, 0 \times R34,20 = R34,20??$).
7. Compare unit cost field to selling price field to identify instances where cost exceeds selling price (see item number A123).
8. Extract a list of items where date of last sale is (say) more than nine months ago, but date of last purchase is, less than three months ago, and by enquiry establish why the order was placed, for example, was it because goods in the inventory are damaged? (See item number A123.)
9. Extract a listing of items where date of last sale is (say) more than nine months (and purchase date is also more than nine months) prior to masterfile date (30 June 0002) to assist in identifying non-saleable inventory/inventory which should be written down.
10. Extract a listing of items where either the date of last sale or date of last purchase falls after the inventory masterfile date (see connector 7/0002).
11. Extract a random sample of items to be counted at the inventory count (after summarising by location, quantity and value).
12. Cast the value field to obtain the total value of inventory for comparison to the figure used in the trial balance.

9.5.8 The importance of data Interpretation

Data interpretation is important as the collected data helps to make informed decisions, especially on larger data sets which need analysis on audits.

- Enables better decision making.
- Informs follow up conversations with audit clients.
- Determines trends and explanations of movements and fluctuations in the numbers.

Data can be interpreted as quantitative or qualitative.

Quantitative methods

Quantitative data interpretation techniques should be applied to measurable or numerical types of data. Numerical data consists of two types:

- *Discrete*: This refers to data which you are able to count, for example the number of cars at a motor dealership stock count.
- *Continuous*: This refers to data which you are not able to count, for example, the length, distance or area, for instance the size in square meters of a factory.

The two most widely applied quantitative data analysis methods are:

- *Descriptive statistics*: focuses on describing the data and its features. It encompasses two categories, namely, measures of central tendency (mean, median, mode) and dispersion (variance and standard deviation).
- *Inferential statistics*: sampled data is used for drawing conclusions or to make predictions of a larger data sample/population.

Qualitative Methods

Qualitative methods are used to analyse categorical data. The data is further broken down into the following types:

- *Nominal*: Used to label variables without providing any numerical or quantitative value, for example, sex, race and age.
- *Ordinal*: Used to classify data by means of ordering/sequencing, for example, salary brackets.
- *Binary*: This type of data can only have two possible values which are conceptually opposed, for example "yes" or "no" and "true" or "false".

9.6 Data management

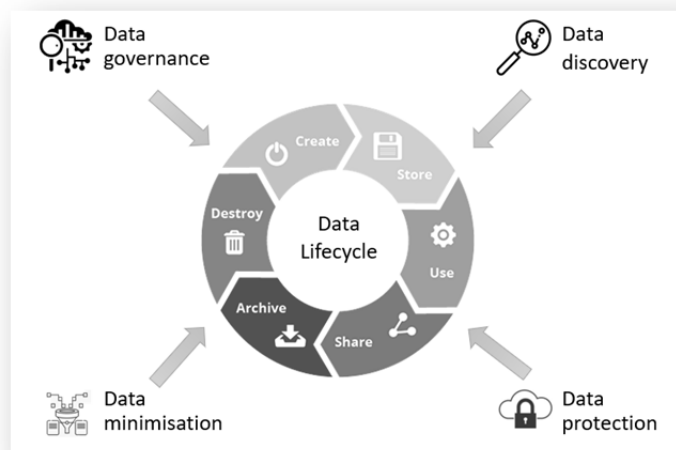
9.6.1 Introduction

One of the lessons of the information age is that data is only as useful as our ability to manage it. What turns the chaos of massive amounts of data into business opportunities is how you analyse the data. For example:

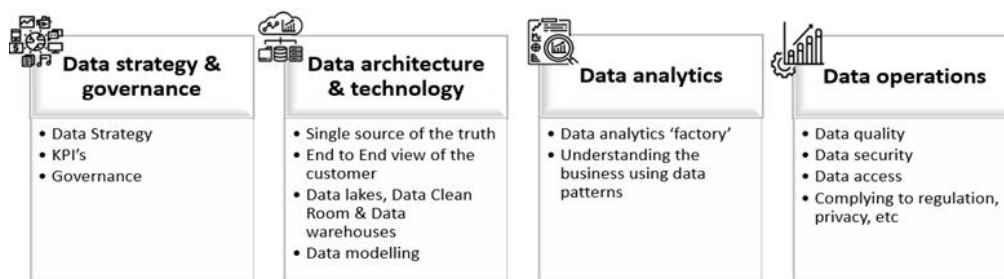
- to reveal patterns, trends, and associations especially relating to consumer behaviour, for example, when online shopping trends are analysed, determining a pattern when consumers are most likely to purchase, that is, time of day and which day of the week
- to identify and differentiate useful data and its business value, for example, online purchase trends can be used for future marketing, and
- to understand the rate of change of data sets, for example, determine new online purchase trends, or if certain products have stopped selling.

Organisations need to understand their data life-cycle and the sequence of stages that a particular unit of data goes through from its initial generation or capture to its eventual archival and/or deletion at the end of its useful life. This will ultimately help organisations to create end to end data management processes and structures.

The image below shows the high-level data life-cycle and key data management areas to consider:

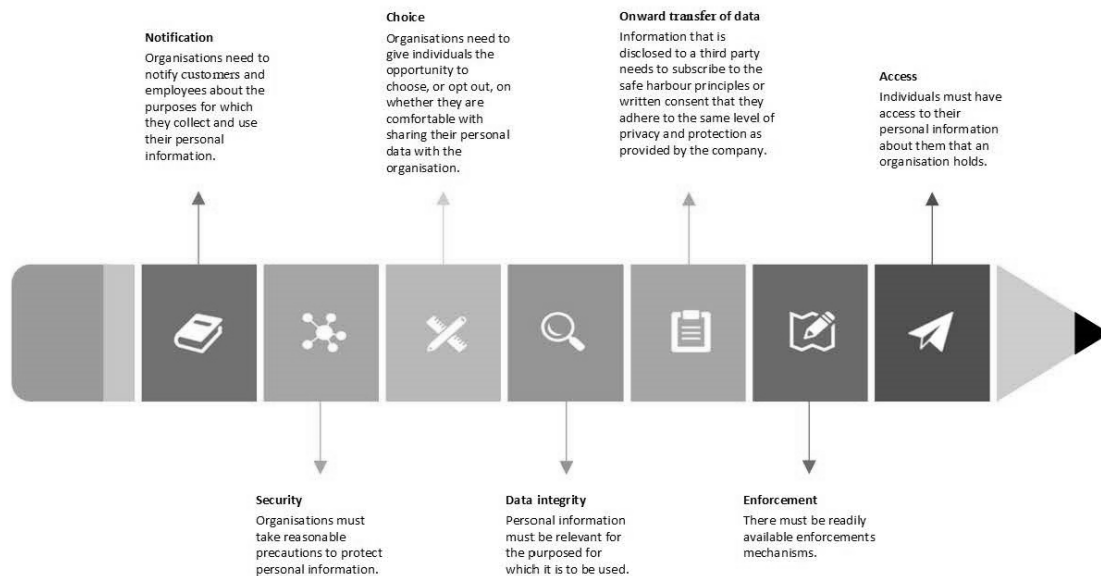


Having mature data and analytics in place requires the translation of business needs into practical steps and initiatives. At the same time, it requires a solid foundation to support these steps and initiatives. In order to accomplish this, organisations need to consider organising themselves in the following way and drive the following structures within data management:



Companies have to define, at a corporate level, a data privacy strategy that meets the requirements of the countries where the organisation has a footprint. If the company's operation is only based in South Africa, then that simplifies the strategy. If, however, the organisation operates across a number of countries, it will need to consider tailoring the strategy to meet all the privacy laws across all the countries it operates in.

Below are the key focus areas an organisation needs to consider when drafting a data privacy strategy:



9.6.2 Terminology

- **Patterns:** A pattern is a set of data that follows a recognisable form, which analysts then attempt to find in the current data.
- **Trends:** A trend is when a set of data constantly displays similar patterns over a given period of time.
- **Data relationship:** A data relationship exists between two relational database tables when one table has a foreign key that references the primary key of the other table. Relationships allow relational databases to split and store data in different tables, while linking disparate data items.
- **Algorithms:** An algorithm is the way computers process data. Many computer programs contain algorithms that detail the specific instructions a computer should perform (in a specific order) to carry out a specified task.
- **Data strategy:** The vision that supports an organisation's ability to manage and exploit data. It creates a direct link between strategic goals and data assets. It also provides an umbrella for all domain-specific strategies, such as analytics, big data and data governance.
- **Driving data value:** Unlocking the value within ever-growing volumes of data is key to a competitive advantage. The value of data is derived from the insight it can provide, enabling organisations to make better decisions.
- **Data asset management:** To gain as much value from the data as possible, it should be of high quality and readily accessible in the right format.

There are various types of Big data – the following explains the key categories:

9.6.3 Big data

Big data is the collection of large data sets within an organisation. The data will need to be analysed to reveal patterns, trends, and data relationships or else the data will be of no value. The ultimate goal of big data is to interpret large sets of data in such a way that an organisation can use the analysed data to enable informed decision-making. Apart from big data projects being disruptive, they are highly versatile and create a competitive advantage within an organisation. Big data is costly to set up but the benefit of advanced and mature algorithms of big data will lead to informed decision-making and increased revenue. Big data and environment (IoT) are closely related due to the interconnectivity of artificial intelligence and data extracted from IoT devices provide valuable insights from a data content and context perspective.

Characteristics of big data:



9.6.4 Audit and control procedures

The following controls and procedures should be considered when testing big data:

- Confirm that management has signed off the big data strategy.
- Determine whether the big data strategy is aligned with the overall business strategy.
- Confirm that the big data policy incorporates data security, privacy, measures, data landscape and storage.
- Do the documented business and technical requirements align with the current big data projects and do these objectives align with the strategy?
- Is the analysis done on the data extracted meaningful and is business reviewing and using the measures and metrics?
- Confirm that the risk management process is adhered to and whether findings are managed through a risk register.
- Confirm the existence and scrutinise the content of the service level agreements between the organisation and third parties accumulating and analysing big data on their behalf.
- Inspect roles and responsibilities that have been defined for big data as well as overall organisational data ownership.
- When auditing IT general controls, confirm that the logical access management controls over big data are included, specifically supporting privacy controls.
- When auditing IT general controls, confirm that change management controls over big data are included.
- Confirm that back-up procedures and disaster recovery controls are in place.
- Determine whether training occurs on the big data monitoring tools.

9.6.5 Risk implications

Big data presents many advantages but there are also many risks that have to be taken into consideration, such as the impact on our privacy. The following risks need be managed to govern big data carefully:

- Data privacy is a key critical risk because big data generally contains a lot of personal and sensitive information. A leak of this data can cause serious reputational risk.
- Data privacy legislation is becoming more prevalent and not adhering to this is in breach of compliance regulations.
- Lack of governance with multiple sources of data and unstructured data plans as this may cause mayhem within the big data bubble.
- Inadequate validation checks within applications lead to data quality issues that become a dreadful task to clean.
- Viruses can cause serious data corruption which impacts decision-making.
- Big data can become costly in terms of data storage and archiving costs.
- Due to the volumes of big data, organisations are forced to look at alternative storage solutions, namely, cloud-based storage solutions that have their own risks, such as data security.
- Misinterpretation of data, data quality issues and incorrect data can lead to incorrect decision-making.

9.7 Data storage

9.7.1 Introduction

To the layman trends in information technology are geared to speeding up processing, developing smaller storage devices that can store much more data and making computers more user-friendly. These, together with developments in communications technology and some other more technical developments, have helped facilitate the ability of businesses to deal in huge transactional volumes and to communicate globally in an instant.

Data storage capacity requirements define how much storage is required to run applications.

Trends in information technology are moving towards speeding up processing and developing smaller storage devices that can store much more data and make computers more user-friendly.

Developments in technology and other more technical developments have helped facilitate the ability of businesses to handle huge transactional volumes and to communicate globally in an instant.

Data storage refers both to a user's data generally and to the integrated hardware and software systems used to capture and manage data. This includes data in applications, databases, data warehouses, archiving, backups and cloud storage.

9.7.2 Terminology

- **Databases:** A database is an organised collection of data, generally stored and accessed electronically from a computer system. Where databases are more complex, they are often developed using formal design and modelling techniques.
- **Data warehouses:** A data warehouse is a system used for reporting and data analysis, and is considered a core component of business intelligence. They store current and historical data in one single place and are used for creating analytical reports.
- **Archiving:** Data archiving is the process of transferring data that is no longer actively used to a separate storage device for long-term retention. Archive data consists of older data that remains important to the organisation or must be retained for future reference for a required period for regulatory compliance reasons.
- **Backup appliance:** Backup appliance is a data storage device that accumulates the backup software and hardware components within a single device. It is a type of turnkey and all-inclusive backup solution that provides a central interface for backup processes, tools and infrastructure.
- **Cloud storage:** Cloud storage is a service model in which data is maintained, managed, backed up remotely and made available to users over a network – normally the Internet. Data is stored in global data centres with storage data spread across multiple regions or continents.

- **The move from mainframes to personal computers:** This trend is well established. Improvements in technology have brought about huge increases in processing power and data storage capacity. As a result, there is a move away from centralised data processing units towards “end-user computing”, that has significant implications for the internal controls of the company and for the extent to which the auditor can rely on these controls. To be more specific, employees in all sectors of a company have PCs on their desks that potentially give them access to *all* the data, programmes, masterfiles, etc., on the system. Division of duties is placed under threat, and data integrity and confidentiality can be compromised if the correct control techniques are not put into place. The auditor has also benefited from computing devices. It is now common practice for auditors to use a laptop computer to document their work in electronic work papers in the field.
- **Client/server systems architecture:** The term “architecture” refers to the way in which the hardware and software is configured or set up. The simplest version of client/server architecture is a local area network (LAN) configured to promote the sharing of files, printers and other computer resources.

Machines that use these resources are known as “clients”, and machines that offer these resources are known as “servers”. Critical computer resources, such as operating systems, application programmes and databases, are distributed among various processors, that can themselves be scattered throughout the organisation’s premises. Again, this has significant internal control implications for the company and the auditor, for example, breakdown in division of duties, integrity and confidentiality of the IT system being compromised.
- **Open systems:** This term refers to a drive to promote interoperability and transportability between software and hardware. This aim can only be made possible through the application of common standards among all manufacturers and developers of hardware and software. Open systems result in greater ease of access by all who use resources that comply with open system standards. Again, this has internal control implications for the company and the auditor.
- **Image processing:** As computers increase their processing and storage capabilities and become more cost effective, so image processing, for example, scanning, will become more common. Where image processing is used, there is increased reliance on the backup of electronic information to prevent the loss of audit trails – again, this may pose risk to the auditor.
- **Multimedia, USB and memory devices:** Several small effective data storage media devices have been developed in recent years. These devices present both an opportunity and a threat. They facilitate the sharing of information and facilitate the backup of data. For example, auditors can use these devices to obtain large quantities of data from their clients to analyse or to back up their electronic work papers when in the field. However, these devices also present a security threat as they make it easy for an unauthorised individual to copy or steal large quantities of sensitive data if no password protection or encryption exists on these devices. Organisations should implement policies and processes within the end-user computing controls environment to manage this risk. Refer to end-user computing (paragraph 9.2.10 in this chapter). The auditor should consider which policies, processes and controls the organisation has in place to manage IT general controls over devices that carry end-user data, namely, encryption and password protection regarding storage media devices.
- **Smartcards:** A smartcard contains a micro processing chip, as opposed to the magnetic strip of a normal swipe card. Smartcards therefore possess storage space as well as intelligence and can be used to enhance identification and authentication procedures, for example, through storage of biometric data (like retina scans). The improvements in access control, that are possible using smartcards, have positive implications for the auditor, as better controls over access to the system make the system more secure from both the company’s and the auditor’s perspective.
- **Communications technology:** The last decade has seen rapid advances in communication technologies. Electronic funds transfer (EFT), the Internet, electronic data interchange (EDI), all of which are covered in this chapter, are now common in business. Wireless communication has facilitated mobile business people, for example, sales staff, to have access to real-time information and to submit orders while on the move dealing with customers.
- **Web enabled:** Many business applications are becoming “web enabled”. This term refers to the ability for users to interface with the application concerned via their web browser. As a result, these applications can be accessed from outside the organisation, (i.e., over the Internet).

- **Cloud computing:** Simplistically, this is the term used to describe the practice of storing a company's (or an individual's) data and programmes on a storage device that is deemed "remote" and that is accessed via the Internet. Service providers who offer this service have termed this as "cloud computing". Of course, this does not mean that the data is stored in a "cloud", but it does mean that it is stored on giant servers in some super secure facility somewhere in the world and often hosted by a third-party service provider.
- **Historic data storage:** Due to regulatory requirements, such as tax, data storage of historic data is required. As mentioned in the retiring of application section (refer to paragraph 9.2.7) maintaining old applications that are deemed obsolete is not cost efficient but, in most scenarios, they are not retired due to the data they host. It is therefore important to note that it may be more cost efficient to host historic data in a cloud solution; in addition. It may simplify the architecture solution and limit interfaces. The IT controls over this data needs to be established to confirm no unauthorised access and changes occur.

9.7.3 Audit and control implications

The auditor must confirm that the following controls/procedures have been implemented and maintained:

- data backup procedures
- recovery procedures in a case of data backup need to be restored
- access control procedures to the data storage devices
- checkpoints to minimise data loss during data transfer
- monitoring of database performance, and
- capacity planning and monitoring of the storage devices.

9.7.4 Risk implications

- Hardware storage failure could occur and with insufficient backups may lead to loss of data.
- Hardware data servers that are not kept in a secure access-controlled environment may lead to unauthorised access.
- Natural disasters occur frequently, such as fires and flooding, and could lead to loss of data.
- Cloud storage providers do not provide dedicated servers for each client as server space is shared, therefore your data may be at risk.
- When sensitive data is passed to the cloud you could lose control over data privacy as multiple clients have access to these servers.
- In the cloud you don't need to manage your data. If your cloud storage provider gets impacted by a hardware outage, access to your data is impacted and compromised.

9.8 Networks

9.8.1 Introduction

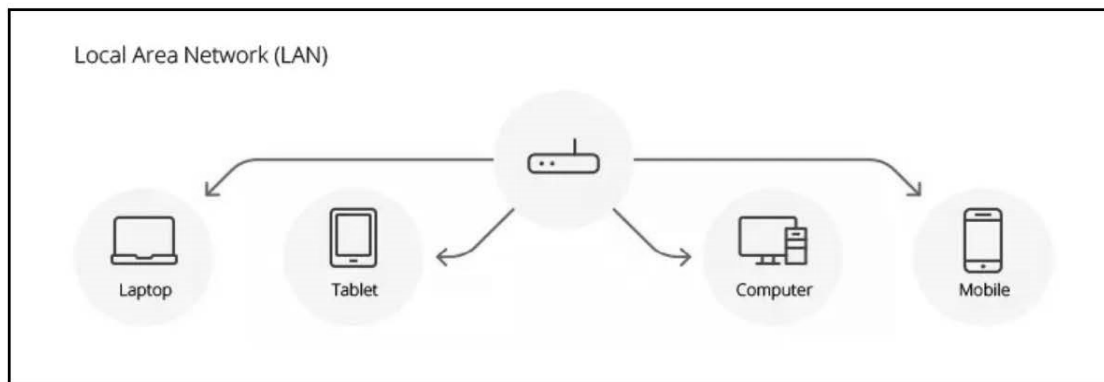
It is thought that networks originated through a desire to share printers among several people in an organisation. Instead of having numerous printers that all cost money, but that lie idle for a lot of the time, it made sense to think of a way to link the users to one printer that could be more productive for much longer periods of time, compared to everyone having a printer. This idea has progressed significantly so that networks are now used to promote the sharing of virtually any resource linked to the network concerned. The term "resource" is used to refer to hardware (such as printers and processors) as well as software (such as application programmes and database management systems) and data (such as masterfiles and databases).

9.8.2 Terminology

9.8.2.1 LAN

A local area network (LAN) is a data communications system that links several independent resources, normally by means of a cable, within a small geographic area (e.g., a building). LANs are commonly used to allow communication and sharing of resources among employees in a department or area of a building/organisation.

For example:



9.8.2.2 WAN

A wide area network (WAN) is similar in concept to a LAN but extends over a wider geographic area. Usually, additional hardware and software are required, such as bridges, routers and gateways, to make links over a wide area possible.

There are additional considerations regarding the communication channels themselves in a WAN:

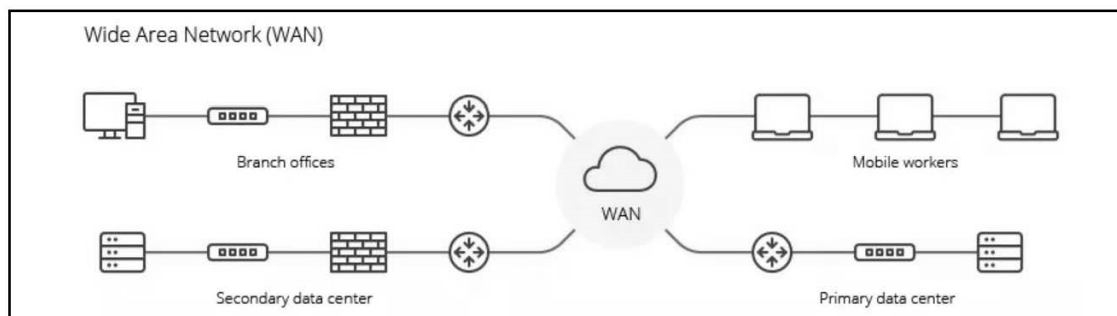
- whether to use a leased line (a line dedicated solely for electronic communication), or
- whether to use a switched line (a dial-up facility with more subscribers than lines), or
- whether to use lines that communicate in analogue or digital form.

If in analogue, then modems are necessary for conversion from the digital form used by computers to the analogue form used by telephone lines. If in digital form, then Diginet connections would be used rather than telephone lines.

Each of these options have different implications in terms of cost, security and access control.

WANs are commonly used to link an organisation to its remote branches, its service providers (the banks), or its trading partners (where EDI is used).

For example:

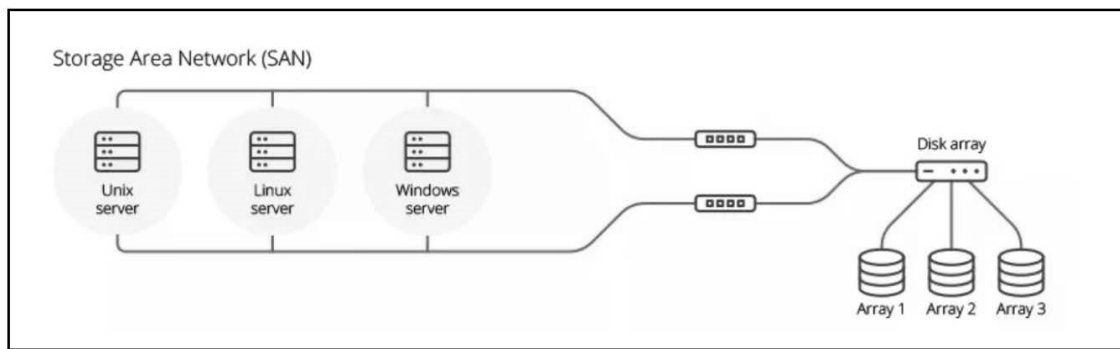


9.8.2.3 Storage Area Network (SAN)

Network storage is synonymous with business continuity in an increasingly competitive world. Businesses that want to stay ahead need to find ways to optimise data access and data storage and ensure that important backups are done on a regular basis. One way to achieve these objectives are to consider using a storage area network (SAN).

A SAN, or network behind the servers, is a special purpose high-speed computer network that provides any-to-any access to storage. The main purpose of a SAN is to transfer data between different storage devices and between the computer network and storage devices.

For example:



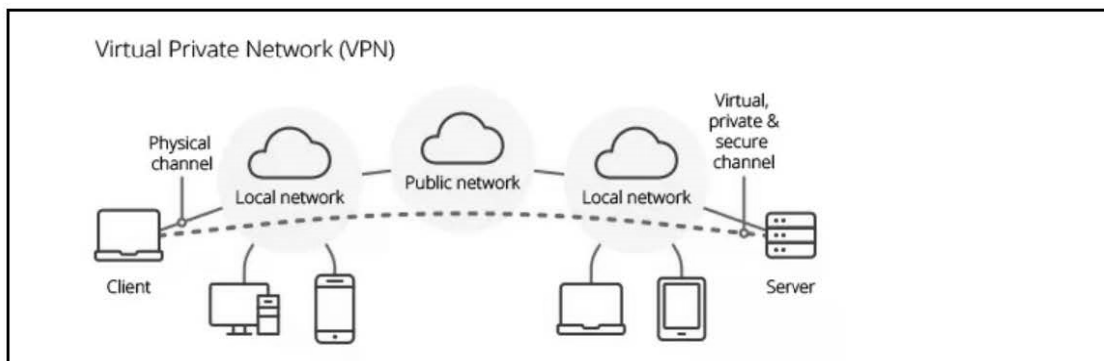
9.8.2.4 Value added network (VAN)

Value added networks (VANs) are *business entities* that offer links to expensive message transmission systems. In effect, this service allows numerous companies to share these systems at a fee, rather than having to buy, install and maintain them. The use of VANs is therefore a necessary and cost-effective arrangement for many organisations that wish to communicate electronically with remote sites and independent third parties.

9.8.2.5 Virtual private network (VPN) (also refer to cyber security)

A virtual private network (VPN) is a network that uses a public telecommunication infrastructure, such as the Internet, to provide remote offices or individual users with secure access to their organisation's network. A VPN can be contrasted with an expensive system of owned or leased lines that can only be used by one organisation. The goal of a VPN is to provide the organisation with the same capabilities, but at a much lower cost. A VPN maintains privacy by creating a secure "tunnel" in the public infrastructure using encryption.

For example:



9.8.2.6 Internetworks

This is the term used to signify the linking up of LANs, WANs, etc. Internetworks exist both within and among organisations. They arise because of links from PCs to mainframes, mainframes to other mainframes, LANs to LANs, LANs to WANs, WANs to WANs and many other possible combinations of these linkages. There are many combinations, but the risks remain the same – increased opportunity for unauthorised access to the system and all the problems which that brings, as well as the potential for data to be lost or changed during transmission. Hence the validity of the data is also at risk.

9.8.2.7 Server

A server is an important part of the network. It is a powerful microcomputer that controls the usage of a particular resource available to the users of the network. The print server controls the use of the printer, the file server controls the use of data files and application programme files so, just as the name suggests, a server "serves" the network with the resource it controls.

9.8.2.8 Distributed processing

As the phrase suggests, distributed processing is the distribution or decentralisation of computer processing and storage among devices that share a data communication network. You will realise immediately that in a distributed system, processing (or storage) is not limited to one easily controlled site; it could take place at some remote point or points. Therefore, access control becomes even more important, as does the security of the communication link.

9.8.3 Audit and control implications

The major areas of concern for the auditor when evaluating the accounting system and related internal controls of a client whose systems are networked will be access and the security of the networks data communication channel. The auditor is interested in the validity, accuracy and completeness of the data that is produced by the system. The auditor will also be interested in the change control procedures and that the configurations to the networks are locked down.

9.8.3.1 Access control

Each new user who gains access to the computer system of the company increases the risk of invalid access and hence the risk that the auditor may not be able to rely on the integrity of the client's data or programmes exists.

Invalid access could result, for example, in:

- obtaining confidential information from files including those stored at remote sites
- intercepting data in transmission
- altering or modifying programmes or data, and
- blocking the flow of data, etc.

The effectiveness of security/access controls are therefore of critical importance to the company and the auditor, and becomes increasingly so, as the client environment:

- becomes more highly networked, and
- tends more towards distributed processing.

Unauthorised access to the network may be gained:

- via a bona fide network PC, or
- via connecting an unauthorised PC to the network (e.g., plugging a laptop into a network socket).

The auditor therefore needs to test access controls in accordance with the IT general controls. Refer to paragraph 9.2 to confirm that all users have allocated roles and profiles and that these have been assigned to access authorisation levels. Access management tests include granting access to resources, authorising modification of access and termination of access when users leave.

9.8.3.2 Access via network PCs

The greater the number of PCs that are linked to the network, the more points of access to the computer resources there are to be controlled. The way that these are controlled is by the implementation of sound general controls, for example, control environment, policies and guidelines, trustworthy personnel and, more specifically, by strict access controls, both physical controls with only authorised resources having access (e.g., via biometrics) and logical access controls, such as password control.

- **Physical controls** in networks are more difficult because, by their very nature, networks are spread out. With PCs being dispersed and some perhaps being at remote sites, it is obviously not a matter of placing them all in one room and putting access controls at the door! This does not mean that all physical controls can be ignored and a measure of physical control over the PC can still be achieved by having strong office security. It is not uncommon for PCs, considered to be particularly sensitive, to have additional physical security, for example, payroll clerks will normally lock their offices when not in them in order to protect confidential information stored on their computers.
- **Logical control** becomes very important and will be achieved by the implementation of access controls at both system and application level based on:
 - *identification* of users
 - *authentication* of users and computer resources

- *authorisation* by defining the levels of access to be granted to users and computer resources
- *encryption*, scrambling or encoding data to make it unintelligible to unauthorised users, and
- *logging*, that is the recording of time and details of access and access violations for later investigation.

It is worth noting that while the threat of security breaches from external “hackers” is a serious business concern, the auditor is typically more concerned with the controls to prevent internal users (i.e., employees) from performing unauthorised tasks.

For example:

An organisation has predefined user profiles per role, and these cannot be modified without a review. In addition, the organisation reviews the user profiles frequently and also perform a segregation of duties review and toxic combination review on a regular basis to confirm users do not have unauthorised access.

Most of this type of fraud tends to be perpetrated internally by employees! The company’s computer security personnel will be very concerned about external threats to the company’s information system.

9.8.3.3 Security of network data communication channels

As networks increase in size and geographical distribution, the opportunities for gaining unauthorised access to the network increases – “hackers” have more communication channels to choose from and longer lines that can be explored for points of vulnerability. Controls over the security of these communication lines or channels are therefore additional areas of concern for the auditor when considering the audit of a networked client. Remember that the communication channel that the company uses will, particularly in the case of WANs, be provided and controlled by a service provider, not the company. Despite this there are certain controls the company can implement or insist upon. Specific controls that may be implemented to reduce the risk of unauthorised access to the network through hacking include the following:

- Restricting access to dial-up lines, for example, a telephone line that links a company’s computer to its bank’s computer. Physical and logical access controls should be in place to confirm that only authorised employees gain access to these lines.
- The use of a call-back facility. A call-back facility works as follows: when a valid user dials into a computer system and is identified, the computer cuts the connection and immediately redials the number that is stored in the computer for that specific user. This protects the system against hackers posing as authorised PCs, because reconnection will be with the authentic terminal rather than the poser. However, hackers have found ways around this control.
- Automatic lockout of a user account after more than three unsuccessful attempts to log in. This would assist in guarding against hackers using password cracking programmes to access the network.
- The application of industry standards that prescribe that the network is developed and controlled the right way.
- The use of sophisticated *user authentication techniques* specially designed to cope with the complexities of controlling access in a networked environment where distributed processing takes place.
- The use of *encryption methods* to protect sensitive data against access while it is being transmitted, for example, public key, private key.
- The use of network monitoring devices that can inspect activity taking place on the network, terminate sessions with vulnerable devices and log unauthorised access.
- A secure network architecture using devices, such as firewalls, that help secure networks from external threats and can be used to segregate areas within a network to promote a secure environment.

Do not lose sight of the fact that this is a very technical aspect of computing and that the points above present an overview only.

9.8.3.4 Accuracy and completeness of data communications

Anybody transmitting information along a communication line wants it to arrive at the other end in an accurate and complete state. Equally obvious is that all the millions of users around the world cannot do their “own thing”. If they did, communication would simply be chaotic. This is resolved by using communication protocols that define the requirements, rules and regulations that must be adhered to for the communication of information. The International Standards Organisation, that, among others, develops the standards by which the international computer community operates, has published a protocol (the Open System Interconnection) that is widely implemented.

Essentially users are in the hands of the service provider, and clearly the accuracy and completeness of data transfer, that is, making sure that data is not lost or damaged and arrives at the correct address, must be of paramount importance to the service provider.

To confirm that information is transmitted successfully between two (or more) computers, software that carries out specific tasks is installed on both (or all) computers. These tasks can be described as:

- **access control**, linking the devices that send and receive the data
- **network management**, that controls data traffic to and from the communication devices, routing messages to their proper destination and logging all network activity
- **data and file transmission**, that controls the transfer of data, files and messages between the various communication devices
- **error detection and control**, that confirms that the data received is the same as the data sent, and
- **data security**, that protects the data from unauthorised access during transmission.

9.8.3.5 Change management controls

You will also need to consider the change management controls relating to networks:

- Do only authorised users have access to change network configuration?
- Do only authorised users have access to data flow in networks?
- Have all changes to networks during the period under review been authorised?

A change in the configuration of network devices can have a significant impact on a network's performance, uptime and availability, hence the following controls and procedures need to be in place:

- a procedure to alert the network administrator needs to be in place to report any configuration changes and the details of the change, as it can affect the network's performance and availability
- controls to manage the processes of maintenance including the upgrading of networks
- procedures to minimise configuration errors as part of change management
- procedures to document all network configuration changes, and
- network configuration backup procedures.

9.8.4 Risk implications

If inadequate controls and procedures exist, the following risks become prevalent:

- You can compromise your network security and the functioning of your network.
- Changes made to your network can affect all systems within your organisation if the change process is not managed adequately.
- Rolling back changes when required to a previous network configuration will not be possible if inadequate backups exist and will affect the performance thereof.

9.9 Databases

9.9.1 Introduction

A database is a pool of interrelated data, that is managed, structured and stored in such a way that:

- duplication of data is minimised
- it contains all necessary information that is needed to provide for sharing of common data among different programmes and users
- the data is quickly accessible by all authorised users, and
- many users can access the same data simultaneously and will be provided with the same view of the data at any one time, despite updates that may be in progress.

A database therefore provides for *sharing* of common data among different programmes/users, and so is a prime example of a resource that is particularly suited to a networked environment. Examples include common databases such as Microsoft SQL and Oracle.

9.9.2 Terminology

- A **database administrator (DBA)** should be appointed to manage the database. Duties include:
 - defining access privileges of database users
 - design, definition and maintenance of the database, and
 - defining and controlling backup and recovery procedures.
- **Database structure** may be hierarchical, network or relational. No further details regarding these structures are considered necessary for a general understanding of audit implications of databases. Most financial database systems are structured as relational databases.
- **Data ownership** is a term that relates to the administration of data, rather than the management/administration of the database. Responsibility for defining access and security rules for specific data elements within the database is delegated by the DBA to appropriate individuals (e.g., the credit controller may be data owner of customer credit limits and therefore responsible for advising the DBA as to who should be granted access privileges to this data). Data ownership therefore promotes the integrity of the database.
- **Data sharing** is the ability of users involved in different applications to use the same data for different purposes, for example, the quantity on-hand information for an item of inventory may be used by the buyer as a basis for purchasing more inventory, while the inventory controller may use the same information to produce a “value of inventory on hand” report.
- **Data independence** means that the data is independent of a specific application. It can be shared by other applications as described in data sharing above.
- **Data warehouse** is a term commonly used for a very large database that usually consolidates information from several different sources (applications) within an organisation and is used to provide management reports.

9.9.3 Audit and control implications

General controls relating to database systems have a pervasive effect on application processing. It is therefore particularly important that the auditor assesses the degree of reliance that can be placed upon these general controls when auditing database systems:

- Enquire of appropriate personnel whether this database function is adequately performed. Of particular importance in this regard are the concepts of *data ownership* and *access control*; who has authority to change data, and what access privileges are granted to users.
- Test the effectiveness and reliability of the access controls of the database:
 - using query language (e.g., SQL) and other utilities, and
 - attempting unauthorised access to the database.

Note: This will be carried out by computer audit specialists.

- Review the *development/programme change* standards to assess the adequacy of, and adherence to, such standards (Definition and implementation of standards for *programme development/programme changes* are of great importance since data is shared by so many different users using so many different application programmes).
- Inspect organisational charts and by observation and enquiry of appropriate personnel determine whether segregation of duty or toxic combinations are completed.
- Review segregation of duties (as well as toxic combination) reviews that has been performed by the organization to assess whether those who design, implement, operate and use the database have been assessed and no conflicts exist (Programmers who work on database programmes should, for example, not be involved in updating data on the database).

Again, if the above is simplified, it becomes apparent that control over the database comes down to the application of sound general controls with a little added emphasis on programme development/change controls, segregation of duties and, most importantly, access controls.

9.9.4 Risk implications

If insufficient database controls are in place, the following risks may occur:

- unauthorised activity or misuse by authorised database users, database and network administrators
- hackers may gain unauthorised access to the database (e.g., unauthorised access to sensitive data or unauthorised changes to the database programs, structures or configurations)
- cyberattacks cause incidents such as unauthorised access, leakage of personal data, corruption of data or programmes and interference of authorised access to the database
- performance constraints resulting in the inability of authorised users to use data as intended
- physical security of the database may be compromised
- programming bugs in database systems creating various security vulnerabilities, for example, data loss/corruption, and
- data corruption and/or loss caused by the input of invalid data due to human error.

9.10 Electronic messaging systems

9.10.1 Introduction

Electronic messaging systems involve communicating, transacting and recording *electronically* rather than in the traditional *paper-based* manner. Two forms of electronic messaging commonly used in business are electronic data interchange (EDI) and electronic funds transfer (EFT). The term “electronic data interchange” means the ability of a user to transact or trade electronically with other parties via links between their computer systems. Electronic data interchange can take place using a direct link with another company, or by being a member of a value-added network (VAN) or over the Internet. The term “electronic funds transfer” involves the transfer of money from one account to another on the strength of an electronic instruction.

9.10.1.1 Benefits

The characteristics of electronic messaging systems are *speed*, *minimal use of paper* and *less repetition of data* that results in a more efficient business practice (e.g., lower costs, quicker response times, and fewer errors).

9.10.1.2 Risks

These include:

- system failure, that could result in the business being brought to a standstill, losing customer confidence, failure to meet supply deadlines, etc.
- a loss of confidentiality of the data being “interchanged”
- the opportunity to introduce manual controls may be reduced, for example, stopping an invalid payment that has got through the system. An invalid cheque payment could have been “stopped” from going through by contacting the bank. An electronic transfer cannot be stopped easily (note: cheques are no longer an accepted form of payment in South Africa)
- increased reliance on networks and data communications
- loss of audit trail – no paper, and
- difficult legal liability issues, for example, if confidential information about a supplier is obtained illegally off the system at large, who is responsible? Company A? Company B? The VAN, or the communication channel provider?

As with all risks, controls can be put into place to address them. These controls are what the auditor will be interested in.

9.10.2 An illustration of electronic data interchange

Perhaps all of the above is best illustrated by an example. In the example below, Company X wishes to purchase goods from Company Y. This could be done manually or by using electronic data interchange.

9.10.2.1 Without EDI – manually

- Company X will generate a multicopy order for the goods required, that is then posted to Company Y.
- Company Y, on receipt of the order form from Company X, will recapture the order details onto an internal sales order, will select the goods ordered, and may even then recapture all these details onto a delivery note.
- The delivery note is then sent together with the goods to Company X.
- When the goods arrive at the premises of Company X, they are checked, and goods that are received in a satisfactory condition will be signed for and recorded on a goods received note.
- Company Y will then invoice Company X for goods accepted and post the invoice.
- Company X will then probably wait for Company Y to post a monthly statement before eventually making a cash deposit (or EFT) to pay for the goods purchased.
- The proof of payment will then be sent to Company Y who will have to check on its bank statements whether the amount has indeed been received, and whether it has cleared.

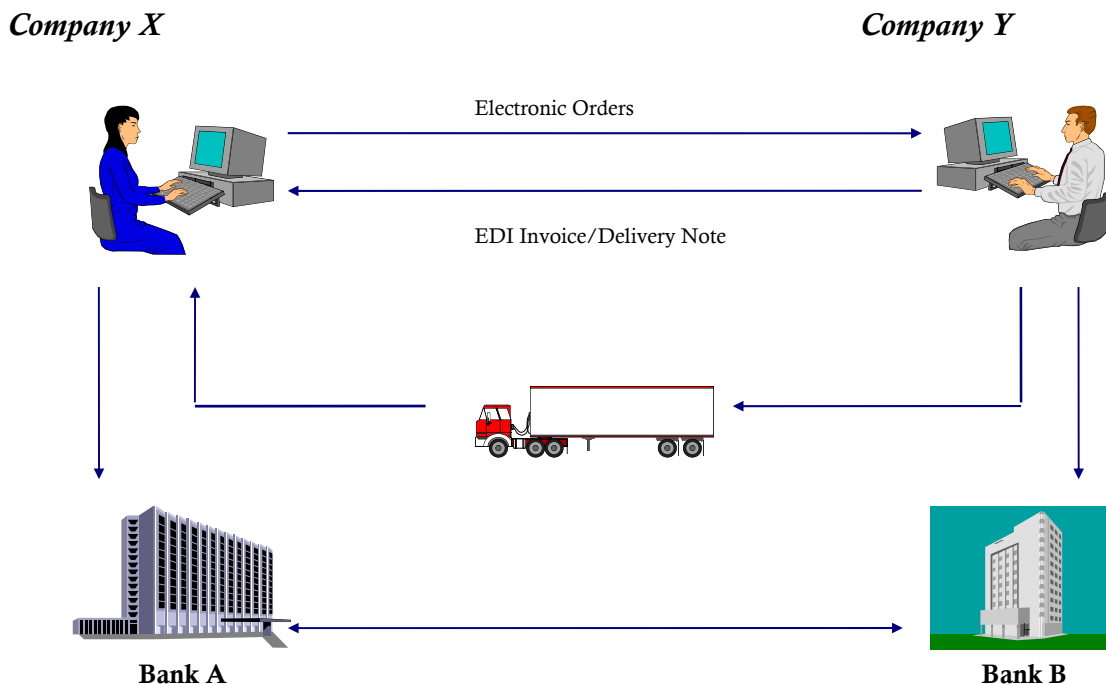
It is clear in considering the above example that communication of the information relating to each purchase that Company X makes is very slow and that a lot of constant information has to be recaptured at each different stage of the process.

9.10.2.2 With EDI

(a) Direct links between the companies, that is, not via a VAN

- Company X sends an electronic order via its computer to Company Y's computer.
- Company Y's computer receives the order and generates the necessary instructions to fill it.
- Company Y's computer then adds data, such as delivery details and prices, before retransmitting the message back to Company X's computer in the form of an electronic invoice.
- Company X then simply adds the date when the goods are received to this message in order to generate the equivalent of a goods received note.
- Payment would then also take place electronically, with Company Y's computer advising Company X's computer to pay the relevant amount directly into its bank (Bank B).
- Clearing information for the payment would also be communicated electronically between Bank B and Bank A.

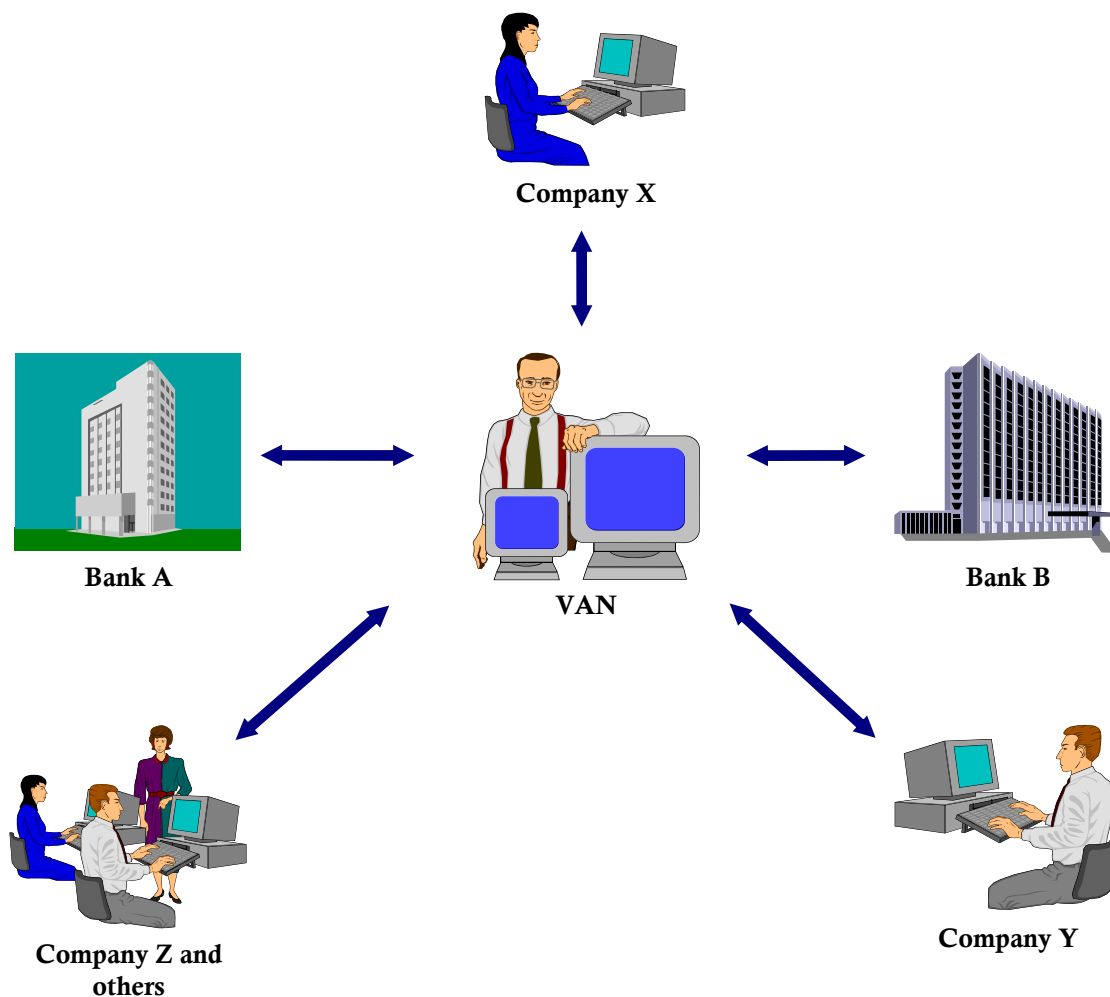
WITH EDI: DIRECT LINKS



(b) Companies linked via a value-added network (VAN)

As discussed earlier in the chapter, a VAN is a business entity that offers the service of linking business partners at a central “depot” where electronic messages can be left by one company to be retrieved by another. Companies use VANs because it would be impractical and very expensive for a business to link itself to all its trading partners and its bank. Where a VAN is used, all messages between the EDI partners would still be sent electronically, but they would be sent to the VAN initially. The services provided by the VAN would include:

- resolving any compatibility problems due to differing hardware and software requirements that the different EDI partners may have, and by providing the necessary conversion facilities between systems, protocols, etc., and
- provision of a mailbox facility that allows for storage, forwarding and retrieval of messages sent between EDI partners. The computers of the various EDI partners then simply check their mailboxes at regular intervals to retrieve any messages that have been sent and stored for them.

WITH EDI: COMPANIES LINKED BY A VALUE-ADDED NETWORK**9.10.3 Audit and control procedures**

- The basic requirements of internal control do *not* change in an electronic messaging environment. Management must still confirm that transactions are *complete* and *accurately* recorded and that they are properly authorised (*valid*).
- Many of the conventional general and application controls remain relevant, as is clear from the table below.
- When considering controls in an electronic messaging environment, the suggested approach is still to identify risks or objectives and then to determine which control procedures are most appropriate, as illustrated by the table below.

Summary of audit and control implications in an EDI environment

Risk/Objective	Appropriate controls
<i>Implementation of a new EDI system</i>	- The normal systems development controls apply: - standards specific to the development of new EDI systems should be applied, and - an EDI champion (employee) should be appointed by the steering committee to specifically oversee all EDI related matters.
<i>Continuity</i>	- The normal general controls apply here, including: - physical protection - adequate backups and redundancy, and - disaster recovery plan, for example, reverts to a manual system.
<i>Confidentiality/unauthorised access</i>	- Normal access control principles apply. - Access control principles specific to networks should also be implemented (covered earlier in this chapter). - Encryption is of importance for sensitive information, for example, user credentials (user names and passwords for authorising transactions).
<i>Fraud/error</i>	- Segregation of duties should be enhanced through physical and logical access controls. - Sound personnel practices should be applied to confirm competent, reliable and honest staff. - Supervisory control should be exercised using supervisory codes to authorise transactions, for example, after reviewing a transaction that is about to be sent electronically, a supervisor adds his personal "code" as evidence of having authorised the transaction.
<i>Loss of manual controls</i>	Compensating programme controls, for example, use of check digits on creditors a/c numbers as they are input, reasonableness check on quantities field, missing data checks, etc.
<i>Lack of audit trail</i>	- Parameters within the messaging system should be set to confirm that appropriate use is made of control logs to compensate for any loss of essential audit trails. - Reports on electronic transactions should be adequate and timely to allow for identification and treatment of problems and errors.
<i>Legal liability</i>	Use of standard EDI trading contracts to define responsibilities and penalties (see below).
<i>Use of a VAN</i> A company making use of a VAN lays itself open to the risk of unauthorised access to its "mailbox" located at the VAN. However, the company offering the VAN service will want to protect its client's data otherwise it will have very unhappy clients and will go out of business. Subscribers to the VAN always expect their data to be protected from unauthorised access, damage, loss or breaches of confidentiality.	Despite the VAN provider's desire to implement and maintain sound controls, users of VANs should insist upon: - a VAN contract that sets out the responsibilities and duties of the VAN provider and user, that will specify (among others): - message content and format details - message acknowledgement requirements - security obligations - details of liability/non-performance, and - validation checks for data received, for example, a reasonableness check on quantity ordered. <i>independent</i> certification from time to time that there is: - adequate control over physical access to storage media at the VAN

continued

Risk/Objective	Appropriate controls
	– strict logical access control – sound backup and contingency plans – enough logging of transactions at each stage of the process, and – application controls that confirm the completeness and accuracy of data.

9.10.4 Electronic funds transfer (EFT)

As discussed earlier, EFT is an electronic messaging system that transfers money electronically. Most companies currently make extensive use of paying creditors and employees by EFT. It is generally regarded to be a far safer method of paying than cash (wages), but if it is not strictly controlled, the consequences can be very severe. EFT principles are explained in terms of two examples given below.

The procedures for making EFT payments will vary depending on the bank's requirements and the needs of the business. For example, a business that makes a limited number of payments, including once-off payments, will make EFT payments in a slightly different manner to a large business that pays hundreds of employees and creditors each month. The principles will be the same. The essence of the difference is that payments can be made from either a terminal that has been authorised, (i.e., it has certain of the bank's EFT software loaded on it) or from a normal terminal that has no bank software loaded on it. The former will be more suitable for large companies wanting to transfer a file of payments as opposed to a small company wanting to make a few payments, including once-off payments. The following examples will illustrate this:

Example 1

Boomtown (Pty) Ltd, a small company, has 30 suppliers that it wants to pay by EFT. It will also need to make three or four once-off payments for other items purchased. Not all creditors are paid every month.

1. To set up payment by EFT, the financial manager will have to visit the company's bank and provide extensive evidence of his identity, the existence of the company, his authorisation to use the service, etc. The facility will then be activated specifically for the company's bank account from which EFT payments will be made. He will also provide the bank with his mobile number.
2. Once the financial manager has set up the facility with the bank, his first task will be to list the 30 suppliers on the system. To do so he will access the bank's site on the Internet. He will then log into the website by entering the Boomtown (Pty) Ltd's bank account number and PIN supplied by the bank. If this is successful, the screen will request the entering of a confidential password. On successful entry of the password, the bank's system will automatically send an SMS to the mobile number provided by the financial manager. This alerts him to the fact that someone has accessed the bank account and is just a precautionary control.
3. Following on screen instructions, the financial manager creates a list (profile) of the 30 regular suppliers that Boomtown (Pty) Ltd intends to pay by EFT. The list will contain the name and full banking details of the suppliers, for example, bank, branch, account number.
 - 3.1 To enter a supplier onto the list (initially or in the future), the financial manager must select the "add beneficiary (payee)" option. At this point the bank's system will send another SMS that contains a one-time password consisting of numeric and alphabetic characters. This password can be used only once and must be entered by the financial manager for him to be able to add a supplier onto the list of payees (suppliers). Once the list has been created, it remains on the bank's system.
4. When the financial manager actually *wants to pay* suppliers on the list, say at the end of the month, he accesses the bank account (gets an SMS to alert him that someone has accessed the account), and following the prompts, selects each supplier to be paid, and enters the amount each is to receive (all the other information, e.g., bank details, etc., is already on the system), and sets the transfer in motion by selecting the appropriate option, for example, proceed, or next. The transfer will then go through.
5. The procedure for making once-off payments is slightly different. Once-off payments are made to payees who are *not* on the profile and to which the company is unlikely to make regular payments. On accessing the company's bank account (SMS is received as usual), the financial manager will select the once-off payment option, and at this point will receive a one-time password via SMS.

- 5.1 Once this password has been entered, the financial manager will be taken through a series of screens onto which he enters details of the payee (beneficiary) and the payee's bank, account number, branch code, reference and amount to be paid.
- 5.2 On selecting the proceed option, a second one-time- password will be sent via SMS, which the financial manager must enter before the transfer will be activated. Note: Two one-time passwords are required for once-off payments as added security.
6. When payments are made in this manner directly via the terminal by an employee, the procedure is independent of the company's financial accounting system in the sense that there is no preparation of a file of EFT payments created on the company's computer system and transferred to the bank as a file.
7. It is important to note that the bank's controls do not prevent the financial manager from adding invalid payees, such as himself or an associate in an attempt to defraud the company. The bank requires a PIN and normal password, and also adds protection against unauthorised transfers by sending additional once-off passwords to a specified mobile number, *but* it will be the responsibility of Boomtown (Pty) Ltd to make sure that only valid payees are added to the profile and only valid once-off payments are made.
- 7.1 The risk in this situation arises because of a lack of segregation of duties. The financial manager has access to the PIN and password for the company's bank account and the one-time passwords come to his mobile phone. This lack of segregation of duties will be made worse if confirmation of the payment is also sent to the financial manager and even more so if he reconciles the bank statement, which may well be what happens in a small company.
- 7.2 The nature and extent of controls that a company like Boomtown (Pty) Ltd will be able to implement to address this risk will depend upon the number of employees it has, as segregation of duties will be the best preventive control. Controls over EFT payments should focus on prevention but must be supported by detective controls. Possible controls are:

Preventive

- All EFT payments should be documented on pre-printed, sequenced EFT payment vouchers.
- Each EFT payment voucher should be authorised by two employees (preferably independent of the individual making the EFT payment).
- EFT payment vouchers should be sequenced checked, and verified against supporting documentation, before being authorised. The banking details of payees receiving once-off payments, should be verified independently.
- The financial manager should log onto the bank's website and an SMS should be sent to his mobile phone, but the password to access the facility to make EFTs should not be known to him. Another senior employee should have this password and must enter it (note: the financial manager's profile should allow him to do other things on the site, e.g., download bank statements).
- The PIN and passwords should be strictly confidential, and the financial manager should not leave his mobile lying about.
- A limit on the amount that can be transferred in a single 24-hour period or in a single EFT payment should be agreed with the bank.
- The terminal should shut down after three unsuccessful attempts to access the bank account/EFT facility.
- The ability to access the Internet should be restricted to the PCs of those employees who need it to do their jobs to the extent that it is practical to do so.

Detective

- Confirmation of all EFT payments sent by the bank should be printed, matched to the EFT payment voucher and attached to it.
- From time to time a senior manager (or the person to whom the financial manager reports) should access the list of payees on the payee file and reconcile it to an audit trail of payees added and/or removed over the preceding period.
- Security violations should be logged and followed up.
- The cash book reconciliation should be carried out regularly, and by someone independent of the payment process.

Example 2

Marathon Ltd is a wholesale company that pays its creditors by EFT. The company has many creditors.

1. A company that makes a large number of payments would want to prepare a file of payments on its system that they can transfer to the bank over the Internet to pay creditors (and salaries).
2. To facilitate this, Marathon Ltd's bank would load its EFT software on a limited number of terminals at Marathon Ltd so that the access to the bank via the terminals is more secure, and the two systems can communicate with each other.
3. Access to the bank's site on the web will be gained in the normal manner via the Internet, but once the Marathon Ltd employee gets onto the site, an additional PIN and password, unique to that user, will have to be entered.
4. If this identification and authentication process is accepted, a menu of the functions available will appear, for example:
 - balance enquiry
 - download bank statement, and
 - make EFT payment.

Access to any of these functions will be directly linked to the employee's user profile, for example, some employees will be able to download bank statements, and a (very) limited number will be able to make EFT payments. Remember that the employee has already *identified* and *authenticated* himself to the system, so an additional password may not be required. The employee will then click on the function he requires to exercise his privileges. If the user profile does not allow access to the function "clicked on", there will either be no response and/or a screen message "access denied" will be sent.

5. Obviously the function that must be most protected is the EFT payment function, and the bank will require that additional controls be implemented.
 - 5.1 The first additional control is to require an additional "password" from the user. This is achieved in different ways by different banks.

Example 1

- A leading bank requires that a (physical) device, called a dongle, be inserted into the USB port of a PC *that has had the bank's software* loaded on it.
- A dongle is given only to those employees of Marathon Ltd who are authorised to make EFT payments.
- The dongle is unique to that employee and must be kept safe and secure at all times. It is in effect a "physical" password that communicates with the bank's software on the terminal.

Example 2

- Another leading bank gives the authorised employees at Marathon Ltd a random number generator. This is a small device that provides a one-time password.
 - Each random number generator is unique to the person whom it is issued to.
 - The device has its own unique registration number and, when it is issued, the registration number is linked to the employee's user profile on the bank's software.
 - Once the employee has logged onto the site to make an EFT payment, the screen will request the employee to enter his one-time password. The employee presses a little button on the device and a random number appears. Remember that the employee has already identified and authenticated himself to the system, so the system can link the random number to the employee who entered it.
 - Of course, the employee must not give his password and number generator to anyone.
- 5.2 The second additional control is to require *two* employees to effect (put in motion) an EFT.
 - One employee is to *authorise* the payment file and another to *release* the payment file.
 - The payment file will not go until both *authorise* and *release* functions have been activated, and they must happen in the correct order.
 - Once the first employee has selected the authorise option, nobody can write to the file of payments (including the employee who will release the file).

- If the releasing employee requires changes, he will have to return the file to the authorising employee who will make the change and start the process again.
 - Both parties will need to have their own additional password to carry out their functions, (i.e., the release employee will also have a dongle or a unique random number generator).
6. In addition to the controls over making the EFT payment, there must be good controls over the preparation of the file to be transferred. This will be achieved by conventional access controls and careful checking of the content of the file, for example, confirming payments to creditors against supplier invoices, etc. Of particular importance will be controls over masterfile amendments.

In a large company like Marathon Ltd, control over EFT payments should be very strict. Controls should include:

Preventive

- Strict controls over the compilation of the payments file to be transferred, for example, authorisation for masterfile changes (adding a creditor, changing a bank account number).
- Bank software is to be loaded on the minimum number of terminals necessary to facilitate EFT payments efficiently and securely.
- Only more senior employees are to be authorised to affect an EFT.
- Only a limited number of employees are to be given privileges to make EFT payments.
- Once access to the bank account has been granted, further access should be given on 'privilege principles', for example, some employees can download bank statements but not make payments.
- User IDs, PINs, passwords are to be subject to sound password controls (refer to access management in this chapter).
- Devices such as random number generators and dongles are to be the responsibility of the authorised employee at all times, for example, not left with an assistant or left lying about.
- The "two signatories" principles (authorise and release) must be applied.
- The terminals on which the EFT software is loaded should shut down after three unsuccessful attempts to access the bank account.
- An arrangement may be made with the bank to transfer the money from the company's main bank account to another clearing account and then to creditors' (or salary earners') bank accounts. Limiting the accounts to which transfers from the main bank account can be made, protects the main bank account, as attempts to transfer electronically to accounts other than the designated clearing accounts will not be successful.
- The amount that can be transferred within a 24-hour period can be limited.
- Data can be encrypted.

Detective

- A log of authorised access and access violations should be kept and reviewed; problems should be followed up.
- An audit trail of all EFT payments should be downloaded the following day and checked against the payments file.
- The audit trail should be independently reviewed by a senior official and payments randomly checked against source documentation.
- All bank accounts should be regularly reconciled in a timely manner by an employee independent of the EFT function.

9.11 The Internet/e-commerce

9.11.1 Introduction

The Internet began as a single network (ARPANET) that originated in the United States of America in the late 1960s as part of a defence research project. It has since been used to connect to hundreds of thousands of other networks in countries throughout the world. It may therefore be described as a huge network of networks all connected to make up the largest network in the world. Any company that uses the Internet takes on the risks of any network, namely, an increase in the risk of unauthorised access to its own system

and its resulting problems, including loss of confidentiality, corruption of data and programs, and the introduction of viruses.

Use of the Internet for commercial purposes is growing at a phenomenal rate. This has a direct effect on the auditor because more and more clients are using the Internet to conduct their normal business activities. Think about all the online shopping websites, everything is literally just a click of a button away.

In the same way as a LAN allows employees in an office to share computer resources in that office, the Internet allows users throughout the world to share services and resources made available on millions of computers worldwide.

A wide variety of services are available on the Internet. Different protocols are associated with each service and some protocols are recognised as being more reliable and secure than others. A protocol is simply a standard way of doing things, or to be more precise, a set of procedures, requirements and regulations for each service. The most important services, for commercial purposes, are explained by the terminology that follows.

9.11.2 Terminology

- **The World Wide Web (WWW):** This is the fastest growing aspect of the Internet and offers the greatest attraction for business. It uses a concept known as hypertext technology to link documents located at different websites. These documents are known as web pages and may include text, graphics, sound and video files. It is controlled by a protocol called hypertext transfer protocol (http). There is a more secure protocol, called https, that should be used when communicating sensitive information (e.g., credit card details) – the additional security includes encryption.

Web pages can be used:

- to market and advertise products to an audience of millions of people
 - as an online shopping, sales channel
 - to offer customers “24/7” service (i.e., access 24 hours per day, 7 days a week for every day of the year) to information, products and facilities for placing of orders and/or making payments
 - as a valuable source of information for businesses, and
 - to facilitate the download of products, for example, music, articles and information.
- **Electronic mail:** Provides users with the ability to communicate quickly and economically, using text or graphics, with other Internet users throughout the world. Email is controlled by the simple mail transfer protocol (SMTP).
 - **File transfer:** This is similar to email, but is used to look for, as well as to transmit, large files as opposed to short email messages. This is controlled by file transfer protocol (FTP). It is worth noting that there is a more secure, encrypted version, called SFTP.
 - **Remote terminal access and command execution:** This service allows access to a remote system as if you were on a terminal/PC that was directly attached to that system. Use of this service could therefore provide an organisation with access to powerful processors, large databases, useful programmes and other resources that it may not otherwise be able to access.

9.11.3 Risks and controls: Trading on the Internet

Many organisations have decided to sell their products over the Internet, providing them with a wider platform to market and sell their products. Broadly speaking, organisations will have to set up a website, design catalogues through which Internet shoppers can browse to establish whether they wish to make purchases, provide a quick and easy way for the order to be placed, and, most importantly, have some safe method of being paid for the goods purchased. Trading on the Internet presents a company with several different risks that must be controlled. The risks that arise and the control techniques required to address them are presented below. Remember that, as with all more complex computer issues, a high level of technical expertise is usually required to understand and implement controls. As a general auditor, you are not expected to have this specialist knowledge, but you should have a broad understanding of the risks and how they controlled.

- (a) **Risk:** Any company selling its products over the Internet must comply with the Electronic Communications and Transactions Act. Failure to comply with this Act, which is designed to protect consumers, may well result in the company facing liability.

Control: Appointing/consulting personnel with the necessary legal and computer skills to implement the requirements of the Act and to monitor compliance on an ongoing basis.

- (b) **Risk:** By connecting to the Internet, the company creates a channel or link to the outside world that could facilitate unauthorised access to the company's computer system. This could lead to service disruption, virus contamination, data destruction or corruption, and the loss of confidential information.

Control: A number of controls could apply, including:

- Configuring the company's own system to restrict the access that the Internet link provides to only those resources that need to be linked.
- Processing and storing particularly sensitive applications on separate systems (systems not linked to the Internet), for example, a computer that is not physically connected to the other computers linked to the Internet.
- Providing a means of restricting traffic to and from the Internet so that it all has to go through a carefully controlled route. This is achieved by introducing what is termed a firewall – specialised hardware and software that is configured with sets of rules that dictate the permitted protocols, source and destination locations. The firewall is placed between the Internet network and the company's system.
- Installing Internet and email monitoring software, for example, Web Marshall and Mail Marshall. These products can:
 - log the sites on the WWW that have been accessed by employees (this will dissuade staff from accessing illegal or unacceptable sites from the office, and wasting time on the Internet)
 - prevent users from accessing certain websites
 - control the addresses, length and content of emails by monitoring the email protocol (smtp), thus, emails to or from certain specified addresses or over a certain length or containing attachments (e.g., video footage), may not be allowed to pass
 - pass all incoming files through a virus scanner
 - encrypt emails that are sent to specific sites, and
 - control the delivery of messages to specific PCs.

- (c) **Risk:** Orders may be accepted, and the goods dispatched but payment may not be received from the customer.

Control: Before the company fills any orders, it needs to be satisfied that it is dealing with a genuine customer and that there is a very high expectation that the customer will pay. Essentially the customer needs to be identified and authenticated. This can be achieved as follows:

- The company can obtain personal details about the client (over the Internet) including citizen identification numbers, or credit card details that can be authenticated. The customer can then be provided with a password that must be kept secret and used by the customer when placing an order to identify and authenticate him- or herself.
- If further authentication is required, the customer can be subjected to "challenge-response" where, before transacting, the user is required to provide answers to questions about details that were provided when the customer opened his account, for example, what is the name of the family pet? The computer then compares the answer given by the user to the customer's file.
- An email address can be requested. This provides an additional way of tracing a transaction and allows the company to contact the address to confirm the order. It is not fool proof, but may alert a person whose email address has been used fraudulently to the transaction.
- Restricting the method of payment to credit card only. The system should obtain clearance on the credit card details supplied by the customer. A direct link with the bank will provide the supplier with confirmation that the card is genuine, not reported stolen or expired and that the account contains the necessary funds. Before the goods are despatched, the funds transfer should have been authorised. Of course, genuine card details do not mean that the owner of the card consented to its use (it may have been stolen) but that is the concern of the card owner. Passwords, pins and cards must always be kept secure. An additional point to remember is that if a person is trying to obtain goods fraudulently over the Internet, he has to gain physical access to the goods, so a delivery address must be provided. This will leave a trail, but it will be time consuming and costly to follow this up if the sale proves to be fraudulent. It is far more efficient to prevent the situation from arising.

Note: A company trading over the Internet may accept orders from a customer and charge the sale to the customer's account (i.e., like a normal credit sales/debtors transaction). In this case all the normal controls for extending credit should be adhered to, for example, creditworthiness checks, credit limits, as well as identification and authorisation of the user prior to accepting the order.

- (d) **Risk:** Information keyed in by the customer may be inaccurate or incomplete, resulting in orders that cannot be filled, for example, if the customer does not indicate the quantity required, the order can't be filled. This will lead to customer dissatisfaction and lost sales.

Control: This risk is reduced (eliminated) with adequate input validation and reasonableness checks, for example, web pages that:

- are properly designed to display spaces for all information required and are easy to follow, and
- require the customer to key in the absolute minimum.

For example:

instead of keying in the description of the item required, the customer will simply select and click against a list of goods available that appears on the screen (drop-down lists).

- contain programme checks that enhance accuracy and completeness.

For example:

alphanumeric or number fields and a mandatory field check on the quantity ordered field where an item has been selected

- all other information.

For example:

The item number pertaining to the item ordered will be linked to the description and will not have to be entered.

- (e) **Risk:** Unauthorised disclosure of confidential customer information (by hacking, eavesdropping) and/or loss of data integrity (data is changed in some way), once transmission of the transaction is underway.

Control: The inclusion and enabling of transport layer security techniques (e.g., secure socket layer) that:

- encrypts sensitive data to confirm confidentiality
- authenticates the user (thus ensuring authorised access)
- implements programmed checking that tests the completeness of data as well as any changes thereto (integrity). For example, details of the order are relayed back (on screen) to the customer by the sales system for final acceptance. The customer is required to select and click on the desired option, for example, "confirm amount" or "cancel", and
- transaction logs and transmission logs are produced and reviewed to confirm that all transactions sent were received.

- (f) **Risk:** Potential customers may be lost (and the reputation of the company damaged) if customers are not satisfied that the website does not contain malicious code or content, and that the company is a legitimate business.

Control:

- Confidence in the site can be enhanced by having the site verified (on an ongoing basis) by a reputable certificate provider; for example, Thawte and Verisign, and displaying the company's privacy policy on the site.
- Web applications should be designed to be secure. Adequate input validation, reasonableness checks and user authentication techniques must be implemented. This is a highly specialised area where specialists should be used.

- (g) **Risk:** By selling over the Internet, the company becomes a 24 hour a day, 7 days a week, 365 days a year business. Any lack of availability or functioning of the site will result in lost sales and may affect the company's reputation.

Control: A reputable service provider must be used, and the company must employ staff with the necessary computer and website maintenance skills to confirm that the website is always available and fully functional (and that the website is up to date, attractive and user-friendly). Adequate redundancy and disaster recovery that is commensurate with the needs of the business/website should be implemented.

(h) **Risk:** The consequences of incorrect pricing become more significant:

- As the company does not only sell its products via the Internet, it may be in competition with itself. For example, if it sells through retail outlets, the Internet price should not be so favourable that retail suppliers are compromised, or that overall profitability is reduced.
- If the true costs of selling over the Internet are not carefully identified before setting Internet prices, overall profitability may be compromised (i.e., the selling price of Internet products are set too low).

Control: The company must employ staff with the necessary competence, and implement information systems that provide this staff with the ability to:

- set selling prices for all products (whether they are sold over the Internet or by other means) that optimise sustained profitability, and
- identify all costs that are applicable to the Internet business, for example, transport/delivery, additional staff, warehousing and any other on an ongoing basis.

(i) **Risk:** Unless the website in some way restricts the geographical areas to which Internet sales can be made (e.g., South Africa only), the company will face the risks of international trade. The company may:

- unknowingly contravene export regulations (and import regulations of other countries)
- unknowingly contravene financial export regulations, or
- fail to meet customer expectation due to a poor delivery service (too slow, unreliable, etc.) thereby damaging the reputation of the company.

Control: Again, the response to this risk would be to employ staff who have the necessary expertise, and implement and monitor policies and procedures on an ongoing basis that can cope with these additional risks. For example, a separate department may be set up, headed by a competent Internet trading manager, and all deliveries handled by a single reputable international courier service.

Note: Even if the company does not sell outside the country's borders, if the delivery method, for example, courier or postal service, does not meet customer expectation, the business will suffer loss of sales.

(j) **Risk:** An inadequate audit trail may hinder the company's ability to defend itself against legitimate or fictitious claims or queries pertaining to a transaction.

For example:

- repudiation – the customer denies having placed the order, or
- the customer claims to have placed an order that was not filled.

Control: The methods that are used to prevent repudiation are all reasonably complex and are beyond the scope of this text. However, the control techniques that can be put in place for the company to defend itself against both repudiation and customer claims include the use of:

- digital signatures (a unique mark that only the sender of the message can make, and that is attached to the message and can be recognised or authenticated by another party)
- time stamping (that identifies the date and time of the message so it cannot be refuted), and
- having software that provides a comprehensive audit trail consisting of transaction logs, transmission logs and system activity logs that record all stages of the transaction; this is perhaps the best defence.

Remember: There are numerous other aspects of the cycle that must still be controlled by conventional means. In effect, selling over the Internet is just a revenue and receipts cycle with a difference. In our example of selling over the Internet, once the order has been received, it must still be picked, packed and despatched. Inventory must still be safeguarded, goods purchased for sale must still be properly ordered, received and recorded, and salaries and wages must still be paid. Conventional manual and computerised application controls will still be required.

9.12 Cyber security

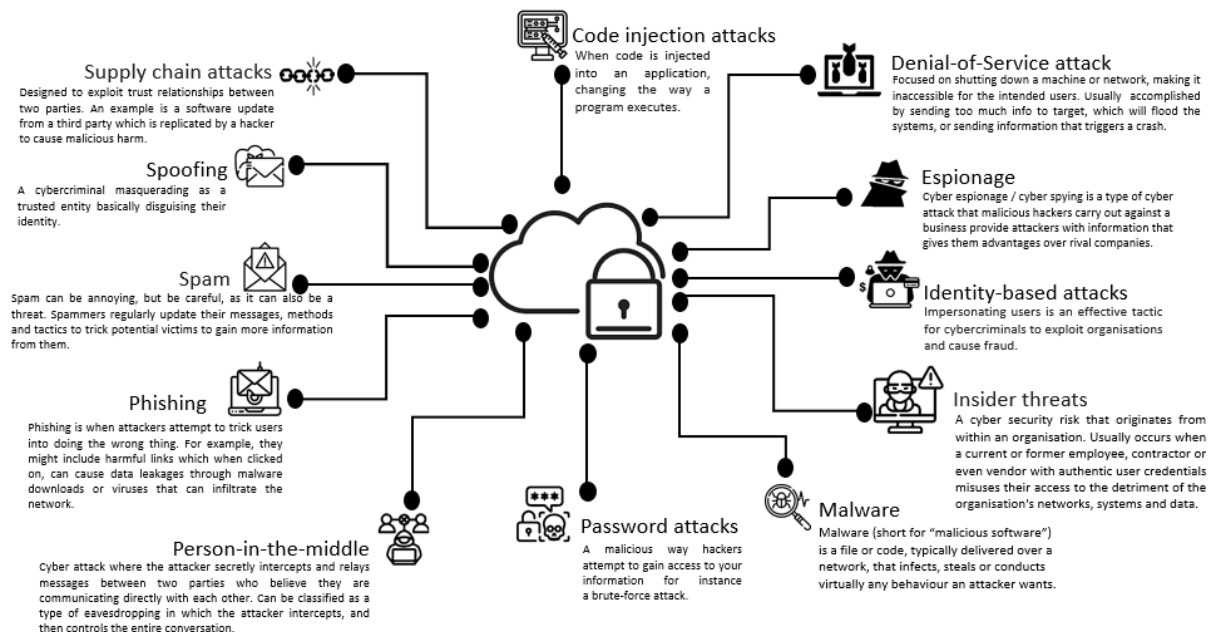
9.12.1 Introduction

Cyber security: The aim of cyber security is to protect the data, applications and hardware of a company from unauthorised access, unauthorised changes and/or criminal or malicious attacks. Widely known as the technology, processes, and practices designed to protect networks, devices, programs and data from attack, damage, or unauthorised access whether the threats are internal to the organisation or external.

- Internal cybersecurity threats can arise from careless actions, for instance if an employee loses their laptop, accidental if they share proprietary information over an unsecured public Wi-Fi connection or malicious intent, such as a disgruntled employee.
- External cyber security threats can occur through hacking (which is the brute force attack using trial and error to decode encrypted data), web or email attacks which may include malware, phishing or ransomware used by hackers to gain access to an organisations' network or systems, sabotage or the removal of media such as flash drives. External cyber security threats are almost always malicious with the intent to steal data or sensitive information that can be used against the organisation.

9.12.2 Types of cyber threats

There are many types of cyber threats, below are a few well known threats but not limited to:



9.12.3 What is the source of cybercrime?

Cybercrime is mostly committed by cybercriminals or hackers who want to exploit organisations to make money. Occasionally, however, cybercrime aims to damage computers or networks for reasons other than profit, for example to cause reputational damage. For example, if a large retailers' accounting system crashes due to denial-of-service attacks where a hacker floods the system and it stops working. Users will therefore not be able pay for their shopping on the way out of the shop, which may leave many people frustrated and annoyed and can lead to reputational brand damage. Other reasons may include political or personal reasons.

Access points of cybercrime

There are many cybercrime access points which hackers can use to gain unauthorised access to organisations' systems, networks and data. The following access points are most frequently used:

Website	Computers and servers	Point of Sale (PoS) systems	Mobile devices	Unsecured Wi-Fi networks	Email
Hackers can access specific information by exploiting the faults in targeted websites, focusing on information they are specifically looking for. For example, if they are only interested in stealing customer contact information to sell to other companies. Examples of cybercrime: • Identity –based attacks • Code-injection attacks • Malware • Denial-of-service attacks • Password attacks	Computers and servers are repositories to information. Organisations' admin passwords, logins to servers and other network devices can be stolen through malware attacks. These hardware devices hold important information such as clients' personal information and business information. A huge impact should a hacker gain access. Examples of cybercrime that can then take place: • Malware • Denial-of-service attacks • Espionage • Insider threats	PoS systems are prime targets for hackers, whose intentions are financial fraud. PoS systems with pre-loaded software can be easily hacked using an unsecured Wi-Fi network. Hackers can make unauthorised credit card charges. Examples: • Identity –based attacks	Mobile devices can easily lead hackers into an organisations' network. A successful breach of security into an employees' mobile device, which is connected to an organisation's network will lead hackers right into the network. Examples of cybercrime that can then take place: • Malware • Denial-of-service attacks • Code-injection attacks	Organisations with unsecured Wi-Fi expose themselves to hackers. For example, scammers use software that automatically tries a huge volume of usernames and passwords to unlock and gain access to the system. From there cybercrime can easily be committed: • Malware • Identity-based attacks • Denial-of-service attacks • Identity-based attacks • Code-injection attacks	Email is a platform that hackers use to deploy cybercrime tactics such as: • Malware • Denial-of-service viruses • Spam • Identity-based attacks • Phishing

9.12.4 Potential consequences of cyber threats

There are many significant impacts of cyber security breaches. The impact and significance also depend on the type of industry. For example, if the country' largest telecommunication company is hacked and all their clients' personal information is stolen, millions of clients' personal information, compared to an organisation being hacked, and debtors' personal information is stolen. Both incidents are bad, but the first example could lead to much media coverage, reputational damage, fines and financial loss.

Reputational risk as an organization can be hacked and they fail to protect their customer's data, people will generally avoid doing business with them in the future and the loss of customer and stakeholder's trust will be most harmful. This may translate in a direct financial loss.

Financial losses

If for instance a PoS is hacked, criminals will be able to steal customers' credit card details and swindle millions. As mentioned above, this may also lead to significant reputational damage.

Theft of data and intellectual property

Cyber crime does not only relate to financial losses but also to data losses especially when data is sold and used for illegal activities. Companies will also run the risk of losing intellectual property that may cause further financial losses for them.

Types of valuable data at risk of being stolen:

- Customer data
- Financial information
- Merger and acquisition information
- Sensitive information before release of financial statements during embargoed periods
- Intellectual property
- Supplier information
- Non-patented information
- Strategic plans and information

Fines

Not only will organisations suffer from financial losses and reputational damage, data protection legislation in many countries, will result in further monetary fines that organisations will have to pay.

Service disruption and operations

There are also intangible costs that can continue to disrupt a business long after the cyber crime event itself. The impact of operational disruption always tends to be woefully underestimated. Those impacted most won't have formal business resilience and continuity strategies.

9.12.5 Key controls to manage cyber threats

The following section details some key controls to manage cyber threats, this will enable the protection, detection and response (including best practices to secure organisational IT infrastructure, laptops, other portable devices, software, cloud and other storage, data etc.) including but not limited to:

Multifactor authentication (MFA) control

All users need to comply with authentication rules. Passwords alone don't offer sufficient protection, and with increasing threats and cyber criminals on the prowl, it's important to require different and additional forms of authentication. As an example, a user needs to enter their password to access their laptops. Then to log onto the network, connect to the VPN (virtual private network) and use biometrics (fingerprint) through a linked mobile device to access securely.

MFA should be enabled for every system that may hold information to a significant account or secret/sensitive data, also consider protection of master data such as client personal information and bank details.

Virtual private network (VPN)

A virtual private network (VPN) is a network that uses a public telecommunication infrastructure, such as the Internet, to provide remote offices or individual users with secure access to their organisation's network. A VPN can be contrasted with an expensive system of owned or leased lines that can only be used by one organisation. The goal of a VPN is to provide the organisation with the same capabilities, but at a much lower cost. A VPN maintains privacy by creating a secure "tunnel" in the public infrastructure using encryption.

A VPN establishes a digital connection between your computer and a remote server which is owned by a VPN provider. This creates a point-to-point tunnel that encrypts your personal data, masks your IP address, and lets you sidestep website blocks and firewalls on the internet.

All users should log into the VPN of an organisation with minimum access privileges. Admins can escalate privileges once authenticated.

Antivirus programs cannot detect an adversary who connects to the VPN with stolen admin credentials and is granted heightened privileges, and it will appear as if operating as a normal user would. Therefore, organisations have to embed controls that will consider frequent reviews of VPN logs for suspicious activity.

Remote desktop protocol (RDP)

This type of control allows for full control of a remote computer, including the local network access and storage. As you can imagine, this type of access is really powerful and therefore needs to be protected. RDP should not be openly accessible from the internet without 2-factor-authentication or MFA protection.

Infrastructure and segmentation

Organisations should have a layered approach to security. A managed detection and response platform (MDR) is needed to catch threats that include polymorphic code, abuse of legitimate tools and credentials, and detection to identify cyber-attacks as they are about to occur to prevent them.

Patch management for your perimeter devices is critical, and patch management of your 3rd party contracts such as cloud vendors is just as important.

It is also important that organisations keep abreast of the ever-changing trends to be able to respond and implement the required changes to protect the IT estate.

Incident response planning

An organisations' incident response plan should always be up to date and readily available in case of an incident.

All key stakeholders should be listed, with their contact details and communication cascade plan. This plan should be reviewed on a regular basis to ensure contacts are up to date and any new contacts are added. This plan should also be tested on a regular basis, to familiarise team members.

Time is of the essence in incident response, all 3rd parties such as media liaisons, law firms, forensic firms should be engaged and ready in case of an emergency response.

Backups

Attackers will take advantage of poor recovery capabilities, to further their extortion efforts. Organisations should assess and test recovery capabilities on an annual basis as a minimum.

Data should be reviewed on all devices to determine what data needs to be backed up, frequency, and the best medium.

Also refer to backups in section 9.2 IT general controls.

Offline backups are also critical to recover from ransomware attacks.

- Multiple backups should exist in case of data corruption, data loss and malicious events.
- Backups and the restoration of a backup needs to be tested regularly to ensure all backup and restoration procedures are well documented. Restoration of data is only half of the battle, the other half is being able to rapidly identify what needs to be restored, at what point in time it needs to be restored and most important keep engaging with business as to keep them updated on progress.

Access control

Also refer to access controls in section 9.2 IT general controls.

Having more access rights than required can significantly increase the risk of an organisations' data being compromised. The more access a user is granted, the more significant impact it would be, should an attacker unlawfully gain access to a company's system and use an employee's credentials to access data. This is why the principal of "least privilege" is so important as a user will only be granted access required to carry out daily duties for a defined period. It is equally important to revoke a users' access immediately when they leave a company and also to review and amend access when an employee transfers from a department to another within a company as to revoke permissions they no longer require.

Management of access rights for IT administrators needs to be governed very strictly as you don't want to be in a position where no control exists and many users have administrator access as this can significantly increase the risk of data breaches should a company be compromised.

Endpoint detection and response (EDR)

Also referred to as endpoint detection and threat response, is a cybersecurity solution that continuously detects and mitigates cyber threats on endpoint devices. Unlike antivirus, which relies on signature-based detections to spot malware, EDR is designed to search for suspicious behaviours, like network scanning, giving systemwide visibility for spotting suspicious behaviour.

EDR should be deployed as wide as possible in the environment as attackers may enter the network through unmonitored systems.

Security Culture Training

A company should create a culture where employees need to feel they can raise concerns and report suspicious issues. Companies should provide mandatory annual cyber security training for all employees and test their awareness by circulating a suspicious email and see who identifies and reports it as suspicious activity.

Employees should also be provided what a company's data retention policy entails. This needs to be followed as to limit exposure.

Email Hygiene

Organizations should provide training for their employees, as for them to be able to identify and report phishing emails. These days, organizations implement defence mechanisms such as controls to filter potential harmful emails before they even land in email mailboxes. MFA can significantly reduce the risk of malicious attacks that otherwise could allow unauthorised access to computer systems.

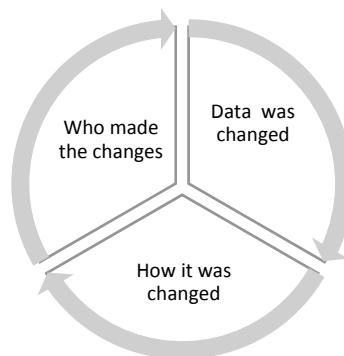
9.12.6 The role of forensic analysis (i.e. detecting and documenting the course, reasons, culprits, and consequences of a security incident)

Forensic analysis can be described as the comprehensive process of detecting/identifying, investigating and documenting the reason, course, and consequences of a security incident /violation. Organisations also use computer forensic analysis to trace information related to a system or network compromise, which can be used for providing evidence in court hearings, especially in criminal investigations to identify and prosecute cyber attackers.

The practice of computer forensics isn't only used to investigate cybercrime. Organisations can also use digital forensic experts and processes to assist with data recovery in the event of a system or network failure (through an incident/ accident or natural disaster) which may have caused data losses.

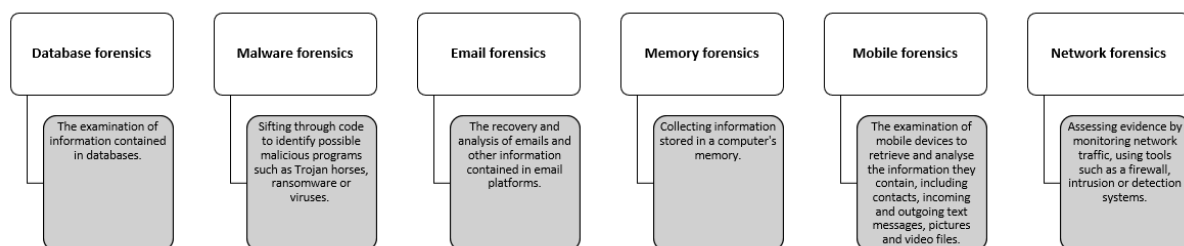
Organisations data management, data governance and network security strategy to keep confidential information secure. Having data that's well managed and safe can help streamline the forensic process should that data ever come under investigation.

Digital forensics usually starts with the collection of information in a way that maintains its integrity. Investigators then analyse the data or system to determine if:



Forensic processes are also used if data recovery is necessary, to gather data from a crashed server, failed drive, reformatted operating system or other situation, where a system has unexpectedly stopped working.

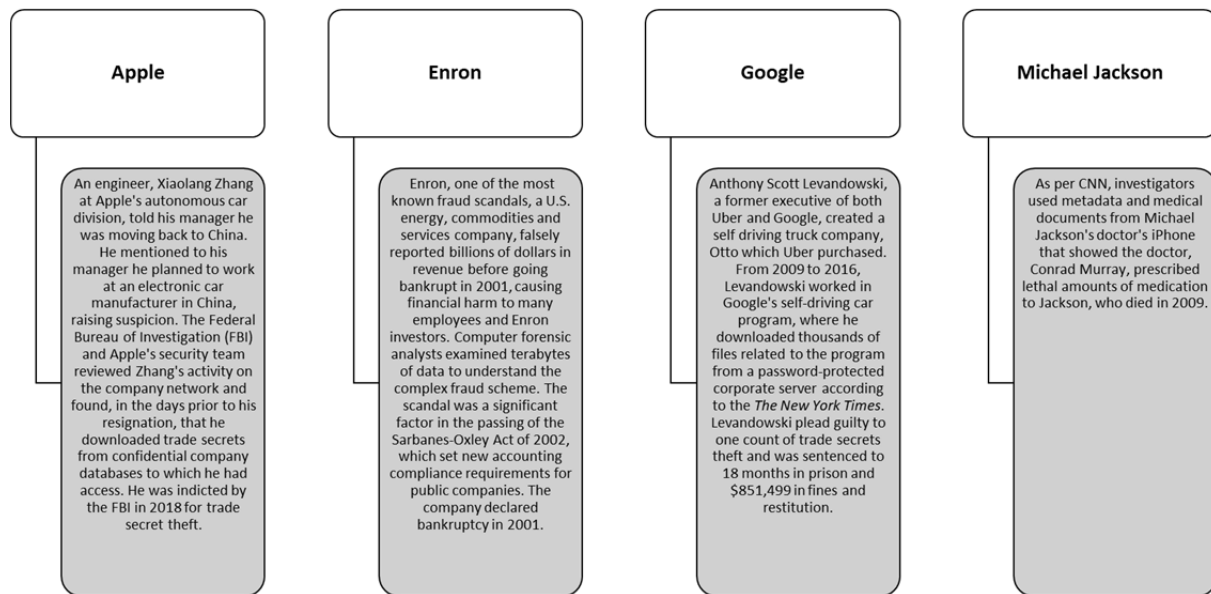
There are several types of computer forensic analyses, each focused on a specific aspect of information technology. The most familiar types are:



Forensic analysis processes usually include:

1. Collection of data, where electronically stored information is collected in a way that maintains its integrity. The device under investigation should be isolated to ensure it cannot be accidentally contaminated or tampered with.
2. It is good practice to create a digital copy which will be used to conduct the investigation (and to lock the original device in a safe or other secure facility to maintain its pristine condition). The investigation is conducted on the digital copy.
3. Assess the evidence.
4. Acquire evidence.
5. Examining the evidence.
6. Documenting and reporting.
7. Presentation; the forensic investigators present their findings with regards to a data recovery process, whether it be related to a crime investigation or accidental loss.

Some real life notable forensic analysis cases (and their consequences) include the following:

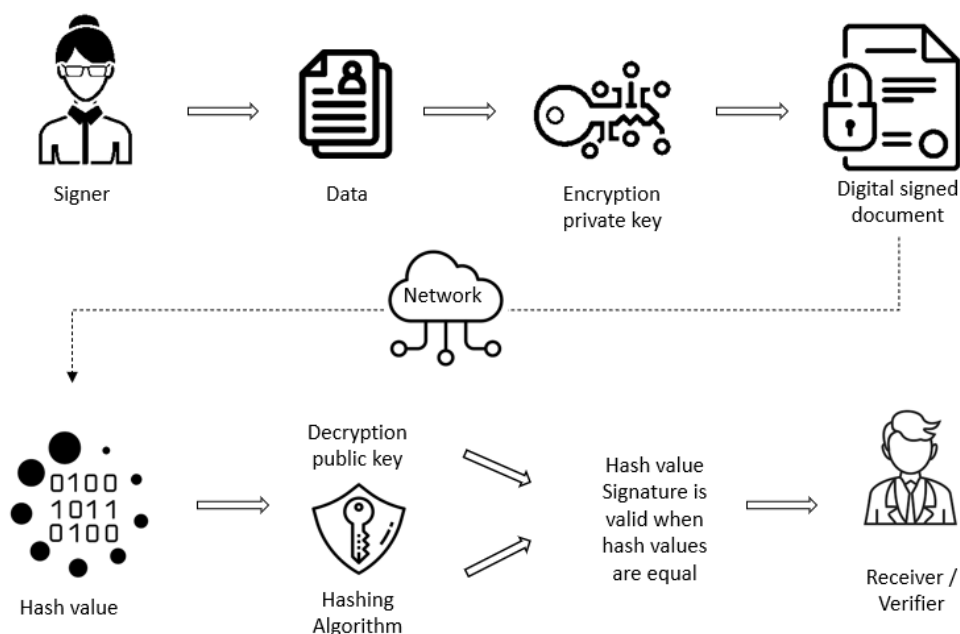


9.12.7 Public key cryptography (encryption and digital signatures)

Public key cryptography is a method of encrypting or signing data with two different keys:

- Making one of the keys, the public key, available for anyone to use.
- The other key is known as the private key. Data encrypted with the public key can only be decrypted with the private key.

A digital signature is a form of electronic signature that is like an electronic “fingerprint.” It offers additional (more secure) verification of the identities of individuals signing documents by providing an encrypted stamp of authentication and digital ID to confirm information originated from the original sender. A digital signature securely associates a signer with a document in a recorded transaction using a standard, accepted format, called Public Key Infrastructure (PKI). This to date, provides the highest levels of security and universal acceptance. PKI is used to create a unique, tamper-evident “digital certificate” that associates a signer with a document and guarantees that the electronic document is authentic, and truly represent their signature. A signer's digital certificate is used to create the signature and then attach it to the signed document. The example below depicts the flow:



9.12.8 Cyber Security audit

A cyber security audit is designed to provide a complete review and analysis of an organisations' IT infrastructure. An audit of this nature will identify threats and vulnerabilities, exposing weaknesses and high-risks that might expose the organisation.

Information Systems Audit and Control Association (ISACA) provides guidance on cybersecurity goals and audit procedures:

- Identify whether emerging risks are reliably identified, appropriately evaluated and adequately treated:
 - Confirm the reliability of the risk identification process.
 - Assess the risk evaluation process, including tools, methods and techniques used.
 - Confirm that all risk is treated in line with the evaluation results.
 - Verify that treatment is adequate or formal risk acceptances exist for untreated risk.
- Test whether cybersecurity policies, standards and procedures are adequate and effective:
 - Verify that documentation is complete and up to date.
 - Confirm that formal approval, release and enforcement are in place.
 - Verify that documentation covers all cybersecurity requirements.
 - Verify that subsidiary controls cover all provisions made in policies, standards and procedures.
- Determine whether cybersecurity transformation processes are defined, deployed and measured:
 - Verify the existence and completeness of the transformation process and related guidance.
 - Verify that the transformation process is implemented and followed by all parts of the enterprise.
 - Confirm controls, metrics and measurements relating to transformation goals, risk and performance.
- Assess whether attacks and breaches are identified and treated in a timely and appropriate manner:
- Confirm monitoring and specific technical attack recognition solutions.
- Assess interfaces to security incident management and crisis management processes and plans.
- Evaluate the timeliness and adequacy of attack response.

When performing cyber security audits, it is important to perform security reviews, tests and gap analyses. Security tests diagnose actual vulnerabilities by testing specific areas of the security infrastructure for the organisation:

- Network vulnerability tests, which are automated tests, applied from outside and inside an organisations' network to identify basic vulnerabilities to common current threats. Internal scanning looks at all endpoints and network devices for risks.
- Network penetration tests, targeted attacks on an organisations' network by white hat hackers looking for vulnerabilities to sophisticated attacks from the inside or outside networks.
- Web application penetration, a rigorous testing process that includes a series of fabricated malicious attacks to determine the level of security of the web application system.
- Social engineering tests, pretending to be a trusted party to manipulate an authorised user to provide access to confidential business secrets or information about usernames and passwords (frequently Phishing exploits).
- Wi-Fi review and testing, to examine the security of the wireless topology and design. Wireless components such as controllers, access points, clients' workstations and mobile device settings are reviewed to ensure proper security measures.
- Security configuration reviews, to examine security features implemented to protect the infrastructure.
- 3rd party vendor reviews to test whether associates are compliant with the organisations' security standards or with security regulations.

9.13 Viruses

Viruses are possible in virtually any computer environment, but the risk is increased in highly networked end-user computing environments (especially the Internet) in which large numbers of relatively uninformed users, who are not adequately control conscious, have access to computer resources.

9.13.1 What are computer viruses?

A virus is a computer programme that spreads from one system to another, eventually performing the illicit function for which it was designed. Each reproduced virus works independently of the initial virus. It is common for viruses to be transmitted via email, especially through hyperlinks that are embedded in emails where users are prompted to click on.

9.13.2 Virus categories

(a) Destructive viruses

- Massive destruction: attacks the format of storage devices, whereby any programme or data damaged will not be recoverable.
- Partial destruction: erasure or modification of a specific portion of a storage device, affecting any files stored in that portion.
- Selective destruction: erasure or modification of specific files or file groups.
- Random havoc: random changes to stored data during normal programme execution, or changes to key stroke values, or data from other input/output devices.
- Network saturation: systematic demands on computer memory or space to impede performance or cause the system to crash.

(b) Non-destructive viruses

- Annoyance: displaying messages, changing display colours, changing keystroke values (e.g., changing the effect of the SHIFT/ALT keys), deleting characters displayed on a visual display.

(c) Kinds of virus

Viruses or “malicious code” as they are sometimes called are also described in terms of their capability. Some examples follow:

- Trojan horse – code that results in the performance of an additional function that is unexpected and unknown to the user, for example, copies passwords as they are entered by users.
- Logic or time bomb – code that sets off an action when a specific condition or date occurs, for example, “on 1 April delete . . .”
- Trapdoor – code that allows access other than in the conventional manner (almost like a secret password).
- Worm – code that spreads itself through a network.
- Spyware – a programme that “steals” information from the system on which it is running, such as user names, passwords, credit card numbers, etc.

(d) Spam, phishing and pharming

Spam “attacks” email systems. The intention is to send so many useless emails to an address that the system crashes (gets saturated). This is also termed “denial of service attack”.

Phishing is the practice of sending emails to users to get the recipient to give away some confidential information, for example, confirm a bank account number and password. The email is worded and (visually) made to look very authentic and genuine but is in effect a bogus email. Many people are, however, fooled and respond.

Pharming is the illegal practice of re-directing a website’s traffic that may include confidential information from the official website to an alternate site and is a major threat to e-commerce and online banking.

9.13.3 Audit and control implications

Consider the following audit procedures when testing controls for anti-virus controls:

- Determine whether all software and data files are backed up at regular intervals (if a virus causes destruction, this will facilitate the rebuilding process).
- Assess whether antivirus software is regularly updated with the latest virus definitions and frequency of these updates.

- Question whether new updates are loaded onto all PCs as a priority.
- Question if antivirus software is used to scan all emails entering and exiting an organisation's network.
- Discuss the suppliers of anti-virus software with the client to determine whether the suppliers are reputable.
- Assess whether training is provided to all users to inform and educate them of the need for data security, and review learning outcomes to confirm that emphasis is placed on the potential threats that viruses pose to the integrity of their data, for example, spam, phishing.
- Discuss the approach the client takes when purchasing and implementing new anti-virus software (new software should be loaded onto an isolated PC that contains no critical or sensitive files, as to test the software first).
- Review instructions provided to users and confirm that users are advised not to open emails received from unknown or suspicious sources.

9.13.4 Risk implications

- Viruses that log key strokes can obtain personal information and then be used to commit identity theft and fraud. This may result in reputational damage for the organisation.
- Viruses can be used to corrupt data and if no adequate backups exist, can lead to loss of data.
- Viruses can affect software performance and stability and can cause severe financial losses.
- Viruses can lead to hardware failure that is very costly to replace or repair.
- Viruses can be expensive to get rid of depending how deeply embedded in your system they are.

9.14 Service company/service management organisation

9.14.1 Introduction

A service company is a business entity that processes other entities' data for a fee. The bureau provides the necessary hardware, software and skills to perform the function. This may be appealing to certain companies as it means that they do not have to outlay money for equipment and computer staff.

Some companies use bureaux to enhance confidentiality of sensitive information, for example, salaries may be processed off site by a service company. The use of a service company simply means that a stage in the accounting process does not take place at the client, but at a separate business entity. However:

- data must still be input
- data must still be processed, and
- output will still be created.

It follows therefore that controls over each of these functions must still be maintained but that the responsibility for the controls in each function will depend upon whether the client or the service company is performing the function.

9.14.2 Terminology

A service company may provide several different levels of service, including:

- **Facilities management** – in which computers are housed at the service company and the service company staff may provide infrastructure support for the hardware, operating system and database, but applications are managed by the business itself
- **Application service providers (ASPs)** – the entire service related to a particular application is provided by the service company, or
- **Full outsourcing** – in which case all IT services are provided by the service company.

9.14.3 Audit and control implications

As indicated above, when a company uses a service company it is adding another dimension to the accounting system that will need to be controlled. The auditor, in formulating his audit strategy and plan, will need to evaluate the controls over the use of the service company. Ultimately, he needs to determine whether the accounting system, of which the service company is now a part, and related internal controls, will provide valid, accurate and complete data. Of course, it is in the interest of the client and the service

company to precisely provide that, but the auditor cannot rely on this and will therefore need to evaluate the service company's role.

It is very unlikely that the service company is going to allow the auditors of all its clients to come in and perform an in-depth evaluation of its general and application controls, because doing so would be impractical and inconvenient. At the same time the auditor cannot simply disregard the service company's role. The auditor's assessment of the service company will probably be centred on:

(a) An assessment of the service company's suitability

For the auditor, the use of a service company by a client is similar to relying on an expert. Hence the auditor should assess the professional reputation of the service company including:

- its competence
- its independence in relation to the auditor's client
- its stability
- the range of services offered to the client
- the reputation for confidentiality the service company enjoys (and from a going concern perspective that the organisation has not been in the news/social media for negative press during the year)
- the security arrangements the service company employs to safeguard the integrity of the clients' files, reports and programmes
- its efficiency and reliability in meeting deadlines, and
- its ability to service the client using the most reliable and up-to-date computer developments.

It is not always easy for the auditor to assess the above, but he should make the best use possible of trade publications, professional bodies to which the service company may belong, and discussions with the client and other users as well as a review of correspondence between the client and service company, that may provide evidence of the above. The auditor should also observe the relationship between his client and the service company to gain the above insights.

Some service company will arrange independent evaluations of their business from time to time. It is in their interests to do so as the evaluation report can be used to promote the service company. If such an evaluation exists, the auditors of the service company's clients should make use of it; for example, a report, that provides an independent opinion on the operating effectiveness of the key controls operating at the service company.

(b) An evaluation of the service company agreement

This agreement is very important as it defines the responsibilities of the client and service company and will be the primary source of reference in any dispute. It should cover the following:

- identification of liaison personnel and their authority, at both the service company and the client, for example, if there is a problem, the person to be contacted
- a description of:
 - the input to be provided
 - the processes to be performed, and
 - the output
- deadlines for input and output delivery, and the procedures and consequences of these deadlines not being met
- service company responsibility in respect of:
 - data preparation
 - input control, and
 - masterfile amendments – how they happen and how they are authorised, etc.
- client responsibility in respect of:
 - data acceptance
 - handling errors, and
 - notifying client of system changes/programme developments
- backup processing arrangements
- ownership of data files, programmes and documentation

- liability of the service company for loss of data in any of its forms (e.g., files, input documents)
- the term, renewal options and cancellation of the agreement
- basis of fee charging for various services offered
- insurance cover for the service company
- fidelity insurance for service company employees
- disaster recovery plans
- the access the auditor might or might not be entitled to, and
- training and support of client personnel who interact with the service company.

Typically, these agreements include formalised service levels. These service levels are often reported against in monthly reports. In many cases there are penalty clauses for non-compliance with the contracted service levels.

(c) An evaluation of the controls put in place at the client over the functions that are the responsibility of the client

This will involve performing conventional tests of controls (observation, enquiry, inspection, etc.) over the functions that are the responsibility of the client, for example, gathering data for processing or reconciling output.

Remember that the use of a service company takes care of only certain functions within a cycle. The other functions must still be controlled as they would be if computing took place at the company itself. For example, a service company may process a client's wages, but the client is still responsible for the personnel function, time keeping, and possibly making the relevant EFT payments to employees, all of which will still be evaluated and tested by the auditor. Equally, substantive tests will still be performed as required on transactions, balances and totals.

Assurance reports

The service company/service management organisation will have to obtain an ISAE 3402 report from its auditors that provides its clients with an assurance report over the controls. As the auditor, you may consider the ISAE 3402 report as part of your audit where the client has outsourced its controls to a service management organisation.

9.14.4 Risk implications

- Loss of control over processes, standards and defined IT policies.
- The SLA must define expected turnaround times and financial penalties for the service management organisation as poor performance causes reputational damage and potential financial losses for the company.
- The service management organisation must have adequate security features in place to avoid data and system breaches that can lead to compliance risks for the organisation.
- When unexpected system downtime occurs, loss of productivity could be longer when the service management organisation needs to resolve the issue versus an internal person having to do so.
- The service management organisation might have access to sensitive data and there is no certainty as to how confidential they will keep the data.

9.15 New developments

9.15.1 General

This section focuses on more complex issues, new technology that inevitably will have an impact on the audit and how to respond to new developments that may impact the technology landscape of an audit client.

With the rapid speed of technology many organisations have chosen to embrace the technology era and have in some form adopted IT within their businesses. Large corporates have embarked on extensive technology journeys, spending millions on transforming the way they work, even moving all their platforms from localised on-premise architecture to highly sophisticated digital and cloud based solutions. Although organisations have made significant investments in IT, some have overlooked the detailed risks that complex IT solutions may pose to their business.

IT is a constantly evolving technology and if an organisation wants to be one step ahead of its competitors, it must be aware of the current trends and innovations within their industry.

Ultimately, the auditor will play an integral role having to provide assurance over these new technologies and developments to assess the potential impact and risk that these technologies expose an organisation to.

9.15.2 Trends in information technology (IT)

Some of the newer developments you may come across at your audit clients but (considering the rapid speed of technology) not limited to:

- **Cloud computing:** Cloud computing allows you to store data on a remote shared server instead of using a local server. This will result in efficiencies as well as cost savings as organisations will require less IT resources.
- **Internet of Things (IoT):** This is the ability of devices to communicate with each other via the Internet without much human intervention, for example, activating machinery via a mobile application remotely.
- **Big data:** By definition, the collection of large data sets within an organisation. The data is then analysed to reveal patterns, trends, and data relationships. A great way to interpret large sets of data.
- **Mobile applications:** A mobile application is a software application developed specifically for use on small, wireless computing devices, such as a smartphone rather than a desktop or laptop computer.
- **Artificial intelligence:** The development of computer systems able to perform tasks normally requiring human intelligence.

These trends can have a significant financial gain for an organisation when incorporated into its IT systems as it will lead to an increased client base.

9.15.3 Mobile applications

9.15.3.1 Introduction

These days, everyone has a mobile application and organisations are using this to their advantage. Mobile applications are fast becoming an alternative, and very lucrative sales channel for many. It is expected that by 2024 the total mobile applications downloaded will be in the region of 853 billion, and the Financial Mirror reported that there are 6.6 billion mobile users globally. The growth in downloads can be attributed to major smartphone manufacturers' regular hardware updates and introduction of new features. Many of these applications are core to global businesses, and companies depend on them financially.

Mobile applications can be used as a strategic asset to support an organisation in multiple ways. Mobile devices have become more freely available to the man on the street as smartphones have become increasingly more affordable over the last number of years. This has simplified many business functionalities and effortlessly made the human dependent on its use. For example, mobile devices enable organisations to engage with their customers on a client centric convenient platform and support quality customer service. Mobile applications are also useful to use as sales and marketing tools as well as to fulfil compliance requirements.

The innovative way mobile applications are developed will create the need for increased rigor relating to governance, risk management and transparency within an organisation.

Mobile applications are the future and can have a significant financial benefit and competitive advantage when implemented and managed appropriately. In addition, to mobile devices, take into consideration that there are also smartwatches that support these same applications.

For example, many banks now allow for mobile cards to be loaded on your mobile phone or smart watch. This means that you can purchase anything in store or online without your bank card, but using the 'virtual card' loaded on your phone or smart watch.

These applications are available on two platforms, Google's Android or Apple's iOS mobile operating systems. Therefore, when applications are being developed by an organisation, they need to be compatible for both Android and Apple iOS development, their respective controls and compliance requirements.

The audit of mobile applications is necessary to confirm the confidentiality of sensitive information that is handled by both internal and external applications. Auditors have to test the implementation of mobile applications, the on-going governance thereof and the protection of sensitive data (inclusive of interfaces).

Several examples of mobile applications that may exist within organisations, or where organisations have been established due to a very successful mobile application are as follows:

1. Lifestyle mobile applications promoting: fitness, dating, food, music and travel, such as Spotify, TripAdvisor, Apple Music and Uber.
2. Social media mobile applications: building social networks. Many applications, including Facebook, Instagram, Pinterest and Snapchat allow you to share photos, products, high scores, or news items with your social network.
3. Games/entertainment mobile applications: these apps, such as Angry Birds, Clash of Clans and Subway Surfer, are popular among developers because they bring users back multiple times each week, sometimes multiple times per day.
4. Productivity mobile applications: these applications, such as Docs, Sheets, Wallet/Pay, Evernote and Wunderlist, help their users accomplish a task quickly and efficiently, making what are sometimes mundane tasks easier and perhaps a little more fun.
5. News/information mobile applications supply their users with the news and information they're looking for in a user-friendly layout that efficiently navigates them to the things they care about most. They include, for example, Smartnews, Flipboard and Google Weather.

9.15.3.2 Terminology

- **Smartphone:** A mobile device that performs several of the functions of a computer, generally has a touchscreen, Internet access, and an operating system capable of running downloaded apps.
- **Mobile application:** A mobile application (app) is a software application developed specifically for use on small, wireless computing devices, such as a smartphone, rather than a desktop or laptop computer.
- **iOS operating system:** iOS is a mobile operating system created and developed by Apple Inc. Apple iOS is considered a closed source and is solely "subscribed to" by Apple products.
- **Android operating system:** The Android OS is an open-source operating system mainly used in mobile devices. It is written in Java and based on the Linux operating system. It was initially developed by Android Inc. and was eventually purchased by Google in 2005.
- **Smartwatch:** A computing device worn on a person's wrist that offers functionality and capabilities similar to those of a smartphone. Smartwatches are designed to, either on their own or when paired with a smartphone, provide features like connecting to the Internet, running mobile apps, making calls and more. A number of companies currently have smartwatches on the market, including Google, Samsung and Apple (the iWatch).

9.15.3.3 Audit and control procedures

The auditing of mobile applications is imperative in order to confirm that the controls that have been embedded in the application functions accurately, and that the mobile application interfaces accurately and completely with the back office (financial applications and all supporting infrastructure). The auditor will be required to test new and existing mobile applications as well as the controls governing the mobile application data/information that supports the everyday functionality.

As part of the entity level control tests, the auditor needs to identify the existing mobile applications, their purpose, any development that occurred during the financial period and supporting infrastructure:

(a) Planning phase

Once the entity level control tests have been performed for mobile applications, the auditor will be in a position to perform mobile application control testing.

- Determine **security measures** and configurations. For example, detection of code protectors, firewalls, code jammers, authentication and authorisation mechanisms.
- Determine how the **mobile application interfaces** with the back-office applications to transfer data. For example, sales that are made via a mobile application and an interface with a bank.
- **Review interface exception reports** between mobile applications and back-office applications/databases for evidence of reviewing the reports and the correction of differences.
- Review the information stored on the mobile application and the controls to prevent access to sensitive data.

- Determine whether the organisation has implemented **version control** for the mobile application to track all changes to the source code.
- Determine whether the organisation has implemented **data encryption** to prevent unauthorised access to the source code.
- Determine whether the organisation has implemented **antivirus and antimalware** software.
- Determine whether **information/content provided on the mobile application is derived from an external source**. For example, where an organisation offers international sales on its mobile application, exchange rates are obtained from the web daily.
- Review the **business logic and whether the code pertains to a secure back-end** web or application server on a cloud or in a database.
- Determine whether adequate licenses are available for mobile applications.
- Determine whether the organisation has defined governance procedures to manage mobile applications and their performance.
- Consider compliance and legislation relating to mobile applications and whether policies have included these aspects. There are guidelines, requirements and rules from the App Store that also have to be adhered to.
- Determine whether mobile applications have a custodian/owner.
- Determine whether any **key man dependencies** exist.
- The auditor should consider performing **pen testing that incorporates stress testing and hacking** into mobile applications in a real-time environment to ascertain whether confidential information can be retrieved from the mobile application.

(b) Auditing of a third-party mobile application service provider

Many mobile applications are not hosted by the organisation itself due to costs, but are instead hosted by a third party, that poses additional risk and reliance on others (consider obtaining ISAE 3402 reports from service providers hosting mobile applications).

The auditor should:

- Determine whether the organisation has outsourced to a third party to provide mobile application services and review the service level agreements.
- Determine whether the mobile application impacts privacy relating to customers and controls that have been implemented to restrict exposure.

For IT general controls, consider testing the following:

- Review **logical access and change management of masterfile data** that is the “source” of the mobile application information.

9.15.3.4 Risk implications

Successfully managing strategic risk is a product of assessing risk from both a historical and futuristic perspective. Although managing strategic IT risks within the mobile application process presents its challenges, if done successfully, the business will not only gain through protecting its intellectual property but will ultimately gain by improving its competitive advantage.

Some of the key risks and threats that need to be taken into consideration (cybercrime):

- Hackers may try to breach your firewall to obtain sensitive data.
- **Lack of complete service level agreements**, as many mobile applications are outsourced and managed by independent tech companies.
- No mobile application custodian or owner within the organisation.
- Lack of IT controls relating to mobile applications.
- **Lack of version control** for the mobile application source code.
- Lack of interface management around mobile applications.
- A **lack of governance** and reporting of mobile applications performance.
- An “open” cellphone that has been stolen will expose the mobile device and the authentic software restrictions may have been compromised. These devices are **vulnerable to malware** and may pose a risk to mobile applications.

- **Risk of identity theft** for mobile application users, should the application be hacked.
- A mobile application is only as secure as the device it is hosted on.
- **Multi-platforms pose a risk** that the application may not be displayed correctly on different types of devices.

9.15.4 Going mobile/Bring your own device

9.15.4.1 What does it mean to be “going mobile”/bring your own device?

Until recently, mobile devices were only used for communication purposes. However, in the past few years a phrase has been coined, namely, “Bring Your Own Device” (BYOD).

Organisations are widely encouraging staff and clients to BYOD as online services are also provided on mobile devices through either mobile applications or mobile-friendly websites.

This growing trend will continue to increase services, like mobile banking, providing customers with value-added services or contactless mobile payments. The development of connected objects, also referred to as the Internet of Things (IoT), will have an impact on the development of mobile applications as users will have the ability to control sensors and processes through their mobile applications.

9.15.4.2 Terminology

- **Bring your own device (BYOD)**, also referred to as bring your own technology (BYOT), bring your own phone (BYOP) or bring your own personal computer (BYOPC), refers to the policy of permitting employees to bring personally owned devices (laptops, tablets and smartphones) to their workplace, and to use those devices to access privileged company information and applications. The phenomenon is commonly referred to as IT consumerisation.
- **IT consumerisation** is the proliferation of personally owned IT at the workplace (in addition to, or even instead of, company-owned IT), that originates in the consumer market, to be used for professional purposes.

9.15.4.3 Audit and control implications for mobile device integration in an organisation’s network

Organisations supporting BYOD for employees and visiting clients need to confirm that a mobile device that is not controlled by the organisation does not add new threats once connected to the network. As the auditor, consider the following tests:

- Assess the type of access or services that will be allowed for BYOD devices.
- Determine whether organisational restrictions apply (e.g., no access to social media) or devices may have access to intranet, corporate emails or even server files or internal infrastructure. The more unrestricted the access to company assets, the higher the risks to the company.
- Review the management of access through third-party applications that will introduce additional security threats. Determine whether access requires alignment of the organisation’s passwords, email requirements to prevent unauthorised access and management of access to confirm that access is deactivated, and stored data wiped when the employee leaves the organisation.
- Enquire whether the organisation has implemented encryption software to protect the network. Antivirus and/or anti-spyware software. It only takes one mistake or one employee breach for the entire network to be compromised.
- Review the BYOD policy defining the allowed use of mobile devices (also review clauses pertaining to the remote wiping of the information on mobile devices and mobile applications in the event of the device being stolen).
- Assess whether the organisation has documented the sensitivity of data that will be available on the mobile applications and devices, and the impact of the reputational damage in the event of the data leaking.

As part of the audit, you may be required to review the organisations’ BYOD policy. The BYOD policy will define acceptable business use relating to devices that are not owned or managed by the organisation, but directly or indirectly support the business. Many employees use their own devices for email and strictly confidential client information may be easily available on these devices should they be lost, stolen or compromised. Consider the following to be represented in the BYOD policy:

- Review the policy to determine whether the organisation defines specifics about what devices are allowed, how they are allowed to be used, and best practices for security.
- Examine the policy for access management and password controls – determine whether devices must be password protected when logging onto the organisation's network and a strong password is required to access the organisation's network (in line with access management password policy described earlier in this chapter, refer section 9.2.3).
- Review the policy and determine whether the policy stipulates the following good practice controls:
 - A device must lock itself with a password or PIN if it is idle for a certain number of minutes to prevent unauthorised access.
 - After three failed login attempts, the device will lock and IT will need to be contacted to regain access.
 - Smartphones and tablets that are not on the organisation's list of supported devices are/are not allowed to connect to the network.
 - Smartphones and tablets belonging to employees that are for personal use only are/are not allowed to connect to the network.
 - Smartphones and tablets belonging to clients are restricted to only access limited information.
 - Applications that pose more risks to mobiles have been identified and are blocked from the network, for instance, Facebook and Instagram.
 - Employees' access to company data is limited based on user profiles defined by IT and is automatically enforced.
 - The company reserves the right to disconnect devices or disable services without notification.
 - Lost or stolen devices must be reported to the company within 24 hours. Employees are responsible for notifying their mobile carrier immediately upon loss of a device.
 - The employee is expected to always use his or her devices in an ethical manner and to adhere to the company's acceptable use policy, as outlined above.
 - The employee assumes full liability for risks including, but not limited to, the partial or complete loss of company and personal data due to an operating system crash, errors, bugs, viruses, malware, and/or other software or hardware failures, or programming errors that render the device unusable.
 - The organisation reserves the right to take appropriate disciplinary action up to and including termination for non-compliance of the BYOD policy. The employee's device may be remotely wiped if:
 - the device is lost
 - the employee terminates his or her employment, or
 - if IT detects a data or policy breach, a virus or similar threat to the security of the company's data and technology infrastructure.

9.15.4.4 Risk implications

Going mobile adds to the risks that organisations have to manage, and will most definitely be reason for concern to the auditor, as integration and security of mobile applications are two key challenges for many organisations.

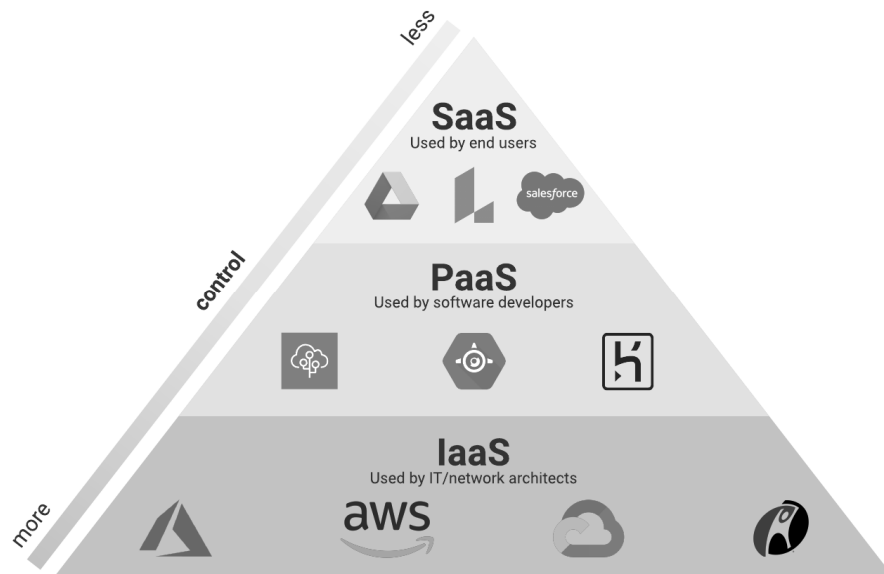
9.15.5 Cloud computing

9.15.5.1 Introduction

Cloud computing stores accesses data using remote Internet storage rather than local storage on your computer network. The cloud computing services are paid for by a cloud customer as and when needed. These services are classified into three categories: Infrastructure-as-a-Service (IaaS), Platform-as-a-Service (PaaS) and Software-as-a-Service (SaaS).

Cloud computing examples:

- SaaS: Salesforce
- IaaS: DigitalOcean
- PaaS: AWS



9.15.5.2 Terminology

- **Storage:** Data from applications, databases, data warehouses, archiving and backups are stored via a process called storage. It is a mechanism that enables computers to keep data.
- **Network:** A network is two or more connected devices that can communicate with each other. A network comprises several computer systems that can be connected by physical or wireless connections. It can be a personal computer sharing data to global data centres or even to the world-wide-web itself. Networks can share information and resources.
- **Software-as-a-Service (SaaS):** This is a software distribution model in which a third-party provider hosts applications and makes them available to customers over the Internet. SaaS is one of three main categories of cloud computing, alongside infrastructure as a service (IaaS) and platform as a service (PaaS).
- **Infrastructure-as-a-Service (IaaS):** This form of cloud computing provides virtualised computing resources over the Internet.
- **Platform-as-a-Service (PaaS):** This is a cloud computing model in which a third-party provider delivers hardware and software tools, usually those needed for application development. A PaaS provider hosts the hardware and software on its own infrastructure.

9.15.5.3 Audit and control procedures

As the auditor you will be required to do the following:

- Determine what data is hosted on the cloud.
- Verify that only authorised staff has access to the relevant cloud services.
- Confirm that the cloud service provider has adequate data and security policies in place.
- Confirm that a service level agreement (SLA) exists between the cloud service provider and the organisation, and that it is relevant for the period.
- Determine whether the SLA is managed and monitored and whether any issues were raised during the financial period.

9.15.5.4 Risk implications

- Unauthorised access to cloud computing that may result in financial losses.
- The SLA may not be applicable for the period and expose the organisation.
- The IT control environment of the third party may not be sufficient and may expose the organisation.
- As cloud computing uses remote storage, different compliance and regulatory requirements can apply based on the location of the cloud storage service provider. This may result in significant fines.
- Financial losses could be incurred as cloud computing costs are more expensive nowadays than a few years ago if not implemented as required and then changes need to be re-tested and implemented.

9.16 The use of mobile information and communication technology on audits

It has been common practice for auditors for many years to “audit with the computer”, using laptop computers to perform many of the fundamental tasks required. These laptops have enabling facilities and software that the auditor is able to use to create and store clients’ audit files, download client trial balances and other financial information, complete work papers and audit programmes, refer to relevant legislation, standards, complete timesheets, and many other tasks. As computers become more and more integrated with communication technology, audit management and their teams are evolving towards being able to communicate to and from remote client locations so that critical audit information is shared instantly, backups are made to secure central servers and information on the audit firm’s office networks can be updated wherever audit staff happens to be. This brings some security issues to light just in the same way as it would have if this information were being manually transferred. Before considering security issues, this section looks at how portable information and communication technology assists the modern auditor.

9.16.1 What this technology can do

9.16.1.1 Planning and administration

- Audit files can be maintained, updated and shared by all members of the audit team.
- Soft copies of engagement letters can be reviewed and updated as needed.
- Available financial data can be communicated to the auditor and charted/graphed/analysed, for example, to assist with the performance of a preliminary analytical review.
- Spreadsheets can be used to produce risk matrices and document all the factors considered in assessing the risk of material misstatement by assertion and determination of planning and performance materiality.
- Copies of standard audit programmes/prior year audit programmes can be tailored as and when necessary, for use on the current engagement.
- Spreadsheets can be used to prepare detailed time and money budgets so that actual audit times can be loaded at regular intervals to allow audit supervisors to effectively monitor progress and costs.
- Industry-specific information can be downloaded from the Internet to assist the audit team in gaining an understanding of the entity.

9.16.1.2 Obtaining an understanding of internal controls

- Graphics and flowcharting packages facilitate documenting and updating of the auditor’s understanding of client systems.
- Soft copies of standard internal control questionnaires (ICQs) can be used to enable client responses to be updated directly onto electronic work papers.
- Intelligent software and/or exception reporting facilities can be used to summarise weaknesses identified by the completion of ICQs to facilitate evaluation of audit risk and planning of the audit.
- Expert systems/databases can be used to assist with risk assessments and identifying appropriate audit procedures.
- Management letter points on systems and control weaknesses, and drafting of the management letter can be facilitated by integrating audit software, relevant databases and word-processing functions.

9.16.1.3 Obtaining and documenting audit evidence

- Prior years’ work papers and audit programmes, including comparatives where applicable, can be rolled forward and updated in respect of the current audit.
- Audit software can be used to assist with selection of random statistical samples, calculation of appropriate sample sizes and the evaluation of the results.
- Soft copies of confirmation letters can be prepared/updated by audit staff and passed to clients for printing without having to return to the auditor’s office.
- Client trial balances can be emailed or downloaded onto multimedia and audit software can then be used to:
 - create electronic work papers, and
 - allow for automatic updates to all affected work papers when audit adjustments are processed.

9.16.1.4 Preparation and review of financial statements

- Consolidation modules may be incorporated into audit software to facilitate the production of consolidated financial statements.
- Client tax computations/formulae can be automatically checked using appropriate programme functions, for example, spreadsheet programmes have such functions.
- Soft copies of standard formats for the presentation of financial statements can be:
 - amended/tailored to suit each client's particular requirements and
 - integrated with trial balance functions to allow for automatic generation of financial statements.
- Again, use can be made of spreadsheet-based financial modelling programmes to assist with the performance of an overall review.

9.16.1.5 Application of generalised audit software

- Client files can be saved to multimedia storage devices to enable the auditor to apply procedures to the information through audit software (e.g., select a monetary unit sample selection from a debtor's file).
- The auditor should generally not gain access to the client's environment to perform tests unless the client creates a copy of the live environment in a test environment for the auditor to use. The copy will have to be reconciled.

Refer to computer assisted audit techniques for a full discussion on generalised audit software.

9.16.2 Security implications of using mobile information and communication technology on audits

The use of such technology on audits brings with it the need for adequate security in two main areas:

- security over audit "work papers", and
- security over client information when being interrogated/manipulated or communicated by the auditor.

9.16.2.1 Security over "work papers" – controls to restrict unauthorised access to the firm's computers and storage devices

- All audit staff must be thoroughly briefed on the importance of maintaining the confidentiality of the data on their computers and storage devices.
- Computers should be switched off when not in use and time-out facilities should be enabled.
- User IDs and passwords should be required to start the computers and access applications. Sound password controls should be adhered to.
- The audit senior should act as a "mobile librarian" and should, for example, be responsible for:
 - ensuring all computers/storage devices left on the client's premises are locked away securely (audit team members will usually be responsible for their own laptops)
 - ensuring backups are taken and kept secure, and separate from computers, especially overnight and over weekends
 - monitoring the use of storage devices by the staff under his/her supervision
 - returning all storage devices that are no longer required to the audit firm's office.
- Sensitive information, such as management evaluations, should not be taken to the client's premises.
- There should be a library system at the audit office under the control of a designated librarian or administration manager. Sound controls should be implemented, including control over the movement of (hard copy) files and multimedia/storage devices.
- Controls over files/storage devices should confirm that they are signed out by the person withdrawing them for use.
- All backup copies should be equally well protected.

9.16.2.2 Security of client files

Precautions must be taken to prevent destruction of or damage to client files.

- Where possible, copies of the client's files should be made and only the copies accessed.

- Where it is necessary to access the files themselves (e.g., where there is doubt as to whether the copy is the same as the original) then:
 - only audit software that has been thoroughly tested by a computer audit specialist should be used
 - the full procedure should be done in the presence of the client's IT personnel
 - the software should be “read only” software if possible
 - access should be restricted to only those files necessary for audit purposes
 - the client's staff should not have access to the audit software, and
 - the client should have backed up all information to time of access by the auditor.

Revenue and receipts cycle

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10.1 Accounting system and control activities

10.1.1 Introduction

Chapters 10 to 14 cover the basic business cycles that are found in the accounting system. Each chapter outlines three main sections – the accounting system and control activities in the cycle, a narrative description of the cycle at ProRide (Pty) Ltd, and finally, the considerations and actions when auditing the cycle.

The revenue and receipts cycle is covered in this chapter. Chapter 11 then deals with the acquisitions and payments cycle. Chapter 12 covers the inventory and production cycle, that is, an internal cycle linking both the revenue and acquisitions cycles. Chapters 13 and 14 outline the payroll and personnel cycle and the finance and investment cycle respectively.

10.1.2 Objective of the first section of the chapter

The revenue and receipts cycle is sometimes referred to as the sales and collection cycle and perhaps this name better describes the activities of the cycle. This chapter deals initially with the accounting system (that is part of the company's information system) and the control activities that are put in place to control the sale of the company's goods or services, and the collection of amounts owed in respect of those sales. The latter part of the chapter deals with the audit of the cycle.

Our objective in the first section of this chapter is to provide you with the necessary information to understand how revenue- and receipts-cycles function. Revenue and receipts systems can vary considerably; the approach in this chapter is to provide a thorough knowledge of a manual system and then to illustrate how things may change as computerisation is introduced into the system. Remember that computerisation does not change what is required of the system, for example, take an order, pick the goods, raise an invoice, etc., but it does change how the transactions are carried out and recorded.

10.1.3 Characteristics of the cycle

10.1.3.1 Variation

A number of different products and services are sold by companies, which means that there will be plenty of variations in the systems you encounter in practice.

For example, goods can be sold over the counter, over the Internet, over the phone or as a result of a hardcopy customer order. Physical objects are sold as well as non-physical objects (e.g. services) and a "sale" may take a long time to complete (e.g. in a construction contract or a gym membership contract) or may be instantaneous (e.g. over-the-counter cash sale).

10.1.3.2 Cash sales

Many businesses sell goods for cash and on credit to account holders. Having cash in the business is a security risk that must be addressed. There is a potential for theft and physical harm to employees who deal with cash.

10.1.3.3 Credit sales

When a company allows a customer to charge a sale made to an account (rather than settle the amount immediately by, say, cash or credit card), there is a risk that the customer will not pay and the company will suffer a loss. Important activities in a revenue and receipts cycle will be the checking of creditworthiness of a customer *before* the sale is made, and the timeous collection of amounts owed.

10.1.3.4 Legislation

For companies that sell and provide services to consumers, such as retailers and service providers, the Consumer Protection Act (CPA) is an important Act that must be complied with.

Something to consider . . .

How could the CPA protect the consumer against unethical sales practices?

10.1.4 Basic functions for any revenue and receipts cycle

For the purposes of this text, we have chosen to describe a system for a business that has conventional functions; it receives orders from its customers, supplies the goods from its warehouse and charges the sale to the customer's account. This section outlines the description, with examples, of a manual revenue and receipts cycle by function. We suggest you read this section in conjunction with the tables included in this chapter.

10.1.4.1 Order department

As the name suggests, the order department is responsible for receiving orders from customers and setting in motion the filling of the order. This will involve instructing the warehouse department to select the items ordered from the stores so that the items can be despatched to, or picked up by, the customer. Before setting this process in motion, the order department should confirm that the customer's account is "up to date", in other words, that the amount owed is within the terms and limit set for that customer and that processing the current order will not push the customer beyond his credit limit.

- **Receiving customer orders:** These may be received in a variety of ways, for example, by phone, receipt of a customer's written order, over the Internet or over the counter.
- **Authorising the sale:** This will involve granting or confirming credit before the order is processed. This is an important activity because companies do not want to make sales for which they will not be paid! (At the authorising stage, an inventory availability test may also be carried out to confirm that the order can be filled.)

For example:

Stepps (Pty) Ltd, a customer of Ladderland Ltd, has a credit limit of R50 000 on its account and must pay within 60 days. If an order for goods costing R10 000 is received, the order department must check whether any portion of the balance on Stepps (Pty) Ltd's account has been outstanding for longer than 60 days and that the current balance is no more than R40 000. If Stepps (Pty) Ltd is not within its terms and limit, the order department will need to obtain the authorisation of the credit management department to initiate the sale. In most businesses, the order department will also confirm that the goods ordered by the customer are "in stock" (available) before initiating the sale. If goods are not "in stock", the sales order clerk will contact the customer to ask whether the customer wishes the order to be placed on a back order list to await the arrival of more inventory (the inventory cycle is covered in chapter 12).

10.1.4.2 Warehouse/despatch

The warehouse/despatch function is required to select the goods to be sent to the customer in terms of the ISO/picking slip. (In multipart stationery, the second copy of the ISO can be headed "picking slip".) This function will also be responsible for controlling the removal of the goods from the warehouse to the despatch area for delivery to, or collection by, the customer (i.e. the goods should be signed out of the custody section of the warehouse and into the despatch section).

- **Processing the order:** This involves the manual process of gathering together (picking) the goods from the stores to fill the order.
- **Despatch and delivery of goods to customers:** This is the manual process of releasing the goods ordered to the customer. The customer may collect the goods; the goods may be delivered by the company's own delivery vehicle or by a transport company, for example, railways, courier service.

10.1.4.3 Invoicing

The objective of invoicing is to notify the customer promptly of the amount due and when to pay it.

10.1.4.4 Recording sales and raising the debtor

The purpose of this function is to create a record of sales (the sales journal) and to raise the amount owed by the customer as a debtor (debtors ledger).

10.1.4.5 Receiving cash from customers

The purpose of this sale is to record and prepare the payment from a debtor for banking. Receipts should be made out for all cash received.

10.1.4.6 Receiving and recording receipts in the accounting records

The role of this function is to record the receipts from debtors in the cash receipts journal and credit the debtors' accounts promptly. Receipts must be recorded accurately and entered against the correct debtor.

The total amount received from debtors for the period must also be posted to the debtors control account in the general ledger

10.1.4.7 Processing and recording of return

The role of this function is to control goods that customers have returned. The goods must be recorded on their return and the debtor's account must be credited.

10.1.4.8 Credit management

The main objective of this function is to minimise the risk of losses from bad debts. The control activities centre around extending credit only to creditworthy customers, setting reasonable credit terms and limits, preventing customers from exceeding their limits, and following up promptly on debtors who are showing signs of falling behind in their payments.

- **Collecting amounts owed:** These are the activities carried out to ensure amounts owed by debtors, are paid when they are due.

10.1.4.7 Other activities

In addition to the above, there are other lesser activities within the cycle that must be controlled. They are:

- controlling goods sold but have been returned by the customer
- passing credit notes for goods returned or other reasons, for example, overpayment by a debtor
- granting discounts on payments from customers, and
- considering and effecting write-offs of bad debts.

10.1.5 Documents used in the cycle

This section outlines the commonly used documents used in the cycle. This is not an exhaustive list, but it highlights the conventional documents that may be found in the revenue and receipts cycle.

10.1.5.1 Customer order

The customer's instruction as to what goods are required (could be sent by post, email, or fax, or be placed over the phone).

10.1.5.2 Internal sales order

A document compiled by the company's own sales order clerk that records the goods ordered by the customer. It is used for sales authorisation and as a basis for creating the picking slip. This is a very important document when orders are taken orally, for example, over the phone.

10.1.5.3 Picking Slip

This document lists all the items that the customer has ordered. It is used to assist the stores personnel to "pick" the goods needed to fill the order from the store so that they can be despatched to the customer.

10.1.5.4 Invoice

This is the document that is sent to the customers to notify them of the quantity and price of the goods sold to them, the total amount of the sale, discounts and VAT.

10.1.5.5 Delivery note

This document details the date, description and quantity of the goods despatched to the customer and is signed by the customer to acknowledge receipt of the goods. When the company delivers to its customers, details of the deliveries, for example, address and delivery note number, will be entered on a *delivery list* that is used by the delivery staff to schedule and control deliveries.

10.1.5.6 Statement

This is a summary of all of the transactions for a period, usually a month, sent by the company to the customer. The statement reflects the opening balance, sales made, payments received, other adjustments, such as credit notes, and the closing balance, as well as a breakdown of the periods for which the total amount owed has been outstanding, for example, 30 days, 60 days, 90 days and over.

10.1.5.7 Credit application form

This document is filled in by a prospective customer so that the customer's creditworthiness (ability to pay) can be evaluated. The customer will be required to provide trade references, income and expenditure details, bankers, etc., that are then followed up by the company. Trade references and credit bureau are usually contacted before the company decides on a credit limit and terms appropriate for the customer.

10.1.5.8 Receipt

The receipt records details of payments received from customers.

10.1.5.9 Remittance advice

This is a document sent by the customer with his/her payment to indicate precisely which invoices are being paid. Where a payment is made directly into the company's bank account by direct deposit or EFT, the customer should send the remittance advice (and proof of payment) under separate cover.

10.1.5.10 Remittance register

This is a register or list of payments received by the company (payments from debtors not deposited directly in the company's bank account by the debtor).

10.1.5.11 Credit note

A credit note is a document made out by the company and sent to the customer to acknowledge that the customer's account has been reduced (credited) for some reason other than for a *payment* received, for example, goods that have been returned by the customer for which credit must be passed.

10.1.5.12 Deposit slip

This is a bank document that is filled in by the company to record the deposit of payments received from the customer, into the bank.

10.1.5.13 Price lists

This is a document containing prices (and discounts) of the company's products to be referred to by the sales order clerk when customers require prices on placing orders.

10.1.5.14 Back-order note

A document that contains details of goods that could not be supplied when ordered by a customer as there was no inventory available. The back-order notes are filed and regularly and frequently reviewed to establish whether an order has been placed with a supplier for the outstanding goods.

10.1.5.15 Goods returned voucher

A document made out by the company itself that is used to record the details of goods that have been returned by a customer.

10.1.5.16 Masterfile amendment form

This is found in a computerised system in the form of a document used to record an amendment to the debtors masterfile.

10.1.5.17 Logs, variance reports, etc

In a computerised system, the computer can be programmed to compile logs, variance reports, etc. A log is simply a record of an activity that has taken place on the computer, for example, a log of masterfile amendments or a log of access to the authorised supplier masterfile.

In addition to the above documents, the company will make use of a sales journal, cash receipts journal (cash book), a sales returns and allowances journal (into which details of credit notes, etc., will be entered) and the debtors ledger. In a computerised system there will be transaction files and the debtors masterfile. Documents used in the system will essentially be the same, but will be printed off the computer where necessary.

The series of following tables expands on the functions, risks, control objectives, assertions and control activities in the cycle. For each function, the documents that may be used are identified. Further, the business risks that may exist in each function are described.

10.1.5.18 Receiving customer orders (order department): Functions, risks and control activities

Receiving customer orders (order department) In a manual system, all orders received by the order department should be entered manually onto a pre-printed, sequenced, multicopy, internal sales order (ISO), regardless of how the order is received, for example by phone, through the post, fax or by email.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
To record orders from customers and initiate action to fill them.	- Customer order - Internal sales order (ISO) - Picking Slip	Orders may not be acted upon timeously or at all, resulting in a loss of sales and customer goodwill.	- Record <i>all</i> orders on sequentially numbered internal sales orders. - Attach customer order to ISO and have sales order clerk agree detail (customer details, prices, stock description and codes). - Sales order clerk to sign all ISOs to indicate performance of control activities. - The ISO file is checked by a supervisor in the order department for: - ISOs are to be sequence checked (for completeness) regularly and matched to delivery notes to identify any orders that have not been acted upon. - Reason should be obtained for any cancelled ISOs in the sequence. - ISOs without a matching picking slip (long -outstanding orders) should be followed up with warehouse for the reason for the delay in picking.	All orders accepted are processed timeously.	N/A This is an operational measure without accounting implications.
	- Customer order - Internal sales order (ISO)	Inaccurate or incomplete order details may be recorded, resulting in incorrect deliveries, returns and customer dissatisfaction.	- Attach customer order to ISO and have sales order clerk agree detail (customer details, prices, stock description and codes). - Sales order clerk to sign all ISOs to indicate performance of control activities. - For phone orders, order clerk to: - request customer's account number - request customer's order reference, and - confirm all order details, including delivery address and price of goods, by reading order details recorded back to customer	All orders accepted are complete and accurate.	N/A. This is an operational measure without accounting implications.

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
	- Back-order - Inventory listing	Orders are accepted without there being sufficient inventory in stock, leading to delays in delivery and customer dissatisfaction.	- Sales order clerk requests the warehouse to perform inventory availability check or consults the inventory listing to which the clerk has access. - If items are not in stock, the clerk confirms with the customer that goods can be put on back-order and creates a back-order note if the customer agrees. - Sales order clerk to follow up on back-orders regularly and frequently. When inventory becomes available, order clerk should confirm that the customer still requires the goods and, if so, make out an ISO to initiate the sales process. (The back-order note, in effect becomes the customer order.)	Items and quantities ordered are in stock, or are put on back-order if not available, which will therefore not unnecessarily delay the processing of the customer's order.	- This is an operational measure without accounting implications. - Accuracy of revenue may be affected due to the undercharging of customers. Would lead to an understatement in revenue if the error not detected before final invoicing

10.1.5.19 Sales authorisation (order department): Functions, risks and control activities

Sales authorisation (order department)					
The order clerk will take the ISO to the credit management department to have it signed (authorised) once the customer's credit standing has been checked by that department. If an order is received from a non-account holder, the credit management department will go through the process of checking the customer's creditworthiness and setting credit terms and limits. A copy of the ISO will be delivered to the warehouse to act as the "picking slip", that is, the document that informs the warehouse employees which goods to select for despatch to the customer. A copy of the ISO will be filed in the order department in numerical sequence and a copy will be sent to the accounting department.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
- To approve customer - New customer (see "credit management").	- Customer order - Debtors ledger	Order may be accepted from a non-account holder, resulting in possible bad debtors who cannot pay the amounts owing to the company.	- Where the order is from a prospective customer, credit application procedures must be conducted before the order is filled: - the credit application form must request the customer to provide banking details, trade references, income and expenditure details - the credit controller must follow up by contacting trade references and credit bureaus and assessing customer liquidity - terms and limits must be set by the credit controller and approved by the financial manager.	All orders received are from approved customers (Validity)	- Accuracy, valuation & allocation of debtors - Existence of debtors

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
- Approval of sales transaction - Sales order received from approved customer	- Internal sales order - Debtor ledger	Order may be accepted from an approved customer who will exceed credit limit, should the sale be accepted, resulting in possible bad debtors who cannot pay the amounts owing to the company.	- Before processing the order, checks should be carried out by the credit controller (department) to establish: - that the customer has not supplied fictitious details - customer's credit status is satisfactory by reference to the customer's details, for example, his account balance and credit terms held on file and/or in the debtors ledger. - ISOs (picking slip) are to be authorised by signature of the credit controller before being sent to the warehouse.	Credit sales only made to customers who are creditworthy and will still be within their credit limits after the sale is accepted (Validity)	Accuracy, valuation & allocation of debtors
Create instruction from sales department to pick goods from warehouse	Picking slip	Picking slip details are incorrect and do not agree with the authorised details on the ISO	Second staff member in sales order department checks the accuracy of items and quantities on picking slip back to the ISO before the picking slip is sent to the warehouse	Picking too few items for delivery may lead to customer dissatisfaction	Revenue will not be affected as the sale will be recorded based on the actual number of items delivered and signed for by the customer
		Unauthorised picking slips created	- Picking slips are pre-printed and cross-referenced to the ISO - The picking slip is attached to the ISO for submission for approval of order	Only valid picking slips are created based on the authorised ISO's (Validity)	Accuracy, valuation & allocation of debtors

10.1.5.20 Warehouse: Functions, risks and control activities

Warehouse					
- In a manual system, the ISO/picking slip sent to the warehouse will be given to a warehouse employee to select (pick) the goods listed on the ISO/picking slip. - This employee will tick off the goods picked on the picking slip and mark clearly any items that are not available (note: inventory availability checks carried out in the order department are not fool proof and some companies may choose to make out the ISO without carrying out the inventory availability test. Using this method, “out of stock” items will be identified at the “picking” stage.) - A warehouse clerk will then manually complete a pre-printed, multipart, sequenced delivery note, detailing the goods picked					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
To fill accepted orders promptly and accurately and to ensure only authorised orders are acted upon.	- Picking slip - Delivery note - Back-order note	- Valid ISO/picking slips may not be acted upon. - Delays in picking or no picking of items at all.	Picker to initial the picking slip for each item picked and identify items that cannot be supplied (out of stock) on the picking slip.	Goods are picked from the warehouse in terms of the authorised ISO and picking slip (Operation control)	Revenue will not be affected as the sale will be recorded based on the actual number of items delivered and signed for by the customer
		Goods may be removed (picked) from inventory for fictitious/unauthorised sales.	- Picking slips are pre-printed and cross-referenced to the ISO - The picking slip is attached to the ISO for submission for approval of order - The warehouse foreman should carry out supervisory checks to ensure that all goods picked are supported by signed picking slips. - The warehouse manager should sign the picking slip to acknowledge the control procedure they have conducted	Only valid picking slips are created based on the authorised ISO's (Validity)	- Accuracy, valuation & allocation of debtors - Occurrence of revenue
		Incorrect items and quantities may be picked.	- Warehouse clerk to check goods picked to picking slip - The warehouse clerk should sign the picking slip to acknowledge the control procedure they have conducted	Goods are picked from the warehouse in terms of the authorised ISO and picking slip (Operation control)	Revenue will not be affected as the sale will be recorded based on the actual number of items delivered and signed for by the customer

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
		Inaccurate and incomplete delivery notes may be made out, resulting in loss of revenue.	- Delivery notes and picking slips to be matched and filed numerically. Unmatched picking slips to be followed up to determine whether goods have been picked. - Warehouse clerk to prepare delivery note from picking slip (delivery note cross-referenced to picking slip) - The warehouse clerk should sign to acknowledge the control procedure they have conducted	All goods ordered have been recorded on a delivery note (completeness)	- Completeness of revenue (if ordered goods are not recorded on delivery note, it might not be invoiced) - Existence of inventory
		“Out of stock” items may not be identified on the picking slip.	- Order clerk to follow up back-orders regularly and frequently. When inventory becomes available, order clerk should confirm that the customer still requires the goods and, if so, make out an ISO to initiate the sales process. (The back-order note in effect becomes the customer order.) - Warehouse clerk to: - prepare back-order note from the picking slip and cross-reference both documents (see also the related control activity under “despatch”) - send copy of the back-order note to order clerk to enable the order clerk to notify customer, and - send copy of the back-order note to the buying department.	Items and quantities ordered are in stock, or are put on back-order if not available, which will therefore not unnecessarily delay the processing of the customer’s order.	- This is an operational measure without accounting implications. - Accuracy of revenue may be affected due to the undercharging of customers would lead to an understatement in revenue if the error not detected before final invoicing

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
		Customer not notified of “out of stock” items resulting in loss of the sale and customer goodwill	Order clerk to follow up back-orders regularly and frequently. When inventory becomes available, order clerk should confirm that the customer still requires the goods and, if so, make out an ISO to initiate the sales process. (The back-order note in effect becomes the customer order.)	Items and quantities ordered are in stock, or are put on back-order if not available, which will therefore not unnecessarily delay the processing of the customer's order.	- This is an operational measure without accounting implications. - Accuracy of revenue may be affected due to the undercharging of customers would lead to an understatement in revenue if the error not detected before final invoicing

10.1.5.21 Despatch: Functions, risks and control activities

Despatch Once the delivery note has been completed, the goods will be moved to the despatch area with the supporting documentation where they will be checked, boxed or packaged. The despatch clerk will sign the documentation (copy of the delivery note or picking slip) to acknowledge the transfer of the goods into his custody. - When the goods are despatched to the customer, they will be accompanied by two copies of the delivery note. The customer will sign both copies, one of which will be retained by the customer and the other returned to the company. - Where goods are to be delivered to the customer (not collected), delivery lists will be compiled and the goods loaded onto the delivery vehicle under supervision. The driver will acknowledge taking custody of the goods by signing the delivery list.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Once the goods have been picked they are transferred from the warehouse to despatch	- Delivery note - Picking Slip	- Theft may be facilitated by uncontrolled despatch. - Goods released from the warehouse are never despatched.	- On receipt of the goods, picking slip and delivery notes from the warehouse, the despatch clerk should: - check quantities and description of goods against the authorised picking slip and delivery note - sign picking slip and delivery note to acknowledge receipt of goods, and - retain two copies of the delivery note and return the signed picking slips to the warehouse (once goods are packed). - The goods picked should be checked to the picking slip and delivery note as they are packed into a box for delivery. The address on the box should be checked against the delivery address on the documentation and the box sealed immediately. - Despatch clerk should prepare a two-part list of deliveries to be made. The list should be matched to the delivery notes and the physical goods loaded onto the vehicle, for example, delivery note number P1234 – 4 boxes.	Only those quantities of goods in accordance with a supporting picking slip are transferred to the despatch (Custody and safeguarding of assets)	Existence of inventory

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Goods are loaded onto delivery vehicle, which then exists business premises.	Delivery note	- Despatch errors may occur: - incorrect goods or quantities despatched - Goods leaving the premises are not recorded in a supporting document, leading to delivery without charge to the customer	- The goods picked should be checked to the picking slip and delivery note as they are packed into a box for delivery. The address on the box should be checked against the delivery address on the documentation and the box sealed immediately. - Despatch clerk should prepare a two-part list of deliveries to be made. The list should be matched to the delivery notes and the physical goods loaded onto the vehicle, for example, delivery note number P1234 – 4 boxes. - Delivery staff (e.g. driver) should supervise loading the truck and sign a copy of the delivery list to acknowledge receipt of the delivery notes and the corresponding goods: - driver to retain one copy of delivery list, and the delivery notes, and - despatch clerk to retain signed copy of delivery list. - Gate controls, such as security, should check all goods to be delivered appear on the delivery list and are supported by delivery notes. Both copies of each delivery note should be date stamped by gate control (gate controls can be impractical – if they are, then despatch controls must be very tight).	- The correct quantity and goods are despatched - All goods loaded into the delivery truck for despatch have been recorded on a delivery note (Completeness)	- Occurrence for the incorrect goods - Accuracy for the incorrect quantities - Completeness of revenue - Existence of inventory
Goods are delivered to customer	Delivery note	Customers may deny having received goods.	On delivery, the customer should sign both copies of the delivery note (having checked the goods), retain one copy and return the other copy with the driver.	Proof of delivery is obtained for every delivery (Validity)	Occurrence of revenue

10.1.5.22 Invoicing: Functions, risks and control activities

Invoicing					
- Accounting employees will collect the supporting documentation for the sale that has been made, for example, the ISO and the copy of the delivery note signed by the customer. They will check all the details of the sale and create an invoice. - A copy of the invoice will be sent to the customer. (Note: in some systems the invoice is made out at the same time as the delivery note. This may lead to more errors in invoicing because the invoice is made out <i>before</i> the customer has checked and accepted the goods, but does have the advantage of getting the invoice to the customer sooner.) - A pre-printed, multicopy, sequenced invoice will be made out manually, taking the details from the supporting documentation. - Debtor details, pricing, discounts, casts and extensions and VAT will be checked, and a copy of the invoice sent to the customer.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Customer signed delivery note is received by the accounting department, invoice should be created.	- Sales invoice - Price lists - Sales Journal - Debtors ledger	Goods despatched may not be invoiced, resulting in revenue not being recorded	- A copy of the internal sales order should be held in numerical order in a temporary file in the “invoicing section” (accounting department). - As signed delivery notes are received, they should be matched to their ISO and filed sequentially by delivery note number. - On a frequent and regular basis, ISOs remaining on the temporary file should be investigated. - The file of matched delivery notes should be sequence tested and gaps in sequence investigated. - The invoice clerk should prepare a numerically sequenced invoice and cross-reference it to the delivery note/customer order	All invoices should give rise to a corresponding invoice (completeness)	Completeness of revenue
	- Sales invoice - Price lists - Sales Journal - Debtors ledger	Deliveries are not invoiced timeously, resulting in the sales possibly being recorded in an incorrect accounting period	Second employee (supervisor) to check and sign the invoice after checking that the date on the invoice corresponds with the financial period in which delivery was made (as per date on delivery note)	Sales are recorded in the period to which the transaction relates (Validity)	Cut-off of revenue

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
	- Sales invoice - Price lists - Sales Journal - Debtors ledger	Invoices are created when no deliveries made to customer	- Invoice is cross-referenced and attached to original authorised ISO and delivery note - Second staff member checks that the invoice is supported by a customer – signed delivery note and an approved ISO	Sales invoices are only for actual sales (Validity)	Occurrence of revenue
	- Sales invoice - Price lists - Sales Journal - Debtors ledger	Invoices may be inaccurately prepared/mis-stated (prices, quantities, descriptions, discounts, VAT).	- The invoice clerk should: - compare details on the ISO and delivery note - check prices quoted to the customer, and entered on the ISO, against official price lists and discount schedules - prepare a numerically sequenced invoice and cross-reference it to the delivery note/customer order. - Second employee (supervisor) to check and sign invoice after checking: - prices, extensions, casts - discount and VAT calculations - customer details.	All invoices are created with accurate quantities, prices and calculations (Accuracy)	Accuracy of revenue

10.1.5.23 Recording of receipts: Functions, risks and control activities

Recording of receipts In a manual system, a copy of each of the invoices for the period (day, week, month) will be sent to the designated accounting clerk who will write up the invoices in the sales journal in numerical sequence. • Before the total of sales is posted (transferred) to the general ledger and the individual sales are posted (transferred) to the debtors ledger, another staff member will check the sequence of invoices entered in the sales journal, follow up on any missing numbers, and check the accuracy of the amounts entered in the sales journal against the invoices themselves. • Amounts will then be posted (transferred) to the respective ledgers					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• The purpose of this function is to record the sales made and to raise the corresponding debtor promptly	• Invoice • Sales journal • Debtors ledger • General ledger	• Invoices are omitted from the sales journal.	• Invoices to be entered in the sales journal in numerical sequence: sequence to be continued period to period, and • Prior to entry in the sales journal, invoices to be added to obtain control total. This control total is then compared to the total in the sales journal after entry of individual invoices (batch control system). • Independent staff member to: sequence check sales journal entries and follow up on any missing invoice	• All sales invoices are posted to the sales journal, debtors ledger and general ledger (completeness)	• Completeness of revenue • Completeness of trade receivables
			• Invoices are duplicated in the sales journal.	• Invoices to be entered in the sales journal in numerical sequence: sequence to be continued period to period, and • Prior to entry in the sales journal, invoices to be added to obtain control total. This control total is then compared to the total in the sales journal after entry of individual invoices (batch control system).	• Only valid invoices are posted to the sales journal, debtors ledger and general ledger (Validity)

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
		Invoices are inaccurately entered in the sales journal,	- Prior to entry in the sales journal, invoices to be added to obtain control total. This control total is then compared to the total in the sales journal after entry of individual invoices (batch control system). - Independent staff member to: - compare customer name and amount entered in sales journal to the invoice for accuracy, and - check postings (transfers) from the sales journal to the debtors ledger (individual debtors) and general ledger	Details of sales transactions are correctly posted from the invoice to the sales journal, debtors ledger and general ledger (Accuracy)	- Accuracy of revenue - Accuracy of trade receivables
		Invoice entered against incorrect debtor when posting (transferring) to the debtors ledger accounts.	- Independent staff member to: - compare customer name and amount entered in sales journal to the invoice for accuracy, an - check postings (transfers) from the sales journal to the debtors ledger (individual debtors) and general ledger - Reconciliation of the debtors ledger to debtors control account in the general ledger on a regular basis, to be conducted by an independent employee.	Details of sales transactions are correctly posted from the invoice to the sales journal, debtors ledger and general ledger	Valuation and allocation of trade receivables

10.1.5.24 Receipts mail room/ cashiers: Functions, risks and control activities

Receipts mail room/cashier There are basically two ways in which debtors pay, namely, by cash or by direct deposit into the company's bank account. This can be done by the debtor going to the company's bank and depositing cash or by effecting an electronic funds transfer (EFT) (a transfer from the debtor's bank account to the company's bank account). • It is very seldom that a company will pay another company in cash (and payment via cheque is no longer an option); • Direct payments into a company's bank account are quicker and safer but do change the procedures and control activities for receiving and recording payments from debtors. • Receipts will be made out to all debtors who pay in cash. • The cashier will agree the cash received to the receipts and make out a bank deposit slip. • Cash will need to be (physically) taken to the bank to be deposited.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• Receipt of cash from customers	• Remittance register • Customer remittance advice • Receipts • Bank deposit slip	• Payments received may not be banked due to theft or carelessness.	• Post must be opened by two people working together. • All payments received in the post should be recorded in a remittance register by those responsible for opening the post and a receipt should be made out for each payment received. (It is however highly unlikely that cash will be received via post, and these controls were more relevant when cheques were still in use.) • Prenumbered receipts should be issued for all payments received. • All amounts received should be banked daily. • Deposit slip to be made out by the cashier, not the employees receiving the cash. • Cashier to reconcile cash to the receipts before accepting them for banking. • The receipts issued should subsequently be reconciled to bank deposits (bank statement) by an independent supervisory employee. • Bank deposits should be reviewed regularly and gaps in daily banking, investigated by management.	• All cash received is deposited in entity's bank account (completeness)	• Completeness of cash and bank balances

10.1.5.25 Recording of receipts: Functions, risks and control activities

Recording of receipts					
- At the end of the month, the debtors clerk will draw up a statement for each debtor that summarises the transactions with that customer for the month, for example, sales made, payments received, credit notes issued. The balance on the statement that will be sent to the customer should reconcile with the debtors' account in the debtors ledger. - The role of this function is to record the receipts from debtors in the cash receipts journal and credit the debtors' accounts promptly. The cash book clerk will write up the cash receipts journal from the receipts and deposit slips and subsequently post (transfer) the amounts to the debtors ledger and general ledger. - Where a debtor has paid directly into the company's bank account, the debtors clerk will need to obtain a bank statement from the bank electronically or hard copy. This will reflect the payments made directly into the company's bank account. A schedule of these receipts will be drawn up and used to write up the cash receipts journal.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Record the receipts from debtors in the cash receipts journal and credit the debtors' accounts	- Bank deposit slip - Cash receipts Journal (CRJ) - Debtors ledger - General ledger	Deposits may never be recorded/not recorded timeously.	- The cash receipts journal should be written up daily by date and receipt number (if receipts are issued). - Supervisory staff should review cash receipts journal for missing dates and gaps in sequence of receipts. They should also test postings to the debtors ledger. - The "cash book" should be reconciled to the bank statement every month by an employee independent of the banking/recording of cash. A senior (financial) employee should review the bank reconciliation.	All receipts that occurred are recorded in the cash book and posted to the bank and cash control account/debtors control account and the general ledger	- Completeness of cash receipts - Existence and accuracy, valuation and allocation of trade receivables
		- Recorded deposits may be: - inaccurate (errors) - credited to the wrong debtor.	- The "cash book" should be reconciled to the bank statement every month by an employee independent of the banking/recording of cash. The bank reconciliation should be reviewed by a senior (financial) employee. - Queries from debtors should be investigated by an employee independent of debtors and banking. - Reconciliation of the debtors ledger to the debtors control account in the general ledger should be conducted regularly by the financial accountant.	Cash deposited is posted at the correct amounts to the cash book and posted to the correct debtor account in the debtors ledger (Accuracy)	- Accuracy of cash receipts - Accuracy, valuation & allocation of trade receivables

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
		- Recorded deposits may be: – overstated (fictitious deposits)	- The “cash book” should be reconciled to the bank statement every month by an employee independent of the banking/recording of cash. The bank reconciliation should be reviewed by a senior (financial) employee. - Reconciliation of the debtors ledger to the debtors control account in the general ledger should be conducted regularly by the financial accountant.	Cash receipts recorded is actually received (Validity)	- Occurrence of cash receipts - Completeness and accuracy, valuation & allocation of trade receivables

10.1.5.26 Goods returned by customer: Functions, risks and control activities

Goods returned by customer The role of this function is to control goods that have been returned by customers. The goods must be recorded on their return and the debtor's account must be credited. This requires the creation of two documents, a goods returned voucher, and a credit note. Credit notes will be recorded in a returns and allowances journal.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• Customer returns goods to entity for credit	• Goods returned vouchers • Credit note • Returns and allowances journal • Debtors ledger • General ledger	• The description and quantity of goods returned may be incorrect, resulting in an incorrect credit note being passed	• All goods returned must be received by the company's goods receiving department • The goods receiving clerk must: – count and check the description of the goods being returned (check also for damage) – make out a goods returned voucher, cross referencing it to customer documentation, and – sign and retain a copy of the customer documentation and attach it to the goods returned voucher.	• Sales returns are recorded at the correct amounts (Accuracy)	• Accuracy of sales returns/ revenue • Accuracy, valuation & allocation of trade receivables
		• A credit note may be passed for goods that have not been returned.	• All goods returned must be received by the company's goods receiving department • On transfer of goods from receiving into the warehouse, the store clerk must: – check description and quantity of physical goods to goods returned voucher and customer documentation, and – sign to acknowledge the transfer of the goods into his custody.	• A credit adjustment to customer accounts is authorised in terms of company policy (Validity)	• Occurrence of sales adjustments • Completeness of revenue • Completeness of trade receivables

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
		Credit notes may be inaccurately recorded and credited to the incorrect debtor.	- Credit notes to be: - made out by the accounting department - cross-referenced to original invoice, and - presented to a supervisory employee (with signed goods returned note and customer documentation). This staff member must be satisfied that granting of the credit note is valid and that the company's policies have been adhered to, for example, the goods cannot be returned, say, after 30 days from purchase date. - Credit notes to be entered sequentially in returns and allowances journal and normal control procedures over recording to be put in place. - Senior (financial) manager should review this journal frequently and follow up on suspicious credit notes, for example, large amounts, credit notes to the same customer regularly.	Sales returns are recorded at the correct accounts (Accuracy)	- Accuracy of sales returns/ revenue - Accuracy, valuation & allocation of trade receivables

10.1.5.27 Credit Management: Functions, risks and control activities

Credit Management

The function is closely linked to sales authorisation and as explained under that function, the process begins with sound controls over the acceptance of new customers and the extent of credit granted to them.

Credit management should also identify debtors to be handed over to lawyers and subsequently written off if necessary

New customer

- Credit application form to be completed for each customer
- Background checks to be performed on customer to ensure their creditworthiness
 - Financial manager review regularly if background checks are actually performed for new customers
 - If it is all accurate and correctly done
 - Credit department to establish credit limits for each customer
 - Capture customer's information on permanent master files

The credit manager must authorise changes to customer's information

Existing Customer

- Identify if customer is a valid/authorised customer by confirming the customer detail or account number
- Before order is accepted ensure that the transaction is within the credit limit

For example:

A debtor may have a credit limit of R1000 purchases, but intends to purchase items worth R1 500. Will the sale be approved? A further example where credit terms may be extended is during Covid-19, where debtors may be allowed an extended period to pay back their debts.

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• New customers wishing to order entity's good apply for credit	• Credit application form • Debtors ledger	• New customers who are not credit worthy are accepted and provided with credit	• Where the order is from a prospective customer, credit application procedures must be conducted before the order is filled: – the credit application form must request the customer to provide banking details, trade references, income and expenditure details – the credit controller must follow up by contacting trade references and credit bureaus and assessing customer liquidity • terms and limits must be set by the credit controller and approved by the financial manager	• New customer is creditworthy and would therefore be able to settle the debts incurred (Validity)	• Accuracy, Valuation & allocation of debtors

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Creditworthiness of customers changes over time	- Credit application form - Debtors ledger	Existing customer fails to pay their debt, leading to uncollectable debt and financial losses for the company	- Credit controller should perform follow-up credit checks on existing customers to confirm creditworthiness - Credit controls should review the debtors age analysis to identify long-outstanding balances that may indicate debtors at risk of non-payment	Existing customers are retained only if they remain creditworthy (Validity)	Accuracy, Valuation & allocation of debtors
Management evaluates the collectability of outstanding debt	- All records in the cycle are relevant - Monthly statements - Age analysis - Credit bureau information	Debtors do not pay at all or pay late.	- Monthly statements should be sent promptly to debtors by the debtors section (accounting dept). - Monthly age analysis of debtors and immediate follow up by phone or letter if credit terms are exceeded. - If this is not successful, the credit controller should personally contact the customer to (possibly) renegotiate credit terms or threaten the handing over of the debtor to a lawyer for collection. - If still no success, the debtor must be handed over <i>before</i> too long a period has elapsed.	All monies that can be received from debtors are collected (Operational control)	N/A
Debtors balances become uncollectable	- Monthly statements - Age analysis - Credit bureau information	- Debtors are prematurely or inappropriately written off. - Debts are written off without authority	- Credit manager should reconcile all bad debt write-offs after they have been entered in the journal to supporting documentation. - Senior (financial) manager should be provided regularly with sufficient information to effectively manage the debtors, such as a list of debtors over their limits and how they are being followed up, bank and debtors balances, the age analysis, list of debtors that have been written off.	All bad debts written off are authorised by senior management in terms of company policy (Validity)	- Completeness of debtors - Occurrence of bad debts
	- Monthly statements - Age analysis - Credit bureau information	Debts that have become uncollectable are not written off	Regular monitoring of the ageing of debtors balances should be conducted to identify and follow up on debtors that should be written off.	All debtors that should be written off are written off (completeness)	- Accuracy, Valuation & allocation of debtors - Completeness of bad debts

10.1.6 Computerisation of the revenue and receipts cycle

A narrative description of a computerised revenue and receipts cycle

For the purposes of this illustration, we have described a sales system for a medium-sized wholesale company that sells its products (toys) to a large selection of retailers. The system has been simplified as the intention is to illustrate how control policies, procedures and techniques can be implemented. We have provided comments and explanations to clarify certain points as the intention is to convey principles and not the fine detail:

- Its accounting systems are integrated.
- Sales are made only on credit to approved customers.
- Sales transactions are entered and processed in real time and all records affected by the sale are updated instantly, for example, debtors masterfile, inventory masterfile.
- Orders are taken from customers over the phone (obviously, in practice, orders are also sent to the company via email, fax or post, but as the controls are essentially the same as for phone-in orders, we have not dealt with hard copy or email orders). Telesales order clerks are located in their own secure area.
- The company is large enough to implement sound segregation of duties with separate departments, (i.e. ordering, warehouse, etc.).
- Debtors are invoiced at the time the goods are despatched.
- The company has a link to its bank and debtors are encouraged to pay by EFT.

The debtors masterfile	
The debtors masterfile is central to the revenue and receipts system. Integrity of the masterfile must be maintained, and access to the masterfile, particularly write access, i.e. the ability to make amendments, must be strictly controlled. Equally important is the control over the amendments themselves to ensure they are authorised (valid), accurate and complete. Unauthorised amendments could include adding a fictitious debtor (to record fictitious sales), changing (usually extending) credit terms or credit limits. With most modern accounting packages, trying to fraudulently reduce a debtors balance or delete the debtor would not be possible through the masterfile amendments module. To reduce a balance, a fraudulent credit note, journal entry or receipt would have to be processed. To delete the debtor altogether, the balance would need to be reduced to nil and then the delete process followed. This would be linked to a user profile and would be logged. Controls will be primarily preventive, but there will be detective controls. There will be both user and automated (programme) controls. Much of the information on the debtors masterfile is the responsibility of the credit management section, so it makes sense for this section to be primarily responsible for the integrity of the file and the amendments. All amendments should be logged and there must be independent reconciliation and review of the log by a senior employee, for example, the financial manager.	
Activity/procedure	Control, comment and explanation
1. Record all masterfile amendments on a source document.	1.1 All amendments to be recorded on hard copy masterfile amendment forms MAFs (no verbal instructions). 1.2 MAFs to be preprinted, sequenced and designed in terms of sound document design principles.
2. Authorise MAF.	2.1 The MAFs should be - signed by two reasonably senior employees in the section (e.g. credit controller and senior assistant) after they have agreed the details of the amendment to the supporting documentation, for example, the approved credit application document for the addition of a new customer - cross-referenced to the supporting documentation.
3. Enter only authorised masterfile amendments onto the system accurately and completely.	3.1 Restrict write access to the debtors masterfile to a specific member of the section by the use of user ID and passwords. 3.2 All masterfile amendments should be automatically logged by the computer on <i>sequenced</i> logs and there should be <i>no write access</i> to the logs (this allows subsequent checking of the MAFs entered for authority). 3.3 To enhance the accuracy and completeness of the keying in of masterfile amendments and to <i>detect invalid conditions</i>, screen aids and programme checks can be implemented. Screen aids and related features - Minimum keying in of information. For example: When amending existing debtor records, the user will only key in the debtors account number to bring up all the details of the debtor - Screen formatting, screen dialogue - The account number for a new debtor is generated by the system. Programme checks - Verification/matching checks to validate a debtor account number against the debtors masterfile (invalid account number, no amendment) - Alphanumeric checks - Range and/or limit/data approval checks on terms and credit limit field For example: Credit limit must be between R5 000 and R75 000 (range) or cannot exceed R75 000 (limit), and terms can only be 30 days or 60 days (data approval) - Field size check and mandatory/missing data checks, for example, credit limit and terms must be entered - Sequence check on MAFs entered - Dependency check, for example, the credit limit granted may depend upon the credit terms granted. A debtor granted payment terms of 90 days may only be granted credit up to a limit of R2 000 (a relatively low amount) for instance.

continued

Activity/procedure	Control, comment and explanation
4. Review masterfile amendments to ensure they occurred, were authorised and were accurately and completely processed.	4.1 The logs should be reviewed regularly by a senior staff member, for example, financial manager. 4.2 The sequence of the logs themselves should be checked (for any missing logs). 4.3 Each logged amendment should be checked to confirm that it is supported by a properly authorised MAF, and 4.4 That the details, for example, debtor account number, amounts, etc., are correct. 4.5 The MAFs themselves should be sequence checked against the log to confirm that all MAFs were entered.
Note (a): The authority needed to enter different types of masterfile amendment can be given to different levels of employee, for example, changing a credit limit may be restricted to a single senior employee, but changing an address or contact details could be assigned to a lower level employee. Note (b): Unused MAFs and other important supporting documentation should be subject to stationery controls as it is more difficult to create an invalid masterfile amendment without the source document. Note (c): A masterfile amendment should be carefully checked in all respects before it is authorised, for example, the validity of credit terms and limits in relation to each other, so there should be a minimum of errors or invalid conditions having to be identified (detected) by the programme controls. Each company will decide for itself the extent of programme controls it wishes to implement.	

Ordering	
All orders from customers need to be entered into the system accurately and completely and subjected to credit-worthiness and inventory availability checks. Only orders from approved customers should be accepted. Remember that for the purposes of this illustration, orders are taken over the phone. A number of automated checks will be in place as the objective is to prevent errors in the information entered. The system will not allow the order clerk to continue taking the order if (programmed) automated checks are not satisfied. All employees in the cycle who make use of the computer to fulfil their functions will have user IDs and unique passwords and their screens will be “linked” to their user profiles. They will log onto the system in the normal manner.	
Activity/procedure	Control, comment and explanation
1. Access the order system. We will assume that telesales operators (order clerks) each have their own terminal in a secure telesales area.	1.1 All incoming sales order calls are directed to a telesales order clerk (a queuing system will direct the call to the next available operator). 1.2 Write access to the sales order module will be restricted to order clerks. 1.3 The order clerk's user profile gives him read only access to the debtors masterfile and the inventory masterfile. 1.4 As there is a dedicated telesales area, taking of orders may be restricted to terminals in this area (access controls are more commonly centred around users as opposed to terminals).
2. Identifying and authenticating the customer	2.1 On receiving a phone call, the order clerk should request the customer's account number and key it in; a programmed (automated) verification check will take place. If it is a valid account number, the details of the customer will appear on the screen, for example, name, delivery address, etc., formatted as a sales order. The computer has satisfactorily matched the account number against the masterfile. 2.2 The order clerk should then request the caller to provide other information that has appeared on the screen to authenticate the customer. Note: the order clerk should <i>not</i> give the information to the caller and ask him to confirm it – the caller must provide the information. 2.3 If the account number is a match to the debtors masterfile, the system will automatically allocate a <i>unique transaction number</i> that will identify the sales order as it progresses through the system. 2.4 If the customer does not have an account, he will not be on the debtors masterfile and will be referred to the credit management department. The system will not allow the order clerk to proceed with an order. 2.5 At the time the account number is validated against the debtors masterfile, the order clerk may receive a message on the screen that there is a “hold” on the account, which prevents the order clerk from continuing with the taking of the order. For example: The debtor may have been handed over to a lawyer because he has not paid his account. On these occasions, the order clerk should refer the customer to the credit controller. • Only the credit controller (not the order clerk) should have the power to remove the “hold” on the debtors account. • All “hold” removals should be logged automatically by the computer and the logs subsequently followed up by the financial manager. • The system will not allow the order clerk to proceed with the order.

continued

Activity/procedure	Control, comment and explanation
3. Entering and confirming the detail of the order	3.1 Only once the customer has been validated can the details of the order be taken. To facilitate the complete and accurate entry of the order, the following programmed (automated) controls should be in place: • Screen formatting: The screen will be formatted as a sales order. • Minimum entry: For example, entering the inventory item code will bring up the description of the item being ordered and the price. The customer may have the necessary inventory item code on his own system or may have a catalogue (hard copy or website) which gives the inventory item code, or the order clerk will access the inventory masterfile once the customer has described what he wants to order). • Mandatory fields: For example, to progress with the order, a number must be entered in the <i>quantity field</i>, and a <i>customer order reference</i> must be entered. • Alphanumeric check, for example on the quantity field. • Limit/reasonableness check, for example, on the quantity field, if applicable. • Screen prompts will require the order clerk to confirm details of order and important details, such as delivery address and email address, with the customer. 3.2 Fields on the “on screen sales order” that cannot be changed by the order clerk, for example, account number, delivery address and transaction number, are shaded and will not react if clicked on. Mandatory fields have a red star next to the box into which the information must be entered. 3.3 The system will allocate a customer reference number to every sales order that is given to the customer at the time of placing the order. If the customer wishes to follow up on the order or resolve a query, he will quote this number (see note (a) on the next page).
4. Checking inventory availability	4.1 The order clerk will have read-only access to the inventory file. He needs this because he must be able to answer customer queries about availability, alternative products, selling price, etc. The sales order clerk will key in an inventory code or description, and the inventory record for the item will appear. (Telesales clerks are not just there to record sales orders. They should have a good knowledge of the company’s products and should offer the customer alternatives and try to promote special deals, etc.) 4.2 If the goods are not available, the order will be placed on a <i>back-order file</i> if the customer agrees (note: the customer may choose to go elsewhere to purchase the goods).
5. Checking creditworthiness (credit approval)	5.1 Once all the details of the order have been entered, the computer will instantly calculate the total value of the sale, add it to the balance on the debtor’s (customer’s) account, and compare this total to the debtor’s credit limit. If the new sale will push the amount owed by the debtor beyond this credit limit, a screen message will appear alerting the order clerk. The customer will be informed and the sales order can be modified to fall within the credit limit or can be left as it is and placed on a <i>pending sales order</i> file to await the approval of the credit controller. 5.2 At the same time, the system will check whether the debtor is in breach of his credit terms (i.e. amounts overdue). If so, the sales order will be placed on the <i>pending sales order</i> file. Note: An order that exceeds the customer’s credit terms or limit is not automatically rejected. The company wants to make the sale (that is what business is all about) and very often there is a valid reason that the customer has exceeded his credit terms and limit. It does not mean that the customer will not pay. 5.3 If there are no problems with the order, it will be placed on the <i>sales order</i> file to await the picking process in the warehouse/despatch.

continued

Activity/procedure	Control, comment and explanation
5. Checking creditworthiness (credit approval) (<i>continued</i>)	5.1 Once all the details of the order have been entered, the computer will instantly calculate the total value of the sale, add it to the balance on the debtor's (customer's) account, and compare this total to the debtor's credit limit. If the new sale will push the amount owed by the debtor beyond this credit limit, a screen message will appear alerting the order clerk. The customer will be informed and the sales order can be modified to fall within the credit limit or can be left as it is and placed on a <i>pending sales order</i> file to await the approval of the credit controller. 5.2 At the same time, the system will check whether the debtor is in breach of his credit terms (i.e. amounts overdue). If so, the sales order will be placed on the <i>pending sales order</i> file. Note: An order that exceeds the customer's credit terms or limit is not automatically rejected. The company wants to make the sale (that is what business is all about) and very often there is a valid reason that the customer has exceeded his credit terms and limit. It does not mean that the customer will not pay. 5.3 If there are no problems with the order, it will be placed on the <i>sales order</i> file to await the picking process in the warehouse/despatch. 5.4 In some systems, the order clerk may be given authority to override the control that prevents a sales order that pushes the customer past his credit limit, for example, if a R50 000 sales order pushes the customer only R1 000 past his limit, there is little point in upsetting the customer or delaying the sale. • If the order clerk has this authority, there will be a programmed control that limits the amount he can override. • Details of all overrides will be logged. Note (a): In terms of the Consumer Protection Act, once the order has been taken, the company must send a confirmation of the order to the customer that provides details of the order and provides a reference number for the customer to follow up on the order. This can be sent by SMS, email or hard copy.

Warehouse/despatch	
The picking, packing and despatch of goods are manual procedures. Pickers need a document to indicate which items they must pick.	
Activity/procedure	Control, comment and explanation
1. Obtaining the hard copy picking slip: The warehouse administration clerk will access the sales order file from his terminal in the warehouse. This will reveal a list of sales orders identified by their transaction number. The clerk will “click” on the sales orders he wants to select for picking.	1.1 Access to the sales order file will be restricted: - no write access to anyone - no access to pickers - read only access to the warehouse administration clerk - read only access to warehouse supervisory employees - read only access to appropriate management staff, for example, the sales manager. This privilege gives management and supervisory staff the opportunity in a real-time system to trace an order from their terminals as it moves through the process. This may be in response to a customer query about an order, or may be to find out if the warehouse personnel are carrying out their duties promptly. 1.2 The sales orders selected will automatically be transferred from the sales order file to the picking slip file. In effect the sales order has “become” a picking slip and at the same time, a hard copy picking slip is printed. 1.3 The sales order will not necessarily be transferred to another file. A common technique is for the system to automatically allocate (attach) a status code to the sales order that indicates that it has been selected for picking and is now at the picking slip stage. Anyone accessing the sales order file will be able to see the status of the original sales order. The code will also prevent the sales order from being selected again for picking.
2. Picking the goods	2.1 The goods picked are ticked off by the picker against the quantity field on the picking slip, or a number can be entered in a designated field. 2.2 If the quantity of goods required in terms of the picking slip is not available, the <i>actual</i> quantity picked will be entered by the picker on the picking slip against the item. Although a stock availability test was carried out when the order was taken, quantities per the inventory masterfile do not always agree with physical inventory. Goods can be lost, stolen or damaged, and errors in the inventory masterfile can occur. 2.3 The picker will sign the picking slip.
3. The goods picked are moved with the picking slip from the warehouse to a transition area	3.1 A picking control clerk checks the physical goods picked against the picking slip and if there are mistakes (wrong goods picked) or differences between the quantity that was physically picked, and the quantity on the picking slip, the picking control clerk will go into the warehouse (accompanied by the picker who picked the goods initially) to get the correct goods and confirm that any items short-picked are actually not available. 3.2 The picking control clerk must sign the picking slip.
4. Correcting and approving the picking slip	4.1 Access to the picking slip file will be restricted: - write access is granted only to the picking control clerk <i>and</i> - only to the <i>quantity</i> field - read access is granted to the management and warehouse supervisory staff for purposes explained earlier - read access is granted to the despatch controller, and - no access to pickers. At this point the picking slip on the system will be in agreement with the physical goods picked. 4.2 The picking control clerk will then access the picking slip file and select the transaction number of the picking slip he is dealing with. The screen will come up formatted as a picking slip and the picking control clerk will adjust the quantity field so that the quantity actually picked and the adjusted quantity on the picking slip, agree. 4.3 All quantity adjustments will be logged by the computer.

continued

Activity/procedure	Control, comment and explanation
5. The physical goods are moved to the despatch area. The original picking slip will accompany the goods. It will have been signed by the picker and the picking control clerk and will reflect any quantities short picked.	5.1 Suitable physical protection should be given to goods.

Invoicing	
As discussed in our manual system description, a sales invoice can either be made out and sent with the goods, or it can be made out after the goods have been delivered to the customer. Because controls over accepting and processing orders in an up-to-date computerised environment are generally very good, there are few problems with delivering the wrong goods or the wrong quantities. This means that businesses can safely invoice the goods before the customer has actually taken delivery. Any delivery problems can be resolved at a later date. In general, the sooner the customer is invoiced, the sooner the business will be paid. In this example, we have assumed that the invoice is made out and sent with the goods. There will usually still be a despatch/delivery note of some kind for the customer to sign in order to acknowledge acceptance of the goods, and an additional copy of the invoice will normally be sent to the customer as well (email or hard copy).	
Activity/procedure	Control, comment and explanation
1. Final check of goods before creating the invoice	1.1 The despatch controller will access the picking slip file on the system; his access will be read only. 1.2 He will select (click on) the picking slip for the goods he wishes to check, identified by its transaction number or picking slip number: • there is no keying in of any information to select the picking slip, and • the screen will come up formatted as the picking slip. 1.3 The despatch controller will then match the physical goods with the on-screen picking slip and the hard copy picking slip. The goods to be despatched must agree with the on-screen picking slip (as it will be “converted” into the invoice). 1.4 If there are any errors either in the goods picked (wrong goods) or the quantity picked, the despatch controller cannot alter the picking slip or change the goods. The problem must be resolved by the picking control clerk. 1.5 He will also confirm that the picking slip has been signed by the picker and the picking control clerk and then sign it himself. 1.6 The checking of the goods will take place as they are packed for despatch.
2. Creating the invoice	2.1 Once the despatch controller is satisfied that the goods and the on-screen picking slip match completely, the despatch controller will select the approve/confirm option and the screen will come up formatted as an invoice. In effect, the picking slip has been converted into an invoice. On selecting the approve/confirm option: • a hard copy invoice is printed for inclusion with the goods, and • a delivery label is printed to be stuck on the box, and the status code on the picking slip on the system will automatically change to indicate that the picking slip has become an invoice (has changed its status). The invoice is transferred from the picking slip file account, and real-time processing takes place on the system, i.e. the debtors masterfile, sales account and inventory masterfile are updated simultaneously. 2.2 The approve/confirm option will be restricted to the despatch controller through his user profile. 2.3 The picking control clerk would not be able to approve a picking slip to create an invoice at any stage, for example before the despatch controller has carried out his final check. His screen, which is linked to his user profile, would not reflect an active “approve/confirm” option for him to click on. 2.4 There will be no write access to the file, for example nobody, including the despatch controller, will be able to change anything on the invoice.
3. Goods are delivered to the customer This is a physical procedure and the principles described in the manual system will apply. The most important control is that the customer signs a document to acknowledge receipt of the goods.	3.1 The customer must sign a document (delivery note) to acknowledge that the goods have been received. (Any delivery problems should be noted on the delivery note.) 3.2 This document should be filed in the despatch section in numerical order so that any delivery queries can be followed up.
4. Sales orders on the pending sales order file	4.1 These sales must be approved or rejected by the credit controller.

Receiving and recording payments from debtors	
In the present business environment, customers (debtors) usually pay by electronic funds transfer from their bank account directly into the bank account of the business to which they owe money. The business receiving the payment in its bank account now needs to record the receipts as soon as possible so as to maintain its debtors ledger (and cash journal), right up to date. If the company does not keep its debtors ledger right up to date, the debtor's individual accounts will not reflect the correct amount owed and further sales might be lost on the grounds that the debtor has exceeded his credit limits. There are basically two ways in which the company can obtain the details of deposits into its bank account for entry into its accounting records, and both require that the company create a direct link to its bank via the Internet. The bank account is accessed every morning and the bank statement downloaded and printed out as a hard copy or downloaded straight into the company's system. If the bank statement is printed, each deposit will have to be keyed into the system. A daily schedule of receipts will be produced and the detail of each receipt would have to be entered via the keyboard. Even in a highly computerised system, some debtors may still pay with cash. In this case, conventional manual receipting controls and depositing would be in place but the entry onto the system would probably be from the downloaded bank statement. This illustration assumes that the bank statement is downloaded directly onto the company's system.	
<i>Activity/procedure</i>	<i>Control, comment and explanation</i>
1. Accessing the bank account	1.1 To link the company's system with the bank, the bank will load its software onto a limited number of terminals at the company: • One of these terminals will be in the debtors section, usually the terminal of the senior debtors clerk. • Access to the bank's site will be gained in the normal manner but to access the company's bank account, the senior debtors clerk will need to enter a PIN and password. • If this identification and authentication procedure is successful, a menu of the functions available will be displayed, one of which will be "download bank statement". • This function will be linked to the senior debtors clerk's user profile to enable him to initiate the download. Note: general access controls will apply, for example the terminal should shut down after three unsuccessful attempts to access the company's bank account.
2. Accessing the downloaded bank statement on the system	2.1 The ability to access (read only) the bank statement file once it has been downloaded will be restricted to only those who need to work with the bank statement, including management and supervisory personnel: • The ability to process a receipt should be restricted to the senior debtors clerk.
3. Processing the receipt	3.1 The bank statement should be downloaded each working day so that receipts from debtors (and other items on the bank statement) can be processed promptly to individual debtors so that the debtors ledger is right up to date. 3.2 Debtors should be regularly reminded to: • Clearly reference their EFT payments when effecting the transfer. This should preferably be a number (not a name) and, if possible, the invoice numbers to which the payment refers, should be included. (However, there is only limited space for references on the bank statement.) • Submit a remittance advice (preferably electronically) to the debtors section. 3.3 When processing the receipts reflected on the bank statement, the senior debtors clerk will work with the references on the bank statement and the remittance advices: • There are various ways of processing the receipts, but the invoice number will usually be the "hook". On entering an invoice number, the system will match the invoice number and amount to the file of unpaid invoices and if it finds a match, the debtors account to which the invoice is linked, will come up on the screen. • The debtors clerk will select the enter (proceed) option, and the system will update the debtors account in the debtors masterfile and cash book records, as well as the file of unpaid invoices.

continued

<i>Activity/procedure</i>	<i>Control, comment and explanation</i>
3. Processing the receipt (<i>continued</i>)	Note: Potential problems are the following: • The senior debtors clerk cannot identify which invoice is being paid. Without a match to the unpaid invoice file, the system cannot process the receipt. • The invoice number matches, but the amount does not because the debtor has reduced the amount paid by taking an early discount settlement. Again, because there is not a proper match, the system will not process the receipt. 3.4 Any receipt that cannot be matched to an invoice number on the system will be processed to a “receipt suspense file” where it will remain until the problem can be resolved. • Removal of the receipt from the receipt suspense file will be restricted to the senior debtors clerk. 3.5 Any receipt for which there is a match to an invoice number, but the amount does not match will be written to “a receipt pending file”. • The credit controller should access this file daily to determine whether the discount can be approved. The authority to approve will be restricted to the credit controller in the normal manner. • If the discount is approved, the receipt will be processed immediately.

Credit management	
Computerisation does not change the objectives of credit management, but it can make it far more efficient and effective than in a manual system. The computer is used in a number of ways. For example, the credit application from the applicant and the following up of the information can be done online, and the efficiency in the day-to-day management of debtors can be improved. This may involve resolving sales orders and receipt queries on pending files, sending statements by email, identifying slow-paying debtors and reconciling accounts. In addition, the computer's ability to produce analytical and other reports, for example, aging schedules, ratios, will be of huge benefit.	
Activity/procedure	Control, comment and explanation
1. Granting of credit terms and limits (new customers)	1.1 Regardless of how it is done (online, personal visit), a <i>credit application</i> must be submitted. The application must contain customer banking details, trade references, financial information: • All details should be followed up with bureaus such as TransUnion or Credit Secure, which will supply an assessment of the applicant's credit rating. • Online access to a bureau site will be password protected (supplied on registration with the bureau), and should be known only to the credit controller and his assistant, and must be kept confidential. • A credit rating should be obtained directly from the applicant's bank. 1.2 The company should have guidelines for: • the credit terms given, for example, only 30 or 60 days • initial credit limits (to be reviewed after a relationship has been developed with the customer), and • handing over a debtor who has not paid, for example, – amounts owed for over 90 days, handed to a credit agency, and – large amounts outstanding over 120 days handed over to a lawyer. (Note: before handing a debtor to an outside party, the credit controller will negotiate with the debtor to make payment.) 1.3 The final credit terms and limits must be agreed between the credit controller and financial manager in terms of company policy: • The terms and limit will be recorded on the credit application form that will be signed by the credit controller and the financial manager.
2. Adding the new customer to the debtors masterfile	2.1 This will be a masterfile amendment and the controls over masterfile amendments described earlier, will apply. The credit application form will be the supporting documentation for the MAF.
3. Approving sales orders on the sales order pending file	3.1 The authority to approve a sales order on the pending sales order file will be restricted to the credit controller. 3.2 The decision to approve (or not) should only be made after contacting the client to discuss the matter, reviewing the debtor's payment record, determining whether the non-payment has arisen out of a dispute over a sale and whether there are other pending sales to the debtor. 3.3 The credit controller (and assistants) will have read access to the debtor's account history, for example, can bring up a list of all previous invoices, payments, current balance, days outstanding, previous payment issues, etc. 3.4 All approvals will be logged and followed up by the financial manager. 3.5 If a pending order is not approved, the customer is notified and the sales order remains on the pending file until the customer can resolve the matter. 3.6 If the sales order is approved, it is transferred to a sales order file for processing in the normal manner. It will no longer appear (or will be suitably status coded) on the pending sales order file to indicate that it has been resolved.

continued

Activity/procedure	Control, comment and explanation
4. Approving discounts (receipts pending file)	4.1 The authority to approve an early settlement discount taken by a debtor should be restricted to the credit controller and should only be given if the discount is in line with the terms and conditions applicable, for example: • early settlement terms have actually been satisfied • the amount of the discount taken is correct (percentage and calculation). 4.2 All discounts approved should be logged and a report should be generated for review by the financial accountant. Note: If the discount is approved, the system may automatically process a credit note (a report of credit notes generated will be produced).
5. Credit notes and journal adjustments, for example, bad debt write-off	5.1 Supporting documentation should be prepared for credit notes and adjusting journal entries, and approved by suitably senior personnel. 5.2 All credit notes and journal entries that affect debtors should be approved by the credit controller. 5.3 Access to any credit note or journal entry module should be restricted in the conventional manner, i.e. user profile. 5.4 A weekly report of credit notes passed indicating the reason they were given should be printed and reviewed by the financial accountant.
6. Debtors statements	6.1 A monthly debtors statement for each debtor should be produced by the debtors department reflecting the state of the debtor's account in the debtors masterfile. Details of all invoices, receipts, credit notes and journal adjustments should be included as well as a breakdown of the amount owed in days outstanding, for example, 30 days, 60 days. • Debtors statements should be sent or emailed to debtors promptly.
7. Day-to-day management (reports)	7.1 With modern software a great deal of analysis of information can be carried out on the system and made instantly available to users. The credit management function should make extensive use of these reports, some examples of which are as follows: • new accounts opened • changes to terms and credit limits for individual debtors • debtors exceeding their credit terms and limits • age analyses, and • debtors payment patterns, etc.

Processing controls

As mentioned in chapter 9, the accuracy, completeness, etc., of processing is evidenced by reconciliation of output with input and the detailed checking and review of output by users, on the basis that if input and output can be reconciled and checks and reviews reveal no errors, processing was carried out accurately and completely, and only transactions that actually occurred and were authorised, were processed. To make sure it does its job, the computer will perform some internal processing controls on itself, but the user will not even be aware that these are going on. The users within the cycle make use of the logs and reports that are produced relating to their functions, whilst the IT systems personnel make sure that processing aspects of the system are operating properly.

Summary

The description of the system above provides an illustration of how the control activities described in chapter 6 (and referred to in ISA 315 (revised)), can be implemented. It also provides an illustration of how specific automated (programme) controls can be introduced, for example:

Segregation of duties

- Separation of functions, for example, ordering, warehouse, processing receipts.
- Separation of responsibilities within functions, for example, receiving order, picking, picking control, invoicing.

Isolation of responsibilities

- Isolating responsibilities through granting access privileges, for example, only credit controller can approve sales orders in the pending sales order file.
- Having pickers, the picking control clerk and despatch controller sign the picking slip.

Approval and authorisation

- A sales order clerk is prevented from proceeding with a sales order unless the customer satisfies the preset credit worthiness requirements.
- The financial manager and credit controller approve the credit application.

Custody

- Access to the bank account (custody of the company's money) and the functions that can be performed via the Internet, is strictly controlled by user IDs, PINs and passwords.
- The information on the debtors masterfile (which is an asset) is also protected by user IDs and passwords to restrict unauthorised amendments.

Access controls

- All users on the system must identify and authenticate themselves by IDs and passwords, and what they are authorised to do is reflected in their user profiles.

Comparison and reconciliation

- The system reconciles the allocation of receipts to debtors in the debtors ledger, to the total amount of the deposits into the company's bank account downloaded onto the system.
- The system compares current period information about sales and debtors with corresponding prior period information and produces reports.

Performance review

- The real-time processing system allows supervisory and management staff to go into the pending sales order file to see how a sales order is progressing, for example, to determine whether there is a backlog in picking.
- The sales manager accesses the "sales order pending file" to determine whether pending sales orders are being speedily dealt with by the credit controller.
- Reports containing information about debtors, for example, aging, days outstanding, etc., are produced to be compared to performance targets set by the company to measure the performance of credit management.

Control techniques and application

Controls

- Screen aids and related features
 - minimum entry: keying in customer's account number brings up all other detail
 - screen formatting: the picking slip
 - mandatory fields: customer purchase reference.
- Programme checks
 - validation check on customer number
 - alphanumeric on quantity field.
- Output control
 - masterfile amendment logs are checked against source documents
 - access to debtor information on the system is restricted on a "need to know basis".

Logs and reports

- Log of changes made by picking control clerk to picking slips on the system.
- Daily reports of sales orders received, debtors exceeding credit limits or terms.

This does not cover every control, policy or procedure that could be in place, and is not intended to. This knowledge will only be acquired when you go into different companies and work with their systems.

10.1.7 Internal control in a cash sales system

10.1.7.1 Introduction

The making of cash sales presents some unique and difficult risks:

- The major risk is loss to the business due to the theft of cash. Cash is easily stolen and to some of those who work with it, the temptation is too great
- This ease of theft can also significantly increase the risk of collusion either with other employees and/or with a customer.

For example:

In the case of collusion with another employee, a salesman may make a cash sale to a customer, not enter it, and share the proceeds with the security guard whose duty it is to check the goods against a sales docket (in this case there will not be one) before the goods are taken out of the shop. A customer can also easily be drawn into a theft of cash by answering “no” to such questions as “do you want/need a receipt” or answering “yes” to a question such as “do you want to pay cash, because if you do, we don’t have to charge VAT”. A customer may knowingly or unknowingly answer “yes”!

- The control of cash can be particularly difficult in smaller businesses that don’t have the resources to have a strong division of duties or purchase equipment that can assist in preventing some forms of cash theft, for example, surveillance cameras or sophisticated point-of-sale systems.
- In a smaller business, say an owner/managed business, the extent of the desire of the owner/manager to control cash will be a major factor in how well it is controlled. Remember that the owner/manager may be keen to understate his cash sales so as to reduce tax. This attitude also affects the control environment and other employees will soon notice and may even exploit it.
- There is also the risk of armed robbery and injury to employees, so cash (at all stages) should be physically safeguarded.

10.1.7.2 Stages of a cash sale

For the purposes of describing the controls that should be in place, we will assume that the business has reasonable division of duties and the desire to implement and maintain good control over cash sales. The description will concentrate on *principles*, as the variations in the nature of businesses that make cash sales are vast, ranging from car washes to food outlets, petrol stations to supermarkets.

A cash sale usually goes through the following stages:

- Goods or services are requested from an employee of the business, or are selected by the customer to be paid for at an exit point. Typically there is no order document.
- The prices of the goods are rung up on a cash register and a total amount owed is calculated, or a cash sale invoice is created on a computer or manually.
- The customer hands over the cash and is presented with a receipt and change where necessary.
- Before leaving the premises, a security guard may check the goods against the receipt/invoice. (This control has practical implications, e.g., it is unlikely that groceries are going to be unpacked and checked against the till slip.)
- The cash is kept in the cash till until it is collected for banking.
- The cash is reconciled with a record of sales made, for example, a till roll slip and a deposit slip are prepared.
- The cash is banked.
- The cash receipts journal is written up (and subsequently posted to the general ledger).

10.1.7.3 Principles of control and examples

- *Physical safeguards* should be in place to protect cash registers and employees and to prevent theft.

For example:

- limited exit points and exit points positioned to minimise the risk of a customer leaving without paying as in a supermarket
- cash not held on an employee’s person: petrol attendants and car wash personnel should take all money to a central secure cash point
- security guards and camera surveillance
- signage should encourage customers to request a receipt.

- ***An independent record*** of every sale must be kept.

For example:

- All sales should be “rung up” (entered) on a cash register that retains a total of all **cash** sales made. If sales by credit card or cash are made, it is useful if the record kept by the cash register records the method of payment for reconciliation purposes.
- If a cash sale invoice is printed on a computer to support a cash sale, a report of daily cash sales should be printed.
- If the system is manual, a cash sale invoice should be written out in an invoice book; one copy given to the customer, one copy retained.
- In some businesses a counter of some kind may keep an independent total related to the number of sales that take place, for example, a car wash bay may keep a running total of cars entering the bay.

- ***The independent record should not be alterable***

- There should be no access to the till roll (or other record) in the cash register in a supermarket, other than to supervisory/management employees.
- Handwritten invoices are only protected by the fact that alterations will be visible.
- Access to reading, recording and resetting an independent counter (as in a car wash) should be restricted to the manager/owner.

- ***The independent record should be sequenced*** so that missing records can be identified.

For example:

- Till rolls or equivalent should be date sequenced (and should identify the cash register they came from).
- Cash sale invoices should be numerically sequenced.

- ***Cash should not be allowed to accumulate*** for too long in the cash till (or equivalent).

For example:

- In a supermarket, cash tills should be emptied regularly during the day and taken to a secure area. This activity may coincide with the changing of the cashier.
- A car wash manager/owner should ensure that cash is banked every day.

- Whenever cash is ***transferred*** from the custody of one person to another, it should be ***counted, reconciled, documented and signed for by both parties*** in a safe location.

For example:

- When cash is to be removed from a cash register, the till lane will be closed. The cash drawer will be removed by the cashier in the presence of the supervisor and taken to a secure back office by the two of them.
- The two individuals should then count the cash and total the credit card slips and reconcile them to the independent record that, in this case will be the locked-in till roll (or similar) that will be accessible only to the supervisor. The cash reconciliation would take into account the cash float given to the cashier (and signed for) at the start of the shift.
- The reconciliation should be recorded on a multicopy, preprinted, sequenced document and should contain information, such as date, time, till, cashier name, the actual reconciliation showing any “overs” or “unders”, any relevant comments and the signatures of both parties.
- At no stage during the reconciliation exercise should either of the parties leave the room.
- Where multiple reconciliations are carried out, to a secure back office lots of tills, the individual reconciliations should be consolidated onto a “daily cash sales” summary.
- The same principles will apply when armed security removes cash for banking.
- In the car wash business, the manager/owner should count the money with the employee responsible for handling the cash, agree the total to the cash sales invoices for the day and the independent counters on the car wash equipment.

- ***Cash should be banked regularly*** (at least daily) and ***intact***, in other words, cash should not be removed to pay wages or other expenses.

For example:

- A deposit slip should be made out by the supervisor and agreed to the daily cash sale summary.

- A second senior staff member should agree the bank deposit slip to the supporting reconciliations and daily summary sheets and sign the documentation.
- The same principles will apply in a smaller business, to the extent possible. A manager/owner is likely to be involved in reconciling and banking of cash.
- The cash receipts journal should be written up promptly.
- The financial accountant should regularly inspect the cash receipts journal to confirm that the daily receipts are being banked promptly, and completely, and that the amounts agree with the deposit slips and supporting documentation. The financial accountant will also carefully check the monthly bank reconciliation. All procedures will be acknowledged by signature.

Note 1: Cash registers and point of sales systems have numerous features that assist in the control of cash sales (and other sales). These features relate to some of the principles discussed above, for example, keeping independent totals and, in addition, will frequently provide reports that can be used for analytical purposes. Reports of cash sales by shift, cashier, salesperson, day of the week, etc., can be produced. *Comparison and analysis* may reveal trends that should be investigated, such as more frequent discrepancies for a particular cashier, or generally lower sales on the till manned by a particular cashier regardless of which till it is. These modern systems will also produce *reports of the activities* that have taken place on the till, such as supervisor overrides, correction of ringing up errors, which can be followed up if they look suspicious, for example, a supervisor who appears to “override” far more than another supervisor.

Note 2: In some businesses the relationship between cash sales and inventory can provide a good indication of *theft* of cash. For example, the owner/manager of a fast food outlet may require that, at the end of the business day, cash in the till be reconciled with movement in “food” inventory. If the cash register is able to record separately the different products sold (very common), the number of each product sold can be reconciled with the corresponding inventory on hand. If the outlet started with 500 hamburger patties on hand and ended the day with 100, the cash register should have recorded the sale of 400 hamburgers. If it only shows 390 sold, 10 hamburger patties are unaccounted for. The cash in the till will agree with what has been rung up, so it suggests that some sales are not being rung up.

In our car wash business, the manager/owner may be able to pick up variances between the month’s water and electricity expenses and the number of car washes recorded as sales. More water and electricity used should equal more cars washed. Surprise visits by the manager/owner and cash reconciliations may also reveal irregularities.

These analytical control activities, which are in fact *performance reviews*, are not foolproof in themselves, but when combined with further techniques, may become very effective. For example, further analysis may reveal that inventory shortages occur consistently when a particular supervisor is on duty at the fast food outlet.

The point is that where a business has cash sales, a full range of formal controls should be put in place, supported by innovative analysis and follow up.

10.1.8 The role of the other components of internal control in the revenue and receipts cycle

This chapter has concentrated on the *information system* and *control activities* components of internal control. However, these components are affected by the other components and a brief mention of the other components is appropriate.

10.1.8.1 The control environment

The tone of the business with regard to control is generally set for the business as a whole by the actions and behaviour of the directors and management, and will flow down to the employees in the different cycles that make up the business. Of importance in the debtors section is that senior members, such as the sales manager, credit controller and debtors manager, should enforce the controls strictly but fairly and judiciously, especially when a customer is directly involved. For example, a debtor should not simply be handed over for collection to a lawyer without attempting other ways of trying to settle the debt first.

Sales prices should be fair and realistic and the Consumer Protection Act and other relevant legislation should be complied with. The integrity of staff dealing with cash sales and confidential debtor information should be at a high level. Special attention should be paid to controls that address the risk of fraud in the

cycle, for example, invalid credit notes, or debt write-offs. In a smaller entity there should be comprehensive owner/management involvement.

10.1.8.2 Risk assessment procedures

Formal risk assessment procedures should address the overall risks faced by the company in the market place, including the promotion of the company's products, methods of selling, sales policies, etc. Less formal risk assessment can be undertaken by the members of the department assessing the risks they face in meeting the function's specific risks as described in the chapter. In smaller entities, it is the owner/manager's informal assessment and response to risks identified in his involvement with the cycle (that is not likely to be particularly strong on formal controls) that will make the difference.

10.1.8.3 Monitoring

Monitoring is about "looking in" on the cycle to determine, over time, whether the internal control system as a whole, is achieving its objective and adequately addressing the risks facing the company. In the context of the revenue and receipts cycle, there are a number of monitoring activities that can take place. Broadly stated, the objectives of the cycle will be to supply customers promptly with the correct goods at fair prices, to collect amounts owed by debtors according to the terms of the sale and to limit losses from bad debts. These can be monitored by:

- period-based comparisons of ratios and statistics, such as "debtors days outstanding", bad debt write-offs, etc.
- assessing customer satisfaction by customer complaints, the number and reasons for the issuing of credit notes, analysis of the buying patterns of major customers, and indirectly by changes in turnover

10.2 Narrative description of the revenue and receipts cycle at ProRide (Pty) Ltd

10.2.1 Introduction

The following narrative description is designed to give you an idea of how the revenue and receipts cycle functions in an actual operating company. The name of the company has been changed as have the names of the staff involved. Certain aspects of the company and its systems have been simplified for the purposes of this narrative but in essence, we have described "how it actually happens".

10.2.2 Background to the company

The company wholesales bicycles, parts and accessories to the retail trade. Customers include the major chain stores, for example, Makro, Game, numerous independent bicycle dealers and other general retailers. The company has a turnover of around R140m and about 2 000 debtors. Both foreign and local purchases are made and customers are located mainly in South Africa but sales are also made in other African countries. The company's administrative offices are attached to the warehouse. All goods are received at, or despatched from, the warehouse. The company has a computerised perpetual inventory system with literally many hundreds of inventory items, that are each assigned an inventory item code and a narrative description in the masterfile.

10.2.3 Overall control awareness

The company is very "control aware". The tone is set by the senior financial managers who, as you will see later on, monitor all aspects of the business continuously aided by an excellent computerised information system. All the components of internal control (see chapter 6) are present, for example, there is a strong control environment, sound control activities are implemented and there is ongoing monitoring by senior management. As you read through the narrative, you can be satisfied, for example, that the people in the system are competent and trustworthy, there is isolation of responsibility, clear lines of reporting, and all documents used in the cycle are preprinted, prenumbered and properly designed.

10.2.4 Computerisation in this cycle

This cycle is highly computerised. Sales, debtors and inventory are all run on the IBM AS 400 system, using the JD Edwards software. The company makes daily use of its Internet link to its bank to download details of payments made directly into its bank account by debtors so that the debtors ledger can be kept right up to date.

10.3 Sales – How the system works at ProRide (Pty) Ltd

It should be noted that great care is taken to ensure that sales orders taken are accurate and complete and that customers are within their credit terms right from the start. This cuts down significantly on problems arising at a later stage. Orders are dealt with promptly; goods will be picked and despatched (usually) within 24 hours. (This is one of the company's performance measures.)

10.3.1 Receiving orders

The company does not make "over the counter" sales. Sales are made to account holders only.

The three order clerks are located in their own office and are equipped with terminals linked to the AS 400, telephones and a direct fax line. They have "read only" access to the inventory masterfile and the debtors masterfile, and for confidentiality purposes not all information on these masterfiles is available to them. All orders are directed to this office.

Orders are received by phone, email, fax and through the post. Orders that are phoned in, are not necessarily confirmed by a hardcopy/email order. It should be noted that ProRide (Pty) Ltd's customer base is very varied and ranges from large companies with very formal financial systems, to small general dealers and "bike shops" in small towns and rural areas that have far less formal systems for ordering their goods and paying their accounts.

10.3.1.1 Telephone orders

We will assume for the purpose of this illustration that one of the order clerks is Jazelle Roos. When a phone call comes in from a customer, it is directed to the first available order clerk by a phone queuing system.

(a) Validation of the customer

- On receiving the call, Jazelle will greet the caller and enquire as to whether he is an account holder. If so, she will request the customer's account number (or company name) that she will enter onto the system.
- If the number (or name) given by the customer is a match to a debtor on the debtors masterfile, further details pertaining to the customer will appear on the screen and Jazelle will ask the caller to supply (some of) this additional detail to "validate" the customer.
- If the number (or name) given is not a match, no order can be taken.
- If the caller is not an approved customer, the caller will be referred to Judith Oldman, the credit manager.

(b) Debtors with a hold on their account

- When a customer's account details appear, there may be an on-screen message that conveys to Jazelle that the debtor's account is on "hold", meaning that no orders can be taken for that customer.
- The decision to place a hold on a customer's account will have been taken by Judith Oldman (credit manager) and Johan Els (financial manager) and the reason would be that the customer is no longer considered to be creditworthy.
 - The hold is effected by the entry of a code into a designated field on the debtor's account in the masterfile (write access to this field is restricted to Judith and Johan and holds are logged for subsequent review by Brandon Nel the financial director).
 - Note that this hold has nothing to do with the value of the new order the customer wants to place, so it is not a matter of a current order pushing the customer past his credit limit. This hold is about identifying a customer with whom the company does not want to trade!
 - If the account comes up with a hold on it, Jazelle will inform the customer and transfer the call to Judith.
 - The hold can only be lifted if Judith and Johan agree, after thorough investigation, that the customer's problems can be resolved. Lifting of this hold is not done until the customer has brought his account into line, and may not even be lifted at this point.
 - Removal of the hold code is restricted to Judith and Johan, it must be supported by a signed motivation, and is logged for review by Brandon. The intention of this strict set of procedures is to limit losses from bad debts.

(c) Taking an order from a customer

- ProRide (Pty) Ltd does not operate a complete telesales system in that the orders taken over the phone are *not* entered directly onto the system. It would probably be more efficient to do so, but the system as it is works well.
- Once Jazelle has “validated” the customer as above, she can take the order details. All order details are manually written onto a sequenced, preprinted internal sales order (ISO).
- Order clerks are regarded as sales personnel. With many hundreds of different inventory items, customers are frequently not aware of the precise inventory codes and descriptions of what they require despite having access to catalogues, a website, etc.

For example:

A dealer might wish to order bicycle spokes; at this point Jazelle will access the inventory masterfile (read access only) and, making use of her “enquiry” privilege, will enter “bicycle spokes”. This brings up a list on screen that contains a description of each of the different types of bicycle spoke ProRide (Pty) Ltd carries, the inventory item code, description, number of items in inventory and the selling price. Line items appear as follows:

BS 123	Stainless steel 700c	48	R17,50
BS 149	Galvanised Black 700c	26	R13,20

With this information Jazelle is able to establish exactly what the customer requires, whether it can be supplied (in stock) and the selling price. As each item is agreed, she manually records the item code and quantity on the ISO, and before moving onto the next item, confirms with the customer.

- All order clerks receive ongoing training relating to the products the company sells. This sound *personnel practices control* enables the order clerks to promote sales rather than just take orders.

For example:

If a customer wants an item but it is “out of stock”, Jazelle is competent to offer alternatives. The inventory masterfile also has a field into which additional information can be added (not by Jazelle) to indicate inventory items that may be “on special” at a reduced price. With this information the order clerks can offer these items to the customer.

- Once the order details have been taken, a customer order reference is obtained, and all details of the order are confirmed. The customer is given the ISO number as his reference to the order placed and the telephone conversation is then terminated. Jazelle will then promptly complete the ISO (checking details to the inventory masterfile where necessary) and sign it (isolating her responsibility for taking the order.)

10.3.1.2 Backorders

If an item is “out of stock” and a satisfactory alternative cannot be agreed upon, Jazelle will ask the customer whether he wishes his order to be placed on “back order”. If so, she will manually record the details on a back-order list. Each week she will access the inventory masterfile to determine whether any inventory items appearing on her back-order list have been received into inventory. Once an inventory item is available, she will phone the customer. An ISO is *not* automatically compiled. If the customer wishes to place the order, the normal procedure is followed.

10.3.1.3 Hardcopy orders (fax, post and emails printed)

All hardcopy orders received through the post are sent to the order department by “mail receiving”. ProRide (Pty) Ltd’s customers are provided with the order department’s fax number and a dedicated order department email address, and are also requested to mark their hardcopy orders *confirmation only* if the order has been placed telephonically. As mentioned earlier, customers do not always confirm telephone orders. All orders that are *not* marked “confirmation only” are checked against the copies of the ISOs held in the order department to ensure that the order is not duplicated. If there is any doubt, the customer is contacted.

The procedure for hardcopy orders is basically the same as for telephonic orders. An ISO is made out for each order after the debtor’s status and inventory availability checks have been carried out. Thus an order placed by a customer who may have a “hold” on their account will be identified, as will an “out of stock” order. These conditions will be treated in the same manner as a telephonic order.

The result of the procedures in the order department is the production of a source document (ISO) that represents an order from a customer in good standing, accurately compiled and complete with all necessary detail to proceed with filling the order.

10.3.2 Opening an account

As indicated, the company sells only on credit to account holders. Before a business entity is accepted as a customer it must complete a credit application form and submit it to ProRide (Pty) Ltd. (To speed up this process the customer can use the “online” facility available on ProRide(Pty) Ltd’s website.)

The credit application form requires the potential customer to provide:

- the business entity’s basic details, for example, name, address, phone numbers, email address, etc.
- the business entity’s registration number, where applicable, for example, company or CC registration number
- full details of directors, members (CC) or partners of the business entity
- trade references, and
- credit terms and limits required.

Judith (the credit manager) then uses a credit bureau (that we will call Credit Secure) to investigate the creditworthiness of the potential customer. Credit Secure offers their service online, and to make use of this facility, ProRide (Pty) Ltd has registered with Credit Secure. On registration, ProRide (Pty) Ltd was supplied with a unique password that must be entered once the Credit Secure website has been accessed. The password is only known to Judith and her senior assistant. The website then requires that key details, for example, the company registration number, be entered. This initiates a search of relevant databases and the production of a report by Credit Secure. This report provides ProRide (Pty) Ltd with an assessment of the business entity’s creditworthiness as well as a credit rating, for example, A = excellent, E = poor. If Credit Secure has insufficient information about the entity on its databases, it will undertake a special investigation if asked to do so.

Once the Credit Secure report has been obtained, it is filed with the original application (hardcopy) and discussed by Judith with Johan (the financial manager), at their weekly “debtors” meeting. At this meeting a decision is made on whether credit should be granted and on what terms. This decision is recorded on a document and signed by both Judith and Johan. The document is used as the authority to add the new customer to the debtors masterfile. Dalene Burger (accounting supervisor) actually enters the new debtor onto the masterfile. All amendments are logged by the computer.

The financial director, Brandon, is supplied with a printout (log) each month of new account holders and he will review the supporting documentation relating to these account holders.

10.3.3 The production of picking slips

10.3.3.1 Entering details from the ISO

Once the ISO is complete, it is placed in a secure pigeon hole at the door to the computer department (that is physically separate from the order department). At regular intervals through the day, Rushda Devon, the data clerk, will remove the ISOs from the pigeon hole and capture the details of each ISO to create a “picking slip” (PS). Access to the sales application is restricted. Rushda has her own password and is given read or write privileges to only those modules that she needs to perform her function (least privilege principle). The application is menu-driven and Rushda will select the “create picking slip” module. The screen will then come up formatted (laid out) as a “picking slip” and she will enter the information into the appropriate fields. Rushda is required to enter minimal information only, and does not have write access to any fields other than those that she must complete, i.e. she cannot change any standing data, for example, an address. Fields to which she does not have write access are shaded on her screen.

- Entry of the customer’s account number brings up the rest of the customer’s details.
- Entry of the inventory item code brings up the description of the goods ordered.
- The quantity ordered must be entered.
- The programme automatically provides the document number (sequenced and that cannot be altered) and the date.
- The corresponding ISO number must be entered.

10.3.3.2 Credit limit check

You will recall that when an order is initially received, any debtor's account that has a "hold" on it is identified, and no sales order will be accepted from that debtor. This is in effect an initial creditworthiness check and a second credit check takes place when Rushda enters the ISO.

- Once all order details have been entered, the computer instantly calculates the total value of the new order and adds it to the debtor's balance. The new balance is compared on the system to the debtor's credit limit, that is held on the debtors masterfile. (Note that this is only a control procedure; the debtor's account is not updated at this point, nor is a picking slip produced.)
- If the debtor's credit limit will be exceeded if the new order is processed, the picking slip *cannot* be printed and the ISO will be written to a sales order *pending* file on the system.
- At the same time as the sales order is written to the pending file, a screen message is sent to Judith Oldman (credit manager), alerting her that the sales order is on the pending file
 - As soon as she is able to, Judith will access the pending file and decide on whether to authorise the sale or not. To be in a position to do so, she carefully considers the payment record of the debtor, the amount by which the limit has been exceeded, and, if necessary, will phone the debtor to discuss the problem and a possible solution. If she is satisfied in her own mind that the debtor will pay, she will approve the sale. Only Judith can effect this approval, as only a screen linked to her user profile will reveal the "approve" option.
 - On approval, the sales order will be transferred to the picking slip file from where it is treated as a normal approved order. The sales order pending file is updated to reflect that the pending sales order has been approved.
- If on entry of the sales order, the debtor's credit limit check is satisfied (which is normally the case), and the sales order is written to the picking slip file. Once Rushda is satisfied with what she has captured, she selects the "print picking slip" option and a picking slip is produced. The printed picking slip contains the following:
 - inventory item code, and description of goods
 - quantity ordered
 - document number and ISO number
 - customer details (including delivery address), and
 - an empty block next to the quantity ordered for each item (the actual quantity picked is later entered in this block).

As the picking slips are produced, they are placed in a secure pigeon hole in the picking area. A batch system is not used.

10.3.4 Picking the goods

10.3.4.1 Physical picking

The picking area is located next to the warehouse. It is broken down into numerous designated sections where items picked for each order can be placed. It is secure to the extent that only pickers, warehouse management (Reg Gaard, the warehouse manager, and his foreman, Patrick Adams), and senior management are allowed into the area unaccompanied by warehouse management. Patrick closely supervises the team of pickers. Using the picking slip, a picker will take each item from its inventory location (bin, box or shelf) and place it in a designated section in the picking area. Each item that is picked will be ticked off in the empty block next to the quantity indicated on the picking slip. If the correct quantity cannot be picked, the actual quantity picked is entered in the block. The picking slip is signed by the picker and left with the items that have been placed in the designated section of the picking area. Patrick will test check the goods picked against the picking slip randomly. (They are checked again at the packing stage.)

10.3.4.2 Preparing the invoice

- At regular intervals throughout the day, Patrick collects the completed picking slips and delivers them to Dalene (the accounting supervisor). She calls up the "prepare invoice" module at her terminal located in the computer department by entering the picking slip number. The "picking slip" appears on the screen and Dalene, with reference to the hard-copy picking slip, makes any *reductions* to the quantity field that may be necessary. Although an inventory availability check is done at the order taking stage,

situations do arise where the *theoretical* “inventory on hand” quantity in the masterfile is greater than the *actual* number of items on hand. This could occur where inventory items have been stolen or placed in the wrong inventory location.

- Alterations to other fields on the picking slip cannot be made. For example, additional items cannot be added and any amendment to the quantity field for a quantity that is greater than the quantity field on the picking slip, will be rejected.
- The result of entering the actual quantity of items picked is that the invoice produced agrees exactly with the goods that have been picked for despatch. As you would perhaps expect, details of any quantity reductions entered are automatically written to a report by the computer. The report is used to notify the customer of the problem and for Reg (the warehouse manager) to investigate before the “stock on hand” field is corrected in the inventory masterfile. Reg does *not* have the necessary access privilege to make the alteration in the inventory masterfile as this would amount to a poor division of duties between custody and record keeping relating to inventory.
- Access to the “prepare invoice” module is restricted to Dalene, with Rushda Devon as backup. Once Dalene is satisfied that the “on screen” invoice is in agreement with the hardcopy picking slip, she selects the confirm option. This immediately updates the debtors masterfile and quantity field on the inventory masterfile and the general ledger accounts. The applicable picking slip on the picking slip file is coded to indicate that the goods have been picked and invoiced. She then prints the invoice in triplicate. The picking slip and invoice have the same document number, but the invoice contains the additional information necessary to record the sale, for example, prices, extensions, value of the sale, VAT, settlement terms, etc.
 - *Copy 1* is filed numerically in the debtors section with the picking slip.
 - *Copies 2 and 3* are sent directly to Reg Gaard (warehouse manager).
- Upon receipt of the two invoices, Reg and Patrick supervise the packing of the items in each designated section of the picking area, into boxes, checking the goods picked to the invoice. Both copies of the invoice are signed by either Reg or Patrick. One copy of the invoice is placed in the box with the goods, and the second copy is used as a delivery note (see despatch below).

10.3.5 Despatch

ProRide (Pty) Ltd does not make its own deliveries. The company uses a road transport company (Roadline) that delivers countrywide on a daily basis. Roadline has a small office staffed by two of their employees situated in ProRide (Pty) Ltd’s despatch area. The despatch area is physically very secure using conventional methods. The boxes for delivery are moved from the picking area into despatch under the supervision of Reg or Patrick and one of the Roadline employees. Taking the details off the “delivery note/invoice”, the second Roadline employee generates a sticker and waybill (four copies). Each box is sealed and the sticker, with the customer and delivery details (including the number of boxes in the consignment and the relevant invoice number), is stuck onto the box.

The Roadline waybill contains a waybill number, the customer’s name and address, the ProRide (Pty) Ltd invoice number and the number of boxes to be delivered to that customer. The four copies of the waybill are used as follows:

- **Copy 1:** filed in numerical sequence by Roadline with the ProRide (Pty) Ltd invoice/delivery note.
- **Copy 2:** filed in numerical sequence by ProRide (Pty) Ltd. Before the boxes for delivery are finally released to Roadline, Reg or Patrick checks the details on the waybill to the sticker on the box in the presence of the Roadline employee. Both sign the waybill as evidence of this check.
- **Copy 3 and 4:** go to the customer who signs them to acknowledge receipt of the delivery and returns one to Roadline as proof of delivery.

10.4 Receipts – How the system works at ProRide (Pty) Ltd

All of ProRide (Pty) Ltd’s debtors pay by EFT. No debtors pay cash directly to ProRide (Pty) Ltd, but a number of the general dealers in rural areas still deposit cash directly into the company’s bank account.

10.4.1 Recording and entering receipts from debtors

10.4.1.1 Recording direct deposits and electronic transfers into the bank account

- Judith Oldman (credit manager) accesses the company's bank account via the Internet and downloads a bank statement every morning.
- The bank statement is passed to Amy Mostert (debtors clerk) who, assisted by other debtors clerks when necessary, compiles a preprinted "electronic receipts input sheet".
 - All debtors are requested to enter their name and account number as a reference when depositing or transferring money into ProRide (Pty) Ltd's bank account and to (preferably) email a remittance advice advising exactly which invoices are being paid.
 - The electronic receipts input sheet is then checked by a second debtors clerk and signed by both debtors clerks.

10.4.1.2 Entering the receipts onto the system

The intention is to maintain an up-to-date debtors masterfile. As debtors are debited in "real time" when the invoice is created, it is important that receipts from debtors are also processed as soon as possible. To achieve this, Amy updates the debtors masterfile on the AS 400 every day. To do so, she does the following:

- Accesses the sales application in the normal manner (user ID and password) and selects the "process receipts" module from the menu that appears on the screen and is tailored to her user profile.
- On keying in a debtors account number (taken from the receipt input sheet), the screen will reveal the debtor's account including a list of the unpaid invoice numbers on the account.
- Amy will select the invoice in respect of which the payment has been received and enter the amount that was paid and is recorded on the electronic receipts input sheet into the designated field.
- If the amount entered does not agree with the amount of the invoice on the system, an on-screen message will appear requesting Amy to confirm the amount. If there are differences between the invoice and the payment received, the detail will be written to a report for subsequent follow up by the debtors clerks. (Note: Debtors do not always pay exactly the amount owed; the debtor may make a mistake, or take a discount, etc.)
- Once Amy has entered all the receipts from a specific debtor, she will move to the next debtor.
- If no invoice is listed on the debtor's account in the masterfile against which the receipt can be matched, the receipt is not processed to the debtor's account but is written to a suspense account and subsequently followed up by Amy.
- When all receipts have been processed, the computer will produce a report showing the total of all amounts entered, broken down into amounts posted to individual debtor's accounts and the suspense account (if any). Amy will agree the total of all amounts entered to the totals on the two receipt input sheets and resolve any discrepancies.
- The system will also produce a listing of all invoices in respect of which the amount received was not correct in terms of the amount reflected on the invoice.
- As each receipt is processed, the debtors masterfile and the general ledger accounts are updated.

10.4.1.3 Independent reconciliation

- Every Friday afternoon, Johan Els (the financial manager) extracts a report of daily receipts processed to the masterfile from the system for the preceding week, and reconciles it to the remittance register, the receipt input sheets, and the bank statement.
- He also extracts a report of all amounts in the suspense account and a report of all invoices in respect of which incorrect amounts were received and that have not been resolved. These reports are discussed with Judith Oldman, the credit manager.
- On the 25th of each month, Amy Mostert produces a debtors statement reflecting the state of the customer's account at that date and emails it to the customer (some statements are posted).

10.4.2 Credit notes and adjustments to debtor's accounts

Controls over the passing of credit notes, for example, for goods returned by a customer, or making adjustments, for example, writing off a bad debt, are strict.

- Every Thursday morning Judith Oldman, the credit manager, and Johan Els, the financial manager, will meet to discuss and approve credit notes and other adjustments. A schedule will be prepared based on:
 - a list of “customer return notes” (CRNs) prepared by the warehouse department for damaged or incorrect goods returned by the customer: Copies of the CRNs are attached to the list. The sequence of the CRNs is tested following on from the previous week’s CRNs and checked for the signature of the warehouse manager (Reg Gaard)
 - the computer-generated report of invoices for which the correct amount was not paid and the details of the subsequent follow-up thereof. For example, the customer may have taken a discount. If the discount is valid, a credit note will be passed
 - any relevant correspondence from a debtor: For example, a debtor may have been invoiced in error for goods he never received or ordered (seldom happens), or
 - any notification from the company’s attorneys that the amount of a long outstanding debt is not recoverable.
- Judith and Johan will prepare the schedule of credit notes and adjustments:
 - The schedule will include the debtor’s name, account number and the amount of the credit note/adjustment to be passed, and the total of the credits to be passed and the accounts to be debited. The credit notes will also be coded to indicate the reason for passing the credit, for example:
Code 1 = incorrect goods supplied
Code 2 = damaged goods returned
Code 3 = special discount.
 - Both Judith and Johan will sign and date the schedule.
 - The schedule will be passed to Brandon Nel (financial director) who will scrutinise it carefully, resolve any issues he might have, and sign it to indicate his approval.
- Only Rushda Devon (the data entry clerk) has write access to the “credit note and adjustment module”. Access is controlled in the normal manner.
- Once Rushda has accessed the individual debtor’s account (by entering the account number), she will enter the details of the credit note/adjustment, working her way through each credit note/adjustment on the schedule:
 - Normal input controls apply, for example, minimum entry, validation of debtor’s account number, mandatory fields on the credit note code and account to be debited fields. Credit notes entered automatically update the debtors masterfile and general ledger accounts in real time.
 - The computer maintains a total of the credits entered that Rushda compares to the total on the schedule once the entering process is complete.
- A copy of the credit note is either emailed to the debtor or printed and posted or faxed. A copy of each credit note is also printed in order to be filed with the schedule and other supporting documentation.
- A day end report, that lists all credit notes and adjustments processed and provides a breakdown of which accounts were debited, is produced. It is reviewed and approved the following morning by Judith Oldman, the credit manager.

10.4.3 Monitoring

As we mentioned earlier, the control environment in the company is very strong. Over and above the involvement of senior management explained above, the control exercised by Brandon Nel is very significant. He is able to keep his eye on the system by making use of the up-to-date information that the JD Edwards system can provide. This information is supplied by accessing the system (read access only!) or by the scrutiny of various printouts presented to him, some every day, others every Thursday, and others at month end. The examples given below are not exhaustive but are sufficient to illustrate the point being made.

10.4.3.1 Monitoring order picking and invoicing

- Because the above activities are “real time”, Brandon Nel is able to access the system at any time during the day and obtain a great deal of information about these functions.

For example:

The number and rand value of orders entered for the day as well as the gross profit margin on those orders are provided for him on screen. He can also ascertain at any stage how many of the orders received have been picked and how many have been invoiced. He is also provided with cumulative sales for the day, month-to-date, year-to-date and gross profit for all these cumulative totals, actual and budget. If the process looks to be slow, a phone call or visit to the sales department usually resolves the problem!

- If he wishes, he can call up a list of picking slips that are pending (because the sale pushes the debtor over their credit limit) for discussion with Judith Oldman.
- He can obtain a breakdown of invoiced sales by category, item code, or by debtor, all provided with gross profit margins.
- He also extracts a list of all sales made that produced a gross profit margin of less than 25%. These should only be items that are on “special” or for which there are unique circumstances, for example, bicycles donated as prizes (these are entered as a normal sale with a selling price equal to cost or less).

10.4.3.2 Debtors

A great deal of information is instantly available about debtors:

- new accounts opened
- debtors who have exceeded their credit limits
- a weekly age analysis
- an analysis of the sales

For example:

An analysis of the sales made to the top 200 customers (debtors). Any amount of detail can be extracted, for example, total value of sales month-to-date, year-to-date and comparisons to the prior year. In addition, a breakdown of what items are being purchased by the customer, by description, quantity, value and gross profit margin can be obtained instantly. Brandon Nel uses this to monitor trends. If, for example, sales to a particular debtor are falling, he will attempt to establish why – is the debtor in financial trouble, has he moved his business to another supplier, is he dissatisfied with the treatment he is receiving from ProRide (Pty) Ltd?

- Brandon Nel also receives a weekly report of credit notes that have been entered, broken down into categories (by codes). For example, if a large number of “Code 1” credit notes that result from incorrect goods being supplied have to be passed, an investigation into the picking of goods will result. Similarly, “Code 2” credit notes that result from damaged goods being returned, may indicate a packing, delivery or quality problem.

10.4.4 Conclusion

It is as a result of these controls that the revenue and receipts cycle at ProRide (Pty) Ltd produces up-to-date, valid, accurate and complete information relating to the totals and balances produced by the cycle, namely, the sales, debtors and inventory.

10.5 Auditing the cycle

10.5.1 Introduction

For the purpose of this chapter and all other “cycle” chapters (chapters 10 to 14), the sections are arranged as follows: the first step is to get an understanding of the accounting aspects in the cycle. With this, it is important to understand how fraud that impacts on the auditor’s risk assessment may be committed by management. These considerations are taken in light of the financial statement assertions relating to the transactions in the cycle and the related balance. The next part of the audit cycle deals with the identification and assessment of risks. Overall responses, “further” and “other” audit procedures are then discussed within each of the cycles. Finally, the chapter describes using audit software in the auditing cycle.

10.5.2 Auditing the revenue and receipts cycle

The revenue phase of the cycle is concerned with making sales of the company's products, services or expertise and the receipts phase is concerned with ensuring that the company is paid for supplying the product, service or expertise. Sales can be made in various ways.

For example:

For cash, on credit, or by instalment, and can also be paid for in different ways, such as cash, credit card, or electronic transfer.

Therefore, from an audit perspective, the auditor will need to consider a fair number of aspects relating to the cycle. For example, the auditor needs to have a good understanding of the accounting aspects of the revenue and receipts cycle, namely, whether the sale has been appropriately recognised in terms of the relevant accounting standard, whether all cash sales have been recorded and whether the trade receivables balance in the financial statements is fairly valued.

The audit of this cycle follows the conventional process stipulated in the relevant ISAs. In terms of ISA 315 (revised), the auditor is required to identify and assess the risk of material misstatement at both financial statement level and at account balance and transaction level. This means in the context of this cycle that the auditor will need to evaluate whether there is anything in the assessment of risk at financial statement level that may filter down into the audit of the cycle and whether there are any specific risks pertaining to the trade receivables balance in the Annual Financial Statements (AFS), as well as its related disclosures, or to the recorded sales or receipts (payments) from debtors transactions.

For example:

- At financial statement level, if there is an incentive for the directors to manipulate the financial statements, one of the ways in which they may do so is by understating or overstating profits by manipulating sales. This can be done in a number of ways, such as by creating fictitious sales to related parties, manipulating cut-off at year-end, or not recording all cash sales.
- At account balance level, there may be an identified risk that the accounts receivable balance will be overstated because of an inadequate allowance for bad debts.
- At transaction level, risk assessment procedures may have revealed that the controls over cash sales are totally inadequate or that sales invoices are raised before the goods ordered by the customer have even been picked from the warehouse.

Once the cumulative effect of the identified risk has been assessed, the auditor will be in a position to plan "further" and "other" audit procedures.

10.5.3 Important accounting aspects of the revenue and receipts cycle

IFRS 15 – Revenue from contracts with customers provides guidance on the recognition of revenue. When auditing a sales transaction, the auditor must confirm that all the following conditions have been met for the sale to have been correctly recognised. These criteria are particularly important where there is an assessed risk that sales may be overstated. If the audit client is simply a wholesaler or retailer, there is not usually much difficulty in determining whether a sale should be recognised, but there are some potential complications, for example, consignment inventory sent to an agent, pre-invoicing, "lay-by" sales and "on approval" sales.

10.5.3.1 Sales to customers

A sale should only be recognised if:

- There is an approved contract to perform specific obligations, and the performance obligation is satisfied. A contract may be verbal or written. Obligations of the contract are what the seller has promised the buyer – to build a house, to deliver a large vacuum cleaner, to whiten their teeth, etc. The performance obligations are satisfied once the seller has performed his promise to the buyer.
- Each party's rights can be identified per the contract. This is usually straightforward as a party/parties will be promising to provide a good/service/combination thereof, and a counterparty/counterparties will be obtaining such a good/service/combination thereof.
- The payment terms of the contract can be identified. Payments exclude amounts collected on behalf of third parties.

- The contract has commercial substance. A company is highly unlikely to start providing a service or sell goods at a loss as that would not have commercial substance. Commercial substance looks at the business as a whole. A transaction where perishable goods are sold the day before they would expire, at a price below their cost, still has commercial substance, as they would not have sold any of these perishable goods the next day.
- It is probable that the payment will be collected. A company is highly unlikely to sell goods to an entity from which it knows they cannot recover the money. Recording a fictitious sale would contravene this requirement.

10.5.3.2 Allowance for doubtful debts

In accordance with IFRS 9 – Financial instruments, the measurement of the receivable recognised when a credit sale transaction takes place will need to take into account the uncertainty arising from the collectability of the receivable. An uncollectible amount, or an amount for which recovery is no longer probable, after being recorded as sales, should be expensed, rather than an adjustment to revenue being made, in other words, an allowance for bad debts is created rather than reducing the amount of revenue (sales) recorded.

Before moving onto the second part of the audit of the cycle (i.e. the response to assessed risk), it is necessary to remind ourselves of the assertions relating to the transactions in the cycle and the related balance, that is, the trade receivables (which are often referred to as accounts receivable or trade debtors).

10.5.4 Financial statement assertions and the revenue and receipts cycle

Sales

Occurrence:	Sales that have been recorded have occurred (they are not fictitious), and such sales pertain to the company.
Completeness:	All sales that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
Accuracy:	The amounts of sales and other data relating to recorded sales have been recorded appropriately and related disclosures have been appropriately measured and described.
Cut-off:	Sales have been recorded in the correct accounting period.
Classification:	Sales have been recorded in the proper accounts.
Presentation:	Sales are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the applicable financial reporting framework.

Receipts (from trade receivables)

Occurrence:	Receipts that have been recorded have occurred (they are not fictitious), and such receipts pertain to the company.
Completeness:	All receipts that should have been recorded have been recorded.
Accuracy:	The amounts of receipts and other data, if applicable, relating to recorded receipts have been recorded appropriately.
Cut-off:	Receipts have been recorded in the correct accounting period.
Classification:	Receipts have been recorded in the proper accounts.

Trade and other receivables

Existence:	Receivables exist at year-end.
Rights:	The company holds the rights to the receivables.
Completeness:	All trade and other receivables that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements, have been included.

Accuracy, valuation and allocation:

Trade and other receivables have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments, for example, allowance for bad debts have been recorded, and related disclosures have been appropriately measured and described.

Classification:

Trade and other receivables have been recorded in the proper accounts.

Presentation:

Trade and other receivables are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the applicable financial reporting framework.

10.5.5 Fraud in the cycle**10.5.5.1 Fraudulent financial reporting**

There are a number of ways in which management can manipulate account balances and totals in this cycle:

- **Creating fictitious sales (occurrence) and the corresponding fictitious debtor (existence)** – this increases profits and current assets, and improves related ratios.
- **Incorrect financial period** – manipulating the timing
 - **Not deferring revenue:** recording that sale is made but the contract only realises in the next 3 periods overstating in period 1
 - **Not accruing revenue:** only realising the sale in period 3 when it was made in period 1
- **Understating sales (completeness) and the corresponding debtors (completeness)** – the object here may be to reduce taxation or present a less favourable picture of the company so as to reduce the “value” of the company for, say, negotiating a management buyout.
- **Understating the bad debt allowance (accuracy, valuation and allocation)** – normally part of a trend of manipulating allowances and provisions to improve profits, assets and related ratios.
- **Manipulating the recognition of revenue from sales (occurrence or completeness)** – rather than create a “fictitious” sale, the company may indulge in activities such as pre-invoicing (raising a sale at year-end that is only going to be made or that the company expects will be made in the next financial year, or by recording “lay-by” or “appro sales” as sales). Management may also decide *not* to record sales that have actually been made (completeness), depending on their motives.
- **“Roundtrip” Transactions** – Recording transactions that occur between two or more companies for which there is no business purpose or economic benefit to the companies involved. These transactions are often entered into for the purpose of inflating revenues or creating the appearance of strong sales growth.
- **Bill and Holds** – A bill and hold transaction takes place when products have been booked as a sale but delivery and transfer of ownership has not occurred as of the date the sale is recorded. The transaction may involve a legitimate sales or purchase order; however, the customer is not ready, willing, or able to accept delivery of the product at the time the sale is recorded. Sellers may hold the goods in its facilities or may ship them to different locations, including third-party warehouses.

10.5.5.2 Misappropriation of assets

There are a number of ways in which management or employees can misappropriate assets relating to this cycle:

- Theft of cash from the cash sales (completeness of sales).
- Theft of cash received from debtors.
- Arranging sales to customers at unauthorised reduced prices – this is like “virtual theft” from a company and usually occurs when the perpetrator can gain a direct advantage, for example, he is running his own business “on the side”, or the sale is to a friend or family member, or a bribe will be paid over by the person to whom the sale was made.
- Theft of goods at the picking/despatch stage (existence of inventory) – poor controls over this function may enable warehouse personnel to steal goods by including them in a genuine order, for example, company A orders 10 items, but 15 are picked and despatched. This will normally require collusion with someone outside of the company, such as a friend or relative.

- Not paying over VAT on all sales (completeness of liabilities) – this amounts to theft from SARS and is not restricted to unrecorded sales (where VAT is very unlikely to be paid), but can occur for recorded sales as well.
- Making invalid adjustments to debtors accounts (completeness of debtors) – the intention here is to settle a debtor's account without the debtor actually paying, by passing an invalid credit note or writing the debt off as bad when it isn't. This is also normally done where the perpetrator has an interest in the debtor, for example, a debtor is a friend, family member, or the perpetrator's own business on the side, or where a bribe will change hands.
- Despatching goods in the normal manner but never raising an invoice. Having the goods despatched in the normal manner gets the goods (physically) out of the warehouse without suspicion, and deliberately not raising the sale makes it theft.

10.6 The auditor's response to assessed risks

10.6.1 The auditor's toolbox

As discussed in chapter 7, in terms of ISA 500, the auditor has the following types or categories of audit procedure available to him:

- inspection
- observation
- external confirmation
- recalculation
- re-performance
- analytical procedures
- inquiry

10.6.2 Overall responses to the risk of material misstatement at the financial statement level

In terms of ISA 315 (revised), the auditor shall identify the risks of material misstatement at the overall financial statement level and at the assertion level for transactions, account balances and disclosures.

Further, a significant risk is an identified risk that, in the auditor's judgement, requires special audit consideration. This does not mean that the auditor needs to be familiar with a whole new range of audit procedures (have additional tools in his toolbox), but it does mean that he will look closely at the nature, timing and extent of the further audit procedures that will be conducted, as well as the skills and experience of the audit team.

In the context of this cycle, significant risks may include:

- fraudulent financial reporting (understatement or overstatement of sales)
- revenue recognition for complex "sales" transactions, such as long-term contracts
- completeness of cash sales in a cash-orientated business (supermarket), and
- extensive sales to related parties.

In terms of ISA 330, the auditor must implement **overall responses** to address the risk of material misstatement at the financial statement level.

For example:

- assigning more experienced staff to the audit, for example, in response to an assessed risk that management may manipulate the financial statements by the inclusion of fictitious sales with related parties
- emphasising to the audit team the need to maintain professional scepticism, for example, to be alert to the risk of unrecorded sales
- providing more supervision
- carrying out procedures in a different manner to prior audits, for example, carrying out an "early verification" positive debtors circularisation for the current audit when only subsequent receipt testing has been undertaken in the past.

10.6.3 Responding to risks at the assertion level

The auditor's **further audit procedures** will be a mix of **tests of controls** and **substantive tests**. If the auditor intends to rely on the operating effectiveness of controls in determining the nature, timing and extent of substantive tests, he cannot simply assume that the controls have operated effectively; he will

need to design and perform tests of controls. If controls prove to have operated effectively, the nature, timing and extent of planned substantive procedures may change, for example, less testing (smaller samples) may be conducted. The opposite will also apply, that is, less effective controls equals more substantive testing. Bear in mind that the “further audit procedures” will depend on the outcome of the risk assessment procedures.

10.6.4 “Other” audit procedures

10.6.4.1 Introduction

In terms of ISA 200, the auditor is required to conduct procedures to comply with all ISAs relevant to the audit, and these procedures are referred to as “other” procedures. An important ISA the auditor must comply with is ISA 265 that requires that the auditor communicate deficiencies in internal control to those charged with governance. The following paragraphs provide a broad outline of what is required to comply with this statement:

10.6.4.2 ISA 265 – Communicating deficiencies in internal control to those charged with governance and management

(a) Objective

The objective of the auditor is to communicate any deficiencies in internal control that the auditor has identified during the audit and that the auditor believes those charged with governance and management should give some attention to, to those charged with governance and management.

(b) Deficiencies

A deficiency in internal control exists when:

- a control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis, or
- a control necessary to prevent, or detect and correct, misstatements in financial statements on a timely basis is missing.

(c) Significant deficiencies

ISA 265 draws a distinction between deficiencies and *significant* deficiencies. The reason is that the parties to whom they are reported will differ:

- The general rule is that all *significant deficiencies* will be communicated to those charged with governance and to management.
- However, if communicating directly with management is not appropriate, the auditor should not do so. This situation will arise where the significant deficiency may “call into question” the competence or integrity of management.
- Deficiencies that are not significant will be reported to management if, in the auditor’s opinion, the deficiency is of sufficient importance to merit management’s attention (but not so important that those charged with governance need to be communicated with).

(d) Determining significance

- A deficiency does not require that a misstatement must have already occurred for it to be significant. Although a misstatement may have occurred, the auditor is also concerned about the *potential* for misstatement to occur, and alerting those charged with governance will allow the deficiency to be responded to and potential misstatement prevented.
- A number of deficiencies, that individually would not be significant, may be significant when considered collectively.
- The following matters, among others, will be considered by the auditor in determining whether a deficiency is significant:
 - the likelihood of the deficiency leading to material misstatement
 - the susceptibility to loss or fraud to which the deficiency gives rise
 - the volume of activity associated with the account balance or class of transaction that is affected by the deficiency, and

- the importance of the “deficient” control in relation to the financial reporting process, for example, deficiencies in controls over the prevention of detection and fraud, or the identification of related party transactions, or year-end journal entry approval may tend towards being significant.
- Indicators of significant deficiencies in internal control include:
 - the suspected presence of management fraud
 - lack of action or concern by management in responding to deficiencies communicated
 - inadequate company risk assessment processes or a failure to respond to risks timeously or at all, and
 - detection of misstatements by the auditor – proof that the system is not “working”.

(e) Content and form of the communication

- Significant deficiencies should be communicated in writing (not orally).
- Communication with management of non-significant deficiencies may be oral (less formal). For example, they could be communicated in a meeting with management and should be recorded in the minutes of the meeting.
- The communication should contain:
 - a description of the deficiencies and an explanation of their potential effects
 - an explanation that the purpose of the audit was to express an opinion on the financial statements, and *not* for the purpose of expressing an opinion on the effectiveness of internal control, and
 - that the deficiencies being reported are limited to those identified during the audit that the auditor has concluded, are of sufficient importance to merit being reported to those charged with governance.

10.7 Audit procedures – Test of controls and substantive procedures

10.7.1 Tests of controls

10.7.1.1 Objective

The auditor tests a control to determine whether it has been effective in achieving the objective for which it was implemented in the first place.

For example:

In the context of this cycle, one of the objectives of the controls implemented by the company will be to ensure that a credit sale is only made to a customer who will pay.

To achieve this objective, the controls implemented might include a requirement that a thorough investigation of the customer’s creditworthiness be carried out before any sales can be made to the customer. This control will then work in conjunction with other controls that require that all sales orders be approved (signed) by the credit controller before they are executed. In a computerised system, approval of the sales order could be achieved by a combination of programme (automated) controls.

For example:

- a sale cannot be initiated on the system unless the customer is an approved customer on the debtors masterfile (validation/verification check)
- a “hold” (that prevents initiation of the sale) being placed on an approved customer whose account balance is in excess of the customer’s credit limit, and
- the “hold” can only be lifted if the credit controller exercises the “approve” option, that is granted only to him by his user profile.

Remember that if a sales order cannot be initiated on the system, there will be no picking slip, so no despatch, and that equals no sale!

The auditor is interested in these controls because if they are effective, the trade receivables balance will contain far fewer debtors who will not pay their accounts. That in turn reduces the risk that trade receivables will be overstated by the inclusion of debtors who are not going to pay (valuation assertion). From an audit perspective, the assessed risk of material misstatement will be reduced, and that in turn will affect the nature, timing and extent of the auditor’s substantive testing. An additional benefit to the auditor is that these controls will also reduce the risk of fictitious sales being made and included in the trade receivables balance. To extend the example, the company may also have a control procedure in place that requires an employee to conduct regular checks that goods that are despatched to a customer are actually raised as a

sale and debited to the customer's account (i.e. despatch notes have resulted in invoices). In a computerised system this may again be achieved on the system.

For example:

- the creation of a despatch note may automatically “trigger” the creation of an invoice, and
- automatic updating of the debtors ledger.

The auditor is interested in these controls because if they are effective, there is less risk that sales and accounts receivable will be “incomplete”. However, the auditor cannot just assume that these controls (manual or computerised) are effective; he will need to conduct tests of controls to satisfy himself that they are effective.

10.7.1.2 Timing of tests of controls

The auditor needs to gain evidence that the controls on which he intends to place reliance were operating effectively throughout the financial year under audit, so tests of controls may be carried out at different stages throughout the year during interim visits to the client. (For some large audit clients such as a bank, testing controls may be an ongoing process.) However, on most audits, to satisfy himself that controls were operating effectively throughout the year, the auditor will rely on the audit trail created for the transaction.

For example:

The auditor could choose a selection of sales transactions from throughout the year and inspect the supporting documentation to see that it consists of an order from an approved customer, a corresponding internal sales order, a despatch note and an invoice, all of which tie up with the description of goods, quantities, dates and document numbers, and which reveal the signatures of employees involved in the process.

This of course does not prove that the sale was approved *before* it was made or that checking of prices, calculations, etc., did actually take place, but, combined with other evidence the auditor will seek, such as whether the debtor paid the amount reflected on the invoice, strong pervasive evidence that the controls were functioning *at that time* will have been gathered. If, however, *other evidence reveals* that there are despatch notes for which there are no invoices, or that there are large numbers of credit notes subsequently being issued because incorrect goods are being sent to customers, or incorrect prices are being charged, the auditor gains evidence that the controls (are) were not effective. This is likely to increase the substantive tests that will need to be carried out.

10.7.1.3 Nature of tests of controls

As pointed out earlier in the section, the auditor uses an assortment of procedures when conducting tests of controls. Controls in this cycle will vary from company to company and the auditor will need to select a suitable mix of procedures to achieve his overall objective of determining whether the controls implemented were (are) effective. The following procedures are examples of tests of controls that could be carried out:

Inspection

- A sample of recorded sales could be selected and the supporting internal sales order inspected for a valid authorising signature. The inspection of a signed picking slip and despatch note signed by the customer provides some evidence that the sale did actually occur. The best evidence that the sale occurred would be obtained by inspecting the cash receipts journal/bank statement and customer's remittance advice and matching the recorded sale to the corresponding receipt from the customer. Of course the customer may not have paid, in which case the amount should appear in the debtors masterfile.
- A sample of credit notes issued to customers could be inspected for an authorising signature and the detail on the supporting documentation, for example, a customer returns note could be inspected and matched to the credit note.
- The log of masterfile amendments and supporting documentation could be inspected to confirm that appropriate procedures are carried out in respect of evaluating the creditworthiness of new customers before credit is extended, and that the limits and terms granted are approved.
- A sample of daily till sales reconciliation schedules (cash reconciled to till rolls) could be inspected and compared to bank deposit slips to determine whether cash sales are banked timeously and intact.

In a computerised system, the appropriate way of testing programme (automated) controls may be for the firm's computer audit division to conduct system-orientated CAATs.

For example, the computer auditor may attempt to process an order:

- using an invalid customer number
- leaving out a customer order reference number
- inserting an invalid product code
- (or process an order) that will result in the customer's credit limit being exceeded.

Inquiry

- Inquire of the despatch clerk as to what happens if goods are transferred from the warehouse to the despatch area for delivery without a picking slip.
- Inquire of the invoicing clerk as to what procedures he actually follows to ensure that all despatches/deliveries of goods result in invoices being made out.
- Inquire of the credit manager as to what use he makes of daily reports that are generated on the system, of credit notes and other adjustments processed against the debtors masterfile.
- Inquire of the financial accountant as to whether and how sales to related parties (e.g. companies within the same group) are identified.

Note: Questions put to employees should be expressed in a way that requires more than a "yes" or "no" response. In this way the auditor will learn more about the effectiveness of the control and may be provided with information he least expected.

Observation

- Observe the despatch clerk counting and checking goods against the picking slip/despatch note before packing items into boxes for delivery.
- Observe the procedures undertaken at the counter when a cash sale is made, for example, if the sale has been rung up.
- Observe whether gate control personnel actually check goods leaving the premises (being delivered) against the delivery note/invoice.

Note: Observation is not a very convincing procedure as the employee is likely to do what he is supposed to do because he knows that the auditor is watching! Observation would always be matched with other procedures.

For example:

In addition to observing the despatch clerk counting and checking, the auditor might ask the despatch clerk how he resolves a situation where the physical goods for despatch do not agree with the picking slip.

With regard to the testing of controls over the accuracy and completeness of processing and recording of sales transactions and receipts from debtors promptly and in the correct accounts, the auditor takes into consideration that modern software is very fast, efficient and reliable. It is more likely that, instead of re-performing numerous calculations and tracing postings through the system, the auditor will concentrate his tests of controls on the effectiveness of the authorisation/approval of transactions and the effectiveness of controls over reviewing and reconciling the results of processing, for example, logs, day-end reports, listings, etc. This is perfectly acceptable because if the client is using up-to-date, well-supported reputable software, the auditor is most likely to assess the risk of material misstatement arising out of inaccurate or incomplete processing and recording (accuracy and classification, cut-off and completeness) as low.

10.7.2 Substantive procedures

10.7.2.1 Nature of substantive procedures

In auditing the cycle so far, the auditor will have carried out procedures to:

- identify and assess the risk of material misstatement, and
- gather audit evidence about the operating effectiveness of the controls (tests of controls).

The auditor is now required to conduct substantive tests that, as we have seen, are designed to detect material misstatement at the assertion level. Substantive tests consist of:

- tests of detail of classes of transactions, account balances and disclosures, and
- substantive analytical procedures.

The difference between tests of detail and analytical procedures is that the former consists of auditing the detail of the transactions, account balance or disclosure whilst the latter provide more general or overall evidence. The types of procedure (tests of detail) carried out will still be those listed in point 5.3 with the obvious exception of analytical procedures.

For example, in carrying out a test of detail to determine whether transactions in a sample of sales invoices have been allocated to the correct accounting period at the financial year-end (cut-off), the auditor would inspect the description of the goods sold, cross-referencing *dates* and customer signature on the supporting documentation (e.g. internal sales order, picking slip) *in detail* to confirm that the sale was made prior to year-end. When conducting substantive *analytical* procedures, the auditor does not consider the detail but rather the overall picture. He will compare totals of transactions and balances on accounts period to period, or consider changes in the making up of totals or balances to other periods or industry norms, etc., with the intention of identifying any strange or unusual fluctuations. For example, as a “completeness of sales” test, the auditor may compare the total of sales month to month for the current year and to the previous year, and follow up on any strange fluctuations. He may also analyse the accounts receivable balance in terms of the age of debtors’ (days outstanding) average amount of debt outstanding, and compare the results to the same ratios and breakdowns for the prior year.

In terms of ISA 330, the auditor must design and perform some substantive procedures for each material class of transaction, account balance and disclosure, regardless of the assessed risk of material misstatement. In other words, the auditor cannot decide that there is no need to do any substantive testing because he has assessed the risk of material misstatement for the account heading, class of transactions or disclosures as low, and because his tests of controls provide persuasive evidence that controls had operated effectively for the period under review. The reasons for this are that:

- risk assessment is judgmental and the auditor may not have identified all risks, and
- internal control has inherent limitations, including management override, for example, a member of management may simply override the credit manager and write off a bad debt that should not actually be written off.

However, the auditor does not necessarily have to carry out both tests of detail and analytical procedures. If assessed risk is judged as low and tests of controls indicate that controls are operating effectively, the auditor may decide that all that is required to reduce audit risk to an acceptable level is the performance of *analytical* procedures. In practice it is more common for the auditor to use a combination of tests of detail and analytical procedures when conducting substantive tests.

10.7.2.2 Timing of substantive procedures

Most substantive testing takes place at or after year-end. This is logical as these tests are aimed primarily at gathering evidence about the account balances, transaction totals and disclosures in the financial statements. In practice there is often an audit deadline (a date by which the audit must be completed) that forces the auditor to carry out substantive (and other) testing at an interim date, say two months prior to year-end. In the context of this cycle, the auditor may choose to conduct substantive procedures to verify the balance on the trade receivables account at the ten-month period and then “update” this work for the year-end trade receivables account by conducting tests on the remaining two months, during the two months and at year-end. These tests, that will be a mix of tests of controls and substantive tests, are termed “roll forward tests”. (A reasonably common “early verification procedure” in this cycle is the debtors circularisation.)

10.7.2.3 Extent of substantive procedures

The extent of substantive testing is generally regarded as being a function of (determined by) the assessed risk of material misstatement and the results of tests of controls. In general, the greater the risk of material misstatement and the less effective the controls appear to be, the greater the amount of substantive testing. The extent of testing is usually reflected in the size of samples used for testing.

Overall, the auditor is required to obtain sufficient appropriate evidence to satisfy himself that the audit risk has been reduced to an acceptable level.

10.7.3 Substantive procedures of transactions in the revenue and receipts cycle

The emphasis of substantive testing of sales for the year will often be combined with the substantive testing of the trade receivables balance because they are so closely linked. Of course, if the company makes cash sales, some variations on the procedures conducted will be required. Gathering evidence pertaining to the

assertions relating to sales will be achieved by a combination of tests of controls and substantive testing and may be obtained by conducting dual purpose tests.

10.7.3.1 Occurrence – Recorded transactions have occurred and they pertain to the company

- To obtain evidence that recorded sales actually occurred, the auditor would need to trace a sample of recorded sales transactions back to the source and inspect the supporting documentation for the invoice, to confirm:
 - that an order was received from an approved customer
 - that a picking slip and despatch note for the goods invoiced, duly signed by the picker and despatcher (and possibly the customer to acknowledge receipt) exist, and
 - that the goods invoiced to the customer were of a type sold by the company.
- The auditor should also trace each sale in the sample through to the cash receipts journal/bank statement and customer remittance advice and, by inspection, determine whether a payment of the correct amount for each invoice was received. (If a payment has not been received, the auditor would trace it through to the debtors account in the debtors ledger.)
- The results of tests of controls will have a significant effect on the extent of these tests. If, for example, tests of controls reveal that the sales initiating and approving controls make it virtually impossible to include a sale that did not actually occur in the accounting records, the auditor's substantive procedures as described above will be reduced.
- In certain instances the auditor may need to give specific consideration to whether the performance obligations per the contract have been met, for example:
 - where the goods are supplied to the customer on approval (that means that the customer may return the goods by a specified date if he does not want them). A sale should not be recognised until the buyer has "approved the goods" or the specified date has been reached
 - where goods have been placed with an agent on consignment, a sale should not be recognised until the agent has sold the goods, and
 - where a buyer purchases goods but requests that the supplier delays delivery, the sale can only be recognised when the contractual performance obligation has been met. Therefore, whether delivery was an aspect of the contractual obligation will need to be considered.
- With regard to cash sales, there is usually very little risk that cash sales that have been recorded have not *occurred*. There is a far greater risk that cash sales made will not be recorded. This relates to the completeness assertion. However, to test occurrence, the auditor may choose to select a small sample of recorded cash sales and trace them to the relevant deposit slip/cash book/bank statement and to the original cash sale invoice/receipt, till roll or daily cash sales spreadsheet.

10.7.3.2 Accuracy – The amounts of sales have been recorded appropriately

As pointed out earlier, the combination of modern accounting software and very reliable hardware, results in transactions that are processed, recorded in and transferred between different accounts, very accurately. The risk that sales are recorded inappropriately will usually be low. However, the computer will process the information it is fed in terms of the "instructions" and controls in the programmes, and despite the low risk relating to the accuracy and classification assertions, the auditor will still need to conduct tests of controls to determine whether the processing of the transactions and the transfer of amounts to the various accounts, are appropriate and executed correctly. To do this the auditor could have a test pack of sales transactions processed through the system. He would then check the results of processing the test pack against the results that he had pre-determined should have been achieved. An easier way would be for the auditor to select a random sample of invoices and for each invoice:

- confirm the mathematical accuracy of the invoice by recalculating all extensions, casts, discounts and VAT calculations
- confirm prices and discounts charged and granted to official price lists or other sources
- confirm that the invoice is a valid tax invoice (e.g. VAT registration number is included), and
- agree the quantity and description of the goods invoiced to the quantity and description of the goods on the despatch note.

In effect, these tests will be dual purpose tests in that if the results are as expected, they provide evidence that the controls and procedures are effective and that sales are appropriately recorded.

10.7.3.3 Cut-off – The sales transactions have been accounted for in the correct accounting period

The testing of cut-off of sales is designed to establish whether the sales around the year-end were accounted for in the correct period, i.e., sales made after year-end have not been recorded as if they had been made before year-end, or sales that were made before year-end were not recorded until after year-end. The auditor should be aware that management may deliberately manipulate cut-off at year-end to overstate sales or understate sales, depending on their motives. Cut-off can be tested in various ways but will hinge on obtaining evidence about the dates when the risks and rewards of ownership actually transferred. The auditor should:

- at year-end obtain the document numbers of the last documents used in the financial year, for example, sales invoices, and despatch notes
- at a later stage he should agree this number to the last entry in the sales journal and sequence test, say, the last two weeks of invoices before year-end, for any missing invoice numbers (these may represent sales that have been made but not entered prior to year-end)
- scrutinise the subsequent month's sales journal for any invoice numbers lower than the cut-off number (none should be found)
- select, say, the first 20 invoices (or invoices for material amounts) entered in the sales journal for the month after year-end and trace them to the supporting despatch notes/delivery records and by inspecting dates on the documents, confirm that the goods were not actually delivered prior to the year-end, and
- select, say, the last 20 despatch notes prior to the year-end cut-off despatch note number and by inspection of the sales journal, confirm that the corresponding sale was raised prior to year-end.

Note:

- If the company receives an order before year-end but only processes (picks and delivers) and records it in the following year, there is no "cut-off" issue.
- If the company receives an order before year-end, processes it (picks and delivers it) before year-end but only records it after year-end, there is a "cut-off" issue.
- If the company receives an order before year-end, records the sale before year-end but only processes (picks and delivers) it after year-end, there is a "cut-off" issue.
- inspect the cash sales records (e.g. till slips, cash receipts) for, say, the two or three days either side of the financial year-end and confirm by inspection of the cash sales ledger account and dates on deposit slips, that the sale and the asset were raised in the correct accounting period.

10.7.3.4 Classification – All sales have been recorded in the proper accounts

- See comments on "accuracy" above.
- The auditor may also choose to
 - test transfers of amounts from the monthly sales journals (both cash and credit sales) to the sales and VAT accounts in the general ledger to confirm that the amounts were posted to the correct account, and
 - inspect the sales account for the inclusion of any amounts that are recorded as revenue, but do not constitute sales, for example, interest, income, dividend income.

10.7.3.5 Completeness – All sales that should have been recorded, have been recorded

The testing for the completeness of sales is difficult because as explained earlier, the auditor is looking for sales that are *not* recorded in the accounting records. (The completeness of cash sales can be particularly difficult to audit.) When the auditor conducts tests of controls on the sales cycle, he may select a random sample of despatch notes (or even ISOs) and follow them through to confirm that they gave rise to an invoice. This is a completeness test but not one that will help to identify sales that were not even initiated. The substantive procedures that the auditor will conduct for completeness testing will be analytical.

For example:

- analysis of gross profit fluctuations
- comparisons of sales/debtors to prior periods
- analysis of recorded sales by characteristic for comparison to prior periods, for example, by product, branch, region, month, customer, and

- comparison of sales ratios to prior periods, for example, sales commission to sales, cash sales to credit sales.

10.7.3.6 Presentation

Inspect the financial statements to confirm that:

- sales are reflected as a single aggregated line item in the statement of comprehensive income
- any disaggregation of sales in the disclosure notes is accurate, relevant and clearly described, for example, where sales have been broken down (disaggregated) to reflect sales by product, location or division, and
- the accounting policy is clearly expressed and understandable.

10.7.4 Substantive procedures on the trade receivables balance

10.7.4.1 Assertion: Rights – the company controls or holds the rights to the trade receivable

- By inspection of:
 - prior year work papers
 - minutes of directors' meetings
 - loan agreements
 - bank confirmations, and
- By enquiry of management, determine whether receivables have been factored, ceded or encumbered in any way.

10.7.4.2 Assertion: Existence –trade receivables included in the balance actually exist, they are not fictitious

The two major procedures for existence testing are:

- debtors circularisation by which, with the consent of management, independent confirmation is sought from the debtor
- the matching of amounts owed at year-end (receivables) to payments from debtors received after year-end. (This is termed subsequent receipt testing.) The principle is simple; if a debtor is listed as "in existence" at year-end, and a payment is received after year-end from that debtor, the existence of the debtor at year-end is confirmed, provided the amount paid subsequent to year-end is in respect of the amount owed at year-end, and not for sales made after year-end.

(a) Debtors circularisation

- The auditor takes control of all debtors statements (at a particular month-end) immediately after they have been printed and:
 - tests from the statement to the debtors ledger (or debtors schedule/age analysis list) and *vice versa* to ensure that a statement has been produced for each debtor and that there is a debtor recorded for each statement, and
 - selects a sample of statements for circularisation.
- Two different types of confirmation may be used by the auditor:
 - a *positive* confirmation requests that the debtor confirms with the auditor whether the balance on the statement *is correct or not*, and
 - a *negative* confirmation requests that the debtor confirms with the auditor only if the balance on the statement *is not correct*.
- The positive circularisation therefore provides better evidence supporting the *existence* assertion, for example, if a negative circularisation letter is not returned it could mean that:
 - the debtors balance is correct
 - that it went to a fictitious debtor, or
 - that the debtors balance is incorrect but in favour of the debtor.

The point is that very little evidence is provided by the negative circularisation.

- For the sample selected, the auditor encloses the following in the envelope with the statement:
 - a sticker/letter requesting that the debtor confirm the balance directly with the auditor, and
 - a self-addressed envelope (for positive confirmations only). (Note: While traditional mail circularisation used to be common, the use of electronic methods, such as email or secure online platforms, has become more prevalent in recent years due to their efficiency and speed.)
- The auditor then supervises the mailing of *all* debtors statements and does the following:
 - stamps all envelopes to direct “addressee unknown” statements to the auditor’s address, and
 - tests debtors whose addresses are “PO Boxes” to confirm that they are not fictitious, for example, by looking them up in the telephone/business directories and confirming the address with them telephonically.
- The auditor thereafter monitors all replies to the circularisation, following up all disagreements and “addressee unknowns” (positive and negative circularisation) and “no replies” (positive circularisation only) so as to collect evidence relating to *existence* and to a lesser extent *valuation*:
 - *disagreements* should be followed up by reference to relevant source documentation, discussion with credit controller, and, if necessary, follow up with the client’s attorneys, and
 - “no replies” (positive) and “addressee unknowns” should be followed up by re-circularising the debtors concerned (after correcting the address if necessary), telephone/fax enquiries, and reference to receipts after year-end for evidence of subsequent payment of balances that have not been confirmed.
- Errors identified through the circularisation should then be projected over the entire population of debtors to establish the extent of possible misstatement of the overall debtors balance.

(b) Subsequent receipts testing

- A sample of debtors on the year-end debtors list is selected.
- Payments received after year-end from the selected debtors are identified (cash receipts journal).
- These are then traced to debtor’s remittance advices to identify which invoices the payment is in respect of.
- These invoices and matching delivery notes are then inspected to confirm that:
 - they are dated prior to the year-end, and
 - they were included at year-end in the sales journal and debtors ledger.

10.7.4.3 Assertion: accuracy, valuation and allocation (gross amount) trade receivables are included in the financial statements at appropriate amounts and related disclosures have been appropriately measured and described

This assertion for trade receivables consists of two parts, namely the “gross” amount and the allowance for bad debts.

(a) Gross amount

- The debtors control account in the general ledger should be reviewed for unusual entries, for example, debits arising from journal entries at year-end, and followed up.
- The total on the list of individual debtors should be matched to the debtors control account in the general ledger and the trial balance:
 - amounts included on the list of debtors balances should be traced to the individual debtors accounts in the debtors ledger.
- If the comparison of the debtors list (per the debtors ledger) to the balance in the debtors control account reveals that there are reconciling items, the following procedures should be carried out on the reconciliation:
 - casts
 - testing of the reconciliation logic
 - follow up of reconciling items.
- The debtors list should be reviewed for credit balances and these should be followed up and reversed if necessary (material).

- Reference should be made to the results of any debtors circularisation and subsequent follow up for evidence of debtor valuation problems, for example, a debtor claiming that he has been charged twice:
 - the debtors list and control account should be cast
 - for debtors invoiced in a foreign currency
 - obtain the amount of the sale in the foreign currency by reference to the invoice
 - obtain, from a financial institution, the exchange rates at transaction date and at the financial year-end date, and multiply the amount by each of the two rates, and
 - where there is a difference, confirm by inspection of the debtors account, that the balance on the account has been calculated using the financial year-end rate (i.e. the currency fluctuation has been accounted for).

(b) Bad debts allowance

- Enquiry should be made of the method and procedures adopted by management to estimate the allowance for bad debts.
- The authorisation procedure should be established and evaluated, for example, is it authorised by the credit controller (manager) or the financial director (the more independent of credit control the authorising person is, the better).
- An assessment of whether the basis of calculating the allowance is reasonable and consistent with the prior year should be made, for example, whether circumstances that occurred during the year, such as a change in credit policy, have been taken into consideration.
- All calculations should be re-performed.
- The aging of debtors should be re-performed by selecting a small sample of debtors and tracing the amounts owed back to the source documents, for example, sales invoices and receipts, to determine whether they have been allocated to the correct time period in the age analysis.
- All long outstanding debtors and material debtors outside their credit terms should be identified and discussed with credit management.
- The debtors' correspondence and legal files should be inspected to identify disputed debtors and debtors who have been handed over.
- Analytical reviews should be performed:
 - comparison of allowance (percentage) to prior year
 - comparison of bad debts written off during the year to prior year
 - comparison of age analysis to prior year, i.e., whether debt is getting older
 - calculation of ratios, and investigation of changes year on year, for example, days outstanding debtors compared to prior year.
- Enquiry of management should be made as to any matters that might affect the allowance, for example, relaxing of the company's credit terms during the year, deterioration in the trading conditions of the business sector of the company's major customers.
- The actual bad debt write-offs during the year under audit should be compared to the prior year allowance to obtain an indication of the company's ability to set a reasonable allowance.
- All reports given to management (say, on a monthly basis) about debtors should be reviewed, for example, reports on specific debtors who have liquidity problems, lists of debtors written off.

Note (a): Potentially uncollectible debtors should be provided for on a debtor-by-debtor basis, i.e. an assessment of the recoverability of each debtor should be undertaken. Simply creating an allowance for bad debts by taking a fixed percentage of the gross debtors' balance is not acceptable unless there is very strong historical evidence that the percentage chosen is an accurate reflection. Obviously it is only those debtors that display worrying characteristics that need to be considered individually, for example, long outstanding/disputed debtors.

Note (b): When considering a debtor for recoverability, all aspects of the debtor should be considered, for example, a large chain store may only pay on 90 days, but at the same time the chain store may be a reliable payer.

10.7.4.4 Assertion: Completeness – all trade receivables that should have been recorded have been recorded and all related disclosures that should have been included have been included

Completeness of debtors is not normally a major concern for the auditor. However, “cut off” testing to confirm that sales, and hence debtors, were correctly raised at year-end should be conducted. It is possible that the company delays invoicing to the new year to “get off to a good start”, particularly if sales targets for the month prior to year-end, have been achieved. Analytical procedures conducted on the debtors figures and related accounts also supply evidence of completeness. (See “cut-off” and “completeness” testing dealt with in para 10.7.3.)

10.7.4.5 Assertion: Classification

By enquiry of management as to policy and scrutiny of debtors age analysis, confirm that only trade and other receivables that are expected to be paid (received) within the next twelve months are included.

10.7.4.6 Assertion: Presentation

- The auditor must inspect the financial statements to confirm that:
 - the trade and other receivables appear as a separate line item under current assets on the face of the statement of financial position, net of impairments
 - the disclosure in the notes reflects trade receivables before and after impairment allowances, and any other required information, for example, any encumbrances on receivables and/or comments on credit risk.
- By inspection of the AFS and reference to the applicable reporting standard and the audit documentation, confirm that
 - disclosures are consistent with the evidence gathered (amounts, facts, details)
 - any disaggregation of the balance reflected in the statement of financial position is relevant and accurate, for example, short-term loans and other receivables may be included in the aggregated amount
 - the wording of disclosures is clear and understandable, (e.g. explanation of encumbrances), and
 - all required disclosures have been included.

10.7.4.7 Assertions: All, general

An overall analytical review of receivables should be performed, for example:

- comparison of receivables to prior year
- receivables in relation to credit sales compared to prior year, and
- number and amount of receivables, by division, branch, product.

10.7.5 Substantive procedures for the audit of bank and cash**10.7.5.1 Introduction**

Some companies may have numerous bank accounts.

For example, a company may have:

- a number of branches around the country each of which has its own bank account. All the company's bank accounts could be with the same bank (e.g. Absa), or different banks (e.g. Absa, Nedbank and FNB)
- a main bank account and a number of “clearing” accounts, such as a salaries account, and
- a number of different types of bank account, for example, a current account, call accounts, or a deposit account.

10.7.5.2 EFTs and the discontinuation of cheques

From 1 January 2021, cheques are no longer an accepted form of payment in South Africa. This, combined with the fact that EFTs are reflected almost instantaneously in the company's bank account, has resulted in

the company's "cash book" balance and the balance "per the bank statement" being closely aligned, particularly where the company downloads bank statements frequently to update its cash book for EFTs into its bank account.

For example:

- If the company pays its creditors by EFT, even on the last day of the financial year, the company's account at the bank will reflect the payments and the cash book and bank account balance will agree.
- If a debtor pays directly into the company's bank account by EFT and the company records the receipt promptly in the cash book (which it should), the cash book and the bank account balances will agree.
- It is however possible that a year-end bank reconciliation could include a number of EFTs as reconciling items. This will happen where the company prepares the EFTs, enters them in the cash book, but does not "release" the payments until after the year-end. As the EFT has not been processed by the bank at year-end, the cash book and bank account balances will not agree.

10.7.5.3 Window dressing

Window dressing is the intentional manipulation of the relationship between balances in the current assets and current liabilities section of the statement of financial position. If done intentionally, the example of preparing and entering EFT payments but not releasing them for payment would be window dressing.

Consider the following example:

	<i>Cash book</i>	<i>Creditors</i>	<i>Ratio</i>
Balance without window dressing	100 000	50 000	2:1
Prepare EFTs but do not release	25 000	25 000	
Balance with window dressing	75 000	25 000	3:1

10.7.5.4 Procedures (bank accounts)

(a) Assertion: rights, existence and completeness

- Obtain a schedule of all bank accounts held by the company at year-end.
 - Compare the accounts listed on the schedule to the prior year's schedule and note any changes.
- Obtain a bank confirmation from the bank. Refer to chapter 8 – External confirmations from financial institutions – SAAPS 6.

(b) Assertion: accuracy valuation

- Agree the balances for each bank account on the schedule to the balances in the general ledger and cash book(s).
- Agree the balances on the reconciliation to the cash book, bank statement and bank confirmation balances respectively.
- Re-perform the casts on the reconciliation and, at the same time, test the logic of the reconciliation.
- Trace reconciling items through to the cash book prior to year-end, and agree the amounts and dates.
- Trace reconciling items through to the post-year-end bank statement to confirm that they went through the bank and were not cancelled.
- Where reconciling items are anything other than immaterial, request the client to reverse the items, particularly if there is any suggestion of window dressing, for example, EFT payments recorded in the cash book but not actually paid until after year-end.

Note (a): Where the company makes material transfers close to the year-end between its own bank accounts held at different banks and between its own bank account and other related party bank accounts, for example, a subsidiary's bank account, the auditor should:

- compile a schedule of all movements between the various accounts
- confirm by reference to source documentation and enquiry, that the transfers are in respect of valid arm's-length transactions, and
- that the transactions are properly accounted for in the correct period, in other words, that the payments and receipts from and into the respective bank accounts are accounted for in the same accounting period.

Note (b): Because the risks associated with EFT payments can be so high, the auditor may at this stage decide to select a random sample of EFT payments from the bank statements to confirm the validity of the

bank account details to which the payment was made. Audit work would already have been done on this when substantive tests on payments were conducted, but the auditor might wish to supplement his “cash at bank” testing. For this specific test, it is not sufficient to refer solely to payee documentation, for example, an invoice. With current accounting packages, it is very easy to duplicate the standard invoice produced by these packages, but not to change the banking details on the invoice. The procedure would be to confirm the banking details *directly* with the payee.

10.7.5.5 Procedures (cash on hand)

The majority of companies do not have large amounts of cash on hand at year-end, but some companies do, for example, a supermarket or hardware store that does a lot of cash trading with the public. At year-end there may be a fair amount of cash on hand that has not yet been banked and that the auditor might decide to count. In these types of business, the company will count cash in the tills at the end of the day and agree the takings to the total kept by the cash register. The takings from each till (adjusted for any floats) will be entered on a till count reconciliation and subsequently onto a daily spreadsheet of takings.

The spreadsheet will be cast and cross-cast, and a deposit slip will be made out. A security company usually collects the takings for banking. If the auditor decides that the cash on hand should be verified, he should

- be present at the time(s) the cash in the tills is counted:
 - he should make sure that he is not left on his own with an open till at any time (could be accused of theft if there were a shortfall)
- observe the counting of cash closely, ensuring that cash and credit card slips are separately identified
- confirm that the totals of the different types of sales (cash or credit card) counted agree with the totals recorded on the (independent) till roll total and that any differences are recorded on the till reconciliation document and that the cashier and the controller (person doing the counting) sign the till roll and the reconciliation
- ensure by observation that the cash from the first and subsequent tills counted is kept separate and secure and cannot be included in the cash counted for other tills, and that the tills that have been counted are closed/deactivated
- confirm by inspection that the takings for each till (per the reconciliation) were entered accurately on the daily spreadsheet and re-perform the casts and extensions
- obtain the spreadsheet for the two trading days prior to the current trading day and confirm that takings for these days were banked prior to the year-end
- inspect the bank deposit slip for the current day’s takings and agree the totals to the daily spreadsheet
- inspect the bank statement subsequent to the year-end and confirm that the deposit went through the bank
- a work paper should be created that records the balances and other details, and
- confirm by inspection of the respective ledger accounts that these cash sales/VAT were included at the year-end.

10.7.5.6 Presentation

The disclosure of bank balances and cash on hand is relatively straightforward:

- The total will be shown on the face of the statement of financial position under current assets (other than bank overdrafts) under the heading “cash and cash equivalents”.
- This will be supported by a note, that will distinguish between the different categories, for example, cash on hand, current account balances and call account balances.
- The details of any security, pledge, etc., offered and attached to a bank overdraft will also be disclosed.

10.7.6 The use of audit software (substantive procedures)

If the client’s debtors are computerised, as they usually are, and suitable audit software is available, the audit of debtors can be significantly enhanced.

- (a) The debtors masterfile can be stratified by rand amount, customer profile, etc., and samples selected for circularisation, and/or aging.

- (b) The masterfile can be scanned for “error” conditions:
 - duplicated account numbers
 - negative balances
 - blank fields, for example, no account number, no name.
- (c) Debtors balances can be independently totalled for comparison with the client’s debtors listing total, and totals by monthly break down (aging) can be agreed to the total amount owed.
- (d) Lists of debtors, who have a unique characteristic identified on their record, can be extracted, for example, a code may have been added to the debtors masterfile to indicate the debtor has been handed over to the lawyers.
- (e) A comparison of the masterfile at the current year-end may be compared to the previous year’s masterfile (if available) to identify:
 - new accounts (that could be traced to credit applications to assist in substantiating existence of the debtor)
 - major fluctuations in individual account balances
 - debtors no longer listed.
- (f) Lists of debtors who have exceeded their credit limits or terms, or a particular threshold, can be extracted.

10.7.7 Automated application controls in the revenue and receipts cycle

The auditor can also rely on automated application controls to test the revenue and receipts cycle. Automated application controls apply to the processing of individual applications. They are “automated” or “automated with manual procedures” that operate at a business process level. Automated controls are controls designed to confirm completeness, accuracy and validity of processed transactions with a financial impact. For more details on automated application controls, please refer to chapter 9.

Depending upon the audit approach adopted (substantive or control based), the approach for automated application control tests may vary.

For example:

Should the IT general controls environment have limited findings and the control environment be considered effective, automated controls may be tested.

If the IT general controls environment is considered not effective, the auditor may still rely on automated controls, but will need to test the access and change management around the automated application control embedded in the application.

The auditor should report on shortcomings identified in the existing processes as well as weaknesses identified during the review, with recommendations to improve.

Some automated application controls to consider when testing the revenue and receipts cycle:

(a) Invoice prices vs. masterfile prices

- Perform analytics on the revenue data to determine whether prices charged on the invoices align with the price on the masterfile. Review significant discrepancies.

(b) VAT

- Confirm that the VAT was correctly configured within the application.
- Determine who has access to the VAT configuration in the application and whether the access is limited to authorised personnel only.
- Have changes been made to the VAT configured in the application during the period under review?
- Have changes been authorised in the application?
- Perform a walkthrough of one determine whether the calculation is accurate.

(c) Credit notes

- Determine who had the rights to authorise credit notes during the period under review.
- Determine who has access to the credit notes configuration in the application and whether the access is limited to authorised personnel only.

- Have changes been made to authorisation levels configured in the application during the period under review?
- Have changes been authorised in the application?

(d) Credit note trend

- Obtain a list of approved credit notes for the period under review and, through analytics, assess whether there is a trend, namely, who processed the credit notes, whether there are specific clients that have recurring credit notes, amounts aligned to original invoice, bank details align to customer data, etc.
- Determine whether the client has edit and validation checks in the application when processing a credit note.

(e) Link to debtors ledger

- Determine whether the client has configured an audit trail to link sales to the debtors ledger.
- Perform a walkthrough of one of to determine whether the transaction reflects accurately.

(f) Link to cash sales

- Determine whether the client has configured an audit trail to link cash sales.
- Perform a walkthrough of one of to determine whether the transaction reflects accurately.

(g) Master data

- Determine who has access to the masterfile price list and whether the access is limited to authorised personnel only.
- Have changes been made to the masterfile in the application during the period under review?
- Have changes been authorised in the application?
- Through analytics, perform a comparison of prices year on year.
- Assess client master data and determine whether all clients have an indicator for payment terms. Either “IMMEDIATE”/“CASH SALE”/“COD” or “DEBTOR”/“CREDIT SALES”.

(h) Other tests

- Determine whether the client has configured the transaction trail accurately within the application.
- Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

Acquisitions and payments cycle

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11.1 The accounting system and control activities

11.1.1 Introduction

The acquisitions and payments cycle is closely aligned to the revenue and receipts cycle as covered in chapter 10. The acquisitions and payments cycle deals with two major activities that are linked but also quite distinct, namely:

- the ordering and receiving of goods (or services) from suppliers, and
- the payment of amounts due for the goods ordered and received.

The acquisition phase of the cycle attempts to ensure that the company orders and receives only those goods that it requires and that the goods are of a suitable quality and price. The second phase of the cycle attempts to ensure that *only* goods that have been validly ordered and received, are paid for and that payment is authorised, accurate and timeous. The cycle is also referred to as the purchases and payments cycle.

This chapter deals initially with the accounting system (that is part of the information system) and the control activities that are put in place to achieve the above objectives.

The latter part of the chapter deals with the audit of the cycle.

11.1.2 Objective of this section of the chapter

Our objective in this section of the chapter is to illustrate how an acquisitions and payments cycle might work. In practice, acquisition and payment systems will vary considerably, depending on the products the company sells or manufactures, its size, whether or not it imports goods, the software used by the company, and a number of other factors, but all systems must adhere to the basic principles. Our approach is to get these basic principles across to you by dealing with an easily understandable manual system, and then describing how computerisation can be introduced into the system. Computerisation does not change what is required of the system, but it does change how it is achieved.

11.1.3 Characteristics of the cycle

11.1.3.1 Importance of the cycle

Goods and services are acquired by a business for resale or for manufacture of a product, so the consequences of a poor acquisitions cycle will have a very negative effect on the business. If the correct products are not available, sales will be lost and production may be halted. It will not be long before the company gets a reputation for being unreliable and customers will go elsewhere. Purchasing goods that do not sell or cannot be used because of demand or quality issues will also result in losses. It is important therefore, that the correct goods of the required quality and price are acquired and that they are received timeously.

11.1.3.2 Susceptibility to fraud

- The cycle includes procedures that facilitate the payment of creditors, meaning that there will be the necessary mechanisms to facilitate an *outflow* of funds from the business. Stealing from the company through the official payment system may be considerably easier than say, stealing inventory or creating fictitious workers to steal wages. For example, if creditors are paid by electronic funds transfer (EFT) and controls are not extremely tight, theft from the company's bank account in the form of a payment to a fictitious creditor can be effected very quickly and efficiently.
- The cycle is also fertile ground for corruption. Suppliers may offer the company's directors or buying department employees, bribes or other illegal inducements to purchase their products. Senior personnel may engage in tender fraud, for example, awarding tenders that are significantly inflated to suppliers, and sharing the "extra" profits made by the supplier in their personal capacities.

11.1.4 Basic functions for any acquisitions and payments cycle

11.1.4.1 Ordering of goods

There must be a section or department that initiates the placing of orders for goods or services with suppliers. Requests for orders to be placed will come from other departments, for example, the warehouse (stores) department, the accounting department (stationery, etc.).

11.1.4.2 Receiving of goods

This function will be responsible for receiving goods ordered from suppliers and acknowledging the company's acceptance of the goods.

11.1.4.3 Recording of purchases (acquisitions)

The purpose of this function is to raise the purchase and the corresponding liability (creditor) in the accounting records.

11.1.4.4 Payment preparation

This function will be responsible for determining the amount to be paid to the creditor, confirming that the payment is valid and preparing any documentation required for the payment to be authorised and initiated.

11.1.4.5 Actual payment and recording of the payment

- This function will be responsible for preparing the means of payment, for example, electronic funds transfer, authorising it and carrying out the payment timeously.
- The function will also be responsible for recording the payment in the accounting records.

11.1.5 Documents used in the cycle

This section outlines the documents commonly used in the cycle. This is not an exhaustive list, but it highlights the conventional documents that may be found in the acquisitions and payments cycle.

11.1.5.1 Requisition

This document is used to convey to the buying department that goods are required. The requisition can be initiated in any department but will mainly come from the warehouse department. How the warehouse department determines when goods are required varies, but the most common ways are:

- The use of reorder levels and quantities. Each inventory item is assigned a reorder level and a reorder quantity and as soon as the reorder level is reached, a requisition for the reorder quantity is prepared by the warehouse department. This presupposes that some kind of perpetual inventory recording system is maintained. Alternatively, warehouse personnel could perform regular counts of physical inventory and compare quantities on hand to reorder levels. This is not, however, very efficient! Using reorder levels and quantities will be far easier in computerised perpetual inventory systems where the computer can be programmed to print a daily report of inventory items that have reached their reorder level.
- The use of production schedules that indicate when particular inventory items are required.
- By particular request (preferably written), from a manufacturing or other department.

11.1.5.2 Purchase order forms

Purchase order forms that are completed by the buying department record the detail and price of the goods to be purchased and are addressed to the supplier. They should be signed by the chief buyer.

11.1.5.3 Suppliers' delivery note

This document is made out by the supplier and details the goods that are being supplied. It will be cross-referenced to the purchasing company's order form, and on delivery of the goods, will be signed by the purchasing company to acknowledge the receipt of the goods.

11.1.5.4 Goods received note

This document is completed by the purchasing company when the goods are delivered by the supplier. It records the actual goods received and will be cross-referenced to the supplier's delivery note.

11.1.5.5 Purchase invoice

This document is sent by the supplier to the purchasing company to inform them of the goods for which it is being charged, the price, any discounts and VAT.

11.1.5.6 Credit note

This is a supplier document that records any credits to the purchasing company's account other than a payment (i.e. when incorrect, damaged or unwanted goods are returned by the purchasing company). Returned goods should be accompanied by a *returned goods voucher*.

11.1.5.7 Creditors statements

Produced by the supplier on a monthly basis, this document summarises the transactions between the supplier and purchasing company for the month, in terms of the supplier's records.

11.1.5.8 Remittance advice

A document sent by the purchasing company to the supplier that contains a breakdown of the invoices that are being paid by the accompanying bank transfer.

11.1.5.9 Receipt

A document provided by the supplier to acknowledge that a payment of Rx has been received.

11.1.5.10 Logs, variance reports, etc.

In a computerised system, the computer can be programmed to compile logs, variance reports, lists, etc. A log is simply a record of an activity that has taken place on the computer. For example, if a masterfile amendment is made, the computer will automatically "store" the activity, who did it, when and where it was done and the nature of the amendment.

In addition to the above documents, use is made of a *purchase journal*, *creditors ledger*, *the general ledger*, and a *purchases returns and allowances journal* to record credit notes and any other adjustments.

In a computerised system, terminology is slightly different. For example, a goods received note may be referred to as a receiving report, and the creditors ledger will be referred to as the supplier or creditors masterfile.

The series of tables that follows expands on the functions, risks and control activities in the acquisitions and payments cycle. For each function, the documents that may be used are identified. Further, the business risks that may exist in each function are described.

11.1.5.11 Ordering of goods (and services): Functions, risks and control activities in the acquisitions and payments cycle

Ordering of goods (and services)

The purpose of this function is to place *approved* orders with suppliers to obtain goods (and services) that the company requires. Most goods ordered will be either inventory for resale or raw materials for manufacture. However, other departments such as maintenance, accounting, sales and security, also require items on a regular basis and these should also be ordered through the company's purchasing system. The ordering function is essentially responsible for obtaining the correct *type* and *quantity* of goods at the best *price* and desired *quality*. Many companies have what are termed "approved suppliers" from whom goods are purchased. Before being placed on the approved supplier list, the supplier will be thoroughly investigated for reliability of delivery, quality, and price. Company buyers also build up relationships with particular suppliers who become "informally" approved suppliers over time.

Besides the obvious problems that arise out of inaccurate or late ordering, management needs to be aware of the risk of buyers deliberately placing orders that are not at the best price and quality from the company's perspective, to earn "kickbacks" or "commissions" for themselves, at the expense of the company. Buyers may also place orders at inflated prices with their own businesses, or those of a family member or friend, again at the expense of their employer.

- In a manual system, hard copy requisitions from departments requiring goods of some kind will be delivered to the buying department.
- The buying clerk will manually complete a multicopy pre-printed, sequenced purchase order after checking with the supplier as to availability and price of the goods to be purchased, and referring to supplier catalogues for descriptions and codes.
- The buying clerk may refer to a hard copy list of approved suppliers or may choose a supplier himself.
- A chief buyer may scrutinise all purchase orders and approve them by signing the document.
- The order will often be placed by phone, and a hard copy sent as confirmation by post. (Remember, we are explaining a manual system – in practice, this specific aspect will most likely occur via e-mail or via a computerised system).

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• Initiate the order: A need for materials is identified.	• Requisition • Purchase order form	• Requisitions not acted upon, or orders not placed timeously or at all.	• Prior to the requisition being made out, inventory/production personnel should confirm that the goods are really needed especially where pre-set reorder levels and reorder quantities are used as the basis for the requisition.	• The demand for inventory is timeously identified to ensure availability of goods for production or sale to customers (Operational control).	• N/A operational control.
		• Incorrect items are requisitioned	• Each requisition should be signed by the inventory/production personnel.	• Only goods that are needed by the entity are requisitioned (Operational control)	• N/A operational control

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Purchase order is created and sent to the supplier	- Requisition - Purchase order form	Ordering unauthorised goods resulting in losses to the company through fraud.	- Order clerks should not place an order without receiving an authorised requisition: - the order should be cross referenced to the requisition	All the purchase orders are supported by valid and authorised purchase requisition (Validity)	Occurrence of expenditure
		Ordering of incorrect or unnecessary goods, resulting in liquidity problems and wastage.	- Before the order is placed, a supervisor/senior buyer should: - check the order to the requisition for accuracy and authority, and - review the order for suitability of supplier, reasonableness of price and quantity, and nature of goods being ordered (are they items used or sold by the company). - The senior buyer/supervisor should initial the purchase order as evidence of the checks.	Only an accurate purchase order is sent to the supplier its quantity, description and price of items ordered (Operational control)	N/A operational control
		Orders placed with suppliers not filled/not timeously filled.	- The ordering department should file requisitions sequentially by department (each department will have its own book of requisition forms) and should frequently review the files for requisitions that have not been cross-referenced to an order. - A copy of the order should be filed sequentially, and the file should be sequenced, checked and frequently cross-referenced to goods received notes, to confirm that goods ordered have been received. Alternatively, the pending file of purchase order forms in the receiving bay can be reviewed for orders that are long outstanding. - Blank order forms should be subject to sound stationery control.	- All purchase orders sent to suppliers lead to delivery of ordered inventory in a timely manner - No transaction has taken place yet, no inventory has been delivered by the supplier yet.	N/A operational control

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Purchase order is created and sent to the supplier	- Requisition - Purchase order form	- Obtaining inferior quality goods, resulting in reputational damage to the company - Paying unnecessarily high prices for goods.	- The company should preferably have an approved supplier list to which the buyer should refer when ordering: - if the company does not have approved suppliers the buyer should seek quotes etc. from a number of suppliers before placing the order, and - even when ordering from an approved supplier, the buyer should contact the supplier to confirm availability and delivery dates. <i>Note:</i> Before a supplier is approved, senior personnel should carefully evaluate the company in respect of their reliability and the quality and price of its goods.	- Appropriate supplier identified that can fulfil the business needs its quality and quantity (Operational control) - The best prices are obtained for items to be ordered (Operational control)	N/A operational control

11.1.5.12 Receiving of goods: Functions, risks and control activities in the acquisitions and payments cycle

Receiving of goods					
- The role of the receiving function is to accept goods from suppliers and acknowledge receipt thereof. Only goods for which valid purchase orders have been placed should be accepted. In the real world, the receiving function often proves to be the weakest link. The usual way of perpetrating fraud in this area is for the supplier's delivery personnel to deliver only, say, half of the truckload, but for the receiving clerk to sign for a full truckload. The goods that remain on the truck are then driven off the premises and sold cheaply for cash, before the supplier's driver returns to the supplier's depot. The receiving clerk and supplier's driver share the proceeds from the sale of the stolen goods. Obviously, this requires collusion between the supplier's delivery personnel and the company's receiving and warehouse personnel, and perhaps highlights collusion as the major limitation of internal control. - A copy of all purchase orders will be sent to the receiving bay and filed in numerical sequence. - On arrival of the goods from the supplier, the receiving clerk will match the purchase order reference on the supplier's delivery note to the purchase order to determine the goods to be received. - The receiving clerk should count the goods received against the delivery note and purchase order and should perform at least a superficial check of the quality of the goods. It is usually not practical to quality check the contents of boxes, but obviously damaged or wet boxes should be rejected. Any deliveries that are incorrect or rejected will be clearly marked on both copies of the supplier's delivery note and the amendment signed by the supplier's employee and the receiving clerk. - The receiving clerk will make out a sequenced goods received note for the goods actually received, cross referencing it to the purchase order and delivery note. - The goods will then be transferred from the receiving bay that should be a physically separate section of the warehouse, to the inventory department, which is responsible for the custody of the inventory					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Accept and acknowledge deliveries of valid orders from suppliers and to record the delivery (goods received note).	- Supplier delivery note (DN) - Goods Received Note (GRN)	Acceptance of items not ordered.	- On arrival of the delivery vehicle, goods should be offloaded in the presence of a goods receiving clerk who should: - obtain the supplier delivery note from the delivery personnel and by referring to the order number thereon, locate the purchase order (that should have been filed numerically) - check the quantity and description of goods delivered against the purchase order and the customer delivery note - reject all incorrect deliveries and clearly identify rejections on both copies of the delivery note and purchase order	All items received has been ordered in terms of an approved purchase order (Validity)	Occurrence of expenditure

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
			– ensure that the supplier's personnel sign both copies of the delivery note including all amendments, for example, identification of short deliveries, and – sign the supplier delivery note.		
• Accept and acknowledge deliveries of valid orders from suppliers and to record the delivery (goods received note).	• Supplier delivery note (DN) • Goods Received Note (GRN)	• Acceptance of items not ordered.	• On arrival of the delivery vehicle, goods should be offloaded in the presence of a goods receiving clerk who should: – obtain the supplier delivery note from the delivery personnel and by referring to the order number thereon, locate the purchase order (that should have been filed numerically) – check the quantity and description of goods delivered against the purchase order and the customer delivery note		

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
			– reject all incorrect deliveries and clearly identify rejections on both copies of the delivery note and purchase order – ensure that the supplier's personnel sign both copies of the delivery note including all amendments, for example, identification of short deliveries, and – sign the supplier delivery note.		
		• Acceptance of: – short deliveries as full deliveries	• On arrival of the delivery vehicle, goods should be offloaded in the presence of a goods receiving clerk who should: – obtain the supplier delivery note from the delivery personnel and by referring to the order number thereon, locate the purchase order (that should have been filed numerically) – check the quantity and description of goods delivered against the purchase order and the customer delivery note – reject all incorrect deliveries and clearly identify rejections on both copies of the delivery note and purchase order	• Quantities of goods accepted agree with the quantities recorded on the GRN (Accuracy)	• Accuracy of expenditure • Accuracy, Valuation, and allocation of accounts payable • Existence / completeness of inventory

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
			– accept goods short delivered but identify such goods clearly on the delivery notes and purchase order (the quantity actually accepted must be clearly identified) – include only those goods that have been accepted on the goods received note – ensure that the supplier's personnel sign both copies of the delivery note including all amendments, for example, identification of short deliveries, and – sign the supplier delivery note.		
		• Acceptance of: – damaged and broken items – goods not of the required type or quality.	• On arrival of the delivery vehicle, goods should be offloaded in the presence of a goods receiving clerk who should: – obtain the supplier delivery note from the delivery personnel and by referring to the order number thereon, locate the purchase order (that should have been filed numerically) – check the quantity and description of goods delivered against the purchase order and the customer delivery note – perform at least a superficial test of the condition of the goods delivered, for example, broken or wet boxes	• All good received are in terms of the quality standards of the entity (Validity)	• Occurrence of expenditure • Accuracy, valuation, and allocation of inventory

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
		• Goods received notes not made out accurately or completely. • No goods received note made out.	• Pre-printed, sequentially numbered GRN is created on the receipt of items, before transferring the inventory • On transfer of the goods to the warehouse (custody), the warehouse clerk should compare the physical goods to the goods received note and acknowledge receipt by signing the GRN. Any discrepancies should be reported to the warehouse controller immediately.	• All goods delivered are recorded as purchases/ inventory on hand on the inventory system (Completeness)	• Completeness and cut-off of expenditure • Completeness of accounts payable • Completeness and cut-off of purchases • Completeness of inventory
		• Theft by employees or outside parties, for example, collusion with supplier delivery personnel	• The responsibility for receiving goods should be designated to a goods receiving section that should be physically secured and access controlled.	• All inventory received is kept secure	• Existence of inventory

11.1.5.13 Recording of purchases: Functions, risks and control activities in the acquisitions and payments cycle

Recording of purchases					
The purpose of this function is to record the purchases made and the corresponding creditor for all purchases, accurately and timeously. - The purchases will be entered in the purchase journal and allocated to the correct account to be posted to the general ledger and creditors ledger. - Before being entered, the invoice sent by the supplier should be: - matched to the purchase order, supplier delivery note and goods received note, and inspected for signatures of employees who perform a control procedure, for example, the chief buyer - checked against supplier price lists or prices quoted on the purchase order, and - checked for accuracy of casts, extensions, discounts and VAT. - All the above will be performed manually on hard copy documentation. A copy of each of the documents used, for example, customer order, will have been sent from the originating function/section and filed in a temporary file awaiting the arrival of the invoice from the supplier.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Invoice is received from supplier, purchase is recorded	- Purchase invoice (PI) - Credit note CN) - Creditors statements - Purchases journal - Purchases returns and allowances journal - Creditors ledger - General ledger	- The recording of incorrect amounts arising from incorrect purchase invoices: - quantity, quality and type not as ordered or received - prices of goods not as quoted - calculation errors, for example, casts, extensions, VAT.	- The purchase invoices received from the supplier should be: - matched to the corresponding goods received note, delivery note and purchase order for: - quantity and description of goods - correct prices and discounts (from order or supplier price lists) - reviewed to confirm that the amounts on the invoice have been allocated to the correct account, for example, inventory, consumables, stationery. - All casts, extensions and calculations on the invoice should be re-performed.	All purchases in the accounting records are based on correct quantities of goods received and correct prices as agree with the supplier	- Accuracy of expenditure - Accuracy, valuation and allocation of accounts payable

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• Invoice is received from supplier, purchase is recorded	• Purchase invoice (PI) • Credit note CN) • Creditors statements • Purchases journal • Purchases returns and allowances journal • Creditors ledger • General ledger	• The raising of fictitious purchases/creditors by the introduction of invoices that are for goods never ordered or received by the company (results in invalid flows of cash leaving the company).	• The purchase invoices received from the supplier should be: – matched to the corresponding goods received note, delivery note and authorised purchase order by the senior bookkeeping clerk As the rendering of services by a supplier does not usually result in a GRN, the supplier invoice will normally be signed by the head of the section/department to which the service was rendered, as proof and approval of the service rendered.	• All purchases recorded in the accounting records pertain to actual purchase transactions that took place with suppliers and are only recorded if an order was approved and items delivered. (Validity)	• Occurrence of expenditure • Existence and obligation of accounts payable

11.1.5.14 Payment preparation (requisitioning): Functions, risks and control activities in the

Payment preparation (requisitioning) This is an extremely important function because if it is not controlled properly, invalid payments can be made. All supporting documentation, namely order, delivery note, goods received note and invoice, should have been matched as above and will now be reconciled to the creditors statement and the creditors account in the company's creditors ledger by employees in the creditor's section. Creditors are normally paid once a month and not as individual invoices arrive (although payments may be made on the strength of valid invoices before any reconciliation to the creditor's statement is carried out). • Normally a creditor's statement will be sent by the supplier towards the end of the month. The statement will reflect the balance owed to the supplier at the start of the month, all invoices issued and all payments received as well as any adjusting entries, for example, credit notes passed by the supplier for goods returned, and the balance owing at the end of the month. This balance owing will be broken down into the periods for which it has been outstanding, for example, current, 30 days, 60 days. • The creditors statement will be reconciled with the supporting documentation and the creditors account in the company's creditors ledger. • A schedule of "payments to creditors" will be prepared and remittance advices made out. Note: It is, of course, possible that payments could be made by EFT in an otherwise manual system.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• Creditors are paid and that they are paid the correct amount, on time.	• Remittance advice (RA)	• Payment to fictitious creditors. • Payment of incorrect amounts. • Unauthorised payments.	• The monthly creditors statement sent by the supplier should be reconciled to the supporting documentation, for example, invoices, payments, etc., and the creditors clerk should ensure that the invoices were subjected to accuracy controls before being recorded. • The individual creditor's accounts in the creditors ledger should be reconciled with the monthly creditors' statements sent by the suppliers. • A creditors clerk should identify those creditors who must be paid at month end to comply with the suppliers' credit terms and to ensure that discounts available for early settlement, are deducted.	• All amounts due for payment relate to goods received and agree to the supplier's invoice (Occurrence and accuracy)	• Occurrence and Accuracy of payments
• Entity is entitled to a payment discount	• Supplier invoice • Statement of supplier	• Discounts lost due to late payment.	• A creditors clerk should identify those creditors who must be paid at month end to comply with the suppliers' credit terms and to ensure that discounts available for early settlement, are deducted.	• Amounts due are timeously identified for payment to qualify for payment discount offered by supplier (Operational control)	• N/A Operational control

Note: As previously mentioned, the preferred method of paying creditors is payment by EFT. Paying by EFT does not mean that the controls that must be in place before and after a payment is made, for example, scrutiny of supporting documentation, two individuals to authorise payments and reconciliations and review of cash journals and bank statements subsequent to payment, can be ignored; they will be implemented but in another form (this is explained later in the chapter).

11.1.6 Computerisation of the acquisitions and payments cycle

A narrative description of a computerised acquisitions and payments cycle

For the purposes of this illustration, we have described the system for a medium-sized wholesale company that purchases its products (toys) from a large selection of local suppliers.

- Its accounting systems are integrated.
- Purchases are only made on credit from approved suppliers.
- Purchase transactions are processed in real time and all records affected by the purchase are updated instantly, for example, creditors masterfile, inventory masterfile.
- Purchase orders are created on screen, approved and then either sent by email or fax to the supplier or the supplier is phoned.
- The company is large enough to implement sound segregation of duties with separate departments, i.e. ordering, goods receiving section.
- The company has a link to its bank and all creditors are paid by EFT.
- Creditors are raised at the time the goods are received.

The creditors masterfile	
The creditors masterfile is central to an acquisitions and payments system. The processing of genuine authorised purchases and payments accurately and completely depends, to a great extent, on the integrity of this masterfile. The creditors masterfile will contain information that controls which suppliers the company buys from, the terms that affect payments, balances and most important, the banking details required to make EFT payments to the creditors. Access to the masterfile, particularly write access (i.e. the ability to make amendments) must be strictly controlled. Equally important is the control over the amendments themselves to ensure they are authorised and that they are actually processed accurately and completely. Controls over masterfile amendments will be primarily preventive, but will be supported by detective controls, for example, checking of logs of amendments. Important amendments to the creditors masterfile will include adding an approved supplier and changing a creditor's banking details.	
Activity/procedure	Control, comment and explanation
1. Record all masterfile amendments on a source document.	1.1 <i>All</i> amendments to be recorded on hard copy masterfile amendment forms MAFs (no verbal instructions) (see Note (b)) 1.2 MAFs to be pre-printed, sequenced and designed in terms of sound document design principles.
2. Authorise MAF.	2.1 The MAFs should be: • signed by two reasonably senior creditors section/accounting personnel (e.g. creditors section head and financial accountant after they have agreed the details of the amendment to the supporting documentation, such as MAF checked against the written notification from the supplier that the company's bank account details have changed), and • cross-referenced to the supporting documentation.
3. Enter only authorised masterfile amendments onto the system accurately and completely.	3.1 Restrict write access to the creditors masterfile to a specific member of the section by the use of user ID and passwords (see note (a) below). 3.2 All masterfile amendments should be automatically logged by the computer on <i>sequenced</i> logs and there should be <i>no write access</i> to the logs (this allows subsequent checking of the MAFs entered for authority). 3.3 To enhance the accuracy and completeness of the keying-in of masterfile amendments and to <i>detect invalid conditions</i> , screen aids and program checks can be implemented. Screen aids and related features • minimum keying-in of information, for example, when amending existing creditors records, the user will only key in the creditor's account number to bring up all the details of the creditor • Screen formatting, for example, screen looks like MAF, screen dialogue • the account number for a new supplier is generated by the system.

continued

Activity/procedure	Control, comment and explanation
	Program checks, for example (see note (c) below): • verification/matching checks to validate a creditor's account number against the creditors masterfile (invalid account number, no amendment) • alphanumeric checks • data approval check, for example, must enter either 30 days or 60 days in the payment terms field, not (say) 120 days • mandatory/missing data checks, for example, credit limit and terms such as account number of creditor <i>and</i> branch code for the creditor's bank must be entered • sequence check on MAFs entered.
4. Review masterfile amendments to ensure they occurred, were authorised and were accurately and completely processed.	4.1 The logs should be reviewed regularly by a senior staff member, for example, the financial manager. 4.2 The sequence of the logs themselves should be checked (for any missing logs). 4.3 Each logged amendment should be checked to confirm that it is supported by a properly authorised MAF. 4.4 Each logged amendment should be checked to confirm that the detail, for example, the supplier's bank account number, amounts, etc., is correct. 4.5 The MAFs themselves should be sequence checked against the log to confirm that all MAFs were entered.
Note (a): The authority needed to enter different types of masterfile amendment can be given to different levels of employee, for example, changing a bank account number may be restricted to a single senior employee, but changing an address or contact details could be assigned to a lower level employee. Note (b): Unused MAFs and other important supporting documentation should be subject to stationery controls as it is more difficult to create an invalid masterfile amendment without the source document. Note (c): A masterfile amendment should be carefully checked in all respects before it is authorised, so that there should be a minimum of errors or invalid conditions having to be identified (detected) by the program controls. Each company will decide for itself the extent of program controls it wishes to implement.	

Ordering of goods	
A purchase order clerk needs to know what goods to order. How this is done in practice varies, and will depend on the size of the business, the products it sells, or whether there is a manufacturing process. One of the ways that a requisition for goods to be ordered can be initiated is by the setting of reorder levels and reorder quantities and then entering them in the inventory masterfile. This means that when the quantity field on the inventory masterfile gets down to a predetermined level, the system will alert the inventory controller/buying department. There are a number of interrelated activities that make up an acquisitions and payments system and these are described below.	
Procedure/activity	Control, comment and explanation
1. Setting and protecting reorder levels and reorder quantities recorded in the inventory masterfile.	1.1 These levels should be set by experienced personnel for each item the company purchases and are based on such things as supplier lead times, sales forecasts, average sales over preceding months, etc. 1.2 The pre-set levels should be regularly reviewed. 1.3 The ability to change a level will be restricted to the chief buyer, and all changes will be logged. 1.4 Levels will only be used as a guide for determining quantities to be purchased.
2. Initiating a purchase order.	2.1 At regular intervals, say every Monday morning, a purchase requisition report will be generated from the inventory masterfile of items that have reached their reorder levels. The report printed out will contain: - the company's inventory code for each item that has reached its reorder level - a brief description of the item - the recommended reorder quantity from the masterfile, and - a space for the inventory controller to add in any additional comments pertaining to the purchase, for example, changes to the recommended reorder quantity, additional inventory items to be purchased. 2.2 The report itself should be clearly headed, dated, page sequenced, for example, page 5 of 5, and clearly laid out. 2.3 The inventory controller should review the report, add comments and meet with the chief buyer to discuss the purchase requisition report before signing it. 2.4 Once the chief buyer has reviewed the schedule and added any comments, he should sign it before passing it onto the buying clerk. A copy of the report will be retained by the chief buyer. 2.5 The chief buyer has read access to the creditors masterfile so that for urgent or large orders he can determine whether the account is up to date etc., <i>before</i> the order is sent to the supplier.
3. Creating a purchase order: - purchase orders are made out only for goods that are sold by the company - purchases are only made from approved suppliers - all details pertaining to the order are entered accurately and completely - an appropriate quantity is ordered - all goods on the purchase requisition, and only goods on the purchase requisition report are ordered.	3.1 Access to the "create purchase order" module should be restricted to the purchase order clerk. 3.2 On accessing the module, the screen will come up formatted as a purchase order. 3.3 Valid goods: on keying-in the inventory item code in the designated field (taken from the requisition report) the description of the goods and the <i>supplier's</i> inventory item code will appear. If the item code is not a valid inventory code, the order clerk will not be able to proceed. 3.4 Approved supplier: when the item code is entered, details of the supplier of the item as listed in the inventory masterfile/creditors file will appear. The system will not allow the order clerk to enter any supplier who is not approved. The controls in 3.3 and 3.4 can be regarded as <i>verification</i> checks and are also a form of <i>data approval/authorisation check</i>. The entry of the inventory item code to bring up all related inventory details is an example of the <i>minimum entry</i> principle.

continued

Activity/procedure	Control, comment and explanation
3. Creating a purchase order: (<i>continued</i>)	3.5 For accuracy and completeness of entry: - the system will automatically insert a purchase order number/reference - alphanumeric check, for example, on quantity ordered field - mandatory field check on the quantity ordered field and the account that the purchase order must be allocated to, for example, stores, stationery, security - possible limit or reasonableness check on quantity ordered field, for example, quantity greater than recommended reorder level on inventory masterfile is not accepted (limit check), or the order clerk is alerted (screen message) if the quantity entered is (say) in excess of the average of the last three orders for that item, and - the cost price of the items purchased will be imported onto the purchase order direct from the inventory masterfile. 3.6 If the order clerk has any queries pertaining to the goods to be purchased, for example, confirming a price or availability, he will contact the supplier. The order clerk should have read access to the inventory masterfile.
4. Authorising and sending the purchase orders.	4.1 Once the order clerk has compiled the file of purchase orders, it will be available on the system to be accessed by the chief buyer for approval: - the approval function will be linked to the chief buyer's user profile - the order clerk will not have approval privileges, for example, his screen will either have no visible "approve" option for him to select or it will be shaded and will not respond if "clicked" on. 4.2 The chief buyer will access the file of purchase orders (read only) and: - check each order against the purchase requisition report for anything unusual, as well as compliance with his instructions if any, relating to the quantity ordered - confirm that there is an order for all the items on the purchase requisition report and that no additional items were ordered. (Note the computer could be programmed to produce a list of all items ordered in the same sequence as the purchase requisition report was produced. Each item would be cross-referenced to the relevant purchase order for easy checking.) - the chief buyer should not have write access to the file and changes that he might require, for example, a quantity change, will have to be made by the order clerk and the approval process repeated (segregation of duties) - once the purchase order file has been approved by the chief buyer no changes can be made to the purchase orders file by the purchase order clerk. 4.3 Once the approval option is selected by the chief buyer, a message will be sent to the order clerk's terminal alerting him that the purchase orders have been approved. He will then execute the orders either by phoning the supplier, emailing or faxing the order.
5. Maintenance of the inventory masterfile. An accurate and up to date <i>inventory</i> masterfile is absolutely essential for the proper functioning of the purchase order system, as information from the inventory file is used in the preparation of the purchase order.	5.1 Before a new supplier is added to the creditors masterfile/inventory masterfile, a thorough investigation of the supplier should be carried out with regard to pricing, quality of goods and the reliability of the supplier. 5.2 Information about inventory items, for example, price changes, should be kept up to date.

Receiving and recording the goods ordered	
This is mainly the physical activity of accepting the goods delivered by the supplier, and recording the receipt of the goods on the system. As the information about the goods being received is already on the system, there is no need to create a goods received note from scratch. We have assumed for the purposes of this illustration that the supplier invoice is delivered with the goods, accompanied by a delivery note. Remember that the policy should be for the company to receive only goods that are included on the purchase order with regard to description and quantity. The (receiving) company will not want to raise inaccurate supplier invoices on its system, for example, an invoice for goods that were never ordered or received, or that has been inaccurately compiled.	
Activity/procedure	Control, comment and explanation
1. Receiving and checking the goods from the supplier.	1.1 Access to the receiving goods module should be restricted to the receiving clerk. On selecting this module, the screen will come up formatted as a goods received note. 1.2 Access to the receiving goods module may be restricted to a terminal(s) in the receiving area. 1.3 On arrival of the goods, the receiving clerk should access the purchase order file by entering the purchase order number taken from the supplier delivery note: • if no number is entered or a number is entered but cannot be matched to a purchase order on the system, the receiving clerk will not be able to proceed • before rejecting the delivery, the receiving clerk will check with the order clerk to confirm that the goods delivered were not ordered. 1.4 The receiving clerk will count the goods and compare what has been delivered to the suppliers' delivery note and the purchase order. He should: • perform at least a superficial test on the condition of the goods, for example, reject broken boxes • reject all items delivered that were not ordered in terms of the purchase order • accept goods that have been short delivered in terms of the purchase order • reject any quantities of goods delivered over and above the quantity ordered. 1.5 All discrepancies between what was ordered and what was delivered should be noted on the supplier delivery note. Both the supplier's delivery personnel and the receiving clerk should sign the documentation to acknowledge the discrepancies. 1.6 The receiving clerk will have write access to only the quantity field on the GRN. Confirmation of the GRN (once any corrections have been made to quantities) will update the inventory masterfile. 1.7 A copy of the GRN will be printed out to accompany the goods to the custody section of the warehouse, and the supplier delivery note and invoice will be sent to the accounting department. The accounting department will be able to access the GRN on the system.
2. Recording the purchase and corresponding liability in the records.	2.1 Recording of the supplier's invoice in the accounting department (not in receiving). 2.2 Access to the raising invoice module will be restricted to the creditor's clerk. 2.3 The creditor's clerk should access the purchase order file by entering the purchase order number relevant to the supplier invoice (this number should be on the invoice). An incorrect or non-existent number will be rejected.

continued

Activity/procedure	Control, comment and explanation
2. Recording the purchase and corresponding liability in the records. <i>(continued)</i>	2.4 On the entry of a valid purchase order number, the screen will come up formatted as an invoice. This on-screen “document” will reflect the exact details of the applicable purchase order, for example, supplier details, description of goods, cost and quantity of goods ordered. Where necessary the quantity ordered would have been adjusted at the time the goods were received. 2.5 The creditor’s clerk should compare the details on the screen to the hard copy invoice and supplier delivery note and confirm that: • only goods that were ordered were received (receiving clerk should have rejected goods not on the purchase order) • the quantity ordered, received and invoiced reconcile with each other • prices on the supplier invoice are correct in terms of the purchase order, and • casts, extensions and VAT are correct. 2.6 If a price differs between the purchase order and the supplier invoice, the creditor’s clerk should contact the supplier and the order clerk to confirm the correct price. Note, the objective is to raise the correct amount owed in respect of what was received. 2.7 The system will prevent the creditor’s clerk from adding additional items onto the invoice. 2.8 All changes, for example, to cost prices, will be logged and followed up. 2.9 The on-screen supplier invoice should be approved by a second creditor’s clerk. 2.10 On selecting the confirm/accept option, the file of invoices and the creditors masterfile will be updated (the liability has been raised). 2.11 On a weekly basis, a report should be run of all GRNs for which a supplier invoice has not been received, for example, the goods have been delivered but the invoice has not been sent or has been lost.

Payment of creditors by electronic funds transfer

As discussed in chapter 9, EFT is a very fast and efficient method of making payments, but it is perhaps for these very reasons that the risk of fraudulent payments (theft of funds from the company's bank account) will be very high if strict controls are not in place. The controls over EFT payments will centre on:

- controlling access to the creditors masterfile. It should not be possible to add a fictitious creditor to whom fictitious payments can be made, and it should not be possible to alter an existing creditor's banking details other than under strictly controlled conditions
- approving details and amounts to be paid to the creditor
- controlling access to the company's bank account
- reviewing EFT payments actually made, promptly.

We have assumed, for the purposes of this illustration, that creditors are paid monthly and payments are made on the strength of unpaid invoices listed on the system (i.e. the company does not wait for a statement from the creditor). Creditors reconciliations (between suppliers statement and the creditors account in the masterfile) will take place at a later stage.

Activity/procedure	Control, comment and explanation
1. Preparation of the schedule of payments. How the schedule is actually compiled will depend on the software. The objective is to prepare an accurate and complete schedule of amounts actually owed and due for payment.	1.1 The preparation of the EFT schedule of payments to creditors and the authorisation thereof will be carried out by different employees: • the creditors clerk will prepare the schedule, and • the head of the creditors section will authorise it. 1.2 As all the information to prepare the schedule is already on the system, the software will be designed to minimise the need to enter any additional information. This enhances accuracy and completeness and prevents the addition of fictitious payments. 1.3 Write access to the "prepare payment module" will be restricted to the creditor's clerk preparing the schedule. 1.4 Once the module has been entered, the creditor's clerk will either select a creditor by clicking on the list of creditors that appears on the screen, or alternatively the screen will automatically display the first creditor in alphabetic order: • the screen will be formatted as a payment document that will reflect the creditors standing data • on selecting the "select invoices" option, a dropdown list of all unpaid invoices for that creditor will appear (remember that a file of all unpaid invoices is already on the system) • the creditor's clerk will select those invoices that the company should pay, governed by the terms agreed with the creditor, for example, 30 days. The creditor's clerk will have a facility that enables him to call up supporting documentation on the screen or he may choose to inspect hard copy. This procedure will be followed for each creditor and as each payment document is completed it will be listed on the payments' schedule • if there is nothing to be paid to a creditor, the creditor will still be listed but the amount to be paid will be nil • a financial total of all amounts to be paid to creditors will be computed and there may be a processing control that compares this total with the amount by which the total on the unpaid invoices file has been reduced • as the invoices are selected for payment, they will be removed from the file of unpaid invoices or a status code will automatically be attached to indicate that the invoice has been paid. This also ensures that it cannot be selected for payment again. 1.5 Once the schedule has been prepared, the creditor's clerk will select the proceed option and at this point the file can no longer be altered. The creditor's clerk will not have an approve option on his screen.

continued

Activity/procedure	Control, comment and explanation
2. Approval of the schedule of payments.	2.1 To approve the schedule of payments, the creditor's section head will access the schedule of payments file. He will have read access only. He should: - review the schedule for reasonableness, looking for any payments that appear abnormal, for example, large amounts, or regular suppliers for whom there is no payment amount - run reports to assist him in his review, for example: - report of creditors that are on the current month's schedule but were not on the previous month's schedule. These will be confirmed against the log of masterfile amendments as they should represent new creditors put onto the masterfile - a report (log) of all amendments to creditors' bank details. He should verify these against the masterfile amendment form and supporting evidence supplied by the creditor and possibly even confirm the change directly with the creditor - a report that provides comparison of amounts paid to each creditor for each of the previous three months - a report of any discounts taken to ensure that the discount is valid and correctly computed and that any discounts to which the company is entitled, have been taken - make use of the facility that enables him to bring up on screen, copies of the relevant purchase order, GRN and invoice to confirm details of amounts owed. He may also refer to hard copy documentation. 2.2 The head of the creditor's section should not have write access to the payment schedule file. Any changes he may require will be referred back to the creditor's clerk. 2.3 Approval of the payments schedule will be on screen (on the system) and the ability to approve the file will be restricted to the section head. Note: There is nothing to stop the schedule of payments from being printed out for detailed checking and authorisation. If this is the case it will be approved by signature and will need to be agreed to the schedule on the system before the EFT is effected.
3. Access to the bank account on the Internet.	3.1 The bank's EFT software will be loaded on a limited number of the company's terminals. 3.2 Access to the bank's site on the web will be gained in the normal manner but once the employee gets onto the site, an additional PIN number supplied by the bank and a password, unique to the employee, will have to be entered to gain access to the company's account: - the privilege to access the company's account will only be granted to employees who need access to the bank account to carry out their duties. 3.3 If this identification and authentication process is accepted, a menu of the functions available to the company will appear on the screen, for example, balance enquiry, payment query, download bank statement, make EFT payment. 3.4 Access to these functions will be directly linked to the employee's user profile on a need to know basis. The function that needs to be most protected will be the ability to make an EFT payment: - this privilege will be granted to a limited number of senior personnel - an additional <i>authentication</i> procedure will be required, for example, an additional one-time password or the insertion of a physical device into the USB port of a terminal on which the bank's software is loaded (see Chapter 9 for a discussion on these devices).

continued

Activity/procedure	Control, comment and explanation
4. Approving (effecting) the payment. We will assume for the purposes of this illustration, that the company's bank requires an additional one-time password to be entered and that to generate the number, each employee authorised to effect an EFT is given a device to generate the random number. We will also assume that the creditor's section head and two other senior officials have this privilege.	4.1 At least two of the three authorised employees will be required to effect the payment of creditors, for example, the creditor's section head will authorise the payment and the financial manager will release it by the entry of their one-time passwords provided by the random number generator. 4.2 Once the head of the creditors' section is satisfied with the payment schedule he will select the "first confirmation" option and a system generated message will be sent to the financial manager (second signatory) informing him that the file of payments is awaiting his approval. 4.3 The financial manager will then access the file of payments and carry out whatever procedures he deems necessary to be in a position to authorise the payments, for example, review of reasonableness, access of masterfile amendment logs, reference to original documentation: - the "second signatory" (financial manager) will also <i>not</i> have <i>write</i> access to the file so cannot for example, add a payment - once the "second signatory" is satisfied he will click on "second confirmation" - the second confirmation cannot be activated before the first confirmation. 4.4 The file of payments will now be fully approved, and the clicking on the second confirmation will automatically convert the file to a format compatible with the bank's EFT software. 4.5 Once this has been done, the creditors section head will click on the <i>authorise</i> option (one-time password will be entered) and the financial manager will click on the <i>release</i> option (one time password will be entered): - the <i>release</i> activity cannot be activated before the <i>authorise</i> option. 4.6 Additional controls that should be implemented are: - automatic shutdown after three unsuccessful attempts to access the company's bank account on the system - logging of attempts at unauthorised access (successful attempts will also be automatically logged) - the number of bank accounts to which transfers to other bank accounts from the <i>main</i> bank account should be limited to protect the main bank account. For the payment of creditors, an amount equal to the total of individual payments to creditors should be transferred to a second account and the actual transfer to creditors bank accounts should be made from the second account. Transfers to creditors could be scheduled only to take place on a specified date - a limit on the total amount that can be transferred within a 24-hour period can be arranged with the bank as well as a limit on individual payments - data should be encrypted - conventional password controls will apply and physical authentication devices must be kept safe and secure at all times. 4.7 The EFT will update the creditors masterfile, cash payments journal and general ledger.
5. Detection of unauthorised payments.	5.1 Within a day or two of making the EFT, the accountant (or similar level employee) should download a copy of the bank statement for the creditor's account and compare it to the schedule of payments to creditors.

Processing controls

As mentioned in chapter 9, the accuracy, completeness, etc., of processing are evidenced by reconciliation of output with input and the detailed checking and review of output by users, on the basis that if input and output can be reconciled and checks and reviews reveal no errors, processing was carried out accurately and completely and only transactions that actually occurred and were authorised, were processed. To make sure it does its job, the computer will perform some internal processing controls on itself, but the user will not even be aware that these are going on. The users within the cycle make use of the logs and reports that are produced relating to their functions, while the IT systems personnel make sure that processing aspects of the system are operating properly.

Summary

The description of the system described above, provides an illustration of how the control activities described in chapter 6 (and referred to in ISA 315 (revised)), can be implemented. It also provides an illustration of how specific automated application controls can be introduced.

For example:

Segregation of duties

- Separation of functions, for example, ordering, receiving goods, processing payments.
- Separation of responsibilities within functions, for example, generating purchase requisition report, initiating purchase orders, authorising purchase orders.

Isolation of responsibilities

- Isolating responsibilities through granting access privileges, for example, only the chief buyer can approve purchase orders.
- The goods receiving clerk signs the supplier delivery note that isolates his responsibility for accepting the delivery of goods from a supplier.

Approval and authorisation

- The system will not allow the order clerk to place an order with a supplier who is not on the creditors masterfile.
- The creditors' section head approves the schedule of EFT payments to creditors.

Custody

- Access to the bank account (custody of the company's money) is strictly controlled by user IDs, PINs and passwords (those with authority to make an EFT are effectively the custodians of the company's cash).
- Goods received by the goods receiving section are kept securely until they are transferred to the warehouse.

Access controls

- All users on the system must identify and authenticate themselves by IDs and passwords and what they are authorised to do is reflected in their user profiles.
- Additional access controls such as terminal shut down and logging of access violations are in place.

For example:

Certain purchase orders awaiting approval from the chief buyer are listed on a pending file. Although other users may have access to this file for information purposes, when they access the file their screens will either not show an "approve option", or the "approve option" will be shaded and will not react if the user "clicks" on it. Only the chief buyer's screen will have an approve option that can be activated.

Comparison and reconciliation

- The system reconciles the total amount (and number) of invoices selected for payment with the reduction in the total and number of invoices on the unpaid invoices list.
- The creditors' clerk reconciles the supplier's statement with the creditor's (supplier's) account in the creditors masterfile.

continued

Performance review

- Supervisory and management staff can access the purchase order file to see how efficiently approved purchase orders are being executed.
- Reports on inventory ageing (number of days inventory items are held) can give an indication of the appropriateness of reorder levels and the performance of the chief buyer and inventory controller.
- Monitoring complaints from the sales manager relating to sales lost because of inefficient purchasing.

Log and reports

- A computer can be programmed to produce any number of logs and reports. These can be used as detective controls or for monitoring performance.

For example:

In the acquisitions and payments cycle, a log of all creditors masterfile amendments should be produced by the computer. This log will be a listing of all amendments that were made, what the amendment was (e.g. creditor's banking details changed), who made the amendment and when it was made. "Read only" access to this file will be given to a senior member in the creditors section so that the amendments made can be confirmed as being authorised, accurate and complete by reference to the masterfile amendment forms. This log can be printed out or accessed on screen.

Another example in an acquisitions and payments system would be the production of a report of all purchase orders that are outstanding (e.g. goods have not been delivered).

- The important point about logs and reports is that unless an employee actually uses them and follows up on any problems, they are worthless. Their huge potential value is that if the logs and report files are properly access protected, they provide independent evidence of what has taken place on the computer. They form a very important part of the audit trail

Matching and minimum entry

- Once data is in the database, other data can be matched against it. A simple example would be where a creditors account number is matched against the creditors masterfile to determine whether it is a valid account number. The fact that data is stored in the database also means that the principle of minimum entry can apply.

For example:

When a goods receiving clerk keys in a purchase order number on receiving a delivery, the full details of the order will appear on the screen. The speed, accuracy and completeness of input are enhanced.

Control techniques and application controls

- Screen aids and related features:
 - minimum entry: keying in the inventory code of an item on the purchase order brings up the supplier, description, cost, etc., of that inventory item
 - screen formatting: purchase order, and
 - mandatory fields: branch code for new customer banking details.
- Program checks:
 - validation check on supplier number, and
 - limit checks/reasonableness checks on quantity ordered field.
- Output control:
 - masterfile amendment logs are checked against source documents and
 - bank statement checked against EFT payments entered onto the system.

Logs and reports

- Log of and changes to existing creditors banking details.
- Weekly reports of long outstanding purchase orders or of GRNs for that there is no invoice.

This does not cover every control, policy or procedure that could be in place, and is not intended to. This knowledge will only be acquired when you go into different companies and work with their systems.

11.1.7 The role of the other components of internal control in the acquisitions and payments cycle

This chapter has concentrated on the accounting system that is part of the *information system* and *control activities* components of internal control. However, these components are affected by the other components, so a brief mention of the role of the other components is necessary.

11.1.7.1 The control environment

The control environment within the cycle will be directly influenced by the control consciousness of the company as a whole. With regard to this cycle specifically, the tone will be set by the actions and control awareness of the chief buyer, the head of the creditors section and the senior employees responsible for the authorisation of payments to creditors. There should be strict policies in place relative to the acceptance of inducements from suppliers to purchase their goods such as gifts from suppliers, kickbacks and bribes, but if the chief buyer, or other senior personnel, show little regard for these restrictions, the control environment will deteriorate quickly. Unfortunately, this type of practice is widespread.

The other function that must be surrounded by a strong control environment is the payment of creditors. As mentioned earlier, this part of the cycle provides a legitimate process for getting money out of the business, so if controls are not strictly enforced, fraud and theft will surely follow.

Practices such as disclosing of passwords for “authorising” and “release” of EFT payments should not occur under any circumstances.

In a smaller entity there should be comprehensive owner/management involvement in the cycle as it is a cycle very vulnerable to theft.

11.1.7.2 Risk assessment process

The company’s formal risk assessment process will address the major risks that face the company and that may have a direct effect on this cycle.

For example:

Purchasing decisions, such as import or buy local, the need for alternative sources of supply, the social/environmental reputation of the supplier, bribery and kickbacks, and information technology risk (EFT) will be dealt with formally.

Less formal risk assessment can occur within the section by members of the section regularly evaluating the risks and responses already in place to address the specific risks facing the section, for example, better reorder levels to reduce overstocking, theft of deliveries from suppliers at the receiving stage, etc.

Again, in a smaller entity it will be the owner/manager’s informal, but ongoing, assessment of risk that will be important.

11.1.7.3 Monitoring

How is the cycle doing over time in meeting its objectives? That is the question that monitoring seeks to answer. To express these objectives simplistically, we might describe them as, ensuring optimal quantities of inventory are held, costs of items purchased is as budgeted, suppliers are reliable and that only valid creditors are paid accurately and on time. These can all be monitored by period based comparisons (and industry comparisons, if available) of such matters as:

- delays in production or sales lost because of inappropriate inventory holdings
- instances of the inability of suppliers to supply goods as required (price, time and quality)
- actual purchase costs compared to budgeted costs
- complaints from suppliers or letters from suppliers demanding payment
- losses from EFT fraud
- reductions in theft of inventory.

Monitoring can be carried out by the board through the scrutiny of reports on the above matters or by visits from an internal audit team. Owner/managers pretty much monitor internal control themselves and may do it very well, particularly if they are very involved in the day-to-day running of the business.

11.2 Narrative description of the acquisitions and payments cycle at ProRide (Pty) Ltd

11.2.1 Introduction

At ProRide (Pty) Ltd, the acquisitions and payments cycle is taken very seriously. The basic principle (that is followed in all cycles) is that if the initiation of the transactions in the cycle is carefully controlled, then problems arising later in the cycle are kept to a minimum. As you will see, the two most senior members of staff (the managing director and the financial director) are closely involved in initiating and authorising purchase transactions.

Both the managing director (Peter Hutton) and the financial director (Brandon Nel) have extensive knowledge of the bicycle industry. Great care is taken to ensure that inventory of the required quality, price and saleability is obtained. There are two major reasons for this. Firstly, ProRide (Pty) Ltd's largest customers are the major chainstores, and failure to deliver the right product, at the right price, on time, will result in the loss of an important market. Secondly, the company does not want to purchase inventory that it cannot sell.

11.2.2 Suppliers

Each and every supplier to ProRide (Pty) Ltd is carefully evaluated by Peter and Brandon. They require suppliers who are *reliable with regard to delivery*, who are *consistent with quality* and *who are reasonable with price*. Suppliers are evaluated on an ongoing basis and a sound business relationship is built up with them. This evaluation includes regular visits to the suppliers' premises, a number of which are as far afield as Taiwan and China.

Prices for each inventory item are negotiated and agreed with local and foreign suppliers, usually for the following six months.

11.2.3 Purchases

ProRide (Pty) Ltd wholesales bicycles and related spares and accessories. In addition to goods purchased for resale, the company like any other company, purchases other items such as stationery, consumables, minor tools and equipment, etc. While these "non-trading" items are also subject to sound internal controls, they are not the concern of the two directors.

Purchases are made from both local and overseas suppliers. The basic controls over purchases from both sources are the same. However, in respect of imported purchases, additional procedures arise as goods have to be shipped in containers, and must be cleared through customs, etc., before being delivered. Payments to foreign suppliers must be subjected to foreign exchange regulations. Foreign purchases far exceed local purchases.

11.2.4 Frequency of orders

ProRide (Pty) Ltd does not place a huge number of orders. The goods they purchase are obtained from a limited number of suppliers, who between them supply the full range of ProRide (Pty) Ltd's inventory. To make purchases from foreign suppliers is a reasonably time consuming exercise with long lead times due to the fact that the goods are shipped to South Africa by sea in containers. Clearance through customs also takes time. The result is that large orders are placed with foreign suppliers, usually at about six weekly intervals. Because of this, ProRide (Pty) Ltd does not have a separate order department staffed by a chief buyer and a number of buying clerks as it is not necessary. However, the company does have a purchases manager (Ruth Taylor) and she is assisted by Zodwa Mashego and Tania Koetzee, the purchase clerks.

11.2.5 Computerisation

The company uses JD Edwards' application software run on an IBM AS 400 system. However, ProRide (Pty) Ltd has not integrated its acquisitions and payments cycle into this system as the number of purchases made does not warrant the cost of integration.

11.3 Acquisitions – How the system works at ProRide (Pty) Ltd

11.3.1 Initiating orders

11.3.1.1 Minimum inventory levels/reorder quantities

A computerised, real-time, perpetual inventory system is maintained. Each inventory item on the inventory masterfile has pre-set minimum inventory level and reorder quantity fields. These two fields are set by the financial director and the managing director after careful analysis of sales trends, supplier lead times, customer needs etc. The levels are adjusted as conditions change.

Any changes to these fields are treated as masterfile amendments and are subjected to normal masterfile amendment controls. Only Dalene Burger (accounting supervisor) and Gary Powell (IT manager) have the necessary access privileges. Changes must be supported by documentation authorised by Brandon Nel (financial director) and Peter Hutton (managing director). Adjustments are logged by the computer and the logs subsequently reviewed by Brandon.

11.3.1.2 Inventory order reports

Once a week, a sequenced and dated printout called an *inventory order report* is produced. This lists all the inventory items that have reached their pre-set minimum inventory levels. The list provides the item code, description, supplier details, quantity on hand, cost price and reorder quantity. There is one report for local suppliers and one for foreign suppliers. The foreign supplier report is also analysed by *supplier name*, for example, Speedybikes Inc, *supplier region*, for example, Taiwan and *inventory category*, for example, bicycles. The reason for this will be explained below. An item that has reached its minimum inventory balance will continue to appear on the weekly inventory order report until an order for the item is placed and the order is captured onto the AS 400 system.

Because an item appears on the “inventory order report”, does not mean that an order is automatically placed. The reports are first given to Brandon Nel (financial director) and Peter Hutton (managing director) for extensive analysis before the decisions about what to order and how many to order are taken. Before they decide on what to order they will again consider factors such as past and future sales trends, the intentions of their major customers, whether the particular item is sufficiently profitable as well as expected lead times and other supplier conditions. This is why their knowledge of the industry is so important. Essentially, the inventory order report is simply an indicator that inventory may be required.

11.3.2 Purchases from local suppliers

11.3.2.1 Frequency

As it is far less complicated and time consuming than ordering daily, purchases from local suppliers are placed weekly. Once Brandon and Peter have decided what is to be ordered, they place the quantity to be ordered in the blank box provided next to each item on the *inventory order report* for local suppliers. If an item is not required, nil is written into the box. Both parties sign the inventory order report and pass it to Zodwa Mashego (purchases clerk). The signed inventory order report is in effect, an inventory requisition.

11.3.2.2 Purchase orders

Using a very simple in-house program, resident on her computer, Zodwa captures the details off the signed inventory order report to create a purchase order (PO) two copies of which are printed out. Access to the purchase order software is restricted to Zodwa and Ruth Taylor (purchases manager) using conventional access controls. The principle of minimum entry applies so Zodwa does not have to capture supplier details, etc., or details of the items to be ordered, i.e. entry of the supplier name or account number will bring up the supplier details, and the entry of the item code will bring up the description of the item. (This detail is on the inventory order report from which Zodwa is capturing.) The PO is sequenced and dated and Zodwa cross-references it to the inventory order report. The details on the PO captured by Zodwa are then checked against the inventory order report by Tania Koetzee, the other purchases clerk, who signs to acknowledge the procedure.

The PO is then emailed to the supplier.

Note: A single inventory order report will usually result in orders being placed with more than one supplier.

11.3.2.3 Entry onto the AS 400

At this point Zodwa enters the details off each purchase order onto the AS 400 system where it is stored in the *inventory orders placed* file. A hard copy of the file is printed out, checked carefully to the purchase orders by Tania (the other purchases clerk), and signed by both clerks to be filed with a copy of the PO and the relevant inventory report. No updating of any files on the system takes place, for example, no changes are made to the inventory masterfile. The information is placed on the system for information purposes only. For example, Reg Gaard (warehouse manager) can access the system at any time to see what orders he can expect to be delivered, and when the delivery arrives, to confirm what he is receiving is correct in terms of the purchase order. Brandon Nel and Peter Hutton can also follow up on orders by using their enquiry privilege.

11.3.3 Purchases from foreign suppliers

11.3.3.1 Frequency

Foreign purchases are far more complicated. You will recall that the foreign inventory order report is analysed by supplier, supplier region and inventory category. This enables Brandon and Peter to order in a more efficient manner. Goods are sent by sea in large containers, and it is very expensive and inefficient if the container is not full. It is also impractical and expensive to place lots of orders (for small quantities) with a supplier. Therefore in placing an order Brandon and Peter will attempt to fill a container. Having the inventory order report analysed by *supplier*, *region* and *inventory category* (that is broken down into different items) assists in the following way:

Supplier:	All goods to be ordered from that supplier are identified. If only a few items are required from a particular supplier, the directors may decide to postpone the ordering of those particular items until a large order can be placed.
Supplier region:	All goods from suppliers in Taiwan are identified. This gives the directors an idea of whether it would be efficient to order additional items from other Taiwanese suppliers to fill a container.
Inventory category and inventory items:	This provides an indication of which categories and items within the category are selling. For example, if it appears that mountain bikes are selling faster than road bicycles then additional mountain bikes may be purchased.

The point that we are trying to illustrate here is that pre-set *minimum inventory levels* and *reorder quantities* are used only as indicators, they do not result in an order being automatically generated and sent to a supplier.

11.3.3.2 The master form

Once Peter Hutton and Brandon Nel have decided what is to be ordered, the foreign inventory order reports are amended, signed by both of them, and passed to Zodwa Mashego. Using her computer and in-house developed software, she calls up a master form (MF) on screen. Each foreign supplier's details are stored on her computer, and once she keys in the name of the supplier a blank MF for that supplier, indicating contact details, terms and a sequence number appears. Zodwa enters all the details of what is to be ordered from the foreign inventory order report onto the MF. The MF is printed in duplicate and passed to Tania Koetsee who checks it for accuracy and completeness against the foreign inventory order report. The MF is then passed to Ruth Taylor (purchases manager) who authorises it. The MF is stamped with a grid stamp to facilitate this process as follows:

Prepared by	
Checked by	
Authorised by	

11.3.3.3 Contacting the supplier

A copy of the master form is then emailed or faxed to the foreign supplier and a pro forma invoice is requested. The pro forma invoice is:

- an acceptance of the order by the supplier
- a document that can be used for preliminary planning by the shipping agents who clear ProRide (Pty) Ltd's imports through customs and warehousing, and
- is sometimes required by the bank when finance is being arranged.

When the pro forma invoice is received it is checked again for accuracy and completeness to the master form by Ruth Taylor who signs it to acknowledge the check.

The signed copy of the pro forma invoice is passed to Zodwa Mashego (purchases clerk) for entry onto the AS 400 system. As with the entry of local purchases, *no updating of any accounting records takes place*, the purchase details are placed on the system for information purposes, for example, planning warehouse space to receive goods, or for Peter Hutton and Brandon Nel to obtain information about outstanding orders.

11.3.3.4 Obtaining confirmation that ProRide (Pty) Ltd can pay

Purchasing from foreign suppliers raises two specific issues with regard to payment:

- foreign suppliers are most unlikely to ship the goods before they are satisfied that ProRide (Pty) Ltd will pay
- the payment to foreign suppliers is controlled by ProRide (Pty) Ltd's bank to comply with foreign exchange legislation.

These issues are addressed as follows: Johan Els (financial manager) arranges a letter of credit (LC) through Standard Bank, ProRide (Pty) Ltd's bankers. A letter of credit is a credit facility in terms of which ProRide (Pty) Ltd agrees to pay the supplier's bank once certain conditions have been met, for example, all shipping and custom documentation has been authorised and submitted to the bank.

Obviously Standard Bank will not issue a letter of credit unless it is satisfied with ProRide (Pty) Ltd's creditworthiness. Being the company's bankers, they will assess this on an ongoing basis.

Once the LC has been authorised and issued by the bank:

- it is attached to the relevant pro-forma invoice from the supplier
- the supplier is notified by email of the details of the letter of credit.

11.3.3.5 The LC payment register

Using the pro forma invoice and corresponding letter of credit, Ruth Taylor writes up (manually) the LC payment register. This is, in effect, a foreign creditors ledger, as it shows the amounts owed to the foreign creditors.

11.3.3.6 Shipping the goods

Once notified about the letter of credit, the supplier will confirm with its bank that the LC is valid, and if it is, will ship the goods and send the following documents to ProRide (Pty) Ltd. These documents are termed the "non-negotiable documents" and are sent in duplicate:

- **Bill of Lading:** a document signed by the shipping agent that evidences the receipt of the goods on board.
- **Packing list:** a document that indicates the total number and type of packages, weights and contents of the shipment.
- **Final invoice.**
- **Shipping file.**

At this stage a (physical) shipping file is opened for each order. The file is very important as it will become the final destination of all the documents and will provide a comprehensive audit trail for each foreign order. Thus a *completed* shipping file will contain:

- foreign inventory order report
- master form
- pro forma invoice
- letter of credit

- bill of lading
- packing list
- final invoice
- any other correspondence
- goods received note (added once the goods have been cleared and delivered)
- clearing agents documents.

11.3.3.7 Forwarding and clearing (shipping)

All imported goods have to be shipped from their country of origin and cleared through customs when they arrive in South Africa. Both of these activities require specialist knowledge due to the complicated nature of the laws and regulations pertaining to importing. It is therefore usual that importers in South Africa make use of agents to assist them; namely, *forwarding agents* who control and administer the shipping of the goods, and *clearing agents* who guide the goods through customs. To simplify matters, ProRide (Pty) Ltd deals directly with one company that offers both these services (i.e. forwarding and clearing). We will refer to this company as ProRide (Pty) Ltd's "shipping agents".

Once received, the "non-negotiable documents" are passed to Ruth Taylor who files the duplicates and sends the original documents to ProRide (Pty) Ltd's shipping agents. (She also includes a standardised clearing document that gives precise details of what is being imported.)

The shipping agent will make payments on ProRide (Pty) Ltd's behalf for various forwarding (shipping) costs as well as clearing costs, such as harbour fees (wharfage), duties and levies. Once the goods have been cleared through customs these costs are recovered from ProRide (Pty) Ltd by the shipping agents and a fee is charged. Like any other local supplier, the shipping agent will send an invoice and documentary evidence of the payments they have made on ProRide (Pty) Ltd's behalf, for example, forwarding agent's fee, the Portnet invoice for wharfage. Before submitting the invoice to Tania Koetzee for it to be included on the creditors payment schedule (see 11.3.7.2 below), Ruth scrutinises the invoice and supporting documentation to ensure that all charges are valid, accurate and complete. She then signs the invoice to acknowledge this control procedure.

11.3.3.8 The container schedule

Once the "non-negotiable documents" are to hand, Ruth also prepares a hard copy "container" schedule. This schedule is sent, with a copy of the Packing List, to Reg Gaard (warehouse manager) to assist him in scheduling the receiving of the purchases and preparing the warehouse. The schedule contains the following details:

- ship name and estimated date of arrival
- container number
- shipping file number
- master form (order) number, and
- supplier names.

11.3.4. Receiving the goods

11.3.4.1 Supervision

All goods, whether they are local or imported are received in the receiving depot, a physically secure area in the warehouse. The frequency of deliveries does not warrant the appointment of a "specialist" receiving clerk and the responsibility is given to the dispatch clerk and his assistants. Receiving is always supervised by either Reg Gaard or Patrick Adams the warehouse manager and foreman, respectively. This improves the efficiency of receiving and reduces the incidence of theft before the goods arrive in the warehouse.

11.3.4.2 The receiving procedure

Local goods are usually delivered in cartons or boxes by a road delivery service and generally it is impractical to check each item received against the purchase order as the delivery service is keen to get away to make the next delivery. Therefore, the receiving procedure is broken down into two functions. The initial function is taking delivery of the number of cartons/packages from the freight company. The "receiving

clerk” will match the description and labelling on the cartons and the delivery company’s waybill, and sign the waybill to acknowledge what has been received. If there are any discrepancies, the receiving clerk and the driver will mark the discrepancy on the waybill. A copy of the waybill is retained by the receiving clerk. Imported goods are delivered in containers and a similar process is followed. Because it is not possible, with the large orders received in the container, to check that each item ordered has been received, the first function again is to offload the packages/cartons from the container and compare these to the description of the packages/cartons on the Packing List. Remember that the Packing List describes the number, type and weight of the packages/cartons included in the shipment. Once this “broad” check has been done, Patrick or Reg (who supervise the receipt of imported goods closely) will sign the freight company’s delivery note. This is simply an acknowledgement that the packages/cartons that were shipped have been received. The contents have not, at this stage, been checked. A copy of the freight company’s delivery note is retained.

All cartons or packages (local and imported) are retained in the receiving area and promptly unpacked for detailed checking against the purchase order/GRN. The process is as follows:

- The “receiving clerk” will enter the purchase order number onto the system. If there is a match to the inventory orders placed file (there usually is), the purchase order will come up as a GRN on the screen, and two copies of the GRN (populated with all of the detail of the goods on the purchase order) will be printed out.
- The goods delivered are then carefully checked against the GRN (twice).
- Goods that have been delivered incorrectly, for example, have not been ordered or have been over-delivered, are *not* taken into inventory and are stored in a secure area in the receiving section, with a discrepancy report for subsequent return to the supplier.
- Discrepancy reports are pre-printed and sequenced. When a discrepancy report is completed, full details of the discrepancy are recorded, it is cross-referenced to the purchase order and signed by two individuals, usually the “receiving clerk” and either Reg Gaard or Patrick Adams.
- Where necessary, hard copy GRNs and the on-screen GRNs are amended to reflect the *quantities* actually received. Changes to the descriptions of goods delivered are not made and no additions of goods delivered but not ordered, are entered. The final GRN must reflect the actual quantities of goods received and only goods on the purchase order. The only field that can be altered on the on-screen GRN is the quantity field and no additional items can be added.
- Reg Gaard (warehouse manager) will confirm that the on-screen GRNs and the hard copy GRNs agree exactly and he and the receiving clerk will sign the hard copy.
- Once Reg is satisfied with the on-screen GRN, he will select the “confirm” option and:
 - the purchase order on the “inventory orders placed” file will be coded to indicate that the “purchase order” is no longer outstanding, and
 - the quantity field in the inventory masterfile will be updated.

11.3.5 Costing the inventory

When the GRNs arrive in the purchasing department, each inventory item must be costed. This is done as soon as all documents are available. For local purchases the cost is taken off the purchase order. For imported goods a costing exercise to establish the true cost of “bringing the inventory to its location” must be carried out.

The exercise is carried out by Zodwa Mashego or Tania Koetzee (purchases clerks) on a pre-designed costing spreadsheet using Excel software.

An example of the Costing Schedule used by the company is shown below. We will assume that the shipment consisted of 400 Raleigh RC bicycles.

ProRide (Pty) Ltd		Costing Schedule
		Date 9 Sept
Supplier Shimlee Taiwan		File No. 702 Shim
		Invoice No 1237
Value per Suppliers Invoice	US\$135507	
At conversion rate × R10 (note 1)	R1 355 070	
Custom clearing charges	6 580	
Freight	28 645	
Cartage	2 555	
Bank charges and fees	840	
Total cost	R1 393 690	
Cost per unit: Raleigh RC: 400 units	R3 484	(rounded)
Prepared by:	Checked by:	

The preparer signs the schedule and Ruth Taylor (purchases manager) checks the costing from the supporting documentation and also signs it. It is then placed in the Shipping File.

Note 1: ProRide (Pty) Ltd buys forward cover to pay for its foreign purchases and complies with the International Accounting Standards when selecting the appropriate conversion rate for costing the inventory.

Note 2: If the shipment contains a number of different items (which is usually the case) the total cost is allocated to the different items purchased in terms of their value on the supplier's invoice. For example, if invoice 1237 (above) had been for 300 Raleigh RC bicycles at \$338.75 each, and 200 Raleigh Bombers at \$169.38, the total cost of R1 393 690 would have been allocated as follows:

Unit price: Raleigh RC	$\frac{\$101\,630}{\$135\,507}$	$\times R1\,393\,690 \div 300 = R3\,484$ (rounded)
Unit price: Raleigh Bomber	$\frac{\$33\,877}{\$135\,507}$	$\times R1\,393\,690 \div 200 = R1\,742$ (rounded)

11.3.6 Recording the cost of the goods received in the inventory masterfile

Tania Koetzee (purchases clerk) will enter the cost of the goods received onto the masterfile that is resident on the AS 400 system. This is done as soon as the costing has been carried out so that the masterfile is kept right up to date. Note that the quantity field has already been updated by the GRN. At the end of each day, a dated *inventory transaction report* is generated. This report is a list of all inventory items that have had their quantities increased, by how much, and the unit cost price entered. The report is handed to Zodwa Mashego who checks it for accuracy and completeness against the relevant GRNs and costing schedules where applicable. She signs to acknowledge this check. As a double control, Ruth Taylor re-checks the *inventory transaction report* to the GRNs the following day.

11.3.7 Payment of creditors – Local suppliers

11.3.7.1 Recording of purchases from local suppliers

As indicated earlier, the acquisitions and payments cycle is not integrated into the other cycles on the AS 400. Tania Koetzee (purchases clerk) is responsible for recording purchases and maintaining a creditors masterfile on her computer using the in-house developed software. Remember that there are not that many local suppliers. The following documentation is kept in the purchases department in temporary files by sequence number (n) or alphabetically (a):

- local inventory order reports (n)
- purchase orders (n)
- goods received notes (n)

- invoices as they arrive by fax, email or post from the supplier (a): these invoices will not only be for inventory purchases, but other items purchased on credit as well, for example, packaging, stationery, invoices from service providers, including shipping agents, etc.
- supplier delivery notes and statements (a).

About every two days Tania enters invoices she has received onto her system. This means that the creditors masterfile is kept up to date. Before entering an invoice, Tania:

- matches details on the invoice to the relevant purchase order and GRN (that can all be tied together by the purchase order number), or to other supporting documentation in respect of invoices for which no physical goods were received
- checks the prices to the inventory order report and purchase order (or other sources for non-inventory items)
- re-performs extensions, casts and VAT calculations, and
- checks that the supplier invoices contain the necessary detail so that a valid VAT input credit can be claimed.

If an invoice is incorrect, for example, ProRide (Pty) Ltd has been charged for goods which have not been received, she confirms the detail against the discrepancy report and supplier delivery note if applicable, and notifies the supplier. The invoice is placed in a pending file to await a corrected invoice from the supplier. This essentially means that the purchase journal and creditors masterfile are updated for the correct amount owed even if it means a delay in recording.

When Tania is ready to enter the invoices into the purchase journal (much like an Excel spreadsheet) she accesses the “enter invoices” module (to which access is restricted). To enter the details off the invoice, Tania will key in the supplier’s name taken from the invoice. This will bring up a screen that is populated with the supplier’s details and formatted to receive only the necessary information to update the creditors masterfile and purchase journal, in other words, the description of the goods purchased, unit selling price, etc., is not required. Tania therefore enters only the:

- supplier invoice number (supplier name is already there)
- the account code to which the invoice must be allocated, for example, inventory, packaging, maintenance, shipping charges
- the amount of the invoice and the VAT, and
- the terms of the invoice, for example, 30 days, 60 days.

On selecting the “enter” option, the purchase journal file and the suppliers account in the creditors masterfile are updated. There are a number of basic program controls over input, for example, alphanumerics, mandatory data (all fields must be completed) and the entire entry process reflects the concept of minimum entry.

During the course of the month, Tania will reconcile statements received from creditors with the creditor’s account in the creditors masterfile.

11.3.7.2 The actual payment of creditors

Up until a few years ago, all local creditors were paid by cheque. This policy has changed and all payments are now made by EFT. Payments to creditors are made on the 28th of each month and creditors are paid on the strength of a valid invoice (not on a reconciled creditor’s statement) that has been entered on the ProRide (Pty) Ltd system.

Payment preparation

This is a “manual” procedure conducted by Zodwa Mashego or Tania Koetzee. Whoever is preparing the schedule on that day will compile a list of suppliers to be paid that includes the amounts that are to be paid, the invoices that are being paid, and the name and account number of the supplier. The schedule is prepared on the screen with the information being taken from the creditors masterfile. The schedule is printed out, checked by the other purchases clerk, signed by both clerks and Ruth Taylor (purchasing manager), and given to Johan Els (the financial manager), along with the supporting documentation.

None of the terminals in the purchasing section have the bank’s software loaded on them and EFT payments cannot be made from them. On receipt of the schedule, Johan will carefully check the detail on the schedule to the supporting documentation (initialling it as he does so). He will then access the EFT

creditor's payment module and enter the detail of the payments to be made. ProRide (Pty) Ltd has a full range of controls over EFT payments as described in a number of chapters in this text and they will not be repeated here. (You can refer to the description of ProRide's payroll system for of the detailed controls.)

11.3.8 Payment of creditors – Foreign suppliers

There are essentially three parties that must be paid. They are:

- the forwarding agent who administers the shipping of the goods
- the clearing agent who administers the clearing of the imported goods through customs
- the supplier.

11.3.8.1 The forwarding agent and the clearing agent

This is a simple process. As we indicated earlier, ProRide (Pty) Ltd deals with only one company that forwards (ships) and clears its imports. This company makes payments to the various other parties on behalf of ProRide (Pty) Ltd. It then invoices ProRide (Pty) Ltd for the entire amount owed to it. ProRide (Pty) Ltd treats this account like any local creditor.

11.3.8.2 The supplier

The supplier is paid when the conditions of the Letter of Credit have been met. This is essentially when ProRide (Pty) Ltd's bank receives the necessary documentation namely, the bill of lading (duly stamped by the customs authority) and the invoice. The bank will not pay unless the documentation is complete and meticulously correct. Once they are satisfied, they will transfer the money to the supplier's bank and debit ProRide (Pty) Ltd's bank account.

11.3.8.3 Updating the LC payment register

When the transfer has taken place, it will immediately be revealed on the daily bank statement that is downloaded through the Internet. Ruth Taylor will manually update the LC payment register by debiting the foreign suppliers account. Selma Green (cash book clerk) is also notified of the payment and can update the cash book on her terminal.

11.3.9 Updating the general ledger on the AS 400 system

As we pointed out earlier, the purchases/creditors system is not integrated with the general ledger on the AS 400 system. At month end, Johan Els (financial manager) compiles the necessary journal entries for purchases, creditors and cash book transactions and enters them into the general ledger on the AS 400. This entry is checked in detail by the IT manager, Gary Powell and the financial director, Brandon Nel.

11.4 Auditing the cycle

11.4.1 Introduction

As the name suggests, the acquisitions and payments cycle deals with the goods (and services) that a company purchases, and the payment by the company for those goods.

The acquisitions phase of the cycle is concerned with ensuring that the company acquires only those goods (and services) it needs and that the goods are of the necessary quality and price. The payments phase of the cycle seeks to ensure that only goods that have been validly ordered and received are paid for and that the payment is authorised, accurate and timeous.

Obviously, companies do not only buy goods for resale or manufacture. Depending on the nature of the company's business, there will be expenditures on advertising, travel, consumables, entertainment, stationery or items of plant and equipment. However, whatever the "acquisition" is, the principles of controlling the expenditure remain the same, that is, only expenditure *relating to the business* should be incurred, it should be *authorised before* it is incurred, it should be appropriately recorded, and the payment for the acquisition should be the *correct amount* and should be *authorised*. The authority for incurring the expenditure may differ.

For example:

For an inventory item it may be a requisition signed by the warehouse manager, and a purchase order signed by the chief buyer. For travel expenses, it may be an authorised budget and a travel approval form signed by a department head, and for the acquisition of an item of equipment, it may be an authorised budget and a directors' minute.

Payments are usually authorised by the signature of a department head on supporting documentation after suitable scrutiny. Payments of different amounts may be authorised at different levels.

In most reasonably sized businesses, the vast majority of acquisitions (other than for large items of plant and equipment that are financed in a variety of ways) will be made on "credit", which simply means that the goods or services etc., will be paid for some time after the goods are received, say 30 days or 60 days later, depending on the terms agreed with the supplier. This means that at any point in time the company will have creditors. So in effect, the acquisitions and payments cycle gives rise to *transactions* and an *account balance* both of that will need to be considered by the auditor in carrying out the audit of the cycle.

The audit of the cycle consists of two parts. In terms of ISA 315 (revised), the auditor is required to identify and assess the risk of material misstatement at both financial statement level and at account balance and transaction level. This means that in the context of this cycle, the auditor will need to evaluate whether there is anything in the assessment of risk at financial statement level that may filter down into the audit of the cycle and whether there are specific risks pertaining to the creditors balance in the AFS or to the recorded purchase or payment transactions.

For example:

- at financial statement level: if there is an incentive for the directors to manipulate the financial statements, one of the ways they may do so is by understating the accounts (trade) payable balance
- at account balance level: there may be an identified risk that the creditor's balance is understated due to a failure to raise the liability for goods received just prior to year-end
- At transaction level: risk assessment procedures may have revealed that purchase orders can be made out and placed by the purchase order clerk without authority, or that employees authorised to make EFT payments share passwords for "convenience's sake" and that there is no independent reconciliation of EFT payments after they have been made to source documentation.

Once the cumulative effect of the identified risk has been assessed, the auditor will be in a position to plan "further" audit procedures and "other" audit procedures. Before moving onto the second part of the audit of the cycle (i.e. the response to assessed risk), it is perhaps necessary to remind ourselves of the assertions relating to the transactions in the cycle and the related balance, (i.e. accounts payable).

11.4.2 Financial statement assertions and the acquisitions and payments cycle

Purchases

Occurrence:	Purchases that have been recorded have occurred (they are not fictitious), and such purchases pertain to the company.
Completeness:	All purchases that should have been recorded have been recorded.
Accuracy:	The amounts of purchases and other data if applicable, relating to recorded purchases have been recorded appropriately.
Cut-off:	Purchases have been recorded in the correct accounting period.
Classification:	Purchases have been recorded in the proper accounts.

Payments to trade creditors

Occurrence:	Payments that have been recorded have occurred (they are not fictitious), and such payments pertain to the company.
Completeness:	All payments that should have been recorded have been recorded.
Accuracy:	The amounts of payments and other data, if applicable, relating to recorded payments have been recorded appropriately.
Cut-off:	Payments have been recorded in the correct accounting period.
Classification:	Payments have been recorded in the proper accounts.

Trade payables

Existence:	Trade payables exist at year-end.
Obligations:	Trade payables included in the balance represent obligations of the company.
Completeness:	All trade payables that should have been recorded, have been recorded and all related disclosures that should have been included in the financial statements, have been included.
Accuracy, valuation and allocation:	Trade payables have been included in the financial statements at appropriate amounts, and related disclosures have been appropriately measured and described.
Classification:	Trade payables have been recorded in the proper accounts.
Presentation:	Trade payables are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the applicable financial reporting framework.

11.4.3 Fraud in the cycle**11.4.3.1 Fraudulent financial reporting**

The most common way of manipulating the financial statements in this cycle is the:

- **Understatement of trade creditors (trade payables):** this will usually be done to improve the ratios in the working capital sector of the statement of financial position or to avoid a net liability position. Auditors will conduct comprehensive completeness testing on creditors where they believe such a risk exists.
- A common way of understating creditors is to manipulate “cut-off” at year-end, for example, accounting *after* year-end for a purchase of inventory made *prior* to year-end, *but* including the inventory purchased in the inventory on hand at year-end. This also has the benefit of increasing profits, so all round the financial statements look much better.
- Of course if the directors’ objective was to reduce profits, they could do so by fraudulently increasing purchases.
- Where companies trade with numerous related parties, manipulation of trade payables becomes much easier.

11.4.3.2 Misappropriation of assets

As this is a cycle that actually deals with outflows from the business (i.e. payments), there are real opportunities for management and employees to misappropriate cash and to a lesser extent, goods.

- **Ordering of goods by employees or management for their personal use and having the company pay.** This will amount to the inclusion of invalid purchases (occurrence), and, if the creditor has not been paid by year-end, the inclusion of fictitious creditors (obligation). For this type of fraud to be effective, the perpetrator has to get the goods that have been ordered, this can be done in numerous ways such as colluding with receiving or warehouse staff, or having the supplier deliver to an address other than that of the company. A similar “misappropriation” that does not involve physical goods and may be easier to perpetrate, would be for a director/manager to have the company pay for personal air flights and have the purchase/payment recorded as business travel.
- **Making completely fictitious payments to creditors** (occurrence of purchases/obligation of creditors): This is plain theft where those with the power to authorise payments (e.g., EFT signatories), authorise payments to their own companies, friends, etc. No goods change hands and false documentation is produced.
- **Company claims VAT to which it is not entitled** (completeness of liabilities): This is very often a “by-product” of the frauds described above.
- **Directors or employees accepting bribes from suppliers as an inducement to purchase goods from that (supplier) company:** This is a difficult situation because from a financial reporting perspective there may be absolutely no problem. The goods purchased may be of the required quality and price, the order properly authorised etc. The payment of the bribe may well be a problem in the supplier’s business but is in effect “outside” the business of the company at which the person receiving the bribe is employed. Accepting this type of inducement is likely to be in contravention of the company’s employment policies. In terms of section 45 of the Auditing Profession Act, where directors receive such inducements, there may be a

reportable irregularity. Directors or employees setting themselves, family or friends up as suppliers and then directing business to those entities is a variation of this practice and is effectively, a related party transaction.

- **Theft of goods at the receiving stage** (existence of inventory): This will normally be an employee fraud, and amounts to receiving clerks signing for goods received but not taking custody of all the goods signed for. The goods that are stolen are sent out on the truck in which they were delivered and off-loaded elsewhere. Collusion with the supplier delivery staff is required.

11.5 The auditor's response to assessed risks

11.5.1 The auditor's toolbox

In terms of ISA 500, the auditor has the following types or categories of audit tests available to him:

- Inspection
- Observation
- External confirmation
- Recalculation
- Re-performance
- Analytical procedures
- Inquiry

These tests are not specific to a particular phase of the audit and can be used as risk assessment procedures, tests of controls or substantive tests.

11.5.2 Overall responses to the risk of material misstatement at the financial statement level

In terms of ISA 315 (revised), the auditor shall identify the risks of material misstatement at the overall financial statement level and at the assertion level for transactions, account balances and disclosures.

Further, a significant risk is an identified and assessed risk that, in the auditor's judgement, requires special audit consideration. This does not mean that the auditor needs to be familiar with a whole new range of audit procedures (have additional tools in his toolbox), but it does mean he will look closely at the nature, timing and extent of the further audit procedures as well as the skills and experience of the audit team.

In the context of this cycle, significant risks may include:

- the risks of fraudulent practices as discussed in point 11.4.3 above
- significant acquisitions being made from related parties, for example, companies within the group or entities owned by a director
- the risk of the understatement of trade and other accounts payable.

In terms of ISA 330, the auditor must implement **overall responses** to address the assessed risk of material misstatement at the financial statement level.

For example:

- assigning more experienced staff to the audit. This could be a response to the risk of manipulation of the financial statements by understatement of the trade payables balance
- emphasising to the audit team the need to maintain professional scepticism, for example, to be alert to the possibility that management may be having personal expenditures paid for by the company, and
- providing more supervision.

11.5.3 Responding to risks at the assertion level

The auditor's **further audit procedures** will be a mix of **tests of controls and substantive tests**. When assessing risk at the assertion level, there is an underlying expectation on the part of the auditor that the controls are operating effectively and essentially that they provide a foundation from which the substantive tests can be developed. Simply expressed, if the controls are very strong, the auditor can place more reliance on the totals and amounts produced by the accounting system and will be able to perform less substantive testing and possibly substantive tests of a different nature. Timing of substantive testing could be also affected.

11.5.4 “Other” audit procedures

In addition to carrying out risk assessment procedures and further audit procedures, the auditor is also required to carry out “other” audit procedures. These are procedures that are carried out to ensure that the engagement complies with the ISAs. In the context of the audit of any cycle, one of the other procedures to be carried out would be to comply with ISA 265 – Communicating Deficiencies in Internal Control, to those charged with governance and management.

11.6 Audit Procedures – Test of controls and substantive procedures

11.6.1 Tests of controls

11.6.1.1 Objective

The auditor tests a control to determine whether the control has been effective in achieving the objective for which it was implemented in the first place. For example, in the context of this cycle, one of the objectives of the control activities implemented by the company will be to ensure that purchases (acquisitions) of goods are made only for the company.

To achieve this objective, the controls implemented might be that no goods may be purchased without an official purchase requisition that is signed by the warehouse manager, and an official purchase order that is prepared by a purchase order clerk and approved by the senior buyer. The auditor is interested in this control because if it is effective, he will have gained some evidence that the purchases recorded in the accounting records do not include purchases that were made by employees for their own use (and that were subsequently paid for by the company). To extend the example, the company will want to ensure that all goods ordered were received, and only goods that were ordered and received, are paid for. The controls implemented by the company to achieve these objectives will include the physical checking of the goods by the receiving clerks, the completion of a GRN, and careful scrutiny by reasonably senior personnel before payment is authorised. The auditor’s interest in whether these controls are functioning is obvious; if all the controls are working effectively, the auditor obtains worthwhile evidence that the purchases recorded actually occurred, were authorised and were accurately and completely recorded and processed.

11.6.1.2 Timing of tests of controls

The auditor needs to gain evidence that the controls on which he intends to place reliance were operating throughout the financial year under audit, so these tests of controls may be carried out at different stages throughout the year during interim visits to the client. However, much of the evidence that a control has worked throughout the year, may be revealed by the audit trail that is created. For example, the auditor could choose a sample of recorded purchases from throughout the year and test that the supporting purchase documentation consists, *inter alia*, of a signed purchase requisition and approved purchase order.

This does not prove that the purchase requisition and purchase order were authorised *before* the order was placed, but combined with other evidence that the auditor will seek, for example, about the receipt of the goods and the payment for the goods, strong persuasive evidence that the controls were functioning *at that time* will have been gathered. If however, the auditor discovers that there are GRNs and supplier invoices that are *not* supported by an approved requisition and purchase order, he gains evidence that the controls were (are) not effective. This is likely to increase the substantive tests that will need to be carried out.

11.6.1.3 The nature of tests of controls

As pointed out earlier in this section, the auditor uses an assortment of procedures when conducting tests of controls in this cycle. Controls in this cycle will vary from company to company and the auditor will need to select a suitable mix of procedures to achieve his overall objective of determining whether the controls implemented were (are) effective. This can be illustrated as follows:

Inspection

- A sample of recorded purchases could be selected and the supporting requisition and purchase order could be inspected for an authorising signature.
- A sample of purchase orders could be compared to the list of approved suppliers to confirm that purchases are made only from approved suppliers. This procedure may be supplemented by *inquiry* and inspection of supporting documentation that provides evidence that a supplier is only added to the list

of approved suppliers after a thorough and independent evaluation of the supplier. This reduces the risk that purchases can be made from businesses connected to the company's order clerk, buyer or members of management, and that purchase of goods that are not for the company's use, can be made.

- Inspect the masterfile amendment log and supporting documentation for indication of approval for the addition of a supplier to the creditors masterfile during the year.

Note: In some systems there may be no visible indication of approval of say, the purchase order as it is given "on the system". This on-screen approval might be effected by the purchase order clerk being unable to print or email a purchase order until approval has been given by the employee (chief buyer) whose access profile permits approval of purchase orders. The appropriate test may be for the computer audit division to look at and test user profiles as part of a system orientated CAAT.

Alternatively, the auditor may be able to infer (assume) that approval of the purchase order does in fact take place if other tests of controls in the process, for example, controls over payments to creditors, prove to be effective.

Inquiry

- For example, inquire of the receiving clerk as to:
 - the procedures he follows when goods are delivered
 - what happens to goods that are delivered but are not as listed on the purchase order (wrong goods, short delivered, over delivered).
- Inquire of the purchase order clerk as to what procedure is followed for placing an order if there is no purchase requisition provided, for example, he gets a verbal instruction to place an order.
- Inquire of the financial accountant (or similar) as to what happens when a payment by EFT must be made and one of the individuals required to "authorise" a payment, is not available.

Note: Questions put to employees should be expressed in a way that requires more than a "yes" or "no" response. In this way the auditor will learn more about the effectiveness of the control and may be provided with information he least expected.

Observation

- Observe the procedures that are carried out by the receiving clerk when a delivery is received from a supplier.
- Observe the "authorise" and "release" procedures being undertaken for the payment of a creditor.

Note: Observation is not a very convincing procedure as the employee is likely to do what he is supposed to do because he knows the auditor is watching! Observation would always be matched with other procedures, for example, when observing the receiving of goods, the auditor may request the receiving clerk to insert an invalid purchase order number into the system to see what happens (it should be rejected).

Re-performance

The auditor may choose to re-perform a sample of creditors' reconciliations.

With regard to accuracy and completeness of processing and recording of transactions promptly and in the correct accounts, especially in integrated real-time systems, current accounting software is very fast, efficient and reliable. The auditor is likely to concentrate tests of controls on controls over the authorisation of transactions and the controls over reviewing and reconciling the results of processing, for example, logs, reports, listings, etc. If these controls appear to be operating successfully, the auditor can assume that processing controls are effective.

11.6.2 Substantive procedures

11.6.2.1 Nature of substantive procedures

In auditing the cycle so far, the auditor has carried out procedures to:

- identify and assess the risk of material misstatement, and
- gather audit evidence about the operating effectiveness of the controls (tests of controls).

The auditor is now required to conduct substantive tests that as we have seen, are designed to detect material misstatement at the assertion level. Substantive tests consist of:

- tests of details of classes of transactions, account balances and disclosures, and
- substantive analytical procedures.

The difference between tests of detail and analytical procedures is that the former consists of auditing the detail of the transaction, account balance or disclosure, while the latter provides more general or overall evidence.

For example, in carrying out a test of detail on a purchase invoice, the auditor would *inspect* the supporting documentation and agree dates, cross-referencing, amounts, etc., and may re-perform the casts, extensions and VAT calculations.

When conducting substantive analytical procedures, the auditor does not consider the detail but rather the “overall picture”. He will compare totals of transactions and account balances to the same totals and account balances for different periods, or consider changes in the make-up of totals in relation to other periods or industry norms, etc., with the intention of identifying any strange or unusual fluctuations.

For example:

The auditor may compare balances on individual creditor’s balances year-on-year and follow up on any major or unexpected differences, or he may calculate ratios such as total purchases divided by accounts payable, again for comparison to prior years.

In terms of ISA 330, the auditor must design and perform some substantive procedures for each material class of transaction, account balance and disclosure, regardless of the assessed risk of material misstatement. In other words, the auditor cannot decide that because he has assessed the risk of material misstatement as low, and because his tests of controls provide persuasive evidence that controls had operated effectively for the period under review, there is no need to do any substantive testing. The reason behind this is that:

- risk assessment is judgmental and the auditor may not have identified all risks, and
- internal control has inherent limitations, including management override, for example, an employee who refused to authorise a purchase order because it was not for goods used by the company, may have been overridden by a senior member of management wishing to have the company purchase the goods for his own personal use.

However, the auditor does not necessarily have to carry out both tests of detail and analytical procedures. If assessed risk is judged as low and tests of controls indicate that controls are operating effectively, the auditor may decide that all that is required to reduce audit risk to an acceptable level is the performance of *analytical* procedures. In practice it is common for the auditor to use a combination of tests of detail and analytical procedures when conducting substantive tests.

11.6.2.2 Timing of substantive procedures

Most substantive testing takes place at or after year-end. This is logical as these tests are aimed primarily at gathering evidence about the account balances and disclosures in the financial statements. In practice, however, there is often an audit deadline (a date by which the audit must be completed) that forces the auditor to carry out extensive substantive (and other) testing at an interim date, say two months prior to year-end. In the context of this cycle, the auditor may choose to conduct substantive procedures to verify the balance on the trade payables account at the 10-month period and then “update” this work for the year-end trade payables account by conducting tests on the remaining two months, during the two months and at year-end. These tests, that will be a mix of tests of controls and substantive tests, are termed “roll forward tests”.

11.6.2.3 Extent of substantive testing

The extent of substantive testing is generally regarded as being a function of (determined by) the assessed risk of material misstatement and the results of tests of controls. In general, the greater the risk of material misstatement, and the less effective the controls appear to be, the greater the amount of substantive testing. In the case of substantive testing of disclosure, qualitative materiality will be an important factor.

For example:

The substantive testing of the disclosures relating to director's emoluments is likely to be both detailed and extensive. The extent of testing is usually reflected in the size of samples used for testing as well as the type of tests being carried out.

Overall the auditor is required to obtain sufficient appropriate evidence to satisfy himself that audit risk has been reduced to an acceptable level.

11.6.3 Substantive procedures of transactions in the acquisitions and payments cycle

11.6.3.1 Purchases

The following example illustrates the substantive audit procedures (by assertion) that the auditor may conduct on a purchase transaction. Assume that a purchase has been selected from the purchase journal of a manufacturing company, ExWhy (Pty) Ltd.

- **Occurrence** (the recorded transaction has occurred and it pertains to ExWhy (Pty) Ltd)
 - Inspect the supporting documentation (purchase order, supplier delivery note, GRN and invoice) to confirm that:
 - the (external) documents are made out to ExWhy (Pty) Ltd and are from an approved supplier
 - all documents are correctly cross-referenced to each other
 - each document is signed by the designated authority, for example, chief buyer, receiving clerk
 - the goods purchased are of a type used by the company.
 - Inspect the cash payments records/EFT schedules/bank statements to confirm that the goods were appropriately paid for; payment authorised, correct payee, correct amount (see note (a)).
- **Accuracy** (the amount of the purchase has been recorded appropriately)
 - Confirm the mathematical accuracy of the invoice by recalculating all extensions (quantity × price), casts and discounts.
 - Agree the quantity of items charged on the invoice, against the quantity on the goods received note.
 - Confirm prices and trade discounts used on the invoice by inspection of the order or purchase contract.
 - Recalculate VAT, and by inspection of the invoice, confirm that discounts are taken into account prior to the calculation of VAT.
 - By inspection, confirm that the VAT number and details of the supplier as well as the supplier's VAT number are clearly presented on the supplier tax invoice (for a valid input credit to be recorded, a valid supplier tax invoice is required).
- **Cut-off** (the purchase has been recorded in the correct accounting period)
 - Inspect the dates on the supplier delivery note, goods received note, and invoice to confirm that the goods were received during the accounting period under audit. (The date on these documents should also coincide with the month in which the purchase is recorded in the purchase journal.)
- **Classification** (the purchase has been recorded in the proper accounts)
 - Inspect the purchase order to determine the expense or asset account to which the purchase should be allocated and posted (this should have been entered on the purchase order by the buyer) and trace the posting from the purchase journal to the designated expense or asset account in the general ledger.
 - Establish the description of the goods purchased (by inspection of the purchase documentation) to confirm that the classification of the purchase is appropriate, for example, the purchase of a non-current asset has not been written off as an expense.
 - Inspect the purchase journal (and invoice) to confirm that VAT has been correctly allocated and posted.
 - Inspect the supplier's account in the creditors ledger to confirm that the purchase was correctly posted from the purchase journal.
- **Completeness** (all purchases that should have been recorded have been recorded)
 - To test the completeness of purchases, the auditor will test from a document recording the receipt of the item purchased to the recording of the purchase in the records. The auditor may choose a random sample of GRNs from the sequence of GRNs and trace them through to the corresponding invoices.

Tests of detail would then be carried out as described above. If there was no corresponding invoice, the purchase may not have been recorded.

- Note (a) Strong corroborative evidence for the occurrence assertion is obtained if a properly authorised payment for the purchase is recorded. The auditor is likely therefore, to extend the testing of his sample of purchases to include the testing of the corresponding payment.
- Note (b) Some of the procedures described above may be regarded as “tests of controls”, for example, inspecting the purchase order to confirm that it was made out to an approved supplier, or checking for authorising signatures. This is not an issue as the auditor frequently carries out “dual purpose tests” that provide some evidence of the effectiveness of controls and some substantive evidence. In the context of the audit, this may be an efficient way of gathering evidence.
- Note (c) For some of the purchases made by the company, there may be no specific purchase order or goods received note to tie to the invoice, for example, the purchase of a service or a non-physical item that is not “delivered”, such as travel expenses or delivery charges. In these instances, the auditor will still test the accuracy of the invoice but will seek alternative source documentation to support the purchase.

11.6.3.2 Payments

Tests of detail on payments will again concentrate on the assertions relating to transactions. As indicated earlier, a payment in the context of this cycle is normally linked directly to a purchase and the auditor may extend his tests of detail on purchases to the corresponding payment. However, the auditor also wants evidence that payments recorded in the cash book were in respect of *actual* valid purchases that occurred. The auditor may therefore select a sample of payments from the cash payments journal and test as follows:

- **Occurrence**
 - Obtain the invoice supporting the payment.
 - Inspect the invoice to confirm that:
 - it is made out to ExWhy (Pty) Ltd
 - is for goods, services or other expenditures normally used or incurred by the company and is from a supplier on the approved supplier list.
 - Inspect the authority for the payment, for example:
 - appropriately approved purchase order, GRN
 - appropriately approved expenditure requisition or claim, for example, travel expenses authorisation
 - approved payment requisition.
- **Accuracy** (the amount of the payment has been recorded appropriately)
 - Re-perform the casts and calculations on the invoice.
 - Agree the amount of the invoice to the payment in the cash payments journal.
- **Cut-off** (the payment has been recorded in the proper accounting period)
 - Inspect the dates on the payment, the invoice and supporting documentation to confirm they fall within the period under audit and are reasonable in relation to each other.
- **Classification** (the payment has been recorded in the proper accounts)
 - Trace the payment to the general ledger and creditors ledger to confirm that the posting has been made to the creditors control account and the correct creditor in the creditors ledger.
 - Where “the purchase” has not gone through the purchase journal (not raised as a creditor), confirm by inspection of the description on the invoice or payment requisition, that the payment has been allocated and posted to the correct account in the general ledger, for example, travel expenses.
- **Completeness** (all payments that should have been recorded, have been recorded)

The situation where a payment has been made but has not been entered in the cash payments journal should be revealed by inspection or re-performance of the bank reconciliation statement.

Note: The auditor may also wish to perform tests of detail on a sample of payments reflected in the individual creditors’ accounts. Similar tests to those described above would be carried out.

Where payment was by EFT, the auditor will inspect the applicable schedule of EFT payments for authorising signatures and will inspect the audit trail/bank statement/remittance advice, to confirm that the EFT was made to the correct payee. The auditor will also consider the extent to which he can rely on

those senior officials who have the “authorise” and “release” privileges for EFTs to carefully check the payment details before the EFT is made.

11.6.3.3 Substantive analytical review procedures

- The auditor will supplement his tests of detail by conducting some analytical procedures. These may include:
 - comparisons of expenditure categories month to month or to prior periods, for example, purchases of goods for resale, travel costs, advertising, repairs and maintenance, consumables, motor vehicle expenses, etc.
 - calculation of each expense as a percentage of say, gross profit or total expenses and comparison of the percentages to prior periods, and
 - comparison of actual expenses to budgeted expenses.
- Abnormal fluctuations would be followed up by:
 - vouching material fluctuations by tracing entries to source documentation for investigation, for example, valid expense, correct amount recorded, and
 - discussion with management.

11.6.4 Substantive procedures on the trade and other payables balance

The main thrust of substantive testing in this cycle will be on the trade and other payables account balance at year-end. Current liabilities on the statement of financial position will often be made up of other balances that may include short-term borrowings, bank overdrafts, taxation payable, etc. The most material balance is usually trade and other payables (often referred to as trade creditors), and the audit procedures that follow relate primarily to the audit of trade and other payables. In practice, trade and other payables are often referred to as trade creditors, accounts payable, etc., all of which are generally intended to mean creditors arising out of trading activities. To an extent, we have used the terms interchangeably.

11.6.4.1 Assertion: Obligation – the trade payables represent obligations pertaining to the company

The evidence for the obligation assertion is supplied by inspecting the supporting documentation, statements, invoices, etc., to confirm that they are:

- made out in the name of the company, and
- in respect of purchase of goods (or services) that are used by the company.

This inspection will take place when creditors' reconciliations are audited as a year-end valuation procedure and when any tests of transactions are conducted.

11.6.4.2 Assertion: Existence – trade payables included in the balance actually exist, they are not fictitious

The existence assertion for trade payables is usually a low risk assertion as companies do not normally wish to overstate their liabilities, so in the absence of any contrary evidence, the auditor can assume that the trade payables (and other liabilities) that appear in the statement of financial position, do actually “exist”. The auditor will however, perform “cut off” tests at year-end, to confirm that purchases and creditors have not been overstated and have not been prematurely raised. Bearing in mind that if management are intent on overstating purchases/creditors to manipulate the financial statements, they would do it for material amounts, the auditor should:

- record the number of the last GRN for the year (cut-off number)
- select from the purchase journal, *material* purchases entered during the last two weeks of the year and trace to the relevant GRN and supplier delivery note (via the invoice), and
- inspect these documents to confirm that the GRN number is lower than the cut-off number and that the documents are dated prior to the year-end date.

These tests should reveal whether the company is holding the purchases journal “open” into the next financial year in an attempt to manipulate the figures at financial year-end. (Note: The intention of these tests is to determine whether the liability existed at year-end.)

11.6.4.3 Assertion: Accuracy, valuation and allocation – trade payables are included in the financial statements at appropriate amounts and related disclosures have been appropriately measured and described

The carrying value of trade payables will in effect be the total amount of trade payables (and accruals) because, unlike asset accounts, there is no need to write-down the balance (make allowances) for obsolescence, depreciation, impairments or bad debts.

- Agree the list of individual creditor's balances to the balance on the creditors control account.
- Agree a sample of individual creditor's balances on the list to the individual creditor's account in the creditors ledger.
- Agree the total of the accrual and creditors control accounts in the general ledger to the trial balance.
- Re-perform casts of the creditors control account, and the creditors list.
- Identify any debit balances on the creditors list, establish the reason with the purchases manager and consider whether the balances should be transferred to debtors.
- Select a sample of creditors (that includes the company's major suppliers) from the creditors list and obtain the year-end creditors reconciliations performed by the creditors clerks:
 - re-perform the casts of the reconciliation
 - agree balances on the reconciliation to the creditors statement and creditors listing
 - test the logic of the reconciliation
 - by inspection of the supporting documentation and by inquiry and confirmation, confirm the validity of reconciling items
- If applicable, select a sample of foreign creditors from the creditors list and by scrutiny of the supporting documentation (invoice), determine the amount owed to the creditor in the foreign denominated currency.
- Obtain from a financial institution or suitable publication, the applicable currency exchange rate at the financial year-end (spot rate), and
 - using the spot rate, compute the amount owed to the creditor at the financial year-end in local currency (rand)
 - compare this amount to the amount recorded for the creditor on the creditors list and, if necessary, request adjustment. The foreign creditor will have been raised initially at the rate ruling at transaction date i.e. the date on which the risks and rewards of ownership passed, and may require adjustment for any change to the exchange rate.

Note: The creditors balance will be written up or down, and the corresponding entry will be to an exchange loss or gain.

- Obtain a list of accruals from the client:
 - Cast the list.
 - Agree the total on the list to the account in the general ledger, the trial balance and the statement of financial position (the amount will be included in creditors).
- Agree amounts recorded on the accrued list to invoices, statements, etc., and re-perform any calculations, for example, leave pay accrual.

11.6.4.4 Assertion: Completeness – all trade payables and accruals that should have been recorded have been recorded, and all relevant disclosures that should have been recorded have been recorded

It is generally considered that completeness is the assertion most at risk of material misstatement as the company is more likely to understate its liabilities than overstate them. The auditor is therefore concerned about what is *not* in the account but should be, so completeness tests are focused on identifying unrecorded liabilities:

- Compare the list of creditors at the current year-end to the previous year-end, to identify:
 - creditors on the previous list who do not appear on the current list
 - creditors balances that are significantly smaller at the current year-end, and
 - by enquiry and inspection, determine and evaluate the reason.

- Inspect the creditor's correspondence file for correspondence relating to unsettled disputes with suppliers, and by discussion with management, determine whether any adjustments to creditors are required, for example, the audit client may be disputing the actual delivery or condition of the goods delivered and may not have raised the liability.
- If available, inspect the list of GRNs that were unmatched to invoices at year-end. (This list should have been obtained by the auditor at year-end when document cut-off numbers were taken.) Confirm, by inspection, that a journal entry raising the corresponding creditors at year-end has been passed, and that the amounts raised are correctly computed by:
 - obtaining the price of the goods received (from the order or pricelist or corresponding invoice if it has arrived), and
 - recomputing the amount owed.
- Select a sample of material purchases from the purchase journal for the month following the year-end and trace to the goods received note applicable to the purchase, to confirm that:
 - the GRN number is greater than the GRN "cut-off" number.
 - the dates on the GRN and supplier delivery note are *after* the financial year-end.
- Select a sample of large payments from the cash payments journal for the month(s) after the financial year-end and, by inspection of the GRN and delivery note, confirm that if the payment relates to goods or services received *prior* to year-end, the corresponding creditor had been raised at year-end.
- Inspect the work papers relating to creditors' reconciliations to identify any instances of reconciling items that result in understatement of the creditors balance, for example, a disputed amount prematurely written off, and follow up with management.
- Inspect the work papers from attendance at the inventory count and investigate any instances of physical inventory materially exceeding recorded inventory. This may indicate deliveries received prior to year-end that have been included in physical inventory but for which no entries in the records have been made (i.e. no goods received note or invoice from which to raise the liability).
- Inspect the general ledger accounts for periodic expenses to determine whether all amounts have been correctly accrued, for example, rent, electricity, have 12 debits to the expense accounts.
- Perform analytical procedures and follow up on any material fluctuations, for example:
 - current year purchases, creditors and accruals at year-end to prior years
 - trade payables as a percentage of current liabilities
 - trade payables days outstanding compared to prior years.
- Enquire of the financial accountant whether suppliers of services (as opposed to goods) who provided the service prior to year-end, have been raised as creditors.
- Inspect the creditors control account for unusual debit entries.
- If necessary, obtain confirmation of balances direct from a sample of creditors (i.e. conduct a positive creditors confirmation). It may be appropriate to obtain direct confirmations of:
 - nil balances
 - major creditors (to confirm that the balance is not understated despite being large)
 - balances that have significantly reduced since the prior year
 - creditors for whom there are no statements.
- Include reference to the completeness assertion for trade payables and accruals in the management representation letter.

11.6.4.5 Assertion: Classification

By enquiry of management and reference to the audit documentation on purchases and scrutiny of the trade payables account, confirm that:

- only amounts payable to trade creditors within twelve months have been included in the account, and
- that the balance on the account does not include amounts that should not be included, for example, short-term borrowings, provisions, bank overdraft.

11.6.4.6 Assertion: Presentation

By inspection of the notes to the financial statements, confirm that:

- disclosures are in terms of the applicable reporting framework, for example, trade payables are presented on the face of the statement of financial position under current liabilities
- any aggregations or disaggregations are appropriate and relevant
- disclosures are accurate in terms of the audit documentation (amounts, details, facts)
- disclosures are clearly described and understandable in the context of IFRS, IFRS for SMEs as applicable, for example, accounting policy relating to currency translation for foreign creditors, and
- all disclosures pertaining to trade and other payables as required are included.

11.6.5 The use of audit software (substantive procedures)

If the company's system is computerised and suitable software is available, it can be very useful to the auditor. The use of audit software to audit the creditors' masterfile is perhaps a little less effective than when using software to substantively test asset accounts. This is because with asset accounts, the auditor is concerned with what is included in the account, while with the creditors' balance, the auditor is more concerned with what is *not* in the records. However, the software can still be put to good use.

- The creditors masterfile can be cast (added) to obtain the total amount owing and a detailed list of creditors and their balances can be printed. The aging of creditors can also be cast and cross cast to the total.
- The masterfile can be scanned for "error" conditions:
 - blank fields, for example, missing account numbers, and
 - debit balances.
- The masterfile for the current year-end can be compared to the prior year masterfile to identify:
 - significantly reduced balances, and
 - creditors who no longer appear.
- The software can be used to extract samples, for example:
 - amounts above a certain amount, and
 - nil balances.
- The software can be used to extract lists of any creditors that can be identified by a particular field or code, for example, a creditor with whom the company is in dispute may be identified by the addition of a code to its record.

Note: The creditors masterfile will usually contain the following fields:

- account number
- name
- address and contact details
- total amount payable
- aging of total amount payable, and
- payment and discount terms.

11.6.6 Automated application controls in acquisitions and payments cycle

The auditor can also rely on automated application controls to test the acquisitions and payments cycle. Automated application controls apply to the processing of individual applications. They are "automated" or "automated with manual procedures" that operate at a business process level. Automated controls are controls designed to confirm completeness, accuracy and validity of processed transactions with a financial impact.

Depending upon the audit approach adopted (substantive or control based), the approach for automated application control tests may vary.

For example:

Should the IT general controls environment have limited findings and the control environment is considered effective, automated controls may be tested.

If the IT general controls environment is considered not effective, the auditor may still rely on automated controls but will need to test the access and change management around the automated application control embedded in the application.

The auditor should report on shortcomings identified in the existing processes as well as weaknesses identified during the review with recommendations to improve.

Some automated application controls to consider when testing acquisitions and payments cycle:

Purchasing approval levels

- Determine whether the application has been configured to incorporate specific approval limits and different authorisation levels when purchasing.
- Determine who has access to change the limits within the application.
- Have any changes been made to the limit configuration during the period under review?
- Have changes been authorised in the application?

Unmatched invoices

- Determine whether the application has been configured to match invoices to purchase orders when purchasing.
- Determine who has access to change the configuration within the application.
- Have any changes been made to the configuration during the period under review?
- Have changes been authorised in the application?
- Review report for unmatched purchase orders for trends and inconsistencies.

Creditors masterfile

- Determine who has access to change the vendor masterfile within the application.
- Have any changes been made to the vendor masterfile during the period under review?
- Have changes been authorised in the application?
- Perform a walkthrough of one change to a vendor masterfile assess the authorisation process of adding a new vendor.

Inventory and production cycle

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12.1 Accounting system and control activities

12.1.1 Introduction

Now that the revenue and receipts cycle and the acquisitions and payments cycle have been covered (in chapters 10 and 11 respectively), we move on to the inventory and production cycle. In practice, this cycle is given a number of different names such as the conversion cycle, the inventory and warehousing cycle, etc., so it is important to understand what happens in the cycle. The cycle deals with:

- the custody and safekeeping of inventory in whatever form it is, (i.e. goods held for resale or manufacture, and finished goods), and
- the recording of costs where a production/manufacturing process occurs.

Because of the diversity of business activities, each organisation will have its own specific requirements in relation to this cycle.

For example:

A wholesaler of consumer goods will be concerned only about sound controls over the receiving of inventory, keeping it safe and secure for the time that it is in the warehouse, and issuing the inventory to the retailer.

The physical form of the inventory is not altered; it comes in, is stored and it goes out when it is sold.

Another example:

A motor manufacturer, by contrast, has a far more complicated cycle to cope with. Component parts must be received and stored; they must then be issued to the production department for the manufacturing of the motor vehicle. Once this has occurred, the motor vehicle must be transferred to a finished goods storage area, from where it will be removed (issued) when sold.

When a company manufactures an item, it will be necessary to accumulate the costs applicable to producing that item. These consist of the costs of materials, wages incurred in manufacturing the items and production overheads. Part of this cycle's function is to control these costs. Broadly stated, production can take place on a "process cost" basis or a "job cost" costing basis.

- Process costing takes place when a large quantity of like items are manufactured on a production line, for example, hundreds of plastic chairs are being manufactured day after day.
- Job costing takes place when a unique item (an item with its own specifications) or a small number of the same item is manufactured as a job.

You will also come across combinations of the above, but the principles of controlling costs remain the same.

12.1.2 Objectives of this section of the chapter

The objective of this section of the chapter is to provide you with a basic understanding of how the cycle fits into the company's activities and why it is so important. We have also provided a broad description of control activities when the cycle also includes a production element.

12.1.3 Characteristics of the cycle

12.1.3.1 Heart of the business

For most businesses, inventory is the most important part of the organisation. The entire organisation is often shaped around the type of inventory in which the business deals, i.e., its plant and equipment will be specific to its production; the warehouse will be designed to store its inventory safely and securely and all the other cycles are dependent upon it. Obviously, it must be a product that has a market.

12.1.3.2 Effect on the financial statements

Inventory is usually the major component in the calculation of cost of sales, gross profit and net profit. It plays a prominent role in the fair presentation of the financial statements and for this reason material misstatement in inventory, in whatever form it comes, will often be pervasive to the financial statements. The accounting system and related control activities within the cycle must be well designed and strictly adhered to.

For example:

A strong control environment must be maintained and physical access controls must be in place. Many businesses have collapsed because they failed to control their inventory.

12.1.3.3 An internal cycle

This cycle has no direct interface with entities outside the company. The acquisitions cycle “puts in” the inventory and the revenue cycle “takes out” the inventory. Therefore, control in the inventory cycle requires good control within these two other supporting cycles.

For example:

If goods are not properly counted when they are received (part of the acquisitions and payments cycle), the warehouse will not be able to maintain accurate records.

12.1.3.4 A physical asset

Because the cycle deals with physical assets (as opposed to “non-physical” book assets, e.g., debtors), extensive physical controls are usually required. The reasons for this are obvious:

- inventory can be stolen for resale or use, a particular problem when the company deals in consumable items, such as clothing, foodstuffs, electronic goods, and
- physical assets can be damaged, for example, glass products can be broken, paper products destroyed by fire or water.

Many companies need to go to considerable lengths to protect their inventory and the list of physical controls is endless. Guards, electronic alarms, surveillance, armoured glass (jewellery stores), restricted access, air-conditioning, fire alarms and extinguishing systems are common methods. Eventually the cost/benefit requirement for internal control comes into play, and companies have to decide on the most effective manner of physically protecting their inventory while remaining within their budget.

12.1.3.5 Inventory fraud

Because inventory is so central to the fair presentation of the financial statements, directors of companies who wish to manipulate the profits and assets they are reporting can do so very effectively by manipulating the inventory balance at the year-end.

12.1.3.6 Diversity of inventory

The accounting system and related control activities must be able to deal with inventory that is diverse in nature, location, permanence and stage of development:

- Nature : easy to identify, for example, fridge, cricket bat, vehicle
: hard to identify, for example, chemicals, precious stones
: growing or moving, for example, plants, chickens, game
- Location : multiple warehouses
: obscure locations
: in the possession of others for example, customs, on consignment
: in transit
- Permanence : fresh produce
: products with expiry dates, for example, medicine
: technological obsolescence
- Stage of development : raw materials
: work in progress
: finished goods

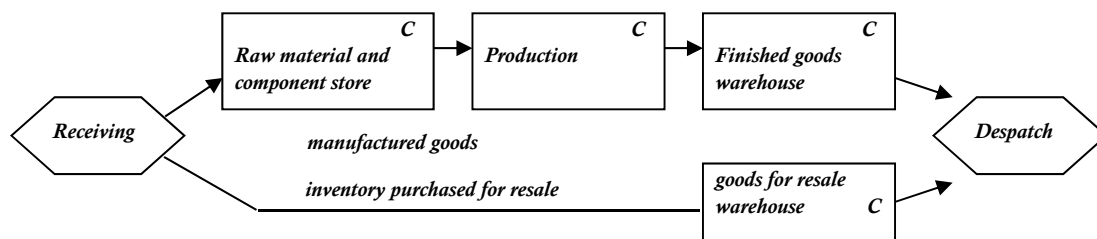
This diversity also has an effect on the auditor as the assertions relating to inventory are directly affected by its characteristics, for example, how does the auditor gather evidence about the *existence* of gas, the net realisable value (*valuation*) of products that are subject to rapid technological obsolescence, the *rights* to inventory held in someone else’s possession or the *completeness and existence* of inventory held at multiple and obscure locations?

12.1.4 Basic functions for any inventory and production cycle

As indicated earlier, the inventory and production cycle is an internal cycle that must achieve three things. It must:

- control the physical transfer (movement) of inventory (in its various forms)
- protect the inventory from damage, loss and theft, regardless of whether it is manufactured inventory or inventory purchased for resale, and
- plan, control and record the costs of manufacture.

The diagram below represents the cycle in a simple format. It illustrates that goods received from suppliers follow one of two paths, namely, to the raw material and component store, on to production and into the finished goods warehouse, or direct to the “goods for resale” warehouse. The diagram also indicates where a transfer takes place (arrowhead) and where physical controls over inventory are required (C).



12.1.5 Documents used in the cycle

This section outlines the commonly used documents used in the inventory and production cycle. This is not an exhaustive list, but it highlights the conventional documents that may be found in the cycle.

12.1.5.1 Goods received note

On transfer of inventory items (of whatever kind) from the goods receiving bay into the warehouse, the warehouse clerk will sign the goods received note that was made out when the goods were delivered by the supplier.

12.1.5.2 Materials (components) requisition, materials (components) issue note

A materials (components) requisition is a documented request to the warehouse to release materials or components to the production section, and a materials (components) issue note records the issue of materials to production.

12.1.5.3 Manufacturing or production schedules

These documents are used to notify the production/manufacturing department as to what is to be produced. What is to be produced will be decided by an analysis of future sales (forecasts), current inventory holdings of finished goods and specific orders or contracts that have been obtained. The analysis will be committed to a production plan.

12.1.5.4 Job cards

A job card is a document that tracks the stages of production for a specific job. As costs are accumulated, for example, raw materials used, labour hours expended, they are recorded on the job card. At a later stage, an overhead allocation can be made to arrive at the total cost of production.

12.1.5.5 Production report

Production reports are documents that are used to report results of production, output, wastage loss, etc., at identifiable stages or completion of production or for specific cost centres.

12.1.5.6 Costing schedule

A costing schedule is used to identify and quantify all the costs that it is anticipated will be incurred in manufacturing the company's products. It is in effect a “budget” against which actual production costs can be measured.

12.1.5.7 Transfer to finished goods note

This document records the transfer of manufactured goods from the production department into the finished goods stores.

12.1.5.8 Picking slip and delivery notes

You will recall from the revenue cycle that these documents are used to select goods ordered from the warehouse and to assist in controlling the movement of goods once they have been sold.

12.1.5.9 Inventory sheet

This is a document that is used during an inventory count. The inventory sheet will usually contain a description of each item of inventory, its location in the warehouse, and a column into which the quantity of items actually counted, can be entered. The document will usually also contain a column for entering the cost of the item and a column into which the extension of quantity $\times$ price can be entered, for example, 8 items $\times$ R40 cost = R320,00.

12.1.5.10 Inventory tag

An inventory tag is a small, numerically sequenced cardboard (or similar) tag, that is attached to the different types of inventory before an inventory count. It will be in two distinct, but identical parts that will each contain a tag sequence number, the inventory number and description, and an empty block into which the quantity of inventory on hand will be entered as the inventory item is counted. When the first counting team has counted the number of items for that particular inventory item, they will enter the number in the quantity block of one part of the inventory tag. They will then remove that part of the tag and hand it to the count controller. The second count team will perform a second count and follow the same procedure. The count controller will match the two parts of the inventory tag and any discrepancies will be recounted. This results in an accurate inventory count.

There are a number of variations of the tag system.

For example:

Some tag systems also contain a part that contains the tag number, inventory number and description and remains with the inventory item for identification purposes until the count is completed and all problems have been resolved (the basic principle remains the same).

12.1.5.11 Inventory adjustment form

The inventory adjustment form is a sequenced document that is used to record adjustments that must be made to correct the perpetual inventory records when actual inventory and theoretical inventory (per the perpetual inventory records) do not agree.

For example:

An inventory item that has been stolen will result in the actual “quantity on hand” being less than the “quantity on hand” recorded in the perpetual inventory records. When this is discovered, (by counting the inventory), the perpetual inventory records must be corrected.

The series of tables that follow expands on the functions, risks and control activities in the cycle. For each function, the documents are identified that may be used. Further, the business risks are described that may exist in each function.

12.1.6 Warehousing: Function, documents, risks and control activities

Warehousing: goods for resale, components for manufacture and finished goods					
Function	Documents/records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
- The purpose of this function is to: - Control the transfer of goods in and out of all warehousing facilities, for example, goods received from “receiving” to the warehouse for storage or finished goods received from production into the finished goods store.	- Goods received notes - Material (components) requisitions - Picking slip - Material (components) issue note - Delivery note - Transfer to finished goods note - Perpetual inventory records - Inventory count documentation	- No record is created of goods or components physically moved. - The transfer of the materials may be recorded inaccurately in terms of quantities and item codes.	- No inventory movement should occur without an authorising document, for example, picking slip, material requisition. - No movement of inventory should take place without the movement being recorded for example, a delivery note and material issue note. - Whenever there is a transfer of inventory between sections, for example, receiving section to warehouse, production to finished goods, both the deliverer and the receiver should acknowledge the transfer by, for example, signing the transfer document after having checked the description, quality and quantity of the items being transferred against the source documents. For example, warehouse personnel and production clerks to sign the material issue note after checking the quality, quantity and description of goods being transferred (isolation of responsibilities). - Documents should be sequenced and filed numerically. - Documents must be sequenced checked and missing documents investigated, for example, a missing GRN in the warehouse will probably indicate that the goods have not been transferred to the warehouse. - The accountant should check the recording of the inventory on the perpetual inventory system to ensure it has been accurately and completely recorded.	The transfer of the goods is appropriately recorded (completeness, accuracy, validity)	Classification of inventory

continued

Function	Documents/records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
		- Inventory shortages (including theft) are concealed. - Transfers are recorded that did not take place.	- Whenever there is a transfer of inventory between sections, for example, receiving section to warehouse, production to finished goods, both the deliverer and the receiver should acknowledge the transfer by, for example, signing the transfer document after having checked the description, quality and quantity of the items being transferred against the source documents. For example, warehouse personnel and production clerks to sign the material issue note after checking the quality, quantity and description of goods being transferred (isolation of responsibilities). - Documents should be sequenced and filed numerically. - Documents must be sequenced checked and missing documents investigated, for example, a missing GRN in the warehouse will probably indicate that the goods have not been transferred to the warehouse. - The accountant should check the recording of the inventory on the perpetual inventory system to ensure it has been accurately and completely recorded.	All the goods transferred are received and are not damaged (Validity, completeness).	Existence, completeness, accuracy and valuation and allocation.

continued

Function	Documents/records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Physically protect inventory in all warehouses. “Inventory” in production will also need protection but this is likely to be the responsibility of production personnel.	Inventory records used for reconciliation of physical inventory with recorded inventory	Inventory (in whatever form) is stolen or lost.	Physical controls (the nature and value of the company’s inventory will determine the physical controls that are put in place) - Entry and exit: minimum entry and exit points - Controlled entry and exit: swipe cards, keypads, turnstiles, gate control, biometric readers, security guards, X-ray (e.g., jewellery manufacturer) - Restricted entry: for example, buying clerks not permitted to enter warehouse, unaccompanied, only production employees allowed in production facility - Secure buildings: minimum number of windows, solid structure - Surveillance: cameras/video recording over production (e.g., where items are easily stolen off the production line), receiving and despatch areas. Comparison and reconciliation - Physical inventory (in all its forms) is compared to theoretical inventory per the perpetual inventory (see point 8 for a discussion of cycle counts and inventory counts). - Actual production is compared to the manufacturing or production schedules. - Actual production is compared to budgets. - All material variances should be investigated.	Inventory is properly safeguarded against theft (Validity)	Accuracy, valuation and allocation of inventory

continued

Function	Documents/records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
		- Inventory deteriorates in value due to: – inadequate physical controls, for example, gets wet, or – its nature, for example, foodstuffs, chemicals	- Environmental: areas to be dry, clean, neatly packed, pest free and temperature controlled where necessary - Inventory should be neatly packed	Inventory is properly safeguarded against damage (Accuracy)	Existence of inventory

12.1.7 Production: Function, documents, risks and control activities

Production: planning, controlling and recording costs The purpose of production is to manufacture the company's products.					
Function	Documents/ records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Determine the production needs	- Production schedules - Production reports - Production plan	- Manufacturing of too much inventory for which there is no suitable demand. - Manufacturing of insufficient inventory to meet demands.	- A production plan based on sales forecasts, sales budgets, inventory level of finished goods and orders from customers should be prepared by the production department - The production plan and production orders should be authorised and reviewed by the production manager	- The entity manufactures inventory that will be saleable. - The entity manufactures sufficient inventory to meet the demands of its customers. (Operation control)	- Accuracy, valuation and allocation of invention - Operational control
Requisition of the warehouse.	- Materials requisitions - Materials issue notes	- Unauthorised requisitioning or issue of materials (theft). - Requisitioning or issue of incorrect materials resulting in losses from wastage/ delays	- The factory personnel should prepare a raw materials requisition based on the quantities required on the production schedule - The factory manager should review and compare the raw materials requisition to the production schedule, - The factory manager should authorise the raw material requisition	- Only raw materials needed during the production process are requisitioned. - The factory as the correct raw materials during the production process	- Existence of inventory - Operational control
Transfer the items to a production facility.	Perpetual inventory record	The transfer of the raw materials to production may not be recorded.	The inventory clerk should record the transfer of raw material to the factory	All transfers of materials to production are recorded (Completeness)	Classification of inventory
	- Perpetual inventory record - Raw material transfer note	The transfer from the raw material to production may be recorded inaccurately (the quantities and item codes).	- Raw materials transfer note should be sequentially numbered. - The accountant should regularly review the sequence of the transfer notes recorded.	Transfers from raw materials to production are accurately recorded (Accuracy)	Accuracy, valuation and allocation of inventory
	- Perpetual inventory record - Raw material transfer note	Invalid transfers of inventory (therefore the transfer is recorded but no actual transfer took place).	The recording on the perpetual inventory system should be reviewed by the accountant to ensure that the recording is accurate and complete and that it agrees with the transfer note.	Only valid transfers of raw material to production are recorded (Validity)	Classification of inventory

continued

Function	Documents/records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
- Control costs during manufacture. - Record actual costs.	- Job cards - Production schedules - Production reports - Costing records	- Failure to monitor actual expenditures and identify variances between actual and budget. - The costs allocated to inventory could be incorrect calculated - The costs allocated to inventory could be invalid - The costs allocated to inventory could be incomplete.	- A costing schedule (budget) must be prepared for all products to be manufactured whether on a “job cost basis” or a “process costing basis”: - These schedules should be carefully compiled by costing personnel and should contain detailed listings of all materials to be used, expected labour costs and an allocation of production overheads. - The schedules should be sequenced, dated and approved by production personnel (signature). - The schedules may be used as the source document for purchase requisitions. - For job orders (job costing) the details on the costing schedule: - Should be transferred to “job cards” (job sheet) that: - are sequenced and dated - contain a list of materials to be used - are cross-referenced to a customer order/quote - are cross-referenced to a materials requisition and materials issue note - are cross-referenced to the daily production schedule, and - are authorised by the production manager. - While the job is in production, the job card should be held in a pending file and updated for labour hours as they are incurred. - On completion of the job, a sequenced “transfer to finished goods form” should be made out. This will: - accompany the goods to the finished goods store - be cross-referenced to the job card - be used to write up the finished goods perpetual inventory.	- The costs allocated to inventory are accurately calculated (Accuracy) - The costs allocated to inventory are valid expenditure applicable to inventory (Occurrence) - The costs should have been allocated to inventory are allocated (Completeness)	- Accuracy, valuation and allocation of inventory - Classification of inventory - Accuracy valuation and allocation of inventory - Accuracy valuation and allocation of inventory

continued

Function	Documents/records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
			- The job cards for completed jobs should be removed from the pending file and “costed”, for example, material prices and labour costs allocated and an overhead allocation made. - All calculations should be checked by a second clerk. - The job card should then be filed numerically. On a frequent and regular basis, supervisory staff or the production manager should sequence test the completed job card file to confirm that: - each card is cross-referenced to a “transfer to finished goods note” and to a sales invoice, and - missing job cards are for jobs still in the production stage. - Management should compare completed job cards to quotes and costing schedules, and investigate variances - For process costing: - All process runs must be recorded on manufacturing or production schedules that are: - sequenced and dated - cross-referenced to production plans - cross-referenced to material requisitions, and - authorised by the production manager. - As items come off the production line, a sequenced “transfer to finished goods form” should be completed for each day’s production or for every, say, 100 items produced. The “transfer to finished goods note” should: - accompany the goods to the finished goods store - be cross-referenced to the production schedule, and - be used to write up the finished goods perpetual inventory.		

continued

Function	Documents/records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
			- Performance reports should be used to measure performance by production shift, for example, wastage, quantities produced, damaged items. - Completed production schedules and performance reports should be sent to “costing” for allocating labour and overhead costs and for pricing of materials. (The normal method for doing this is by allocating <i>standard</i> material, labour and overhead costs.) - On a frequent and regular basis, management should date and sequence test the costed production schedules to confirm that: - the full quantity of production has been cross-referenced to “transfer to a finished goods form”, and - missing schedules are for goods still in production. - Management should review performance reports to evaluate the production activity and should follow up on inefficiencies, wastage. - Actual costs should be compared to standard costs and variances should be evaluated. - The following posting should be made from signed, costed production schedules: - raw material costs, direct labour and manufacturing overheads to the debit of work-in-progress, and - cost of goods manufactured to the credit of work-in-progress and the debit of finished goods. - All casts, extensions and calculations should be checked before posting.		

12.1.8 Inventory counts: Cycle counts and year-end counts

12.1.8.1 Cycle counts

One of the common control activities that has been discussed a number of times is the frequent comparison and reconciliation of actual assets with theoretical assets. The logic behind this is that differences can be timeously identified and investigated. Preventive measures can then be put in place to reduce the possibility of the problem that caused the differences from recurring.

For example:

If the quantity on hand of a (physical) item of inventory does not agree with the perpetual inventory records, there has either been a misplacement of the item, the item has been lost or stolen or the perpetual inventory records are incorrect because a receipt of goods has not been recorded. A follow-up may reveal that inventory is being stolen by sending out additional items when official orders are dispatched. Additional supervisory checks will then have to be put in place.

Companies that have large quantities and numerous items of inventory will normally perform what are referred to as *cycle counts*. Cycle counts amount to the ongoing comparison of physical quantities of inventory on hand, to theoretical quantities in the perpetual inventory records. It is essential that the company operates a perpetual inventory system of quantities of inventory so that actual inventory can be compared to theoretical inventory. The procedures to be adopted to conduct cycle counts are as follows:

- The timing of each count should be planned at the start of the year, for example, two days every three weeks, or at the end of every third month. (In very large companies, such as motor manufacturers, cycle counting can be almost a daily exercise.)
- The items to be counted must be identified. There are a number of ways in which this selection can be done:
 1. Random samples can be selected from the perpetual inventory records.
 2. Items that are susceptible to theft or have some other identifying characteristic can be chosen.
 3. High-value items can be selected, or
 4. The entire inventory population can be divided into sections so that all items are counted at regular intervals during the year.
 5. A particular section of the warehouse may be chosen.
- Once these matters have been settled, the physical inventory will be counted using an acceptable method of counting and sound count controls.
- The physical count quantity (actual) for each item counted will be compared to the theoretical quantity on the perpetual inventory records and all count discrepancies will be entered onto a sequenced inventory adjustment form.
- All discrepancies must be thoroughly investigated preferably by internal audit and the inventory controller.
 - Results of the investigations should be recorded on the inventory adjustment form.
 - The warehouse manager should review the forms and authorise the adjustments by signing the form.
 - Inventory adjustment forms should be filed numerically and should be sequenced checked regularly.
- The adjustment to the records should be made by a clerk who is independent of inventory custody, receiving and issue.
- Senior warehousing personnel should review the perpetual inventory records periodically and adjustments to the records traced back to the authorised inventory adjustment form.
- An overall analysis of the discrepancies over a period should be conducted to identify any trends, for example, frequent discrepancies in a particular section of the warehouse, so that suitable preventive measures can be put in place.

12.1.8.2 The year-end inventory count

For companies that do not operate perpetual inventory systems, the only way of ascertaining a closing inventory figure is to physically count the inventory and then to price it. Thus, the inventory count becomes a very important activity, as mistakes in establishing the quantity and pricing of inventory can have a material effect on the financial statements (the closing inventory figure affects profit, tax, current assets, etc.). Companies that perform cycle counts will also conduct a year-end count and pricing exercise (perhaps to a lesser degree)

also to establish an *actual* inventory valuation. As explained earlier in this chapter, there is an endless number of inventory types, and no two inventory counts are likely to be the same. However, there are some basic principles that should be adhered to in order to conduct a successful count. They are as follows:

Planning and preparation – this must take place timeously and should cover:

- date and time of the count
- method of counting: how the inventory will be counted and recorded, for example, tag system, all items counted twice
- staff requirements: how count teams are made up, for example, one person from the warehouse, one person independent of the warehouse (e.g., accounting department), how many teams are necessary as well as how many people are necessary
- supervision: who will act as count controller
- preparation of the warehouse: tidying racks, packing out half empty boxes onto racks, marking damaged goods, stacking like goods together, etc.
- drafting of warehouse floorplan to identify count areas for count teams, and
- identifying all locations and categories of inventory.

Design of stationery – various documents are used, and they should be designed along standard stationery design principles:

- inventory sheets: printed, numerically sequenced, reflect the inventory item number, category and location of the inventory in the warehouse, and have columns for first count, second count, discrepancies, and columns for prices and extensions (In many companies, counters may need to insert descriptions, etc., particularly where there is no form of perpetual inventory)
- in theory, quantities per the perpetual inventory should *not* be entered on the inventory sheet prior to the count (this forces counters to actually count to arrive at a quantity) but it may not be practical due to time constraints
- inventory tags: see explanation under “documents” earlier in this chapter, and
- inventory adjustment forms.

Written instructions – count information and instructions should be provided (in writing) for all members directly and indirectly involved in the count. The written instructions should cover:

- the identification of count teams and the responsibilities of each member of the team
- the method of counting to be used, for example, tags, double counts, marking counted inventory in two colours with chalk (reflecting the double count)
- identification of slow moving or damaged inventory as well as consignment inventory
- controls over issues to and returns of inventory sheets to the count controller
- procedures to be adopted if problems arise during count, for example, particular inventory items cannot be found, deliveries of inventory during the count, and
- detailed instructions concerning dates, times, locations.

Conducting the count – there are a number of variations on how the inventory count should be conducted but the following procedures should be followed:

- The count staff should be divided into teams of two, with one member of the team being completely independent of all aspects of inventory.
- All teams should be given a floor plan of the warehouse that should clearly demarcate the inventory locations for which they are to be held accountable.
- All inventory should be counted twice. One of the following methods can be adopted:
 - one member of a team counts and the other records, swapping roles thereafter and performing a second count in the same section to which they were assigned, or
 - count teams complete their first counts, hand their inventory sheets back to the count controller and sign for the inventory sheets of another section, thereby doing their second counts on a section already counted by another count team.
- As items are counted, they should be neatly marked by the counters, for example, second counters should use a different coloured marker. Alternatively, the tag system described under “documentation” can be used.

- Where count teams identify damaged inventory or inventory in an area of the warehouse that appears unused/excessively dusty, these inventory items must be marked as such on the inventory sheets (potential write-downs):
 - the contents of boxes where the packaging appears to have been tampered with, should be counted and the details noted on the inventory sheet.
- A few boxes should be selected at random in each section and the contents compared with the description on the label to confirm that the contents have not been changed/removed and the seal replaced.
- The count controller (and assistants) should:
 - walk through the warehouse once the count is complete and make sure all items have been marked twice or that the detachable portions of all tags have been removed
 - examine the inventory sheets to make sure that first and second counts are the same and agree to the quantities recorded on the perpetual inventory if there is one, and
 - instruct the count teams responsible for sections where discrepancies are identified to recount the inventory items in question.
- The count controller should obtain the numbers of the last goods received note, invoice, delivery note and goods returned note used up to the date of the inventory count.
- No despatches of inventory should take place on the date of the inventory count.
- Any inventory received after the count has begun should be stored separately in the receiving bay, until the count is complete and must not be put into the warehouse. This inventory must be counted and added to the inventory sheets after the count is complete.
- The counters responsible for the count sheets should:
 - draw lines through the blank spaces on all inventory sheets, and
 - sign each count sheet and all alterations.
- The inventory controller should check that this procedure has been carried out and should sequence test the inventory sheets to ensure that all sheets are accounted for.
- Count teams will only be formally dismissed once the count is complete and all queries have been attended to.

12.1.9 Computerisation in the inventory and production cycle

- In most companies the systems that interface with the inventory and production cycle will be computerised and will directly affect and be affected by the inventory masterfile, for example, purchase orders will be influenced by reorder levels held on the inventory masterfile. The actual creation of the purchase order will also depend on the data held on the masterfile, for example, only items listed on the inventory masterfile can be included in the purchase order. The quantity field on the inventory field will be automatically updated by the entry of purchases or sales transactions to provide up to date information pertaining to inventory.
- The inventory masterfile is a key requirement for the effective implementation of cycle counts as discussed previously.
- Many of the control activities pertaining to the production of a manufacturing company's products, for example, creating production schedules, costing schedules, accumulating and allocating costs can be done on the system using suitable software.
- The various functions in the cycle are likely to be on the company's local area network and the basic principles applicable to computerised systems will apply, for example, access control based upon the least privileged/need to know basis.
- Barcode scanning is also applied in the inventory and production cycle. Barcode scanners are connected to a company's software application. Therefore, the employees will not have to capture information for inventory items being moved. The barcode appearing on the inventory items can be scanned and the data read by the scanner is fed into the entity's accounting system in order to update these records for the movement of inventory.

12.2 Narrative description of the inventory cycle at ProRide (Pty) Ltd

12.2.1 Introduction

As ProRide (Pty) Ltd is a wholesaler of bicycles and accessories, it has a conventional inventory cycle, for example, goods are delivered to a designated receiving depot, subjected to various checks and transferred to the storage areas. The goods are suitably protected while in storage until they are sold. Goods to fill sales orders are selected using picking slips, placed in a picking area once picked, checked and transferred to despatch. Internal control at ProRide (Pty) Ltd is taken very seriously and the control over inventory is no exception. The company has in excess of a thousand different inventory items that range from complete bicycles (in boxes) to small individual bicycle parts. There are also expensive items such as top quality cycling helmets, gearing systems and bicycle computers for measuring speed, distance, etc. Most of the inventory items held by the company can be easily disposed of if stolen, so theft is a major risk that the company has to respond to.

The control activities that are described below are supported by a very strong control environment in the company as a whole.

For example:

All employees working in the cycle are properly trained and have good product knowledge (commitment to competence). There is a clear reporting structure within the cycle and individual employees are held accountable for their actions (organisational structure and assignment of responsibility). Senior management not directly involved in the cycle are frequently in the warehouse and will, from time to time, observe the various activities that go on in the cycle, such as the unpacking of a container of imported bicycles (management philosophy and operating style) that sets a good example and enhances control awareness.

Theft of inventory results in dismissal that emphasises the integrity and ethical values expected of all employees.

12.2.2 Segregation of duties

1. The cycle is “broken down” into the following functions: receiving goods, custody of goods, picking of goods and despatch. In the overall context of the company, the inventory cycle is separated from the functions of initiating sales orders or purchase orders.
2. The overall responsibility for all functions rests with Reg Gaard, the warehouse manager. He is supported by Patrick Adams (warehouse foreman) who is responsible for the team of pickers.
3. As the function of receiving does not warrant the appointment of a full-time receiving clerk, the despatch controller fills both roles. He has a number of assistants who report to him, and he in turn reports directly to Reg Gaard (warehouse manager).
4. There are a relatively large number of pickers whose duties are to:
 - receive goods from the receiving depot
 - pack goods into bins, boxes and onto shelves
 - pick goods to fill orders
 - pack goods into boxes for delivery (after goods have been checked), and
 - keep the storage areas neat and tidy and shelves properly labelled, etc.
5. Pickers are not allowed to assist with receiving goods from suppliers or despatch to customers, and receiving/despatch employees are not allowed to pick goods.
6. Patrick plays a supervisory role over the pickers and is responsible for checking the items picked once they are placed in the picking area.
7. Both Reg and Patrick Adams have read access to the inventory masterfile but do not have write access (segregation of custody and record keeping).
8. Reg does *not* have sole responsibility for authorising an inventory adjustment; final authority must come from the financial manager, Johan Els.

12.2.3 Approval and authorisation and isolation of responsibility

1. All movements of inventory must be supported by an authorised document, for example, the picking slip can only be generated off the (computer) system from an approved sales order, whereas delivery notes can only be generated from an approved (signed) picking slip.

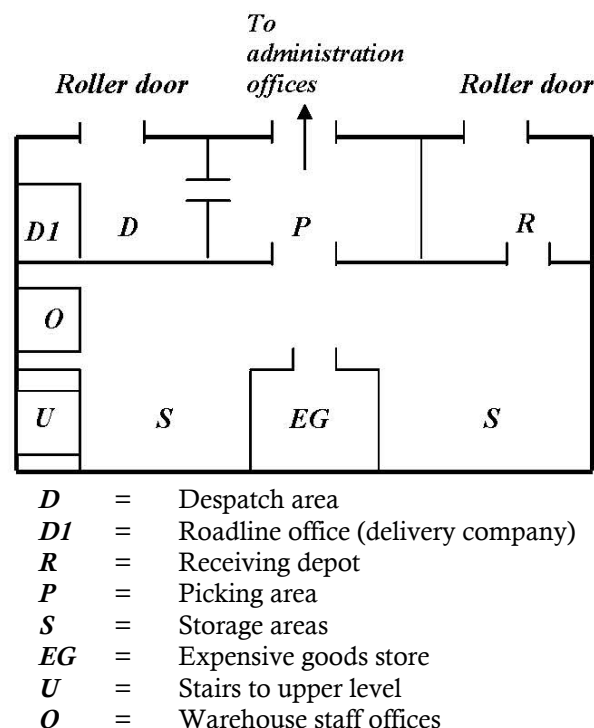
2. All adjustments to the masterfile arising out of the cycle counts must be approved by the warehouse manager and the financial manager.
3. The responsibility for receiving and despatch is isolated to the despatch controller as nobody else has access to the necessary applications and by the requirement that all relevant documentation be signed by him.
4. All employees are required to sign the document related to the procedure they have carried out to acknowledge having done so, thus isolating their responsibility for the procedure.

For example:

- pickers must sign the picking slip for the goods they have picked so any mistakes or problems can be tied back to the picker, and
- the warehouse foreman must also sign the picking slip to acknowledge (isolate his responsibility) for checking what has been picked before it is packed and transferred to despatch.

12.2.4 Access/custody controls

Layout and design features of the warehouse



- The ProRide (Pty) Ltd warehouse is located in one large structure adjoining (by controlled access) the administration building. As can be seen from the diagram, the warehouse has distinct areas for both “despatch” (D) and “receiving” (R) of inventory. Access to and from the outside is controlled by large steel roller doors that remain locked at all times other than when despatching or receiving takes place. The keys to these doors are under the control of Reg Gaard (warehouse manager) or Patrick Adams (foreman) at all times.
- The “despatch” and “receiving” areas are physically separated from the picking area and stores by one-metre high walls with glass to the ceiling. (This method of construction, that also applies to the warehouse staff offices, enables warehouse management to see what is going on within all areas of the warehouse at all times.) Access to the despatch section is from the picking area, *not* from the storage area, which makes it far more difficult to steal inventory by “sneaking” it from stores onto a delivery van.
- The picking area (where picked goods are placed prior to final checking and despatch) is separated from the storage area by brick and glass walls but the access between the two is not controlled. This is simply for practical purposes as pickers move from one area to another throughout the day.
- The expensive goods store is completely secure and is locked at all times. When expensive goods need to be “picked”, Patrick Adams (warehouse foreman) will unlock the store and observe the picking. Only he and Reg have access to the keys.

- The upper level is used exclusively for storing bicycles (in their boxes). A forklift is used to move boxes to and from this level. Storage of bicycles on the upper level has been done deliberately as it makes it extremely difficult for anyone to steal a boxed bicycle.
- Access to the warehouse for warehouse staff is via the controlled access (keypad) from the main administration building. Other employees are not allowed in the warehouse.
- The warehouse is not air-conditioned (the inventory does not require it!) but it is protected against fire by smoke detectors and sprinkler systems.
- Windows are kept to a minimum and are protected by grids and bars (so items cannot be thrown out of the warehouse). There is no camera surveillance as it is not considered necessary.
- Inventory is kept in clearly designated areas, for example, tyres, saddles, clothing and the various items are placed in suitably designated bins or boxes or on shelves. The item's inventory code is entered on the bin, box or shelf to facilitate accurate picking and inventory counts.

12.2.5 Comparison and reconciliation

12.2.5.1 Cycle counts

A very important control mechanism is the company's inventory *cycle count* system. The cycle counts take place every three months including year-end. The counts take place on a Saturday (no interferences, deliveries, despatches). All warehouse staff, certain administration staff, the financial manager, Johan Els, and Brandon Nel, the financial director, make surprise visits.

- The *external* auditors are required to be present for the entire count *and* to submit a full report on how the inventory count was conducted and how problems were resolved, *directly* to Brandon Nel during the subsequent week. (The company does not have an internal auditor.)
- Every single item is counted. Where a discrepancy arises, it is immediately investigated by a team under the control of Reg Gaard (warehouse manager). This may include determining whether the item has been misplaced or checking receipts and issue records for that item since the last count.

12.2.5.2 Adjustments to the inventory masterfile

- If a discrepancy is not resolved and an adjustment is required to correct the perpetual inventory (theoretical inventory), a sequenced "cycle count adjustment form" is completed, and signed by Johan and Reg. Details of the investigation into the discrepancy are noted on the form.
- As indicated above, Reg does *not* have write access to the inventory masterfile. The adjustment to the inventory masterfile is made by Dalene Burger (accounting supervisor) and a log of all adjustments is presented to the financial director (Brandon Nel) during the week subsequent to the cycle count. He will scrutinize this log, reconcile the adjustments to the supporting documentation and try to identify any trends in the discrepancies, for example, regular adjustments to tyre inventories.

Note 1: The same adjustment procedure will take place for any inventory items found to be damaged.

Note 2: The effectiveness of cycle counts depends to a great extent on the accuracy of the perpetual inventory records. We have emphasised in the other cycle chapters that ProRide (Pty) Ltd goes to great lengths to ensure that the information in its accounting system is correct. Because they achieve this, their cycle counts are very effective in the overall control of inventory.

12.2.6 Performance reviews and the use of logs and reports

As inventory is very much the heart of this business, the financial director (Brandon) spends a great deal of time analysing and interpreting inventory information.

12.2.6.1 Targets

To be in a position to review performance, targets are set by Brandon and Reg on an ongoing basis for activities in the inventory cycle. These include:

- Setting time limits for the despatch of goods from the time the sales order is put on the system. As the sales system is a real-time system, management can access the sales order file at any time to determine the status of a sales order. Complaints from customers are also closely monitored.
- Setting an "acceptable" margin for incorrectly picked goods (tracked through reports on the number of and reason for credit notes being issued).

- Setting “acceptable” margins for goods lost, stolen or damaged (tracked through logs on inventory adjustments).

12.2.6.2 Information

In addition to the information extracted to determine whether targets are being met, Brandon Nel will also extract a number of reports that help with the general management of inventory, including:

- total inventory holding
- details of inventory in transit
- actual inventory levels for any item
- actual gross profit margins made on sales, per inventory item, per inventory category
- anticipated gross profit margins on inventory held, per inventory item per category
- quantity of items sold to date including a breakdown of those sales by distinguishing feature, for example, make and model, colour (red bicycles may sell better than blue bicycles), and
- aging of inventory on hand, highlighting inventory that has been on hand beyond predetermined limits (say 90 days).

12.2.6.3 Meetings

As we have mentioned on many occasions, reports and logs are not much use if there is no follow-up on the information they contain. A weekly meeting between Brandon Nel (financial director), Johan Els (financial manager) and Reg Gaard (warehouse manager) is held to discuss any queries that Brandon might have arising out of the inventory information that is available to him.

12.2.7 Conclusion

The success of the control activities implemented can partially be measured in terms of the percentage of total inventory lost as a result of theft or damage and the efficiency of filling and despatching orders. At ProRide (Pty) Ltd this percentage is reasonably constant at less than half a percent of the total inventory value. Goods are despatched within 24 hours of a sales order being received.

12.3 Auditing the cycle

12.3.1 Introduction

An important part of the audit of a company's inventory cycle will be the procedures carried out to identify and assess the risk of misstatement at assertion level. This risk identification and assessment process is facilitated by carrying out procedures to obtain a thorough understanding of the client and the environment in which it operates. These procedures have already been covered in depth and will not be addressed in this section of chapter 12. Once risk assessment has been carried out, the auditor will be able to “assign” a level of risk to the individual assertions applicable to the account balance and thereafter plan the nature, timing and extent of *further* audit procedures. The objective is to devise an audit strategy and plan that reduce audit risk to an acceptable level.

12.3.2 Important accounting aspects of the inventory and production cycle

The International Accounting Standard on Inventories (IAS 2) is very important, as it provides the company and the auditor with definitions and the basic requirements for the methods with which inventory can be valued and how it should be presented and disclosed in the financial statements.

12.3.2.1 Definitions

- **Inventories** consist of:
 - assets held for sale in the ordinary course of business (finished goods and goods purchased for resale)
 - assets held in the process of production (work-in-progress), and
 - materials or supplies to be consumed in the production process (raw materials).
- **Net realisable value** is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

12.3.2.2 Inventory should be presented at the lower of cost and net realisable value

This acknowledges the important principle that the asset (inventory) should not be carried at an amount greater than is expected to be realised from the sale of the asset. Such a situation could arise where:

- inventory has been damaged
- inventory has become obsolete, or
- the selling price has declined to below the cost of the asset due to a drop in demand.

This has a direct effect on the auditor, who will need to perform procedures to determine whether inventory has been written down adequately to reflect any or all of the above.

12.3.2.3 Cost of inventories

The cost of inventories should consist of:

- all costs of purchase, including import duties and transaction costs that are not reclaimable (VAT is a reclaimable transaction cost), transport costs incurred in the acquisition of materials, goods for resale, etc.
- costs of conversion, for example, direct labour and production overheads, and
- costs incurred in bringing the inventory to its present location and condition, for example, costs incurred in designing a product for a specific customer.

It is also important to note that the following should be *excluded* from the cost of inventory:

- storage costs (unless these costs are necessary in the production process before a further production stage)
- administrative costs (other than those incurred in bringing inventory to its present location and condition), and
- selling costs.

The auditor will need to be satisfied that these three categories of cost have been written off as expenses and not included in the cost of inventory.

12.3.2.4 Cost of manufactured goods

- The allocation of overheads to the cost of manufactured inventory must:
 - include only fixed and variable *production* overheads
 - be based on normal capacity, and
 - must be allocated on a systematic basis that is reasonable.
- Abnormal amounts of wasted material, labour or other (abnormal) production costs should be excluded.

Note: The three exclusions listed in 12.3.2.3 also apply to manufactured inventory.

12.3.2.5 Cost formulae

IAS 2 permits the adoption of three cost formulae:

- specific identification
- weighted average, or
- FIFO.

It is important that the auditor understands the application of the cost formula adopted by the company as it directly affects the measurement of cost of sales and the valuation of inventory at the financial year-end, for example, the use of the FIFO formula assumes that the items that were purchased first are sold first. Hence those that remain in inventory at year-end will be valued by working backwards from the most recent price. Using weighted average, the valuation of the remaining inventory would be based on a weighted cost for that inventory.

Note: In addition to measuring the cost of inventory in terms of the actual cost incurred, IAS 2 also allows the use of standard costs and the retail method. However, the value of inventory arrived at by using these methods will only be acceptable for use in the financial statements where the cost determined approximates actual costs. Where standard costs are used, the company will end up with inventory valued at standard as well as some variances. It stands to reason that if the standard is wrong, the carrying value of inventory will

either be understated or overstated. The principle that inventory be presented at the lower of cost and net realisable value still holds, and if there is a problem with the “standard” cost, it must be addressed by scrutiny of the variances relating to the inventory. The following points are relevant:

- only variances that relate to inventory actually on hand at year-end can affect the value of that inventory (some of the variances will relate to inventory already sold), and
- variances that are a result of incorrect standard setting should be debited or credited to inventory and cost of sales to approximate actual cost (to comply with the requirements of IAS 2).

For example:

If, at reporting date, a company has an adverse material price variance (i.e., goods purchased at a price higher than standard), must the variance be written off as an expense or can it be added to the cost of inventory (that is at standard)? Any portion of the variance pertaining to inventory that has been manufactured or sold must be written off. If the remaining portion of the variance arises because the standard was incorrectly set, the cost of inventory should be adjusted to arrive at the true cost.

What about a situation where the standard is correct, but a variance has arisen as a result of an abnormal price having been paid for material?

For example:

Assume that a shortage of the material has temporarily pushed up the price and that such material was purchased just before year-end and will only be used in the new year. In terms of IAS 2, the standard cost can be used if it approximates actual costs. It would seem therefore that the price variance arising from this abnormal cost would have to be added to the cost of inventory at standard for financial reporting at the year-end.

12.3.2.6 Pricing of imported inventory

- The exchange rate at which purchased inventory must be recorded is the rate at transaction date (not payment date).
- Even if the exchange rate is different at the financial year-end, *no* change is made to the value of inventory at year-end.

Before moving onto the second part of the audit of the cycle, (i.e., the response to assessed risk), it is necessary to remind ourselves of the assertions relating to the transactions in the cycle and the related balance, (i.e., inventory balance).

12.3.3 Financial statement assertions and the inventory and production cycle

The auditor’s main concern with this cycle is that the asset (various categories of inventory) associated with the cycle is fairly presented in the financial statements. Earlier in the chapter we indicated that any material misstatement in the inventory balances will have a significant effect on fair presentation of both the statement of comprehensive income and the statement of financial position.

12.3.3.1 The assertions that apply to the inventory account balances and related disclosures

Inventory

Existence: Inventories exist at year-end.

Rights: The company holds the rights to the inventories.

Completeness: All inventories that should have been recorded have been recorded and all related disclosures that should have been included in the financial statements, have been included.

Accuracy, valuation

and allocation: Inventories have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments, for example, impairment losses have been recorded, and related disclosures have been appropriately measured and described.

Classification: Inventories have been recorded in the proper accounts.

Presentation: Inventories are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the applicable financial reporting framework.

12.3.4 Fraud in the cycle

12.3.4.1 Fraudulent financial reporting

As mentioned earlier in the chapter, inventory presents the directors with an effective opportunity for reporting fraudulently by manipulating the inventory balance. The inventory balance is used in the calculation of profit and in the statement of financial position and therefore its manipulation can have a pervasive effect, for example, on profits, important ratios and earnings per share. The directors may:

- **Include fictitious inventory** (existence). This will increase profit and current assets and improve related ratios.
- **Understate the write-downs of inventory for obsolescence, damage, etc.,** (valuation). This will have the same effect as above.
- **Exclude inventory that should be included and/or overstate inventory write-downs** (existence and valuation). This will have the opposite effect, and will only arise when the directors are attempting to make the company look less “valuable” than it is, for example, if they are planning a management buyout. This approach could also be part of an overall scheme to evade taxation.

There are hundreds of different ways of including fictitious inventory. As all directors know that the auditor will conduct *physical* tests on inventory, many inventory frauds require quite intricate planning and a lot of deception to create the “illusion” of inventory.

Generations of auditing students have learnt about the “Great Salad Oil Swindle” that, although it occurred over 50 years ago, illustrates how simple it is to hoodwink intelligent people (including auditors!) with schemes and scams to falsify inventory, and to what lengths directors might go to overstate inventory.

In this fraud, Tino De Angelis, founder of Allied Crude Vegetable Oil Refining Corporation of New Jersey, built up a huge edible oil empire. By the late 1950s, the company supplied more than 75% of the USA’s edible oil exports (over 100 million dollars per annum). The company used existing inventories as security for the finance necessary to fund future deals, and to effectively control world prices. Existing oil inventories were counted *weekly* and the finance for the future deals was advanced by the banks on the basis of documents certifying that the oil inventories existed. The financiers, who were present at the inventory counts, were misled in a number of ways, including:

- Interconnecting of oil tanks so that oil could be pumped from one tank to the next as the count proceeded.
- Some tanks had a thin “pipe” full of oil below the inspection hatch at the top of the tank, with the remainder of the tank being empty. When the measuring rod was inserted to check the level of oil in the tank, it obviously measured “full” as it had been inserted into the thin pipe of oil.
- Some tanks contained seawater, with only a small false chamber welded to the top of the tank containing oil.

These fraudulent activities were eventually discovered after oil prices collapsed due to De Angelis’ over-manipulation of the futures market. The financiers called in the credit extended for the futures deals and, when the company could not pay, they sought to liquidate the inventory that was certified as their security, only to find that most of it did not exist!

As pointed out earlier, employees who misappropriate inventory usually need to hide the theft from the management, internal auditors and the external auditors.

Likewise, where management are attempting to report fraudulently, they will probably need to get the inventory records and physical inventory to agree. Where inventory that has been stolen or never existed has been included in the inventory records, it can be “reconciled” with physical inventory by:

- including empty containers, for example, boxes, in the count
- hollow stacking, such as surrounding empty containers with full containers (hoping those testing physical inventory will not “unstack” the containers to check the contents)
- attaching an empty container to the shelf to make it appear heavy and thus appear to be full
- packaging bricks, etc., in proper inventory packaging

- re-packing defective or second-hand goods to look like new inventory
- altering (increasing) the “quantity on hand field” inventory count sheets *after* the count
- including inventory that is not what the records indicate it is, for example, stealing genuine Nike T-shirts or Oakley sunglasses and substituting them with cheap “lookalikes”
- borrowing inventory from a related party just for the inventory count
- having recently sold goods returned under false pretences for the purpose of the inventory count, for example, a motor vehicle
- double counting, for example, inventory in transit, multiple inventory locations
- obtaining false third-party confirmations from agents or related parties
- including consignment inventory belonging to others as company inventory
- manipulating year-end “cut-off” of purchases and sales
- including goods received in the physical inventory count but not in the records, and
- pre-invoicing and including the goods sold in the physical count as well.

12.3.4.2 Misappropriation of assets

In this cycle this normally simply amounts to straightforward theft! This presents the perpetrator with two challenges; firstly, how to get the goods and, secondly, how to hide the theft.

How to get the goods will depend on the following:

- The nature of the goods, for example, it is much easier to steal a small valuable item than a large “difficult to move” item.
- The physical control over inventory, for example, limited exits, surveillance cameras, etc., all make it more difficult.
- The extent of division of duties, for example, if a warehouse employee prepares documentation for despatch and picks and packs the goods for despatch, theft becomes much easier.
- The frequency of physical and theoretical reconciliations of inventory, (i.e., inventory counts). The more frequent and thorough these counts are, the harder it is to steal without being caught.
- The controls in the other cycles that directly affect the inventory cycle, for example, controls over receiving goods (acquisitions cycle) and controls over despatching goods (revenue cycle).

As indicated earlier, hiding the theft is also part of misappropriating inventory. There are numerous ways of doing this, but the best opportunity is presented when there is a lack of division of duties between record keeping for inventory and custody of inventory. If the perpetrators of the theft are able to amend the inventory records or issue documents such as goods returned notes, it will be simple for them to cover the theft. The situation will be exacerbated where the control environment is weak.

12.4 The auditor’s response to assessed risks

12.4.1 The auditor’s toolbox

In terms of ISA 500, the auditor has the following types or categories of audit test available to him:

- Inspection
- Observation
- External confirmation
- Recalculation
- Re-performance
- Analytical procedures
- Inquiry

These tests are not specific to a particular phase of the audit and can be used as risk assessment procedures, tests of controls or substantive tests.

12.4.2 Overall responses to the risk of material misstatement at the financial statement level

In terms of ISA 315 (revised), the auditor shall identify the risks of material misstatement at the overall financial statement level and at the assertion level for transactions, account balances and disclosures.

Further, a significant risk is an identified and assessed risk that, in the auditor's judgement, requires special audit consideration. This does not mean that the auditor needs to be familiar with a whole new range of audit procedures (have additional tools in his toolbox), but it does mean he will look closely at the nature, timing and extent of the further audit procedures as well as the skills and experience of the audit team.

In the context of this cycle, significant risks may include:

- the risks of fraudulent practices as discussed in point 12.3.4 above
- the risk that inventory is not valued correctly, and
- the risk of the overstatement of inventory balance at year-end.

In terms of ISA 330, the auditor must implement **overall responses** to address the assessed risk of material misstatement at the financial statement level.

For example:

- Assigning more experienced staff to the audit. This could be a response to the risk of manipulation of the financial statements by overstatement of the inventory balance.
- Emphasising to the audit team the need to maintain professional scepticism, for example, to be alert to the possibility that inventory may not exist as it is stored at various locations.
- Providing more supervision.

12.4.3 Responding to risks at the assertion level

The auditor's **further audit procedures** will be a mix of **tests of controls and substantive tests**. When assessing risk at the assertion level, there is an underlying expectation on the part of the auditor that the controls are operating effectively and essentially that they provide a foundation from which the substantive tests can be developed. Simply expressed, if the controls are very strong, the auditor can place more reliance on the totals and amounts produced by the accounting system and will be able to perform less substantive testing and possibly substantive tests of a different nature. Timing of substantive testing could be also affected.

12.5 Audit procedures – Tests of controls and substantive procedures

12.5.1 Tests of controls

The auditor's main focus is normally on substantive testing of the inventory balance. However, some tests of controls will be carried out and will centre on the following:

- **observation** of the inventory count
- **inspection** of reconciliations and cycle count amendment forms for cycle counts carried out during the year, to determine frequency and materiality of discrepancies and how they were resolved, and for authorising signatories
- **observation** of warehouse controls to determine the effectiveness of:
 - access control (custody and safekeeping), and
 - controlling inventory movement
- **inspection** of records controlling inventory movement.

For example:

- a sample of requisitions and materials issue notes for:
 - authorising signatures, and
 - cross referencing to job cards
- a sample of inventory movements per the perpetual inventory records to “transfers to finished goods notes”, and
- **inquiry** of production and warehousing as to what control procedures they actually perform.

12.5.2 Substantive procedures

Many of the tests that are carried out as tests of controls will be dual-purpose tests and will supply some evidence relating to the accuracy of the inventory records. The auditor's objective is to satisfy himself that the quantities of inventory at year-end are correct, and that the cost formula has been correctly applied. In

addition, the reasonableness of any write-downs of inventory must be evaluated. All of this will be achieved by the application of substantive audit procedures on the year-end inventory account balances.

The performance of year-end procedures is usually broken down into two distinct phases, namely:

- attendance at the year-end inventory count (mainly *existence*, but some evidence of *completeness* and *valuation* is gathered), and
 - the subsequent audit of the carrying value (*accuracy, valuation and allocation, rights to the inventory and the presentation of inventory*).
- (a) Attendance at the inventory count is both a test of controls and a substantive procedure. The auditor will be gathering evidence about the effectiveness of the control procedures put in place to establish the quantity of inventory actually held (test of controls). At the same time, the auditor will be gathering substantive evidence about:
- the *existence* of the quantity of inventory recorded, by testing from the records to the physical inventory
 - the condition of inventory (*valuation*) by inspecting and looking for damaged/obsolete items, as well as evidence of slow-moving inventory, and
 - the *completeness* of inventory by testing from the physical inventory to the inventory records.
- (b) The subsequent audit procedures, (i.e., after the inventory count), will be substantive in nature.
- (c) Another important procedure that is carried out at the inventory count will be the recording of the last document numbers for all documents used, for example, goods received notes, issue notes, delivery notes, etc., to facilitate “cut-off” testing. From an inventory perspective, it is important that the *recorded* movement of inventory matches the *physical* movement of inventory up to reporting date.
- (d) A list of goods received notes numbers that have not been matched to suppliers’ invoices at the year-end should be obtained. This will be used later for testing the completeness of creditors.

12.5.3 Substantive procedures – Inventory count attendance

As attendance at the inventory count is an important procedure, we will deal with it separately:

- (a) **Prior to the inventory count**, the auditor should do the following:
- Liaise with the client about date and times of the inventory count.
 - Confirm all locations at which the client holds inventory (by enquiry, reference to prior year work-papers) and if necessary, visit the locations.
 - Perform administrative planning, for example, organise audit staff to attend.
 - Obtain and review a copy of the written instructions given to the client’s count teams (see “inventory counts”).
 - Enquire whether the client has any inventory that should *not* be included in the count, for example, consignment inventory, inventory already invoiced but not yet delivered or collected. Establish how this inventory is physically identified.
 - Brief the audit staff allocated to the count on their responsibilities.
- (b) **During the inventory count**, the auditor should:
- Observe inventory-taking procedures to ensure that the client’s written instructions are adhered to.
 - Walk through the warehouse and identify inventory that is obsolete or damaged or appears to be slow-moving, for example, dusty, old packaging, etc. The inventory number, description, location and quantity should be recorded on a workpaper and traced to the inventory sheets to confirm that these items have been marked as damaged/obsolete.
 - Conduct test counts on the inventory in the warehouse in both directions, making sure all sections and categories are tested, that is:
 - from inventory sheets to physical inventory (*existence*), and
 - from physical inventory to inventory sheets (*completeness*).
 - Resolve discrepancies in test counts before conclusion of the count by recounting with the client staff and confirming that amendments are made to the inventory sheets where necessary.

- Test the numerical sequence of the inventory sheets both before and at the conclusion of the count to ensure that all inventory sheets are accounted for.
 - Confirm by enquiry of inventory counters and inspection of the inventory sheets that inventory that should *not* be included in the client's inventory has been excluded.
- (c) **At the conclusion of the count**, the auditor should do the following:
- Inspect inventory sheets to confirm that:
 - lines have been drawn through blank spaces (so that items cannot be added)
 - alterations/corrections have been signed, and
 - inventory sheets have been signed by the counters responsible.
 - Create audit records in respect of the inventory count attendance by:
 - taking copies of all inventory sheets (hardcopy or digital)
 - recording observations as to the client's count procedures
 - recording results of all test counts performed by the audit team, and
 - recording any damaged, obsolete or slow moving inventory.
 - Record cut-off numbers for all documents used in the inventory and production cycle.
 - Compile a list of goods received notes that have not been matched to supplier invoices.

The next stage in the year-end audit of inventory can commence at any time depending on the reporting deadline for the audit. The important point is that the inventory count must have provided sound evidence that the quantities and description of inventory that was on hand at reporting date are accurate. The client will now be in a position to make any adjustment necessary to the perpetual inventory records and "price" the inventory on hand.

12.5.4 Substantive procedures – Post inventory count

12.5.4.1 Assertion: Rights – the company holds or controls the rights to the inventory

- Enquire of management as to whether any inventory is held on consignment for other parties.
- Obtain a listing of inventory of goods in transit at the financial year-end and inspect relevant orders/contracts to determine whether ownership has passed to the client by scrutiny of the terms of purchase, for example, FOB, CIF.
- Establish whether inventory is in any way encumbered (e.g., offered as security) by:
 - discussion with management
 - inspection of bank confirmations
 - review of directors' minutes, and
 - review of correspondence/contracts with suppliers and credit providers.
- When performing the pricing procedures for the valuation assertion (see below), inspect invoices to ensure that they are made out to the client (this will also have been done when testing purchase transactions).

12.5.4.2 Assertion: Accuracy, valuation and allocation – inventory is included in the financial statements at appropriate amounts

To establish the value of inventory, the client will have to multiply the quantities confirmed at the inventory count by the cost price of the item, using the correct cost formula. Once this is done the allowance for inventory obsolescence must be established.

Arithmetic accuracy

- Compare the quantities of inventory items on the auditor's copies of the inventory sheets to the client's priced inventory sheets (to confirm that the client has not altered the quantities).
- Test the arithmetical accuracy of the inventory sheets by re-performing all extensions (quantity $\times$ cost) and casting the extension column (total inventory value).

- Review inventory sheets for any negative “inventory item values” (should not be any).
- Compare the total inventory value per the inventory sheets to the general ledger and trial balance.

Pricing inventory purchased locally

- Using the sample selected for inventory items that were test counted at the inventory count (or another sample):
 - trace to relevant suppliers invoices to establish whether the correct purchase prices have been used in obtaining the cost in terms of the cost formula used by the company,
For example:
For FIFO, if there are 10 items on hand, and the most recent invoice was for 8 items at R200 each and the invoice prior to that was for 12 items at R190 each, the 10 items on hand would be valued at
$$\begin{array}{l} 8 \times \text{R}200 - \text{R}1600 \\ 2 \times \text{R}190 - \text{R}380 \end{array}$$
 - re-perform the weighted average calculation (if this basis is used by the client) and compare result to the weighted average price used by the client, and
 - by enquiry of the costing clerk and inspection of invoices from transporters, establish that relevant carriage costs have been included in unit cost calculations.

Pricing imported inventory purchases

For a sample of imported high-value items, obtain the relevant suppliers invoices/shipping contracts and costing schedule, and re-perform the unit cost calculations for the sample of imported items and verify that:

- the correct exchange rate was used to convert the foreign currency to rand (rate at date of transaction should be used. This rate should be confirmed by enquiry of a financial institution)
- the appropriate import and customs duties and shipping charges were included (obtained from shipping agents invoices), and
- the allocation of the above costs to the individual inventory items purchased is reasonable, and accurately performed.

Note: A company that imports inventory will usually have a “costing schedule” that provides the details of how the cost of the imported goods was arrived at. The auditor would use this as the basis for auditing unit cost. Amounts used in the calculation would be traced to supporting documentation, for example, shipping agent’s invoice, supplier’s invoice.

Note: For the performance of pricing tests, it may be necessary to trace suppliers’ invoices, etc., prior to the most recent ones. The goods actually on hand may have been purchased on two or three occasions at different prices.

Pricing manufactured goods

- Enquire of appropriate personnel and inspect documentation used in the costing exercise to gain an understanding of the costing method used.
- Determine whether it is consistent with prior years and remains appropriate for the business.
- Where a standard costing system is used:
 - determine the appropriateness of the standard setting process (including adjustments to standards) by discussion with management and inspection of budgets, historical records, and
 - evaluate the treatment of variances at year-end to confirm in particular that the value of inventory has not been inappropriately increased.
- By inspection of the costing schedules and supporting documentation:
 - agree description of materials used and prices thereof
 - agree labour costs to payroll records (rates and hours charged)
 - confirm that the allocation of overheads includes only fixed and variable production overheads
 - confirm that the allocation of overheads is based on normal capacity, and
 - confirm that the allocation of overheads is on a systematic basis that is reasonable.

- Confirm that costs that do not qualify as costs of conversion have not been included, for example:
 - administration overheads
 - selling expenses, and
 - abnormal amounts of wasted material, labour or other production costs.
- Confirm that under and over recoveries of production overheads are correctly treated in terms of IAS 2 (through the statement of comprehensive income).
- Re-perform all casts and calculations.

Note: The same procedures will need to be adopted to value work-in-progress at reporting date. However, there is the additional problem of establishing the stage of completion of the goods being produced. It is possible that there will be numerous items still in production and at various stages in production. Consider a motor assembly line that may have 500 vehicles on the production line at the “close of business” on reporting date. For financial reporting purposes, the value of materials, labour and overheads expended on those cars in their various stages of completion, for example, engine assembly, trim, paint shop, etc., at reporting date will have to be calculated. It is the client’s responsibility to produce a schedule of work-in-progress and the audit thereof will be performed using conventional tests of controls (to test the way in which the client “puts the figure together”), and substantive tests.

In addition, complex work-in-progress may require that reliance be placed by the auditor on the work of an expert or internal audit. This is covered in chapter 16.

Lower of cost/net realisable value

- Using a sample (possibly one already extracted), verify the selling price of inventory items by:
 - reference to sales lists, and
 - reference to the most recent sales invoice for the particular item.
- Compare sales prices on invoices for a small sample of sales made in the post reporting date period to the cost prices on the inventory sheets. This provides evidence of the most up to date realisable value.

Inventory obsolescence allowance

- Discuss with management:
 - the process used to determine the obsolescence allowance and evaluate the process for reasonableness and consistency with prior years, for example, is a fixed percentage used each year (only acceptable if there is strong historical evidence to support it) or is a detailed analysis carried out?
 - any procedures in place for the approval of the final allowance, for example, is the allowance approved by the financial director after consultation with the warehouse manager?
 - any specific events that may have occurred during the year that may have an impact on the allowance, for example, a flood may have damaged some inventory items, and
 - any specific inventory items that may already be obsolete (or soon will be) and how this has been recognised in calculating the allowance for obsolescence.
- Perform analytical procedures to give a general overview as to the reasonableness of the allowance by comparison of current year figures and/or ratios to prior year figures/ratios, for example:
 - the allowance itself
 - the allowance as a percentage of total inventory
 - inventory turnover ratio, and
 - days’ inventory on hand.
- Assess indicators of obsolescence problems such as no recent sales or purchases of particular items, products that have reached their sell by dates in the post reporting period, or correspondence relating to inferior products supplied to customers.
- Re-perform the aging of inventory by tracing back to source documents.
- Compare allowances raised in prior years to actual write-offs in subsequent years (to determine “accuracy” of management’s allowances).
- Review working papers from year-end test counts to ensure that inventory items identified as damaged/obsolete/slow-moving have been included in the allowance.
- Re-perform any calculations of the inventory obsolescence allowance and discuss the reasonableness of the allowance in terms of evidence gathered with management.

12.5.4.3 Assertion: Completeness and existence (all inventory that should have been recorded, has been recorded, and inventory included in the statement of financial position actually exists, i.e. is not fictitious)

The primary evidence for these two assertions is gathered when attending the inventory count as described earlier. Additional but superficial evidence will be provided by analytical review. “Cut-off” tests performed when auditing the revenue and receipts cycle and the acquisitions and payments cycle will provide evidence that all inventory that was purchased has been included and inventory that had been sold, has been excluded.

12.5.4.4 Assertion: Classification

By enquiry of management and inspection of inventory (at the count) and/or observation of the manufacturing process, confirm that inventory included in the account balance, satisfies the definition of inventory, i.e., the asset is held for sale in the ordinary course of the company’s business or in the process of production for such sale in the form of materials or supplies to be consumed in the production process.

12.5.4.5 Assertion: Presentation

- The auditor must inspect the financial statements to confirm that:
 - inventories appear as a separate line item under current assets on the face of the statement of financial position net of impairments, and
 - the disclosure in the notes reflects inventories before and after impairment allowances, as well as any other required information.

For example:

 - encumbrances
 - accounting policy
 - cost formula
 - reversals of any previous inventory write-downs, and
 - cost of inventories recognised as an expense and included in cost of sales.
- By inspection of the AFS and reference to the applicable reporting standards, for example, IAS 2, and the audit documentation, confirm that:
 - disclosures are consistent with the evidence gathered (amounts, facts, details)
 - any disaggregation of the balance reflected in the statement of financial position is relevant and accurate, for example, inventories have been correctly broken down into raw materials, WIP and finished goods as applicable
 - the wording of disclosures is clear and understandable, for example, inventory accounting policy note, and
 - all required disclosures have been included.

12.5.4.6 General: All assertions

- Perform an overall analytical review of inventory by comparing current year figures and ratios with the corresponding figures of prior years.

For example:

 - total inventory
 - total inventory by category or location or source (local/imported), and
 - inventory as a % of current assets, total assets.
- Include reference to inventory, particularly the allowance for obsolescence, in the management representation letter.

12.5.5 The use of audit software (substantive testing)

When the client has a computerised system and suitable audit software is available, extensive use can be made of it to enhance the audit of inventory. What can actually be done by the software will depend on the information that is available on the masterfile. Normally the inventory masterfile will contain, at least, the following fields:

- inventory item number
- inventory description
- category
- location
- imported/local
- approved suppliers
- quantity on hand
- unit selling price
- unit cost
- date of last receipt and GRN number
- date of last issue and document number
- inventory item value (quantity × unit cost)

The following appendices provide a simple illustration of how audit software can be used to assist in the audit of inventory:

Appendix 1: Inventory masterfile

A SCHEDULE OF INDIVIDUAL INVENTORY ITEMS EXTRACTED FROM THE INVENTORY MASTER FILE OF DO-IT (PTY) LTD AT 31 MAY 0003

Item code	Description	Supplier code	Quantity	Unit cost R	Value R	Selling price R	Date of last sale month/year	Date of last purchase month/year	Quantity sold year to date
T0101	Bosch electric drill	DR649F	18	320	5760	975	5/0003	2/0003	36
T0301	Dekker router	PQ417	14	425	5950	1025	8/0002	6/0003	2
G041	Wheelbarrow	LG7	104	108	11232	196	5/0003	4/0003	712
H415	Metal ladder	CL413	-3	140	-420	392	3/0003	11/0002	47
H436	Basin set	BR200	14 62	490 545	6860 33790	740 740	5/0003	3/0003	226
T0491	Flatbed planer	PQ472F	8	4320	34560	6500	11/0002	6/0002	1
G093	Trimmer	WP293	32	1140	36480	1000	1/0002	4/0002	0
H481	Geyser 200L	CG321	-45	-630	28350	1960	3/0003	1/0003	40
T461	Arc welder	YP731F	4	8209	65672	12450	6/0002	3/0001	2
G126	Irrigator	WW373	0	1299	0	1850	2/0003	4/0003	10
T = Tools G = Garden H = Household F after Supplier Code = Foreign Supplier Unit cost is Fifo (Master file has been simplified)									

Appendix 2: Procedures using audit software

PROCEDURES THAT MAY BE CONDUCTED ON THE INVENTORY MASTER FILE OF DO-IT (PTY) LTD USING AUDIT SOFTWARE

Procedure	Assertion	Example/Notes
1. Stratify population by item category and value (The same stratification could be done for imported/local items.)	General	Can be used for: planning inventory counts analytical procedures, and selecting samples
2. Scan the entire master file and produce reports of “error conditions” for follow up: 2.1 blank fields 2.2 duplicate item codes 2.3 negative quantities or negative unit costs 2.4 negative quantities and negative unit costs 2.5 quantity field is zero but date of last purchase is more recent than date of last sale 2.6 items with amounts in the value field but 0 in the quantity field, and 2.7 date of last sale or last purchase is after year-end	– Existence Valuation cost Valuation cost Completeness/valuation cost Valuation cost Existence/completeness	Nil H415 H481 (note value field) G126 Nil T0301
3. Select samples: 3.1 pricing, and 3.2 inventory count	Valuation cost Existence, valuation (cost and write down)	1. Random 2. High value 3. High quantity 4. Imported 5. Old inventory
4. Re-perform 4.1 quantity × unit cost calculation and compare to value field for each item (report of differences), and 4.2 cast of value field for entire file	Valuation cost	T461
5. Analyse inventory master file by extracting listings of: 5.1 inventory items for which unit cost exceeds selling price 5.2 inventory items for which date of last sale is, say, 9 months prior to year-end and date of last purchase is within two months of year-end 5.3 inventory items for which date of last sale and date of last purchase are, say, 9 months prior to year-end 5.4 inventory items where quantity on hand is, say, 5 times greater than “quantity sold to date”	5.1 to 5.4 provide evidence for determining write-downs (valuation)	G093 TO301 G093, T461 T0491, G093

12.6 Automated application controls in inventory

The auditor can also rely on automated application controls to test inventory. Automated application controls apply to the processing of individual applications. They are “automated” or “automated with manual procedures” that operate at a business process level. Automated controls are controls designed to confirm completeness, accuracy and validity of processed transactions with a financial impact.

Depending upon the audit approach adopted (substantive or control based), the approach for automated application control tests may vary.

For example:

Should the IT general controls environment have limited findings and the control environment is considered effective, automated controls may be tested.

If the IT general controls environment is considered not effective, the auditor may still rely on automated controls, but will need to test the access and change management around the automated application control embedded in the application.

The auditor should report on shortcomings identified in the existing processes as well as weaknesses identified during the review with recommendations to improve.

Some automated application controls to consider when testing inventory:

Inventory formulae

- Determine the cost formulae and whether the rules have been configured in the application.
- Determine whether the inventory formulae/rules align with the policy.
- Determine who has access to the inventory formulae configuration in the application and whether the access is limited to authorised personnel only.
- Have changes been made to the inventory formulae/rules in the application during the period under review?
- Have changes been authorised in the application?
- Perform a walkthrough of one to determine whether the inventory formulae/rules are accurate.

Master data

- Determine who has access to the inventory masterfile/cost price.
- Have changes been made to the masterfile in application during the period under review?
- Have changes been authorised in the application?
- Perform a comparison test to compare inventory prices year on year and review significant discrepancies.

Inventory ageing

- Stratify the age analysis through analytics.
- Review the inventory age analysis for inconsistencies and aged inventory.

Inventory impairment

- Perform analysis of inventory listing and determine inventory that should be classified as “obsolete” or slow moving.
- Assess whether the application has been configured to perform inventory impairment.
- Determine whether the inventory impairment rules align with the policy.
- Determine who has access to the inventory impairment configuration in the application and whether the access is limited to authorised personnel only.
- Scrutinize the write-off report to determine whether inventory was written off by authorised individuals and whether there are inconsistencies with the write-offs.
- Have changes been made to the configured impairment rules in the application during the period under review?
- Have changes been authorised in the application?
- Perform a walkthrough of one to determine whether impairment rules are working

Impaired inventory

- Determine what the inventory write-off process is. Is there a possibility that the inventory can be written off and sold for own profit?

Journals

- Determine who has authorisation to process journals relating to inventory within the application.

Foreign inventory

- Foreign/imported inventory has been captured at the correct forex rate, at spot on the first day the recognition should have occurred.
- Determine whether the application has been configured to receive daily currency exchange rates that would have been applied to imported inventory.
- Who has access to change the currency rate configuration in the application?
- Have any changes been made to the configuration during the period under review?
- Perform a walkthrough of one inventory item to determine whether the forex calculation is accurate.

Payroll and personnel cycle

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13.1 Accounting system and control activities

13.1.1 Introduction

The payment of salaries and wages is an integral part of any business, and as it is a cycle that results in an outflow of funds from the business, it is extremely important that the accounting system and related control activities are sound, to prevent what can amount to significant misappropriations of funds. The major differences between salaries and wages are:

- Salaries are expressed as a fixed monthly amount while wages are calculated based on the hours worked by the employee. Thus, salaried employees are seldom required to “clock” in and out.
- Salary earners are not usually paid for working overtime, while wage earners are usually paid overtime and at an increased hourly rate.
- Salary earners are usually paid by direct transfer of funds into their bank accounts, while wage earners in some situations, are still paid in cash. However, paying wages directly into the employee’s bank accounts is also common practice.
- Salaries are paid monthly while wages are paid weekly or every two weeks. In larger organisations there is a distinct trend towards paying hourly paid employees monthly (or four week blocks) because it is more efficient and cost effective to produce a monthly payroll than to produce a weekly or bi-weekly payroll.

13.1.2 Objective of this section of the chapter

Our objective in this section of the chapter is to provide you with the necessary information on how wage and salary systems work. Our approach is to provide a thorough knowledge of a manual system and then to illustrate how things may change as computerisation is introduced into the system. Remember that computerisation does not change what is required of the system, (e.g., recorded hours worked, calculation of amounts to be paid), but it does change how the process works.

13.1.3 Characteristics of the cycle

13.1.3.1 Major expense

The cycle controls what is to most businesses, a major expense.

13.1.3.2 May involve cash

Although many businesses are moving away from using cash to pay wages by making payments directly into employees’ bank accounts, there are businesses (usually smaller) that pay wages in cash. This presents a risk to both the business and its employees, for example, theft from the company, or armed robbery of employees.

13.1.3.3 Susceptibility to fraud

Salary and wage frauds are not uncommon. The reasons for this are reasonably straightforward:

- In businesses that pay wages in cash, cash may be very tempting to some employees. If there is a poor control environment and inadequate supervision/division of duties, as may be the case in many smaller entities, the relative ease of misappropriating cash makes it very tempting to do so.
- The “rewards” of perpetrating a payroll fraud can be considerable.

For example:

Tyres-and-Wheels (Pty) Ltd has a large workforce, fluctuating at 3000 employees. Due to weaknesses in the company’s system of internal control, it is reasonably easy to include an additional 15 or 20 fictitious workers on the payroll as controls are not very strict. This could generate substantial “cash” for the perpetrators, enough to bribe or tempt employees in the payroll and personnel departments, to collude with each other.

It is not that uncommon to read about fraud involving the inclusion of “ghost workers” (fictitious employees) on provincial or government payrolls and there is little doubt that it also happens in the private sector.

The introduction of controls such as biometric readers to control the recording of hours worked by employees, and payroll software that requires a genuine employee tax number and identity number (mandatory fields) to process a wage or salary, make it far more difficult to create a fictitious employee. However, it is important to realise that in a wage or salary system, a fictitious employee does not have to be a non-existent person. He can be a “real live” person with a genuine bank account, tax number, etc., but who does not actually work at the company. Obviously, the problem with this situation for the perpetrators of the fraud is that there would be an audit trail directly to the “fictitious employee” if the fraud was detected, but in an entity with thousands of employees, detecting fictitious employees may not be that easy, particularly as there is likely to be collusion amongst employees involved in the fraud.

13.1.4 Basic functions for any (wage) payroll cycle

As in most cycles there is no “one system fits all” and, on your way to becoming an accountant or auditor, you will encounter numerous variations in payroll systems. You will find smaller systems that are manual, systems that are partially computerised, as well as systems that are extensively computerised. How the entity decides on a suitable wage system will be determined by the circumstances or characteristics of the business such as:

- ***The number of wage earning employees***

For example:

MakeIt Ltd is a large manufacturing company with approximately 5 000 employees. This company will need to computerise all aspects of its wage system and not pay its employees weekly. It would be totally impractical to keep employment records, record time and prepare a payroll for 5 000 employees manually. Conducting a physical payout (as opposed to transferring money directly into the wage earner’s bank account) would also be impractical and dangerous.

- ***The nature of the business***

For example:

DriveIt, a large distribution/trucking company in KwaZulu-Natal, has approximately 300 drivers, 65 warehousing employees and 40 workshop personnel. As the drivers are away on trips for long periods, they keep their own time records of hours worked on handwritten, pre-printed schedules that are subsequently partially manually processed. The warehouse employees’ wage system is fully computerised (biometric timekeeping with automatic download of hours worked, paid by electronic funds transfer (EFT). Because the workshop personnel work erratic hours (to keep the trucks on the road) and because the workshop is some distance from the warehousing access point, their wage system is a manual clock card (batch controlled) system, but they are paid by bank transfer.

- ***The requirements of the workforce***

The wage earners may not have bank accounts or may specifically want to be paid in cash as it may be more convenient for them. (Note: some companies make it a condition of employment that all employees have bank accounts.)

- ***The location of the business***

Businesses operating in remote rural areas may be forced to pay wages in cash due to the lack of banking facilities accessible to an often immobile workforce.

- ***Crime***

The personal safety of employees (from muggings and violent theft) may force the company to pay wages into employee bank accounts rather than have cash wage pay-outs.

However, all wage payroll systems will have the same basic functional requirements that can be broken down as follows:

- ***Personnel (human resources):*** There must be an individual or department that looks after the human resource aspects of the labour force, for example, maintaining personnel records, assisting with appointments/dismissals, etc.
- ***Timekeeping:*** There must be a method of accurately recording all time worked by hourly paid employees.
- ***Payroll preparation:*** Amounts payable to employees must be calculated and supporting documentation must be created.

- **Payment preparation and payout:** Amounts owed to employees must be paid in cash or by transfer into their bank accounts.
- **Deductions: Payment and recording:** Amounts deducted from employees' earnings must be paid over to the respective parties, for example, PAYE paid to SARS.

13.1.5 Documents used in the cycle

13.1.5.1 Employment contract/employee file

This document formalises the terms and conditions of employment. A copy is kept by the personnel department in the employee's personnel file and/or could be stored electronically.

13.1.5.2 Payroll amendment form

This document is used to detail and authorise changes made in the employee register that affect the workforce (e.g., new appointments, dismissals, promotions to higher grades, changes to pay rates). In a computerised system these will be masterfile amendments to the employee masterfile.

13.1.5.3 List of employees

This is a list (register) of valid employees and their details, necessary for calculating wages and salaries, provided by personnel. In a computerised system it is called the employee masterfile.

13.1.5.4 Clock card

A card that records the hours a wage earner has worked. Where hours are automatically downloaded onto the system from the timing device, clock cards are not necessary, but the employee will need to activate the timing device by inserting a swipe card (or similar device) or using a thumb or finger scanner.

13.1.5.5 Batch control sheets and batch register

These documents identify batches of clock cards and control movement between the timekeeping and payroll functions in the cycle. It is commonly used in manual and computerised systems where hours must be keyed in from clock cards.

13.1.5.6 Deduction tables and returns

These are schedules or returns provided by the entities so that deductions from employees can be paid over, for example, PAYE, medical aid, etc. In a computerised system this information will be kept electronically on file.

13.1.5.7 Payroll (wage journal)

This document (journal) is a spreadsheet that lists employees' names, their work section or cost centre, their overtime and normal hours worked, their gross pay, deductions, and net pay. It applies to both manual and computerised systems.

13.1.5.8 Wage packets, payslips, salary advices

The cash due to the wage earner is placed in a wage packet. The payslip or salary advice informs the employees how their remuneration is made up. Where payment is by EFT, there will be no wage packets, but the employees will still receive a payslip/salary advice.

13.1.5.9 Unclaimed wage register

This is the book/journal used to record details of employees who have not collected their wage packets. It will not apply if there is no wage payout.

13.1.5.10 Wage (or salary) reconciliation

This document records the reconciliation of the current period's wages to the previous period's wages. (For salaries, it will be done monthly.) It is used in manual and computerised systems.

13.1.5.11 Logs, variance reports, etc.

In a computerised system, the computer can be programmed to compile logs, variance reports, etc. A log is simply a record of an activity that has taken place on the computer, for example, if a masterfile amendment is made, the computer will automatically “store” the activity, the name of the person who performed the activity, when it was performed, and the detail of the amendment.

The series of tables that follow expand on the functions, risks and control activities in the cycle. For each function, the documents are identified that may be used. Further, the risks are described that may exist in the function.

13.1.6 Functions, risks and control activities in the cycle

13.1.6.1 Personnel (human resources): Functions, risks and control activities in the cycle

Personnel (human resources)					
Personnel (human resources) will play the same role of recruiting, resolving issues, training, etc., and maintaining records of the salaried staff, including the maintenance of the employee masterfile in a computerised system. Changes, such as adding an employee or changing the amount of a salary, must still be strictly controlled, whether the system is manual or computerised. For example, Masterfile amendments must still be authorised, correctly entered, logged and independently reviewed.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
- Appointment of new employee - Wage negotiations - Labour disputes	- Request for appointment - Payroll amendment form (PAF) - Employee's file - List of employees/ employee register	- Recruiting/retaining unsatisfactory or unnecessary employees. - Unauthorised amendments to employee records: - fictitious additions.	- All requests for the appointment of employees should originate from the section making the request, for example, factory, stores, administration, etc., and should be in writing and a motivation provided. - Requests should be signed by the section head and countersigned by the section manager after reference to the budget. Specifications of the position and the skills required will be agreed by the section and the personnel department. - An advertisement is placed where CV's are requested - Sound personnel practices should be followed to obtain honest, competent personnel through: - Interviews conducted by panel consisting of e.g.: The HR department, and line manager who requested the appointment - For potentially suited candidates: - follow up on the candidates' references - background check of the candidates qualifications - inspect from an online database if the candidate has a criminal record	- Appointments are authorised (Validity) - Employees on the salary and wage system are actual employees of the entity (Validity)	Occurrence of salary and wage transactions

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
			- All amendments to employees' details arising should be promptly committed to sequenced payroll amendment forms that should be cross-referenced to the supporting documentation and authorised by a senior member of the personnel section - from time to time the file of PAFs should be reviewed for validity and gaps in sequence. - A file should be kept for each employee and should include: - copies of relevant PAFs; - the employment contract; - performance appraisals and disciplinary warnings; and - personal details including qualifications, background information		
Amending tariffs or deductions	- Payroll amendment form (PAF) - Employee's file - List of employees/ employee register - Deduction authorisation form	- Unauthorised amendments to employee records: - unauthorised changes in wage rates.	- Changes to pay rates, promotions to higher employment grades and any other changes in service conditions, should be decided upon by the personnel department/wage committee after: - due consultation with interested parties, for example, the union representatives and - consideration of relevant laws and regulations, for example, overtime, pay rates, minimum wage regulations. - Such changes should be documented and authorised by the authorising body (e.g., wage committee).	- Changes to salaries and wages are authorised (Validity) - Changes to salaries and wages are recorded correctly (Accuracy) - All changes to salaries, wage and deduction are recorded (Completeness)	- Existence of accruals for deductions not yet paid over - Accuracy, valuation and allocation of deductions not yet paid over - Accuracy of salaries, wages and deductions.

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
			- All amendments to employees' details should be promptly committed to sequenced payroll amendment forms that should be cross-referenced to the supporting documentation and authorised by a senior member of the personnel section - from time to time the file of PAFs should be reviewed for validity and gaps in sequence.		
Dismissal or resignation of employee	- Resignation letter - Request for dismissal - Payroll amendment form (PAF) - Employee's file - List of employees/ employee register	- Incorrect dismissal procedures. - Employees who are dismissed or who have resigned remain on the wage or salary journal	All requests for the dismissal of employees should originate from the section making the request, for example, factory, stores, administration, etc., and should be in writing and a motivation provided.	- All dismissals are authorised (Validity) - Employees who resign are removed from the wage or salary journal	Occurrence of salary and wage transactions

13.1.6.2 Timekeeping: Functions, risks and control activities in the cycle

Timekeeping This function is required so that an accurate record of the hours for which an employee must be remunerated is obtained, and employee's pay for the period can be calculated. Various methods can be used for keeping time manually. A few examples: • The foreman of PackIt (Pty) Ltd ticks the company's employees off on a list as they arrive and leave. • Employees working at StarStrut Ltd are required to complete a pre-printed timesheet recording their time of arrival and departure. • Employees working at Sand-and-Bricks CC use a clock card (the most common method of "manual" timekeeping). This is a thin cardboard card that is put into a time-clocking device by the employee when he/she arrives or leaves the workplace. The time of entry or exit is stamped onto the clock card for each day. At the end of the wage period, a wage clerk uses the stamped clock card to calculate the hours worked by the employee, both normal and overtime, for the wage period.					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• A system that requires the employee to pass a clock card through a clocking device to record arrival and departure times is commonly used in manual systems.	• Clock cards	• Invalid hours recorded by, for example: – clocking a card for a fictitious employee – employees clocking for absent fellow employees, and – employees clocking in and leaving the premises.	• Entry and exit points to work area to be: – limited (preferably one) – protected by a "turnstile" type mechanism, and – supervised during clocking periods. • Pre-printed, properly designed (preferably sequenced) clock cards should be prepared for each employee on the valid employee list and placed on racks at the entry point. • Blank clock cards should be subject to strict stationery controls. • At the end of a wage period, the section administration clerk should collect all clock cards for the period, and • Agree number of cards to list of employees in the section	• Payments of wages relate to services rendered during the period (Validity) • Clock cards issued and collected are for actual employees and hours worked. (Validity)	• Occurrence of wage transactions

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Daily hours clocked will be calculated and totalled for the period before being sent to payroll preparation.	- Clock cards - Batch control sheet - Batch register	- Hours on clock card incorrectly calculated for normal and/or overtime: - normal hours counted as overtime hours (that have a higher rate of pay).	- At the end of a wage period, the section administration clerk should collect all clock cards for the period and: - agree number of cards to list of employees in the section - calculate ordinary time - calculate overtime - divide cards into workable batches (e.g., 25), and - complete a batch control sheet by: - entering batch identification (section and period) details - entering control totals, (i.e., record count (number of clock cards), total hours, normal and overtime), and - signing to acknowledge responsibility. - Before the batch of clock cards is transferred to payroll preparation, the section head(s) should: - check calculations - authorise overtime (the need to work overtime should be confirmed before it is worked), and - check, and sign the batch control sheet. - Details of the batch should be entered in a batch register that will accompany the clock cards to payroll preparation	The normal and overtime hours are calculated correctly (Accuracy)	Accuracy of wages transactions

13.1.6.3 Payroll preparation: Functions, risks and control activities in the cycle

Payroll preparation

In this function, the amount that each wage earner is to receive is calculated. The gross amount is calculated by multiplying the hours the wage earner has worked, split between normal time and overtime, by the wage rate applicable to the grade or level at which the employee is engaged. The overtime rate will be higher than the normal time rate. Once the gross amount has been calculated, the deductions are worked out, for example, PAYE, contributions to medical aid, unions and the unemployment insurance fund (UIF), to arrive at the net pay. All the above-mentioned are entered in the wages journal/payroll. If wages are to be paid in cash, the clerks in the payroll preparation section will also prepare a “coinage schedule”. This schedule is a breakdown of the exact number of notes and coins that are required to make up the wage packets correctly. For example, if the amount for a particular wage earner is R1 312,20, it should be made up with six × R200 notes, one × R100 note, one × R10 note, a R2 coin and a 20 cent coin.

Note: Since 1 January 2021, cheques are no longer an acceptable form of payment or bill of exchange in South Africa. This means that cheques can also no longer be cashed for wages. A bank card is used instead. However, this carries its own risk, as a PIN will be required to use the card. This means that either the manager will have to draw the cash, or he will have to trust someone with his PIN (that would be a weakness in the control system). It can thus be expected that wages paid in cash will become something of the past. A better solution may be to use “cash send transfers”. This is where cash is sent to an ATM from a bank account. The employee will receive a PIN code to be entered at an ATM, and will enable him/her to draw his/her own wages.

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
- Clock card received with time worked - Salary and wage journals prepared - Salary and wage journal's details verified - Salary and wage journals are reviewed and authorised	- Clock cards - Deduction tables - Updated list of employees - Payroll	- Inclusion of fictitious employees. - Use of incorrect or unauthorised pay rates, hours or deduction tables. - Cast and calculation errors. - Employees that resigned or are dismissed are continued to be paid	- On receipt of the batch of wage cards from timekeeping (the section administration clerk), the wage clerk should check details of batches received, for example, number of batches, number of cards, and sign the register to acknowledge receipt of the batches. - The wage clerk should prepare: - the payroll - a reconciliation of the difference between the prior period's wages and the current period's wages for the number of employees and amounts for net wages and deductions.	- Payment of wages made for hours worked (Validity) - Payment of salaries and wages takes place at authorised rates (Accuracy) - Deductions are properly authorised (Validity) - Deductions are done accurately (Accuracy) - Calculations of salaries and wages are done accurately	- Accuracy of salaries and wages transactions - Existence of accruals for deductions - Occurrence of salary and wage expenses

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
			<i>For example:</i> <i>If the number of employees employed by Tron (Pty) Ltd for period 1 was 250, and for period 2 it was 275, the wage clerk of the company must reconcile the difference of 25. The difference could be 4 dismissals and 29 appointments giving a net change of 25 employees.</i> <i>Obviously, there should be authorised payroll amendment forms to support the dismissals and appointments, and a record of control totals including normal hours and overtime hours per section.</i> • A supervisor or second wage clerk should: – verify hours and rates used in compiling the payroll against the clock cards and the employee list – verify deductions against the relevant tables – verify amendments to the payroll against the PAFs and vice versa – reperform calculations and the wage reconciliation, and – sign the payroll. • The head of payroll preparation should carefully review and sign the payroll and period-to-period reconciliation, for example, he may verify a sample of amendments to the authorised PAFs and vice versa. • The request for payment of wages (list of cash send transfers to be paid or request for cash to be withdrawn with bank card) should be presented with the payroll and period-to-period reconciliation to two signatories who should: – review the payroll for unusual items, for example, large amounts, excessive overtime – inspect for the presence of control signatures, and – sign the payroll and reconciliation.		

13.1.6.4 Payment preparation and payout: Functions, risks and control activities in the cycle

Payment preparation and payout

The objective of this function is to transfer the amount owed to employees as per the payroll.

- If wages are paid in cash, what is termed a wage payout is conducted, at which the wage envelopes (packets) are distributed to employees. Payment preparation in a manual system requires that a wage clerk prepare a wage envelope (packet) for each employee, into which the exact amount of cash is placed as per the payroll (this is the reason that the coinage schedule is produced). The employee's payment advice (that will include details of other forms of "remuneration" such as the company's contribution to the employees' pension fund or medical aid) will also be put into the envelope, and the exterior of the envelope will give details of the employee such as name, employee number and work section. At the payout, the employee must identify himself. He will receive the wage envelope and sign the payroll to acknowledge receipt.
- Because of the risk of armed robbery, some companies make use of security firms to obtain the cash from the bank, prepare the wage envelopes and perform the payout.
- A wage payout can give rise to *unclaimed wages*: At the conclusion of the payout, there may be unclaimed wage packets for employees who were absent on the day. These should be entered into an unclaimed wage register and safeguarded as they are susceptible to theft. They are normally put under the temporary control of the paymaster who will distribute them as the employees return to work. Unless an employee has given written permission for his or her wage packet to be released to say, another employee or family member, the wage packet should be retained by the company until the employee returns.

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
• Payment requisition and authorisation • Wage packet	• Wage packet • Wage journal	• Incorrect or unauthorised wage amount requested	• The head of payroll preparation should carefully review and sign the payroll and period-to-period reconciliation, for example, he may verify a sample of amendments to the authorised PAFs and vice versa. • The request for payment of wages (list of cash send transfers to be paid or request for cash to be withdrawn with bank card) should be presented with the payroll and period-to-period reconciliation to two signatories who should: – review the payroll for unusual items, for example, large amounts, excessive overtime – inspect for the presence of control signatures, and – sign the payroll and reconciliation	• The correct wage amount is requested (Accuracy) • The wage amount is authorised	• Accuracy of wage expenses • Occurrence of wage expenses

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Preparation of Wage packets	- Payroll - Payslips - Wage packets	- Incorrect cash placed in the wage packet - Cash could be stolen	- Wage packets should be made up by two wage department members (physical security over all aspects of cash handling should be extremely tight). - On delivery of the payroll and wage packets to a section, the section head should: - agree the number of wage packets to the payroll - agree control totals, for example, number of cards, total hours, on the payroll to the batch register, and - sign the payroll to acknowledge receipt. - The wage packets and payroll should be locked away until payout. - The wage payout should be conducted by at least two employees, for example, an independent paymaster and the section foreman, both to be present at all times.	- The correct amount of cash is placed in the wage packet (Accuracy) - Cash is kept safe (Validity)	- Existence of cash - Accuracy of wage expenses

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
Payment of wages	- Payroll - Payslips - Wage packets	Wages are paid to non-employees of the company	- The wage packets and payroll should be locked away until payout. - The wage payout should be conducted by at least two employees, for example, an independent paymaster and the section foreman, both to be present at all times. - Employees should: - present identification, for example, official staff card, prior to receiving their wage packets; - acknowledge receipt of their wage packet by signing the payroll, and - count their cash and immediately report any discrepancies to the paymaster. These should be recorded on the payroll. - In principle, employees should <i>not</i> be allowed to accept a wage packet on behalf of another employee. - At the conclusion of the payout, the paymaster and foreman who have conducted the payout, should: - agree all unclaimed wage packets to the payroll (employees who have not signed) - identify clearly on the payroll, all employees for whom there is an unclaimed packet - enter the details of unclaimed wages in an unclaimed wage register, and - sign the payroll to acknowledge this control procedure.	Payment of wages is made to actual employees of the company	Occurrence of wage expenses

continued

Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
- Unclaimed wages must also be recorded - Safekeeping of unclaimed wages	- Unclaimed wages register - Payroll - Payslips - Wage packets	Misappropriation of unclaimed wages.	- At the conclusion of the payout, the paymaster and foreman who have conducted the payout, should: - agree all unclaimed wage packets to the payroll (employees who have not signed) - identify clearly on the payroll, all employees for whom there is an unclaimed packet - enter the details of unclaimed wages in an unclaimed wage register, and - sign the payroll to acknowledge this control procedure. - The unclaimed wage packets and payroll should be retained by the paymaster, who should lock them away. - When employees wish to collect their unclaimed wages, they must identify themselves to the paymaster and acknowledge receipt of their wage packets by signing the unclaimed wage register. - Regular independent reconciliations of unclaimed wage packets on hand and the unclaimed wage register should be performed and the unclaimed wage register reviewed for unusual occurrences, for example, trend of more unclaimed wages in a section, same employee name appearing frequently. - Any wages remaining unclaimed after two weeks should be banked and a copy of the deposit slip attached to the unclaimed wage register and cross-referenced to the relevant entries.	- Cash from unclaimed wages is adequately safeguarded (Validity) - Unclaimed wages paid are paid to actual correct employees of the company (Validity)	- Existence of cash - Occurrence of wage expenses

13.1.6.5 Deductions: Payment and recording: Functions, risks and control activities in the cycle

Deductions: Payment and recording The deductions from an employee's gross pay, such as PAYE, medical aid, etc., do not belong to the company and must be paid over to the respective bodies, for example, the South African Revenue Services, within the stipulated period. The objective of this function is to ensure that all deductions are actually paid over and that they are paid over within the stipulated time, accompanied by the necessary documents, correctly completed					
Function	Documents records	Risks (What can go wrong if controls are not implemented?)	Manual control	Control objective	Assertion
- Preparation of third-party payments - Reconciliation of third-party payments - Payments of third parties	- General ledger - Payroll (wage journal) - Cash payment journal - Return form	- Penalties due to non-payment, late payment, or underpayment. - Criminal/civil charges due to non-payment (this is theft). - Incomplete, inaccurate amounts paid over. - Return forms incorrectly completed.	- Isolation of responsibility to one employee for raising and paying over deductions. - A strict monthly schedule for: - posting the entries to raise the liabilities for the deductions - making the necessary payments on a timeous basis, and conducting, and - supervisory checks on the above activities should be prepared. - The payroll and return forms should be presented to signatories for their scrutiny before the deductions are approved. They should check the return carefully to see that it has been accurately and properly filled in (payments to SARS can be made on their eFiling system). - Independent timeous scrutiny of the general ledger accounts for deductions to confirm that they are being promptly cleared, should be carried out by the financial accountant.	- Deductions and liabilities are calculated correctly and paid over to the correct third party (Accuracy) - All deductions that should have been paid over are paid over to third parties (Completeness)	- Accuracy, valuation and allocation on liabilities - Completeness of liabilities

13.1.6 Narrative description of a computerised (wage) payroll cycle by function

A company's wage payroll system will be a combination of manual and computerised functions and various combinations are possible. For example, a conventional clock card system could be used for time-keeping, with employees hours being captured (keyed) into the system for processing, and payment could be conducted at a weekly wage payout or amounts could be transferred electronically into employees' bank accounts. Alternatively, more sophisticated computerised timing devices could be used to record employee hours worked. This information would then be downloaded for processing and the production of the payroll. Payment could be carried out at a wage payout but it is more likely that payment would be by EFT. For the purposes of this illustration, we have decided to discuss the wage payroll system for a company that uses a biometric scanning device (which will be explained later – also refer to Access Management Controls) to control access, record hours worked and download them for processing, and in which employees are paid by EFT.

Most companies will make use of packaged payroll software that has been developed to meet the needs of the company, the employee and SARS. The software will generate information required by SARS, for example, employee earnings, PAYE, etc., and will often interface with the SARS eFiling system. It will also be compatible with the company's banking "system" to facilitate EFT payments. We have assumed that the company is large enough to have sound segregation of duties.

The employee masterfile	
The employee masterfile is central to the payroll system. The company will have an hourly paid employees' masterfile and a salaried employees' masterfile; we are dealing with hourly paid (wage) employees. Integrity of the masterfile must be maintained and access to the masterfile, particularly write-access, (i.e., the ability to make amendments), must be strictly controlled. Equally important is the control over the amendments themselves to ensure they are authorised (valid), accurate and complete. Amendments to the employee masterfile include adding a new employee, changing a pay rate or changing an employee's banking details. Much of the information on the employees' masterfile is the responsibility of the human resources section, so it makes sense for this section to be primarily responsible for the integrity of the file and the amendments. Other companies may have a separate department that deals with all matters relating to the payroll but regardless of how it is set up, control over the masterfile remains very important. If all amendments are subject to strict controls, the risk of fraud is considerably reduced. All amendments should be logged and there must be independent reconciliation and review of the log by a senior employee, for example, the financial director.	
Activity/procedure	Control, comment and explanation
1. Record all masterfile amendments (MAF) on a source document.	1.1 All amendments to be recorded on hard copy masterfile amendment forms MAFs (no verbal instructions). 1.2 MAFs to be pre-printed, sequenced and designed in terms of sound document design principles.
2. Authorise MAF.	2.1 The MAFs should be: - signed by two senior employees (e.g., human resource manager and the head of the section in which the employee works) after they have agreed the details of the amendment to the supporting documentation, for example, the letter of appointment for a new employee, and - cross-referenced to the supporting documentation.
3. Enter only authorised masterfile amendments onto the system accurately and completely.	3.1 Restrict write-access to the employee masterfile to a specific member of the personnel section by the use of user ID and passwords. 3.2 All masterfile amendments should be automatically logged by the computer on <i>sequenced</i> logs and there should be <i>no write-access</i> to the logs (sequencing allows subsequent checking of the MAFs entered for authority). 3.3 To enhance the accuracy and completeness of the keying in of masterfile amendments and to detect invalid conditions, screen aids and program checks can be implemented. 3.4 On screen check of details entered against the MAF by a second employee. Screen aids and related features - minimum keying in of information, for example, when amending existing employee records, the user will only key in the employee number to bring up all the details of the employee - drop down list for allocating an employee to a cost centre, department or section - screen formatting, screen dialogue, and - the employee number for a new employee is generated by the system.

continued

<i>Activity/procedure</i>	<i>Control, comment and explanation</i>
	Program checks • Adding a new employee: – mandatory fields, for example, employee identity number (passport number) and income tax number, and full banking details. New employees who have not registered with SARS are required to do so and will be assisted by the personnel department (these mandatory fields may also be edit checks from an automated application control's perspective, as they will be pre-defined and will require a specific amount of numbers/digits – think ID numbers) – dependency check, for example, acceptance of the entry of the hourly wage rate may depend on the grade or level that has been entered for the new employee – range and/or limit checks on the wage rate field – field size check, for example, identity number has 13 digits, and – alphanumeric check on wage rate field. • Changing the data of an existing employee: – no write-access to identify number field, income tax number, etc. – verification (matching) of employee number (incorrect number, no amendment), and – minimum entry, for example, employee number brings up all the necessary data relating to the employee.
4. Review masterfile amendments to ensure they occurred, were authorised and were accurately and completely processed.	4.1 The logs should be reviewed regularly by a senior staff member, for example, financial director. 4.2 The sequence of the logs themselves should be checked (for any missing logs). 4.3 Each logged amendment should be checked to confirm that it is supported by a properly authorised MAF. 4.4 That the details, for example, identity numbers, banking details, are correct. 4.5 The MAFs themselves should be sequence checked against the log to confirm that all MAFs were entered.
Note (a): The authority needed to enter different types of masterfile amendment can be given (by the user profile) to different levels of employee, for example, changing an employee's banking details may be restricted to a single senior employee, but changing an address or contact details could be assigned to a lower level employee. Note (b): Unused MAFs and other important supporting documentation should be subject to stationery controls as it is more difficult to create an invalid masterfile amendment without the source document. Note (c): A masterfile amendment should be carefully checked in all respects before it is authorised. In respect of, for example, the addition of a new employee, before an offer of employment is made, the personnel department should verify important details with independent evidence, for example, the identity number against the individual employee's ID book, the income tax number and banking details, against official documents from SARS and the bank respectively. There should be a minimum of errors or invalid conditions having to be identified (detected) by the program controls. Each company will decide for itself the extent of program controls they wish to implement.	

“Timekeeping” linked to the computerised payroll system

Where the timing device that records the entry and exit times of employees automatically transfers the hours worked to the payroll preparation section for the preparation of the payroll, there is obviously no need for clock cards, batch controls, the physical transfer of the batches or the conversion of the source data (hours) into machine readable form.

- In a computerised clocking system, the employee is required to “swipe” his identification tag (or similar) through an electronic timing device. The timing device “reads” the information stored on the magnetic strip on the identification tag and records the time of entry or exit in a file against the employee’s name “taken” from the magnetic strip.
- When the payroll is processed, the file of hours worked is imported and the wage application software automatically calculates the hours worked by the employee for the wage period (no clock cards used).
- One of the weaknesses of this system (as with the clock card system), is that an employee could “swipe” the identification card of another employee who has not actually come to work, thus creating “fictitious” hours worked. This problem can be overcome by employees having to activate the timing device by presenting biometric data. The most common of these is the thumb or fingerprint. So to have his time of exit or entry recorded, the (valid) employee must activate the timing device. With this system, when an employee is engaged, his fingerprints will be taken and stored on the computer. When the employee places his thumb or finger on the scanner (timing device) at the entry/exit point to the workplace, recording of the time of entry or exit will only be recorded if there is a match of the print to that employee’s print stored on the computer. Again, with this system, the hours worked will be automatically calculated and imported (downloaded) for processing.

For the purposes of this illustration, assume that the company uses a biometric reader for the identification of employees and recording hours worked.

<i>Activity/procedure</i>	<i>Control, comment and explanation</i>
1. Storing biometric data on the system.	1.1 For identification of employees to be controlled by biometric data, a thumb print/fingerprint will need to be stored on the system so that when the employee places his thumb on the scanner, it has a set of prints against which to “match” the thumb print: • the biometric data will be stored on the employee masterfile • access to the module that facilitates the recording of the data should be strictly controlled (conventional logical access controls) • the responsibility for capturing the biometric data should be assigned to the personnel department, and • program controls will prevent the biometric data from being replaced (a variation of write-access to the field).
2. Employee identification and recording of hours worked.	2.1 The basic controls around exit/entry should apply: • limited entry points • physical access controls, for example, successful scanning of the employee’s thumb print activates a turnstile mechanism, and • entry/exit point should be generally observed by security.
3. Reviewing employee attendance.	3.1 Supervisory personnel should make use of the timing device’s storage capabilities to access information pertaining to employee attendance on the system, for example, absent employees, late arrivals, unexplained exits from the workplace, etc. These reports can be generated daily, weekly and in various formats (may also be available in real time).

continued

<i>Payroll preparation</i>	
At the end of the wage period, the payroll must be prepared. The hours that have been worked, both normal and overtime for each employee, will be on the system waiting to be processed against the employee's hourly wage rate to arrive at the gross amount to be paid. Before processing takes place, the hours worked, particularly overtime, should be scrutinised and approved by supervisory staff. Weekly deductions from the gross amount will also be processed, for example, PAYE, UIF, medical aid. However, there may also be other amounts due to an employee that are not based directly on the hours worked, for example, incentives/bonuses, that must be entered onto the system. There may also be other deductions, for example, a garnishee order (a court order that requires an employer to deduct an amount from an employee's wages to repay a debt), or a loan repayment that must be entered.	
<i>Activity/procedure</i>	<i>Control, comment and explanation</i>
1. Approval of hours worked.	1.1 Before payroll preparation commences, a schedule of normal and overtime hours for the week should be printed and sent to the foreman (or other supervisory staff) for approval. 1.2 The foreman should: • check the schedule for any incorrect or unusual hours recorded, for example: – normal hours in excess of 40 hours per week, and – high overtime hours and low normal hours • confirm that the overtime hours recorded were authorised prior to being worked and/or that they were actually worked (note the recording of hours worked will be very accurate, but the timing device does not "know" if the hours recorded as overtime, were authorised), and • confirm that there are hours worked for all employees and that any missing normal hours agree with the attendance reports generated by the access/scanning device. 1.3 Any alterations to the schedule should be recorded on the schedule with reasons and signed by the foreman. Any changes, for example, any increases or decreases in overtime hours that the foreman requires, should be counter-signed by another supervisory level employee. Note: The approval of the hours worked schedule could take place on the system and the usual controls relating to on-system approval would be in place, for example, access to the hours worked file restricted, no write-access for the foreman, alterations referred back to the payroll department. Any alterations made by the payroll clerk would be logged for subsequent review.
2. Entering additional earnings and deductions.	2.1 The payroll clerk responsible for preparing the payroll will be responsible for entering these on the employee's record: • access to the applicable module (payroll preparation) will be restricted in the usual manner, (i.e., user ID, password, user profile) • to access a particular employee's record, a valid employee number will have to be entered (verification check), and • it is usually unnecessary for the payroll clerk to have to enter each employee's number; the software will start with the first employee and automatically brings up the next employee's record as each record is confirmed.

continued

<i>Activity/procedure</i>	<i>Control, comment and explanation</i>
2. Entering additional earnings and deductions. (<i>continued</i>)	2.2 On accessing the module, the screen will come up formatted as an employee payment record. This will reveal: • all standing data applicable to the employee, for example, name, cost centre, grade, hourly rates, etc. • fields containing year to date earnings including pension fund and medical aid contributions, deductions, net pay, etc. • fields revealing the current period's normal and overtime hours worked, the company's contribution to a pension fund or medical aid, etc., and • a selection of fields designated in terms of additional categories of amounts to be paid to the employee, for example, travel claims, incentive bonuses, or deductions to be made, for example, garnishee orders. 2.3 There will be no write-access to: • the standing data fields • year to date fields, and • some of the fields already "populated" by the payroll software such as medical aid contributions and deductions, contributions to pension funds. 2.4 If hours worked have already been approved on the system, there will also be no write-access to the current period's hours worked fields. 2.5 If these fields need to be altered in terms of the hard copy hours worked schedule: • there may be limit checks on the normal and overtime fields, and • all changes will be logged and reviewed before the payroll is finally approved. 2.6 Additional amounts to be paid to an employee should be authorised in writing by appropriate personnel, for example, an incentive bonus should be approved by the employee's section head and say, the financial director, after confirming compliance with the underlying conditions for paying the bonus and reperformance of the bonus calculation has taken place. The same requirements should apply to any additional deductions entered: • screen prompts may alert the payroll clerk to the fact that a particular deduction must be made for a specific employee. 2.7 As the objective is to ensure that the source data is absolutely correct before processing takes place, a second payroll clerk may check the employee payment records in detail or selectively (the second payroll clerk would not have write-access).
3. Processing to create the payroll.	3.1 Actual processing will be carried out by the computer without human intervention. The computer will only process the data it is supplied but will do it accurately and completely. 3.2 Processing will not commence until the employee payment records have been "confirmed" (after all the controls described above have been carried out) by the payroll clerk. Even though the "input" has been subjected to stringent controls, additional programming controls may also be implemented to detect invalid conditions, for example: • reasonableness/limit checks; the net wage for an employee may be unreasonable when compared to the employee's employment level, for example, a wage of R10 000 may be unreasonable for an unskilled worker or a net wage exceeding R15 000 may be an invalid condition • matching: the computer may match the number of payment records it has processed against the employee masterfile and produce a report of any missing records (control total principle)

continued

<i>Activity/procedure</i>	<i>Control, comment and explanation</i>
3. Processing to create the payroll. (continued)	• cross-cast tests: totals in the net wages column must equal totals in the gross wages column, less totals in the deductions columns, for each employee and the payroll as a whole, and • run to run totals: the total of the year to date of net earnings for all employees in the employee masterfile at, say, the end of period 14, will be computed. The total of all net earnings for all employees for period 14 will then be computed, added to the total of year to date net earnings at the end of period 13 and compared to the same total of net earnings at the end of period 14, as initially computed.
4. Approval of the payroll.	4.1 Once processing is complete, the payroll and a number of supporting schedules will be produced for final checking by the payroll administrator. He will carry out checking procedures such as: • agreeing the number of employees on the payroll to the number of employees on the employee masterfile • following up on the run-to-run balancing reports • following up on any exception reports, for example, a net earnings amount identified as not reasonable by program checks • reviewing analytical summaries that may have been produced, for example, comparison of wages between cost centres, sections and corresponding prior periods • reviewing overtime schedules, and • reviewing the period-to-period reconciliation and agreeing it to supporting documentation. For example, changes in the employee headcount should be checked against the log of masterfile amendments and where necessary, to engagement or dismissal documentation. 4.2 If any errors are detected, they should be followed up: • the payroll administrator should not have write-access to the file • changes should be referred back to the wage clerk for correction, and • all changes should be logged. Note: The review process can be on screen or on hard copy documents and additional senior supervisory/management, for example, section heads, production manager, etc., may be introduced into the review process. 4.3 Once the payroll administrator is satisfied with the payroll file, he will select the approve option and there will be no further write-access to the file, and for confidentiality purposes, read access should be given to only those who need it (this is in essence, an output control).

Payment to employees by EFT	
The final step is to transfer the correct amount owed to each employee. EFT is a very fast and efficient method of making payments, but it is perhaps for these very reasons that the risk of fraudulent payments (theft of funds from the company's bank account) will be very high if strict controls are not in place. The controls over EFT payments will centre on: - controlling access to the employee masterfile. It should not be possible to add a fictitious employee to whom fictitious payments can be made, and it should not be possible to alter an existing employee's banking details other than under strictly controlled conditions - approving details and amounts to be paid to the employee - controlling access to the company's bank account, and - a review of EFT payments actually made. The preceding charts have dealt with controlling the masterfile and preparing the payroll, so all that remains is to deal with the two remaining aspects of control. We have assumed, for the purposes of this illustration, that wage earners are paid every two weeks, not that this unduly affects the controls over EFT payments.	
Activity/procedure	Control, comment and explanation
1. Access to the bank account on the Internet.	1.1 The bank's EFT software will be loaded onto a limited number of the company's terminals. 1.2 Access to the bank's site on the web will be gained in the normal manner but once the employee gets onto the site, an additional PIN number supplied by the bank and a password unique to the employee, will have to be entered to gain access to the company's account: - the privilege to access the company's account will only be granted to employees who need access to the bank account to carry out their duties. 1.3 If this identification and authentication process is accepted, a menu of the functions available to the company will appear on the screen, for example, balance enquiry, payment query, download bank statement, make EFT payment. 1.4 Access to these functions will be directly linked to the employee's user profile on a need to know basis. The function that needs to be most protected will be the ability to make an EFT payment: - this privilege will be granted to a limited number of senior personnel (much like giving senior employees cheque signing powers in the past), and - an additional <i>authentication</i> procedure will be required, for example, an additional one time password or the insertion of a physical device into the USB port of a terminal on that the bank's software is loaded (see Chapter 9 for a discussion on these devices).
2. Approving (effecting) the payment. We will assume for the purposes of this illustration, that the company's bank requires a small device such as a "dongle" to be inserted into the USB port of a terminal on that the bank's software is loaded. We will also assume that the payroll administrator, the financial manager and the head of the personnel section have the privilege to effect an EFT payment.	2.1 At least two of the three authorised employees will be required to effect the payment of wages, for example, the payroll administrator will authorise the payment and the head of personnel will release it. 2.2 Once the payroll administrator is satisfied with the payroll he will select the "first confirmation" option and a system generated message will be sent to the head of personnel informing him that the payroll file is awaiting his approval. 2.3 The head of personnel will then access the file of payments and carry out whatever procedures he deems necessary to be in a position to authorise the payments, for example, review of reasonableness, access of masterfile amendment logs, reference to original documentation: - the second "signatory" (the head of personnel) will <i>not</i> have <i>write-access</i> to the file so cannot for example, add an additional fictitious employee to be paid - once the "second signatory" is satisfied, he will click on "second confirmation", and - the "second confirmation" cannot be activated before the "first confirmation".

continued

<i>Activity/procedure</i>	<i>Control, comment and explanation</i>
2. Approving (effecting) the payment. (<i>continued</i>)	2.4 The file of payments will now be fully approved and the clicking on the second confirmation will automatically convert the file to a format compatible with the bank's EFT software, the only data that the bank requires is the employee code, bank name, employee surname and account details. 2.5 Once this has been done, the payroll administrator will click on the <i>authorise</i> option (the dongle will be inserted into the USB port) and the head of personnel will click on the <i>release</i> option: - the <i>release</i> activity cannot be activated before the <i>authorise</i> option. 2.6 Additional controls that should be implemented are: - automatic shutdown after three unsuccessful attempts to access the company's bank account on the system - logging of attempts at unauthorised access (successful attempts will also be automatically logged) - the number of bank accounts to which transfers from the <i>main</i> bank account can take place should be limited to protect the main bank account. For the payment of wages, an amount equal to the total of individual payments to employees should be transferred to a separate account and the actual transfer to employees' bank accounts should be made from this separate account. Transfers to employees' bank accounts could be scheduled only to take place on specified dates (every two weeks) - a limit on the total amount that can be transferred within a 24-hour period as well as a limit on individual payments can be arranged with the bank - data should be encrypted, and - conventional password controls will apply and physical authentication devices, in this case the dongle, must be kept safe and secure at all times. 2.7 The EFT will update the employees' masterfile, cash payments journal and deduction accounts. Note: Amounts paid to SARS, for example, PAYE, UIF and the skills development levy will be paid over to SARS using the eFiling system. The company will register with SARS and submit the necessary information online. Security on payments made by eFiling is enhanced by the fact that transfers can only be made to the SARS bank account. It would be impossible for an employee to make a fraudulent transfer to his own bank account through the eFiling system. Amounts payable to other entities, for example, medical aid, pension funds, etc. will be paid by EFT in the conventional manner and subjected to the same strict controls.
3. Detection of unauthorised payments.	3.1 Within a day or two of making the EFT, the accountant (or similar level employee) should download a copy of the bank statement for the wages account and compare it to the schedule of payments to employees. Payments to medical aid, pension funds, etc., would be checked promptly against a downloaded statement of the applicable bank account.

Processing controls

Remember, the accuracy, completeness, etc., of processing, are evidenced by reconciliation of output with input and the detailed checking and review of output by users, on the basis that if input and output can be reconciled and checks and reviews reveal no errors, processing was carried out accurately and completely and only transactions that actually occurred and were authorised, were processed. To make sure it does its job, the computer will perform some internal processing controls on itself, for example, arithmetic accuracy tests, but the user will not even be aware that these are going on. The users within the cycle make use of the logs and reports that are produced relating to their functions, while the IT systems personnel make sure that processing aspects of the system are operating properly.

Summary	
The description of the system described above, provides an illustration of how the control activities described in chapter 6 (and referred to in ISA 315 (Revised)), can be implemented. It also provides an illustration of how specific automated (program) controls can be introduced. For example:	
Segregation of duties	• Separation of functions, for example, timekeeping, payment preparation, payment. • Separation of responsibilities within functions, for example, authorising overtime, entering payment record amendments, checking the period-to-period reconciliation.
Isolation of responsibilities	• Isolating responsibilities through granting access privileges, for example, only head of personnel can release an EFT payment. • The foreman signs the schedule of hours worked.
Approval and authorisation	• A masterfile amendment to add an employee to the employee masterfile is approved by the head of personnel. • The payroll administrator approves the payroll. <i>Example:</i> In a payroll system, the foreman may approve a file of overtime hours worked on the system.
Custody	• Access to the bank account (custody of the company's money) is strictly controlled by user IDs, PINs and passwords (those with authority to make an EFT are effectively the custodians of the company's cash).
Access controls	• All users on the system must identify and authenticate themselves by IDs and passwords and what they are authorised to do is reflected in their user profiles. • Additional access controls such as terminal shut down and logging of access violations are in place. <i>Example:</i> A schedule of overtime hours worked by employees of WorkIt Ltd is on a file awaiting approval by the production manager, Gary Smit. Although, for example, the cost centre foreman, Brandon Siyila (as well as some other users), may have access to this file for information purposes, when they access the file their screens will either not show an "approve option", or the "approve option" will be shaded and will not react if they "click" on it. Only Gary Smit's screen will have an approve option that can be activated.
Comparison and reconciliation	• The system matches the payment records it has processed against the employee masterfile to identify any employees for that no record has been produced. • The system reconciles the total net earnings for period two with the total net earnings for period one.
Performance review	• Comparison of overtime worked period to period and section to section. • Monitoring complaints from employees pertaining to errors in overtime payments, deductions or incentive bonuses.
Control techniques and application controls	• Screen aids and related features: – minimum entry: keying in the employee number when preparing the period payment record brings up all the detail pertaining to an employee – screen formatting : employee payment record, payroll, and – mandatory fields: new employee's ID or passport number. • Program checks: – validation check on employee number – limit checks/reasonableness checks on net earnings for an individual, and – dependency check: pay rate dependent on grade of employee. • Output control: – restricted distribution of the payroll, both physically (minimum printed copies) and on the system (logical access control), and – bank statement (audit trail) checked against EFT payments entered onto the system.

continued

Logs and reports	• Log of changes to existing employee's banking details, hourly wage rates. • Analysis of wages paid by cost centre. <i>Example:</i> <i>In the payroll cycle of Run-a-long (Pty) Ltd, a log of all employee masterfile amendments is produced by the computer. This log is a listing of all amendments that were made, what the amendment was (e.g., addition of a new employee), who made the amendment and when it was made. "Read only" access to this file is given to a senior member of the human resources/accounting section so that the amendments made can be confirmed as being authorised, accurate and complete by reference to the masterfile amendment forms. This log can be printed or accessed on screen.</i> <i>Another example in a payroll system would be the production of a report of all overtime worked per cost centre per week for, say, the last six weeks that can be used to monitor the performance of the production personnel.</i> <i>The important point about logs and reports is that unless an employee actually uses them and follows up on any problems, they are worthless. Their potential value is that if the log and report files are properly access protected, they provide independent evidence of what has taken place on the computer. They form a very important part of the audit trail.</i>
Matching and minimum entry	• Once data is in the database, other data can be "matched" against it. A simple example would be where an employee's number is matched against the employees' masterfile to determine whether it is a valid number. The fact that data is stored in the database also means that the principle of minimum entry can apply. <i>For example, if the payroll clerk wishes to call up an employee's earnings record, there is no need to enter anything other than the employee number. No further information needs to be keyed in. The speed, accuracy and completeness of input are enhanced.</i>

This does not cover every control, policy or procedure that could be in place and is not intended to. This knowledge will only be acquired when you go into different companies and work with their systems.

It should be possible to identify a wage expense reflected in the general ledger and trace it back to the hours worked by the individual employees whose wages make up the payment selected. A system where there is a poor audit trail will be a weak system. The trail will often be a combination of electronic and hard copy data.

13.1.8 Salary systems: Manual and computerised

It is not necessary to describe a salary system separately, as the risks and control procedures are essentially the same as for a wage system. The obvious difference is that salary systems do not have a timekeeping function; a salary is a set monthly amount regardless of the hours worked by the employee. Salaried employees may still have to swipe their identification card or have their thumbprint scanned on arrival at work, but this is simply a security check. The other functions within a payroll system will still be required, as follows below.

13.1.8.1 Personnel (human resources)

Personnel (human resources) will play the same role of recruiting, resolving issues, training, etc., and maintaining records of the salaried staff, including the maintenance of the employee masterfile in a computerised system. Changes such as adding an employee or changing the amount of a salary must still be strictly controlled whether the system is manual or computerised, for example, masterfile amendments must still be authorised, correctly entered, logged and independently reviewed.

13.1.8.2 Payroll preparation

The objective of this function is to produce a salary payroll that shows the gross amount, deductions and net amount payable to each employee. The necessary supporting documentation, for example, payslips, month-to-month reconciliation, will also be produced.

13.1.8.3 Payout preparation and payment

In a manual system, salaries will be paid by cash, and control procedures should be in place over cash payments made (e.g., cash send transfers or cash withdrawn by bank card). Where payment of salaries is by EFT, which is very common, the full range of controls over EFTs should be in place.

13.1.8.4 Deductions: payment and recording

This is no different from the pay over of deductions in a wage system. Payment can be by EFT (including eFiling) and the full range of controls should be in place.

13.1.9 The role of the other components of internal control in the payroll system

This chapter has concentrated on the accounting system that is part of the *information system* and *control activities* components of internal control. However, these components are affected by the other components of internal control, so a brief mention of the role of the other components is necessary.

13.1.9.1 The control environment

The control environment within the cycle will be directly influenced by the control consciousness of the company as a whole. With regard to the cycle specifically, the tone will be set by the manner in which the personnel department conducts itself with regard to its labour practices, such as recruitment, health and safety, settling of labour disputes, negotiations with employee unions etc., and proper training. Employees should be fairly remunerated and be paid the correct amounts due on time. This type of environment is likely to reduce the incidence of absenteeism, a poor attitude to timekeeping and attempts at claiming invalid overtime. Senior employees responsible for approving masterfile amendments, the payroll and EFT payments should be diligent and be seen to be diligent. For example, supporting evidence for masterfile amendments should be scrutinised before approval is given, random number generator devices or “dongles” and passwords should not be given to other employees to authorise or release payments. This diligent attitude will dissuade employees from colluding to add fictitious employees.

As we pointed out earlier, the payroll cycle provides a legitimate process for getting money out of the company, so if controls are not strictly enforced, theft and fraud will surely follow.

13.1.9.2 Risk assessment process

The company's formal risk assessment process will address the risks that may have a direct effect on the cycle, for example, labour strikes, a lack of skilled personnel, HIV/AIDS, and information technology risk (EFT). Less formal risk assessment can occur within the cycle itself with the employees in the section evaluating the risks and responses already in place to address the specific risks facing the section, for example, failure to comply with the (quite extensive) labour laws, recruiting the right personnel, avoiding strikes and work stoppages, late or inaccurate processing of amounts owed to employees.

In a smaller entity, the risks of contravening the labour laws can be a major risk. Due to a lack of resources, formal employment practices may give way to informal practices such as employing unregistered/illegal workers, paying sub-minimum wages and failing to comply with health and safety regulations.

13.1.9.3 Monitoring

This is the ongoing monitoring of the cycle to determine how the cycle is doing over time. Broadly stated, the objectives of the cycle would be to comply with the labour laws, remunerate fairly while remaining within budgeted costs, minimise fraud, and generally maintain a reasonably content workforce. These can be monitored by period-based comparisons of such matters as:

- hours lost to strikes and downtime
- the number of disciplinary hearings
- employee turnover, shortages of particular skills, and
- incidents of fraud.

The board can conduct monitoring through scrutiny of reports on the above matters provided by section heads or an internal audit team.

13.2 Narrative description of the payroll and personnel cycle at ProRide (Pty) Ltd

13.2.1 Introduction

The staff complement at ProRide (Pty) Ltd is approximately 60 employees. This means that the cycle is relatively easy to control, but internal control in the cycle is still taken very seriously.

13.2.2 Categories of staff

13.2.2.1 Permanent salaried staff

All administration staff fall into this category as well as the warehouse manager and warehouse foreman.

13.2.2.2 Hourly paid staff

All other staff such as pickers and dispatch clerks, are paid hourly. In prior years the company made use of a labour broking company to supply and administer its hourly paid staff. However, for various reasons ProRide (Pty) Ltd no longer uses a labour broker and administers the wage payroll itself. This has resulted in the appointment of an additional administrative assistant who in addition to other duties, administers the wage employee payroll, and reports to the financial manager. The company also makes use of a legal consultant to ensure that all legal requirements are satisfied.

13.3 Hourly paid staff – How the system works at ProRide (Pty) Ltd

13.3.1 Hiring and dismissal

If an additional hourly paid worker is required, a written motivation must be prepared by Reg Gaard (warehouse manager). The motivation must be specific as to the role the new employee will play and the skills required, for example, must be able to operate a forklift. This motivation is sent to Brandon Nel (financial director) for authorisation. Before authorising it, Brandon will refer to the financial budget and consider the foundation of Reg's motivation.

If the financial director is satisfied with the motivation, Reg will approach the municipal employment agency that keeps a register of skilled and semi-skilled workers. For every position at ProRide (Pty) Ltd, three individuals will be interviewed by Reg and the payroll administrator. Background checks are carried out and where possible information on on-line databases sought, for example, whether the individual has a criminal record.

Any individual who is employed must be registered with SARS (have an income tax number) (ProRide (Pty) Ltd will assist with registering the individual) and must have a bank account (again ProRide (Pty) Ltd will assist if the individual does not have a bank account) as wages are all paid by EFT.

Where an employee is to be dismissed, for example, for theft, a full disciplinary procedure is conducted under the guidance of the company's legal consultant.

Once an appointment or dismissal procedure has been completed, the documentation is signed off by the warehouse manager and the financial director and a masterfile amendment form is completed. All masterfile amendments are logged by the computer and the log subsequently checked by the financial manager to the supporting documentation, for example, employee details, banking details, tax numbers are carefully checked to source.

13.3.2 Rates of pay and rate changes

Hourly paid employees are graded in terms of their job description, for example, picker, forklift driver, despatch clerk, and each grade has a range of hourly pay rates. Rates of pay are increased annually. A process of negotiation between employee representatives, the company's legal consultant, the warehouse manager, and the financial director takes place to determine the annual percentage increase for hourly paid staff.

Documentation arising from these discussions is used as a basis for preparing a masterfile amendment to adjust the individual employee's records in the wage employee masterfile. The MAF is signed by the financial director and the warehouse manager and amendments are logged by the computer as normal, for subsequent checking by the financial manager.

13.3.3 Timekeeping

ProRide (Pty) Ltd has invested in a biometric reader/access control system to control access to the warehouse and to record hours worked (normal and overtime), for all hourly paid staff. The “clocking” procedure is not supervised but the entry/exit point is visible from the warehouse foreman’s office:

- To record their times of arrival and departure and gain access, employees must place their thumb on a scanner. The access device compares the scanned print to the prints held in the employee masterfile and if there is a match (that is normal):
 - the employee will be granted access through a turnstile mechanism, and
 - the time of arrival (or departure) will be stored against that employee on the system.
- The access device automatically calculates and stores the normal and overtime hours worked each day.
- At any time of the day, the warehouse manager (Reg Gaard) and the financial manager (Johan Els) can access various reports on the system relating to the clocking process, for example, a report on absentee workers, employees who have arrived late or left early the previous day, and overtime worked (if any) for the previous day. These reports can be reviewed on screen or printed.
- At the end of each week (note: wages are paid every two weeks) a schedule of hours worked for each employee, split between normal and overtime, is printed, carefully checked by Reg and authorised. Any changes are recorded.

13.3.4 Payroll preparation

ProRide (Pty) Ltd makes use of reputable packaged payroll software that is menu-driven and relatively easy to use. The software is loaded on the payroll administrator’s PC and conventional access controls apply. Access to most functions is restricted to the payroll administrator. Wages are paid every two weeks:

- To prepare the payroll for the period, the payroll administrator accesses the software and a menu of various functions appears on the screen:
 - if for example, a new employee is to be added, the administrator will select the “update masterfile” option. This will reveal a submenu of options and the administrator will select the “add employee” option. (This option is restricted to him through his user profile), and
 - at this point the screen will come up formatted as a blank employee record and the administrator will enter the new employee’s details. Important mandatory fields are the employee’s identity number, income tax reference number and banking details. There are also other common program controls to enhance the accuracy and completeness of entry, for example, hourly wage rate is dependent on employee grade.
- Once new employees have been added, the payroll administrator will select the “prepare payroll” option. This will bring up the payment record for the first employee on the masterfile. The record will reflect:
 - the employee’s details
 - earnings, deductions etc. for the year to date
 - the hours worked for the two week period (normal and overtime), and
 - a number of designated blank fields into that the administrator can add data, for example, a deduction for a loan repayment.
- Before proceeding to the next employee’s payment record, the administrator will:
 - confirm the hours worked (both normal and overtime) against the hours worked schedule signed by the warehouse manager and make any alterations required, and
 - enter any other adjustments to be made, for example, special bonus or loan repayments.
- When the administrator selects the “confirm” option, the computer will process the changes to complete the payment record for the period.
- All adjustments are logged by the computer for subsequent checking by the financial manager.
- Once all employees’ payment records have been reviewed and updated, the system produces the payroll for the period. The system also produces a period-to-period reconciliation and various other analytical reports can be generated, for example, wages for the period by cost centre, employee grades, etc., but ProRide (Pty) Ltd does not require these.

- At this point Johan Els (the financial manager) will access the payroll file and perform whatever verification procedures he deems necessary. These will include scrutinising masterfile amendments and the period-to-period reconciliations. He does not have write-access to the payroll.

Payment of wages by EFT

- Wages are paid to employees by EFT. The payroll administrator's computer does not have the bank's EFT software loaded onto it and the administrator is not involved in any way with the transfer, (i.e., no access to the bank account, no random number generator device).
- Once Johan is satisfied with the payroll, the same procedures that are followed for making EFT payments for salaries are followed.
- Finally, a copy of the payroll is printed, signed by the payroll administrator and Johan, and filed in period order. A payslip for each employee is printed and given to the employee. The warehouse manager and payroll administrator deals with any queries.

13.3.5 Payout and deductions

Deductions are also paid over by EFT, or in the case of payments to SARS, by eFiling.

13.4 Salaried staff – How the system works at ProRide (Pty) Ltd

13.4.1 Introduction

ProRide (Pty) Ltd does not have a large salaried staff so this expense is easy to control. There is no chance of a “fictitious” employee being added or unauthorised increases being effected. Salaries are paid directly into employees bank accounts by EFT.

13.4.2 Personnel function

As the staff contingent is small, a separate personnel department is not warranted. The wage payroll administrator does not deal with salaries or salaried staff at all. The responsibilities pertaining to human resources are dealt with as follows:

(a) Appointments

The company uses a reputable employment agency to recruit staff. For example, when Ruth Taylor (purchasing manager) requires a new employee for her department, she is required to prepare a motivation. This will be appraised by Brandon Nel (financial director) who will decide whether the vacancy should be filled. If so, a precise instruction of the qualities, qualifications and experience required by the person to fill the vacancy is prepared. It is signed by the department head and Brandon, and sent to the agency. The agency will prepare a list of up to three applicants having conducted extensive background checks and competency tests. The listed candidates are then interviewed by Brandon, Peter Hutton (managing director) and the appropriate department head.

On appointment, the selected applicant is required to sign an employment contract and complete a “Personal Details” form. This form contains, among other things, personal taxation and banking details as well as the starting salary agreed to. The form is signed by the employee and by Brandon, and becomes the authorising document (masterfile amendment form) for adding the employee to the masterfile. A hard copy personal file is maintained for each employee. All documentation pertaining to the employee is placed in the file and the files are kept under lock and key in a separate filing cabinet by Johan (financial manager) for confidentiality purposes.

(b) Dismissals and resignations

Dismissals and resignations occur very seldom. When they do occur, ProRide (Pty) Ltd consults with their legal advisors to ensure that the law is adhered to.

If a dismissal or resignation does take place, then a standard form is completed and signed by Brandon and the employee. This form becomes the authorising document for terminating the monthly salary payment and the (eventual) removal of the employee from the employee masterfile.

(c) Salary increases

Salary increases occur once a year. Johan Els (financial manager) prepares a schedule that details each employee's current salary as well as their increase history. Based on this schedule and performance reviews that are carried out twice a year on each employee, Brandon Nel (financial director) and Peter Hutton (managing director) decide upon salaries for the ensuing year. The schedule is signed by both of them and becomes the authorising document for the increase of salaries on the masterfile. The increases schedule is passed to Johan, who records the amount and date of each employee's increase on their Personal Details form in their personal file.

13.4.3 Payroll preparation**(a) Procedure**

Salaries are paid on the last Wednesday of each month. This is a relatively simple procedure as very little changes from month to month. The company uses reputable packaged payroll software loaded onto Johan's PC. The software is menu-driven and access is restricted to Johan. Having accessed the application, he selects the "prepare payroll" module from the menu. This brings up the payroll for the month on the screen and the opportunity is offered to him to make any amendments necessary, for example:

- If a new employee is to be added, he will select the "add employee option" and a sub screen will appear formatted as an employee masterfile record into which Johan can key in the required data, for example, employee details, salary, etc. Besides the general program controls to enhance the accuracy and completeness of data entry, such as alphanumeric tests, field size test (on ID number) there are mandatory field checks on, among other things, the employee's identity number and tax reference number. Without these an employee cannot be loaded onto the masterfile. An employee number is allocated to the new employee by the system.
- If an amendment is to be made to an existing employee's record, Johan Nel will call up that employee's masterfile record by entering either the employee's name, or the employee's staff number or the employee's identity number (minimum entry principle). This will bring up a sub-screen of the employee's record and Johan can make the necessary change, for example, change in salary or bank details.
- If an employee resigns or is dismissed, Johan will carry out the same procedure for calling up the employee's record and enter a specific code and the termination date. This does not remove the employee's record but does "flag" the record so that from the designated date a salary will not be processed for the individual. The record is not removed from the masterfile because there is information for the year needed at the end of the year to be submitted to SARS, for example, earnings for the year, taxation paid, etc.
- Using the same procedure, Johan also has the opportunity to make changes that are not changes to the standing data, for example, a special bonus or a refund of a travel claim or a loan repayment that must be deducted.

The processing of the payroll is carried out entirely by the system without human intervention. The software "imports" the deductions such as PAYE and medical aid contributions, from the relevant tables on the system, draws information from the salary employee masterfile and performs the necessary calculations to produce a valid, accurate and complete payroll. All changes to the masterfile are logged and reports of other changes, for example, bonuses added, travel claims etc., are written to a report. The system also produces a month to month reconciliation of salaries that can be tied back to the logs and reports.

The software that ProRide (Pty) Ltd uses is well supported by the supplier. This is very important because there are a number of variables in any payroll system. For example, rates of PAYE, UIF and other deductions change; this means that the respective tables used to calculate these deductions must be promptly updated. New deductions are introduced occasionally, again making it imperative that the software be updated. ProRide (Pty) Ltd's supplier keeps the software right up to date.

When Johan is satisfied with the onscreen version of the payroll, he clicks on the "first confirmation" option. He notifies Brandon (financial director), who calls up the payroll on his terminal for a second confirmation. Before he clicks on the "second confirmation" option, Brandon will access any amendment logs to confirm the validity, accuracy and completeness of any amendments. He will refer, whenever necessary, to the supporting documentation, particularly in the month of salary increases. He cannot,

however, make any alterations as he has no write-access. Should an amendment be required, he clicks on the “no confirmation” option. The payroll reverts to the control of Johan Els who is then able to make the adjustment. Once Brandon Nel selects the second confirmation, no further adjustments can be made.

(b) Effecting the transfer

For a full discussion on making EFT payments, refer to chapter 9. In essence, the controls over making EFT payments at ProRide are as follows:

- The bank has its EFT software loaded on only three terminals at ProRide (Pty) Ltd, one of which is Johan's.
- To access the bank's site on the Internet a PIN is provided by the bank and a password, unique to the employee wanting to access the site must be entered.
- Access to the *functions* offered by the bank on the site is restricted to a limited number of employees who can access the site regarding their user profiles, for example, Dalene Burger, the accounting supervisor can download a bank statement but cannot make an EFT payment.
- The bank requires that additional “one time” passwords be entered by employees effecting the transfer. The bank supplies each authorised employee with a random number generator device registered to that specific employee by the bank.
- Salary EFTs must be “authorised” by Johan and “released” by Brandon.
- Once Brandon clicks on the “second confirmation” option the salary software automatically converts the payroll file into a format acceptable to the banks EFT software. This EFT schedule contains only the employees name, bank details and the net amount to be transferred. The abridged payroll (EFT schedule) appears on screen for a final check by Johan. He selects the “authorise” option. To effect the transfer, Brandon must click on the “release” option (second signatory principle). Both the “authorise” option and the “release” option require that the “one time” passwords be entered.
- Selection of the “release” option initiates the transfer from the bank's main account, of the total amount of the salaries into ProRide (Pty) Ltd's salary account, and from there to the bank accounts of each employee.

(c) After the transfer

- Audit trail: the following day, Johan downloads a copy of the bank statement for the salaries account. Only he has access to this particular statement for confidentiality purposes. He compares the bank statement to a hard copy version of the EFT payment schedule to confirm that the correct amounts were transferred. Any problems will be resolved. For example, on occasion an employee will change his bank account and forget to inform ProRide (Pty) Ltd, and the EFT will not go through. The monthly bank statements and EFT schedules are filed in date order in Johan's secure filing cabinet.
- Payslips: the salary software prints out a monthly payslip for each employee that provides details of the monthly earnings, pension contributions and deductions as well as cumulative totals year to date.

13.4.4 Deductions

The payroll software produces schedules of all the deductions that must be paid over to the relevant authorities, for example, PAYE, medical aid and pension contributions. These are paid by EFT (normal controls apply) and by eFiling in the case of payments to SARS.

Note: Exactly the same principles apply to the payment of wages by EFT. One difference is that Johan Els does not have write-access to the wages payroll file and any changes required that were picked up after the payroll administrator has confirmed the payroll (first confirmation), will have to be referred back to the payroll administrator. Johan cannot effect the changes.

13.5 Auditing the cycle

13.5.1 Introduction

For the purposes of this section, we have not dealt with the payment of salaries and wages as separate expenses, as they are so similar in nature. However, there are a few differences that may affect the audit:

- The underlying controls will basically be the same, with the general exception that for wage earners gross remuneration will not be fixed as it is for a salaried employee. There will be controls over recording the hours worked, both normal and overtime, for wage earners, and the auditor will want to be satisfied that these controls result in the accurate and complete recording of hours worked.
- Directors and prescribed officers of the company are salaried employees, and extensive disclosure of their remuneration must be made in the annual financial statements. The audit of salaries will include procedures relating to these disclosures.

The risk of material misstatement in the salaries and wages accounts would not normally be regarded as high even if they make up a significant portion of the company's expenses. The reasons for this are:

- Management is usually strongly control conscious with regard to the payment of salaries and wages as it is a cycle that can result in fraud if controls are not implemented.
- The account headings do not offer huge opportunities for the directors to manipulate the financial statements if they are inclined to do so.
- There are parties external to the entity, that are directly "interested" in the cycle, for example, SARS, the company's medical aid, trade unions, etc., so for example, trying to include fictitious employees can get complicated. Government departments such as the Department of Labour may also conduct external audits of the company's employment practices.
- Current payroll software processes are accurate and contain program controls that make it difficult to include fictitious workers or change salaries or wage rates without leaving a trail, for example, mandatory fields and logging of amendments.

However, the auditor cannot just assume that the above applies! There are plenty of wage frauds, management is not always honest, companies don't necessarily use good software (or any software!), and there are plenty of illegal labour practices being undertaken.

In terms of ISA 315 (revised), the auditor is required to identify and assess the risk of material misstatement in the financial statements and it is this process that will determine the nature, timing and extent of the further audit procedures that will be carried out on the audit. There are a number of circumstances that could give rise to material misstatement relating to salaries and wages that the auditor may need to address:

- ***The inclusion of fictitious employees on the payroll.*** Although the inclusion of fictitious employees is far more likely to be a fraud perpetrated by employees to enrich themselves and not an attempt by management to manipulate the profits of the company to reduce tax, the auditor will still need to respond if he thinks the risk is present. This is made clear in ISA 240. We frequently read of auditors from the auditor general's office, uncovering "ghost/dummy" workers (including teachers) in provincial and government departments, so the threat of this practice is real. In the audit of smaller companies, there is always the possibility of owners/directors/managers deliberately adding a family member/friend to the company payroll even though the individual does not actually work for the company. Remember that a fictitious employee does not have to be an imaginary person – a fictitious employee in the context of a company may be a genuine person who is paid by the company but does not work for the company.
- ***Illegal employment practices.*** These include employing illegal aliens, people without work permits, or paying wages below the minimum wage rates. While wages (and salaries) paid in these circumstances may not directly result in the misstatement of the financial statements, there are severe penalties and fines arising from these illegal activities. To achieve fair presentation these should be disclosed, but it is hardly likely that the directors will make these disclosures! In addition, these practices would amount to a reportable irregularity in terms of Section 45 of the APA. While illegal employee practices can be an emotive and ethical issue, the fact remains that they are illegal and the company could face prosecution, penalties and fines. The problem is compounded by the fact that management are unlikely to include these individuals on the formal payroll and wages paid to them may be concealed.

- **Disclosure of director's and prescribed officer's remuneration.** In terms of section 30 of the Companies Act 2008, extensive disclosures about the remuneration of directors and prescribed officers in all its forms, must be made in the financial statements of all companies that in terms of the Act, have their financial statements audited. Directors, particularly of private companies, may be hesitant/unwilling to comply with these requirements which may result in disclosure that is incomplete or inaccurate. An added complication is that the definition of a prescribed officer is open to interpretation as to which employees are or are not prescribed officers, which may also result in incomplete disclosure in terms of the section. The risk of material misstatement in disclosure may be increased if the directors engage in tax evasion schemes to reduce their personal tax burdens. For example, the company provides vehicles for the director's personal use, pays all vehicle expenses, but the company does not declare the fringe benefit and does not deduct PAYE. This can also amount to a reportable irregularity in terms of the APA.
- **Employment benefits.** Furthermore, in terms of various accounting standards there are extensive disclosures that must be made in respect of employee benefits that apply to both salary earners and wage earners. These are classified as either short-term benefits, long-term benefits, post-employment benefits and termination benefits, and can be in themselves very complex to account for. The audit of amounts and disclosures relating to these benefits, is beyond the scope of this text and will not be addressed other than in a general way.

13.5.2 Financial statement assertions and the payroll and personnel cycle

13.5.2.1 Transactions

The payment of a wage or a salary is a transaction, so the relevant assertions that the auditor will address are:

- **Occurrence**, that is, the totals (account balances) recorded for salaries and wages include only amounts paid to genuine (non-fictitious) employees in respect of genuine (non-fictitious) hours worked.
- **Completeness**, namely, all salaries and wages paid or payable for the period, have been included in the account balance. The risk of material misstatement arising from the omission of salaries or wage payments is not usually anything other than low, but the auditor should be aware that payments to illegal employees may be excluded and written off through other accounts.
- **Accuracy, cut-off and classification**, in other words, amounts paid for salaries and wages and other related data have been recorded appropriately, the payments have been recorded in the correct accounting period, and the amounts have been recorded in the proper accounts. The risk of material misstatement relating to these assertions is usually low. Because the use of packaged salary and wage software is widespread, the accuracy of calculating amounts owed is usually very accurate and postings to the proper accounts (e.g., salary expense, deduction account, etc.) are appropriate. With regard to cut-off, there is a possibility that at the end of the financial year there may be amounts due to employees in respect of salaries or wages. For example, if wages are paid every two weeks and the financial year falls in the middle of that two-week period, there will be a week's wage owing at the financial year-end that must be accrued.

13.5.2.2 Presentation

As pointed out above, the risk of material misstatement in the disclosure of director's and prescribed officer's emoluments may be reasonably high. The auditor is most likely to be concerned about the following assertions:

- **Completeness**, for example, have all disclosures about all directors (executive and non-executive) and all prescribed officers, been included.
- **Classification and understandability**, for example, does the disclosure classify the type of remuneration as required, for example, salary, contribution to pensions, compensation for loss of office, etc., and have disclosures been expressed clearly.
- **Accuracy and valuation**, for example, are the details of the disclosure and related amounts accurate and fair.

13.5.3 Substantive procedures of the payroll and personnel cycle

The nature, timing and extent of the further audit procedures to be conducted, will depend on the risk assessment that was carried out. Audit firms use different combinations of procedures that may include some or all of the following:

13.5.3.1 Analytical procedures

Where the risk of material misstatement is assessed as low, the auditor may simply decide to conduct analytical procedures and follow up on any fluctuations revealed by the analysis. Analytical procedures will include:

- Comparisons
 - salaries: month to month by division, department or section
 - wages: period to period by cost centre, etc.
 - salaries and wages to the prior year corresponding period, and
 - deductions paid over to third parties, month to month.
- Ratio and trend analysis, for example
 - salaries as a percentage of total expenses
 - wages as a percentage of production costs, and
 - wages in relation to production (output).
- Investigation of fluctuations and follow up of any explanations given by the client.
- If a month-to-month reconciliation for salaries and a period-to-period reconciliation for wages are produced, they will prove a valuable source of evidence for the auditor as they should corroborate the fluctuations identified by the analytical procedures. They should also provide an explanation for the fluctuations. For example, the reconciliation may reveal that an increase in net salaries arose due to the appointment of ten new staff members.

The auditor would then confirm this by inspection of the supporting documentation, for example, employment contracts, signed masterfile amendments, etc.

13.5.3.2 Procedures to confirm that employees on the payroll are not fictitious

The auditor's intention will be to obtain evidence that salaries/wages are paid to genuine living people who *work for the company*. To do this, the basic approach will be to extract a sample of employees from the payroll selected:

- Inspect the documentation in the employee's personnel file, for example, signed employment contract, identity details (identity numbers can be verified on the national identity number database), tax registration forms, etc. and agree it to the payroll.
- Perform a positive (physical) identification of the employee where possible; this would involve visiting the employee at his place of work during working hours and inspecting his personal identity document or staff identity tag.
- Enquire of senior personnel to confirm (in writing) that specified individuals are employed in their section or division.
- Inspect returns to outside entities for the inclusion of employees selected in the sample, for example, PAYE reconciliations submitted to SARS, or medical aid contribution returns.
- Use audit software to scan the employee masterfile for "error conditions" that may indicate fictitious employees, for example:
 - duplicated or missing identity numbers
 - duplicated or missing tax reference numbers
 - duplicated bank accounts, and
 - duplicated staff employee numbers.
- By discussion with the staff in the personnel section and examination of the employment and dismissal/resignation documentation, confirm that employees are put onto or removed from the masterfile on the correct date (if an employee leaves, but is left on the payroll, he is in effect a fictitious employee).

13.5.3.3 Detailed testing of the payroll

The results of analytical procedures are only worthwhile if the underlying data being used in the analysis is valid, accurate and complete. In conducting month-to-month or period-to-period comparisons, the auditor may wish to satisfy himself that the salary or wage data against which he is comparing other salary or wage data, is correct. An approach that the auditor can use is to select the payroll for a base period and carry out detailed tests for that period on the payroll. If the auditor is satisfied with the “correctness” of the base period, a combination of analytical review procedures and working with the period-to-period reconciliations should provide the auditor with suitable evidence relating to salaries and wages paid. The auditor’s objective will be to satisfy himself that:

- employees on the payroll are genuine employees (this relates to the occurrence assertion and has been addressed in 13.5.2 above)
- the gross salary used in the calculation of the net salary paid, was authorised, or
- in the case of wages, the hours worked (normal and overtime) and the hourly rates used in calculating the gross wage were authorised, and the calculation was correct
- the standard contributions by the company to medical aid and pension funds etc., and the corresponding deductions from the employee’s earnings are correct
- all additional amounts paid to the employee and deductions made, for example, commissions, bonuses, travel claims or loan repayment deductions, were authorised, and
- the calculation of the net pay is correct.

To conduct detailed tests on the payroll, the auditor should:

- Confirm that the gross salary used in the payroll is authorised in terms of company’s remuneration policies and signed salary notifications in the employee’s personnel file
- Trace any additional amounts paid to the employee to source documentation:
 - inspect the source documentation for a valid authorising signature, for example, the financial director approving the payment of an incentive bonus or the sales manager authorising a sales commission
 - re-perform any calculations, and
 - confirm by enquiry and inspection, that the payment is valid in terms of company policy.
- For hourly paid employees, confirm that the hourly wage rate used for the employee is in accordance with the wage rate for that level of employee and is authorised in terms of a notification in the employee’s personnel file or a general agreement with a trade union or similar, if applicable.
- For hourly paid employees, inspect any overtime reports signed by the foreman or production manager for the period selected, and confirm that the rate used for overtime complied with company policy and labour requirements, for example, overtime rate is normal time and a half.
- Compare all deductions, for example, PAYE, pension, medical aid, to the appropriate tables/rules to confirm that the correct amounts were deducted.
- Confirm by inspection, that all non-standard deductions, for example, garnishee orders or loan repayments, are supported by approved documentation.
- Test the casts and the arithmetical accuracy of the payroll as appropriate.
- Trace amounts posted from the selected payroll to the relevant accounts in the general ledger.

13.5.3.4 Presentation and disclosure

The presentation and disclosure of information pertaining to the payroll cycle will be governed by:

- the requirements of section 30 of the Companies Act 2008 (applicable to the remuneration of directors and prescribed officers for any company that is required to be audited in terms of the Act)
- the JSE listing requirements (for listed companies)
- the King IV Report on corporate governance, and
- a number of accounting statements, for example, IAS 1, IAS 19, IAS 24, IAS 37.

Usually, the client will provide detailed workings/schedules to support the actual disclosures in the financial statements and a senior member of the audit team will:

- by inquiry and inspection, evaluate the company’s processes for gathering this information, and

- by inquiry of senior personnel, inspection of internal and external documentary evidence, re-computation of calculations, etc.,

gather sufficient appropriate evidence that all disclosures required in terms of the pronouncements listed above, have been made, classified correctly, and that amounts are accurate and fairly valued and that the disclosures are made in an understandable manner. This will include determining exactly which “prescribed officers” must be included in the remuneration of directors’ disclosures.

13.5.3.5 Notes

Note 1: If the auditor suspects there are wages being paid that are not being recorded in the payroll records, for example, to workers who do not have work permits, he should:

- discuss the matter with senior company personnel, for example, financial director, personnel manager and/or lower level employees such as foremen
- consider conducting a reverse identification (e.g., employee to payroll records)
- be alert to situations that suggest that there may be such practices going on, for example, the labour costs do not appear to match up with the size of a construction project being undertaken by a company, and
- be alert for regular cash payments flowing out of the company.

Since this type of practice carries strong penalties, and is unlikely to be carried out without the knowledge of at least some senior personnel, it may be very difficult to follow up on.

Note 2: Attendance at wage payouts:

Before the strong move towards paying wages by EFT took hold, wages were generally paid in cash with employees attending a wage payout at a central point where they were required to present some form of identification and sign the payroll to acknowledge receipt of the wage packet that contained the cash they were due. Any unclaimed wages were entered in an unclaimed wage register, kept in a safe place, and paid over to the employee when he returned to work. Refinements of this system included using security companies to actually make up the wage packets and assist with the payout of the wages. It was a common practice for trainee accountants to attend a wage payout on a *surprise basis* as this provided an opportunity to verify the existence of employees on the payroll and identify any potential fictitious employees evidenced by wage packets that were not collected or by employee names that remained unsigned on the payroll. Obviously with the considerable increase in the payment of wages by EFT, attendance at a wage payout is no longer a common procedure for a trainee accountant. However, enquiries relating to the update of this text revealed that auditing firms are from time to time requested to attend wage payouts. Examples given were typically as a direct request from a client to attend a payout at a remote site, for example, a commercial farming operation, plantation or construction site, more as a control procedure for management, or as an investigation into a suspected wage fraud, rather than a procedure carried out for audit purposes. The basic policies and principles for attending a wage payout under these circumstances would be:

- attendance would be on a surprise basis, (i.e., those responsible for the payment of wages at the client’s site should not be aware of the auditor’s attendance)
- the number of wage packets and basic details of the employees to be paid would be agreed to the payroll before the payout takes place
- the identification presented by the employee, should be inspected and marked by the attending auditor before the wage packet is handed over (identification may be difficult!)
- the employee should sign the payroll under the supervision/observation of the auditor
- at the conclusion of the payout the auditor should reconcile the unclaimed wage packets with the unsigned employee names on the payroll, and create a detailed work paper
- the identity of all employees who did not collect their wage packets, will be followed up to determine whether they are fictitious, and
- the auditor should perform these tasks in the presence of the person administering the payout and should ensure that the auditor is not left alone with the wage packets.

Note 3: Period to period wage reconciliation – Example (gross amount and headcount only)

Period 1 – Gross (R172 900)

95 employees × 40 hrs × R35 per hour	R133 000
95 employees × 8 hours × R52.50 per hour (overtime)	R 39 900
	<u>R172 900</u>

Period 2 – Gross (R142 800)

102 employees × 40 hrs × R35 per hour	R142 800
Difference (between period 2 and period 1)	(R30 100)
Decrease in overtime	R 39 900
Increase in employees : 7	<u>(R 9 800)</u>

Period 3 – Gross (R181 816)

104 employees × 40 hrs × R38,50 per hour	R160 160
25 employees × 15 hrs × R57,75 per hour (overtime)	R 21 656
	<u>R181 816</u>
Difference (between period 3 and period 2)	R39 016
Increase in employees 2 × 40 × R38,50	R3 080
Wage rate increase 102 × 40 × R3,50	R14 280
Increase in overtime	<u>R21 656</u>
	–

Head count reconciliation

Number of employees: period 1	95
Add appointments: start of period 2	7
	<u>102</u>
Number of employees: period 2	102
Less: resignations end period 2	(4)
Add appointments: start of period 3	6
	<u>104</u>
Number of employees: period 3	104

Note: All appointments and dismissals must be supported by authorised documentation. This is a simple illustration of the reconciliation. In practice a period-to-period reconciliation will be far more complex particularly for a large work force.

13.5.4 Automated application controls in the payroll and personnel cycle

The auditor can also rely on automated application controls to test the payroll and personnel cycle. Automated application controls apply to the processing of individual applications. They are “automated” or “automated with manual procedures” that operate at a business process level. Automated controls are controls designed to confirm completeness, accuracy and validity of processed transactions with a financial impact.

Depending on the audit approach adopted (substantive or control based), the approach for automated application control tests may vary.

For example:

Should the IT general controls environment have limited findings and the control environment is considered effective, automated controls may be tested.

If the IT general controls environment is considered not effective, the auditor may still rely on automated controls but will need to test the access and change management around the automated application control embedded in the application.

The auditor should report on shortcomings identified in the existing processes as well as weaknesses identified during the review with recommendations to improve.

Some automated application controls to consider when testing payroll and personnel cycle:

(a) Payroll applications

- Determine whether the payroll function is performed on the same financial application where all other financial functions are performed.
- If payroll is completed on a different application, interface management controls need to be reviewed to confirm that the payroll data is transferred completely and accurately and not intercepted when transferred.
- Review exception reports to determine whether the data interfaces are reported upon and reviewed. In addition, determine whether exception reports are followed up and remediated.

(b) Payroll calculations

- Determine whether the application has been configured accurately for statutory deductions.
- Perform a walkthrough of one to determine whether the payroll calculation is accurate.
- Determine who has access to change the employee tax rules configured in the application.
- Have any changes been made to the configuration during the period under review (technically changes to the configuration should only occur annually, review whether the changes were made timeously)?
- Have changes been authorised in the application?

(c) New and terminated employees

- Determine who had access to add a new employee and terminate employees that have resigned during the period under review.
- Obtain a report for all new employees during the year to inspect.
- Obtain a report for all terminated employees during the year to inspect.

(d) Time-capturing system

- If the company operates on a time-captured system and employees are paid accordingly, determine the interfaces with the time management application, the payroll application and related exception reports that are produced.
- Review exception reports to determine whether the data interfaces are reported upon and reviewed. In addition, determine whether exception reports are followed up and remediated.
- Determine who has access to the time-capturing application configurations.
- Have any changes been made to the configuration during the period under review?
- Have changes been authorised in the application?
- Are validity checks built into the time application system to test limits, (i.e., maximum hours of work per week, overtime permitted, public holidays, etc.)?

(e) Pay rate

- Determine who has access to change rates within the application or make changes on the masterfile.
- Have any changes been made to the configuration during the period under review?
- Have changes been authorised in the application?
- Determine whether these rate changes were approved by the authorised individual.

(f) Other tests

- Determine whether the system has been configured to perform an edit check when a duplicate bank account is entered; alternatively, perform analytics to test for duplicate bank account details.
- Determine whether the client has configured the transaction trail accurately within the application. Review system documentation and automated journals that are processed when entries are made.
- Perform a walkthrough of one to determine whether the transaction reflects accurately.

Finance and investment cycle

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14.1 The accounting system and control activities

14.1.1 Introduction

This cycle essentially deals with those transactions a company enters into to raise finance, for example, by issuing shares, or borrowing money from a bank or investment company. The cycle also deals with the investments the company makes, whether it be in property, plant and equipment, making long-term loans or investing surplus funds. The transactions in this cycle will usually result in the creation or alteration of an account balance, for example, investment in property, plant and equipment may also result in cash inflows and outflows, that are written off at the end of the financial year, for example, interest or dividends received on investments or interest paid on borrowings.

In a general sense, the audit of the capital employed section of the statement of financial position is linked to the finance side of the cycle, and the audit of non-current assets to the investment side of the cycle.

14.1.2 Characteristics of the cycle

14.1.2.1 Frequency of transactions

The number of transactions in this cycle is considerably smaller than for “everyday” transactions, such as purchases and sales, salaries and wages, etc.

14.1.2.2 Size of transactions

Transactions in this cycle are usually material. Generally, the amounts are large when a company raises finance or purchases non-current assets.

14.1.2.3 Legal and regulatory requirements

Transactions in this cycle are frequently governed by statute and by the company’s Memorandum of Incorporation (MOI).

For example, if the company chooses to issue shares, it must comply with the requirements of the Companies Act. If the directors wish to declare a dividend to shareholders, they must comply with the company’s MOI and with section 46 of the Companies Act, which deals with distributions (as defined) to shareholders.

14.1.2.4 Non-routine internal controls

Due mainly to the three characteristics identified above, transactions in the cycle will not be subjected to the routine everyday controls relating to transactions. However, it is still very important that strict controls are exercised over these transactions and what might be termed “compensating” controls should be put in place.

14.1.2.5 Non-standard documentation

Because of the “uniqueness” of transactions in this cycle, it is unlikely that the documentation relating to them will be the standard everyday documentation, for example, goods received notes, invoices, etc. Certainly, there will be occasion when these documents are used but more often than not, documents specific to a particular type of transaction will be used, such as contracts and lease agreements.

14.1.2.6 Major risks within the cycle

Although the risk of material misstatement must always be evaluated in terms of the specific circumstances at the client, generally the major risks would be that the client understates *completeness* of the long-term liabilities or overstates *existence* and *valuation* of the investments that have been made whether these are investments in plant and equipment, etc., or in other private or public companies. Due to the legal and regulatory requirements, there is also a risk that invalid transactions have *occurred*, for example, long-term loans raised in contravention of the MOI, or the issue of shares to a director without the appropriate approval in terms of the Companies Act.

14.1.3 Compensating controls

14.1.3.1 Planning

Transactions in this cycle, for example, investment in plant and equipment, should be carefully planned by senior experienced management. This normally involves:

- the formation of specific committees, for example, a capital expenditure committee, that will evaluate the need for capital expenditures and how they will be financed, or an investment committee, that may look at alternative forms of investment for surplus funds
- the preparation of capital expenditure budgets and cash flows, for example, is adequate funding available to settle the purchase consideration
- exhaustive consideration of alternatives, for examples best method of raising finance, and
- regularly comparing actual performance to budgeted performance to assist in ongoing planning.

Note: Decisions will often be prompted by strategies adopted by these committees to respond to risk.

Controls over purchasing these items should be in place, such as obtaining multiple quotes from pre-approved suppliers.

14.1.3.2 Authorisation

- Authorisation of material finance and investment transactions should be at the highest level. This could be through resolutions of a fixed asset committee, a steering committee, an investment committee or the board of directors.
- The resolutions should be minuted.
- The resolutions may be subject to authorisation requirements in
 - the company's MOI
 - the company's policies, and
 - the Companies Act where applicable.
- Legal advice should be obtained to consider the implications for the entity before concluding any material agreement.
- Signed agreements should be entered into and should include all relevant terms and conditions.

14.1.3.3 Implementation

Where the implementation of the transaction is other than straightforward, it should be carried out by competent staff and properly controlled. For example, installing a new production line should be regarded as a project and sound project controls must be implemented. If a public share issue is to be undertaken, merchant bankers, lawyers and other experts should be involved.

14.1.3.4 Review and approval

Transactions in this cycle should be subjected to:

- progress reporting
- comparison to plans and budgets, and
- independent scrutiny by internal audit, particularly for compliance with legal and regulatory requirements.

14.1.3.5 Controls after asset is on hand

Once the asset is on hand, it can be lost, stolen or damaged and, therefore inappropriately recorded in financial statements.

Security

- All material tangible assets should be physically secured to avoid theft of assets and loss to the entity.
- A detailed fixed assets register should be kept and at least once a year a physical count should be performed where the physical condition is assessed for any indication of impairment.
- The assets should be serviced regularly in order to maintain their functionality.

14.2 Narrative description of the finance and investment cycle at ProRide (Pty) Ltd

14.2.1 Introduction

As with many businesses of the size of ProRide (Pty) Ltd, not many “finance and investment” decisions are made in a single year. However, this does not mean that controls are weak in the cycle – on the contrary. Finance and investment decisions are subject to various compensating controls and other controls.

14.2.2 Planning

14.2.2.1 Budgets

All transactions in this cycle are carefully planned. The annual budget forms the basis of planning. In putting together their annual budgets, department heads (e.g. Reg Gaard, warehouse manager, Gary Powell, IT manager) must indicate and motivate for any new capital expenditures they require. As part of their motivation, they must obtain estimates (quotes) from various suppliers on price, and any service contract costs, for example, should Reg Gaard require a new forklift, he must present quotes from three suppliers.

All capital expenditure is subjected to the same budgetary process regardless of the value, i.e. department heads are not permitted to make acquisitions up to R10 000 without committee consent.

14.2.2.2 Capital expenditure committee

This committee consists of Brandon Nel, Johan Els and Peter Hutton, the financial director, financial manager and managing director respectively. All motivations from department heads are evaluated in the presence of the department head so that alternatives can be discussed, and queries resolved.

The decision as to whether or not to go ahead with the expenditure is minuted along with the full detail of the proposed expenditure. The committee members sign the minutes, which become the authority for the acquisition.

14.2.2.3 Financing

All three members of the committee have financial qualifications and are quite capable of deciding on the best method of financing the purchase. Where they require expertise with an asset financing decision, they will obtain assistance from their bankers and external auditors.

14.2.3 Authorisation and implementation

The acquisition of the asset becomes the responsibility of the department head working with Brandon Nel, the financial director, who is solely responsible for negotiating final prices, terms and finance arrangements. Brandon Nel signs any contracts entered into. No material purchase agreement/financing contract is drawn up without it being scrutinised by the company’s legal advisors.

14.2.4 Review and approval

As the incidence of capital expenditures is low, there is limited review and approval. However, about once every three months the committee will meet to discuss whether:

- acquisitions scheduled in the capital budget have actually been acquired and are functioning as required
- business circumstances, that necessitate a change to the budget have occurred, for example, capital expenditure should be delayed because cash flow has not been as expected, or an expected increase in inventory holding has given rise to a need for new warehousing facilities, and
- equipment, etc., is being adequately maintained.

14.2.5 Other controls

- The department heads are responsible for maintaining assets in their section – for example, ensuring that, where applicable, they are serviced at the appropriate time.
- Employees may not use company assets for personal purposes.
- Payments, whether by instalment or “one off” payments, are subject to the same control procedures as all other payments (see chapter 11).
- A fixed asset register is kept and once a year a physical asset count is undertaken. Every fixed asset is inspected and traced to the fixed asset register, and its condition assessed.

14.2.6 Investment of surplus funds

As ProRide (Pty) Ltd is a private company, decisions on how profits that are surplus to business requirements should be treated are resolved by a meeting of the shareholders. Both Brandon Nel and Peter Hutton are shareholders. As a policy, the company does not invest in listed or private companies; shareholders prefer to declare dividends and invest in their private capacities.

14.2.7 Long-term loans

The company has a policy that no long-term loans will be made to anyone other than the directors. Loans to directors are made very seldom and are only made:

- up to specified limits (a percentage of the director's annual remuneration)
- on the strength of a written motivation, and
- if *all* shareholders agree.

14.3 Auditing the cycle

14.3.1 Introduction

As for all other cycles, ISA 315 (revised) requires that the auditor identify and assess the risk of material misstatement at the financial statement level and at the assertion level for classes of transactions, account balances and disclosures. The risk assessment procedures will be carried out in any cycle and will hinge around the auditor gaining a thorough understanding of the entity and its environment. In the context of this cycle, the auditor will need to evaluate whether there is anything in the assessment of risk at financial statement level that may filter down into the audit of the cycle and whether there are any specific risks pertaining to the various balances and transactions in the cycle.

For example:

- At financial statement level: if the auditor has concerns about the “accounting” competence of management, there may be a risk of material misstatement in a number of balances relating to the cycle, for example, management may not even be aware of matters such as impairment requirements to establish fair value, or how intangible assets should be measured.
- At account balance level: risk assessment procedures may have revealed that a number of machines may have become technically obsolete.
- At transaction level: risk assessment procedures may reveal that long-term loans are being made to directors and other related persons without considering the requirements of the Companies Act.

14.3.2 Fraud in the cycle

14.3.2.1 Fraudulent financial reporting

This cycle presents the directors with a fair number of opportunities for fraudulent reporting, as numerous account headings can be manipulated. The auditors would be particularly concerned with the manipulation of allowances, provisions, impairments, and fair values. Working on the assumption that the directors' motive would be to improve the financial statements through fraud, the following methods could be adopted:

- ***Creating unjustified reserves with a corresponding increase in fixed assets*** (valuation), for example, obtaining an inflated property valuation from an estate agent.
- ***Omitting long-term liabilities*** (completeness), for example, failing to record a new loan and disguising the inflow of cash as income, or failing to capitalise leases.
- ***Undervaluing long-term liabilities*** (valuation), for example, failing to amortise debentures redeemable at a premium.
- ***Overstating property, plant and including fictitious assets or assets that the company does not own*** (existence and rights), for example, including the assets of a related party.
- ***Overstating plant and equipment, understating depreciation allowances and impairments*** (valuation), for example, failing to write down obsolete/impaired machinery.
- ***Overstating investments in listed and/or private companies***, for example, failing to write down the cost of investments in private companies, where the fair value of the investment has fallen.

- **Understating or omitting provisions/allowances**, for example, not providing for long-term environmental damage that the company has an obligation to rectify.
- **Omitting or inadequately disclosing contingent liabilities**, for example, the company makes no mention in the notes of a pending lawsuit that may have grave consequences for the company.

Note that any manipulation of the statement of comprehensive income by the directors will also affect the capital section of the statement of financial position.

14.3.2.2 Misappropriation of assets

This cycle does not present any unique opportunities to management or employees to misappropriate assets, other than:

- **Making unauthorised use of the company's assets for personal use**, for example, using the company's computer processing facilities to run private accounting jobs, taking company vehicles or equipment home for weekends for private use, using company assets as security for personal loans, or the directors making (unauthorised) long-term loans to themselves.

14.3.3 Overall responses to risk of material misstatement at financial statement level

In terms of ISA 330, the auditor must implement overall responses to address the risk of material misstatement at the financial statement level.

For example:

- assigning more experienced staff to the audit team, for example, in response to an assessed risk that management may lack "accounting" competence. The auditors will assign staff who have a high level of technical competence relating to the account headings in this cycle
- providing more supervision of audit work as well as more frequent and comprehensive review
- the engagement of an expert to assist with the audit of complex transactions.

14.3.4 Responding to risk at assertion level

There is no change in principle here. The auditor will still need to decide on the nature, timing and extent of tests that will reduce audit risk to an acceptable level. Remember, the best mix of tests of controls and substantive tests, that is observation, re-performance, inspection, etc., must be decided upon and executed. Particular considerations for these cycles include:

14.3.4.1 Nature of substantive procedures

- As there are normally only a few transactions (relatively) in this cycle, the auditor may limit tests of controls (not ignore them!) and concentrate on performing substantive tests of detail, often on each of the transactions that have occurred, and the account as a whole.
- A common approach is to verify the opening balance on the account, vouch the transactions that make up the movement on the account including adjusting journal entries, and verify that the closing balance agrees with and is appropriately reflected in the financial statements.

For example:

SpendIt Ltd has raised two long-term loans and repaid one. Broadly it will be audited as follows:

Opening balance : compare to prior years' closing balance in working papers

Two new loans : vouch as transactions (occurrence, accuracy, cut-off, classification and completeness)

Repayment : vouch as a transaction (occurrence, accuracy, cut-off classification and completeness)

Closing balance : cast account and confirm that appropriate presentation and disclosure have been achieved (presentation).

Where a subsequent measurement adjustment has been passed, for the amortisation of a debenture redeemable at a premium, the adjusting journal entry will be vouched.

If there are numerous and frequent transactions in this cycle, for example, lots of purchases of machinery and other equipment, then tests of controls would be carried out as with any other cycle.

The same broad approach would be adopted, but the extent of substantive testing would be influenced by the outcome of the tests of controls, and samples of transactions relating to the account heading would be extracted for audit.

14.3.4.2 Extent of substantive procedures

As indicated, there are frequently few transactions in the cycle and each can be audited individually. When there are numerous transactions, for example, in very large organisations, the normal principles of sampling would be adopted, and the extent of substantive testing would be influenced by the risk assessment and effectiveness of controls.

14.3.4.3 Timing of substantive procedures

Nothing about the cycle makes the timing of tests particularly critical so they may be conducted at the interim or final stage. Quite often the external auditor may be asked for input when the transactions are taking place, for example, the auditor may be consulted on Companies Act or JSE listing requirements for a share issue and some audit work may be done at this stage. Where a tight audit deadline is in place, early verification and roll forward procedures can take place quite conveniently, such as physical asset inspections, statutory work, and scrutiny of finance leases raised at an interim date two months before year-end.

14.4 ISA 540 Auditing accounting estimates and related disclosures

It is quite possible that in this cycle “fair values” will be used extensively. In some cases, auditing fair value is straightforward for investments in listed shares. The auditor can use share price listings that are widely available, but for other account headings relating to this cycle, establishing fair value may be far more complex. Complex accounting estimates have become more prevalent in financial statements as businesses themselves become more complex, and need the auditor to consider management’s estimate of financial statement items based on various factors.

ISA 540 – Auditing accounting estimates, including fair value accounting estimates and related disclosures: Accounting estimates vary from amounts arising from depreciation (useful lives), contingent events, warranties, provisions, to allowances, etc. Fair value accounting estimates relate specifically to “fair values” such as estimating the “fair value” of shares that are not in a listed company. Accounting estimates also include the disclosures made in the financial statements, if any, related to the monetary estimate made. There are inherent risks in the estimation of a financial statement item. ISA 540 requires that *inherent risk factors* be identified and addressed. Because the shares are not traded in an active market, the estimation of the fair value will have an inherent degree of imprecision because they cannot be precisely measured. This type of inherent risk, where no instrument will measure an item precisely, is called *estimation uncertainty*. Secondly, the *complexity* of the estimate will need to be considered. The estimation of the useful life of typical property, plant and equipment will be less complex than the estimation of a pension plan liability for a pension fund, which will require actuarial knowledge, an actuarial valuation model that uses probabilities to predict outcomes, and needs to use appropriate internal and external data that may be difficult to attain or understand. Such complexities can increase the risk of misstatement with varying degrees, and may require management to engage a management expert. Thirdly, the *subjectivity* of the accounting estimate relates to the judgments that management are required to make in the estimate. These can include management deciding what information to disclose, which valuation technique to use, the assumptions used in the estimate, the data used (management using their judgment on whether internal or external data should be used and where there are various sources of data and management determines the source), where there are various possible outcomes to be measured in the estimate and management decisions on the weighting of those outcomes. Although these inherent risk factors are required to be addressed by the auditor, any relevant inherent risk factors in an estimate should be identified and addressed. Other inherent risk factors can be the susceptibility of the estimate to management bias or fraud, and a change in the nature of the financial statement line item necessitating a change in the estimation process. The impact of ISA 540 on the audit process is described below, based on the stages of the audit – illustrated in chapter 6 of this textbook. A diagram representing the process to audit an estimate is shown at the end of this section.

In the planning stage, when conducting *risk assessment procedures* and planning further audit procedures, the auditor will perform the following at an assertion level:

- Obtain an understanding of the entity and its environment as follows:
 - the transactions or events that give rise to the estimate
 - the requirements of IFRS in relation to the estimate
 - the requirements of regulations related to the estimate, for example, in the financial services industry, the actuarial valuation of a pension fund is required at least once every three years by the Pension Funds Act of 1956, and
 - the disclosures made in the financial statements regarding the estimate.
- Obtain an understanding of the IFRS requirements for the fair value measurement and disclosure of the accounting estimate. Accounting estimates will be audited at the assertion level.
- Obtain an understanding of the entity's internal control as follows:
 - the nature and extent of supervision over management's process for accounting estimates
 - how management identifies and addresses risks related to accounting estimates, including the need to use a management expert
 - how the entity addresses risks related to accounting estimates, and
 - how management reviews previous accounting estimates made.

Where information technology or systems are used, an understanding of the following is necessary:

- the financial statement items that relate to the information systems
 - how management determines the methods, assumptions and sources of data used in the information system
 - identify if any change to the method, assumptions and sources of data is necessary
 - how management understands and addresses estimation uncertainty for the estimate
 - control activities covering the process to make an estimation by management.
- Perform analytical procedures and inquire with management about prior year accounting estimates compared to the current actual amounts (or "outcome" as it is referred to in the Standard). Where there are differences between the estimate and the outcome or actual amount, the guidance of the financial reporting framework will determine whether there is a misstatement. For example, the difference between what is paid to a pensioner, and the amount that was expected to be paid to a pensioner (the estimate), is an actuarial gain or loss per IAS 19. Where the difference arises from reasonably obtainable information as at the prior year reporting date, this could indicate a misstatement.
 - Determine whether specialised skills or knowledge is required to perform these risk assessment procedures, in which case an expert may be engaged.

14.4.1 Assessment of inherent risk

Based on the above, the auditor will identify and assess the risks of material misstatement at an assertion level. This assessment must be done separately for inherent risk and control risk. For the principles relating to the assessment of control risk and risk assessment procedures, refer to chapter 6 and 7. The assessment of inherent risk depends on the extent to which the inherent risk factors affect the likelihood of misstatement and varies on a scale referred to by ISA 540 as the *spectrum of inherent risk*.

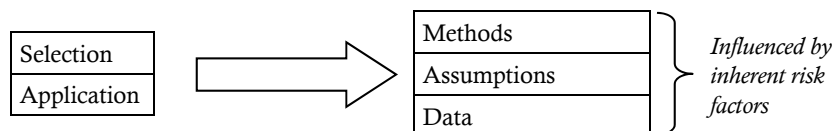
For example:

A warranty liability estimate could have a high degree of subjectivity (where management chooses which data it is to be based on, among various sources, and determines how to measure the liability) but a low degree of complexity (where an entity uses the number of goods per year multiplied by a specified percentage, and no specialised skills are needed in order to calculate it).

However, there are no rules for inherent risk factors; they have to be assessed based on information obtained in understanding the entity. It is, therefore, possible to have a warranty liability with a higher degree of subjectivity and a high degree of complexity, depending on the inherent risks of an entity. There could also be other inherent risk factors that need to be taken into account, such as the susceptibility of the estimate to *management bias* or even *fraud*, and *changes* in the nature of the estimate (such as a big change in how the estimate was made in prior years compared to the current year).

14.4.2 Responding to the assessed risk

An auditor may respond to the assessed risk of an estimate in three ways, as explained by the following example: A company buys a building and starts renting it out for rental income, and, therefore, meets the requirements of IAS 40 for investment property. In accordance with IAS 40, a fair value estimate is required at initial measurement. Because of investment property not being an observed price, the fair value will need estimation. In this example, the value the investment property is sold for can be a good estimation of its fair value. If it is sold soon after the year-end of the entity, ISA 540 paragraph 21 may apply, as that provides strong evidence of its estimated fair value at year-end – this is the first alternative. If management does not want to sell the building (more likely), it may decide to value the investment property itself. ISA 540 paragraphs 22–27 require that the auditor tests how management made the accounting estimate in the following manner (this is the second alternative):



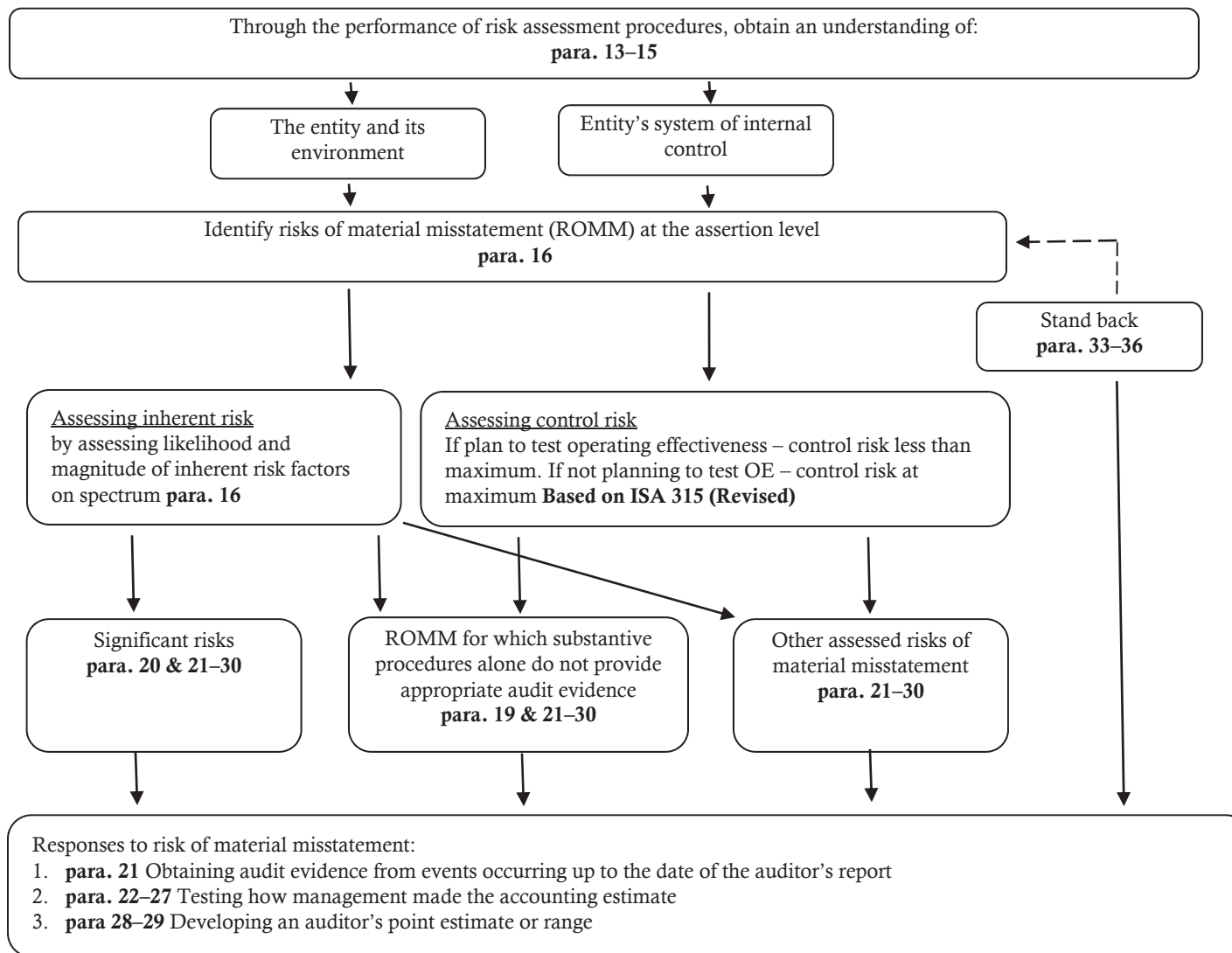
The auditor would need to address the selection of the valuation method, the assumptions implied in the method, and the data selection. The auditor would also be required to assess the application of methods, assumptions and data used in the valuation. If management had used an expert in the valuation, the auditor would need to comply with ISA 540 and the requirements of ISA 500 to rely on a management expert. The third alternative is for the auditor to estimate an amount or a range of amounts. For this, the auditor could use a variety of acceptable methods.

For example:

The auditor could use recent selling prices of investment property in the immediate area around the building to calculate a “selling price per square metre” (selling price of property divided by the number of square metres of the property), then use this estimated selling price per square metre multiplied by the square metres of the property being valued. The auditor has, therefore, calculated a point estimate. In estimating a range, the auditor may take the lowest selling price per square meter of a recently sold investment property in the area, and the highest selling price per square meter of a recently sold investment property in the area, and use that as a reasonable range for estimating the investment property’s selling price per square metre.

Diagrammatical summary of ISA 540

This diagram is based on guidance issued by the IAASB on the ISA 315 (Revised) Exposure Draft in 2018.



The stand back requirement is an overall evaluation of risks identified and how they were assessed and responded to (i.e. after all relevant evidence has been obtained). This evaluation could lead to the identification of more risks (represented by the dotted arrow) or to additional responses to the risks already identified (represented by the solid arrow).

Inherent risk and control required must be assessed separately. Only inherent risks that are on the higher end of the spectrum of inherent risk can lead to significant risks.

Either of these responses, or a combination thereof, can be used to address a specific risk. A combination of them may be more persuasive.

14.5 Audit procedures – The finance cycle

14.5.1 Introduction

Note 1: The audit of the finance and investment cycle can be very difficult and will require a technically proficient and experienced member of the audit team to be responsible for it. This is due mainly to the fact that virtually all aspects of the cycle are strongly influenced by extensive and complicated financial reporting statements that substantially increase the risk of material misstatement with regard to relevant transactions and events, balances and disclosures.

What has been included in this text is a considerably simplified version of auditing in this cycle designed to give you a general idea of what is required.

Note 2: Auditing presentation and disclosure procedures follow a general pattern. By inspection of the financial statements including the notes, reference to the applicable financial reporting standards and current audit documentation, the auditor confirms that:

1. Amounts are *presented* and positioned in the statement of financial position/statement of comprehensive income as required by the applicable financial reporting standard, for example, trade receivables under current assets.
2. The disclosures relevant to the account heading
 - 2.1 are accurate in terms of amounts, facts and detail
 - 2.2 include *specific* disclosures required by the applicable financial reporting standards for that account heading.
3. Any disaggregation or aggregation in the notes, the statement of financial position or statement of comprehensive income, is accurate and relevant.
4. The wording of disclosures is clear and understandable.
5. All required disclosures have been made.

Simplified examples have been provided for share capital, finance lease liabilities, provisions, contingent liabilities and contingent assets, property, plant and equipment.

14.5.2 Share capital

We will only consider the issue of share capital by private companies, as the statutory and JSE requirements relating to public and listed companies are fairly onerous, and a description of these requirements is beyond the scope of this text.

14.5.2.1 Opening balance

Inspect prior year work papers and financial statements to confirm that the opening balance agrees with the prior year closing balance.

14.5.2.2 Occurrence

- Inspect the MOI and any relevant shareholder resolutions:
 - for any conditions with which the issue must comply,
 - to establish that the company has the necessary *authorised* (but unissued) share capital to make the issue (note, the board may resolve to issue shares at any time, but they must be authorised shares and the MOI may include conditions).
- If any shares were issued to the directors (or a person related to the director or a nominee of such director), inspect the minutes of meetings of shareholders for a *special* resolution approving the issue to the director. Note that, in certain circumstances, this authority is not required, for example:
 - where the director is exercising a pre-emptive right
 - the issue is made in proportion to existing holdings on the same terms and conditions as has been offered to all shareholders of the company or all shareholders of the class of shares being issued.
- Confirm by inspection of the minutes of the shareholders' meetings, communications with the shareholders, or inquiry of the directors that the requirements relating to any pre-emptive rights (to the new shares) were satisfied.

- Inspect the minutes of meetings of directors to confirm that:
 - the resolution to issue shares was approved
 - the issue price of the shares was for an “adequate consideration” determined by the board (s 40).
Note: Regarding the Companies Act 2008 par value shares cannot be issued.
Note: Meetings must be quorate and approval must be in terms of the Companies Act 2008 (and MOI) for ordinary and special resolutions.
- Inspect the shareholders’ register and agree details to the share capital account in the general ledger/ statement of financial position, noting that the addition of new shareholders and changes to existing shareholdings agree with the minutes.
- Trace the receipt of payment for the shares to the cash receipts journal and bank statement or inspect appropriate evidence of value received by the company if the consideration received for shares was other than cash.

14.5.2.3 Completeness

Confirm with the directors that no other share issues have occurred during the current year.

14.5.2.4 Accuracy, cut-off, classification

- Re-perform the calculations to verify that the consideration received for the shares is in accordance with the issue price as authorised (accuracy).
- Confirm by inspection of dates on the supporting documentation that the issue occurred during the accounting period under audit (cut-off).
- Cast the capital account and all related documentation.

14.5.2.5 Closing balance

Agree the closing balance on the share capital account to the financial statements (balances will be reflected in the statement of financial position and “changes in equity” note).

14.5.2.6 Presentation

- The auditor must inspect the financial statements to confirm that:
 - share capital appears as a separate line item on the face of the statement of financial position
 - the disclosure in the notes include, for example, for each class of share:
 - o its description, number of shares authorised and issued
 - o the rights preferences and restrictions attaching to that class of share
 - o details of authorised but unclassified shares, and
 - o movements in the share capital balance (statement of changes in equity)
- By inspection of the annual financial statements (AFS) and reference to the application financial reporting standards and the audit documentation, confirm that:
 - disclosures are consistent with the evidence gathered (amounts, facts, details)
 - any disaggregation of the balance reflected in the statement of financial position is relevant and accurate, for example, share capital may have been broken down in the notes into different classes of shares, for example, A shares and B shares, and
 - the wording of disclosures is clear and understandable, and all required disclosures have been included.

14.5.3 Debentures

The audit of debentures, which are regarded as loan capital, attracts a mix of procedures similar to the audit of share issues and long-term liabilities. Again, we deal only with the issue of debentures in a private company. If debentures are offered to the general public, they are almost like shares issues and are controlled by the relevant Companies Act sections, including the issuing of a prospectus.

14.5.3.1 Important accounting aspects

IFRS 9 – Financial Instruments: IFRS 9 requires that debentures are held at amortised cost. An auditor should bear this in mind when, for example, auditing a debenture redeemable at a premium. IFRS 9 requires the use of an effective interest rate in order to correctly reflect the value of the debenture at each reporting date and the finance cost associated with it.

In terms of IFRS 9, the effective interest rate is the rate that “exactly discounts estimated future cash payments through the life of the financial instrument”. Transaction costs may be included in this calculation. In effect, the true finance cost (interest plus premium) is calculated and spread over the life of the debenture.

Basic example: compulsory redeemable debentures

An entity issues 100 R10 par value debentures on 1 January 0001

Coupon rate 10%, redeemable at R12 on 1 January 0004

Effective interest rate is 15,72% (given)

<i>Working</i>	<i>Effective int. R</i>	<i>Interest payment R</i>	<i>Capital R</i>
1 Jan 0001			1000
31 Dec 0001	157	(100)	1057
31 Dec 0002	166	(100)	1123
31 Dec 0003	176	(100)	1200

Based on this working:

- at 31 December 0001, the debenture will be reflected at R1057 and the journal entry to record the finance charges would be:

Dr Finance Costs	R57
Cr Debenture account	R57

- at 31 December 0002 the debenture would be reflected at R1 123, and
- at 31 December 0003 at R1 200 (the amount to be repaid the next day).

Note 1: The interest payment of R100 and premium will give a total finance cost of R157 in year 1, R166 in year 2 and R176 in year 3.

Note 2: This example is kept simple to explain the principles of auditing a straightforward compulsory redeemable debenture (see below). An auditor may be required to audit more advanced transactions, for example, compulsory convertible debentures. The important thing to remember is that the transaction/account heading being audited must be tested for compliance with all relevant financial reporting standards. However, conventional auditing procedures, for example, inquiry, recalculation and inspection, will still be used.

14.5.3.2 Opening balance

Inspect prior year work papers and prior year financial statements to confirm that the opening balance agrees with the prior year closing balance.

14.5.3.3 Occurrence existence

- Inspect the MOI to determine whether:
 - the company is authorised to issue debentures
 - the issue has in any way contravened the company's borrowing powers, for example, authority requirements.
- Inspect the minutes of the meeting of directors at which the decision to issue debentures was made and note:
 - to whom the issue was to be made
 - the number and amount of the debentures to be issued
 - the interest rate, date and manner of payment, and
 - any particular characteristic of the debenture, for example, repayable at a premium, convertible to shares.

Note: The directors do not need shareholder approval to issue debentures, except where the directors intend to issue debentures convertible into shares, to themselves. If this is the case, section 41 of the Companies Act will apply (basically special resolution from shareholders unless exceptions apply).

- Inspect the register of debenture holders to confirm that the addition of new debenture holders and adjustments to the holdings of existing debenture holders have been made according to the authority granted for the issue.
- Inspect the cash receipts journal, deposit slip/bank statements for evidence of the receipt of the correct amount.

14.5.3.4 Accuracy, cut-off, classification

(a) Initial recognition (on issue)

- Re-perform the calculations and casts to confirm that the cash received from the issue of the debentures is in accordance with the debenture agreement, for example, 100 debentures of R1 000 = R100 000 received (accuracy).
- Trace the receipt of cash from the cash receipts journal to the general ledger to confirm that it was posted to the debenture liability account (classification).
- Inspect the dates on all documentation to confirm that they fall within the accounting period under audit (cut-off).

(b) Subsequent measurement

- Recalculate the effective interest rate based on the terms of the debenture agreement and compare to the effective interest rate used by the client in the amortisation calculation.
- Inspect the journal entry raising the finance cost and increasing the debenture liability account and agree the amounts to the amortisation calculation.

14.5.3.5 Completeness

Confirm by inquiry of the directors and scrutiny of the minutes that no other debenture issues have taken place during the year.

14.5.3.6 Closing balance

- Agree the closing balance on the debenture account (after the finance charge/amortisation adjustment) to the trial balance.
- If necessary, obtain a third-party confirmation from the debenture holders (confirm the debenture amount, interest rates, redemption premium and redemption conditions). This relates to all assertions.

14.5.3.7 Presentation

See Notes 1 and 2 under section 14.5.2.

14.5.4 Long-term loans

Borrowing long-term is a common form of financing. The audit plan will be to audit substantively the opening balance, movement on the account, including any adjusting journal entries, and the closing balance. Ultimately the auditor seeks evidence about the assertions relating to the balance on the long-term liabilities account and its related disclosures (i.e. *obligation, existence, accuracy valuation and allocation, classification and completeness* as well as *presentation*). This is achieved by auditing the transactions, making up the account for *accuracy, cut-off, classification, completeness* and *occurrence*, and supplementing these with procedures relating to the final balance. Generally speaking the dominant risk is *completeness*, so the auditor will be concerned about any long-term loans *not* recorded.

14.5.4.1 Important accounting aspects – Long-term loans

Long-term loans should be reflected at amortised cost using the effective interest rate. For a normal long-term loan, for example, fixed term, no premium on repayment, etc., the effective interest rate will be the annual interest rate charged per the agreement. There may be a situation where the company raises a long-term loan that has a low annual interest rate (to assist with cash flow) but must be repaid at a premium at

the end of the loan term. Such a loan would have to be amortised at the effective interest rate to spread the full cost of the loan over the term of the loan (very similar to a debenture redeemable at a premium).

14.5.4.2 Audit procedures

As the audit procedures are so similar to those for debentures, as discussed above, they have not been repeated here. However, additional procedures pertaining to the completeness assertion have been included below as this is an assertion for which there is potential for material misstatement, i.e. understatement of liabilities.

14.5.4.3 Completeness of long-term loan procedures

- Obtain specific representations from management that all long-term loans have been included.
- Review financial records, minutes of directors, audit committee and capital expenditure committee meetings and correspondence for evidence of unrecorded loans.
- Obtain third-party confirmations from all long-term loan creditors from the prior year, who are no longer reflected as long-term liabilities, or whose balances are significantly lower in the current year.
- Enquire and confirm the source of funding for any major acquisitions identified during the audit of non-current assets.
- Match interest payments to long-term loans to confirm that the loan to which the interest payment relates has been raised.
- Perform analytical review, for example, compare current year balances on loan accounts and interest paid to the prior year.

14.5.5 Leases

Leasing is another very common form of “acquiring” an asset. The distinction between operating and finance leases is eliminated for lessees (previous IAS 17 standard), and a new lease asset (representing the right to use the leased item for the lease term) and lease liability (representing the obligation to pay rentals) are recognised for all leases. A lessee should initially recognise a right-of-use asset and lease liability based on the discounted payments required under the lease, considering the lease terms as determined according to the new standard. Therefore, the audit of a lease is difficult and requires that both the asset raised and the corresponding liability be audited. The assertions that pertain to assets and liabilities, as well as to transactions all apply, sometimes overlapping with each other.

14.5.5.1 Important accounting aspects

- The auditor must be aware of the guidance contained in IFRS 16 – Leases.
The core of the new requirements means that lessees have to take almost all leases, with some cost-benefit driven exceptions on balance. The lessee has to recognise a right-of-use asset, measured at the lease liability at initial recognition. The lease liability is measured by discounting the future lease payments with the rate “implicit” in the lease if that rate can be readily determined or by using the lessee’s incremental borrowing rate. The future lease payments are the fixed lease payments (including in-substance fixed payments) over the lease term. The lease term has to be determined considering extension and termination options if the lessee is reasonably certain to exercise that option.
- Where a lease is to be capitalised as lease, an asset and corresponding liability must be recognised in the statement of financial position.

Initial recognition and measurement

Lease liability

Lessees are required to initially recognise a lease liability for the obligation to make lease payments and a right-of-use asset for the right to use the underlying asset for the lease term.

The lease liability is measured at the present value of the lease payments to be made over the lease term.

The lease payments shall be discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the lessee shall use the lessee’s incremental borrowing rate.

Lease asset

The right-of-use asset is initially measured at the amount of the lease liability, adjusted for lease prepayments, lease incentives received, the lessee's initial direct costs (e.g. commissions) and an estimate of restoration, removal and dismantling costs.

Lessees are permitted to make an accounting policy election, by class of underlying asset, to apply a method like IAS 17's operating lease accounting and not recognise lease assets and lease liabilities for leases with a lease term of 12 months or less (i.e., short-term leases). Lessees also are permitted to make an election, on a lease-by-lease basis, to apply a method similar to current operating lease accounting to leases for which the underlying asset is of low value (i.e., low-value assets).

The lessee shall recognise the lease payments associated with the "short term" and "low-value assets" leases as an expense on either a straight-line basis over the lease term or another systematic basis. The lessee shall apply another systematic basis if that basis is more representative of the pattern of the lessee's benefit.

Subsequent measurement**Lease liability**

- Lessees accumulate (accrete) the lease liability to reflect interest and reduce the liability to reflect lease payments made.
- Lessees remeasure the lease modification (i.e., a change in the scope of a lease, or the consideration for a lease that was not part of the original terms and conditions of the lease) that is not accounted for as a separate contract, that is generally recognised as an adjustment to the right-of-use asset.
- Lessees are also required to remeasure lease payments upon a change in any of the following, which is generally recognised as an adjustment to the right-of-use asset:
 - the lease term
 - the assessment of whether the lessee is reasonably certain to exercise an option to purchase the underlying asset
 - the amounts expected to be payable under residual value guarantees, and
 - future lease payments resulting from a change in an index or rate.

Lease asset

- The related right-of-use asset is depreciated in accordance with the depreciation requirements of IAS 16 Property, Plant and Equipment.
 - If the lease transfers ownership of the underlying asset to the lessee by the end of the lease term, or if the cost of the right-of-use asset reflects that the lessee will exercise a purchase option, the lessee depreciates the right-of-use asset from the commencement date to the end of the useful life of the underlying asset. Otherwise, the lessee depreciates the right-of-use asset from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.
- Lessees apply alternative subsequent measurement bases for the right-of-use asset under certain circumstances in accordance with IAS 16 and IAS 40 Investment Property.
- Right-of-use assets are subject to impairment testing under IAS 36 Impairment of Assets.

Presentation

- Right-of-use assets are either presented separately from other assets on the balance sheet or disclosed separately in the notes. Similarly, lease liabilities are either presented separately from other liabilities on the balance sheet or disclosed separately in the notes.
- Depreciation expense and interest expense cannot be combined in the income statement.
- In the cash-flow statement, principal payments on the lease liability are presented within financing activities; interest payments are presented based on an accounting policy election in accordance with IAS 7 Statement of Cash Flows.

Lessor accounting is substantially unchanged from current accounting. Lessors will classify all leases using the same classification principle as in IAS 17 and distinguish between operating and finance leases.

14.5.5.2 Assertion – Occurrence/obligation and existence

- Inspect the lease agreements for pertinent details:
 - name of lessor and lessee (i.e. client)
 - amount of minimum lease payments
 - term of lease, and
 - other salient conditions, for example, penalties for late payment of lease rental.
- Inspect the minutes of directors and capital expenditure committee's meetings authorising the lease agreement.
- Before the resolution is passed, the following should be done:
 - specific consideration must be given to the statutory requirement of the Companies Act
 - inspect the MOI to confirm that it has been complied with, in particular that the borrowing powers/ conditions have not been breached, and
 - specific consideration must be given to the projected cash requirements of the entity, as evident from entity budgets and necessary cash-flow forecasts.
- Enquire of management and refer to prior working papers to confirm that new finance will not breach contracts in respect of existing finance arrangements.
- Properly signed agreements should be entered into.

14.5.5.3 Assertion – Completeness

- Obtain specific representations from management that all leases have been included.
- Review financial records, minutes of directors, audit committee and capital expenditure committee meetings and correspondence for evidence of unrecorded liabilities, for example, use of leases to provide "off-balance sheet finance", when in fact they should be classified and treated as leases.
- Enquire and confirm as to the source of funding for any major acquisitions identified during the audit of fixed assets.
- Obtain a schedule of all leased assets and by inspection and enquiry, determine whether any leases that have not been recognised as a lease asset and lease liabilities are for either:
 - leases with a lease term of 12 months or less (i.e., short-term leases), and
 - leases for which the underlying asset is of low value.
- Obtain a schedule of *all* lease payments, and match to lease agreements to confirm that all leases have been identified. Confirm by scrutiny of the agreements that all leases have been identified and capitalised.
- Perform analytical procedures, for example, compare current year balances on lease accounts and lease payments paid to the prior year.

14.5.5.4 Assertion – Accuracy, cut-off, classification**(a) Initial recognition**

- Obtain independent confirmation of the fair value of the right-to-use asset that has been leased by enquiry of the supplier, inspection of trade journals, etc. (the fair value is unlikely to appear in the lease agreement).
- If any direct lease costs have been capitalised, confirm by enquiry and inspection of the supporting documentation that the costs are valid lease costs applicable to the leased asset and were incurred by the lessee.

(b) Depreciation – leased asset

- By enquiry of management and evaluation of the terms of the lease agreement, determine whether the right-to-use asset should be depreciated over its useful life or the term of the lease.
- Determine by enquiry of the directors whether the residual value applicable to the leased asset, is reasonable.

- Determine by enquiry of the directors whether the “significant part” method of depreciation is applicable and, if so, whether the allocation of costs of the components is appropriate (independent enquiry of the supplier may be required).
- Enquire of the directors as to whether the depreciation method, for example, straight line, units produced, is appropriate, and confirm by reference to the minutes that the directors have reviewed the method (must be done annually).
- Re-perform the depreciation calculation.
- Enquire of the production director as to whether any impairment of the right-to-use asset is required.

(c) Lease payments

- Re-perform the implicit interest rate calculation.
- Re-perform the apportionment calculation of the leased payments and trace the posting of the amounts apportioned to the liability account (and finance cost account).
- Re-perform the “current portion of the lease liability calculation” and trace the reclassification to the general ledger/trial balance/financial statements.

(d) General

- Cast the lease liability account.
- By scrutiny of dates on documentation confirm that the leases, repayments, etc., relate to the accounting period under audit.

14.5.5.5 Assertion – Presentation

- The auditor must inspect the financial statements to confirm that:
 - the non-current portion of the lease liability is reflected on the face of the statement of financial position under non-current liabilities, and
 - the current portion of the lease liability is reflected under current liabilities.
- By inspection of the AFS and reference to the applicable reporting standard IFRS 16 and the audit documentation, confirm that:
 - disclosures are consistent with the evidence gathered (amounts, facts, details)
 - all required disclosures have been included, for example:
 - accounting policy
 - encumbrances on any right-to-use assets, and
 - reconciliation between the total of the future minimum lease payments at the end of the reporting period, and their present value, and
 - the wording of the disclosures is clear and understandable, for example, accounting policy note.

14.5.6 Provisions, contingent liabilities and contingent assets

To achieve fair presentation, companies are obliged to make adjustments for certain anticipated events or to disclose them. The former is termed a provision and the latter is termed a contingent liability/asset.

In common accounting language, the term “provision” is frequently used concerning bad debts, inventory obsolescence and depreciation, for example, provision for bad debts. This is not theoretically the correct terminology as these “provisions” do not fit the provision definition in IAS 37. The term that is being used increasingly is “allowance”, for example, allowance for bad debts, impairment allowance for accounts receivable, or allowance for inventory obsolescence. Situations that might give rise to provisions (should the definition be satisfied) include a provision for:

- the cleaning up of environmental damage caused by the company
- refunds to dissatisfied customers, and
- damages arising out of a court case.

Contingent liabilities are similar to provisions but not as “certain”. Provisions and contingent liabilities (and contingent gains) are, however, treated differently in the financial statements. Provisions are recognised as liabilities provided the amount can be measured sufficiently. They are included in the statement of financial position, whereas contingent liabilities are only disclosed in the notes.

14.5.6.1 Important accounting aspects

(a) Definitions (IAS 37)

- **Provision** – a liability of uncertain timing or amount.
- **Liability** – a *present* obligation of an entity arising from past events, the settlement of which is expected to result in an outflow of resources from the entity.
- **Contingent liability** – a *possible* obligation that arises from past events, and the existence of which will be confirmed only by the occurrence or non-occurrence of an uncertain future event not wholly in the control of the entity.

(b) Recognition of provisions and contingent liabilities

- **Provisions** – a provision must be recognised when:
 - the company has a *present obligation* as a result of a past event
 - it is *probable* that an outflow of resources will be required to settle the obligation, and
 - a reliable estimate can be made of the amount of the obligation.

If these conditions are not met, no provision shall be recognised *but* the matter will still be disclosed in the notes as a contingent liability.

- **Contingent liabilities** – contingent liabilities are not recognised but must be disclosed.

(c) Contingent assets

A contingent asset is a possible asset that arises from past events and whose existence will only be confirmed by the occurrence or non-occurrence of an uncertain future event not wholly within the control of the entity, for example, successful outcome of a court case where the company is awarded damages.

Contingent assets are not recognised in the financial statements but are disclosed where the inflow of economic benefit is probable. If the economic benefit is “virtually certain”, the asset is not regarded as “contingent” and should be recognised. The auditor should satisfy himself, based on all the evidence available, whether a contingent asset exists at reporting date, and whether the economic inflow is probable (disclosure) or virtually certain (recognition).

(d) Commitments

Companies are also required to make disclosures pertaining to “commitments”. To identify any commitments that should be disclosed, the auditor will perform very similar procedures to those conducted for provisions and contingent liabilities, for example, enquiry of the directors and scrutiny of the minutes of directors’ meetings may reveal commitments for capital expenditure, contracted and approved, that must be disclosed. The assertions applicable to presentation and disclosure will apply to commitments.

14.5.6.2 Implications for the auditor

As indicated earlier, the provisions and contingent liabilities that are being discussed here are not as straightforward as the normal allowances for bad debts, inventory obsolescence, etc. They may be varied in nature and may be unique to particular industries.

Provisions are recognised and, therefore, there will be a “provisions” account in the general ledger, the assertions applicable to which will be:

completeness	– all provisions have been included in the account balance
existence	– the provisions included are not fictitious
accuracy valuation	– the provisions are included at an appropriate amount
obligation	– the provisions represent an obligation of the entity, and
classification	– provisions have been recorded in the proper accounts, for example, correctly classified as a provision, not a liability.

In addition the auditor must satisfy himself that the provisions are appropriately *presented* and described in the financial statements and that related disclosures in the notes are clearly expressed, accurate and understandable.

Contingent liabilities are not recognised in the statement of financial position but are disclosed in the notes. The applicable assertions relating to this disclosure are:

- | | |
|---------------------------|---|
| <i>completeness</i> | – all contingent liabilities have been included in the notes |
| <i>obligation</i> | – the contingent liabilities disclosed pertain to the entity |
| <i>occurrence</i> | – the event giving rise to the contingent liability has actually occurred (it is not fictitious) |
| <i>presentation</i> | – the disclosures pertaining to the contingent liabilities are appropriately described, understandable and clearly expressed in the context of the applicable financial reporting framework, for example, IFRS, and |
| <i>accuracy valuation</i> | – information provided in the disclosure is fair and accurate and values included are appropriate. |

14.5.6.3 Audit procedures – provisions and contingent liabilities

The audit procedures for provisions and contingent liabilities are very similar as they are very similar in nature.

14.5.6.4 Existence/classification

Under normal circumstances, a company will not wish to include fictitious provisions and contingent liabilities. However, there is the possibility that provisions that do not meet the definition criteria are included in the account heading, or that the directors wish to manipulate the financial statements by the inclusion of fictitious provisions or contingent liabilities. Procedures to test the existence of provisions and contingent liabilities are as follows:

- Evaluate the company's procedures for identifying provisions and contingent liabilities.
- Inspect the supporting documentation that management provides for each provision recognised, and
 - evaluate whether there is a legal or constructive present obligation arising out of a past event that actually occurred
 - evaluate the probability that an outflow of resources will be required to settle the obligation, and
 - evaluate the basis on which the amount of the obligation was determined to decide whether a reliable estimate could be made
- Inspect the documentation that management supplies in support of contingent liabilities disclosed and evaluate whether there is a possible obligation whose existence will only be confirmed by the occurrence or non-occurrence of an uncertain future event.
- Consider the process used to authorise the recognition/disclosure of provisions and contingent liabilities (authority minuted by the Board may reduce the risk of invalid provisions).
- Discuss any uncertainties or concerns arising from the above evaluations with the directors.
- If necessary, seek legal counsel or the advice of an expert (e.g. in industry-specific matters, such as provisions for environmental damage).

14.5.6.5 Valuation

The value at which the provision is recognised is the “reliable estimate of the amount of the obligation”. The auditor is thus auditing an estimate. ISA 540 – Auditing accounting estimates, including fair value accounting estimates and related disclosures, provides guidance. The auditor should assess the risk of material misstatement of the entity's accounting estimates (in the normal manner) and design and perform further audit procedures to obtain sufficient appropriate evidence as to whether the accounting estimates are reasonable in the circumstances and, where necessary, appropriately disclosed.

The statement requires the following:

- The auditor must identify and assess the risk of material misstatement of accounting estimates.
- When performing risk assessment procedures (at the understanding of the entity phase), the auditor should obtain an understanding of:
 - the requirements of the applicable accounting framework relevant to accounting estimates (e.g. IFRS/IAS 37)
 - how management identifies transactions, events and conditions that may give rise to the need for accounting estimates, and

- how management makes the estimate, for example, use of a model, use of an expert, the assumptions underlying the estimate and the effect of estimation uncertainty (this is defined as “the susceptibility of an accounting estimate and related disclosures to an inherent lack of precision in its measurement”).
- The auditor must review the outcome of prior year accounting estimates (in effect this provides information on the effectiveness of the company’s estimate setting procedures).

The auditor should

- review and test the process used by management to develop the estimate including the approval/authorisation procedure (internal controls over the procedure)
- evaluate the data on which the estimate is based for accuracy, completeness and relevance
- evaluate the reasonableness and consistency of any assumptions that have been used in developing the estimate:
 - reasonable in the light of actual prior performance, and
 - consistent with the assumptions used for other similar estimates
- re-perform any calculations pertaining to the estimate
- compare the amount of the estimate to similar estimates, and
- compare the amount of the estimate made in prior periods with actual results for that period, i.e., estimates of warranty claims compared to actual warranty claims.

The auditor may also make his own estimate or obtain an independent estimate from an expert. In this case any differences with the client’s estimate should be discussed with management and resolved if possible.

The value at which the contingent liability is disclosed would have to be evaluated by reference to the supporting documentation and enquiry of management supplemented by evidence gained when conducting the procedures above.

14.5.6.6 Obligation

As with the existence assertion, under normal circumstances, the company will unlikely include provisions or contingent liabilities that are not obligations of the company itself. If the auditor considers that there is a risk of this occurring, he will need to satisfy himself, by enquiry of the directors, experts or legal counsel, and inspection of the supporting documentation, that the provisions recognised are obligations of the company, and not of the directors, related parties or anyone else.

14.5.6.7 Completeness

As indicated earlier, this assertion probably represents the most significant risk for the auditor – the risk that the company will understate/omit provisions either intentionally or unintentionally. Material intentional understatement by the directors would amount to fraudulent financial reporting (as would material overstatement, but this is generally a lesser risk) and may be very difficult to uncover. The following procedures should be carried out:

- Evaluate the company’s processes and procedures for identifying the need for provisions.
- Compare the schedule of provisions for the current year to that of the prior year and follow up on any not included on the current year’s list or reduced significantly.
- Compare the contingent liabilities currently disclosed to those disclosed at the prior year-end and follow up on the status of contingent liabilities disclosed at the prior year-end.
- Enquire of the company’s legal advisers as to whether the company is involved in any disputes/defending any legal action and request them to provide details of the probable or possible losses arising from such actions and also of the legal costs involved.
- Inspect the minutes of directors and shareholders’ meetings for evidence of the need for provisions, for example
 - warranty claims
 - guarantees
 - environmental damage
 - refund policies, and
 - closure of a division of the company.

- Inspect correspondence, returns, etc., relating to taxation matters/SARS.
- Inspect the cash payment records subsequent to year-end for unusual material payments and follow up to determine whether they are in respect of an obligation that should have been provided for at year-end.
- Obtain a confirmation certificate from the company's bankers detailing
 - guarantees for loans, and
 - discounted bills, etc.
- Discuss the completeness of the provisions with management and request specific reference to completeness of provisions in the management representation letter.

14.5.6.8 Presentation

- The auditor must inspect the financial statements to confirm that:
 - *provisions* have been presented as a separate line item in the statement of financial position under current liabilities or non-current liabilities as appropriate
 - *contingent liabilities* have been disclosed (only) in the notes, and
 - *contingent assets* have been disclosed (only) in the notes.
- By inspection of the AFS, and reference to the applicable financial reporting standard, IAS 37 and the audit documentation, confirm that:
 - the disclosures are consistent with the evidence gathered (amounts, facts, details)
 - for each class of *provision* the following has been disclosed:
 - amount and nature of the obligation
 - expected timing of outflows and any uncertainties relating to amount or timing
 - major assumptions concerning future events, for example, interest rates, and
 - a reconciliation between the opening and closing carrying amounts for each provision.
 - the disaggregation of the amount reflected for provisions in the statement of financial position for disclosure in the notes is relevant and accurate
 - for each *contingent liability* the following has been disclosed:
 - description of its nature
 - estimate of the financial effect
 - uncertainties relating to the amount or timing of outflows
 - possibility of any reimbursements
 - for each *contingent asset* the following has been disclosed:
 - description of its nature, and
 - an estimate of its financial effect
- the wording (of all disclosures, provisions, contingent liabilities and gains) is understandable, and
- *all* disclosures have been made.

14.6 Audit procedures – The investment cycle

14.6.1 Property, plant and equipment

In terms of IAS 16 Property, Plant and Equipment, assets falling into this category include:

- land and buildings
- plant and machinery
- vehicles, and
- furniture and equipment.

The audit procedures for each category are very similar and, therefore, will be described collectively, rather than individually. The assertions pertaining to the balance of the property, plant and equipment (PPE) account and related disclosures that the auditor is concerned about are *existence, completeness, rights*

and accuracy valuation and allocation, and classification. In addition, the auditor must consider the *presentation* of property, plant and equipment.

Remember that when the account's movement (additions and disposals) is audited, you will be auditing the assertions relating to transactions, primarily *occurrence* and *accuracy, classification and cut-off*. Auditing the asset's carrying value will include procedures relating to the depreciation allowance and any impairment.

For example:

Most clients will present the auditor with schedules for the asset accounts and related accumulated depreciation accounts, that reflect:

Cost:

Opening balance	Additions	Disposals	Closing Balance
R1 641 900	4 21 816	243 804	1 819 912

Accumulated depreciation and impairments:

Opening Balance	Provision/ Impairment	Disposals	Closing Balance
R542 813	274 601	113 816	703 598

The example contains only totals. Each column will be broken down into the individual assets making up the total. For example, the "additions" column may be the cost price of six new assets, and the "disposal" column may be the cost of three assets disposed of.

The schedules may also contain columns dealing with adjustments, such as revaluations.

The auditor's task is essentially to audit these schedules. Companies are also obliged to keep fixed asset registers that are very useful to the auditor when gathering evidence about fixed assets.

14.6.1.1 Important accounting aspects – Property, plant and equipment

IAS 16 Property, Plant and Equipment, governs the accounting treatment of property, plant and equipment.

The auditor should be aware that IAS 16 offers two possible methods of valuing PPE, (i.e., the cost and revaluation model). As per IAS 16, the model chosen must apply to the entire class of PPE, for example, the company cannot decide to use the cost model for some of its machinery but not for other pieces of machinery. The company may, however, use the cost model for machinery and the revaluation model for land.

14.6.1.2 Cost model

After recognition as an asset, an item of PPE must be carried at its cost, less any accumulated depreciation and any accumulated impairment losses.

The cost of an item of PPE normally comprises:

- its purchase price including import duties, etc.
- costs directly attributable to bringing the asset to the location and condition necessary for it to operate in the intended manner, for example, cost of site preparation, cost of employee benefits relating directly to the production or acquisition of the item, installation and assembly costs, related professional fees, for example, engineers.

14.6.1.3 Revaluation model

After recognition as an asset, an item of PPE, whose fair value can be measured reliably, shall be carried at a revalued amount, being its fair value at the date of the revaluation, less any subsequent accumulated depreciation or subsequent accumulated impairment losses. Revaluation must be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at reporting date.

14.6.1.4 Depreciation

IAS 16 requires that “each *part* of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item shall be depreciated separately”. Expressed differently, this means that the directors should allocate the cost of the item to its *significant parts* and depreciate each part separately. This should happen where:

- the cost of the part is significant in relation to the total cost of the item
- the part and the remainder of the unit have different useful lives, or
- different residual values.

For example:

Ultrasize Ltd, a large manufacturing company, uses a steel press it originally purchased as one piece of machinery, but which consists of two components, namely a hydraulic power press and a steel pressing platform. Both parts of the machine are in themselves very expensive, but the hydraulic power press has a useful life of 10 years, while the pressing platform will last for 30 years. Total cost of the machine is R10 million with the press as a separate unit costing R4 million and the platform R6 million. The two components are depreciated separately instead of depreciating the steel press as a single item.

Note that the “significant parts” policy must be applied if the points above apply. There are however difficulties. For example, how is the residual value of each significant part established, particularly if there is no market in which to sell the significant part? Should the company use a residual value of nil? Can the useful life of the “significant part” and the remainder be separately determined?

From a practical point of view, this problem is only likely to occur in large companies with considerable investments in PPE. However, this does have implications for the audit, as the auditors are required to assess whether IAS 16 has been applied and that it has been applied correctly.

Where the item has been broken down into significant parts, each part will be recorded separately in the fixed asset register.

IAS 16 states that the depreciable amount of an asset shall be allocated on a systematic basis, over its useful life. IAS 16 provides the following definitions:

- *depreciable amount* is the cost/revalued amount, less the residual value
- *residual value* of an asset is the estimated amount that an entity would currently obtain from the disposal of the asset, after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life, and
- *useful life*:
 - the period over which an asset is expected to be available for use by an entity, or
 - the number of units expected to be obtained from using the asset, by the entity.

IAS 16 requires that the depreciation method used must reflect the pattern in which the assets future economic benefits are expected to be consumed, for example, straight-line method, diminishing balance, unit of production method.

IAS 16 states that the residual value and useful life shall be reviewed at least at the end of each financial year-end, and, if expectations differ, changes should be accounted for, as per IAS 8 – Accounting Policies, Changes in estimates and Errors.

14.6.1.5 Audit procedures – Property, plant and equipment

(a) Existence

- Extract a sample of assets from the fixed asset register that includes (all or some) additions for the year. Audit software can perform this task if the client’s fixed asset register is computerised.
- Physically inspect the assets selected, matching them to the description (e.g. serial numbers) obtained from the fixed asset register.
- If an asset cannot be physically verified for existence, for example, it is a large piece of mobile equipment being used in a remote area, seek corroborating evidence, for example, drivers’ wages, licence, correspondence with customer, repairs and maintenance records.

- Conduct a search of *unrecorded* disposals (mainly for plant and equipment):
 - Analyse the sundry revenue account/cash receipts journal for cash receipts from disposals of fixed assets; confirm that the item for which the cash has been received, is included on the list of disposals.
 - During physical inspection of assets, take note of any evidence of “fixed” equipment that has obviously been removed and follow up to determine whether a disposal has taken place and is recorded.
 - Enquire of senior personnel (factory manager) whether major equipment acquired has replaced old equipment; if so, follow up to determine whether old equipment was disposed of and recorded as a disposal.
 - Inspect correspondence with the insurance company to identify any fixed assets removed from the list of insured items. Follow up to determine whether such items have been disposed of and, if so, that they appear on the list of disposals.
 - Look for evidence of expenses related to property, plant and equipment that are no longer being paid or are significantly reduced, for example, a vehicle licence, rates on a property, and a significant decline in motor vehicle costs. Confirm that the asset to which the expense relates has been treated as a disposal if it no longer “exists”.
- Reconcile disposals per the capital budget with client’s list of disposals.

(b) Completeness

- Inspect repairs and maintenance and similar accounts for material items that may represent acquisitions of plant and equipment, but that may have been erroneously charged as an expense.
- When physically verifying the assets for existence, select a sample of fixed assets and trace to the fixed asset register agreeing description, asset number, etc.
- Review payments for fixed asset purchases and confirm that they are recorded as fixed assets in the register.
- Review all lease agreements and enquire of senior personnel for evidence of any assets that have been leased, but that have not been capitalised.

(c) Rights

- For assets owned at the beginning of the financial year (opening balance), determine whether there has been any change in the rights to the asset, for example, sale and leaseback, by
 - enquiry of management, and
 - inspection of directors’ minutes.
- For additions, inspect purchase documentation and documents of title to confirm that they are in the name of the client:
 - for motor vehicles, inspect the *registration document* and *licence renewal receipt* to confirm that they are in the name of the client
 - for land, inspect the title deeds/deeds of transfer, mortgage bonds and sale agreements, and
 - for other assets, inspect sales agreements and invoices.
- Where assets are still being paid for, confirm that the client is not behind with payments, (thus jeopardising rights), by inspection of payment records and supplier statements and enquiry of the financial manager (if appropriate the supplier can be contacted).
- Where leased assets have been capitalised, inspect the lease agreements.
- Inspect the lease agreements by enquiry of management and inspection of
 - prior year working papers
 - minutes
 - loan agreements, and
 - bank and other third-party confirmations.
- Obtain evidence of any encumbrances on fixed assets, for example, offered as security.

(d) Accuracy valuation and allocation – Cost

- Agree the opening balances on the summary schedules to prior year work papers/general ledger.
- Re-perform all casts and extensions in the fixed asset register, the summary schedules and the supporting lists of additions and disposals.
- Re-perform the fixed asset register reconciliation to the fixed asset accounts and accumulated depreciation accounts in the general ledger, following up on all reconciling items.
- Agree by inspection, the closing balances on the summary schedules to the general ledger and financial statements.

(e) Cost of additions***Occurrence***

- Select a sample of additions from the fixed asset register and trace it to capital budget, minutes of directors' meetings and purchase requisitions for evidence of authority for the acquisition.
- Inspect the asset and cross-reference the description, serial number, etc., to purchase documentation.
- Inspect the purchase documentation (invoice, contract) to confirm that it is made out to the client, is for the selected fixed asset and is signed.
- Inspect payment records to confirm that payment was made for the asset.

Accuracy, classification, cut-off

- By inspection of the purchase documentation, confirm that the cost of the asset includes:
 - the correct cost price
 - correct shipping charges, import duties, insurance (if applicable), and
 - costs of installation and commissioning of the fixed asset (if applicable).
- If the asset is imported, by re-performance, confirm that:
 - it has been raised in the company's records at the spot rate on transaction date, and
 - all relevant shipping costs, import charges have been included in the cost and, where appropriate, converted from the foreign currency at the correct rate (transaction date).
- Where the company has allocated the total to "significant parts" of the item of PPE, confirm that the allocation is fair by enquiry of the directors and inspection of relevant documentation, for example, from supplier.
- If the asset has been installed, obtain a schedule of installation costs and:
 - agree it to the cost calculation for the asset
 - inspect the supporting documentation with respect to materials and wages used in the installation for valid, accurate and complete inclusion, particularly that there is no inclusion of non-relevant expenses, for example, repairs, and
 - discuss the reasonableness of any other expenses included, with the financial director, for example, any allocation of overheads.
- By inspection of purchase documentation and the relevant ledger account, ensure that VAT has not been included in the cost (unless the client is not a vendor).
- Inspect the dates on all documentation, for example, invoice, to confirm that the transaction has been recorded in the correct accounting period (cut-off).
- Trace the postings from the source to the general ledger to confirm that the transaction has been recorded in the proper accounts (classification).

(f) Disposals***Occurrence***

- Inspect the supporting documentation used to approve the disposal for an authorising signature.
- By reference to the capital budget, confirm authority for the disposal.
- Trace the proceeds of the sale to the receipts records/bank stamped deposit slip/bank statement.

Accuracy, classification, cut-off

- Obtain the original cost/revalued cost of the asset disposed of, dates of acquisition and disposal, from the fixed asset register and:
 - recalculate accumulated depreciation to date of disposal
 - recalculate the profit/loss on sale*
 - inspect the dates on all documentation to confirm that the disposal has been recorded in the correct accounting period (cut-off), and
 - confirm by inspection that the asset account and accumulated depreciation accounts in the general ledger have been correctly amended and that the disposal has been correctly and completely recorded in the fixed asset register (accuracy and classification).

*Note: If a fixed asset is sold at an amount below its carrying value, its selling price may have been arrived at as a result of an impairment assessment. If so, in theory the asset should be written down to reflect the impairment. This means that there would not be a loss on sale but rather an impairment loss. If the asset is sold without an impairment assessment, the loss would be recorded as a loss on sale.

(g) Valuation – Depreciation allowance

- Confirm by enquiry of the directors that the accounting policy for depreciation is consistent with prior years.
- Where the “component” (significant part) method of depreciation has been adopted, confirm that the allocation total of cost to the components is fair and reasonable by:
 - enquiry of management
 - scrutiny of purchase documentation, or
 - enquiry of the supplier.
- Obtain a representation letter from management, confirming that they have reassessed the assets’ useful life and residual value (as required by IAS 16) including those of separate “components” where applicable.
- Review the changes (if any) to the useful life and residual values, and assess the reasonableness of the changes. Obtain reasons from management and, if necessary, consult an expert with regard to the residual value/useful life.
- When physically inspecting fixed assets, inspect for, and enquire about, any damaged or “not in use” assets and establish whether such items should be written down.
- Extract a sample of assets acquired (say) four years previously, and compare their physical condition to their depreciated value.
- By inspecting and analysing any profits/losses on disposals of fixed assets, consider whether the depreciation method is reasonable, i.e. estimates of useful life and residual value are appropriate.
- Re-perform the depreciation calculations for the year to ensure accuracy and compliance with the depreciation policy, and that amounts have been correctly posted.
- Discuss the reasonableness of the depreciation allowance with management and enquire into the approval procedures adopted, for example, does the financial director review the allowance.
- Perform analytical procedures on the allowance, for example, comparing to prior years, by asset grouping, and in relation to the additions and disposals for the year.
- Discuss with senior personnel, for example, a factory manager, whether anything may affect useful life, for example, machinery running on a double shift for the first time.

(h) Valuation – Impairment

In terms of IAS 36 – Impairment of Assets, a company must assess at each reporting date whether there is any indication that an asset may be impaired. If any such indication exists, the entity shall estimate the asset’s recoverable amount so that any impairment loss can be calculated. An impairment loss is the amount by which the carrying amount of an asset exceeds its recoverable amount (i.e., an asset will be impaired if the amount that could be recovered through the use or sale of the asset, is exceeded by its

carrying value). The auditor will probably be largely dependent on the directors to identify and quantify the impairment and there may be a fair amount of subjectivity involved. The auditor should do at least the following:

- Evaluate the process by which the company itself identifies and quantifies impairments.
- Inspect and evaluate any documentation that might support the directors on impairments with regard to:
 - assumptions made
 - methods or bases of quantification
 - rates or percentages used.
- Discuss with management:
 - any assets whose market value has declined significantly more than would be expected as a result of the passage of time or normal use
 - any significant changes that might have taken or might be about to take place that would adversely affect the entity in the technological market, economic or legal environments in which the company operates
 - any evidence obtained on the obsolescence or physical damage to assets identified during the audit
 - assets lying idle, plans to discontinue certain operations, etc.
 - evidence from internal reports, for example, monthly management reports that suggest that economic performance of an asset is worse than expected.

(i) Revaluations

A company can choose the *cost model* (i.e. the asset is carried at its cost, less any accumulated depreciation and any accumulated impairment losses) or the *revaluation model* (i.e. any item of property, plant and equipment whose fair value can be measured reliably) shall be carried at a revalued amount, being its fair value (the amount for which an asset could be exchanged between knowledgeable willing parties in an arms-length transaction) at the date of the revaluation, less any subsequent accumulated depreciation and impairment losses. Although the audit procedures relating to the substantive testing of property, plant and equipment will be the same, the choice of the revaluation model will have some implications for the auditor.

Frequently, particularly with land and buildings, the revaluation is determined from market-based evidence evaluated by an expert, for example, a property valuator. Where this is the case, the auditor will follow the guidance given in ISA 620 – Using the work of an Auditor's Expert, which is covered in chapter 16, to assist in the audit of the revaluation.

For other classes of PPE there may be reliable external sources to which the auditor can refer to gather evidence about fair value of the asset. For example, numerous sources provide the fair value of used motor vehicles and heavy equipment, such as front-end loaders, etc.

Where the revaluation has been carried out internally (e.g. by the directors), the auditor would have to audit the supporting documentation to evaluate the reasonableness of the methods used, the assumptions made and the interpretations by the directors of any available data. Of course, the auditor would need to verify data used whenever possible.

In addition to the above, the auditor would pay careful attention to the treatment of accumulated depreciation at the date of revaluation and subsequent to that. All calculations would be checked, as would the treatment in the financial statements of any increases or decreases in the carrying value. If the asset's carrying value increases, the increase would first be recognised in profit or loss (as a credit to income) to the extent that it reverses a previous decrease that was recognised in profit or loss. Any increase that does not reverse a previous decrease recognised in profit or loss is recognised in other comprehensive income (as a credit to revaluation surplus). If the asset's carrying value is decreased, this decrease must first be debited to the revaluation surplus account (if any) before being expensed as a revaluation expense in profit or loss.

The auditor would also confirm that *all* items in the class of assets (not only particular ones) had been revalued, and that details of the revaluations had been properly disclosed.

(j) Assertion – Presentation

- The auditor must inspect the financial statements to confirm that:
 - property, plant and equipment are reflected as a separate line item on the face of the statement of financial position under current assets, and

- depreciation, impairments and losses on disposals are reflected in the statement of comprehensive income.
- By inspection of the AFS, and reference to the applicable reporting standard IAS 16 and audit documentation, confirm that:
 - the disclosures are consistent with the evidence gathered (amounts, facts, details).
- The disaggregation of the balance reflected in the statement of financial position, for example, into the different class of PPE, for example, land and buildings, plant and machinery, tools and equipment, is relevant and accurate.
- The note reflects for each class of PPE:
 - a reconciliation between the net carrying amount at the beginning and end of the period including, additions, disposals, depreciation, impairment losses, etc.
- The note reflects restrictions on title, capital commitments and accounting policies adopted.
- The wording is understandable.
- All required disclosures have been made.

14.6.1.6 The use of audit software (substantive procedures)

If the client's fixed assets are computerised and suitable audit software is available, the auditor should use it. The software may be put to the following uses:

- A sample of property, plant and equipment can be selected randomly or after stratification of the population by amount, location or class of asset, for physical verification.
- Lists of all additions and disposals can be extracted (using date acquired/disposed fields) to be compared with client summary lists. Samples can be extracted for transaction vouching.
- The entire fixed asset masterfile (asset register) can be scanned for "error" conditions:
 - missing or duplicated assets if asset numbers are sequenced
 - blank fields, for example, no asset number, no description
 - anomalies, for example, current depreciation exceeds accumulated depreciation or cost (none should be found), and
 - negative book value (none should be found).
- All casts and calculations can be recomputed and compared to client calculations for accuracy, for example, depreciation calculations, net book value calculations.
- The masterfile can be extensively sorted and summarised for analytical procedures, depending upon the fields that are available on the masterfile, for example, asset class, location, current depreciation by class, etc. Once sorted and summarised, comparisons can be made to prior years, etc.

Note: The greater the amount of information on the masterfile, the greater the use to which the software can be put. Fixed asset masterfiles will usually contain at least the following, which gives the auditor plenty to work with:

- | | | |
|--------------------|--------------------------------|-----------------------|
| • asset number | • depreciation rate and method | • date of disposal |
| • description | • current year depreciation | • disposal price |
| • date of purchase | • accumulated depreciation | • impairment details |
| • cost | • book value | • revaluation details |

14.6.1.7 Automated application controls for the fixed asset register

(a) Depreciation

- Test whether the depreciation rate documented in the policy aligns with the depreciation rate configured in the system.
- Have changes been made to the fixed asset register configuration setting embedded in the system during the period under review?
- Have changes been authorised in the application?

- Inspect whether the access to the system's fixed asset register configuration settings is limited and only authorised personnel have access.
- Perform a walkthrough of one of each asset class/category to determine whether the calculation is accurate.

(b) Componentisation

- Assess whether the system has been configured for componentisation rules for assets.
- Access to the componentisation rules configuration settings in the system is limited and only authorised personnel have access.
- Have changes been made to the componentisation rules embedded in the system during the period under review?
- Have changes been authorised in the application?
- Perform a walkthrough of one to determine whether the calculation is accurate.

(c) Disposal of assets

- Ascertain who had access to dispose of assets during the period under review.
- Ascertain whether specific criteria are configured in the system to dispose of assets.
- Determine whether the disposal of asset calculation has been configured correctly in the system and includes the data trails to the capital gains calculation should profit be made.
- Perform a walkthrough of one to determine whether the calculation is accurate.

(d) Authorisation for purchase of assets

- Ascertain who had access to add new assets during the period under review.
- Ascertain whether specific criteria are configured in the system to add new assets.
- Determine whether the depreciation of new assets have been calculated correctly if purchased during the period.
- Perform a walkthrough of one to determine whether the calculation is accurate.

(e) Impairment

- Ascertain who has access to write off or impair assets.
- Ascertain whether specific criteria are configured in the system to impair assets at a certain point.

(f) Impaired assets

- Determine what the asset impairment process is. Is there a possibility that the assets can be written off and sold for own profit?

(g) Journals

- Determine who has authorisation to process journals relating to asset entries within the application.

(h) Capital gains

- Inspect if the capital gains tax configuration is correct in the system.
- Inspect that the access to the capital gains configuration settings in the system is limited and only authorised personnel have access.
- Inspect if any changes have been made to the capital gains configuration settings embedded in the system during the period under review.
- Have changes been authorised in the application?
- Perform a walkthrough of one to determine whether the calculation is accurate.

(i) Wear-and-tear allowance

- Inspect whether the wear-and-tear allowance configurations are correct in the application.
- Inspect that the access to the wear-and-tear tax configuration settings in the system is limited and only authorised personnel have access.
- Inspect if any changes have been made to the wear-and-tear configuration settings embedded in the system during the period under review.

- Have changes been authorised in the application?
- Perform a walkthrough of one of each asset class/category to determine whether the calculation is accurate.

14.6.2 Investments in shares

In today's business environment there are numerous kinds of investments that a company can make, such as bonds, derivatives and the like. The audit of these types of investment is beyond the scope of this text and could almost be regarded as specialist audit knowledge. IAS 32 Financial Instruments – Disclosure and Presentation, and IFRS 9 Financial Instruments, deal extensively with the topic and would be required reading for any auditor whose clients hold such investments.

This section deals with the audit of simple investments of shares in listed and non-listed companies and we have assumed that the audit client *does not trade* in shares and investments. The assertions that the auditor will be concerned with will be *rights, existence, accuracy valuation and allocation* and *completeness and classification*. Attention will also be given to *presentation*. Again, as it is generally unlikely that there will be numerous transactions, the audit plan will be to audit the opening and closing balances on the account and (a sample of) the transactions (purchase and sale) for *occurrence and accuracy, cut-off and classification*.

The major risk will be overstatement of the investment account, either by including fictitious investments or overstatement of the value of the investment.

As with property, plant and equipment, the client will usually prepare a schedule of investments, reflecting:

- the breakdown between listed and unlisted investments
- details of each investment, i.e. name, number and class of shares and percentage holdings
- cost and fair value, and
- current year movements.

14.6.2.1 Rights and existence

- Inspect and count the share certificates held by the client, in the presence of a client official, ensuring:
 - descriptions, name of company, number of shares, agree to the schedule of investments
 - they are in the name of the client, *or* if they are in the name of a nominee, that the nominee signs blank transfer forms to testify to his/her status as nominee in respect of these shares, and
 - the share certificates appear to be authentic.
- If listed shares are held and no share certificates are issued (electronic ownership), obtain, with client permission, confirmation of ownership direct from the client's brokers.
- If any doubt exists about the existence of a non-listed company in which the client holds shares, contact such company or the Companies and Intellectual Property Commission to establish existence.
- Obtain direct confirmation from any bank or other third party that may hold the client's share certificates as security or in safe custody. This confirmation certificate should:
 - confirm all relevant details on the client schedule, and
 - provide details of the investments pledged as security for the overdrafts or loans.
- Ascertain through enquiry and discussion with management that the intention with regard to investments is to hold them for the long term rather than speculate with them. (If the intention is to speculate, the "investment" becomes a trading asset.)

14.6.2.2 Accuracy valuation – Opening balances

Inspect prior year work papers and financial statements to confirm opening balance agrees with prior year-end balance.

Current-year movements

Occurrence

- Inspect minutes of directors and investment committee meetings for authority to purchase or sell investments.
- Inspect brokers' notes for evidence of purchase and sale of listed investments, noting descriptions of shares and that brokers' notes are addressed to the client.

- Inspect contracts and correspondence in respect of purchase or sale of investments in non-listed companies noting description of shares and that contracts are between client and investee and are duly authorised.

Accuracy, cut-off, classification

- Confirm details of cost, selling price and brokerage fees/commissions from brokers' notes and sale agreements for both purchases and sales.
- Re-perform all casts and calculations, particularly where there have been sales, to confirm profit or loss on sale.
- Inspect the dates on the documentation to confirm that the transaction has been accounted for in the correct accounting period.
- Trace postings to the general ledger from the source to confirm that the transaction has been posted to the proper investment account.

14.6.2.3 Accuracy valuation – Closing balance (note in terms of IAS 32, shares in other companies must be valued at “fair value”)

- For listed shares, confirm the market value at the financial year-end of the client by inspection of relevant stock exchange publications.
- Re-perform the client's calculation of the number of shares $\times$ market price.
- Determine by inquiry of the financial director, scrutiny of minutes and/or inspection of the prior year working papers whether the shares have been categorised as financial assets at fair value through profit and loss, or financial assets at fair value through other comprehensive income.
- If the company has elected recognition through other comprehensive income, confirm that the directors have taken and minuted the decision that the share investment is *not* held for trading.
- Where there have been gains or losses, confirm by inspection that they have been taken to profit or loss (fair value through profit or loss) or other comprehensive income (fair value through other comprehensive income) according to the categorisation adopted by the company and that the treatment is consistent with prior years. (Note: If the company chooses to adopt the other comprehensive income route, it is an irrevocable decision.)
- For unlisted investments, discuss with the directors the possibility of obtaining an independent “fair value”. Failing this, request that directors provide a “fair value” and assess the reasonableness of their valuation by:
 - inspection of and enquiry about their valuation method and assumptions
 - re-performance of their calculations, and
 - inspection of latest financial statements of the investee company

Note: If an independent, fair value is provided, the evidence will be audited in terms of ISA 620 – Using the work of an auditor's expert (see chapter 8).

- Re-perform the casts on the investment schedule and the general ledger accounts and register of investments.

14.6.2.4 Completeness

- Compare the current year-end schedule to the prior year-end schedule and for any decreases in holdings, confirm that there is a disposal recorded under “movement for the year”.
- Obtain a representation from management in respect of the completeness of investments.
- Match any dividends received during the year to the list of investments.
- Obtain a summary of dealings in listed shares for the year from the company's brokers.

14.6.2.5 Presentation

See Notes 1 and 2 on page 14/12 and 14.5.2.6 on page 14/13.

14.6.3 Long-term loans made by the company

Long-term loans made by the company are very similar to debtors and, as expected, the audit procedures will be reasonably similar. The assertions the auditor is interested in will be *rights, existence, accuracy valuation and allocation, completeness and classification*. Attention will also be paid to *presentation*. The major risk is overstatement brought about by including “fictitious” loans, or the failure to write down a loan where repayment is doubtful and security is inadequate. Again any movement on the loan account should be audited as “transactions”, for example, advancing new loans or receiving repayments, in which case *occurrence, accuracy, cut-off and classification* will be the major assertions to be audited. It is again likely that the client will supply a schedule of loans reflecting each loan holder, the opening balance, movements during the year and closing balance. In effect, the auditor will audit this schedule.

As with long-term loans owed by the company, the loan should be measured at amortised cost using the effective interest rate. Where the loan is straightforward, for example, fixed term, with no premiums on repayment (by the borrower), the effective rate will be the annual interest rate charged on the loan.

14.6.3.1 Accuracy valuation – Opening balances

By inspection of prior year working papers, agree opening balances to prior year closing balances.

14.6.3.2 New advances (loans)

Occurrence, accuracy, cut-off and classification

- Inspect directors’ minutes for authority to make the loan.
- Inspect MOI for powers to make loans (including to directors).
- Where the loan is made to a *director* (or related person, etc.), confirm by reference to minutes, loan agreement, correspondence that section 45 of the Companies Act has been complied with:
 - the liquidity solvency test has been satisfied, and
 - a special resolution was obtained within the previous two years authorising the loan (specific or general).
- If the loan is to a related party, for example, subsidiary or holding company, consider whether it is fair and an “arm’s-length” transaction.
- Inspect EFT/bank statement/payment records to confirm the loan was made.
- Inspect the loan agreement to confirm the following:
 - name of borrower
 - client is the lender
 - amount of loan
 - interest rates and repayment terms
 - purpose of loan
 - details of security offered for loan, and
 - other salient features, for example, penalties for late payment/any loan covenants.
- Confirm by inspection that the loan amount reflected in the agreement has been correctly raised in the general ledger.
- Inspect the dates on the EFT to confirm that the transaction has been recorded in the correct accounting period.

14.6.3.3 Repayments

Occurrence, accuracy, cut-off and classification

- Inspect cash receipt records/bank statements/deposit slips for evidence of repayments received.
- By inspection of the dates on the receipts, confirm that the repayment has been recorded in the correct accounting period.
- Re-perform calculations of allocation of repayments into capital and interest portions.
- Re-perform posting to confirm correct allocation.

14.6.3.4 Accuracy valuation – Closing balance

- Re-perform casts of the loan summary and general ledger accounts.
- Agree the loan summary to general ledger.
- Obtain confirmation of the balance owing directly from the party to whom the loan was made and request confirmation of interest rates and any security offered.
- By discussion with the directors, establish whether there is any reason to write down the value of the loan, such as:
 - late payment of capital instalment and/or interest, and
 - notification that the loan recipient is in financial trouble, for example, under business rescue, in liquidation.
- Recompute the portion of the long-term loan asset that is repayable in the ensuing year and, by inspection, confirm that it has been reflected as a current asset.

Note: If there are numerous loans, the client may make an allowance for “bad debts”. If this is the case, the provision should be audited in the normal manner (see revenue and receipts chapter 10).

14.6.3.5 Completeness

- Review payment records, minutes and correspondence for any evidence of loans advanced that may have been misclassified, particularly with respect to loans to directors.
- Send a written request to all directors asking them to confirm details of any loans they or any person/company “related” to them may have received (even if repaid) during the year.
- Obtain a written management representation on the completeness of loans advanced.

14.6.3.6 Presentation

See Notes 1 and 2 on page 14/12 and 14.5.2.6 on page 14/13.

14.6.4 Intangible assets

IAS 38 – Intangible Assets defines an intangible asset as an “identifiable non-monetary asset without *physical* substance . . .” Businesses frequently expend resources on acquiring or researching and developing intangible assets, such as computer software, patents, copyrights and franchises. The question arises as to how these “investments” in intangibles should be accounted for. IAS 38 is long and detailed and is beyond the scope of this text, but it is important that you have a general idea of how intangibles should be audited. The assertions relating to the “intangibles” balance are the same as for any asset, (i.e. *rights, existence, accuracy valuation and allocation, completeness and classification*). Attention will be paid to *presentation*.

14.6.4.1 Important accounting aspects

IAS 38 – Intangible assets, states that an intangible asset may only be recognised if, and only if:

- it is probable that the expected future economic benefits are attributable to the asset, will flow to the entity, and
- the cost of the asset can be measured reliably.

Simplistically, an intangible asset will either be purchased or internally generated. While the cost of a purchased intangible asset is easier to measure (based on purchase price), the auditor needs to be aware of the guidelines for recognising the cost of an internally generated intangible asset. With regard to internally generated intangible assets, IAS 38 does not allow any costs incurred in the research phase, to be capitalised. Costs incurred in the development phase may only be capitalised if the following criteria are satisfied:

- *It is technically feasible* to complete the intangible asset to be available for use or sale.
- The company *intends* to complete the intangible asset and use or sell it, and can use or sell it.
- The intangible asset will *generate* probable future economic *benefits* (e.g. market research could provide this evidence).
- There are *adequate* technical, financial and other *resources* available to complete the asset’s development and sell or use it.

- The company has the ability to reliably *measure expenditure* attributable to the intangible asset during its development.

IAS 38 also provides guidance on the amortisation of the intangible asset. An intangible asset should be amortised to reflect the asset's economic benefits to the entity. If this is not readily determinable, the straight-line method may be used. Both the amortisation period and the amortisation method must be assessed at each reporting date and any changes must be accounted for as a change in accounting estimate. Only intangible assets with finite lives are amortised. Intangible assets with indefinite useful lives are not amortised; however, these assets must be reviewed annually for impairment and whether the assessment that they have indefinite useful lives is appropriate.

Note: While IAS 38 does permit intangible assets to be carried under the revaluation model, they seldom are. This is due mainly to the fact that one of the criteria for use of the model is "an active market" that will often not exist. Further guidance on this can be found in IAS 38.

The following procedures provide guidelines for the audit of intangible assets. The procedures deal with principles because there are many different types of intangible assets.

14.6.4.2 Rights and existence

- Where possible, inspect documentation that reflects the client's right to the asset, such as letters, patents, Certificates of Registration for trademarks and licences.
- Inspect documentation for registration in the client's name and for any endorsements that may impinge on rights.
- If the "intangible" has a "physical" representation, for example, computer software, or a franchise, it should be inspected by the auditor.

14.6.4.3 Completeness

The risk of understatement is reasonably low, so completeness tests may be limited to:

- enquiry of management about research and development projects underway
- review of minutes, correspondence and disbursement records to identify expenditure on intangibles, and
- obtaining written representation from the directors.

14.6.4.4 Occurrence, accuracy, cut-off, classification

- The cost of an *acquired intangible asset* consists of:
 - its purchase price, and
 - any directly attributable costs of preparing the asset for its intended use, for example, professional fees.
- The auditor would:
 - Inspect the directors' minutes, capital budgets for authority for the purchase.
 - Inspect the purchase agreements, invoices and payment records pertaining to the purchase to confirm that:
 - they are in the name of the company
 - amounts and descriptions agree with what has been recorded
 - the transaction has been recorded in the correct accounting period (dates), and
 - all costs included qualify as directly attributable costs, for example, they are *not* promotional costs, or general administration costs.
- The cost of an *internally generated intangible asset* consists of expenditure incurred during the developmental stage of the asset.
- The auditor would:
 - conduct procedures similar to those shown above for acquired intangible assets, and
 - confirm, by inspection of the supporting documentation for capitalised cost, that the costs were not research costs that should have been excluded (based on the criteria shown under important accounting aspects).

14.6.4.5 Valuation – Amortisation

Intangible assets have a finite or indefinite useful life. If the company assesses that the intangible asset's useful life is *finite*, then the intangible asset must be *amortised*. If its useful life is considered to be *indefinite*, it is *not amortised*. Therefore, the auditor must do the following:

- Discuss and evaluate the grounds on which the intangible asset's useful life was determined.
- Where the useful life is classified as finite:
 - confirm that the method of amortisation reflects the pattern in which the enterprise consumes the intangible asset's economic benefits, or if this method of amortisation is not possible, the straight-line method has been used, and
 - re-perform all amortisation calculations.
- Where the useful life was classified as indefinite, confirm, by discussion with directors or inspection of supporting schedules or documentation, that the intangible assets have been tested for impairment and that their useful life has been re-assessed.

14.6.4.6 Presentation

See Notes 1 and 2 on page 14/12 and 14.5.2.6 on page 14/13.

Completion of the audit

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15.1 Completion of the Audit – Concluding and Reporting phases

15.1.1 Introduction

The final stage of the audit is known as the completion stage. There are two important phases in the completion stage. Firstly, the auditor must conclude on the evidence obtained during the audit. This is usually considered as concluding the audit. Secondly, in the reporting phase, the auditor must prepare a report that expresses an opinion on their audit observations and the accuracy of the financial statements.

15.1.2 Focus of the chapter

In 15.2 to 15.4 of this chapter, we will focus on the concluding phase of the completion stage of the audit. In the concluding phase, there are three aspects that are particularly important which require the auditor to perform audit procedures to obtain sufficient and appropriate audit evidence. The first aspect is covered in ISA 570, *going concern*, where the auditor must remain alert throughout the audit for audit evidence of events, or conditions that may cast doubt on the entity's ability to continue as a going concern. Therefore, the auditor will conclude on going concern matters in the concluding phase having reviewed all audit evidence obtained during the audit. The second aspect deals with the auditor's responsibility when dealing with a factually insolvent client. The third aspect of the concluding phase is the auditor's requirement to perform audit procedures to obtain sufficient and appropriate audit evidence that all events occurring between the date of the financial statements and the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified. This is known as *subsequent events testing*, as covered in ISA 560.

From 15.5 onward, we will cover the various aspects of the reporting phase of the completion stage of the audit. Those sections outline the requirements for an unqualified (clean) audit report, modified audit opinions, the structure of the different types of audit opinions, and other aspects that impact the audit opinion.

15.2 ISA 570 (revised) - Going concern – Concluding phase

15.2.1 Introduction

If a company is trading as a "going concern", it means that the company can continue its operations for the foreseeable future.

- (a) Under normal circumstances, the company's directors will present the financial statements on the "going concern basis". *This means that assets and liabilities are recorded on the assumption that the company will continue its operations for the foreseeable future.* Accordingly, assets and liabilities are recorded on the basis that the entity will realise its assets and discharge its liabilities in the normal course of business.
- (b) The responsibility for the preparation of the financial statements lies with the directors through management. It follows that management should assess the entity's ability to continue as a going concern when preparing the annual financial statements and in terms of International Accounting Standard IAS 1, management is actually required to make this assessment.
- (c) Management's assessment of the entity's ability to continue as a going concern requires that judgement must be made about the future of the company and the multitude of factors that can affect its operations. In other words, judgement must be made about inherently uncertain future outcomes.
- (d) The extent of management's assessment of "going concern" will vary considerably from entity to entity. Many entities are historically sound and suffer no short-term threat to their continued existence. Many others face uncertain futures and extensive assessment of their ability to continue as a going concern may be necessary. This is not to assume that large companies are immune to uncertainties concerning their futures. The financial crises (of 2007–2008), which devastated many successful international companies and the global COVID-19 pandemic in 2020, which has contributed to the woes of many industries, are testimony to this. So, the message is clear; while it is acceptable that judgements about the future are based on information available when the judgement is made, directors cannot assume that because the company is "strong today" it will be "strong tomorrow". In reality, most large companies (and many other companies) will be very aware of sustainability issues and there will be risk committees that will monitor "going concern" on an on-going basis.

15.2.2 The auditor's interest in the going concern ability of the client

15.2.2.1 The going concern assumption

As stated above, the going concern assumption is fundamental to the preparation of the financial statements. While the going concern itself is not stipulated as an assertion in ISA 315 (revised 2019), the assumption of going concern in preparing the financial statements directly affects many assertions.

For example:

Jonas Ltd is being liquidated. The company's inventory is being sold at below cost to create a cash flow (forced sale). The value of inventory presented on the going concern basis will thus differ from the value of the same inventory presented on the liquidation basis.

The product that West Ltd manufactures and sells has become obsolete in the market place and as such, West Ltd is no longer a going concern. Since it is no longer useful, the plant and equipment which manufactures the product can no longer be valued on the going concern basis.

In both of the above examples, the valuation assertion is directly affected.

15.2.2.2 Auditor's objectives

The auditor's objectives with regard to going concern are:

- to obtain sufficient and appropriate evidence regarding, and to conclude on, the appropriateness of management's use of the going concern assumption in the preparation of the financial statements
- to conclude, based on the evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern, and
- to report in accordance with ISA 570 (revised).

15.2.2.3 Audit risk

The risk that the auditor faces is the expression of an unmodified audit opinion where the going concern concept (including the treatment of material uncertainties) has been or may have been, applied *inappropriately*. As mentioned in (d) above, the possibility of this occurring will vary significantly from client to client. Generally, in large listed companies, there is less risk that the company is not a going concern, but it can be a real risk in other under-resourced companies. Regardless of the auditor's initial impressions of the client's going concern ability, *sufficient appropriate evidence* will still have to be gathered to support the adoption, by the client, of the going concern assumption in the preparation of the financial statements.

However, it must also be understood that the auditor does not have special powers which enable him to predict the future. The same uncertainties which affect management's ability to predict the future, affect the auditor. The auditor carries out the procedures he considers necessary, adopting the appropriate level of professional scepticism, to be in a position to form an opinion on the entity's ability to continue as a going concern. It should be noted that an unmodified audit report is *not a guarantee* provided by the auditor that the company will continue as a going concern.

15.2.2.4 When does the auditor consider the appropriateness of "going concern"?

Throughout the audit, the auditor should remain alert to evidence, events or conditions which may cast significant doubt on the entity's ability to continue as a going concern. The audit is an ongoing evidence gathering exercise and pieces of evidence relating to going concern will be obtained at all stages of the audit:

- During **planning (risk assessment procedures)**: In terms of ISA 570 (revised) – Going Concern, the auditor must carry out risk assessment procedures specifically relating to the going concern ability of the entity. This will be part of identifying and assessing the risk of material misstatement (ISA 315 (revised 2019)). In particular, the auditor should consider any material uncertainties regarding events or conditions and related business risks that may cast significant doubt upon the entity's ability to continue as a going concern.

An important risk assessment procedure will be to determine whether management has performed a preliminary assessment of the company's "going concern" ability and:

- if so, to discuss the assessment with management including any plans to address any significant doubts about the company's going concern ability, and
- if not, to discuss with management whether conditions or events which cast doubt about the company's ability to continue as a going concern *do* exist.

- During the **performance of further audit procedures**: if the risk assessment procedures have raised concerns about “going concern”, the auditor will carry out specific further audit procedures to respond to the risk. In addition, when carrying out further audit procedures not specific to going concern, the auditor should be *alert* to events or conditions that provide evidence (negative or positive) relating to going concern. For example, when auditing accounts payable, the auditor might notice increasing complaints from creditors about slow or erratic payment from the client. This suggests cash flow/liquidity problems. It does not mean there is a going concern problem, it simply provides an additional piece of evidence that may cause the auditor to reassess the risk relating to going concern.
- As part of the **review of subsequent events**: The auditor will identify and evaluate the effect, if any, which subsequent events may have had on going concern. For example, if the client’s primary market collapses during the post reporting period, it will certainly influence the auditor’s opinion on whether the going concern basis is appropriate. The post-reporting period may also provide further evidence of events or conditions affecting going concern, identified prior to year-end.
- At the **evaluating and concluding stage**: The auditor considers all the individual pieces of evidence gathered relating to going concern, *collectively*.

15.2.3 The audit plan for going concern

The directors, through management, are charged with the responsibility of assessing their company’s ability to continue as a going concern at reporting date. In making their assessment, management must consider all available information about the future, which is “at least, but not limited to, twelve months from the reporting date”. The assessment may be made for a longer period, but the degree of uncertainty associated with future events increases, the further management looks into the future. Management’s assessment will play a central role in the audit plan for going concern.

Essentially the audit of going concern follows the established process (i.e. *risk assessment* procedures followed by *further audit* procedures to respond to the assessed risk and *other* procedures which may be required to comply with the ISAs).

15.2.3.1 Risk assessment procedures – Nature, extent, timing

- **Nature**: The procedures will be conventional, (i.e. inquiry, analytical procedures and inspection) and will centre on management’s assessment of going concern.
- **Extent**: The extent of risk assessment procedures will depend upon many factors but will be most affected by the perceived future uncertainties that face the company and may affect its going concern ability. There is no “one size fits all” when assessing risk, the circumstances and level of uncertainty will vary considerably from company to company.
- **Timing**: Although the auditor may do some work on going concern at interim visits to the client, the major thrust of the risk assessment procedures will be centred on the financial year-end audit. The most current and up to date information is required to make an appropriate assessment.

15.2.3.2 Risk assessment procedures – Objective

Essentially, in conducting the risk assessment procedures, the auditor is on the lookout for events or conditions which, individually or collectively, may cast doubt about the company’s ability to continue as a going concern. The explanatory notes to ISA 570 (revised) – Going Concern, provide a framework, including examples of such events or conditions, which may be used to analyse the company’s going concern ability. The events or conditions are categorised as *financial*, *operating* and *other* events or conditions. In a situation where these events or conditions suggest that going concern is at risk, *mitigating factors* (factors that reduce the risk) should also be considered.

- **Financial**
 - the company is in a net liability or net current liability position
 - fixed-term borrowings are approaching maturity (i.e. they must be repaid) without realistic prospects of renewal or repayment
 - excessive reliance on short-term borrowings to finance long-term assets
 - indications of withdrawal of financial support by suppliers and other creditors
 - adverse key financial ratios
 - negative operating cash flows

- substantial operating losses or significant deterioration in the value of assets used to generate cash flows
- arrears or discontinuance of dividends
- inability to pay creditors on due dates
- difficulty in complying with the terms of loan agreements
- change from credit to cash-on-delivery transactions with suppliers, and
- inability to obtain financing for essential new product development or other essential investments.
- **Operating**
 - management intentions to liquidate the entity or to cease operations
 - loss of key management without replacement
 - loss of a major market, franchise, licence or principal supplier
 - labour difficulties, for example, strikes, go-slows, lack of skills
 - shortage of important supplies, for example, raw materials
 - technological obsolescence of products
 - threats from cheap imported goods, and
 - emergence of a highly successful competitor.
- **Other**
 - pending legal proceedings against the entity, which may, if successful, result in judgements that cannot be met, for example, extensive damages awarded against the client
 - changes in legislation or government policies, for example, withdrawal of tax concessions, banning of client's product
 - negative perceptions about the company's product in the marketplace (reputational damage), and
 - negative publicity due to social media which may cause lasting damage to an organisation's reputation (also refer to chapter 8),
 - failure to satisfy Black Economic Empowerment (BEE) requirements leading to the loss of contracts.
- **Mitigating factors**
 - plans made by management to counterbalance the effects of negative events or conditions, for example, detailed, achievable cash flows reflecting a return to profitable trading, the planned sale of redundant assets to create a cash flow, other methods of maintaining cash flows by alternative means
 - potential support from a holding company or fellow subsidiary
 - a record of managing going concern crises successfully, and
 - the availability of alternative sources of supply.

15.2.3.3 Further audit procedures

- **Nature:** This will be a substantive evaluation of management's assessment of the entity's ability to continue as a going concern, predominantly the application of analytical procedures, confirmation of evidence provided by management, and enquiry of personnel. The "audit" of going concern is not necessarily simple, as it requires the auditor to evaluate not only historical data but also, where going concern is in doubt, a client's survival strategy and forecasts must be evaluated. Strategies and forecasts are by their nature, subjective. Where the going concern has been assessed by management for the following twelve months (normally the case), the auditor should still enquire whether management is aware of anything beyond the twelve months which may cast significant doubt on the entity's ability to continue as a going concern.

ISA 570 (revised) refers to "additional" audit procedures to be conducted when events or conditions which cast doubt about the company's ability to continue as a going concern are identified. Obviously, these procedures are a response to identified risk and would fall under the definition of further audit procedures. The appendix to ISA 570 (revised) lists these procedures as follows:

- Analyse and discuss cash flow, profit and other relevant forecasts with management.
- Analyse and discuss the entity's latest available interim financial information.
- Review the terms of debentures and loan agreements to determine whether they have been and can be met (have not been breached).

- Read minutes of meetings of shareholders and those charged with governance (directors and the audit committee) for reference to financial difficulties.
- Enquire from the entity's lawyers regarding litigation and claims and the reasonableness of management's assessment of any financial implications for the company.
- Confirm the existence, legality and enforceability of arrangements to provide or maintain financial support with related and third parties and assess the financial ability of such parties to provide additional funds.
- Consider the entity's position concerning unfilled customer contracts/orders, for example, penalties for failure to perform.
- Confirm the existence, terms and adequacy of the company's borrowing facilities, for example, the state of the relationship with its bankers/borrowings providers.
- Obtain and review reports of any regulatory actions, for example, SARS investigations and investigations by industry controlling bodies.
- Review events after year-end for transactions or events which either mitigate or aggravate conditions affecting the entity's ability to continue as a going concern.
- **Extent:** The extent of testing will vary directly with the "certainty" of the company's ability to continue as a going concern. Less detailed going concern audit work will be required for a sound, liquid, and solvent company, whereas a great deal of going concern audit work may be required where the company is facing an uncertain future, and where there are material uncertainties. The extent of going concern procedures will be directly influenced by the outcome of the risk assessment procedures. As a general rule "the greater the risk, the greater the extent of testing" holds true.

It is also important to remember that even if the assessment of the risk of material misstatement is low, some further audit procedures will need to be conducted. These may be very simple and quick but in terms of the auditing standards, sufficient appropriate evidence must be gathered to *support* the "low risk" assessment.

- **Timing:** The timing of testing will mostly focus on the financial year end and the post reporting date period. This is due to the fact that the auditor is interested in the most current up to date information about the company's going concern ability.

Note: In terms of ISA 300 – Planning an audit of financial statements, the auditor must plan, in addition to risk assessment procedures and further audit procedures, *other* procedures that are required to be carried out so as to comply with the ISAs. Other procedures are not a response to the risk assessment they are a response to the requirement of compliance with the ISAs. In the case of "going concern" an *other* procedure may be "communicating with those charged with governance" to comply with ISA 260 (revised), or "obtaining written representations" pertaining to going concern to comply with ISA 580.

15.2.4 Mitigating factors and management plans

When faced with a material uncertainty regarding their company's ability to continue as a going concern, the directors will attempt to implement plans to resolve the problem. Standard "management plans" are:

- the disposal of assets to generate a cash flow
- raising of additional capital or restructuring debt
- cost cutting, and
- increasing sales.

The auditor must consider any plan that management offers, as the plan is, in effect, a mitigating factor. In this regard the auditor:

- Should gather sufficient appropriate evidence that the plans are *specific* and *feasible*, for example, a plan to "increase sales volume by 25%" would have to be supported by specific detail as to how this is going to be achieved. The auditor will need to "audit" the detail and consider whether, in the light of the evidence gathered, the plan can be achieved (feasible). For example, a manufacturing company that is going to "increase sales volume by 25%" will need sufficient production capacity to meet the increased sales. If it does not have the capacity, the plan is not feasible.
- Should pay careful attention to the underlying assumptions which management uses in their plans. By their nature, assumptions are subjective, so the most that the auditor can do, is to evaluate whether the

assumptions are appropriate, reasonable, suitably supported and not vague generalities. Increasing sales by 25% sounds good, but how does the entity do it?

- Must realise that most plans will have a negative side to them which could increase the going concern problem; for example, most plans which create a cash *inflow*, create a cash *outflow* as well; if a new loan is negotiated (inflow), interest and ultimately the capital sum must be paid to the loan provider (outflow). Another example might be where retrenchments are planned as a cost-cutting exercise; not only does this create an outflow (retrenchment packages), but the company's ability to service its customers may also be negatively affected, resulting in customers taking their business elsewhere.
- Should ensure that the directors provide written representation regarding their intentions to commit to the plan, and that the directors have approved it and are committed to it.

Read the example below and see if you can identify events or conditions (financial, operation or other) that may indicate a going concern risk. Read the scenario again and try to identify mitigating factors (which reduce the risk.):

Alpha (Pty) Ltd is experiencing cash flow difficulties. In order to alleviate the pressure, the managers of Alpha (Pty) Ltd has changed its debtor repayment policy from 30 days to 15 days. Unfortunately, the company's customers did not take well to this change, and this, combined with a steep increase in competitors that have entered the market, has caused sales to drop by nearly 15%. To make matters worse, two of the company's largest suppliers have indicated that they are no longer willing to provide credit to Alpha (Pty) Ltd, as the company has fallen into arrears with its payments. As Alpha (Pty) Ltd is struggling to obtain further finance from its bank, it is considering factoring its debtor's book. The cash generated from the factoring would mainly be applied to pay increases to employees to avoid further strike action. Management is also hoping that this would stop the exodus of some of Alpha (Pty) Ltd's most skilled employees (who have left to join competitor companies, due to their unhappiness with the company's inability to pay market-related salaries.) Besides generating cash from debtor factoring, management has also put aggressive cost cutting plans into place, which should significantly decrease overheads. The company is also closing down its loss-making KZN branch, and the disposal of the related assets would also bring some financial relief.

15.2.5 Audit conclusions

After sufficient appropriate evidence has been obtained relating to the going concern assumption, the auditor must decide whether a *material uncertainty* exists that may cast significant doubt upon the entity's ability to continue as a going concern. A material uncertainty exists when the magnitude of its potential impact and its likelihood of occurrence is such that in the auditor's judgement, appropriate *disclosure* of the nature and implications of the uncertainty is necessary for the financial statements to achieve fair presentation.

Expressed another way, if a *material uncertainty* exists, it must be adequately disclosed in the financial statements otherwise the financial statements will not fairly present the state of the company's affairs.

Proper *disclosure* requires that the financial statements:

- adequately describe the principal events or the conditions that give rise to the significant doubt about the entity's ability to continue in operation for the foreseeable future and management's plans to deal with these events or conditions;
- state clearly that there is a material uncertainty related to events or conditions which may cast significant doubt about the entity's ability to continue as a going concern, and therefore, that it may be unable to realise its assets and discharge its liabilities in the ordinary course of business; and
- the disclosure may also include management's evaluation of the significance of the events or conditions relating to the entity's ability to meet its obligations and/or significant judgements made by management as part of its assessment of the company's ability to continue as a going concern.

15.3 Factual insolvency – Concluding phase

15.3.1 Introduction

As another aspect of the concluding phase, the auditor must consider whether the company is trading while factually insolvent. There are two categories of insolvency that the auditor must consider:

- **Commercial insolvency** arises when an undertaking cannot pay its debts as they fall due as a result of illiquidity, even though its assets may exceed its liabilities. Commercial insolvency would clearly indicate

going concern problems and would be taken into consideration by management and the auditor in assessing the appropriateness of presenting the AFS on the going concern basis. The auditor would be particularly interested in management's plans to address and remediate the situation.

- **Factual insolvency** arises when the liabilities of an undertaking exceed its assets, fairly valued (also referred to as technical insolvency). Factual insolvency also clearly indicates going concern problems but, in addition, has much more severe implications for the auditor. Where a company continues to trade when its liabilities exceed its fairly valued assets, a situation is created where certain irregularities may occur. If such irregularities are taking place, a duty on the auditor's part to report a "reportable irregularity" as contemplated by section 45 of the Auditing Profession Act 2005, may arise. The fact that the company continues to trade while factually insolvent is not in itself, an irregularity, but a situation is created that may give rise to certain irregularities.

15.3.2 The irregularities which may arise when a factually insolvent company continues to trade

15.3.2.1 Common law fraud

The crime of fraud includes *unlawfully making, with intent to defraud, a misrepresentation that causes actual prejudice to another*. In the context of this topic, the directors of a factually insolvent company may be guilty of fraud, if, for example, they enter into a contract with a supplier of goods knowing that the goods supplied will not be paid for.

15.3.2.2 Reckless trading – Companies Act 2008 section 22

In terms of section 22, "a company must not carry on its business recklessly, with gross negligence, with intent to defraud any person or for any fraudulent purpose". When a company is factually insolvent, is it "reckless" for the directors to continue trading? Obviously, there is a fair amount of subjectivity in determining whether the directors have been *reckless* but the key will be to determine whether the directors have acted as *reasonable people*. The question to be answered is whether a reasonable person would have acted in the same manner under a situation of factual insolvency.

For example:

Better-Days (Pty) Ltd is factually insolvent. However, its directors have decided to enter into a lease agreement for a very expensive fleet of company vehicles for their personal use. Furthermore, they have approved an extensive overseas trip for five of the directors (first-class airfare and five-star hotels), to attend a conference relating to the industry they operate in. The directors have also voted to grant themselves large bonuses and substantial salary increases, as a reward for "making it through" the tough year that the company has faced. Lastly, the directors have incurred a substantial amount of debt on behalf of the company, to finance the expenses as discussed above.

Regarding the scenario above, do you think it is *reasonable* for the directors to have entered into the lease agreement while the company is factually insolvent? Is it *reasonable* for five directors to undertake the overseas trip instead of only one director? Is it *reasonable* for the directors to fly first class and stay in luxury hotels while the company is factually insolvent? What about the large bonuses and salary increases? Would a *reasonable* person have incurred debt on behalf of the company when there is no reasonable prospect of the creditors ever receiving payment for those debts? All these issues would probably result in a breach of section 22 of the Companies Act.

15.3.2.3 Summary

Where a company is factually insolvent, there is a greater risk that common law fraud, recklessness or gross negligence could occur. If any of the above have occurred (or are occurring) an unlawful act will have taken place. If the other requirements for a reportable irregularity are present (s 1 – definitions. Auditing Profession Act 2005) a duty in terms of section 45 will have arisen. The auditor must report accordingly to the IRBA.

15.3.3 Factual insolvency and section 45 of the Auditing Profession Act (reportable irregularities)

As indicated above, trading while factually insolvent may give rise to a reportable irregularity. In terms of the AP Act section 1 – definitions, to be a reportable irregularity the matter must be:

- **An unlawful act or omission** – the mere fact that a company is trading while factually insolvent is not itself unlawful. However, if fraud or any Companies Act section 22 contraventions are underway, an unlawful act will have occurred.
- **Committed by management** – if fraudulent/reckless acts are being committed in this context, it will be a result of decisions taken by those responsible for the company's management.
- The section goes on to say that the unlawful act must:
 - have caused or be likely to cause financial loss, *or*
 - be fraudulent or amount to theft, *or*
 - represent a material breach of fiduciary duty by the person committing the unlawful act.

Note the use of the word “or”. Although there will usually be financial loss if fraud, recklessness or gross negligence has taken place, financial loss is not a requirement that has to be satisfied before the matter becomes a reportable irregularity. Regardless of financial loss, if the act is fraudulent, the requirements for a reportable irregularity are satisfied. In addition, it should be noted that to commit fraud, or to intend to commit fraud, is likely to represent a material breach of fiduciary duty on the part of the directors.

Thus if a company continues to trade while its liabilities exceed its assets fairly valued, and in doing so the directors act fraudulently or recklessly in carrying on the business of the company (regardless of financial loss), a duty for the auditor to report in terms of section 45 of the AP Act arises.

Once the auditor has made the first report to the Regulatory Board (IRBA), the matter must be discussed with the directors “as soon as possible”. Essentially, the directors will have to provide the auditor with evidence that they have not carried on the company's business fraudulently or recklessly.

In deciding whether the directors have acted unlawfully, the auditor will need to evaluate the evidence presented by the directors to refute the allegations and will probably need to obtain a legal opinion. Remember that from a going concern perspective, the auditor will certainly take the insolvency into account, but from a reportable irregularity perspective, the auditor is more concerned about whether the directors have acted fraudulently, recklessly (with gross negligence) or have breached their fiduciary duty. Should the auditor fail to obtain the necessary evidence (to refute this), he must report to the IRBA that the reportable irregularity is continuing. The second report to the IRBA must be made within 30 days of the first report.

15.3.4 Subordination agreements (also called back-ranking agreements)

15.3.4.1 Back-ranking agreement

A common step that is taken by directors of factually insolvent companies in an attempt to get their companies back to health, is to obtain a back-ranking agreement. This is defined as:

An agreement by a substantial creditor(s) whereby that creditor binds itself either *indefinitely* or for a *limited period, conditionally* or *unconditionally* not to *claim* or *accept* payment of the amounts owing to it until the happening of a particular event.

The idea is that the factually insolvent company is given a “breathing space” during which time it can get itself back to a satisfactory level of financial stability. While a back-ranking/subordination agreement does not create an inflow of funds, it delays outflows, which may assist the company's liquidity.

15.3.4.2 Subordinating the amount owed by the factually insolvent company

Why would a creditor subordinate (back rank) the amount the factually insolvent company owes it?

Remember, we are dealing with a company whose liabilities exceed its assets and whose creditors will, therefore, not be paid in full if the company is liquidated. A creditor may believe that, in the long run, it will be a better business decision to keep the insolvent company functioning in the hope of ultimately being paid in full, than to allow liquidation to take place. There may be other reasons why the creditor company may wish to keep the insolvent company alive, for example, the insolvent company may be part of a group or may possess some unique characteristic, such as a non-transferable license to manufacture a particular product.

15.3.4.3 Audit considerations with respect to subordination agreements

- A subordination agreement is an important piece of evidence for the auditor. A valid subordination agreement may be significant in determining whether the *going concern basis of presentation is appropriate*. Indeed, the agreement may be the very reason that the company is able to continue in operational existence. For example, a holding company may subordinate its loan to its subsidiary until the subsidiary

returns to profitable trading. Other creditors will be more inclined to continue supplying the subsidiary and trading can continue. However, the presence of a subordination agreement does *not* automatically mean that the factually insolvent company will be a going concern, it is simply a mitigating factor – *financial, operating and other factors must still be considered* in deciding whether the adoption of the going concern basis for the presentation of the financial statements is appropriate.

- In relation to the situation where the auditor considers whether a reportable irregularity is taking place, the subordination agreement has no specific significance other than if it is presented as part of the evidence produced by the directors to prove they have not acted fraudulently or recklessly. The directors may contend that they are not being fraudulent, negligent or reckless in their actions, but are acting responsibly and fulfilling their fiduciary duty by acting in the company's best interests by obtaining a subordination agreement.

15.3.5 Auditing a subordination agreement

The following considerations should be taken into account when auditing a subordination agreement:

15.3.5.1 The contract

The auditor must be satisfied that the contract:

- is in writing in the format recommended by SAICA
- is signed by the creditor (with due authority)
- is between the client and the creditor
- is accepted by the client (signed by the directors), and
- complies with all legal formalities.

15.3.5.2 Size

The auditor must be satisfied that the claim that is back-ranked (subordinated) is sufficient to create a situation where an exception cannot be taken to a continuation of trading. **Remember:** Back-ranking intends to give the company a realistic chance to recover – not simply to get the “accounting” right. The back-ranking creditor (the amount back-ranked) must be large enough for this concession to have some effect.

15.3.5.3 Financial substance of the back-ranking creditor

The auditor must consider whether the back-ranking creditor is (financially) of *sufficient substance*:

- should the back-ranking creditor go insolvent, every disposition of property *not made for value* may be set aside by the liquidator of that company if, immediately after the disposition, the liabilities of the insolvent (creditor company) exceed its assets, and
- the auditor must therefore assess the possibility of insolvency of the creditor giving the back-ranking agreement, and whether *value* has, in fact, been received by the creditor. If there is a possibility of the subordination agreement being set aside, the auditor will be concerned about its suitability as acceptable evidence supporting the adoption of the going concern basis by the audit client.

Note: We are dealing here with the insolvency of the party, which is *subordinating* (back ranking) its claim. In effect by subordinating its claim, this party is “disposing” of its right to one of its assets and if no value is received in return, the disposition may be set aside under the circumstances outlined above. (This is a principle in insolvency law.)

15.3.5.4 Creditors right to back rank

The auditor must also determine by written enquiry whether the back-ranking creditor is entitled to back rank the debt (amount owed by the audit client), for example, the back-ranking creditor may have already offered the debt as some form of security to another party.

15.3.5.5 Reversal of the back-ranking agreement

The auditor must be aware of the possibility of the reversal of the subordination agreement after it has been presented as evidence in support of the adoption of the going concern assumption and should therefore give consideration to the integrity of the parties to the agreement and be quite clear about their intentions. Is it a genuine attempt to save the company or is it just an agreement of convenience to satisfy the auditor?

15.3.5.6 Third-party acceptance

The auditor should determine by inspection of correspondence and discussion with the directors as to whether any creditors (third parties) of the audit client company have accepted the benefit of the subordination agreement. For example, a supplier may have agreed to supply goods to the insolvent company because of the existence of the subordination agreement. A third party having accepted the benefits of the agreement gives more credibility to the subordination agreement as it cannot simply be legally reversed without the third party's (creditor) consent.

15.3.5.7 Documentation

The original of the subordination agreement should be retained by the provider of the agreement and a true copy by the client company. The auditor should also retain a copy in the audit documentation.

15.3.5.8 Disclosure

The entire matter should be fully disclosed by way of note and suitably described in the statement of financial position. Usually this will mean that the back-ranked creditor will be shown as a separate long-term liability (non-current liability) in the company whose creditor is back-ranked, and as a separate "long-term" debtor in the company which is back ranking its claim. As the subordination agreement relates to going concern, failure to make proper disclosure of the situation, will result in a qualified or adverse opinion.

15.3.5.9 Audit report

If the auditor accepts that the going concern basis of presentation *is* appropriate by virtue of the subordination agreement, a material uncertainty that causes significant doubt about the going concern ability of the company will still exist. (We are dealing with a factually insolvent company.) Therefore, to achieve fair presentation, the company will need to make adequate disclosure, including details of the subordination agreement. If this is achieved to the satisfaction of the auditor an unmodified audit opinion may be given, but an additional paragraph headed "Material Uncertainty Related to Going Concern" must be added to the report (more information on the different types of audit reports is provided later in this chapter).

If adequate disclosure or no disclosure is made, the auditor will qualify the audit opinion or give an adverse opinion based on material misstatement of the financial statements, which he may assess as either material (only) or material and pervasive.

15.4 ISA 560 – Subsequent events – Concluding phase

15.4.1 Introduction

Although the auditor reports on the financial statements as at the financial year-end, audit evidence is not simply gathered up to that date and no further. When evaluating and concluding, the auditor is obliged to consider whether all material events occurring after the date of the financial statements and up to the date of the auditor's report, which may necessitate adjustment to, or disclosure in, the financial information on which the opinion is being issued, have been identified. ISA 560 – *subsequent events* takes this a step further by identifying not only the auditor's duty concerning events occurring between the date of the financial statements and the date of the auditor's report, but also a duty should certain situations arise *after* the date of the auditor's report. (Note: The date of the auditor's report is the date on which the auditor signs the report.)

15.4.2 Applicable statements

There are two applicable statements: IAS 10 – *events after the reporting period*, which defines and deals with the *treatment* of events after the reporting period; and, ISA 560 – *subsequent events*, which covers the *procedures* to be adopted by the auditor concerning events occurring after the date of the financial statements.

Note: ISA 720 (revised) which deals with *other information*, i.e. financial and non-financial information other than the annual financial statements, is also relevant. The implications of other information which the auditor obtains after the date of the auditor's report must be considered.

15.4.3 Definitions

It is important to have a good understanding of the various dates to determine whether a subsequent event should be considered. Listed below are a few defining terms that are relevant to subsequent events consideration:

- **Date of the financial statements** – the date of the end of the latest period covered by the financial statements, normally the financial year-end date, for example, 30 June 0001.
- **Date of approval of the financial statements** – the date those with the recognised authority (normally the directors) assert that they have taken responsibility for the financial statements. (This is usually the date on which the directors sign the financial statements).
- **Date of the auditor's report** – the date the auditor selects to date the audit report on the financial statements. This date cannot be before the auditor has obtained sufficient, appropriate evidence, including evidence that a complete set of financial statements has been prepared. This date *cannot be before* the directors have asserted that they have taken responsibility for the financial statements.
- **Date that the financial statements are issued** – the date the auditor's report and audited financial statements are made available to third parties.
- **Subsequent events**
 - events occurring between the date of the financial statements and the date of the auditor's report, and
 - facts that become known to the auditor after the date of the auditor's report.

Note (a): IAS 10 – *Events after the Reporting Period*, defines events after the reporting period as those events, both favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are *authorised for issue*.

Note (b): ISA 560 – *Subsequent Events*, deals with the period between the date of the financial statements and the date of the auditor's report *and* splits the period *after* the date of the auditor's report into two. The two time periods are:

- after the date of the auditor's report but before the date the financial statements are issued, and
- after the financial statements have been issued to users.

The reason for this is that the auditor may react differently to facts that become known to her after the date of the auditor's report, depending on whether the financial statements have been issued or not.

Tip: When considering subsequent events (as part of your studies or in practice), it may be useful to draw a timeline, setting out all the applicable dates discussed above.

15.4.4 Types of subsequent events

15.4.4.1 Adjusting events

Adjusting events are events requiring *adjustment* in the financial statements. Adjustment must be made where the subsequent event provides evidence of conditions that *existed* at the end of the reporting period.

IAS 10 states that in respect of such events, "an entity shall adjust the amounts recognised in its financial statements to reflect adjusting events after the reporting period".

For example:

During the financial year under review, MonkeyBars (Pty) Ltd was sued by the parents of a child who fell from a piece of playground equipment installed by the company. Shortly after year-end, it was determined that the injury was indeed due to MonkeyBars (Pty) Ltd's negligence and that the company would have to pay an amount of R185 000 to cover the medical costs incurred by the parents of the injured child.

15.4.4.2 Non-adjusting events

These are events that are indicative of conditions that arose *after* the reporting period. If non-adjusting events after the reporting period are material, non-disclosure could influence the economic decisions of users taken based on the financial statements. Accordingly, the following should be disclosed:

- nature of the event
- estimate of the financial effect of the event, or
- a statement that such an estimate cannot be made, if this is the case.

Many companies, particularly listed companies, will include further information about matters which might have arisen after the reporting period in the financial statements, simply to improve the quality of the financial statements and not specifically to comply with international accounting standards. The auditor's responsibility with regard to this information is to satisfy herself that it does not contain misstatements of fact and that it is not misleading.

15.4.4.3 Dividends

If a company declares a dividend after the reporting period, the entity shall *not* recognise those dividends as a liability at the date of the financial statements (end of the reporting period).

Dividends are usually approved at the AGM by the shareholders and therefore at the reporting date, the dividend payment is not a “present obligation”.

15.4.4.4 Going concern

If management determines after the reporting date, that either:

- it intends to liquidate the company or to cease trading, or
- they have no alternative but to do so, the financial statements *may not* be prepared on the going concern basis.

The reasoning for this is that if the company is no longer a going concern, the effect is so pervasive that a fundamental change in the basis of accounting is necessary.

For example:

Blizzards Ltd presented its financial statements on the going concern basis at 28 February 0001, because management had a reasonable expectation that the company would be awarded a large contract for which they had tendered. Appropriate disclosures were made. However, in the post-reporting-date period, the company was officially informed that it had *not* been awarded the contract. As such, the company is no longer a going concern at reporting date, although this fact was only confirmed after reporting date.

Even though the event in the scenario above relates to a matter that occurred after year-end, the users of the financial statements may make decisions based on the financial statements (if left as is), as they would be unaware that the company is no longer a going concern.

15.4.5 Events occurring between the date of the financial statements and the date of the auditor's report

15.4.5.1 Duty of the auditor

Essentially the auditor has to do *two* things. Firstly, subsequent events must be *identified*, and secondly, the *treatment* thereof in the financial statements must be audited to determine whether the treatment complies with IAS 10.

In terms of ISA 560, the auditor shall request management and, where appropriate, those charged with governance, to provide a written representation that all events occurring after the date of the financial statements which require adjustment or disclosure have been adjusted for or disclosed.

15.4.5.2 Identification of subsequent events

The auditor should:

- gain an understanding of and review procedures adopted by management to identify subsequent events
- review minutes of meetings of directors, management, executive, and audit committees held after the date of the financial statements
- obtain an update from the client's legal representative on outstanding legal matters
- review the company's latest financial information:
 - cash flow forecasts
 - budgets
 - monthly management reports, and
 - interim financial statements.
- scrutinise (inspect) the financial records for the post reporting date period
- scrutinise (inspect) prior year work papers to identify types of events that have occurred previously
- obtain a management representation in respect of subsequent events
- make specific enquiries of management about:
 - the status of items accounted for on tentative/preliminary/inconclusive data, for example, bad debt allowance

- new commitments/borrowings or guarantees
- planned sale/disposal/abandonment of assets
- realisation/recoverability of assets at less than financial statement values
- share issues, mergers, liquidations
- assets destroyed, impaired or appropriated
- developments in risk areas previously identified
- unusual accounting adjustments which have been made or are contemplated
- any event which may affect the appropriateness of accounting policies adopted at year-end, and
- going concern ability of the company.

These enquiries are intended to gather the “latest” information about audit matters.

15.4.5.3 Auditing the treatment of the subsequent events

The auditor should:

- determine whether the subsequent event is an *adjusting* or *non-adjusting* event. The key issue is whether the event provides evidence of conditions that existed at reporting date; the client’s interpretation cannot be relied upon without the auditor gathering sufficient appropriate evidence to support the client’s interpretation
- evaluate the evidence supporting the subsequent event, for example, notification from the liquidator of one of the company’s major debtors
- re-perform any casts or calculations which may be applicable to the event, for example, it may be necessary to calculate an accrual for a decision based upon a legal judgment given after reporting date, which requires the backdating of a new set of pay rates
- where an adjustment must be made, determine by inspection, whether the adjustment has been correctly accounted for (i.e. the debits and credits are correct), and
- where disclosure is required, inspect the notes for compliance with IAS 10:
 - nature
 - estimate of financial effect, or
 - a statement that such an estimate cannot be made, if this is the case.

Note: The “event” should be audited in terms of the assertions for “transactions and events” and/or “presentation and disclosure”.

15.4.6 Facts that become known to the auditor after the date of the auditor’s report but before the date the financial statements are issued

15.4.6.1 Duty of the auditor

There is *no* duty on the auditor to perform procedures to identify *subsequent events after the date of the auditor’s report, but*, during this period, if the auditor becomes aware of a fact, she should consider whether the fact, had it been known to the auditor at the date of the auditor’s report, will affect the financial statements which have already been reported on, and if so whether the effect will (at least) be material. Essentially, the auditor must decide on whether the audit report needs amendment (i.e. modification in some form).

Note (a): ISA 720 (revised), which deals with the *auditor’s responsibilities relating to other information*, contains guidance and requirements concerning other information obtained after the date of the auditor’s report. This might include other information obtained after the date of the auditor’s report, but before the date the financial statements are issued. The point being made is that such other information, although defined as information other than the financial statements, may have consequences for the auditor and the audit report.

15.4.6.2 Potential difficulties

If the effect of the fact is (at least) material, potential difficulties arise:

- *Firstly*, a decision has to be taken by the directors on whether the financial statements should be *amended*. The auditor has already decided that the matter is (at least) material, which implies that users’ decisions

could be influenced, so *theoretically*, the financial statements should be revised by adjustment or disclosure, and if they are not, the audit report should be qualified.

- *Secondly*, the auditor's report and financial statements are likely to be under the client's control (directors) as they have not yet been issued.
- *Thirdly*, how the auditor proceeds if the financial statements require amendment will depend on *management's willingness to amend* the financial statements.

15.4.6.3 Management's attitude

If management is willing to amend the financial statements, the auditor should:

- carry out the necessary audit procedures to confirm that the amendment (adjustment/disclosure) to the financial statements is appropriate
- conduct further subsequent event procedures up to the date of the new auditor's report date, and
- provide management with a new audit report on the amended financial statements, correctly dated.

If management *does not amend* the financial statements, the auditor should:

- redraft the report expressing a qualified or adverse opinion.

Note: This is only possible if the auditor has not yet released the (original) report to the client, i.e. the auditor still has control over its distribution.

If the client has the original report and intends to release it with the incorrect financial statements, the auditor must inform the client that:

- the financial statements, including the audit report, should *not* be released, and
- that if they are, the auditor will take steps to prevent reliance on the audit report.

15.4.7 Facts that become known to the auditor after the financial statements have been issued

15.4.7.1 Duty of the auditor

- After the financial statements have been issued, the auditor has no obligation to carry out any audit procedures regarding these financial statements.
- However, if the auditor becomes aware of a fact which, had it been known at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor should discuss with management whether the financial statements need amendment (adjustment/disclosure) and if they do, inquire how management intends to address the matter.

Note (b): Note (a) above is relevant to this situation as well.

15.4.7.2 Potential difficulties

- *Firstly*, the financial statements have (already) been issued to a potentially wide audience.
- *Secondly*, the directors may not be prepared to do anything about it.

15.4.7.3 Management's attitude

- If management agrees to amend the financial statements, the auditor's life will be much easier! The auditor will:
 - carry out procedures to ensure the amendment is appropriately implemented (adjustment/disclosure)
 - conduct subsequent event procedures up to the date of the new auditor's report
 - issue a (new) revised audit report with an "emphasis of matter" or "other matter" paragraph which refers to a note which explains the revision and reissue of the report, and
 - review the steps taken by management to notify users that the original financial statements issued, have been revised.
- If management will not agree to issue revised financial statements (i.e. make the necessary adjustments/disclosures) or does not revise them adequately, or does not take proper steps to notify those who receive the original (incorrect) financial statements, the auditor should:
 - notify those charged with governance that the auditor will take action to prevent reliance on the auditor's report.

15.4.8 The decision on whether amendments are necessary

The auditor may experience some difficulty in deciding whether amendments to the financial statements are absolutely necessary, particularly where the directors are unwilling to make amendments and the financial statements have already been issued. In making this decision, the auditor will consider the following:

- the reasons why the directors refuse to amend the financial statements (i.e. is there an intention to deceive users?)
- the potential risk to which users may be exposed if they make decisions based on the original financial statements
- the severity of the effect on the auditor's report if the subsequent event or new fact is not dealt with, for example, a *material and pervasive* qualification might be necessary
- the time elapsed since the audit report and subsequent management pronouncements. Audited financial statements are "old news" very quickly and are unlikely to be used in decision making for very long after issue
- the imminence of issue of the next year's audited financial statements. The matter could be dealt with satisfactorily in these financial statements
- the practicality of communication with users; if, for example, the financial statements have not been issued to users, a revised audit report could be attached to them. If, however, the financial statements have been widely distributed, it will be far more difficult and *possibly* would not be cost-effective to reissue the financial statements, and
- any legal advice that the auditor may have sought.

Note: The above considerations will be assessed cumulatively.

15.4.9 Action to prevent further reliance on the audit report

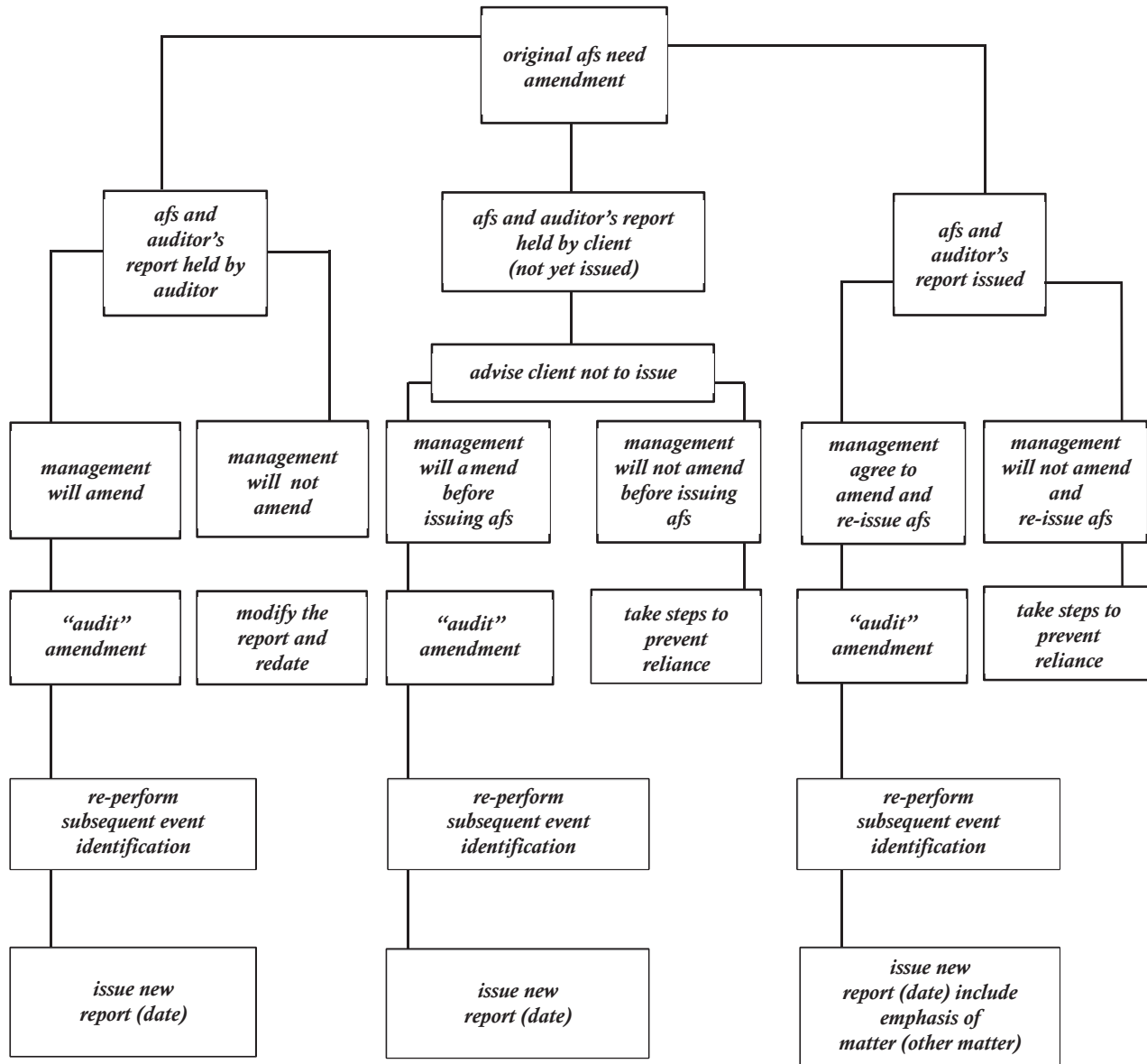
As can be seen from the diagram below, there are situations where the auditor needs to prevent reliance on the audit report. The auditor can take the following measures to prevent reliance:

- make use of the auditor's right to address the shareholders at any general meeting, Companies Act 2008 section 93. This is, of course, only possible if a general meeting is scheduled
- notify each person the audit firm knows has received the financial statements, such as shareholders or the client's bank
- announce through the public media, for example, financial publications. This is probably only appropriate for large companies
- notify any regulatory agency which may have jurisdiction over the audit client, such as the JSE, and
- put into action the recommendations of legal advisors who should be consulted before any action is taken.

Confidentiality should be borne in mind when communicating with these individuals or entities (other than under section 93 of the Companies Act). The notification should state that the audit report can no longer be relied upon, and it is not appropriate to provide details of the matter in question. Any concerned user could then contact the directors for an explanation.

See the appendix on the following page, which illustrates the amendment decision process.

Appendix – Responding to (original) financial statements which need amendment



15.5 Reporting

What is the reporting phase of the completion stage of the audit? During the reporting phase of a performance audit, auditors produce a report that presents their audit observations and conclusions. In this part of the chapter, we will cover the different types of reports, its structure and contents, and what may impact the audit report.

15.5.1 Background

In January 2015 the IAASB issued a set of revised reporting standards and a new standard (ISA 701 – Communicating Key Audit Matters in the Independent Auditor’s Report), effective for audits of financial statements for periods ending on or after 15 December 2016. Issuing this set of statements is to increase the “value of auditor reporting” by making the auditor’s report more relevant to users. The primary means of achieving this is the introduction of ISA 701, which requires that details of key audit matters (KAM) be included in the audit reports of listed companies (see note below). Key audit matters are dealt with later in this chapter are defined as “those matters that, in the auditor’s professional judgement, were of most significance in the audit of financial statements”. By including key audit matters in the audit report, it is anticipated that users will gain a better understanding of the “inner workings” of the audit for example, in relation to how areas of significant risk or significant judgement on the part of management and the auditor, were handled.

Note: In terms of ISA 700 (revised) the inclusion of key audit matters applies only to listed companies, but there is nothing to prevent the auditor from including the paragraph for other entities.

15.5.2 The auditor’s objective and reporting

The drafting and issuing of the audit report is the final stage in the audit process. In terms of ISA 200, the objective of the audit of financial statements is to enhance the degree of confidence of intended users in the financial statements. This is achieved by the auditor expressing an opinion on whether the financial statements are prepared, in all material respects, following the applicable financial reporting framework adopted by the entity, for example IFRS. To express it more simply (and to echo the opinion paragraph in the audit report), the objective is:

“to express an opinion on whether the financial statements present fairly in all material respects, the financial position of the company at a specified date and its financial performance and cash flows for a specified period prior to that date, in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa”.

The audit report is the auditor’s expression of this opinion, and in terms of ISA 200, an audit conducted in accordance with the ISAs and relevant ethical requirements enables the auditor to form that opinion.

15.5.3 The mechanics of reporting

Suppose you have studied the previous reporting statements or are familiar with existing audit reports by virtue of another experience. In that case, you need to realise that the mechanics of forming an opinion on financial statements have *not changed*. The auditor is still required to evaluate uncorrected misstatements, conclude on the nature of any matter giving rise to a modification of the audit opinion, and make a judgement on whether the effect on the financial statements is material, or material and pervasive. The audit objective remains the same.

15.5.4 Changes to the layout of the audit report

In addition to requiring the inclusion of the section dealing with key audit matters, the layout of the audit report has changed, the major change being that the report will open with the *Opinion* section and be followed by the *Basis for Opinion* section and other sections as described later in this chapter. The Opinion section itself is a combination of the previous Introductory paragraph (we have audited the financial statements . . .) and the previous Opinion paragraph (in our opinion, the accompanying financial statements fairly present in all material respects . . .).

15.5.5 The auditing statements relating to reporting

Reporting the audit opinion on financial statements is governed by several International Standards on Auditing statements (ISAs). The ISAs are as follows:

- ISA 700 (revised) – Forming an opinion and reporting on financial statements

- ISA 701 – Communicating key audit matters in the independent auditor’s report
- ISA 705 (revised) – Modifications to the opinion in the independent auditor’s report
- ISA 706 (revised) – Emphasis of matter paragraphs and other matter paragraphs in the independent auditor’s report
- ISA 710 – Comparative information – corresponding figures and comparative financial statements
- ISA 720 (revised) – The auditor’s responsibilities relating to other information in documents containing audited financial statements.

In addition to the above, SAAPS 3 (revised May 2019) provides illustrative auditor’s reports for listed and private companies for different situations which may arise on audit, for example, adverse opinion reports, disclaimers, etc. The ISAs provide the basic “rules” and framework for reporting internationally. The recommended wording applicable to audit reports for South African companies is as illustrated in SAAPS 3 (revised May 2019). SAAPS 3 (revised May 2019) has been updated as a result of the amendments to the International Ethics Standards Board for Accountants (IESBA) Code of Ethics for Professional Accountants (now the IESBA International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code)) and the amendments to the IRBA Code of Professional Conduct for Registered Auditors (now the IRBA Code of Professional Conduct for Registered Auditors (revised November 2018) (IRBA Code)).

15.5.6 Objectives

In terms of ISA 700 (revised) the auditor’s objectives are to:

- form an opinion on the financial statements based on an evaluation of the conclusions drawn from the audit evidence obtained and
- to express *clearly* that opinion through a *written* report.

To be in a position to form the opinion, the auditor must conclude on whether he has obtained reasonable assurance as to whether the financial statements as a whole are free from material misstatement (arising from fraud or error). In drawing this conclusion the auditor must consider:

- whether sufficient appropriate audit evidence has been obtained
- whether uncorrected misstatements are material (individually or in aggregate)
- whether the financial statements are prepared, in all material respects, in terms of an applicable reporting framework, for example, IFRS or IFRS for SMEs
- whether significant accounting policies selected and applied have been appropriately disclosed
- whether these accounting policies are consistent with the applicable financial reporting standards and are appropriate
- whether the accounting estimates made by management are reasonable
- whether the information presented in the financial statements is relevant, reliable, comparable and understandable including whether:
 - the information that *should have been* included has been included and is appropriately classified, aggregated or disaggregated, and characterised
 - the overall presentation has *not* been undermined by including information that is not relevant or which obscures a proper understanding of the matters disclosed
- whether there is adequate disclosure to enable the intended users to understand the effect of material transactions and events on the information conveyed in the financial statements
- whether the terminology used in the financial statements is appropriate.

15.5.7 Form of opinion

- If the auditor *concludes* based on the paragraph above, that the financial statements are prepared, in all material respects, in accordance with the applicable reporting framework, the auditor must express an *unmodified* opinion.
- If the auditor *concludes* that the financial statements as a whole are not free from material misstatement *or* if the auditor is unable to obtain sufficient appropriate evidence to conclude that the financial statements as a whole are free from material misstatement, the auditor must *modify* the auditor’s opinion in accordance with ISA 705 (revised).

15.6 ISA 700 (revised) and SAAPS 3 (revised) – Unmodified auditor’s report

One of the consequences of the revised reporting standards, particularly ISA 701, is that some differences in the basic structure and content of the audit report for a public company and a private company have been introduced. Again, these differences do not affect the mechanics of reporting as described in paragraph 2 of this chapter. The section headings and the wording of the audit report as described in this chapter are taken from SAAPS 3 (revised May 2019) and will, in some minor instances, differ from the wording in the ISAs. Remember that although the ISAs are international, they allow some variation within different countries, so for reporting in South Africa, SAAPS 3 will be the authoritative guide.

In the description of the structure and content of the *unmodified* audit report given below, take note of the comments on the differences between listed (public) and private company reports. The report is divided into sections that deal with different aspects of the report.

15.6.1 Structure

- Title
- Addressee

Subtitle: Report on the audit of financial statements (see note (c) below)

- Opinion section
- Basis for Opinion section
- Key audit matters section (Note: *Listed companies only*)
- Other information section
- Responsibilities of the directors for the financial statements section
- Auditor’s responsibilities for the audit of the financial statements section

Subtitle: Report on other legal and regulatory requirements (see note (c) below).

- Signing off.

15.6.2 Content

Title: The report is headed “Independent Auditor’s Report”

Note (a): The report must be in “writing”, (i.e. hard copy or electronic). The auditor cannot just give a verbal audit report at the AGM!

Note (b): The structure given above relates to unmodified audit reports. The report is modified in various situations, for example where the audit opinion is qualified or an emphasis of matter is required, and in such situations additional sections may be added as explained later in this chapter.

Note (c): Subtitles. The use of the two subtitles (see structure above) is only necessary when the auditor has a duty to report on other legal and regulatory requirements in addition to reporting on the financial statements. For example, when the auditor has reported a reportable irregularity to the IRBA in terms of the Auditing Profession Act (s 44 of the APA), or when the auditor of a *listed company* is fulfilling his duty to report on “auditor’s tenure” (the number of years the auditor’s firm has been the auditor of the company) as required by the IRBA rules, the sub-titles must be included.

Note (d): Including the word “independent” in the title adds to the credibility of the audit report by emphasising that the auditor is reporting as an individual who is independent of the company being reported on.

Addressee: To the shareholders of Jumpingjax Proprietary Limited

- Note (e):
- The audit report for a public company is addressed to the shareholders.
 - An audit of a private company that is required to be audited because of its public interest score or because its Memorandum of Incorporation requires it, will also be addressed to the shareholders.
 - When a Memorandum of Incorporation (MOI) for a company that is exempt from a statutory audit requires the company to appoint an auditor, the auditor’s report is also addressed to the shareholders or members, as appropriate. When an MOI for a company that is exempt from a statutory audit does not require the company to appoint an auditor, and the company

chooses to be audited (by means of a shareholders', members' or directors' resolution), the addressee will depend on whether the requirement for an audit was by way of a shareholders' or members' resolution (in which case the auditor's report would then be addressed to the shareholders or members, as appropriate) or a directors' resolution (in that instance, the auditor's report would be addressed to the directors).

- The audit report for a close corporation is addressed to the members. (In terms of the Companies Act 71 of 2008, some CCs must be audited.)

Public sector perspective

In the public sector there is a wide range of potential users of the auditor's report, including the general public. However, it is not deemed appropriate to address the auditor's report to the general public at large. The auditor's report is thus addressed to parliament or the provincial legislature as the bodies that represent the general public.

The auditor's report may also be addressed to shareholders, trustees or other identified users in addition to parliament or the provincial legislature where there are persons or classes of persons for whom it has been prepared (not the board of directors or the accounting authority that is responsible for preparing the financial statements). If the Public Finance Management Act 1 of 1999 (PFMA) as amended by the PFMA 29 of 1999, is not applicable to an entity and the financial statements are not required to be tabled in parliament or the provincial legislature, the auditor's report should then be addressed to the appropriate level of oversight, usually the responsible executive authority.

Opinion section

We have audited the financial statements of Jumpingjax Proprietary Limited set out on pages 10–45, which comprise the statement of financial position as at 31 March 0001, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the financial statements present fairly, in all material respects, the financial position of Jumpingjax Proprietary Limited as at 31 March 0001 and its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa.

Note (f): The opinion paragraph must:

- have a heading "opinion"
- state that the financial statements have been audited
- identify the company whose financial statements have been audited
- identify the title of each statement comprising the financial statements
- refer to the notes, including the summary of significant accounting policies, and
- specify the date of, or period covered by, each financial statement making up the financial statement as a whole, for example the statement of financial position *at* 31 March 0001, statement of cash flows *for the year* then ended.

Note (g): In South Africa, the phrase *present fairly, in all material respects* has been adopted. ISA 700 (revised) allows the phrase "give a true and fair view", but it is not used in South Africa.

Note (h): The opinion paragraph must also identify the reporting framework and any other regulatory requirements in accordance with which the financial statements have been presented. In South Africa this (usually) means IFRS or IFRS for SMEs *and* the Companies Act 2008, which also contains certain reporting requirements. The annual financial statements of South African companies comprise a complete set of financial statements identified in accordance with the applicable financial reporting framework and the disclosure requirements of the Companies Act. A directors' report, however, is not identified as forming part of a complete set of financial statements under the disclosure requirements of the applicable financial reporting framework.

Note (i): When the auditor gives a qualified or adverse opinion or disclaims an opinion, it will require changes to the wording of the opinion paragraph. This is explained later in the chapter.

Note (j): *Public sector perspective*

When the Standards of Generally Recognised Accounting Practice (GRAP) are applicable, a complete set of financial statements comprises the statement of financial position, the statement

of financial performance, the statement of changes in net assets, the cash flow statement, and the statement of comparison of budget information to actual information and notes to the financial statements, including a summary of significant accounting policies.

Basis for opinion section

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the [Consolidated and Separate] Financial Statements* section of our report. We are independent of the [type of entity] in accordance with the Independent Regulatory Board for Auditors' *Code of Professional Conduct for Registered Auditors* (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Note (k): The basis of opinion paragraph in the *unmodified* report presents the user with a broad outline of the "background" to the audit and its ethical basis. Four matters are covered:

- (i) a statement that the audit was conducted in accordance with the ISAs (background)
- (ii) a reference to the section of the auditor's report which describes the auditor's responsibilities in terms of the ISAs (background)
- (iii) a statement that the auditor is independent of the client (as described by the IRBA Code), and has fulfilled his ethical duties in accordance with the IRBA Code (which is consistent with the International Code) (ethical basis).

In addition to the above codes, various laws and regulations may also contain independence and ethical requirements. For example:

- The Companies Act contains restrictions on the non-audit services that may be provided by the auditor to certain companies, and also contains requirements relating to the rotation of the engagement partner.
- Directive 6/2008, issued in terms of the Banks Act contains requirements regarding the rotation of the engagement partner(s).
- In compliance with section 10(1)(a) of the APA, the IRBA has published a *Rule on Mandatory Audit Firm Rotation* that requires that an audit firm, including a network firm as defined in the IRBA Code, shall not serve as the appointed auditor of a public interest entity for more than 10 consecutive years; and thereafter, the audit firm will only be eligible for reappointment as the auditor after the expiry of at least five financial years. The requirement is effective for financial years commencing on or after 1 April 2023. Therefore, if the audit firm has served as the appointed auditor for a public interest entity for 10 or more consecutive years before the financial year commencing on or after 1 April 2023, then the audit firm shall not accept reappointment and will be required to rotate.

The auditor should be familiar with all codes, laws and regulations containing ethical requirements that apply to the audit engagement.

As there are numerous codes, laws and regulations that the auditor is required to adhere to, the statement included in the auditor's report on independence and other ethical requirements, in South Africa, makes reference to the IRBA Code and other independence and ethical requirements applicable to performing audits of financial statements in South Africa.

- (iv) a statement that the auditor believes sufficient appropriate evidence to provide a basis for the opinion, has been obtained (background).

Note (l): When the auditor gives a qualified or adverse opinion or disclaims an opinion, an explanation thereof will be provided at the start of the Basis for Opinion paragraph.

Key audit matters section

This section is included *only* in the audit reports of *listed companies*. The example we are using here to illustrate the unmodified audit report is for a private company, Jumpingjax (Pty) Ltd, so (normally) there would be no key audit matters section. Of course, the auditor of a private company may choose to include

a key audit matters paragraph. If so, the requirements of ISA 701 would be implemented. Key audit matters are dealt with later in the chapter.

Public sector perspective

The Auditor-General of South Africa (AGSA) has determined that the communication of key audit matters in the auditor's report will be applicable to all audits of public sector entities. This will be phased in as determined by the AGSA, except for those listed entities where the inclusion of KAM is mandatory.

Other information section

The directors are responsible for the other information. The other information comprises the information included in the document titled "ABC Proprietary Limited Annual Financial Statements for the year ended 31 December 20X1", which includes the Directors' Report as required by the Companies Act of South Africa. The other information does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Note (m): The directors' report forms part of the annual financial statements of both private and listed companies prescribed by the Companies Act, and must be reported upon by the auditor. However, the information in the directors' report is not in the form of assertions and the subject matter is not identifiable and capable of consistent evaluation or measurement against identified criteria. Consequently the opinion expressed on the financial statements does not extend to the information contained in the directors' report as the auditor has no basis for concluding that the information is properly stated. In other words, the auditor cannot say that the directors' report "fairly presents" because there is no standard on which to judge the fair presentation of directors' reports.

Therefore for audit reporting purposes, the directors' report is considered to be "Other information" as dealt with in ISA 720 (revised). The same will apply to the audit committee's report and the company secretary's certificate, which are requirements for a public company, but normally not for a private company.

Note (n): In South Africa, the corporate governance code, known as King IV, the JSE Limited Listings Requirements (Listings Requirements) and the Companies Act require a listed entity to present supplementary reports and information disclosures for various stakeholders.

The Companies Act does not require or address the preparation of an annual report and therefore does not define the annual report.

The Listings Requirements prescribe certain disclosures that should be included in a listed entity's annual report, but also do not define the annual report. The JSE Limited (JSE) prescribes the manner and form in which listed entities are required to announce their financial results to the market. Registered auditors are therefore required to consider client-specific facts and circumstances when determining the document(s) that comprise their client's annual report.

For a South African company whose financial statements are audited, the annual report, for purposes of ISA 720 (revised), includes:

- annual financial statements
- the integrated report (if prepared), and
- any other documents that are described within the company's annual financial statements or its integrated report as forming part of the company's annual financial statements or its integrated report.

Furthermore, in South Africa an entity's integrated report will be its annual report for purposes of ISA 720 (revised), irrespective of the following:

- its title (e.g., "Integrated report"; "Integrated annual report" or "Annual report"), and
- whether the annual financial statements and the auditor's report thereon are contained therein.

ISA 720 (revised) does not expand on the meaning of “accompanies” in the definition of an annual report. The Standard does not, for example, indicate that a document would “accompany” the financial statements only if it is issued at the same time or in close proximity to the issuance of the financial statements. The IRBA’s reading of the Standard is that a document could meet the definition of an annual report even if there was a significant time delay between the issue date of the financial statements and that of the entity’s annual report.

The application material to ISA 720 (revised) explains that an annual report is different in nature, purpose and content from other reports, such as a report prepared to meet the information needs of a specific stakeholder group or a report prepared to comply with a specific regulatory reporting objective (even when such a report is required to be publicly available). It lists, among others, separate regulatory reports and sustainability reports¹ as examples of reports that, when issued as standalone documents, are not typically part of the combination of documents that comprise an annual report (subject to law, regulation or custom) and that, therefore, are not other information within the scope of the Standard. The IRBA is thus of the view that regulatory reports and sustainability reports that are issued as standalone documents, without, for example, being described as forming part of the entity’s annual report, are not part of the combination of documents that comprise an entity’s annual report.

Public sector perspective

The Directors’ Report,² the Audit Committee’s Report,³ (when applicable) and the Company Secretary’s Certificate⁴ (when applicable) form part of the annual financial statements prescribed by the Companies Act. Where the entity is not a company, reference to these documents should be omitted.

In addition to King IV, the Listings Requirements and the Companies Act requirements that may be applicable to certain public sector entities, the PFMA also includes requirements relating to these entities’ annual reports.

In the public sector, other information comprises financial and non-financial information, other than (i) the financial statements; (ii) the auditor’s report thereon; and (iii) those objectives in the entity’s annual report where its performance against predetermined objectives have been specifically audited and reported on in the auditor’s report.

In terms of section 28(1)(c) of the Public Audit Act 25 of 2004 (PAA), the report of an auditor appointed in terms of section 25(1)(b) of the PAA (i.e. section 4(3) registered auditors), must reflect such opinions and statements as may be required by any legislation applicable to the auditee which is the subject of the audit, but must reflect at least an opinion or conclusion on “the reported information relating to the performance of the auditee against predetermined objectives” (section 28(1)(c)).

Responsibilities of the directors for the financial statements section

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Note (o): Although ISA 700 (revised) stipulates that the heading of this paragraph should read “Responsibilities of Management . . .”, SAAPS 3 (revised May 2019) requires the heading to read “Responsibilities of the Directors . . .” This is perfectly permissible in terms of ISA 700 (revised) and is the preferred wording for South Africa.

1 The Global Reporting Initiative (GRI) defines a sustainability report as “a report published by a company or organisation about the economic, environmental, and social impacts caused by its everyday activities”.

2 S 30(3)(b) of the Companies Act, 2008.

3 S 94(7)(f).

4 S 88(2)(e).

Note (p): The inclusion of this paragraph is to emphasise (for users) that the directors are responsible for:

- (i) preparing the financial statements (not the auditor)
- (ii) implementing internal controls which underlie the financial statements
- (iii) assessing the company's going concern ability, and
- (iv) using the going concern basis of accounting to prepare the financial statements (unless they intend to liquidate, cease trading or have no option other than to do so).

Note (q) The Companies Act requires the annual financial statements to be approved by the board and signed by an authorised director. As such, in the case of a South African company, the report should state that the company's directors are responsible for the preparation (and fair presentation) of the financial statements.

In terms of the Close Corporations Act 68 of 1984, these requirements apply to the authorised member(s) of a Close Corporation. As such, the reference to the directors' responsibility becomes a reference to the members' responsibility.

ISA 700 (revised) also requires that this section of the auditor's report should identify those responsible for the oversight of the financial reporting process when they are different from those who fulfil the responsibilities for the preparation of the financial statements. In such a case, this section's heading would also refer to "Those Charged with Governance" (TCWG). TCWG is defined in ISA 260 (revised), *Communication With Those Charged With Governance*.

Since the company's directors or the public entity's accounting authority are responsible for the oversight of the financial reporting process, as stated above, no reference to oversight responsibilities is required in the auditor's report of a South African company.

Public sector perspective

The auditor's report in the public sector refers to the accounting authority's responsibility, based on the PFMA requirements, as follows:

- public entities – accounting authority, and
- public entities registered as a company – the board of directors, which constitutes the accounting authority.

If the PFMA is not applicable to an entity, the name of the party responsible for the preparation of the financial statements – in terms of the legislation that governs that entity – should be inserted.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions

that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements, or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Note (r): ISA 700 (revised) has expanded the auditor's responsibility paragraph significantly. SAAPs 3 (revised May 2019) has responded to this with new and appropriate wording. The intention is again to provide the user with a better understanding of what the audit is all about and what the auditor's responsibilities are as opposed to those of the directors. A number of general matters are covered in this paragraph:

- (i) the objectives of the auditor, i.e. obtain reasonable assurance and report
- (ii) the meaning of reasonable assurance, i.e. a high level of assurance but not a guarantee
- (iii) the meaning of material in the context of misstatements
- (iv) professional judgement and professional scepticism, and
- (v) the risk relating to fraud, as opposed to error.

These are followed by a broad description of what the auditor does:

- (vi) identify, assess and respond to the risks of material misstatements
- (vii) obtain sufficient appropriate evidence to provide a basis for our opinion
- (viii) obtain an understanding of internal control but *not* for the purpose of expressing an opinion on its effectiveness
- (ix) evaluate the appropriateness of accounting policies and estimates
- (x) conclude on the appropriateness of the use of the going concern basis of accounting
- (xi) evaluate overall presentation, structure and content of the financial statements and whether they fairly present the underlying transactions, and
- (xii) communicate with the directors (see note (s)).

Note (s): For a *private* company audit report, the auditor's responsibility section concludes with a sentence which deals with communicating with the directors on the planned scope, timing and significant audit findings including if any, deficiencies in internal control. For a *public* company audit report, the auditor's responsibility section, *in addition*, explains that the auditor supplies the directors with a statement that he has complied with "independence" requirements, and that he will communicate with them on any relationships/matters that may affect his independence and if applicable, any safeguards put in place to address any independence issues.

Note (t): Again for a *listed (public)* company only, the auditor states in the auditor's responsibility section (at the end) that from the matters communicated with the directors, those that were of most significance to the audit were designated key audit matters and thus were described in the audit report.

Note (u): In terms of ISA 700 (revised), the *description* section of the auditor's responsibilities section (essentially everything after and including Note (r)(iv) above may be omitted from the audit report and included in an appendix to the audit report. ISA 700 (revised) also permits that the audit report may contain reference to a specific website on which the *description* of the auditor's responsibilities can be found. However, there is no regulation in South Africa which permits this.

Signing off

In terms of the IRBA Code, section 150.6, if the audit report is presented on a firm's letterhead, the following signing off will be appropriate:

Tommy Tickitt

Thomas Tickitt: Partner or Director

Registered Auditor

1 May 0001

Note (v): If the report is not presented on a firm's letterhead, the name and address of the registered auditor's firm must be added.

Note (w): The designation "director" is used when the auditor's firm is incorporated. If the auditor is a sole practitioner, neither "partner" nor "director" is required.

Note (x): The auditor's report must be dated no earlier than the date on which the auditor has obtained sufficient appropriate audit evidence on which to base the auditor's opinion. By implication, this means that the auditor has considered the effect of events and transactions on the financial statements up to the date of signing. Before signing, the auditor must ensure that:

- (i) a *complete* set of financial statements has been prepared, and
- (ii) the directors have signed the financial statements (indicating that the board has taken responsibility for them).

Report on other legal and regulatory requirements

As indicated in Note (c) earlier in this section, there are instances where the auditor has a responsibility to report to the shareholders arising out of legislation/regulation other than legislation/regulation pertaining directly to the audit of the financial statements. The most obvious example of this would be where the auditor has a responsibility to report in the audit report, on "the status" of any reportable irregularities which he has reported to the IRBA. This reporting responsibility is created by the requirements of sections 44 and 45 of the Auditing Profession Act 2005.

Another example of this is the requirement that in terms of an IRBA rule (sanctioned by the Auditing Profession Act) that all audit reports in respect of *public* companies which fit the definition of public interest entities in the IRBA Code, must disclose the number of years which the audit firm has been the auditor of the entity. This is termed "audit tenure" and the requirement will apply mainly to listed companies as they are defined as public interest entities. The wording which will be included in the Report on Other Legal and Regulatory Requirements section, will be "In terms of the IRBA Rule published in *Government Gazette* No 39475 dated 4 December 2015, we report that Deloitte has been the auditor of Mars Ltd for five years". The Regulatory Board made the decision to require the mandatory disclosure of audit tenure in the context of strengthening auditor independence, which is consistent with measures implemented in other jurisdictions. This disclosure of audit tenure will lead to transparency of association between audit firms and audit clients.

15.7 ISA 701 – Key audit matters in the auditor's report

15.7.1 Introduction

ISA 701 is a new statement (not a revision) issued as part of the revised suite of reporting statements effective for audits of financial statements for periods ending on or after 15 December 2016. As discussed earlier in this chapter, the revised reporting standards are intended to "enhance the communicative value" of the auditor's report by providing greater transparency about the audit. By communicating key audit matters, users' of the financial statements should gain a better understanding of those matters that in the auditor's judgement were of most significance in the *audit* of the financial statements. It is also anticipated that including key audit matters in the auditor's report will enhance users' understanding of the company itself and any areas of significant management and auditor judgement in the financial statements.

15.7.2 Key audit matters: Definition and description

ISA 701 defines key audit matters as those matters that, in the auditor's professional judgement, were of most significance in the *audit* of the financial statements of the current period. Key audit matters are selected from matters communicated with those charged with governance.

ISA 701 makes it clear that communicating key audit matters is *not*:

- a substitute for disclosures which are required in the financial statements, for example, disclosures required in terms of IFRS

- a substitute for a modified opinion
- a substitute for reporting in terms of ISA 570 (revised) with regard to a material uncertainty which may exist, for example the reporting requirements relating to going concern in terms of ISA 570 (revised) cannot be ignored by raising going concern issues as a key audit matter
- a separate opinion on individual matters. (This fact will actually be pointed out to users in the Key Audit Matters section of the audit report).

At this stage, communicating key audit matters in terms of ISA 701, applies only to *listed* companies.

Determining and communicating key audit matters are not necessarily simple procedures and will be the responsibility of the engagement partner. However, senior audit team members will assist the engagement partner in meeting this responsibility. All team members should have at least a basic understanding of the requirements of ISA 701.

15.7.3 Determining key audit matters

15.7.3.1 Framework

Determining the key audit matters to be included in the audit report is down to the auditor's judgement. ISA 701 provides a judgement based framework to guide auditors in making the decision. The diagram in section 15.7.4 illustrates the recommended procedure in determining key audit matters and each step is explained below the diagram. However, before you get to the diagram it is important to understand that key audit matters are extracted only from the list of matters which are communicated with those charged with governance of the company at various stages of the audit. In other words, if a matter has not been part of the communication with those charged with governance, it *cannot* be a key audit matter. Similarly, it is inferred from ISA 701 that the key audit matters included in the audit report cannot simply be a duplication of all the matters communicated with those charged with governance; the auditor must select the most significant matters in the audit of the financial statements.

15.7.3.2 ISA 260 (revised)

The duty of the auditor to communicate with those charged with governance is established by ISA 260 (revised) Communication with those Charged with Governance. This is a reasonably long and "wordy" statement and it is not necessary to understand the concept of key audit matters to have a detailed knowledge of the statement.

15.7.3.3 Audit committee

Bear in mind that including key audit matters in the audit report applies to the audit of *listed* companies and that listed companies must appoint an audit committee. Whilst those charged with governance of a listed company will primarily be the board of directors, the audit committee, as a committee of the board will be the body with which the auditor communicates on audit matters. So for this topic we will regard communication with those charged with governance as communication by the auditor with the audit committee and use the two terms interchangeably.

15.7.3.4 Matters to be communicated (to those charged with governance)

ISA 260 (revised) stipulates a number of matters that the auditor should include in his communication with the audit committee throughout the audit.

(a) *The auditor's responsibilities in relation to the financial statement audit*

- Forming and expressing an opinion on the financial statements which have been prepared by management with the oversight of the audit committee (those charged with governance).
- The audit does not relieve management or the audit committee of their responsibilities.

(b) *The planned scope and timing of the audit.* Matters may include, among others:

- how the auditor plans to address significant risks of material misstatement
- how the auditor plans to address areas of higher assessed risks of material misstatement
- the auditor's approach to internal control
- the application of the concept of materiality
- the nature and extent of specialised skill or knowledge needed on the audit

- the use of an auditor's expert, internal audit, and
 - the auditor's preliminary views on key audit matters.
- (c) **Significant findings from the audit.** The auditor should communicate with the audit committee:
- The auditor's views about *significant qualitative aspects* of the company's accounting practices, including accounting policies, accounting estimates and financial statement disclosures, for example the auditor may choose to *comment* on:
 - the appropriateness of the accounting policies
 - management's methods and processes for identifying the need for, and making accounting estimates
 - changes in circumstances that may give rise to new or revised accounting estimates
 - how estimates are recognised in the financial statements
 - the reasonableness of assumptions used in developing estimates
 - the risk of material misstatement in the estimates
 - the issues involved in formulating sensitive disclosures, for example, directors' remuneration, revenue recognition, going concern, and
 - the effect of significant transactions that are outside the normal course of business for the company.
 - **Significant difficulties if any**, encountered during the audit:
 - delays in getting information from management, non-availability of client personnel, lack of co-operation
 - unreasonable audit deadlines, and
 - non-availability of expected information, for example supporting schedules for various account headings.
 - **Significant matters arising during the audit** were discussed with management, such as significant events or transactions that occurred during the year.
 - **Written representations the auditor requires**, that is, on the completeness of disclosed contingent liabilities.
 - **Circumstances that affect** the form and content of the **auditor's report**, such as:
 - the auditor expects to modify the audit opinion
 - a material uncertainty related to going concern, is required
 - key audit matters are communicated
 - the auditor considers it necessary to include an Emphasis of Matter or Other Matter paragraph, and
 - the auditor has concluded that there is an uncorrected material misstatement of *other information* contained in the "annual report".
 - **Any other significant matters** arising during the **audit** that the auditor considers relevant to the oversight role played by the audit committee in the financial reporting process, such as a change in the audit strategy and audit plan based on a revision of the risk assessment.
- (d) **Auditor's independence**
- For listed companies, the auditor should communicate to the audit committee:
- a statement that the engagement team and the firm have complied with the relevant *ethical requirements* regarding independence.
 - all relationships and other matters between the audit firm and the client, that may reasonably be thought to create *threats to independence* (e.g. self-interest, self-review, intimidation threats, etc.) and the safeguards put in place to address them.
- (e) In addition to requiring communication with the audit committee on the matters listed in (a) to (d), ISA 260 (revised) contains an appendix of other ISAs which require certain information to be communicated with those charged with governance, for example:
- ISA 240 – The Auditor's Responsibilities Relating to Fraud in an Audit of Financial statements** requires, *inter alia*, that the auditor communicates with those charged with governance, identified or suspected

fraud perpetrated by management, employees with significant roles in internal control or others where the fraud results in material misstatement in the financial statements.

ISA 265 – Communicating Deficiencies in Internal Control to those Charged with Governance requires that the auditor communicate, in writing, significant deficiencies in internal control to those charged with governance, on a timely basis.

ISA 450 – Evaluation of Misstatements Identified during the Audit requires that the auditor communicate with those charged with governance, uncorrected misstatements (individually) and the effect they may have on the auditor's opinion.

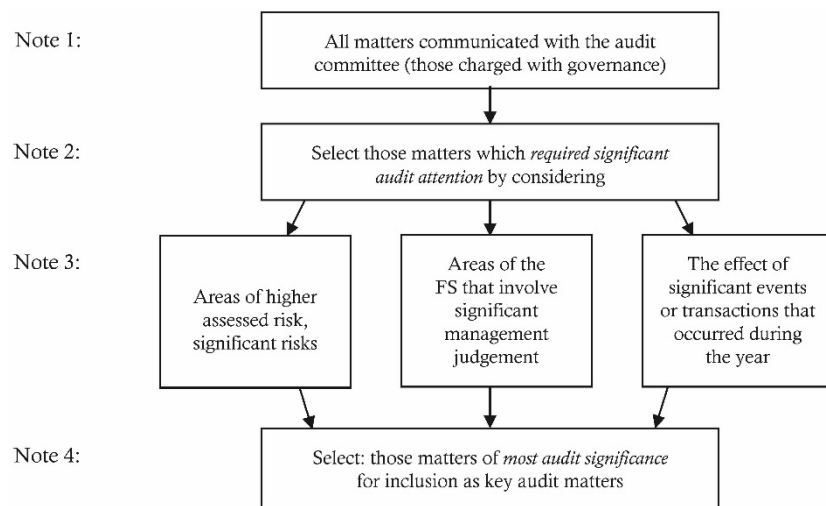
ISA 550 – Related Parties requires that the auditor communicate with those charged with governance, any significant matters arising during the audit in connection with the company's related parties.

ISA 570 (revised) – Going Concern requires that the auditor communicate with those charged with governance, events or conditions identified that may cast significant doubt on the company's ability to continue as a going concern.

The lists provided above (in (a) to (e)) are not exhaustive and have been included to:

- give you an idea of the large number of matters about which the auditor communicates with the audit committee (those charged with governance), particularly on the audit of a listed company
- illustrate that communication with those charged with governance can take place at various stages of the audit
- assist you in understanding that there are many matters communicated that would *not* be matters that required significant audit attention and can therefore be ignored when determining key audit matters, and
- *only* matters of *most significance* in the *audit* of the financial statements must be extracted from those matters that required significant audit attention to be included as key audit matters in the audit report. This decision is based on professional judgement.

15.7.4 Diagram: Determination of key audit matters



Note 1: The “population” from which key audit matters will be selected will be all formal communications with the audit committee which have taken place during the full course of the audit process.

Note 2: Matters which required significant auditor attention in performing the audit are generally regarded as those matters which:

- posed challenges to the auditor in obtaining sufficient appropriate audit evidence, for example related party transactions
- posed challenges to the auditor in forming an opinion
- relate to areas of complexity and significant management judgement (e.g. accounting for complex transactions and determining impairment allowances), and

- (iv) require extensive input from senior audit personnel or personnel with specialised skills such as an auditor's expert.

Note 3: ISA 701 requires that in determining those matters that required significant audit attention, the auditor should consider the headings in the three boxes shown next to Note 3 in the diagram.

- (i) ISA 315 (revised) defines a significant risk as one which requires special audit consideration and may include risks associated with material misstatement related to for example, fraud, complex transactions, subjectivity in the measurement of financial information (e.g. estimates) and related parties. The mere fact that significant risks require "special audit consideration" may be an indication that the matter required significant audit attention. For example, a successful response to an identified significant risk, say, assessing fair presentation for a complex transaction, may be to allocate a senior member of the audit team to address the risk. Whilst this response may amount to "special audit consideration", it is *unlikely* to be regarded as "significant audit attention" unless the senior member's input was time consuming, expensive and required specialised skills. The same logic would apply to areas of higher assessed risk. Also remember that although in terms of ISA 260 (revised), significant risks must be communicated with those charged with governance and therefore satisfy the first requirement to be a key audit matter, they do not automatically "qualify" as a key audit matter. The significant risk must have required significant audit attention *and* must be a matter of "most audit significance".
- (ii) Again in terms of ISA 260 (revised), the auditor must communicate with those charged with governance, the auditor's view on significant qualitative aspects of the company's accounting practices. These frequently relate to critical accounting estimates and related disclosures and are likely to be areas of significant auditor attention, particularly if the estimate has a high level of estimation uncertainty. For example, if a motor manufacturer has a major recall of vehicles it has sold due to a design fault in say, its braking system and has to estimate the costs relating to this, a significant amount of judgement is likely to be applied by management in arriving at this estimate. It is also likely that significant attention will have to be applied to the audit of the estimate.
- (iii) Events or transactions that occurred during the reporting period may significantly affect the financial statements and may require significant audit attention to ensure that the event or transaction has been appropriately presented and disclosed. This can be perfectly illustrated by the Volkswagen scandal. In 2015, the German car manufacturer was identified as having manipulated carbon emissions tests on its vehicles to reflect lower emissions. This led to massive recalls of vehicles, allegations of fraud/misrepresentation from regulatory bodies, the dealership network and consumers which are likely to result in massive litigation costs as well as significant reputational damage, all of which would have had (and will have in the future), a significant effect on the company's financial statements. A news bulletin put out by Volkswagen AG in late 2015 relating to the scandal, indicated that, *inter alia*, the group realignment was making good progress, approximately 450 external and internal experts were involved in the investigation of the emissions scandal and that "technical solutions" had been developed for customers. It is easy to understand that PWC, the auditors of Volkswagen AG, will need to make significant assumptions and judgements relating to the financial statements.

Note 4: The final step is for the auditor to decide which matters are of most significance in the audit.

- (i) In the auditor's judgement, there may be no key audit matters, and this is an acceptable situation. There is no fixed number of key audit matters which must be reported, and it is not anticipated that there will be "lengthy lists of key audit matters" (ISA 701 para A30), as this would be contrary to the notion of *most audit significance*.
- (ii) Selecting matters of most significance implies that the auditor will consider the significance of the matter relevant to other matters (which required significant audit attention). Factors which may influence this decision are:
 - the importance of the matter to a user's understanding of the financial statements and in particular, its materiality
 - the complexity or subjectivity involved in management's selection of an appropriate policy relating to the matter

- the nature and materiality quantitatively and qualitatively, of corrected and uncorrected misstatements due to fraud or error (if any)
- the nature and extent of audit effort to address the matter, for example specialised skills, consultations with external parties
- the nature and severity of difficulties in applying audit procedures, evaluating the results of procedures and obtaining appropriate evidence relating to the matter
- the severity of any control deficiencies relevant to the matter, and
- whether the matter involved a number of separate but related auditing considerations, for example a single matter may have ramifications for a number of account headings or disclosures.

15.7.5 Communicating key audit matters

Key audit matters are communicated in a separate section of the audit report under the heading “Key Audit Matters”. Each key matter will have its own descriptive subheading, for example “Restructuring Provisions”.

The description of each key audit matter must include:

- a reference to any related disclosures in the financial statements, and
- an explanation of why the matter was considered to be of most significance in the audit and how the matter was addressed.

Bear in mind that key audit matters are likely to be complex and reasonably difficult to describe as required, by their very nature. A *simplified* description of a key audit matter might read as follows:

“In terms of IFRS, the company is required to conduct an annual indicator review of its plant and equipment to assess whether there has been any impairment of its plant and equipment. Due to declines in demand for the products manufactured by the company, and due to physical damage caused to some plant and equipment as a result of flooding due to torrential rain, management’s assessment of impairment was difficult and complicated. It was also highly judgemental and required the application of assumptions relating to future trading conditions, foreign exchange rates and the availability of reconstruction experts. This inspection review test and the subsequent impairment allowances were significant to our audit because plant and equipment and the impairment thereof are material to the fair presentation of the financial statements.

We addressed this matter in the following manner. We engaged the services of an economist to assist us with the evaluation of the assumptions made in respect of future trading conditions and foreign exchange movements. Senior audit personnel working with client personnel, evaluated the company’s detailed plans (including costings) for the engagement of German reconstruction experts and wherever possible, sought corroborative evidence from other sources to strengthen our assessment.

The company’s disclosures about this matter are included in note 7.”

Even if there are no key audit matters in the auditor’s judgement, the Key Audit Matters section of the audit report must still be included but will simply contain the following statement: *“We have determined that there are no key audit matters to communicate in our report”*.

In terms of SAAPs 3 (revised May 2019), the Key Audit Matters section will be placed below the Basis for Opinion section. In terms of ISA 701, the order in which the auditor lists each key audit matter in the section will be a matter of professional judgement, with the likely order being the relative importance of each matter.

15.7.6 Modified opinions, going concern issues and key audit matters

By their very nature, matters giving rise to a modified audit opinion, or a material uncertainty related to events or conditions that may cast significant doubt about the company’s ability to continue as a going concern, are likely to be *key audit matters*. However, in terms of ISA 705 (revised) and ISA 570 (revised), both these situations are dealt with in their own separate and specific sections of the audit report. Therefore they will *not* be included in the Key Audit Matters section of the audit report, but a reference to either the Basis for Qualified (Adverse) Opinion section, or the Material Uncertainty Related to Going Concern section, will be included in the Key Audit Matters paragraph as applicable. This requirement makes perfect sense as there is no point in duplicating details of the matter in the audit report, i.e. dealing with the modified opinion/going concern issue twice.

15.8 ISA 705 (revised) – Modified auditor's report

15.8.1 Introduction

- (a) This statement like its predecessors, explains the mechanics of reporting, i.e. how to decide on the appropriate report in circumstances where a modified audit opinion is required. The two major decisions which have to be made and which will determine the appropriate report are:
- the nature of the matter giving rise to the modification (see 15.8.2 below), and
 - the pervasiveness of the effects or possible effects of the matter on the financial statements (see 15.8.3 below).
- (b) These decisions will have to be made when:
- the auditor concludes, based on the audit evidence obtained, that the financial statements as a whole, are *not* free from material misstatement (see 15.8.2 (a) below), or
 - the auditor is unable to obtain sufficient appropriate evidence to conclude that the financial statements as a whole are free from material misstatement (see 15.8.2 (b) below).
- The first situation under (b) arises when the auditor is satisfied that there is a material misstatement, and the second arises when the auditor does not know whether or not there is a material misstatement.
- (c) When modifying the opinion, the auditor's options are to:
- express a qualified opinion (except for)
 - express an adverse opinion (do not), or
 - disclaim an opinion (unable to form an opinion).

15.8.2 Determining the nature of the matter giving rise to the modification

(a) The auditor concludes that, based on the audit evidence obtained, the financial statements as a whole are not free from material misstatement

This situation arises when at the conclusion of the audit there is a material uncorrected misstatement in the financial statements. Note that ISA 450 – Evaluations of Misstatements Identified during the Audit, defines a misstatement as a difference between the amount, classification, presentation or disclosure of a reported financial statement item, and the amount, classification, presentation or disclosure that is required for the item to be in accordance with the applicable financial reporting framework, for example IFRS.

Looked at another way, this situation arises when the auditor, based on the evidence gathered on the audit, disagrees with one or more representations (assertions) made by the directors in the financial statement being audited. Remember that the financial statements are the responsibility of the directors and that the auditor's responsibility is to determine whether the financial statements are fairly presented.

Material misstatement of the financial statements may arise in relation to:

The appropriateness of the selected accounting policies

Inappropriateness in this context means that the accounting policies are *not* consistent with the applicable financial reporting framework, the accounting policy for a significant account heading/item in the financial statements is *not* correctly described or the financial statements *do not* represent or disclose the underlying transactions and events in a manner which achieves fair presentation:

For example, the audit client values its inventory at replacement cost instead of the lower of cost or net realisable value – inappropriate policy, or

For example, the audit client has decided not to capitalise a major finance lease it entered into during the financial year – inappropriate policy.

The application of the selected accounting policy

Concerning an application, material misstatement may arise when:

- the directors have not applied the policy consistent with the requirements of the financial reporting framework including, consistency between reporting periods and consistency between similar transactions and events
- the method of application of the accounting policy is incorrect:

For example, the audit client has appropriately selected to capitalise a finance lease but has not *applied* the policy in terms of the applicable standard; the client has raised the asset in the plant and equipment

account and long-term liabilities account at the amount which the company would have paid for the asset had they purchased it for cash.

For example, the directors have not followed the same logic (have been inconsistent) in determining the extent of disclosure of two material contingent liabilities.

The appropriateness or adequacy of disclosures in the financial statements

Appropriateness and adequacy in this context mean that material misstatement may arise when the disclosure required by the reporting framework is incomplete or not presented in terms of the financial reporting framework:

For example, a very important contingent liability arising from a court case has not been disclosed at all.

For example, the disclosures about directors' emoluments have not been presented in accordance with IFRS and section 30 of the Companies Act 2008.

(b) The auditor is unable to obtain sufficient appropriate evidence to conclude that the financial statements as a whole are free from material misstatement. The auditor's inability to obtain sufficient appropriate audit evidence (often referred to as a limitation of scope) can arise from:

Circumstances beyond the control of the audit client

- For example, the client's accounting records were destroyed by fire and were not adequately backed up.
- For example, ongoing physical danger; political unrest has prevented the auditor from visiting certain of the audit client's warehousing or manufacturing facilities to conduct audit procedures such as inventory counts.

Circumstances relating to the nature or timing of the auditor's work

- For example, the audit client is required to account for an associated company using the equity method, but the auditor is not able to obtain sufficient appropriate evidence about the associated company's financial information to evaluate whether the equity method has been appropriately applied. (Remember that the auditor does not have the right to demand evidence from the associated company.)
- For example, the timing of the auditor's appointment is such that the auditor is unable to observe the counting of physical inventories.

Limitations imposed on the auditor by the client's management

- For example, management refuses to give the auditor access to the accounting records relating to directors' emoluments.
- For example, the board will not allow the auditor to review the minutes of directors' meetings.

Bear in mind that the inability to carry out a specific procedure does not constitute a limitation of scope if alternative audit procedures provide the necessary, sufficient, appropriate evidence. Also, remember that a lack of ability, competence or resources on the part of the auditor *cannot* be regarded as a limitation of the scope of the auditor.

15.8.3 Making a judgement about the pervasiveness of the effects or possible effects of the matter on the financial statements

15.8.3.1 Material and, material and pervasive

The second matter which the auditor considers is the extent to which the financial statements are affected, or may possibly be affected by the matter which may give rise to a modification of the auditor's opinion, i.e. will the effect be *material* or will it be *material and pervasive*? Bear in mind that if the modification arises out of a difference (misstatement), the auditor can clearly state the difference and quantify its effect on the financial statements. If the modification arises because the auditor could not obtain sufficient appropriate evidence, he can only judge the *possible* effect of the matter on the financial statements. He will not have the necessary evidence to quantify the effect.

As discussed in chapters 6 and 7, the auditor will have given considerable thought to materiality, both in planning and performing the audit and in considering final materiality so he has a good indication of what is material both quantitatively and qualitatively. The auditor has to measure the full effect or possible effect of the matter giving rise to the modification of the audit opinion on the financial statements. He needs to measure the misstatement against what he considers would be material in the eyes of users. Remember that ISA 320 suggests that a matter will be material if it could reasonably be expected to influence the economic decisions of a user taken based on the financial statements.

Think of it like this. The auditor's final materiality level is R100 000. This means that in the auditor's judgement, misstatement in the financial statements of say, R105 000 would have at least a material effect on the decisions users make based on the financial statements. But what about misstatement of R250 000 or more? The effect of misstatement of this size relative to his materiality limit is likely to be material *and* pervasive. Measuring the effect of a disagreement is far easier than measuring the effect of a limitation of scope. In the case of a modification arising from a limitation of scope, the auditor will still need to judge how extensively the limitation affects the financial statements, but he does not have actual amounts to work with. For example, if the limitation relates only to evidence relating to long-term loans the auditor might consider the possible effect to be material only, but if the scope limitation spreads to evidence relating to long-term loans, creditors and capitalised leases and profit figures, the auditor is likely to consider that the scope limitation "pervades" (spreads throughout) the financial statements as a whole. The auditor still does not have exact amounts to work with and will have to rely on his professional judgement to assess the pervasive effects.

ISA 705 (revised) defines "pervasive effects" as those that in the *auditor's judgement*:

- are not confined to specific elements, accounts or items in the financial statements, or
- if they are so confined, represent a substantial proportion of the financial statements, or
- in relation to disclosures, are fundamental to a user's understanding of the financial statements.

Some guidance was given in an earlier version of the reporting statement and although it is no longer "current" it is still helpful. In terms of the former statement:

- a modification of the audit opinion arising from *misstatement* becomes material and pervasive when its impact on the financial statements is so great that *fair presentation as a whole has been undermined* and an "except for" qualification will not adequately convey the *misleading or incomplete nature* of the financial statements
- a modification of the audit opinion arising from *insufficient appropriate evidence* (a scope limitation) should be regarded as material and pervasive if the effect of the limitation has resulted in the auditor being unable to obtain sufficient appropriate evidence to the extent that it is simply impossible to express any opinion.

15.8.4 Types of modified opinions

At this stage, the auditor will have classified the *nature* of each matter giving rise to modification and will have judged the extent of the effect or possible effect (*pervasiveness*) of each matter, individually and collectively, on the financial statements. It is now time to match nature and effect to arrive at the appropriate opinion. ISA 705 (revised) provides the (slightly adapted) chart below to guide this procedure:

Nature of matter giving rise to the modification	Auditor's judgement about the pervasiveness of the effects or possible effects on the financial statements	
	Material but not pervasive	Material and pervasive
Financial statements are materially misstated (disagreement)	Qualified opinion (except for)	Adverse opinion
Inability to obtain sufficient, appropriate audit evidence (scope limitation)	Qualified opinion (except for)	Disclaimer of opinion

We can deduce the following from the chart:

- All material but *not* pervasive modifications will be *except for* qualifications (but as you will see in the next section, the wording of the report will be slightly different for modifications arising out of material misstatements, and modifications arising out of the auditor's inability to obtain sufficient appropriate audit evidence).
- Where the effect of a *misstatement* is material and pervasive, only an adverse opinion can be given. An adverse opinion is a clear statement that the financial statements *do not* fairly present.
- Where the effect of a *scope limitation* is material and pervasive, only a disclaimer of opinion can be given. This is because the auditor is unable to form an opinion – he is not in a position to say that the financial statements are fairly presented or that they are not fairly presented as he does not have sufficient appropriate audit evidence to make the decision.

- The audit opinion can be modified “except for” in respect of two different matters and the matters may be of different natures, for example in the auditor’s opinion long-term liabilities may be misstated, and he may have had his scope limited in respect of the audit of accounts receivable. For “multiple” except for qualifications to be appropriate, neither matter on its own can be material *and* pervasive.
- An adverse opinion cannot be mixed with a disclaimer of opinion – the auditor can’t say in the same report that the financial statements do not fairly present and then say that he doesn’t know if they fairly present!
- Similarly an “except for” modification cannot be included in an adverse opinion or with a disclaimer of opinion even if the nature of the matters to which they relate are the same.

15.9 Structure of modified auditor’s report

15.9.1 Introduction

The intention of Appendix 1 and Appendix 2 is to illustrate how the wording changes when different types of audit reports are given. We have compared the wording used in qualified reports to an unmodified report (Appendix 1) and the wording in adverse opinion reports and disclaimer of opinion reports to the same unmodified report. In Appendix 2 we have included an audit report for a listed company to illustrate the inclusion of additional information required in a listed company report compared to a private company report.

- You will notice immediately that a large portion of the wording does not change from report to report, but you should also notice that there are some subtle (not so obvious) changes.
- SAAPS 3 (revised May 2019) requires that the full description of the company be used in audit reports. For the purposes of illustrations we have used the abbreviations Ltd and (Pty) Ltd.
- We have chosen five companies, four private and one listed for the illustration. Use the information below in conjunction with the appendices to gain an understanding of what is required.

15.9.2 Companies

- **Riggs (Pty) Ltd’s** audit report is used to illustrate an unmodified report. No problems were encountered on the audit and there was no duty to report on other legal and regulatory requirements, for example sections 44 and 45 of the Auditing Profession Act or audit tenure (IRBA Rules). Therefore it is not necessary to include the subtitles in the report.
- **Basix (Pty) Ltd’s** audit report is used to illustrate a qualified opinion arising out of a material misstatement (disagreement) which is considered by the auditor to be material but *not* material and pervasive. The company has failed to capitalise a finance lease. Again there is no duty to report on other legal and regulatory requirements, for example sections 44 and 45 of the Auditing Profession Act or audit tenure (IRBA Rules).
- **Millco (Pty) Ltd’s** audit report is used to illustrate a qualified opinion arising out of an inability on the part of the auditor to obtain sufficient appropriate evidence (scope limitation), the effect of which is considered by the auditor to be material but *not* material and pervasive. In addition to selling its products on credit, the company has opened a factory shop from which it sells its products for *cash only*. As this is a new venture, the controls over cash sales are poor. The factory shop has been very successful and turnover has increased. Cash sales are reflected at about 12% of total turnover. Again no other reporting duties. In the illustrative report, take note of the inclusion of the word *possible* in the opinion when comparing Millco (Pty) Ltd to Basix (Pty) Ltd.
- **Markx Ltd’s** audit report is used to illustrate an adverse opinion arising from a material misstatement (disagreement), the effect of which is considered by the auditor to be material and pervasive. *The company is listed on the JSE*. Due to competition in the marketplace for some of the company’s products and damage to inventory caused by flooding, the net realisable value of some products has fallen below cost. The directors have declined to recognise any impairment losses. Because the company is listed, the report must include a Key Audit Matters section. In addition, because it is a public interest company (by virtue of being a listed company), the auditor has an additional duty to report on *audit tenure* in terms of the IRBA regulations.

Note (a): Although a qualified or an adverse opinion is by its nature, a Key Audit Matter, it is not treated as such in the audit report. There is no point in duplicating a matter which has already been communicated in the Basis for Qualified (Adverse) Opinion section. However, ISA 701 requires

that reference to the Basis for Qualified (Adverse) Opinion section be made in the Key Audit Matter section as illustrated in Appendix 2.

Note (b): In terms of the Companies Act 2008, public companies are required to include, in addition to the directors' report, the audit committee's report and the company secretary's certificate in the financial statements. These are deemed to be "other information" and reference to them must be made in the other information section of the audit report. In addition the JSE Ltd listing requirements require listed companies to provide supplementary reports, schedules etc. which may be presented with the financial statements in the annual report *but* which do not form part of the financial statements. These supplementary reports, schedules etc. must also be identified in the Other Information section.

- **Cheap (Pty) Ltd's** audit report is used to illustrate a disclaimer of opinion arising from the auditor's inability to obtain sufficient appropriate evidence (scope limitation), the effect of which is considered by the auditor to be material and pervasive. Cheap (Pty) Ltd sells for cash only. During the year the company experienced numerous breakdowns in the system of control over the recording of sales. Again, there is no duty to report on other legal or regulatory requirements.

Note (c): When a disclaimer of opinion is given, some changes are made to the positioning of wording and some wording is omitted:

- (i) In the qualified and adverse reports the paragraph which refers to the ISAs, the auditor's responsibilities section, independence and sufficient appropriate evidence is located in the Basis for Opinion section, *but* when a disclaimer is given, this paragraph is omitted from the Basis of Opinion section but included in the auditor's responsibilities section. In effect, the auditor explains that he was unable to meet his responsibilities to conduct and audit in terms of the ISA, but that he did meet his independence and ethical requirements.
- (ii) In addition to (i) above, the detailed description of the auditor's responsibilities, as contained in the Qualified Opinion and Adverse Opinion reports, is *omitted* in the Disclaimer of Opinion report. *Only* what is described in (i) above is included.

15.9.3 Additional points relating to structure and wording (form and content)

- Where the opinion is qualified "except for", for more than one matter, an explanation will be included for each matter in the Basis for Qualified Opinion section. If the *nature* of the matters giving rise to the qualifications is different (i.e. one matter is based on misstatement and the other is based on a scope limitation) the two explanations will need to be separately identified. This is because reference to each explanation will have to be made in the Opinion section.

Example: Assume that the misstatement matter is explained in paragraph (a) and the scope limitation matter is explained in paragraph (b). The opinion section will read

"In our opinion, because of the effects of the matter described in paragraph (a) of the Basis for Qualified Opinion section and because of the possible effects of the matter described in paragraph (b) of the Basis for Qualified Opinion section the financial statements present fairly in all material respects . . ."

- Theoretically, a situation could arise where the effect of misstatements is, in itself, material and pervasive and the effect of a scope limitation is also material and pervasive. Obviously, it is not possible to combine an adverse opinion and a disclaimer of opinion as mentioned earlier. What does the auditor do? There is no clear answer, but the adverse opinion is the stronger modification, because it is an actual opinion. The scope limitation could be raised in an "Other matter" section after the opinion section, but with very clear and precise wording which makes it clear that an adverse opinion has been given.
- Where an "emphasis of matter" or "other matter" paragraph is added, it must be placed **below** the opinion section.
- The most desirable audit opinion is an unmodified opinion, as this sends a positive message to users. It signifies that the financial information which they may use for decision making is fairly presented
 - Although misstatements, etc., will already have been discussed with management at the time they were discovered, any proposed modifications should be discussed with the individuals responsible for the financial statements in order to give them the opportunity to provide *further information* or to *amend* the financial statements in a way which will enable the auditor to express an unmodified opinion. In a listed company this process will be part of communicating with the audit committee.
 - Where, after following these steps, the auditor still believes that a modification is necessary, careful consideration should be given to whether the lesser modification, i.e. "except for" can be given instead

of an adverse opinion or a disclaimer. In other words, the *material/ material and pervasive* decision should be revisited.

- The above steps are taken with the intention of concluding a positive and constructive audit. However, it must be emphasised that the auditor *must not compromise his compliance with the reporting or other standards* in an attempt to arrive at an unmodified opinion.

Appendix 1 – Comparison of the wording used in an unmodified opinion report and in qualified opinion reports

Section	Unmodified	Qualified – material misstatement	Qualified – scope limitation
Title	Independent Auditor's Report	Independent Auditor's Report	Independent Auditor's Report
Addressee	To the Shareholders of Riggs (Pty) Ltd	To the Shareholders of Basix (Pty) Ltd	To the Shareholders of Millco (Pty) Ltd
Subtitle: Report on the audit of the financial statements	Not applicable: No other reporting duties	Not applicable: No other reporting duties	Not applicable: No other reporting duties
Opinion	- Heading: Opinion - We have audited the financial statements of Riggs (Pty) Ltd . . . - In our opinion the financial statements present fairly, in all material respects, the financial position of Riggs (Pty) Ltd . . .	- Heading: <i>Qualified</i> Opinion. - We have audited the financial statements of Basix (Pty) Ltd . . . - In our opinion, <i>except for the effects of the matter described in the Basis for Qualified Opinion section of our report</i>, the financial statement presents fairly, in all material respects, the financial position of Basix (Pty) Ltd . . .	- Heading: <i>Qualified</i> Opinion. - We have audited the financial statements of Millco (Pty) Ltd . . . - In our opinion, <i>except for the possible effects on the matter described in the Basis for Qualified Opinion section of our report</i>, the financial statements present fairly in all material respects, the financial position of Millco (Pty) Ltd . . .
Basis for opinion	- Heading: Basis for Opinion - Explanation: none required. - Standard content - Audit conducted in accordance with International Standards on Auditing - Reference to the auditor's responsibility section - Independence and ethical requirements. - Sufficient appropriate evidence to provide a basis for the opinion.	- Heading: Basis for <i>Qualified</i> Opinion. - Explanation. <i>The company has excluded from property, plant and equipment and liabilities in the accompanying statements of financial position, a lease obligation that should be capitalised in order to conform with International Accounting Standard IFRS16 – Leases. If this obligation had been capitalised, right of use asset would be increased by Rxxxx, right of use liability by Rxxxx the current portion of long-term liabilities by Rxxx and retained earnings by Rxxx at 31 March 0001.</i> <i>Additionally net profit would be increased by Rxxx for the year then ended.</i> - Standard content - Audit conducted in accordance with International Standards on Auditing. - Reference to the auditor's responsibility section. - Independence and ethical requirements. - Sufficient appropriate evidence to provide a basis for our <i>qualified</i> opinion.	- Heading: Basis for <i>Qualified</i> Opinion. - Explanation. <i>Included in turnover is an amount of Rxxx in respect of cash sales. The company did not have adequate internal controls to record these sales. We were unable to obtain sufficient appropriate evidence to satisfy ourselves as to the completeness of the cash sales recorded. As a consequence, we were unable to determine whether or not any adjustments were required to the financial statements arising from the omission of cash sales.</i> - Standard context - Audit conducted in accordance with International Standards on Auditing. - Reference to the auditor's responsibility section. - Independence and ethical requirements. - Sufficient appropriate evidence to provide a basis for our <i>qualified</i> opinion.

continued

Section	Unmodified	Qualified – material misstatement	Qualified – scope limitation
Key audit matters	This section is not included as it is not required for private company audit reports	This section is not included as it is not required for private company audit reports	This section is not included as it is not required for private company audit reports
Other information	Matters covered in this section: 1. Directors' responsibility for other information. 2. Identification of other information (including Directors' report). 3. Audit opinion does <i>not</i> cover other information. 4. Auditor's responsibility to other information and whether there is anything to report arising from this responsibility.	No changes to the wording as used in the unmodified report.	No changes to the wording as used in the unmodified report.
Responsibilities of the directors for the financial statements	Matters covered in this section: 1. Preparing financial statements in accordance with IFRS (IFRS for SMEs). 2. Implementing internal controls necessary to prepare financial statements that are free of material misstatement. 3. Assessing going concern. 4. Using the going concern basis to prepare financial statements.	No changes to the wording as used in the unmodified report.	No changes to the wording as used in the unmodified report.
Auditor's responsibilities for the audit of the financial statements	Matters covered in this section: 1. Auditor's objectives. 2. Explanation of reasonable assurance. 3. Professional judgement and scepticism. 4. Identify, assess and respond to the risks of material misstatement. 5. Obtain an understanding of internal control but <i>no opinion</i> given on internal control. 6. Evaluate accounting policies and estimates. 7. Conclude on the appropriateness of going concern. 8. Evaluate overall presentation, structure and content of financial statements. 9. Communication with the directors.	No changes to the wording as used in the unmodified report.	No changes to the wording as used in the unmodified report.

continued

Section	Unmodified	Qualified – material misstatement	Qualified – scope limitation
Subtitle: Report on other legal and regulatory requirements	This subtitle is not required as there are no other reporting duties.	This subtitle is not required as there are no other reporting duties.	This subtitle is not required as there are no other reporting duties.
Signing off	1. Terry Tickett. 2. Terence Tickett Partner Registered Auditor 1 May 0001 3. If the audit report is not presented on a firm's letterhead, the name and address of the auditor's firm is included in signing off.	No changes.	No changes.

Appendix 2 – Comparison of the wording used in an unmodified audit report and in an adverse opinion report and a disclaimer of opinion report

Section	Unmodified	Adverse opinion	Disclaimer of opinion
Title	Independent Auditor's Report	Independent Auditor's Report	Independent Auditor's Report
Addressee	To the Shareholders of Riggs (Pty) Ltd	To the Shareholders of Markx Ltd	To the Shareholder of Cheap (Pty) Ltd
Subtitle: Report on the audit of the financial statements	Not applicable: No other reporting duties.	Subtitle: <i>Report on the audit of the financial statements</i>	Not applicable: No other reporting duties
Opinion	1. Heading: Opinion. 2. We have audited the financial statements of Riggs (Pty) Ltd . . . 3. In our opinion the financial statements present fairly, in all material respects, the financial position of Riggs (Pty) Ltd . . .	1. Heading: <i>Adverse</i> Opinion. 2. We have audited the financial statements of Markx Ltd . . . 3. In our opinion <i>because of the significance of the matter</i> discussed in the Basis for Adverse Opinion section of our report, the financial statements <i>do not</i> present fairly, in all material respects the financial position of Markx Ltd . . .	1. Heading: <i>Disclaimer</i> of Opinion. 2. We were <i>engaged</i> to audit the financial statements of Cheap (Pty) Ltd . . . 3. We <i>do not express an opinion</i> on the financial statements of Cheap (Pty) Ltd. <i>Because of the significance of the matter described in the Basis for Disclaimer of Opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an opinion on these financial statements.</i>

continued

Section	Unmodified	Adverse opinion	Disclaimer of opinion
Basis for opinion	- Heading: Basis for Opinion. - Explanation: none required. - Standard content - Audit conducted in accordance with International Standards on Auditing. - Reference to the auditor's responsibility section. - Independence and ethical requirements. - Sufficient appropriate evidence to provide a basis for the opinion.	- Heading: Basis for <i>Adverse</i> Opinion. - Explanation. <i>In terms of IAS 2 – Inventories, the company must value its inventory at year end at the lower of cost or net realisable value. This requires that inventories be tested for impairments. Significant competition in the market for some of the company's products and damage to inventory caused by flooding have caused the net realisable value of inventories of these products to fall below their cost at 31 March 0001. However, the directors have declined to make the necessary adjustments to the financial statements. Consequently inventories have been overstated by Rxxx, profit before tax by Rxxx and shareholder's equity by Rxxx. These required adjustments are considered material and pervasive to the financial statements as a whole.</i> - Standard Content - Audit conducted in accordance with International Standards on Auditing. - Reference to auditor's responsibility section. - Independence and ethical requirements. - Sufficient appropriate evidence to provide a basis for our <i>adverse</i> opinion.	- Basis for <i>Disclaimer</i> of Opinion. - Explanation. <i>Revenue reflected in the statement of comprehensive income at Rxxxm consists entirely of sales made for cash. As a result of numerous breakdowns in the system, there was no system of control on which we could rely for the purpose of our audit. There were no satisfactory procedures we could perform to obtain reasonable assurance that all sales were completely and accurately recorded. Consequently we were unable to determine whether any adjustments were necessary in respect of recorded or unrecorded sales.</i> Note 1: The explanation is all that is included in this section for a disclaimer. Note 2: The standard content of 3.1 to 3.4 used when an opinion (unmodified except for, or adverse) is given is <i>not</i> included in this section for a disclaimer, but see the Auditor's Responsibility section.

continued

Section	Unmodified	Adverse opinion	Disclaimer of opinion
Key audit matters	Not applicable – private company	Heading: Key audit matters. Besides the matter described in the Basis for Adverse Opinion section, we have determined that there are no other key audit matters. Note: The following would be included if there were other key audit matters to communicate in the report. <i>Key audit matters are those matters that in our professional judgement were of most significance in our audit of the financial statements of the current period. These matters were addressed in our audit of the financial statements as a whole, and in forming our opinion thereon and we do not provide a separate opinion on these matters. In addition to the matter described in the Basis for Adverse Opinion above, we have determined the matters described below to be the key audit matters to be communicated in our report:</i> <i>Matter 1 . . .</i> <i>Matter 2 . . .</i>	Not applicable – private company
Other information	- Heading: Other information - Matters covered in this section. - Director's responsibility for other information. - Identification of other information (particularly director's report). - Audit opinion does <i>not</i> cover other information. - Auditor's responsibility to other information and whether there is anything to report arising from this responsibility.	Heading: Other information No change to the wording as used in the unmodified report except that in the case of a listed company, other information will include the Directors' Report, the Audit Committee's Report and the Company Secretary's Certificate and any other supplementary information.	- Heading changes to Other matter – Reports required by the Companies Act. <i>The annual financial statements include the Directors' Report as required by the Companies Act of South Africa. The directors are responsible for this other information.</i> <i>We have read the other information and, in doing so, considered whether the Directors' report is materially inconsistent with the financial statements or our knowledge obtained on the audit, or otherwise appears to be misleading. However, due to the disclaimer of opinion in terms of ISA 705 (revised), we cannot report further on this information.</i>

continued

Section	Unmodified	Adverse opinion	Disclaimer of opinion
Responsibilities of the directors for the financial statements	Matters covered in this section: 1. Preparing financial statements in accordance with IFRS (IFRS for SMEs). 2. Implementing internal controls necessary to prepare financial statements that are free of material misstatement. 3. Assessing going concern. 4. Using the going concern basis to prepare FS.	No changes to the wording as used in the unmodified report.	No changes to the wording as used in the unmodified report.
Auditor's responsibilities for the audit of the financial statements	Matters covered in this section: 1. Auditor's objectives. 2. Explanation of reasonable assurance. 3. Professional judgement and scepticism. 4. Identify, assess and respond to the risks of material misstatement. 5. Obtain an understanding of internal control but <i>no opinion</i> given on internal control. 6. Evaluate accounting policies and estimates. 7. Conclude on the appropriateness of going concern. 8. Evaluate overall presentation, structure and content of FS. 9. Communication with the directors.	No changes to the wording as used in the unmodified report.	Note: This section is shortened considerably for a disclaimer by omitting the wording used in all other audit reports. Only the following is included : 1. <i>Our responsibility is to conduct an audit of the company's financial statements in accordance with International Standards on Auditing and to issue an auditor's report. However, because of the matter described in the Basis for Disclaimer of Opinion section of our report, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion.</i> 2. <i>We are independent of the company in accordance with the IRBA Code of Professional Conduct for Registered Auditors and other independent requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the IESBA Code for Professional Accountants (Parts A + B).</i>
Subtitle: Report on other legal and regulatory requirements	Not applicable – no other reporting duties.	Sub-title: <i>Report on other Legal and Regulatory Requirements.</i> <i>In terms of the IRBA rule published in Government Gazette No 39457 dated 4 December 2015, we report that Taheer and Olongo Inc has been the auditor of Markx Ltd for four years.</i>	Not applicable – no other reporting duties.

continued

Section	Unmodified	Adverse opinion	Disclaimer of opinion
Signing off	1. Terry Tickett. 2. Terence Tickett Partner Registered Auditor 1 May 0001 3. If the audit report is not presented on a firm's letterhead, the name and address of the auditor's firm is included in signing off.	1. Olly Olongo 2. Oliver Olongo Director Registered Auditor 1 May 0001 3. If the audit report is not presented on a firm's letterhead, the name and address of the auditor's firm is included in signing off.	1. Terry Tickett 2. Terence Tickett Partner Registered Auditor 1 May 0001 3. If the audit report is not presented on a firm's letterhead, the name and address of the auditor's firm is included in signing off.

15.10 ISA 706 (revised) – Emphasis of matter and other matter paragraphs

15.10.1 Introduction

As explained earlier in this chapter, the intention behind the issue of the revised set of reporting statements was to enhance the audit report by making it more informative and useful for users. ISA 706 has been around for some years but the revised version introduces some important changes primarily brought about by revisions to ISA 570 (revised) – Going Concern, and the introduction of ISA 701 – Communicating Key Audit Matters in the Independent Auditor's Report.

15.10.2 Emphasis of matter paragraphs

Definition

An emphasis of matter paragraph is a paragraph included in the auditor's report that refers to a matter (already) *appropriately presented or disclosed* in the financial statements *but* which is, in the auditor's judgement, of such importance that it is fundamental to a user's understanding of the financial statements. Note that:

- An emphasis of matter relates to a matter which has already been adequately dealt with in the financial statements and is *not* a modification of the *audit opinion*.
- An emphasis of matter can *never be used as a substitute* for a qualified or adverse opinion or a disclaimer of opinion, i.e. the auditor cannot decide that instead of modifying the opinion or disclaiming an opinion, he will give the client “a break” and give an unmodified opinion with an emphasis of matter.
- An emphasis of matter can never be a substitute for disclosures which are required in terms of the financial reporting framework or that are otherwise necessary to achieve fair presentation.

15.10.3 Examples of where the use of an emphasis of matter may be necessary

- The client is involved in exceptional litigation or regulatory action (which has been appropriately disclosed but which, in the auditor's judgement, is very important for a user's understanding of the financial statements).
- A significant subsequent event occurs between the date of the financial statements and the date of the auditor's report (again, the subsequent event will have been appropriately presented or disclosed and is, in the auditor's judgement, very important to users).
- A major catastrophe that has had, or continues to have, a significant effect on the company's financial position, for example a serious accident at a mine.

Note (a): There are a small number of other ISAs (210, 560, 800) that have minor requirements relating to the use of Emphasis of Matter paragraphs but which are of no real importance in understanding the idea or intention of these paragraphs.

Note (b): **Warning!** If you have in the recent past, worked with the previous ISA 570 – Going Concern you may be under the impression that where a company is a going concern but a material uncertainty exists relating to events or conditions that may cast significant doubt on the company's ability to continue as a going concern *and* the material uncertainty has been adequately disclosed, an unmodified opinion and an emphasis of matter paragraph would be the appropriate report. *This is no longer the case.* In terms of the “new” ISA 570 (revised), this situation will require an unmodified opinion and the addition of a new section in the auditor's report, which is headed “Material Uncertainty Related to Going Concern”. This paragraph replaces the previously required Emphasis of Matter. Refer to the required wording in this chapter (15.11) which deals with going concern.

15.10.4 Emphasis of matter paragraphs and key audit matters

Key audit matters

Key audit matters are defined in ISA 701 as those matters that, in the auditor's professional judgement, were of most significance in the audit of the financial statements, and may cover such things as significant risks and significant audit judgements relating to management's calculations of important estimates and allowances. Therefore, one might expect that "matters which require emphasis" and "key audit matters" are virtually the same thing and that a key audit matter would give rise to an emphasis of matter and vice versa. However, they are not the same thing and although as a trainee accountant (or similar), you are unlikely to have to make important decisions about emphasis of matters and key audit matters, you should have a basic understanding of how they differ and when they are used.

- The first thing to remember is that key audit matters are matters which were of *most significance* in the *audit* of the financial statements and have been selected from matters that required *significant audit attention*, for example the *audit* of complex transactions brought about by extensive restructuring of a group involving numerous related parties.
- The requirement to communicate key audit matters relates only to listed companies, whilst an emphasis of matter is a reporting requirement for all companies (and close corporations which are audited).
- Key audit matters and emphasis of matter paragraphs will each be located in their own sections of the audit report.
- Because they are fundamentally different, emphasis of matter can never substitute for a key audit matter. In other words, once the auditor determines a matter to be a key audit matter, it must be treated as such and cannot be treated in the audit report as an emphasis of matter.
- There may be a matter which the auditor does not consider to be a key audit matter because it did not require *significant audit attention* but which, in the auditor's judgement, is fundamental to a user's understanding of the financial statements. If the auditor believes that it is necessary to draw users' attention to this matter, which must, of course, have been appropriately presented or disclosed, an Emphasis of Matter paragraph will be included in the report. A good example of this would be a subsequent event that is very important to users' understanding (and has been properly presented and disclosed), but the audit was not a matter of "most significance" on the audit. It may for example, have been a very straight-forward, uncomplicated subsequent event that did not require significant audit attention.
- You will deduce from the above that the same matter cannot be included as a key audit matter and an emphasis of matter. If the auditor wants to "highlight/emphasise" a key audit matter, he could, for example, make it the first key audit matter to be listed or he could enhance its wording to convey its importance.

Note (c): When an emphasis of matter paragraph is included in the report, it will normally be placed beneath the Basis of Opinion section, and above the Key Audit Matters section.

Note (d): The paragraph heading may describe what the matter is about, for example Emphasis of Matter – Subsequent event, and the wording will be "We draw attention to Note 13 of the financial statements, which describes a flood in the company's raw material storage facility. ***Our opinion is not modified in respect of this matter***".

15.10.5 Other matter paragraphs

ISA 706 (revised) also allows for what are termed "other matter paragraphs" to be included in an audit report. An "other matter" paragraph will be included if the auditor considers it necessary to communicate a matter *other* than those that are presented or disclosed in the financial statements that, in the auditor's judgement, is relevant to users' understanding of the *audit*, the *auditor's* responsibilities or the *auditor's* report.

"Other matter paragraphs" are very uncommon and are not central to your understanding of the auditor's report on financial statements. The two simple examples below are included to give you a basic idea as to when an "other matter paragraph" might be included:

- The auditor may wish to convey to users that the prior period's financial statements were audited by another auditor (audit firm).
- Where a set of audited financial statements has been prepared for a specific purpose (not the annual financial statements), for a specific user(s), the auditor may wish to include in his report, a statement

that the report is intended solely for the intended users and should not be distributed to or used by other parties.

- Note (e): An “other matter paragraph” has nothing to do with the auditor’s opinion and cannot be used as a substitute for any form of modification of that opinion.
- Note (f): If, on the audit of a listed company, an “other matter” is judged by the auditor to be a key audit matter, it must be treated as a key audit matter, not an “other matter”.
- Note (g): An “other matter paragraph” is not the same as or a substitute for the Report on Other Legal and Regulatory Requirements. However, suppose the other matter relates directly to the auditor’s other reporting responsibilities, for example, the auditor’s responsibilities to report in terms of sections 44 and 45 of the Auditing Profession Act. In that case, the other matter may be included in the Other Legal and Regulatory Requirements section.
- Note (h): If an “other matter paragraph” is required in the report, it will normally be positioned after the “Key Audit Matters” section and before the “Other Information” section, but it will be up to the auditor’s judgement as to where it is best situated. The paragraph may also be given a descriptive heading, for example “Other matter – audit of previous period’s financial statements”.

15.11 Going concern impact on reporting

15.11.1 The auditor’s report (assuming there are no other reporting issues)

Note: To be able to understand “reporting on going concern”, you will need to understand the statements which deal with forming an opinion and reporting on financial statements.

Essentially in assessing the implications of the company’s “going concern status” on the audit report, the auditor must consider three situations.

Situation 1 The use of the going concern basis of accounting *is* appropriate.

Situation 2 The use of the going concern basis of accounting *is not* appropriate.

Situation 3 The use of the going concern basis of accounting *is* appropriate *but* a material uncertainty exists.

Situation 1

This situation presents no complications and an *unmodified audit report* will be given.

Situation 2

This situation will give rise to an adverse opinion. It arises when the client has prepared the financial statements on the going concern basis, but this basis is inappropriate in the auditor’s judgment. An adverse opinion is a clear statement by the auditor that the financial statements *do not* “fairly present”. The auditor is reporting that by using the going concern basis of accounting the financial statements are materially misstated and the effect thereof is material and pervasive. If, based on the procedures carried out and all the information obtained, including the effect of management’s plans, the auditor’s judgment is that the entity will not be able to continue as a going concern, the auditor must express an adverse opinion, *regardless of whether or not the disclosure of the going concern problem has been made*.

Situation 3

This situation is a little more complicated and requires the auditor to decide on whether the material uncertainty has been adequately disclosed before he can decide on the appropriate report.

- **If the disclosure is adequate** the auditor will express an unmodified opinion (remember that the auditor has decided that the going concern basis *is* appropriate) but will add a separate paragraph to the audit report headed “Material Uncertainty Related to Going Concern”. This additional paragraph will:
 - draw attention to the note in the financial statements which deals with the material uncertainty
 - state that the events or conditions described in the note indicate that a material uncertainty exists that may cast significant doubt on the company’s ability to continue as a going concern, and that
 - the auditor’s opinion is *not* modified in respect of the matter.

The intention of including this additional paragraph is to bring an important matter (the material uncertainty) to the attention of users of the financial statements.

- **If the disclosure is not adequate** the auditor is required to express either a qualified opinion (except for) or an adverse opinion *and* in the basis for qualified (adverse) opinion paragraph of the auditor's report, state that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern and that the financial statements do not adequately disclose this matter. This situation amounts to a disagreement with the directors resulting in material misstatement of the financial statements, and only an "except for" or "adverse" opinion can be given (a disclaimer of opinion will not be suitable).

A difficulty which the auditor may encounter when the inadequacy of the disclosure of the material uncertainty is the problem is the decision as to whether the effect of the inadequate disclosure is (only) material (an except for qualification) or is material and pervasive (adverse). Neither ISA 570 (revised) or ISA 705 (revised) are particularly forthcoming on how the auditor distinguishes between material and material and pervasive in this situation, but the following "points" are relevant:

- the decision is a matter of professional judgement and will be the responsibility of a senior member of the audit team
- the *except for* qualified opinion will be given wherein the auditor's judgement, the effect of the inadequate disclosure on the financial statements is **not** so material and pervasive as to require an adverse opinion
- the *adverse opinion* will be given when the effect of the failure to disclose or adequately disclose the going concern problem is so material and pervasive that the auditor concludes that an "except for" qualification is not adequate to reflect the misleading and incomplete nature of the financial statements
- by definition, a material uncertainty gives rise to *significant doubt* about the company's going concern ability, and it would seem reasonable that the complete omission of disclosure of the material uncertainty would warrant an adverse opinion. A significant piece of information has been omitted, which means that fair presentation has not been achieved, and
- the extent of the disclosure may be relevant. If say, 60% of the relevant facts about the going concern problem have been disclosed, an "except for" qualification could be given, whereas, if say only 20% of the facts have been disclosed, an adverse is given. The reasoning here is that 60% disclosure, while inadequate, alerts the user to the problem, but 20% disclosure results in financial statements which are incomplete and misleading, and therefore should not be relied upon because the seriousness of the going concern problem has not been adequately conveyed to the user.

15.11.2 Key audit matters and going concern

In terms of ISA 701, key audit matters are matters that, in the auditor's professional judgement, were of most significance in the audit of the financial statements for the current period. Key audit matters are selected from matters communicated with those charged with governance and will be matters which require *significant* auditor attention in performing the audit. Key audit matters must be communicated in the audit report. This requirement applies to listed companies.

Although the adoption of the going concern assumption is fundamental to the preparation of the financial statements, the going concern audit will not automatically be a key audit matter. However, where a company is experiencing going concern problems, it is likely to give rise to a key audit matter. The more complicated and subjective the issues around whether the going concern basis of accounting is appropriate, the greater the audit input (time, resources and skill/experience of audit personnel) required, to the extent that the audit of going concern may be a key audit matter of "most significance".

If it is deemed to be a key audit matter, how it is treated in the audit report will depend on whether or not an unmodified opinion, a qualified opinion or an adverse opinion has been given, and whether a material uncertainty related to going concern section is required in the audit report.

- **Unmodified opinion.** If going concern has been identified as a key audit matter (although an unmodified opinion has been given), the matter will be dealt with in the key audit matter section of the audit report.
- **Unmodified opinion but a "material uncertainty related to going concern" section has been added.** Although the going concern matter has been identified as a key audit matter, it will not be dealt with in the key audit matter section of the report because it will be dealt with in the material uncertainty related to going concern section. However, in the key audit matter section, a reference to the material uncertainty related to going concern section, along with any other key audit matters which are communicated, will be included.

- **Qualified opinion or adverse opinion.** The same principle as above will be followed. Although the going concern matter has been identified as a key audit matter, it will not be dealt with in the key audit matter section because it will be dealt with in the basis for qualified (adverse) opinion section. However, in the key audit matter section, a reference to the basis for qualified (adverse) opinion section will be included.

15.11.3 Reporting summary

(See Appendix 1 and 2 at the end of this section.)

The audit report requirements can be summarised as follows:

15.11.3.1 Unmodified opinion

This report is given when no doubt exists relating to the appropriateness of presenting the AFS on the going concern basis.

15.11.3.2 Unmodified opinion – Material Uncertainty Related to Going Concern section added

This report is given when:

- the going concern basis of presentation *is appropriate*, but
- a *material uncertainty* that may cast significant doubt about the company's ability to continue as a going concern *exists*, and
- the material uncertainty is *properly (adequately) disclosed* (see 15.11.1 Situation 3 above).

15.11.3.3 Qualified opinion or adverse opinion based on disclosure problems

This report is given when:

- going concern basis of presentation *is appropriate*, but
- a material uncertainty that may cast significant doubt about the company's ability to continue as a going concern *exists*, and
- the material uncertainty has *not* been disclosed or has been *inadequately* disclosed.

15.11.3.4 Adverse opinion – Inappropriate basis

This report is given when:

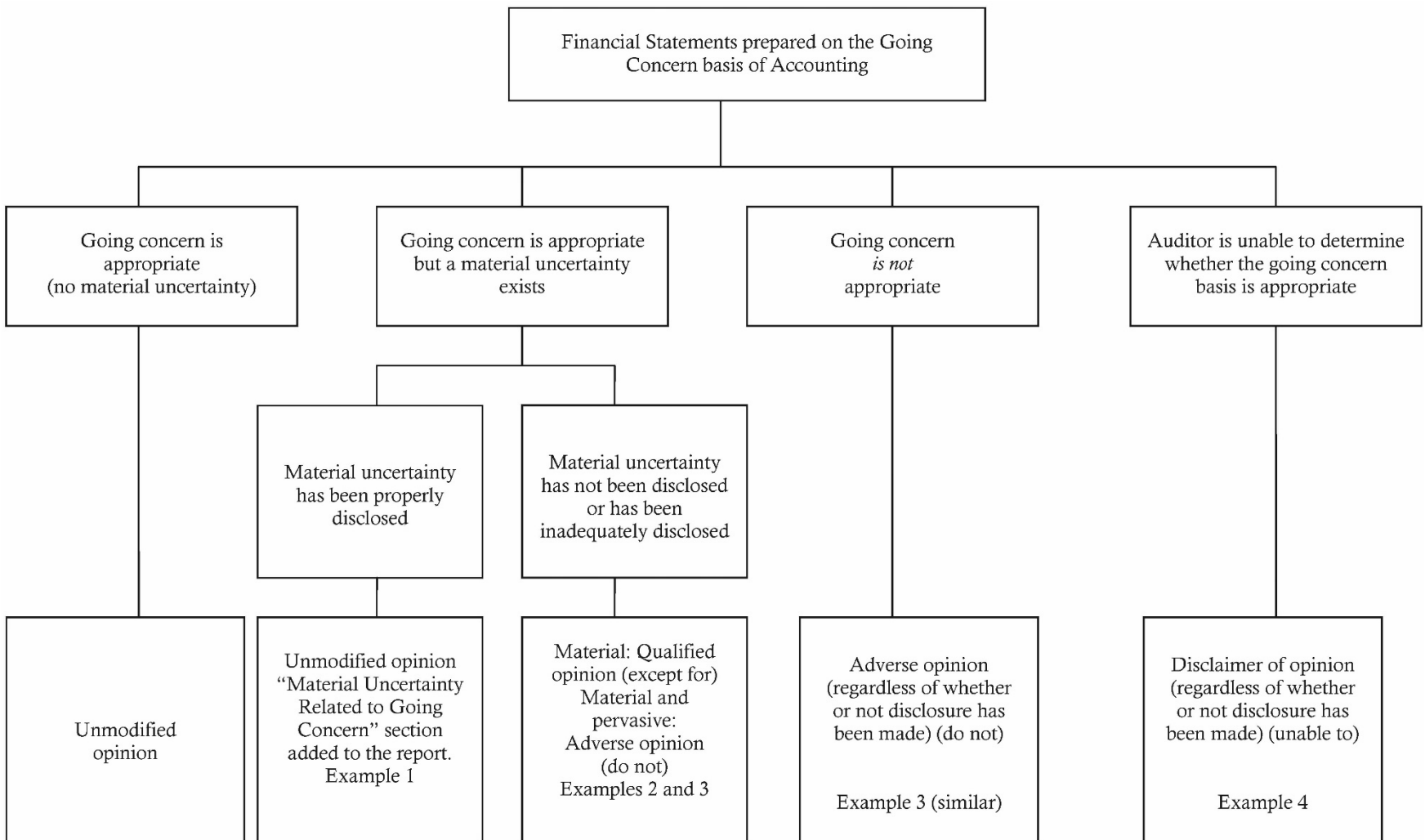
- the financial statements are presented on the going concern basis, *but*
- in the opinion of the auditor, this basis is *not* appropriate *regardless of whether or not* proper disclosure has been made of the material uncertainties.

15.11.4 Going concern and disclaimers of opinion

ISA 570 (revised) – Going concern (para A33) recognises that there may be “extreme” cases where there are multiple material uncertainties, which have all been adequately disclosed, *but* the auditor is *unable to decide* whether “going concern” is the appropriate basis of presentation. In this instance, ISA 570 (revised) states that the auditor may give a disclaimer of opinion.

ISA 570 (revised) (para A35) suggests that there may be situations where the auditor is limited in his scope when auditing going concern. For example, management may not co-operate in supplying relevant information or may refuse to provide its assessment of the company's going concern ability. This situation (which would also be considered “rare”) essentially means that the auditor would be unable to gather sufficient appropriate evidence to support the presentation of the financial statements on the going concern basis, i.e., the auditor is unable to form an opinion on the fair presentation of the financial statements. An except for qualification or a disclaimer based on insufficient evidence would be required.

In terms of ISAs 701 and 705 (revised), where a disclaimer of opinion is given (regardless of the circumstances), the key audit matter section is not included in the audit report. If a disclaimer is to be given arising from the auditor's inability to form an opinion on going concern, the basis of the disclaimer will be described in the basis for disclaimer of opinion section.

Appendix 1: The going concern decision

Note: The following examples deal only with the wording directly related to the going concern modification/qualification. The standard wording required in the various reports refers to ISA 570 (revised) and ISA 705 (revised).

Appendix 2: Examples of the going concern related sections in the applicable audit reports

1. **Example 1** – Unmodified opinion but a material uncertainty, which has been properly disclosed
 - 1.1 Included in a section headed: Material Uncertainty related to Going concern.
 We draw attention to note 10 in the financial statements, which indicates that the company incurred a net loss of R7,3 million for the financial year ended 31 March 202x due primarily to the collapse of the company's major supplier and the difficulties the company continues to experience in finding a suitable replacement supplier. As stated in note 10, this situation indicates that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern.
2. **Example 2** – Qualified opinion: material uncertainty inadequately disclosed, the effect of which is considered to be material only
 - 2.1 Included in the *qualified opinion* section
 In our opinion, *except for* the incomplete disclosure of the information referred to in the basis for qualified opinion section of our report, the accompanying financial statements present fairly in all material respects, the financial position of the company as at 31 March 202x and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.
 - 2.2 Included in the *basis for qualified opinion* section
 As discussed in note 10, most of the company's long-term financial obligations must be settled on 31 May 202x. The directors have been unable to renegotiate (extend) these loans or obtain replacement financing. This situation indicates that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. The financial statements do not adequately disclose this matter.
3. **Example 3** – Adverse opinion: No disclosure of material uncertainty, the effect of which is considered to be material and pervasive
 - 3.1 Included in the *adverse opinion* section
 In our opinion, because of the omission of the information mentioned in the basis for adverse opinion section of the report, the accompanying financial statements *do not* present fairly, the financial position of the company at 31 March 202x and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.
 - 3.2 Basis for *adverse opinion* section
 During the period between the financial year-end (31 March 202x) and the date of our report, the company continued to make significant losses because the directors have been unable to replace the company's liquidated major supplier of components used in the manufacture of its products. The directors are considering placing the company in liquidation. This situation indicates that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. This situation has not been disclosed in the financial statements.
4. **Example 4** – Disclaimer of opinion: Disclosure of material uncertainties, including the directors' plans to address the going concern issues, but the auditor denied access to necessary information relating to the material uncertainties and the directors' plans.
 - 4.1 Included in the *disclaimer of opinion* section
 We do not express an opinion on the financial statements of the company at 31 March 202x. Because of the significance of the matter described in the basis for the disclaimer of opinion section of our report, we have not obtained sufficient, appropriate audit evidence to provide a basis for an audit opinion on these financial statements.
 - 4.2 Basis for disclaimer of opinion
 As stated in note 15 of the financial statements, the company is facing material uncertainties that may cast significant doubt on the company's ability to continue as a going concern. The note also indicates that the directors have plans to address these uncertainties. However, we were not allowed

access to any documentation relating to the material uncertainties themselves or to any documentation or information supporting the directors' plans to address these uncertainties. As a result, we cannot form an opinion on whether the presentation of the financial statements on the going concern basis is appropriate.

15.12 ISA 710 – Comparative information

15.12.1 Introduction

ISA 710 was not revised along with the other reporting statements but conforming amendments effective December 2015 were issued.

This statement provides guidance on the auditor's responsibility for comparative information presented in the financial statements on which the auditor is reporting. In South Africa comparative information is presented as corresponding figures as part of the current period financial statements and is intended to be read in relation to amounts and disclosures relating to the current period.

This statement is not central to understanding audit reporting but does contain some points you should be aware of as part of your overall understanding.

15.12.2 Objectives and procedures

The auditor's objective with regard to the corresponding figures is to obtain sufficient appropriate evidence that the comparative information included in the financial statements has been presented in all material respects in accordance with the requirements for comparative information of the reporting framework adopted for the financial statements. This amounts to carrying out procedures to determine whether:

- corresponding figures agree with the amounts and other disclosures presented in the prior period or, when appropriate, have been properly restated and
- accounting policies used for corresponding figures are consistent with those applied in the current period or if there have been changes in accounting policies, these changes have been properly accounted for and adequately presented and disclosed.

Where the audit engagement is ongoing, the above requirements should be easily achieved by reference to the auditor's prior year working papers and the prior year financial statements. In the situation where the prior period financial statements were either audited by another auditor, or not audited at all, the guidance given in ISA 510, Initial Audit Engagements – Opening Balances will need to be followed. In effect, a "mini-audit" on the opening balances will be conducted.

Where the auditor becomes aware of a possible misstatement in a corresponding figure when performing the current period audit, additional appropriate procedures must be conducted to establish the nature and extent of the misstatement. Its effect on fair presentation of the corresponding figures as well as the current period figures can then be assessed.

15.12.3 Reporting

Ordinarily the audit report will make no mention of the corresponding figures. Because South Africa adopts the corresponding figure method of presenting comparatives, it is implied that the auditor's opinion is on the financial statements as a whole, including the corresponding figures.

- When the auditor's report on the prior year financial statements included a modified opinion, and the matter giving rise to the modification has been properly *resolved* and properly accounted for or disclosed, the current audit report need not refer to the previous modification.
- When the auditor's report on the prior period included a qualified or adverse opinion or a disclaimer opinion and the matter which gave rise to the modification is *unresolved* the auditor will modify the current audit opinion.
- If the prior period financial statements were *not audited* the auditor must state in an Other Matter section of the audit report that the corresponding figures are unaudited. (The Other Matter section is not to be confused with the Other Information section.)
 - However, this does not relieve the auditor of the duty to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements on which the audit opinion is to be expressed.

- If the auditor is *unable* to obtain sufficient appropriate evidence regarding the opening balances, the auditor must qualify or disclaim an opinion on the current period's financial statements.
- If the auditor encountered *significant difficulty* in obtaining sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements, the auditor may consider this to be a key audit matter (only applicable when key audit matters are communicated in terms of ISA 701).
- In terms of ISA 710, if the prior period's financial statements were audited by a predecessor auditor (another auditor), and the auditor of the current financial statements decides to convey this fact to users in the audit report, it would be raised in the Other Matter section. The Other Matter section must state:
 - that the financial statements of the prior period were audited by the predecessor auditor
 - the type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefor, and
 - the date of that report.

For example: The financial statements of the company for the year ended 31 December 0001 were audited by another auditor who expressed an unmodified opinion on those statements on 25 March 0002.

Note: All audit reports must be structured in the (new) format required by ISA 700. The illustrative reports in ISA 710 have been updated and appear in the conforming amendments contained in the Students Handbook of ISAs.

15.13 ISA 720 (revised) – The auditor's responsibilities relating to other information

15.13.1 Introduction

The revision of ISA 720 has resulted in a very long and wordy statement which has grown from a manageable five pages to fifty pages of the Students Handbook. Fortunately a detailed knowledge of the statement is not central to your understanding of audit reports but there are some aspects of the topic of which you should be aware.

The essence of ISA 720 (revised) is that annual financial statements are usually issued together with a wide range of other information in what is called the "annual report" or something similar. Besides the annual financial statements, the annual report will often contain reports prepared to meet the information needs of various stakeholders as well as supplementary/summarised information for shareholders. These reports/schedules may cover such diverse matters as corporate social responsibility, labour practices, selected operating data, summaries of key financial data, strategy overviews and detailed explanations of amounts or disclosures in the financial statements. The auditor's duty is to *give an opinion on the financial statements* as defined/described in the Companies Act, section 29. This definition/ description does not include *other information*. Therefore the auditor has no responsibility to give an *opinion* on other information and is not in a position to do so.

However, there is a potential problem. If the other information is *materially inconsistent* with the financial statements or the auditor's knowledge obtained in the audit, it indicates that a material misstatement of the financial statements exists or that the other information is misstated. If left "uncorrected" this could undermine the credibility of the financial statements and the auditor's report, and may inappropriately influence the economic decisions of users. A misstatement of the other information exists when the other information is incorrectly stated or otherwise misleading (including because it omits or obscures information necessary for a proper understanding of a matter disclosed in the other information).

15.13.2 The auditor's responsibilities

In terms of ISA 720 (revised) the auditor is required to "read the other information" and to:

- consider whether there is a material inconsistency between the other information and the financial statements
- consider whether there is a material inconsistency between the other information and the auditor's knowledge obtained on the audit, and
- respond appropriately when the auditor identifies that material inconsistencies appear to exist or that other information appears to be materially misstated.

15.13.3 Reading and considering the other information

The basis of consideration will be comparison of amounts and/or items in the other information with such amounts or items in the financial statements.

The auditor is not expected to compare every single item or amount; it will be a matter of professional judgement as to the selection of amounts and items for comparison. This selection judgement will be influenced by the:

- significance of the amounts or other items in relation to the importance which users may attach to the item or amount, for example, a table of key ratios in the other information may well be selected and compared to the financial statements
- relative size of an amount, for example amounts that are immaterial are unlikely to be selected, and
- sensitivity of the particular amount or item, for example other information about bonuses or share-based payments for senior management.

The auditor must also consider whether there is a material inconsistency between the other information and the auditor's knowledge obtained on the audit. For example, the other information may refer to a joint venture which the company had entered into in the financial year, but of which the auditor had no knowledge, or a report by the operations director may contain a paragraph which raises the probability of technical obsolescence of certain of the company's products, a factor which was not known to the auditor and which was not taken into account when impairment losses for inventory were considered.

While reading the other information, the auditor must remain alert for indications that the other information *not related* to the financial statements appears to be materially misstated. For example, the other information may contain claims by the company which are (factually) incorrect and which are material enough to influence users. The company may claim that it has the highest possible safety ratings, which gives it access to government contracts when it doesn't, or the company may claim to have been awarded future prospecting/mineral rights when this has not occurred.

The responsibility for "reading and considering" will be allocated to senior experienced members of the engagement team.

15.13.4 The auditor's response when a material inconsistency appears to exist or other information appears to be materially misstated

At this point the auditor needs to conclude on whether:

- the material misstatement is in the other information *or* in the financial statements as this may affect how he proceeds, and
- his understanding of the entity needs to be updated. This will be necessary when the auditor "discovers", when reading the other information, information of which he was not aware and which may have an influence on his audit. For example if the auditor "discovers" for the first time when reading other information, that the company entered into a joint venture during the financial year, he may need to revise his risk assessment and potentially carry out further audit procedures to respond to the risk that say, the joint venture has not been appropriately accounted for.

When the auditor concludes that a material misstatement of the *other information* exists, he will request that management correct the other information.

- If they fail to do so, the auditor will communicate with those charged with governance and request that the correction be made.
- If the correction is made to the satisfaction of the auditor, the problem is resolved.
- If the correction to the other information is *still not made*, the auditor should:
 - discuss with those charged with governance why they will not make the correction
 - consider this response and determine whether the whole matter brings the integrity of the directors into question to the extent that the auditor should reassess the risk of material misstatement in the financial statements, for example could there be manipulation of the financial statements which has been carefully concealed by the directors
 - consider the effect of the matter on the audit report and communicate with those charged with governance as to how the matter will be addressed in the audit report (bear in mind that the auditor cannot

modify his opinion in this situation because the misstatement is in the other information, *not* in the financial statements), and

- consider whether a reportable irregularity is taking place.

When the auditor concludes, after reading the other information, that a material misstatement in the *financial statements* exists, he should respond as he would to any other material misstatement identified on the audit, for example:

- reassess risk with the added intention of establishing why the material misstatement was not identified in the first place
- *conduct further audit procedures* to obtain sufficient appropriate audit evidence about the material misstatement and to respond appropriately to any changes in his assessment of risk
- communicate with management and those charged with governance and request that the misstatement be corrected
- if the directors agree to the correction, the auditor will carry out procedures to establish that the amendments are appropriate and correctly applied: if so, the problem is resolved, and
- if the correction is *not* made, the auditor will evaluate it along with all other uncorrected misstatements and decide upon the effect on the audit report (bear in mind that this is an uncorrected misstatement in the financial statements, *not* the other information, which means that the auditor can modify his audit opinion).

15.13.5 Other information and the audit report

As you will know, the audit report has a section which deals with Other Information. In terms of ISA 720 (revised), this section must include:

- a statement that management is responsible for the other information
- identification of the other information (see note 1)
- a statement that the auditor's opinion does *not* cover the other information and accordingly that the auditor does not express any form of assurance thereon
- a description of the auditor's responsibilities relating to reading, considering and reporting on other information, or
- a statement that the auditor has nothing to report *or* if there is an uncorrected material misstatement of the other information, a statement that describes the uncorrected material misstatement of the other information.

Note 1: In South Africa, the Directors' Report, Audit Committees' Report and the Company Secretary's Certificate are regarded as "other information" and will be identified where applicable in the Other Information section. (All three will be included in a listed company's audit report, but in a private company, only the Directors' report is mentioned.) Other information, such as summary schedules, reports and charts, is also included and is identified by page number.

Note 2: The Other Information section is not the same as an Other Matter paragraph.

Note 3: ISA 720 (revised) does distinguish between "other information obtained prior to the date of the auditor's report" and other information the auditor expects to obtain after the audit report. This has not been dealt with as it is not regarded as being central to your understanding of how the auditor deals with "other information".

Note 4: Any modification of the *audit opinion* which may have arisen from the auditor's "reading and considering" of other information, will *not* be mentioned or dealt with in the Other Information section. It will be dealt with like any other modification of the audit opinion.

15.14 S45 of Auditing Profession Act – Reportable irregularity effect on auditor's report

This section has been prepared in terms of Part 3 of the revised guide for registered auditors: Reportable Irregularities in terms of the Auditing Profession Act (effective July 2015), SAAPS 3 (revised May 2019) with reference to paragraph 43 of ISA 570 (revised). None of these pronouncements are particularly definitive and appear to allow some latitude in their application.

Section 44(2)(e) of the AP Act states that the registered auditor *may not, without such qualifications* as may be appropriate, express an opinion to the effect that the financial statements:

- fairly present in all material respects, and
- are properly prepared in terms of the financial reporting standards, *unless*
- the registered auditor has *not* reported a reportable irregularity to the IRBA, *or*
- if such report was sent, the auditor has been able to send, prior to expressing the audit opinion, a notification to the IRBA that he is satisfied that *no* reportable irregularity has taken place or is taking place.

The IRBA guide interprets the reference to “without such qualifications as may be appropriate” as meaning that the audit report could result in:

- a *modified* audit opinion and a *notification* to the user that the auditor has reported a reportable irregularity to the IRBA in terms of the Auditing Profession Act, *or*
- only a *notification* and *no modification* of the audit opinion. In other words, a notification (when appropriately given) satisfies the requirement of section 44 (2) with regard to the term “qualifications”.

If the reportable irregularity does not affect the fair presentation of the financial statements, the audit report only needs to include a *notification* to the user in the Report on other Legal and Regulatory Requirements section of the audit report.

In terms of the IRBA guide the auditor is unable to issue an auditor’s report without appropriate notification or a modified opinion and a notification, in the event that:

- (a) the reporting process to IRBA is *incomplete*
- (b) a reportable irregularity *did exist*, even if it is no longer taking place and in respect of which adequate steps have been taken for the prevention or recovery of any loss as a result thereof
- (c) a reportable irregularity existed which could not be/was not corrected (i.e. the reportable irregularity is continuing).

Perhaps the easiest way to illustrate what can be a “tricky” reporting duty, is to describe a matter giving rise to the reportable irregularity and to consider the auditor’s options. Assume that the *first report* has been made by the auditor to the IRBA and that management has been notified.

Example: Inbound (Pty) Ltd imports goods into South Africa. The auditor has reason to believe that during the past financial year the directors have been defrauding SARS by not declaring the true nature of the goods imported, thereby paying less import duties than are due. The amounts involved are material.

Situation 1. The directors of Inbound (Pty) Ltd acknowledge the fraud, make full declaration to SARS, and make the necessary adjustments (e.g. raise SARS as a creditor for amounts owed including penalties) and make full disclosure in the financial statements. The auditor is satisfied.

Outcome 1. The auditor is able to notify the IRBA (second report) that the reportable irregularity *did exist* but has been resolved.

The audit opinion does not need qualification (as the financial statements are fairly presented) *but* users must be *notified* of the reportable irregularity by the inclusion of the following in the “Report on Other Legal and Regulatory Requirements” section of the audit report.

“In accordance with our responsibilities in terms of section 44(2) and 44(3) of the Auditing Profession Act, we report that we identified a Reportable Irregularity in terms of the Auditing Profession Act. We reported such matter to the Independent Regulatory Board for Auditors. The matters pertaining to the reportable irregularity have been described in note 7 to the financial statements”.

In terms of the IRBA guide the auditor could add some explanatory text if he deems it necessary, for example:

The directors have responded to the circumstances and conduct in question to the extent that we believe no further loss will be suffered by the parties identified in Note 7 and that all amounts owed including penalties have been accounted for. The unlawful act described in Note 7 is to the best of our knowledge no longer occurring.

Situation 2. The directors of Inbound (Pty) Ltd provide sufficient appropriate evidence to satisfy the auditor that no reportable irregularity has taken place.

Outcome 2. The auditor must notify the IRBA (second report) that no reportable irregularity existed.

The matter will have *no* effect on the audit report, i.e. no modification of the audit opinion or notification in the Report on Other Legal and Regulatory Requirements section, because no reportable irregularity actually existed.

Situation 3. The directors of Inbound (Pty) Ltd acknowledge that the fraud has taken place, agree to discontinue the fraud but refuse to make any adjustments to or disclosures in the financial statements arising from the fraud, for example adjusting for the amounts owed to SARS including penalties, or to notify the SARS of the fraud.

Outcome 3. The auditor must notify the IRBA (second report) that the reportable irregularity *did exist* and as the directors will not take any corrective action, *is continuing*.

The audit opinion does need modification as the financial statements do not fairly present. The qualification will be based on disagreement (misstatement) and the auditor will need to judge whether the effect of the matter is material or material and pervasive.

Where the opinion is modified, it appears from the IRBA guide and SAAPs 3 (revised May 2019) and paragraph 43 of ISA 700 (revised) that the auditor has the option of:

- (i) Describing the reportable irregularity in the Basis for Qualified Opinion section and in the same section, notifying users of his reporting duties in terms of the Auditing Profession Act as follows:

In accordance with our responsibilities in terms of section 44(2) and 44(3) of the Auditing Profession Act, responsibilities beyond those required by the International Standards on Auditing, we report that we have identified the matter described in the preceding paragraph as a reportable irregularity in terms of the Auditing Profession Act. We have reported such matter to the Independent Regulatory Board for Auditors.

- (ii) Describing the reportable irregularity in the Basis for Qualified Opinion section but notifying users of his reporting duties in terms of the APA in the Report on Other Legal and Regulatory Requirements section by the inclusion of the following:

In accordance with our responsibilities in terms of section 44(2) and 44(3) of the AP Act, we report that we have identified a reportable irregularity in terms of the Auditing Profession Act. We have reported such matter to the IRBA. The matter pertaining to the reportable irregularity has been described in the audit report above.

Situation 4. Although having communicated to the directors of Inbound (Pty) Ltd that a first report has been made to the IRBA, no response has been forthcoming from the directors.

Outcome 4. If the 30-day period for response from the directors has elapsed, the auditor has no option but to report to IRBA (second report) that the reportable irregularity exists. The auditor has no reason or additional evidence to change his original decision that a reportable irregularity exists. The effect on the audit report will be the same as for situation 3, i.e. modification of the opinion and notification to users of the auditor's duties to report in terms of the AP Act.

With regard to the nature of the matter giving rise to the qualification, the auditor will need to decide whether the matter is a material misstatement or an inability to obtain sufficient appropriate evidence. If the auditor has sufficient appropriate evidence that the financial statements are materially misstated (either account headings or disclosures), he would be entitled to modify the opinion on the basis of disagreement (material misstatement) because he is satisfied that because of the fraud (which he believes has occurred), the financial statements are misstated. On the other hand he may interpret the fact that because of the non-response of the directors, he has been limited in his scope which in turn has led to an inability to obtain sufficient appropriate evidence with regard to fair presentation. This is perhaps a somewhat technical point and regardless of which basis of modification the auditor decides is appropriate, he will have satisfied his reporting duties.

Note: In the unlikely event that the auditor has to sign the audit report between sending the first report to the IRBA and the 30-day response date and the reportable irregularity has not been addressed, the appropriate treatment would probably be for the auditor to include the normal details in the Report on Other Legal and Regulatory Requirements section but to convey that the 30-day response period had not expired at the date of the audit report. A far more desirable outcome would be to put pressure on the directors to respond before the 30-day period is complete or to delay signing the audit report until the 30-day period for response has expired so that the appropriate report can be given.

In general it is anticipated that the directors will co-operate with the auditors with regard to reportable irregularities, but this may not always be the case.

Review engagements and related service engagements

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16.1 Engagements to review historical financial statements

16.1.1 Introduction

While review engagements have been carried out by auditors for many years, the concept of an independent review of a company's financial statements replacing an external audit of a company's financial statements became an option with the promulgation of the Companies Act 2008. This option has resulted in a marked increase in the number of review engagements that practitioners are conducting and hence renewed interest in the relevant international standards on review engagements, particularly ISRE 2400 (revised) – Engagements to review historical financial statements.

Sometimes it appears that a review engagement is just a very watered down audit and is not really important. While a review does *not* give the same level of assurance as an audit, it is still an assurance engagement on which reliance is placed and that must be carried out in terms of the international standard.

16.1.2 Companies that qualify for an independent review

The option to be independently reviewed, as opposed to being externally audited, is determined by the public interest score of the company and whether the company's financial statements are internally or externally compiled.

A private company with a public interest score of less than 100 must (at least) have its financial statements independently reviewed regardless of whether its financial statements are internally or externally compiled. The review of this category's financial statements must be carried out by a registered auditor or an individual who qualifies to act as an accounting officer of a close corporation.

A private company with a public interest score of 100 to 349 may have its financial statements independently reviewed if its annual financial statements are externally compiled. If the financial statements are internally compiled, the company must be audited. The review of the financial statements of companies in this category must be carried out by a registered auditor or a chartered accountant.

16.1.3 Description of a review engagement

The review of financial statements is a limited assurance engagement. ISRE 2400 (revised) defines limited assurance as “the level of assurance obtained where engagement risk is reduced to a level that is acceptable in the circumstances of the engagement, but where that risk is greater than for a reasonable assurance engagement, as a basis for expressing a conclusion. The combination of the nature, timing and extent of evidence gathering procedures is at least sufficient for the practitioner to obtain a meaningful level of assurance. To be meaningful, the level of assurance obtained by the practitioner is likely to enhance the intended user's confidence about the financial statements”.

The essence of this is that for a review, the practitioner will conduct sufficient procedures to give a level of assurance that will increase the level of confidence a user has that the financial statements are fairly presented, but not to the level of confidence which an audit would provide. An audit provides reasonable assurance, a review provides limited assurance.

In a review engagement, the practitioner performs primarily *inquiry* and *analytical procedures*. Obviously, he may choose to perform other types of procedure, for example, observation, reperformance, etc., but the concentration in normal circumstances will be inquiry and analytical review to obtain sufficient appropriate evidence on which to base his conclusion.

Comparison of an audit engagement and a review engagement

Factor	Audit	Review
1. Conducted by	Registered auditor	PIS less than 100: Registered auditor or individual who qualifies for appointment as an accounting officer. PIS 100 to 349: Registered auditor or a CA (SA).
2. Assurance given	Reasonable assurance	Limited assurance.
3. Standards	ISAs	ISRE 2400 (revised)

continued

Factor	Audit	Review
4. AFS compiled by	Client company	PIS less than 100: client or external party PIS 100 to 349: Independent accounting professional (If internally compiled, AFS must be audited).
5. Ethical considerations including objectivity to be applied	Yes	Yes
6. Professional scepticism to be adopted	Yes	Yes
7. Quality control procedures required	Yes	Yes
8. Pre-conditions and pre-engagement activities including an engagement letter.	Yes	Yes
9. Strategy	Audit strategy formulated	Not specifically required
10. Materiality	Planning, performance and final (evaluation)	Materiality set for the financial statements as a whole to: Identify areas of the financial statements where material misstatements may arise Evaluate whether financial statements are free from material misstatement.
11. Understanding of entity	Yes, to identify and evaluate risks of material misstatement	Yes, to identify where material misstatement may arise and provide a basis for designing procedures to address these areas.
12. Understanding internal control	Detailed understanding	General understanding.
13. Risk assessment procedures	Yes, as a basis for determining further audit procedures (nature, timing and extent)	No
14. Tests of controls	Yes	No
15. Substantive tests	Full range	Usually, inquiry and analytical procedures but may use other substantive procedures including tests of detail if additional procedures are required.
16. Going concern procedures	Yes	Yes
17. Related party procedures	Yes	Yes
18. Fraud procedures	Yes	Yes
19. Report:	Opinion	Conclusion
19.1 title	Independent Auditor's Report	Independent Reviewer's Report
19.2 addressee (usual)	Shareholders	Shareholders
19.3 responsibility paragraphs	Directors and auditors Yes describe audit	Directors and Reviewers Yes describe review and emphasise that it is not an audit.
19.4 description of engagement		
19.5 explanation of modification paragraph	Yes	Yes

continued

Factor	Audit	Review
19.6 opinion/conclusion wording	In our opinion . . . fair presentation has been achieved in all respects.	Based on our review nothing has come to our attention that causes us to believe that fair presentation has not been achieved in all material respects.
19.7 other reports required by Companies Act paragraph	Yes	Yes
19.8 modification of opinion/conclusion	Opinion: except for: adverse disclaimer	Conclusion: except for: adverse disclaimer
19.9 emphasis of matter	Yes	Unlikely. Not provided for in ISRE 2400.
20. Reportable irregularity duties	Yes, in terms of Auditing Professional Act 2005. Report to IRBA.	Yes, in terms of Companies Regulations 2011. Report to CIPC.

16.1.4 Objectives

The objectives of the practitioner conducting a review engagement are to:

- Obtain *limited* assurance about whether the financial statements as a whole, are free of material misstatement, thereby allowing the practitioner to express a *conclusion* on whether anything has come to his attention that causes him to believe the financial statements are not prepared, in all material respects, in accordance with an applicable financial reporting framework, for example, IFRS for SMEs. The limited assurance is obtained primarily by inquiry and analytical procedures.
- Report on the financial statements. The report may contain a qualified or adverse conclusion and may even disclaim a conclusion.

16.1.5 Ethical requirements and professional scepticism

As a review is an assurance engagement, the independence of the practitioner is an important ethical consideration. Thus, the practitioner must be independent in mind and appearance. Likewise, the other fundamental principles of ethical/professional behaviour cannot be compromised because the engagement is a review and not an audit. The fundamental principles are:

- integrity
- objectivity
- professional competence and due care
- confidentiality, and
- professional behaviour.

The adoption of an appropriate level of professional scepticism is important on a review engagement. Remember that professional scepticism is an attitude. It means that the practitioner does not just accept what he is told, or what he reads at face value. It also means that he does not allow himself to be “led around by the nose”. It does not mean that in being sceptical, the practitioner abandons good professional behaviour. In the context of this type of engagement, professional scepticism means that the practitioner:

- should question inconsistencies and investigate contradictory evidence
- should question the reliability of responses to inquiries and other information obtained from management and those charged with governance
- be alert to:
 - evidence which is inconsistent with other evidence
 - information that calls into question the reliability of documents and responses to inquiries
 - conditions that may indicate fraud, and
 - any other circumstances that suggest the need for additional procedures, for example, missing documents, lack of knowledge displayed by employees relating to inquiries.

Adopting an appropriate level of professional scepticism will reduce the risk of the practitioner overlooking unusual circumstances, over-generalising when drawing conclusions from evidence and of using inappropriate assumptions in determining the review plan and in the evaluation of evidence gathered. In a sense, professional scepticism guards against the review team treating a review engagement as “not that important” as referred to in the introduction to this chapter.

16.1.6 Engagement level quality control

The review engagement partner must possess competence in assurance skills and techniques (e.g. professional judgement, evaluating evidence, understanding information systems) and must take responsibility for:

- the engagement being performed in accordance with the firm’s quality control policies including being satisfied with:
 - the pre-engagement procedures including the integrity of management, and
 - the collective competence and capabilities of the engagement team
- the direction, supervision, planning and performance of the review, and
- the appropriateness of the review report/conclusion.

16.1.7 Pre-conditions and preliminary engagement activities for accepting a review engagement

Before accepting any assurance engagement (audit or review), the practitioner will carry out preliminary engagement activities, namely:

- determining whether the practitioner wishes to establish or continue a *professional relationship* with the prospective/existing client
- considering the *integrity* of the client’s principal owners, key management and those charged with governance
- determining whether the firm is *competent* to perform the engagement; skills, knowledge and resources, and
- determining whether the firm complies with *ethical* requirements, for example, independence.

In addition, and perhaps even prior to considering the above, the practitioner must satisfy himself that the pre-conditions for accepting a review engagement are present, that is, he must:

- determine whether the financial reporting framework applied in the preparation of the financial statements to be reviewed, is acceptable, for example, IFRS or IFRS for SMEs, and
- obtain the agreement of management that it acknowledges and understands its responsibilities–
 - for the preparation of the financial statements in accordance with the applicable financial reporting framework
 - for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error
 - to provide the practitioner with access to all information of which management is aware is relevant to the preparation of the financial statements, for example, records, documentation, etc.
 - to provide the practitioner with any additional information that he may request for the review, and
 - to provide, as well as any unrestricted access to persons within the entity, in the case where the financial statements have been compiled by an independent accounting professional, access to that individual.

The importance of the above points is confirmed by the fact that if the practitioner is not satisfied with any of the above pre-conditions, he should attempt to have the matter resolved by management and those charged with governance. Should the auditor still not be satisfied, the practitioner should *not* accept the engagement.

16.1.8 The engagement letter

Much of what is covered in the pre-conditions for accepting a review engagement will be recorded in an engagement letter. ISRE 2400 (revised) requires that an engagement letter be obtained that deals with the following:

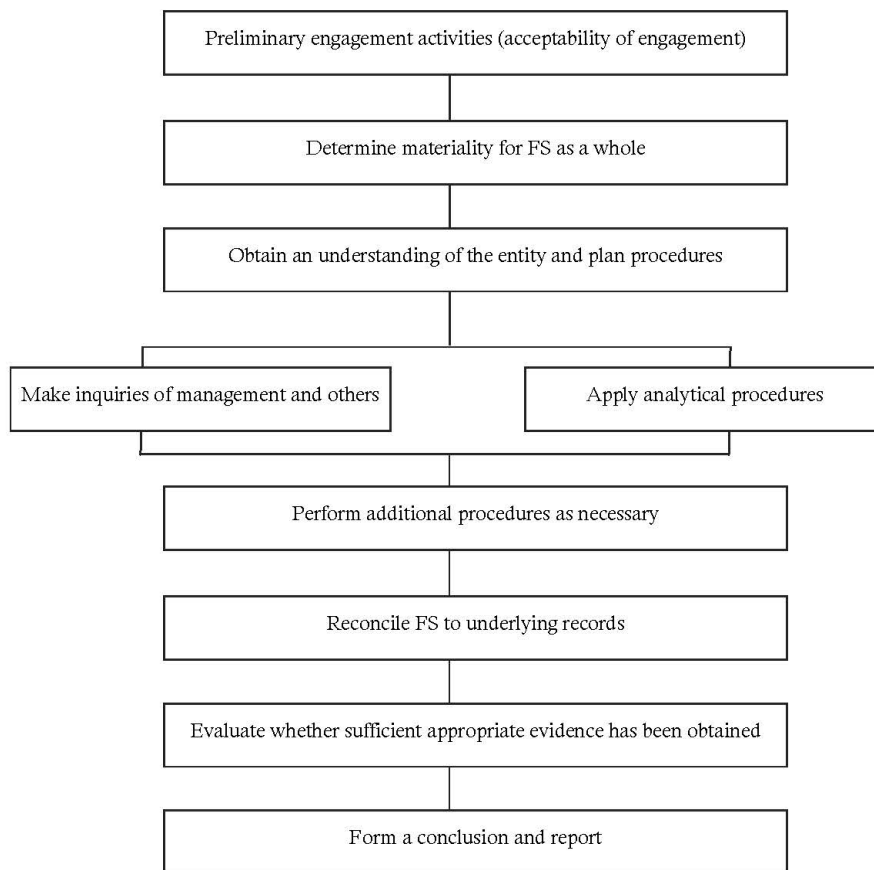
- the intended use and distribution of the financial statements (and any restrictions thereon)
- identification of the applicable financial reporting framework
- the objective and scope of the review
- the responsibilities of the practitioner
- the responsibilities of management
- a statement that the engagement is *not* an audit and that the practitioner will not express an audit opinion on the financial statements
- reference to the expected form and content of the report and a statement that the form and content may differ from its expected form and content
- arrangements concerning the involvement of other practitioners and experts in the review, for example, the independent accounting professional who compiled the financial statements (applicable to reviews for companies with a public interest score between 100 and 349 that have their financial statements externally compiled)
- the expectation that management will provide written representations, and
- a request for management to acknowledge receipt of the engagement letter and to agree to the terms of the engagement.

16.1.9 Performing the engagement

When considering an audit engagement, the process is reasonably well defined and extensively dealt with in the ISAs that cover specific aspects of the process, for example, planning, identifying risks, materiality, audit evidence, etc. The independent review does not have a similar set of its own statements and is guided by the content of ISRE 2400 (revised). However, this does not mean that the content and principles contained in the ISAs are not relevant to varying degrees, for example, the principles of audit evidence apply equally to reviews and in fact, the reviewing practitioner's "toolbox" is the same as that of the auditor. The difference is the emphasis that is placed on the use of available procedures. In a review, the emphasis will be placed on the use of inquiry and analytical procedures, but this does not preclude the reviewer from observation, external confirmation, recalculation and reperformance.

Furthermore, while it is not as detailed and defined as the audit process, there is a review process that must be adhered to if compliance with ISRE 2400 (revised) is to be achieved. Diagrammatically it can be represented as follows:

Diagrammatical representation of the review process



16.1.10 Determining materiality

ISRE 2400 (revised) requires that the practitioner shall determine materiality for the financial statements as a whole and apply this materiality in designing procedures and evaluating results. For a review engagement, the practitioner is required to identify areas in the financial statements where *material* misstatements are likely to arise and to provide limited assurance on whether the financial statements are free from *material* misstatement. The practitioner sets materiality for the engagement so that he has a guideline to work with.

There is no magic formula for determining materiality. The practitioner must apply professional judgement. The concept of materiality in any assurance engagement proposes that misstatement will be material if it could reasonably be expected to influence the economic decisions of users. Thus, the practitioner will attempt to evaluate what “amount” of misstatement the users of the reviewed financial statements would tolerate. This is no easy task!

Note, that in a review engagement, because it consists primarily of inquiry and review, the practitioner does not set performance materiality (as for an audit), as performance materiality is used for determining the extent of testing for particular classes of transactions, account balances, or disclosures.

As with audit materiality, review engagement materiality is both quantitative and qualitative, which means that a misstatement that may be quantitatively immaterial, may have a qualitative aspect to it, for example, it may be related to fraud, or it may relate to inadequate or omitted disclosures that are qualitatively material.

For the purposes of determining materiality for a review engagement, the practitioner must be mindful of the “types” of users of the financial statements he is reviewing and their needs. The majority of review engagements will be carried out on companies with low public interest scores and will tend to be smaller companies. The users of financial statements of companies with a public interest score of less than 100, would probably be restricted to the shareholders (usually a limited number), the bank and perhaps other

finance providers. In these circumstances, it is acceptable for the practitioner to assume that users will simply be seeking some “comfort” (limited assurance) that the financial statements reflect a reasonably fair representation of the state of the company.

For example:

A shareholder who is not involved directly in the company might use the financial statements to broadly assess how the company is doing.

Another example:

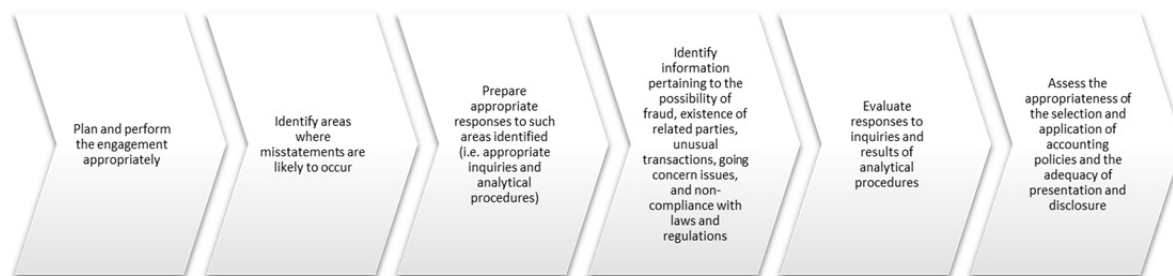
A bank may be seeking some assurance that the overdraft it is providing is reasonably secure and that the value of inventory that has been offered as security for the overdraft, is not materially misstated.

Perhaps the point to be made is that if a user is making important decisions of some magnitude or serious consequence, an audit opinion and not a review conclusion would be required.

16.1.11 Obtaining an understanding of the entity

The practitioner is required to obtain an understanding of the entity to provide the background against which he plans and performs the engagement and exercises his professional judgement. The major purpose of this is to identify where material misstatements are likely to arise and thereby to provide a basis for designing procedures to address these areas.

Note that on an audit engagement, the “understanding of the entity” phase is carried out to identify and evaluate the risk of material misstatement at financial level and at assertion level so that further audit procedures can be planned. This is not the case for a review engagement. Although not as detailed (as for an audit), the process of obtaining an understanding of the entity in a review engagement, enables the practitioner to:



In terms of ISRE 2400 (revised), the practitioner shall obtain an understanding of:

- relevant industry, regulatory, legal and other external factors including the applicable financial reporting framework
- the nature of the entity, including:
 - its operations
 - ownership and governance structures
 - types of investment the entity is making
 - the way the entity is structured and financed
 - the entity’s objectives and strategies
- the entity’s accounting systems and accounting records
- the entity’s selection and application of accounting policies.

The statement makes the point that obtaining an understanding of the entity is a “continual dynamic process” of gathering, updating and analysing information *throughout the engagement*. Practitioners need to avoid simply carrying out a routine set of standard procedures without much thought and assuming that not much has changed since the previous engagement.

The statement also makes the point that the practitioner should gain an understanding of the “tone at the top” and the control environment, as these factors are likely to reveal much about management’s attitude to fair financial reporting.

16.1.12 Inquiries and analytical procedures

To obtain sufficient appropriate evidence as a basis for his conclusion on the financial statements, the practitioner must design and perform inquiry and analytical procedures:

- to address all material items in the financial statements, including disclosures, and
- to focus on addressing areas in the financial statements where material misstatements are likely to arise.

Remember that when conducting these procedures, the practitioner remains alert to:

- evidence that is inconsistent with other evidence
- information that calls into question the reliability of documents and responses to inquiries, and
- conditions that may indicate fraud.

The practitioner's *inquiries* of management should include the following:

- how management makes significant accounting estimates
- the identification of related parties and related party transactions and the purpose of those transactions, and
- whether there are significant, unusual or complex transactions, including:
 - significant changes in the client's business activities
 - significant changes to the terms of contracts that may affect the client's financial statements, for example, new debt covenants
 - significant journal entries or other adjustments to the financial statements
 - significant transactions occurring near the end of the reporting period
 - the existence of any actual, suspected or alleged fraud or non-compliance with regulations that could affect the determination of material amounts and disclosures in the financial statements, for example, taxation regulations not adhered to
 - whether management has identified and addressed events occurring between reporting date and the date of the practitioner's report that require adjustment to, or disclosure in, the financial statements
 - the basis of management's assessment of the company's going concern ability, and
 - material commitments, contractual obligations or contingencies that have affected, or may affect, the financial statements.

Analytical procedures involve the evaluation of financial information through analysis of relationships among both financial and non-financial data. The practitioner's analytical procedures can address a number of objectives, for example:

- when obtaining an understanding of the entity, the practitioner may perform a simple comparison of current and prior period's gross profit percentages to get an overall understanding of the "normality" of the current year gross profit. If there are material changes, either positive or negative, the practitioner will investigate more closely, those factors affecting gross profit
- in identifying inconsistencies and variances from expected trends, values or norms, for example, comparing the "days outstanding" ratio for debtors for the current and previous three years
- providing corroborative evidence in relation to other inquiry or analytical procedures, for example, a marked reduction in the days outstanding debtors ratio, may corroborate the client's accountant's representation that credit management controls have been significantly improved, and
- serving as an additional procedure when the practitioner becomes aware of a matter that he believes may cause the financial statements to be misstated, for example, the practitioner conducts an in-depth comparative analysis of inventory quantities by description, value, location, etc to provide additional evidence to support a large increase in the value of inventory reflected in the financial statements.

Analytical procedures can vary from simple to very complex statistical analysis:

- simple comparison, for example, monthly sales for current year to monthly sales for the prior three years by corresponding month
- ratio and trend analysis, for example, comparison of current ratio period to period
- comparison of financial and non-financial data, for example, payroll costs to number of employees, and
- statistical analysis, for example, regression analysis.

In order to carry out the analysis, the practitioner will make use of information from most, if not all, of the following sources:

- financial information for comparable prior periods, for example, previous year, three years, etc.
- information about *expected* operating and financial results, for example, budgets and forecasts
- relationships among elements of financial information within the period, for example, sales commissions (expense) to sales (revenue)
- information regarding the industry in which the client operates, for example, industry norms for gross profit, industry averages for payroll expenses, and
- relevant non-financial information for current and prior periods, for example, delivery costs to delivery vehicles, sales to sales personnel.

16.1.13 Performing additional procedures

Essentially the practitioner is required to conduct additional procedures if he becomes aware of a matter that causes the practitioner to believe that the financial statements may be materially misstated. The practitioner may be alerted to the matter in a number of ways, for example, he may consider that management is being evasive in responding to inquiries, or that explanations for variances resulting from analytical procedures are inadequate. The practitioner may also be alerted by the non-availability of supporting documentation where it is required.

The practitioner can conduct whichever additional procedures he deems necessary to settle his concern that the financial statements may be materially misstated. The types of procedure the practitioner is most likely to conduct are:

- additional inquiry that is more focused and probing
- additional analytical procedures but in greater detail and directed specifically at the affected amounts or disclosures
- substantive tests of detail:
 - inspection of physical assets and documentation, and
 - re-performance/recalculation, and
- external confirmation.

Example 1. The practitioner's ratio analysis of accounts receivable suggests that the allowance for doubtful debts is materially understated. An important aspect of the allowance is the aging of debtors to identify long outstanding debts. Inquiries of management have not satisfied the practitioner. As an *additional procedure* the practitioner may decide to reperform the aging of a sample of debtors' balances.

Example 2. The practitioner believes that sales may be materially misstated. A comparison of sales by month revealed that sales for the last month of the year are considerably higher than budget or the corresponding month for the previous year. Management's explanation is that "it was just a good trading month" is unconvincing based on other broad analytical evidence. As an *additional procedure* the practitioner may decide to perform detailed "cut-off" tests to determine whether sales made *after* year end, have been incorrectly included in the sales for the last month prior to year end.

Example 3. The practitioner believes that plant and machinery may be materially overstated by the incorrect inclusion of leased items. Inquiry of the client's financial accountant gave the practitioner the impression that the financial accountant did not understand the financial reporting standards for leases. As an *additional procedure* the practitioner may decide to carefully read all lease contracts into which the client has entered, to determine whether any operating leases have been inappropriately capitalised as finance leases.

Example 4. The practitioner believes that the financial statements may be materially misstated by the omission of a significant contingent liability pertaining to a matter he identified in the minutes of directors' meetings. Management and the directors consider that although a claim against the company has been lodged, nothing will come of it and the matter can be ignored. As an *additional procedure* the practitioner may request that management obtain an attorney's representation letter from the company's attorneys pertaining to litigation and claims.

16.1.14 Procedures to address specific circumstances

In addition to the general discussion on performing a review, ISRE 2400 (revised) raised three specific matters in respect of which the practitioner must conduct procedures. These are:

16.1.14.1 Related parties

In addition to making inquiries at the “understanding the client” stage as to the existence and identity of related parties and related party transactions, the practitioner must remain alert for arrangements or information that may indicate related parties/related party transaction that have not been identified or disclosed to the practitioner. If the practitioner identifies significant transactions outside the client’s normal course of business, the practitioner should inquire of management about:

- the nature of the transactions
- whether related parties could be involved, and
- the business rationale (logic) behind those transactions, that is, is it an arm’s-length transaction, or is it possibly designed to conceal misappropriation or manipulation of the financial statements?

16.1.14.2 Fraud and non-compliance with regulations

If there is an indication that fraud or non-compliance has taken place, the practitioner must:

- communicate the matter to senior management and those charged with governance
- request management’s assessment of the effects on the financial statements, and
- consider the effect if any, on the practitioner’s report and determine whether there is a responsibility to report the occurrence or suspicion of fraud or illegal acts to anyone outside the entity. This requirement is very important in the South African context. The reason is that the Companies Regulations 2011, Regulation 29, places an obligation on the independent reviewer to report any “reportable irregularity” to the Commission (CIPC) if the practitioner (reviewer) is satisfied or has reason to believe that a reportable irregularity is taking place. The situation is very similar in nature and procedure to an auditor reporting a reportable irregularity to the IRBA in terms of the Auditing Profession Act 2005. Refer to chapter 3 for a discussion on reportable irregularities.

16.1.14.3 “Going concern”

A review of a client’s financial statements includes a consideration of the entity’s ability to continue as a going concern. In many instances, “going concern” will not be an issue, but if the practitioner becomes aware of events or conditions that may cast significant doubt about the entity’s ability to continue as a going concern, a proper assessment of “going concern” should be performed. The assessment of “going concern” on an audit and on a review will be similar. For a detailed discussion, refer to chapter 15 of this text.

16.1.15 Reconciling the financial statements to the underlying accounting records

The practitioner must obtain evidence that the financial statements agree with the underlying accounting records. This simply requires that the practitioner trace the financial statement amounts and balances to the relevant accounting records such as the ledger, summary records or schedules such as the trial balance.

16.1.16 Written representations from management

Management is requested to provide *written* representations because they are far more reliable than oral representations and because they focus management’s mind on what they are telling the reviewer. Oral communication with the practitioner may be simpler and less time consuming but also means that subsequently facts can be refuted and claims of “misunderstanding of what was said” can be made. If the communication is written, management are likely to be more truthful and careful in what they communicate to the practitioner. There are also some matters that the practitioner may not identify other than through a management representation. The written representation request should be carefully worded as it is an important source of evidence in a review engagement.

The document should include representations that:

- management has fulfilled its responsibilities for the preparation of the financial statements in accordance with the applicable financial reporting framework (note that even where an “independent

accounting professional” has compiled the financial statements, management is still responsible) and has provided the practitioner with all relevant information and access to information

- all transactions have been recorded and reflected in the financial statements, and
- management has disclosed to the practitioner–
 - the identity of the client’s related parties, related party relationships and transactions of which management is aware
 - significant facts relating to frauds or suspected frauds
 - known, actual or possible non-compliance with laws and regulations
 - all information relevant to the going concern ability of the entity
 - where required, that all subsequent events have been adjusted for or disclosed in the financial statements
 - all material commitments, contractual obligations or contingencies, and
 - all material non-monetary transactions or transactions undertaken for no consideration.

If management does not provide “one or more” of the requested written representations, the practitioner should:

- discuss with management and those charged with governance, and
- re-evaluate the integrity of management and evaluate the effect of this on the evidence gathered.

If the practitioner concludes that there is sufficient doubt about the integrity of management or management does not provide the representations requested, the practitioner must disclaim a conclusion.

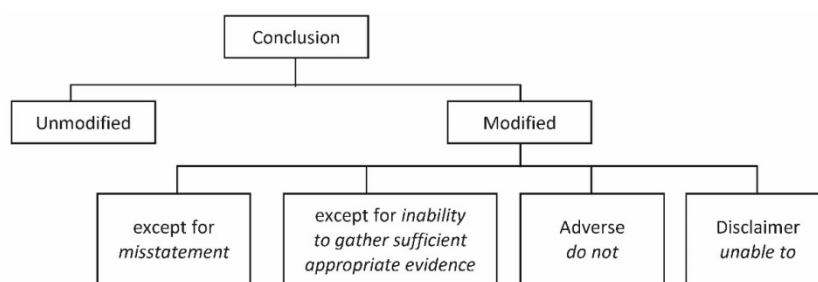
16.1.17 Forming the practitioner’s conclusion on the financial statements

In forming the conclusion, the practitioner must:

- evaluate whether the financial statements adequately refer to the financial reporting framework in terms of which they have been prepared, for example, IFRS for SMEs, and
- consider whether (in the context of the reporting framework)–
 - the terminology used in the financial statements is appropriate
 - the financial statements adequately disclose the significant accounting policies selected and applied
 - the accounting policies are consistent with the framework and appropriately applied
 - accounting estimates appear reasonable
 - the information presented in the financial statements appears relevant, reliable, comparable and understandable
 - the financial statements provide adequate disclosures to enable users to understand the effects of material transactions and events on the entity’s financial position, financial performance and cash flows
 - the overall presentation, structure and content of the financial statements complies with the relevant framework, and
 - whether the financial statements, including the notes, appear to represent the underlying transactions and events in a manner that achieves *fair presentation*.

16.1.18 Expressing a conclusion

The practitioner has the following options with regard to the conclusion to be expressed on the financial statements



16.1.18.1 Unmodified conclusion

The practitioner gives an unmodified conclusion on the financial statements as a whole when he has obtained limited assurance to be able to conclude that nothing has come to his attention that causes him to believe that the financial statements do not fairly present, in all material respects, the financial position (at reporting date) of the entity, and its financial position and its cash flows for the year then ended, in accordance with the applicable financial reporting framework (e.g. IFRS for SMEs).

**16.1.18.2 Modified conclusion – Financial statements materially misstated
(see para. 16.1.20)**

The practitioner shall give a modified conclusion on the financial statements as a whole when he determines that, based on the procedures performed and the evidence obtained, the financial statements are materially misstated. The practitioner will give:

- a qualified conclusion “except for” where he concludes that the matter(s) giving rise to the modification, is material but *not* pervasive, or
- an adverse conclusion when the effects of the matter giving rise to the modification, are both material *and* pervasive.

**16.1.18.3 Modified conclusion – Inability to obtain sufficient appropriate evidence
(see para. 16.1.20)**

The practitioner shall give a modified conclusion if he is unable to form a conclusion due to inability to obtain sufficient appropriate evidence. The practitioner will give:

- a qualified conclusion “except for” where he concludes that the *possible* effects on the financial statements of undetected misstatements, if any, could be material but not pervasive, or
- disclaim a conclusion if he concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material *and* pervasive.

16.1.19 The practitioner’s report

The practitioner’s report on a review engagement has the same basic structure as the audit report but the wording is different due to the different nature of the engagement. The wording for the report in the South African context is contained in SAAPS 3 (revised) that, in turn, is based on ISRE 2400 (revised).

(a) Structure

- Title
- The addressee
- Introductory paragraph
- Responsibility of directors’ paragraph
- Independent reviewer’s responsibility paragraph
- A description of a review and its limitations paragraph
- An explanation paragraph when the conclusion is qualified or an adverse conclusion is given or a conclusion is disclaimed (e.g. basis for qualified conclusion)
- Conclusion paragraph
- Other reports required by the Companies Act paragraph
- Signing off

(b) Title: Independent reviewer’s report**(c) Addressee: To the shareholders of Keystone (Pty) Ltd****(d) Introductory paragraph**

We have *reviewed* the financial statements of Keystone (Pty) Ltd set out on pages 8 to 27, that comprise the statement of financial position as at 31 March 0001 and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and the notes, comprising a summary of significant accounting policies and other explanatory information.

(e) Directors' responsibility

The company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with the International Financial Reporting Standard for small and medium-sized entities, and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

(f) Independent reviewer's responsibility

Our responsibility is to express a *conclusion* on these financial statements. We conducted our review in accordance with the International Standard on Review Engagements ISRE 2400 (revised) – *Engagements to Review Historical Financial Statements*. ISRE 2400 (revised) requires us to conclude on whether anything has come to our attention that causes us to believe that the financial statements, taken as a whole, are not prepared in all material respects in accordance with the applicable accounting framework. This standard also requires us to comply with relevant ethical requirements.

(g) Description of a review and its limitations

(Note that this paragraph does not have a heading in the report. All other paragraphs do.)

A review of financial statements in accordance with ISRE 2400 (revised) is a limited assurance engagement. The independent reviewer performs procedures, primarily consisting of making inquiries of management and others within the entity, as appropriate, and applying analytical procedures, and evaluates the evidence obtained. The procedures performed in a review are substantially less than those performed in an audit conducted in accordance with International Standards on Auditing. Accordingly, we do not express an audit opinion on these financial statements.

(h) Conclusion (unmodified)

Based on our review, nothing has come to our attention that causes us to believe that these financial statements do not fairly present, in all material respects, the financial position of Keystone (Pty) Ltd as at 31 March 0001 and its financial performance and cash flows for the year then ended in accordance with the IFRS for SMEs and the requirements of the Companies Act of South Africa.

(i) Other reports required by the Companies Act

As part of our independent review of the financial statements for the year ended 31 March 0001, we have read the Directors' Report for the purposes of identifying whether there are material inconsistencies between this report and the reviewed financial statements. The Directors' Report is the responsibility of the directors. Based on reading the Directors' Report, we have not identified material inconsistencies between this report and the reviewed financial statements. However, we have not reviewed the Directors' Report and accordingly do not express a conclusion thereon.

(j) Signing off (no heading)

Jo January

Joseph January
Registered Auditor
15 May 0001
Patchwork Office Park
East London

16.1.20 Modifications

Where the reviewer's conclusion requires modification, a paragraph must be included in the report explaining the modification. This paragraph will be positioned above the conclusion paragraph and will be headed according to the type of modification. The options are:

Except for conclusion	Adverse conclusion	Disclaimer of conclusion
•basis for qualified conclusion	•basis for adverse conclusion	•basis for disclaimer of conclusion

There is no standard wording for "Basis for" paragraphs. The paragraph must be sufficiently clear and detailed to the extent the user needs to understand the modification.

16.1.20.1 “Except for” conclusion

An “except for” conclusion is given where the matter on which the modification to the conclusion is based, is material but not pervasive. The modification can be based on misstatement or inability to obtain sufficient appropriate evidence. When an “except for” conclusion is given, the wording of the other paragraphs does not change. The conclusion paragraph will be headed “Qualified Conclusion” and will be worded as follows:

- Misstatement: “Based on our review, except for the effects of the matter described in the Basis for Qualified Conclusion paragraph, nothing has come to our attention . . .”.
- Inability to obtain sufficient appropriate evidence: “Based on our review, except for the *possible* effects of the matter described in the Basis for Qualified Conclusion paragraph, nothing has come to our attention . . .”.

16.1.20.2 Adverse conclusion

An adverse conclusion is given when the financial statements are materially misstated and the misstatement is deemed to be *pervasive* to the financial statements. When an adverse conclusion is given, the wording of the other paragraphs does not change. The conclusion paragraph will be headed “Adverse Conclusion” and will be worded as follows:

“Based on our review, due to the significance of the matter discussed in the Basis for Adverse Conclusion paragraph, we conclude that these financial statements do not present fairly, the financial position of . . .”

16.1.20.3 Disclaimer of conclusion

A disclaimer of conclusion is given when the reviewer was unable to obtain sufficient appropriate evidence about multiple elements of the financial statements. The effect of this inability is that the practitioner is unable to complete the review and thus unable to form a conclusion. This has ramifications for the wording in other paragraphs in the report that are explained below. The conclusion paragraph will be headed “Disclaimer of Conclusion” and will be worded as follows:

“Due to the significance of the matters described in the Basis for Disclaimer of Conclusion paragraph, we were unable to obtain sufficient appropriate evidence to form a conclusion on these financial statements. Accordingly, we do not express a conclusion on these financial statements.”

Changes to other paragraphs when a disclaimer is given, will be as follows:

- in the Introductory paragraph, the words “We have reviewed . . .” will change to “We were engaged to review . . .”
- the wording in the Independent Reviewer’s Responsibility paragraph is replaced by the following wording

“Our responsibility is to express a conclusion on these financial statements. Because of the matter described in the Basis for Disclaimer of Conclusion paragraph, however, we were not able to obtain sufficient appropriate evidence as a basis for expressing a conclusion on the financial statements.”

16.2 “Agreed upon procedures” engagements

16.2.1 Introduction

ISRS 4400 – Engagements to perform agreed upon procedures regarding financial statements, provides guidance on this related services engagement (ISRS stands for International Standards on Related Services).

Although the engagement is referred to as an agreed upon procedures engagement, the report arising from the engagement is referred to as a factual findings report.

16.2.2 Objective

In an “agreed upon procedures” engagement, the auditor is engaged to carry out procedures (usually of an audit nature) that have been agreed upon by the parties involved, for example, the auditor, the client and any interested third party. The auditor reports only on the facts as found. *No assurance is given*, neither in the form of an audit opinion nor in the form of a review conclusion. The users of the report are required to draw their own conclusions from the facts presented.

16.2.3 General principles of an agreed upon procedures engagement

General ethical principles, to which practitioners are expected to adhere for this type of engagement, remain the same as for any engagement, for example:

- integrity
- objectivity
- professional competence and due care
- confidentiality, and
- professional behaviour.

Note: Independence from the client is not a requirement for this type of engagement. However, the practitioner is still required to be objective in the performance of the engagement. Where the practitioner is not independent, a statement to that effect must be made in the report arising from the engagement.

The practitioner must comply with ISRS 4400.

The engagement must be properly planned so that an effective engagement will be performed.

The practitioner must maintain appropriate documentation to:

- support the report on factual findings, and
- provide evidence that the engagement was carried out in terms of ISRS 4400.

The practitioner must carry out the procedures agreed upon and use the evidence obtained as a basis for the report of factual findings. Procedures to be agreed upon may include:

- inquiry and analysis
- re-computation, comparison and other clerical accuracy checks
- observation
- inspection, and
- obtaining confirmations.

16.2.4 Terms of engagement

As with any engagement it is important that the terms of engagement are clear to all parties, for example, the client must understand that in this type of engagement *no* assurance is given. The terms of engagement should be set out in an engagement letter and should include:

- a clear indication that the engagement does not constitute an audit or review and that accordingly no assurance will be given
- the purpose of the engagement
- identification of the financial information to which the agreed upon procedures will be applied
- nature, timing and extent of the specific procedures to be applied
- anticipated form of the report of factual findings
- limitations on the distribution of the report, and
- a listing of the procedures to be performed that were agreed upon.

16.2.5 Reporting considerations

(a) Title: Report of Factual Findings

(b) Addressee: To the directors of Pentel Ltd (will be whoever engaged the practitioner)

(c) Description of the engagement*

We have performed the procedures agreed with you and described below with respect to the accounts payable of Pentel Ltd . . . as at (date), set forth in the accompanying schedules. Our engagement was undertaken in accordance with the International Standard on Related Services applicable to agreed-upon procedures. The procedures were performed solely to assist you in evaluating the validity of the accounts payable and are summarised as follows: . . .

Note: A summary of the procedures would be inserted here *followed* by the results of the procedures conducted.

(d) Explanation of the nature of the report*

Note: As indicated, *no* assurance is given. The report is simply a presentation of the findings arising from the performance of the agreed upon procedures. To emphasise this, the following paragraphs are included in the report:

- * *Because the above procedures do not constitute either an audit or a review made in accordance with International Standards on Auditing or International Standards on Review Engagements, we do not express any assurance on the accounts payable as at (date).*
- * *Had we performed additional procedures, or had we performed an audit or review of the financial statements in accordance with International Standards on Auditing or International Standards on Review Engagements, other matters might have come to our attention that would have been reported to you.*

(f) Modified factual findings reports

Note: As no assurance is given, qualification is not an option. No “Emphasis of Matter” paragraph can be added. The results are presented without opinion or conclusion.

(g) Closing paragraph*

Note: The report is signed in the normal manner (see comments on page 18/12) but above the signing off, the following paragraph is added to clarify the restricted nature of the engagement and report:

- * *Our report is solely for the purpose set forth in the first (description of engagement) paragraph of this report and for your information and is not to be used for any other purpose or to be distributed to any other parties. This report relates only to the accounts and items specified above, and does not extend to any financial statements of Pentel Ltd, taken as a whole.*

(h) Signing off*

Roddy Rockett
Rodney Rockett
Registered Auditor
15 March 0001
116 Vista Park
Durban

- * The factual findings report does not have paragraph headings. They have been included here to convey the structure and content of the report. The wording of the paragraphs is in italics.

16.3 Compilation engagements**16.3.1 Introduction**

Much like the review engagement, practitioners have been conducting compilation engagements for many years. However, the requirements of the Companies Act 2008 and the Companies Regulations 2011, have increased the importance and frequency of these engagements. In terms of Regulation 29, a company that is not required to be audited must have its annual financial statements independently reviewed. A *private* company will qualify to have its annual financial statements reviewed if:

- it has a public interest score of 100 to 349, and
- the company’s annual financial statements are *compiled externally* by an “independent accounting professional” as defined in Regulation 27.

A registered auditor (or chartered accountant) will satisfy the definition of accounting professional and as long as such individual is independent of the client, for example, no financial interest in the client, not involved in the day-to-day running of the client, etc., he may undertake a compilation engagement as envisaged by the International Standards on Related Services ISRS 4410 (revised). It is likely therefore that accounting and auditing firms will experience an increase in the frequency of compilation engagements. Of course, a registered auditor or chartered accountant who *compiles* the financial statements may not also perform the review (or audit) of those financial statements.

16.3.2 The compilation engagement

Definition

An engagement in which the practitioner applies accounting and financial reporting expertise to assist management in the preparation and presentation of financial information of an entity in accordance with an applicable financial reporting framework, and reports as required by ISRS 4410 (revised).

The value to users of financial information compiled in accordance with ISRS 4410 (revised) arises from the ethical application of the practitioner's professional expertise. It is very important therefore that the practitioner complies with the required professional standards, both "technical" and "ethical". A compilation engagement is not just a matter of picking up a trial balance from a client and drawing up a set of financial statements; the practitioner must comply with ISRS 4410 (revised) to the extent that its requirements are satisfied.

Management retains responsibility for the financial information and the basis on which it is prepared. For example, it is not the responsibility of the compiling practitioner to select accounting policies or decide upon appropriate estimates/allowances.

A compilation agreement is *not* an assurance engagement. It does not require the practitioner to verify the accuracy or completeness of the information provided by management, or otherwise to gather evidence to express an audit opinion or review conclusion.

This text deals primarily with the application of ISRS 4410 (revised) in the context of the compilation of annual financial statements in terms of IFRS for SMEs.

16.3.3 Objectives

The practitioner's objectives are to:

- apply accounting and financial reporting expertise to assist management in the preparation and presentation of financial statements in accordance with IFRS for SMEs, and
- report in accordance with the requirements of ISRS 4410 (revised).

16.3.4 Ethical requirements

In terms of the Code of Professional Conduct, the fundamental principles are:

- integrity
- objectivity
- professional competence and due care
- confidentiality, and
- professional behaviour.

The fundamental principle of *integrity* requires, *inter alia*, that the practitioner should *not* be associated with information that he believes to be false, misleading (by inclusion or exclusion) or recklessly provided. This is clearly applicable to any financial statements that a practitioner compiles and if the situation (false, misleading, reckless) arises, the practitioner must take steps to disassociate himself from the financial statements.

While the fundamental principle of *objectivity* is applicable to a compilation engagement, the requirements of section 290 – Independence – Audit and Review Engagements do not apply to compilation engagements.

16.3.5 Professional judgement

There are a number of matters in a compilation agreement that require the application of sound professional judgement. These include judgement on ethical and technical matters. Important matters requiring professional judgement include:

- the acceptability of the financial reporting framework to be used. For example, does the entity satisfy the scoping requirements for the application of IFRS for SMEs?
- assisting management with the selection of appropriate accounting policies
- assisting management with accounting estimates, for example, impairments, and
- preparation and presentation of the financial information in accordance with IFRS for SMEs.

16.3.6 Engagement level quality control

The engagement partner must take responsibility for the overall quality level of the compilation engagement to which he is assigned. This includes:

- following appropriate procedures for the acceptance of a new compilation engagement client or continuing with an existing compilation engagement client
- being satisfied that the engagement team has the necessary competence and capabilities
- being alert to the possibility of non-compliance by members of the engagement team with ethical requirements, for example, disclosing confidential client information, showing a lack of due care
- directing, supervising and performing the engagement in compliance with professional standards and applicable legal/regulatory requirements, and
- taking responsibility for the maintenance of appropriate engagement documentation.

16.3.7 Engagement acceptance and continuance

A compilation agreement should *not be accepted* unless the practitioner has agreed the terms of engagement with management in an *engagement letter*. This includes:

- The intended use and distribution of the financial information, for example, the annual financial statements are compiled for the purposes of having the independent review conducted in terms of the requirements of the Companies Regulation Number 29. Initial distribution will be to Joseph Soap and Co, Registered Auditors, who will conduct the review. Thereafter distribution will be to the bank and the company's shareholders. Restrictions on distribution should also be stated.
- Identification of the applicable financial reporting framework, for example, IFRS for SMEs.
- The objective and scope of the compilation engagement (see paragraph 16.2.3).
- The responsibilities of the practitioner, including compliance with relevant ethical requirements, for example, no association with false, misleading information.
- The responsibilities of management for:
 - the financial information and for the preparation and presentation thereof in accordance with a reporting framework that is acceptable in relation to the intended use thereof
 - the accuracy and completeness of the records, documents, explanations and other information provided by management
 - judgements needed in the preparation and presentation *including* those judgements with which the practitioner may assist management, and
 - the expected form of the practitioner's report.
- Conveying that the engagement is not an assurance engagement.
- Conveying that the practitioner will not express an audit opinion or a review conclusion.
- Arrangements concerning the involvement of a predecessor practitioner if any, and other practitioners or experts if any.
- The possibility that management or those charged with governance may be requested to confirm in writing, certain explanations/information conveyed orally to the practitioner.
- Arrangements for the ownership of the practitioner's engagement documentation.
- A request to management to acknowledge receipt of the engagement letter and to agree to the terms of engagement included in the letter.

16.3.8 Performing the engagement

16.3.8.1 The practitioner's understanding

The practitioner cannot compile a set of financial statements for a client in a vacuum. The practitioner should obtain an understanding of:

- the client's business and operations, including the company's accounting system and accounting records:
 - the nature of the entity's assets, liabilities, revenues and expenses

- the size and complexity of the entity and its operations
- the level of development of the entity's management and governance structures regarding their management and oversight of the entity's accounting records and financial reporting system, and
- the complexity of the financial reporting system and the principles and practices of the industry in which the client operates, and
- the applicable financial reporting framework, for example, a good knowledge of IFRS for SMEs.

Obtaining an understanding is an ongoing process throughout the engagement. The understanding establishes a frame of reference within which the practitioner can exercise professional judgement.

16.3.8.2 Compiling the financial information

- The practitioner will compile the financial statements using the records and documents supplied by management. Other information and explanations will also be necessary and should come from management as well. The practitioner should be given access to what he considers necessary to carry out the compilation.
- If in the course of carrying out the compilation, the practitioner becomes aware that any of the documents, records, information or explanations (including any significant judgements) are *incomplete, inaccurate or otherwise unsatisfactory*, he must:
 - bring it to the attention of management, and
 - request the additional or corrected information.
- If the practitioner is unable to complete the engagement because management has failed to provide the necessary records, documents, explanations or other information as requested by the practitioner, the practitioner must withdraw from the engagement and inform management and those charged with governance, as to the reasons for withdrawing.
- If the practitioner believes that amendments to the compiled financial statements are needed to ensure that they are not materially misstated, the practitioner cannot simply make the amendment but must propose the appropriate amendment to management.

Example 1. The practitioner may become aware from reading the directors' minutes that a piece of machinery has been damaged. A discussion with management revealed no impairment of the machinery that was required and was material, had been recognised.

Example 2. The practitioner realises from the documentation he has been presented with, that a material contingent liability has been omitted from the notes to the financial statements.

- If these types of situation arise, the practitioner will need to make a decision on the *materiality* of the matter. Materiality in this situation will be judged in the normal manner, i.e. the matter will be material if "the misstatement or omission could reasonably be expected to influence the economic decisions of users based on the financial statements".
- If management declines to make the required adjustments, the practitioner must withdraw from the engagement and inform management and those charged with governance of the reasons for withdrawing. Note that the practitioner does *not* have the option of "qualifying" the compilation report. The compilation can either be achieved or it cannot. Also be mindful of the fact that the auditor cannot be associated with a set of financial statements that he knows to be false, misleading or recklessly provided. If the financial statements are materially misstated, they will be at least misleading, and the practitioner must withdraw.

16.3.9 The practitioner's report

The practitioner's report is reasonably short and uncomplicated. As mentioned earlier, there is no opportunity for giving an "except for" or adverse opinion, a disclaimer of opinion or an emphases of matter. No opinion is given nor is any conclusion drawn.

Note: Paragraph headings marked * are not included. The headings have been provided simply to describe the structure and content of the report.

(a) Title: Practitioner's compilation report**(b) Address: To the management of Towrite (Pty) Ltd****(c) Introductory paragraph***

We have compiled the accompanying financial statements of Towrite (Pty) Ltd based on information you have provided. The financial statements comprise the statement of financial position of Towrite (Pty) Ltd at 28 February 0001, the statement of comprehensive income, statement of changes to equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

(d) Practitioner's "role"*

We performed this compilation engagement in accordance with the International Standard on Related Services 4410 (revised) – Compilation engagements. We have applied our expertise in accounting and financial reporting to assist you in the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards for Small and Medium-sized entities (IFRS for SMEs). We have complied with relevant ethical requirements, including principles of integrity, objectivity, professional competence and due care.

(e) Management's responsibility*

These financial statements and the accuracy and completeness of the information used to compile them are your responsibility.

(f) Reliance*

Since a compilation engagement is not an assurance engagement, we are not required to verify the accuracy or completeness of the information you provided to us to compile these financial statements. Accordingly, we do not express an audit opinion or a review conclusion on whether these financial statements are prepared in accordance with IFRS for SMEs.

(g) Signing off*

Freddie Filander

Frederick Filander (may include professional designation)

15 April 0001

Fasttrack Park

Cape Town

Note: The above report is for a set of general purpose financial statements prepared in terms of IFRS for SMEs, primarily because this is the most common compilation engagement likely to be undertaken by auditing and accounting firms. A compilation engagement can be carried out in respect of other information including modified financial reporting frameworks – the principles will remain the same.